



LifePRO[®]
**User Guide and
Field Description Manual**

Product Book

Licensed Materials - Property of Professional Data Management Again, Inc.

©Copyright Professional Data Management Again, Inc. 1983 - 2008.

All rights reserved. Contains confidential and trade secret information.

Copyright notice is precautionary only and does not imply publication.

TABLE OF CONTENTS

Section 1 Product Introduction

Chapter 1	Defining a New Product	1-4
Chapter 2	Product Setup Flow	1-5
2.1	Product Setup Steps.....	1-7

Section 2 Product File

Chapter 1	Product File Screen	2-4
1.1	Product Cross Reference	2-6
1.2	Product File Record Maintenance	2-7
	Product File Record—Add	2-7
	Product File Record—View	2-7
	Product File Record—Update	2-7
Chapter 2	Product History	2-8

Section 3 Component File

Chapter 1	Component File Introduction	3-2
1.1	Component File Features	3-3
1.2	Component File Setup Notes.....	3-3
1.3	Component Types	3-4
Chapter 2	Component File Maintenance	3-12
2.1	Component File—Add	3-12
2.2	Component File—View	3-12
2.3	Component File—Update	3-13
2.4	Component File—Clone	3-13
2.5	Component File Cross Reference.....	3-14
Chapter 3	Component File Screen	3-15
3.1	Prohibit Issue In This State	3-29
3.2	Inspection Tables.....	3-32
	Base Only	3-32
	Split By Benefit	3-33
3.3	Issue Limits by Age and Minimum and Maximum Amount	3-34

3.4	Issue Limits by Amount and Underwriting Class	3-35
	Issue Limits by Underwriting Class Notification Window	3-36
3.5	Issue Limits by Age and Tax Qualification Code.....	3-37
	Issue Limits by Age and Tax Qualification Code Notification Window	3-39
3.6	Maximum Table Ratings for Riders	3-40

Chapter 4	Component History	3-42
-----------	-------------------------	------

Section 4 Coverage Record

Chapter 1	Coverage Record Introduction	4-3
1.1	Coverage Window	4-4

Chapter 2	Coverage Record Maintenance	4-5
2.1	Coverage Record—Add.....	4-5
2.2	Coverage Record—View	4-5
	Coverage Cross Reference	4-5
2.3	Coverage Record—Update	4-6
2.4	Coverage Record—Delete	4-6
2.5	Coverage Record—Clone	4-7

Chapter 3	Coverage Screen Notes	4-8
3.1	Product Note—Add or Update.....	4-9

Chapter 4	Coverage File Screen Field Descriptions	4-10
4.1	Coverage File Screen 1 Field Descriptions.....	4-13
	Issue Limits by Age and Minimum and Maximum Amount	4-21
	Issue Limits by Underwriting Class and Amount	4-22
	Issue Limits by Age and Tax Qualification Code	4-24
	Issue Date Substitution Trace	4-26
4.2	Coverage File Screen 2 Field Descriptions.....	4-27
4.3	Coverage File Screen 3 Field Descriptions.....	4-38
4.4	Coverage File Screen 4 Field Descriptions.....	4-52
	Waiver Calculation Window	4-63

Chapter 5	Segment List Access	4-66
5.1	Segments—Update or Activate.....	4-67

Chapter 6	Effective Date Substitution	4-68
6.1	Substitution Processing Priority.....	4-68
6.2	Effective Date Substitution Notes.....	4-68
6.3	Effective Date Substitution Field Definitions.....	4-69
6.4	Effective Date Substitution Record Functions.....	4-74

	Effective Date Substitution Record—Access from Coverage Record	4-74
	Effective Date Substitution Record—Access from Component File	4-76
	Effective Date Substitution—Access from Segment List	4-77
	Effective Date Substitution—Add New Record	4-77
	Effective Date Substitution—Delete a Record	4-78
6.5	Effective Date Substitution History	4-79

Chapter 7	Coverage History	4-81
7.1	Segment List for Coverage History Record	4-83

Section 5 Rates and Factors

Chapter 1	Rates and Factors Introduction	5-5
-----------	--------------------------------	-----

Chapter 2	Attained Age Rate File	5-7
2.1	Attained Age Rate File Record—Add	5-8
2.2	Attained Age Rate Functions	5-10
	Attained Age Rates—Replicate	5-10
	Attained Age Rates—View	5-10
	Attained Age Rates—Update	5-10
	Attained Age Rates—Shift	5-10
	Attained Age Rate Math Functions	5-11
	Attained Age Rates—Clone	5-12
2.3	Attained Age Rate File Cross Reference	5-13
2.4	Attained Age Rate History	5-14

Chapter 3	Age/Duration Rate File	5-16
3.1	Age/Duration Rate File Record—Add	5-17
3.2	Age/Duration Rate Functions	5-19
	Age/Duration Rates—Replicate	5-19
	Age/Duration Rates—View	5-19
	Age/Duration Rates—Update	5-19
	Age/Duration Rates—Shift	5-19
	Age/Duration Math Functions	5-20
	Age/Duration Rates—Mass Copy	5-21
	Age/Duration Rates—Range Copy	5-22
	Age/Duration Rates—Copy	5-23
3.3	Age/Duration Rate File Cross Reference	5-24
3.4	Age/Duration Rate History	5-25

Chapter 4	Declared Interest Rate File	5-27
4.1	Declared Interest Rate Segment ID Sample	5-28
	Interest Crediting Segment Criteria Screen	5-29
	Interest Crediting Segment Criteria Screen Field Definitions	5-30

4.2	Declared Interest Rate File.....	5-33
	Declared Interest Rate File Field Definitions	5-34
	Declared Interest Rate File—Add New Record	5-38
	Declared Interest Rate File Cross Reference	5-39
4.3	Declared Interest Rate History.....	5-40
Chapter 5	Miscellaneous Factors File	5-42
5.1	Miscellaneous Factors Maintenance	5-43
	Miscellaneous Factors Record—View	5-43
	Miscellaneous Factors Record—Update	5-43
	Miscellaneous Factors Cross Reference	5-44
Chapter 6	Consumer Price Index	5-45
6.1	Consumer Price Index—Update	5-46
6.2	Consumer Price Index—Delete	5-46
Chapter 7	Issue Benefit Rates	5-47
Chapter 8	Units By Fund ID and Coverage ID	5-48
8.1	Units by Fund and Coverage ID Functions	5-49
	Units by Fund and Coverage ID—Access	5-49
	Units by Fund and Coverage ID—Add	5-49
	Units by Fund and Coverage ID Function Key Options	5-50
	Units by Fund and Coverage ID Field Definitions	5-50
8.2	Unit Values by Fund and by Coverage Detail Window	5-52
Chapter 9	Units by Fund ID and Date	5-53
9.1	Units by Fund ID and Date Functions	5-54
	Units by Fund ID and Date—Access	5-54
	Units by Fund ID and Date—Add	5-54
	Units by Fund ID and Date Function Key Options	5-55
9.2	Unit Values by Fund and by Date Detail Window	5-56
Chapter 10	Units by Effective Date	5-57
10.1	Units by Effective Date Functions.....	5-58
	Units by Effective Date—Access	5-58
	Units by Effective Date—Add	5-58
Chapter 11	Units By Unit ID	5-60
11.1	Units by Unit ID Functions.....	5-61
	Units by Unit ID—Access	5-61
	Units by Unit ID—Add	5-61
Chapter 12	Currency Exchange	5-63
12.1	Multiple Currency Table Function Keys	5-64

Chapter 13	Unit Price ID	5-65
13.1	Charge Band ID	5-68
13.2	Annual M&E Charges	5-69
Chapter 14	Accumulation Windows	5-70
14.1	Accumulation Windows Functions	5-71
	Accumulation Windows—Access	5-71
	Accumulation Windows—Add	5-71
	Accumulation Windows—Delete	5-71
Chapter 15	Mortality and Expense Factors	5-72
Chapter 16	Net Asset Values and Dividends	5-75
16.1	NAV and Dividends by Fund/Unit ID	5-76
16.2	Net Asset Values and Dividends by Effective Date	5-78

Section 6 Premium Mode Rules

Chapter 1	PR—Premium Segment	6-4
1.1	Modal Factors for Premiums Screen	6-5
	Premium Mode Rules Record—View	6-6
	Premium Mode Rules Record—Update	6-7

Section 7 Issue Date Substitution

Chapter 1	Substitution Types	7-4
	Substitution Type Processing Priority	7-4
1.1	Substitution Record Maintenance	7-5
	Substitution Record—Add	7-5
	Substitution Record—Update	7-7
	Substitution Record Cross Reference List	7-8
	Substitution Record—Delete	7-9
1.2	Coverage Record Notification Window	7-10
Chapter 2	Issue Date Substitution History	7-11

Section 8 Processing Exceptions

PEXCCV01	8-5
----------------	-----

Section 9 Trace Routines

Chapter 1	Trace Routines Introduction.....	9-3
Chapter 2	Trace Routines Access	9-4
2.1	Values Calculator.....	9-5
	Valid Calls to the Values Calculator	9-9
2.2	Disclosure Summary Calculation	9-11
	Disclosure Summary—Return Codes	9-14
	Disclosure Summary—Trace Values Menu	9-14
	Cost Indices	9-15
	Modal Premium	9-16
	Yearly Premiums/Death Benefits	9-17
	Yearly Values—NFO	9-18
	Print Values	9-19
2.3	Anniversary Values.....	9-20
2.4	UL Reserve Calculator.....	9-25
2.5	Traditional Reserves Calculator.....	9-30
2.6	Prorated Premium Refund Trace	9-33
2.7	Date Routines.....	9-34
2.8	Duration Calculation Trace.....	9-36
	Duration Calculation Trace Results	9-37
2.9	UL New Business Premium Trace.....	9-38
2.10	SPIA Calculator	9-39
2.11	Life Expectancy Calculation.....	9-40
2.12	Joint COI Rates/Commutation.....	9-41
2.13	Rate Segment Retrieval	9-44
2.14	Rate Retrieval	9-45
2.15	Rate Retrieval All Years	9-46
2.16	UL/Annuity Death Benefits	9-47
2.17	Preferred Loan Split.....	9-48
2.18	Declared Rates Retrieval.....	9-49
2.19	Earnings Calculation.....	9-50
2.20	Declared Interest Calc.....	9-51
2.21	Surrender Calculation	9-52
2.22	Taxable Income.....	9-53
2.23	Withholding Calc	9-54
2.24	Alloc Covr Prem Dist	9-55
2.25	Unit Values Calc	9-56
2.26	Calendar Dates.....	9-57
2.27	Varying Band Limits	9-58
2.28	EIA Generic Formula.....	9-59
2.29	Day of Week Calculation.....	9-64
2.30	Valid Purchase Day.....	9-65
2.31	ABV RMD Trace.....	9-68

Section 10 State Control File

Chapter 1	Product and Coverage Cross Reference	10-5
Chapter 2	Valid States for a Company	10-6
Chapter 3	Valid States for a Product	10-7
3.1	Valid States and Countries for a Company or Product Bonus	10-8
Chapter 4	Form Number for a Coverage	10-9
Chapter 5	State Loan Cap Information	10-10
Chapter 6	Withholding Tax Rates	10-14
6.1	State Tax Withholding	10-15
6.2	Federal Tax Withholding	10-17
6.3	FICA Withholding.....	10-20
Chapter 7	Premium Tax Rates	10-21
7.1	Premium Tax—State Tax Info	10-22
7.2	Premium Tax—Federal Tax Info	10-24
7.3	State Tax—State Tax Methods Info	10-25
Chapter 8	Health Rerate Correspondence	10-27
Chapter 9	Payment Deductions	10-29
9.1	SPIA Federal Withholding	10-30
	Banded Withholding	10-31
9.2	SPIA State Withholding	10-33
	State Banded Withholding	10-35
	State Tiered Withholding	10-36
9.3	Reducer Formulas	10-38
9.4	Miscellaneous SPIA Deductions	10-39
Chapter 10	Variable Coverage Free Look	10-40
Chapter 11	Interest Adjusted Interest Rate	10-45
Chapter 12	State Follow Up Overrides	10-47
Chapter 13	Maximum Consecutive APLs	10-50

Chapter 14	Conversion Privilege	10-54
Chapter 15	Valid States for CR Cards	10-56
Chapter 16	Initial Premium Offer	10-57
Chapter 17	Replacement Comm Exception	10-61
Chapter 18	Claim Information	10-63
Chapter 19	Medicare Basic Benefit Information	10-66
Chapter 20	Deductible By Effective Date	10-69

Section 11 Policy Control File

Chapter 1	Policy Control File Maintenance Screens	11-4
1.1	Policy Control File Maintenance Screen 1	11-5
1.2	Policy Control File Maintenance Screen 2	11-11
Chapter 2	Policy Clone File	11-15
2.1	Policy Clone File Maintenance	11-17
2.2	Policy Clone File Maintenance Screen	11-18

Section 12 Segments

Chapter 1	Segments Overview	12-13
1.1	Segments Access	12-13
1.2	Segment Help	12-14
Chapter 2	Segment Setup	12-15
Chapter 3	Premiums—Upper Portion of Screen Field Definitions	12-17
Chapter 4	Product Usage Cross Reference	12-21
4.1	Product Usage Cross Reference Access	12-21
	Product Usage Cross Reference Example	12-28
4.2	Segments—Higher and Lower Access	12-29

Chapter 5	Segment History	12-30
5.1	Segment History Notes.....	12-32
Chapter 6	Segments	12-33
6.1	1P—Premium Cap Segment.....	12-33
6.2	1R—Reserve Rate Segment.....	12-37
6.3	A1—Current Interest Rate Segment.....	12-39
6.4	A3—Portfolio Rate Segment	12-41
6.5	A4—Amortization Method	12-42
	A4—Amortization Method Subsystem Notes	12-43
6.6	A5—Rate Retrieval Rules.....	12-44
6.7	AB—Add'l Death Benefits Segment	12-47
	Fields Unique to this Segment	12-48
6.8	AC—Add'l Premium Credited Segment	12-50
6.9	AD—Add'l Div, Premium Pay Segment	12-51
	Fields Unique to this Segment	12-52
6.10	AE—Arrears Policy Fee.....	12-53
6.11	AF—Annual Agent Service Fee.....	12-58
6.12	AI—After Issue Policy Pages.....	12-60
6.13	AJ—Adjustments of COI	12-62
6.14	AN—Annual Statement Setup	12-63
6.15	AP—Addl Premiums, Deposits Segment.....	12-65
	Fields Unique to this Segment	12-66
6.16	AX—Bonus, Contest, and Production Segment	12-69
6.17	B1—B5 Bonus Rates Segment	12-71
	Fields Unique to this Segment	12-72
6.18	BA—Universal Methodology Segment	12-80
6.19	BB—Premium Bonus Calculation Criteria Segment	12-81
6.20	BC—Billing Copies Segment	12-83
6.21	BD—Band Limits	12-85
	Fields Unique to this Segment	12-85
6.22	BE—Bonus Earnings	12-86
	Fields Unique to this Segment	12-87
6.23	BI—Billable Premium Solve Segment	12-91
6.24	BK—Commission Chargebacks Segment	12-94
	Chargeback Processing Overview	12-95
	H1—Partial Surrenders Chargeback Controls Segment	12-102
	H2—Full Surrenders Chargeback Controls Segment	12-103
	H3—Death Claim Chargeback Controls Segment	12-104
	H4—Lapse Chargeback Controls Segment (Traditional Only)	12-105
	H5—Forced Annuity Distributions Chargeback Controls Segment	12-106
	H6—Recurring Withdrawals Chargeback Controls Segment	12-107
	H7—Partial Annuitizations Chargeback Controls Segment	12-108
	H8—Full Annuitization Chargeback Controls Segment	12-109
6.25	BL—Billable Policy Fee	12-110

	Fields Unique to this Segment	12-111
6.26	BN—Bonus Rules and Rates Segment.....	12-112
6.27	BO—Bailout Provision Segment.....	12-120
6.28	BP—Billable Premium Segment	12-122
	Fields Unique to this Segment	12-123
	Table Extra Data	12-126
6.29	BS—Billing Setup Segment	12-129
	Override Grace Period by Mode and Form	12-136
6.30	BU—Indexed Interest Bonus.....	12-137
	Indexed Interest Bonus Field Definitions	12-138
	Method 0—Index Ratio	12-145
	Method 1—Index Interval	12-146
	Method 2—Index Interest Appreciation	12-147
	Method 3—Index Fund Appreciation	12-150
6.31	C0—Confirmation Setup Segment	12-151
6.32	C1—Interest Bearing Account Segment.....	12-155
	Fields Unique to this Segment	12-156
6.33	C2—Interest Bearing Account Segment.....	12-158
	Fields Unique to this Segment	12-159
6.34	C3—Interest Bearing Account Segment.....	12-160
6.35	C4—Interest Bearing Account Segment.....	12-161
6.36	CA—Calendar Based Statement Segment.....	12-163
6.37	CC—Commissions Segment	12-165
6.38	CD—Claim System Detail.....	12-167
	Benefit Codes	12-171
	Calculation Rule—Clone	12-174
6.39	CE—Collection Setup.....	12-177
6.40	CF—Commissions By Fund.....	12-180
	Commission by Fund Processing Notes	12-180
6.41	CI—Current COI Inflation Rate	12-188
6.42	CM—Commission Class Rule Segment.....	12-190
6.43	CN—Collection Limits.....	12-203
6.44	CO—COLI Rates Segment.....	12-206
6.45	CP—Target Premium Factors Segment.....	12-207
	Fields Unique to this Segment	12-208
6.46	CR—Commission Rates Segment	12-210
6.47	CU—Confirmation/Correspondence Setup Segment	12-213
6.48	CV—Cash Values Segment.....	12-215
	Fields Unique to this Segment	12-216
	Cash Values Calculation Window Fields	12-216
6.49	CW—Production Bonus Credit Information Segment.....	12-220
6.50	CX—Commissions on Maturity Transfers Segment.....	12-222
6.51	D3—Dividend Type By Option.....	12-225
6.52	DA—Fund Allocation Criteria	12-229
6.53	DB—Death Benefits Segment.....	12-233
	Fields Unique to this Segment	12-234
	DB—Death Benefit Segment Processing Notes	12-236

6.54	DC—Automatic Decrease Rules Segment.....	12-237
6.55	DD—Dividend Assumption Segment.....	12-239
6.56	DE—Dividend Option Edits	12-242
6.57	DF—Deficiency Val Prens Segment.....	12-245
	Fields Unique to this Segment	12-246
6.58	DG—Deduction Allocation Rules	12-249
6.59	DH—Deferred Charges Account	12-251
6.60	DI—Direct Recognition of Loans	12-253
6.61	DJ—Dividend Expense Adjustment Segment	12-255
6.62	DK—Deferred Charges Rate Segment.....	12-256
6.63	DL—Dollar Cost Average Fee.....	12-257
6.64	DN—Dividends, Non Premium Paying Segment.....	12-258
	Fields Unique to this Segment	12-259
6.65	DO—Dividend Option Setup Segment	12-261
6.66	DP—Deposit History Rules Segment	12-266
6.67	DR—Deficiency Reserves Segment	12-268
	Fields Unique to this Segment	12-270
6.68	DS—Premium Fund Destination Segment	12-272
6.69	DT—Variable Deduct	12-274
6.70	DU—Deferred Charges Annual Reduction.....	12-275
6.71	DV—Dividends Segment.....	12-276
	Fields Unique to this Segment	12-277
6.72	DY—Declared Yield Rates.....	12-279
6.73	EC—Excluded Commissions.....	12-280
	EC—Excluded Commission Segment—Clone	12-281
6.74	EG—Extended No Lapse Guarantee.....	12-284
	Concurrent No Lapse Guarantee and Death Benefit Guarantee Processing	12-287
6.75	EI—Generic EIA Segment.....	12-289
	Final Annualized Index Rate Formula	12-295
6.76	EM—Guaranteed Mortality	12-302
	EM Segment Processing Notes	12-302
6.77	EN—Non Premium Paying.....	12-306
6.78	EO—Commissions Excess Only Segment.....	12-307
6.79	ET—Extended Term/Reduced Paid Up Segment	12-308
6.80	EV—EPR Dividends.....	12-312
6.81	EW—Early Withdrawal	12-313
6.82	EX—Interest Exclusion Segment.....	12-315
6.83	F0—Fund Package Segment	12-318
6.84	FC—Fund Contract Rules Segment.....	12-320
	Mid-Month Premium Valuations	12-336
	Determining Values for a Product with Market-Valued Funds	12-337
6.85	FL—Loan Fund Package Rules Segment	12-340
6.86	FM—Miscellaneous Information Segment.....	12-345
6.87	FN—Commutation Rules.....	12-348
6.88	FQ—Feature Questions Segment.....	12-351
	Feature Selections Screen	12-352

Feature Segment Substitution List	12-353
6.89 FR—Fund Rule ID Segment.....	12-355
State Approval Window	12-360
Annual M&E Charges	12-362
Fund Type Comparison of LifePRO® Functionality	12-363
6.90 FS—Deduction Rules Segment	12-367
6.91 FU—Pre-Defined Follow Ups.....	12-371
6.92 FW—Free Withdrawal Segment.....	12-373
Fields Unique to this Segment	12-373
6.93 FX—Feature Control Segment	12-380
Feature Control Values Screen	12-382
6.94 G1—Guaranteed Interest Rate Segment.....	12-389
6.95 G2—Guaranteed Percentage of Premium Load	12-390
Fields Unique to this Segment	12-391
6.96 G3—Guaranteed Per 1000 of Face	12-394
Fields Unique to this Segment	12-395
6.97 GA—Misc Reserve Factors	12-397
6.98 GB—GAAP Benefit Reserves.....	12-398
Fields Unique to this Segment	12-399
6.99 GD—GAAP DAC Premiums Segment	12-401
Fields Unique to this Segment	12-401
6.100 GE—GAAP DAC Reserves	12-404
Fields Unique to this Segment	12-405
6.101 GF—Guaranteed Monthly Policy Fee	12-407
Fields Unique to this Segment	12-408
6.102 GG—UL Guar Min Premium Segment.....	12-411
Fields Unique to this Segment	12-412
6.103 GI—Guaranteed COI	12-414
6.104 GM—Guaranteed Index Margin Rate Segment	12-416
6.105 GN—GAAP Benefit Premiums Segment.....	12-418
6.106 GP—Guaranteed Premiums Segment.....	12-421
Fields Unique to this Segment	12-422
6.107 GS—Guar NSP Purchase Rates.....	12-425
6.108 GT—Guar OYT Purchase Rates.....	12-426
6.109 GW—Guaranteed Withdrawal Benefit.....	12-427
6.110 GY—Guaranteed Years	12-431
6.111 HR—Health Claims Reinsurance Segment	12-432
6.112 HW—High-Water Mark for U2 Load Segment	12-434
6.113 II—Indexed Interest Rate File.....	12-437
6.114 IA—SPIA Annuity Transfer	12-439
6.115 IB—Interest Bearing Account Rate Segment.....	12-440
6.116 ID—Discount Rate Crediting Segment	12-442
6.117 IE—Issue Edits	12-443
6.118 IG—Guaranteed Accumulation Rate Segment.....	12-445
6.119 IM—Index Margin Rate Segment	12-446
6.120 IO—Claims Benefit Inflation Override Information Segment	12-448
6.121 IP—NAIC Proposal Assumption.....	12-450

Life Insurance Illustration Model Regulation Summary	12-450
6.122 IR—Inflation Rider Segment	12-454
IR—Inflation Rider Processing Notes	12-455
6.123 J1—Certificate Charge Segment	12-465
6.124 JA—Joint Equal Age Conversion Segment	12-466
6.125 JC—Joint COI Rate Rules Segment	12-467
6.126 JE—Joint Equal Age Adjustment Segment	12-470
6.127 JT—Joint Equal Age	12-471
Table Extra Data	12-473
6.128 K1—Keyword Segment	12-475
6.129 KD—Key Definition Segment	12-477
KD—Key Definition Setup Notes	12-478
Key Definition Selections	12-479
Extended Key Descriptions	12-480
Minimum/Maximum Issue Age Extended Key Selection	12-481
6.130 KW—Keyword Segment	12-483
6.131 L0—Letter Type Segment	12-484
6.132 LA—Calendar Dividend Processing	12-503
6.133 LC—Loan Impairment Interest Crediting Segment	12-504
6.134 LD—Letter Definition Segment	12-507
6.135 LE—NLG and Policy Change Segment	12-511
6.136 LK—Letter Key Definitions Segment	12-513
6.137 LL—Level Premium Factors	12-514
6.138 LM—Living/Maturity Benefit Segment	12-516
6.139 LN—Loan Interest Rates Segment	12-522
Special Class and Non-Collateralized Loans	12-530
6.140 LP—Lapse Control	12-536
Policy Level No Lapse Guarantee Period	12-549
6.141 LS—Lump Sum Factors	12-550
6.142 LT—Tiered No Lapse Guarantee	12-552
6.143 LV—Calendar Dividend Segment	12-555
6.144 (M-)—Minimum Segment	12-558
6.145 (M+)—Maximum Segment	12-560
6.146 M1, M2, M3, and M4—Miscellaneous Segments	12-562
M1—Miscellaneous Segments	12-562
M2—Miscellaneous Segments	12-563
M3—Miscellaneous Segments	12-564
M4—Miscellaneous Segments	12-565
6.147 MA—Market Value Adjust Segment	12-566
6.148 MB—Minimum Billing Amounts	12-571
6.149 MC—Current Monthly Income Factors	12-573
6.150 MD—Required Minimum Distribution	12-574
Adjusted Benefit Value Calculation	12-577
6.151 ME—Mortality and Expense Charges Segment	12-582
6.152 MF—Common Modifier/Rerate Segment	12-584
6.153 MG—Guaranteed Monthly Income Factors	12-585
6.154 MI—Minimum Bonus Rate Segment	12-586

6.155 ML—Maximum Loan Rules	12-587
6.156 MM—Minimum/Maximum Segment.....	12-590
6.157 MN—Minimum Billable Premium Segment.....	12-594
6.158 MO—Annual M&E Charge Segment.....	12-595
6.159 MP—Minimum Premium Factors Segment	12-596
Fields Unique to this Segment	12-597
Table Extra Data	12-599
6.160 MR—MPR COI Rate Rules Segment	12-603
6.161 MS—Rates Modified By State Segment	12-607
6.162 MT—Fund Maturity Rules Segment	12-609
6.163 MV—Alternate Minimum Cash Value.....	12-611
6.164 MW—Maximum Waiver Premiums	12-613
Table Extra Data	12-615
6.165 MX—Maximum Bonus Rate Segment.....	12-619
6.166 N0—New Business Auto Issue Process	12-620
6.167 NB—New Business Defaults.....	12-624
6.168 NC—Net Premium Credited Segment.....	12-634
Calculation Rules Window	12-635
NC—Net Premium Crediting Segment Processing Notes	12-638
Quoting Off Anniversary	12-639
6.169 ND—Addl Div, Non Prem Pay Segment	12-640
Fields Unique to this Segment	12-641
6.170 NF—Non-Forfeiture Factors	12-642
6.171 NL—Notify Messages Segment.....	12-643
6.172 NN—Non-Deduction Reserve Segment.....	12-644
Calculation Rules Window	12-646
6.173 NO—Non Forfeiture Rules Segment.....	12-650
6.174 NP—Net Valuation Premiums Segment.....	12-662
Fields Unique to this Segment	12-663
6.175 NR—NAR Calculation Method.....	12-665
6.176 NS—NSP Purchase Rates.....	12-670
Table Extra Data	12-671
6.177 NT—Notify Messages Segment	12-672
6.178 O0—Benefit Add Question Setup	12-676
6.179 OC—Free Out Surrender Charge Rules	12-678
6.180 OL—Transfer Out Limits	12-681
6.181 OP—7702 Override Premium Segment	12-688
Fields Unique to this Segment	12-689
6.182 OT—Paid Up Term Rates.....	12-691
Table Extra Data	12-692
6.183 P1—Premium Load Fee By Trans Code Segment	12-695
6.184 P2—Premium Load Pct By Trans Code Segment.....	12-697
6.185 PA—Variable Perchg.....	12-699
6.186 PB—Paid Marketing Credits	12-700
6.187 PC—UL Premium Change Segment	12-701
6.188 PD—Policy Delivery Follow Up.....	12-703
6.189 PF—Policy Fees Segment	12-704

6.190 PI—Pour In	12-706
Pour-in Riders Processing Notes	12-708
6.191 PJ—Prearrangement Options Segment	12-710
6.192 PK—Prearrangement Factors Segment.....	12-712
6.193 PL—Special Class Loan Rules	12-713
Non Collateralized Loan Notes	12-718
6.194 PN—Non-Ded Valuation Prem Segment.....	12-719
Fields Unique to this Segment	12-719
6.195 PO—Money Purchase Option Segment.....	12-722
6.196 PR—Premium Segment	12-725
Fields Unique to this Segment	12-726
Mode Rules Substitution	12-733
Table Extra Data	12-733
Extended Key Definition	12-737
KD—Key Definition Segment Notes	12-738
Key Definition Base Rate Setup	12-739
Defining Guarantee Periods by State	12-747
Defining Base Rates	12-750
Defining Modifiers	12-751
Key Definition Base Rate Modifiers	12-752
Modifiers—Set Key Definition Rates	12-756
Rerates	12-757
Key Definition Rerates Screen	12-758
State Approval	12-762
Coding Rerate Rates	12-763
Deleting Rerate Rates	12-764
Math Function Display Window	12-766
6.197 PS—Premium Refund.....	12-768
6.198 PT—Paid-Up Term Control	12-770
PT Keywords	12-776
6.199 PV—Valid Purchase Days Segment	12-782
6.200 PW—Production Bonus Limit And Payment Percent	12-786
6.201 PX—Paid Contest Credits.....	12-788
6.202 PY—Commissions Prior Year Segment	12-789
6.203 PZ—Participation Rate Segment	12-790
6.204 Q0—Q9—Collection Minimum Limits	12-791
6.205 QC—Set Up by Tax Qualification Code Segment.....	12-793
6.206 QD—Question Definition	12-795
6.207 QL—Limits by Tax Qualification Code	12-796
6.208 QQ—Collection Minimum Limit Conversion Roth IRA	12-799
6.209 QR—Qualified COI Rules Segment	12-800
6.210 QS—Collection Minimum Limit Simple IRA	12-802
6.211 QT—Collection Minimum Limit Contributory Roth IRA.....	12-803
6.212 QW—Qualified Withdrawal	12-804
6.213 QX—Interview Question Pre-Defined Responses Segment.....	12-806
6.214 R0—Reinsurance By Treaty	12-807
6.215 RA—Alternate Minimum Premium Required Period.....	12-809

6.216 RB—Auto Portfolio Rebalancing Fee	12-811
6.217 RC—Rerate Correspondence	12-812
RC—Rerate Correspondence Processing Notes	12-815
6.218 RD—Endowment, Deposit Return Segment	12-816
Fields Unique to this Segment	12-817
6.219 RE—Retention Limits File	12-818
6.220 RF—Multiple Insured Rider Factor	12-822
6.221 RG—Guaranteed Table Rating	12-823
6.222 RH—Current Table Rating	12-824
6.223 RI—Reserve Interest Rates Criteria	12-825
6.224 RL—Fund Rollover Segment	12-826
6.225 RM—Replenishment Rates Segment	12-828
6.226 RN—Premium Recalculation Rules	12-831
6.227 RO—Rollover Rates To Bucket	12-834
6.228 RP—Reins Valuation Premiums	12-835
Fields Unique to this Segment	12-835
6.229 RQ—RQUE Sequence Segment	12-838
6.230 RR—Reins Reserve Factors Segment	12-840
Fields Unique to this Segment	12-841
6.231 RS—CARVM Reserves	12-843
6.232 RT—CRVM Tax Reserve	12-844
6.233 RU—Age Rate-up Table	12-848
6.234 RV—Reserve Factors	12-849
Fields Unique to this Segment	12-850
Cash Values Calculation Window Fields	12-851
6.235 RW—Calculate Minimum Contract Value Segment	12-855
6.236 RX—UL Reserve Method Segment	12-858
6.237 S0—Fund Package Segment	12-862
6.238 SA—Full Surrender Amortization Segment	12-863
6.239 SB—Submit Marketing Credits	12-864
6.240 SC—Full Surrender Controls Segment	12-865
6.241 SD—Spec Amt Decrease Deduct	12-873
6.242 SE—Shadow Benefit Use Segment ID Segment	12-876
6.243 SF—Free Surrender Segment	12-878
6.244 SG—Source/Type Rates and Rules Segment	12-884
Source Era Definition Screen	12-886
Segment Variance Screen	12-890
6.245 SH—Shadow Benefit ID Segment	12-911
6.246 SL—Full Surrender Load Segment	12-913
Fields Unique to this Segment	12-914
6.247 SQ—Systematic Request Rules Segment	12-919
6.248 SR—Full Surrender Segment	12-923
Segments Accessed from the SR Segment	12-924
6.249 SS—Surcharge Premium	12-930
6.250 ST—Substandard Table Ratings	12-931
6.251 SU—Shadow Benefit Use Segment	12-932
SU Segment—Clone	12-933

6.252 SV—Valid Sources Segment	12-936
6.253 SX—Submit Contest Credits	12-937
6.254 SY—Shadow Benefit Edit Segment	12-938
6.255 TA—Traditional TAMRA Rules Segment	12-940
6.256 TB—Tabular Guar, Death Benefits.....	12-948
6.257 TC—CARVM Tax Reserves Segment	12-949
6.258 TD—Terminal Dividends	12-950
Fields Unique to this Segment	12-951
6.259 TF—Fund Transfer Fee.....	12-952
6.260 TL—Transfer In Limits.....	12-954
6.261 TN—Trend Factors Segment	12-956
6.262 TP—Tax Valuation Premiums	12-959
Fields Unique to this Segment	12-959
Table Extra Data	12-961
6.263 TR—Treaty Selection File	12-965
Single Reinsurer	12-967
Multiple Reinsurers	12-968
6.264 TS—Source/Type Record Rules Segment	12-969
6.265 TX—Tax Reserve Factors.....	12-972
Fields Unique to this Segment	12-973
Cash Values Calculation Window Fields	12-974
Table Extra Data	12-977
6.266 U1—Premium Collection Expenses/Fees Segment	12-981
Fields Unique to this Segment	12-982
6.267 U2—Premium Collection Expenses Segment.....	12-983
Fields Unique to this Segment	12-984
6.268 U3—Per Thousand Expense Load Segment	12-988
Fields Unique to this Segment	12-989
6.269 U4—Rate Amortization Segment	12-992
Fields Unique to this Segment	12-993
6.270 U5—Guaranteed COI Rates Segment.....	12-994
Fields Unique to this Segment	12-995
6.271 U6—Current COI Rates Segment.....	12-996
Fields Unique to this Segment	12-997
6.272 U7—Full Surrender Load/Fees Segment	12-998
Fields Unique to this Segment	12-999
6.273 U8—Full Surrender Load/Percentages Segment	12-1000
Fields Unique to this Segment	12-1001
6.274 U9—Full Surrender Exclusion/Amounts Segment.....	12-1002
Fields Unique to this Segment	12-1003
6.275 UA—Full Surrender Exclusion/Percents Segment	12-1004
Fields Unique to this Segment	12-1005
6.276 UB—Partial Surrender Load/Fees Segment.....	12-1006
Fields Unique to this Segment	12-1007
6.277 UC—Partial Surrender Load/Percentages Segment.....	12-1008
Fields Unique to this Segment	12-1009
6.278 UD—Partial Surrender Exclusion/Amounts Segment	12-1010

Fields Unique to this Segment	12-1011
6.279 UE—Partial Surrender Exclusion/Percents Segment	12-1012
Fields Unique to this Segment	12-1013
6.280 UF—Per Policy Monthly Expense	12-1014
Fields Unique to this Segment	12-1015
6.281 UG—Universal Life Minimum Premium Segment.....	12-1018
Fields Unique to this Segment	12-1019
6.282 UH—Universal Life Target Premium Rates Segment.....	12-1021
Fields Unique to this Segment	12-1022
6.283 UI—Monthiversary Control Segment.....	12-1023
6.284 UJ—Specified Amt Increase Load—Fee Per \$1000 Segment	12-1029
Fields Unique to this Segment	12-1030
6.285 UK—Specified Amount Increase Load/Percent Segment	12-1031
Fields Unique to this Segment	12-1032
6.286 UL—Universal Life Corridor Segment	12-1033
Fields Unique to this Segment	12-1034
6.287 UM—Universal Life Waiver of Premium Rates Segment	12-1036
6.288 UT—Per Fund Expense Segment.....	12-1041
6.289 UU—Exception Processing Minimum Premium	12-1046
6.290 UW—Exception Processing Target Premium	12-1048
6.291 UX—Minimum Premium Assembly Rules Segment.....	12-1050
6.292 UY—Target Premium Assembly Rules Segment	12-1058
6.293 UZ—Guideline Premium Rules Segment.....	12-1066
6.294 V0—New Business Question Setup	12-1073
6.295 VA—Vanish Adjustments	12-1075
6.296 VI—Variable Illustration Assumptions	12-1076
6.297 VL—Annuity Minimum Values Segment.....	12-1078
Guaranteed Minimum Death Benefits (GMDB)	12-1079
Guaranteed Minimum Accumulation Benefits (GMAB)	12-1089
Guaranteed Minimum Income Benefits (GMIB)	12-1095
6.298 VN—Vanish Rules	12-1101
6.299 VP—Variable Policy Fee.....	12-1104
6.300 VR—CARVM Valuation Segment	12-1105
6.301 VU—Annuity Death Benefit Values Segment	12-1107
6.302 W1—Special Waiver Premium Segment.....	12-1110
Fields Unique to this Segment	12-1111
Table Extra Data	12-1112
6.303 W2—Special Waiver Premium Segment.....	12-1116
Fields Unique to this Segment	12-1117
Table Extra Data	12-1118
6.304 WA—Net Single Rates Segment.....	12-1122
Table Extra Data	12-1123
6.305 WC—Partial Withdrawal Control Segment	12-1124
6.306 WD—Partial Withdrawal Segment.....	12-1135
6.307 WE—Flat Extra Factors/NS—NSP Purchase Rates.....	12-1140
6.308 WL—Partial Withdrawal Load Segment.....	12-1141
6.309 WM—Window Maturity Rules Segment	12-1145

6.310 WN—Fund Split Accum Windows Segment.....	12-1148
6.311 XA—Assumed Accumulation Rates Segment.....	12-1149
6.312 XC—Coterminous Rules Segment.....	12-1151
6.313 XE—Eligible Premium Increase Rate Segment.....	12-1154
6.314 XG—Death Benefit Guarantee Rules Segment	12-1155
6.315 XI—Increment Indexation Rules Segment	12-1162
6.316 XL—Lifetime Basis Increase Rate Segment.....	12-1164
6.317 XM—Indexing Methods and Rules Segment	12-1165
6.318 XN—Non-coterminous Rules Segment.....	12-1169
6.319 XV—External Index Segment.....	12-1171
6.320 YP—Death Computations Segment.....	12-1172
YP—Death Computations Segment Processing Notes	12-1174
6.321 YS—California Yield Index.....	12-1176
Monthiversary or ULPro Products using the YS Segment Notes	12-1177
6.322 Z0—Index Start Value Segment	12-1178
6.323 Z1—Index End Value Segment	12-1182
6.324 Z2—Interim Participation Rate Segment.....	12-1183
Declared Interest Rate Substitution	12-1184
6.325 Z3—Final Participation Rate Segment	12-1186
Declared Interest Rate Substitution	12-1187
6.326 Z4—Interim Bonus Participation Rate Segment.....	12-1189
6.327 Z5—Final Bonus Participation Rate Segment	12-1190
6.328 Z6—Interim Vesting Factor Segment	12-1191
6.329 Z7—Final Vesting Factor Segment.....	12-1192
6.330 Z8—Interim Cap Segment	12-1193
6.331 Z9—Final Cap Segment.....	12-1194
6.332 ZA—Interim Floor Segment	12-1195
6.333 ZB—Final Floor Segment.....	12-1196
6.334 ZC—Final Spread Factor Segment	12-1197
6.335 ZD—State Minimum Participation Segment	12-1198
6.336 ZE—Interim Spread Factor Segment.....	12-1201
6.337 ZP—Zip Code Modifier/Rerate	12-1202
6.338 ZX—New Business Credits Segment	12-1204
Calculation of New Business Credits for Traditional Policies and Riders	12-1207
Calculation of New Business Credits for Universal Life Policies	12-1207
Calculation of New Business Credits for Specified Amount Increases	12-1208
Chapter 7 Immediate Annuity Segments	12-1211
7.1 SPIA Calculation for Quotes.....	12-1213
7.2 SPIA Calculation Rules for Valuation	12-1214
7.3 PP—Premium Load Segment.....	12-1215
7.4 IN—Pricing Interest Rates	12-1216
7.5 SM—Mortality Statutory Valuation.....	12-1219
7.6 TM—Mortality Tax Valuation.....	12-1220

7.7	PM—Mortality Pricing	12-1221
7.8	NI—New Business Defaults	12-1222
7.9	IS—Statutory Reserve Interest Rates.....	12-1227
7.10	IT—Tax Reserve Interest Rates.....	12-1230
7.11	SP—SPIA Surrender Rules	12-1233

Section 13 Product System History

Chapter 1	Product System History	13-3
1.1	Product History Notes.....	13-7

Section 14 Fund Information

Chapter 1	Fund Rules	14-5
-----------	------------------	------

Chapter 2	Fund Subtypes	14-22
2.1	Fund Subtypes—Add.....	14-24
2.2	Fund Subtype—Update.....	14-24
2.3	Fund Subtype—Delete.....	14-24

SECTION 1 PRODUCT INTRODUCTION

Chapter 1	Defining a New Product	1-4
------------------	-------------------------------------	------------

Chapter 2	Product Setup Flow	1-5
2.1	Product Setup Steps	1-7

[This page intentionally left blank.]

Section 1 Product Introduction

The LifePRO® Product System is used to define products for different lines of business.

- Traditional life insurance
- Universal life insurance
- Annuities
- Health insurance
- Single premium immediate annuities

The Product System provides design flexibility by allowing benefits to be shared across products. Controlling rules, factors, and rates can also be shared across coverages.

In addition to providing the basic support for the lines of business listed above, special features facilitate rapid development of new products.

- Coverages can be cloned.
- Trace routines are available for quick product testing.
- A product testing utility is available.
- A test to production transfer utility is available.
- Illustrations are run using the same product setup used for issuing policies.

Chapter 1 Defining a New Product

Six areas of the Product System are the major building blocks for defining a new product.

- **Product Record**

The Product Record itself contains only the most basic information about a product, such as the line of business and product name. More detailed information about the product is linked to the Product Record by using the other options listed below.

- **Component Records**

The Component Record acts as a link between the Product File and the Coverage File. Through the Component File, a coverage can be linked to a product, or even multiple products. Component File rules can be used to define how a coverage is used when it is linked to a specific product.

- **Coverage Records**

A Coverage Record is set up for each benefit available. These include base benefits, other riders, and supplemental benefits. The Coverage Record contains detailed information about the benefit, such as underwriting classes, minimum and maximum issue ages, premium and benefit duration, and the type of coverage (base benefit, rider, or both).

- **Segments**

Segments define the detailed features of a Coverage Record. The segments available can vary by line of business. In general, segments are the pointers to the Rate File, or to rules related to the product. For example, rate type segments provide rate pointers for items such as premium rates, death benefits, and dividends. Rule type segments include commission segments which define commission rules for a coverage, and reinsurance segments which define if reinsurance is applicable, and if so, rules for retention and treaty selection.

- **Rates and Factors**

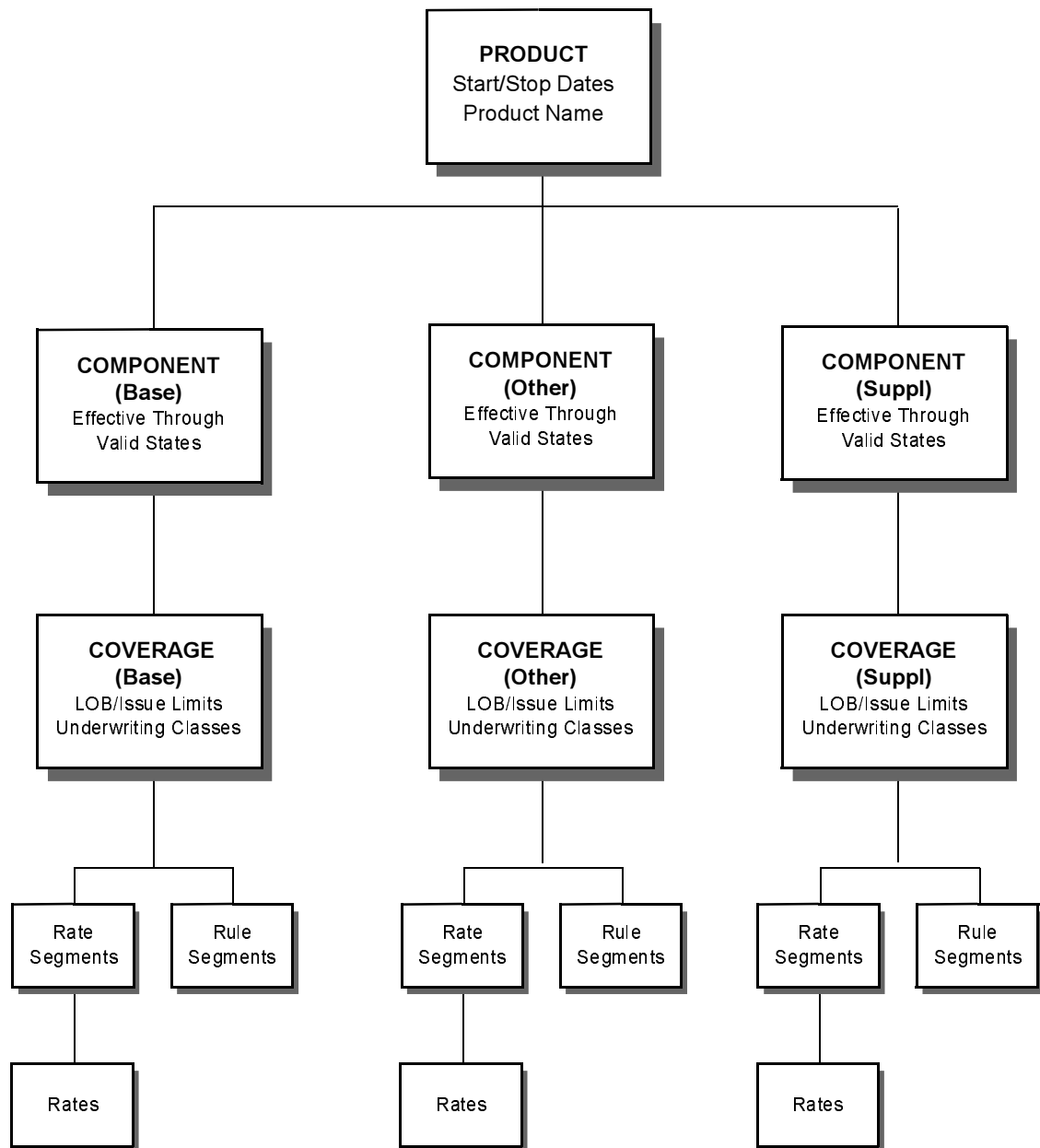
The Rates and Factors Menu is used to define the actual rates for a product. In most cases, a segment acts as a pointer to a specific Rate File Record. There are a variety of rate types, but in general, rates can be coded in the Attained Age Rate File, Age and Duration Rate File, and Declared Interest Rate File. Clone and math functions allow for quick definition and manipulation of rates.

- **State Control File**

The State Control File serves a variety of functions. One of the main functions, however, is designating the states in which a product is valid. Note that if doing business outside of the United States, this option also supports the designation of valid products for a country.

Chapter 2 Product Setup Flow

In this example, three coverages are linked to a product via the Component File. This product has three components, a base component, other rider component, and supplemental component.



Note that the majority of information related to a benefit is set up on the Coverage Record and the respective drop down segments which define a coverage. The Component File serves as the link between the various coverages and the product.

Any of the coverages could be linked to multiple products. In addition, drop down segments can be shared across coverages.

2.1 Product Setup Steps

The flowchart on the previous page shows a sample of how the Product File, Component File, Coverage File, Segments, and Rate Files are used to form a product. The following list is the most likely order of events when setting up a new product.

1. The Coverage Records are set up.
2. Segments are defined for each Coverage Record.
3. Rates and Factors Files are built.
4. The Product File is defined.
5. Coverage Records are linked to the Product File via the Component File.
6. The State Control File is set up.

[This page intentionally left blank.]

SECTION 2 PRODUCT FILE

Chapter 1	Product File Screen	2-4
1.1	Product Cross Reference.....	2-6
1.2	Product File Record Maintenance.....	2-7
	Product File Record—Add	2-7
	Product File Record—View	2-7
	Product File Record—Update	2-7

Chapter 2	Product History	2-8
------------------	------------------------------	------------

[This page intentionally left blank.]

Section 2 Product File

The Product File contains basic information about a product, such as the product name, issue dates, and the line of business. Specific coverages are linked to a product through the Component File in order to create a product.

Product File

Product ID: ART >>

Line of Business: Traditional

Market Name: ANNUAL RENEWABLE TERM

New Business Description: ANNUAL RENEWABLE TERM

Number of Components: 7

Is Cloning Allowed for this Product: Yes

Allow Coverage to Vary by Tax Qualification Code: No

Start Date: 01/01/1980

End Date: 01/01/2090

Buttons: Component, Notes, Add, Delete, OK, Cancel

To access the Product File from the Product System Main Menu select **Products**. The Product File screen is displayed.

Chapter 1 Product File Screen

Product File

Product ID: ART >>

Line of Business: Traditional

Market Name: ANNUAL RENEWABLE TERM

New Business Description: ANNUAL RENEWABLE TERM

Number of Components: 7

Is Cloning Allowed for this Product: Yes

Allow Coverage to Vary by Tax Qualification Code: No

Start Date: 01/01/1980

End Date: 01/01/2090

Buttons: Component, Notes, Add, Delete, OK, Cancel

The following table contains descriptions of the Product File fields.

Field	Description
Product ID	The product identifier is displayed in this field. Products are selected by product ID in Policy Add. This identifier is input in the Product field on the Component screen when adding the components. Click >> from this field to display a cross reference list of existing Product File Records.
Line of Business	L—Traditional U—Universal H—Health A—Annuity I—Immediate Annuity

Field	Description
Market Name	The product's market name is entered in this field. This field is user defined, 40 characters, and can contain alphanumeric characters or symbols.
New Business Description	Input the product name as it will appear on the New Business product ID cross reference list when the product ID is selected. This field is user defined and accepts up to 40 alphanumeric characters or symbols.
Number of Components	As components are attached to the product, this field is updated by the system. This field cannot be manually updated.
Is Cloning Allowed for this Product	Y—Yes Policies issued with this product ID can be cloned. N—No Policies with this product ID cannot be cloned.
Allow Coverage to Vary by Tax Qualification Code	This field determines if multiple base coverages are available for the same product, varying by the tax qualification code. Y—Yes Coverages can vary by the tax qualification code. The Qual Code field and the Sub Type field on the Component File screen can be updated to the appropriate tax qualification code and type. N—No Coverages cannot vary by tax qualification code. The Qual Code field on the Component File screen defaults to @ when this option is selected and cannot be changed. In addition, the Sub Type field on the Component File screen defaults to 001 and cannot be changed. This is the default. NOTE This field is not available for the I—Immediate Annuity line of business. When Immediate Annuity is selected in the Line of Business field, the Allow Coverage to Vary by Tax Qualification Code field is set to No and cannot be changed.
Start Date	The starting date when this product can be issued is displayed in this field. If the issue date of a policy is prior to this date, the product is not available for selection in Policy Add.
End Date	The last date that this product can be issued is displayed in this field. If the issue date of a policy is after this date, the product is not available for selection in Policy Add.

1.1 Product Cross Reference

A cross reference list of existing product records can be displayed by clicking >> from the Product ID field. The Product Cross Reference screen displays all Product File Records that have been set up in the system, beginning with the Product ID that was entered on the Product File screen.

Product	LOB	Market Name
UL1	U	Universal Life I MAV
UL1-B	U	Universal Life - Basis Test
UL2	U	Universal Life II MDV
ULCT	U	ULCT
ULDUMMYTST	U	UL DUMMY X-REF SEGMENT TEST
ULFA	U	UL - Fatemeh Allen
ULJ 80-40	U	Joint Universal Life - NMB
ULMDV	U	UNIVERSAL LIFE MODEAVERSARY
ULMTH	U	UNIVERSAL LIFE MONTHAVERSARY
ULRMF	U	Variable UL
ULTIMATEF	U	Ultimate Life
VABCG	A	Varann BCG
VAI	A	VARIABLE ANNUITY
VANN	A	Variable Annuity
VARIABLE1	U	VARIABLE UNIVERSAL LIFE

Click **Next** and **Previous** to move through the cross reference list. Use the up and down arrow keys to move within the Product Cross Reference screen. To select one of the records displayed, click on the desired record. The Product File Record selected is displayed.

To exit the Product Cross Reference screen without selecting a record click **Cancel**.

1.2 Product File Record Maintenance

Product File records can be viewed, added, updated, and deleted.

Product File Record—Add

Complete the following steps to add a Product File Record.

1. From the Product File screen input the product ID and click **OK**. The message *Record Not Found. F7 For A Cross Reference* is displayed if this product ID has not previously been set up.
2. Click **Add** and complete the Product File fields.
3. Click **OK** to save the record or click **Cancel** to exit without saving.

Product File Record—View

Complete the following steps to view a Product File Record that already exists.

1. From the Product File screen input the product ID of the product to view in the Product ID field or click >> from the Product ID field to select a product from the cross reference list.
2. Click **OK** to display the record.

Product File Record—Update

Complete the following steps to update a Product File Record.

1. From the Product File screen input the product ID of the product to update in the Product ID field and click **OK**. Or, click >> from the Product ID field to select a product from the cross reference list. The remaining fields on the screen are completed.
2. Press **F10**. All fields except the Product ID field can be updated.
3. Make the desired changes.
4. Click **OK** to save the changes or click **Cancel** to exit without saving.

Chapter 2 Product History

History records for a Product File can be displayed for a selected product. This option is only available if the Keep Product History field for the default company (00) on the Management Options screen is **Yes**.

Complete the following steps to view the product history for a Product File.

1. From the Product System Menu select **Products**. The Product File screen is displayed.
2. Input the product ID of the product to view in the Product ID field or click >> from the Product ID field to select a product from the cross-reference list. The Product File screen is displayed.

The screenshot displays the 'Product File' window. It contains the following fields and controls:

- Product ID:** A text box containing 'FPDAON2003' and a '>>' button.
- Line of Business:** A dropdown menu showing 'Annuity'.
- Market Name:** A text box containing 'FPDA OLD\$/NEW FOR MOD TESTING'.
- New Business Description:** A text box containing 'FPDA OLD\$/NEW FOR MOD TESTING'.
- Number of Components:** A text box containing '0'.
- Is Cloning Allowed for this Product:** A dropdown menu showing 'Yes'.
- Allow Coverage to Vary by Tax Qualification Code:** A dropdown menu showing 'No'.
- Start Date:** A text box containing '01/01/1990'.
- End Date:** A text box containing '12/31/2099'.
- Buttons:** A vertical stack of buttons on the right: 'Component', 'Notes', 'Add', 'Delete', 'OK', and 'Cancel'.

At the bottom of the window, the status bar reads: 'Version: I3.W0 Snapshot: 0.900 Date: 00/04/1999 Client ID: 0929'. Below the window, the text 'History Record Display' is visible.

3. Press **Alt+H**. The most recent Product History Record is displayed with the message *History Record Display* at the bottom of the screen.

NOTE: The display does not indicate in any way which fields were changed, so careful inspection of the screen may be required to detect the values which were changed.

4. Press **Page Up** and **Page Down** to view additional History Records for this product.

NOTE: When the most recent History Record is displayed, the message *No Further History* is displayed at the bottom of the screen. When the first History Record is displayed, the message *No Previous History* is displayed at the bottom of the screen.

5. Click **Cancel** to exit Product History.

Complete the following steps to view the Coder ID and Change Date window for the most recent change to a Product File.

1. From the Product System Menu select **Products**. The Product File screen is displayed.
2. Input the product ID of the product to view in the Product ID field or click **>>** from the Product ID field to select a product from the cross reference list. The Product File screen is displayed.
3. Press **Alt+L**. The coder ID, date, and time of the last change to this product record is displayed.



The screenshot shows a window titled "Product File". Inside the window, there are three fields: "Coder ID" with the value "KGE", "Date" with the value "01/05/2006", and "Time" with the value "10:33:01.95". To the right of these fields are two buttons: "OK" and "Cancel".

[This page intentionally left blank.]

SECTION 3 COMPONENT FILE

Chapter 1	Component File Introduction	3-2
1.1	Component File Features	3-3
1.2	Component File Setup Notes	3-3
1.3	Component Types	3-4

Chapter 2	Component File Maintenance	3-12
2.1	Component File—Add	3-12
2.2	Component File—View	3-12
2.3	Component File—Update	3-13
2.4	Component File—Clone	3-13
2.5	Component File Cross Reference	3-14

Chapter 3	Component File Screen	3-15
3.1	Prohibit Issue In This State	3-29
3.2	Inspection Tables	3-32
	Base Only	3-32
	Split By Benefit	3-33
3.3	Issue Limits by Age and Minimum and Maximum Amount	3-34
3.4	Issue Limits by Amount and Underwriting Class	3-35
	Issue Limits by Underwriting Class Notification Window	3-36
3.5	Issue Limits by Age and Tax Qualification Code	3-37
	Issue Limits by Age and Tax Qualification Code Notification Window	3-39
3.6	Maximum Table Ratings for Riders	3-40

Chapter 4	Component History	3-42
------------------	--------------------------------	-------------

Chapter 1 Component File Introduction

The Component File acts as a link between the Product File and the Coverage Record and is used to build a product. The Component File information is only used at issue. After a policy is issued, the Coverage Record controls processing.

To add a Component File, the product must already exist in the Product File. The coverages used to build the product must also have been previously added. A cross reference list of existing products can be displayed by clicking >> from the Product field.

The Component File is accessed from the Product System Menu by selecting **Components**.

After a product has been created in the Product File, a record exists containing the following information.

- Name of product ■ Description
- Line of business ■ Start date
- Market name ■ End date

1.1 Component File Features

- Coverages can be tied to multiple products through the Component File.
- The coverage selected can be varied according to the issue state and issue date. For example, assume that New York state regulations require that a coverage is modified. A Component File is set up to point to the modified Coverage Record for New York, and another Component File is used to point to a coverage for all other states.
- The coverage selected can also be varied according to the tax qualification code.
- More restrictive issue limits can be defined on the Component File than limits designated on the Coverage Record.

1.2 Component File Setup Notes

- A Product File must be defined before setting up the Component File.
- The component for the base coverage must be 001. Components for additional riders can then be added sequentially.
- Multiple records with the same component number can be added for different states and effective dates.
- Each component must be assigned a component type which is used to categorize types of benefits. The Component File allows the coverages selected to be varied by issue state and an effective date of issue.

1.3 Component Types

Component Types are used to categorize types of benefits. The table below describes each Component Type available.

Component Type	Description
AD—Accidental Death Benefit	The AD Component Type indicates that the benefit is an Accidental Death Benefit rider. This type of component triggers Accidental Death Benefit functionality when processing a Death Claim for a policy with an Accidental Death Benefit. Processing a death claim is a two-step process in LifePRO®. The first step is the initial Death Quote process that places the policy in a Suspended - Death Pending status. The death benefit for the AD Component Type rider is displayed in the Accidental Death Benefit field on the Quotes screen when the initial death quote is processed. The Accidental Death Benefit is also included in the total Death Benefit displayed in the ENS message generated by the system when the initial death quote is processed. The second step is to actually process and pay the death claim. When there is an AD Component Type rider present on a policy and the death claim is processed through the second step, an additional window is displayed to determine if the death of the insured was accidental. If the response is Yes, the Death Benefit for the AD Component Type rider is included in the total death benefit.
AR—Annuity Rider Benefit	The AR Component Type indicates that the benefit is an Annuity Rider. The Coverage Record attached for riders of this type should be coded with Line of Business A—Annuity.
BA—Traditional Base	The BA Component Type indicates that the benefit is the base benefit for products with Line of Business L—Traditional, H—Health, or I—Immediate Annuity. The Component Sequence 01 must have a Component Type of BA—Traditional Base or BF—UL Base, depending on the line of business. If the Component Type selected for Component Sequence 01 is not BA or BF, the error message <i>Invalid Base Component Type</i> is displayed. In addition, the Component Types of BA—Traditional Base and BF—UL Base are only valid for Component Sequence 01. If either of these Component Types is selected for a Component Sequence that is not 01, the error message <i>Base Benefit Must Be First Component</i> is displayed.

Component Type	Description
BF—UL Base	The BF Component Type indicates that the benefit is the base benefit for products with Line of Business U—Universal Life or A—Annuity. The Component Sequence 01 must have a Component Type of BA—Traditional Base or BF—UL Base, depending on the line of business. If the Component Type selected for Component Sequence 01 is not BA or BF, the error message <i>Invalid Base Component Type</i> is displayed. In addition, the Component Types of BA—Traditional Base and BF—UL Base are only valid for Component Sequence 01. If either of these Component Types is selected for a Component Sequence that is not 01, the error message <i>Base Benefit Must Be First Component</i> is displayed.
CR—Child Rider	The CR Component Type indicates that the benefit is for a <i>blanket</i> Child Benefit rider. A blanket rider may insure several individuals who are not specifically tied to the benefit. Typically when issuing a Child Benefit rider through Policy Add or Benefit Add, the primary insured on the policy is assigned as the insured on the benefit and not a specifically covered child. This type of component triggers additional functionality when processing a Death Claim for a policy with a Child rider. If an active rider with a CR Component Type is present on a policy and the death claim process is initiated for the policy, a Child Rider option is displayed, but not for a specific insured. If the Child Rider option is selected for processing, a window is displayed when the death claim is processed for the payment to determine if the Child Benefit rider should be terminated as a result of the death claim since the benefit may cover more than one insured. If Yes is selected, the Child Rider is terminated after processing the death claim. If No is selected, the Child Rider remains active after processing the death claim. If an insured needs to be specifically tied to a benefit, the OR—Other Rider Component Type should be used.

Component Type	Description
DI—Disability Income Rider	The DI Component Type is used to define a waiver of planned premium benefit for a universal life contract. Note that the Waiver of Premium functionality for Universal Life contracts is driven by the UM—Universal Life Waiver of Premium Segment on the base coverage. The Process DI benefit as Waiver of Premium or No processing field on the UM Segment determines if DI type benefits are processed as Waiver of Premium. The Disability Income rider itself is defined with Line of Business L—Traditional on the Coverage Record. Note that in order to define a benefit that provides waiver of planned premium for a universal life contract, the Value Type field on the Component File and the Values Represent field on the Coverage Record should be set to Premium. The Value per Unit field should be set to 1. When issuing the benefit in Policy Add or Benefit Add, the annual premium amount to be waived is set as the benefit amount for the DI benefit.
FR—Family Rider	The FR Component Type indicates that the benefit is for a <i>blanket</i> Family Benefit rider. A blanket rider may insure several individuals who are not specifically tied to the benefit. Typically when issuing a Family Benefit rider through Policy Add or Benefit Add, the primary insured on the policy is assigned as the insured on the benefit and not a specifically covered family member. This type of component triggers additional functionality when processing a Death Claim for a policy with a Family rider. If an active rider with a FR Component Type is present on a policy and the death claim process is initiated for the policy, a Family Rider option is displayed, but not for a specific insured. If the Family Rider option is selected for processing, a window is displayed when the death claim is processed for the payment to determine if the Family Benefit rider should be terminated as a result of the death claim since the benefit may cover more than one insured. If Yes is selected, the Family Rider is terminated after processing the death claim. If No is selected, the Family Rider remains active after processing the death claim. If an insured needs to be specifically tied to a benefit, the OR—Other Rider Component Type should be used.
GB—Guaranteed Benefit	The GB Component Type is only available for line of business A—Annuity. It is used when the benefits are defined on the LM—Living /Maturity Segment.

Component Type	Description
GI—Guaranteed Insurability	The GI Component Type indicates that the rider is a Guaranteed Insurability benefit. Typically, this type of rider provides customer notifications at pre-defined intervals to alert them when additional coverage options become available. Notifications of this type are defined using the NT—Notify Messages Segment.
GR—Guaranteed Rider	The GR Component Type is only available for riders defined in conjunction with optional minimum benefits on the VL—Annuity Minimum Values Segment of the base component. Refer to Section 12, 6.297—VL—Annuity Minimum Values Segment on page 12-1078 in this book for more information.
GW—Guaranteed Withdrawal	The GW Component Type is only available for line of business A—Annuity. It is used for benefits defined using the GW—Guaranteed Withdrawal Benefit Segment to guarantee a minimum withdrawal amount on a policy.
HR—Health Rider	The HR Component Type is only used for line of business H—Health. The cost associated with this rider is defined on the PR—Premium Segment and is processed as a deduction from the account value of the base benefit.
IR—Inflation Rider	The IR Component Type is used for Inflation Rider benefits. Refer to Section 12, 6.122—IR—Inflation Rider Segment on page 12-454 in this book for additional information.
IT—Insured Term Rider	The IT Component Type is only for the primary insured. The term benefit is included in the corridor test based on the guideline premium laws. The current death benefit displayed on the BF benefit includes the BF benefit and the SP benefit, if the base coverage is not allocated. If the base benefit is allocated, the current death benefit displayed on the BF benefit includes the BF benefit, the SP benefit, and the IT benefit. The online annual statement includes the BF benefit, the SP benefit, and the IT benefit for both allocated and non-allocated coverages. Any adjustments to the IT rider by the definition of a DB Segment is taken into consideration.
OC—Other Combined Rate	The OC Component Type allows for a term rider on a universal life plan to be included in the banding calculation for Cost of Insurance rates. If a term rider is defined as an OR Type Component, the face amount of the OR Component does not impact banding for determination of the Cost of Insurance. When a term rider is defined as an OC Component Type, the OC benefit is combined with the base face amount for purposes of determining the Cost of Insurance rates.

Component Type	Description
OR—Other Rider	The OR Component Type is a miscellaneous component type that can be used for a variety of type of benefits. An Other Insured rider that covers a specific insured, such as a Spouse Rider, would typically be set up using the OR Component Type.
PB—Peel Back Rider	The PB Component Type is used to support a specific type of riders applicable only to universal life plans. The Peel Back rider is issued in an amount so that its value plus the value of the base benefit equals a <i>target</i> amount of coverage. If the base universal life benefit goes into Corridor, the base benefit face amount is increased by the amount equal to the fund times a factor. In this case, the increase to the face is taken from the rider face amount.
PI—Pour-In Rider	The PI Component Type applies only to a traditional coverage attached to a base universal life plan. The PI—Pour In Control Segment determines pour in premium rules. Using the PI Segment, contributions can be limited to a percentage of face amount.
PJ—Payor Joint Waiver	The rules for the PJ Component Type are defined in the Payor Waiver section of the UM—Waiver of Premium Segment. The UM Segment is used for universal life coverages.
PP—Paid Up Purchase Agreement	The PP Component Type is used to define a Paid-Up Purchase Agreement benefit. When a PP Component Type rider is attached to a policy in Policy Add or Benefit Add, additional fields are displayed to indicate the initial amount of <i>dump in</i> premium added to the policy. There are two fields on the New Business Premium Information screen related to PP Component Type riders. The PUA Purchase Premium field indicates a periodic dump in amount that is billed to the policy owner. The PUA Purchase Dump In field records a single premium dump in payment. The PP Restrictions field on the Component File determines if dump in payments, recurring payments, or both are allowed for a specific PP Component Type rider. Refer to Section 12, 6.198—PT—Paid-Up Term Control on page 12-770 in this book for additional information.
PS—Payor Single Waiver	The rules for the PS Component Type are defined in the Payor Waiver section of the UM—Waiver of Premium Segment. The UM Segment is used for universal life coverages.

Component Type	Description
PT—Paid Up Term Rider	The PT Component Type is used to define a Paid Up Term Rider in which a given face amount is separated into a paid up portion and term portion at each anniversary. There are two fields on the New Business Premium Information screen related to PT Component Type riders. The Paid-Up Term Premium field records the modal premium amount to apply as paid up term insurance. The Paid-Up Term Dump In field records an additional lump sum premium. Refer to Section 12, 6.198—PT—Paid-Up Term Control on page 12-770 in this book for additional information.
S1—Surcharge Type 1	The S1 Component Type is only available for line of business H—Health. The premium for the S1 Component Type rider is calculated as a percentage of the rest of the bill. If all three surcharge component types are present (S1, S2, and SC/SR), the SC/SR is applied last. The logic used to calculate the surcharge rider premium is described below. 1. The system determines the billed amount for all benefits except S1, S2, and SC/SR. If the S1 is present, the system calls for its rate and multiplies it by the total of all of the other pieces. This value is the bill amount for the S1. Add this amount to the rest of the bill. 2. Repeat Step 1 for the S2 benefit, if present. 3. Next, proceed as usual for the SC/SR bill amount. NOTE By having the S1 and S2, there is a prescribed ordering of the computations. If the S2 is issued without the S1, and the S1 is later added, the S1 is processed ahead of the S2, resulting in an increase of the S2 amount. NOTE SC/SR, S1, and S2 Processing—The surcharge calculations are rounded to the nearest cent, not truncated (like rounding rule 12); however, the programs do not actually read the coverage rounding rule. It is hard coded in the program to round these portions of the premium in that manner, regardless of how the coverage is coded.

Component Type	Description
S2—Surcharge Type 2	The S2 Component Type is only available for line of business H—Health. The premium for the S2 Component Type rider is calculated as a percentage of the rest of the bill. If all three surcharge component types are present (S1, S2, and SC/SR), the SC/SR is applied last. The logic used to calculate the surcharge rider premium is described below. 1. The system determines the billed amount for all benefits except S1, S2, and SC/SR. If the S1 is present, the system calls for its rate and multiplies it by the total of all of the other pieces. This value is the bill amount for the S1. Add this amount to the rest of the bill. 2. Repeat Step 1 for the S2 benefit, if present. 3. Next, proceed as usual for the SC/SR bill amount. NOTE By having the S1 and S2, there is a prescribed ordering of the computations. If the S2 is issued without the S1, and the S1 is later added, the S1 is processed ahead of the S2, resulting in an increase of the S2 amount. NOTE SC/SR, S1, and S2 Processing—The surcharge calculations are rounded to the nearest cent, not truncated (like rounding rule 12); however, the programs do not actually read the coverage rounding rule. It is hard coded in the program to round these portions of the premium in that manner, regardless of how the coverage is coded.
SB—Shadow Benefit	The SB Component Type is only available for line of business A—Annuity. It may only be used for components numbered 2 and higher. If a coverage is attached to a product using the SB Component Type, the benefit is considered to be mandatory and is systematically added during New Business processing when the base benefit is selected. A maximum of nine components may be defined as SB—Shadow Benefits for a single product. The Allow As Shadow Coverage field on the Coverage Record must be set to Yes in order to attach it to a product using the SB Component Type.
SC—Surcharge Rider	This option is only available for line of business H—Health.
SP—UL Specified Amount Increase	The SP Component Type indicates that the benefit is for a Specified Amount Increase on a universal life policy. When a Specified Amount Increase is processed for a policy, the SP Benefit Type is systematically added to the policy.

Component Type	Description
SR—Surcharge Rider Before Fees	The SR Component Type is only available for line of business H—Health. This component type applies a factor to the premium before any policy fees are added to the policy. On the Coverage Record for the surcharge rider, the Max Multiple Insureds field must be set to 1 . This ensures that the surcharge factor is only applied once. The Rate Rounding Rule field on the PR—Premium Segment must be set to 12 so the surcharge premium amount is calculated consistently between billing and anniversary processing.
SW—Survivorship Waiver	The SW Component Type supports a Survivorship Waiver of Monthly Deductions rider for joint universal life plans.
UL—UL Rider	The UL Component Type indicates that the benefit is a Single Premium Universal Life rider. This Component Type was designed for use with the allocated coverage feature.
UT—UL Term Rider	The UT Component Type was designed for insured term riders on universal life plans. The face amount for a UT Component Type is added to the base face amount to determine the total policy death benefit. The total death benefit is also used in corridor and U3 load calculations. Cost of Insurance deduction charges are also calculated for the total Net Amount at Risk using base COI rates and adjusted for any difference in rates between the base benefit and the UT Component.
WP—Waiver of Premium	For lines of business L—Traditional and H—Health, the presence of a WP Component Type identifies a waiver of premium benefit. An active WP Component Type must be attached to a policy in order to place the policy on waiver of premium with a status of Hold Billing—Waiver Disability. For line of business U—Universal Life, the waiver of premium functionality is controlled using the UM—Segment from the base benefit coverage. The UM Segment can be used to waive expenses or the minimum premium for a universal life plan with a WP Component Type rider. The Benefit fields on the UM Segment determine if monthly deductions are waived or if the larger of the monthly deductions or monthly premium is waived.

Chapter 2 Component File Maintenance

2.1 Component File—Add

Complete the following steps to add a new component.

1. Upon accessing the Component File screen, complete the top line of information. Refer to the next page for a description of the fields.
2. Click **OK** to access the record. The message *Record Not Found* is displayed at the bottom of the screen.
3. Press **F8**. Complete the Component File screen fields as described in the following pages.
4. After completing the Component File screen, click **OK** to save the record or click **Cancel** to exit without saving.

2.2 Component File—View

Complete the following steps to view an existing Component File.

1. From the Component File screen input the product ID of the product for which to view the components and click **OK**. Click **>>** to select a product ID from a cross reference list. The first component for the product selected is displayed.

NOTE: To view a specific Component Record, input the component number in the Component field and click **OK**. The component selected for the product is displayed.

2. Click **Next** and **Previous** to move through the Component Records for the product.

2.3 Component File—Update

Complete the following steps to update an existing Component File.

1. From the Component File screen input the product ID of the product for which to update a Component Record and click **OK**. Click **>>** to select a product ID from a cross reference list. The first component for the product selected is displayed.

NOTE: To update a specific Component Record, input the component number in the Component field and click **OK**. The component selected for the product is displayed.

2. Press **F10** and make the desired changes.
3. Click **OK** to save the changes or click **Cancel** to exit without saving.

2.4 Component File—Clone

An existing Component File can be cloned if the same Component Number is used. If the Component Number field for the cloned Component File should be changed, a new record must be added and the clone cannot be processed. The State, Qual Code, Sub Type, and Effective Thru fields can be changed to clone the existing Component File.

1. From the Component File screen input the product ID of the product for which to clone the Component File and click **OK**. Or, click **>>** to select a product ID from a cross reference list.
2. Change the State, Qual Code, Sub Type, or Effective Thru field or a combination of the fields and press **Alt+F9**. The cursor moves to the lower portion of the screen.
3. Make the desired changes.
4. Click **OK** to save the new Component File.

2.5 Component File Cross Reference

A cross reference list of Component File Records can be accessed by clicking >> from the Product or Component fields on the Component File screen.

Components Cross Reference							
Product ID	Cmp#	End Date	Coverage ID	Type	ST	Tax Qual Code	Sub Type
PARwL	001	99/99/9999	PARwL	BA			001
PARwL	002	01/01/1980	DISINC	DI			001
PARwL	003	99/99/9999	WP	WP			001
PARwL	004	99/99/9999	SR	OR			001
PARwL	005	99/99/9999	ANNRIDER	AR			001
PARwL	006	99/99/9999	CR	CR			001
PARwL	007	99/99/9999	ADB	AD			001
PARwL	008	99/99/9999	INFL RIDR	IR			001
PARwL	009	99/99/9999	ARTRIDER	OR			001

Click **Next** and **Previous** to move through the pages of the Components Cross Reference screen.

To select a component click on the desired component to access. To exit the Component Cross Reference screen without selecting a component, click **Cancel**.

Chapter 3 Component File Screen

Product Component File

Product >> Component >> State >> Qual Code >> Sub Type >> Effective Thru >>

Coverage ID >> ANNUAL RENEWABLE TERM Mandatory

Component/IR Sub Type / Prohibit Issue in this State

Parent Component Gender Print ID Card

Maximum Number Allowed Inspection Tables ☐ Inforce Req

Rating Table ☐ ULPRO ☐ Force Rating ☐ Policy Add ☐ Ben Add/SP Inc ☐ Ben Chg

New Business Credit Default Issue Amount Absolute Amount ☐ % Pcnt of Base

Copy Default Extend Key App Fee Refundable Override

Auto Issue ID Base Rate on Comm Prem

Count in Total Inforce Max # of Annuitants Max # of Payees ☐

UL Rdr Fnd ID Min # of Annuitants Min # of Payees ☐

Premium Cap Ranking Rating Premium Limits Apply

Allow Payment Activation and Override Issue Date PP Restrictions

Benefit Add Restrictions

Overrides of Coverage File

Issue Age Limits Min Max Value Type

Min Issue Amount

Max Issue Amount

Through Age

Components Necessary for Issue ☐ ☐ ☐ ☐ ☐ ☐ ☐ ☐ ☐ ☐

Mutually Exclusive Components ☐ ☐ ☐ ☐ ☐ ☐ ☐ ☐ ☐ ☐

List Options...
Notes
Coverage
Next
Previous
OK
Cancel

The following table contains descriptions of the Component File fields.

Field	Description
Product	The product ID to which this component is attached is displayed in this field. The product must have previously been set up in the Product File.
Component	The component number is displayed in this field. The base component must be 001. Additional riders can then be added in any order.

Field	Description
State	This field can be used to point to a specific coverage based on the issue state of the policy. In addition, a default record can be specified for all states without a state specific record. As a result, there can be multiple component records with the same sequence number. For example, there could be a component number 002 for CA—California. In addition, there could be a component 002 for state @@—which indicates all states. Input the issue state to which this component applies, or @@ for all states. For a cross reference list of states, click >> . Click on the desired state to select.
Qual Code	This field is used to point to a specific coverage based on the qualification code. The tax qualification code can be selected from the cross reference list by clicking >> from the field. A default record can be specified for all tax qualification codes by entering @ in this field. This is the default for the field. More than one coverage record can be defined for each tax qualification code. If more than one coverage is available for a tax qualification code, the Sub Type field is used to define the multiple coverages. NOTE If the allow Coverage to Vary by Tax Qualification Code field on the Product File screen is set to No, this field cannot be accessed.
Sub Type	This field is used to further define the coverage to use when the coverage selection varies based on the tax qualification code. This allows more than one base coverage to be defined for a tax qualification code. Valid values are 001 through 999. The default is 001. NOTE If the allow Coverage to Vary by Tax Qualification Code field on the Product File screen is set to No, this field cannot be accessed.
Effective Thru	The date through which the component listed is effective is displayed in this field. If component information varies by policy issue date, multiple records can be set up using the same product, component, and state, but different effective through dates. For example, assume one record is effective through 1/1/2007, and a second record is effective through 1/1/2099. A policy issued on 1/2/2007 and later points to the alternate component record.
Coverage ID	The coverage ID being linked to the product is displayed in this field. The coverage must already exist in the Coverage File. Click >> for a cross reference list of coverages. Click on the desired coverage.

Field	Description
Mandatory	This selection can be used to systematically pull a component into Policy Add when the base component is selected. If the component listed is the base component (Sequence 001), Base is systematically displayed in this field and the field cannot be updated. Y—Yes The component listed is mandatory, and is systematically selected in Policy Add when the product is selected. N—No The component is not mandatory, and is not systematically selected in Policy Add. D—Dependent The component listed is systematically selected in Policy Add or Benefit Add if all components included in the Components Necessary For Issue field are selected. The component is attached to the last component listed in the Components Necessary for Issue field. B—Base The component listed is the base component for the product.
Component Type	Refer to 1.3—Component Types on page 3-4 in this book for detailed descriptions for each Component Type. AD—Accidental Death Benefit AR—Annuity Rider BA—Traditional Base BF—UL Base CR—Child Rider DI—Disability Income Rider FR—Family Rider GB—Guaranteed Benefit GI—Guaranteed Insurability GR—Guaranteed Rider GW—Guaranteed Withdrawal HR—Health Rider IR—Inflation Rider IT—Insured Term Rider OC—Other Rider—Combined Rate OR—Other Rider PB—Peel Back Rider PI—Pour-In Rider PJ—Payor Joint Waiver PP—Paid-Up Purchase Agreement PS—Payor Single Waiver PT—Paid-Up Term Rider

Field	Description
Component Type (continued)	S1—Surcharge Type 1 S2—Surcharge Type 2 SB—Shadow Benefit SC—Surcharge Rider After Fees SP—UL Specified Amount Increase SR—Surcharge Rider Before Fees SW—Survivorship Waiver UL—UL Rider UT—UL Term Rider WP—Waiver Of Premium
IR Sub Type	This field is used to support a unique product structure for a specific customer and should be left blank.
Parent Component	This field allows the default parent component to be defined on a Component File. This automatically ties riders to their parent sequence without having to enter the sequence number in New Business or Benefit Add. For example, this field could be used to tie a spouse waiver of premium benefit to a spouse rider component. As a result, in New Business or Benefit Add when the spouse rider is selected, the waiver component is systematically attached to the rider.
Maximum Number Allowed	The maximum number of components that can be issued per policy is displayed in this field. If the component is the base component, this field defaults to 1 and cannot be updated. Other components, such as a child rider can be added to the policy multiple times.
Rating Table	This field points to a table that defines the effect of a table rating code. For example, assume table code 02 indicates a 150% rating. The valid rating table value is determined by the table IDs set up using the Define Table Rating function within New Business. The rating table value selected in this field can be varied by component.
ULPRO	This field is only applicable to UL PRO clients.
Force Rating	This field determines if the rating for the base benefit is forced on each rider. Select Y—Yes for each rider on which the base benefit rating is forced. This field is not used by multiple insured coverages. Y—Yes The rating from the base benefit is forced on the rider. Since the rating is the same as the base benefit, the rating on the benefit cannot be updated in Validation. Select Yes on any Component File for riders that have the same rating as the base. N—No Each rider is rated individually. The ratings on the base benefit do not automatically apply to all riders. The Component File for the base benefit should always be set to No.

Field	Description
New Business Credit	If production credits are granted for the product based on a ZX—New Business Credits Segment, this field is used to define the Segment ID for the ZX Segment. To access the ZX Segment, position the cursor on the Segment ID and press F4. The ZX—New Business Credit Segment is defined at the component level, rather than from the segment list, to allow the new business credits to vary for the same coverage depending on the product to which it is attached. It also allows the ZX Segment to vary by issue date, based on the date defined in the Effective Thru field on the Component File Record. Refer to 6.338—ZX—New Business Credits Segment on page 12-1204 in this book for more information.
Copy Default Extend Key	This field allows extended key information defined on the base benefit to be used for all multiple insureds selected for all coverages on the policy. For example, assume a product is created that contains the same extended key information for several different coverages. By setting defaults, the same extended key information can be automatically selected instead of being manually selected for each benefit and multiple insured. Default extended key information is defined by pressing Alt+F9 from the Insured Name field on the Base Benefit line on the New Business Benefits screen in Policy Add. Refer to the New Business Book, Section 1, 3.14—Multiple Insureds on a Benefit—Add for information on using this feature during the Policy Add process. Y—Yes The following setup must occur in order to allow extended key information to default across selected coverages for each multiple insured added through Policy Add. The Copy Default Extend Key field must be set to Yes and the KD Segment ID for the selected coverages must have the same segment ID as the base coverage on a product. N—No Normal processing is used, without the capability of copying default extended key information to each insured.
Auto Issue ID	This field is only applicable to automatic underwriting. If automatic underwriting is applicable for a product, the field must be defined as Yes and contain the segment ID for the N0—New Business Auto Issue Process Segments for each coverage that allows auto underwriting. Press F4 to access the N0 Segment. Y—Yes Automatic underwriting is applicable. N—No Automatic underwriting is not applicable.

Field	Description
Count in Total Inforce	This field is used in total calculations for New Business. It allows the selection of specific components to be used in the total inforce calculation for multiple benefits of the same type. For example, a product may have multiple OR type riders. On the Define UW Total Inforce screen, assume the OR rider type has been flagged to be included in the total inforce calculation. This field allows for the contingency that there are certain OR riders that are not included. N—No This component is not included in the total inforce calculation. Y—Yes This component is included in the total inforce calculation. This is the default.
Policy Currency	This field contains the currency in which this product is issued. This field must be completed when multi-currency or cashing is used. It is recommended that the Policy Currency field is equal to the currency for the company code set up in Management Options for which this product is issued.
UL Rdr Fnd ID	This field allows a specific fund to be identified as the fund for a single premium UL rider benefit. The premium amount is input during New Business in the UL Rdr Pr field on the New Business Premium Information screen.
Premium Cap Ranking	These fields determine the order in which premiums are reduced, if a premium cap (or guaranteed premium cap) is defined and if the mode premium exceeds the premium cap (or guaranteed premium cap). Each field permits a three-digit numeric value. The default is 000. The premium cap rankings for all applicable benefits, for both ratings and premiums, should not overlap. The lower the number, the earlier that rating or premium is reduced, in the event that the overall premiums exceed the premium cap. Rating This field determines the order in which the rating premium is reduced. Premium This field determines the order in which the base premium for the component is reduced. NOTE The premium cap ranking fields only apply to traditional products where the 1P—Premium Cap Segment is defined. For riders with a Component Type of OR—Other Rider, the 1P Segment is defined on the base benefit.

Field	Description
Allow Payment Activation and Override Issue Date	This field determines if policies issued using this Component record are activated when the initial premium payment is applied. As a result, the issue date selected when the policy was added is overridden and the new issue date is the effective date of the initial premium payment. It is important to note that the effective date of the initial premium payment must be later than the original issue date selected in order for the issue date to be changed based on the date of the initial premium payment. This field is only available for BF type components. For any other component types, this field defaults to No and cannot be changed. Y—Yes When the initial premium payment for a policy is applied, the policy status is changed to Active and the issue date of the policy is changed to the effective date of the initial premium payment. In addition, the dates on the corresponding Deposit Allocation records, Increment records, and Accounting records are also changed to the effective date of the initial premium payment. If the issue date is changed because the payment effective date is later than the issue date, batch policy pages are generated when the initial premium payment is applied. If the payment effective date is equal to the issue date, batch policy pages are not generated when the initial premium payment is applied. N—No When the initial premium payment for a policy is applied, the policy status is changed to Active. The issue date remains the date selected when the policy was added. This is the default. NOTE This functionality is only applicable when the policy is Pending with a status of Ready For Issue and the premium is paid using the Manual Premium Payment screen, PAC processing, Manual Batch processing, or External Payment File processing. It is not available for policies issued using Batch New Business or Simplified New Business.
Benefit Add Restrictions	This field determines how a GB—Guaranteed Benefit Component type or GW—Guaranteed Withdrawal Component type can be added to a policy after the policy has been issued. N—None The GB component can be added at any time on the issue day. A—On Anniversary The GB component can only be added on the policy anniversary.

Field	Description
Prohibit Issue in this State	There are two ways to indicate if a component cannot be issued in a particular state. Method 1—The first method is used if there are only a few states that prohibit issuing the component. If a component is prohibited in a particular state, add an additional record using the same product and component IDs, but update the State field to reflect the prohibited state. Method 2—This method is used if there are several states that prohibit the issue of the component. The Component File is set up for all states (@@ in the State field). Select N—No in the Prohibit Issue in this State field. While the cursor is in this field, press Ctrl+F9. The State Selection screen is displayed. Select all invalid states then click Cancel. Y—Yes This component cannot be issued in the state listed. N—No This component is allowed in the state listed in the State field. Refer to Section 3, 3.1—Prohibit Issue In This State on page 3-29 in this book for more details on how to complete this field.
Gender	Input the gender of the insured when issuing the policy in this field. M—Male U—Unisex F—Female J—Joint B—Both E—Exact
Print ID Card	This field determines if ID cards can be generated when a policy is validated and issued. The ID card is designated to print on a preprinted form and contains the coverage ID, the policy number, and the name of the insured. Y—Yes During the Validation process, a prompt is displayed with the option of printing an ID card. N—No A prompt is not displayed during the Validation process and an ID card is not printed. A—Automatic A prompt is not displayed during the Validation process; however, an ID card is printed.

Field	Description
Inspection Tables	An Inspection Table or Underwriting Table acts as a pointer to a table of underwriting requirements. Underwriting Requirement Tables are defined in the New Business Subsystem using the Define Requirements function. A different table can be designated for Policy Add, Benefit Add and Specified Amount Increase, and Benefit Change. This field is defined on the Component File for the base component only. Subsequent components display the value selected for the base. B—Base Only The requirement tables designated on the base component are used for all components of this product. S—Split By Benefit The requirement tables must be designated for each individual component. Thus, different components could point to different table IDs. If there are no underwriting requirements associated with a specific component, leave the Inspection Table fields blank for that component. For each option, Policy Add, Benefit Add and Specified Amount Increase, and Benefit Change, a three digit table ID can be assigned, depending on the selection in the Base Only/Split by Benefit field. This field acts as a pointer to a table defined using the Define Requirements function. This allows different underwriting requirements to be used for the initial policy and a benefit change.
Inforce Req	An underwriting table can be assigned to allow requirements to be added to a policy contract. The inforce requirements must be set up on a medical requirements table with the severity code of F. The underwriting table is identified by the three digit table ID input in this field.

Field	Description
Default Issue Amount	If the component has a standard default issue amount, designate in this field if that amount is an absolute amount or a percent of the base component. Leave this field blank if there is no default issue amount. P—Percent If this option is selected, complete the Percent of Base field. The issue amount for this component is a percentage of the issue amount of the base component. A typical example is waiver of premium, where the issue amount equals the face amount of the base. To make the component exactly equal to the base, input the Percent of Base field as 100%. A—Absolute If this option is selected, complete the Absolute Amount field. The issue amount for this component equals the absolute amount selected. If this option is used, New Business forces the issue amount for this component and it cannot be updated. NOTE When the Premium Rate Calculation Rule field on the PR—Premium Segment is set to Percentage, W1 Segment, or W2 Segment, this field should be set to Absolute and the amount input should be 1.00.
App Fee	This field can be used to add a refundable or non-refundable application fee to a base coverage in New Business. If used, the application fee is a one time fee applied at issue. Any fee designated is listed on the Manual Premium Payment screen when accessed through Validation. The Manual Premium Payment screen provides the ability to shut off the application fee on a policy level through the Waive Fee field. Input the dollar amount of the fee in this field. This field is only accessible for base components. After designating a dollar amount, indicate the type of fee in the next field. N—Non-refundable When paid, non-refundable policy fees are recorded as a credit to transaction code 0141. The fee is not refunded if the policy is canceled using the Policy Cancel process. R—Refundable When paid, refundable policy fees are recorded as a credit to transaction code 0140. The fee is refunded to unapplied cash if the policy is canceled.

Field	Description
Override	This field can be used to override a refundable or non-refundable application fee on a base coverage in New Business. If used, the system allows the one time fee applied at issue to be overridden. The application fee is defined on the Component File screen in the Application Fee field and automatically displays the application fee amount in the Application Fee field on the Manual Premium Payment screen in Validation. Y—Yes The Application Fee field on the Manual Premium Payment screen in Validation can be overridden. The application fee amount entered in the Application Fee field on the Component screen is automatically displayed on the Manual Premium Payment screen and can be updated. The entire application fee can be waived by selecting Yes in the Waive Fee field on the Manual Premium Payment screen, or leaving the Application Fee field blank on the Manual Premium Payment screen. This field defaults to Yes, but can be changed, if a value is selected in the App Fee field. N—No Overrides are not allowed to the Application Fee field on the Manual Premium Payment screen in Validation. The application fee amount entered in the Application Fee field on the Component screen is automatically displayed on the Manual Premium Payment screen and cannot be updated. This field defaults to No and cannot be changed if the App Fee field is left blank. NOTE The entire application fee can be waived by selecting Yes in the Waive Fee field on the Manual Premium Payment screen.
Base Rate on Comm	This field provides the ability to base commission calculations on the issued, signed, or received application date as entered through the New Business Policy Dates and Agent Information screen. This field is used only with line of business H—Health policies and can only be accessed at the base policy level. This field overrides the Read Hier/Deal/Over/Adv by field in Agency Management Options, and defines the policy date option which the system uses to determine the Hierarchy and Deal Record for the calculation of commissions. The selected date is compared with the Start Date field on the Agent Hierarchy to determine the deal code to use. I—Issue Date S—Signed Date R—Received Date N—Not Applicable The system defaults to the setup defined in the Read Hier/Deal/Over/Adv by field in Agency Management Options.

Field	Description
Base Rate on Prem	This field defines the policy date option the system uses to determine the first year policy premium calculation. After the first year, the system bases premium calculations on the actual issue date. The system picks up rates which have an effective date prior to or equal to the selected option date. For example, assume Issue Date is selected in this field and the policy issue date is 01/01/2006. Also assume that there are two future rerates defined. Rerate1 has an effective date of 12/01/2005 and rerate 2 has an effective date of 01/15/2006. Rerate 1 is picked up at the time of issue; however, rerate 2 is not picked up until anniversary processing is run. This option is also used to define the policy date used to pick up the trend factor, if any, used in the calculation of the premium on a new policy. I—Issue Date This is the default. S— Signed Date R—Received Date N—Not Applicable
Max # of Annuitants	This field is only used for immediate annuities, line of business I. This field sets a cap for the maximum number of annuitants allowed. 01—One Annuitant Only 02—One Or Two Annuitants For example, if a joint annuitant situation is never allowed, this field is set to 01 to prevent issue with more than one annuitant.
Max # of Payees	This field is only used for immediate annuities, line of business I. This field sets a cap on the number of payees allowed. Valid values are 01 through 95. For example, if the product does not allow more than three payees, this field is set to 03, and the system does not allow coding of more than three payees in Immediate Annuity Add.
Min # of Annuitants	This field is only used for immediate annuities, line of business I. This field designates the minimum number of payees allowed. 01—One Annuitant Must 02—Two Annuitants Must “ —No Annuitants A Certain Only annuity is an example of a situation when no annuitants are required.

Field	Description
Min # of Payees	This field is only used for immediate annuities, line of business I. This field is used to designate a minimum number of payees that can be coded for an immediate annuity policy.
Limits Apply	This field defines if issue limits for an insured are determined by the underwriting class of the insured or by the underwriting class of the other insured. I—Insured Issue limits for an insured are determined by the underwriting class of the insured. J—Joint Issue limits for an insured are determined by the underwriting class of the other insured.
PP Restrictions	This field is applicable only if the Component Type is set to PP—Paid-Up Purchase Agreement. This field determines if a single payment or multiple payments can be applied to the PP rider. D—Dump In Only This option allows only single premium payments to be applied. This option uses transaction code 0127. R—Recurring Only This option allows multiple premium payments to be entered (transaction code 0110) but no single premium payments (transaction code 0127). If the 0127 transaction code is entered, the error message <i>PUAR/Var Dump-In Must Be Processed With 0110 Trans</i> is displayed. N—None This option has no premium restrictions.
The information in the Overrides of Coverage File section defaults to the selections made for the coverage ID listed. This information can be made more, but not less, restrictive than the coverage information.	
Issue Age Limits	The issue limits can be made more restrictive than the coverage default, and the default values can be overridden. <i>You may NOT expand the coverage defaults to make them less restrictive.</i> For example, if the Coverage Record states that issue ages can be from 15 to 65, the override could make it more restrictive by selecting 20 to 60. However, 0 through 80, which would be less restrictive, could not be selected. Valid values for this field are 0 - 200.
Value Type	In this field designate if the policy issue amount reflects a face amount, unit amount, or premium amount. F—Face U—Units P—Premium When this option is selected, the Min Issue Amount field defaults to blank and cannot be updated.

Field	Description
Min/Max Issue Amount	If the minimum and maximum issue ages vary according to the issue amount of the policy, these fields can be used to band the minimum and maximum issue ages by policy issue amount. For example, an issue amount could be limited between 5000 and 50000 for ages 0 - 20. The next limit could be a face amount of 10000 through 200000 for ages 21 - 99. NOTE If the Value Type field is set to Premium, the Min Issue Amount field defaults to blank and cannot be updated.
Through Age	This field works in conjunction with the Min/Max Issue Amount fields. The issue age through which the limits are applicable is designated in this field. Valid values for this field are 0 - 200.
Components Necessary For Issue	If there are certain components that must be present for a component to be issued, designate the component numbers in this field. Up to 10 components can be designated as necessary for issue. For example, if 2 is coded for component 3, the issue of component 3 is not allowed unless component 2 is also selected.
Mutually Exclusive Components	This field is used to designate components that cannot be present with this particular component. Up to 10 components can be designated as mutually exclusive components. For example, if 2 is coded for component 3, the issue of component 3 is not allowed if component 2 is also selected.

After completing the Component File screen information, click **OK** to save the information or **Cancel** to exit without saving.

3.1 Prohibit Issue In This State

There are two methods that can be used to indicate that a component cannot be issued in a specific state or states.

The first method uses a new Component File for each state in which the component cannot be issued. The second method uses only one Component File with the prohibited states defined.

Use the following process to designate a state in which the issue of the component is prohibited.

1. Access the Component File for which to designate a prohibited issue state.
2. Update the State field on the top line of the screen to reflect the prohibited state. Do not update the Product, Component, or Effective Thru fields.
3. Click **OK**. The message *Record Not Found* is displayed at the bottom of the screen.
4. Press **F8** to add the new Component File.
5. Complete the Coverage ID and Component Type fields. These fields match the values for the valid record.

6. Move the cursor to the Prohibit Issue This State field and select **Y—Yes**. After selecting **Yes**, the rest of the Component File fields are not accessible.
7. Click **OK** to save the record or **Cancel** to exit without saving.

Additional prohibited states can be designated by repeating this procedure.

The second method should be used when issuing is prohibited in several states. This method uses only one Component File with the invalid states designated.

Complete the following steps to prohibit issue in several states.

1. Access the Component File for which the states are prohibited.
2. Press **F10** and complete the Component File fields using the following rules.
 - The State field is @@ to default to all states.
 - The Prohibit Issue in this State field is **No**.
3. While the cursor is in the Prohibit Issue in this State field press **Ctrl+F9**. The Select State Code screen is displayed.

Select State Code

Select Invalid States For Component - UL1

☐ AL-ALABAMA	☐ AK-ALASKA	☐ AZ-ARIZONA
☐ AR-ARKANSAS	☐ CA-CALIFORNIA	☐ CO-COLORADO
☐ CT-CONNECTICUT	☐ DE-DELAWARE	☐ DC-DISTRICT OF COLUMBIA
☐ FL-FLORIDA	☐ GA-GEORGIA	☐ HI-HAWAII
☐ ID-IDAHO	☐ IL-ILLINOIS	☐ IN-INDIANA
☐ IA-IOWA	☐ KS-KANSAS	☐ KY-KENTUCKY
☐ LA-LOUISIANA	☐ ME-MAINE	☒ MD-MARYLAND
☐ MA-MASSACHUSETTS	☐ MI-MICHIGAN	☐ MN-MINNESOTA
☐ MS-MISSISSIPPI	☐ MO-MISSOURI	☐ MT-MONTANA
☐ NE-NEBRASKA	☐ NV-NEVADA	☐ NH-NEW HAMPSHIRE
☐ NJ-NEW JERSEY	☐ NM-NEW MEXICO	☐ NY-NEW YORK
☐ NC-NORTH CAROLINA	☐ ND-NORTH DAKOTA	☐ OH-OHIO
☐ OK-OKLAHOMA	☐ OR-OREGON	☐ PA-PENNSYLVANIA
☐ RI-RHODE ISLAND	☐ SC-SOUTH CAROLINA	☐ SD-SOUTH DAKOTA
☐ TN-TENNESSEE	☐ TX-TEXAS	☐ UT-UTAH
☐ VT-VERMONT	☐ VA-VIRGINIA	☐ WA-WASHINGTON
☐ WV-WEST VIRGINIA	☐ WI-WISCONSIN	☐ WY-WYOMING
		☐ XX-OTHER

(Pg 1)

4. Click the state if the component cannot be issued in the state. Repeat this process until all invalid states are selected.
5. Click **Cancel** to save the record and return to the Component File.

3.2 Inspection Tables

The Inspection Tables field is used to designate which set of underwriting requirement tables are connected to a particular component. Underwriting requirements can be designated for Policy Add, Benefit Add and Specified Amount Increase, and Benefit Change functions. The underwriting requirement tables are set up using the Define Requirements function accessed from the New Business Menu. Refer to the New Business Book, Section 9, 1.2—Underwriting Requirement Table—New for more information.

The screenshot shows the 'Product Component File' window. At the top, there are fields for Product (UL1), Component (1), State (@@), Qual Code (@), Sub Type (001), and Effective Thru (01/01/2099). Below this is the Coverage ID (UL1) and the component name (UNIVERSAL LIFE - MONTHAVERSARY). The Component/IR Sub Type is set to UL Base. The Parent Component is 1. The Maximum Number Allowed is 1. The Rating Table is 01 ULPRO. The New Business Credit is No. The Copy Default Extend Key is No. The Auto Issue ID is blank. The Count in Total Inforce is Yes. The UL Rdr Fnd ID is blank. The Premium Cap Ranking is Rating. The Allow Payment Activation and Override Issue Date is No. The Benefit Add Restrictions are None. The Overrides of Coverage File section includes Min (0), Max (70), and Value Type (Face). The Min Issue Amount is 5000, and the Max Issue Amount is 99999999. The Through Age is 70. There are two sections for Components Necessary for Issue and Mutually Exclusive Components, each with a row of checkboxes. On the right side, there are buttons for List Options..., Notes, Coverage, Next, Previous, OK, and Cancel.

The Inspection Tables field can be set to **Base Only** or **Split By Benefit**. Note that this field only needs to be completed for the base component. This field automatically defaults to the same value as the base for any attached components.

Base Only

If **Base Only** is selected, the requirement tables designated on the base component are used for all components of this product. After designating **Base Only**, input the table ID for each applicable underwriting requirement table in the Policy Add, Ben Add/SP Inc, and Ben Chg fields on the base component. If there are no underwriting requirements for a selection, leave the corresponding Table ID field blank. All attached components use the tables selected on the base component.

Split By Benefit

If **Split By Benefit** is selected, underwriting requirement tables for each component need to be designated. Designate the underwriting requirement table ID in the Policy Add, Ben Add/SP Inc, and Ben Chg fields for each component. If a component does not have underwriting requirements, leave the Table ID fields blank for that component.

3.3 Issue Limits by Age and Minimum and Maximum Amount

The Min/Max Issue Amount fields are used to designate a minimum and maximum issue amount range based on the age of the insured at issue.

The screenshot displays the 'Product Component File' window. At the top, there are fields for Product (UL1), Component (1), State (@@), Qual Code (@), Sub Type (001), and Effective Thru (01/01/2099). Below this, the Coverage ID is UL1, and the description is UNIVERSAL LIFE - MONTHAVERSARY. The Mandatory field is set to Base. The Component/IR Sub Type is UL Base. The Parent Component is 1. The Maximum Number Allowed is 1. The Rating Table is 01, ULPRO. The Force Rating is No. The New Business Credit is blank. The Copy Default Extend Key is No. The Auto Issue ID is blank. The Count in Total Inforce is Yes. The UL Rdr Fnd ID is blank. The Premium Cap Ranking is blank. The Allow Payment Activation and Override Issue Date is No. The Benefit Add Restrictions are None. The Overrides of Coverage File section shows Issue Age Limits with Min 0 and Max 70, and Value Type Face. The Min Issue Amount is 5000, and the Max Issue Amount is 99999999. The Through Age is 45. The Components Necessary for Issue and Mutually Exclusive Components sections are empty. The right side of the screen has buttons for List Options..., Notes, Coverage, Next, Previous, OK, and Cancel.

An issue amount range can be set up for each age selected in the Through Age field. Up to six issue limits can be set up. For example, in the setup displayed in the above screen, the minimum and maximum issue amount range for an insured age 65 or less is \$1,000—\$1,000,000. The minimum and maximum issue amount range for an insured greater than age 65 is \$1,000—\$100,000.

NOTE

The highest age in the Through Age field cannot exceed the age in the Max Issue Age Limit field. The valid values for the Through Age field are 0 - 200.

3.4 Issue Limits by Amount and Underwriting Class

Minimum and maximum issue limits can be defined based on the age of the insured at issue and by underwriting class. If the issue limits are designated by underwriting class, they cannot be input on the Component File screen.

If more than 5 underwriting classes are defined in the Number of Underwriting Classes field on the Coverage Record, the word More appears with a down arrow in the upper right corner. Click **Next** to view additional screens.

Enter Issue Limits By Underwriting Class Criteria							
Underwriting Issue Limits By Class Code							
UWCLS Class Code	1						
Min Issue Amount		5000	25000				
Max Issue Amount		100000	100000				
Through Age		45	65				
UWCLS Class Code	2						
Min Issue Amount							
Max Issue Amount							
Through Age							
UWCLS Class Code	3						
Min Issue Amount							
Max Issue Amount							
Through Age							
UWCLS Class Code	4						
Min Issue Amount							
Max Issue Amount							
Through Age							
UWCLS Class Code	5						
Min Issue Amount							
Max Issue Amount							
Through Age							

Complete the following steps to add issue limits for each underwriting class.

1. Access the Component File on which to designate limits by underwriting class.
2. Press **F5** to access the Underwriting Issue Limits by Class Code screen. Each of the underwriting class codes is pulled from the Coverage Record and displayed in a section.
3. Press **F10** to add the limits. Up to five issue limits can be designated for each underwriting class.

4. Input the minimum and maximum amount of face amount and the age to which these limits apply for each limit and underwriting class code. Valid values for the Through Age field are 0 - 200.
5. Click **OK** to save the limits or click **Cancel** to exit without saving.

Issue Limits by Underwriting Class Notification Window

If issue limits by underwriting class are defined for a product, a Tied To Component window is displayed when the Component File is accessed.

The screenshot shows the 'Product Component File' window. At the top, there are fields for Product (BONUS ACH), Component (1), State (@@), and Effective Thru (12/31/1999). Below these are fields for Coverage ID (BONUS ACH), SING F PREMIUM DEFERRED ANNUITY, and Mandatory (Base). A 'Select An Option' dialog box is open, showing two options: 'Tied To Component BONUS ACH' and 'Issue Limit By UWCLS'. The 'Issue Limit By UWCLS' option is selected. Below the dialog box, there are fields for 'Issue Age Limits' (Min 0, Max 99), 'Min Issue Amount', 'Max Issue Amount', and 'Through Age'. There are also checkboxes for 'Components Necessary for Issue' and 'Mutually Exclusive Components'. The main window contains various fields for product details, including Gender (Both), Print ID Card (No), Inspection Tables (Base Only), Policy Add, Ben Add/SP Inc, Ben Chg, Default Issue Amount (Absolute), Absolute Amount, % Pnt of Base, App Fee (Refundable), Override (No), Base Rate on Comm (Not Applicable), Prem (Not Applicable), Max # of Annuitants, Min # of Annuitants (No Annuitants), Min # of Payees, and Limits Apply (Insured). There are also fields for PP Restrictions (None) and a 'List Options...' button.

Complete the following steps to access the Issue Limits by Underwriting Class screen.

1. Position the cursor on the **Issue Limit By UWCLS** option.
2. Click **Detail** to access the issue limit by underwriting class or click **Cancel** to exit to the Component File.

Alternatively, from the Component File, press **F5** to access the minimum and maximum issue limit amounts by underwriting class.

3.5 Issue Limits by Age and Tax Qualification Code

Issue age limits by tax qualification code may be defined on the Component File screen. If the issue limits are designated by tax qualification code, they cannot be input on the Component File screen.

Issue Limits By Tax Qualification							
Issue Age Limits By Tax Qualification Code							
Tax Qualification	Allowed	Min	Max	Tax Qualification	Allowed	Min	Max
Not Qualified	No	0	0	HR10	No	0	0
TSA	Yes	25	70	IRA	Yes	25	70
SEP	No	0	0	Def Comp Non-Qualified	No	0	0
401(K)	Yes	25	70	Section 457	No	0	0
Defined Benefit	Yes	25	70	Defined Contribution	No	0	0
Simple IRA	No	0	0	Section 125	No	0	0
Conversion Roth IRA	No	0	0	Contributory Roth IRA	No	0	0

Issue age limits by tax qualification code may be defined at both the component level and the coverage level. The component level issue age limits by tax qualification code may be more restrictive than the coverage level issue age limits by tax qualification code, but not less restrictive. If issue age limits by tax qualification code are defined at both the component level and the coverage level, the component level limits override the coverage level limits. The valid values for the Min and Max Age Limit fields are 0 - 200.

Complete the following steps to add issue age limits by tax qualification code.

1. Access the Component File for which limits by tax qualification code are applied.
2. Press **Alt+F5** to access the Issue Limits By Tax Qualification screen. Each of the tax qualification codes which may be defined for a policy during New Business, Policy Add are displayed.
3. Press **F10** to add or update the limits. A minimum and maximum issue age may be defined for each tax qualification code.

4. Input the minimum and maximum issue ages for each tax qualification code. Valid values are 0 - 200.
5. Press **Enter** to save the limits or press **Alt+F10** to exit without saving.

The following table describes the fields displayed on the Issue Limits By Tax Qualification screen.

Field	Description
Tax Qualification	These fields display a description of each of the possible tax qualification codes. These descriptions correspond to the code entered on the Premium Information screen during New Business, in the Tax Qualify Code field. 0—Not Qualified 1—HR10 2—TSA 3—IRA 4—SEP 5—Deferred Compensation 6—401(k) 7—Section 457 8—Defined Benefit 9—Defined Contribution S—Simple IRA C—Section 125 Q—Conversion Roth IRA R—Contributory Roth IRA
Allowed	This field determines if a given tax qualification code is a valid code for the component or coverage. Y—Yes The tax qualification code is valid. The maximum age field for that tax qualification code must be greater than zero. N—No The component or coverage may not be issued using that tax qualification code. The minimum and maximum age fields for that tax qualification code must be set to zero.
Min	The minimum age for which the component or coverage may be issued for that tax qualification code is displayed in this field. The minimum defined for the component may be more restrictive but not less restrictive than the minimum defined for the coverage.
Max	The maximum age for which the component or coverage may be issued for that tax qualification code is displayed in this field. The maximum defined for the component may be more restrictive but not less restrictive than the maximum defined for the coverage.

Issue Limits by Age and Tax Qualification Code Notification Window

If issue age limits by tax qualification code are defined for a product, a Tied To Component window is displayed when the Component File is accessed.

The screenshot shows the 'Product Component File' window. At the top, there are fields for Product (BONUS ACH), Component (1), State (@@), and Effective Thru (12/31/1999). Below these are fields for Coverage ID (BONUS ACH) and a dropdown for SING F PREMIUM DEFERRED ANNUITY. A 'Mandatory' dropdown is set to 'Base'. A 'Select An Option' dialog box is open in the center, with two options: 'Tied To Component BONUS ACH' and 'Issue Age By Tax Qual Code'. The 'Issue Age By Tax Qual Code' option is selected. Below the dialog box, there are fields for 'Min' (0) and 'Max' (0) for 'Issue Age Limits', and a 'Value Type' dropdown set to 'Premiums'. At the bottom, there are checkboxes for 'Components Necessary for Issue' and 'Mutually Exclusive Components'. The background window also contains various other fields and checkboxes for policy configuration, such as 'Gender' (Both), 'Print ID Card' (No), 'Inspection Tables' (Base Only), 'Policy Add' (Base Only), 'Ben Add/SP Inc' (Base Only), 'Default Issue Amount' (Absolute), 'Absolute Amount' (Base Only), '% Pmt of Base' (Base Only), 'Override' (No), 'Base Rate on Comm' (Not Applicable), 'Prem' (Not Applicable), 'Max # of Annuitants' (No Annuitants), 'Min # of Annuitants' (No Annuitants), 'Limits Apply' (Insured), 'PP Restrictions' (None), 'List Options...', 'Notes', 'Coverage', 'Next', 'Previous', 'OK', and 'Cancel'.

Complete the following steps to access the issue age limits by tax qualification code.

1. Position the cursor on the **Issue Age By Tax Qual Code** option.
2. Click **Detail** to access the issue age limits or click **Cancel** to exit to the Component File.

Alternatively, from the Component File press **Alt+F5** to access the issue age limits by tax qualification code.

3.6 Maximum Table Ratings for Riders

Maximum table ratings can be assigned to components for benefit riders that disallow the riders to be added to a policy when the rider rating exceeds the maximum table rating. When these limits are used, an edit is performed during Validation and when changes are made through the Benefit Change, Benefit Add, or Specified Amount Increase function. If the table rating exceeds the maximum limits, an error message is displayed.

There are two options available to declare the maximum table rating.

- **Maximum Table Rating for the Base**—Using this option, a maximum table rating is declared for the base benefit. If the base benefit has a table rating that is above the rating specified, the rider cannot be added to the policy.
For example, assume the maximum table rating allowed for a spouse rider to be added is 03. The spouse rider cannot be added to any policy that has a base benefit with a table rating above 03.
- **Maximum Table Rating for the Rider**—Using this option, a maximum table rating is declared for the rider benefit. If the rider benefit has a table rating that is above the rating specified, the rider cannot be added to the policy. The table rating to which this edit should be applied can also be stated for the base benefit using this option.
For example, assume the limit on the base benefit is 03 and the maximum limit for the spouse rider benefit is 05. The base benefit must first have a table rating of 03 or greater before the spouse rider maximum is checked. The spouse rider cannot be added to any policy that has a base benefit with a table rating of 03 or greater and the spouse rider has a table rating of 05 or greater.

Complete the following steps to specify the limits for the edit.

1. Access the Component File on which to designate limits for the table ratings. Remember, this limit is only valid for riders since the limits prohibit the issue of a rider.
2. Press **F10**.
3. Press **F6**. A window is displayed with the options.

Enter Rider Limits	
If Base Component is Rated Above Table	00 - Do Not Allow.
If Base Component is Rated Above Table	00 - Allow, But Don't Allow a Rating Above Table
OK Cancel	

4. Complete the screen as described below.

- If the rider is **limited based on the table rating of the base benefit**, input the lowest table number for the base benefit that disallows the rider in the first statement.
- If the rider is **limited based on the table rating of the rider**, input a zero in the first field in the second question and input the lowest table number that is disallowed for the rider.
- If the rider is **limited based on the table rating of the rider and the table rating of the base benefit**, input the lowest table number for the base benefit on which the edit is applied. The edit is only performed if the table rating for the base benefit exceeds the table entered. Next, input the lowest table number that is disallowed for the rider benefit.

5. Click **OK** to save the changes.

If the fields are left at 00, the edit is not performed.

Chapter 4 Component History

History records for a selected Component File can be displayed. This option is only available if the Keep Product History field for the default company (00) on the Management Options screen is Yes.

Complete the following steps to view History Records for a component.

1. From the Product System Menu select **Components**. The Component File screen is displayed.
2. Input the component ID in the Component field or press >> from the Component field to select a component from the cross reference list. The Component File screen is displayed.

LifePRO (KGF)
File Edit Help Main Menu

Product Component File

Product >> Component >> State >> Qual Code >> Sub Type >> Effective Thru >>

Coverage ID >> UNIVERSAL LIFE - MONTHAVERSARY Mandatory

Component/IR Sub Type / Prohibit Issue in this State

Parent Component Gender Print ID Card

Maximum Number Allowed Inspection Tables Inforce Req

Rating Table ULPRO Force Rating UW1 Policy Add Ben Add/SP Inc Ben Chg

New Business Credit Default Issue Amount

Copy Default Extend Key Absolute Amount % Pmt of Base

Auto Issue ID App Fee Refundable Override

Count in Total Inforce Base Rate on Comm Prem

UL Rdr Fnd ID Max # of Annuitants Max # of Payees

Premium Cap Ranking Rating Premium Limits Apply Min # of Annuitants Min # of Payees

Allow Payment Activation and Override Issue Date PP Restrictions

Benefit Add Restrictions

Overrides of Coverage File
Issue Age Limits Min Max Value Type
Min Issue Amount
Max Issue Amount
Through Age

Components Necessary for Issue
Mutually Exclusive Components

List Options...
Notes
Coverage
Next
Previous
OK
Cancel

Version: 13.00 Snapshot: 0000.000 Date: 03/02/2006 Client ID: -base
History Record Display

3. Press **Alt+H**. The most recent Component History Record is displayed with the message *History Record Display* at the bottom of the screen.

NOTE: The display does not indicate which fields were changed, so careful inspection of the screen may be required to detect the values which were changed.

4. Click **Next** and **Previous** to move through the History Records.

NOTE: When the most recent History Record is displayed, the message *No Further History* is displayed at the bottom of the screen. When the first History Record is displayed, the message *No Previous History* is displayed at the bottom of the screen.

5. Click **Cancel** to exit component history.

Complete the following steps to view the Coder ID and Change Date window for the most recent change to a Component File.

1. From the Product System Menu select **Components**. The Component File screen is displayed.
2. Input the component ID in the Component field or press >> from the Component field to select a component from the cross reference list. The Component File screen is displayed.
3. Press **Alt+L**. The coder ID, date, and time of the last change to this component record are displayed.



The screenshot shows a window titled "Product File". It contains three input fields: "Coder ID" with the value "KGE", "Date" with the value "12/06/2005", and "Time" with the value "09:03:31.52". To the right of these fields are two buttons: "OK" and "Cancel".

4. Click **Cancel** to exit the Coder ID and Change Date window.

[This page intentionally left blank.]

SECTION 4 COVERAGE RECORD

Chapter 1	Coverage Record Introduction	4-3
1.1	Coverage Window	4-4
Chapter 2	Coverage Record Maintenance	4-5
2.1	Coverage Record—Add	4-5
2.2	Coverage Record—View	4-5
	Coverage Cross Reference	4-5
2.3	Coverage Record—Update	4-6
2.4	Coverage Record—Delete	4-6
2.5	Coverage Record—Clone	4-7
Chapter 3	Coverage Screen Notes	4-8
3.1	Product Note—Add or Update	4-9
Chapter 4	Coverage File Screen Field Descriptions	4-10
4.1	Coverage File Screen 1 Field Descriptions.....	4-13
	Issue Limits by Age and Minimum and Maximum Amount	4-21
	Issue Limits by Underwriting Class and Amount	4-22
	Issue Limits by Age and Tax Qualification Code	4-24
	Issue Date Substitution Trace	4-26
4.2	Coverage File Screen 2 Field Descriptions.....	4-27
4.3	Coverage File Screen 3 Field Descriptions.....	4-38
4.4	Coverage File Screen 4 Field Descriptions.....	4-52
	Waiver Calculation Window	4-63
Chapter 5	Segment List Access	4-66
5.1	Segments—Update or Activate	4-67
Chapter 6	Effective Date Substitution	4-68
6.1	Substitution Processing Priority	4-68
6.2	Effective Date Substitution Notes.....	4-68
6.3	Effective Date Substitution Field Definitions.....	4-69
6.4	Effective Date Substitution Record Functions.....	4-74
	Effective Date Substitution Record—Access from Coverage Record ...	4-74
	Effective Date Substitution Record—Access from Component File	4-76
	Effective Date Substitution—Access from Segment List	4-77
	Effective Date Substitution—Add New Record	4-77
	Effective Date Substitution—Delete a Record	4-78
6.5	Effective Date Substitution History	4-79
Chapter 7	Coverage History	4-81
7.1	Segment List for Coverage History Record.....	4-83

[This page intentionally left blank.]

Chapter 1 Coverage Record Introduction

The Coverage Record is used to define each benefit available through LifePRO®. For example, assume a universal life coverage offers waiver of premium, accidental death, and spouse benefits. Each of these benefits needs a Coverage Record. Coverages are linked to specific products through the Component File and can be linked to more than one product.

There are four coverages screens which define basic information such as the coverage description, underwriting class, valid issue amounts, dividend type, and loan availability.

A coverage can be further defined through the use of segments. Segments define rules for the coverage and often act as a pointer to a rate file. Each coverage can have a unique segment attached or coverages can share common segments.

Coverage File - Screen 1 of 4

Page 1 | Page 2 | Page 3 | Page 4

Coverage ID: >> Line of Business: Allow As Shadow Coverage: Status Code: A

Coverage Description:

Company Number: Issue Ages: Minimum: Maximum: Policy Fee: Ext Reins:

Reporting Number: Form Number:

Policy/Rider Basis: Exhibit ID: Non Participating: Combined UWCLS: ☐

Gender Basis: Age Calc: 'First / 'Last to Die:

Age Basis: Number Of Underwriting Classes?: Age Basis For UL Increases:

Underwriting

Cls Code	Class Code	Description	Substd Flat	Age/Opt/Pct	Maximum Allowable	Rating	Lmt	Flat Extra
S	SMOKER		Yes	Percent			999.99	99.99
N	NONSMOKER		Yes	Percent			999.99	99.99

Values Represent:

Minimum Issue Amount	Through Age	0	0	0	0	0	0
5000	70	0	0	0	0	0	0
999999999		0	0	0	0	0	0

Buttons: List Options..., Notes, Date Subst, Segments, Issue Limits, Tie to Coverage, Imaging..., Subst Trace, OK, Cancel

The Coverage Record is accessed from the Product System Menu. Select **Coverage Record** to view the first Coverage Record screen.

1.1 Coverage Window

A Tied To Coverage window is displayed when a coverage is accessed if an Issue Limit By Underwriting Class, Effective Date Substitution, Issue Date Substitution, or Exception Processing Record is attached to the coverage. From the window select the desired option to view. Or from the Coverage Record screen, click **Tied To Coverage**.

Coverage File - Screen 1 of 4

Page 1 | Page 2 | Page 3 | Page 4

Coverage ID >> Line of Business Allow As Shadow Coverage Status Code

Coverage Description

Issue Ages

Policy Fee Ext Reins

Form Number

Combined UWCLS ☐

'First / 'Last to Die

Select An Option

>>

Detail

Cancel

Substd	Age/Opt/Pct	Maximum Allowable	
Flat	Tbl/None	Rating	Lmt

Flat Extra

Values Represent

Minimum Issue Amount	0	0	0	0	0	0
Maximum Issue Amount	0	0	0	0	0	0
Through Age	0	0	0	0	0	0

List Options...

Notes

Date Subst

Segments

Issue Limits

Tie to Coverage

Imaging...

Subst Trace

OK

Cancel

Chapter 2 Coverage Record Maintenance

2.1 Coverage Record—Add

Complete the following steps to add a Coverage Record.

1. Input the coverage ID that is being added and click **OK**. The message *WCOVR Record not Found* is displayed.
2. Press **F8**. The message *This is a new record* is displayed in the Coverage Description field.
3. Input the Coverage Record fields as described in the following section. Click **Next** and **Previous** to move among the four pages of the Coverage Record.
4. After completing the fields, click **OK** to save the record or click **Cancel** to exit without saving.

2.2 Coverage Record—View

Complete the following steps to view an existing Coverage Record.

1. Input the coverage ID for the Coverage Record to view and click **OK** or click **>>** to select a coverage ID from the cross reference list.
2. Select the Coverage Record to display. Click **Next** and **Previous** to move through the four screens.

Coverage Cross Reference

A cross reference list of coverages that have previously been defined can be accessed by clicking **>>** from the Coverage ID field. When the Coverage Cross Reference screen is displayed, click **Next** and **Previous** to move between the screens. To select a coverage, click the desired coverage or click **Cancel** to exit the Coverage Cross Reference screen.

2.3 Coverage Record—Update

Complete the following steps to update an existing Coverage Record.

1. Input the coverage ID for the Coverage Record to update and click **OK** or click **>>** to select a Coverage ID from the cross reference list.
2. Press **F10**.
3. Make the desired changes.
4. Click **OK** to save the changes or click **Cancel** to exit without saving.

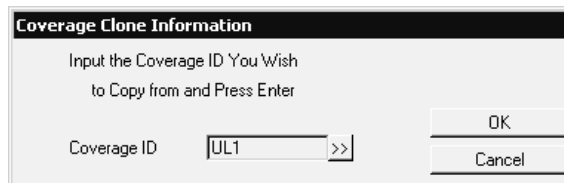
2.4 Coverage Record—Delete

Complete the following steps to delete an existing Coverage Record.

1. Input the coverage ID for the Coverage Record to update and click **OK** or click **>>** to select a Coverage ID from the cross reference list.
2. Press **Alt+F8**. A Confirmation window is displayed.
3. Select **Yes** to delete or **No** to exit without deleting.

2.5 Coverage Record—Clone

The Clone option provides the ability to quickly set up a new Coverage Record by copying the setup of an existing Coverage Record. The new coverage can then be updated to reflect any needed changes. Cloning an existing coverage copies all Coverage screen fields and also clones the attached segment structure.

A screenshot of a software dialog box titled "Coverage Clone Information". The dialog has a black title bar with white text. Below the title bar, the text "Input the Coverage ID You Wish to Copy from and Press Enter" is displayed. At the bottom left, there is a label "Coverage ID" followed by a text input field containing "UL1" and a button with the text ">>". To the right of the input field are two buttons: "OK" and "Cancel".

Complete the following steps to clone a Coverage Record.

1. Type the new coverage ID in the Coverage ID field.
2. Press **Alt+F9**. A window is displayed so the coverage ID to copy from can be selected.
3. Input the coverage ID to copy from or click >> to select a Coverage ID from the cross reference list of coverages.
4. Click **OK** to clone. The Coverage screen is displayed and the fields can be updated. Make any necessary changes. Be sure to change the Description field to reflect the new coverage's applicable description.
5. After making the necessary changes, click **OK** to save the new coverage or click **Cancel** to exit without saving. Remember to review the segment structure to determine if any updates are necessary.

Chapter 3 Coverage Screen Notes

Press **F2** from any of the four Coverage screens to access a Notes window. The Notes window can be used to add notes related to the setup of the product. This can provide an important reference for defining items such as why certain field selections were made or why Effective and Issue Date Substitution Records were added.

Enter Product Notes

Product Notes Window Page 01 Of 01

Coverage ID PARWL
Description Coverage-File Screen 1

This coverage was approved in Indiana 01/15/2003

Next
Previous
OK
Cancel

3.1 Product Note—Add or Update

1. Press **F2** from any of the four Coverage screens. There is not a unique Notes screen for each Coverage screen. The same Notes screen is accessed from any of the four screens.
2. Type in the note. If text is coded on the last line of the page click **Next** to access an additional page.
3. Click **OK** to save the note and return to the Coverage screen.

Additional Product Note Information

- The ability to access notes in the Product System is controlled by access to the Product subsystem.
- There is no utility for deleting a note. To delete items, simply delete or space through the text and click **OK**.

Chapter 4 Coverage File Screen Field Descriptions

Coverage File - Screen 1 of 4

Page 1 | Page 2 | Page 3 | Page 4

Coverage ID: >> Line of Business: Allow As Shadow Coverage: Status Code:

Coverage Description:

Company Number: Issue Ages: Minimum: Maximum: Policy Fee: Ext Reins:

Reporting Number: Form Number:

Policy/Rider Basis: Exhibit ID: Non Participating: Combined UWCLS: ☐

Gender Basis: Age Calc: 'First / 'Last to Die:

Age Basis: Number Of Underwriting Classes?: Age Basis For UL Increases:

Underwriting

Cls Code	Class Code	Description	Substd	Age/Opt/Pct	Rating	Lmt	Flat Extra
☒	S	SMOKER	☒	Percent		999.99	99.99
☒	N	NONSMOKER	☒	Percent		999.99	99.99
☐			☐				
☐			☐				
☐			☐				

Values Represent:

Minimum Issue Amount:

Maximum Issue Amount:

Through Age:

List Options...
Notes
Date Subst
Segments
Issue Limits
Tie to Coverage
Imaging...
Subst Trace
OK
Cancel

The following table contains descriptions of the fields that appear on all four Coverage Record screens.

Field	Description
Coverage ID	An identifier for the coverage is displayed in this field. Click >> from this field to display a cross reference list of all coverages.
Line of Business	The line of business of the coverage is displayed in this field. L—Traditional U—Universal H—Health A—Annuity I—Immediate Annuity G—Group This option is not valid for coverages for individual policies.
Allow As Shadow Coverage	When an annuity product uses shadow benefits, multiple values are independently maintained. Each interest bearing fund can have separate accumulation rules, loads, surrender charges, and fees. Then, during processing, LifePRO® selects only one of the values to use for the processing calculations based on selections made on the SH—Shadow Benefit ID Segment, SE—Shadow Benefit Use Segment ID Segment, SU—Shadow Benefit Use Segment, and SY—Shadow Benefit Edit Segment. Shadow coverage functionality is only available for line of business A—Annuity. Shadow benefits may be defined in addition to a base benefit, using a single fund for each shadow benefit. Y—Yes This coverage is a shadow coverage. The following limitations apply to shadow coverages, also called shadow benefits or shadow funds. • When attaching the coverage to the product, the SB—Shadow Benefit component type must be selected on the component record. A shadow coverage may not be defined as a base benefit. • A single fund must be defined on the F0—Fund Package Segment for a shadow benefit. Multiple funds are not permitted. • The Fund Type field for that sole fund must be set to I—Interest Bearing Fund Accum on the FR—Fund Rule Segment.

Field	Description
Allow As Shadow Coverage (continued)	• The SH—Shadow Benefit Segment, SE—Shadow Benefit Use Segment, or SY—Shadow Benefit Edit Segment cannot be defined for the shadow benefit. These segments are only defined for the base coverage to which the shadow benefits are attached. • The RW—Minimum Contract Value Segment cannot be defined for the shadow benefits. When a contribution is applied to a contract with shadow coverages, that contribution is applied to all coverages (base and shadow) using premium accounting from the base coverage. This causes the tax basis for all coverages to be the same. N—No This coverage is not a shadow coverage. This is the default.
Status Code	The Status Code field is completed automatically by the system, and cannot be manually updated. When adding a new coverage, the status is P—Pending. After adding the coverage, the status is updated to A—Active.
Coverage Description	A description of the coverage ID listed is displayed in this field. When adding a new coverage, this field displays the message <i>This Is a New Record</i> . The description selection is displayed in Policy Add in the Plan Description field on New Business Insurance and Benefit App screen. Coverage descriptions can also be viewed by clicking Description from the Benefit Summary screen in Inforce Business.
Company Number	The company code for which this coverage can be issued is displayed in this field. Select @@ if the coverage applies to all companies.

4.1 Coverage File Screen 1 Field Descriptions

Coverage File - Screen 1 of 4

Page 1 | Page 2 | Page 3 | Page 4

Coverage ID: >> Line of Business: Allow As Shadow Coverage: Status Code:

Coverage Description:

Company Number: Issue Ages: Minimum: Maximum: Policy Fee: Ext Reins:

Reporting Number:

Form Number:

Policy/Rider Basis: Exhibit ID: Non Participating: Combined UWCLS:

Gender Basis: Age Calc: 'First / 'Last to Die:

Age Basis:

Number Of Underwriting Classes?: Age Basis For UL Increases:

Underwriting

Cls Code	Class Code	Description	Substd Flat	Age/Opt/Pct Tbl/None	Rating	Lmt	Maximum Allowable Flat Extra
☐	S	SMOKER	Yes	Percent		999.99	99.99
☐	N	NONSMOKER	Yes	Percent		999.99	99.99
☐							
☐							
☐							

Values Represent:

Minimum Issue Amount	Maximum Issue Amount	Through Age
5000	999999999	70
0	0	0
0	0	0
0	0	0
0	0	0
0	0	0

List Options...
Notes
Date Subst
Segments
Issue Limits
Tie to Coverage
Imaging...
Subst Trace
OK
Cancel

The following table contains descriptions of the fields on the first Coverage File screen.

Field	Description
Reporting Number	A three digit alphanumeric code can be input in this field. Coverages can be grouped together using this code and then be included on a user defined extract; however, this field does not affect LifePRO® processing.
Issue Ages	
Minimum	This field defines the minimum issue age limit for a coverage. If there is no minimum issue age, input 0. The valid values for this field are 0 - 200. An edit in New Business prohibits a policy to be issued if the issue age of the insured is less than the value entered in this field.

Field	Description
Maximum	This field defines the maximum issue age limit for a coverage. If there is no maximum issue age, input 200. The valid values for this field are 0 - 200. An edit in New Business prohibits a policy to be issued if the issue age of the insured is greater than the value entered in this field.
Policy Fee	This field is used to designate a flat, annual fee associated with the coverage. If a policy fee is designated on the PF—Policy Fee Segment, it overrides the policy fee amount on the Coverage Record. The policy fee designated on the Coverage Record does not display in the Policy Fee field on the Contract screen if the line of business is U—Universal Life. The policy fee designated in this field is only applied to an annual premium. The fee is not modalized and applied to other modal premiums. However, any fees declared using the Premium Mode Rule ID are applied to the appropriate modalized premiums.
Form Number	The form number in this field is used for the keyword BENFOR if a state does not have a unique form number assigned through the State Control File. If a state has a unique form number, the form number assigned to the state is used for the keyword BENFOR. The State Control File can be accessed directly from this field. Press F10 to allow the cursor to move to this field. With the cursor in this field press F4. The State Control Menu is displayed. Input the company code and select Form Number For A Coverage. Click on any of the states to display the form number for that particular state. If the Form Number field for the state is blank, the form number defined on the Coverage Record is used for the keyword BENFOR.
Ext Reins	This field allows external reinsurance to be tracked when the LifePRO® Reinsurance System is not used. An edit in Validation requires both the Reinsurance Code field and the Reinsurance Indicator field to contain a valid option before a policy can be validated and issued if this field is set to Yes. Y—Yes In order to validate a policy in Policy Add, the Reinsurance Code field and the Reinsurance Indicator field must contain a valid option on the External Reinsurance screen. The External Reinsurance screen is accessed by pressing Alt+F4 from the Underwriting screen. If an invalid option is entered in either field, the message <i>External Reinsurance Requirement Has Not Been Met</i> is displayed and processing cannot continue until a valid option is entered. N—No This is the field default and indicates that external reinsurance is not required in order to validate and issue a policy.

Field	Description																											
Policy/Rider Basis	This field determines if the coverage can be issued as a policy, rider, or both. P—Base Coverage R—Rider Only B—Both																											
Exhibit ID	The exhibit code is a 3 digit code which relates directly to the summary lines on page 15A of the annual statement. The following list contains the available codes. The list includes the 3 digit code, a description, and the corresponding annual statement line number. <table><tr><td>TPD</td><td>Term Policy—Decreasing</td><td>26</td></tr><tr><td>TPO</td><td>Term Policy—Other</td><td>27</td></tr><tr><td>OTD</td><td>Other Term Insurance—Decreasing</td><td>28</td></tr><tr><td>OTI</td><td>Other Term Insurance</td><td>29</td></tr><tr><td>TA</td><td>Term Additions</td><td>29B</td></tr><tr><td>WLE</td><td>Totals-Whole Life And Endowment</td><td>29D</td></tr><tr><td>WHO</td><td>Whole Life Only</td><td></td></tr><tr><td>END</td><td>Endowment Only</td><td></td></tr><tr><td>NPE</td><td>No Policy Exhibit-Footnotes Only*</td><td></td></tr></table> * Any annuity or health coverage should have this code. In addition, any benefits that you wish to drop off exhibit should be coded as NPE as well. NPE benefits are displayed on the Benefit Balancing Report. SUP+**Supplemental Benefit, Footnotes Only <i>**All supplemental coverages should use this code. These are ignored by Exhibit Reporting, including the Benefit Balancing Report.</i> An additional one character field designates if the coverage is participating or non-participating. P—Participating N—Non-Participating	TPD	Term Policy—Decreasing	26	TPO	Term Policy—Other	27	OTD	Other Term Insurance—Decreasing	28	OTI	Other Term Insurance	29	TA	Term Additions	29B	WLE	Totals-Whole Life And Endowment	29D	WHO	Whole Life Only		END	Endowment Only		NPE	No Policy Exhibit-Footnotes Only*	
TPD	Term Policy—Decreasing	26																										
TPO	Term Policy—Other	27																										
OTD	Other Term Insurance—Decreasing	28																										
OTI	Other Term Insurance	29																										
TA	Term Additions	29B																										
WLE	Totals-Whole Life And Endowment	29D																										
WHO	Whole Life Only																											
END	Endowment Only																											
NPE	No Policy Exhibit-Footnotes Only*																											
Combined UWCLS	If the gender is Joint, this field is used to determine the underwriting class that is used if the underwriting classes of the joint insureds are different. For example, if two joint insureds have underwriting classes of N and P, and P is selected in this field, the underwriting class of P is used to determine rates.																											

Field	Description
Gender Basis	Select the gender for which this coverage can be issued in this field. M—Male J—Joint F—Female E—Exact B—Both U—Unisex
Age Calc	This field determines how the joint age is calculated. E—Exact For traditional products, the calculation is handled by processing exceptions. For UL products, the calculation is handled by the JC—Joint COI Rate Rules Segment. J—Joint Equal The age is calculated by the JT—Joint Equal Age Segment, defaults to the age of the primary insured, or is manually overridden during Validation. “—Blank This field should be left blank when First/Last to Die processing is used for products with line of business A—Annuity. Refer to the notes in the First/Last to Die field below.
First/Last to Die	This field controls death claim processing only for joint coverages for line of business A—Annuity, L—Traditional, and U—Universal Life. F—First To Die The policy proceeds (including single benefits on the deceased insured or annuitant) are paid at the death of the first insured or annuitant for joint coverages. L—Last To Die The policy proceeds (including single benefits on the deceased insured or annuitant) are paid at the death of the last insured or annuitant for joint coverages. If the line of business is A—Annuity and the First/Last to Die field is Last To Die, during death processing the relationship file is read for IN—Insured and JI—Joint Insured relationships. The Deceased field on the Name Record is checked and when all insured and joint relationships are deceased, the contract is terminated for death.
Age Basis	This field determines how the system reads the issue age of the insured. 0—Last The age of the insured on their last birthday is used. 1—Near The nearest last or next birthday of the insured is used. 2—Month The number of months and days from the last birthday of the insured are used to determine the birthday to use. For example, assume the date of birth of the insured is 02/01/1960 and the effective date of the policy is 08/01/2005. The age is calculated as 46 (6 months and 0 days since the last birth date, rounded up). Using the same example with an effective date for the policy of 07/31/2005 would result in an age of 45 (5 months and 30 days).

Field	Description
Age Basis (continued)	3—VGL The issue age is calculated as the age of the insured on their last birthday. The attained age, however, is calculated on the list bill anniversary instead of on the policy anniversary so that everyone's attained age on the same list bill changes at the same time. LifePRO® is designed to use the base coverage age basis to calculate rider age. Therefore, all coverages used as components on a given product should have the same age basis as the base benefit.
Number Of Underwriting Classes	Select the number of possible underwriting classes for this coverage in this field. The maximum number available is 15. If a number greater than 5 is entered in the Number of Underwriting Classes field, the word More is displayed to indicate that additional fields can be accessed by clicking Next. Up to five underwriting classes can be added on each screen before clicking Next to access the next page. Next and Previous are used to move between the Underwriting Class screens. The number entered on the Number of Underwriting Classes field must equal the actual number of underwriting classes entered or an error message <i>Invalid Entry</i> is displayed. The remaining underwriting class information must be added or the number of underwriting classes must be reduced.
Age Basis For UL Increases	This field determines the age to use when a specified amount increase is processed. If the line of business is H—Health, the Age Basis for UL Increases field is not displayed. Instead, the Long Term Care field is displayed. T—True Age The Age Basis field is used to determine the age of the insured at the time of the specified amount increase. I—Insurance Age The age of the insured for the specified amount increase is calculated based on the age of the insured on the base benefit. For example, assume the age on the base benefit is calculated as 35 at issue using the Age Basis field of Near. A birthday then occurs 3 months later and a specified amount increase is processed. The age on the base benefit of 35 is still used even though the actual age of the insured is 36 when the specified amount increase is processed. When the field is set to Insurance Age, the following conditions apply. If a specified amount increase is pending for a policy, additional benefits cannot be added to the policy until the increase is completed or terminated. If a new benefit is pending for a policy, a specified amount increase cannot be processed until the benefit add is completed or terminated.

Field	Description
Long Term Care	This field determines the type of long term care plan represented by the product. this field is only displayed if the line of business is H—Health. If the line of business is other than H, the Age Basis for UL Increases field is displayed. 0—Type of Business Does not Apply 1—Qualified Business 2—Non Qualified Business 3—Partnership Qualified Business 4—Partnership Non Qualified Business An edit is performed during New Business processing for codes 1 through 4, to see if the agent has met the continuing education requirements for that type of business, if the Continuing Ed Necessary field for the agent is set to Yes for the issue state. Refer to the Agency Book, Section 4, Continuing Education Information Screen for addition information on verifying if an agent has met the continuing education requirements for any of these types of business.
Underwriting	
Cls Code	Designate a one character, alphanumeric code for each underwriting class in this field. There can be up to 5 underwriting classes. The first underwriting class listed is the default record used as the underwriting class for coding rates that do not vary by underwriting class.
Class Code Description	Input a description for each underwriting class code in this field.
Substd Flat	Y—Yes Flat extra ratings can be applied to the policy. N—No Flat extra ratings cannot be applied to the policy.

Field	Description
Age/Opt/Pct/Tbl/None	T—Table A table rating is applied as an extra premium or rate per 1000. The table ratings are defined on the PR—Premium Segment by clicking Table Extra. P—Percent The rating is applied as a percentage of the base premium of the policy. The percentages can be defined as a table from the Rating Table field on the component file or they can be input during Validation when a table is not defined on the component file. N—None Ratings cannot be applied to the policy. A—Age This option uses a table of “rate up” ages based on the age of the insured to designate the rating. O—Optional This option allows the type of rating to use during Validation to be designated.
Maximum Allowable Rating	This field is applicable to table ratings only. It defines the maximum table rating allowed on a policy with this coverage and underwriting class. If a rating is greater than the amount defined in this field the message <i>Percent Rating Exceeds Maximum Percent Rating</i> is displayed when the policy is validated. The rating amount for a policy must be equal to or less than the amount defined in this field to continue processing and to validate the policy.
Maximum Allowable Lmt	This field is applicable to percentage ratings only. It defines the maximum percentage rating allowed on a policy with this coverage and underwriting class. If a rating is greater than the amount defined in this field the message <i>Percent Rating Exceeds Maximum Percent Rating</i> is displayed when the policy is validated. The rating amount for a policy must be equal to or less than the amount defined in this field to continue processing and to validate the policy.
Maximum Allowable Flat Extra	This field defines the maximum flat extra amount allowed for a policy with this coverage. If the flat extra amount is greater than the amount defined in this field the message <i>Flat Extra Exceeds Maximum Flat Extra Allowed</i> is displayed when the policy is validated. The flat extra amount on a policy must be equal to or less than the amount defined in this field to continue processing and to validate the policy.

Field	Description
Values Represent	This field designates if the values entered during New Business are input by face, units, or premium. F—Face U—Units P—Premiums This option is for annuities so no face or unit amount is input.
Minimum Issue Amount	The minimum amount for which this coverage can be issued is input in this field. A minimum issue limit can be set for up to 7 bands of age ranges. The issue limit selected is applied to insureds with an issue age up to the age listed in the Through Age field displayed below the range. For example, assume a Through Age field of 55 is set in band 1, and an age of 70 is set in band 2. The system finds the correct minimum issue amount based on the issue age of the insured. If a policy is set up to violate this limit, an error message is displayed in Validation during the Validate Policy Data or Validate Data and Issue process. The policy cannot be issued until a valid amount is entered.
Maximum Issue Amount	The maximum amount for which this coverage can be issued is input in this field. A maximum issue limit can be set for up to 7 bands of age ranges. The issue limit selected is applied for insureds with an issue age up to the age listed in the Through Age field displayed below the range. For example, assume a Through Age field of 55 is set in band 1, and an age of 70 is set in band 2. The system finds the correct minimum issue amount based on the issue age of the insured. If a policy is set up to violate this limit, an error message is displayed in Validation during the Validate Policy Data or Validate Data and Issue process. The policy cannot be issued until a valid amount is entered.
Through Age	The issue age through which the minimum issue amount and maximum issue amount listed in the above fields are effective is input in this field. Up to 7 bands of minimum and maximum issue limits can be designated. The largest through age listed must equal the maximum issue age. The valid values for this field are 0 - 200.

Issue Limits by Age and Minimum and Maximum Amount

The Minimum and Maximum Issue Amount fields can be used to designate a minimum and maximum issue amount range based on the age of the insured at issue. The valid values for these fields are 0 - 200.

Coverage File - Screen 1 of 4

Page 1 | Page 2 | Page 3 | Page 4

Coverage ID: PARWL >> Line of Business: Traditional Allow As Shadow Coverage: No Status Code: A

Coverage Description: PARTICIPATING

Company Number: @@ Issue Ages: Minimum: 0 Maximum: 75 Policy Fee: 15.00 Ext Reins: No Form Number:

Reporting Number:

Policy/Rider Basis: Base Coverage Exhibit ID: Totals - Whole Life And Endowment Participating Combined UWCLS:

Gender Basis: Both Age Calc: 'First / 'Last to Die:

Age Basis: Last

Number Of Underwriting Classes?: 2

Underwriting			Substd	Age/Opt/Pct	Maximum Allowable	
Cls Code	Class Code	Description	Flat	Tbl/None	Rating	Flat Extra
S	STANDARD		Yes	Percent		999.99
N	NONSMOKER		Yes	Percent		999.99

Values Represent: Face

	Minimum Issue Amount	Maximum Issue Amount	Through Age	0	0	0	0
Minimum Issue Amount	5000	5000000	0	0	0	0	0
Maximum Issue Amount	5000000	10000000	0	0	0	0	0
Through Age	50	80	0	0	0	0	0

List Options...
Notes
Date Subst
Segments
Issue Limits
Tie to Coverage
Imaging...
Subst Trace
OK
Cancel

A minimum and maximum issue amount can be set up for each through age selected. For example, in the setup displayed in the above screen, the minimum and maximum issue amount range for an insured age 50 or less is \$5,000—\$5,000,000. The minimum and maximum issue amount range for an insured greater than age 50 is \$5,000—\$1,000,000.

NOTE

The highest age in the Through Age field must equal the age selected in the Maximum Issue Age field.

Issue Limits by Underwriting Class and Amount

Minimum and maximum issue limits can be defined by underwriting class. If the issue limits are designated by underwriting class, they cannot be input on Coverage Screen 1.

If more than 5 underwriting classes are defined in the Number of Underwriting Classes field on the Coverage screen, click **Next** to view the additional screens.

Enter Issue Limits By Underwriting Class Criteria							
Underwriting Issue Limits By Class Code							
UWCLS Class Code	S						
Min Issue Amount	5000	5000					
Max Issue Amount	500000	100000					
Through Age	65	80					
UWCLS Class Code	N						
Min Issue Amount	5000	5000					
Max Issue Amount	1000000	500000					
Through Age	65	80					
UWCLS Class Code							
Min Issue Amount							
Max Issue Amount							
Through Age							
UWCLS Class Code							
Min Issue Amount							
Max Issue Amount							
Through Age							
UWCLS Class Code							
Min Issue Amount							
Max Issue Amount							
Through Age							

Complete the following steps to add issue limits for each underwriting class.

1. From the Coverage screen press **F5** to access the Issue Limits By Underwriting Class Criteria screen. Each of the underwriting classes is pulled from the Coverage Record and displayed.
2. Press **F10** to add the issue limits.
3. Type in the minimum and maximum amount of the face amount and the age through which these limits apply for each underwriting class code. Valid values for the Through Age field are 0 - 200.
4. Click **OK** to save the limits or **Cancel** to exit without saving.

Issue Limits by Underwriting Class Notification Window

If issue limits by underwriting class are defined for a product, a Tied To Coverage window is displayed when the Coverage Record is accessed.

Coverage File - Screen 1 of 4

Coverage ID: AMGULMTH >> Line of Business: Universal Status Code: A

Coverage Description: ANNE'S UNIVERSAL LIFE - MONTHAVERSARY

Issue Areas

Compar: Select An Option

Reporti: Tied To Coverage AMGULMTH

Policy/f: Issue Limit By UWCLS >>

Gender:

Age Ba:

Number:

Under:

Cls Cod:

Policy Fee: 0.00 Ext Reins: No

Form Number: CT8-12A

Whole Life And Endowment: Non Participating Combined UWCLS:

'First / 'Last to Die:

True Age: True Age LOB-UL:

Age/Opt/Pct: Maximum Allowable

Tbl/None	Rating	Lmt	Flat Extra
None		999.99	99.99
Percent		999.99	99.99

Values Represent: Face

Minimum Issue Amount: 0 0 0 0 0 0

Maximum Issue Amount: 0 0 0 0 0 0

Through Age: 0 0 0 0 0 0

Buttons: Detail, Cancel, List Options..., Notes, Date Subst, Segments, Issue Limits, Tie to Coverage, Imaging..., Subst Trace, Next, Previous, OK, Cancel

If the Coverage Record is being accessed from the Component File, this screen is displayed over the Component File screen, before the Coverage Record is displayed.

Complete the following steps to access the Issue Limits By Underwriting Class Criteria screen from the Tied To Coverage window, whether displayed from the Coverage Record or the Component File.

1. Position the cursor on the **Issue Limit By UWCLS** option.
2. Click **Detail** to access the issue limits by underwriting class or click **Cancel** to exit to the Coverage Record.

Alternatively, from the Coverage Record, press **F5** to access the minimum and maximum issue limit amounts by underwriting class.

Issue Limits by Age and Tax Qualification Code

Issue age limits may be defined on the Coverage Record or by tax qualification code. If the issue limits are designated by tax qualification code, they cannot be input on Coverage Screen 1.

Issue Limits By Tax Qualification								
Issue Age Limits By Tax Qualification Code								
Tax Qualification	Allowed	Min	Max	Tax Qualification	Allowed	Min	Max	
Not Qualified	Yes	0	85	HR10	Yes	20	80	
TSA	Yes	20	80	IRA	Yes	20	80	
SEP	Yes	20	80	Def Comp Non-Qualified	Yes	0	85	
401(K)	Yes	20	80	Section 457	Yes	20	80	
Defined Benefit	Yes	20	80	Defined Contribution	Yes	20	80	
Simple IRA	Yes	20	80	Section 125	Yes	20	80	
Conversion Roth IRA	Yes	20	80	Contributory Roth IRA	Yes	20	80	

Issue age limits by tax qualification code may be defined at both the component level and the coverage level. The component level issue age limits by tax qualification code may be more restrictive than the coverage level issue age limits by tax qualification code, but not less restrictive. If both component level and coverage level issue age limits by tax qualification code are defined, the component level limits override the coverage level limits. The valid values for the Min and Max Age Limit fields are 0 - 200.

Complete the following steps to add issue age limits by tax qualification code.

1. Access the Coverage Record to which issue age limits by tax qualification code are applied.
2. Press **Alt+F5** to access the Issue Limits By Tax Qualification screen. Each of the tax qualification codes which may be defined for a policy during New Business, Policy Add are displayed.
3. Press **F10** to add or update the limits. A minimum and maximum issue age may be defined for each tax qualification code. The valid values are 0 - 200.

4. Input the minimum and maximum issue ages for each tax qualification code.
5. Press **Enter** to save the limits or press **Alt+F10** to exit without saving.

Refer to 3.5—Issue Limits by Age and Tax Qualification Code on page 3-37 in this book for more information, including a description of the fields displayed on the Issue Age Limits By Tax Qualification screen.

Issue Limits by Age and Tax Qualification Code Notification Window

If issue age limits by tax qualification code are defined for a product, a Tied To Coverage window is displayed when the Coverage Record is accessed.

Coverage File - Screen 1 of 4

Coverage ID: AMGFPDA2 >> Line of Business: Annuity Status Code: A

Coverage Description: FPDA W/MARGIN-BASED EQUITY BONUS

Issue Ages:

Policy Fee: 0.00 Ext Reins: No

Form Number: FPDA1

Exhibit - Footnotes Only: Non Participating Combined UWCLS: ☐

'First / 'Last to Die:

Age/Opt/Pct Maximum Allowable

Tbl/None	Rating	Lmt	Flat Extra
None		999.99	82.24

Values Represent: Premiums

Minimum Issue Amount: 0 0 0 0 0 0

Maximum Issue Amount: 99999999 0 0 0 0 0

Through Age: 99 0 0 0 0 0

Buttons: Detail, Cancel, List Options..., Notes, Date Subst, Segments, Issue Limits, Tie to Coverage, Imaging..., Subst Trace, Next, Previous, OK, Cancel

If the Coverage Record is accessed from the Component File, this screen is displayed over the Component File screen, before the Coverage Record is displayed.

Complete the following steps to access the Issue Limits By Tax Qualification screen from the Tied To Coverage window, displayed from either the Coverage Record or the Component File.

1. Position the cursor on the **Issue Age By Tax Qual Code** option.
2. Click **Detail** to access the issue age limits or click **Cancel** to exit to the Coverage Record.

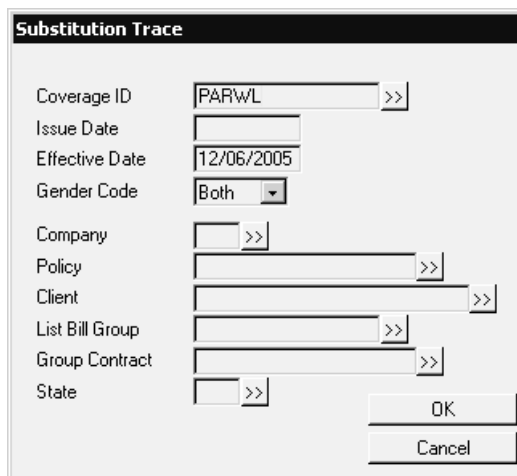
Alternatively, from the Coverage Record press **Alt+F5** to access the issue age limits by tax qualification code.

Issue Date Substitution Trace

The Substitution Trace window is used to identify the coverage ID applicable to a particular company, policy, client ID, or group.

Complete the following steps to access the Substitution Trace screen from the Coverage File.

1. From the Coverage screen click **Subst Trace**. The Substitution Trace window is displayed.
2. Press **F7** from the Substitution Trace window for a listing of the Coverage ID and Substitution Type by Issue Date.
3. Press **Alt+F7** to obtain a cross reference listing by the Effective Date.



The screenshot shows the 'Substitution Trace' window. It contains several input fields with labels on the left and input areas on the right. The input areas include text boxes, dropdown menus, and buttons labeled '>>'. At the bottom right are 'OK' and 'Cancel' buttons.

Substitution Trace	
Coverage ID	PARWL >>
Issue Date	
Effective Date	12/06/2005
Gender Code	Both
Company	>>
Policy	>>
Client	>>
List Bill Group	>>
Group Contract	>>
State	>>
OK	
Cancel	

4.2 Coverage File Screen 2 Field Descriptions

The values in the top section of the second Coverage File screen are systematically displayed the same as the first screen.

Coverage File - Screen 2 of 4

Page 1 | Page 2 | Page 3 | Page 4

Coverage ID: UL1 >> Line of Business: Universal Status Code: A
 Coverage Description: UNIVERSAL LIFE - MONTHAVERSARY

Coverage Miscellaneous Information

Category Code	☐	Renewal Type	☐	Single Selection on Joint	No
Account Type	☐	Fisc Split	No	Collection Advance	No
Coverage Type	☐	Loans Allowed	Yes	Beginning in Policy Year	01
Allocated Coverage	No	Interest Basis	Arrears	Variable Rate	No
Basis	☐	Flat Extra Multiplier	1.00	If Rider Issued	☐
Multiple Insured	No	Copy Mult Ins Extnr Key	☐	Terminate in Vanish	No
Max Multiple Insureds	0	Only Base Prem Cost Index	No		
Auto Select Multiple Ins	No				
Att Age Inc	No	Units = NAR	No		
Par Type	No				
Dividend Type	☐				

Premiums / Benefits Information

Premiums Cease at	Attained Age	Cease Point	95	
Benefits Cease at	Attained Age	Cease Point	95	
Reentry Term Maximums		EQ Large Prem	308,184,535.36	
Renewal Age	99	Premium Pay Window	0	
Number of Renewals	99	Pay Up Date Equals		
Min Benefit Duration	1	Required Minimum Premium Payment Duration	95	
Max Benefit Age	95	Value per Unit for Benefit (if level)	1000.00	
Rider Issue		Issue Date	No	
Maximum Percent of Base		Maximum Issue Value		

List Options...
 Date Subst
 Segments
 Issue Limits
 Tie to Coverage
 Imaging...
 Subst Trace
 OK
 Cancel

The following table contains descriptions of the fields on the second Coverage Record screen.

Field	Description
Category Code	This user defined field defines the category code for a specific coverage. The system edits this field against valid entries defined through the Category Code Table set up using the Category Code Definition option in Table Definitions accessed through the System Configuration Menu. NOTE This field along with the Renewal Type field was designed for a specific client to classify the category and the renewability of a particular insurance product. The classification allows the grouping of insurance products for gathering information for external policy exhibit reporting purposes. <i>LifePRO</i>® does not support this type of policy exhibit reporting. The classification information is added to a policy through the selection of coverages in New Business Issue and Benefit Add. The information is then carried on the Benefit History, Benefit Detail, Accounting Activity, and Accounting Maintenance Utility screens. The following fields display the category code and renewal type information. Benefit History—Cat/Ren Benefit Detail—Category and Renewal Accounting Activity—Cat and Ren Accounting Maintenance Utility—Category Cd and Renewal Type The category and renewal type is only updated after the policy is issued through the Accounting Maintenance Utility screen in System Utilities. The category code and renewal type information is carried on all benefit types, except FV and UX, and on premium income transactions (0100 through 0199). <i>LifePRO</i>®'s accounting extract program extracts the category and renewal codes for client use; however, it does not maintain any reports which support the fields and features previously mentioned.
Renewal Type	This user defined field defines the renewal type definition for a specific coverage. The system edits this field against valid entries defined through the Renewal Type Definition Table, set up using the Renewal Type Definition option in Table Definitions, accessed through the System Configuration Menu. Refer to the processing note in the Category Code field definition for further information.

Field	Description
Single Selection on Joint	This field indicates if single or joint rates are used when calculating premiums and charges for a joint product. Y—Yes Both single rates and joint rates are available when calculating premiums and charges for joint coverages. Insureds are selected for coverages during the Policy Add process. The system assumes joint coverage, unless an individual insured is selected. An individual insured can be selected by pressing F6 from the desired coverage displayed on the New Business Insurance Benefits screen. Pressing F6 displays an Insured Selection window from which the desired insured for the coverage can be selected. N—No Joint rates are used when calculating premiums and charges for the joint coverage.
Account Type	This field can be used to tie a coverage to the LifePRO® Accounting Table in System Configuration. This field corresponds with the Type field on the chart of accounts. By using this field as a selection criteria, the general ledger accounting generated for a specific LifePRO® transaction code can be varied by coverage. Refer to the System Configuration Book, Section 9, 1.1—Accounting Table and History Selection for more information on how to use selection criteria, such as the account type, in pointing to general ledger account numbers.
Fisc Split	This field determines if the Fiscal Split screen, designed to support the Netherlands tax legislation regarding the taxation of death proceeds, is displayed at policy issue, benefit change, benefit add, specified amount increase, specified amount decrease, death benefit option change, withdrawal, withdrawal by systematic request, benefit surrender, maturity date change, or manual premium payment. When any of these events occur and there is a fiscal split, a policy event for the fiscal split is created in addition to the policy event for the transaction. Y—Yes The Fiscal Split Policy field is displayed on the Insurance/Benefits App screen in Policy Add and is protected. The Fiscal Split screen can be accessed by pressing F3 in Policy Add and selecting Fiscal Split Information. If the Fiscal Split screen is not completed in Policy Add, the Fiscal Split screen is displayed in Validation when Validate Policy Data or Validate Data and Issue is selected. This screen must be completed, or the message <i>At least one set of numeric fields must be input</i> is displayed and the policy cannot be validated until the information is entered. The Fiscal Split screen can be accessed and must be saved with the existing information or updated with new information for a policy issue, benefit change, benefit add, specified amount increase, specified amount decrease, death benefit option change, withdrawal, withdrawal by systematic request, benefit surrender, maturity date change, or manual premium payment.

Field	Description
Fisc Split (continued)	N—No Fiscal split information is not required; therefore, the Fiscal Split Policy field displayed on the Insurance/Benefits App screen in Policy Add is set to No and is protected. The Fiscal Split screen cannot be accessed for the policy at issue or when subsequent events occur. S—Sometimes The Fiscal Split Policy field defaults to No on the Insurance/Benefits App screen in Policy Add; however, it can be updated. If Yes is entered on the New Business screen, the Fiscal Split screen must be completed before the policy is validated. If No is selected, the Fiscal Split screen cannot be accessed for the policy during issue or when subsequent events are processed.
Coverage Type	This field is applicable to Fixed Premium Universal Life and Excess Interest Whole Life plans. F—Fixed Policies are valued monthly through Monthaversary processing. E—EIWL This option is client specific.
Collection Advance	This field is only applicable for fixed premium UL products. Y—Yes Collection of premium advances the policy paid to date. Lapse processing occurs during the billing process. N—No The policy paid to date is advanced by the generation of a first notice in billing, not by the payment of a premium. Lapse processing occurs during modeaversary processing.
Allocated Coverage	Y—Yes The system reads the option defined in the Basis field. N—No Normal LifePRO® processing is used. F—Fund This option is specific to a particular client. The product is controlled from the segments on the funds. Three segments, U2—Premium Collection Expenses, P2—Premium Load Pct by Transaction Code, and CC—Commissions are available at the fund level through the Fund Information screen. This option tells the system to ignore the U2, P2, and CC Segments on the coverage level and directs the system to the fund level. It is procedurally recommended that these segments are set to No on the coverage level so that you can see that they are not active and are ignored on the product. E—EIWL

Field	Description
Allocated Coverage (continued)	Commission Processing Note: If the Fund option is selected, the system processes step 1 of commission processing; however, steps 2 and 3 may or may not be processed, depending on the value selected in the Option 10: Process Fund Level Commissions field on the Agency Management Options - Step One screen. If this field is set to No, Commission Not To Be Paid is displayed in the lower right corner of the Commission Detail Record after step 1 of commission processing is run and steps 2 and 3 are not processed for the record. If this field is set to Yes, Commission Calculated Not Yet Paid is displayed in the lower right corner of the Commission Detail Record after step 1 of commission processing and steps 2 and 3 are processed for the record.
Loans Allowed	This field determines if loans are available for a coverage. Y—Yes Loans are allowed on the coverage. N—No Loans are not allowed on the coverage.
Beginning in Policy Year	This field works in conjunction with the Loans Allowed field and is only applicable to line of business A—Annuity. When the Loans Allowed field is set to Yes, this two digit field is used to restrict loans during the initial policy years. Input the first duration for which loans are allowed. For example, if 03 is input in this field, loans are available beginning in the third duration. If no restrictions apply during the initial policy years, the field is defined as 01 to allow loans beginning in the first duration. If the Loans Allowed field is set to Yes, the Beginning in Policy Year field defaults to 01. If the Loans Allowed field is set to No, the Beginning in Policy Year field defaults to 00.
Basis	This field defines if premiums are allocated between the base coverage and riders by minimum premium or target premium. The Allocated Coverage field must be set to Yes in order for the system to read this field. M—Minium The system allocates premium between the base benefit and riders by the minimum premium. T—Target The system allocates premium between the base benefit and riders by the target premium.

Field	Description
Interest Basis	If Yes is selected in the Loans Allowed field, this field is used to define the loan interest basis. 0—Advance Loan interest is charged in advance. 1—Arrears Loan interest is charged in arrears. If using the TSA loan functionality for tax sheltered annuities, option 1—Arrears must be selected.
Multiple Insured	Y—Yes The Multiple Insureds File is used for this coverage, allowing more than one insured per benefit. Note that for health coverages, extended key information cannot be updated in Benefit Change unless this option is Yes. N—No The Multiple Insureds File is not used.
Variable Rate	This field defines if the loan interest rate is variable or fixed. Y—Yes The interest rate is variable. Rates are defined in the Declared Interest Rate File. N—No The interest rate is a fixed rate. Refer to 6.139—LN—Loan Interest Rates Segment on page 12-522 in this book for further information.
Max Multiple Insureds	If the Multiple Insured field is set to Yes, designate the maximum number of multiple insureds allowed. The maximum number of multiple insureds allowed by LifePRO® is 20, including the primary insured. An edit on the New Business Insurance Benefits screen prevents the selection of multiple insureds over the limit designated in this field.
Flat Extra Multiplier	This field is only applicable to line of business L—Traditional or H—Health. The factor input in this field is used to increase the flat extra amount entered in New Business. For example, assume that flat extra multiplier is 2 and the flat extra defined through New Business is 3. The annual premium per unit for the flat extra is $2 * 3 = \\$6.00$.

Field	Description
Auto Select Multiple Ins	This field allows multiple insureds to be automatically selected for a benefit through Policy Add. Y—Yes If this field is set to Yes, an asterisk is displayed next to Multiple in the Insured Name field on the New Business Insurance Benefits screen in Policy Add. An asterisk indicates that by pressing Ctrl+F6, all multiple insureds input during the Policy Add process are selected for that benefit. If an asterisk does not appear, each multiple insured must be manually selected for the coverage. Refer to the New Business Book, Section 1, 3.14—Multiple Insureds on a Benefit—Add for information on using this feature during the Policy Add process. N—No Normal multiple insured processing is used so each insured must be manually selected for each coverage.
Att Age Inc	This field determines if a manually calculated premium amount can be entered when a Benefit Change is processed. This functionality is only applicable for health products with multiple insureds. Y—Yes A manually calculated premium amount can be entered when a Benefit Change is processed for a health policy with multiple insureds. From the Benefit Change screen, enter the new information and press F3 to input the manually calculated annual premium. N—No The original issue age of the insured is used when determining the age rates to use for benefit increases.
Units = NAR	This field defines if the monthly deduction for a rider on a universal life policy can be calculated based on the net amount at risk (NAR) for the policy. This field is only available for universal life policies. This field can be set to Yes for riders that are not attached to a universal life product; however, when the rider is selected during Policy Add in New Business the message <i>Invalid Choice—Rider Has Units Based On NAR</i> is displayed on the bottom of the screen and the rider cannot be added. Y—Yes The monthly deduction for the rider is calculated as the net amount at risk multiplied by the premium rate, divided by 12. Since the rider deduction is based on the net amount at risk for the policy, the rider deduction must be calculated after the NAR calculation on the UI—Monthiversary Control Segment. If the Rider Deduction field is set to 0 and the Units = NAR field is set to Yes, the Rider Deduction field is overridden in processing and is treated as 1. N—No The monthly deduction for the rider is calculated as the rider premium rate multiplied by the number of units, divided by 12.

Field	Description
Copy Mult Ins Extnd Key	Extended keys are used for health coverages to define rate variance factors. If multiple insureds are present, this field controls how extended keys are selected in Policy Add. Y—Yes The extended keys selected for the prior multiple insured are copied. After the extended key information is defined for the first insured, it is systematically copied to subsequent benefits. N—No The extended keys selected for the prior multiple insured are not copied. Extended key information must be designated for each insured.
Par Type	This field determines if the coverage is a participating plan. Y—Yes The coverage is participating. N—No The coverage is not participating. X—Non-Pay The coverage is non-paying participating.
Terminate in Vanish	This field is only used for PT and PP component type riders. Y—Yes The system terminates the PT and PP type benefit if the policy goes to a Hold/Vanish billing status. N—No
Dividend Type	For the base coverage, the dividend type controls dividend option 8. For rider coverages, it controls purchase logic. 1—Fully Segregated Dividends earned by the rider are applied to the policy as a whole. This is the default. 2—Segregated Dividends earned by the rider are applied to the rider. 3—Integrated All dividends earned by the base policy and the rider are applied to the rider. 4—Fully Integrated All dividends earned by any rider or the base policy are applied to the rider. V—Variable Option 1 or 4 can be selected when the policy is added through New Business. If Variable is selected, the dividend type default for riders can be designated on the D3—Dividend Type By Option Segment. If a dividend type default is not selected on the D3 Segment, a window prompts for the dividend type to be entered during Validation or during a Dividend Option change. NOTE For base coverages, the Dividend Type should be 1—Fully Segregated.

Field	Description
Policy Currency	This field displays the currency type used for this coverage. Different currencies can be defined from the Management Options Cashiering screen. This field must be completed when cashiering is used.
Only Base Prem Cost Index	This field is applicable to EIWL and fixed UL products only. Y—Yes The annual standard or substandard premium for the base coverage only is included in cost index calculations. N—No Premiums for all coverages are included in cost index calculations. This is the default.
Premiums Cease at/Cease Point	This field is used to determine the policy anniversary on which premium payments end. The selection made in the Age Basis field on the first screen of the Coverage Record is used to further identify the appropriate anniversary when the Attained Age or Parent option is selected in this field. For example, if Attained Age is selected in the Premiums Cease At field, 75 is input in the Cease Point field, and Near is selected in the Age Basis field, the premium payments will end on the policy anniversary nearest to the insured's 75th birthday. A—Attained Age Premium payments end when the insured reaches a certain age. Input the age in the Cease Point field. D—Duration Premium payments end when the policy reaches a certain period of years. Input the duration in the Cease Point field. S—Single Pay Premium payments are only accepted for the first policy year. For single premium annuity products that will have only one premium payment, Single Pay should be selected and the Cease Point field should be set to 0. When the initial premium payment is processed, the Pay Up Date on the Benefit Detail record is set to the issue date, the Billing Status is set to Suspended - Paid Up, and the Paid Up Type field on the Contract screen is set to SP. If additional premium payments are attempted, an error message is displayed and the premium is not processed. For single premium annuity products that may have premium payments throughout the first year, Single Pay should be selected and the Cease Point field should be set to 1. When the initial premium payment is processed, the Pay Up Date on the Benefit Detail record is set to the issue date plus one year, the Billing Status is set to Suspended - Paid Up, and the Paid Up Type field on the Contract screen is set to SP.

Field	Description
Premiums Cease at/Cease Point (continued)	V—Variable Premium payments are calculated for the period defined in the Short Term Period field on the New Business Premium Information screen using the PVALUSTC processing exception module. P—Parent An additional field (Age) is displayed. Input the premium cease age of the parent benefit. If the product is reentry term, enter the maximum number of renewals. The valid values for the Cease Point field are 0 - 200.
Benefits Cease at/Cease Point	This field is used to determine the policy anniversary on which the benefit period ends. The selection made in the Age Basis field on the first screen of the Coverage Record is used to further identify the appropriate anniversary when the Attained Age or Parent option is selected in this field. For example, if Attained Age is selected in the Benefits Cease At field, 75 is input in the Cease Point field, and Near is selected in the Age Basis field, the benefits will end on the policy anniversary nearest to the insured's 75th birthday. A—Attained Age Benefits for the policy end when the insured reaches a certain age. Input the age in the Cease Point field. D—Duration Benefits for the policy end when the policy reaches a certain number of years. Input the duration in the Cease Point field. V—Variable The benefit period is calculated based on the period defined in the Short Term Period field on the New Business Premium Information screen. P—Parent An additional field (Age) is displayed. Input the benefit cease age of the parent benefit. The maximum value for this field is 200.
Reentry Term Maximums— Renewal Age	Input the maximum age that the system reenters the premium table in this field. The maximum value for this field is 200.
Reentry Term Maximums— Number of Renewals	Input the maximum number of times that the system reenters the premium table in this field. The maximum value for this field is 200.
EQ Large Prem	This field defines the minimum premium that triggers the EQ Large Premium letter defined through the L0—Letter Type Segment. If the premium is equal to or greater than the amount defined in this field, the EQ Large Premium letter is generated. This correspondence event is used for normal billed batch collections, manual batch collections, manual premium payments, list bill collections, and lock box collections.

Field	Description
Premium Pay Window	This field defines the duration in months for universal life and annuity products in which premiums can be paid. The default for this field is zero, and the maximum is 99. If this field is set to zero, premiums are not restricted and payments may be made indefinitely. If this field is greater than zero, an RQUE record is generated using a computed date (issue date plus window duration). RQUE processing for the calculated date suspends the Payment Status with the Beyond Pay Window reason code.
Min Benefit Duration	The minimum number of years of coverage is input in this field. This field overrides the maximum benefit age if the issue age and minimum benefit duration exceed the benefit cease point.
Required Minimum Premium Payment Duration	Input 1 in this field.
Max Benefit Age	This field defines the maximum age that a policy pays benefits. This field is normally 95 to 100. The maximum for this field is 200. When the Benefits Cease At field is set to Variable, this field defines the maximum number of days for coverage instead of the maximum benefit age.
Value per Unit for Benefit (if level)	Input the initial death benefit values per unit in this field. Use the DB—Death Benefits Segment to code future values if they change. If premium rates are banded by unit, input 0 in this field and use the DB—Death Benefit Segment.
Pay Up Date Equals Issue Date	This field determines the pay up date for a benefit. This field should only be set to Yes for single premium benefits and add-on riders. This field does not apply to base benefits. Y—Yes The pay up date for the benefit is set to the issue date of the benefit. When Yes is selected, the full single premium must be paid at the time of benefit activation during Policy Add or Benefit Add. N—No The pay up date is set to the anniversary date following the issue date of the benefit. This is the default.
Maximum Percent of Base	Designate the rider's maximum percent of the base coverage amount in this field.
Maximum Issue Value	Designate any maximum value for the rider in this field.

4.3 Coverage File Screen 3 Field Descriptions

The values in the top section of the third Coverage File screen systematically carry over from the first screen.

Coverage File - Screen 3 of 4

Page 1 | Page 2 | Page 3 | Page 4

Coverage ID: >> Line Of Business: Status Code:

Coverage Description:

Taxation

Tax Qualify Code: Quality Rules Apply: Create Accounting When Premium Tax Applied:

Global Tax: Premium Tax: OLAB Rules:

Aggregate Gain: State Fund Tax: Flag ALL Premium as Income in Accounting:

Apply Premiums to Tax Basis: Person of Residence State:

Exclude Waived Premium From Tax Basis: Designated Roth Rules Apply:

MPR / Anniversary

Process Anniv/Mode: Use Guideline/TAMRA limits: OYT ID:

Guidelines Apply: To Reduce: PUA ID:

TAMRA Applies: TAMRA Treatment: TAR ID:

Mature/Expire thru MDV: PTD > Anniv Date Edit For: Years

Mode-A-Versary Frequency:

Premium Calculations Use:

Disclosures/Projections:

MPR/Loan Interest Crediting:

Create Transaction Log Records:

Auto Reversal Upon

Premium Payment: Cycles:

Loan:

Annuity Rider:

User Requested Transactions:

Commissions

Accept Net Commission Amounts: Vesting Indicator On Agent Transfer:

Allow Advances On Submit: Use Statement Agent As Broker/Dealer:

List Options...
Date Substitution
Segments
Issue Limits
Tie to Coverage
Imaging...
Subst Trace
OK
Cancel

The following table contains descriptions of the fields on the third Coverage Record screen.

Field	Description
Taxation	
Tax Qualify Code	This field controls an edit on the Tax Qualification Code field in Policy Add on the New Business Premium Information screen when this coverage is selected. Y—Yes The policy on which this coverage is attached is always tax qualified. Policy Add requires the tax qualification code and does not allow 0—Not Qualified. N—No The policy on which this coverage is attached is never tax qualified. Policy Add does not allow the input of a tax qualification code other than 0—Not Qualified. S—Sometimes The policy on which this coverage is attached may or may not be tax qualified. The NB—New Business Default Segment can be used to designate a default value for the Tax Qualification Code field, and determines if the field can be updated.
Global Tax	Y—Yes The system does not track income per fund. This field must be set to Yes for variable products. The field must also be set to Yes if using the Basis Correction function. Basis correction allows pre and post basis and income values to be corrected as of the last monthiversary date for lines of business U—Universal Life and A—Annuity through the Basis Correction option, which is accessed through the Processing Menu in Inforce. In order to access and use this feature, this field must be set to Yes and the Inforce Security Basis Correction field, must be set to 9—Full Access. The Correction of Basis letter is available on the L0—Letter Type Segment and allows the automatic or system prompted generation of a user defined letter. N—No The system tracks income on a fund by fund basis. A—Across All Rows This option indicates that deposits for contribution enablement policies are attached without regard to row number or type and source. The Deposit History Records are created for row number 000. Tax reporting is done across all rows at the policy level, so basis is maintained across all rows as well. NOTE When shadow fund processing is used, the Global Tax field must be set to No on the shadow benefit coverage.

Field	Description
Aggregate Gain	This field is applicable to traditional benefits only. This field should be set to No for all other product types. Y—Yes Gains on riders are offset by losses on the base, and vice-versa. Thus, policy gain is global, not by benefit. The premiums paid, dividends credited, and tax basis are stored on the appropriate Benefit Record. This field is applicable to full policy surrenders only. N—No Gains on riders are not offset by losses on the base, and vice-versa. Policy gain is by benefit. The premiums paid, dividends credited, and tax basis are stored on the appropriate Benefit Record. A—All Gains on riders are offset by losses on the base, and vice-versa. Policy gain is global. While the premiums paid and dividends credited are stored on the appropriate Benefit Record, the tax basis for all benefits is stored on the Base Benefit Record. This option applies to full and partial surrenders. Surrender Processing Note: The tax values, as displayed from the surrender quote, complete a full policy gain calculation and equal the actual accounting completed for a full surrender if the coverage is coded to calculate aggregate gain. If the coverage is not coded for aggregate gain, the full base surrender processing is completed with the gain calculated per benefit and does not equal the tax values quote.
Apply Premium to Tax Basis	Y—Yes Premiums accumulate into basis for future gain calculations. N—No Premiums do not accumulate into basis for future gain calculations. This flag is stored on the Benefit Record at issue and can be viewed and updated from the Benefit Utility in System Utilities.
Exclude Waived Premium From Tax Basis	Y—Yes N—No
Qualify Rules Apply	Y—Yes Taxable income is reported. N—No Taxable income is not reported.
Premium Tax	This option can be used to deduct a premium tax from the gross premium applied for funded products. Premium tax rates for a Coverage Record are defined using the State Control File Menu, Premium Tax Rates option. Rates can be varied by coverage, state, line of business, and tax qualification code. The premium tax can be applied based on the application, insured, owner, or payor state. Refer to the Person of Residence State field definition on the next page.

Field	Description
Premium Tax (continued)	Any premium tax deducted can be viewed online through the Annual Statement in Inforce by clicking Actions and selecting Annual Statement. Premium tax deductions can be viewed by clicking Detail and selecting Applied Premium. No accounting is generated for the premium tax, since it is tracked at the fund level. Y—Yes Deduct premium tax according to the State Control File setup. N—No Do not deduct premium tax for this coverage.
State Fund Tax	A state fund tax can be applied in the event of a death claim, full surrender, or annuitization. State fund tax rates for a coverage are defined using the State Control File Menu, Premium Tax Rates option. Rates can be varied by coverage, state, and tax qualification code. The state fund tax can be applied based on the application, insured, owner, or payor state. Refer to the Person of Residence State field definition below. The state fund tax applied is listed on the Value Quote screen, Death Quote screen, and Annuitization Quote screen. If applied, accounting is generated, and the premium tax is recorded as a credit to transaction code 0760—State Fund Tax.
Person of Residence State	This field is used only if either the premium tax or state fund tax rates are designated by state in the State Control File. This field controls which states to consider. A—Application I—Insured O—Owner P—Payor NOTE This field is not applicable for line of business I—Immediate Annuity. The premium tax for immediate annuities is only based on the issue state.

Field	Description
Designated Roth Rules Apply	This field controls the processing of deposits and tax reporting for TSA and 401(k) contracts. N—No Rules for Designated Roth do not apply. This is the default. Y—Yes Contracts issued as TSA (Tax Qualification Code 2) or 401(k) (Tax Qualification Code 6) are handled the same as a Roth (Tax Qualification Code Q or R). Contributions are added to basis if the For Roth IRA (Q & R) field on the QC—Set Up by Tax Qualification Code Segment and the Flag ALL Premium as Income in Accounting field on the Coverage Record are set to No. If either field is set to Yes, contributions are recorded as income. NOTE Since the definition of a TSA or 401(k) policy is made at the coverage level, a separate coverage must be defined for TSA and 401(k) policies that are not to be issued as Designated Roth.
Create Accounting When Premium Tax Applied	This field determines if accounting is created for premium taxes when the premiums are allocated to the funds and premium taxes are deducted. Y—Yes Accounting is created for the premium tax by debiting the 0904 account and crediting the 0830 account for the premium tax amount. N—No Accounting is not created for premium taxes when the premiums are allocated to the funds and the premium taxes are deducted. This is the default.
OLAB Rules	This field determines if the OLAB (Overseas Life Assurance Business) and non-OLAB tax qualification codes are available for policies issued with the product. Y—Yes The Tax Qualification Code field is used to define the policy as OLAB or non-OLAB. Both codes are considered non-qualified for United States tax reporting purposes. N—No The Tax Qualification Code field is used for the tax qualification code only. The OLAB and non-OLAB options are not available. This is the default.
Flag ALL Premium as Income in Accounting	This field is only applicable to annuity coverages and allows the incoming premium to be considered income. Y—Yes The premium payment is considered income on the Accounting Detail record and for cost basis purposes. N—No The premium payment is considered basis on the Accounting Detail record and for cost basis purposes. This is the default.

Field	Description
MPR/Anniversary	
Process Anniv/Mode	This field is used to indicate if anniversary processing redetermines premiums and death benefits on intervals more frequently than annual. This option does not affect loan, dividend, or IBA processing. These items continue to be processed on an annual basis. This option must be defined on the Coverage Record for the base component. If the option is activated on the base coverage, all riders and benefits are processed on a modal anniversary, regardless of how the individual coverages are set. Y—Yes Process anniversary according to the policy mode. N—No Process anniversary on an annual mode. This option can be shut off at the policy level via the Policy Miscellaneous File. The Process Anniv Every Mode field displays whether or not a policy is using the option. If it is necessary to remove a policy from the option, the field can be updated to No. When using this option, the processed to date on the Benefit Detail screen is updated one mode by anniversary processing. For example, if a policy is quarterly, anniversary processing moves this date forward 3 months.
Guidelines Apply	This field determines if the guidelines test (DEFRA) is applicable. Y—Yes The guidelines test is applicable. N—No The guidelines test is not applicable. B—Basis The cost basis is used in the guideline limit testing rather than the premiums paid, less withdrawals.
TAMRA Applies	This field determines if TAMRA is applicable. Y—Yes TAMRA is applicable. The FN—Commutation Rules Segment on the base coverage determines the commutation functions used in the 7 pay premium calculation. This field must be set to Yes for all coverages that are included in the TAMRA premium calculation. N—No TAMRA is not applicable. M—MEC by Design The product is always a modified endowment contract by design. B—Basis The cost basis less the cost basis at the start of the 7 pay window is used for TAMRA testing. Basis from 1035 exchanges at the start of the 7 pay window are included in the starting cost basis, but basis from other premiums paid on the start date are not included. This option only applies to universal life policies.

Field	Description
TAMRA Treatment	This field determines how the coverage is treated during the TAMRA calculation. This field is only available if the TAMRA Applies field is set to Yes. In addition, this field is only used for the calculation of TAMRA for traditional life policies. This field is not used for the calculation of TAMRA for universal life policies. It is also important to note that the Aggregate Gain field must be set to All in order for TAMRA processing to function correctly for traditional benefits. NOTE This field must be completed for all traditional riders that are attached to a traditional base coverage (line of business L). This field is only used in processing when the rider is attached to a traditional (line of business L) base coverage. This field is not used when a traditional rider is attached to a universal life base coverage (line of business U). —Blank If the TAMRA Applies field is not Yes, this is the default. D—Use Death Benefit The lowest death benefit provided by the benefit during the 7-pay window is used as part of the policy level lowest death benefit used in the calculation of the TAMRA premium. Q—Treat as QAB The annual premium payable for the benefit is used in the calculation of the TAMRA premium.
Use Guideline/TAMRA Limits To Reduce	This field defines how a premium can be adjusted to avoid violation of guideline or TAMRA limits. This field is applicable only to UL type policies. When monthiversary processing is run, the system compares the cumulative total premium paid to the TAMRA/TEFRA premium limitations and a guideline and TAMRA remaining limit amount is calculated as of the next MPR date. When billing is generated, the remaining limit amount is further reduced by any unprocessed premium and outstanding BCNs. If the net result of the test is a premium less than the current amount billed on a modal basis, billing is adjusted to reflect a premium that does not cause immediate violation of TAMRA/TEFRA. The remaining TAMRA/TEFRA amounts can be viewed through the Monthiversary Processing screen by pressing Alt+F7 and selecting RL: Limit Remaining. For fixed UL Products, the Collection Advance field on the Coverage Record must be set to Yes. G—Reduce by Guidelines The system compares the cumulative total premium paid to the TEFRA premium limitations. The message <i>Please note that the current billed amount has been reduced due to TEFRA limitations</i> is printed on the premium bill if a premium is adjusted to avoid violating TEFRA guidelines.

Field	Description
Use Guideline/TAMRA Limits To Reduce (continued)	T—Reduce-By-TAMRA The system compares the cumulative total premium paid to the TAMRA premium limitations. The message <i>Please note that the current billed amount has been reduced due to TAMRA limitations</i> is displayed on the premium bill if a premium is adjusted to avoid violating TEFRA guidelines. B—Reduce-By-Guide & TAMRA The system compares the cumulative total premium paid to the TAMRA/TEFRA premium limitations. N—Not-Reduce-By-Guide & TAMRA TAMRA/TEFRA guidelines are not checked to reduce bills. When this option is selected, RL PRBN records are not created. The Reduce Bill by Guideline and Reduce Bill by TAMRA letters are available through the L0—Letter Type Segment. These letters can be set up to notify the policyowner of a reduction in premium in order to avoid a TAMRA/TEFRA violation. Billing Notes: In order for billing to include the current remaining guidelines and TAMRA limits, the Days to Due Date Generate First Bill field must be defined as 28 days or less. If using billing format 04, the extract indicator is 1 for TAMRA and 2 for TEFRA. These indicators are in position 860 on the Extract File. For fixed UL products, when a bill is reduced to zero, the system does not allow 0110 premium payments. If the remaining limit is less than the modal premium, the modal premium is reduced for Direct or PAC billing forms. The ENS message <i>Billing (or PAC) Amount Reduced Due to TAMRA/TEFRA Violations</i> is generated. If the Reduce Bill by Guidelines or Reduce Bill by TAMRA letters are set up, a letter is also generated. If the reduced premium amount is collected and no other changes are made, the next bill date or draw date changes the modal premium amount to 0. In addition, billing (or PAC) will not occur and the ENS message <i>Billing/Mode Premium Amounts Change to Zero Due to TAMRA/TEFARA Violations. No Further Message Will Generate - Manual Intervention Required</i> is generated. The administration of the policy and future billing, if any, must be handled manually.
OYT ID	If the coverage is participating, code the coverage ID of the term plan used for one year term. If the coverage is not participating, leave this field blank.
PUA ID	If the coverage is participating, code the coverage ID for the net single premiums used to compute the face amounts of the paid up additions option. If the coverage is not participating, leave this field blank.

Field	Description
TAR ID	If Dividend Option 8—Purchase a mix of One Year Term and Paid-up Adds to Equal a Percentage of the Target Percentage is selected, the coverage ID for the benefit that is used to purchase the term and paid-up additions is entered in this field.
Mature/Expire thru MDV	This field provides the ability to prevent modeaversary from terminating policies at maturity. One common application is for deferred annuities. Choosing not to mature through modeaversary allows the annuitization option to be used to transfer proceeds to the immediate annuity system within LifePRO®. N—No Coverage terminates at maturity through modeaversary. Processing stops on the modeaversary date prior to maturity. At the maturity date, the ENS system generates a message type 19—MPR Processing Error, with the text <i>Mature/Expire Date has been reached in MDV</i>. The contract is still active, allowing for full surrender processing or annuitization. Y—Yes The policy terminates at maturity through modeaversary.
PTD>Anniv Date Edit For __ Years	This is a two digit numeric field used to delay the declaration and processing of dividends on a product until premiums are paid beyond the policy anniversary. The system does not prorate current year dividends if the policy is surrendered before the policy anniversary, even if the entire year's premium has been paid. For example, assume that 2 is entered in this field. This indicates that for the first two years on the policy, the policy paid to date must be greater than the policy anniversary date before the dividend is paid. The default for this field is 0. Dividends are not credited until the premium is paid beyond the anniversary; however, the system processes the dividend effective as of the anniversary. Therefore, all rates, valuations, or calculations are done as of the anniversary. With anniversary processing and annual statement generation primarily a nightly process, the policies processed or not processed are reflected only on the appropriate reports. The Policy Activity Log indicates if anniversary has been processed.
Mode-A-Versary Frequency	For line of business U—Universal or A—Annuity, this field designates if this coverage is processed by monthaversary or modeaversary. The option to leave this field blank should not be used. All products with the line of business U or A should use modeaversary. A—Annually M—Monthly If a traditional product has an annuity rider, this field must be coded as Monthly on the base coverage as well as the annuity rider coverage.

Field	Description
Premium Calculations Use	M—Mode-a-versary
Disclosures/Projections	M—Mode-a-versary
MPR/Loan Interest Crediting	This field is used to designate the type of year used for interest crediting. C—Calendar Year B—Bankers 30 Day Months
Create Transaction Log Records	This field determines if Transaction Log records are created for policies issued using this coverage. Y—Yes Transaction Log records are created. This option is only available for lines of business U—Universal or A—Annuity. N—No Transaction Log records are not created. This is the default.
Auto Reversal Upon	
Premium Payment	This field is only applicable if the Cycles field is greater than zero. It determines if autoreversals are processed to facilitate premium payments. Y—Yes LifePRO® automatically reverses monthaversary processing, up to the maximum number of cycles, if a premium payment is received for a month prior to the date displayed in the Last MPR Date field for the policy. LifePRO® automatically reverses monthaversary processing to facilitate the processing of the premium payment, but does not recompute. N—No Autoreversals to facilitate payments are not available. This is the default.
Loan	This field is only applicable if the Cycles field is greater than zero. It determines if autoreversals are processed to facilitate loan payments. Y—Yes LifePRO® automatically reverses monthaversary processing, up to the maximum number of cycles, if a loan payment is received for a month prior to the date displayed in the Last MPR Date field for the policy. LifePRO® automatically reverses monthaversary processing to facilitate the processing of the loan payment, but does not recompute. N—No Autoreversals to facilitate payments are not available. This is the default.

Field	Description
Annuity Rider	This field is only applicable if the Cycles field is greater than zero. It determines if autoreversals are processed to facilitate annuity rider payments. Y—Yes LifePRO® automatically reverses monthiversary processing, up to the maximum number of cycles, if an annuity rider payment is received for a month prior to the date displayed in the Last MPR Date field for the policy. LifePRO® automatically reverses monthiversary processing to facilitate the processing of the annuity rider payment, but does not recompute. N—No Autoreversals to facilitate payments are not available. This is the default.
Cycles	This is the maximum number of cycles which may be automatically reversed, if premium, loan, or annuity rider payments are processed for a month prior to the date displayed in the Last MPR Date field for the policy. The default is 00. If the Mode-A-Versary Frequency field is set to Monthly, the Cycles field represents the maximum number of months which are automatically reversed, up to the issue date for the policy. If the Mode-A-Versary Frequency field is set to Annually, the Cycles field must be set to 1, to indicate that the policy may be reversed to the prior anniversary (or the issue date for the policy). In order for the automatic reversal to be processed based on a payment, the For Prem, For Loan, and For Annuity Rider fields must be set to Yes for all applicable payment types. If one or more of the applicable payment types is set to No, the automatic reversal and the payment are not processed and an error message is generated. The automatic reversal is only processed if no policy change events, including mode changes, have occurred since the last full monthiversary. If the payment is outside of the maximum number of cycles or if events on the policy prohibit the autoreversal, the payment is not processed and an error message is generated. If the payment is outside the maximum number of cycles, the message <i>Eff Date Must Be > Val Date YYYYMMDD; Please Reverse</i> is displayed. If events prohibit the reversal, the message <i>Cannot Automatically Reverse Due To Events On Policy</i> is displayed.

Field	Description
Cycles (continued)	The following processes allow for autoreversals. ● Manual Premium Payments ● Lockbox Payments ● Batch Payments (both billed and manual) ● List Bill Batch Collections ● Input Payment Processing ● PCONVPAY ● Online Payor Allocation ● PAC ● Credit Card The auto reversal functionality is invoked for all the Policy Quote submenu processes where the message <i>Must Be: MPRD Date < Eff Date <= Next MPR Date</i> is generated. This includes, but is not limited to the following transactions: ● Values Quotes (Full and Partial) ● Loan Quotes ● IBA Quotes ● Fund Transfers ● Annuitization NOTE If any of the fields in the Auto Reversal Upon section is set to Yes or Optional and the Cycles field is not greater than zero, the message <i>Number Of Cycles Allowed To Reverse Must Be Greater Than Zero</i> is displayed.
User Requested Transactions	This field is only applicable if the Cycles field is greater than zero. It determines if auto reversals are processed to allow a user requested transaction to process. Y—Yes LifePRO® automatically reverses monthaversary processing up to the maximum number of cycles if a user requested transaction has an effective date for a month prior to the date displayed in the Last Valuation Date field for the policy. LifePRO® automatically reverses the monthaversary processing but does not recompute. O—Optional LifePRO® displays a screen indicating that the policy will be reversed to MM/DD/YYYY and prompts you to confirm the transaction. If Yes is selected, monthaversary processing is automatically reversed but not recomputed. N—No Auto reversals for user requested transactions are not allowed. This is the default.

Field	Description
Commissions	
Accept Net Commission Amounts	This field applies only to base coverages. This option is used when an agent is collecting premium directly and has deducted his commissions before remitting the premium. The net commission option allows the processor to add cash as a deduction from an agent's commission. The full premium is applied to the policy, and commissions are calculated. The net concept is that the commissions net out against the deduction from when the cash was added. If used, when Add Cash is clicked to add cash from the Manual Premium Payment screen, the options Agent or Cash are displayed. Selecting Cash allows for a normal cash with application or unapplied cash deposit. Selecting Agent creates a debit to transaction code 0050—Commission Clearing. A Commission Detail Record with a negative dollar amount is created at the time the transaction is added. The record type is NT—Net Commission Transfer. If multiple writing agents are present on the policy, the amount is split according to the allocated commission percentages on the New Business Policy Dates and Agent Information screen. When commissions are processed, normal commissions are calculated, but these net out against the negative NT entries. This option can be used during batch collections and list bill collections. Y—Yes Allow net commission transactions for this coverage. N—No Do not allow net commission transactions. A—Only at Issue Allow net commission transactions only at policy issue. Refer to the Agency Book, Section 4, 2.3—Hierarchy Screen—View Name/Address Record for additional information. Refer to the Agency Book, Section 2, Chapter 2—Miscellaneous Agency Setup for information about additional setup available for net commissions.
Allow Advances On Submit	This field determines if advances are allowed upon submission of an application. Y—Yes Submitted advances are allowed. N—No The system bypasses the calculation of premiums upon application submission, resulting in a faster response time. This is the default.

Field	Description
Vesting Indicator On Agent Transfer	This field is for informational purposes only and defaults to X—Non-Pay. The option defined in this field is the default on the Vested Product field on the Agent Transfer Policies screen. This field is used with the Change Agent option on the Manual Adjustments Menu in Agency/Commissions. X—Non-Pay Y—Yes N—No
Use Statement Agent As Broker/Dealer	This field determines if the Statement Agent field on the Agent Hierarchy Record is used as a statement agent or as a broker/dealer. This field only applies to variable products. Y—Yes The agent selected in the Agent Statement field on the Agent Hierarchy record is the broker/dealer. When this option is selected, an edit is performed during New Business to verify that a broker/dealer agent is defined in the Agent Statement field on the Agent Hierarchy record for the Service/Writing agents selected. If an agent is not selected in the Statement Agent field, the error message <i>Statement Agent Not Present</i> is displayed when the product is selected. N—No The agent selected in the Agent Statement field on the Agent Hierarchy record is the statement agent. This is the default.

4.4 Coverage File Screen 4 Field Descriptions

The values in the top section of the fourth Coverage File screen systematically carry over from the first screen.

Coverage File - Screen 4 of 4																															
Page 1	Page 2	Page 3	Page 4																												
Coverage ID	UL1 >>	Line of Business	Universal																												
Coverage Description	UNIVERSAL LIFE - MONTHAVERSARY																														
Annual Statement Selection Code	0	Interest Rate	.00%																												
Generation Code		Guaranteed Period																													
		Disclosure Guaranteed Rate	.000%																												
<table border="1"> <thead> <tr> <th colspan="2">Annuities</th> </tr> <tr> <th>Qualified Annuity</th> <th>Non-Qual Annuity</th> </tr> </thead> <tbody> <tr> <td>Tax Death Claims</td> <td>No</td> </tr> <tr> <td>Surrender Charge</td> <td>No</td> </tr> <tr> <td>Primary Person is</td> <td>Insured</td> </tr> <tr> <td>Apply Eldest Age Rules</td> <td></td> </tr> </tbody> </table>				Annuities		Qualified Annuity	Non-Qual Annuity	Tax Death Claims	No	Surrender Charge	No	Primary Person is	Insured	Apply Eldest Age Rules																	
Annuities																															
Qualified Annuity	Non-Qual Annuity																														
Tax Death Claims	No																														
Surrender Charge	No																														
Primary Person is	Insured																														
Apply Eldest Age Rules																															
<table border="1"> <thead> <tr> <th colspan="2">Quotes / Surrenders</th> </tr> </thead> <tbody> <tr> <td>Allow Both Surrender / Loan Quotes Past PTD</td> <td>No</td> </tr> <tr> <td>Number of Days Past PTD to Allow Surrender / Loan Quotes</td> <td>0</td> </tr> <tr> <td>Adjust for Premium Due on Surrender / Loan Quotes past the PTD</td> <td>No</td> </tr> <tr> <td>Adjust for Premium Due on Death Quotes Past the PTD</td> <td>No</td> </tr> <tr> <td>Number of Days Past PTD to Allow Death Quotes</td> <td>0</td> </tr> <tr> <td>Refund</td> <td>No</td> </tr> <tr> <td>Unearned COI Charges On</td> <td>All</td> </tr> <tr> <td>Control Premium Calc for Waiver</td> <td>No</td> </tr> <tr> <td>Waive Premium if: Payor Waiver in Effect</td> <td>Yes</td> </tr> <tr> <td>Flag SEP Systematic Withdrawals As Irrevocable/Revocable</td> <td>No</td> </tr> <tr> <td>Spectator Reduction Method</td> <td>Gross</td> </tr> <tr> <td>Guarantee Rider/Benefit Minimum Deduction Period is Greater Of:</td> <td>Attained Age</td> </tr> <tr> <td></td> <td>Or, Duration</td> </tr> </tbody> </table>				Quotes / Surrenders		Allow Both Surrender / Loan Quotes Past PTD	No	Number of Days Past PTD to Allow Surrender / Loan Quotes	0	Adjust for Premium Due on Surrender / Loan Quotes past the PTD	No	Adjust for Premium Due on Death Quotes Past the PTD	No	Number of Days Past PTD to Allow Death Quotes	0	Refund	No	Unearned COI Charges On	All	Control Premium Calc for Waiver	No	Waive Premium if: Payor Waiver in Effect	Yes	Flag SEP Systematic Withdrawals As Irrevocable/Revocable	No	Spectator Reduction Method	Gross	Guarantee Rider/Benefit Minimum Deduction Period is Greater Of:	Attained Age		Or, Duration
Quotes / Surrenders																															
Allow Both Surrender / Loan Quotes Past PTD	No																														
Number of Days Past PTD to Allow Surrender / Loan Quotes	0																														
Adjust for Premium Due on Surrender / Loan Quotes past the PTD	No																														
Adjust for Premium Due on Death Quotes Past the PTD	No																														
Number of Days Past PTD to Allow Death Quotes	0																														
Refund	No																														
Unearned COI Charges On	All																														
Control Premium Calc for Waiver	No																														
Waive Premium if: Payor Waiver in Effect	Yes																														
Flag SEP Systematic Withdrawals As Irrevocable/Revocable	No																														
Spectator Reduction Method	Gross																														
Guarantee Rider/Benefit Minimum Deduction Period is Greater Of:	Attained Age																														
	Or, Duration																														
			Status Code A Number Of Skipped Premiums Before Payment Reason Stopped 00 Number Of Days After Stop Before Advance Is Changed To Unsecured 00 Contract Terminates Upon Death of List Options... Date Substitution Segments Issue Limits Tie to Coverage Imaging... Subst Trace OK Cancel																												

The following table contains field definitions for the fields on the fourth Coverage Record screen.

Field	Description
Annual Statement	
Selection Code	This field controls the printed annual statement version called by the annual statement print driver, PANSTDRV. The annual statement program varies, according to the selection code. The annual statement program PMPRANST is called for selection code 00. The annual statement program PMPANSTX is called for selection codes 01 through 09, where X is the second digit of the selection code. The annual statement program PMPANSXX is called for selection codes 10 through 33, where XX is the selection code. 00—UL with a cover letter 01—UL and annuities (ULPRO) 02—Annuities (hard coded values) 03—Annuities (fraternal wording) 04—Annuities with a cover letter 05—Annuities (hard coded values) 06—UL/Annuities/Annuity riders 07—UL/Annuities (hard coded values) 08—Interest sensitive whole life (hard coded values) 09—UL/Interest sensitive whole life 10—Traditional with dividend information 11—Single premium deferred annuities 12—UL/Annuities 13—UL (ULPRO) 14—UL/Annuities 15—UL (Hard Coded Values) 16—UL/Annuities 17—Single Premium Deferred Annuities 18—Flexible Premium Deferred Annuities 19—Interest Sensitive Whole Life 20—UL/Interest Sensitive Whole Life

Field	Description
Selection Code (continued)	21 —UL/Annuities
	22 —UL/Annuities
	23 —UL/Interest Sensitive Whole Life
	24 —UL/Interest Sensitive Whole Life (with rejections)
	25 —UL/Annuities
	26 —Qualified single premium deferred annuities
	28 —UL (client customized)
	29 —Annuities (extract) (periodic statement)
	30 —UL (extract)
	31 —ASCII format This allows clients to complete the statement in their own prepared format. This statement is triggered on the latest value declaration date on a policy level, based on the policy years and if the policy is paid to the anniversary date. Because of the information being extracted for this statement, the Generation Code field must be set to After Anniversary or Not at All .
Interest Rate/Guaranteed Period	32 —Bonus Annual Statement This option displays the bonus amount in the Bonus earned column and line on the annual statement.
	33 —Annuities (extract) This statement includes partial valuation based on the dates indicated on the CA—Calendar Based Statement Segment. The Reporting Format field on the CA Segment must be set to Calendar with Valuation .
Generation Code	Designate the interest rate and guaranteed period to print on the annual statement in this field. This field is used only when customized annual statements are used.
	This field defines when the annual statement is generated. An annual statement must be selected for all universal life and annuity coverages, including riders.
	A—After Anniversary
	B—Before Anniversary
	O—Both
	N—Not at All This option is only available for coverages with line of business L—Traditional .
	Q—Quarterly for UL/Annuity

Field	Description
Generation Code (continued)	" "—Blank (for UL/Annuity) An annual statement is generated based on the policy anniversary. NOTE A statement is generated each quarter for variable products. If the CA—Calendar Based Statement Segment is used for the product, the quarterly statements are generated in addition to the statements generated based on the CA Segment. However, if the generation date for the quarterly statement coincides with the generation date for the statement based on the CA Segment, only one statement is produced.
Disclosure Guaranteed Rate	Input the rate that is used on the annual statement for annuities in this field.
Annuities	
Tax Death Claims (Qualified Annuity)	Y—Yes For tax qualified annuities and annuity riders, treat a death claim as a taxable event. The Tax Reporting System recognizes death claims on annuities and annuity riders as taxable. An annuity policy death claim is processed in Inforce Business by clicking Actions and selecting Quotes. Annuity rider death claims are processed in Inforce Business by clicking Inquiry, selecting Benefit Detail, and clicking Actions. When processing annuity death claims, surrender charges do not apply. The Tax Distribution window is not displayed. Tax distribution code 4—Death is automatically assigned. N—No Tax qualified annuity and annuity rider death claims are not treated as taxable events. NOTE For variable annuities, this field should be set to No.
Tax Death Claims (Non-Qualified Annuity)	Y—Yes For non-qualified annuities and annuity riders, treat a death claim as a taxable event. The Tax Reporting System recognizes death claims on annuities and annuity riders as taxable. An annuity policy death claim is processed in Inforce Business by clicking Actions and selecting Quotes. Annuity rider death claims are processed in Inforce Business by clicking Inquiry, selecting Benefit Detail, and clicking Actions. When processing annuity death claims, surrender charges do not apply. The Tax Distribution window is not displayed. Tax distribution code 4—Death is automatically assigned. N—No Non-qualified annuity and annuity rider death claims are not treated as taxable events. NOTE For variable annuities, this field should be set to No.

Field	Description
Surrender Charge (Qualified Annuity)	The Qualified Annuity Death Claims field must be set to Yes in order to access this field. Y—Yes Surrender charges are deducted at the time of death claim processing for qualified annuities. N—No Surrender charges are not deducted at the time of death claim processing for qualified annuities. NOTE For variable annuities, this field should be set to No.
Surrender Charge (Non- Qualified Annuity)	The Non-Qualified Annuity Death Claims field must be set to Yes in order to access this field. Y—Yes Surrender charges are deducted at the time of death claim processing for non-qualified annuities. N—No Surrender charges are not deducted at the time of death claim processing for non-qualified annuities. NOTE For variable annuities, this field should be set to No.
Number Of Skipped Premiums Before Payment Reason Stopped	The number of modes that can be skipped before the Payment Reason is changed to Payment Stopped is input in this field. For example, assume a policy has an issue date of 01/02/2004 and the mode is Monthly. Also assume that the Number Of Skipped Premiums Before Payment Reason Stopped field is set to 03. The PAYST RQUE record will have a Queue Date of 04/02/2004 after the policy is activated. Each time a payment is made, the Queue Date on the PAYST RQUE record is updated to the payment effective date plus the number of modes in this field. If a payment is not received prior to the Queue Date, the Payment Reason for the policy is changed to Payment Stopped. If 00 is input in this field, skipped premiums are not monitored. Valid values are 00 - 99.
Number Of Days After Stop Before Advance Is Changed To Unsecured	The number of days after the Payment Reason was changed to Payment Stopped that the advance will be changed from Secured to Unsecured is input in this field. Valid values are 00 - 99.

Field	Description
Primary Person is	This field determines if the underwriting information taken from the application (the issue age, gender, and underwriting class) is based on the information entered for the owner, annuitant, or insured. This field is applicable to annuity products entered individually through Policy Add or Batch New Business only. I—Insured The underwriting information is based on the insured. This is the default. A—Annuitant The underwriting information for the base benefit is based on the annuitant. If the Social Security Number of the annuitant has not been entered on the Name and Address Record of the annuitant, a warning message is displayed. O—Owner The underwriting information for the base benefit is based on the owner. If the owner is a business and does not have a date of birth or gender indication, then the information is taken from the primary annuitant. “—Blank If the field is left blank, the system assumes the default is Insured. L—Oldest Annuitant Or Owner The oldest of the annuitants (A1 or A2 relationship) and the owners (PO or O1 relationship) is used to determine the primary person on the contract. If neither owner is a natural person, the oldest of the annuitants is used. The age, gender, and underwriting class for the primary person are stored on the Benefit Detail record and are used for rate retrieval. The Pay Up and Mature/Expire Dates continue to be based on the age of the A1—Primary Annuitant. NOTE If the primary person (or the primary annuitant when the product is owner driven and the owner is a business) lacks a date of birth or gender indication on his or her Name and Address Record, an error message is displayed. Processing cannot continue until this information is added to the Name and Address Record for the primary person.
Contract Terminates Upon Death of	This field is used to determine which relationships are displayed for selection when a death quote is processed on an annuity policy. This field is only available when the Primary Person is field is set to Owner or Annuitant. When the Primary Person is field is set to Insured, this field cannot be accessed. A—Annuitant O—Owner E—Either Either annuitants or owners “—Blank Both annuitants and owners

Field	Description
Apply Eldest Age Rules	This field determines if the Eldest Age Rule is applied to the type of individual selected in the Primary Person Is field. If the Primary Person field is set to Insured, this field cannot be accessed. Y—Yes The Eldest Age Rule is applied based on the option selected in the Primary Person Is field. The rates used for the policy, such as surrender charges and commission rates, are based on the age the oldest annuitant or owner, as selected in the Primary Person Is field. If the Primary Person field is set to Annuitant, the ages of all annuitants are verified to ensure that they are within the minimum and maximum issue ages allowed. In addition, the age of the oldest annuitant is used to retrieve rates for the policy. If the Primary Person field is set to Owner, the ages of all owners are verified to ensure that they are within the minimum and maximum issue ages allowed. In addition, the age of the oldest owner is used to retrieve rates for the policy. If none of the owners are persons, then the ages of all annuitants must be within the minimum and maximum issue ages. N—No The Eldest Age Rule is not applied based on the option selected in the Primary Person field. Only the age of the primary annuitant or the age of the primary owner is used, based on the selection in the Primary Person Is field. This is the default.
Quotes/Surrenders	
Allow Both Surrender/ Loan Quotes Past PTD	This field is only applicable to traditional products. Y—Yes The system allows both surrender and loan quotes past the policy paid to date based on the setup defined in the Number of Days Past PTD to Allow Surrender/Loan Quotes field and the Adjust for Premium Due on Surrender/Loan Quotes past the PTD field. N—No The system does not allow loan quotes past the policy paid to date. If this field is set to No, the system does not allow access to the Number of Days Past PTD to Allow Surrender/Loan Quotes field and the Adjust for Premium Due on Surrender/Loan Quotes past the PTD field. Processing Notes • Loan and surrender quotes cannot be processed until the paid to date is advanced past the surrender or loan effective date, through normal premium payment or the Manual NFO process. • Loan, surrender, and death quotes cannot be processed past the paid to date if the billing mode is Calendar.

Field	Description
Allow Both Surrender/ Loan Quotes Past PTD (continued)	● A Manual NFO option is available by clicking Actions and selecting Manual NFO. This process pulls the modal premium from the policy using values based on the defined NFO option. The modal premium advances the paid to date allowing the quote to be processed. If a manual NFO process is run, and there is not enough value in the policy, the policy mode is automatically downgraded to the next lower billing mode. ● In order to quote annuity riders past the MPR date, the Allow Annuity Rider to MPR past Paid to Date of Traditional Base field must be set to Yes on the FC—Fund Contract Rules Segment. ● The Use Effective Loan Date, Paid-To-Date or APL-To-Date on Base CV field on the LN—Loan Interest Rates Segment defines the effective date that the system uses for calculating loan values.
Number of Days Past PTD to Allow Surrender/ Loan Quotes	The Allow Both Surrender/Loan Quotes Past PTD field must be set to Yes in order to access the Number of Days Past PTD to Allow Surrender/Loan Quotes field. This field indicates the number of days past the policy paid to date to allow a surrender or loan quote. The minimum value of 0 (zero) is saved as a blank and indicates that a surrender and loan quote cannot be quoted or processed past the paid to date. The maximum value is 999.
Adjust for Premium Due on Surrender/Loan Quotes past the PTD	The Allow Both Surrender/Loan Quotes Past PTD field must be set to Yes in order to access this field. This field is only applicable to traditional products. Y—Yes The surrender and loan values are adjusted to reflect the modal premium due to pay the policy past the effective date. N—No There is not an adjustment made to the surrender or loan values for the premium due.
Adjust for Premiums Due on Death Quotes Past the PTD	This field determines if death quotes are allowed past the paid to date. This field is only applicable to traditional products. Y—Yes Death quotes (and death claim processing) are allowed if the effective date of the quote is past the paid to date. If a premium is due because the death quote is processed for the base insured past the paid to date, it is deducted from the death claim proceeds. When this field is set to Yes for the base benefit, it must also be set to Yes on all benefits attached to the base, including paid-up addition benefits. N—No Death quotes cannot be processed past the paid to date of the policy.

Field	Description
Number of Days Past PTD to Allow Death Quotes	This field defines the number of days past the policy's paid to date that a death quote can be processed. For example, assume this field is 60 and the policy paid to date is 01/01/2006. A death quote can be processed through 03/01/2006. If this field is completed and the death quote is processed outside the number of days selected, the error message <i>Off Date is Outside of Grace Period</i> is displayed when the true date of death is input and the quote is not allowed. If this field is set to 000 and a death quote is processed past the paid to date, the quote is not allowed.
Refund	B—Basic S—Substandard T—Total N—No
Unearned COI Charges on ___ Surrenders	F—Full P—Partial A—All
Control Premium Calc for Waiver	This field is used to specify the type of premiums included in waiver calculations. Y—Yes A window is displayed so the options can be selected. N—No Types of premiums cannot be selected for the waiver calculation.
Use Rule of 78	This field is applicable to refunds in surrender values and death quotes. Y—Yes The system prorates the amount of unearned premiums for quarterly, semi-annual, and annual modes based on the refund logic of the modal calculation displayed below. Annual Earned Percentage $\frac{.10 + \frac{D}{365} - .10 * \frac{\text{Max}(0, D - 182.5)}{182.5} - \frac{(30 - D)}{10} * .02 * \frac{\text{Max}(0, 30 - D)}{30}}$ D = Number of days in the billing period before cancellation (this is the number of days between the beginning of the modal period date and the quote date) * = Multiplication Max () = Maximum value of the two values enclosed in the parentheses

Field	Description
Use Rule of 78 (continued)	Semi Annual Earned Percentage $.30 + .60 * \frac{\text{Max}(0, D-30)}{180} - .75 * \frac{\text{Max}(0, 30-D)}{180} - .90 * \frac{\text{Max}(0, 17-D)}{180} + .70 * \frac{\text{Max}(0, D-92)}{180} - .40 * \frac{\text{Max}(0, D-110)}{180}$ D = Number of days in the billing period before the quote date * = Multiplication Max () = Maximum value of the two values enclosed in the parentheses Quarterly Earned Percentage Min (1.00, 2 * Semi-annual earned percentage) * = Multiplication Min () = Minimum value of the two values enclosed in the parenthesis. N—No The system uses a <i>to the day</i> logic which is based on the number of days in the billing period less the number of days in the billing period before cancellation, divided by the number of days in the modal billing period, and multiplied by the modal premium.
Waive Premium if: Payor Waiver in Effect	Y—Yes If a policy is on waiver due to a payor waiver benefit, the premium for this benefit is waived also. This is the default. N—No If a policy is on waiver due to a payor waiver benefit, the premium for this benefit is not waived. The premium is billed. This field only applies to PT—Paid-up term and PP—Paid up purchase agreement riders.
Waive Premium if: Waiver in Effect	Y—Yes If a policy is on waiver, the premium for this benefit is waived also. This is the default. N—No If a policy is on waiver, the premium for this benefit is not waived. The premium is billed. This field only applies to PT—Paid up term and PP—Paid up purchase agreement riders.

Field	Description
Flag SEP Systematic Withdrawals As Irrevocable/Revocable	This field indicates if a substantially equal payment (SEP) systematic request can be designated as revocable or irrevocable. Y—Yes A SEP systematic request must be designated as revocable or irrevocable. After the life expectancy calculation method is selected for the SEP process, a window is displayed to designate the SEP as either revocable or irrevocable. If the SEP is irrevocable, there are several edits and warnings that do not allow the SEP to be changed. N—No This is the default. The SEP cannot be designated as irrevocable. Therefore, the SEP Election Option window is not displayed when the SEP Systematic Request is set up.
Allow Benefit Change Prior to PTD	This field specifies if benefit changes with effective dates earlier than the paid to date are allowed on this coverage. This field is valid only for coverages with line of business L—Traditional. Y—Yes Benefit changes with effective dates earlier than the paid to date are allowed on this coverage. Refunds of premiums are generated for resulting premium decreases. The effective date cannot be before the last anniversary date or before any processed event. N—No Benefit changes on this coverage can only be processed if the effective date is equal to the paid to date.
Spectator Reduction Method	This field determines if the spectator fund on a shadow fund policy is reduced by the gross withdrawal amount or the net withdrawal amount when a partial withdrawal is processed. N—Net The spectator fund is reduced by the net withdrawal amount. When this field is set to Net, the Reduce Other Funds field on the SU—Shadow Benefit Use Segment must be set to Dollar For Dollar for all events. If any of the events under the Reduce Other Funds field are set to Proportionality, the error message <i>Net Spectator Reduction Method Not Valid With Proportionality</i> is displayed when the policy is submitted. The policy cannot be submitted until all of the events under the Reduce Other Funds field on the SU Segment are set to Dollar For Dollar. G—Gross The spectator fund is reduced by the gross withdrawal amount. This is the default.
Allow Early Paid Up	This field determines if the policy can be fully paid up prior to its scheduled pay up date by accepting additional premium. Y—Yes The policy can be paid up prior to its scheduled pay up date if additional premium is received. N—No The policy cannot be paid up prior to its scheduled pay up date. This is the default.

Field	Description
Guarantee Rider/Benefit Minimum Deduction Period is Greater Of	This field determines the values to compare when calculating the minimum deduction period for GB—Guaranteed Benefits. If the Attained Age or Duration field is left blank, it is not used in the comparison. If both the Attained Age and Duration fields are left blank, a minimum period is not specified.

Waiver Calculation Window

The Waiver Calculation window is displayed when the Control Premium Calculations for Waiver Benefits field is set to **Yes**.

Enter Waiver Criteria

Include Premium in Waiver Calculations: Both Regular and payor Waiver

Include Policy Fee: Regular Waiver Only

Include Policy Fee in Additional W1 and W2 Premium Calculations: W1 Premiums Only

OK
Cancel

The following table contains definitions for the fields on the Waiver Criteria screen.

Field	Description
Include Premium in Waiver Calculations	B—Both Regular and payor Waiver The premium, policy fee, or both for this benefit is included in both regular and payor waiver calculations. This option is available for WP, SW, PS, and PJ component types. P—Payor Waiver only The premium, policy fee, or both for this benefit is included in payor waiver calculations only. This option is available for PS and PJ component types. R—Regular Waiver Only The premium, policy fee, or both for this benefit is included in regular waiver calculations only. This option is available for WP and SW component types. N—Neither Regular nor Payor Neither the premium nor the policy fee for this benefit is included in waiver calculations. S—Special by Parent Sequence The premium, policy fee, or both for this benefit is included by parent sequence if the parent sequence does not equal 01. W—Waived by Benefit Units This option is used when normal waiver is attached to a benefit other than the base benefit and premiums for this waiver are based on units. E—Exclude from UL or Monthly Deduction Calc The premium amount for the benefit is not included in the waiver of monthly deduction calculations.
Include Policy Fee	If an option selected in the Include Premium Waiver Calculations field includes the premium, indicate in this field if the policy fee is also included. R—Regular Waiver Only The premium and policy fee for this benefit are included in regular waiver calculations only. This option is available for WP and SW component types. P—Payor Waiver only The premium and policy fee for this benefit are included in payor waiver calculations only. This option is available for PS and PJ component types. B—Both Regular and Payor Waiver The premium and policy fee for this benefit are included in both regular and payor waiver calculations. This option is available for WP, SW, PS, and PJ component types.

Field	Description
Include Policy Fee (continued)	N—Neither Regular nor Payor Neither the premium or policy fee for this benefit is included in waiver calculations. S—Special by Parent Sequence The premium and policy fee for this benefit are included by parent sequence if the parent sequence does not equal 01. W—Waived by Benefit Units This option is used when normal waiver is attached to a benefit other than the base benefit and premiums for this waiver are based on units.
Include Policy Fee in Additional W1 and W2 Premium Calculations	1—W1 Premiums Only Only include the policy fee in additional W1 calculations. 2—W2 Premium Only Only include the policy fee in additional W2 calculations. B—Both W1 and W2 Premiums Include the policy fee in additional W1 and W2 calculations. N—Neither not Applicable The policy fee is not included in additional W1 or W2 calculations.

Chapter 5 Segment List Access

Click **Segments** from any of the four Coverage screens to display the Segment List. Segments are additional definition records which define rules for the coverage, or act as pointers to a rate file. Each coverage can have a unique set of segments attached or coverages can share common segments.

Type	Segment Description		Segment ID
UH	Target Premiums	Yes	UL1 >>
UG	Minimum Premiums	Yes	UL1 >>
UF	Per Policy Monthly Exp	Yes	UL1 >>
LN	Loan Interest Rates	Yes	UL1 >>
U1	Premium Load Fees	No	>>
U2	Premium Load Pcts	Yes	UL1 >>
U3	Per Thousand Exp Load	No	>>
U4	Surr Rate Amortization	No	>>
U5	Guar COI Rates	Yes	UL1 >>
U6	Curr COI Rates	Yes	UL1 >>
U7	Full Surr Load Fee	No	>>
U8	Full Surr Load Pct	No	>>

Page 1 of 13

Buttons: Sort List, Date Subst, Select, Next, Previous, OK, Cancel

The list of segments available vary according to the line of business of the coverage.

- Traditional
- Universal Life
- Annuity
- Health
- Immediate Annuity

A detailed definition of each segment is available in the Segment section of documentation. Before using a segment, it is important to review the purpose of the segment in the Segment section of documentation.

Click **Next** and **Previous** to move through the pages of the Segment List.

Click **Sort List** to view the Segment List in alphabetical order.

5.1 Segments—Update or Activate

Select Segments on Coverage			
Type	Segment Description	Segment ID	
UH	Target Premiums	Yes	UL1 >>
UG	Minimum Premiums	Yes	UL1 >>
UF	Per Policy Monthly Exp	Yes	UL1 >>
LN	Loan Interest Rates	Yes	UL1 >>
U1	Premium Load Fees	No	>>
U2	Premium Load Pcts	Yes	UL1 >>
U3	Per Thousand Exp Load	No	>>
U4	Surr Rate Amortization	No	>>
U5	Guar COI Rates	Yes	UL1 >>
U6	Curr COI Rates	Yes	UL1 >>
U7	Full Surr Load Fee	No	>>
U8	Full Surr Load Pct	No	>>

Sort List
 Date Subst
 Select
 Next
 Previous
 OK
 Cancel

Page 1 of 13

Complete the following steps to activate a segment.

1. Access the applicable Coverage Record.
2. Click **Segments** to display the Segment List.
3. Press **F10**.
4. Position the cursor on the Y/N field for the segment to access and select **Y—Yes**. The Segment ID field defaults to the coverage ID.
5. To define a unique segment for this coverage, accept the default or type in an existing segment ID. A cross reference list of existing segment IDs is available by clicking >> from the Segment ID field.
6. From either the Y/N or Segment ID field, click **Select** to access the actual segment.

Chapter 6 Effective Date Substitution

Effective Date Substitution allows a different value to be substituted for the original value of one segment on a segment list. The segment type on the substitution record (such as PR, UG, or LP) designates the segment for which a substitution is provided.

The substitution is effective on the substitution record effective date or as of the next policy anniversary following the effective date. Each of the substitution records is also defined by type (coverage, policy, client ID, list bill group, or individual state), and the gender of the insured.

If multiple Effective Date Substitution records exist, the substitution records are searched from the least specific substitution record to the most general substitution record. Each record found overlays the previous record.

6.1 Substitution Processing Priority

1. Coverage Record
2. State
3. Group
4. Account/Client
5. Policy

6.2 Effective Date Substitution Notes

- It is important to note that when an Effective Date Substitution record is attached to a Coverage Record, it applies only to that particular coverage record. In order for the Effective Date Substitution record to apply to any Issue Date Substitution record attached to the coverage, it must be individually added to the Issue Date Substitution record.
- When an Effective Date Substitution record has the Substitute field set to **No**, the substitution has the effect of turning off the segment. The Substitute Code **No** turns off the segment included on the original segment list.

6.3 Effective Date Substitution Field Definitions

Effective Date Substitution

Record Attached

Directly To Coverage

Coverage ID UL1

Type Flag Coverage Only Substitution

Effective Date 04/18/2000

Gender Code Both

Segment Type

Description

Effective as of Next Anniv No

Substitute

Segment ID

Index 0

OK

Cancel

The following table contains descriptions of the Effective Date Substitution record fields.

Field	Description
Record Attached	This field indicates if this Effective Date Substitution Record is added to a Coverage Record or to an Issue Date Substitution Record. If the record is attached to a Coverage Record, Directly To Coverage is displayed. If the record is attached to an issue date, Issue Substitution is displayed.
Coverage ID	The coverage ID of the coverage to which the Effective Date Substitution Record is attached is displayed in this field. This may be directly attached to the coverage segment list or attached to an Issue Date Substitution Record which is, in turn, attached to the coverage.
Issue Date	If the Effective Date Substitution Record is attached to an Issue Date Substitution Record, the issue date from the Issue Date Substitution Record is displayed.

Field	Description
Type Flag	The substitution type is displayed in this field. C—Coverage Only Substitution Use this record to substitute for a coverage. P—Company and Policy Use this record to substitute for one policy only. If Policy is selected, a selection window is displayed. Input the policy number to which the record applies. L—Client Use this record to substitute for all policies under one client ID. If Client is selected, a window is displayed. Input the client ID to which the record applies. G—List Bill Group Use this record to substitute for one list bill group only. If Group is selected, a window is displayed. Input the group number to which the record applies. R—Company and Group Contract Use this record to substitute for policies in a single group contract. S—State Use this record to substitute for one state only. If State is selected, a window is displayed. Input the state to which the record applies.
Effective Date	The effective date of the substitution record is displayed in this field.
Gender Code	The gender of the insured to which this record applies is selected in this field. M—Male F—Female @—Both
Segment Type	Input the desired segment for the substitution record in this field.
Description	This field defaults to the description for the segment selected in the Segment Type field.
Effective as of Next Anniv	This field determines if the record is effective as of the effective date of the substitution record, or as of the next policy anniversary. Y—Yes The record is effective as of the next policy anniversary following the effective date. N—No The record is effective as of the effective date.

Field	Description
Substitute	This field determines if the segment is substituted by this record. Y—Yes The substituted segment is active; the Segment ID field must be entered. N—No The substituted segment is turned off. The segment is not substituted and the segment on the original segment list is not used.
Segment ID	If the Substitute field is set to Yes , input the segment ID of the substitution.
Index	

The following example illustrates how a substitution is set up. The Segment List for the product used in the example is shown below.

Select Segments on Coverage

Type	Segment Description	Segment ID	
PR	Premiums	Yes	WL >>
CV	Cash Values	Yes	WL >>
DV	Dividends	No	>>
DN	Dividends, Non Prem Pay	No	>>
PF	Policy Fee	No	>>
LN	Loan Interest Rates	Yes	WL >>
DB	Death Benefits	No	>>
AB	Addl Death Benefits	No	>>
AP	Addl Premiums, Deposits	No	>>
RD	Endowment, Deposit Return	No	>>
	Reserved	No	>>
RV	Reserve Factors	Yes	WL >>

Page 1 of 10

Sort List

Date Subst

Select

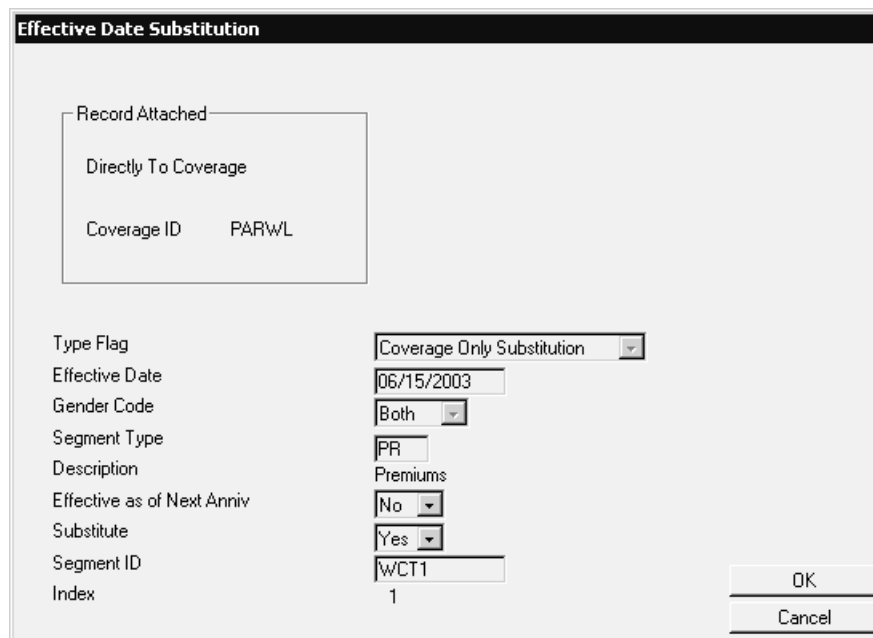
Next

Previous

OK

Cancel

An Effective Date Substitution Record substitutes the new PR Segment for the original PR Segment.



The dialog box titled "Effective Date Substitution" contains the following fields and controls:

- Record Attached:** A box containing "Directly To Coverage" and "Coverage ID PARWL".
- Type Flag:** A dropdown menu set to "Coverage Only Substitution".
- Effective Date:** A text field containing "06/15/2003".
- Gender Code:** A dropdown menu set to "Both".
- Segment Type:** A text field containing "PR".
- Description:** A text field containing "Premiums".
- Effective as of Next Anniv:** A dropdown menu set to "No".
- Substitute:** A dropdown menu set to "Yes".
- Segment ID:** A text field containing "WCT1".
- Index:** A text field containing "1".
- Buttons:** "OK" and "Cancel" buttons at the bottom right.

The segment for which a substitute is provided can be on a segment list attached directly to a coverage as in the previous example, or the segment list can be part of an Issue Date Substitution Record which, in turn, is attached to a coverage. Refer to Section 7—Issue Date Substitution on page 7-1 in this book for additional information about Issue Date Substitution Records.

The segment list is part of an Issue Date Substitution Record.

Issue Date Product Substitution						
Coverage ID	115000	>>	LOB	L	Sub Type	Coverage Only Substitution
Issue Date	01/01/1993				Sex Code	Both
Substitute Entire Coverage with Coverage ID (non-blank will override any Segment Entries)						
or Substitute Individual Segments						
Type	Description	Y/N	Segment ID	Substitute	Segment ID	
PR	Premiums	Y	115000	Yes	115000	>>
CV	Cash Values	N		No		>>
DV	Dividends	N		No		>>
DN	Dividends, Non Prem Pay	N		No		>>
PF	Policy Fee	Y	115100	Yes	115100	>>
LN	Loan Interest Rates	N		No		>>
DB	Death Benefits	N		No		>>
AB	Addl Death Benefits	N		No		>>
AP	Addl Premiums, Deposits	N		No		>>
RD	Endowment, Deposit Return	N		No		>>
Page 1 of 12						Coverage Xref Eff Date Subst Ties to Iss Subst Next Previous OK Cancel

The Issue Date Substitution Record has the UH—Target Premiums Segment. An Effective Date Substitution Record tied to the Issue Date Substitution Record substitutes the value for the Issue Date Substitution UH Segment.

Effective Date Substitution	
Record Attached	
Directly To Coverage	
Coverage ID	UL1
Type Flag	Coverage Only Substitution
Effective Date	01/13/2003
Gender Code	Both
Segment Type	UH
Description	Target Premiums
Effective as of Next Anniv	Yes
Substitute	Yes
Segment ID	UL34
Index	1
OK Cancel	

6.4 Effective Date Substitution Record Functions

The Effective Date Substitution Record can be accessed from the Component File, the Coverage record, or the Segment List.

Effective Date Substitution Record—Access from Coverage Record

Complete the following steps to view the details of an existing Effective Date Substitution Record from the Coverage Record.

1. Select **Coverage Record** from the Product System Main Product Menu.
2. When the first screen of the Coverage Record is displayed, click >>. The Coverage Cross Reference screen is displayed.
3. Select a coverage which has an Effective Date Substitution Record attached. A substitution window is displayed. It indicates that there is an Effective Date Substitution Record attached to this coverage.

Coverage File - Screen 1 of 4

Coverage ID: KGFWL >> Line of Business: Universal Status Code: A

Coverage Description: UNIVERSAL LIFE - MONTHAVERSARY

Issue Ages: []

Policy Fee: 0.00 Ext Reins: No

Form Number: CT8-12A

Whole Life And Endowment: [] Non Participating: [] Combined UWCLS: []

'First / 'Last to Die: []

Increases: True Age LOB-UL

Age/Opt/Pct Maximum Allowable

Tbl/None	Rating	Lmt	Flat Extra
Percent		999.99	99.99
Percent		999.99	99.99

Values Represent: Face

Minimum Issue Amount: 5000 0 0 0 0 0

Maximum Issue Amount: 999999999 0 0 0 0 0

Through Age: 70 0 0 0 0 0

Buttons: Detail, Cancel, List Options..., Notes, Date Subst, Segments, Issue Limits, Tie to Coverage, Imaging..., Subst Trace, Next, Previous, OK, Cancel

4. Position the cursor on **Effective Date Substitution** in the window and click **Detail**. The Effective Date Substitution Record screen is displayed.

- Press **F7** from the Effective Date Substitution screen. The Substitution Cross Reference screen is displayed.

Select Substitution Cross Reference Item			
Coverage ID	Substitution Type	Issue Date	Gender
ART44	Coverage Only Substitution	01/01/1985	@
BWL	Coverage Only Substitution	01/01/1995	@
BWL	Coverage Only Substitution	01/01/1997	@
JAO ART	Coverage Only Substitution	01/15/1997	@
JAO ART	Coverage Only Substitution	01/01/1998	@
LMEB9615J	Coverage Only Substitution	01/01/1997	@
LMEB9615J	Coverage Only Substitution	03/01/1999	@
ONEYRTERM	Co 01 Polc PDM0166	12/01/1989	@
ONEYRTERM	Co 01 Polc PDM0167	12/01/1989	@
OP	Co 01 Polc 00000003806J	06/26/1990	@
OP	Co 01 Polc 00000003806J	12/26/1990	@
OP	Co 01 Polc 00000004045J	07/27/1990	@
OPII	State CA	09/01/1997	@
OPII	State CO	09/01/1997	@
OPII	State CT	01/01/1999	@

- Click on the desired substitution record. The selected Effective Date Substitution Record is displayed.

Effective Date Substitution	
Record Attached	
Directly To Coverage	
Coverage ID	KGFWL
Type Flag	Coverage Only Substitution
Effective Date	04/18/2000
Gender Code	Both
Segment Type	PR
Description	Premiums
Effective as of Next Anniv	No
Substitute	Yes
Segment ID	WL11
Index	1

7. Press **F10**. The cursor moves to the bottom half of the Effective Date Substitution window.
8. To view the substitute segment, press **F4**.

Effective Date Substitution Record—Access from Component File

Complete the following steps to view an Effective Date Substitution Record beginning at the Component File screen.

1. From the Component screen linked to a coverage with an Effective Date Substitution Record, press **F4**. A window is displayed to indicate that there is a substitution record attached to the coverage.

The screenshot displays the 'Product Component File' window. At the top, there are fields for Product (KGFwL), Component (1), State (IN), and Effective Thru (01/01/2100). Below these, a 'Select An Option' dialog box is open, showing 'Tied To Coverage KGFwL' and 'Effective Date Substitution' with a '>>' button. The main window contains various fields for policy details, including Gender (Both), Print ID Card (No), Inspection Tables (Base Only), Policy Add, Ben Add/SP Inc, Ben Chg, Default Issue Amount, Absolute Amt, % Pcnt of Base, App Fee, Refundable, Override? (Yes), Base Rate on Comm (Not Applicable), Prem (Not Applicable), Max # of Annuitants, Min # of Annuitants (No Annuitants), Min # of Payees, Limits Apply? (Insured), Value Type (Face), and Issue Age Limits (Min Issue Amount: 1000, Max Issue Amount: 5500000, Through Age: 80). At the bottom, there are sections for 'Components Necessary for Issue' and 'Mutually Exclusive Components', each with a row of checkboxes. On the right side, there are buttons for 'List Options...', 'Notes', 'Coverage', 'Next', 'Previous', 'OK', and 'Cancel'.

2. Place the cursor on the Effective Date Substitution line in the window and click **Detail** to view the substitution record. An Effective Date Substitution screen is displayed with default values. The Type flag is set to **Coverage Only Substitution**, and the Effective Date is the system date.
3. Click **>>** for a cross reference list of substitution records and select the one to view.

Effective Date Substitution—Access from Segment List

Complete the following steps to view an Effective Date Substitution record from the Segment List.

1. Display the segment list for a coverage which has an Effective Date Substitution Record attached.
2. Click on a segment which has been set to **Yes** and press **F3**. The Effective Date Substitution Record is displayed with default values, including the segment ID and description for the selected segment.
3. Click **>>** for a cross reference list of substitution records and select the one to view.

Effective Date Substitution—Add New Record

The screenshot shows a dialog box titled "Effective Date Substitution". It contains a section labeled "Record Attached" with a sub-label "Directly To Coverage" and a text field "Coverage ID" containing the value "UL1". Below this, there are several fields for input: "Type Flag" with a dropdown menu set to "Coverage Only Substitution", "Effective Date" with a date field containing "04/18/2000", "Gender Code" with a dropdown menu set to "Both", "Segment Type" with an empty text field, "Description" with an empty text field, "Effective as of Next Anniv" with a dropdown menu set to "No", "Substitute" with a dropdown menu set to "No", "Segment ID" with an empty text field, and "Index" with a text field containing "0". At the bottom right, there are "OK" and "Cancel" buttons.

Complete the following steps to add a new Substitution Record.

1. From the segment list or from the Issue Date Substitution Record, click **Date Subst.** Or, if the Message Notification window is displayed with the message that a Substitution Record exists, click **Detail**.
2. Input the effective date of the substitution.

3. Input the segment type that will be substituted in the Segment Type field. The Description field is completed automatically.
4. Press **F8** to add a new record. The cursor moves to the lower section of the substitution window.
5. Enter the desired values in the Y/N field. If a **Yes** is entered, type the ID of the desired segment in the Segment ID field. If an **No** is entered to turn off the segment, no value can be entered in the Segment ID field.
6. Click **OK** to save the record or click **Cancel** to exit without saving.

Effective Date Substitution—Delete a Record

Complete the following steps to delete an Effective Date Substitution Record.

1. Display the Effective Date Substitution record to be deleted.
2. Press **Alt+F8**. A Confirmation window is displayed.

The screenshot shows a software window titled "Effective Date Substitution". Inside, there is a section labeled "Record Attached" which contains a box with "Directly To Coverage" and "Coverage ID KGFwL". Below this is a list of fields: Type Flag, Effective Date, Gender Code, Segment Type, Description, Effective as of Next Anniv, Substitute, Segment ID, and Index. A smaller "Select Response" dialog box is overlaid on the main window. This dialog contains the text "DelKGFwL0000000004182000?", two buttons labeled "Yes" and "No" (the "No" button is highlighted with a dashed border), and a "Cancel" button at the bottom right. The main window also has "OK" and "Cancel" buttons at the bottom right.

3. Click on **Yes** to confirm the deletion.

6.5 Effective Date Substitution History

Product history for a selected Effective Date Substitution Record can be viewed. This option is only available if the Keep Product History field for the default company (00) on the Management Options screen is **Yes**.

1. Display the Effective Date Substitution Record for which to view history.
2. Press **Alt+H**. The most recent Effective Date Substitution History Record is displayed with the message *History Record Display* at the bottom of the screen.

Effective Date Substitution

Record Attached

Directly To Coverage

Coverage ID UL1

Type Flag Coverage Only Substitution

Effective Date 04/22/2000

Gender Code Male

Segment Type UG

Description Minimum Premiums

Effective as of Next Anniv Yes

Substitute No

Segment ID

Index 2

Flag SEP Systematic Withdrawals As Irrevocable/Revocable No

Number of Segments 1

OK Cancel

Options... Substitution Segments Issue Limits to Coverage Imaging... Abst Trace Next Previous OK Cancel

Version: U.I.C.W Delivery: 0.900 Installation Date: 00/00/1999 Client ID: 0707

History Record Display

NOTE

The display does not indicate which fields were changed, so careful inspection of the screen may be required to detect the values which were changed.

Press the **Page Up** and **Page Down** keys to move through the History Records. When the most recent History Record is displayed, the message *No Further History* is displayed at the bottom of the screen. When the first History Record is displayed, the message *No Previous History* is displayed at the bottom of the screen.

Complete the following steps to view the Coder ID and Change Date window for the most recent change to an Effective Date Substitution Record.

1. Display the Effective Date Substitution Record screen for which to view history.
2. Press **Alt+L**. The coder ID, date, and time of the last change to this Effective Date Substitution Record are displayed.



3. Click **Cancel** to exit the Effective Date Substitution Coder ID and Change Date window.

Chapter 7 Coverage History

Product history can be viewed for a selected coverage. This option is only available if the Keep Product History field for the default company (00) on the Management Options screen is **Yes**.

Complete the following steps to view the History Records for a coverage.

1. From the Product Menu select **Coverage Records**. The first Coverage File screen is displayed.
2. Input the coverage ID in the Coverage ID field, or click >> from the Coverage ID field to select a coverage from the cross reference list. The first Coverage File screen is displayed.

Coverage File - Screen 1 of 4

Page 1 | Page 2 | Page 3 | Page 4

Coverage ID: >> Line of Business: Allow As Shadow Coverage: Status Code:

Coverage Description:

Company Number: Issue Ages: Minimum: Maximum: Policy Fee: Ext Reins:

Reporting Number: Form Number:

Policy/Rider Basis: Exhibit ID: Non Participating: Combined UWCLS: ☐

Gender Basis: Age Calc: First / Last to Die:

Age Basis: Number Of Underwriting Classes?: Age Basis For UL Increases:

Underwriting			Substd	Age/Opt/Pct	Maximum Allowable	
Cls Code	Class Code	Description	Flat	Tbl/None	Rating	Flat Extra
☐ S	SMOKER		Yes	None		999.99
☐ N	NONSMOKER		Yes	Percent		999.99
☐ 2	ROBIN		Yes	Percent		202.02
☐						
☐						

Values Represent:

Minimum Issue Amount	5000	0	0	0	0	0
Maximum Issue Amount	999999999	0	0	0	0	0
Through Age	70	0	0	0	0	0

List Options...
 Notes
 Date Subst
 Segments
 Issue Limits
 Tie to Coverage
 Imaging...
 Subst Trace
 OK
 Cancel

3. Press F10.

4. Press **Alt+H**. The most recent coverage history record is displayed with the message *History Record Display* at the bottom of the screen.

NOTE

The display does not indicate which fields were changed, so careful inspection of the screen may be required to detect the values were changed.

Press **Page Up** and **Page Down** to move through the different screens for the Coverage History Record. If there is more than one history record for the same Coverage Record, press **Ctrl+Page Up** and **Ctrl+Page Down** to move from one history record to another.

A Coverage History Record is created each time a Coverage Record is actually updated. In addition, a Coverage History Record is created when a new segment is added to the segment list for the coverage. In this case, the Coverage History Record is identical to the current Coverage Record, but the segment list displayed from the Coverage History Record is different from the one displayed on the current Coverage Record.

1. To view the Coder ID and Change Date window for the most recent change to a coverage, display the Coverage screen on which to view the history.
2. Press **Alt+L**. The coder ID, date, and time of the last change to this Coverage Record are displayed.



3. Click **Cancel** to exit the Coder ID and Change Date window.

7.1 Segment List for Coverage History Record

Complete the following steps to view the Segment List attached to a Coverage History Record.

1. Display the Coverage History Record for which the segment list is to be displayed.
2. Click **Segments** from the Coverage History Record. The Segment List for the Coverage History Record is displayed.

Select Segments on Coverage				
Type	Segment Description		Segment ID	
PR	Premiums	Yes	PARWL	>>
CV	Cash Values	Yes	PARWL	>>
DV	Dividends	Yes	PARWL	>>
DN	Dividends, Non Prem Pay	No		>>
PF	Policy Fee	No		>>
LN	Loan Interest Rates	Yes	PARWL	>>
DB	Death Benefits	No		>>
AB	Addl Death Benefits	No		>>
AP	Addl Premiums, Deposits	No		>>
RD	Endowment, Deposit Return	No		>>
	Reserved	No		>>
RV	Reserve Factors	Yes	PARWL	>>

Page 1 of 10

3. The segments identified by the Segment List displayed cannot be accessed directly from this screen. Use the segment display or segment history display to access segments.

[This page intentionally left blank.]

SECTION 5 RATES AND FACTORS

Chapter 1	Rates and Factors Introduction.....	5-5
Chapter 2	Attained Age Rate File	5-7
2.1	Attained Age Rate File Record—Add	5-8
2.2	Attained Age Rate Functions	5-10
	Attained Age Rates—Replicate	5-10
	Attained Age Rates—View	5-10
	Attained Age Rates—Update	5-10
	Attained Age Rates—Shift	5-10
	Attained Age Rate Math Functions	5-11
	Attained Age Rates—Clone	5-12
2.3	Attained Age Rate File Cross Reference	5-13
2.4	Attained Age Rate History	5-14
Chapter 3	Age/Duration Rate File	5-16
3.1	Age/Duration Rate File Record—Add	5-17
3.2	Age/Duration Rate Functions	5-19
	Age/Duration Rates—Replicate	5-19
	Age/Duration Rates—View	5-19
	Age/Duration Rates—Update	5-19
	Age/Duration Rates—Shift	5-19
	Age/Duration Math Functions	5-20
	Age/Duration Rates—Mass Copy	5-21
	Age/Duration Rates—Range Copy	5-22
	Age/Duration Rates—Copy	5-23
3.3	Age/Duration Rate File Cross Reference	5-24
3.4	Age/Duration Rate History	5-25
Chapter 4	Declared Interest Rate File	5-27
4.1	Declared Interest Rate Segment ID Sample.....	5-28
	Interest Crediting Segment Criteria Screen	5-29
	Interest Crediting Segment Criteria Screen Field Definitions	5-30
4.2	Declared Interest Rate File.....	5-33
	Declared Interest Rate File Field Definitions	5-34
	Declared Interest Rate File—Add New Record	5-38
	Declared Interest Rate File Cross Reference	5-39
4.3	Declared Interest Rate History	5-40
Chapter 5	Miscellaneous Factors File	5-42
5.1	Miscellaneous Factors Maintenance	5-43
	Miscellaneous Factors Record—View	5-43
	Miscellaneous Factors Record—Update	5-43

	Miscellaneous Factors Cross Reference	5-44
Chapter 6	Consumer Price Index	5-45
6.1	Consumer Price Index—Update	5-46
6.2	Consumer Price Index—Delete	5-46
Chapter 7	Issue Benefit Rates	5-47
Chapter 8	Units By Fund ID and Coverage ID	5-48
8.1	Units by Fund and Coverage ID Functions	5-49
	Units by Fund and Coverage ID—Access	5-49
	Units by Fund and Coverage ID—Add	5-49
	Units by Fund and Coverage ID Function Key Options	5-50
	Units by Fund and Coverage ID Field Definitions	5-50
8.2	Unit Values by Fund and by Coverage Detail Window	5-52
Chapter 9	Units by Fund ID and Date	5-53
9.1	Units by Fund ID and Date Functions	5-54
	Units by Fund ID and Date—Access	5-54
	Units by Fund ID and Date—Add	5-54
	Units by Fund ID and Date Function Key Options	5-55
9.2	Unit Values by Fund and by Date Detail Window	5-56
Chapter 10	Units by Effective Date	5-57
10.1	Units by Effective Date Functions	5-58
	Units by Effective Date—Access	5-58
	Units by Effective Date—Add	5-58
Chapter 11	Units By Unit ID	5-60
11.1	Units by Unit ID Functions	5-61
	Units by Unit ID—Access	5-61
	Units by Unit ID—Add	5-61
Chapter 12	Currency Exchange	5-63
12.1	Multiple Currency Table Function Keys	5-64
Chapter 13	Unit Price ID	5-65
13.1	Charge Band ID	5-68
13.2	Annual M&E Charges	5-69
Chapter 14	Accumulation Windows	5-70
14.1	Accumulation Windows Functions	5-71
	Accumulation Windows—Access	5-71
	Accumulation Windows—Add	5-71
	Accumulation Windows—Delete	5-71

Chapter 15	Mortality and Expense Factors	5-72
-------------------	--	-------------

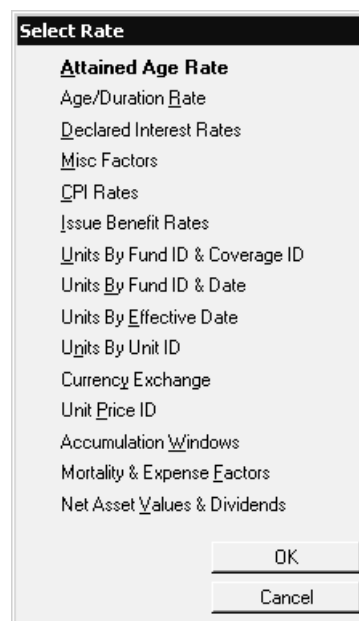
Chapter 16	Net Asset Values and Dividends	5-75
16.1	NAV and Dividends by Fund/Unit ID	5-76
16.2	Net Asset Values and Dividends by Effective Date	5-78

[This page intentionally left blank.]

Chapter 1 Rates and Factors

Introduction

Product related rates and factors are input through the Rates and Factors function of the Product System.



There are several rates files that can be added, updated, and deleted using the Rates and Factors option.

- Attained Age Rates
- Age/Duration Rates
- Declared Interest Rates
- Miscellaneous Factors
- CPI Rates
- Issue Benefit Rates
- Units By Fund ID and Coverage ID
- Units By Fund ID and Date
- Units By Effective Date
- Units By Unit ID
- Currency Exchange

- Unit Price ID
- Accumulation Windows
- Mortality & Expense Factors
- Net Asset Values & Dividends

Chapter 2 Attained Age Rate File

NOTE

The Attained Age Rate File is used to define rates with a type of **Attained Age** or **Issue Age**. The Rate Type field is accessible from numerous segments. Many segments provide quick access to the applicable rate file by clicking **Rates** and selecting the desired rate file.

Attained Age Rate File						
Segment ID		Type		Gender	Band	Underwriting Class
58CETL4000 >>		[X] >>		F >>	1 >>	[X] >>
Age	Rate	Age	Rate	Age	Rate	
000	507.7030400	013	122.5174595	026	97.5420722	
001	237.1096000	014	120.3036377	027	94.2480965	
002	211.5700000	015	118.6494164	028	91.2255207	
003	197.2788461	016	117.4815308	029	88.4520980	
004	184.2732988	017	116.4722820	030	85.9104661	
005	172.4297337	018	115.6017981	031	83.7188778	
006	161.6947607	019	114.8467288	032	81.7075301	
007	152.3441892	020	113.7220465	033	79.8456411	
008	143.9953065	021	111.8067694	034	78.1315307	
009	139.0877573	022	109.4187703	035	76.5407978	
010	133.2486657	023	106.8208754	036	75.1887756	
011	128.9035883	024	103.8474402	037	74.2710061	
012	125.3644428	025	100.7459058	038	74.2945932	

Complete the following steps to access the Attained Age Rate File.

1. Select **Rates And Factors** from the Product System Main Menu. The Rate File Menu is displayed.
2. Select **Attained Age Rate**. The Attained Age Rate File is displayed.

2.1 Attained Age Rate File Record—Add

Attained Age Rate File

Segment ID >> Type ☒ >> Gender >> Band >> Underwriting Class ☒ >>

Age	Rate	Age	Rate	Age	Rate
000	507.7030400	013	122.5174595	026	97.5420722
001	237.1096000	014	120.3036377	027	94.2480965
002	211.5700000	015	118.6494164	028	91.2255207
003	197.2788461	016	117.4815308	029	88.4520980
004	184.2732988	017	116.4722820	030	85.9104661
005	172.4297337	018	115.6017981	031	83.7188778
006	161.6947607	019	114.8467288	032	81.7075301
007	152.3441892	020	113.7220465	033	79.8456411
008	143.9953065	021	111.8067694	034	78.1315307
009	139.0877573	022	109.4187703	035	76.5407978
010	133.2486657	023	106.8208754	036	75.1887756
011	128.9035883	024	103.8474402	037	74.2710061
012	125.3644428	025	100.7459058	038	74.2945932

Complete the following steps to add a new Attained Age Rate File Record.

1. Access the Attained Age Rate File and complete the top line of information.
2. Click **OK**. The message *Invalid Rate Type* is displayed.
3. Press **F10**.
4. Add the rate for each corresponding age. Note that there are three pages to the Rate File. Click **Next** and **Previous** to move between pages.
5. Click **OK** to save the record or click **Cancel** to exit without saving.

The following table contains descriptions of the fields on the top line of the Attained Age Rate File.

Field	Description
Segment ID	This field corresponds to the rate segment ID. Input the segment ID for which rates are being added. Clicking >> from this field displays a cross reference list of the existing Rate File Records.
Type	This field corresponds to the rate segment type. Input the segment type for which you are adding rates.
Gender	Input the gender of the insured to which these rates apply. M—Male F—Female Female rates are only added if the Rate Basis field on the Rate Segment screen is Separate and Unique .
Band	If the rates are banded, this field allows rates to be added for each band. A Rate Record needs to be added for each band selected on the Rate Segment screen. If the rates are not banded, input 1 in this field.
Underwriting Class	In this field, designate the underwriting class to which these rates apply. If the Do Values Vary By Underwriting Class field on the Rate Segment screen is set to No , the rates only need to be added for the default underwriting class. The default underwriting class is the first one listed on the Coverage Record.

2.2 Attained Age Rate Functions

Attained Age Rates—Replicate

If a rate repeats for a number of different ages, replicating the rate can help save time when adding the rates. Complete the following steps to replicate a rate.

1. Input the rate for the first applicable age.
2. Click **Replicate Rates**. The rate is replicated throughout the remaining fields.
3. If there is a point where the rates stop, replicate a value of 0 to clear any remaining fields from that point forward.

Attained Age Rates—View

Complete the following steps to access an existing Attained Age Rate File Record.

1. Input the fields on the top line of the Attained Age Rate File screen, if all of the information is known, and click **OK**. Or, from the Segment ID field click >> to display a cross reference list of all existing Rate Files.
2. Click on the desired rate file. The Attained Age Rate File Record is displayed.

Attained Age Rates—Update

1. Input the fields on the top line of the Attained Age Rate screen, if all of the information is known, and click **OK**. Or, from the Segment ID field, click >> to display a cross reference list of all existing Rate Files.
2. Click on the desired rate file. The Attained Age Rate File Record is displayed.
3. Press **F10** and make the desired changes.
4. Click **OK** to save the changes or click **Cancel** to exit without saving.

Attained Age Rates—Shift

If an error is made when entering the rates (for example, one year was duplicated in error so all rates are off by one year), the remaining rates can be moved to correct the error.

Complete the following steps if rates need to be moved up one year.

1. Position the cursor on the rate that was entered in error.
2. Press **Ctrl+Arrow Up** at the same time. All rates are shifted up one line.

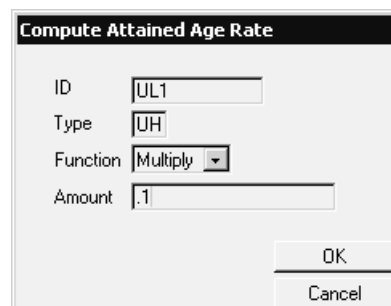
Complete the following steps if rates need to be moved down one year.

1. Position the cursor on the rate that was entered in error.
2. Press **Ctrl+Arrow Down** at the same time. All rates are shifted down one line.

Attained Age Rate Math Functions

The Math Function window can be used to increase or decrease all rates on a file by a designated factor.

For example, assume the current rates are being increased by 10% for all ages. The function selected is **Multiply** and the factor is 1.10. The resulting rates are 10% greater than the previous rates.



The screenshot shows a dialog box titled "Compute Attained Age Rate". It contains the following fields and controls:

- ID: Text box containing "UL1"
- Type: Text box containing "UH"
- Function: Dropdown menu with "Multiply" selected
- Amount: Text box containing ".1"
- OK button
- Cancel button

Complete the following steps to use the math functions window.

1. Access the desired Attained Age Rate File. Input the fields on the top line of the screen, if all of the information is known, and click **OK**. Or, from the Segment ID field click >> to display a cross reference list of all existing Rate Files. Click on the appropriate rate file to select.
2. Click **Compute Rates** to display the Math Function window.
3. Complete the ID and Type fields. These values should match the Rate File that is being manipulated.

4. Select the appropriate math function.

M—Multiply

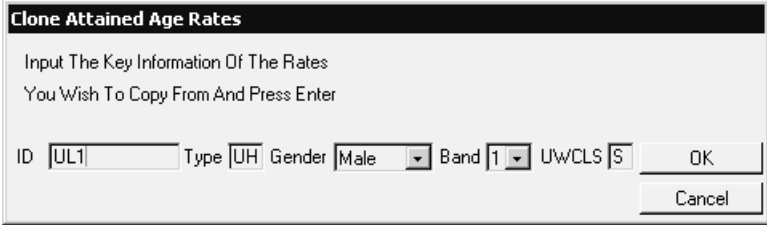
D—Divide

A—Add

5. Type the factor in the Amount field.
6. Click **OK** to process.

Attained Age Rates—Clone

The Clone option can be used to copy a set of rates from an existing set of rates.



The dialog box is titled "Clone Attained Age Rates". It contains the instruction "Input The Key Information Of The Rates You Wish To Copy From And Press Enter". Below this, there are input fields for "ID" (containing "UL1"), "Type" (containing "UH"), "Gender" (a dropdown menu showing "Male"), "Band" (a dropdown menu showing "1"), and "UWCLS" (containing "S"). To the right of these fields are "OK" and "Cancel" buttons.

Complete the following steps to clone rates.

1. Complete the selection information at the top of the screen for the new set of rates to be created.
2. Press **Alt+F9**. The Clone Attained Age Rates window is displayed.
3. Complete the window. Type the values for the rates from which you are copying.
4. Click **OK** to copy the rates.

2.3 Attained Age Rate File Cross Reference

The Attained Age Rate File Cross Reference screen provides a cross reference list of Rate File Records.

Complete the following steps to access the Attained Age Rate File Cross Reference screen.

1. Click **>>** from the Segment ID field on the Attained Age Rate screen. The Attained Age Cross Reference screen is displayed. A selection can be manually entered in the Segment ID field. The Attained Age Cross Reference screen displays the record most closely matching the selection entered as the first record.
2. Click **Next** and **Previous** to move through the pages of the cross reference list.
3. Click on the desired record. To exit the cross reference list without making a selection, click **Cancel**.

2.4 Attained Age Rate History

Product History Records for a selected Attained Age Rate Record can be viewed. This option is only available if the Keep Product History field for the default company (00) on the Management Options screen is **Yes**.

1. To view History Records for an Attained Age Rate Record, select **Attained Age Rate** from the Rates And Factors Menu. The Attained Age Rate File screen is displayed.
2. Click **>>** to display the Attained Age Cross Reference screen. The first Attained Age Rate File screen is displayed for the selected record.

Attained Age Rate File

Segment ID >> Type >> Gender >> Band >> Underwriting Class >>

Age	Rate	Age	Rate	Age	Rate
000	3.00000000	013	3.00000000	026	3.00000000
001	3.10000000	014	3.00000000	027	3.00000000
002	3.20000000	015	3.00000000	028	3.00000000
003	3.30000000	016	3.00000000	029	3.00000000
004	3.40000000	017	3.00000000	030	3.00000000
005	3.50000000	018	3.00000000	031	3.00000000
006	3.00000000	019	3.00000000	032	3.00000000
007	3.00000000	020	3.00000000	033	3.00000000
008	3.00000000	021	3.00000000	034	3.00000000
009	3.00000000	022	3.00000000	035	3.00000000
010	3.00000000	023	3.00000000	036	3.00000000
011	3.00000000	024	3.00000000	037	3.00000000
012	3.00000000	025	3.00000000	038	3.00000000

Compute Rates
Replicate Rates
Next
Previous
OK
Cancel

Cancel
Exit

Version: U.I.C.W Delivery: 0.900 Installation Date: 00/00/1999 Client ID: 0707
History Record Display - Alt-H

3. Press **Alt+H**. The most recent Attained Age Rate History Record is displayed with the message *History Record Display* at the bottom of the screen.

NOTE: The display does not indicate which fields were changed, so careful inspection of the screen may be required to detect the values which were changed.

Click **Next** and **Previous** to move through the different screens for the Attained Age Rate History Record. If there is more than one Attained Age Rate History Record for the same Rate Record, press **Ctrl+Page Up** and **Ctrl+Page Down** to move from one History Record to another.

Complete the following steps to view the Coder ID and Change Date window for the most recent change to an Attained Age Rate Record.

1. Select **Attained Age Rate** from the Rates And Factors Menu. The Attained Age Rate File screen is displayed.
2. Click >> to display the Attained Age Cross Reference screen. The first Attained Age Rate File screen is displayed for the selected record.
3. Press **Alt+L**. The coder ID, date, and time of the last change to this Attained Age Rate Record are displayed.



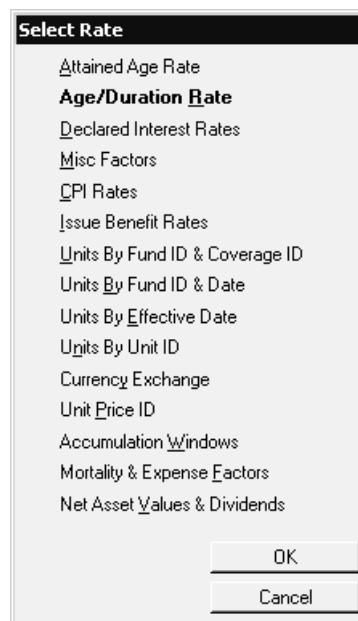
The screenshot shows a window titled "Product File". Inside the window, there are three fields: "Coder ID" with the value "KGE", "Date" with the value "12/07/2005", and "Time" with the value "09:01:32.96". To the right of these fields are two buttons: "OK" and "Cancel".

4. Click **Cancel** to exit.

Chapter 3 Age/Duration Rate File

NOTE

The Age Duration Rate File is used to define rates with a type of **Duration Only** or **Age and Duration**. The Rate Type field is accessible from numerous segments. Many segments provide quick access to the applicable rate file by clicking **Segments** and selecting the desired segment.



Complete the following steps to directly access the Age Duration Rate File.

1. Select **Rates And Factors** from the Product System Main Menu. The Rate File Menu is displayed.
2. Select **Age/Duration Rate**. The Attained Age Rate File is displayed.

3.1 Age/Duration Rate File Record—Add

Age/Duration Rate File

Coverage ID >> Type >> Age >> Gender >> Band >> Underwriting Class

Dur	Rate	Dur	Rate	Dur	Rate
001	0.0200000	014	0.0100000	027	0.0100000
002	0.0200000	015	0.0100000	028	0.0100000
003	0.0200000	016	0.0100000	029	0.0100000
004	0.0200000	017	0.0100000	030	0.0100000
005	0.0200000	018	0.0100000	031	0.0100000
006	0.0200000	019	0.0100000	032	0.0100000
007	0.0200000	020	0.0100000	033	0.0100000
008	0.0200000	021	0.0100000	034	0.0100000
009	0.0200000	022	0.0100000	035	0.0100000
010	0.0200000	023	0.0100000	036	0.0100000
011	0.0100000	024	0.0100000	037	0.0100000
012	0.0100000	025	0.0100000	038	0.0100000
013	0.0100000	026	0.0100000	039	0.0100000

Complete the following steps to add a new Age/Duration Rate File Record.

1. Complete the top line of information on the Age/Duration Rate File screen.
2. Click **OK**. The message *Invalid Rate Type* is displayed.
3. Press **F8**.
4. Add the rate for each corresponding duration in the Dur column. The Rate File contains three pages. Click **Next** and **Previous** to move between pages.
5. Click **OK** to save the record or click **Cancel** to exit without saving.

The following table contains descriptions of the fields on the top line of the Age/Duration Rate File.

Field	Description
Coverage ID	This field corresponds to the rate segment ID. Input the segment ID for which rates are being added. Clicking >> from this field displays a cross reference list of the Rate File Records.
Type	This field corresponds to the rate segment type. Input the segment type for which you are adding rates.
Age	If the rate type selected on the rate segment is Duration Only, the rates do not vary according to age. In this case, input 0 in this field. If the rate type selected on the rate segment is Age and Duration, the rates vary according to age. An Age/Duration Rate File Record needs to be added for each age.
Gender	Input the gender of the insured to which these rates apply. M—Male F—Female Female rates are only added if the Rate Basis field on the Rate Segment screen is Separate and Unique.
Band	If the rates are banded, this field allows rates to be added for each band. A Rate Record needs to be added for each band selected on the Rate Segment screen. If the rates are not banded, input 1 in this field.
Underwriting Class	In this field designate the underwriting class to which these rates apply. If the Do Values Vary By Underwriting Class field on the Rate Segment is set to No, the rates only need to be added for the default underwriting class. The default underwriting class is the first one listed on the Coverage Record.

3.2 Age/Duration Rate Functions

Age/Duration Rates—Replicate

If a rate repeats for a number of different durations, replicating the rate can help save time when adding the rates. Complete the following steps to replicate a rate.

1. Input the rate for the first applicable DUR—Duration.
2. Click **Replicate Rates**. The rate is replicated throughout the remaining fields.
3. If there is a point where the rates stop, replicate a value of 0 to clear any remaining fields from that point forward.

Age/Duration Rates—View

Complete the followings steps to access an existing Age/Duration Rate File Record.

1. Input the fields on the top line of the screen, if all of the information is known, and click **OK**. Or, from the Segment ID field, click >> to display a cross reference list of all existing Rate File Records.
2. Click on the appropriate record to select. The Age/Duration Rate File Record is displayed.

Age/Duration Rates—Update

1. Access the Age/Duration Rate File Record to be updated. Input the fields on the top line of the screen, if all of the information is known, and click **OK**. Or, from the Segment ID field, click >> to display a cross reference list of all existing Rate File Records.
2. Click on the appropriate record. The Age/Duration Rate File Record is displayed.
3. Press **F10**.
4. Make the desired changes.
5. Click **OK** to save the changes or click **Cancel** to exit without saving.

Age/Duration Rates—Shift

If an error is made when entering the rates (for example, one year was duplicated in error so all rates are off by one year), the remaining rates can be moved to correct the error.

Complete the following steps if rates need to be moved up one year.

1. Position the cursor on the rate that was entered in error.
2. Press **Ctrl+Arrow Up** at the same time. All rates are shifted up one line.

Complete the following steps if rates need to be moved down one year.

1. Position the cursor on the rate that was entered in error.
2. Press **Ctrl+Arrow Down** at the same time. All rates are shifted down one line.

Age/Duration Math Functions

The Math Function window can be used to increase or decrease all rates on a file by a designated factor.

For example, assume the current rates are being increased by .03 for all durations. The Function selected is **Add** and the Factor field is .03. All of the rates are increased by .03.

Compute Rate

ID
Type
Function
Amount

OK Cancel

Type Age Gender Band Underwriting Class

	Rate	Dur	Rate
	0.0100000	027	0.0100000
	0.0100000	028	0.0100000
	0.0100000	029	0.0100000
	0.0100000	030	0.0100000
005	0.0200000	031	0.0100000
006	0.0200000	032	0.0100000
007	0.0200000	033	0.0100000
008	0.0200000	034	0.0100000
009	0.0200000	035	0.0100000
010	0.0200000	036	0.0100000
011	0.0100000	037	0.0100000
012	0.0100000	038	0.0100000
013	0.0100000	039	0.0100000

Compute Rates

Replicate Rates

Next

Previous

OK

Cancel

Complete the following steps to use the math functions window.

1. Access the desired set of rates. Input the fields on the top line of the screen, if all of the information is known, and click **OK**. Or, from the Segment ID field, click >> to display a cross reference list of all existing Rate File Records.
2. Click on the appropriate record. The Age/Duration Rate File screen is displayed.
3. Click **Compute Rates** to display the Math Function window.
4. Complete the ID and Type fields. These values should match the Rate File that is being manipulated.
5. Select the appropriate function.

M—Multiply

D—Divide

A—Add

6. Type the factor in the Amount field and click **OK** to process.

Age/Duration Rates—Mass Copy

The age/duration rates for all ages for one rate ID can be copied to a new rate ID using the Mass Copy function.

Enter Age/Duration Mass Copy

Input The Key Information of The Rates to Copy From and To

From	ID	PARWL1	Type	CM	Gender	Male	Band	1	UWCLS	S
To	ID	PARWL2	Type	CM	Gender	Male	Band	2	UWCLS	S

OK
Cancel

Complete the following steps to copy the rates for all ages for one rate ID to another age/duration rate ID.

1. Access the Age/Duration file.
2. Press **Alt+F3**. The Age/Duration Mass Copy window is displayed.
3. Input the information from the rate ID that contains the desired rates in the From fields. This is the rate ID from which the rates are copied.
4. Input the information from the rate ID to which the rates should be copied in the To fields.
5. Click **OK**.

Age/Duration Rates—Range Copy

Age/Duration rates for a particular age can be copied to several records over a range of ages using the Range Copy function.

Enter Copy Rates By Age Range

Input the Key Information of the Rates To Copy From and To

From Record Information

ID Type Age Gender Band UWCLS

To Record Information

Age Range To Update Existing Records

OK

Cancel

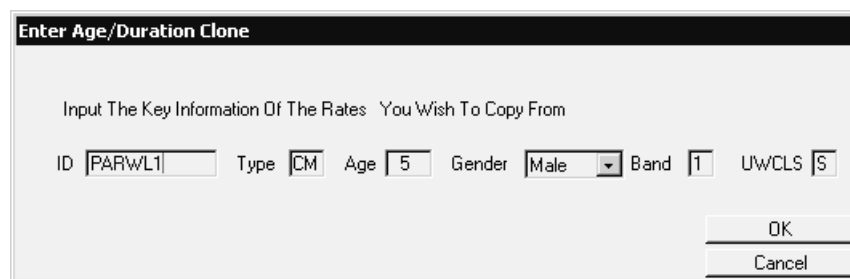
Complete the following steps to copy the rates from an existing record to several records for a specified range of ages.

1. Access the Age/Duration file.
2. Press **Alt+F4**. The Copy Rates By Age Range window is displayed.
3. Input the information from the rate ID that contains the desired rates in the From Record Information fields. This is the rate ID from which the rates are copied.

4. Input the beginning and ending ages for the range to which the rates should be copied in the Age Range fields. Select **Y—Yes** or **N—No** to indicate if an existing record for an age should be updated with the copy information. If **Yes** is selected the existing rates are overlaid. If **No** is selected, the existing rates remain on the record and the file is not updated. Only records for ages that do not have existing rates are added.
5. Click **OK**.

Age/Duration Rates—Copy

The Copy option is used to copy an existing set of rates to a new record.



Enter Age/Duration Clone

Input The Key Information Of The Rates You Wish To Copy From

ID Type Age Gender Band UWCLS

OK
Cancel

Complete the following steps to clone rates.

1. Complete the selection information at the top of the screen for the new set of rates to be created.
2. Press **Alt+F9**. The Age/Duration Clone window is displayed.
3. Complete the window. Type the values for the rates from which you are copying.
4. Click **OK** to copy the rates.

3.3 Age/Duration Rate File Cross Reference

The Age/Duration Rate File Cross Reference screen provides a cross reference list of Rate File Records.

Age Duration Cross Reference					
Coverage ID	Type	Age	Gender	Band	Uwcls
KRWPEPP	NS	051	M	1	2
LMEB9615J	DB	000	M	1	J
LTD	PR	000	M	1	S
LTGUL	SL	018	F	1	1
LTGUL	SL	018	F	1	2
LTGUL	SL	018	F	1	3
LTGUL	SL	018	F	1	4
LTGUL	SL	018	M	1	1
LTGUL	SL	018	M	1	2
LTGUL	SL	018	M	1	3
LTGUL	SL	018	M	1	4
LTGUL	SL	019	F	1	1
LTGUL	SL	019	F	1	2
LTGUL	SL	019	F	1	3
LTGUL	SL	019	F	1	4

Complete the following steps to access the Age Duration Cross Reference screen.

1. Click >> from the Segment ID field. The Age Duration Cross Reference screen is displayed. A selection can be manually input in the Segment ID field. The cross reference list then displays the record most closely matching the selection entered as the first record.
2. Click **Next** and **Previous** to move through the pages of the cross reference list.
3. Select the desired record. To exit the cross reference list without making a selection, click **Cancel**.

3.4 Age/Duration Rate History

Product History Records for a selected Age/Duration Rate Record can be viewed. This option is only available if the Keep Product History field for the default company (00) on the Management Options screen is **Yes**.

Complete the following steps to view the history for an Age/Duration Rate File Record.

1. Select **Age/Duration Rate** from the Rates And Factors Menu. The Age/Duration Rate File screen is displayed.
2. Click **>>** from the Rate ID field to select an Age/Duration Rate Record from the cross reference list. The first Age/Duration Rate File screen is displayed.

Age/Duration Rate File

Coverage ID: >> Type: >> Age: >> Gender: >> Band: >> Underwriting Class:

Dur	Rate	Dur	Rate	Dur	Rate
001	0.0210000	014	0.0200000	027	0.0200000
002	0.0200000	015	0.0200000	028	0.0200000
003	0.0200000	016	0.0200000	029	0.0200000
004	0.0200000	017	0.0200000	030	0.0200000
005	0.0200000	018	0.0200000	031	0.0200000
006	0.0200000	019	0.0200000	032	0.0200000
007	0.0200000	020	0.0200000	033	0.0200000
008	0.0200000	021	0.0200000	034	0.0200000
009	0.0200000	022	0.0200000	035	0.0200000
010	0.0200000	023	0.0200000	036	0.0200000
011	0.0200000	024	0.0200000	037	0.0200000
012	0.0200000	025	0.0200000	038	0.0200000
013	0.0200000	026	0.0200000	039	0.0200000

Compute Rates
Replicate Rates
Next
Previous
OK
Cancel

Exit

Version: U.I.C.W Delivery: 0.900 Installation Date: 00/00/1999 Client ID: 0707
History Record Display

3. Press **Alt+H**. The most recent Age/Duration Rate History Record is displayed with the message *History Record Display* at the bottom of the screen.

NOTE: The display does not indicate which fields were changed, so careful inspection of the screen may be required to detect the values which were changed.

4. Click **Next** or **Previous** to move through the screens for the Age/Duration Rate History Record. If there is more than one History Record for the same Rate Record, press **Ctrl+Page Up** and **Ctrl+Page Down** to move from one History Record to another.

Complete the following steps to view the Coder ID and Change window for the most recent change to an Age/Duration Rate Record.

1. Select **Age/Duration Rate** from the Rates And Factors Menu. The Age/Duration Rate File screen is displayed.
2. Click **>>** from the Rate ID field to select an Age/Duration Rate record from the cross reference list. The first Age/Duration Rate File screen is displayed.
3. Press **Alt+L**. The coder ID, date, and time of the last change to this Age/Duration rate record are displayed.



4. Click **Cancel** to exit.

Chapter 4 Declared Interest Rate File

The Declared Interest Rate File is used to store different types of interest and other rates. These rates are defined on the following segments.

- **A1**—Current Interest Rate Segment
- **A3**—Portfolio Rates Segment
- **G1**—Guaranteed Interest Rate Segment
- **GM**—Guaranteed Index Margin Rate Segment
- **I1**—Indexed Interest Rate Segment
- **IM**—Index Margin Rate Segment
- **J1**—Certificate Charge Segment
- **LN**—Loan Rates Segment (for Variable Rate Loans)
- **C1**—IBA Type 01 (Premium Deposit Fund) Segment
- **C2**—IBA Type 02 (Non Premium Proceeds Left on Deposit) Segment
- **C3**—IBA Type 03 (Dividend Accumulations) Segment
- **C4**—IBA Type 04 (Premium Proceeds Left on Deposit) Segment
- **Z0** through **Z9**, **ZA**, **ZB**, and **ZC**—various EIA Rate Segments

Before defining the Declared Rate File fields and functions, a brief example using the A1 Segment demonstrates how a Declared Rate File ID is defined.

4.1 Declared Interest Rate Segment ID Sample

This example uses the A1—Current Interest Rates Segment, which is a segment that can be accessed from the Fund Rules screen using the Fund Information option on the Product Menu. Note that in the case of the A1 and G1 Segments, the Process Rule field has an important impact on how the Declared Interest Rate Records are defined. This is explained in the Declared Interest Rate File field definitions.

Fund Rules

Fund ID: >> Additional Substitution Criteria: Inquiry

Segment Type: Coverage ID: >> (Blank For All Coverages)

Issue Date Sub: Effective Date S:

Fund Rule Segments

Type	Segment Description	Process Rule	Segment ID
1 A1	Current Interest Rate	Yes >>	UL1C >>
2 G1	Guaranteed Interest Rate	Yes >>	UL1G >>
3 EX	Interest Exclusion	No >>	>>
4 FS	Split/N\$D\$ Fund Rules	No >>	>>
5 MT	Fund Maturity Rules	No >>	>>
6 LC	Loan Crediting Rate	Yes >>	UL1 >>
7 WN	Split Fund Accum Windows	No >>	>>
8 DA	Fund Allocation	No >>	>>
9 SR	Full Surrender Segments	No >>	>>
10 WD	Partial Withdrawal Segments	No >>	>>
11 RL	Fund Rollover	No >>	>>
12 TL	Transfer In Limits	No >>	>>
13 OL	Transfer Out Limits	No >>	>>
14 U2	Premium Load Pcts	No >>	>>
15 P2	Prem Load Pct By Tran	No >>	>>

Page 1 of 3

Buttons: Select, Next, Previous, OK, Cancel

Segments: Next, OK, Cancel

The Current Interest Rate Segment is set to **Yes** in this example and a Segment ID of UL1 is defined. Click >> to access the A1 Segment.

Interest Crediting Segment Criteria Screen

For each Declared Interest Rate Segment, except for I1—Indexed Interest Rates and LN—Loan Interest Rates, the Interest Crediting Segment Criteria screen is displayed first. This screen allows the rates to be banded.

Enter Interest Crediting Segment Criteria

Segment ID: >> Select Period:

Segment Type: Ultimate ID:

Key Modifier: ☐ Band Process:

Upper Band Limits

99999999	0	0	0	0	0	0
---------------------------------------	--------------------------------	--------------------------------	--------------------------------	--------------------------------	--------------------------------	--------------------------------

Constant/Incremental Rates

----------------------	----------------------	----------------------	----------------------	----------------------	----------------------	----------------------

Rate File IDs and Rules

UL1C	01						
-----------------------------------	---------------------------------	----------------------	----------------------	----------------------	----------------------	----------------------	----------------------

OK
Cancel

Complete the following steps to define the Interest Crediting Criteria for the Rate Segment.

1. Input the key modifier. Typically this is the same as the rate type. (For example, on the IM and GM Declared Rate Segments, the key modifier may be updated to A1, so that the Multiplier field on the Rate File may be used.)
2. Select the type of banding to be used and define the band limits.
3. Assign a constant or incremental rate or input an alphanumeric rate file ID, up to 5 characters, and a rule code. The rule code defines when rate changes take place.
 - 00**—Rate changes are effective immediately.
 - 01**—Rate changes are effective immediately. (Same as **00**)

- 02**—Rate changes are effective on next month anniversary.
- 03**—Rate changes are effective on policy anniversary.

4. Click **OK** to save or press **Alt+F10** to end without saving.

There are additional rules that must be adhered to for specific segments.

- **A1/G1**—Only rule codes 00, 01, 02, and 03 are available for these segments.
- **LN**—The rule code must be 03 for the LN—Loan Interest Segment.
- **C1/C2/C3**—Rule Codes 00, 01, 02, and 03 can be used, but when interest is brought current on an IBA account, only one interest rate is used. The system does not pro-rate across effective dates to account for interest rate changes.

Interest Crediting Segment Criteria Screen Field Definitions

The following table contains definitions for the fields on the Interest Crediting Segment screen.

Field	Description
Select Period	Indicate the length of time that the selected rates are used in this field. The first field is used to define if the rates are based on duration, months, or age. The second field is used to define the length of time. For instance if Duration is selected in the first field and 99 is entered in the second field, the rates are valid for the first 99 durations of a policy. If the same rate segment is used for all years, input 0 in this field.
Ultimate ID	The segment ID that contains the rates used when the interest rates change at the end of the select period is input in this field. If the same rate segment is used for all years, this field is left blank.
Key Modifier	The key modifier represents the type of rate that is to be defined. Typically, the key modifier is the same as the type of rate segment, such as A1 for A1 Segment rates. However, the rate type may be overridden using a different key modifier, if a rate file is shared. For IM and GM rate segments, the key modifier may be set to A1 so that the Multiplier field on the Rate File may be used.

Field	Description
Band Process	There are several types of banding available. X—Not Banded Code all 9s in the first upper band limit field if there is no banding. S—Specified Amount The system takes the total specified amount in a policy, determines the band number (1—7) through the upper band limits as filled in on the segment, and then uses the rate ID or constant rate as input on the segment below the band number. P—Initial Gross Premium The band is computed by taking the initial gross premium through the band limits. This is primarily for single premium deferred annuities. F—Fund Value Per Window If the fund is either split fund (SF) or New Money/Old Money (NO), then this option tells the system to take the value of each bucket and compute the band number. This is possibly the slowest method, if there are several of bands and buckets. C—Current Balance This is the only valid option for C1, C2, C3, and C4 rates. I—Incrementally Tiered By Fund When this option is selected, the system breaks the fund value into one or more pieces, based on the band limits. Then, a base (band 1) rate is picked up (either as a variable rate in a file, or as a constant coded here on the segment). The band 2 and band 3 rate to use is the band 1 rate plus the band 2 increment, the band 1 rate plus the band 3 increment, and so on. The increments must be constants, not in a Rate File. Code the constants as percentages (for example, $\frac{1}{2} = .5\%$, and so on). For example, assume the band limits are set as 10,000, 20,000, and 9999999. Also assume the band 1 rate is 9.00%, the band 2 (constant) increment is 0.25%, and the band 3 increment is 0.5%. A fund value of \$35,000 has interest computed as follows. 10,000 uses the 9.00% 5,000 uses the 9.25% 10,000 uses the 9.50%. T—Total Fund Value (Across All Fund Values At Start Of Crediting) When this option is selected, banding is based on the total fund value in the policy. If several funds exist, some SF, some NO, and some AG, the grand total is taken, and this total is used to find the band number for any fund so marked. There may be funds mixed which are NOT banded this way. These are treated appropriately.

Field	Description
Band Process (continued)	A—Initial Planned Annual Premium Banding is based on the initial planned annual premium when this option is selected. D—Incrementally Banded By Policy Duration An additional interest rate can be applied for up to seven different policy duration band limits when this option is selected. For example, assume the Upper Band Limits fields are coded as Band 1—10, Band 2—15, and Band 3—100 and the constant/incremental rates are 0.5, and 0.75. The results are shown below. Years 1—10 No Bonus Years 11—15 .5% Bonus Years 16 and After .75% Bonus
Constant/Incremental Rates	There are seven fields into which a constant rate may be entered (for example, 4.00%). If the banding method is Incrementally Tiered By Fund or Incrementally Banded By Policy Duration , these are, from band 2 through band 7, the additional increments.
Rate File IDs and Rules	If the rates are not constants, set up a five character ID for the Declared Rate File, and use one of four rules. 00—Rates change immediately during the month. 01—Same as 00. 02—Rate at the beginning of the month holds for the entire month. 03—Rate changes are effective on the policy anniversary.

4.2 Declared Interest Rate File

If a Rate File is defined on the Interest Crediting Segment Criteria screen, position the cursor on the Rate File Segment ID field. Press **F4** to access the Declared Interest Rate File.

Or, from the Rates and Factors Menu select **Declared Interest**. Input the rate file ID and the rule from the Rate Segment and click **OK**. The Declared Interest Rate File is displayed.

Declared Rates File

Rate ID: >> Type: Effective Date: Date: Low: High:

Rule: Record Sequence: Duration:

Investment Code: Rate Duration Period Code:

Start Date	End Date	Duration	Declared Rate
01/01/1999	12/31/1999	000	8.0000000
01/01/2000	12/31/2000	000	7.0000000
01/01/2001	12/31/2001	000	6.0000000
01/01/2002	12/31/2002	000	5.0000000
00/00/0000	00/00/0000	000	0.0000000
00/00/0000	00/00/0000	000	0.0000000
00/00/0000	00/00/0000	000	0.0000000
00/00/0000	00/00/0000	000	0.0000000
00/00/0000	00/00/0000	000	0.0000000
00/00/0000	00/00/0000	000	0.0000000
00/00/0000	00/00/0000	000	0.0000000
00/00/0000	00/00/0000	000	0.0000000
00/00/0000	00/00/0000	000	0.0000000
00/00/0000	00/00/0000	000	0.0000000
00/00/0000	00/00/0000	000	0.0000000

1.000

Next
Previous
OK
Cancel

NOTE

The rate ID, type (key modifier), and rule used on the Declared Interest Rate File must match the settings from the Interest Crediting Segment Criteria screen. If these items do not match the original settings, the system does not automatically display the proper Declared Interest Rate Record. To display the rate file when a key modifier is used that is different than the segment type, access the Rate File screen. Type in the different key modifier in the Type field, type in the effective date for the rates, and click **OK**.

Declared Interest Rate File Field Definitions

The following table contains descriptions of the Declared Interest Rates File fields.

Field	Description
Rate ID	The rate ID must match the rate file ID taken from the Rate File Rules and ID field on the definition segment. Click >> from this field to display a cross reference list of existing records.
Type	This field identifies the type of segment where the rules are defined. Declared interest rates can be defined for the following segments. A1—Current Interest Rates. If the rate file is associated with an interest-bearing fund, A1 rates represent current interest. If the Rate File is associated with a market-valued fund, A1 rates represent equity rates for the base accumulation. G1—Guaranteed Interest Rates GM—Guaranteed Index Margin Rates. If GM rates are defined, IM rates must also be defined. These two types of rates are compared when calculating a margin-based bonus rate using the BU—Indexed Interest Bonus Segment. I1—Indexed Interest Rates IM—Index Margin Rates. If IM rates are defined, GM rates must also be defined. These two types of rates are compared when calculating a margin-based bonus rate using the BU—Indexed Interest Bonus Segment. J1—Certificate Charge Rates LN—Loan Rules Segment (Declared Rate Loans) C1—IBA Type 01 (Premium Deposit Fund) C2—IBA Type 02 (Claims left on deposit) C3—IBA Type 03 (Dividend Accumulations) C4—IBA Type 04 (Premium deposit fund with interest rates applied at the time of the deposit) The C4 also contains the options that define how premium overages and shortages are handled. The rule code must be 04 when the segment type is C4. Z0—EIA Index Start Value Segment Z1—EIA Index End Value Segment

Field	Description
Type (continued)	Z2—EIA Interim Participation Rate Segment Z3—EIA Final Participation Rate Segment Z4—EIA Interim Bonus Participation Segment Z5—EIA Final Bonus Participation Segment Z6—EIA Interim Vesting Factor Segment Z7—EIA Final Vesting Factor Segment Z8—EIA Interim Cap Segment Z9—EIA Final Cap Segment ZA—EIA Interim Floor Segment ZB—EIA Final Floor Segment ZC—EIA Final Spread Factors Segment
Rule	00—Rate changes are effective immediately. 01—Rate changes are effective immediately (Same as 00). 02—Rate changes are effective on the next monthaversary. 03—Rate changes are effective on the policy anniversary. 04—Payments that are received during the year that are not on the anniversary date are credited with the current interest rates being paid on the effective date of the last deposit for the remainder of the year and then the full period as defined on the Declared Interest Rates File. It is important to note that the duration begins on the policy anniversary date. All codes are available for rates defined on the A1 and G2 Segments. The LN Segment must point to type 03 rates. For C1, C2, and C3, rule codes 00, 01, 02, and 03 can be used, but when interest is brought current on an IBA account, only one interest rate is used. The system does not pro-rate across effective dates to account for interest rate changes. For C4, rule code 04 must be used and is not valid for any other types.

Field	Description
Effective Date	For A1 and G1 rates, the use of this field varies according to the fund process rule defined on the FR—Fund Rule Segment. AG—Aggregate Fund Processing. The effective date is considered only at the issue date of the policy. After a Declared Interest Rate Record is found at issue, this same record is used to define rates throughout the life of the policy. Thus, all payments, regardless of the duration in which they are made, is added to one bucket, and interest is designated on one Declared Interest Rates Record. SF—Split Fund Processing. When using split fund processing, accumulation windows are defined on the WN—Fund Split Accum Windows Segment. Multiple Declared Interest Rate Records are defined with effective dates corresponding to the window dates. Payments are added to different buckets according to the date of the payment. After a payment or group of payments hits a bucket, it continues to use the interest rates from the corresponding Declared Interest Rates Record. NO—New Money/Old Money Processing. With new money/old money processing, each payment is considered a bucket. Each payment finds the most current Declared Interest Rates Record based on the effective date. After a payment hits a bucket, it continues to use the interest rates from the corresponding Declared Interest Rates Record. DB—Daily Buckets. With daily bucket processing, each day of the calendar year is considered a bucket with up to 366 buckets. Each payment finds the most current Declared Interest Rates Record based on the effective date. For Z0 through Z9, ZA, ZB, and ZC rates, the use of this field varies according to the Lookup Rule defined on the EI—Generic Rates and Rules Segment. I—Issue The effective date used to determine which Interest Rates Record is accessed is always the policy issue date; therefore, the same record is used to access rates throughout the life of the policy. W—Window This Lookup Rule is used for New Money/Old Money funds and works as described above in the NO—New Money/Old Money Processing field description. For variable rate loans and IBA processing, the system finds the most current record based on the processing date of the loan or IBA interest. Thus, if a record is replaced as of a specific effective date, and IBA or loan interest is computed, the system uses the most current record.

Field	Description
Record Sequence	When adding a record, select sequence 001. Additional records can be added using subsequent sequence numbers, with a maximum of 99. A new sequence number needs to be added when the lower section of the screen is full, and a new record needs to be added. Always use the next available sequence number and leave the rest of the selection criteria at the top of the screen unchanged.
Date—Low/High	If the Rate Duration Period Code field is blank, this field lists the start and end date covered by the record displayed on this page.
Duration—Low /High	If the Rate Duration Period Code field is Days , Months , or Years this field lists the start and end duration covered by the records displayed on this page.
Investment Code	This field allows interest crediting to be tracked based on a user-defined one character code. Input the code in this field, or leave the field blank if not applicable. This field does not affect processing, and would most likely be used in a customized data extract.
Rate Duration Period Code	This field determines how the rest of the screen is completed. If blank, declared rates are varied by a start date and end date. The Duration field is not accessible. D—Days The Duration field represents a number of days. M—Months The Duration field represents a number of months. Y—Years The Duration field represents a number of years.
Start Date	The first date that the declared rate listed on that line is effective is input in this field. This column is applicable only if the Rate Duration Period Code field is left blank.
End Date	The last date that the declared rate listed on that line is effective is displayed. This column is applicable only if the Rate Duration Period Code field is left blank.

Field	Description
Duration	The duration for which the declared rate listed on that line is effective is displayed in this field. This column is applicable only if the Rate Duration Period Code is coded as Days, Months, or Years. The values are not cumulative. The system uses each rate for the number of durations coded. For IBA processing, the duration stated is the ending policy duration. For example, assume that the durations are 002, 015, and 999. The rate for duration 002 is paid for the first two policy years. The rate for duration 015 is paid for policy years 3 through 15. The rate for duration 999 is paid for policy year 16 through the remaining life of the policy. When the rates are used for IBA processing, there must be an ending duration of 999. For monthiversary processing, the duration stated is for the number of years stated. For example, assume that the durations are 002, 015, and 000. The rate for duration 002 is paid for the first two policy years. The rate for duration 015 is paid for 15 years. If the next duration is 000, interest is not paid past the 17th year in this example.
Declared Rate	The declared rate for the corresponding start date and end date or duration is designated in this field.
Multiplier	This field is applicable for only A1 and I1 rate types. Each rate in the Rate File is multiplied by the number entered into this field. This functionality is most often associated with equity rates. It allows the decimal point to be easily shifted, for calculation purposes.

Declared Interest Rate File—Add New Record

Complete the following steps to add a new Declared Interest Rates File Record.

1. Input the rate ID, type, rule, and effective date. Input 001 in the Record Sequence field.
2. Click **OK**. The message *Record Not Found, Press F10 to Add or F7 for Cross Reference* is displayed.
3. Press **F10** to add the new record.
4. After completing the screen, click **OK** to save the record or click **Cancel** to exit without saving.

Declared Interest Rate File Cross Reference

Declared Interest Rate Cross Reference				
Rate ID	Type	Rule	Eff Date	Seq
1AA	A1	00	01/01/2002	001
ABC	A1	01	01/01/1999	001
ABC	A1	01	01/01/2000	001
ABC	A1	01	01/01/2001	001
ABC	A1	01	01/01/2002	001
AC 3	C3	01	01/01/1909	001
AC 3	C3	01	10/01/1994	001
ACCUM	C3	01	01/01/1900	001
ADV02	C1	01	04/01/1991	001
ADV02	C1	01	06/01/1993	001
ADV02	C1	01	09/01/1993	001
ADV02	C1	01	12/01/1994	001
ANN11	A1	01	11/01/1996	001
AUL2	A1	01	01/01/1987	001
AUL2	A1	01	01/01/1987	002

Complete the following steps to display a cross reference list of Declared Interest Rate File records.

1. From the Rate ID field click >>. The Declared Interest Date Cross Reference screen is displayed.
2. Click **Next** and **Previous** to move through the cross reference list.
3. Click on the desired record.
4. Click **Cancel** to exit the cross reference list without making a selection.

4.3 Declared Interest Rate History

Product history can be viewed for a selected Declared Interest Rate Record. This option is only available if the Keep Product History field for the default company (00) on the Management Options screen is **Yes**.

Complete the following steps to view the History Records for a Declared Interest Rate Record.

1. Select **Declared Interest** from the Rates Selection Menu. The first Declared Interest Rate File screen is displayed.
2. Click >> from the Rate ID field to select a Declared Interest Rate from the cross reference list. The first Declared Rate File screen is displayed.

Declared Rates File

Rate ID: >> Low: High:
 Type: Effective Date: Date:
 Rule: Record Sequence: Duration:
 Investment Code: Rate Duration Period Code:

Start Date	End Date	Duration	Declared Rate
07/01/1944	06/30/1998	000	8.2500000
00/00/0000	00/00/0000	000	0.0000000
00/00/0000	00/00/0000	000	0.0000000
00/00/0000	00/00/0000	000	0.0000000
00/00/0000	00/00/0000	000	0.0000000
00/00/0000	00/00/0000	000	0.0000000
00/00/0000	00/00/0000	000	0.0000000
00/00/0000	00/00/0000	000	0.0000000
00/00/0000	00/00/0000	000	0.0000000
00/00/0000	00/00/0000	000	0.0000000
00/00/0000	00/00/0000	000	0.0000000
00/00/0000	00/00/0000	000	0.0000000
00/00/0000	00/00/0000	000	0.0000000
00/00/0000	00/00/0000	000	0.0000000
00/00/0000	00/00/0000	000	0.0000000

Version: U.I.C.W Delivery: 0.900 Installation Date: 00/00/1999 Client ID: 0707
 History Record Display

NOTE: A History Record is not created when the only change to a Declared Interest Rate Record is the addition of a new rate.

3. Press **Alt+H**. The most recent Declared Interest Rate History Record is displayed with the message *History Record Display* at the bottom of the screen.

NOTE: The display does not indicate which fields were changed, so careful inspection of the screen may be required to detect the values which were changed.

4. Click **Next** and **Previous** to move through the different screens for the Declared Interest Rate History Record. If there is more than one Declared Interest Rate History Record for the same rate record, press **Ctrl+Page Up** and **Ctrl+Page Down** to move from one history record to another.
5. Click **Cancel**. The Declared Interest Rate is displayed.

Complete the following steps to view the Coder ID and Change Date window for the most recent change to a Declared Interest Rate File Record.

1. Select **Declared Interest** from the Rates Selection Menu. The first Declared Interest Rate File screen is displayed.
2. Click **>>** from the Rate ID field to select a Declared Interest Rate from the cross reference list. The first Declared Rate File screen is displayed
3. Press **Alt+L**. The coder ID, date, and time of the last change to this Declared Interest Rate record are displayed.



4. Click **Cancel** to exit.

Chapter 5 Miscellaneous Factors File

If the GA—Misc Reserve Factors Segment is designated on a Coverage Record, the segment information is input on the Miscellaneous Factors File.

Miscellaneous Factors File	
Segment ID	PARWL >> Type GA Age 30 Gender Male Band 1 Underwriting Class S Duration 0
Description	Factor
Benefit Reserve	0.000000
Benefit Expense Premium	0.000000
Service Expense	0.000000
Unamortized Acquisition Expense	0.000000
Acquisition Expense Premium	0.000000
Acquisition Expense Percentage	0.000000
Acquisition Expense Per Policy	0.000000
Generic Factor 8	0.000000
Generic Factor 9	0.000000
Generic Factor 10	0.000000
Notes Replicate Rates OK Cancel	

Complete the following steps to add a new Miscellaneous Factors Record.

1. Complete the top line of information.
2. Click **OK**. The message *Rate Record Not Found, F7 for Cross Reference* is displayed.
3. Press **F10**.
4. Input the factors.
5. Click **OK** to save the record or click **Cancel** to exit without saving.

5.1 Miscellaneous Factors Maintenance

Miscellaneous Factors Record—View

Complete the following steps to view a Miscellaneous Factors Record.

1. Input the fields on the top line of the screen, if all of the information is known, and click **OK**. Or, from the ID field, click >> to display a cross reference list of all existing Miscellaneous Factor Records.
2. Click on the appropriate record to select.

Miscellaneous Factors Record—Update

1. Access the record to be updated. Input the fields on the top line of the screen, if all of the information is known, and click **OK**. Or, from the ID field, click >> to display a cross reference list of all existing Miscellaneous Factor Records.
2. Click on the appropriate record to select.
3. Press **F10** and make the desired changes.
4. Click **OK** to save the changes or click **Cancel** to exit without saving.

Miscellaneous Factors Cross Reference

GAAP Reserve Factors Cross Reference						
Coverage ID	Type	Age	Gender	Band	Uwcls	Dur
PARWL	GA	030	M	1	S	000
PARWL	GA	030	M	1	S	001
PARWL	GA	030	M	1	S	002
PARWL	GA	030	M	1	S	003
PARWL	GA	030	M	1	S	004

Next
Previous
OK
Cancel

Complete the following steps to display a cross reference list of Miscellaneous Factors Records.

1. From the Rate ID field click >>. The GAAP Reserve Factors Cross Reference screen is displayed.
2. Click **Next** or **Previous** to move through the cross reference list.
3. Click on the appropriate record to select.
4. To exit the cross reference list without making a selection click **Cancel**.

Chapter 6 Consumer Price Index

The Consumer Price Index screen is used to input and maintain the consumer price index (CPI) rates. In order to access the screen, select **CPI Rates** from the Rate File Menu. The Consumer Price Index screen is displayed. Click **Next** and **Previous** to move through the records.

Starting Month	Consumer Price Index Rates
01	80.000000
02	80.000000
03	80.000000
04	80.000000
05	80.000000
06	80.000000
07	80.000000
08	80.000000
09	80.000000
10	80.000000
11	80.000000
12	80.000000

Complete the followings steps to add a new record.

1. Input the rate ID and the effective year.
2. Click **OK**. The message *Record Not Found, F10 To Add* is displayed.
3. Press **F10**.
4. Add the CPI Rates for each corresponding month.
5. Click **OK** to save the record or click **Cancel** to exit without saving.

6.1 Consumer Price Index—Update

1. Access the record to be updated. Input the fields on the top line of the screen, if all of the information is known and click **OK**. Or, from the Rate ID field click >> to display a cross reference list of all existing records. Click on the desired rate file to access.
2. Press **F10**.
3. Make the desired changes.
4. Click **OK** to save the changes or click **Cancel** to exit without saving.

6.2 Consumer Price Index—Delete

1. Access the record to be deleted. Input the fields on the top line of the screen, if all of the information is known and click **OK**. Or, from the Rate ID field click >> to display a cross reference list of all existing records. Click on the desired rate file to access.
2. Press **Alt+F8**. A confirmation message, *Press Alt-F8 To Delete, Esc To Exit*, is displayed.
3. Press **Alt+F8** again to delete the record or click **Cancel** to exit without deleting the record.

Chapter 7 Issue Benefit Rates

The Rates by Benefit at Issue screen is used as part of a proprietary modification for one client. It is not used generically by LifePRO®.

Rates by Benefit at Issue					
Type	IR >>	Company Code	01 >>	Ben Comp	04 >>
		Policy Number	MKWINFLLDR5 >>	Date	00/00/0000 >>
Coverage					
Index	Value	Index	Value	Index	Value
1	0.0000000	19	0.0000000	37	0.0000000
2	0.0000000	20	0.0000000	38	0.0000000
3	0.0000000	21	0.0000000	39	0.0000000
4	0.0000000	22	0.0000000	40	0.0000000
5	0.0000000	23	0.0000000	41	0.0000000
6	0.0000000	24	0.0000000	42	0.0000000
7	0.0000000	25	0.0000000	43	0.0000000
8	0.0000000	26	0.0000000	44	0.0000000
9	0.0000000	27	0.0000000	45	0.0000000
10	0.0000000	28	0.0000000	46	0.0000000
11	0.0000000	29	0.0000000	47	0.0000000
12	0.0000000	30	0.0000000	48	0.0000000
13	0.0000000	31	0.0000000	49	0.0000000
14	0.0000000	32	0.0000000	50	0.0000000
15	0.0000000	33	0.0000000	51	0.0000000
16	0.0000000	34	0.0000000	52	0.0000000
17	0.0000000	35	0.0000000	53	0.0000000
18	0.0000000	36	0.0000000	54	0.0000000
Page 1 of 2					
					Next
					Previous
					OK
					Cancel

Chapter 8 Units By Fund ID and Coverage ID

The Unit Values By Fund And By Coverage screen is used for variable products to designate unit values as well as purchase price rates, if applicable. A fund is defined as a unit priced fund on the FR—Fund Rule Segment.

This screen allows unit values and purchase price rates for multiple effective dates for one fund ID, coverage ID, and price number combination to be viewed or added. The Units By Fund ID & Date option is also available on the Rates And Factors Menu. This option is used to view or input unit values for multiple coverages for one fund ID and effective date combination.

NOTE

When a record is selected, the screen displays the Effective Date, Unit Value, and Purchase Price fields. The Purchase Price field is only displayed if the Use Separate Price for Purchases field is set to Yes on the Management Options screen.

Unit Values By Fund And By Coverage

Fund ID >> CAP STOCK

Coverage ID >>

Price Number

Effective Date	Unit Value
08/25/2003	
08/22/2003	33.0000000
01/06/2003	31.0000000
01/03/2003	32.5000000
01/02/2003	32.0000000
10/16/2002	31.8000000
10/07/2002	31.7500000
09/23/2002	31.7000000
09/09/2002	31.6500000
08/19/2002	31.6300000
08/05/2002	31.6100000
07/29/2002	31.6000000

Detail

Next

Previous

Next ID

Previous ID

OK

Cancel

8.1 Units by Fund and Coverage ID Functions

Units by Fund and Coverage ID—Access

Complete the following steps to access the Units Values By Fund And By Coverage screen.

1. From the Product System Menu select **Rates And Factors**. The Rates and Factors Menu is displayed.
2. Select **Units By Fund ID & Coverage ID**.
3. Input the fund ID and click **OK**. Or, click **>>** to select the fund ID from a cross reference list. The Description field is completed automatically. The fund must be a previously defined unit valued fund or an error message is displayed.
4. Complete the Coverage ID field and click **OK**. A cross reference list of coverage IDs is accessible by pressing **>>**.
5. After accessing a record, click **Next** or **Previous** to move through the records.

Units by Fund and Coverage ID—Add

1. From the Unit Values By Fund And Coverage screen, enter the fund ID and coverage ID.
2. Press **F8**. The One Date Entry window is displayed.
3. Enter the effective date and click **OK**. The Single Unit Value Entry window is displayed.
4. Complete the Unit and Purchase fields. If the Purchase field is not completed, the field defaults to the rate defined in the Unit field.
5. Click **OK** to accept the rates.

Units by Fund and Coverage ID Function Key Options

Button	Function Key	Description
Detail	F4	This button displays a window showing the units, price, and total value for the fund selected. The window shows detail on the activity for that day, and also the previous day's units, price, and total value.
>>	F7	This button displays a cross reference list from the Fund ID and Coverage ID fields.
	F8*	Use this option to add the unit value for a price day. After pressing F8 , a window is displayed requesting the price day. Type in the date, then click OK . Another window is displayed requesting the unit value. Type in the value, then click OK to confirm.
	F10*	Press F10 to update a unit value. Only the most current record can be updated.
	Alt+F8	Press Alt+F8 to delete a unit value for the date where the cursor is positioned.
	Page Up	This option displays the previous screen of values.
	Page Down	This option displays the next screen of values.
	Ctrl+Page Up	This option displays the values for the previous ID.
	Ctrl+Page Down	This option displays the values for the next ID.

* The Unit Values Extract option in the Report/Processing System automatically opens a new price day. Under normal circumstances, the record for the current price date is displayed with no price. It is updated by pressing **F10**.

Units by Fund and Coverage ID Field Definitions

The following table contains field definitions for the Unit Values By Fund And By Coverage screen.

Field	Description
Fund ID	Input the desired fund ID in this field or click >> to select a fund ID from the cross reference list.
Coverage ID	Input the desired coverage ID in this field or click >> to select a coverage ID from the cross reference list.

Field	Description
Price Number	This field allows a different unit value to be accessed or added, based on product features. If multiple price numbers are not used, this field defaults to 0. If the FQ—Feature Question and Definition Segment and the FX—Feature Control Segment are defined, <i>LifePRO</i>® uses the price number defined on the FX Segment, based on the features combination selected when the policy was issued, to determine the unit value.
Effective Date	The effective date of a fund's unit value and purchase price, if applicable, is displayed in this field.
Unit Value	This field defines the unit value of a fund as of the defined effective date for all transactions on variable products.
Purchase Price	This field is only displayed if the Use Separate Price for Purchase field is set to Yes on the Management Options screen. The purchase price rate is used for all purchases on variable products, for example, new deposits and transfers in. All other transactions, such as quotes or withdrawals, use the unit value rates. Click Details from the Fund Record to view the unit value and purchase price rates. In addition, a Unit Value field is available on the Fund Detail Record to display the unit value or purchase price applicable to the transaction.

8.2 Unit Values by Fund and by Coverage Detail Window

The total number of units from the previous price day, the unit value for the price day, and the total value of the units is displayed at the top of the screen. The transactions that occurred during the price day, in units, are listed and totaled with the previous price day units. The total is then multiplied by the unit value for the current price day to generate the total unit value for the current price day.

Variable Unit Balances				
Fund ID	CAP STOCK			
Coverage ID	VAI			
Price Number	0			
		Total Units	Unit Value	Total Value
Previous	05/25/2001	3231.0323580 *	30.1200000 =	97318.69
Current	Purchases	+	0.0000000	
	Trans In	+	0.0000000	
	Redemptions	-	0.0000000	
	Trans Out	-	0.0000000	
	Lag Purchases	+	0.0000000	
	Lag Trans In	+	0.0000000	
	Lag Redemptions	-	0.0000000	
	Lag Trans Out	-	0.0000000	
	05/28/2001	3231.0323580 *	30.1500000 =	97415.63
Cancel				

From the Unit Values By Fund and By Coverage screen, click **Detail** to display the Variable Unit Balances window.

- On the Previous line, the total units for the prior price day, the unit value for the prior price day, and the total value for the prior price day are displayed. Total value is units multiplied by price.
- The Current section shows a summary of the activity that occurred on the effective date selected. Positive (+) items increase the unit value and negative (-) items decrease the unit value.
- The last line shows the current unit, price, and total value information for the effective date selected.

Click **Cancel** to exit the Variable Unit Balances window.

Chapter 9 Units by Fund ID and Date

The Unit Values By Fund And By Date screen is used to designate the unit value of a unit priced fund. Unit priced funds are used for variable annuity products. A fund is defined as a unit priced fund on the FR—Fund Rule Segment.

Coverage ID	Price #	Unit Value
VAL	10	1.0000000

Unit values for multiple coverages for one fund ID and effective date combination can be viewed or input from this screen.

When a record is selected, the screen displays the coverage ID, price number, and unit value. The Units By Fund ID & Coverage ID option is also available on the Rates And Factors Menu. This option allows for the viewing and input of unit values for multiple effective dates for one fund ID, coverage ID, and price number combination.

9.1 Units by Fund ID and Date Functions

Units by Fund ID and Date—Access

Complete the following steps to access the Unit Values By Fund And By Date screen.

1. From the Product System Menu select **Rates And Factors**. The Rates And Factors Menu is displayed.
2. Select **Units By Fund ID & Date**.
3. Input the fund ID and click **OK**. Or, click **>>** to select the fund from a cross reference list. The Description field is completed automatically. The fund must be a previously defined unit valued fund or an error message is displayed.
4. Complete the Effective Date field and click **OK**.
5. After accessing a record, click **Next** or **Previous** to move through the screens.

Units by Fund ID and Date—Add

1. From the Unit Values By Fund ID And By Date screen press **F8**. The Coverage ID Entry window is displayed.
2. Input the coverage ID and price number.
3. Click **OK**. The Single Unit Value Entry screen is displayed.
4. Enter the unit price for the unit ID and click **OK** to accept the unit price.

The coverage ID, the price number, and the unit value that were entered are now displayed on the Unit Values By Fund And Date screen.

Units by Fund ID and Date Function Key Options

The following table describes the buttons and function keys available from the Units By Fund ID and Date screen.

Button	Function Key	Description
Detail	F4	This option displays a window showing the units, price, and total value for the fund selected. The window shows detail on the activity for that day, and also the units, price, and total value from the previous day.
>>	F7	This option displays a cross reference list from the Fund ID field.
	F8*	Use this option to add the unit value for a coverage ID. After pressing F8 , a window is displayed requesting the coverage ID. Type in the coverage ID or click >> for a cross reference list. Another window is displayed requesting the unit value. Type in the value, then click OK to confirm.
	F10*	Press F10 to update a unit value. Only the most current record can be updated.
	Alt+F8	Press Alt+F8 to delete a unit value for the coverage where the cursor is positioned.

* The Unit Values Extract option in the Report/Processing System automatically opens a new price day. Under normal circumstances, when selecting the current price date, coverage IDs are displayed with no price. It can simply be updated by pressing **F10**.

9.2 Unit Values by Fund and by Date Detail Window

The total number of units from the previous price day, the unit value for the price day, and the total value of the units is displayed at the top of the screen. The transactions that occurred during the price day, in units, are listed and totaled with the previous price day units. This total is then multiplied by the unit value for the current price day to generate the total unit value for the current price day.

Variable Unit Balances				
Fund ID	FUND1			
Coverage ID	VAI			
Price Number	10			
		Total Units	Unit Value	Total Value
Previous		0.0000000 *	0.0000000 =	.00
Current	Purchases	+	0.0000000	
	Trans In	+	0.0000000	
	Redemptions	-	0.0000000	
	Trans Out	-	0.0000000	
	Lag Purchases	+	0.0000000	
	Lag Trans In	+	0.0000000	
	Lag Redemptions	-	0.0000000	
	Lag Trans Out	-	0.0000000	
	01/13/2003	0.0000000 *	1.0000000 =	.00
Cancel				

From the Units by Fund and By Date screen, click **Detail** to display the Variable Unit Balances window.

- On the Previous line, the total units for the prior price day, the unit value for the prior price day, and the total value for the prior price day is displayed. The total value is units multiplied by price.
- The Current section shows a summary of the activity that occurred on the effective date selected. Positive (+) items increase the unit value and negative (-) items decrease the unit value.
- The last line shows the current unit, price, and total value information for the effective date selected.

Click **Cancel** to exit the Variable Unit Balance window.

Chapter 10 Units by Effective Date

The Units By Effective Date option on the Rates And Factors Menu allows maintenance of unit ID prices by effective date and price number.

Unit Values By Effective Date

Effective Date 01/01/1999

Unit ID	Price #	Unit Value
MKWTEST123	2	10.0000000

Detail
Next
Previous
OK
Cancel

10.1 Units by Effective Date Functions

Units by Effective Date—Access

Complete the following steps to access the Unit Values By Effective Date screen.

1. From the Main Menu select **Product System**. The Product File Maintenance Menu is displayed.
2. Select **Rates And Factors**. The Rates and Factors Menu is displayed.
3. Select **Units By Effective Date**.
4. From the Unit Values By Effective Date screen enter the effective date of the unit ID price and click **OK**.

Units by Effective Date—Add

1. From the Unit Values By Effective Date screen press **F8**. The Unit ID Entry window is displayed.
2. Input the unit ID and price number.
3. Click **OK**. The Single Unit Value Entry screen is displayed.
4. Enter the unit price for the unit ID and click **OK** to accept the unit price.

The unit ID, the price number, and the unit price that were entered are now displayed on the Unit Values By Effective Date screen.

Unit Values By Effective Date

Effective Date

Unit ID	Price #	Unit Value
MKWTEST123	2	10.0000000

Detail
Next
Previous
OK
Cancel

Chapter 11 Units By Unit ID

The Units By Unit ID option on the Rates And Factors Menu allows for the maintenance of effective dates and unit values by unit ID.

Unit Values By Unit ID

Unit ID >>

Description

Price Number

Effective Date	Unit Value
03/29/2002	15.0000000
02/19/2002	12.7500000
01/01/2000	12.0000000
04/01/1990	11.0000000
03/01/1990	10.0000000
02/01/1990	10.0000000
01/01/1990	10.0000000

11.1 Units by Unit ID Functions

Units by Unit ID—Access

Complete the following steps to access the Unit Values By Unit ID screen.

1. From the Main Menu select **Product System**. The Product File Maintenance Menu is displayed.
2. Select **Rates And Factors**. The Rates and Factors Menu is displayed.
3. Select **Units By Unit ID**.
4. Enter the unit ID and click **OK**. Or, click **>>** for a cross reference list of available unit IDs.

Units by Unit ID—Add

1. From the Unit Values By Unit ID screen press **F8** to add a date. The One Date Entry screen is displayed.
2. Input the date for the price and click **OK**. The Single Unit Value Entry window is displayed.
3. Input the share price and click **OK**.

The Unit Values By Unit ID screen displays all share prices entered for a specific unit ID.

Unit Values By Unit ID

Unit ID

MKWTEST123

>>

Description

MKW TEST

Price Number

0

Effective Date	Unit Value
03/29/2002	15.0000000
02/19/2002	12.7500000
01/01/2000	12.0000000
04/01/1990	11.0000000
03/01/1990	10.0000000
02/01/1990	10.0000000
01/01/1990	10.0000000

Detail

Next

Previous

Next ID

Previous ID

OK

Cancel

Chapter 12 Currency Exchange

LifePRO® allows up to three currencies to be active on any one accounting transaction simultaneously. The Multiple-Currency Table is accessed from the Rates And Factors Menu.

Source	GER	USD		
GER	1.0000000	1.0000000		
USD	1.0000000	1.0000000		

- Designate if the rates are for multiple currency or total inforce.
M—Multiple Currency Rates The multi-currency rates are used for converting money used in LifePRO® transactions from one currency to another currency.
T—Total Inforce Rates The total inforce rates are used for underwriting. These rates are used for the purpose of translating various face amounts in different currencies to one single currency for underwriting.
- Effective Date—Only the current date rate can be entered. Back dating and future dating is not allowed. The date of the table matches the system date. **After the table is entered for the effective date, it cannot be updated.**

12.1 Multiple Currency Table Function Keys

The following table contains descriptions of the buttons and function keys available from the Multiple Currency Maintenance screen.

Button	Function Key	Description
OK	Enter	This option systematically moves to the right and stores the reciprocal of the currency in the appropriate box in the lower portion of the table.
Clone	Alt+F9	After entering the first row of rates, press Alt+F9 to create the rates for the entire table.
Process	F4	This option processes the table and saves it.
Cancel	End	This option exits the table without saving.
	Tab	This option moves through the entries on the screen; however, no reciprocals are created. In the lower portion of the table, the arrow key or the Tab key must be used to go from one entry to the next.
Next	Page Up	This option scrolls through the tables from the present to the past.
Previous	Page Down	This option scrolls through the tables from the past to the present.

Chapter 13 Unit Price ID

The Unit Price ID function allows prices for a fund to be designated so the same fund can be used across multiple products. The common price function can be applied to annuity, universal life, and variable products. A fund is defined as a unit priced ID on the FR—Fund Rule ID Segment.

Enter Unit ID

Unit ID >> Inception Date

Subtype >>

Short Description

Full Description

Unit Value Calculation

Multiple M&E Charges (Unit Price Numbers) Exist? No

Add
Update
Delete
OK
Cancel

Complete the following steps to access the Unit ID screen.

1. From the Main Menu select **Product System**. The Product File Maintenance Menu is displayed.
2. Select **Rates And Factors**. The Select Rate window is displayed.
3. Select **Unit Price ID**. The Unit ID screen is displayed.
4. In the Unit ID field, input the Unit ID. Or, click >> for a cross reference list of existing unit IDs.
5. Click on the appropriate record to access.

The following table contains field definitions for the Unit ID screen.

Field	Description
Unit ID	This field is a 10 character alphanumeric identifier for a fund.
Inception Date	The beginning date for the fund is input in this field.
Subtype	This field defines the Fund Subtype to be used for the Unit ID to which it is attached when funds are defined by Unit ID. Click >> to select a subtype from the cross reference list.
Short Description	This field is a 15 character alphanumeric identifier for a unit ID description. This description also appears on the FR—Fund Rules Segment.
Full Description	This field is a 40 character alphanumeric identifier for a unit ID description.
Unit Value Calculation	N—Not Applicable The unit value for this Unit ID is not calculated by the system. R—Ratio Method For each annual mortality and expense charge (price number) within the fund, the ratio of the current net asset value plus the dividends to the prior net asset value is adjusted by the daily mortality and expense charges for the number of days since the last net asset value for that annual mortality and expense charge (price number). The result is then multiplied by the last unit value for that annual mortality and expense charge (price number) within the fund. D—Difference Method For each annual mortality and expense charge (price number) within the fund, the difference between the current net asset value plus the dividends and the prior net asset value is adjusted by the daily mortality and expense charges for the number of days since the last net asset value for that annual mortality and expense charge (price number). The result is then added to the last unit value for that annual mortality and expense charge (price number) within the fund.
Multiple M&E Charges (Unit Price Numbers) Exist	This field indicates if there are multiple unit prices for a fund. This field is systematically set when more than one unit price is found for the Unit ID or Fund/Coverage ID combination. This field may not be manually updated. Yes—This fund has multiple unit values. No—Only one unit value exists for this fund.

The following buttons and function keys are available from the Unit Price ID screen.

Button	Function Key	Description
	F3	The Charge Band ID Definition screen is displayed when F3 is pressed. The table on this screen translates the LifePRO® annual mortality and expense charge (price number) to an external charge band ID (price number).
	F5	The Annual M&E charges screen is displayed when F5 is pressed. The unit values for all annual mortality and expense charges (price numbers) for the effective date are displayed on this screen. In addition, the External Charge Band ID is displayed if there are charge bands identified for the unit ID.
Add	F8	To add a new unit price ID record, input the unit ID and click Add . Complete the remaining fields and click OK to save the new record.
Update	F10	To update the unit price ID record, access the unit price ID record and click Update . Make changes to the appropriate fields and click OK to save the changes.
Delete	Alt+F8	To delete a unit price ID, access the unit price ID and click Delete . A Confirmation window is displayed. Click Yes to complete the deletion.
OK	Enter	Click OK to save a new record or to save corrections to an existing record.
Cancel	Esc	Click Cancel to exit the screen and return to the Rates and Factors Menu.

13.1 Charge Band ID

Press **F3** from the Unit Price ID screen to access the Charge Band ID Definition for the unit price ID. The table displayed on the screen translates the *LifePRO*® annual mortality and expense charge (price number) to an external charge band ID (price number).

Charge Band ID Definition	
Unit ID MKWTEST123	
Annual M&E Charge	External Charge Band ID
25	
35	
45	
Page 1 of 1	
Next	
Previous	
OK	
Cancel	

13.2 Annual M&E Charges

From the Unit ID screen press **F5** to access the Annual M&E Charges screen. The unit values for all annual mortality and expense charges (price numbers) for the effective date are displayed on this screen. In addition, the External Charge Band ID is displayed if there are charge bands identified for the unit ID.

Annual M&E Charges			
Valid Annual M&E Charges For:			
Unit ID	UAME	Effective Date:	
			03/26/2004
Annual M&E Charges	External Charge Band ID	Unit Value	
75			
90			
95			
110			
125			
140			
150			
165	0000	12.4784890	
170			
175	0010	12.4582240	
180	0015	12.4480690	
190		12.4278720	Next
195	0030	12.4178410	Previous
200	0035	12.4077040	OK
205		12.3976720	Cancel

The unit value for an annual mortality and expense charge can be added from this screen. Position the cursor on the appropriate annual mortality and expense charge and press **F8**. The cursor moves to the Unit Value field. Input the unit value and click **OK** to complete the transaction.

Chapter 14 Accumulation Windows

The Accumulation Windows options displays a list of all windows created for the WN—Fund Split Accum Windows Segment. Refer to Section 12, WN—Fund Split Accum Windows Segment on page 12-1148 for additional information.

The screenshot shows a dialog box titled "Enter Split Funds Accum Date Windows Criteria". It contains a table with columns "Type", "WN", and "ID". The "ID" column has a text input field containing "BOND" and a ">>" button. Below the table is a section labeled "Current Accumulation Date Windows" with a text input field. Underneath this field are two dates: "01/01/1995" and "03/01/1995". At the bottom right of the dialog box are "OK" and "Cancel" buttons.

Type	WN	ID
		BOND >>

Current Accumulation Date Windows

01/01/1995

03/01/1995

OK

Cancel

14.1 Accumulation Windows Functions

Accumulation Windows—Access

Complete the following steps to access the Split Funds Accum Date Windows screen.

1. From the Main Menu select **Product System**. The Product File Maintenance Menu is displayed.
2. Select **Rates And Factors**. The Rates and Factors Menu is displayed.
3. Select **Accumulation Windows**.
4. Enter the WN Segment ID and click **OK**. Or, click **>>** for a cross reference list of available segments. The window dates associated with the selected Segment ID are displayed.

Accumulation Windows—Add

Complete the following steps to add an accumulation window date.

1. From the Split Funds Accum Date Windows screen input the Segment ID press **F8**. The cursor moves to the date window.
2. Input the new window date and click **OK**.
3. Click **Cancel** to return to the Rates And Factors Menu.

Accumulation Windows—Delete

Complete the following steps to delete an accumulation window date.

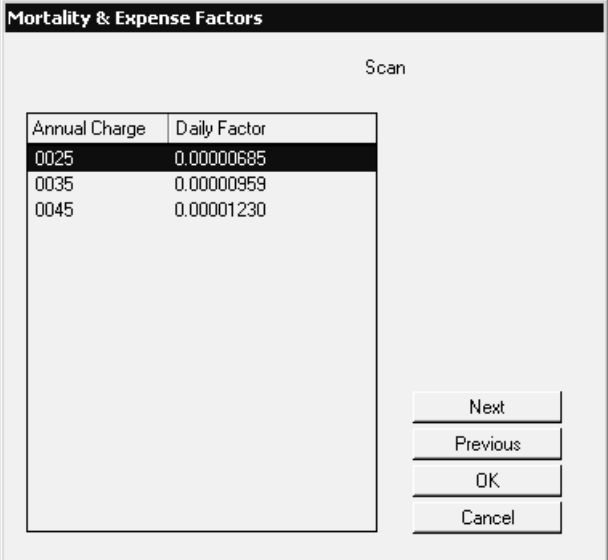
1. Access the Segment ID of the window accumulation to delete.
2. Press **Alt+F8**. The cursor moves to the date window.
3. Input the date to delete and click **OK**. The date selected is immediately deleted.

Chapter 15 Mortality and Expense Factors

The Mortality and Expense Factors option allows access to the table used to define the daily factors for annual charges.

Complete the following steps to access the Mortality and Expense Factors screen.

1. From the Main Menu select **Product System**. The Product System Menu is displayed.
2. Select **Rates And Factors**. The Rates And Factors Menu is displayed.
3. Select **Mortality & Expense Factors**. The Mortality & Expense Factors screen is displayed.



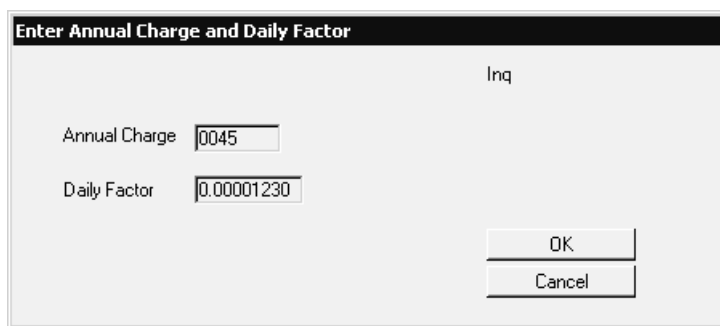
Annual Charge	Daily Factor
0025	0.00000685
0035	0.00000959
0045	0.00001230

Next
Previous
OK
Cancel

The following processes are available from the Mortality & Expense Factors screen.

- Scan** The Mortality and Expense Factors Table can be scanned for a value. When the Mortality & Expense Factor screen is displayed, begin typing the desired code. The code entered is displayed in the Scan field in the upper right corner of the screen. The cursor moves to the code that is the closest match to the code input.
- Inquire** The annual charge and daily factor can be viewed on the table or position the cursor on the appropriate record and click **OK** to view the amounts on the Annual Charge and Daily Factor screen.
- Add** Press **F8** from the Mortality & Expense Factors Table. The Annual Charge and Daily Factor screen is displayed. Input the Annual Charge and Daily Factor and click **OK** to save the new factor. The Annual Charge and Daily Factor screen is displayed so additional records can be added.
- Update** Position the cursor on the charge to change and press **F10**. The Annual Charge and Daily Factor screen is displayed. Only the daily factor can be changed. If both the annual charge and daily factor need to be changed, the original record must be deleted and a new record must be added.
- Delete** Position the cursor on the Annual Charge to delete and press **Alt+F8**. A Confirmation window is displayed. Select **Yes** to complete the deletion. After an M&E factor has been used in a unit calculation it cannot be deleted.

The annual Charge and Daily Factor screen is displayed when one of the charges is selected or a new charge is being added.



Enter Annual Charge and Daily Factor

Inq

Annual Charge 0045

Daily Factor 0.00001230

OK

Cancel

The following table contains definitions for the fields on the Annual Charge and Daily Factor screen.

Field	Description
Annual Charge	The 4 character numeric annual mortality and expense charge.
Daily Factor	The daily factor representing the annual mortality and expense charge. The factor is a numeric field with 8 places after the decimal point.

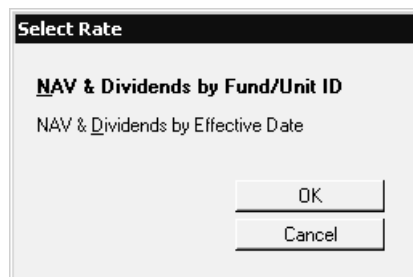
Chapter 16 Net Asset Values and Dividends

The Net Asset Values and Dividends option is used to add net asset values and dividends through an import process or manually.

Complete the following steps to access the Net Asset Values and Dividends screen.

1. From the Main Menu select **Product System**. The Product Menu is displayed.
2. Select **Rates And Factors**. The Rates And Factors Menu is displayed.
3. Select **Net Asset Values & Dividends**. The Net Asset Values & Dividends Menu is displayed.

The net asset value and dividend factors can be viewed by fund or unit ID, or by effective date.



16.1 NAV and Dividends by Fund/Unit ID

When the NAV & Dividends by Fund/Unit ID option is selected, the Net Asset Values & Dividends screen is displayed.

Effective Date	Net Asset Value	Dividends	Change in Net Asset Value
----------------	-----------------	-----------	---------------------------

The View NAV by field is used to determine if the values are displayed based on the fund and coverage ID or by unit ID. Depending on the view selected, additional information must be input to display the values. If the Fund and Coverage ID view is selected, the Fund ID and Coverage ID fields are displayed; input the fields and click **OK** to display the values.

If the Unit ID view is selected, the Unit ID field is displayed; input the unit ID in the field and click **OK** to display the values.

The following table contains definitions for the fields on the Net Asset Values & Dividends screen.

Field	Description
View NAV by	F—Fund & Coverage ID U—Unit ID
Fund/Unit ID	This field label is Fund ID when the Fund and Coverage ID view is selected. This field label is Unit ID when the Unit ID view is selected.
Coverage ID	Select the Coverage ID in this field. The field is only displayed when the Fund and Coverage ID view is selected.
Effective Date	The effective date of the NAV is displayed in this field.
Net Asset Value	The Net Asset Value for the effective date is displayed in this field.
Dividends	Dividends, if any, are displayed in this field. If the dividend amount is 0, this field is blank.
Change in Net Asset Value	The difference in NAV from the prior effective date is displayed in this field.

16.2 Net Asset Values and Dividends by Effective Date

When the Net Asset Values & Dividends by Effective Date option is selected, the Net Asset Value & Dividends by Effective Date screen is displayed.

The following table contains definitions for the fields on the Net Asset & Dividends By Effective Date screen.

Field	Description
Effective Date	The date used to retrieve loaded net asset values is displayed in this field.
View	A—All F—Fund & Coverage ID U—Unit ID
Fund ID/Unit ID	This field label is Fund ID when the Fund and Coverage ID view is selected. This field label is Unit ID when the Unit ID view is selected.
Coverage ID	Select the Coverage ID in this field. The field is only displayed when the Fund and Coverage ID view is selected.
Net Asset value	The net asset value for the effective date is displayed in this field.

Field	Description
Dividend	Dividends, if any, are displayed in this field. If the dividend amount is 0, this field is blank.
Change in NAV	The difference in NAV from the prior effective date is displayed in this field.

[This page intentionally left blank.]

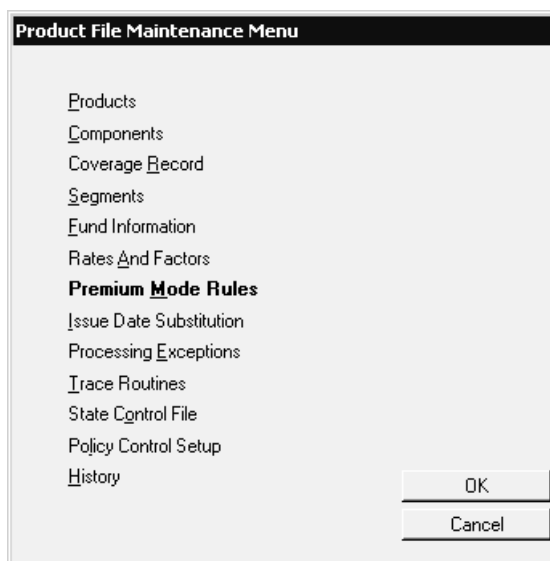
SECTION 6 PREMIUM MODE RULES

Chapter 1	PR—Premium Segment	6-4
1.1	Modal Factors for Premiums Screen	6-5
	Premium Mode Rules Record—View	6-6
	Premium Mode Rules Record—Update	6-7

[This page intentionally left blank.]

Section 6 Premium Mode Rules

The Modal Factors For Premiums screen is used to define tables of modal factors for premiums. This factor is applied to the policy annual premium to determine the modal premium. In addition, a fee can be added to the modal premium. Modal factors and fees can be varied by billing form and billing mode.



The Modal Factors For Premiums screen is accessed by selecting **Premium Mode Rules** from the Product System Menu.

Chapter 1 PR—Premium Segment

The PR—Premium Segment displayed below is an example of a segment that uses premium mode rules. Note that the Premium Mode Rule ID field has a value input of 01. This ID acts as a pointer to the appropriate Mode Rule Record. Premium mode rules can be varied by coverage or several coverages could share the same mode rule ID.

Premium Segment File							
Segment ID	w/L >>			Segment Type	PR		
Key Modifier	PR			Do Values Vary By			
Are Values Banded	No			Underwriting Class	No		
Female Rate Basis	Male With Setback						
Setback Years	0						
Rate Type	Attained Age						
Rate Rounding Rule	Truncate After Cents						
Substandard Percentage Rounding Rule	Round To Nearest 7 Decimal Places						
Band Upper Limits	9999999	0	0	0	0	0	0
Premium Select Period	99			Premium Change Frequency	99		
Premium Mode Rule ID	01						
Coverage ID Of Ultimate Rates	NA						
Premium Rate Calculation Rule	Units Purchased						
Extended Key Definition Used	No						
Mode Rules Rates Extended Key Table Extra OK Cancel							

1.1 Modal Factors for Premiums Screen

The Modal Factors For Premiums screen is used to define the mode factors and fees.

Mode	Factors	Fees
Monthly	0.08500	
Quarterly	0.26000	
Semi-Annual	0.51000	
Ninthly	0.12000	
Tenthly	0.11000	
26-Pay	0.05000	
52-Pay	0.02500	
Thirteenthly	0.16000	
Weekly	0.02000	
Biweekly	0.04000	

Complete the following steps to add a new Mode Rule Record.

1. From the Product System Menu select **Premium Mode Rules**. The Modal Factors For Premiums screen is displayed.
2. Select the Form Number and Mode Rule ID.
3. Press **F8**.
4. Input the factors or fees for each billing form.
5. Click **OK** to save the record or click **Cancel** to exit without saving.

NOTE

Keep in mind that a record needs to be added for each valid billing form.

The following table contains descriptions of the Modal Factors For Premiums screen fields.

Field	Description
Form Number	The billing form to which this record applies is displayed in this field. Mode rules and fees can be varied by billing form. A Premium Mode Rules Record should be defined for each valid billing form. DIR—Direct LST—List Bill GVT—Government PAC—Preauthorized Collection CRD—Credit Card
Mode Rule ID	The mode rule ID is the link between the Premium Mode Rules Record and the Premium Mode Rule ID field on the segment. A cross reference list of valid Mode Rule IDs for the Form Number selected is available by clicking >>.
Factors	The Factors section of the screen lists premium factors for each mode. The annual premium is multiplied by the corresponding modal factor. For example, if 0.085 is designated for monthly, the monthly premium is the annual premium multiplied by 0.085.
Fees	The Fees section of the screen is used to designate a flat, modal fee added for the modes listed. For example, if 1.00 is input for monthly, a \$1.00 fee is added to all monthly premiums. NOTE Any selection in the Fees Section of the screen is in addition to fees designated on the Coverage Record or the PF—Policy Fees Segment.

Premium Mode Rules Record—View

Complete the following steps to access a Premium Mode Rules Record.

1. From the Product System Menu select **Premium Mode Rules**. The Modal Factors For Premiums screen is displayed.
2. Input the Form Number and Mode Rule ID fields and click **OK**. Or, upon accessing the Modal Factors For Premiums screen, click **Next** to scan through the records. Click **Previous** and **Next** to move through the records.

Premium Mode Rules Record—Update

Complete the following steps to update a Premium Mode Rules Record.

1. From the Product System Menu select **Premium Mode Rules**. The Modal Factors For Premiums screen is displayed.
2. Access the record to be updated.
3. Press **F10**.
4. Make the desired changes.
5. Click **OK** to save the changes, or click **Cancel** to exit without saving.

[This page intentionally left blank.]

SECTION 7 ISSUE DATE SUBSTITUTION

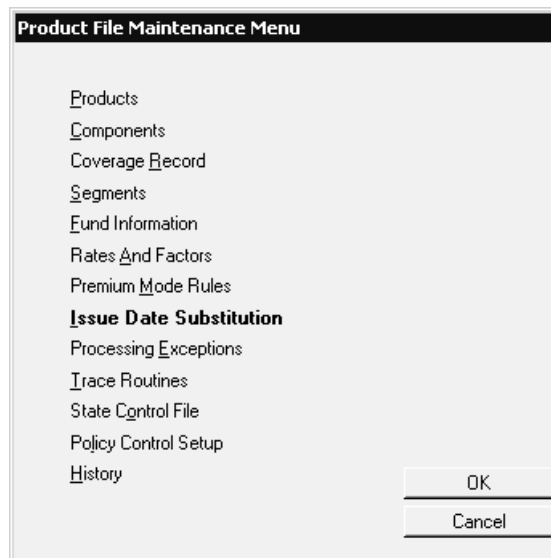
Chapter 1	Substitution Types	7-4
	Substitution Type Processing Priority	7-4
1.1	Substitution Record Maintenance	7-5
	Substitution Record—Add	7-5
	Substitution Record—Update	7-7
	Substitution Record Cross Reference List	7-8
	Substitution Record—Delete	7-9
1.2	Coverage Record Notification Window.....	7-10

Chapter 2	Issue Date Substitution History	7-11
------------------	--	-------------

[This page intentionally left blank.]

Section 7 Issue Date Substitution

It is a common occurrence with insurance products that from time to time, rates and values for the product are changed. If the change is for all policies on the books, then the rates can simply be changed. However, often the changes are effective only for business issued after some particular date.



Such changes in LifePRO® can be made by using the Issue Date Substitution File. A Substitution Record is built which, in effect, modifies the last known effective Coverage Record as of a certain issue date.

In this new record, old segments are substituted with new segments. Since LifePRO® accesses rates and values by analyzing segments, the system finds the new rates and values via the Product Substitution File.

In addition, the system offers the capability to set up a substitution record for a specific policy, a specific client ID, a specific state, or a specific list bill group.

NOTE

Effective Date Substitution is also available. Refer to Section 4, Effective Date Substitution—Add New Record on page 4-77 in this book for more information.

Chapter 1 Substitution Types

In addition to providing the ability to substitute segments for a coverage as of a specific date, the system also offers the following lower level substitutions.

- Policy level substitution substitutes segments for one policy only.
- Client number substitution substitutes segments for one client ID only. The client ID can be coded on the New Business Premium Information screen in Policy Add or on page 2 of the Contract screen in Inforce Business.
- Group level substitution substitutes segments for a list bill group only.
- State level substitution substitutes segments for a specific state.

Substitution Type Processing Priority

If multiple substitution records exist, the substitution records are searched from the most specific to the most general. The first Issue Date Substitution record found in this manner is the record used.

1. Policy
2. Client/Account
3. Group
4. State
5. Coverage
6. Initial Coverage Record

After the proper Issue Date Substitution record is found, the system searches for any Effective Date Substitution records present.

1.1 Substitution Record Maintenance

Issue Date Product Substitution

Coverage ID >> LOB Sub Type Co 01 Policy PDM1003
 Issue Date Gender Code

Substitute Entire Coverage with Coverage ID
 (non-blank will override any Segment Entries)

or Substitute Individual Segments

Type	Description	Coverage Record	Substitute
		Y/N Segment ID	Segment ID
UH	Target Premiums	Y UL1	Yes UL1 >>
UG	Minimum Premiums	Y UL1	Yes UL1 >>
UF	Per Policy Monthly Exp	N	No >>
LN	Loan Interest Rates	N	No >>
U1	Premium Load Fees	N	No >>
U2	Premium Load Pcts	N	No >>
U3	Per Thousand Exp Load	N	No >>
U4	Surr Rate Amortization	N	No >>
U5	Guar COI Rates	Y UL1	Yes UL1 >>
U6	Curr COI Rates	Y UL1	Yes UL1 >>

Page 1 of 15

Sort List
 Coverage Xref
 Eff Date Subst
 Ties to Iss Subst
 Next
 Previous
 OK
 Cancel

Substitution Record—Add

Complete the following steps to add a Substitution Record.

1. From the Product Menu select **Issue Date Substitution**.
2. Complete the fields on the top line of the screen.

Field	Description
Coverage ID	The coverage ID for which the Substitution Record is being added is input in this field.
LOB	The line of business for the coverage selected is completed by the system and is displayed in this field.

Field	Description
Sub Type	Refer to Section 7, Substitution Type Processing Priority on page 7-4 in this book List Bill for a listing of the priority ranking the system uses when finding a Substitution Record. C—Coverage Only Substitution P—Company & Policy One Substitution Record is in effect for one policy. If Company & Policy is selected, a Selection window is displayed. Input the policy number to which this record applies. L—Client One Substitution Record is in effect for all policies under one client ID. If Client is selected, a Selection window is displayed. Input the client ID to which this record applies. G—List Bill Group Only one list bill group is substituted. If List Bill Group is selected, a Selection window is displayed. Input the group number to which this record applies. R—Company & Group Contract One Substitution Record is in effect for all policies under one group participant contract. S—State A Substitution Record for a specific state is in effect. If State is selected, a Selection window is displayed. Input the state ID to which this record applies.
Issue Date	The date on which the Substitution Record is effective is displayed in this field. The policy issue date is compared to this date to determine the proper Substitution Record.
Gender Code	The gender of the insured to which this record applies is displayed in this field. M—Male F—Female @—Both

- Press **F8**. The Type, Description, and Coverage Record columns are completed automatically by the system. These columns display the current coverage values.
- Substitute Entire Coverage with Coverage ID**—This field can be used to overlay all segments of a coverage with another coverage, as of the issue date. If an entry is made in this field, no further entries need to be made on the Issue Date Product Substitution screen. The system does not look at any individual segment substitutions if an entry is made in this field.

5. The Substitute column is used to designate any segment changes. The values in this column defaults to the current segment value. Update the segment ID for the segments which have changed.
6. After designating a new segment ID, click >> from that field to access the segment.
7. Update the segment information and click **OK** to save the record. Or, click **Cancel** to exit without saving. Be sure to code the new rates for the segment if necessary.

Substitution Record—Update

Complete the following steps to update a Substitution Record.

1. Access the record by clicking >> to display the cross reference list or by completing the top portion of the screen and clicking **OK**. If you are updating a record, the Coverage Record column automatically defaults to the updated values of the previous substitution record.
2. Press **F10**. The issue date can be updated prior to pressing **F10**. If the issue date is changed, the record reflects the new date when the record is saved.
3. Make the desired updates to the Substitution Record.
4. Click **OK** to save the new record, or click **Cancel** to exit without saving.

Substitution Record Cross Reference List

When the Issue Date Product Substitution screen is displayed, click >> to display the cross reference list of substitution records.

Select Substitution Cross Reference Item			
Coverage ID	Substitution Type	Issue Date	Gender
115000	Coverage Only Substitution	01/01/1993	@
ART44	Coverage Only Substitution	01/01/1985	@
BWL	Coverage Only Substitution	01/01/1995	@
BWL	Coverage Only Substitution	01/01/1997	@
JAO ART	Coverage Only Substitution	01/15/1997	@
JAO ART	Coverage Only Substitution	01/01/1998	@
LMEB9615J	Coverage Only Substitution	01/01/1997	@
LMEB9615J	Coverage Only Substitution	03/01/1999	@
ONEYRTERM	Co 01 Polc PDM0166	12/01/1989	@
ONEYRTERM	Co 01 Polc PDM0167	12/01/1989	@
OP	Co 01 Polc 00000003806U	06/26/1990	@
OP	Co 01 Polc 00000003806U	12/26/1990	@
OP	Co 01 Polc 00000004045U	07/27/1990	@
OPII	State CA	09/01/1997	@
OPII	State CO	09/01/1997	@

The cross reference list displays the current contents of the Substitution File. The issue date refers to the issue date of the Substitution Record. The Gender field lists the gender code to which the Substitution Record applies. An @ symbol in this field means the record is used for both males and females.

To select one of the Substitution Records listed click on the desired record. The Substitution Record selected is displayed.

To exit the cross reference list without making a selection, click **Cancel** to return to the Substitution screen.

Substitution Record—Delete

The screenshot shows the 'Issue Date Product Substitution' window. At the top, there are fields for Coverage ID (FIXED UL), Issue Date (01/20/2000), LOB (U), Sub Type (Company & Policy), and Gender Code (Both). Below these are fields for 'Substitute Entire Coverage with Coverage ID' and 'or Substitute Individual Seg'. A 'Select Response' dialog box is open in the center, displaying the message 'Delete FIXED UL 01202000 @ ?' with 'Yes' and 'No' buttons. The background window contains a table with columns 'Type' and 'Description'. The table lists various insurance-related items like 'Target Premiums', 'Minimum Premiums', 'Per Policy Monthly E', 'Loan Interest Rates', 'Premium Load Fees', 'Premium Load Pcts', 'Per Thousand Exp Load', 'Surr Rate Amortization', 'Guar COI Rates', and 'Curr COI Rates'. To the right of the table are several buttons: 'Sort List', 'Coverage Xref', 'Eff Date Subst', 'Ties to Iss Subst', 'Next', 'Previous', 'OK', and 'Cancel'. The bottom of the window shows 'Page 1 of 14'.

Complete the following steps to delete a Substitution Record.

1. Access the record by clicking >> to display the cross reference list.
2. Press **Alt+F8**. A Confirmation window is displayed with the message *Delete (Coverage ID), (Issue Date), (Gender)*.
3. Click **Yes** to delete the Substitution Record. If you do not wish to delete the record, click **No** or click **Cancel**.

1.2 Coverage Record Notification Window

If an Issue Date Substitution Record or an Effective Date Substitution Record exists for a coverage, a Notification window is displayed upon selecting the coverage ID on the Coverage Record screen. To display a cross reference list of the Substitution Records click >> to access the Issue Date Product Substitution screen.

Coverage File - Screen 1 of 4

Page 1 | Page 2 | Page 3 | Page 4

Coverage ID: PARWL >> Line of Business: Allow As Shadow Coverage: No Status Code:

Coverage Description:

Issue Ages: 0

Policy Fee: 0.00 Ext Reins: No

Form Number:

Combined UWCLS:

'First / 'Last to Die:

Select An Option

Tied To Coverage PARWL

Issue Date Substitution >>

Detail

Cancel

Substd	Age/Opt/Pct	Maximum Allowable
Flat	Tbl/None	Rating Lmt Flat Extra

Values Represent:

Minimum Issue Amount: 0 0 0 0 0 0

Maximum Issue Amount: 0 0 0 0 0 0

Through Age: 0 0 0 0 0 0

List Options...

Notes

Date Subst

Segments

Issue Limits

Tie to Coverage

Imaging...

Subst Trace

OK

Cancel

Chapter 2 Issue Date Substitution History

History Records can be viewed for a selected Issue Date Substitution Record. This option is only available if the Keep Product History field for the default company (00) on the Management Options screen is **Yes**.

Complete the following steps to view the History Records for an Issue Date Substitution Record.

1. From the Product System Menu select **Issue Date Substitution**. The Issue Date Substitution record is displayed.
2. Click >> to select an Issue Date Substitution Record from the cross reference list. The Issue Date Substitution screen is displayed.

Issue Date Product Substitution

Coverage ID: >> LOB: Sub Type: Co 01 Policy:
 Issue Date: Gender Code:

Substitute Entire Coverage with Coverage ID:
 (non-blank will override any Segment Entries)

or Substitute Individual Segments

Type	Description	Coverage Record	Substitute
		Y/N Segment ID	Segment ID
PR	Premiums	Y ONEYRTERM	ONEYRTERM >>
CV	Cash Values	N	PDM0166 >>
DV	Dividends	N	PDM016 >>
DN	Dividends, Non Prem Pay	N	>>
PF	Policy Fee	N	>>
LN	Loan Interest Rates	N	>>
DB	Death Benefits	N	>>
AB	Addl Death Benefits	N	>>
AP	Addl Premiums, Deposits	N	>>
RD	Endowment, Deposit Return	N	>>

Page 1 of 12

Version: I3.W0 Snapshot: 0.900 Date: 00/04/1999 Client ID: 0929

History Record Display

3. Press **Alt+H**. The most recent Issue Date Substitution History Record is displayed with the message *History Record Display* at the bottom of the screen.

NOTE: The display does not indicate which fields were changed, so careful inspection of the screen may be required to detect the values which were changed.

4. Click **Next** and **Previous** to move through the different screens of the Issue Date Substitution History Records. If there is more than one History Record for the same Issue Date Substitution Record, press **Ctrl+Page Up** and **Ctrl+Page Down** to move from one history record to another.
5. Click **Cancel**. The Issue Date Substitution Record is displayed.

Complete the following steps to view the coder ID, date, and time of the last change to an Issue Date Substitution Record.

1. From the Product System Menu select **Issue Date Substitution**. The Issue Date Substitution record is displayed.
2. Click >> to select an Issue Date Substitution Record from the cross reference list. The Issue Date Substitution screen is displayed
3. Press **Alt+L**. The coder ID, date, and time of the last change to this Issue Date Substitution Record are displayed.



The screenshot shows a dialog box titled "Product File". It contains three input fields: "Coder ID" with the value "LDB", "Date" with the value "01/20/2000", and "Time" with the value "11:01:59.15". To the right of these fields are two buttons: "OK" and "Cancel".

4. Click **Cancel** to exit.

SECTION 8 PROCESSING EXCEPTIONS

The Processing Exceptions option is used to allow a custom calculation program to be substituted for the *LifePRO*® calculation for many segments. Processing exceptions are used when there is a unique calculation not handled using normal *LifePRO*® processing. Exception programs are COBOL programs.

Processing exceptions are linked to specific coverages and may also be limited to a specific policy, state, Client ID, List Bill Group, or Group Contract.

Complete the following steps to add a processing exception.

1. From the Main Menu select **Product System**. The Product Menu is displayed.



2. Select **Processing Exceptions**. The Processing Exceptions screen is displayed.

Select Issue Date Product Exceptions

Coverage ID: T0TSwL94 >> LOB: L Exception Type: Coverage Only Exceptions Coverage Only Exceptions
 Issue Date: 06/01/1994 Gender: Both

Previously
 No Current
 Exceptions Exceptions

Type	Description	Exceptions
PR	Premiums	PEXCPR02
CV	Cash Values	
DV	Dividends	
DN	Dividends, Non Prem Pay	
PF	Policy Fee	
LN	Loan Interest Rates	
DB	Death Benefits	
AB	Addl Death Benefits	
AP	Addl Premiums, Deposits	
RD	Endowment, Deposit Return	
	Reserved	
RV	Reserve Factors	
NP	Net Valuation Premiums	
TX	Tax Reserve Factors	

Page 1 of 9

Next
 Previous
 OK
 Cancel

3. Complete the fields as described in the table below.

Field	Description
Coverage ID	Input the Coverage ID to which the processing exception applies in this field. Or, click >> to select a Coverage ID from the cross reference list.
Exception Type	The processing exception can be used for all policies issued with the coverage selected or the processing exception can be limited to one policy number, one client number, one list bill group, or one group contract. C—Coverage Only Exceptions The processing exception applies to all policies issued with the Coverage ID selected. P—Company & Policy The processing exception applies to one policy issued with the Coverage ID selected. When this option is selected, the Substitution Policy window is displayed. Input the Company Code and Policy Number of the policy to which this processing exception applies and click OK. The Company Code and Policy Number are displayed in the top right corner of the Processing Exceptions screen.

Field	Description
Exception Type (continued)	L—Client The processing exception applies to all policies issued that are associated with the client selected. When this option is selected, the Substitution Client window is displayed. Input the Client Number to which this processing exception applies and click OK. The Client Number is displayed in the top right corner of the Processing Exceptions screen. G—List Bill Group The processing exception applies to all policies issued with the list bill group selected. When this option is selected, the List Bill Group window is displayed. Input the List Bill Group Number to which this processing exception applies and click OK. The List Bill Group Number is displayed in the top right corner of the Processing Exceptions screen. R—Company & Group Contract The processing exception applies to all policies issued for the Group Contract Number selected. When this option is selected, the Substitution window is displayed. Input the Group Contract Number to which this processing exception applies and click OK. The Group Contract Number is displayed in the top right corner of the Processing Exceptions screen.
Issue Date	Input the starting issue date on which this processing exception applies. The policy issue date is compared to this date to determine if the processing exception applies to the policy.
Gender	The processing exception can be limited by the gender of the insured. M—Male The processing exception only applies to males. F—Female The processing exception only applies to females. @—Both The processing exception applies to males and females.

4. Press **F8**. The Previously column displays the parameters and the name of previous processing exceptions.
5. Input the name of the COBOL program for the processing exception used for this segment in the Current Exceptions field.
6. Click **OK** to save the processing exceptions.

LifePRO® will call the exception program automatically, assuming the linkage is defined correctly in the exception program. PDMA can provide consulting services to assist with the development of exception programs and modules.

It is important to note that while all high level segments are displayed on the Processing Exceptions screen, not all segments currently have processing exception hooks available. The following segments are currently used by exception processing.

Traditional Segments

AB	Add'l Death Benefits Segment
AD	Add'l Premium Credited Segment
AP	Add'l Premiums, Deposits Segment
CV	Cash Values Segment
DB	Death Benefits Segment
DO	Dividend Option Segment
DR	Deficiency Reserves Segment
DV	Dividends Segment
ET	Extended Term/Reduced Paid Up Segment
GB	GAAP Benefit Reserves Segment
GE	GAAP DAC Reserves Segment
GP	Guaranteed Premiums Segment
IR	Inflation Rider Segment
OP	77020 Override Premium Segment
PF	Policy Fees Segment
PR	Premium Segments
RV	Reserve Factors Segment
TX	Tax Reserve Factors Segment

Universal Life Segments

BL	Billable Policy Fee Segment
CV	Cash Values Segment
NC	Net Premium Credited Segment
UG	Universal Life Minimum Premium Segment
UH	Universal Life Target Premium Segment
UX	Minimum Premium Assembly Rules Segment
UY	Target Premium Assembly Rules Segment

PEXCCV01

The PEXCCV01 exception module is added as a processing exception for the CV—Cash Value Segment and is used to calculate the surrender value of a Return of Premium Cash Value Rider. While the percentage factors are input on the base coverage using the CV Segment, the exception program applies the appropriate percentage factor to the cumulative annual premium paid on the policy as of the last policy anniversary capped at the premium paying period of the Return of Coverage rider. The total cash value will never be greater than the cumulative premiums paid as of the date of termination and will be adjusted for total premiums waived and for death benefits paid, if any.

[This page intentionally left blank.]

SECTION 9 TRACE ROUTINES

Chapter 1	Trace Routines Introduction	9-3
Chapter 2	Trace Routines Access	9-4
2.1	Values Calculator.....	9-5
	Valid Calls to the Values Calculator	9-9
2.2	Disclosure Summary Calculation	9-11
	Disclosure Summary—Return Codes	9-14
	Disclosure Summary—Trace Values Menu	9-14
	Cost Indices	9-15
	Modal Premium	9-16
	Yearly Premiums/Death Benefits	9-17
	Yearly Values—NFO	9-18
	Print Values	9-19
2.3	Anniversary Values.....	9-20
2.4	UL Reserve Calculator.....	9-25
2.5	Traditional Reserves Calculator.....	9-30
2.6	Prorated Premium Refund Trace	9-33
2.7	Date Routines.....	9-34
2.8	Duration Calculation Trace.....	9-36
	Duration Calculation Trace Results	9-37
2.9	UL New Business Premium Trace.....	9-38
2.10	SPIA Calculator	9-39
2.11	Life Expectancy Calculation.....	9-40
2.12	Joint COI Rates/Commutation.....	9-41
2.13	Rate Segment Retrieval	9-44
2.14	Rate Retrieval	9-45
2.15	Rate Retrieval All Years	9-46
2.16	UL/Annuity Death Benefits.....	9-47
2.17	Preferred Loan Split.....	9-48
2.18	Declared Rates Retrieval.....	9-49
2.19	Earnings Calculation.....	9-50
2.20	Declared Interest Calc.....	9-51
2.21	Surrender Calculation	9-52
2.22	Taxable Income.....	9-53
2.23	Withholding Calc.....	9-54
2.24	Alloc Covr Prem Dist	9-55
2.25	Unit Values Calc	9-56
2.26	Calendar Dates.....	9-57
2.27	Varying Band Limits	9-58
2.28	EIA Generic Formula.....	9-59
2.29	Day of Week Calculation.....	9-64
2.30	Valid Purchase Day	9-65

2.31	ABV RMD Trace	9-68
------	---------------------	------

Chapter 1 Trace Routines Introduction

As an aid to testing and verifying new products, as well as tracking down problems, LifePRO® provides you with routines called trace routines.

With these, you can execute directly from your console the same modules used by LifePRO® in processing.

For example, there is the values calculator routine. By keying in requested items, the values calculator allows you to see what LifePRO® computes as premium, cash values, dividends, or reserves for any traditional product.

Similarly, you may test anniversary processing on traditional lines of business to verify that LifePRO® is correctly picking up premiums, death benefits, and dividends and applying them properly according to the dividend option. Also, any notifications which are to occur at anniversaries in the future, based on the NT—Notify Messages Segment, can be verified.

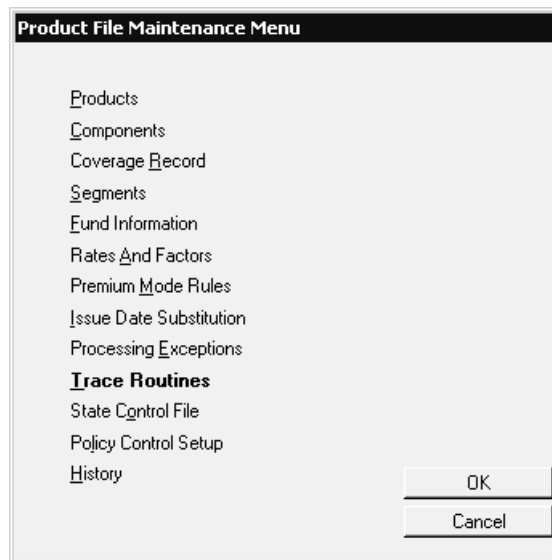
There is a special version of the values calculator available which computes the premiums, re-entrant premiums (if applicable), guaranteed maximum premiums (if applicable), the cash values, death benefits, and cash dividends for a policy from issue to expiration. This program is used for traditional business policy disclosure summaries.

It is important to remember that if the trace routines produce proper values at all points in the life of the policy, the administration system will also. This is because both the trace routine and the administration system are running the same program.

Thus, by testing via the trace routines, you ensure that LifePRO® is handling the product properly. This can all be done outside of New Business, without issuing a single test policy.

Chapter 2 Trace Routines Access

Trace Routines are accessed from the Product Subsystem Menu.



From the Product Subsystem Menu, select **Trace Routines**. The Trace Routines Menu is displayed. There are three screens of options.

2.1 Values Calculator

The Values Calculation screen displays the values LifePRO® computes as premium, cash values, dividends, and reserves for any traditional product. Current values or values from any future point can be displayed. In order to access the Values Calculation screen from the Trace Menu select **Values Calculator**.

Enter Values Calculation																
Function	PR >>	Duration	0	Effec	12/07/2005	Amt Type	Face									
Coverage	>>	Issue	12/07/2005	Unit/Amt	0.0000000											
Supplemental ID		Paid-To	12/07/2005	Unit Value	0.00000											
Form Number	Direct	Process Flag		Loan Amt	0.00											
Mode	Annually	Birth Date		IAge		CAge		Gender		UWCLS		Table	Percent	Flat	Dur	Age-up
Primary	00/00/0000	0	0									0.00	0	0.00	0	0
Secondary	00/00/0000	0	0									0.00	0	0.00	0	0
Prem	0.0000000	State		Group												
CV	0.00	Account														
DB	0.00	LOB	Product Type													
SC	0.00	Notify Segment														
DA	0.00	Gender Basis	Age Basis													
DV	0.00	Next Premium	00/00/0000													
PUA	0.00	Date Paid Up	00/00/0000													
RPU	0.00	Expiration	00/00/0000													
Auxiliary Age	0	Rerate Used														
Prm in Waiver		Future Rerate														
Fee in Waiver		Banker Year?														
Return Code	000	Annual Pol Fee	0.00													
Error Message																
Payment Mode Annually 0.00 Semi-Annual 0.00 Quarterly 0.00 Monthly 0.00 Ninthly 0.00 Tenthly 0.00 26-Pay 0.00 52-Pay 0.00 13thly 0.00 Biweekly 0.00 Weekly 0.00																

Complete the following steps to request values from the values calculator.

1. Complete the fields in the top section of the screen that are applicable to the request.
2. Click **OK** to activate the values calculator. If you did not complete a required field, the values calculator is not able to complete its activation. If this occurs, the Error Message field displays a message indicating which required field has not been completed.
3. Clicking **Values** from the Values Calculation screen, displays the Values Calculator Trace screen. This screen displays the rates used for the values calculation.

The screenshot shows the 'Values Calculator Trace' window. It contains a list of 18 numbered rows, each with a text input field. The values in the fields are: 1. 1.0000000, 2. 1.2000000, 3. 1.3000000, 4. 1.4000000, 5. 0.0000000, 6. 0.0000000, 7. 0.0000000, 8. 0.0000000, 9. 0.0000000, 10. 0.0000000, 11. 0.0000000, 12. 0.0000000, 13. 0.0000000, 14. 0.0000000, 15. 0.0000000, 16. 0.0000000, 17. 0.0000000, 18. 0.0000000. At the bottom left, it says 'Page 1 of 6'. On the right side, there are four buttons: 'Next', 'Previous', 'OK', and 'Cancel'.

Line	Value
1	1.0000000
2	1.2000000
3	1.3000000
4	1.4000000
5	0.0000000
6	0.0000000
7	0.0000000
8	0.0000000
9	0.0000000
10	0.0000000
11	0.0000000
12	0.0000000
13	0.0000000
14	0.0000000
15	0.0000000
16	0.0000000
17	0.0000000
18	0.0000000

Page 1 of 6

Next
Previous
OK
Cancel

NOTE

The date to the right of the field indicates the effective date of the rerate and is only displayed for current and future rerates. The system does not display dates for rerates in the past.

The following table contains descriptions of the fields in the top section of the Values Calculation screen.

Field	Description
Function	Enter the 2 or 3 digit code request code in this field. Click >> to select a code from the cross reference list.
Coverage	Input the coverage ID to be tested in this field.
Supplemental ID	Leave this field blank.
Form Number	The applicable premium form is selected in this field. CRD—Credit Card DIR—Direct GVT—Military/Government LST—List Bill PAC—Preauthorized Check PDF—Premium Deposit Fund
Mode	The premium mode is selected in this field. 01—Monthly 03—Quarterly 06—Semi-annually 12—Annually 13—13thly
Duration	The system computes this field. The Issue Age and Duration fields can be completed, leaving the Effective Date field blank. The system computes the current age.
Effec	The effective date of the request is input in this field in MMDDYYYY format.
Issue	The issue date of the request is input in this field in MMDDYYYY format.
Paid-To	This field is not normally entered. The system returns the premium rate per unit on premium calls.
Process Flag	I—Issue F—Inforce

Field	Description
Amt Type	This field determines the type of selection in the Unit/Amt field. U—Units F—Face
Unit/Amt	The face amount or number of units is input in this field.
Unit Value	If the Amt Type field is Units , designate the value of one unit in this field.
Loan Amt	Designate the loan amount, if applicable, in this field.
Birth Date	The birth date for the primary or secondary insured is input in this field.
IAge	The issue age of the insured is input in this field. The values calculator does not compute the issue age from the other date fields.
CAge	The current age of the insured is input in this field. The system computes the current age if the issue age and effective date are selected.
Gender	The gender of the insured is selected in this field. M—Male F—Female U—Uni
UWCLS	The insured's underwriting class is input in this field.
Table	Input the table that is used if a table rating is present in this field.
Percent	Input any table rating percentage and the corresponding duration in these fields.
Flat/Dur	Input any flat extra and the corresponding duration in these fields.
Age-up	
Rerate Used	Y—Yes A rerate has been used in the calculation displayed on the Values Calculation screen. N—No A rerate has not been used in the calculation displayed on the Values Calculation screen.
Future Rerate	Y—Yes A future rerate exists for the coverage selected on the Values Calculation screen. N—No A future rerate does not exist for the coverage selected on the Values Calculation screen.

Valid Calls to the Values Calculator

PR	Premiums
SP	Rated Premiums
PF	Policy Fee
GP	Guaranteed Maximum Premiums
BP	Billable Premium for Annuities
PRI	Disclosure Premiums
PRR	Disclosure Reentry Premiums
GPI	Disclosure Guaranteed Premiums
CV	Cash Values
CVI	Disclosure Cash Values
CVA	Interpolated Cash Values
CVP	Cash Value Paid Up Additions
DV	Dividends—Premium Paying
DN	Dividends—Non Premium Paying
DNP	Dividends on Paid Up Additions
DVI	Disclosure Dividends at Issue—Premium Paying
DA	Dividend Adjustments—Premium Paying
DAN	Dividend Adjustments—Non Premium Paying
DAP	Dividend Adjustments on Paid Up Additions
NF	Non Forfeiture Factor
DB	Death Benefit
DBI	Disclosure Death Benefits
DBO	Death Benefit
ETI	Extended Term Insurance
RPU	Reduced Paid Up

OYT	Enter Premium and Returns One Year Term Amount
OYR	Enter One Year Term Amount and Returns Premium
NSP	Net Single Premium
CM	Commission Rates
NC	Non Commissionable Portion of Premium
ETC	Extended Term Insurance (ETI) Reserves and Cash Value
RPC	Reduced Paid Up Insurance (RPU) Reserves and Cash Values
ETR	ETI Reserves
PUA	Paid Up Additions using Premium Paying Dividends
PUN	Paid Up Additions using Non Premium Paying Dividends
PUP	Paid Up Additions using Dividends on Paid Up Additions
UH	Target Premiums
MEC	Cash Value
MD	Premium
TG	Premium
PL	Premium
FN	Dividend Expense
FNI	Dividend Expense
MP	Minimum Premium
CP	Target Premium
PTR	VAR Reserves
MW	Max Waive Premium
W1	W1 Waive Premium
W2	W2 Waive Premium
EC	Exclude Comm
EP	Exclude Rated

2.2 Disclosure Summary Calculation

The Disclosure Summary Calculation screen displays disclosure values for a selected coverage ID and selection criteria. In order to access the Disclosure Summary Calculation screen, from the Trace Routines Menu select **Traditional Disclosure**.

Enter Disclosure Summary Calculation									
Coverage ID	PARWL	Issue Date	01/31/2005	Form	Direct	Face	100000.00000		
Supp ID		Effective Date	12/07/2005	Mode	Monthly	F/U	Face		
Issue State	IN								
	Gender	UWCLS	Birth Date	Issue Age	Table	Pct Rate	Dur	Flat	Dur
Primary	Male	S	01/31/1970	35		.00	0	.00	0
Joint			00/00/0000	0		.00	0	.00	0
Disclosure Summary Calculated Information									
Description PARTICIPATING									
Date/Dur Data	Paid Up Date	01/31/2069	Next Premium Date	01/31/2069					
	Expiration Date	01/31/2069	Next Premium Duration	064					
Return Flags	Code	Message							
General	0								
Cur Premiums	0								
Reentrant Prms	0								
Gtd Max Prms	101	4555 VAL This Coverage Record Claims No GP Segment							
Cash Values	0								
Death Benefits	0								
Cash Dividends	0								
Reduced Paidup	0								
Extended Term	798	4523 VAL Extended Term Insurance Error - Buys Endo							
Action OK Cancel									

Complete the following steps to request a disclosure summary calculation.

1. Complete the fields in the top section of the screen that are applicable to the request.
2. Click **OK** to activate the disclosure summary calculator. If a required field was not completed, the disclosure summary calculator is not able to complete activation. If this occurs, the General Return Flag field displays a message indicating the missing entry.

The following table contains descriptions of the fields in the top section of the screen.

Field	Description
Coverage ID	Select the coverage ID to test in this field.
Supp ID	Leave this field blank.

Field	Description
Issue State	Input the issue state for the policy in this field.
Issue Date	Input the issue date for the policy in YYYYMMDD format in this field.
Effective Date	Input the effective date for the policy in YYYYMMDD format in this field.
Form	Select the billing form to be tested in this field. DIR— Direct LST—List Bill PAC—Preauthorized Check GVT—Mil/Govt Allotment CRD—Credit Card
Mode	01—Monthly 03—Quarterly 06—Semi-Annual 12—Annual
Face	Input the amount in face or units in this field.
F/U	This field indicates if the amount in the Face Amount field is face or units. F—Face U—Units
Gender	The gender of the insured is selected in this field. M—Male F—Female U—Unisex J—Joint
UWCLS	The underwriting class of the insured is selected in this field.
Birth Date	Input the date of birth of the insured in MMDDYYYY format in this field.
Issue Age	Input the issue age in this field. The system does not compute the issue age.
Table	Input the table that is used if a table rating is present in this field.

Field	Description
Pct Rate/Dur	Input any additional substandard percentage rating in this field. Input the number of years the rating is in effect in the Dur field. A 225% rating is input as the extra amount of 125%.
Flat/Dur	Input any flat extra per unit in this field. Input the number of years the rating is in effect in the Dur field.

Disclosure Summary—Return Codes

If a calculation error occurs with the disclosure summary calculation, there is a message next to the corresponding Return Flag field, and an error code is displayed. Any code with a value less than 200 means that the message is simply a warning that this coverage does not have the item. For example, the coverage displayed has no guaranteed maximum premiums.

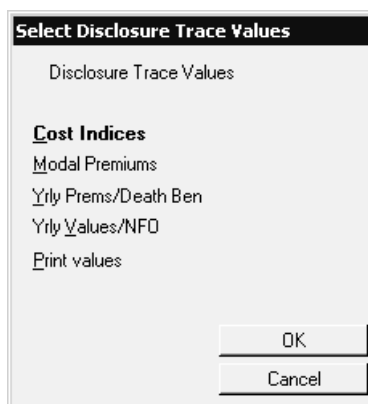
Enter Disclosure Summary Calculation									
Coverage ID	PARWL	Issue Date	01/31/2005	Form	Direct	Face	100000.00000		
Supp ID		Effective Date	12/07/2005	Mode	Monthly	F/U	Face		
Issue State	IN								
	Gender	UWCLS	Birth Date	Issue Age	Table	Pct Rate	Dur	Flat	Dur
Primary	Male	S	01/31/1970	33		.00	0	.00	0
Joint			00/00/0000	0		.00	0	.00	0
Disclosure Summary Calculated Information									
Description PARTICIPATING									
Date/Dur Data	Paid Up Date	01/31/2069	Next Premium Date	01/31/2069					
	Expiration Date	01/31/2069	Next Premium Duration	064					
Return Flags	Code	Message							
General	0								
Cur Premiums	0								
Reentrant Prms	0								
Gtd Max Prms	101	4555 VAL This Coverage Record Claims No GP Segment							
Cash Values	0								
Death Benefits	0								
Cash Dividends	0								
Reduced Paidup	0								
Extended Term	798	4523 VAL Extended Term Insurance Error - Buys Endo							
Action OK Cancel									

Disclosure Summary—Trace Values Menu

The Trace Values Menu is used to access the following values.

- Cost Indices
- Modal Premiums
- Yearly Premiums
- Yearly Values/NFO
- Print Values
- Generate Policy Pages

After selecting **Disclosure Summary Values** and processing, click **Action** to display the Trace Values Menu.



Click the desired selection to access the display.

Cost Indices

Select **Cost Indices** from the Disclosure Trace Values Menu to display the Cost Indices window.

Disclosure Summary Calculation										
Indices	Current Rate			Guaranteed Rate						
	5th Yr	10th Yr	20th Yr	5th Yr	10th Yr	20th Yr				
Net Payment Cost	- 1.23	- 5.95	- 6.59	.00	.00	.00				
Surrender Cost	- 1.23	- 5.95	- 6.59	.00	.00	.00				
Equiv Lev Ann DV		5.95	6.59		.00	.00				
California Yield	.000	% .000	% .000	% .000	% .000	% .000	% .000	% .000	% .000	% .000
										Cancel

From the Cost Indices window, click **Cancel** to display the Trace Values Menu.

Modal Premium

Select **Modal Premiums** from the Disclosure Trace Values Menu to display the Modal Premiums window.

Disclosure Summary Calculation			
Modal Premiums			
	Monthly	Quarterly	Semi-Annually
Current	3.48	10.40	20.40
Guaranteed	0.00	0.00	0.00
	Policy Fee	0.00	
			Cancel

From the Modal Premiums window, click **Cancel** to display Trace Values Menu.

Yearly Premiums/Death Benefits

Select **Yrly Prems/Death Ben** from the Disclosure Trace Values Menu to display the Yearly Premiums/Death Benefits screen. Click **Next** and **Previous** to move through the screens of duration values.

Disclosure Summary Calculation				
Dur	Current Premiums	Reentry Premiums	Max Gtd Premiums	Death Benefits
2	40.00	40.00	0.00	100000000.00
3	40.00	40.00	0.00	100000000.00
4	40.00	40.00	0.00	100000000.00
5	40.00	40.00	0.00	100000000.00
6	40.00	40.00	0.00	100000000.00
7	40.00	40.00	0.00	100000000.00
8	40.00	40.00	0.00	100000000.00
9	40.00	40.00	0.00	100000000.00
10	40.00	40.00	0.00	100000000.00
11	40.00	40.00	0.00	100000000.00
12	40.00	40.00	0.00	100000000.00
13	40.00	40.00	0.00	100000000.00
14	40.00	40.00	0.00	100000000.00
15	40.00	40.00	0.00	100000000.00
16	40.00	40.00	0.00	100000000.00
17	40.00	40.00	0.00	100000000.00
18	40.00	40.00	0.00	100000000.00
19	40.00	40.00	0.00	100000000.00
20	40.00	40.00	0.00	100000000.00
21	40.00	40.00	0.00	100000000.00

Next
Previous
Cancel

Click **Cancel** to display the Disclosure Trace Values Menu.

Yearly Values—NFO

Select **Yrly Values/NFO** from the Disclosure Trace Values Menu to display the Yearly Values/NFO screen. Click **Next** and **Previous** to move through the future duration values screens.

Disclosure Summary Calculation					
Dur	Cash Values	Cash Dividends	Reduced Paidup	ETI Years	ETI Days
2	0.00	110000.00	0.00		
3	0.00	120000.00	0.00		
4	0.00	130000.00	0.00		
5	0.00	140000.00	0.00		
6	0.00	150000.00	0.00		
7	0.00	160000.00	0.00		
8	0.00	170000.00	0.00		
9	0.00	189000.00	0.00		
10	0.00	190000.00	0.00		
11	0.00	200000.00	0.00		
12	0.00	0.00	0.00		
13	0.00	0.00	0.00		
14	0.00	0.00	0.00		
15	0.00	0.00	0.00		
16	0.00	0.00	0.00		
17	0.00	0.00	0.00		
18	0.00	0.00	0.00		
19	0.00	0.00	0.00		
20	0.00	0.00	0.00		
21	0.00	0.00	0.00		

Next
Previous
Cancel

Click **Cancel** to display the Disclosure Trace Values Menu.

Print Values

Select **Print Values** from the Disclosure Trace Values Menu to print the calculated values. The Report, F(CoderID)PTV, can then be viewed online or printed from the Reports/Processing Menu, Print or Display Reports option.

Online View				
File PKCF_PTV.PDM		Description	Trad Values	Page 1
12/19/2002		1.10.00 - IBM COMPANY ONE		PAGE 0001
PROJECTED VALUES AS OF 12/19/2002 FOR POLICY 01-SBMCAL			ISSUED 01/01/2000	
POL DUR	CURRENT PREMIUMS	REENTRY PREMIUMS	MAX GTD PREMIUMS	DEATH BENEFITS
3	1168.92	1168.92	.00	100000.00
4	1168.92	1168.92	.00	100000.00
5	1168.92	1168.92	.00	100000.00
6	1168.92	1168.92	.00	100000.00
7	1168.92	1168.92	.00	100000.00
8	1168.92	1168.92	.00	100000.00
9	1168.92	1168.92	.00	100000.00
10	1168.92	1168.92	.00	100000.00
11	1168.92	1168.92	.00	100000.00
12	1168.92	1168.92	.00	100000.00
13	1168.92	1168.92	.00	100000.00
14	1168.92	1168.92	.00	100000.00
15	1168.92	1168.92	.00	100000.00
16	1168.92	1168.92	.00	100000.00
17	1168.92	1168.92	.00	100000.00
18	1168.92	1168.92	.00	100000.00
19	1168.92	1168.92	.00	100000.00

Column Tab
Next
Previous
Cancel

2.3 Anniversary Values

The Anniversary Header screen allows you to test anniversary processing on traditional lines of business to verify that LifePRO® is correctly picking up premiums, death benefits, and dividends. It also verifies that the dividends are being applied properly according to the dividend option. Select **Anniversary Values** from the Trace Routines Menu to access the Anniversary Header screen.

Anniversary Header Screen																													
Coverage	WL	Type	Units	Amt	100000.00000	Mode		Paying Status	Yes																				
Supp ID		PUA Amount	0.00000	Form	Direct	Dividend Option	No Dividend																						
Notify	Anniversary Processing																												
Issue	01/15/2005	Birth Date	00/00/0000	Age	35	Gender	Male	Uwcls	Tbl																				
Effective	00/00/0000	Primary	00/00/0000	0																									
		Secondary	00/00/0000	0																									
Benefit Ret Code	1	Process Flag																											
OK Cancel																													
<table border="1"> <thead> <tr> <th colspan="4">Premium Information</th> </tr> </thead> <tbody> <tr> <td>Pay-Up Date</td> <td>01/15/2069</td> <td>Annual Rate</td> <td>.0000000</td> </tr> <tr> <td></td> <td></td> <td>Total Premium</td> <td>.00</td> </tr> <tr> <td></td> <td></td> <td>Policy Fee</td> <td>.00</td> </tr> <tr> <td></td> <td></td> <td>Modal Premium</td> <td>.00</td> </tr> </tbody> </table>										Premium Information				Pay-Up Date	01/15/2069	Annual Rate	.0000000			Total Premium	.00			Policy Fee	.00			Modal Premium	.00
Premium Information																													
Pay-Up Date	01/15/2069	Annual Rate	.0000000																										
		Total Premium	.00																										
		Policy Fee	.00																										
		Modal Premium	.00																										
<table border="1"> <thead> <tr> <th colspan="4">Benefit Information</th> </tr> </thead> <tbody> <tr> <td>Date Benefit Expires</td> <td>Last Year</td> <td>Value Per Unit</td> <td>1000.00000</td> </tr> <tr> <td>01/15/2070</td> <td>New Value</td> <td></td> <td>1000.00000</td> </tr> <tr> <td></td> <td></td> <td>Death Benefit</td> <td>100000000.00</td> </tr> <tr> <td></td> <td></td> <td></td> <td>100000000.00</td> </tr> </tbody> </table>										Benefit Information				Date Benefit Expires	Last Year	Value Per Unit	1000.00000	01/15/2070	New Value		1000.00000			Death Benefit	100000000.00				100000000.00
Benefit Information																													
Date Benefit Expires	Last Year	Value Per Unit	1000.00000																										
01/15/2070	New Value		1000.00000																										
		Death Benefit	100000000.00																										
			100000000.00																										
<table border="1"> <tbody> <tr> <td>Expiry</td> <td>Expired Benefit</td> <td>.00</td> <td>Maturity</td> <td>Benefit Matured</td> <td>.00</td> </tr> <tr> <td></td> <td>Expiration Date</td> <td>99/99/9999</td> <td></td> <td>Amt Paid Out</td> <td>.00</td> </tr> <tr> <td></td> <td></td> <td></td> <td></td> <td>Maturity Date</td> <td>99/99/9999</td> </tr> </tbody> </table>										Expiry	Expired Benefit	.00	Maturity	Benefit Matured	.00		Expiration Date	99/99/9999		Amt Paid Out	.00					Maturity Date	99/99/9999		
Expiry	Expired Benefit	.00	Maturity	Benefit Matured	.00																								
	Expiration Date	99/99/9999		Amt Paid Out	.00																								
				Maturity Date	99/99/9999																								
<table border="1"> <tbody> <tr> <td>Dividend Expense</td> <td>From Base Plan</td> <td>.00</td> </tr> <tr> <td></td> <td>From PUA Amounts</td> <td>.00</td> </tr> </tbody> </table>										Dividend Expense	From Base Plan	.00		From PUA Amounts	.00														
Dividend Expense	From Base Plan	.00																											
	From PUA Amounts	.00																											

Complete the following steps to request anniversary values.

1. Complete the fields in the top section of the screen that are applicable to the request.
2. Click **OK** to activate the anniversary processor.

3. Click **Next** to view the second Anniversary Header screen.

The following table contains descriptions of the fields in the top section of the screen.

Field	Description
Coverage	The coverage ID to test is input in this field.
Supp ID	Leave this field blank.
Notify	A—Anniversary Processing N—General Notification B—Both
Issue	Input the issue date in MMDDYYY format.
Effective	Input the effective date in MMDDYYY format. The effective date must equal an anniversary date.
Type	This field designates whether the amount selected in the Face Amt field is face or units. U—Units F—Face
Amt	Input the face amount, either in face or units.
PUA Amount	Input the amount of any paid up additions.
Mode	Input the billing mode in this field. 01—Monthly 03—Quarterly 06—Semi-Annually 12—Annual 13—13thly 09—9thly 10—10thly 26—26-Pay 52—52-Pay

Field	Description
Form	Input the billing form in this field. D—Direct L—List Bill P—Preauthorized Check G—Mil/Govt Allotment C—Credit Card
Paying Status	0—Yes 1—Not in Premium Paying Status
Dividend Option	Input the dividend option in this field. 0—No Dividend 1—Cash Dividend 2—Premium Dividend 3—Deposit Accumulations 4—Buy PUA 5—Buy OYT 6—Reduce Loan 7—Buy OYT From DE 8—EPP
Birth Date	Input the date of birth of the primary and secondary insured in MMDDYY format.
Iage	Input the issue age in this field. The system does not complete this field automatically.
Gender	The gender of the primary and secondary insured is displayed in this field. M—Male F—Female
Uwcls	The underwriting class of the primary and secondary insured is input in this field.
Tbl	Select the table number in the Table field, and the percentage rating for the insured that this table represents in the Rating field. For example, if the total rating on the policy is 225%, the amount input in the Rating field is 125%.

Field	Description
Rating	Input the rating percentage in this field, if applicable.
Flat	The flat extra per unit for the primary and secondary insured is input in this field.
Benefit Ret Code	If the return code does not equal “999” after processing, an error has occurred.
Process Flag	I—Issue N—Anniversary F—Inforce

Press **Page Down** to display the second Anniversary Processor screen, which displays the return code flags. If problems have occurred in the process, an error message is displayed explaining the error. These messages are most commonly due to coverage set up errors.

Anniversary Header Screen

Coverage Type Amt Mode Paying Status

Supp ID PUA Amount Form Dividend Option

Notify

Issue Birth Date Age Gender Uwcls Tbl Flat

Effective Primary 35

Secondary 0

Benefit Ret Code Process Flag

OK Cancel

Notify Message Numbers 0 0 0 0 0

Return Codes Error Messages

Premium 206 4542 VAL No Mode Rule Found For This Form/Mode Rule

Benefit 999 Death Ben Has Been Calculated Successfully

Expiry 0

Maturity 0

Dividend 0

Notify 1 0

Notify 2 0

Notify 3 0

Notify 4 0

Notify 5 0

OK Cancel

If the Return Code is 999, the system computed the following items.

- Premiums, located on the second section on the first screen, are calculated.
- Benefits for last year and this year, including the date the benefit expires are calculated.
- Expiry information is computed.

- Maturity information is displayed if the coverage matures with value.
- Reserve information is calculated. If the product has the reserve factors attached, through the coverage and segments, then the screen shows these. If they have not yet been attached (because you are still testing), a warning is issued.

2.4 UL Reserve Calculator

The UL Reserve Calculator function is typically used by the Actuarial department in testing the reserves for UL products. In order to access the Reserve Calculator screen, select **UL Reserves** from the Trace Routines Menu.

Enter Universal Life Reserve Calculator									
Requested Function		Calculate Reserves		Coverage ID	UL1		Gender	Male	
Rating Class		S							
Dates (YYYYMMDD)				Company Code		Percent Rating		0.00	
Issue		20031201		Issue State		Date Of Expiry		0	
Birth		19640215		Spec Amount		Flat Extra		0.00	
Effective		20051201		Face/Units		Date Of Expiry		0	
Issue Age		35		DB Option		Guar Mat Prem		49.10	
Current Age		37		Fund Balance		Guideln Singl		.00	
Policy Duration		3		Surr Charge		Guar Mat Fund		.79-	
Complete Months		0		Total Basis		Override Flag			
Reserve Calculator Information									
Valuation Code	80CSOL5000	Alpha	.00	Elapsed Time	00:00:07				
Init Net Level RV	.00	Beta	.00	TAMRA	.00				
Term Net Level RV	.00	Adj0	.00	Minimum	.00				
Net Level Prem	.00	Adj1	.00	Target	.00				
Mean Crvm Reserve	.00	Allowance	.00	Fund At Ann	1.28-				
Defd Nlp	.00	Excs Net	.00	CX	.00				
Defd Crvm	.00	Excs Crvm	.00	Fpt	.00				
Return Code	000	RV Method	M	R Ratio	1.00000				
Error Message	UL Crvm Reserve								
									Detail
									OK
									Cancel

Complete the following steps to request values from the UL reserve calculator.

1. Complete the fields in the top section of the screen that are applicable to the request.
2. Click **OK** to activate the UL reserve calculator. If you did not complete a required field, the reserve calculator is not able to complete activation. If this occurs, the error message field displays a message indicating which required field has not been completed.

The Elapsed Time field in the lower section of the screen displays the length of time it took the system to process.

The following table contains descriptions of the fields in the top section of the screen.

Field	Description
Requested Function	The guideline premium computed here is not necessarily what is computed on a policy at issue. Here, only the base is considered. R—Calculate Reserves G—Calculate Guideline D—Calculate Display T—Calculate Tax-RSV
Coverage ID	Input the UL coverage ID to test.
Gender	M—Male F—Female
Rating Class	The underwriting class is input in this field.
Issue	Input the issue date in YYYYMMDD format.
Birth	Input the birth date in YYYYMMDD format.
Effective	Input the effective date in YYYYMMDD format. The effective date can be any date after the issue date.
Issue Age	The issue age of the insured is input in this field. This field is not computed by the reserve calculator.
Current Age	The current age of the insured is calculated using the date of birth and the effective date.
Policy Duration	The policy duration is computed by the reserve calculator.
Complete Months	
Company Code	The company code is input in this field.
Issue State	The issue state is input in this field.
Spec Amount	The specified amount in face or units is input in this field.
Face/Units	Indicate whether the specified amount is input in face or units. U—Units F—Face
DB Option	Indicate which death benefit option is in effect.
Fund Balance	The current fund balance is displayed in this field.
Surr Change	The current surrender charge in effect is displayed in this field.

Field	Description
Total Basis	This field can be left blank.
Percent Rating	Input the extra percentage rating in this field.
Date Of Expiry	Input the date through which the extra percent rating is in effect. Input the date in YYYYMMDD format.
Flat Extra	Input any flat annual extra amount in this field.
Date Of Expiry	Input the date through which the flat extra amount is in effect in YYYYMMDD format.
Guar Mat Prem	
Guideln Singl	
Guar Mat Fund	
Override Flag	N—N A—A T—T

- Click **Detail** from the main UL Reserve Calculator screen to display the detail. This screen allows you to see the underlying values and factors which go into the UL reserve computations. The window displayed on the left allows you to select which values or factors to display. You can choose to look at any four of these values at a time. There are

three pages of options on the window. Click **Next** and **Previous** to move through the window selections.

Select UL Reserve Yearly Columns

Column Number

Available Column Selections

- CX Values
- MX Values
- DX Values
- NX Values
- Factor 1
- Factor 2
- Factor 3
- Factor 4
- Guaranteed COI
- X Values

Current Column Selections

- 1
- 2
- 3
- 4

Page Number 1

Next
Previous
OK
Cancel

The window on the right displays the Current Column Selections for the four columns. This window corresponds to the Column Number field in window on the left. When the Column Number field equals 1, the selection made in the window on the left is displayed in the window in the right in the first column.

4. Make a selection by clicking the desired value.

5. Click **Detail** from the Column Detail Selection windows. The values selected are displayed. Click **Next** and **Previous** to move through additional durations of the values.
6. Click **Cancel** to return to the Column Detail Selection windows, and update the selection criteria or click **Cancel** to return to the main UL Reserve Calculator screen.

Universal Life Reserve Calculator Display					
Dur Age		Column 1 Nx Values	Column 2 Nx Values	Column 3 Nx Values	Column 4 Nx Values
1	46	145277.88499	145277.88499	145277.88499	145277.88499
2	47	135583.61140	135583.61140	135583.61140	135583.61140
3	48	126398.23632	126398.23632	126398.23632	126398.23632
4	49	117698.63107	117698.63107	117698.63107	117698.63107
5	50	109462.79219	109462.79219	109462.79219	109462.79219
6	51	101669.80061	101669.80061	101669.80061	101669.80061
7	52	94299.88642	94299.88642	94299.88642	94299.88642
8	53	87334.46718	87334.46718	87334.46718	87334.46718
9	54	80756.01689	80756.01689	80756.01689	80756.01689
10	55	74548.04669	74548.04669	74548.04669	74548.04669
11	56	68694.89349	68694.89349	68694.89349	68694.89349
12	57	63181.57105	63181.57105	63181.57105	63181.57105
13	58	57993.65054	57993.65054	57993.65054	57993.65054
14	59	53117.18557	53117.18557	53117.18557	53117.18557
15	60	48538.77019	48538.77019	48538.77019	48538.77019

2.5 Traditional Reserves Calculator

The Traditional Reserves Calculator function is typically used by the Actuarial department in testing the reserves for traditional products. To access the traditional reserves calculator, select **Trad Reserves** from the Trace Routines Menu.

Enter Traditional Reserves Calculator Trace											
Function	Calculate Reserves		Effective Date	01/13/2003		Amount Type	Face				
Coverage	PARWL		Issue Date	00/00/0000		Unit/Amount	0.0000000				
Supp ID			Paid To Date	00/00/0000		Paid Up Put	0.0000000				
Form No	Direct		Mode	Annually		Auxiliary Age	0		Premium	0.0000000	
Process Flag	Issue					Loan Amount	0.00				
	Birth Date	Issue Age	Gender	Uw/CLS	Table	Percent	Dur	Flat	Dur	Age-up	
Primary	00/00/0000	0			00	0.00	0	0.00	0	0	
Secondary	00/00/0000	0			00	0.00	0	0.00	0	0	
Traditional Reserves Calculated Information											
	Mean	t-1	t	Premium	Code						
Net	0.00	0.00	0.00	0.00							
Tax	0.00	0.00	0.00	0.00							
Def	0.00	0.00	0.00	0.00							
Cash	0.00	0.00	0.00	0.00							
Non	0.00	0.00	0.00	0.00							
Rein	0.00	0.00	0.00	0.00							
Ben	0.00	0.00	0.00	0.00							
Exp	0.00	0.00	0.00	0.00							
Return Code	and Error Message										
											Time 00:00:00
											OK
											Cancel

Complete the following steps to request values from the traditional reserve calculator.

1. Complete the fields in the top section of the screen that are applicable to the request.
2. Click **OK** to activate the traditional reserve calculator. If you did not complete a required field, the reserve calculator cannot activate. If this occurs, the error message field displays a message indicating which required field has not been completed.

The Elapsed Time field in the lower section of the screen displays the length of time it took the system to process.

The following table contains descriptions of the fields in the top section of the screen.

Field	Description
Function	R—Calculate Reserves
Coverage	Input the traditional coverage ID to test.
Supp ID	Leave this field blank.
Form No	Input the billing form in this field. DIR—Direct PAC—Preauthorized Collection GVT—Government LST—List Bill CRD—Credit Card
Mode	Input the billing form in this field. 01—Monthly 03—Quarterly 06—Semi-annually 07—Weekly 12—Annually 13—13thly 14—Biweekly
Process Flag	I—Issue A—Anniversary F—Inforce
Effective Date	Input the effective date in MMDDYYYY format.
Issue Date	Input the issue date in MMDDYYYY format.
Paid To Date	
Auxiliary Age	
Amount Type	Input the face amount, either in face or units.
Unit/Amount	
Paid Up Put	
Premium	

Field	Description
Loan Amount	
Birth Date	Input the birth date of the insured in MMDDYYYY format.
Issue Age	The issue age of the insured is input in this field. This field is not computed by the reserve calculator.
Gender	The gender of the insured is selected in this field. M—Male F—Female
UWCLS	The underwriting class is input in this field.
Table	
Percent	
Dur	
Flat	
Dur	
Age-up	

2.6 Prorated Premium Refund Trace

This trace allows you to calculate the premium refund for a given set of criteria. To access the Prorated Premium Refund Trace function, select **Prorated Prem Refund Trace** from the Trace Routines Menu.

Enter Prorated Premium Refund Trace	
Modal Premium	100.00
Refund Date	01/15/2003
Payment Mode	Annually
Billing Code	1
Bankers Year?	Yes
Issue Date	01/01/2003
Paid To Date	02/01/2003
Premium Refund	4.44
Return Code	and Error Message
OK	
Cancel	

Input the premium refund trace fields. Click **OK** to process. The premium refund amount is displayed in the Premium Refund field.

If the system is not able to calculate the premium refund due to an error in selecting the criteria, an explanation of the problem is displayed in the error message field.

Click **Cancel** to exit the Prorated Premium Refund Trace screen.

2.7 Date Routines

The Date Routines screen allows you to validate and calculate various dates.

- | | | |
|----------|--------------------------|--|
| J | Julian To
Gregorian | Enter the date in Julian format (YYYYDDD) in the Julian Date field and click OK . The Julian date entered is converted into the Gregorian date format (YYYYMMDD) in the End Date field. |
| G | Gregorian
To Julian | Enter the date in Gregorian format (YYYYMMDD) in the Start Date field and click OK . The Gregorian date entered is converted into the Julian date format (YYYYDDD) in the Julian Date field. |
| D | Days
Between
Dates | Enter a start date and an end date in the respective fields and click OK . The number of days between the dates is calculated and displayed in the Number of Days field. |
| C | Get Current
Date | Select C—Get Current Date and click OK . The current date is displayed in the State and End Date fields in Gregorian format. |
| V | Date
Validation | Enter the date to be verified in the Start Date field and click OK . If the date is a valid date, the message <i>Function Successful, Date is Valid</i> is displayed in the bottom of the box. If the date is not valid, the message <i>Invalid Date</i> is displayed in the bottom of the box. |

F	Get Date In Future	Enter the start date and the number of days in the future that the date is to be calculated for and click OK . The calculation is the start date plus the number of days equals the end date.
P	Get Date in Past	Enter the start date and the number of days in the past that the date is to be calculated for and click OK . The calculation is the start date minus the number of days equals the end date.
M	Get Month in Future	Enter the start date and the number of months in the future that the date is to be calculated and click OK . The date is calculated into the future by the number of months selected and displayed in the End Date field.
B	Get Month in Past	Enter the start date and the number of months in the past that the date is to be calculated for and click OK . The date is calculated into the past by the number of months selected and displayed in the End Date field.

To start, make a selection in the Function field. Complete the necessary criteria, then click **OK** to process.

2.8 Duration Calculation Trace

The Duration Calculation Trace screen can be used to calculate the durations between a selected starting and ending date. The Duration Calculation Trace screen is accessed by selecting **Duration Calculation** from the Trace Routines Menu.

Enter Duration Calculation Trace		
Policy Date Range (Start/End)		
Issue	01/15/1966	
Effective	01/01/2003	
Account for the Ending Date falling on the Last Day of the Month? ☒ Yes		
Duration Information		
	Year(s)	Month(s)
Current	0	0
Completed	0	0
Return Code and Error Message		
		OK
		Cancel

When the Duration Calculation Trace screen is displayed, select the policy issue date, which is the start date and the effective date, which is the end date.

The Account for the Ending Date falling on the Last Day of the Month field is used to designate if a month should be designated as a completed month if the effective date selected is the last day of the month. If **Y—Yes** is selected, the month is designated as a completed month. If **N—No** is selected, the month is not designated as a completed month.

Duration Calculation Trace Results

Click **OK** to display the durations for the range selected. The Current row lists the current year and month for the range selected. The Completed row lists the number of years and months completed.

If an error occurs, the resulting return code and error message is displayed.

In order to perform another calculation, select the new date range and click **OK**.

Click **Cancel** to exit the Duration Calculation screen.

Enter Duration Calculation Trace

Policy Date Range (Start/End)

Issue: 01/15/1966

Effective: 01/01/2003

Account for the Ending Date falling on the Last Day of the Month? ☒ Yes

Duration Information		
	Year(s)	Month(s)
Current	37	12
Completed	36	11

Return Code: and Error Message

OK Cancel

2.9 UL New Business Premium Trace

The New Business Premium Trace is used to quote universal life premium values.

Enter Universal Life Premium Trace													
Function		Face		Premium Mode		Annual							
Issue Date		01/13/2003		Billing Form		Direct							
Effective Date		01/13/2003		Planned Mode Premium		\$1,000.00							
Issue State		IN		Money Purchase Basis									
Company Code		01		Init Annlz Plan Prem									
Product ID		UL1 >>		Original SA Total U3									
Death Benefit Option		1		CV / Net 1035 Exch		0.00							
Sq	St	Coverage	Age	Gender	UWCLS	Type	Units/ Face Amount	Flat	Dur	Table	Pct	Dur	
01	Pending	UL1				F							
Minimum		Target	Guide Level		Guide Single		TAMRA						
OK Cancel													

If the function **Premium** is selected, the quote shows the UL premium values for a given specified amount.

If the function **Face** is selected, the quote processes a money purchase type quote. For this type of trace, the Money Purchase Basis field indicates if **Target**, **Minimum**, or **Guaranteed** premium values are provided. The premium is indicated in the Planned Mode Premium field.

In order to process a quote, complete the values in the top portion of the screen and click **OK** to process. Premium values are displayed in the lower section of the screen. If the function **Face** was selected, the system computes the specified amount based on the premium indicated.

2.10 SPIA Calculator

The SPIA Calculator function can be used to calculate single premium immediate annuity (SPIA) values without coding a new contract in New Business. The quote can solve for the single premium based on a periodic payment or for a periodic payment based on a single premium.

SPIA Values Calculator									
Plan ID	SPIA		Function	Quote		Waive Pol Fee	No		
Issue Date	01/13/2003		Solve for	Periodic Payment		Waive Loads	No		
Start Date	01/13/2003		Lives	Single		Tax Quality Code	Not Qualified		
Value Date									
Issue State									
	Gender	Date of Birth	Issue Age	Rate Down	Undw. Class	Survivor Percentage			
Annuitant #1						100.000%			
Annuitant #2									
Payment Mode	Annually								
Payment Method	Life Annuity					Annual Percentage Increase	0.00%	Simple	
Calculation Method	Immediate (End of Period)					Annual Amount Increase			
Period Certain	Years					Override Interest Rate	0.00%		
Temporary Annuity Period	Years								
Termination Proceeds	None								
	Periodic Payment	using	Single Premium	of					
Val Code	Excl Ratio	0.000%	Pre '86 Basis						
			Post '86 Basis						
				Elapsed Time					
							Variable Input		
							Lump Sum Input		
							OK		
							Cancel		

To process a quote, complete the quote screen fields. The Solve For field can be toggled by selecting **P—Periodic Payment** or **S—Single Premium**. Click **OK** to process.

2.11 Life Expectancy Calculation

Enter Life Expectancy Calculator Trace

Life Expectancy Method	Single Li...	Decrement Start Year	0000
Notification Method	Year ...		
Amortization Rate	0.00		
Function	Rque Process		
Birth Date	00/00/0000		
Initial Date	00/00/0000		
Effec Date	01/12/2007		
Gender	Single	Joint	Joint Birth Date
Issue Age	.0	.0	00/00/0000

Life Expectancy Information

Life Expectancy	0.000000	Intro Letter Flag	
		Letter Gen Flag	

Return Code 0000 and Error Message

OK
Cancel

2.12 Joint COI Rates/Commutation

The Joint COI Rates/Commutation Trace Routine calculates the following values for a joint insured policy.

- Standard nonforfeiture
- Corridor factor
- Net single premium
- ETI rates
- Net level premium
- RPU rates

Yes/No Query Window

Coverage	JOINTCOV	Issue Date	01/15/2003
Calculate	Standard Nonforfeiture		
Using	Exponential Assumption		
Mortality	Joint		
Expiry Duration	000	FN Segt ID	
Issue Age	000	X Factors	000
Gender		Y Factors	000
Underwriting Class			
Percent Rating	0.00		0.00
Percent Duration	00		00
Flat Extra	0.00		0.00
Flat Duration	00		00

For Duration
DX Value
0.000000000
NX Value
0.000000000
CX Value
0.000000000
MX Value
0.000000000
COI Value
0.000000000

Next
Previous
OK
Cancel

The Joint COI Rates/Communtn Trace Routine is accessed by completing the following steps.

1. From the Main Menu select **Product System**. The Product Menu is displayed.
2. Select **Trace Routines**. The Trace Routines Menu is displayed.
3. Select **Joint COI Rates/Commutation**. The Trace Routine screen is displayed.

The following table contains field definitions for the Joint COI Rates/Communt Trace Routines screen.

Field	Description
Coverage	Input the coverage ID of the coverage to use when performing the selected calculations. The segments attached to the Coverage Record are used in the calculations.
Issue Date	Input the issue date of the policy upon which the calculation is being performed.
Calculate	Input the type of calculation desired. N—Standard Nonforfeiture C—Corridor Factor S—Net Single Premium E—ETI Rates L—Net Level Premium R—RPU Rates
Using	This field determines if the monthly cost of insurance (COI) rate is calculated using the linear formula or the exponential formula. L—Linear Assumption Monthly COI Rate per 1000 = $tqxy * (1000 / 12)$ E—Exponential Assumption Monthly COI Rate per 1000 = $(tqxy)1 / 12 * 1000$
Mortality	This field determines if the mortality charge is based on both insureds or on one of the insureds. J—Joint Mortality is based on both insureds. X—First Insured (X) Mortality is based on the first insured (x). Y—Second Insured (Y) Mortality is based on the second insured (y).
Expiry Duration	Input the number of years that the coverage remains in force in this field.
FN Segt ID	This field is completed by the system upon calculating the factor selected. The segment ID of the FN Segment is displayed in this field for the calculation option selected.
Issue Age	Input the issue age of the first insured in the first column (x) and the issue age of the second insured in the second column (y).

Field	Description
Gender	Input the gender of the first insured in the first column (x) and the gender of the second insured in the second column (y).
Underwriting Class	Input the underwriting class of the first insured in the first column (x) and the underwriting class of the second insured in the second column (y).
Percent Rating	If a percentage rating is in effect for the policy, input the percentage of the rating for the first insured in the first column (x) and the percentage of the rating for the second insured in the second column (y).
Percent Duration	If a percentage rating is in effect for the policy, input the number of years that the rating is in effect for the first insured in the first column (x) and the number of years that the rating is in effect for the second insured in the second column (y).
Flat Extra	If a flat extra rating is in effect for the policy, input the amount of the rating for the first insured in the first column (x) and the amount of the rating for the second insured in the second column (y).
Flat Duration	If a flat extra rating is in effect for the policy, input the number of years the rating is in effect for the first insured in the first column (x) and the number of years the rating is in effect for the second insured in the second column (y).

The results of the calculation selected can be viewed on a year by year basis. When the calculation is complete, the result for the first policy duration is displayed in the right side of the screen. The result of the calculation for each subsequent duration is accessed by clicking **Next** and **Previous**.

- The trace routine is used to calculate the corridor factor for the policy. The corridor factor calculated by the trace routine is the same as the corridor factor on the annual statement.
- Corridor Factor = D_x / M_x
- Corridor Death Benefit on the Annual Statement = Fund Value * Corridor Factor

The corridor amount is the difference between the death benefit and the fund value.

2.13 Rate Segment Retrieval

Rate Segment Retrieval Information			
(Issue and Effective Dates Will Only Be Used if Policy Duration is Zero)			
Policy Duration	0	Issue Age	0
- Or -		Gender	
Issue Date	00/00/0000	Rating Class	
Effective Date	00/00/0000	Band	
Orig Spec Amount	0.00	Segment ID	
Specified Amount	0.00	Segment Type	
Fund Balance	0.00	Default Rating Class	
NAR	0.00	Substandard Table	
Premium	0.00	Get Rates for all Bands?	
Total Premium	0.00		
Initial Planned	0.00	M&E Rate Segment Effective Date	and ID
Initial Premium	0.00		
YTD Premium	0.00	Return Value	0.00000000
Fund Value per Fund	0.00	Banded Return Values	
		1	0.00000000
		2	0.00000000
		3	0.00000000
		4	0.00000000
		5	0.00000000
		6	0.00000000
		7	0.00000000
Policy Duration	0	and Current Age	0
Years Used by Previous Sel/Ult Segments	0		
Months Remaining on Current Segment	0		
Return Code		and Error Message	
		Elapsed Time	
			OK
			Cancel

2.14 Rate Retrieval

Enter Rate Retrieval									
Segment ID	UL1	Key Modifier	☐	Vary by Rating Class	☐ N				
Segment Type	UH	Frequency	0	Default Rating Class	☐				
Rate Basis	Separate and Unique			Years to Setback	0				
Rate Type	Attained Age								
Banding Rule	Traditional								
Banding Method	Premium								
Band Limits									
0	0	0	0	0	0	0			
Issue Age	0	Orig Spec Amount	0.00	Return Value					
Current Age	0	Specified Amount	0.00	0.0000000					
Gender		Fund Balance	0.00						
Rating Class		NAR	0.00	Banded Return Values					
		Premium	0.00	1	0.0000000				
Policy Duration	0	Total Premium	0.00	2	0.0000000				
Segment	0	Initial Planned	0.00	3	0.0000000				
Get all Bands?		Ytd Premium	0.00	4	0.0000000				
		Fund Value per Fund	0.00	5	0.0000000				
				6	0.0000000				
Return Code	8...	and Error Message		7	0.0000000				
FAAGEMST Record Not Found, Key: WAAGE UL1 UH									
					OK				
					Cancel				

2.15 Rate Retrieval All Years

Rate Segment Retrieval Trace			
Calling Parameters			
(Issue and Effective Dates Will Only Be Used if Policy Duration is Zero)			
Policy Duration	0	Issue Age	0
- OR -		Gender	
Issue Date	00/00/0000	Rating Class	
Effective Date	00/00/0000	Band	
Segment ID		Orig Spec Amt	0.00
Segment Type		Specified Amt	0.00
Default UWCLS		Fund Balance	0.00
		NAR	0.00
		Premium	0.00
		Total Premium	0.00
		Initial Planned	0.00
		Initial Premium	0.00
		Ytd Premium	0.00
		Fund Value per Fund	0.00
Returned Information			
Start	00:00:00	Elapsed	
Stop	00:00:00	Time	00:00:00
M&E Rate Segment Effective Date		and ID	
Return Code			
Error Message			
			Next
			OK
			Cancel

2.16 UL/Annuity Death Benefits

Enter Death Benefit	
Function	Death Benefit Function
Coverage	UL1 LOB
Issue Date	04/01/1988
Effective Date	06/01/2000
Issue Age	76
Gender	Female
Rating Class	
DB Option	
Basis	0.00
Fund Value	0.00
Specified Amount	0.00
Current Interest Rate	0.00000 %
Previous Corridor DB	0.00
Death Benefit	0.00
Corridor Rate	0.0000000
Corridor Amount	0.00
DB Option	
Corridor	
Return Code	And Error Message
OK	
Cancel	

2.17 Preferred Loan Split

Enter Preferred Loan Split Trace	
Fund Basis	2100.00
Unimpaired Fund Balance	1500.00
Impaired Loan Balance	600.00
Total Fund Value	2100.00
Loan Basis	0.00
Loan Income	0.00
Unimpaired Income	
Remaining	0.00
Return Code	and Error Message
OK Cancel	

2.18 Declared Rates Retrieval

Enter Declared Rates Retrieval			
Function	Segment		
Coverage ID	UL1		
Issue Date	03/01/2000	Issue Age	43
Start Date	03/01/2000	Gender	Male
Effective	03/01/2009	UWCLS	S
Segment ID		Rate ID	
Type		Type	
Balance		Rule	Change Rate
Fund Value			
Spec Amt		Rate Found?	N
Init Prem		Declared Rate	0.00000
Plan Prem		Eff thru Date	00/00/0000
Return Code	and Error Message		Time 00:00:00
			OK
			Cancel

2.19 Earnings Calculation

Enter Earnings Calculator Trace Information					
Function	Fund Earnings	Credit Earnings	Issue Date		
Coverage ID	UL1	From	Accrual Window		
Fund ID		To	Bucket Type	Default	
L-Fund	No	Effective Date	Initial Premium Date		
Basis		Income	Balance	Issue Age	Gender
Unimpaired Fund	0.00	0.00	0.00	0	
Impaired Loan	0.00	0.00	0.00	UWCLS	Issue State
Deposit Amount	0.00	Fund Balance	0.00	Company	Policy
FV Fund Value	0.00	Interest	Last Rate	Days	
Total Fund Value	0.00	Curr			
Specified Amount	0.00	Excl			
Initial Gross Premiums	0.00	Loan			
Total Deductions	0.00	Prfr			
Exclusion Accumulations		Total			
Flat Amount used		Guar <			
Total (Amt+Pct)					
Prfr Loans Avail?	Method	Excs	Elapsed Time		
Return Code	and Error Message			OK	Cancel

2.20 Declared Interest Calc

Enter Declared Interest Calculator

Account Type	IBA-Type-01	Date Range	From Date	00/00/0000
Coverage ID		To Date	00/00/0000	
Issue Date	00/00/0000			
Gender		Balance	0.00	

	Interest	Last Rate	Valuation Code
Current	0.00	0.00000	
Guaranteed	0.00	0.00000	

Return Code	Elapsed Time	OK
Error Message		Cancel

2.21 Surrender Calculation

Surrender Calculator Trace [Page 1 of 2]

Coverage ID	PARWL	Issue	00/00/0000	Rating Cease Dt	0.00	00000000
Function	Full	Age	0	Gender		
Requested Amt	1000.00	UWCLS Curr	Orig	Prnt	0.00	00000000
Effective Date	04/26/2000	Fund ID		Flat	0.00	00000000
Alternative Method #	0	Total Fund		Init Prem	0.00	
Overrides:		Basis	0.00	1st Yr Pr	0.00	
Surr Chrg	No	Balance	0.00	Excs Int	0.00	
Fed Wthld	Yes	Pre Tefra		Principal	0.00	
St Wthldg	Percent	Basis	0.00	Annv Bal	0.00	
Company		Income	0.00	Plan Prem	0.00	
MEC Pol?	No	DB Option		Minimum	0.00	
Wthldg Code	No Exception	Spec Amt	0.00	Target	0.00	
Certify Code	Not Certified	Orig Spa	0.00	Curr Int Rt	0.00000	
Tax Qual	Not Qualified	Or UL Rd	0.00	Annv Int Rt	0.00000	
				Orig Int Rt	0.00000	

Gross Amount	0.00	Excl Amt Applied	0.00	Noncovr Mns	0
Surr Charge	< 0.00	Spec Amount Dec	0.00	Base	0.00
Fed Wthldg	< 0.00	Guar Cash Value	0.00	Excl Available	
St Wthldg	< 0.00	Federal	State	Method	Num 0
Net Amount	0.00	.000%	.000%	Amt	0.00
				Time	00:00:00

History

Next

OK

Cancel

2.22 Taxable Income

Taxable Income Calculation Trace	
Pre-Tefra Basis	
Pre-Tefra Income	
Post-Tefra Income	
Post-Tefra Basis	
Withdrawal Amount	
LIFO/FIFO Code	▼
Gain Calculation Type	▼
Taxable Income	0.00
Amount From Pre-Tefra Basis	
Amount From Pre-Tefra Income	
Amount From Post-Tefra Income	
Amount From Post-Tefra Basis	
Return Code	and Error Message:
OK Cancel	

2.23 Withholding Calc

Withholding Calculation Trace			
Taxable Amount	0.00	Income Type	Non-Interest
Effective Date	04/26/2000	Withdg Code	No Exception
Tax State Code		Certify Code	Not Certified
		Tax Quality	Not Qualified
Federal Rate	0.0000000	State Rate	0.0000000
Federal Withdg	0.00	State Withdg	0.00
Return Code	and Error Message:		
OK Cancel			

2.25 Unit Values Calc

Unit Calculator Trace Routine			
Function Flag	Calc Units	Transaction Type	Purchase
Fund ID		Dollars	0.00
Covr ID		Units	0.000000
Price Number	0	Effec Date Unit Value	0.000000
Date	00/00/0000		
Issue Date	00/00/0000		
Issue Age	000	Underwriting Class	☐
Sex Code		Default Underwriting Class	☐
Transaction Date	00/00/0000	Effec Rate Date	00/00/0000
Trans Date Unit	0.000000	Effec Rate Index	0
Unit ID		Mortality and Expense Value	0.000000
Correction Control #		Mortality and Expense Charge	0.00
Return Code	and Error Message		OK
			Cancel

2.26 Calendar Dates

Calendar Dates Trace Routine

Company Code	
Effective Date	08/04/1998
Effective Time	00:00:00
Number of Days	0
Return Date	00/00/0000
Return Time	00:00:00
Return Code	and Error Message

2.27 Varying Band Limits

Varying Band Limit Calculation Information	
BD Segment ID	
Default Rating Class	☐
Issue Age	0
Gender	
Rating Class	☐
Policy Duration	0
Specified Amount	0.00
Initial Premium	0.00
Return Code	and Error Message
Elapsed Time	
OK Cancel	

Calculated Band Limits	
1	000000000
2	000000000
3	000000000
4	000000000
5	000000000
6	000000000
7	000000000

2.28 EIA Generic Formula

The Generic EIA Calculation Results screen displays the rates used, the results of interim calculation steps, and the final annualized index rate calculated for the selections criteria, such as coverage and fund ID, policy issue, start dates, and end dates entered on the Generic EIA Formula Input screen. Refer to Section 12, Final Annualized Index Rate Formula on page 12-295 for the formulas used to calculate the final annualized index rate.

Generic EIA Formula Input									
Coverage ID		Policy Issue Date		Start Date					
Fund ID		App Signed Date		End Date					
Company Code		App Received Date		Processing Flag					
Policy ID		Initial Premium Date		Premium Type					
Policy Issue State									
								Index Rates	
								OK	
								Cancel	

Generic EIA Calculation Results									
EIA Calculation Method				Process Time				00:00:00	
Rates									
Participation Rate Interim Annualization	(Z2)	0.000000000	Participation Rate Final Annualization	(Z3)	0.000000000				
Bonus Participation Interim Annualization	(Z2)	0.000000000	Bonus Participation Final Annualization	(Z5)	0.000000000				
Vest Factor Interim Annualization	(Z6)	0.000000000	Vest Factor Final Annualization	(Z7)	0.000000000				
Cap Interim Annualization	(Z8)	0.000000000	Cap Final Annualization	(Z9)	0.000000000				
Floor Interim Annualization	(ZA)	0.000000000	Floor Final Annualization	(ZB)	0.000000000				
Interim Spread Factor	(ZE)	0.000000000	Final Spread Factor	(ZC)	0.000000000				
State Minimum Participation Rate	(ZD)	0.000000000							
Intermediate Calculations									
Start Index (A)	0.000000000	IA	0.000000000						
End Index (B)	0.000000000	IAFC	0.000000000						
Duration (T)	0	IAIR	0.000000000						
IC	0.000000000	IAIRvp	0.000000000						
AC	0.000000000	IAIRck	0.000000000						
Maximums									
Partic Rate + Bonus INTERIM annualizn -or- State Min				0.000000000					
Partic Rate + Bonus FINAL annualizn -or- State Min				0.000000000					
Final Rate									
IAIRckf				0.000000000					

Complete the following steps to request values from the Generic EIA Calculation Results screen.

1. From the Trace Routines Menu select **EIA Generic Formula**.
2. Complete the applicable fields in the Generic EIA Formula Input section at the top of the screen.
3. Click **OK** to activate the calculation. The calculated values are displayed on the Generic EIA Calculation Results section at the bottom of the screen.

Generic EIA Formula Input									
Coverage ID		Policy Issue Date		Start Date					
Fund ID		App Signed Date		End Date					
Company Code		App Received Date		Processing Flag		Index Rates			
Policy ID		Initial Premium Date		Premium Type		OK			
Policy Issue State						Cancel			

Generic EIA Calculation Results									
EIA Calculation Method				Process Time		00:00:00			
				Rates					
Participation Rate Interim Annualization	(Z2)	0.000000000		Participation Rate Final Annualization	(Z3)	0.000000000			
Bonus Participation Interim Annualization	(Z2)	0.000000000		Bonus Participation Final Annualization	(Z5)	0.000000000			
Vest Factor Interim Annualization	(Z6)	0.000000000		Vest Factor Final Annualization	(Z7)	0.000000000			
Cap Interim Annualization	(Z8)	0.000000000		Cap Final Annualization	(Z9)	0.000000000			
Floor Interim Annualization	(Z4)	0.000000000		Floor Final Annualization	(Z8)	0.000000000			
Interim Spread Factor	(ZE)	0.000000000		Final Spread Factor	(ZC)	0.000000000			
State Minimum Participation Rate	(ZD)	0.000000000							
Intermediate Calculations				Maximums					
Start Index (A)	0.000000000	IA	0.000000000	Partic Rate + Bonus INTERIM annualizn -or- State Min		0.000000000			
End Index (B)	0.000000000	IAFC	0.000000000	Partic Rate + Bonus FINAL annualizn -or- State Min		0.000000000			
Duration (T)	0	IAIR	0.000000000						
IC	0.000000000	IAIRvp	0.000000000						
AC	0.000000000	IAIRck	0.000000000						
				Final Rate					
				IAIRckf		0.000000000			

The following table contains the descriptions of the fields in the Generic EIA Formula Input screen.

Field	Description
Coverage ID	Type the coverage ID of the coverage to be used in the calculation.
Fund ID	Type the fund ID of the fund to be used in the calculation.
Company Code	Leave this field blank.
Policy ID	Leave this field blank.

Field	Description
Policy Issue State	Type the 2 character state code for the issue state used in the calculation.
Policy Issue Date	Type the policy issue date to be used in the calculation, in MMDDYYYY format.
App Signed Date	Type the date on which the application was signed to be used in the calculation, in MMDDYYYY format. This date may be used if the A5—Rate Retrieval Rules Segment is set up for the product.
App Received Date	Type the date on which the application was received to be used in the calculation, in MMDDYYYY format. This date may be used if the A5—Rate Retrieval Rules Segment is set up for the product.
Initial Premium Date	Type the date on which the initial premium was received to be used in the calculation, in MMDDYYYY format. This date may be used to access the A2—Rate Retrieval Rules Segment for the product.
Start Date	Type the start date used in the calculation, in MMDDYYYY format. This is date of the first rate to be accessed in calculating the Start Index. If the Lookup Rule field is Window Date , this date also determines which rates record is accessed to retrieve the rates for the calculation. If the Lookup Rule field is Issue Date , the issue date is used to select the correct rates record.
End Date	Type the end date to be used in the calculation, in MMDDYYYY format. This date determines which rates record is accessed. When accessing rates for the End Index calculation, rates with dates earlier than the Start Date should not be accessed.
Processing Flag	This field determines whether the quote is calculated for Death or Other and determines whether or not vesting is included in the calculation. D—Death O—Other
Premium Type	This field indicates if the trace is based on regular premiums, reported using the 0110 transaction code, or transferred premiums, reported using transaction codes 0121, 0122, 0124, 0131, and 0132. R—Regular T—Transfers

The following table contains the descriptions of the fields in the Generic EIA Calculation Results screen. Refer to Section 12, Final Annualized Index Rate Formula on page 12-295 in this book for additional details regarding the fields and formulas.

Field	Description
Rates	These fields contain the rates retrieved from the indicated file or, if the file is not set up, the default value. Refer to the Product Book, Section 12, 6.324—Z2—Interim Participation Rate Segment and the following pages for more information about the segments which are used to contain the rates.
Intermediate Calculations	
Start Index (A)	Refer to Section 12, Calculation of A (Start Index) on page 12-295 for detailed information about the calculation of this value.
End Index (B)	Refer to Section 12, Calculation of B (End Index) on page 12-296 for detailed information about the calculation of this value.
Duration (T)	The End Date entered less the Start Date entered.
Refer to Section 12, Final Annualized Index Rate Formula on page 12-295 for additional information regarding the formulas in the following fields.	
IC	$IC = (B - A) / A$
AC	$AC = IC - S0$
IA	$IA = \max\{M, (P0 + B0)\} * V0 * AC$
IAFC	$IAFC = \max\{F0, IA\}$ $IAFC = \min\{IAFC \text{ from the step above}, C0\}$
IAIR	$IAIR = [(1 + IAFC)^{365/T}] - 1$
IAIRvp	$IAIRvp = \max\{M, (P1 + B1) * V1 * IAIR$
IAIRck	$IAIRck = \min\{C1, IAIRvp - K\}$
Maximums	
Partic Rate + Bonus INTERIM annualizn -or- State Min	The greater of (Z2 rate + Z4 rate) and (ZD rate)
Partic Rate + Bonus FINAL annualizn -or- State Min	The greater of (Z3 rate + Z5 rate) and (ZD rate)
Final Rate	
IAIRckf	$IAIRckf = \max\{F1, IAIRck\}$

4. From the Generic EIA Formula Input section of the screen click **Index Values** to display the rates used in the calculation of the Index Start and End Dates used in the calculation of the final annualized index rate.

Generic EIA Dates & Rates Used For A & B Calculations				
	Rate Index Values Start Date		Rate Index Values End Date	
1	02/13/1997	0.440000000	10/22/1999	0.250000000
2	01/13/1997	0.440000000	08/13/1999	0.250000000
3	12/13/1996	0.400000000	06/13/1999	0.250000000
4	11/13/1996	0.400000000	04/13/1999	0.250000000
5	10/13/1996	0.400000000	02/13/1999	0.250000000
6	09/13/1996	0.400000000	12/13/1998	0.500000000
7	08/13/1996	0.400000000		
8	07/13/1996	0.400000000		
9	06/13/1996	0.400000000		
10	05/13/1996	0.400000000		
11	04/13/1996	0.400000000		
12	03/13/1996	0.400000000		

Page 1 of 1

The following table contains the descriptions of the fields in the Generic EIA Dates and Rates screen.

Field	Description
Rate Index Values Start Date	This column contains the rates which are totaled and averaged to derive the value displayed in the Start Index (A) field in the Intermediate Calculations section of the Generic EIA Calculation Results screen.
Rate Index Values End Date	This column contains the rates which are totaled and averaged to derive the value displayed in the End Index (B) field in the Intermediate Calculations section of the Generic EIA Calculation Results screen.

Refer to Section 12, Calculation of A (Start Index) on page 12-295 for more information about the calculation. Refer to Section 12, Calculation of B (End Index) on page 12-296 to learn more about the End Index calculation.

2.29 Day of Week Calculation

Day Of The Week Routine

Day Of The Week Utility

Function: (D-Day,F-Format,V-Validate,X-Xref)

Format: (U-Upper,L-Lower,M-Mixed)

Date: (yyyymmdd)

Day Number:

Results

Number of Day: 07 Day of the Week: Saturday

Full Date:

Return Code:

Error Message:

2.30 Valid Purchase Day

The Valid Purchase Day Trace Routine is used to read the PV—Valid Purchase Days Segment to determine valid purchase days for a coverage. When valid purchase day logic is used, premiums and deposits can only be applied to the fund on specific days. The premium or deposit is placed into a holding account until the next valid purchase day is reached. It is then transferred to the appropriate fund on the valid purchase day.

Valid Purchase Day Routine	
Valid Purchase Day Trace	
Date Retrieval:	☐ 'F'uzzy Date / 'C'urrent Next Date / 'N'ext Date
Coverage ID:	
Issue Date:	MM/DD/YYYY
Target Eff Date:	MM/DD/YYYY
Results	
Next Valid Date:	Is Target Effective Date a Valid Purchase Date?
Next Valid Time:	Restrict Policy Issue and 1st Premium to Valid Purchase Day?
Return Code	
Error Message:	
OK Cancel	

The following table contains definitions for the fields on the Valid Purchase Day Routine screen.

Field	Description
Date Retrieval	This field determines the method by which the valid purchase date is determined. F—Fuzzy Date This option looks both forward and backward for the valid purchase date. If the Purchase Day Is field on the PV—Valid Purchase Day Segment is Every Week, On The Day Selected, the trace routine stays within the current week and does not look at the prior week or the following week. If the Purchase Day Is field on the PV Segment is Specific Day Selected, it stays within the current month and does not look at the prior month or the next month. The capture period begins on the first of each month. If the Purchase Day Is field on the PV Segment is Days Of The Month, a look up is performed for the closest date in the prior month or the following month and the closest date is used. C—Current Next Date If the requested date is a valid purchase date, the calculator returns this date. If not, it finds the next valid purchase date. N—Next Date Only dates beyond the date requested are included. If the requested date is a valid purchase date, it is not returned. Instead, the next valid purchase date is returned.
Coverage ID	This field identifies the PV—Valid Purchase Days Segment to use.
Issue Date	Input the issue date of the policy in this field.
Target Effective Date	This date is evaluated to determine if the date is a valid purchase day. Input the day on which the premium or deposit is applied.
Next Valid Date	The valid purchase date returned from the calculator is displayed in this field. If the Target Effective Date is a valid purchase date it is displayed in this field. If the Target Effective Date is not a valid purchase date, the next valid purchase date is displayed as determined by the Date Retrieval field and the PV—Valid Purchase Days Segment.
Next Valid Time	The value in the Schedule Deposit RQUE For Time field on the PV—Valid Purchase Days Segment is displayed in this field.
Is Target Effective Date a Valid Purchase Date	Y—Yes The Target Effective Date input is a valid purchase day as defined on the PV—Valid Purchase Days Segment. N—No The Target Effective Date input is not a valid purchase day as defined on the PV—Valid Purchase Days Segment.

Field	Description
Restrict Policy Issue and 1st Premium to Valid Purchase Day	The value of this field as defined on the PV—Valid Purchase Days Segment is displayed. This field on the PV Segment determines if the policy issue date and the effective date of the first premium MUST be set to a valid purchase date. Y—Yes The policy issue date and the effective date of the first premium MUST be set to a valid purchase date. The policy cannot be validated if the issue date is an invalid purchase date. In addition, the initial premium cannot be applied if the initial premium is attempted to be applied as of an invalid purchase date. N—No The policy can be issued and the initial premium can be applied as of an invalid purchase date. The initial premium, however, is subject to the holding account logic.
Return Code/Error Message	This field is used to display error messages from the calculator. For example, if a non-existent date (such as 99/99/9999) is input in the Target Effective Date field, an error message indicating that the date is invalid is displayed.

2.31 ABV RMD Trace

The ABV RMD Trace Routine allows the values used in calculating the adjusted benefit value for a policy to be displayed.

Adjusted Benefit Value Trace			
Company Code	06	Policy Number	
Coverage ID	VAIL	Issue State	FL
End of Calendar Year	2004		
Input Policy Info		Policy Account and GMDB Values	
Issue Date	01/10/2003	Premium Floor	Y 100,000.00
Date of Birth	06/15/1933	Reset	N 0.00
Beneficiary Date of Birth	00/00/0000	Maximum Anniversary	Y 115,000.00
Issue Age	069	Sex	M
Class	S	Uncapped Roll Up	Y 105,000.00
Fund Value	120,000.00	Earnings Enhanced DB	Y 120,000.00
Premiums Paid	100,000.00	GMAB Benefit Accum	Y 100,000.00
Remaining Prens	100,000.00		
NOTE: Enter Company and Policy without fund value to get policy information If Fund Value entered the policy data will not be accessed and screen input will be used If policy data not accessed then interest guarantees will not be considered			
Return Code	000		
Error Message			
		ABV Results Years to Project 14 Accumulation Rate 2.00% Discount Rate 2.00% Sum of Disc GMAB 4,098.34 Sum Disc GMAB / AV 3.42% ABV Value for RMD 120,000.00 RMD Factor 25.60 RMD for Next Year 4,687.50 ABV Exemption Floor 20.00%	
		Summary Detail Process Cancel	

The Adjusted Benefit Value Trace Routine can be processed using different information to project values.

- A specific Company Code and Policy Number can be selected. The values returned are based on the policy information using the policy account and GMDB values associated with the policy. In addition, the interest guarantees are used in the calculation.
- A specific Company Code and Policy Number can be selected and information regarding the policy (including policy information, policy account, and GMDB values) can be changed to display how the values are affected using different assumptions.
- The Trace Routine can also be run without using a specific policy. The values can be based on the Coverage ID, issue state, end of calendar year, policy information, policy account values, and GMDB values input on the screen.

Input the appropriate values and click **Process** to calculate the values.

Click **Summary** to view the values for the guaranteed death benefits for future years.

Guaranteed Maximum DB Summary							
Summary of Present Value of Projected Death Benefits							
Year	Age	Max DB - Avg FV	Survivor Rate	Interest Rate	Mortality Rate	Paid GMAB (GLB)	PV of Benefits
2005	72	6,800.00	1.0000000	0.9901475	0.0210255		141.56
2006	73	5,907.87	0.9789745	0.9707328	0.0231065		129.73
2007	74	4,967.41	0.9563538	0.9516989	0.0253840		114.76
2008	75	3,977.37	0.9320777	0.9330381	0.0279455		96.66
2009	76	2,936.50	0.9060303	0.9147432	0.0308510		75.08
2010	77	1,843.58	0.8780784	0.8968071	0.0343400		49.85
2011	78	3,258.71	0.8479252	0.8792226	0.0384620		93.44
2012	79	6,266.26	0.8153123	0.8619830	0.0430495		189.58
2013	80	9,164.47	0.7802135	0.8450813	0.0481290		290.82
2014	81	11,936.30	0.7426626	0.8285111	0.0537250		394.58
2015	82	14,563.70	0.7027630	0.8122658	0.0598595		497.64
2016	83	17,027.63	0.6606960	0.7963390	0.0662725		593.73
2017	84	19,308.11	0.6169100	0.7807245	0.0730100		678.96
2018	85	21,384.16	0.5718694	0.7654162	0.0803340		751.95

Next

Previous

Cancel

Page 1 of 1

Click **Detail** to view the projected values for the adjusted benefit. The Display Option field alternates the display between projected death benefit values (**D—Death Benefit Projections**) and projected account values (**F—Fund Value Projections**).

Projected Adjustment Benefit Values							
Display Option:		Fund Value Projections		Account Projection			
Year	Age	Bene Age	EOY AV (int)	AVG AV	RMD FACTOR	WD @ EOY	EOY AV (RMD)
2005	72	62	122,400.00	121,200.00	25.60	4,687.50	117,712.50
2006	73	63	120,066.75	118,889.63	24.70	4,765.69	115,301.06
2007	74	64	117,607.08	116,454.07	23.80	4,844.58	112,762.50
2008	75	65	115,017.75	113,890.13	22.90	4,924.13	110,093.62
2009	76	66	112,295.49	111,194.56	22.00	5,004.26	107,291.23
2010	77	67	109,437.05	108,364.14	21.20	5,060.91	104,376.14
2011	78	68	106,463.66	105,419.90	20.30	5,141.68	101,321.98
2012	79	69	103,348.42	102,335.20	19.50	5,196.00	98,152.42
2013	80	70	100,115.47	99,133.95	18.70	5,248.79	94,866.68
2014	81	71	96,764.01	95,815.35	17.90	5,299.81	91,464.20
2015	82	72	93,293.48	92,378.84	17.10	5,348.78	87,944.70
2016	83	73	89,703.59	88,824.15	16.30	5,395.38	84,308.21
2017	84	74	85,994.37	85,151.29	15.50	5,439.24	80,555.13
2018	85	75	82,166.23	81,360.68	14.80	5,442.91	76,723.32

Page 1 of 1

Next
Previous
Cancel

SECTION 10 STATE CONTROL FILE

Chapter 1	Product and Coverage Cross Reference	10-5
Chapter 2	Valid States for a Company	10-6
Chapter 3	Valid States for a Product	10-7
	3.1 Valid States and Countries for a Company or Product Bonus.....	10-8
Chapter 4	Form Number for a Coverage	10-9
Chapter 5	State Loan Cap Information	10-10
Chapter 6	Withholding Tax Rates	10-14
	6.1 State Tax Withholding	10-15
	6.2 Federal Tax Withholding	10-17
	6.3 FICA Withholding	10-20
Chapter 7	Premium Tax Rates	10-21
	7.1 Premium Tax—State Tax Info.....	10-22
	7.2 Premium Tax—Federal Tax Info.....	10-24
	7.3 State Tax—State Tax Methods Info	10-25
Chapter 8	Health Rerate Correspondence	10-27
Chapter 9	Payment Deductions	10-29
	9.1 SPIA Federal Withholding.....	10-30
	Banded Withholding	10-31
	9.2 SPIA State Withholding.....	10-33
	State Banded Withholding	10-35
	State Tiered Withholding	10-36
	9.3 Reducer Formulas	10-38
	9.4 Miscellaneous SPIA Deductions	10-39
Chapter 10	Variable Coverage Free Look	10-40
Chapter 11	Interest Adjusted Interest Rate	10-45
Chapter 12	State Follow Up Overrides	10-47
Chapter 13	Maximum Consecutive APLs	10-50
Chapter 14	Conversion Privilege	10-54

Chapter 15	Valid States for CR Cards	10-56
Chapter 16	Initial Premium Offer	10-57
Chapter 17	Replacement Comm Exception	10-61
Chapter 18	Claim Information	10-63
Chapter 19	Medicare Basic Benefit Information	10-66
Chapter 20	Deductible By Effective Date	10-69

Section 10 State Control File

The State Control File is used to designate a variety of information related to state and federal taxation. In addition, it is used to control the valid states for a company and product. The following information is set up on the State Control File.

- Valid states for a company
- Valid states for a product
- Form number for a coverage
- State loan cap information
- Withholding tax rates
- Premium tax rates
- Health rerate correspondence
- Payment deductions
- Variable coverage free look
- Interest adjusted interest rate
- State follow up overrides
- Maximum consecutive automatic premium loans
- Conversion privileges
- Valid state for credit card billing
- Initial premium offers
- Replacement commission exceptions
- Claim Information
- Medicare Basic Ben Info
- Deductible By Eff Date

To access the State Control File Menu from the Product System Menu select **State Control File**. The State Control File Menu is displayed.

Select State Control Process

Enter Data For State Control Processing

Company Product/Coverage >>

Valid States For A Company
Valid States For A Product
Form Number For A Coverage
State Loan Cap Information
Withholding Tax Rates
Premium Tax Rates
Health Rerate Correspond
Payment Deductions
Variable Covr Free Look
Int. Adjusted Int. Rate
State Follow Up Overrides
Maximum Consecutive Apls
Conversion Privilege
Valid States For CR Cards
Initial Premium Offer
Replacement Comm Exception
Claim Information
Medicare Basic Ben Info
Deductible By Eff Date

OK
Cancel

Some options are for a specific company code, coverage, product, or a combination of the three. A product ID or coverage ID can be selected in the Product/Coverage field. When applicable, the company code or product is selected before accessing the menu option. Click on the desired option to access.

Chapter 1 Product and Coverage Cross Reference

Note that a cross reference list of product IDs or coverage IDs can be accessed from the Product/Coverage field on the State Control Menu.

Complete the following steps to access one of the cross reference lists.

1. From the State Control Process screen click >> at the Product/Coverage field. A selection window is displayed.
2. Select **Product Cross Ref.** Or, select **Coverage Cross Ref.** The cross reference list is displayed.
3. After the cross reference list is displayed, click **Next** or **Previous** to move through the pages.
4. Click on the desired selection to access. The product or coverage ID selected is displayed in the Product/Coverage field on the State Control File Menu.

Chapter 2 Valid States for a Company

This screen is used to designate the states or countries in which business can be written for a particular company code. If a state or country is not designated as valid on this screen, it is not available when defining the valid states for a product. A checkmark designates the selection of the state.

Select State Code

Valid States For A Company - 01

☒ AL-ALABAMA	☒ AK-ALASKA	☒ AZ-ARIZONA
☒ AR-ARKANSAS	☒ CA-CALIFORNIA	☒ CO-COLORADO
☒ CT-CONNECTICUT	☒ DE-DELAWARE	☒ DC-DISTRICT OF COLUMBIA
☒ FL-FLORIDA	☒ GA-GEORGIA	☒ HI-HAWAII
☒ ID-IDAHO	☒ IL-ILLINOIS	☒ IN-INDIANA
☒ IA-IOWA	☒ KS-KANSAS	☒ KY-KENTUCKY
☒ LA-LOUISIANA	☒ ME-MAINE	☒ MD-MARYLAND
☒ MA-MASSACHUSETTS	☒ MI-MICHIGAN	☒ MN-MINNESOTA
☒ MS-MISSISSIPPI	☒ MO-MISSOURI	☒ MT-MONTANA
☒ NE-NEBRASKA	☒ NV-NEVADA	☒ NH-NEW HAMPSHIRE
☒ NJ-NEW JERSEY	☒ NM-NEW MEXICO	☒ NY-NEW YORK
☒ NC-NORTH CAROLINA	☒ ND-NORTH DAKOTA	☒ OH-OHIO
☒ OK-OKLAHOMA	☒ OR-OREGON	☒ PA-PENNSYLVANIA
☒ RI-RHODE ISLAND	☒ SC-SOUTH CAROLINA	☒ SD-SOUTH DAKOTA
☒ TN-TENNESSEE	☒ TX-TEXAS	☒ UT-UTAH
☒ VT-VERMONT	☒ VA-VIRGINIA	☒ WA-WASHINGTON
☒ WV-WEST VIRGINIA	☒ WI-WISCONSIN	☒ WY-WYOMING
		☒ XX-OTHER

(Pg 1)

Next
Previous
Select
Cancel

Click **Next** to access the country codes.

Complete the following steps to set up the valid states for a company or country.

1. On the State Control Menu input the company code in the Company field.
2. Select **Valid States For A Company**. The State Code screen is displayed. There are multiple pages to the State Code screen. Click **Next** to access page 2. The second page is used to designate countries.

Chapter 3 Valid States for a Product

This option is used to designate the valid states for a product. If a product is selected in Policy Add on the New Business Insurance Benefits App screen, and the selected issue state is not valid, the message *Product Not Valid In This Issue State* is displayed, and selection of the product is not allowed.

Note that in order for a state to be available for selection on this screen, it must have been designated as a valid state using the Valid States For A Company function.

Select State Code

Valid States For A Product - ART

☐ AL-ALABAMA	☒ AK-ALASKA	☒ AZ-ARIZONA
☒ AR-ARKANSAS	☒ CA-CALIFORNIA	☒ CO-COLORADO
☒ CT-CONNECTICUT	☒ DE-DELAWARE	☒ DC-DISTRICT OF COLUMBIA
☒ FL-FLORIDA	☒ GA-GEORGIA	☒ HI-HAWAII
☒ ID-IDAH0	☒ IL-ILLINOIS	☒ IN-INDIANA
☒ IA-IOWA	☒ KS-KANSAS	☒ KY-KENTUCKY
☒ LA-LOUISIANA	☒ ME-MAINE	☒ MD-MARYLAND
☒ MA-MASSACHUSETTS	☒ MI-MICHIGAN	☒ MN-MINNESOTA
☒ MS-MISSISSIPPI	☒ MO-MISSOURI	☒ MT-MONTANA
☒ NE-NEBRASKA	☒ NV-NEVADA	☒ NH-NEW HAMPSHIRE
☒ NJ-NEW JERSEY	☒ NM-NEW MEXICO	☒ NY-NEW YORK
☒ NC-NORTH CAROLINA	☒ ND-NORTH DAKOTA	☒ OH-OHIO
☒ OK-OKLAHOMA	☒ OR-OREGON	☒ PA-PENNSYLVANIA
☒ RI-RHODE ISLAND	☒ SC-SOUTH CAROLINA	☒ SD-SOUTH DAKOTA
☒ TN-TENNESSEE	☒ TX-TEXAS	☒ UT-UTAH
☒ VT-VERMONT	☒ VA-VIRGINIA	☒ WA-WASHINGTON
☒ WV-WEST VIRGINIA	☒ WI-WISCONSIN	☒ WY-WYOMING
		☐ XX-OTHER

(Pg 1)

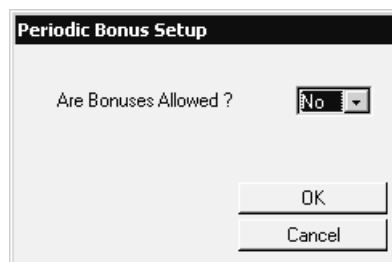
Next
Previous
Select
Cancel

Complete the following steps to set up a state as valid for a product.

1. On the State Control Menu designate the company code in the Company field and the product ID in the Product/Coverage field.
2. Select **Valid States For A Product**. The State Code screen is displayed. There are multiple pages to the State Code screen. Click **Next** to access subsequent pages. These additional pages are used to designate valid foreign countries.

3.1 Valid States and Countries for a Company or Product Bonus

An **Alt+F5** function is available from the State Code screens from the Valid States for a Company and Product functions to define specific states or countries where bonuses are allowed.

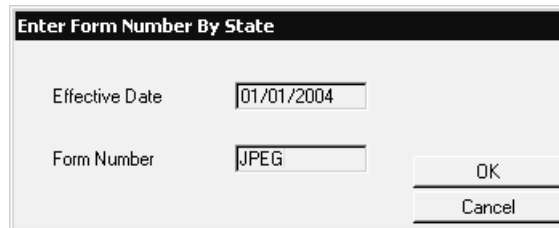


This field is only applicable to crediting method 04 and defines if bonuses are applicable for a product or a company for the specific states or countries defined. This field defaults to **No** and must be individually changed for each valid state and country in which the bonus is allowed.

The states or countries selected through the Valid States For a Product screen override the fields defined through the Valid States For A Company screen.

Chapter 4 Form Number for a Coverage

This option can be used to set up a form number for a coverage, which can then be selected when policy pages are generated. To use the form number in creating the pages, use keyword BENFOR__ (Benefit Form Number). The last two digits refer to the benefit type or sequence number. If the form number is coded here, the keyword pulls the value automatically.

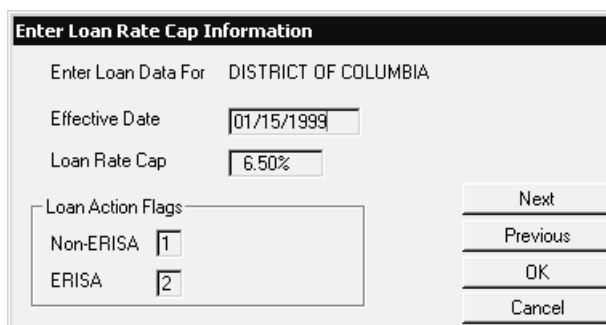


Complete the following steps to set up a form number for a coverage.

1. On the State Control Menu designate the company code in the Company field and the coverage ID in the Product/Coverage field. The State Code screen is displayed.
2. Select the applicable states to designate a form. There are multiple screens to the State Code screen.
3. Click **Next** to access subsequent screens. The additional screens are used to designate the form number for countries. A window is displayed to designate the effective date and form number.
4. Press **F8**.
5. Input the applicable information and click **OK** to save or click **Cancel** to exit without saving.

Chapter 5 State Loan Cap Information

The State Loan Cap option is used to place a limit, or cap, on the interest rate charged to the policyholder on policy loans when state regulations specify such a limit. If the interest rate assigned based on the LN—Loan Segment exceeds the value coded for a specific state, the value shown on the Loan Cap screen is used as the interest rate.



To access the Loan Rate Cap Information window from the Product System Menu select **State Loan Cap Information**.

In addition, this screen is used to set loan action flags for tax sheltered annuity (TSA) loans. These fields control the deeming action for TSA loans.

What is deemed?

The term *deemed* means being reported as taxable. A TSA loan repayment becomes a deemed payment when it is not paid within an allowed grace period. How an item is reported as taxable depends on the deeming action selected, as defined by the Loan Action Flags.

Complete the following steps to add a new loan cap record.

1. On the State Control Menu it is not necessary to select a company, product, or coverage. The loan cap information setup applies to all companies. Select **State Loan Cap Info**. The State Code screen is displayed.

NOTE: There are multiple pages to the State Code screen. Click **Next** to access additional pages. Additional pages are used to designate the loan cap information for countries.

2. To designate loan cap information, select the applicable states. The Loan Cap Selection window is displayed.

3. Press **F8**.
4. Input the effective date and corresponding loan rate cap. Complete the Loan Action Flags field if applicable for TSA loans.
5. Click **OK** to save the record.

NOTE: If the loan rate cap changes as of a certain date, an additional record can be added as of the new effective date, using the same procedure described here.

6. A Loan Rate Cap Record can be deleted by pressing **Alt+F8** while the record is displayed.

The following table describes each of the TSA Loan Action Flags available for ERISA and Non-ERISA loans.

Field	Description
Loan Action Flags	These flags determine how deeming and automatic loan repayment processing are applied for a TSA Loan. 1—Any outstanding loan balance at the end of the term is deemed. The For TSA, Prorate Gain Based on Basis and Interest field on the WC—Partial Withdrawal Control Segment is used to determine if the entire deemed amount is considered taxable, or if the balance is divided into non-taxable and taxable portions. This WC Segment field is only applicable for TSA Loan Action Flag 1. The account value is not adjusted. 2—Deemed payments are reported as taxable at the calendar year-end. A grace period is allowed for payments. For deemed payments, interest is not charged because the missed payment is added to the last scheduled payment. Any outstanding balance at the end of the term of the loan that was not previously reported is deemed. The loan balance remains. Interest is computed, but no bills or payments are generated.

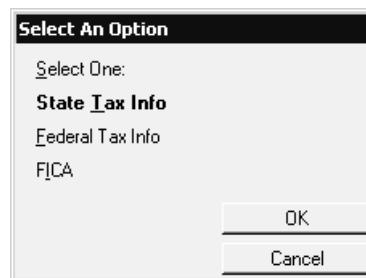
Field	Description
Loan Action Flags (continued)	3—Deemed payments are reported as taxable at the calendar year-end. A grace period is allowed for payments. For deemed payments, interest is not charged because the missed payment is added to the last scheduled payment. Any outstanding balance at the end of the term of the loan that was not previously reported is deemed. However, unlike TSA Loan Action Flag 2, the loan balance is repaid from the 12/31/1988 fund value. 4—No deeming of payments or loan balance is processed. The loan balance at the end of the term is subtracted from the account value. 5—If a payment is missed, the entire loan balance is taxable. A grace period is allowed for payments. If a required payment is not made within the grace period, the entire balance of the loan is deemed as a taxable distribution. During the billing cycle which first determines that the grace period has expired, a deeming event record is created and an RQUE record is generated. The date of the RQUE record is equivalent to the expiration date of the grace period. When the RQUE record is processed, either manually or during the next monthiversary processing, the accounting related to the deeming event is generated. If the annuitant is less than 59 1/2 years old, the loan balance is repaid, up to the amount of the 12/31/1988 fund value displayed on the Benefit Detail screen for the UV benefit. The tax distribution code for this payoff amount, if any, is 1. The excess is considered to be a deemed distribution, for which the tax distribution code is L. If the annuitant is 59 1/2 years or older, the loan balance is repaid up to the total available fund value, and the tax distribution code is recorded as 7. The annuitant's age is calculated using his or her actual date of birth, as stored on the annuitant's Name and Address record.

Field	Description
Loan Action Flags (continued)	Refer to the System Configuration Book, Section 1, 1.18—Miscellaneous Management Options for additional information regarding the For Tax Qualification Codes 6 and 7, Begin Offset At Age 70 1/2 field. NOTE The grace period for a TSA Loan is defined by the number of days in the Process Lapse/APL field at the company level, on the Billing Management Options screen. This field may be overridden at the product level on the BS—Billing Setup Segment or at the policy level from the View Billing Info screen. The expiration date of the grace period (or the date of default) is defined as the date of the missed payment plus the number of days in the grace period.

Chapter 6 Withholding Tax Rates

The Withholding Tax Rates option is used to designate the state and federal withholding tax rates for transactions with taxable gain, such as a surrender. It is also used to designate the state and federal withholding tax rates for transactions for interest income, such as the interest on interest bearing accounts (IBA).

This option can be varied by operating company.



Complete the following steps to access the Withholding Menu.

1. From the Product System Menu select **State Control File**. The State Control File is displayed.
2. From the State Control File select **Withholding Tax Rates**. A Selection Menu is displayed.
3. Select the desired type of rates to designate. The appropriate screen is displayed.

6.1 State Tax Withholding

The State Tax Withholding screen is used to define an interest income and taxable gain transaction rate by state or country. In addition, a minimum gain for withholding value can be coded. If the amount of a taxable gain exceeds the amount defined through the Minimum Gain For Withholding field, the rate is applied as of the effective date for the state or country record.

The following table contains definitions for the fields on the Withholding Tax Rates screen.

Field	Description
Effective Date	The effective date of the State Withholding Record is displayed in this field.
Interest Income Withholding Rate	The percentage of state tax withheld on interest income transactions is displayed in this field.
Taxable Gain Withholding Rate	The percentage of state tax withheld on taxable gain transactions is displayed on this field.
Withholding Is Mandatory	This field determines if the state withholding is mandatory for the state. Y—Yes The state withholding amount is protected and mandatory (calculated based on the settings for the Taxable Gain Withholding Rate and the Applied to Federal Tax Amount fields) if the computed federal withholding amount is greater than zero. If the federal withholding amount is zero, the state withholding is also set to zero. N—No The state withholding amount, if any, is not mandatory and may be manually overridden. This is the default.

Field	Description
Applied To Federal Tax Amount	This field determines if the federal withholding amount or the amount of gain is multiplied by the Taxable Gain Withholding Rate, in order to calculate the withholding amount for the state. Y—Yes The state withholding amount is calculated by multiplying the computed federal withholding amount by the Taxable Gain Withholding Rate for the state. N—No The state withholding amount is calculated by multiplying the computed amount of gain by the Taxable Gain Withholding Rate for the state. This is the default.
Minimum Gain For Withholding	Input the minimum amount of gain allowable, before the taxable gain for withholding rate is applied in this field.

Complete the following steps to add a new record.

1. From the Product System Menu select **State Control File**. The State Control Menu is displayed.
2. From the State Control Menu input the Company and Product/Coverage fields.
3. Select **Withholding Tax Rates**. The Tax Information window is displayed.
4. Select **State Tax Info**. The State Control screen is displayed.
5. Select the state or country to define. The Withholding window is displayed.
6. Press **F8**.
7. Complete the Effective Date field. Additional records can be added with subsequent effective dates if the rates change.
8. Designate the state tax rate for gain and interest income. If the taxable gain rate only applies to a gain over a certain dollar amount, complete the Minimum Gain For Withholding fields.
9. Click **OK** to save the record or click **Cancel** to exit the screen.

6.2 Federal Tax Withholding

The Federal Tax Withholding screen defines an interest and taxable gain income withholding rate. If the amount of an interest or taxable gain amount exceeds the amount defined through the Minimum Gain For Withholding field, the rate is applied as of the effective date for the state or country record. This window also offers the flexibility to define federal withholding percentages, based on the policy tax qualification code and tax certification code of the policy owner and does not take the withholding code into consideration.

Withholding Tax Rates	
Withholding For	Federal Govt
Effective Date	01/01/1990
Interest Income Withholding Rate:	31.00%
Taxable Gain Withholding Rate:	10.00%
Backup Withholding Rate:	0.00%
W9 Investigation Days:	
Withholding Is Mandatory:	No
Applied To Federal Tax Amount:	No
Minimum Gain For Withholding:	10.00
Override Rates By Qualification Code (Y/N) (F5 To Access Override Rates If Selected)	Yes
OK	
Cancel	

Complete the following steps to add or update the federal withholding rates.

1. From the Product System Menu select **State Control File**. The State Control Menu is displayed.
2. From the State Control Menu input Company and Product/Coverage fields.
3. Select **Withholding Tax Rates**. The Tax Information window is displayed.
4. From the Tax Information window select **Federal Tax Info**. The Withholding for Federal Government window is displayed.
5. From the Withholding for Federal Government window, press **F10**.

NOTE: This window must be in update mode to access the Withholding for Tax Certification and Tax Qualification Code window.

NOTE: When first accessing the Withholding by Certification and Qualification Code window, the fields default to the percentage entered in the Interest Income

Withholding Rate field and the Taxable Gain Withholding Rate field on the Withholding for Federal Government window.

6. Input the appropriate data in the designated fields and click **OK** to save the information.

Field	Description
Effective Date	The effective date of the Federal Withholding Record is displayed in this field.
Interest Income Withholding Rate	The percentage of federal tax withheld on interest income transactions is displayed in this field.
Taxable Gain for Withholding Rate	The percentage of federal tax withheld on taxable gain transactions is displayed on this field.
Backup Withholding Rate	A withholding rate can be defined based on the effective date. This rate is used to calculate the backup withholding from a provider's payment when the provider's W9 form has not been received yet. The Federal Tax Rate on the Claim Withholding Information screen, accessed from the Claim Detail Record, is set to the Backup Withholding Rate defined in this field when the Certification Code on the provider's Name and Address Record is Not Certified, Withholding, or Pending and the Certification Date plus the W9 Investigation Days is less than the current system date. This rate is used to calculate the withholding amount.
W9 Investigation Days	The number of days allowed for the provider to submit a W9 form before withholding is processed on claim payments to the provider is input in this field. If the Certification Code on the provider's Name and Address Record is Pending and the Certification Date plus the W9 Investigation Days is less than the current system date, withholding is processed on claim payments to the provider and the Certification Code is set to Withholding.
Withholding Is Mandatory	This field determines if federal withholding is mandatory. Y—Yes The federal withholding amount is protected and mandatory (calculated based on the settings for the Taxable Gain Withholding Rate). N—No The federal withholding amount, if any, is not mandatory and may be manually overridden. This is the default.
Applied To Federal Tax Amount	This field is only applicable for state withholding. It should be set to No at the federal level, which is the default.

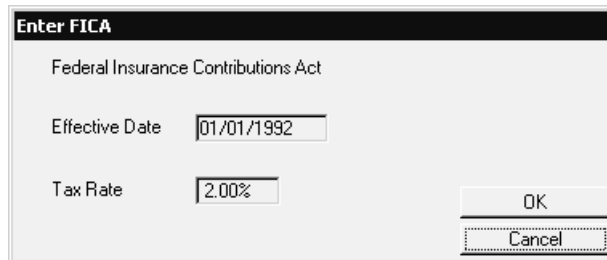
Field	Description
Minimum Gain For Withholding	Input the minimum amount of gain allowable, before the taxable gain for withholding percentage is applied in this field.
Override Rates By Qualification Code (Y/N)	Y—Yes N—No

- Click **Cancel** to return to the State Control Processing Menu.

NOTE: **OK** must be clicked to take the screen out of update mode and save the information. If **Cancel** is clicked from the Federal Withholding screen, while it is in update mode, the information **is not** saved.

6.3 FICA Withholding

The FICA Withholding Tax Rate option is used to designate the FICA tax rates for transactions with taxable gain, such as a surrender. It is also used to designate the FICA tax rates for transactions for interest income, such as the interest on IBA accounts.

A screenshot of a software dialog box titled "Enter FICA". The dialog box has a light gray background and a black title bar. Below the title bar, the text "Federal Insurance Contributions Act" is displayed. There are two input fields: "Effective Date" with the value "01/01/1992" and "Tax Rate" with the value "2.00%". At the bottom right, there are two buttons: "OK" and "Cancel".

Enter FICA	
Federal Insurance Contributions Act	
Effective Date	01/01/1992
Tax Rate	2.00%
OK Cancel	

Complete the following steps to add a new FICA record.

1. From the Product System Menu select **State Control File**. The State Control Menu is displayed.
2. From the State Control Menu input the Company and Product/Coverage fields.
3. Select **Withholding Tax Rates**. The Tax Information window is displayed.
4. Select **FICA**.
5. Press **F8**.
6. Input the effective date. Additional records can be added with subsequent effective date if the rates change.
7. Designate the FICA withholding rate.
8. Click **OK** to save the record or click **Cancel** to exit without saving.

Chapter 7 Premium Tax Rates

LifePRO® supports the designation of a premium tax and state fund tax. Rates for the premium tax and state fund tax are designated from the Premium Tax Rates option. The Premium Tax and State Fund Tax options are coded on the Coverage Record.

- **Premium Tax**—This option can be used to deduct a premium tax from the gross premium applied for funded products. Rates can be varied by coverage, state, line of business, and qualified or non-qualified. For single premium immediate annuity (SPIA) products, the rates can only be varied by coverage, not by company code.

The premium tax can be based on the application state, insured state, owner state, or payor state via the Coverage Record setup.

Any premium tax deducted can be viewed online through the Online Annual Statement option in Inforce by clicking **Actions**. Premium tax deductions can be viewed by clicking **Detail** and selecting **Applied Premium**. No accounting is generated for the premium tax. It is tracked at the fund level.

- **State Fund Tax**—A state fund tax can be applied in the event of a death claim, full surrender, or annuitization. Rates can be varied by coverage, state and qualified or non-qualified.

The state fund tax can be applied based on the application state, insured state, owner state or payor state, via the Coverage Record setup.

The state fund tax to be applied is listed on the Value Quote screen, Death Quote screen, and Annuitization Quote screen. If applied, accounting is generated, and the premium tax is recorded as a credit to transaction code 0760—State Fund Tax.

7.1 Premium Tax—State Tax Info

Enter Premium Tax By State

Premium Tax For: ALABAMA
 Effective Date: 01/01/1992
 Product/Coverage: [Dropdown]

Premium Tax Information

	Non-Qualify	Qualify
Traditional	2.00%	0.00%
Universal Life	3.00%	0.00%
Annuity	4.00%	0.00%
Health	5.00%	82.24%
SPIA	0.00%	82.24%

Fund Tax Information

	Non-Qualify	Qualify
Death	82.24%	82.24%
Surrender	82.24%	82.24%
Annuitization	82.24%	82.24%

OK
Cancel

Complete the following steps to add premium tax or fund tax rates at the state level.

1. From the Product System Menu select **State Control File**.

NOTE: Complete the Company and Product/Coverage fields. The company code must be @@ and the coverage ID must be completed in order to set up premium tax rates for SPIA products.

2. Select **Premium Tax Rates**.
3. Select **State Tax Info**. A list of states is displayed.
4. Click on the desired state to set up. The Premium Tax window is displayed.
5. Press **F8**.
6. Complete the Effective Date field and the Product/Coverage field. If information changes as of a specific date, an additional record can be added with a later effective date. Valid values in the Product/Coverage field are **Product** or **Coverage**.

7. Input the rates for each type of distribution for qualified and non-qualified products or coverages.
8. Click **OK** to save the record or click **Cancel** to exit without saving.

7.2 Premium Tax—Federal Tax Info

Enter Premium Tax By State		
Premium Tax For	Federal Govt	
Effective Date	01/15/1999	
Product/Coverage	Coverage	
Premium Tax Information		
	Non-Qualify	Qualify
Traditional	0.00%	0.00%
Universal Life	0.00%	0.00%
Annuity	0.00%	0.00%
Health	0.00%	0.00%
SPIA	0.00%	0.00%
Fund Tax Information		
	Non-Qualify	Qualify
Death	0.00%	0.00%
Surrender	0.00%	0.00%
Annuitization	0.00%	0.00%
		OK
		Cancel

Complete the following steps to add premium tax or fund tax rates at the federal level.

1. From the Product System Menu select **State Control File**. The State Control Menu is displayed.
2. Complete the Company and Product/Coverage fields.
3. Select **Premium Tax Rates**.
4. Select **Federal Tax Info**. The Premium Tax setup window is displayed.
5. Press **F8**.
6. Complete the Effective Date field, and the Product/Coverage field. If information changes as of a specific date, an additional record can be added with a later effective date. Valid values in the Product/Coverage field are **Product** or **Coverage**.
7. Complete the rates for each type of distribution for qualified and non-qualified products or coverages.

7.3 State Tax—State Tax Methods Info

The State Tax Methods screen defines the state tax method used for policy deductions, surrenders, and death processing. The tax method is defined by effective date and tax qualification code.

Enter Premium Tax Methods By State			
Premium Tax For		ALABAMA	
Effective Date		01/15/2003	
Deduction Methods			
Tax Code	Deduct (N/Y/D)	Surrender (N/C/R)	Death (N/C/R)
1	Yes	Not Applicable	Not Applicable
2			
3			
4			
5			
6			
7			
8			
9			
0			
S			
R			
Q			

OK
Cancel

Complete the following steps to add state tax methods.

1. From the Product Menu select **State Control File**.
2. Select **Premium Tax Rates**. The Selection window is displayed.
3. Select **State Tax Methods**. The State Code screen is displayed.
4. Select the desired state to set up. The Premium Tax Methods By State window is displayed.
5. Press **F8**.
6. Input the effective date. If information changes as of a specific date, an additional record can be added with a later effective date.

7. Input the deduction method for each tax code and distribution option.

Field	Description
Deduct (N/Y/D)	N—Not Applicable Y—Yes Deduct the premium tax when applying the premium. D—Defer Do not deduct the premium tax when applying the premium. The deduction is processed during surrender or death processing.
Surrender (N/C/R)	This field determines if the premium tax is deducted or refunded during surrender processing. N—Not Applicable C—Charge The premium tax was deferred when the premium was applied. Deduct the premium tax during surrender processing. R—Refund The premium tax was deducted when the premium was applied. Refund any premium tax due during surrender processing.
Death (N/C/R)	This field determines if the premium tax is deducted or refunded during death processing. N—Not Applicable C—Charge The premium tax was deferred when the premium was applied. Deduct the premium tax during death processing. R—Refund The premium tax was deducted when the premium was applied. Refund any premium tax due during death processing.

8. Click **OK** to save the record or click **Cancel** to exit without saving.

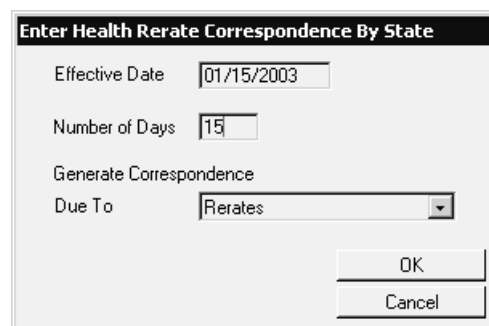
NOTE

If the product is an annuity for which the VU—Annuity Death Benefit Values Segment is defined, the logic should be set up to be consistent with the selections made for the state tax methods.

Chapter 8 Health Rerate Correspondence

The Health Rerate Correspondence option works in conjunction with the RC—Rerate Correspondence Segment which is used to send notification of a rerate or premium increase to the policy payor for health coverages.

The State Control Health Rerate Correspondence options allow the number of days and the event that creates the follow-up to be defined by states or countries. The information entered in the Health Rerate Correspondence window overrides the selections made on the RC Segment.



The following table contains definitions for the fields on the Health Rerate Correspondence By State screen.

Field	Description
Effective Date	The effective date of the State Control Record is displayed in this field.
Number of Days	The number of days prior to the rerate date to generate the defined correspondence letter is displayed in this field.
Generate Correspondence Due To	This field defines the events that cause the Follow-Up Record to be created. When a selection is made for a particular state, the State Control File Record overrides the selection made on the RC—Rerate Correspondence Segment for policies issued in the state. R—Rerates Only rerates cause the Follow-Up Record to be generated. This is the default. A—Anniversary Only anniversary processing causes the Follow-Up Record to be generated. B—Either Rerate or Anniversary Either a rerate or anniversary processing causes the Follow-Up Record to be generated.

Complete the following steps to add a record.

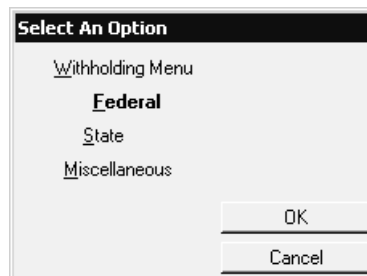
1. From the Product Menu select **State Control File**. The State Control File Menu is displayed.
2. Input the Company and Product/Coverage fields.
3. Select **Health Rerate Correspond**.
4. Select the desired state or country to set up. The Set Up window is displayed.
5. Press **F8**.
6. Complete the Effective Date field. If values change as of a specific date, a new record can be added as of the new date.
7. Complete the Number of Days and Generate Correspondence Due To fields.
8. Click **OK** to save the record or click **Cancel** to exit without saving.

Chapter 9 Payment Deductions

The Payment Deductions option is used to set up state and federal withholding rates and allowances for immediate annuity payments.

NOTE

A particular payee for an immediate annuity contract may or may not use the rates specified here, based on the payment withholding set up in Immediate Annuity Add or Immediate Annuity Inforce. Options are available to withhold based on a flat amount or percentage only, or not withhold at all. If these options are selected, the tax rates specified here have no effect. In addition, the payment withholding setup specifies if the tax rates and allowances are applied to the full payment, or only the taxable amount of the payment.



To access the selection window, select **Payment Deductions** from the State Control File Menu.

9.1 SPIA Federal Withholding

The Federal Withholding option allows the designation of the standard allowance and Rate IDs for pointing to banded withholding rates for three different tax filing statuses for SPIA payments.

Enter Federal Withholding

Start Date: 01/15/2003

Allowance: 1000.00

Rate Id Information

Single	RATE1	>>
Head of House	HOUSE1	>>
Married	SPOUSE1	>>

OK
Cancel

The allowance is the flat amount that is deducted from the gross payment amount to determine the amount that is taxable. The number of allowances is designated on the Payment Withholding screen.

Press **F8** to add a new record with a new effective date or press **F10** to update an existing record and retain the effective date.

Rate IDs can be designated for three different tax filing statuses. Click >> from a Rate ID field to drop to the Banded Withholding screen.

Banded Withholding

The Banded Withholding Rates screen is applicable to annualized SPIA payments. The withholding rate is based on the full payment or the taxable amount if allowances are designated on the Payment Withholding screen and the Federal Withholding screen. The system finds the proper range within the first two columns, then reads across to find the proper withholding amount.

Banded Withholding Rates

Rate ID SPOUSE1

Over	But Not Over	Flat Amt + % On Amt	In Excess Of
	25,000.00	200.00	1.000%
25,000.01	50,000.00	300.00	0.500%
50,000.01			

OK
Cancel

The range is defined by tax bracket. Rate IDs can be added, changed, and deleted from the Banded Withholding Rates screen.

First, access the Federal Withholding screen from the State Control File. Click >> from the Start Date field to view a cross reference list of dates when new rates took effect. From the effective date to select, click **OK**.

Update Select an existing date with rates to update. Press **F10**. A new allowance amount can be entered. Position the cursor on a Rate ID and click >>. The Banded Withholding screen is displayed. Press **F10** and make the desired changes. Click **OK** to save the changes or click **Cancel** to exit without saving the changes.

Add To add a new record, enter the new effective date in the Start Date field on the Federal Withholding screen. Press **F8** to add the date. Enter the allowance amount, if applicable. Enter the Rate ID names. If the Rate ID already exists, the ID is accepted. If the Rate ID is new, the Banded Withholding screen is displayed. Press **F8** to enter the new banded rates. Click **OK** to save the changes or click **Cancel** to exit without saving the changes.

9.2 SPIA State Withholding

The State Withholding option allows withholding information to be specified for each state.

The following table contains definitions for the fields on the State Withholding screen.

Field	Description
Withholding Is	R—Required The Federal Withholding field on the Payee Miscellaneous Payment Information screen must be completed. V—Voluntary N—Not Applicable
Withholding Basis	S—Straight % Of Tax amount Tax is based on the percentage coded in the lower portion of the screen. B—Banded % By Tax Amount A Rate ID is assigned. Click Drop to Rates to access the Banded Withholding screen. T—Tiered % Of Tax Amount A Rate ID is assigned. Click Drop to Rates to access the Tiered Withholding Rates screen.

Field	Description
Taxable Amount	G—Gross/W/H-Exemptions/Allowances F—Federal Income Tax W/H
Filing Statuses	This field determines which rate pointers can be used. For example, the same rate ID can be used regardless of tax filing status, or, a separate rate ID can be used for each tax filing status. N—No Difference All Statuses Equal Single M—Valid Statuses Are Single & Married U—Single/Married/Head of Household Are All Unique H—Single/Married/(Head of Household Equal Married) O—Single/Married/Other
Percentages	This field works in conjunction with the Withholding Basis field. If Straight% of Tax amount is selected, the percentage is entered in this field for each tax filing status.
Rate Pointers	This field works in conjunction with the Withholding Basis field. If either Banded% by Tax Amount or Tiered% of Tax Amount is selected, the rate IDs are defined in this field. Click Drop to Rates to access the Banded Withholding Rates screen or the Tiered Withholding screen.

State Banded Withholding

The banded withholding rates are for the annualized SPIA payment. The system finds the proper range within the first two columns, then reads across to find the proper withholding amount.

Over	But Not Over	Flat Amt + % On Amt	In Excess Of
25,000.01	25,000.00	200.00	1.000%
50,000.01	50,000.00	300.00	0.500%

The range is defined by tax bracket. Rate IDs can be added and changed from the Banded Withholding Rates screen.

First, access the State Withholding screen from the State Control File. The Withholding Basis field must be **B—Banded% by Tax Amount**.

Update

Position the cursor on the rate ID to update and click **>>**. The Banded Withholding screen is displayed. Press **F10** and make the desired changes. Click **OK** to save the changes or click **Cancel** to exit without saving the changes.

Add

Enter the name of the new rate ID in the Rate Pointers field and press **F8**. Enter the new Rate ID name. Press **F4**. The Banded Withholding screen is displayed. Press **F8** to enter the new banded rates. Click **OK** to save the changes or click **Cancel** to exit without saving the changes.

State Tiered Withholding

The percentage of withholding is determined by the range in which the annualized payment falls.

The SPIA Tiered Withholding screen can only be accessed if the Withholding Basis field on the State Withholding screen is defined as **Tiered% of Tax Amount**.

First, access the State Withholding screen from the State Control File. The Withholding Basis must be **Tiered% of Tax Amount**.

- Update** Position the cursor on the rate ID to update and click **Drop to Rates**. The Tiered Withholding Rates screen is displayed. Press **F10** and make the desired changes. Click **OK** to save the changes or **Cancel** to exit without saving the changes.
- Add** Enter the name of the new rate ID in the Rate Pointers field and press **F8**. Enter the new rate ID name. Click **Drop to Rates**. The Tiered Withholding Rates screen is displayed. Press **F8** to enter the new tiered rates. Click **OK** to save the changes or click **Cancel** to exit without saving the changes.

Tiered Withholding Rates		
Rate ID KGF		
Percentage	Tier Starts	Tier Maximum
10.000%		25,000.00
8.000%	25,000.01	50,000.00
6.000%	50,000.01	100,000.00
	100,000.01	

OK
Cancel

9.3 Reducer Formulas

NOTE

The Reducer Formulas screen was designed to accommodate specific calculations for a client. This screen is accessed by pressing **Page Down** from the State Withholding screen. The **G—Gross/W/H/Amts—Exceptions/Allowance** option must be selected in the Taxable Amount field on the State Withholding screen in order to access this screen.

	Single	Other	Married
A. Percentage of Gross	0.000%	0.000%	0.000%
B. Flat Amount	0.00	0.00	0.00
C. Federal Withholding Amount	0.00	0.00	0.00
D. Personal Exemption(s)	0.00	0.00	0.00
E. Dependent Exemption(s)	0.00	0.00	0.00

-Excluding Spouse? ☐

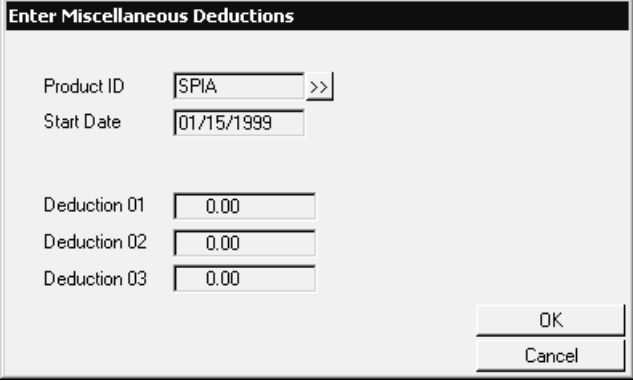
OK
Cancel

Gross and Withholding Reducer Formulas

- | | |
|----|--|
| 01 | The Lesser Of (A Or B) + C + D + (E * The # Of Claimed Dependents) |
| 02 | The Lesser Of A Or B |
| 03 | D + (E * The # Of Claimed Dependents) |
| 04 | The Greater Of (A Or B) + D + (E * The # Of Claimed Dependents) |
| 05 | The Greater Of A Or B |

9.4 Miscellaneous SPIA Deductions

Miscellaneous Deductions are used based on specific product IDs to designate standard payment deductions. Any amounts deducted are in addition to the state and federal tax withholding amounts.



Complete the following steps to set up a Miscellaneous Deduction record for a SPIA product.

1. From the Product Menu select **State Control**. The State Control Menu is displayed.
2. Enter a valid company code on the State Control Menu and select **Payment Deductions**. The Withholding Menu is displayed.
3. Click on **Miscellaneous**. The Miscellaneous Deductions screen is displayed.
4. Position the cursor on the product ID and input the desired product ID or press **F7** to display the product cross reference list and select a product. Input the desired effective date in the Start Date field and click **OK**. The message *Record not found. F7 for XRef or F8 to Add* is displayed.
5. Press **F8**. The cursor moves to the Deduction 01 field.
6. Input the desired value for each of the deductions and click **OK**.

When a deduction based on this record is generated, the transaction code on the accounting detail record for the deduction is as follows.

- Deduction 01—Transaction Code 0901
- Deduction 02—Transaction Code 0902
- Deduction 03—Transaction Code 0903

Chapter 10 Variable Coverage Free Look

The Variable Coverage Free Look option is applicable only to variable fund products that have an interest bearing fund set up for 100% premium allocation as issue. A free look period for a variable fund product can vary based on the tax qualification code and the replacement conversion status.

The Number of Free Look Days field determines the date when funds are deposited in the variable funds, as designated by the insured. If a state has a free look period, the initial deposit is allocated to the fixed fund designated with 100% premium allocation on the Fund Rules Segment. A record is set up by LifePRO® so the money originally placed in the no risk fund is redistributed via a systematic transfer request to the variable accounts as intended in the original allocation.

NOTE

An interest bearing fund **MUST** be set up for 100% premium allocation at issue in order to use the free look period. If a fund is not set up, an ENS message, *Problem Encountered in Free Look Logic. Default Fund of 100% not found*, is generated indicating that the premium could not be allocated properly. The policy is activated, but processing cannot occur until the funds are allocated.

Complete the following steps to access the Free Look Period by State screen.

1. From the LifePRO® Main Menu select **Product System**. The Product Menu is displayed.
2. Select **State Control File**. The State Control Menu is displayed.
3. Input the Company and Product/Coverage fields. Select **Variable Covr Free Look**. The State Selection screen is displayed.

4. Select the desired state or country. The Free Look Period By State screen is displayed.

Enter Free Look Period By State

Free Look For: ALABAMA

Effective Date: 01/01/1984

Replacement Policies Use Separate Setup? Y/N: No

Tax Qual Code	Non-Replacement		Replacement	
	Free Look Days	Refund Deposit (Y/N)	Free Look Days	Refund Deposit (Y/N)
1	0	No	0	No
2	0	No	0	No
3	0	No	0	No
4	0	No	0	No
5	0	No	0	No
6	0	No	0	No
7	0	No	0	No
8	0	No	0	No
9	0	No	0	No
0	0	No	0	No
S	0	No	0	No
R	0	No	0	No
Q	0	No	0	No

Allocate Fee to Unit Based Funds Only: No (Y/N)

Allocate Deductions to Unit Based Funds Only:

For GR Benefits: No (Y/N) For GB Benefits: No (Y/N)

For GW Benefits: No (Y/N)

OK

Cancel

Update If a record was previously input, the values can be changed by pressing **F10** and inputting a date for the new record.

Add If this is the first record for a state, press **F8** to add the new record.

5. Input the fields as defined in the table below.
6. Click **OK** to confirm the additions or changes or click **Cancel** to exit without saving the changes.

Field	Description
Effective Date	Input the effective date of the record for the selected state. The effective date of the record is compared to the issue date of the policy. This Free Look Period record is used for all policies issued after the effective date.
Replacement Policies Use Separate Setup	This field determines if the number of free look days and the availability of the refund deposit can vary for non-replacement policies and replacement policies. Y—Yes The number of free look days and the availability of the refund deposit can vary for non-replacement policies and replacement policies. When Yes is selected in this field and the Conversion Type field on the first New Business screen is set to Replacement, the free look number of days and the availability of the refund deposit is determined by the values selected in the Replacement Portion of this screen. N—No The number of free look days and the availability of the refund deposit is the same for non-replacement policies and replacement policies. When No is selected in this field, only the Non-Replacement fields can be defined on this screen and the options selected apply to both non-replacement policies and replacement policies. This is the default.
Non-Replacement	
Free Look Days	Input the desired free look number of days for non-replacement policies. This field determines the date when funds are deposited in the variable funds, as designated by the insured. After the free look period, the money originally placed in the no risk fund is redistributed to the variable accounts as intended in the original allocation.
Refund Deposit	This field determines if a contract deposit for a non-replacement policy is refunded at the end of the defined free look period. Y—Yes The contract deposit for a replacement policy is refunded, less any processing fees. N—No The contract deposit for a replacement policy is not refunded.

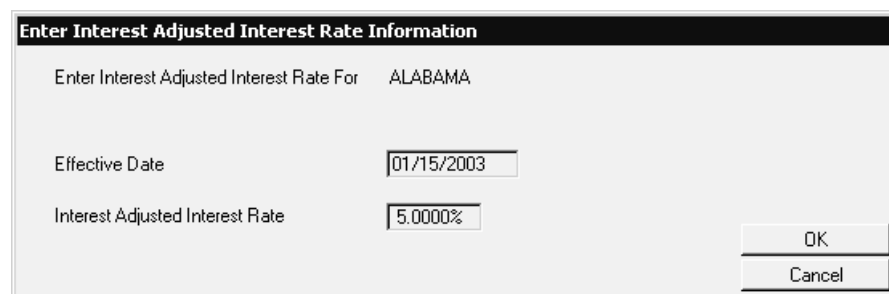
Field	Description
Replacement	These fields are only accessible if the Replacement Policies Use Separate Setup field is set to Yes.
Free Look Days	Input the desired free look number of days for replacement policies. This field determines the date when funds are deposited in the variable funds, as designated by the insured. After the free look period, the money originally placed in the no risk fund is redistributed to the variable accounts as intended in the original allocation.
Refund Deposit	This field determines if a contract deposit for a replacement policy is refunded at the end of the defined free look period. Y—Yes The contract deposit for a replacement policy is refunded, less any processing fees. N—No The contract deposit for a replacement policy is not refunded.
Allocate Fee to Unit Based Funds Only	This fee works in conjunction with the Suspend if Policy Fee Depletes all Funds field on the FC—Fund Contract Rules Segment. This field is based on the issue state of the contract, not the resident state. This field is defined by an effective date and can be changed based on an effective date. Y—Yes Allocate policy fees, as defined on the AE—Arrears Policy Fee Segment and UF—Per Policy Monthly Expense Segment, to unit based funds only. N—No Allocate policy fees, as defined on the AE—Arrears Policy Fee Segment and UF—Per Policy Monthly Expense Segment, to all funds.
Allocate Deductions to Unit Based Funds Only	
For GR Benefits	This field determines if deductions for GR—Guaranteed Rider benefits are only taken from unit based funds on the policy. Y—Yes Deductions for GR benefits are only taken from unit based funds on the policy. If unit based funds do not contain sufficient value to cover the deductions, the policy is suspended and an ENS message is generated. N—No Deductions for GR benefits are allocated across all funds on a policy. This is the default.

Field	Description
For GB Benefits	This field determines if deductions for GB—Guaranteed Benefits are only taken from unit based funds on the policy. Y—Yes Deductions for GB benefits are only taken from unit based funds on the policy. If unit based funds do not contain sufficient value to cover the deductions, the policy is suspended and an ENS message is generated. N—No Deductions for GB benefits are allocated across all funds on a policy. This is the default.
For GW Benefits	This field determines if deductions for GW—Guaranteed Withdrawal benefits are only taken from unit based funds on the policy. Y—Yes Deductions for GW benefits are only taken from unit based funds on the policy. If unit based funds do not contain sufficient value to cover the deductions, the policy is suspended and an ENS message is generated. N—No Deductions for GW benefits are allocated across all funds on a policy. This is the default.

Chapter 11 Interest Adjusted Interest Rate

The Interest Adjusted Interest Rate option overrides the hard coded 5% cost index when calculating cost indexes for policy pages. This feature only allows override by issue state; it cannot be varied by product or coverage.

The keyword INTADJRT is available for policy pages and reflects the interest percent found in the interest adjusted interest rate record. If the record is left blank, the system defaults to zeroes and the field is blank when the keyword is used. It is important that a percent is coded for selected states when the keyword is used.



Complete the following steps to access the Interest Adjusted Interest Rate Information window.

1. From the LifePRO® Main Menu select **Product System**. The Product Menu is displayed.
2. Select **State Control File**. The State Control Menu is displayed.
3. Enter @@ in the Company field and select **Int. Adjusted Int. Rate**. The State Selection screen is displayed.
4. Click on the desired state or country. The Interest Adjusted Interest Rate Information window is displayed.

The following processes can be completed from the window.

- | | |
|---------------|---|
| Add | If this is the first record for a state, press F8 to add. |
| Update | If a record was previously input, the Interest Adjusted Interest Rate field can be updated by pressing F10 . |

Cancel Click **Cancel** to cancel any changes and restore the previous record.

Delete Press **Alt+F8** to delete a record.

5. Complete the Effective Date and Interest Adjusted Interest Rate fields.
6. Click **OK** to save the data or click **Cancel** to exit without saving changes.

Chapter 12 State Follow Up Overrides

The FU—Pre-Defined Follow Ups Segment allows the ability to set up predefined Follow-up records on a policy at the time of issue. For example, to allow the option of automatically transferring ownership to an insured upon a designated birthday. The ability to override the FU Segment by state is defined through the State Follow Up Overrides option from the State Control File.

NOTE

The FU Segment must be defined if using this option. **Only relationships** defined on the FU Segment can be defined on the State Follow-Up Override screen. In addition, the product coverage ID must be used when selecting this option. The system first checks to see if the Segment ID of the Pre-Defined Follow-Up Setup field on the NB—New Business Segment is defined. If the FU Segment is defined, the system checks to see if any state overrides are present.

Select State Control Process

Enter Data For State Control Processing

Company 01 Product/Coverage UL1 >>

Valid States For A Company
Valid States For A Product
Form Number For A Coverage
State Loan Cap Information
Withholding Tax Rates
Premium Tax Rates
Health Rerate Correspond
Payment Deductions
Variable Covr Free Look
Int. Adjusted Int. Rate

State Follow Up Overrides

Maximum Consecutive Apls
Conversion Privilege
Valid States For CR Cards
Initial Premium Offer
Replacement Comm Exception
Claim Information
Medicare Basic Ben Info
Deductible By Eff Date

OK
Cancel

NOTE

The product coverage ID must be used when selecting State Follow-up Overrides.

The State Follow Up Override option displays the State Follow Up Overrides—Coverage ID screen. Select the desired state. The State Follow Up Overrides screen is displayed.

Select State Code

State Follow Up Overrides - ART

☒ AL-ALABAMA	☐ AK-ALASKA	☐ AZ-ARIZONA
☐ AR-ARKANSAS	☐ CA-CALIFORNIA	☐ CO-COLORADO
☐ CT-CONNECTICUT	☐ DE-DELAWARE	☐ DC-DISTRICT OF COLUMBIA
☐ FL-FLORIDA	☐ GA-GEORGIA	☐ HI-HAWAII
☐ ID-IDAHO	☐ IL-ILLINOIS	☐ IN-INDIANA
☐ IA-IOWA	☐ KS-KANSAS	☐ KY-KENTUCKY
☐ LA-LOUISIANA	☐ ME-MAINE	☐ MD-MARYLAND
☐ MA-MASSACHUSETTS	☐ MI-MICHIGAN	☐ MN-MINNESOTA
☐ MS-MISSISSIPPI	☐ MO-MISSOURI	☐ MT-MONTANA
☐ NE-NEBRASKA	☐ NV-NEVADA	☐ NH-NEW HAMPSHIRE
☐ NJ-NEW JERSEY	☐ NM-NEW MEXICO	☐ NY-NEW YORK
☐ NC-NORTH CAROLINA	☐ ND-NORTH DAKOTA	☐ OH-OHIO
☐ OK-OKLAHOMA	☐ OR-OREGON	☐ PA-PENNSYLVANIA
☐ RI-RHODE ISLAND	☐ SC-SOUTH CAROLINA	☐ SD-SOUTH DAKOTA
☐ TN-TENNESSEE	☐ TX-TEXAS	☐ UT-UTAH
☐ VT-VERMONT	☐ VA-VIRGINIA	☐ WA-WASHINGTON
☐ WV-WEST VIRGINIA	☐ WI-WISCONSIN	☐ WY-WYOMING
		☐ XX-OTHER

Next

Previous

Select

Cancel

(Pg 1)

The message *Follow-ups not present on coverage record* is displayed if the FU Segment has not been defined. The message *No follow-ups present -F8 to add* is displayed if the State Override has not been defined. Press **F8** to add a follow-up. If follow-ups have been defined for a state the message *Follow-ups present—F10 to update* is displayed at the bottom of the screen.

State Follow Up Overrides

State
Coverage

Default follow up notice to generate

Generate the above defined follow up notice at issue to be processed

days before or date after the birthday of the relationship

Default follow up notice to generate

Generate the above defined follow up notice at issue to be processed

days before or date after the birthday of the relationship

Default follow up notice to generate

Generate the above defined follow up notice at issue to be processed

days before or date after the birthday of the relationship

Default follow up notice to generate

Generate the above defined follow up notice at issue to be processed

days before or date after the birthday of the relationship

Default follow up notice to generate

Generate the above defined follow up notice at issue to be processed

days before or date after the birthday of the relationship

NOTE

If override states are not defined, the system uses the **default** setup as defined through the NB—New Business Segment from the Coverage Record. Only the relationships defined on the FU Segment—Pre-defined Follow-up screen can be defined on the State Follow-Up Override screen. If any other relationship is entered, the message *Relationship Code not on Coverage Follow-Up* is displayed when **OK** is clicked to save the information.

Chapter 13 Maximum Consecutive APLs

The Maximum Consecutive APLs option is used to override the NO—Nonforfeiture Segment by state and policy issue date. This option defines the effective date (policy issue date) and the number of automatic premium loans (APLs) which can occur on a coverage for a specific state.

This option allows the ability to define the number of APLs available on a policy by state. The following overview describes the subsystems which work together to create the process of defining the number of APLs by state and notifying users, as well as customers, as to the number of APLs which have occurred.

Product

- **NO—Nonforfeiture Rule Segment.** The Maximum Consecutive APLs field defines the maximum number of consecutive APLs which can occur on the coverage. The Minimum% Rating and Maximum% Rating columns on page 2 of the NO Segment control the use of specified NFO options based on user defined table ratings.
- **L0—Correspondence Letter Type Segment.** The Max Consecutv APL Reached field on page 8 of 10 on the L0—Letter Type Segment defines the correspondence letter that is generated when the last APL is taken, which is when the Current Consecutive APLs field

on the Policy Miscellaneous screen equals the Maximum Consecutive APLs field on the NO Segment, or the Number of APLs field as defined through the State Control File. The correspondence keywords, CURRAPLS (Current Consecutive APLs) and MAXIAPLS (Maximum Consecutive APLs), are available.

New Business

- **Validation—Policy Add** The error message *Invalid NFO option based on NO segment* if the amount entered in the Pct field on the Validation screen does not fall within the setup as defined in the Minimum% Rating and/or Maximum% Rating fields on the NO Segment. This error does not occur until the Validate Data and Issue option is selected in Validation.

Billing

- **Rebill**—The system displays a correspondence prompt when a rebill is run on a policy which has used its last automatic premium loan (APL). This prompt is only displayed when running a rebill. Regular billing automatically generates the correspondence as defined on the L0—Letter Type Segment in the Consecutv Apl Reached field.

Inforce

- **Policy Miscellaneous Screen** The Current Consecutive APL field on the Policy Miscellaneous screen is updated each time an APL is processed and is reset to blank each time a premium payment is made. Note this field can be updated.
NOTE: After a policy reaches its maximum number of consecutive APLs, it defers to the policy's secondary option as defined in the NFO option field on the New Business Premium Information screen or on the Inforce Benefit Detail Record screen.

System Configuration

- **Data Dictionary**—The following fields can be found through the Data Dictionary. Segment = 2397—Max-Consec-APL, State Control File = 0034—Maximum APL—Record.

To access the Maximum Consecutive APL Information screen, complete the following steps.

1. From the State Control Processing Menu select **Maximum Consecutive APLs**.
2. The Maximum Consecutive APLs screen is displayed.

Select State Code

Maximum Consecutive Apls - ART

☒ AL-ALABAMA	☐ AK-ALASKA	☐ AZ-ARIZONA
☐ AR-ARKANSAS	☐ CA-CALIFORNIA	☐ CO-COLORADO
☐ CT-CONNECTICUT	☐ DE-DELAWARE	☐ DC-DISTRICT OF COLUMBIA
☐ FL-FLORIDA	☐ GA-GEORGIA	☐ HI-HAWAII
☐ ID-IDAHO	☐ IL-ILLINOIS	☐ IN-INDIANA
☐ IA-IOWA	☐ KS-KANSAS	☐ KY-KENTUCKY
☐ LA-LOUISIANA	☐ ME-MAINE	☐ MD-MARYLAND
☐ MA-MASSACHUSETTS	☐ MI-MICHIGAN	☐ MN-MINNESOTA
☐ MS-MISSISSIPPI	☐ MO-MISSOURI	☐ MT-MONTANA
☐ NE-NEBRASKA	☐ NV-NEVADA	☐ NH-NEW HAMPSHIRE
☐ NJ-NEW JERSEY	☐ NM-NEW MEXICO	☐ NY-NEW YORK
☐ NC-NORTH CAROLINA	☐ ND-NORTH DAKOTA	☐ OH-OHIO
☐ OK-OKLAHOMA	☐ OR-OREGON	☐ PA-PENNSYLVANIA
☐ RI-RHODE ISLAND	☐ SC-SOUTH CAROLINA	☐ SD-SOUTH DAKOTA
☐ TN-TENNESSEE	☐ TX-TEXAS	☐ UT-UTAH
☐ VT-VERMONT	☐ VA-VIRGINIA	☐ WA-WASHINGTON
☐ WV-WEST VIRGINIA	☐ WI-WISCONSIN	☐ WY-WYOMING
		☐ XX-OTHER

(Pg 1)

Next
Previous
Select
Cancel

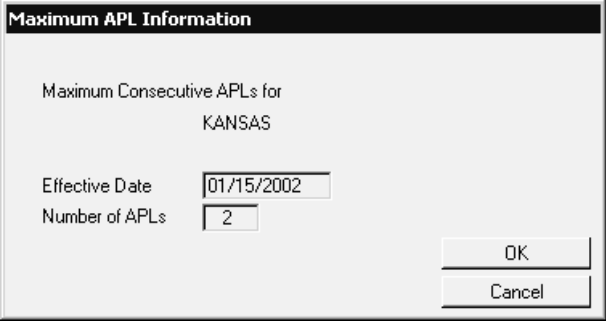
To Select A State

To select a state and define the record, select the desired state. The Maximum Consecutive APLs Information window is displayed. Press **F8** to add a new record. Enter the Effective Date field which equals the policy issue date, and the Number of APLs field. Click **OK** to save the record. Unlimited records can be created for each state. A checkmark will appear for the selected state.

To Unselect A State

To unselect a state, all records must be individually deleted. Press **Alt+F8** from the record to delete. After all records have been deleted, the state is unselected with no checkmark.

In this example, the state of Kansas is used.

A screenshot of a software dialog box titled "Maximum APL Information". The dialog box has a light gray background and a black title bar. Inside, the text "Maximum Consecutive APLs for" is followed by "KANSAS" on the next line. Below this, there are two input fields: "Effective Date" with the value "01/15/2002" and "Number of APLs" with the value "2". At the bottom right, there are two buttons: "OK" and "Cancel".

Maximum APL Information

Maximum Consecutive APLs for
KANSAS

Effective Date 01/15/2002

Number of APLs 2

OK

Cancel

The following table contains definitions for the Maximum APL Information screen.

Field	Description
Effective Date	Input the effective date (MM/DD/YYYY) which corresponds to the policy issue date. This date is used in conjunction with the Number of APLs field on the Maximum Consecutive APLs window in order to define the timing and number of APLs allowed on a policy.
Number of APLs	Input the number of consecutive APLs (automatic premium loans) that are allowed for the selected coverage and state. It is important to note that the APLs are consecutive. If a premium payment is made on a policy after an APL has occurred the system resets the Current Consecutive APLs field to blank on the Policy Miscellaneous screen. Refer to Current Consecutive APLs field definition for further information.

Chapter 14 Conversion Privilege

Select State Control Process

Enter Data For State Control Processing

Company Product/Coverage >>

Valid States For A Company
Valid States For A Product
Form Number For A Coverage
State Loan Cap Information
Withholding Tax Rates
Premium Tax Rates
Health Rerate Correspond
Payment Deductions
Variable Covr Free Look
Int. Adjusted Int. Rate
State Follow Up Overrides
Maximum Consecutive Apls
Conversion Privilege
Valid States For CR Cards
Initial Premium Offer
Replacement Comm Exception
Claim Information
Medicare Basic Ben Info
Deductible By Eff Date

OK
Cancel

Complete the following steps to access the Conversion Privilege screen.

1. From the LifePRO® Main Menu select **Product System**. The Product Menu is displayed.
2. Select **State Control File**. The State Control Menu is displayed.
3. Input the Company and Product ID fields and select **Conversion Privilege**. The State Code screen is displayed.

4. Select the state. The Conversion Privilege Information screen is displayed.

The screenshot shows a window titled "Conversion Privilege Information". Inside the window, the text "Conversion Privileges for KANSAS" is displayed. Below this, there are several input fields and labels:

- Effective Date: 01/15/1999
- Letter ID: CONV
- Letter Generated: 15 days prior to Conversion Date
- Maximum Conversion Age: 55
- Maximum Conversion Policy Duration: 0

On the right side of the window, there are three buttons: "Copies", "OK", and "Cancel".

5. Click on each desired state or country.
6. After selecting all of the desired states and countries, click **Select**.

Chapter 15 Valid States for CR Cards

The Valid States for CRD Cards option is used to define the states and countries that allow credit card billing.

Select State Control Process

Enter Data For State Control Processing

Company 01 Product/Coverage UL1 >>

Valid States For A Company
Valid States For A Product
Form Number For A Coverage
State Loan Cap Information
Withholding Tax Rates
Premium Tax Rates
Health Rerate Correspond
Payment Deductions
Variable Covr Free Look
Int. Adjusted Int. Rate
State Follow Up Overrides
Maximum Consecutive Apls
Conversion Privilege
Valid States For CR Cards
Initial Premium Offer
Replacement Comm Exception
Claim Information
Medicare Basic Ben Info
Deductible By Eff Date

OK
Cancel

Complete the following steps to define the states and countries that use credit card billing.

1. From the LifePRO® Main Menu select **Product System**. The Product Menu is displayed.
2. Select **State Control File**. The State Control Menu is displayed.
3. Input the Company and Product ID fields and select **Valid States For CR Cards**. The State Code screen is displayed.
4. Click on each desired state or country.
5. After selecting all of the desired states and countries, click **Select**.

Chapter 16 Initial Premium Offer

The Initial Premium Offer option is used to specify a dollar amount as the first month's premium, while maintaining a rate driven mode premium for payments thereafter. This option is only applicable to lines of business L—Traditional and H—Health.

Multiple state and country initial premium offer records can be defined for each product ID. Each record defines an effective start and stop date, a user defined dollar amount for the initial first month's premium, and a Y/N field to define if an initial premium is to be refunded if a policy is canceled.

Select State Control Process

Enter Data For State Control Processing

Company 01 Product/Coverage WL >>

Valid States For A Company
Valid States For A Product
Form Number For A Coverage
State Loan Cap Information
Withholding Tax Rates
Premium Tax Rates
Health Rate Correspond
Payment Deductions
Variable Covr Free Look
Int. Adjusted Int. Rate
State Follow Up Overrides
Maximum Consecutive Apls
Conversion Privilege
Valid States For CR Cards
Initial Premium Offer
Replacement Comm Exception
Claim Information
Medicare Basic Ben Info
Deductible By Eff Date

OK
Cancel

Initial Premium Offer Processing Notes

- The Initial Premium Offer option forces policies off anniversary for all policy modes other than monthly. For example, assume a policy is issued on 01/01/2005 with an annual mode and premium of \$3,000. An initial premium of \$5.00 is defined for the state and product. The initial premium is applied to the policy, and the paid to date is advanced to 02/01/2005. Billing is run, and a first bill is generated for the annual premium of \$3,000. When the annual premium is applied to the policy, the paid to date is advanced to 2/1/2006.

- New Business Processing. The initial premium offer amount must be paid in order to activate the policy. The **Alt+F3** (activate policy without premium function) is not applicable for the initial premium offer.
NOTE: Over and short functionality is not allowed for the initial premium. The Cash With App amount must be the exact amount or over.
- Batch New Business Processing has the same functionality as individual New Business Processing except in Batch New Business Processing the system applies the initial premium offer and all modal premiums available to process, if applicable. Any additional money is placed into suspense.
- The initial premium offer is only applicable to monthly, quarterly, semi-annual, and annual premium modes.
- Manual reversals of premium, surrender premium refunds, and reissues reverse and refund premiums without regard to the initial premium offer refund flag.
- The initial premium offer functionality is not applicable to the following billing functionality; however, each of these areas function as usual after the initial premium offer is applied.

Adjustment Billing

Net IBA/Commissions

Flexible Bill Code Processing

Split Payments

Bill All Modes

Bill Balance of Modes

Partial Payment Processing (8.01 and 9.00 only)

Commissionable/Non Commissionable Premium Split

Complete the following steps to define an Initial Premium Offer record.

1. From the *LifePRO*® Main Menu select **Product System**. The Product Menu is displayed.
2. Select **State Control File**. The State Control Menu is displayed.
3. Input the Company and Product ID fields and select **Initial Premium Offer**. The Initial Premium Offer state control screen is displayed.

4. Select the desired state or country to define. The Initial Premium Offer window is displayed.

Select State Code

Initial Premium Offer - PARWL

☐ AL-ALABAMA	☐ AK-ALASKA	☐ AZ-ARIZONA
☐ AR-ARKANSAS	☐ CA-CALIFORNIA	☐ CO-COLORADO
☐ CT-CONNECTICUT	☐ DE-DELAWARE	☐ DC-DISTRICT OF COLUMBIA
☐ FL-FLORIDA	☐ GA-GEORGIA	☐ HI-HAWAII
☐ ID-IDAHO	☐ IL-ILLINOIS	☐ IN-INDIANA
☐ IA-IOWA	☒ KS-KANSAS	☐ KY-KENTUCKY
☐ LA-LOUISIANA	☐ ME-MAINE	☐ MD-MARYLAND
☐ MA-MASSACHUSETTS	☐ MI-MICHIGAN	☐ MN-MINNESOTA
☐ MS-MISSISSIPPI	☐ MO-MISSOURI	☐ MT-MONTANA
☐ NE-NEBRASKA	☐ NV-NEVADA	☐ NH-NEW HAMPSHIRE
☐ NJ-NEW JERSEY	☐ NM-NEW MEXICO	☐ NY-NEW YORK
☐ NC-NORTH CAROLINA	☐ ND-NORTH DAKOTA	☐ OH-OHIO
☐ OK-OKLAHOMA	☐ OR-OREGON	☐ PA-PENNSYLVANIA
☐ RI-RHODE ISLAND	☐ SC-SOUTH CAROLINA	☐ SD-SOUTH DAKOTA
☐ TN-TENNESSEE	☐ TX-TEXAS	☐ UT-UTAH
☐ VT-VERMONT	☐ VA-VIRGINIA	☐ WA-WASHINGTON
☐ WV-WEST VIRGINIA	☐ WI-WISCONSIN	☐ WY-WYOMING
		☐ XX-OTHER

(Pg 1)

Next
Previous
Select
Cancel

5. Press **F8**. Input the Effective Date, Stop Date, Amount and Refund fields and press **Enter** to save.

Initial Premium Offer

Enter Initial Premium Offer For KANSAS

Effective Date	00/00/0000
Stop Date	00/00/0000
Amount	\$0.00
Refund	

Next
Previous
Cancel

The following table contains definitions for the fields on the Initial Premium Offer screen.

Field	Description
Effective Date	This field defines the beginning date for the Initial Premium Offer record for the selected product ID and designated state or country.
Stop Date	This field defines the date that the Initial Premium Offer record is no longer valid for the selected product ID and designated state or country. This field allows all 9's to allow the initial premium offer to remain active until a stop date is entered.
Amount	The amount of the first month's premium for the selected product ID and designated state or country.
Refund	This field determines if the initial premium amount is to be refunded and placed in suspense when a policy is canceled.

Chapter 17 Replacement Comm Exception

The Replacement Comm Exception option allows the ability to define by state or country if first year or renewal commissions are paid on replacement policies.

Select State Control Process

Enter Data For State Control Processing

Company Product/Coverage >>

Valid States For A Company
Valid States For A Product
Form Number For A Coverage
State Loan Cap Information
Withholding Tax Rates
Premium Tax Rates
Health Rerate Correspond
Payment Deductions
Variable Covr Free Look
Int. Adjusted Int. Rate
State Follow Up Overrides
Maximum Consecutive Apls
Conversion Privilege
Valid States For CR Cards
Initial Premium Offer
Replacement Comm Exception
Claim Information
Medicare Basic Ben Info
Deductible By Eff Date

OK
Cancel

Complete the following steps to access the Replacement Comm Exception Option on the State Control Menu.

1. From the LifePRO® Main Menu select **Product**. The Product Menu is displayed.
2. Select **State Control File**. The State Control Menu is displayed.
3. Input the Company field and select **Replacement Comm Exception**. The State Code screen is displayed.
4. Click on the desired state to define. The Exceptions to Replacement Commissions window is displayed for the state selected. This window allows you to determine if first year or

renewal commissions are paid on replacement policies. Press **F8** to create a new replacement commissions record, or press **F10** to update an existing replacement commission record.

5. Define the desired fields.

Field	Description
Internal Replacement	This field determines if first year or renewal commissions are paid on internal replacement policies. N—No Normal LifePRO® processing. First year commissions are paid on internal replacement policies. Y—Yes Exception Processing. Renewal commissions are paid on internal replacement policies.
External Replacement	This field determines if first year or renewal commissions are paid on external replacement policies. N—No Normal LifePRO® processing. First year commissions are paid on external replacement policies. Y—Yes Exception Processing. Renewal commissions are paid on external replacement policies.
Converted Replacement	This field determines if first year or renewal commissions are paid on converted replacement policies. N—No Normal LifePRO® processing. First year commissions are paid on converted replacement policies. Y—Yes Exception Processing. Renewal commissions are paid on converted replacement policies.

6. Click **OK** to save.
7. Continue this process until all desired states and countries have been defined.

Chapter 18 Claim Information

The Claim Information option allows the claim interest used during claim payment processing to be defined by the policy issue state. The Claim Information screen is also used to define a Follow-Up Code that is used if the Generate Follow-ups For Pended or Recycled Status field on the Block ID is set to **Yes**. This code is accessed during claims processing to notify a claimant if a claim has been received and not paid or rejected within a defined number of days. When the Claim Information option is selected the State Selection screen is displayed.

The Claim Information Record is defined by state and effective date. The claim reported date is used to determine the effective date. It does not vary by company code or coverage code.

1. From the LifePRO® Main Menu select **Product System**. The Product Menu is displayed.
2. Select **State Control File**. The State Control Menu is displayed.

Select State Control Process

Enter Data For State Control Processing

Company @@ Product/Coverage >>

Valid States For A Company
Valid States For A Product
Form Number For A Coverage
State Loan Cap Information
Withholding Tax Rates
Premium Tax Rates
Health Rerate Correspond
Payment Deductions
Variable Covr Free Look
Int. Adjusted Int. Rate
State Follow Up Overrides
Maximum Consecutive Apls
Conversion Privilege
Valid States For CR Cards
Initial Premium Offer
Replacement Comm Exception

Claim Information

Medicare Basic Ben Info
Deductible By Eff Date

OK
Cancel

3. Select **Claim Information**. The State Code screen is displayed.
4. Select the appropriate state. The Claim Information screen is displayed.

The following table contains definitions for the fields on the Claim information screen.

Field	Description
Effective Date	The first date for which this record is effective for the state selected is input in this field. The current processing date is used to determine the appropriate Claim Information record.
Interest Rate	The default interest rate used during claim processing is defined in this field. If the Override Interest Calculation field is set to Yes on the Claim Payment Withholding screen, the interest rate used during claim processing can be changed for a particular claim.
Processing Days	The maximum number of days a claim can be held before it is paid without interest is input in this field. If the claim is held for more than the number of days defined in this field, interest on the claim is paid from the date reported plus the processing days to the current date.
Minimum Interest Payment	The minimum amount of the interest payment is defined in this field. If the interest payment is below the minimum amount defined in this field, interest is not paid on the claim. If there is not a minimum amount, leave this field blank.

Field	Description
Message Number	When interest is paid on a claim, a claim message can be selected, indicating that interest has been paid. The Message Number can be selected from a cross reference list by clicking >>. The message text is displayed in the field below the Message Number field.
Correspondence Follow-Up Code	A Follow-Up Code can be input in this field or selected from a cross reference list that is accessed by clicking >>. The Follow-Up Code input or selected must have a corresponding record on the Follow Up Definition File. If there is not a matching record, the error message <i>Unknown Claim Message; F7 for XRef</i> is displayed and the record cannot be saved. When a Follow-Up Code is selected, the claimant is notified if a claim has been received and not paid or rejected within a defined number of days. The Claim Record status must be Pended or Open for the Follow-Up to occur. If the Claim Record status is Closed, Rejected, or History, the Follow-Up record is terminated and the letter is not generated. NOTE Follow-Up processing should be run after claims are processed.

Claim Information records can be added, updated, viewed, and deleted from this screen.

View	Upon accessing a record for a state, the most recent record is displayed first. Click Next and Previous to view additional records.
Add	When the Claim Information screen is displayed, press F8 to add a new record. The fields are changed to blanks and new information can be added. Complete the fields and click OK to save the record. Or, click Cancel to end without saving.
Update	Access the appropriate record and press F10 . Update the appropriate fields. The Effective Date field cannot be changed. When a new effective date is required, a new record must be added. Click OK to save the change. Or, click Cancel to end without saving.
Delete	Access the appropriate record and press Alt+F8 . The record is immediately deleted. The message <i>Record Deleted</i> is displayed.

Chapter 19 Medicare Basic Benefit Information

The Medicare Basic Benefit Information screen is used to define the Medicare benefits for hospital stays and skilled nursing. The deductible amounts for Part A and Part B are also defined on this screen. This data is for informational purposes only.

The Medicare Basic Benefit Information is defined by effective date. The record does not vary by company code or coverage code.

1. From the *LifePRO*® Main Menu select **Product System**. The Product Menu is displayed.
2. Select **State Control File**. The State Control Menu is displayed.
3. Select **Medicare Basic Ben Info**. The Medicare Basic Benefit Information screen is displayed.

Medicare Basic Benefit Information	
Effective Date	01/01/2005
Hospital Stay	
For Days 1 Through 60	876.00
For Days 61 Through 90	219.00
For Days 91 Through 150	438.00
Skilled Nursing For Days 21 Through 100	109.50
Medicare Part A Deductible	876.00
Medicare Part B Deductible	100.00
Next	
Previous	
OK	
Cancel	

The following table contains definitions for the fields on the Medicare Basic Benefit Information screen.

Field	Description
Effective Date	The first date for which this record is effective is input in this field.
Hospital Stay	
For Days 1 Through 60	The maximum amount that can be paid for the first 60 days of a hospitalization is defined in this field
For Days 61 Through 90	The maximum amount that can be paid per day for days 61 through 90 of a hospitalization is defined in this field.
For Days 91 Through 150	The maximum amount that can be paid per day for days 91 through 150 of a hospitalization is defined in this field.
Skilled Nursing For Days 21 through 100	The maximum amount that can be paid per day for skilled nursing care for days 21 through 100 is defined in this field.
Medicare Part A Deductible	The annual deductible that must be met prior to receiving benefits covered by Part A is defined in this field. If an amount greater than 0 is input in this field, an edit is performed when a claim is calculated to verify that the amount in the Other Insurance Deduct field on the Claim Detail screen is less than or equal to the amount in this field. If the amount in the Other Insurance Deduct field is greater than the amount in this field, the message <i>Invalid Medicare Deductible Amount</i> is displayed when the claim is calculated and the amount must be changed in order for the claim to be processed.
Medicare Part B Deductible	The annual deductible that must be met prior to receiving benefits covered by Part B is defined in this field. If an amount greater than 0 is input in this field, an edit is performed when a claim is calculated to verify that the amount in the Other Insurance Deduct field on the Claim Detail screen is less than or equal to the amount in this field. If the amount in the Other Insurance Deduct field is greater than the amount in this field, the message <i>Invalid Medicare Deductible Amount</i> is displayed when the claim is calculated and the amount must be changed in order for the claim to be processed.

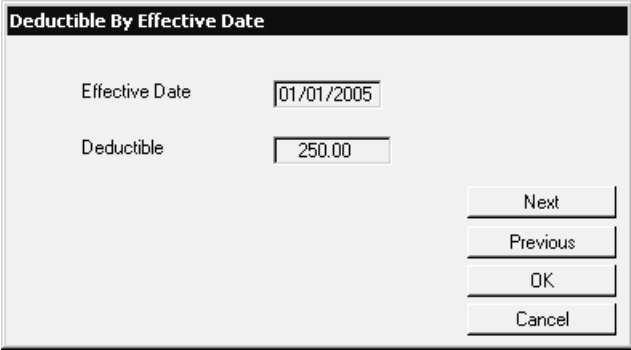
Medicare Basic Benefit Information records can be added, updated, viewed, and deleted from this screen.

- | | |
|---------------|---|
| View | When the Medicare Basic Benefit Information screen is displayed, the most recent record is displayed first. Click Next and Previous to view additional records. |
| Add | When the Medicare Basic Benefit Information screen is displayed, press F8 to add a new record. The fields are changed to blanks and new information can be input. Complete the fields and click OK to save the record. Or, click Cancel to end without saving. |
| Update | Access the appropriate record and press F10 . Update the appropriate fields. The Effective Date field cannot be changed. If a new effective date is needed, a new record must be added. Click OK to save the change. Or, click Cancel to end without saving. |
| Delete | Access the appropriate record and press Alt+F8 . The record is immediately deleted and the message <i>Record Deleted</i> is displayed at the bottom of the screen. |

Chapter 20 Deductible By Effective Date

The Deductible By Effective Date screen is used to vary the deductible amount by coverage and effective date. The deductible defined on this screen is used during claim processing when **Eff** is the option selected for the Deductible Dollars field on the Calculation Rule screen. The Benefit From Date on the Claim Detail Record is used to determine the appropriate Deductible By Effective Date record to use.

1. From the LifePRO® Main Menu select **Product System**. The Product Menu is displayed.
2. Select **State Control File**. The State Control Menu is displayed.
3. Select **Deductible By Eff Date**. The Deductible By Effective Date screen is displayed.



The Deductible By Effective Date records can be added, updated, viewed, and deleted from this screen.

- View** When the Deductible By Effective Date screen is displayed, the most recent record is displayed first. Click **Next** and **Previous** to view additional records.
- Add** When the Deductible By Effective Date screen is displayed press **F8** to add a new record. The fields are changed to blanks and new information can be added. Complete the fields and click **OK** to save the record. Or, click **Cancel** to end without saving.

- | | |
|---------------|--|
| Update | Access the appropriate record and press F10 . Update the Deductible field and click OK to save the change. Or, click Cancel to end without saving. The Effective Date field cannot be changed. When a different effective date is needed, a new record must be added. |
| Delete | Access the appropriate record and press Alt+F8 . The record is immediately deleted. The message <i>Record Deleted</i> is displayed at the bottom of the screen. |

SECTION 11 POLICY CONTROL FILE

Chapter 1	Policy Control File Maintenance Screens	11-4
1.1	Policy Control File Maintenance Screen 1	11-5
1.2	Policy Control File Maintenance Screen 2	11-11

Chapter 2	Policy Clone File	11-15
2.1	Policy Clone File Maintenance	11-17
2.2	Policy Clone File Maintenance Screen	11-18

[This page intentionally left blank.]

Section 11 Policy Control File

The Policy Control File contains default issue information and controls the number and issue amount of auto issue policies for a particular insured for Simplified New Business policies.

Refer to the New Business Book, Chapter 3—Policy Control File—Policy Page Generation for additional information on the Policy Control File.

Enter Policy Control File Maintenance (1 of 2)											
Policy Control ID			CONTROL1 >>		Name			POLICY CONTROL FILE 01		...	
Control Group			Group		Group ID			GROUP1 >>		Account Id	
Auto Issue Limit Information						Insured Information					
Insured		\$ 300,000.00		Letter		>>		Ins Max Auto Iss		99	
Spouse		\$ 100,000.00		Letter		>>		Base Only?		No	
Other		\$ 10,000.00		Letter		>>		Rej Letter		>>	
						Ins Max Term		99		Base Only?	
						Warning Required		No		Warn & Issue Letter	
										Warn & Term Letter	
										>>	
Issue Processing Options Information											
Gen Policy Pages			Modal			Ready for Issue			Days		
Recalc Indicator			Bill			Months/Days			002		
Days From			Bill to NTO			Pay to Pages			1		
			90			Pages to Issue			1		
Default Issue Date Information											
Type			Calculate			Calc From			App Signed		
Override Day?			No			Rule			Months In Future		
									1		
Clone ID Information											
PARWL		>>		ULMDV		>>		>>		>>	
>>		>>		>>		>>		>>		>>	
Letter Next OK Cancel											

Complete the following steps to access the Policy Control File Maintenance screen.

1. From the Product System Menu select **Policy Control Setup**. A Selection window is displayed.
2. Select **Policy Control File**. The Policy Control File Maintenance screen is displayed.

Chapter 1 Policy Control File Maintenance Screens

The following options are available upon accessing the Policy Control File Maintenance screens.

Access Record	Type in the control ID to access and click OK . Click Next until the desired selection is displayed. Click >> for a cross reference list and select a record.
Update Record	Press F10 . Make the desired changes. Click OK to save or click Cancel to exit without saving.
Delete Record	Press Alt+F8 . Press Alt+F8 again to confirm the delete, or click Cancel to exit without deleting the record.
Add Record	Complete the Policy Control ID field. Press F8 and complete the Control File Record fields. Click OK to save the record or click Cancel to exit without saving.

1.1 Policy Control File Maintenance Screen 1

Enter Policy Control File Maintenance (1 of 2)

Policy Control ID >> Name

Control Group Group ID >> Account Id

Auto Issue Limit Information

Insured Letter >>
 Spouse Letter >>
 Other Letter >>

Insured Information

Ins Max Auto Iss Base Only? Rej Letter >>
 Ins Max Term Base Only? Rej Letter >>
 Warning Required Warn & Issue Letter >>
 Warn & Term Letter >>

Issue Processing Options Information

Gen Policy Pages Ready for Issue Days
 Recalc Indicator Months/Days Tolerance \$
 Days From Bill to NTO Pay to Pages Pages to Issue

Default Issue Date Information

Type Calc From
 Override Day? Rule

Clone ID Information

>> >> >> >> >>
 >> >> >> >> >>

Letter
Next
OK
Cancel

The following table contains field descriptions for the first Policy Control File Maintenance screen.

Field	Description
Policy Control ID	The identifier for a particular Policy Control File Record is displayed in this field.
Name	The name of the group to which this control record applies is displayed in this field. The name is selected by pressing F8 , which displays the Name and Address Selection window.
Control Group	This field is used to designate the type of group represented by the control group. A—Agency C—Credit Union G—Group
Group ID	The Group ID field is informational. Click >> to display a list of possible groups.

Field	Description
Account Id	The Account ID field is informational.
Auto Issue Limit Information	
Insured / Letter	The Auto Issue Limit field for the insured is used to set a cap for auto issue policies based on the face amount of all policies for the insured. The inforce amount is calculated as the sum of any non-terminated BA, BF, SR, OR, or SP benefits for the insured, plus the face amount of the pending policy. If this calculated amount is greater than the issue limit designated in this field, an error message is displayed upon attempting to issue the policy. The policy is no longer auto issue, and any applicable underwriting requirements must be met before issuing the policy. The Letter field can be used to systematically generate a correspondence letter in cases where the auto issue limit is exceeded. The value selected in this field must be a valid letter type. A cross reference list can be accessed from this field by clicking >>. The letter is generated upon policy activation.
Spouse / Letter	The Auto Issue Limit field for the spouse is used to set a cap for auto issue policies based on the face amount of all policies for the spouse. If a spouse is not present on the policy, this edit is not applicable. This field functions in the same manner as the Auto Issue Limit for the insured field.
Other / Letter	The Auto Issue Limit field for other is used to set a cap for auto issue policies based on the face amount of all policies for an other insured. If an other insured is not present on the policy, this edit is not applicable. This field functions in the same manner as the Auto Issue Limit for the insured field.
Insured Information	
Ins Max Auto Iss	This field is used to designate the maximum number of auto issue policies that can be issued to the primary insured. If the number of policies through auto issue exceeds this limit, the policy is no longer auto issue. After exceeding the limit, the policy must proceed through the normal underwriting cycle in order to be issued.
Base Only	Y—Yes The limit defined in the Ins Max Auto Iss field only includes policies for which the insured is the base insured. N—No All policies for which the primary insured has an insured relationship is included. This includes policies with the primary insured listed as the spouse, other rider, and so on.

Field	Description
Rej Letter	This field can be used to systematically generate correspondence for situations when the insured has received the maximum auto issue limit edit. Click >> to display a list of available letters. The letter is generated upon policy termination.
Ins Max Term	This field is used to designate the maximum number of terminations that can be processed for the primary insured and still allow the issue of additional auto issue policies. It includes both existing and new business. If the number of terminations equals this limit, issue is not allowed through Simplified New Business.
Ins Max Term - Base Only	Y—Yes The limit defined in the Ins Max Term field only includes policies for which the insured is the base insured. N—No All policies for which the primary insured has an insured relationship are included. This includes policies with the primary insured listed as the spouse, other rider, and so on.
Ins Max Term - Rej Letter	This field can be used to systematically generate correspondence for situations when the insured has reached the maximum termination limit. Click >> to display a list of available letters. The letter is generated upon terminating the policy, with reason code Maximum Termination Edit.
Warning Required	This field is used to designate if a warning letter, related to the maximum termination edit, is generated. The letter names are selected in the Warn & Issue Letter and Warn & Term Letter fields. Y—Yes N—No
Warn & Issue Letter	The warning and issue letter is generated when a policy is activated and the insured is one termination short of the maximum number of terminations. This letter can be used to notify the insured that if any additional policies are terminated, they are no longer eligible for auto issue.
Warn & Term Letter	The warning and termination letter is generated when a policy is terminated and the termination results in the insured reaching the maximum number of terminations. This letter can be used to indicate to the insured that they are no longer eligible for auto issue.

Field	Description
Issue Processing Options Information	
Gen Policy Pages	R—Ready Policy pages are generated systematically a designated number of days after the policy becomes Pending—Ready for Issue. M—Modal D—Deduct N—No
Ready for Issue Days	If Ready is selected in the Gen Policy Pages field, this field is used to designate the actual number of days after the policy is ready for issue when pages are generated.
Recalc Indicator	This field determines when a recalculation occurs on an issue processing policy. Recalculation refers to the process in which issue processing updates the policy issue date and recalculates policy values if a premium payment is not received after a specified duration. The value of the specified duration is determined by the entry in this field. B—Bill M—Months D—Days
Months/Days	This field defines the number of months or days, depending on the value selected in the Recalc Indicator field, of the duration in which a premium payment must be received for an issue processing policy.
Tolerance \$	A dollar amount is input in this field.
Days From: Bill to NTO	This field determines when issue processing processes a policy NTO (termination). The number of days designated in this field is added to the bill generation date in order to determine the NTO date.
Days From: Pay to Pages	This field is applicable only if the Gen Policy Pages field in the Issue Processing Options section is set to Ready . The value in this field is added to the date the initial premium for the policy is received in order to determine the policy page generation date.
Days From: Pages to Issue	This field is used to control when an issue processing policy is activated. The value selected in this field is added to the date on which policy pages were generated in order to determine when the policy is activated. If the value in the Pay to Pages field is 0, the value designated in this field is added to the date when the initial premium was received.

Field	Description
Default Issue Date Information	
Type	This field is used to designate the default value to be used in the Issue Date field on the Simplified New Business Application screen. T—Today The Issue Date field defaults to the current system date. C—Calculate The system calculates the issue date based on the designated calculation rules. N—None The Issue Date field has no default.
Calc From	If Calculate is selected in the Type field, this field determines the start date for the issue date calculation. The issue date is adjusted based on the rules designated in the Rule field. T—Today The calculation rule uses the current system date as the start date in the calculation. S—App Signed The calculation rule uses the value in the App Signed field as the start date in the calculation. R—App Received The calculation rule uses the value in the App Received field as the start date in the calculation.
Override Day	This field is applicable only if Calculate is selected in the Type field. If the issue date should always be on the same day of the month, regardless of the day the issue date is calculated from, select Yes in this field. If Yes is selected, designate the issue day in the next field. If 29, 30, or 31 is selected, the issue day equals the last day of the month if there is no occurrence of that day within that month. Y—Yes N—No

Field	Description
Rule	This field is applicable only if Calculate is selected in the Type field. This field determines how the issue date is calculated based on the Calc From field. DF—Days In Future A number of days is specified in the two character numeric field. This number of days is added to the date in the Calc From field in order to determine the issue date. DP—Days In Past The number of days specified is subtracted from the date in the Calc From field. MF—Months In Future A number of months is specified in the 2 character numeric field. This number of months is added to the date in the Calc From field in order to determine the issue date. MP—Months In Past The number of months is subtracted from the date in the Calc From field. For example, if App Received is selected in the Calc From field.
Clone ID Information	The Clone ID field is used to set up default coverages for this Policy Control Record. The Clone Record is used to set up default Simplified New Business values.

1.2 Policy Control File Maintenance Screen 2

Click **Next** to access the second screen of the Policy Control File.

Enter Policy Control File Maintenance (2 of 2)

Policy Control ID: >> Name:

Salary Rate:

Allocation Processing Values

Minimum Refund	\$99,999.99	Inforce NFO Months	03
New Business Processing Months	01	Inforce Advance Months	03
New Business NFO Months	03	Allocation Processing Frequency	1
Inforce Processing Months	01	TP 1st	No
		Non-Act	No

Issue Processing Letters Information

Generate	No	Type	000	Days after Reaching Status	
Generate	No	Type	000	Days after Reaching Status	
Generate Standard New Business Activation Letter				No	(If Defined)

Letter
Previous
OK
Cancel

The following table contains descriptions for the fields on the second Policy Control File Maintenance screen.

Field	Description
Salary Rate	The Salary Rate field is used to designate an issue limit for auto issue policies based on the salary of the insured. The salary rate designated in this field is multiplied by the insured's salary to determine the salary limit.
Allocation Processing Values	
Minimum Refund	The minimum refund value required in order to issue a refund check to a payor is displayed in this field. If the refund amount is less than this amount, a refund check is not generated.

Field	Description
New Business Processing Months	The value designated in this field is used by the system to calculate a policy's category for allocation processing purposes. The following list provides the categories for which this field is used, and the corresponding calculation formulas. NEW BUS BEHIND Issue MM/YY < Eff MM/YY + NB Proc Months NEW BUS CURRENT Issue MM/YY = Eff MM/YY + NB Proc Months NEW BUS FUTURE Issue MM/YY > Eff MM/YY + NB Proc Months
New Business NFO Months	The value designated in this field is used by the system to calculate when a policy is updated to an allocation processing status of New Business NFO. The calculation formula is shown below. NEW BUS NFO Iss MM/YY ≤ Eff MM/YY—NB NFO Months.
Inforce Processing Months	The value designated in this field is used by the system to calculate a policy's category for allocation processing purposes. The following list contains the categories for which this field is used, and the corresponding calculation formulas. INFORCE BEHIND Paid to MM/YY < Eff MM/YY + Inf Proc Months INFORCE CURRENT Paid to MM/YY = Eff MM/YY + Inf Proc Months INFORCE AHEAD Paid to MM/YY > Effective MM/YY + Inf Proc Months and Paid to MM/YY < Eff MM/YY + Inf Adv Months
Inforce NFO Months	The value designated in this field is used by the system to calculate when a policy is updated to an allocation processing status of Inforce NFO. The calculation formula is shown below. INFORCE NFO Paid to MM/YY ≤ Eff MM/YY—Inf NFO Months.

Field	Description
Inforce Advance Months	The value designated in this field is used by the system to calculate a policy's category for allocation processing purposes. The following list contains the categories for which this field is used, and the corresponding calculation formulas. INFORCE ADV $\text{Paid to MM/YY} \geq \text{Eff MM/YY} + \text{Inf Adv Months}$ INFORCE AHEAD $\text{Paid to MM/YY} > \text{Effective MM/YY} + \text{Inf Proc Months}$ and $\text{Paid to MM/YY} < \text{Eff MM/YY} + \text{Inf Adv Months}$
Allocation Processing Frequency	This field is used to determine the next allocation date on the PYAS Record. The number of days designated in this field is added to the last allocation process date to determine the next allocation value. Allocation processing picks up the record on this date even if the Allocation Indicator field is set to No on the PYAS Record.
TP 1st	This field determines if third party money is allocated before or after premium amounts. Y—Yes Third party money is allocated before premium amounts. N—No Third party money is allocated after premium amounts.
Non-Act	This field determines if third party money is allocated to suspense and terminated policies. This field can only be accessed if the TP 1st field is set to Yes. Y—Yes Third party money is allocated to suspense and terminated policies. N—No Third party money is not allocated to suspense and terminated policies.
Issue Processing Letters Information	
Generate / Type	Type—Enter the name of the letter used when generating the correspondence.

Field	Description
Days after Reaching Status	The number of days after the policy obtains the selected status code is input in this field. When correspondence is generated 0 days after reaching a specific status, the correspondence is generated during issue processing. Correspondence generated in the future creates a Follow-up Record and the correspondence is generated through follow-up processing. B—Waiting-To-Bill C—Waiting-For-Cash R—Needs-Age-Recalculation P—Waiting-For-Policy-Pages I—Waiting-For-Issue N—Ready-For-NTO
Generate Standard New Business Activation Letter	Y—Yes N—No

Chapter 2 Policy Clone File

The Policy Clone File is used to designate default information for Simplified New Business applications.

1. From the Main Menu select **Product System**. The Product Menu is displayed.
2. Select **Policy Control Setup**. A Selection window is displayed.
3. Select **Policy Clone File**. The Policy Clone File Maintenance screen is displayed.

Enter Policy Clone File Maintenance

Policy Clone ID	4000 ART >>	Description	ART FOR GROUP 4000
Company Code	01	Default Owner	NORTHERN LIGHTS EMPLOYEE GROUP ...
Product ID	ART >>	Default Payor	NORTHERN LIGHTS EMPLOYEE GROUP ...
Issue State	IN >>	Default Bank	
Billing Form	List Bill	Death Ben Option	☐
Premium Mode	13thly	Policy Code	
Group ID	4000 >>	Tax Qualify Code	Not Qualified
Bill Day/CD	/	Div Option/Exc	No Dividend /
Ann Bill Day		Nonforfeiture	APL
Pay Period/Dur	Age	095	Pay Init Prem?
Commission Option	01	Underwriter	AUTO
Market Code	IS >>	Agent Number	100
	>>	Lvl	10
	>>	Comm %	
	>>	Prod %	
	>>	Ins	01
	>>	Coverage Id	ART >>
	>>	Default Issue Amt	50000.00000

Complete the following steps to add a Policy Clone Record.

1. Input the company code and policy number. (Or, leave policy number blank if using auto policy numbering.)
2. Input the policy control ID. The Policy Control Record controls issue amount and maximum termination limits. The Control Record also contains defaults for issue processing and allocation processing.

3. Input the policy clone ID. The policy clone ID contains default information for the Simplified New Business application. The default values set up on the policy clone ID automatically are displayed on the Simplified New Business application screens.

NOTE

The clone ID must be assigned to the control ID selected in order to be used when adding a new application.

2.1 Policy Clone File Maintenance

The following options are available upon accessing the Policy Clone Maintenance screen.

Access Record	Type in the control ID to access and click OK . Or, click >> for a cross reference list to select a record.
Update Record	Press F10 . Make the desired changes. Click OK to save or click Cancel to exit without saving.
Delete Record	Press Alt+F8 . Press Alt+F8 again to confirm the delete click Cancel to exit without deleting the record.
Add Record	Complete the Policy Clone ID field. Press F8 . Complete the Control File Record fields. Click OK to save the record or click Cancel to exit without saving.

2.2 Policy Clone File Maintenance Screen

The following table contains descriptions of the Policy Clone File Maintenance screen fields. Keep in mind that these fields represent default values for the Simplified New Business Application screen.

Field	Description
Policy Clone ID	The identifier for a particular Policy Clone File Record is displayed in this field.
Description	A description of the Policy Clone File Record is displayed in this field.
Company Code	The company code under which policies with this clone ID are issued is displayed in this field. This field is informational only. Simplified New Business does not edit against the Company Code field.
Product ID	The product ID is displayed in this field. Click >> for a list of valid product IDs.
Issue State	The issue state is displayed in this field. Click >> to display the state cross reference list. Note that valid states for a company and product must be set up in the State Control File. A state cannot be designated as valid from this cross reference list.

Field	Description												
Default Owner	If the owner is always the same for a particular agency, credit union, or group, designate the default owner in this field. The owner must be selected or added by pressing F8 in order to access the Name and Address Selection window.												
Default Payor	If the payor is always the same for a particular agency, credit union, or group, designate the default payor in this field. The owner must be selected or added by pressing F8 in order to access the Name and Address Selection window.												
Default Bank	This field is informational only. The PAC Bank must be selected when setting up the PAC record.												
Billing Form	The billing form is displayed in this field. D—Direct This option is not available if the Pay Init Prem field is set to No. L—List Bill P—Preauthorized Check G—Mil/Govt Allotment												
Premium Mode	The premium mode is displayed in this field. <table> <tr> <td>A—Annual</td><td>N—Ninthly</td></tr> <tr> <td>M—Monthly</td><td>T—Tenthly</td></tr> <tr> <td>Q—Quarterly</td><td>1—13thly</td></tr> <tr> <td>S—Semi-Annual</td><td>2—26 pay</td></tr> <tr> <td>W—Weekly</td><td>5—52 pay</td></tr> <tr> <td>B—Biweekly</td><td></td></tr> </table>	A—Annual	N—Ninthly	M—Monthly	T—Tenthly	Q—Quarterly	1—13thly	S—Semi-Annual	2—26 pay	W—Weekly	5—52 pay	B—Biweekly	
A—Annual	N—Ninthly												
M—Monthly	T—Tenthly												
Q—Quarterly	1—13thly												
S—Semi-Annual	2—26 pay												
W—Weekly	5—52 pay												
B—Biweekly													
Group ID	The group ID field is accessible only if List Bill or Mil/Gvt Allot is selected in the Billing Form field. Click >> to display a cross reference list of valid group IDs.												
PAC ID	This field is only displayed if Preauthorized Check is selected in the Billing Form field.												

Field	Description
Bill Day/CD	The Policy Bill Day/Code fields allow the override of regular billing so that the policy bills on the day selected in this field. Refer to the New Business Book, Section 1, Chapter 4—Premium Information Screen for more information regarding the effect of the Policy Bill Day/Code fields. P—Prior Month C—Current Mnth N—Next Month F—Flexible Billing 0—Single Premium 1-9—Years in advance
Ann Bill Day	This field allows the override of regular billing for an annuity rider.
Death Ben Option	The death benefit option is defined in the Product System.
Policy Code	The effects of a selected policy code are determined by the options set up on the Policy Code Table from the System Configuration Menu. X—No Special Handling A—Absolute Assignment C—Collateral Assignment I—Irrevocable Benefit O—Ownership P—Pending Change S—Special Handling N—Non Vested Ownership V—Vested Ownership

Field	Description
Tax Qualify Code	The tax qualification code is selected in this field. Codes 0 and 5 are non-qualified and contributions are recorded as basis. All other codes are qualified and have contributions recorded as income. 0—Not Qualified 1—HR10 2—TSA 3—IRA 5—Deferred Compensation 4—SEP 6—401(k) Plan 7—Section 457 Plan 8—Defined Benefit 9—Define Contribution S—Simple IRA C—Section 125 Health Cafeteria R—Roth IRA Contribution Q—Roth IRA Conversion
Div Option	Note that these are the default dividend options, but they can be assigned alternate values on the DO—Dividend Option Setup Segment. 0—No Dividend 1—Cash Dividend 2—Premium Dividend 3—Deposit Accumulations 4—Buy PUA 5—Buy OYT 6—Reduce Loan 7—Buy OYT From DE 8—EPP 9—Special

Field	Description
Dividend Exc	The excess dividend option is selected in this field. 1—Cash 2—Pay Premium 3—Accumulation 4—Buy Paid-Up Additions 5—Buy One Year Term 6—Reduce Loan U—Unapplied Cash
Nonforfeiture	The nonforfeiture options are displayed below. Refer to the Product Book, Section 12, 6.167—NB—New Business Defaults for a complete description of the options in this field. 0—Lapse 1—APL/ETI An automatic premium loan is attempted. If the APL is not possible, extended term insurance is purchased. 2—APL/RPU An automatic premium loan is attempted. If the APL is not possible, reduced paid up insurance is purchased. 3—APL An automatic premium loan is processed. 4—ETI Extended term insurance is purchased. 5—RPU Reduced paid up insurance is purchased. 6—APL/AR An automatic premium loan is attempted. If the APL is not possible, value from the annuity rider is used to pay premiums. 7—AR Value from the annuity rider is used to pay premiums, even if taxable. 8—Process Nonforfeiture Options This option processes nonforfeiture options in a specified order. 9—Special Pay the premium from dividend accumulations. If dividend accumulations are insufficient to pay the entire premium, an automatic premium loan is processed for the balance.

Field	Description
Cash with App	The Cash with App field is used to designate the amount of cash with an application. It is important to note that if a default cash with app amount is designated, this amount cannot be updated from the application after the pending application is saved. For example, if the default cash with app amount is set to \$15.00, this amount can be updated when Simplified New Business is accessed. If the Save and Quit or Save and Continue option is selected; however, the Cash with App field on the application can no longer be updated.
1035 Exchange	This field is used to designate a default additional premium amount not subject to the premium load.
Plan Ann Prem	A planned annual premium for UL or annuity policies can be designated in this field.
AR Premium	The annuity premium default amount is displayed in this field.
Pay Period/Dur	The pay period and duration for UL and annuity pages can be designated in this field. A—Age D—Duration G—Guideline P—Planned
Commission Option	The commission option that is used for commission calculations is displayed in this field.
Pay Init Prem	Y—Yes Policies under this clone ID are issued by applying the initial premium and selecting Issue Policy in Simplified New Business. N—No The initial premium is billed. In this case, the policy is activated by issue processing.
Underwriter	The underwriter code selected is displayed on the Underwriting screen and on the underwriting worksheet, if generated.
Auto Gen Policy Pages	Y—Yes This option generates policy pages if policy pages are not being generated using Policy Control File options. N—No Policy pages are not generated.
Auto Gen Worksheet	Y—Yes The underwriting worksheet is generated. N—No The underwriting worksheet is not generated.

Field	Description
Market Code	The fields in this section of the screen are used to designate the default agent. The first line represents the servicing agent. Subsequent lines represent the writing agent or agents. Click >> to display a list of agents. The agent information can be typed directly in these fields, or it can be selected from the cross reference list. If an agent is selected from the cross reference list, the Market Code, Agent Number, Level, Comm%, and Prod% fields are completed automatically. Up to four lines are available in this section so up to four agents can be designated.
Agent Number	The agent number is displayed in this field.
Lvl	The agent level is displayed in this field.
Comm%	The agent commission percentage is displayed in this field.
Prod%	The agent production percentage is displayed in this field.
Ins	The fields in this section of the screen are used to designate the default coverage or coverages which are automatically added on the Simplified New Business screen. Up to five default coverages can be designated. The Ins field represents the insured to which the coverage designated in the next field applies. This is a required field.
Coverage Id	The coverage ID is displayed in this field. The default coverage must be selected by clicking >> to access the cross reference list. The cross reference list automatically displays the coverages linked to the selected product ID.
Default Issue Amount	The default issue amount is displayed in this field. The actual issue amount limit is dependent on the product setup in the Product System.

SECTION 12 SEGMENTS

Chapter 1	Segments Overview	12-13
1.1	Segments Access.....	12-13
1.2	Segment Help.....	12-14
Chapter 2	Segment Setup	12-15
Chapter 3	Premiums—Upper Portion of Screen Field Definitions	12-17
Chapter 4	Product Usage Cross Reference	12-21
4.1	Product Usage Cross Reference Access	12-21
	Product Usage Cross Reference Example	12-28
4.2	Segments—Higher and Lower Access	12-29
Chapter 5	Segment History	12-30
5.1	Segment History Notes	12-32
Chapter 6	Segments	12-33
6.1	1P—Premium Cap Segment	12-33
6.2	1R—Reserve Rate Segment.....	12-37
6.3	A1—Current Interest Rate Segment.....	12-39
6.4	A3—Portfolio Rate Segment.....	12-41
6.5	A4—Amortization Method.....	12-42
	A4—Amortization Method Subsystem Notes	12-43
6.6	A5—Rate Retrieval Rules	12-44
6.7	AB—Add'l Death Benefits Segment.....	12-47
	Fields Unique to this Segment	12-48
6.8	AC—Add'l Premium Credited Segment.....	12-50
6.9	AD—Add'l Div, Premium Pay Segment.....	12-51
	Fields Unique to this Segment	12-52
6.10	AE—Arrears Policy Fee	12-53
6.11	AF—Annual Agent Service Fee	12-58
6.12	AI—After Issue Policy Pages	12-60
6.13	AJ—Adjustments of COI.....	12-62
6.14	AN—Annual Statement Setup.....	12-63
6.15	AP—Addl Premiums, Deposits Segment	12-65
	Fields Unique to this Segment	12-66
6.16	AX—Bonus, Contest, and Production Segment.....	12-69
6.17	B1—B5 Bonus Rates Segment.....	12-71
	Fields Unique to this Segment	12-72
6.18	BA—Universal Methodology Segment.....	12-80
6.19	BB—Premium Bonus Calculation Criteria Segment.....	12-81
6.20	BC—Billing Copies Segment.....	12-83

6.21	BD—Band Limits.....	12-85
	Fields Unique to this Segment	12-85
6.22	BE—Bonus Earnings	12-86
	Fields Unique to this Segment	12-87
6.23	BI—Billable Premium Solve Segment.....	12-91
6.24	BK—Commission Chargebacks Segment.....	12-94
	Chargeback Processing Overview	12-95
	H1—Partial Surrenders Chargeback Controls Segment	12-102
	H2—Full Surrenders Chargeback Controls Segment	12-103
	H3—Death Claim Chargeback Controls Segment	12-104
	H4—Lapse Chargeback Controls Segment (Traditional Only)	12-105
	H5—Forced Annuity Distributions Chargeback Controls Segment ...	12-106
	H6—Recurring Withdrawals Chargeback Controls Segment	12-107
	H7—Partial Annuitizations Chargeback Controls Segment	12-108
	H8—Full Annuitization Chargeback Controls Segment	12-109
6.25	BL—Billable Policy Fee	12-110
	Fields Unique to this Segment	12-111
6.26	BN—Bonus Rules and Rates Segment	12-112
6.27	BO—Bailout Provision Segment	12-120
6.28	BP—Billable Premium Segment.....	12-122
	Fields Unique to this Segment	12-123
	Table Extra Data	12-126
6.29	BS—Billing Setup Segment.....	12-129
	Override Grace Period by Mode and Form	12-136
6.30	BU—Indexed Interest Bonus	12-137
	Indexed Interest Bonus Field Definitions	12-138
	Method 0—Index Ratio	12-145
	Method 1—Index Interval	12-146
	Method 2—Index Interest Appreciation	12-147
	Method 3—Index Fund Appreciation	12-150
6.31	C0—Confirmation Setup Segment.....	12-151
6.32	C1—Interest Bearing Account Segment.....	12-155
	Fields Unique to this Segment	12-156
6.33	C2—Interest Bearing Account Segment.....	12-158
	Fields Unique to this Segment	12-159
6.34	C3—Interest Bearing Account Segment.....	12-160
6.35	C4—Interest Bearing Account Segment.....	12-161
6.36	CA—Calendar Based Statement Segment	12-163
6.37	CC—Commissions Segment.....	12-165
6.38	CD—Claim System Detail	12-167
	Benefit Codes	12-171
	Calculation Rule—Clone	12-174
6.39	CE—Collection Setup	12-177
6.40	CF—Commissions By Fund	12-180
	Commission by Fund Processing Notes	12-180
6.41	CI—Current COI Inflation Rate.....	12-188
6.42	CM—Commission Class Rule Segment	12-190

6.43	CN—Collection Limits.....	12-203
6.44	CO—COLI Rates Segment.....	12-206
6.45	CP—Target Premium Factors Segment.....	12-207
	Fields Unique to this Segment	12-208
6.46	CR—Commission Rates Segment.....	12-210
6.47	CU—Confirmation/Correspondence Setup Segment	12-213
6.48	CV—Cash Values Segment.....	12-215
	Fields Unique to this Segment	12-216
	Cash Values Calculation Window Fields	12-216
6.49	CW—Production Bonus Credit Information Segment	12-220
6.50	CX—Commissions on Maturity Transfers Segment	12-222
6.51	D3—Dividend Type By Option.....	12-225
6.52	DA—Fund Allocation Criteria	12-229
6.53	DB—Death Benefits Segment.....	12-233
	Fields Unique to this Segment	12-234
	DB—Death Benefit Segment Processing Notes	12-236
6.54	DC—Automatic Decrease Rules Segment	12-237
6.55	DD—Dividend Assumption Segment	12-239
6.56	DE—Dividend Option Edits.....	12-242
6.57	DF—Deficiency Val Prens Segment.....	12-245
	Fields Unique to this Segment	12-246
6.58	DG—Deduction Allocation Rules	12-249
6.59	DH—Deferred Charges Account.....	12-251
6.60	DI—Direct Recognition of Loans.....	12-253
6.61	DJ—Dividend Expense Adjustment Segment.....	12-255
6.62	DK—Deferred Charges Rate Segment	12-256
6.63	DL—Dollar Cost Average Fee	12-257
6.64	DN—Dividends, Non Premium Paying Segment.....	12-258
	Fields Unique to this Segment	12-259
6.65	DO—Dividend Option Setup Segment.....	12-261
6.66	DP—Deposit History Rules Segment.....	12-266
6.67	DR—Deficiency Reserves Segment.....	12-268
	Fields Unique to this Segment	12-270
6.68	DS—Premium Fund Destination Segment	12-272
6.69	DT—Variable Deduct.....	12-274
6.70	DU—Deferred Charges Annual Reduction	12-275
6.71	DV—Dividends Segment	12-276
	Fields Unique to this Segment	12-277
6.72	DY—Declared Yield Rates.....	12-279
6.73	EC—Excluded Commissions	12-280
	EC—Excluded Commission Segment—Clone	12-281
6.74	EG—Extended No Lapse Guarantee	12-284
	Concurrent No Lapse Guarantee and Death Benefit Guarantee Processing	12-287
6.75	EI—Generic EIA Segment	12-289
	Final Annualized Index Rate Formula	12-295
6.76	EM—Guaranteed Mortality.....	12-302

	EM Segment Processing Notes	12-302
6.77	EN—Non Premium Paying	12-306
6.78	EO—Commissions Excess Only Segment	12-307
6.79	ET—Extended Term/Reduced Paid Up Segment	12-308
6.80	EV—EPR Dividends	12-312
6.81	EW—Early Withdrawal	12-313
6.82	EX—Interest Exclusion Segment	12-315
6.83	F0—Fund Package Segment	12-318
6.84	FC—Fund Contract Rules Segment	12-320
	Mid-Month Premium Valuations	12-336
	Determining Values for a Product with Market-Valued Funds	12-337
6.85	FL—Loan Fund Package Rules Segment	12-340
6.86	FM—Miscellaneous Information Segment	12-345
6.87	FN—Commutation Rules	12-348
6.88	FQ—Feature Questions Segment	12-351
	Feature Selections Screen	12-352
	Feature Segment Substitution List	12-353
6.89	FR—Fund Rule ID Segment	12-355
	State Approval Window	12-360
	Annual M&E Charges	12-362
	Fund Type Comparison of LifePRO® Functionality	12-363
6.90	FS—Deduction Rules Segment	12-367
6.91	FU—Pre-Defined Follow Ups	12-371
6.92	FW—Free Withdrawal Segment	12-373
	Fields Unique to this Segment	12-373
6.93	FX—Feature Control Segment	12-380
	Feature Control Values Screen	12-382
6.94	G1—Guaranteed Interest Rate Segment	12-389
6.95	G2—Guaranteed Percentage of Premium Load	12-390
	Fields Unique to this Segment	12-391
6.96	G3—Guaranteed Per 1000 of Face	12-394
	Fields Unique to this Segment	12-395
6.97	GA—Misc Reserve Factors	12-397
6.98	GB—GAAP Benefit Reserves	12-398
	Fields Unique to this Segment	12-399
6.99	GD—GAAP DAC Premiums Segment	12-401
	Fields Unique to this Segment	12-401
6.100	GE—GAAP DAC Reserves	12-404
	Fields Unique to this Segment	12-405
6.101	GF—Guaranteed Monthly Policy Fee	12-407
	Fields Unique to this Segment	12-408
6.102	GG—UL Guar Min Premium Segment	12-411
	Fields Unique to this Segment	12-412
6.103	GI—Guaranteed COI	12-414
6.104	GM—Guaranteed Index Margin Rate Segment	12-416
6.105	GN—GAAP Benefit Premiums Segment	12-418
6.106	GP—Guaranteed Premiums Segment	12-421

Fields Unique to this Segment	12-422
6.107 GS—Guar NSP Purchase Rates.....	12-425
6.108 GT—Guar OYT Purchase Rates.....	12-426
6.109 GW—Guaranteed Withdrawal Benefit.....	12-427
6.110 GY—Guaranteed Years	12-431
6.111 HR—Health Claims Reinsurance Segment	12-432
6.112 HW—High-Water Mark for U2 Load Segment	12-434
6.113 II—Indexed Interest Rate File.....	12-437
6.114 IA—SPIA Annuity Transfer	12-439
6.115 IB—Interest Bearing Account Rate Segment.....	12-440
6.116 ID—Discount Rate Crediting Segment	12-442
6.117 IE—Issue Edits	12-443
6.118 IG—Guaranteed Accumulation Rate Segment.....	12-445
6.119 IM—Index Margin Rate Segment	12-446
6.120 IO—Claims Benefit Inflation Override Information Segment	12-448
6.121 IP—NAIC Proposal Assumption.....	12-450
Life Insurance Illustration Model Regulation Summary	12-450
6.122 IR—Inflation Rider Segment.....	12-454
IR—Inflation Rider Processing Notes	12-455
6.123 JI—Certificate Charge Segment	12-465
6.124 JA—Joint Equal Age Conversion Segment.....	12-466
6.125 JC—Joint COI Rate Rules Segment	12-467
6.126 JE—Joint Equal Age Adjustment Segment	12-470
6.127 JT—Joint Equal Age.....	12-471
Table Extra Data	12-473
6.128 K1—Keyword Segment.....	12-475
6.129 KD—Key Definition Segment.....	12-477
KD—Key Definition Setup Notes	12-478
Key Definition Selections	12-479
Extended Key Descriptions	12-480
Minimum/Maximum Issue Age Extended Key Selection	12-481
6.130 KW—Keyword Segment.....	12-483
6.131 L0—Letter Type Segment	12-484
6.132 LA—Calendar Dividend Processing	12-503
6.133 LC—Loan Impairment Interest Crediting Segment	12-504
6.134 LD—Letter Definition Segment	12-507
6.135 LE—NLG and Policy Change Segment	12-511
6.136 LK—Letter Key Definitions Segment.....	12-513
6.137 LL—Level Premium Factors.....	12-514
6.138 LM—Living/Maturity Benefit Segment.....	12-516
6.139 LN—Loan Interest Rates Segment	12-522
Special Class and Non-Collateralized Loans	12-530
6.140 LP—Lapse Control	12-536
Policy Level No Lapse Guarantee Period	12-549
6.141 LS—Lump Sum Factors	12-550
6.142 LT—Tiered No Lapse Guarantee	12-552
6.143 LV—Calendar Dividend Segment.....	12-555

6.144	(M-)—Minimum Segment	12-558
6.145	(M+)—Maximum Segment.....	12-560
6.146	M1, M2, M3, and M4—Miscellaneous Segments	12-562
	M1—Miscellaneous Segments	12-562
	M2—Miscellaneous Segments	12-563
	M3—Miscellaneous Segments	12-564
	M4—Miscellaneous Segments	12-565
6.147	MA—Market Value Adjust Segment.....	12-566
6.148	MB—Minimum Billing Amounts	12-571
6.149	MC—Current Monthly Income Factors	12-573
6.150	MD—Required Minimum Distribution.....	12-574
	Adjusted Benefit Value Calculation	12-577
6.151	ME—Mortality and Expense Charges Segment	12-582
6.152	MF—Common Modifier/Rerate Segment.....	12-584
6.153	MG—Guaranteed Monthly Income Factors.....	12-585
6.154	MI—Minimum Bonus Rate Segment.....	12-586
6.155	ML—Maximum Loan Rules	12-587
6.156	MM—Minimum/Maximum Segment	12-590
6.157	MN—Minimum Billable Premium Segment	12-594
6.158	MO—Annual M&E Charge Segment	12-595
6.159	MP—Minimum Premium Factors Segment.....	12-596
	Fields Unique to this Segment	12-597
	Table Extra Data	12-599
6.160	MR—MPR COI Rate Rules Segment.....	12-603
6.161	MS—Rates Modified By State Segment.....	12-607
6.162	MT—Fund Maturity Rules Segment.....	12-609
6.163	MV—Alternate Minimum Cash Value	12-611
6.164	MW—Maximum Waiver Premiums	12-613
	Table Extra Data	12-615
6.165	MX—Maximum Bonus Rate Segment	12-619
6.166	N0—New Business Auto Issue Process	12-620
6.167	NB—New Business Defaults	12-624
6.168	NC—Net Premium Credited Segment	12-634
	Calculation Rules Window	12-635
	NC—Net Premium Crediting Segment Processing Notes	12-638
	Quoting Off Anniversary	12-639
6.169	ND—Addl Div, Non Prem Pay Segment.....	12-640
	Fields Unique to this Segment	12-641
6.170	NF—Non-Forfeiture Factors	12-642
6.171	NL—Notify Messages Segment.....	12-643
6.172	NN—Non-Deduction Reserve Segment	12-644
	Calculation Rules Window	12-646
6.173	NO—Non Forfeiture Rules Segment	12-650
6.174	NP—Net Valuation Premiums Segment.....	12-662
	Fields Unique to this Segment	12-663
6.175	NR—NAR Calculation Method	12-665
6.176	NS—NSP Purchase Rates	12-670

	Table Extra Data	12-671
6.177	NT—Notify Messages Segment	12-672
6.178	O0—Benefit Add Question Setup	12-676
6.179	OC—Free Out Surrender Charge Rules	12-678
6.180	OL—Transfer Out Limits	12-681
6.181	OP—7702 Override Premium Segment	12-688
	Fields Unique to this Segment	12-689
6.182	OT—Paid Up Term Rates.....	12-691
	Table Extra Data	12-692
6.183	P1—Premium Load Fee By Trans Code Segment	12-695
6.184	P2—Premium Load Pct By Trans Code Segment	12-697
6.185	PA—Variable Perchg	12-699
6.186	PB—Paid Marketing Credits	12-700
6.187	PC—UL Premium Change Segment	12-701
6.188	PD—Policy Delivery Follow Up	12-703
6.189	PF—Policy Fees Segment	12-704
6.190	PI—Pour In	12-706
	Pour-in Riders Processing Notes	12-708
6.191	PJ—Prearrangement Options Segment.....	12-710
6.192	PK—Prearrangement Factors Segment	12-712
6.193	PL—Special Class Loan Rules	12-713
	Non Collateralized Loan Notes	12-718
6.194	PN—Non-Ded Valuation Prem Segment	12-719
	Fields Unique to this Segment	12-719
6.195	PO—Money Purchase Option Segment	12-722
6.196	PR—Premium Segment.....	12-725
	Fields Unique to this Segment	12-726
	Mode Rules Substitution	12-733
	Table Extra Data	12-733
	Extended Key Definition	12-737
	KD—Key Definition Segment Notes	12-738
	Key Definition Base Rate Setup	12-739
	Defining Guarantee Periods by State	12-747
	Defining Base Rates	12-750
	Defining Modifiers	12-751
	Key Definition Base Rate Modifiers	12-752
	Modifiers—Set Key Definition Rates	12-756
	Rerates	12-757
	Key Definition Rerates Screen	12-758
	State Approval	12-762
	Coding Rerate Rates	12-763
	Deleting Rerate Rates	12-764
	Math Function Display Window	12-766
6.197	PS—Premium Refund.....	12-768
6.198	PT—Paid-Up Term Control.....	12-770
	PT Keywords	12-776
6.199	PV—Valid Purchase Days Segment.....	12-782

6.200	PW—Production Bonus Limit And Payment Percent	12-786
6.201	PX—Paid Contest Credits	12-788
6.202	PY—Commissions Prior Year Segment	12-789
6.203	PZ—Participation Rate Segment	12-790
6.204	Q0—Q9—Collection Minimum Limits	12-791
6.205	QC—Set Up by Tax Qualification Code Segment	12-793
6.206	QD—Question Definition	12-795
6.207	QL—Limits by Tax Qualification Code	12-796
6.208	QQ—Collection Minimum Limit Conversion Roth IRA	12-799
6.209	QR—Qualified COI Rules Segment	12-800
6.210	QS—Collection Minimum Limit Simple IRA	12-802
6.211	QT—Collection Minimum Limit Contributory Roth IRA	12-803
6.212	QW—Qualified Withdrawal	12-804
6.213	QX—Interview Question Pre-Defined Responses Segment	12-806
6.214	R0—Reinsurance By Treaty	12-807
6.215	RA—Alternate Minimum Premium Required Period	12-809
6.216	RB—Auto Portfolio Rebalancing Fee	12-811
6.217	RC—Rerate Correspondence	12-812
	RC—Rerate Correspondence Processing Notes	12-815
6.218	RD—Endowment, Deposit Return Segment	12-816
	Fields Unique to this Segment	12-817
6.219	RE—Retention Limits File	12-818
6.220	RF—Multiple Insured Rider Factor	12-822
6.221	RG—Guaranteed Table Rating	12-823
6.222	RH—Current Table Rating	12-824
6.223	RI—Reserve Interest Rates Criteria	12-825
6.224	RL—Fund Rollover Segment	12-826
6.225	RM—Replenishment Rates Segment	12-828
6.226	RN—Premium Recalculation Rules	12-831
6.227	RO—Rollover Rates To Bucket	12-834
6.228	RP—Reins Valuation Premiums	12-835
	Fields Unique to this Segment	12-835
6.229	RQ—RQUE Sequence Segment	12-838
6.230	RR—Reins Reserve Factors Segment	12-840
	Fields Unique to this Segment	12-841
6.231	RS—CARVM Reserves	12-843
6.232	RT—CRVM Tax Reserve	12-844
6.233	RU—Age Rate-up Table	12-848
6.234	RV—Reserve Factors	12-849
	Fields Unique to this Segment	12-850
	Cash Values Calculation Window Fields	12-851
6.235	RW—Calculate Minimum Contract Value Segment	12-855
6.236	RX—UL Reserve Method Segment	12-858
6.237	S0—Fund Package Segment	12-862
6.238	SA—Full Surrender Amortization Segment	12-863
6.239	SB—Submit Marketing Credits	12-864
6.240	SC—Full Surrender Controls Segment	12-865

6.241	SD—Spec Amt Decrease Deduct	12-873
6.242	SE—Shadow Benefit Use Segment ID Segment.....	12-876
6.243	SF—Free Surrender Segment	12-878
6.244	SG—Source/Type Rates and Rules Segment	12-884
	Source Era Definition Screen	12-886
	Segment Variance Screen	12-890
6.245	SH—Shadow Benefit ID Segment	12-911
6.246	SL—Full Surrender Load Segment	12-913
	Fields Unique to this Segment	12-914
6.247	SQ—Systematic Request Rules Segment.....	12-919
6.248	SR—Full Surrender Segment	12-923
	Segments Accessed from the SR Segment	12-924
6.249	SS—Surcharge Premium	12-930
6.250	ST—Substandard Table Ratings.....	12-931
6.251	SU—Shadow Benefit Use Segment	12-932
	SU Segment—Clone	12-933
6.252	SV—Valid Sources Segment.....	12-936
6.253	SX—Submit Contest Credits.....	12-937
6.254	SY—Shadow Benefit Edit Segment.....	12-938
6.255	TA—Traditional TAMRA Rules Segment.....	12-940
6.256	TB—Tabular Guar, Death Benefits	12-948
6.257	TC—CARVM Tax Reserves Segment	12-949
6.258	TD—Terminal Dividends	12-950
	Fields Unique to this Segment	12-951
6.259	TF—Fund Transfer Fee	12-952
6.260	TL—Transfer In Limits	12-954
6.261	TN—Trend Factors Segment.....	12-956
6.262	TP—Tax Valuation Premiums.....	12-959
	Fields Unique to this Segment	12-959
	Table Extra Data	12-961
6.263	TR—Treaty Selection File	12-965
	Single Reinsurer	12-967
	Multiple Reinsurers	12-968
6.264	TS—Source/Type Record Rules Segment.....	12-969
6.265	TX—Tax Reserve Factors	12-972
	Fields Unique to this Segment	12-973
	Cash Values Calculation Window Fields	12-974
	Table Extra Data	12-977
6.266	U1—Premium Collection Expenses/Fees Segment.....	12-981
	Fields Unique to this Segment	12-982
6.267	U2—Premium Collection Expenses Segment	12-983
	Fields Unique to this Segment	12-984
6.268	U3—Per Thousand Expense Load Segment.....	12-988
	Fields Unique to this Segment	12-989
6.269	U4—Rate Amortization Segment.....	12-992
	Fields Unique to this Segment	12-993
6.270	U5—Guaranteed COI Rates Segment	12-994

	Fields Unique to this Segment	12-995
6.271	U6—Current COI Rates Segment	12-996
	Fields Unique to this Segment	12-997
6.272	U7—Full Surrender Load/Fees Segment	12-998
	Fields Unique to this Segment	12-999
6.273	U8—Full Surrender Load/Percentages Segment	12-1000
	Fields Unique to this Segment	12-1001
6.274	U9—Full Surrender Exclusion/Amounts Segment	12-1002
	Fields Unique to this Segment	12-1003
6.275	UA—Full Surrender Exclusion/Percents Segment	12-1004
	Fields Unique to this Segment	12-1005
6.276	UB—Partial Surrender Load/Fees Segment	12-1006
	Fields Unique to this Segment	12-1007
6.277	UC—Partial Surrender Load/Percentages Segment	12-1008
	Fields Unique to this Segment	12-1009
6.278	UD—Partial Surrender Exclusion/Amounts Segment	12-1010
	Fields Unique to this Segment	12-1011
6.279	UE—Partial Surrender Exclusion/Percents Segment	12-1012
	Fields Unique to this Segment	12-1013
6.280	UF—Per Policy Monthly Expense	12-1014
	Fields Unique to this Segment	12-1015
6.281	UG—Universal Life Minimum Premium Segment	12-1018
	Fields Unique to this Segment	12-1019
6.282	UH—Universal Life Target Premium Rates Segment	12-1021
	Fields Unique to this Segment	12-1022
6.283	UI—Monthiversary Control Segment	12-1023
6.284	UJ—Specified Amt Increase Load—Fee Per \$1000 Segment	12-1029
	Fields Unique to this Segment	12-1030
6.285	UK—Specified Amount Increase Load/Percent Segment	12-1031
	Fields Unique to this Segment	12-1032
6.286	UL—Universal Life Corridor Segment	12-1033
	Fields Unique to this Segment	12-1034
6.287	UM—Universal Life Waiver of Premium Rates Segment	12-1036
6.288	UT—Per Fund Expense Segment	12-1041
6.289	UU—Exception Processing Minimum Premium	12-1046
6.290	UW—Exception Processing Target Premium	12-1048
6.291	UX—Minimum Premium Assembly Rules Segment	12-1050
6.292	UY—Target Premium Assembly Rules Segment	12-1058
6.293	UZ—Guideline Premium Rules Segment	12-1066
6.294	V0—New Business Question Setup	12-1073
6.295	VA—Vanish Adjustments	12-1075
6.296	VI—Variable Illustration Assumptions	12-1076
6.297	VL—Annuity Minimum Values Segment	12-1078
	Guaranteed Minimum Death Benefits (GMDB)	12-1079
	Guaranteed Minimum Accumulation Benefits (GMAB)	12-1089
	Guaranteed Minimum Income Benefits (GMIB)	12-1095
6.298	VN—Vanish Rules	12-1101

6.299	VP—Variable Policy Fee	12-1104
6.300	VR—CARVM Valuation Segment	12-1105
6.301	VU—Annuity Death Benefit Values Segment	12-1107
6.302	W1—Special Waiver Premium Segment	12-1110
	Fields Unique to this Segment	12-1111
	Table Extra Data	12-1112
6.303	W2—Special Waiver Premium Segment	12-1116
	Fields Unique to this Segment	12-1117
	Table Extra Data	12-1118
6.304	WA—Net Single Rates Segment	12-1122
	Table Extra Data	12-1123
6.305	WC—Partial Withdrawal Control Segment	12-1124
6.306	WD—Partial Withdrawal Segment	12-1135
6.307	WE—Flat Extra Factors/NS—NSP Purchase Rates	12-1140
6.308	WL—Partial Withdrawal Load Segment	12-1141
6.309	WM—Window Maturity Rules Segment	12-1145
6.310	WN—Fund Split Accum Windows Segment	12-1148
6.311	XA—Assumed Accumulation Rates Segment	12-1149
6.312	XC—Coterminous Rules Segment	12-1151
6.313	XE—Eligible Premium Increase Rate Segment	12-1154
6.314	XG—Death Benefit Guarantee Rules Segment	12-1155
6.315	XI—Increment Indexation Rules Segment	12-1162
6.316	XL—Lifetime Basis Increase Rate Segment	12-1164
6.317	XM—Indexing Methods and Rules Segment	12-1165
6.318	XN—Non-coterminous Rules Segment	12-1169
6.319	XV—External Index Segment	12-1171
6.320	YP—Death Computations Segment	12-1172
	YP—Death Computations Segment Processing Notes	12-1174
6.321	YS—California Yield Index	12-1176
	Monthaversary or ULPro Products using the YS Segment Notes	12-1177
6.322	Z0—Index Start Value Segment	12-1178
6.323	Z1—Index End Value Segment	12-1182
6.324	Z2—Interim Participation Rate Segment	12-1183
	Declared Interest Rate Substitution	12-1184
6.325	Z3—Final Participation Rate Segment	12-1186
	Declared Interest Rate Substitution	12-1187
6.326	Z4—Interim Bonus Participation Rate Segment	12-1189
6.327	Z5—Final Bonus Participation Rate Segment	12-1190
6.328	Z6—Interim Vesting Factor Segment	12-1191
6.329	Z7—Final Vesting Factor Segment	12-1192
6.330	Z8—Interim Cap Segment	12-1193
6.331	Z9—Final Cap Segment	12-1194
6.332	ZA—Interim Floor Segment	12-1195
6.333	ZB—Final Floor Segment	12-1196
6.334	ZC—Final Spread Factor Segment	12-1197
6.335	ZD—State Minimum Participation Segment	12-1198
6.336	ZE—Interim Spread Factor Segment	12-1201

6.337	ZP—Zip Code Modifier/Rerate.....	12-1202
6.338	ZX—New Business Credits Segment	12-1204
	Calculation of New Business Credits for Traditional Policies and Riders	12-1207
	Calculation of New Business Credits for Universal Life Policies	12-1207
	Calculation of New Business Credits for Specified Amount Increases	12-1208

Chapter 7	Immediate Annuity Segments	12-1211
7.1	SPIA Calculation for Quotes	12-1213
7.2	SPIA Calculation Rules for Valuation	12-1214
7.3	PP—Premium Load Segment.....	12-1215
7.4	IN—Pricing Interest Rates	12-1216
7.5	SM—Mortality Statutory Valuation.....	12-1219
7.6	TM—Mortality Tax Valuation	12-1220
7.7	PM—Mortality Pricing.....	12-1221
7.8	NI—New Business Defaults	12-1222
7.9	IS—Statutory Reserve Interest Rates	12-1227
7.10	IT—Tax Reserve Interest Rates	12-1230
7.11	SP—SPIA Surrender Rules	12-1233

Chapter 1 Segments Overview

1.1 Segments Access

The purpose of the LifePRO® segments is the same for all lines of business. The segments describe how to use LifePRO® calculation routines, how to find the needed values and, if applicable, any variations on how to use these values.

The list of possible segments varies depending on the line of business. The list of available segments varies for Universal Life/Annuities, Traditional/Health, and Immediate Annuities. The applicable segments are set up from the Coverage File screen shown below.

Coverage File - Screen 1 of 4

Page 1 | Page 2 | Page 3 | Page 4

Coverage ID: W/L1 >> Line of Business: Traditional Allow As Shadow Coverage: No Status Code: A

Coverage Description: test defaults

Company Number: @@ Issue Ages: Minimum: 0 Maximum: 0 Policy Fee: 0.00 Ext Reins: No Form Number:

Reporting Number:

Policy/Rider Basis: Base Coverage Exhibit ID: Totals - Whole Life And Endowment Non Participating Combined UWCLS:

Gender Basis: Both Age Calc: 'First / 'Last to Die:

Age Basis: Last

Number Of Underwriting Classes?: 1

Underwriting			Substd	Age/Opt/Pct	Maximum Allowable		
Cls Code	Class Code	Description	Flat	Tbl/None	Rating	Lmt	Flat Extra
☒			Yes	Percent		202.02	82.24
☐							
☐							
☐							
☐							

Values Represent: Face

Minimum Issue Amount: 0 0 0 0 0 0

Maximum Issue Amount: 0 0 0 0 0 0

Through Age: 0 0 0 0 0 0

List Options...
Notes
Date Subst
Segments
Issue Limits
Tie to Coverage
Imaging...
Subst Trace
OK
Cancel

Complete the following steps to access the segments for the Coverage selected.

1. Select **Product System** from the LifePRO® Main Menu. The Product System Menu is displayed.
2. Select **Coverage Record**. A blank Coverage screen is displayed.

3. Input the Coverage ID in the Coverage ID field and click **OK**. Or, click >> for a cross reference.
4. Click **Segments** to display the Segment List. The Segments are listed as they pertain to the selected coverage.

1.2 Segment Help

There are several segments in *LifePRO®* that use the same screen format. When Help is accessed from one of these screens, the Help System cannot determine the particular segment for which help is requested. When this occurs, the Product Book is opened so the appropriate segment can be selected.

When the segment has a unique screen format and help is requested, the Product Book is opened to the documentation for that particular segment.

Chapter 2 Segment Setup

When the Segment List is displayed click **Next** and **Previous** to move through the pages of the Segment List. The Segment List can be viewed in alphabetical order by clicking **Sort List**.

The Y/N field determines if the segment on that line is used for the coverage selected.

Type	Segment Description	Y/N	Segment ID
UH	Target Premiums	Yes	UL1
UG	Minimum Premiums	Yes	UL1
UF	Per Policy Monthly Exp	Yes	UL1
LN	Loan Interest Rates	Yes	UL1
U1	Premium Load Fees	No	
U2	Premium Load Pcts	Yes	UL1
U3	Per Thousand Exp Load	No	
U4	Surr Rate Amortization	No	
U5	Guar COI Rates	Yes	UL1
U6	Curr COI Rates	Yes	UL1
U7	Full Surr Load Fee	No	
U8	Full Surr Load Pct	No	

Page 1 of 12

Segments previously set up can be viewed by selecting the segment and clicking **Select**. The Segment screen is displayed.

Complete the following steps to add a new segment.

1. From the Segment List display press **F10**.
2. To set up a segment, select **Y—Yes** in the Y/N field. The Segment ID field defaults to the same name as the coverage ID. The segment ID can, however, be updated to a name other than the coverage ID. One segment can be set up for several different Coverage Records.
3. After selecting the Segment ID click **Select** to access the Segment screen. Upon accessing a segment from the Segment List, the screen is in update mode.
4. Make the desired updates to the segment, click **OK** to save the updates. Or, click **Cancel** to exit without saving. The Segment List is displayed.

5. Click **OK** to save any changes made on the Segment List, or click **Cancel** to exit without saving the changes.
6. Click **Cancel** to exit the Segment List window.

Chapter 3 Premiums—Upper Portion of Screen Field Definitions

The fields on the top portion of the Premium screen are common to many screens. The table below describes these fields. These definitions are not repeated for each screen. Refer to this section regarding these fields on various other screens.

The screenshot shows the 'Premium Segment File' window. It contains the following fields and controls:

- Segment ID:** A text box containing 'DISINC' and a '>>' button.
- Segment Type:** A text box containing 'PR'.
- Key Modifier:** A text box containing 'PR'.
- Do Values Vary By:** A text box containing 'No'.
- Are Values Banded:** A dropdown menu with 'No' selected.
- Underwriting Class:** A dropdown menu with 'No' selected.
- Female Rate Basis:** A dropdown menu with 'Male With Setback' selected.
- Setback Years:** A text box containing '0'.
- Rate Type:** A dropdown menu with 'Issue Age' selected.
- Rate Rounding Rule:** A dropdown menu with 'Round Premium Rate To Next Higher Cent' selected.
- Substandard Percentage Rounding Rule:** A dropdown menu with '0' selected.
- Band Upper Limits:** A row of seven text boxes, each containing '0'.
- Premium Select Period:** A text box containing '0'.
- Premium Change Frequency:** A text box containing '0'.
- Premium Mode Rule ID:** A text box containing '01'.
- Coverage ID Of Ultimate Rates:** A text box containing '0'.
- Premium Rate Calculation Rule:** A dropdown menu with 'Units Purchased' selected.
- Extended Key Definition Used:** A dropdown menu with 'Yes' selected.
- Buttons:** A vertical stack of buttons on the right side: 'Mode Rules', 'Rates', 'Extended Key', 'Table Extra', 'OK', and 'Cancel'.

The following table contains definitions for the fields on the top portion of the screen.

Field	Description
Segment ID	The segment ID selected on the Segment List is displayed in this field.
Segment Type	The Segment Type field is completed by the system.
Key Modifier	The key modifier points the system to the proper rates in the rate file. The key modifier should match the segment type if the rates are unique for the segment. To point to another segment's rates, update the key modifier to match that segment's segment type. (The segment IDs must also be the same to point to the other segment's rates.)

Field	Description
Are Values Banded	Rates can be varied depending on the face amount of the policy. This field determines if rates are banded. Y—Yes The Band Upper Limits section of the screen must be completed. N—No The rates are the same for all bands.
Do Values Vary By Underwriting Class	Y—Yes The system looks at all underwriting classes listed on the Coverage Record. N—No Rates do not vary by underwriting class. The system only looks at the default underwriting class (the first one listed on the first screen of the Coverage Record) when finding the rates.
Female Rate Basis	The selection in this field designates the rates that are used for females. U—Separate And Unique Different rates are set up for females. S—Male With Setback The same rates are used for males and females, but the rates can be set back a designated number of years for females.
Setback Years	This field works in conjunction with the Female Rate Basis field. If Male With Setback is selected in the Female Rate Basis field, the number of years the rates are set back is designated in this field. If the rates are the same for males and females, input 0 in this field, which tells the system the females rates are set back 0 years from the male rates.
Rate Type	The rate type selected determines on what the rates are based and where in the rate file the rates are input. A—Attained Age Rates are based on the attained age of the insured or annuitant. I—Issue Age Rates are based on the issue age of the insured or annuitant. If Attained Age or Issue Age is selected, input the rates in the Attained Age Rate File. O—Duration Only D—Age and Duration If Duration Only or Age and Duration is selected, input the rates in the Age/Duration Rate File. If Duration Only is selected, the rates are input under Age 0 in the Age/Duration Rate File.

Field	Description
Rate Rounding Rule	The Rate Rounding Rule specifies the rules for rounding when calculating premiums. 00—Truncate after cents 12—Rate Per Unit Multiplied by Number of Units: Then Rounded The rate per unit is multiplied by the number of units, then rounded to the nearest cent. 32—Truncate Premium Rate to Cents Special Rules apply to premiums. 42—Round Premium Rate to Nearest Cent Special Rules apply to premiums. 52—Round Premium Rate to Next Highest Cent Special Rules apply to premiums. <u>Special Rules:</u> <u>Step 1:</u>—Premium Rate times the Mode Factor <u>Step 2:</u>—Round Result from Step 1 according to first digit. 3—Truncate after cent 4—Round to nearest cent 5—Round to highest cent <u>Step 3:</u>—Multiply result in Step 2 by the number of units and round to the nearest cent 62—Round Policy Premium To Nearest Even Penny This method calculates a total monthly premium for the <i>policy</i> by computing a total annual premium using an annual rate and dividing it by 12. This total monthly premium is then rounded to the nearest even penny. The resulting rounded total premium is multiplied by 12 to calculate a rounded total annual premium. If this rule is selected, the computed monthly premium is displayed instead of the annual premium on the individual Contract screen, the Manual Premium Payment screen, and the Underwriting Worksheet.

Field	Description
Rate Rounding Rule (continued)	72—Round Benefit Premium To Nearest Even Penny This method calculates an annual premium per <i>benefit</i> using annual rates which are then rounded to the nearest even penny. The benefit rounded annual premium is added together to find the policy rounded annual premium. NOTE For rule 62 or 72, the rounded policy annual premium is then divided by the number of modes (or the number of payroll deductions, if applicable) to determine the raw modal premium. Simple elementary rounding is applied which results in a policy modal premium. This policy modal premium is then distributed on a prorated basis across the benefits, with any penny discrepancies added to the base benefit.
Substandard Percentage Rounding Rule	This field specifies the rules for rounding when calculating substandard percentage premiums. 0—Round to Nearest Cent 1—Truncate After Cents 2—Round to Nearest Cent 3—Round To Next Higher Cent.
Band Upper Limits	Each field in the Band Upper Limits corresponds to a different face amount limit. The first field represents the upper limit for band 1, the second the upper limit for band 2. If values are not banded, input all 9s in the first field.

Chapter 4 Product Usage Cross Reference

4.1 Product Usage Cross Reference Access

The Product Usage Cross Reference function displays an online cross reference list of all or a designated part of the product elements (such as product, component, coverage, and rates) to which a selected segment is attached.

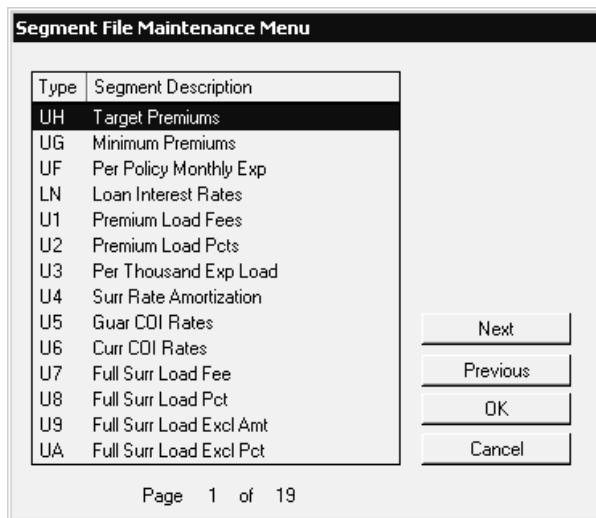
NOTE

The Build Product System Cross Reference File must be present for the Product System Cross Reference Usage Menu to be run. Refer to the System Configuration Book, Section 7, 1.50—Build Product System Cross Reference File for additional information.

Complete the following steps to create a Product Usage Cross Reference display.

1. From the Product File Maintenance Menu select **Segments**. The Segment Menu is displayed.
2. Click on the desired line of business. The requested Segment List is displayed.

- Click **Next** to locate the desired segment.



Segment File Maintenance Menu

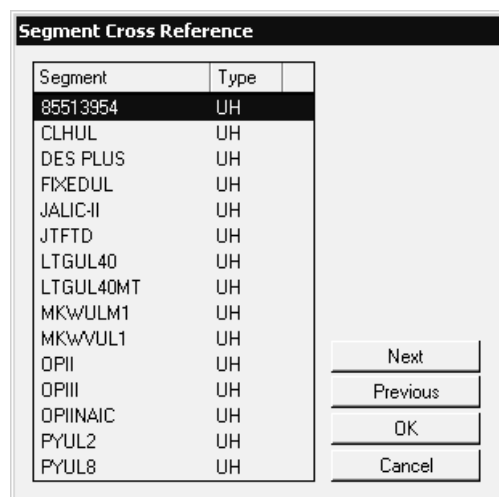
Type	Segment Description
UH	Target Premiums
UG	Minimum Premiums
UF	Per Policy Monthly Exp
LN	Loan Interest Rates
U1	Premium Load Fees
U2	Premium Load Pcts
U3	Per Thousand Exp Load
U4	Surr Rate Amortization
U5	Guar COI Rates
U6	Curr COI Rates
U7	Full Surr Load Fee
U8	Full Surr Load Pct
U9	Full Surr Load Excl Amt
UA	Full Surr Load Excl Pct

Page 1 of 19

Next
Previous
OK
Cancel

NOTE: KD (extended key) Segments cannot be selected for cross reference display, nor are they included as attachments to other segments.

- Click on the desired segment and press **F7**. The cross reference list of available segments is displayed.

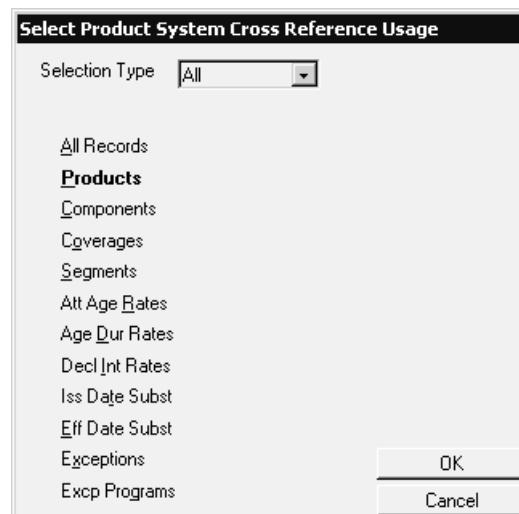


Segment Cross Reference

Segment	Type
85513954	UH
CLHUL	UH
DES PLUS	UH
FIXEDUL	UH
JALIC-II	UH
JTFTD	UH
LTGUL40	UH
LTGUL40MT	UH
MKWULM1	UH
MKWVUL1	UH
OPII	UH
OPIII	UH
OPIINAIC	UH
PYUL2	UH
PYUL8	UH

Next
Previous
OK
Cancel

- Click on the desired Segment ID and press **Alt+F7**. The Product System Cross Reference Usage Menu is displayed.



The following table contains field definitions for the Product System Cross Reference Usage Menu.

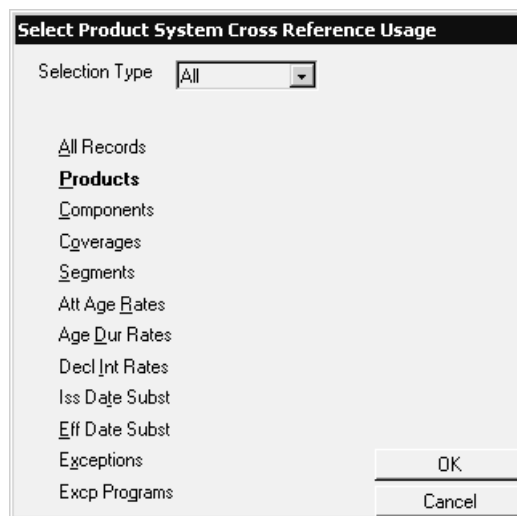
Field Name	Description
Selection Type	A two-digit code is selected in this field to define the cross reference elements to be displayed for the selected segment. Valid values for the first digit are listed below. H—Higher Display only the higher product elements to which the selected segment is attached, such as product, component, coverage, or higher level segment. HD—Higher Direct Display only the higher product elements to which the selected segment is attached, such as product, component, coverage, or higher or level segment and those product elements to which the selected segment is directly attached. L—Lower Display only the lower product elements which are attached to the selected segment, such as lower segments, attained age and age duration rates, and declared interest rates. LD—Lower Direct Display only the lower product elements whose product elements and selected segment is directly attached.

Field Name	Description
Selection Type (continued)	A—All Display both the higher product elements to which the selected segment is attached and the lower elements which are attached to the segment. Valid values for the second digit are listed below. D—Direct Display only those product elements to which the selected segment is directly attached (either one level above or one level below the segment). AD—See Direct. “ ”—Blank Display any product elements which are attached to the segment either directly or indirectly. Valid combinations for the field are H, HD, L, LD, A, and AD.

A list of product elements is displayed beneath the Selection Type field on the Product Cross Reference Usage Menu. Selection of one of these options, which is required, is used to further limit the product elements displayed for the selected segment. Values which may be selected are listed below.

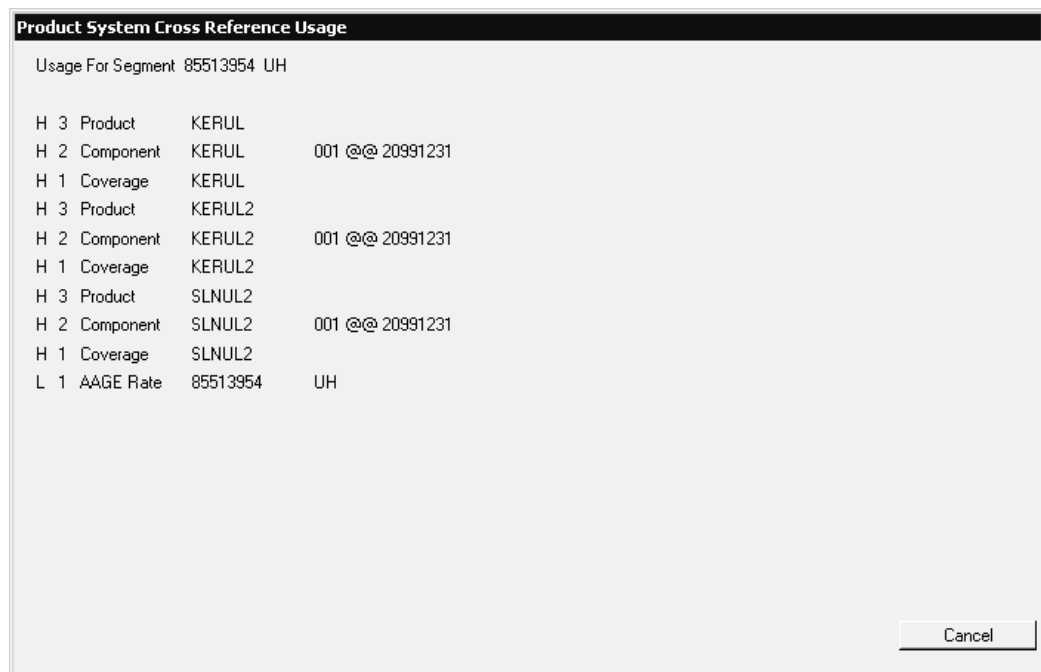
- All Records
- Products
- Components
- Coverages
- Segments
- Att Age Rates
- Age Dur Rates
- Decl Int Rates
- Iss Date Subst
- Eff Date Subst
- Exceptions (Reserved for future use)
- Excp Programs (Reserved for future use)

6. Enter a selection type and click on one of the display limit options.



The dialog box titled "Select Product System Cross Reference Usage" features a "Selection Type" dropdown menu currently set to "All". Below this, a list of options is displayed, each with an underlined first letter: All Records, Products, Components, Coverages, Segments, Alt Age Rates, Age Dur Rates, Dec Int Rates, Iss Date Subst, Eff Date Subst, Exceptions, and Excp Programs. At the bottom right, there are "OK" and "Cancel" buttons.

7. The Product System Cross Reference Usage screen is displayed.



The screen titled "Product System Cross Reference Usage" displays the text "Usage For Segment: 85513954 UH". Below this, a table of data is shown:

H 3	Product	KERUL	
H 2	Component	KERUL	001 @@ 20991231
H 1	Coverage	KERUL	
H 3	Product	KERUL2	
H 2	Component	KERUL2	001 @@ 20991231
H 1	Coverage	KERUL2	
H 3	Product	SLNUL2	
H 2	Component	SLNUL2	001 @@ 20991231
H 1	Coverage	SLNUL2	
L 1	AAGE Rate	85513954	UH

A "Cancel" button is located at the bottom right of the screen.

The following table contains column descriptions for the Product System Cross Reference Usage screen.

Column	Description
	The top line of the display contains the segment ID and type of the selected segment.
Col 1	This column indicates if the product element displayed on this line is higher or lower than the selected segment. H—This product element is higher than the selected segment. L—This product element is lower than the selected segment.
Col 2	This column specifies the number of levels between the product element on this line and the selected segment. (Col 1 determines if it is higher or lower.)
Col 3	This column contains the type of product element which is displayed on this line. Valid values are listed below. Product Component Coverage Segment Iss Subst (Issue Date Substitution) Eff Subst (Effective Date Substitution) Exception (Reserved for future use) Age Rate (Attained Age Rate) Dage Rate (Age Duration Rate) Dint Rate (Declared Interest Rate)
Col 4	This column contains the ID of the product element displayed on this line.
Col 5	This column contains additional information used in identifying the product element on this line. The information displayed and the format of that information varies by product element. The following list contains additional information provided for each product element. A forward slash (/) indicates a space between two items of information. Prod Elmnt—Additional Information Product—None

Column	Description
Col 5 (continued)	Component—Component number/component issue state/ component end date Coverage—None Segment—Segment type Iss Subst—Type description/type fields/issue date/gender Valid values for Type description/type fields are shown below. 0 “ ” (Coverage only substitution) 1—Group ID—(Group substitution) 2—Client ID—(Client substitution) 3—Co/Policy—(Policy substitution) 4—State—(State substitution) Eff Subst— Issue date/type description/type fields/effective date/ gender Valid values for issue date are shown below. 00000000—for an effective date substitution record attached directly to a coverage record Issue date of the issue date subs record—for an effective date substitution record attached to an issue date substitution record See Iss Subst above for valid values for type description/type fields. Age Rate—Rate type Dage Rate—Rate type Dint Rate—Rate type

If the selected segment has no product element attachments which meet the criteria entered, the Product System Cross Reference Usage screen is displayed with the message *No Records Located Meeting Search Criteria*.

Product Usage Cross Reference Example

The Product System Cross Reference Usage screen displayed at the end of the process lists the connections to other product elements.

Product System Cross Reference Usage			
Usage for Segment UL1 SR			
H 3	Product	FIXED UL	
H 2	Component	FIXED UL	001 @@ 99999999
H 1	Coverage	FIXED UL	
H 3	Product	ISWL	
H 2	Component	ISWL	001 @@ 20991231
H 1	Coverage	ISWL	
H 3	Product	JALIC-II	
H 2	Component	JALIC-II	001 @@ 99999999
H 1	Coverage	JALIC-II	
H 3	Product	JALIC-III	
H 2	Component	JALIC-III	001 @@ 20991231
H 1	Coverage	JALIC-III	
H 3	Product	UL1	
H 2	Component	UL1	001 @@ 20990101
H 1	Coverage	UL1	
H 3	Product	UL1-A	
H 2	Component	UL1-A	001 @@ 20990101
H 1	Coverage	UL1-A	
			Cancel

The levels of the product element included in the cross reference listing for a selected segment are generally as follows, from highest to lowest.

Products

Components

Coverages

Issue Date Substitutions

Effective Date Substitutions

Higher level segments

SELECTED SEGMENT

Lower level segments

Attained Age Rates

Age Duration Rates

Declared Interest Rates

4.2 Segments—Higher and Lower Access

LifePRO® segments may be attached to other segments and displayed on the cross reference screens as either higher or lower than the selected segment. The Segment Cross Reference Usage screen displays segments up to seven levels below the selected segment.

One example is the case of a segment which actually has other segments attached in product setup, such as an SR—Full Surrender Segment which has an SC—Full Surrender Controls Segment and an SL—Full Surrender Load Segment attached.

Segment Screen - SR (1st)

Segment ID >> Segment Type SR

Type	Description	Y/N	Segment ID	Issue Age	Dur
SC	Full Surrender Controls	Yes	UL1		
SA	Full Surrender Amort	Yes	UL1		
SL	Full Surrender Load	Yes	UL1	Increase	Increase
BO	Bailout Provision	No			
SF	Free Surrender	No			
MA	Market Value Adjust	No			
EW	Early Withdrawals	No			
A4	Amortization Method	No			

Compute values on Anniversary basis?

Alternative Surrender Method Number

Use Adjusted Target For Load? NF law cap?

Surrender Charge Monthly Offset (No Offset)

Decrement Duration by Periods of Non-Coverage?

Use Conversion History surrender load on Base Only?

For Full Surr Load Use Of

Select
OK
Cancel

When the cross reference is run for the SR Segment, the SC and SL Segments are listed as lower level segments (as in the previous example for the UL1 SR Segment). If, however, the cross reference is run for the SL Segment, the SR Segment is included as a higher level segment.

Chapter 5 Segment History

Complete the following steps to display Segment History (available only if the Keep Product History field for the default company (00) on the Management Options screen is **Yes**).

1. Display the Segment record for which you wish to view history.

Enter Universal Life Target Premium Rates Segment Criteria

Segment ID	UL1	Segment Type	UH
Select Period	0	Ultimate ID	
Target Premium Rates Vary by UWCLS ?	No		
Key Modifier to Use in Age/Duration File	UH		
Rate Type	Issue Age		
Rate Basis	Male With Setback		
If Rate Basis is Setback, Specify Number of Years	0		
Rate Code	Annually		
Banding Method	Not Banded		
Upper Band Limits			
999999999	0	0	0
0	0	0	0
Inflate Target by Substandard Ratings?			Yes
			Rates
			OK
			Cancel

NOTE: Segment history is not available for segments KD, TR, RE, CI, GI, or ZP.

2. From the Segment screen press **Alt+H**, or click **History** for those segment screens displaying a History button. The most recent Segment History record is displayed with the message *History Record Display* at the bottom of the screen.

NOTE: The display does not indicate which fields were changed, so careful inspection of the screen may be required to detect the values which were changed.

If the displayed screen is a single-screen segment, press **Page Up** and **Page Down** to move from one history record to another. If there are multiple screens for the displayed segment, press **Page Up** and **Page Down** to move through the different screens of the segment

history record and press **Ctrl+Page Up** and **Ctrl+Page Down** to move among multiple history records for the segment.

3. Click **Cancel**. The Segment record is displayed.

Complete the following steps to view the Coder and Change Date window for the most recent change to a segment.

1. Access the appropriate segment.
2. Press **F10**.
3. Press **Alt+L** or click **Last Change** for those segment screens displaying a Last Change button. The coder ID, date, and time of the last change to this segment are displayed.



The screenshot shows a window titled "Product File". Inside the window, there are three labels: "Coder ID", "Date", and "Time". Each label is followed by a text box containing data. The "Coder ID" text box contains "MDB1". The "Date" text box contains "02/19/2002". The "Time" text box contains "14:42:3956". To the right of these text boxes are two buttons: "OK" and "Cancel".

4. Click **Cancel** to exit.

5.1 Segment History Notes

- Segment History is generated each time a segment is actually updated, but it may also be generated when the segment is displayed in update mode, no changes are made to the segment, but it is exited via the **Cancel** button. It is important, then, to always exit an unchanged segment using **Alt+F10** instead of **OK**, to avoid generating history when the segment has not been changed.
- When a new segment is added to a coverage, no segment history is generated, but a Coverage History record is produced.
- Refer to Chapter 5—Segment History on page 12-30 in this book for instructions on displaying the Segment List for a Coverage History Record. Segment history cannot be accessed from this display, but the list describes which segments were attached to a particular version of a Coverage Record.

Chapter 6 Segments

6.1 1P—Premium Cap Segment

NOTE

Traditional products only

LifePRO® allows substandard ratings to be defined using a ratings table or as ratings riders; using riders is often helpful if a number of ratings might apply. At higher ages, the overall premium charged to the consumer may exceed reasonable levels if a number of substandard ratings are applied. The 1P—Premium Cap Segment is used to define a premium cap or a guaranteed premium cap, if desired, for traditional products with ratings defined as riders.

The premium cap is applied when calculating the mode premium and is based on currently active benefits.

- A premium cap may be defined as a percentage of either the modalized death benefit or the premium. The premium cap percentage is fixed, but may result in variations from year to year due to the underlying rates.
- When a premium cap is defined, if the mode premium is greater than the premium cap, LifePRO® adjusts the mode premium to be equal to the premium cap. Therefore, the premium charged for a specific benefit (whether the base coverage or a rider) may be reduced.
- To support the reduction of the premium charged for the benefits, each benefit is ranked to determine the order in which the premiums are reduced (for both the base benefit and the rider benefits). Two rankings may be defined for each benefit: one ranking is for the basic premium for that benefit and the other is for the rating premium for that benefit, if any.
- The premium cap defined on the base coverage applies to the base coverage and may also apply to all riders with a Component Type of OR—Other Rider. Alternatively, a premium cap may be separately defined for riders with a Component Type of OR. On the other hand, the premium cap *must* be defined separately for Component Types AD—Accidental Death Benefit, WP—Waiver of Premium, or CR—Child Rider.
- The total premium cap is the sum of each benefit's premium cap.
- The calculation of the premiums and the premium cap includes any rating premiums associated with the benefits.
- If all premiums which can be reduced are reduced to zero, and the resulting total exceeds the premium cap, an error message is generated. (Only those premiums or ratings with a Premium Cap Ranking can be reduced.)
- The premium cap is applied when premiums are calculated for new business, premium quote, anniversary, and billing and collections processing only. This includes the following keywords: CURPR, CURPM, ANPPK, PREMDUE, BENAPR, BENNET,

BENPRS, BENPRQ, BENPRM, BENMOD, BENRPM, SGMXP, and cost index keywords.

Similarly, a guaranteed maximum premium cap may be computed based on guaranteed maximum premiums.

- The guaranteed maximum premium cap uses the same rankings. However, the guaranteed maximum premium cap may be defined differently in terms of whether to calculate the cap based on a percentage of death benefits or premiums. If the same method is used, a different percentage may be defined.
- For purposes of calculating the guaranteed maximum premium cap, it is assumed that the current and guaranteed premiums are the same for AD—Accidental Death Benefit, WP—Waiver of Premium, and CR—Child Rider benefits, resulting in an identical premium cap for these benefits for the premium cap and guaranteed maximum premium cap calculations.
- The guaranteed maximum premium cap is applied for disclosures, including the following keywords: GNTANNPR, GNTSEMPR, GNTQRTPR, GNTMONPR, GMXPR, GMXPM, GPRPK, and cost index.

To define a premium cap or guaranteed maximum premium cap, the 1P—Premium Cap Segment and the rankings must be defined. First, the Premium Cap Segment Criteria is defined. Then the rankings are defined on the component record.

Enter Premium Cap Segment Criteria

Segment ID Segment Type

Contribution to Current Premium Cap of

Contribution to Guaranteed Premium Cap of

OK Cancel

Refer to the Product Book, Chapter 3—Component File Screen for more information on the premium cap ranking fields on the component record.

The following table contains definitions for the fields on the 1P Segment.

Field	Description
Contribution to Premium Cap	These two fields determine if a premium cap is applied based on the current benefit. The benefit's premium cap is calculated as either a percentage of the death benefit or as a percentage of the premiums. The total premium cap for a policy is the sum of the premium caps for all active benefits at the time the premium is calculated. Enter a percentage in the first field if a premium cap is applicable based on the current benefit. If this field is set to 00, a premium cap is not applied based on the current benefit. This is the default. If this field is set to a value greater than 00, the second field must also be defined. D—Death Benefit The premium cap for this benefit is calculated based on a percentage of the modalized death benefit attributable to the current benefit. (The modalized death benefit is the death benefit multiplied by the premium mode factor.) P—Premium The premium cap for this benefit is calculated based on a percentage of the premiums attributable to the current benefit. Blank This option is used when the percentage is set to 00, the default. The premium caps defined on the base benefit apply to the base benefit and may also apply to all riders with a Component Type of OR—Other Rider. Alternatively, a separate 1P Segment may be defined for OR Component Types. On the other hand, premium caps must be defined separately for riders with a Component Type of AD—Accidental Death Benefit, WP—Waiver of Premium, or CR—Child Rider. Premium cap rankings are defined for the base premium and rating premium for each applicable benefit on the component record.

Field	Description
Contribution to Guaranteed Premium Cap	These two fields determine if a guaranteed (maximum) premium cap is applied based on the current benefit. The benefit's guaranteed premium cap is calculated as either a percentage of the death benefit or as a percentage of the premiums. The total guaranteed premium cap for a policy is the sum of the guaranteed premium caps for all active benefits at the time the premium is calculated. Enter a percentage in the first field if a guaranteed premium cap is applicable based on the current benefit. If this field is set to 00, a guaranteed premium cap is not applied based on the current benefit. This is the default. If this field is set to a value greater than 00, the second field must also be defined. D—Death Benefit The guaranteed premium cap for this benefit is calculated based on a percentage of the modalized death benefit attributable to the current benefit. (The modalized death benefit is the death benefit multiplied by the premium mode factor.) P—Premium The guaranteed premium cap for this benefit is calculated based on a percentage of the premiums attributable to the current benefit. Blank This option is used when the percentage is set to 00, the default. NOTE For purposes of calculating the guaranteed premium cap it is assumed that the current and guaranteed premiums are the same for riders with Component Types of AD—Accidental Death Benefit, WP—Waiver of Premium, and CR—Child Rider. This results in an identical premium cap for these benefits, if both the premium cap and guaranteed premium cap are defined using the same percentages and the same option (by death benefit or by premium).

6.2 1R—Reserve Rate Segment

The 1R—Reserve Rate Segment is used to define the percentage of commission that is withheld and placed in the reserve account. The percentage can be a single percentage applied to the commissions regardless of the reserve account balance or the percentage can be banded based on the amount in the reserve account.

The 1R Segment is accessed from the Reserve Rate ID field on the Agency Miscellaneous Options screen or the Agent Hierarchy record. Position the cursor in the Reserve Rate ID field and press **F4** to access the segment.

The screenshot shows the 'Commission Segment Screen' with the following fields and controls:

- Segment ID:** A text field containing 'KLM' followed by a '>>' button.
- Segment Type:** A label followed by the text '1R'.
- Are Values Banded:** A label followed by a dropdown menu currently set to 'No'.
- Band Upper Limits:** A label followed by seven text input fields. The first field contains '999999999', and the remaining six fields contain '0'.
- Constant/Incremental Rates:** A label followed by seven empty text input fields.
- Buttons:** 'OK' and 'Cancel' buttons located at the bottom right of the screen.

The following table contains definitions for the fields on the 1R Segment.

Field	Description
Are Values Banded	This field determines if the rates are banded based on the amount in the reserve account balance. Y—Yes The rate that is applied to the commission amount to calculate the amount to place in the reserve account is based on the current reserve account balance as of the time commission processing begins. N—No Only one rate is applied to the commission amount to calculate the amount that is placed in the reserve account.
Band Upper Limits	The reserve account limit for each percentage is defined in these fields. Up to seven bands may be defined. For example, assume the band limits are 100, 150, and 999999999. The first rate (7%) is applied until the reserve account balance at the time commission processing begins is between \$100 and \$150, the next rate (5%) is applied. When the reserve account balance reaches \$150, the 2% rate is applied to the commission amount to place in the reserve account. If rates are not banded, input 999999999 in this field and define the percentage in the Constant/Incremental Rates field. This rate is applied to all commissions when calculating the amount to place in the reserve account.
Constant/Incremental Rates	The percentage to be applied to the commission amount when calculating the amount to place in the reserve account is input in these fields.

6.3 A1—Current Interest Rate Segment

The A1—Current Interest Rate Segment directs LifePRO® to the current interest rate for interest-bearing fund accumulations (fund type I on the Fund Rules). It is also used to define the indexes from which interest is calculated for the base accumulation of a market-valued fund (fund type M on the FR—Fund Rules Segment). Refer to the Product Book, Section 12, 6.89—FR—Fund Rule ID Segment for more information about the different fund types.

Enter Interest Crediting Segment Criteria

Segment ID: >> Select Period:

Segment Type: Ultimate ID:

Key Modifier: ☐ Band Process:

Upper Band Limits

99999999	0	0	0	0	0	0
---------------------------------------	--------------------------------	--------------------------------	--------------------------------	--------------------------------	--------------------------------	--------------------------------

Constant/Incremental Rates

7.00000						
--------------------------------------	----------------------	----------------------	----------------------	----------------------	----------------------	----------------------

Rate File IDs and Rules

----------------------	----------------------	----------------------	----------------------	----------------------	----------------------	----------------------	----------------------

OK
Cancel

The A1—Current Interest Rate Segment can be accessed from the following screens.

- DD—Dividend Assumption Segment (accessed through the DV—Dividends Segment)
- Fund Rules (from the Fund Information option on the Product Menu)
- IP—NAIC Proposal Assumption Segment

Refer to the Product Book, Section 5, Interest Crediting Segment Criteria Screen Field Definitions for descriptions of each field displayed on the screen above.

A constant rate may be defined or the rates may be defined using a Declared Interest Rate File. If a rate file is defined, complete the following steps to view the rates.

1. From the Interest Crediting Segment Criteria screen, position the cursor on the Segment ID field for the rate file.
2. Press **F4**. The Declared Interest Rate File is displayed.

Refer to the Product Book, Section 5, Declared Interest Rate File for more information about rate files, including field definitions for the Declared Interest Rate File screen.

6.4 A3—Portfolio Rate Segment

The A3—Portfolio Rate Segment is used to define unique rates that are used to credit interest on windows that are opened due to the transfer of money between funds that are user requested. When the A3 Segment is not used, the rates paid on each window do not vary based on the source of the transfer money.

The A3 Segment is accessed from the Fund Rules screen.

Enter Interest Crediting Segment Criteria

Segment ID: >> Select Period:

Segment Type: A3 Ultimate ID:

Key Modifier: ☐

Band Process:

Upper Band Limits

99999999	0	0	0	0	0	0
---------------------------------------	--------------------------------	--------------------------------	--------------------------------	--------------------------------	--------------------------------	--------------------------------

Constant/Incremental Rates

----------------------	----------------------	----------------------	----------------------	----------------------	----------------------	----------------------

Rate File IDS and Rules

PORT	01								
-----------------------------------	---------------------------------	----------------------	----------------------	----------------------	----------------------	----------------------	----------------------	----------------------	----------------------

OK Cancel

A constant rate may be defined or the rates may be defined using a Declared Interest Rate File. If a rate file is defined, complete the following steps to view the rates.

1. From the Interest Crediting Segment Criteria screen, position the cursor on the Segment ID field for the rate file.
2. Press **F4**. The Declared Interest Rate File is displayed.

Refer to the Product Book, Section 5, Declared Interest Rate File for more information about rate files, including field definitions for the Declared Interest Rate File screen.

6.5 A4—Amortization Method

NOTE

Universal life only

The A4—Amortization Method Segment stores the rate used when the amortization life expectancy method is selected for a substantially equal payment (SEP) policy. The A4 Segment is accessed from the SR—Full Surrender Segment.

Enter Interest Crediting Segment Criteria									
Segment ID	UL1 >>			Select Period	Months	0			
Segment Type	A4			Ultimate ID					
Key Modifier	☐								
Band Process	Not Banded								
Upper Band Limits									
99999999	0	0	0	0	0	0	0	0	0
Constant/Incremental Rates									
Rate File IDs and Rules									
ACT01	11								
OK Cancel									

There are four options which are available to calculate life expectancy and are summarized below. The M4— Miscellaneous Segment stores the rate used in the option 3 calculation method.

- Option 0—This method uses Internal Revenue Service (IRS) Tables V and VI. Methods 9 and 10 can only be selected if the SEP Systematic Withdrawal field on the Coverage Record is set to **No**.
- Option 1—The single and joint life calculation uses the life expectancy rates from the UP-1984 Mortality Table. These rates are hard coded in the system and cannot be changed.

- Option 2—This option uses the life expectancy factors from Table V and VI from the 1986 Mortality Tables.
- Option 3—The fund value as of the request date is amortized using a defined rate and the life expectancy factors from Table V or VI. The A4—Amortization Method Segment stores the rate used in this calculation method. The single and joint life expectancy calculations are based on the following formula and are never recalculated.

$$\frac{1 - (1 + I)^{-(n+k)}}{I}$$

where I = interest rate defined on the A4 Segment, and

(n+k) = life expectancy factor from Table V or VI

A4—Amortization Method Subsystem Notes

- **Inforce**—Life expectancy methods are available for selection when a SEP is set up through Systematic Requests. The SEP must be designated as revocable or irrevocable.
- **Product**—The Flag SEP systematic withdrawals as Irrevocable/Revocable field on the Coverage Record is used to define if a SEP Systematic Request can be designated as revocable or irrevocable.
- **System Configuration**—The inforce security option, Irrevocable SEP Chng, controls access to SEP Systematic Requests that have been designated as irrevocable and the Distribution Election Type field on the Policy Miscellaneous screen.

6.6 A5—Rate Retrieval Rules

The A5—Rate Retrieval Rules Segment defines the rules related to rate retrieval for the interest rates on the A1—Current Interest Rate Segment. In addition, this segment can be accessed from the EI—Generic EIA Segment to define the rules related to rate retrieval for the parameters used to calculate the index rate for the following segments.

- Z2—Interim Participation Rate
- Z3—Final Participation Rate
- Z4—Interim Bonus Participation Rate
- Z5—Final Bonus Participation Rate
- Z6—Interim Vesting Factor Rate
- Z7—Final Vesting Factor Rate
- Z8—Interim Cap Rate
- Z9—Final Cap Rate
- ZA—Interim Floor Rate
- ZB—Final Floor Rate
- ZC—Final Spread Factor Rate
- ZE—Interim Spread Factor Rate

Rate Retrieval Rules

Segment ID >> Segment Type A5

Apply to Premiums

Received Within Days of

Premium Types

Regular Premiums

Transfers, Rollovers and 1035-X

Use Most Advantageous Rate Effective On

Issue Date

App Received Date

App Signed Date

Deposit Date

Use Deposit Date when Retrieving A1 Rate for App Received Date

OK Cancel

The following table contains the definitions for the fields on the A5 Segment.

Field	Description
Apply to ____ Premiums	This field identifies the premiums to which this segment applies. I—Initial Premiums that have the same effective date as the issue date of the contract are included. This is the default. A—All Any premiums applied without regard to the effective date are included.
Received Within ____ Days of ____	This field defines a date and the number of days before or after the date to which the A5 Segment rules apply. R—App Received Date The rules defined on this segment are effective for premiums received within the number of days defined before or after the date on which the application was received. This is the default. S—App Signed Date The rules defined on this segment are effective for premiums received within the number of days defined before or after the date on which the application was signed. I—Issue Date The rules defined on this segment are effective for premiums received within the number of days defined before or after the issue date of the policy.
Premium Types	
Regular Premiums	This field indicates if the rules on this segment apply to premium payments with the transaction code of 0110. Y—Yes The rules on this segment apply to premium payments with the transaction code of 0110. N—No The rules on this segment do not apply to premium payments with the transaction code of 0110.
Transfers, Rollovers and 1035-X	This field indicates if the rules on this segment apply to premium payments with the transaction codes of 0121, 0122, 0124, 0131, and 0132. Y—Yes The rules on this segment apply to premium payments with the transaction codes of 0121, 0122, 0124, 0131, and 0132. N—No The rules on this segment do not apply to premium payments with the transaction codes of 0121, 0122, 0124, 0131, and 0132.

Field	Description
Use Most Advantageous Rate Effective On	The Greater of or Equal to rate comparison is used based on the dates selected in this section. If only one date is selected, the rate for that date is used. If more than one date is selected, <i>LifePRO</i>® compares the rate for all of the dates that are selected and uses the greatest rate. These fields default to No. The most advantageous rate selected is the greatest rate for all the rates except the ZE—Interim Spread Factor and the ZC—Final Spread Factor. For these factors, the lowest rate is used. The rates for the Z2—Interim Participation Rate, Z3—Final Participation Rate, Z4—Interim Bonus Participation Rate, and Z5—Final Bonus Participation Rate Segments are retrieved with an effective date equal to the start date (window date). The rates for the Z6—Interim Vesting Factor, Z7—Final Vesting Factor, Z8—Interim Cap, Z9—Final Cap, ZA—Interim Floor, ZB—Final Floor, ZC—Final Spread Factor, ZD—State Minimum Participation Rate, and ZE—Interim Spread Factor segments are retrieved with an effective date equal to the end date (indexing date).
Use Deposit Date when Retrieving A1 Rate for App Received Date	This field is client specific and is not recommended for general use. This field indicates if the current interest rate, defined on the A1—Current Interest Rate Segment, is used for transfers received on or before the issue date and within the number of days input in the Received Within ___ Days of ___ field. The App Received Date option must be selected in the Received Within ___ Days of ___ field. It is important to note that this field only applies to funds using the New S Old S process rule and only to premiums or contributions using the 0121, 0122, or 0124 transaction codes. In addition, this field overrides the Apply Interest Select Period to Bucket or Policy Date field. Y—Yes The received date of the application and the effective date of the transfer are compared. The latter of the two dates is used to determine the effective date for the A1 Rate File that is retrieved. The actual transfer date is then used to determine the rate retrieved from the A1 Rate File. N—No The effective date of the transfer is used to determine the effective date for the A1 Rate File that is retrieved and the rate used from the A1 Rate File. This is the default.

6.7 AB—Add'l Death Benefits Segment

NOTE

Traditional only

The AB—Add'l Death Benefits Segment directs LifePRO® to rates that compute additional death benefits.

If so desired, the system can have rates which are multiplied by a number of units and are then added to the normal death benefit.

This segment was designed to support old deposit term products that pay cash values as an additional benefit after a specified number of years.

Death Benefit and Additional Death Benefits									
Segment ID	w/L1 >>			Segment Type	AB				
Key Modifier	AB			Values Vary by					
Are Values Banded	No			Underwriting Class	No				
Female Rate Basis	Male With Setback								
Setback Years	0								
Rate Type	Attained Age								
Rate Rounding Rule	00								
Band Upper Limits:	9999999	0	0	0	0	0	0	0	
Benefits Cease at									
Period(s) From Issue									
First Duration Available				Use Extended Keys	No		Extended Keys		
Minimum Benefit Duration				Do Not Pay out Death Benefit	No		Rates		
Death Benefit based on True Age (Traditional Only)	No			Interpolate Monthly			OK		
Interpolate values per unit	No			Cancel					

The AB—Additional Death Benefits Segment also allows interpolation of the additional death benefit for a policy between anniversaries, using the two interpolation flags at the bottom of the screen. This interpolation feature allows a traditional product to be defined with an additional death benefit that changes monthly or daily, instead of annually. The death claim process is the only process that has been modified to use these interpolation flags. Refer to Section 12, DB—Death Benefits Segment on page 12-233 for more information, including formulas.

Fields Unique to this Segment

The following table contains definitions for the fields on the AB Segment.

Field	Description
Benefits Cease at	The type of period to use when determining when benefits stop is input in this field. A—Age The benefits stop at the age selected. D—Duration Cease Point The benefits stop in the duration designated. O—Off Anniversary Expiration The benefits stop after the number of either months or days designated have passed. An example of the Off Anniversary Expiration option is travel insurance when coverage is good for 180 days or 5 months.
Age/Duration Cease Point	The number of periods, in months or days, in which the benefits cease.
First Duration Available	Input a value from 1 to 100 in this field. This represents the first year the additional benefit is paid. For example, a value of 1 indicates any time during the first year and a value of 2 indicates any time during the second year. If benefits are available for all policy years, this field is left blank.
Use Extended Keys	This field is used to allow a health benefit amount to be designated to increase on an annual basis, without increasing the premium. If this field is set to Yes, click Extended Keys to access the Extended Key Rate Definition screens. The benefit value coded through the extended key selections overrides the Value Per Unit field on the second Coverage Record screen. This value can be viewed at the benefit level via the Benefit Detail screen. From the Benefit Detail screen, click Actions to display a Processing Menu, then select Health Benefit Quote. Refer to Section 12, 6.196—PR—Premium Segment on page 12-725 in this book for additional information on using the extended keys to define rates.
Minimum Benefit Duration	The value in this field designates the minimum number of years that the benefit is payable. This is used to override a benefit cease period based on age. For example, if the benefit cease point is Age with an age of 65 on a policy issued at age 60 and the minimum benefit duration is 10, then the policy continues to pay the additional benefit through age 70.

Field	Description
Do Not Pay out Death Benefit	This field is used to allow a health benefit amount to be designated to increase on an annual basis, without increasing the premium. If this field is set to Yes, the benefit defined through the extended key definition is not paid out as a death benefit during death claim processing.
Death Benefit based on True Age (Traditional Only)	Y—Yes N—No
Interpolate values per unit	This field determines if death claim processing calculates a death benefit between anniversaries, through interpolation. Y—Yes The death benefit is interpolated between anniversaries. If this field is Yes, the Interpolate Monthly field must be set to Month or Day. N—No The death benefit is not interpolated between anniversaries. This is the default. NOTE The death claims process is the only process that uses the Interpolate values per unit and Interpolate Monthly fields. Other areas such as premium lookup for reserves and reinsurance, policy exhibits, surrender quotes, annual statements, illustrations, reprojections, and expenses do not use these fields.
Interpolate Monthly	If the Interpolate values per unit field is set to Yes, this field determines whether monthly or daily interpolation is used. M—Month Monthly interpolation is based on the number of completed months from the last anniversary to the date of death. D—Day Daily interpolation is based on the number of days from the last anniversary to the date of death.

6.8 AC—Add'l Premium Credited Segment

NOTE

Universal life only

If the NC—Net Crediting Premium Segment is attached to a product, the AC—Additional Premium Credited Segment points to the additional premium to be credited.

Rate Type Segment								
Segment ID	UL1 >>							
Segment Type	AC							
Select Period	Age 0							
Ultimate ID								
Constant Rate	0.0000000 (Added to File Rate if Declared)							
Rate Type	Constant Rate Only							
Type Modifier	☐ Rates Vary by Underwriting Class No							
Mult Insured Access								
Rate Basis	Separate And Unique Years of 0							
Banding Method	Not Banded							
Banding Rule	Traditional							
Upper Band Limits	<table border="1"><tr><td>0</td><td>0</td><td>0</td><td>0</td><td>0</td><td>0</td><td>0</td></tr></table>	0	0	0	0	0	0	0
0	0	0	0	0	0	0		
Rates Coded As	Actual Amount							
Change Frequency	Not Applicable 0							

Mode Rules

Rates

Next

OK

Cancel

6.9 AD—Add'l Div, Premium Pay Segment

NOTE

Traditional only. This segment provides the ability to have another dividend. This segment is not required, but is applicable for traditional participating products.

The AD—Add'l Div, Premium Pay Segment directs *LifePRO*® to rates used to compute additional dividends payable with dividends defined through the DV—Dividends Segment. These are for policies in a premium paying phase, not policies which are either paid-up normally or paid up via reduced paid-up (RPU) processing. In addition, this segment provides the ability to pay an additional dividend as part of the interpolated cash value payments for surrender, loan, and nonforfeiture processing for premium paying and paid up policies.

Additional Dividend Information						
Segment ID	wL >>			Segment Type	AD	
Key Modifier	AD			Do Values Vary By		
Are Values Banded	No			Underwriting Class	No	
Female Rate Basis	Male With Setback					
Setback Years	0					
Rate Type	Attained Age					
Rate Rounding Rule	0					
Include Pro-Rata Value with Cash Value Off-Anniversary	No					
Band Upper Limits	0	0	0	0	0	0
Constant Adjust	0.00	0.00	0.00	0.00	0.00	0.00
Dividend Cap	0.00	0.00	0.00	0.00	0.00	0.00

Fields Unique to this Segment

The following table contains definitions for the fields on the AD Segment.

Field	Description
Include Pro-Rata Value with Cash Value Off-Anniversary	This field provides the ability to pay an additional dividend as part of the interpolated cash value payments for surrender, loan, and nonforfeiture processing for premium paying or paid up policies. This field appears on the AD—Additional Dividend Premium Paying and the ND—Additional Dividend, Non Premium Paying Segments. Y—Yes An additional dividend can be paid as part of the interpolated cash value and payment of the dividend as part of normal processing on the policy anniversary if not paid as part of cash surrender value during the year. The following calculation interpolates to the effective date of the activity. In the following example, the paid to date is used as the effective date since most surrender processing is done as of the paid to date. $\text{Cash Value} = \text{Unit} * 1,000 * \text{CSV Factor}$ $\text{CSV Factor} = \text{CSV}_t (1 - \text{Factor}) + \text{CSV}_{t+1} + \text{Additional Dividend}_{t+1} * \text{Factor}$ $\text{Factor} = \frac{(\text{PTD} - \text{last anniversary})}{365} / \frac{(1 + I(\text{PTD} - \text{SD}))}{365}$ where: $I = 20\%$ $\text{PTD} = \text{paid to date}$ $\text{SD} = \text{surrender date}$ $t = \text{number of completed policy years}$ N—No The cash value is the interpolation to the surrender date. For loan values, the system interpolates value based on the effective date of the loan, the paid to date, or the automatic premium loan (APL) date.
Constant Adjust	LifePRO® first computes the dividend based on the DV—Dividends Segment, computes any additional dividend, then adds or subtracts the constant amount in this field. The constant follows the banding of the AD rate itself. The value in this field can be positive or negative.
Dividend Cap	The adjustment amount calculated using the AD Segment cannot exceed the amount entered in this field. For example, if the adjustment amount is \$100 and the Dividend Cap field is \$50, the dividend is only adjusted by \$50. The value in this field can be positive or negative and can be banded using the same band as the AD rates.

6.10 AE—Arrears Policy Fee

NOTE

Annuity only

The AE—Arrears Policy Fee Segment is used to assess a policy fee at the end of the timing code selected. The timing codes available are annually, quarterly, or monthly. The policy fee can also be assessed when the policy is surrendered, when the policy is annuitized, or when the policy is terminated due to death. In addition, this fee can be assessed based on the tax qualification code.

Arrears Policy Fee

Segment ID: 25 >> Select Period: 0
 Type: AE Ultimate ID:
 Constant Amt: 25.00 Vary By UWCLS?: No
 Key Modifier:
 Rate Type:
 Rate Basis: Male With Setback
 Setback Yrs: 0
 Band Method: Not Banded
 Band Limits: 0 0 0 0 0 0 0
 Rates Coded As: Actual Amount
 Calculation Flag: Flat Deduct
 Load Timing Code: Annually One Day Prior To MDV
 Assess Fee on: Full Surrender Yes Annuitization No Death No
 Fund Allocation: Prorata Allocated Across: All Funds
 Rates
 OK
 Cancel

The following table contains definitions for the fields on the AE Segment.

Field	Description
Segment ID	The segment ID selected on the Segment List is displayed in this field.
Type	This field is completed by the system.
Select Period	The length of time, in years, the selected rates are used is input in this field. If the same rate segment is used for all years and the Rate Type is Attained Age , Issue Age , or Duration Only , input 0 in this field. If the same rate segment is used for all years and the Rate Type is Age and Duration , input 999 in this field.

Field	Description
Ultimate ID	The segment ID of the segment that contains the rates that are used when the rates change is displayed in this field. The rates change as indicated in the Select Period field. If the same rate segment is used for all years and the Rate Type is Attained Age , Issue Age , or Duration Only , this field is left blank. If the same rate segment is used for all years and the Rate Type is Age and Duration , input NA in this field.
Constant Amount	If the arrears policy fee is a flat dollar amount that does not vary, the amount is input in this field.
Vary By UWCLS	This field determines if the arrears policy fee varies by underwriting class. Y—Yes The policy fee deducted is determined by the underwriting class of the policy. N—No Rates do not vary by underwriting class. The default underwriting class is used when determining the policy fee.
Key Modifier	The ID input in this field defines the appropriate rates in the rate file. The key modifier defined should match the Segment Type if the rates are unique for the segment. To point to rates for another segment, update the Key Modifier field to match that segment's Segment Type. In addition, the segment IDs must also be the same to point to the rates for the other segment.
Rate Type	This field defines the type of rates used to determine the policy fee. The rate type selected determines on what the rates are based and where in the rate file the rates are input. A—Attained Age The rates are based on the attained age of the insured or annuitant. I—Issue Age The rates are based on the issue age of the insured or annuitant. O—Duration Only D—Age and Duration If Duration Only or Age and Duration is selected, input the rates in the Age/Duration rate file. If Duration Only is selected, the rates are input under Age 0 in the Age/Duration rate file.
Rate Basis	This field determines if the rates used for males and females are different. S—Male With Setback The same rates are used for males and females. However, the rates can be set back a designated number of years for females using the Setback Yrs field. U—Separate And Unique Different rates are used for females.

Field	Description
Setback Yrs	This field works in conjunction with the Rate Basis field. If Male with Setback is selected in the Rate Basis field, the number of years the rates are set back for females is designated in this field. If the rates are the same for males and females, input 0 in this field. This tells the system that the female rates are set back 0 years from the male rates.
Band Method	This field defines how the deductions are banded, using the Band Limits fields. F—Fund Value G—Gross Premiums W—Gross Premiums less Gross Withdrawals X—Not Banded
Band Limits	This field works in conjunction with the Band Method field. Each field in the Band Limits section corresponds to a different amount limit. The first field represents the upper limit for band 1, the second field represents the upper limit for band 2, and so on. If the values are not banded, input all 9's in the first field.
Rates Coded As	This field works in conjunction with the Calculation Flag field. This field defines the amount of the deduction or the percentage of the total fund balance that is deducted. A—Actual Amount The dollar amount of the deduction is input in this field. P—Percentage (1% coded as 1.00) The rate input in this field is multiplied by the total fund balance to calculate the deduction amount. This field should be set to Percentage when using the Fund Balance option in the Calculation Flag field.
Calculation Flag	This field works in conjunction with the Rates Coded As field. This field determines if the rate in the Rates Coded As field is deducted as a flat dollar amount or if the rate is multiplied by the total fund balance to determine the deduction. D—Flat Deduct The rate input in the Rates Coded As field is deducted as a flat dollar amount. F—Fund Bal The rate input in the Rates Coded As field is multiplied by the total fund balance to calculate the deduction.

Field	Description
Load Timing Code	The first field defines the period in which the policy fee is deducted. M—Monthly The arrears policy fee is deducted at the end of each policy month. A—Annually The arrears policy fee is deducted at the end of each policy year. Q—Quarterly The arrears policy fee is deducted at the end of each policy quarter. The second field determines when the AE fee is deducted from the fund balance if the last day of the period is not a valid price day. O—On Modeaversary If the last day of the policy month, quarter, or year is not a valid price day, the policy fee is deducted on the next valid price day of that month, quarter, or year. P—One Day Prior to MDV If the last day of the policy month, quarter, or year is not a valid price day, the policy fee is deducted on the last valid price day of that month quarter, or year. This is the default. If the last day of the policy month, quarter, or year is not a valid price day, the policy fee is deducted on the last valid price day of that month, quarter, or year. For example, assume a policy is issued on 1/12/03 and is set for a monthly arrears policy fee. The first fee is deducted on 2/11/03. However, if the last valid price day before 2/12/03 is 2/10/03, the policy fee is deducted on 2/10/03.
Assess Fee on: Full Surrender, Annuitization, Death	These fields define the processes from which the arrears policy fee is deducted. Y—Yes The arrears policy fee is deducted from the fund at the time of the process. N—No The arrears policy fee is not deducted from the fund at the time of the process.

Field	Description
Fund Allocation	This field defines how the deduction is allocated among the funds. P—Prorata The deduction is taken from each fund as a ratio of the fund value. L—LIFO The entire deduction is taken from the last fund listed. F—FIFO The entire deduction is taken from the first fund listed. If the deduction exceeds the fund value, the remaining amount is deducted from the next fund.
Allocated Across	This field determines if the fee is deducted from all funds or if the fee is deducted from unit based funds only. A—All Funds The fee is deducted from all funds. This is the default. U—Unit Based Funds Only The fee is deducted from unit based funds only.

6.11 AF—Annual Agent Service Fee

The AF—Annual Agent Service Fee Segment is used to designate a per policy annual service fee that is paid to agents of a specified level.

If a service fee is coded for the agent level specified, the payment is generated at the policy anniversary. For line of business U—Universal Life or A—Annuity policies, monthiversary creates the Commission Detail Record for the fees. For line of business L—Traditional and H—Health, anniversary processing creates the Commission Detail Record. The fee is recorded as a debit to transaction code 1161, service agent fee. The payment clears through the 0050 Commission Clearing account.

Company	Level	Report Description	Service Fee
01	30	JS HOME OFFICE	3.00

The following table contains definitions for the fields on the AF Segment.

Field	Description
Company	The company code to which fees are applied is input in this field.
Level	The level of the agent to which the fee is paid is displayed in this field. The level must be a valid level from the Agency Level Report Descriptions screen in the Agency/Commission Subsystem.

Field	Description
Report Description	The report description corresponding to the level selected is displayed in this field.
Service Fee	The per policy fee to be paid to agents of the level specified is displayed in this field.

6.12 AI—After Issue Policy Pages

NOTE

Universal life—Client specific

This segment causes *LifePRO*® to generate a trigger record when a benefit change, benefit add, specified amount increase or decrease, option change, or rider termination occurs.

When disclosures are run from the Reports System, the system executes the program name in the Policy Pages Generation Program field.

NOTE

The program name is client defined, and the linkage to the program is found in the copybooks WNBVLCPY.COB and WPOLCCPY.COB.

Enter AI Segment Criteria	
Segment ID	UL1 >>
Segment Type	AI
Generate After Issue Disclosures ?	Yes
Policy Pages Generation Program	SAMPLE
OK Cancel	

The following table contains definitions for the fields on the AI Segment.

Field	Description
Generate After Issue Disclosures	This field defines if disclosures can be generated after a policy is issued. Y—Yes N— No
Policy Pages Generation Program	The name of the client defined and created program that generates the policy pages is input in this field. The name can be up to 8 alphanumeric characters.

6.13 AJ—Adjustments of COI

NOTE

Universal life—Client specific

The AJ—Adjustments of COI Segment is a specialized segment designed to point to rates which modify the cost of insurance (COI) rates used in computing the final COI rate for a first-to-die product.

These rates are available for use in future modifications, or in processing exceptions logic; however, they are not used generically by the system.

Rate Type Segment	
Segment ID	UL1 >>
Segment Type	AJ
Select Period	Duration 0
Ultimate ID	
Constant Rate	3.0000000 (Added to File Rate if Declared)
Rate Type	Constant Rate Only
Type Modifier	☐ Rates Vary by Underwriting Class No
Mult Insured Access	
Rate Basis	Separate And Unique Years of 0
Banding Method	Not Banded
Banding Rule	Traditional
Upper Band Limits	0 0 0 0 0 0 0
Rates Coded As	Actual Amount
Change Frequency	Not Applicable 0
Mode Rules	
Rates	
Next	
OK	
Cancel	

6.14 AN—Annual Statement Setup

The AN—Annual Statement Setup Segment defines who is to receive a copy of a policy annual statement and the number of copies to generate.

NOTE

The payor **always** gets a copy.

This segment is applicable for UL, annuity, and some traditional products.

Relate Code	Seq	Relationship	# Of Copies	File Copies
PO >>	☐	Policy Owner	1	☐
AC >>	☐	Accountant	1	☐
GU >>	☐	Guardian	1	☐
UL >>	☐	Unintnd Lapse	1	☐
>>	☐			☐
>>	☐			☐
>>	☐			☐
>>	☐			☐
>>	☐			☐
>>	☐			☐
>>	☐			☐
>>	☐			☐
>>	☐			☐
>>	☐			☐
>>	☐			☐
>>	☐			☐
>>	☐			☐
>>	☐			☐
>>	☐			☐
>>	☐			☐
>>	☐			☐

Value For The Relate Code UL: First Notice And All Remaining Notices

OK
Cancel

The following table contains definitions for the fields on the AN Segment.

Field	Description
Relate Code	Designate the relationship that always receives a copy of the annual statement in this field. The payor is listed first and cannot be deleted. Only one copy of the annual statement is sent per name record. Click >> from this field for a cross reference list of LifePRO® relationships. Multiple relationships can be specified by clicking each relationship for selection.

Field	Description
Seq	If a relationship allows multiple sequence numbers, this field is accessible. Type in the sequence number desired or blank for the first occurrence.
Relationship	The relationship selected is displayed in this field in written format.
# Of Copies	The number of copies to send to the person on that line is displayed on this field. Note that there is no distinction between a normal copy and a file copy. Generating 2 copies and no file copies would have the same effect as generating 1 copy and 1 file copy.
File Copies	The number of copies to send to the person on that line is displayed in this field. Note that there is no distinction between a normal copy and a file copy. Generating 2 copies and no file copies has the same effect as generating 1 copy and 1 file copy.
Value For The Relate Code UL	For the protection of a policyowner, a UL—Unintended Lapse relationship can be added to a policy to identify an additional name record to mail a billing notice. This field identifies the type of billing notice that a UL—Unintended Lapse relationship is to receive. The value defined in this field defaults to the Notice Indicator field on the Relation and Policy window when a UL relationship is input. The Relation and Policy window is accessed by pressing F8 from the Relationship window from the Name and Address Record and the Contract screen. NOTE Overrides to this field can be made in two areas at the policy level. 1) Through the Notice Indicator field on the Relation and Policy window when a UL relationship is input. 2) Through the Value for the Relate Code UL field on the Relationship Copies screen which is accessed through the Billing Copies option from the Miscellaneous screen. 01—First Notice And All Remaining Notices 02—Reminder Notice And All Remaining Notices 03—Late Payment Offer And Lapse Notice 04—Lapse Notice Only

6.15 AP—Addl Premiums, Deposits Segment

NOTE

Traditional only

The AP—Addl Premiums, Deposits Segment directs *LifePRO*® to premiums charged in addition to the PR—Premium segment rates.

Premium Segment File									
Segment ID	ONEYRTERM >>			Segment Type	AP				
Key Modifier	AP			Do Values Vary By					
Are Values Banded	No			Underwriting Class	No				
Female Rate Basis	Male With Setback								
Setback Years	0								
Rate Type	Attained Age								
Rate Rounding Rule	Truncate After Cents								
Substandard Percentage Rounding Rule				Round To Nearest 7 Decimal Places					
Band Upper Limits									
9999999	0	0	0	0	0	0	0		
Premium Select Period	0			Premium Change Frequency	0				
Premium Mode Rule ID	NA								
Coverage ID Of Ultimate Rates	NA								
Premium Rate Calculation Rule									
Extended Key Definition Used									
Mode Rules Rates Extended Key Table Extra OK Cancel									

Fields Unique to this Segment

The following table contains definitions for the fields on the AP Segment.

Field	Description
Substandard Percentage Rounding Rule	This field determines the rounding rule to be applied to rated premium calculations. (The Rate Rounding Rule field determines the rounding rule to be applied to basic modalized premium calculations.) 0—Round To Nearest 7 Decimal Places Using this rounding rule, LifePRO® adds 0.0099999 to the result of the unrounded premium calculation, then truncates the amount to 2 decimal places. For example, if the unrounded premium is 132.8749376, the rounded premium is 132.88 (132.8749376+0.0099999=132.8849375). This is the default. 1—Truncate After Cents Using this rounding rule, LifePRO® truncates the unrounded premium by discarding everything after the first two decimal places, without rounding. For example, if the unrounded premium is 132.8749376, the rounded premium is 132.87 (132.8749376). 2—Round To Nearest Cent Using this rounding rule, LifePRO® considers the value of the digit three decimal places out, in the unrounded premium. If this digit is 4 or less, the value is rounded down to the nearest cent. If this digit is 5 or more, the value is rounded up to the nearest cent. For example, if the unrounded premium is 132.8749376, the rounded premium is 132.87. Or, if the unrounded premium is 132.8759376, the rounded premium is 132.88. 3—Round To Next Higher Cent Using this rounding rule, LifePRO® considers the value of digits three decimal places out or more, in the unrounded premium. If the value is greater than zero, LifePRO® rounds the value up to the next highest cent. For example, if the unrounded premium is 132.8749376, the rounded premium is 132.88.
Premium Select Period	The length of time, in years, that the rates selected are used is displayed in this field. If the same rate segment is used for all years and the Rate Type is Attained Age, Issue Age, or Duration Only, input 0 in this field. If the same rate segment is used for all years and the Rate Type is Age and Duration, input 999 in this field.
Premium Change Frequency	The change frequency indicates the number of durations at a time the rates are held constant. For example, a 5-year renewable and convertible term product with premiums that are level for 5 years then jump to the attained age and remain level again for 5 years, has a premium change frequency of 5. If the rates are the same for all years, input 0 in this field.

Field	Description
Premium Mode Rule ID	The Premium Mode Rule ID, coupled with the form (direct, preauthorized check, list bill, government allotment, or credit card), allows the system to access a Mode Rule Record. The modalization factors for each mode (for example, monthly, quarterly) are located in the Mode Rule Record. A maximum of 10 characters may be entered in this field. NOTE The base benefit Mode Rule ID applies to any additional premiums.
Coverage ID Of Ultimate Rates	The Segment ID of the segment that contains the rates that are used when the premiums change is displayed in this field. The rates change as indicated in the Premium Change Frequency field. If the same rate segment is used for all years and the Rate Type is Attained Age, Issue Age, or Duration Only, this field is left blank. If the same rate segment is used for all years and the Rate Type is Age and Duration, input NA in this field.
Premium Rate Calculation Rule	U—Units Purchased The premium is computed as the units purchased at issue of the coverage, multiplied by the premium rate found according to the definitions in the upper part of the segment. D—Death Benefit The premium is computed as the death benefit at the point of the calculation, divided by 1000 and then multiplied by the rate found according to the rules code. P—Percentage The premium is calculated as a percentage per unit value of premium for the benefits that are included for premium waiver as defined on the Coverage Record. This option is only available for waiver coverages. 1—W1 Segment The premium is calculated using the sum of premiums from the W1 Segment for non-waiver coverages. This option is only available for waiver coverages. 2—W2 Segment The premium is calculated using the sum of premiums from the W2 Segment for non-waiver coverages. This option is only available for waiver coverages. For example, assume a coverage is a decreasing term product with death benefits of 1000, 900, 800, 700, 600, or 500. The rates are coded as A, changing annually. If the premium rate calculation rule is coded as premium D, then in year three, the system computes the premium as $800/1000 * \text{year-3 rate}$, NOT as $1000 / 1000 * \text{year-3 rate}$. A—Percent Of Account Value

Field	Description
Premium Rate Calculation Rule (continued)	E—Percent Of Eligible Premiums (GB Only) This option can only be used for GB—Guaranteed Benefit type riders. When this option is used, deductions for the GB rider are based on eligible premiums that are defined on the LM—Living/Maturity Segment for the base benefit. W—Percent of Greater of GMWB Eligible Premiums or Lifetime Basis (GW Only) This option can only be used for GW type riders. When this option is used, deductions for the GW rider are based on the greater of eligible premiums or lifetime basis defined on the GW—Guaranteed Withdrawal Segment for the base benefit.
Extended Key Definition Used	Currently this field only applies to line of business H—Health. Y—Yes Extended key definitions are used and the KD—Key Definition Segment must also be coded. Premiums are not in the Attained Age or Age/Duration File. They are in a separate health file. Refer to Section 12, 6.196—PR—Premium Segment on page 12-725 in this book for a detailed explanation of the Extended Key Definition screens. N—No Extended key definitions are not used.

6.16 AX—Bonus, Contest, and Production Segment

NOTE

This segment is specifically for companies to use to invoke production process monitoring. There is a whole series of AX extracts that can be run from the Reports/Processing Menu. This segment is the glue that holds that process together. There is a panel of rules that can be designated by production, contest, or bonus which defines how agents are awarded credits for different levels of premium, face amount, policy number, and so on. Without this segment the whole process cannot run. This is not specific to any line of business; however, it is more relevant to UL.

The AX—Bonus, Contest, and Production Segment defines the items to be tracked during agency extract reporting.

The Agency Extract Report functions, available in Reports/Processing is run on an “as desired” basis. When it runs, it looks at policies for one or more selected lines of business which were issued in a user defined issue range. If a policy is found in that range and on the desired line of business, the system looks at the AX Segment for the base coverage.

If the AX Segment is selected, the extract program computes the given values as the percentage multiplied by the eight items listed. There are 24 values produced in the extract (some may be zero, of course).

Enter Bonus, Contest, And Production Segment Criteria

Segment ID: >> Segment Type: AX

Values at Issue		Prod%	Contest%	Bonus%
1.	Annual Target Premium	25 %	25 %	25 %
2.	Planned Periodic Premium	50 %	50 %	50 %
3.	Lower of (1) or (2)	0 %	0 %	0 %
4.	Excess Premium [(2)-(1)]	5 %	5 %	5 %
5.	Annualized Premium	50 %	50 %	50 %
6.	Face Amount	0 %	0 %	0 %
7.	Annual Target for Exchange Policies (I) or (E)	0 %	0 %	0 %
8.	Annualized Premium for Exchange Policies (I) or (E)	0 %	0 %	0 %

OK
Cancel

For each item listed, supply a percentage (0.00% is fine) for purposes of production, contests, and bonus reporting.

The eight items listed are self-explanatory. Note that in item 7 and 8, the (I) and the (E) refer to internal exchanges and external exchanges, respectively.

6.17 B1—B5 Bonus Rates Segment

NOTE

Universal life only

There are two types of B1-B5 Bonus Rates Segments. The first set is available at the coverage level and the other set is available at the fund level.

- At the coverage level, the BN—Bonus Rules and Rates Segment is accessed directly from the Segment List. The B1-B5 Bonus Rates Segments correspond to the Bonus Credit Rates fields, in the order they are displayed on the screen. For example, positioning the cursor on the first Bonus Credit Rate field and pressing **F4** accesses the B1 Segment. Positioning the cursor on the second Bonus Credit Rate field and pressing **F4** accesses the B2 Segment.

Coverage level bonuses are applied to all policies regardless of the funds selected by the policyholder.

- At the fund level, from the Fund Rules screen, click **Segment List**. The Segment List for the fund is displayed. The Y/N flag for the BN—Fund Bonus Segment must be set to **Yes**. Position the cursor on the Segment ID for the Fund Bonus field and press **F4** to access the fund level BN Segment. Drop into the fund level B1-B5 Segments from the BN Segment in the same manner as described for the coverage level B1-B5 Segments.

Fund level bonuses are applied only to policies with money in that fund.

Each of the B1-B5 Segments consists of two screens. The first defines the types of rates to be used, and the second defines the bonus calculation method and the bonus allocation method.

When the segment is first accessed, the first screen which shows the types of rates to be used is displayed.

Rate Type Segment	
Segment ID	UL1 >>
Segment Type	B1
Select Period	Duration 0
Ultimate ID	
Constant Rate	0.0000000 (Added to File Rate if Declared)
Rate Type	Duration Only
Type Modifier	N
Rates Vary by Underwriting Class	No
Mult Insured Access	
Rate Basis	Male With Setback
Years of	0
Banding Method	Not Banded
Banding Rule	Traditional
Upper Band Limits	0 0 0 0 0 0 0
Rates Coded As	Percentage (1% Entered As 1.00)
Change Frequency	Not Applicable
	0

Mode Rules
 Rates
 Next
 OK
 Cancel

Fields Unique to this Segment

The table below contains descriptions for the fields on the B1 - B5 Segments.

Field	Description
Select Period	The length of time, in years, the selected rates are used is input in this field. If the same rate segment is used for all years and the Rate Type is Attained Age , Issue Age , or Duration Only , input 0 in this field. If the same rate segment is used for all years and the Rate Type is Age and Duration , input 999 in this field.
Ultimate ID	The segment ID of the segment that contains the rates that are used when the rates change is displayed in this field. The rates change as indicated in the Select Period field. If the same rate segment is used for all years and the Rate Type is Attained Age , Issue Age , or Duration Only , this field is left blank. If the same rate segment is used for all years and the Rate Type is Age and Duration , input NA in this field.
Constant Rate	If the same rate is paid, the rate amount can be entered in this field.

Field	Description
Type Modifier	The type modifier points the system to the proper rates in the rate file. The type modifier should match the segment type if the rates are unique for the segment. To point to another segment's rates, update the type modifier to match that segment's segment type. (The segment IDs must also be the same to point to the other segment's rates.)
Mult Insured Access	This field is not applicable for this segment.
Banding Method	X—Not Banded F—Fund Value The band is based on the total fund value. If this segment is at a fund level, then it is banded by the individual fund value, not by the total in the policy. The Fund Value option is only available if the Banding Rule field is set to Ratcheted. N—NAR If this fund is on a UL product, the banding is by the net amount of risk in the entire policy. Y—YTD Premium O—Original Specified Amount If this option is selected, the original specified amount at issue determines the band number. P—Premium Amount L—Specified Amt + Prev Layers (for SL Only) The band is based on the current specified amount and any previous specified amount layers. For example, assume the SL—Full Surrender Load Segment contains rates for three bands and the Banding Method field is set to Specified Amt + Prev Layers (For SL Only). Also assume the Upper Band Limits fields are completed as shown below. Band 1—100,000 Band 2—250,000 Band 3—999,999 A policy is issued with an original specified amount of \$75,000. Since the specified amount is less than \$100,000, the band 1 rates are used when determining the surrender charges at issue. Then assume that a specified amount increase is processed in the amount of \$50,000. The total of the specified amounts for all layers on the policy is used when determining the band to use for the new layer (the increase). Since the specified amount increase added to the base amount is \$125,000, the rates for band 2 are used when determining the surrender charges for the band 2 portion of the specified amount.

Field	Description
Banding Method (continued)	S—Current Specified Amount If this option is selected, the system uses the total current specified amount to compute the band number. The Current Specified Amount option is only available if the Banding Rule field is set to Traditional. V—Fund Value per Fund (FV Benefit) The banding limits are applied to the fund value of the fund instead of the fund value of the policy.
Banding Rule	T—Traditional All the value to be used is applied to get one and only one band number. The Traditional option is only available if the Banding Method field is set to Current Specified Amount. R—Ratcheted The value used is split over each band, and a separate rate from each band applies to the portion in that band. The Ratcheted option is only available if the Banding Method field is set to Fund Value. For example, assume there are three bands set at 10,000, 20,000 and 999999999. The band 1 rate is 10%, the band 2 rate is 8%, and the band 3 rate is 5%. If the banding method applies a percentage to the fund being withdrawn (typical for an annuity), and the fund is 40,000, then the system splits the fund into a 10,000 piece and applies 10%, a 20,000 piece and applies 8%, and then 10,000 in the last band where 5% is applied. A—Accumulative
Rates Coded As	A—Actual Amount P—Percentage (1% Entered As 1.00) Interpret the rate found as a percentage, (scale it by multiplying by .01).
Change Frequency	The change frequency codes the number of durations at a time the rates are held constant. For example, a 5-year renewable and convertible term product that has premiums that are level for 5 years then jump to the attained age and remain level again for 5 years, has a premium change frequency of 5.

Click **Next** to view the second screen, on which the bonus calculation and allocation methods are defined.

The Bonus Calculation options are selected from the second screen of the segment.

Segment Screen - B1-B5 (2nd)

If your Bonus Method does not use any of these fields then just leave them blank (or zero).

Bonus Calculation based on:

Required Annual Premium	Excess Unimpaired Interest to Date
Admin Fee for Last 12 Months	Allow Free Withdrawal Period of days
Interest since Last Bonus	Suppress Decrease on Free Withdrawal
Average Spec Amt since Issue	Current Fund Balance
Expenses since Last Bonus	Pct Face for Max Bonus
Average Fund Balance	Flat Amount
for last months	Account Value
Premiums Paid	
Specific Account Value as of Policy Anniversary	
Maximum Bonus Amt 0.00	Allocation Method Bonus Default
Maximum Bonus Flag	

Accounting

The following table contains definitions for the fields on the second page of the B1 - B5 Segment.

Field	Description
Bonus Calculation	This field is optional and is used to define the calculation used to define the bonus. R—Required Annual Premium The rates defined on page one of the B1-B5 Segment is multiplied by the planned premium. This option is not valid for crediting method 04. F—Current Fund Balance Y—Yes A percentage of the face amount must be entered in the second field. The percent of the fund value bonus is calculated as shown below. Bonus rate = % from rate file * (Fund Value/(face amount * the entered percentage)), not to exceed the percentage from the rate file. The Bonus equals the Bonus Rate * Fund Value. N—No The full face amount is used.

Field	Description
Bonus Calculation (continued)	E—Excess Unimpaired Interest A bonus amount is applied based on the interest earned on the unimpaired fund balance. A—Administrative Fee This option pays a bonus on the administrative fee paid for the last 12 months prior to the application of the bonus. The administrative fee is defined on the UF—Per Policy Monthly Expense Segment. NOTE The Banding Method field must be set to Current Specified Amount, and the Banding Rule field must be set to Traditional on the B1-B5 Segments in order to pay a bonus based on the administrative fee. I—Interest Since Last Bonus Modeaversary processing calculates the bonus from the interest paid and accumulates the bonus since the last bonus was credited, or since issue if there was no last bonus. The accumulated bonus is applied on the policy anniversary based on the BN—Bonus Rules and Rates Segment. X—Expenses Since Last Bonus If this option is selected the screen displays the message <i>Press F5 to Select Expenses</i>. Press F5 to select all expenses to be used for calculating the bonus. The expense charges are the sum of the identified items charged since the last bonus, or since issue if there was no last bonus. Available expense options include expenses from the UF—Per Policy Monthly Expense Segment, the U1 and U2—Premium Load Segments, and the U3—Per Thousand Expense Load Segment. S—Average Specified Amount The arithmetic average of the specified amounts on the first day of each policy year prior to the bonus is used to determine the bonus. B—Average Fund Balance The bonus is calculated based on the average fund balance for the last number of months selected. <u>00 months—</u>The average fund value for all months since the last bonus (or since the issue date if no bonus has been paid yet) is used, including the current month. <u>01 to 99 months—</u>The average is based on the past (n) months, starting with the current month (as opposed to the most recently past month). Bonus Calculation Method B is only applicable if the Crediting Method field is set to 04 on the corresponding BN—Bonus Rules and Rates Segment.

Field	Description
Bonus Calculation (continued)	M—Constant Amount This bonus is calculated based on a flat dollar amount, defined by the Constant Rate field or the Rate Table from the previous screen. In other words, the flat amount can be constant or it may vary according to the rate table. This method is only applicable if the Crediting Method field is set to 04 on the corresponding BN Segment. P—Premiums Paid The premiums paid are multiplied by the bonus rate (defined on the first screen of this segment) to determine the bonus amount. The transaction codes, minimum amount, and consecutive years for the premiums to be included in this calculation may vary and are defined on the subsidiary BB—Premium Bonus Calculation Criteria Segment. If the Bonus Calculation field is set to Premiums Paid, a BB Segment ID must be defined in the field marked 'P'remiums Paid. This calculation method is only available for crediting method 05, as defined on the BN—Bonus Rates and Rules Segment. V—Account Value The account value as of the bonus date is multiplied by the bonus rate (defined on the first screen of this segment) to determine the bonus amount. The accounting value is the total fund balance, including any impaired amount. This calculation method is only available for crediting method 05, as defined on the BN—Bonus Rates and Rules Segment. C—Specific Account Value The account value as of the year specified in the Specific Account Value as of Policy Anniversary field is multiplied by the bonus rate to determine the bonus amount. U—User Defined Amount The amount in the first User Defined field on the Policy/Benefit Miscellaneous record is multiplied by the bonus rate to determine the bonus amount. The amount in the User Defined field must be calculated externally to LifePRO® and must be manually input in the User Defined field. At the defined duration, monthiversary processing calculates the bonus amount and displays it in the third User Defined field. Note that the reversal of the MPR performed at the anniversary will blank out both of these fields. There is no history available for the User Defined Miscellaneous fields. W—Premiums Less Withdrawals The bonus is calculated using the total gross premiums paid less the total gross withdrawals. This option is only available when the Crediting Method field on the BN Segment is set to 04—Selected Anniversary Dates.
Premiums Paid	This field is used to define the Segment ID for the subsidiary BB—Premium Bonus Calculation Criteria Segment if the Bonus Calculation field is set to Premiums Paid. To access the segment, press F10, position the cursor in this field, and press F4.

Field	Description
Specific Account Value as of Policy Anniversary	When the Bonus Calculation method is Specific Account Value , the year of the anniversary account value to use when calculating the bonus to credit to the policy is defined in this field. Valid values are 1 to 999. If the Bonus Calculation method is Specific Account Value , this field must be greater than 000. The default value is 000.
Maximum Bonus Amt	This field caps the calculated bonus by a flat amount. If this field is left at zero, there is no cap in effect.
Allow Free Withdrawal Period of	This field is only applicable if the Bonus Calculation field is defined as Excess Unimpaired Interest. This field designates the number of days after the bonus is applied to the policy in which the amount of the bonus can be withdrawn without surrender charges. If a withdrawal is processed during this period, surrender charges are not applied to the bonus amount. However, surrender charges are applied to any amount that is in excess of the bonus amount.
Suppress Decrease on Free Withdrawal	This field is only applicable if the Bonus Calculation field is defined as Excess Unimpaired Interest. This field determines if the specified amount of the policy is decreased when a withdrawal is processed for the amount of the bonus. Y—Yes The specified amount is decreased by the amount of the withdrawal that is processed, including any amount of a bonus that is processed as a free withdrawal. N—No The specified amount is not affected by the amount of the withdrawal of the bonus that is processed. However, if any portion of the withdrawal exceeds the free withdrawal limit, the net withdrawal amount decreases the specified amount of the policy.
Pct Face for Max Bonus	This field is only applicable if the Bonus Calculation field is defined as Current Fund Balance. This field determines the percentage of the face amount for bonus. Y—Yes Input the applicable percentage for bonus in this field. N—No There is no percentage for bonus.

Field	Description
Allocation Method	This field defines how the bonus is allocated. It is applicable only if crediting method 04 is selected on the corresponding BN—Bonus Rules and Rates Segment. Click on >> to select one of the options. Bonus Default—This is the default method for allocating the bonus if no allocation method is selected. For crediting method 04, the bonus default method is the same as for the Prorata By Fund Value option. Prorata By Fund Value—This method allocates the bonus across the funds in proportion to their current fund value. For example, if there are three funds whose current values are \$5000, \$3000, and \$2000, the bonus is allocated 50% to the first fund (\$5,000/\$10,000), 30% to the second fund (\$3,000/\$10,000), and 20% to the third fund (\$2,000/\$10,000). Single Fund—This method allocates the bonus to a single fund. If this option is selected at the coverage level, the bonus is allocated to the first fund, represented by benefit sequence 2. If this option is selected at the fund level, the bonus is allocated to the same fund for which the bonus is calculated. Premium Allocation—This method allocates the bonus across the funds according to the same percentages set up for the distribution of the premium received for the policy. The premium allocation is set up for a policy during Validation and can be viewed for an existing policy by selecting Premium Fund Allocation from the Inforce Benefit Inquiry Menu.
Maximum Bonus Flag	This field caps the calculated bonus by some amount specific to the contract. Currently, only one option is available. A—Five Times The Required Annual Premium The option is open ended to allow additional options in the future based on new bonus methods.

6.18 BA—Universal Methodology Segment

NOTE

This segment uses client specific calculations and is not recommended for general use.

The BA—Universal Methodology Segment defines an alternate method for death benefit and expense calculations during monthaversary processing. This segment contains twenty rate files used to calculate monthly expenses, terminal dividends, and risk based capital.

Universal Methodology					
Segment ID			Segment Type		
UL2			BA		
Description	Y/N	ID	Description	Y/N	ID
Per Policy Acquisition Exp	Yes	ACQ1	Per 1,000 Init Face Amt Exp	No	
Acquisition Exp Loan Int RT	No		Terminal Dividend B Int Rate	No	
Current Crediting Rate	No		Guaranteed Crediting Rate	No	
Assumed Inflation Rate	No		Per Policy Monthly Maint Exp	No	
Per 1,000 Curr Dth Ben Exp	No		Per Policy Death Claim Exp	No	
Per 1,000 of Dth Claim Exp	No		Risk Based Capital Ratio	No	
Factor for Risk 1	No		Factor for Risk 2	No	
Factor for Risk 3	No		Factor for Risk 4	No	
Terminal Dividend Part A %	No		Terminal Dividend Part B %	No	
Mortality Ratio Percent	No		Commutation Function for PV Exp	No	
COI Subsidy Percentage	No		Commutation Function for PV Prem	No	
Policy Loan Interest Rate	No		Terminal Dividend A Int Rate	No	
Process Type					
			OK		
			Cancel		

6.19 BB—Premium Bonus Calculation Criteria Segment

NOTE

This segment is accessed from the second screen of the B1-B5—Bonus Rates Segment.

The BB—Premium Bonus Calculation Criteria Segment is used to define the transaction codes, minimum amounts, and number of consecutive years from issue that are included in the bonus calculation. These variables are only used when the Bonus Calculation field on the B1-B5 Segment is set to **Premiums Paid**.

Premium Bonus Calculation Criteria			
Segment ID	KGF >>	Segment Type	BB
Apply Bonus Rate to Following Premium Types:			
Trans Code	Include	Minimum Amount	Paid in First x Years
0110-Normal Premium	No	0.00	000
0121-Premium Rollover	No	0.00	000
0122-Premium Transfer	No	0.00	000
0123-Premium Special Deposits	No	0.00	000
0124-Premium 1035 Exchanges	No	0.00	000
0126-Vanish Premium	No	0.00	000
0129-External Roth IRA Premium	No	0.00	000
0131-Rollover Annuity	No	0.00	000
0132-Transfer Annuity	No	0.00	000
0150-Waiver Premium	No	0.00	000
OK Cancel			

Complete the following steps to access the BB Segment.

1. From the B1-B5—Bonus Rates Segment press **F10**.
2. Place the cursor in the 'P'remiums Paid field and press **F4**. The BB—Premium Bonus Calculation Criteria Segment is displayed.

The following table contains definitions for the fields on the BB Segment.

Field	Description
Segment ID	This is the eight character, alphanumeric code identifying the BB Segment.
Include	This field determines if the premiums paid using the transaction code listed are included in the calculation of the bonus. Y—Yes Include the premiums paid using this transaction code in the calculation of the bonus. N—No Do not include the premiums paid using this transaction code in the calculation of the bonus. This is the default.
Minimum Amount	Input the minimum premium amount paid using this transaction code which must have been received before the premium amount is included in the calculation of the bonus. If the total premium amount received for this transaction code during the designated durations is less than this minimum, then those premium payments are excluded from the bonus calculation. The default value is 0.00.
Paid in First x Years	Input the number of consecutive contract years, beginning with the first contract year, for which premiums paid using this transaction code are included in the calculation of the bonus. The default value is 000.

6.20 BC—Billing Copies Segment

The BC—Billing Copies Segment is used to override the *LifePRO*® default of sending one copy of a direct bill to the policy payor. This segment is accessed through the Number of Copies Segt ID field on the BS—Billing Setup Segment by entering a Segment ID.

Segment Setup				
Segment ID		Segment Type	BC	
WL	>>			
Relate Code	Seq	Relationship	# Of Copies	File
PA >>		Payor	1	
SA >>		Service Agent	1	
PO >>		Policy Owner	1	
>>				
>>				
>>				
>>				
>>				
>>				
>>				
>>				
>>				
>>				
>>				
>>				
>>				
>>				
>>				
>>				
>>				
>>				

Value For The Relate Code UL:

OK Cancel

The following table contains definitions for the fields on the BC Segment.

Field	Description
Relate Code	Designate the relationship to always receive a copy of direct billing notices in this field. The payor is listed first and cannot be deleted. If one person has multiple relationships, bills are consolidated. Only one copy of the bill is sent per name record. Click >> for a cross reference list of <i>LifePRO</i>® relationships. Multiple relationships can be specified by clicking the applicable relationships.
Seq	If a relationship allows multiple sequence numbers, this field is accessible. Type in the sequence number desired or blank for the first occurrence.

Field	Description
Relationship	The relationship selected is displayed in this field in written format.
# Of Copies	The number of copies to send to the person on that line is displayed in this field. There is no distinction between a normal copy and a file copy. Generating 2 copies and no file copies has the same effect as generating 1 copy and 1 file copy.
File Copies	The number of copies to send to the person on that line is displayed in this field. Note that there is no distinction between a normal copy and a file copy. Generating 2 copies and no file copies has the same effect as generating 1 copy and 1 file copy.
Value For The Relate Code UL	For the protection of a policyowner, a UL—Unintended Lapse relationship can be added to a policy to identify an additional name record to mail a billing notice. This field identifies the type of billing notice that a UL—Unintended Lapse relationship is to receive. The value defined in this field defaults to the Notice Indicator field on the Relation and Policy window when a UL relationship is input. The Relation and Policy window is accessed by pressing F8 from the Relationship window from the Name and Address Record and the Contract screen. NOTE Overrides to this field can be made in two areas at the policy level. 1) Through the Notice Indicator field on the Relation and Policy window when a UL relationship is input. 2) Through the Value for the Relate Code UL field on the Relationship Copies screen which is accessed through the Billing Copies option from the Miscellaneous screen. 01—First Notice And All Remaining Notices 02—Reminder Notice And All Remaining Notices 03—Late Payment Offer And Lapse Notice 04—Lapse Notice Only

6.21 BD—Band Limits

The BD—Band Limits Segment allows band limits to vary based on initial premium or specified amount when calculating the premium expense load.

Fields Unique to this Segment

The following table contains definitions for the fields on the BD Segment.

Field	Description
Band Calculation Code	I—Initial Premium
	S—Specified Amount/1000

6.22 BE—Bonus Earnings

NOTE

Universal life and annuity only

The BE—Bonus Earnings Segment points to additional amounts added to interest rates for certain clients having bonus modules using such logic. Additionally, if the product uses alternate accumulations defined from the Fund Rules screen, the rate defined on the BE Segment may be added to the rate for any of the alternate accumulations from the fund level RW—Calc Min Contract Value Segment.

Rate Type Segment	
Segment ID	UL1 >>
Segment Type	BE
Select Period	Duration 0
Ultimate ID	
Constant Rate	0.0000000 (Added to File Rate if Declared)
Rate Type	Constant Rate Only
Type Modifier	☐ Rates Vary by Underwriting Class No
Mult Insured Access	
Rate Basis	Separate And Unique
Years of	0
Banding Method	Not Banded
Banding Rule	Traditional
Upper Band Limits	0 0 0 0 0 0 0
Rates Coded As	Percentage (1% Entered As 1.00)
Change Frequency	Not Applicable
	0

Mode Rules
Rates
Next
OK
Cancel

Fields Unique to this Segment

The table below contains descriptions for the fields on the BE Segment.

Field	Description
Select Period	The length of time, in years, the selected rates are used is input in this field. If the same rate segment is used for all years and the Rate Type is Attained Age , Issue Age , or Duration Only , input 0 in this field. If the same rate segment is used for all years and the Rate Type is Age and Duration , input 999 in this field.
Ultimate ID	The segment ID of the segment that contains the rates that are used when the rates change is displayed in this field. If the same rate segment is used for all years and the Rate Type is Attained Age , Issue Age , or Duration Only , this field is left blank. If the same rate segment is used for all years and the Rate Type is Age and Duration , input NA in this field.
Constant Rate	If the same rate is paid, the rate amount can be entered in this field.
Type Modifier	The type modifier points the system to the proper rates in the rate file. The type modifier should match the segment type if the rates are unique for the segment. To point to another segment's rates, update the type modifier to match that segment's segment type. (The segment IDs must also be the same to point to the other segment's rates.)
Mult Insured Access	This field is not applicable for this segment.
Banding Method	X—Not Banded F—Fund Value The band is based on the total fund value. If this segment is at a fund level, then it is banded by the individual fund value, not total in the policy. The Fund Value option is only available if the Banding Rule field is set to Ratcheted. N—NAR This banding method is not available for this segment. Y—YTD Premium This banding method is not available for this segment. O—Original Specified Amount This banding method is not available for this segment. P—Premium Amount This banding method is not available for this segment. L—Specified Amt + Prev Layers (for SL Only) This banding method is not available for this segment.

Field	Description
Banding Method (continued)	S—Current Specified Amount If this option is selected, the system uses the total current specified amount to compute the band number. The Current Specified Amount option is only available if the Banding Rule field is set to Traditional. V—Fund Value per Fund (FV Benefit) This banding method is not available for this segment.
Banding Rule	T—Traditional All the value to be used is applied to get one and only one band number. The Traditional option is only available if the Banding Method field is set to Current Specified Amount. R—Ratcheted The value used is split over each band, and a separate rate from each band applies to the portion in that band. The Ratcheted option is only available if the Banding Method field is set to Fund Value. For example, assume there are three bands set at 10,000, 20,000 and 99999999. The band 1 rate is 10%, the band 2 rate is 8%, and the band 3 rate is 5%. If the banding method applies a percentage to the fund being withdrawn (typical for an annuity), and the fund is 40,000, then the system splits the fund into a 10,000 piece and applies 10%, a 20,000 piece and applies 8%, and then 10,000 in the last band where 5% is applied. A—Accumulative
Rates Coded As	A—Actual Amount P—Percentage (1% Entered As 1.00) Interpret the rate found as a percentage, (scale it by multiplying by .01).
Change Frequency	The change frequency codes the number of durations at a time the rates are held constant. For example, a 5-year renewable and convertible term product that has premiums that are level for 5 years then jump to the attained age and remain level again for 5 years, has a premium change frequency of 5.

Click **Next** to access the Interest Adjust Flag field.

The type of Interest Adjust Flag can be selected from the second screen of the segment.

The following table contains definitions for the fields on the second screen of the BE Segment.

Field	Description
Interest Adjust Flag	“ ”—Bonus Is No Longer Available D—Deduction Is Always Added The bonus rate is always added to the interest rate, unconditionally. E—Enhance Unimpaired By Percent of Excess Interest Rate A bonus is applied to the unimpaired fund balance. G—Add Bonus If Gross Premiums Paid Met The Last Anniversary Minimum Premium P—Bonus To Interest Rate If Premiums Less The bonus is added to the interest rate if premiums less withdrawals and loans through the anniversary selected are not less than the specified percent times the type of premium selected (minimum or target). For example, assume this option is selected and the fields are entered as 4 for the anniversary, 120 for the percentage, and Target Premium. The additional interest rate is applied if the premiums paid less withdrawals and loans through anniversary 4 are greater than or equal to 120% times the target premium.

Field	Description
Interest Adjust Flag (continued)	C—Add If Current Rate Always Exceeded Input the interest rate (threshold rate) that the current rate is compared against to determine if a bonus is to be applied. For example, assume that the bonus is defined to begin in duration two. If the current interest rate always exceeds the threshold amount throughout year one, then all through year two, the bonus is applied. But at the same time during year two, monthiversary evaluates the current interest rate without the bonus, to determine if the bonus is applied in year three. Thus, in the same year a bonus is being credited, the system is also evaluating the current interest rate for the next year. Since the current interest rate can change multiple times during a single crediting period based on the product setup, every single current interest rate this is used when earning is calculated must be evaluated, not just the final rate. In addition, if the fund (or funds) is Split Fund or New Money/Old Money, then all the rates used in every single window are evaluated. If the rate on any fund or within any window drops below (or is equal to) the threshold rate defined in this field, then the bonus is not applied in the next year. A—Accumulate Bonus Rate To Existing Bonus
Withdrawals and Loans through Anniversary	
Not Less Than ____ % Times	
Add if Curr Rate always exceeded ____ % in the year prior to Last Anniversary	

6.23 BI—Billable Premium Solve Segment

The BI—Billable Premium Solve Segment is a lower level segment accessed through the BP—Billable Premium Segment and is used to define the cost of insurance (COI) and interest rates, expenses, and rules to calculate the billable premium. LifePRO® uses the same logic for calculating the billable premium as it does in calculating the guideline premium.

Billable Premium Calculation Rules			
Segment ID			
Segment Type	BI		
Current U6, Guaranteed U5, or Other COI Rates			Segment ID
Current A1, Guaranteed G1, or Other Interest Rates			
If Current or Guaranteed Interest Rates selected, the 1st Fund In Product Setup will be used.			
Per Unit Load (U3)			Segment ID
Per Policy Load (UF)			
Pct Premium Load (U2)			
Solve for		of Face at Age or Duration	
If Joint, Solve Point is Based on Older or Younger Insured			
			OK
			Cancel

The following table contains field definitions for the BI Segment.

Field	Description
Current U6, Guaranteed U5, or Other COI Rates	This field defines the COI rates used in the billable premium calculation. These rates must be defined as annual per dollar rates. C—Current U6 The COI rates from the U6—Current COI Rates Segment for the coverage are used. G—Guaranteed U5 The COI rates from the U5—Guaranteed COI Rates Segment for the coverage are used. O—Other COI Rates This option allows a unique U6 Segment to be defined and used in the billable premium calculation. When this field is set to Other COI Rates, an additional field is displayed. The Segment ID of the U6 Segment used is input in this field. Press F4 to access the U6 Segment.
Current A1, Guaranteed G1, or Other Interest Rates	This field defines the interest rates used in the Billable Premium calculation. C—Current A1 The current interest rates from the A1—Current Interest Rates Segment for the coverage are used. G—Guaranteed G1 The guaranteed interest rates from the G1—Guaranteed Interest Rates Segment for the coverage are used. O—Other Interest Rates This option allows a unique A1 Segment to be defined and used in the billable premium calculation. When this field is set to Other Interest Rates, an additional field is displayed. The Segment ID of the A1 Segment to be used is input in this field. Press F4 to access the A1 Segment.
Per Unit Load (U3)	This field determines if the U3—Per Unit Load Segment is used in the billable premium calculation. If Yes is selected, an additional field is displayed to input the Segment ID. Y—Yes The rates on the U3 Segment are used when calculating the billable premium. Input the U3 Segment ID in the next field. N—No The U3 Segment rates are not used in the billable premium calculation.
Per Policy Load (UF)	This field determines if the UF—Per Policy Load Segment is used in the billable premium calculation. If Yes is selected, an additional field is displayed to input the Segment ID. Y—Yes The rates on the UF Segment are used when calculating the billable premium. Input the UF Segment ID in the next field. N—No The UF Segment rates are not used in the billable premium calculation.

Field	Description
Pct Premium Load (U2)	This field determines if the U2—Pct Premium Load Segment is used in the billable premium calculation. If Yes is selected, an additional field is displayed to input the Segment ID. Y—Yes The rates on the U2 Segment are used when calculating the billable premium. Input the U2 Segment ID in the next field. N—No The U2 Segment rates are not used in the billable premium calculation.
Solve for ___ % of Face at Age or Duration ___	The first field determines the percentage of the face amount of the policy to use in the solve calculation. The second field determines if the calculation is solving for a premium amount based on an age or a policy duration. When the second field is completed, a third field is displayed to define the number representing the age or duration selection made in the second field. A—Age D—Duration
If Joint, Solve Point is Based on Older or Younger Insured	If the billable premium is calculated to solve for a specific percentage of the original face amount for joint insured products based on the age of one of the insureds, this field defines if the calculation is based on the on the older or younger insured. O—Old Y—Young

6.24 BK—Commission Chargebacks Segment

The BK—Commission Chargebacks Segment allows agent commissions to be charged back in the event of a partial surrender, full surrender, single systematic withdrawal, death claim, lapse, forced annuity distribution, recurring systematic withdrawal, or annuitization.

The screenshot shows a window titled "Segment Screen - MC (1st)". At the top, there are two fields: "Segment ID" with the value "CHG BACK 1" and "Segment Type" with the value "BK". Below these fields is a table with four columns: "Type", "Description", "Y/N", and "Segment ID". The table contains eight rows of data, each representing a different event type. The "Y/N" column contains dropdown menus with "Yes" or "No" selected. The "Segment ID" column contains text boxes, some of which are populated with "CHG BACK 1". At the bottom right of the window are "OK" and "Cancel" buttons.

Type	Description	Y/N	Segment ID
H1	Partial Surrenders	Yes	CHG BACK 1
H2	Full Surrenders	Yes	CHG BACK 1
H3	Death Claim	Yes	CHG BACK 1
H4	Lapse	Yes	CHG BACK 1
H5	Forced Annuity Distrib	Yes	CHG BACK 1
H6	Recurring Withdrawals	Yes	CHG BACK 1
H7	Partial Annuitization	No	
H8	Full Annuitization	No	

The BK—Commission Chargeback Segment accesses the following chargeback control segments which are used to define the chargeback rules for a specific event.

- H1—Partial Surrenders
- H2—Full Surrenders
- H3—Death Claims
- H4—Lapse (Traditional)
- H5—Forced Annuity Distribution
- H6—Recurring Withdrawals
- H7—Partial Annuitizations
- H8—Full Annuitizations

Complete the following steps to access the desired chargeback segment.

1. From the BK—Chargeback Segment click on the desired segment.
2. Select **Yes** in the Y/N field and enter the desired Segment ID.
3. Press **F4** to access the designated chargeback segment.

Chargeback Processing Overview

The BK—Chargeback Segment defines the events to which a commission chargeback is applicable. Each of the events has a corresponding segment in which the rules of the chargeback are defined.

The H1—Partial Surrenders Chargeback Controls Segment, H5—Force Annuity Distributions Chargeback Controls Segment, and the H6—Recurring Withdrawals Chargeback Controls Segment display an additional field: Include Surrender Charges In Computation Of Chargeback. This field determines if surrender charges are included in the commission chargeback for these events.

The remaining fields on the event segments are identical. Up to three categories of monthly periods can be defined on the chargeback segments. The months defined on the chargeback segment are used to determine if a chargeback should occur. If the policy duration is greater than the periods defined, no chargeback occurs. For example, if the chargeback segment indicates that chargebacks occur for a total period of 36 months, and the policy is issued effective 01/01/2006, no chargebacks occur for events with dates after 01/01/2009.

The percentages defined for the monthly periods are used in both the aggregate and detail chargeback methods to determine the percentage of commission that is included in the chargeback calculation.

In addition, the Agent Hierarchy field defines if chargebacks are applied up the agent hierarchy. Each monthly band has its own Up Hier field to determine if the chargeback is applied up the agent hierarchy.

NOTE

The chargeback controls segment which is applied for systematic withdrawals varies, depending on whether a single systematic withdrawal or recurring systematic withdrawal is requested.

- If a single systematic withdrawal is requested, which does not exhaust the fund value, the H1—Partial Surrenders Chargeback Controls Segment is applied.

- If a single systematic withdrawal is requested, which does exhaust the fund value, the H2—Full Surrenders Chargeback Controls Segment is applied.
- If a recurring systematic withdrawal is requested, the H6—Recurring Withdrawals Chargeback Controls Segment is applied.

The two available chargeback methods are aggregate commission and detail premium.

- When an aggregate chargeback occurs, the Commission Detail Record displays a CB type detail record and a transaction description of **Commission Chargeback**. The only detail information displayed is an **A** in the Chargeback Indicator field, the description, and the negative amount to pay.
- A detail premium chargeback generates a CB type Commission Detail Record with one of the following transaction descriptions.
 - Chargeback for annuity distributions = Chbk Ann Dist
 - Chargeback for partial surrender = Chbk Part Sur
 - Chargeback for death claim = Chbk Death
 - Chargeback for lapse = Chbk Lapse
 - Chargeback for full surrender = Chbk Full Sur

The detail premium chargeback also creates chargeback history. This history is displayed on the Commission Summary screen, and the details of the transactions can be viewed through the Commission Detail screen. The Acct Cntl, Chbk Ind, and Chbk Cntrl fields displayed on the Commission Detail screen display the chargeback method used and the accounting control number used in the chargeback calculation.

In addition, the second page of the Commission Detail record (accessed by clicking **Add'l Info** from the Commission Detail screen) displays the breakdown of the minimum, periodic, target, excess, and policy fee premiums used in the chargeback calculation.

The Agent Balance screen displays the chargebacks processed in the detail premium method, charging them back in the appropriate duration. Aggregate chargebacks do not

effect the agent balance figures in any way, since duration is not a factor in the commissions being charged back.

NOTE

In order for detailed premium chargebacks to be processed correctly, the Combine Comm Prem Payments field and the Create Reversals Using Pay Frequency field on the Agency Management Options screen must be set to **No**.

Commission Chargeback Controls

Segment ID >> Segment Type H1

Partial Surrenders

Include Surrender Charges In Computation Of Chargeback (Y/N)

Create Chargeback

Suppress Subsequent Chargebacks

Months	Prorate	Policy Fee	Planned Premium	Target	Excess	Minimum	Up Hier?

OK
Cancel

The following table describes the fields displayed on the chargeback control segments.

Field	Description
Include Surrender Charges In Computation Of Chargeback	This field determines if surrender charges are included in a commission chargeback. This field is only applicable to the H1—Partial Surrenders, H5—Forced Annuity Distributions, and H6—Recurring Withdrawals Chargeback Controls Segments. Y—Yes Surrender charges are included. If using the aggregate commission chargeback method, surrender charges are included in the chargeback, and the calculation is displayed below. $\text{Chargeback Amount} = (\text{Gross Surrender} / \text{Total Fund Value}) * \text{Commissions Paid} * \text{Chargeback \%}$ If using the detail premium commission chargeback method, the surrender charge flag is examined to determine if the partial surrender amount or annuity distribution amount is reduced by the gross surrender charges. N—No The surrender charges are not included. If using the aggregate commission chargeback method, surrender charges are not included in the chargeback, and the calculation is as shown below. $\text{Chargeback Amount} = ((\text{Gross Surrender} - \text{Surrender Charges}) / \text{Total Fund Value}) * \text{Commissions Paid} * \text{Chargeback \%}$ If using the detail premium commission chargeback method, the surrender charge flag is examined to determine if the partial surrender amount or annuity distribution amount is reduced by the net surrender charges.

Field	Description
Create Chargeback	This field determines if commissions are charged back using the aggregate commission or detail premium method. A—Aggregate Commission This method calculates the chargeback based on the effective date of the event. This is the default. For example, assume the months are set to 3 and 6 respectively, 100% is defined in the Target field for the 3 month period, and 50% is defined in the Target field for the next 6 months. If an event occurs in the 6 month time period, the system takes the event amount divided by the total (aggregate) value as of the event and multiplies that number by the total commission paid, and then multiplies that number by the percentage defined in the 6th month time period. The aggregate calculation is displayed below. $\text{Aggregate Chargeback Amount} = (\text{Event Amount} / \text{Gross Fund Value}) * \text{Aggregate Commission} * \text{Chargeback \% at the time of the event.}$ In this calculation, the pre-event fund value is used for single withdrawals and the post-event fund value is used for recurring withdrawals. If Aggregate Commission is selected, only the Months, Prorate, Target, and Up Hier fields can be accessed. The percentage defined in the Target field is systematically used in the remaining fields. NOTE For chargebacks based on the H6—Recurring Withdrawals Chargeback Controls Segment, for which Aggregate Commission is selected, the formula is different. The withdrawal amount is deducted from the gross fund value. $\text{Recurring Withdrawal Aggregate Chargeback Amount} = (\text{Event Amount} / (\text{Fund Value} - \text{Net Deductions})) * \text{Aggregate Commission} * \text{Chargeback \% at the time of the event.}$ D—Detail Premium This method calculates the chargeback based on the effective date of the premium payment. For example, assume the months are set to 3 and 6 respectively, 100% is defined in the Target field for the 3 month period, and 50% is defined in the Target field for the next 6 months. Assume an event occurred in the 6 month time period. The system determines the amount of the chargeback by comparing the amount from the event to each individual commission payment record in LIFO order, deducting the premium associated with the record from the total event as each record is processed, until all premiums for the event amount have been charged back. NOTE In order for detailed premium chargebacks to be processed correctly, the Combine Comm Prem Payments field and the Create Reversals Using Pay Frequency field on the Agency Management Options screen must be set to No.

Field	Description
Suppress Subsequent Chargebacks	This field determines if a chargeback is suppressed if a previous chargeback exists and has not been reversed. Y—Yes If a previous chargeback exists and has not been reversed, the current chargeback is not processed. N—No The chargeback is processed, regardless of previous chargeback transactions. This is the default.
Months	Up to three categories of monthly periods can be defined. Input the number of months for which the chargeback percentages are applicable. Each of the months entered in this field builds upon the other. For example, assume the three periods are defined as 3, 5, and 4 with the corresponding percentages of 100%, 50%, and 25% respectively. Also assume a policy is issued on 01/01/2005. For the months of 01/01/2005 through 03/31/2005 the percentage of 100% is applied. For the period of 04/01/2005 through 08/31/2005, the percentage of 50% is applied, and for the period of 09/01/2005 through 12/31/2005 the percentage of 25% is applied.
Prorate	This field determines if an agent's commission chargeback is calculated based on the number of days the policy has been inforce. Y—Yes The total number of months is accumulated on all tiers. The months are converted to actual days and are used in the chargeback calculation. For example, assume the first two Months fields are set to 6. Also assume that the second tier has the Prorate field set to Yes and the Target field is set to 100%. If an event occurs during the second 6 months that the policy is inforce, the chargeback amount is prorated by dividing the total number of days in both tiers less the number of days the policy was inforce by the total number of days in both tiers. $\frac{[(\text{Total Tier Days}) - (\text{Number of Days Inforce})]}{\text{Total Tier Days}} * (\text{Commission Paid} * \text{Target \%})$ N—No The percentage defined for the number of months the policy was inforce is used to calculate the chargeback. This is the default. When this method is used, the Create Chargeback field must be set to Aggregate Commission. In addition, only the last tier may have this field set to Yes.
Policy Fee	This field is only applicable if Detail Premium is selected in the Create Chargeback field. Input the percentage of the policy fee to include in the chargeback calculation.

Field	Description
Planned Premium	This field is only applicable if Detail Premium is selected in the Create Chargeback field. Input the percentage of the planned premium to include in the chargeback calculation.
Target	This field defines the percentage of the target premium to include in the chargeback calculation and is applicable to both the aggregate and detail methods.
Excess	This field is only applicable if Detail Premium is selected in the Create Chargeback field. Input the percentage of the excess premium to include in the chargeback calculation.
Minimum	This field is only applicable if Detail Premium is selected in the Create Chargeback field. Input the percentage of the minimum premium to include in the chargeback calculation.
Up Hier	This field determines if chargebacks are applied up the agent hierarchy. Each monthly band has its own Y/N field to determine if the chargeback is applied up an agent's hierarchy. The option entered in the first field defaults to the remaining fields; however, the fields can be updated. Y—Yes Chargebacks are applied up the agent hierarchy. N—No Chargebacks are not applied up the agent hierarchy.

H1—Partial Surrenders Chargeback Controls Segment

The H1—Partial Surrenders Chargeback Controls Segment defines the chargeback rules for partial surrenders processed from the benefit level Values Quote screen or processed as a single systematic withdrawal that does not exhaust the fund value.

Commission Chargeback Controls

Segment ID: ASSUR I >> Segment Type: H1

Partial Surrenders

Include Surrender Charges In Computation Of Chargeback (Y/N): Yes

Create Chargeback: Aggregate Commission

Suppress Subsequent Chargebacks: No

Months	Prorate	Policy Fee	Planned Premium	Target	Excess	Minimum	Up Hier?

OK
Cancel

Refer to the Inforce Book, Section 3, 2.1—Benefit Values Quote Screen for more information on processing a partial surrender from the benefit level. Refer to the Inforce Book, Section 4, Chapter 37—Systematic Requests for more information on processing a single systematic withdrawal.

NOTE

If the partial surrender causes the entire fund value to be withdrawn, the chargeback rules defined on the H1—Partial Surrenders Chargeback Controls Segment are not applied. Instead, the chargeback rules defined on the H2—Full Surrenders Chargeback Controls Segment are applied.

H2—Full Surrenders Chargeback Controls Segment

The H2—Full Surrenders Chargeback Controls Segment defines the chargeback rules for full surrenders processed from the policy level Values Quote screen or processed as a single systematic withdrawal that exhausts the fund value.

Commission Chargeback Controls

Segment ID >> Segment Type H2

Full Surrenders

Create Chargeback

Suppress Subsequent Chargebacks

Months	Prorate	Policy Fee	Planned Premium	Target	Excess	Minimum	Up Hier?
4	No	75.00%	75.00%	75.00%	75.00%	75.00%	Yes
4	No	50.00%	50.00%	50.00%	50.00%	50.00%	Yes
4	No	25.00%	25.00%	25.00%	25.00%	25.00%	Yes

OK
Cancel

Refer to the Inforce Book, Section 4, Chapter 1—Values Quotes for more information on processing a full surrender at the policy level. Refer to the Inforce Book, Section 4, Chapter 37—Systematic Requests for more information on processing a single systematic withdrawal.

H3—Death Claim Chargeback Controls Segment

The H3—Death Claim Chargeback Controls Segment defines the chargeback rules for death claims processed from the Death Quote screen.

Commission Chargeback Controls

Segment ID: ASSUR I >> Segment Type: H3

Death Claim

Create Chargeback: Aggregate Commission

Suppress Subsequent Chargebacks: No

Months	Prorate	Policy Fee	Planned Premium	Target	Excess	Minimum	Up Hier?
4	No	75.00%	75.00%	75.00%	75.00%	75.00%	Yes
4	No	50.00%	50.00%	50.00%	50.00%	50.00%	Yes
4	No	25.00%	25.00%	25.00%	25.00%	25.00%	Yes

OK
Cancel

Refer to the Inforce Book, Section 4, Chapter 2—Death Quotes for more information on processing a death claim.

H4—Lapse Chargeback Controls Segment (Traditional Only)

The H4—Lapse Chargeback Controls Segment defines the chargeback rules in the event of a lapse on a traditional policy.

Commission Chargeback Controls

Segment ID >>
Segment Type H4

Lapse

Create Chargeback

Aggregate Commission

Suppress Subsequent Chargebacks

No

Months	Prorate	Policy Fee	Planned Premium	Target	Excess	Minimum	Up Hier?
4	No	75.00%	75.00%	75.00%	75.00%	75.00%	Yes
4	No	50.00%	50.00%	50.00%	50.00%	50.00%	Yes
4	No	25.00%	25.00%	25.00%	25.00%	25.00%	Yes

OK

Cancel

H5—Forced Annuity Distributions Chargeback Controls Segment

The H5—Forced Annuity Distributions Chargeback Controls Segment defines the chargeback rules which apply to required minimum distributions processed as a systematic request.

Commission Chargeback Controls

Segment ID

UL1

>>

Segment Type

H7

Partial Annuitization

Create Chargeback

Aggregate Commission

Suppress Subsequent Chargebacks

No

Months	Prorate	Policy Fee	Planned Premium	Target	Excess	Minimum	Up Hier?

OK

Cancel

Refer to the Inforce Book, Section 4, Chapter 37—Systematic Requests for more information about processing required minimum distributions as a systematic request.

H6—Recurring Withdrawals Chargeback Controls Segment

The H6—Recurring Withdrawals Chargeback Controls Segment defines the chargeback rules for recurring withdrawals processed as a systematic request.

Commission Chargeback Controls

Segment ID: ASSUR I >> Segment Type: H6

Recurring Withdrawals:

Include Surrender Charges In Computation Of Chargeback (Y/N): Yes

Create Chargeback:

Suppress Subsequent Chargebacks: No

Months	Prorate	Policy Fee	Planned Premium	Target	Excess	Minimum	Up Hier?
	No						
	No						
	No						

OK

Cancel

Refer to the Inforce Book, Section 4, Chapter 37—Systematic Requests for more information on processing recurring systematic withdrawals.

H7—Partial Annuitizations Chargeback Controls Segment

The H7—Partial Annuitizations Chargeback Controls Segment defines the chargeback rules which apply when a deferred annuity policy is partially surrendered to create a pending immediate annuity policy.

Commission Chargeback Controls

Segment ID: CHGBK-H7 >> Segment Type: H7

Annuitization

Create Chargeback: Aggregate Commission

Months	Policy Fee	Planned Premium	Target	Excess	Minimum	Up Hier?
12	100.00%	100.00%	100.00%	100.00%	100.00%	Yes
						Yes
						Yes

OK
Cancel

Refer to the Inforce Book, Section 4, Chapter 9—Annuitization for more information about surrendering a deferred annuity to create a pending immediate annuity.

H8—Full Annuitization Chargeback Controls Segment

The H8—Full Annuitization Chargeback Controls Segment defines the chargeback rules which apply when a deferred annuity policy is surrendered to create a pending immediate annuity policy from the annuitization surrender processing screen.

Months	Prorate	Policy Fee	Planned Premium	Target	Excess	Minimum	Up Hier?
	No						
	No						
	No						

Refer to the Inforce Book, Section 4, Chapter 9—Annuitization for more information about surrendering a deferred annuity to create a pending immediate annuity.

6.25 BL—Billable Policy Fee

NOTE

Universal life only

The BL—Billable Policy Fee Segment directs *LifePRO*® to the policy fee for fixed premium, EIWL products using the original monthiversary processing.

This segment is not used in the current modeaversary processing. It is only supported for certain clients with policies still processed under the older monthaversary process.

Billable Policy Fee			
Segment ID		Segment Type	BL
Select Period	0	Constant Flat Policy	
Ultimate ID		Fee Amount	\$0.00
Key Modifier		Do Values Vary By UWCLS?	
Rate Type			
Female Rate Basis			
Setback Years	0		
Banding Method			
Limits	0	0	0
	0	0	0
	0	0	0
Administration			
Periods To Apply	0	Mode Rule ID	
Mode Rules Rates OK Cancel			

Fields Unique to this Segment

The following table contains definitions for the fields on the BL Segment.

Field	Description
Administration	Deduct the fee on the modal basis selected in this field. A—Annually Q—Quarterly S—Semi-Annually M—Monthly
Periods to Apply	This field is not currently used.
Mode Rule ID	This field points at a standard Mode Rule Record.

6.26 BN—Bonus Rules and Rates Segment

NOTE

Universal life only

The BN—Bonus Rules and Rates Segment contains the rules for policy bonus logic. It provides that at selected anniversaries, based upon the compliance of the policyholder with predetermined rules (payment of certain minimum premiums, for example), some amount is credited to the funds in the policy.

The Are Bonuses Allowed field on the Periodic Bonus Setup screen must be set to **Yes** in order for a bonus to be paid. This screen is accessed from the Valid States for a Product screen by pressing **Alt+F5**. Refer to Section 10, 3.1—Valid States and Countries for a Company or Product Bonus on page 10-8 in this book for additional information.

There are two types of BN Segments. The first is at the coverage level and the second is at the fund level.

- At the coverage level, the BN Segment is accessed directly from the Segment List. The Cash Payout Allowed field is only available at the coverage level.

Coverage level bonuses are applied to all policies regardless of the funds selected by the policyholder.

- At the fund level, the BN Segment is accessed from the Fund Information screen by clicking **Segments** to access the Segment List for the fund. Position the cursor on the Y/N flag for the BN—Fund Bonus Segment and select **Yes**. Position the cursor on the Segment ID for the Fund Bonus field and press **F4** to drop down into the fund level BN Segment.

Fund level bonuses are applied only to policies with money in that fund.

The BN Segment is a way of generically setting up client specific bonus logic. Thus, the testing and crediting methods are really forms of exception processing and the remainder of the fields on the BN Segment and lower level segments (B1-B5 Segments) are used to support these exceptions and processes.

Typically, the testing method defines the bonus level for a benefit and the number of bonus levels that should be defined on the BN Segment. This segment currently supports up to five different bonus levels, and a sixth bonus code can be entered that can be used for no bonus (Zero Bonus).

The crediting method dictates how the bonus is to be calculated and in some cases, how it is to be credited to the benefit's funds.

This logic applies whether the bonus is defined at the coverage level or at the fund level.

The following table contains definitions for fields on the BN Segment.

Field	Description
Testing Method	Conceptually, the testing method is a program which is run at selected anniversaries (screen 2 of the BN Segment allows these points to be selected). The testing method indicates the rule which a contract must pass, for the selected bonus years, in order to receive a bonus. 00—No Testing This method skips any tests and reads the first Bonus Level and Rate ID fields. 01—Minimum/Target Test This is a special premium calculation that the system uses to verify if premiums paid through a specific testing point are equal to or greater than some value. 02—Allocated Coverages This is a test to verify that a policyholder has paid the policy as originally set up.

Field	Description
Testing Method (continued)	03—Average Specified Amount This method displays the Min Avg Spec Amt field in order to define a specified amount. If the average specified amount is greater than or equal to the amount defined in the Min Avg Spec Amt field, then the appropriate bonus is paid. Otherwise, no bonus is paid. Bonuses calculated using Method 03 are reflected in illustrations, policy cost disclosures, and reprojections. The bonus is always reflected in current projections, but is only reflected in guaranteed projections if the Guar field is set to Yes. 04—Testing Method 04 If the fund value on the contract anniversary is greater than or equal to three times the first year single premium deferred annuity qualified funds (SPDA), the bonus is applied. The first year SPDA qualified funds are all funds applied during the first contract year using the 0110—Normal premium transaction code. 05—Testing Method 05 If the total renewal premiums from years 2 through 10, less the gross withdrawals, is greater than or equal to three times the first year flexible premiums, the bonus is applied. The renewal premiums are all funds applied from years 2 through 10 using the 0110—Normal, 0131—Rollover Annuity, or 0132—Transfer Annuity transaction codes. In addition, renewal premiums also include any single sum transfers applied from years 1 through 10 using the 0121—Rollover or 0122—Transfer transaction codes. The first year flexible premiums are defined as all funds applied during the first contract year using the 0110—Normal, 0131—Rollover Annuity, or 0132—Transfer Annuity transaction codes. Alternatively, if a policy has only single sum transfers paid using the 0121—Rollover and 0122—Transfer transaction codes, the bonus is automatically applied using testing method 05.

Field	Description
Testing Method (continued)	06—Testing Method 06 This testing method yields three bonus levels. To determine if a bonus is applied using testing method 06, first calculate the following values. GP—All premiums (gross premiums) received in years 1 through 10 excluding any premium bonus or negative loads. FYIP—First year and increased premiums, where increased premiums are all premiums in contract year 2 or beyond that are more than the highest premium amount received during any previous duration. AR—Amounts returned as partial withdrawals or premium refunds. NRP—The net renewal premium is defined as GP - FYIP - AR. The bonus level for a contract is determined based on these values. Bonus level 1 $\text{NRP}/\text{FYIP} \geq 7$ Bonus level 2 $7 > \text{NRP}/\text{FYIP} \geq 4$ Bonus level 3 $\text{NRP}/\text{FYIP} < 4$ If testing method 06 is selected, the Bonus Level fields must be defined on the BN Segment to correspond to the three bonus levels described above. These levels must be entered into the Bonus Level fields in numerical order, beginning with bonus level 1 in the uppermost space and ending with 3. Then, a separate B1-B3 Bonus Rates Segment must be defined for each level. The V—Account Value calculation method must be selected for each of these subsidiary B1-B3 Segments. Clients wishing to write their own testing method logic should consult PDMA for future numbering logic so that future releases do not conflict in numbering sequence. 07—Paid Premiums to Fund Balance Test The total of premiums paid on the policy is compared to the fund value of the policy. If the fund value is greater than the total of premiums paid, a bonus is applied.
Crediting Method	The crediting method dictates how the bonus is calculated and in some cases, how it is credited to the benefit's funds. 01—Mortality/Rider Deductions 02—Allocated Coverages

Field	Description
Crediting Method (continued)	03—COI+Interest Method 03 calculates a bonus rate based on the calculation of the percentage defined on the B1 Segment * (Cost of Insurance + Interest). The system computes each month the additional bonus is credited at the next crediting point, but does not use this value for net amount at risk, quotes, loans, death benefit calculations, reserves, or FASB-97 reporting. 04—Selected Anniversary Dates Up to five bonuses can be applied at selected anniversary dates. Each bonus can have a different bonus rate and be applied at different policy anniversary dates. In addition, these bonuses can be banded by different criteria. If this option is selected, the Bonus Level field is displayed as Bonus Y/N and a Guar field is displayed to determine if the bonus is used in policy pages, guideline premiums, reprojections, and illustrations. 05—Premiums Paid/ (Specific) Account Value This crediting method calculates the bonus based on a percentage of the premiums paid for specific contract years or on a percentage of the account value, as defined in the Bonus Calculation field on the second screen of the subsidiary B1-B5—Bonus Rates Segment. This crediting method is valid with the Premiums Paid and Account Value bonus calculation methods defined on the subsidiary B1-B5 Segment.
Cash Payout Allowed	This field determines if the bonuses calculated for the product can be taken as a cash payout. Y—Yes Bonuses can be taken as a cash payout. If this field is set to Yes, it causes the Bonus Cash Payout field to appear on the New Business Premium Information screen for all policies using the product. It also allows the Cash Payout field on the Bonus Information screen to be viewed or updated from the Policy Benefit/Misc File accessed from the Inforce Benefit Inquiry Menu. N—No Bonuses cannot be taken as a cash payout, but must be reinvested in the funds according to the allocation method defined for the bonus. NOTE The Cash Payout Allowed field is available only at the coverage level and only for crediting method 04. The field is not displayed unless the Crediting Method field is set to 04.

Field	Description
Bonus Y/N	This field is used to define the B1-B5 Segment IDs and if the segment is used in calculating bonuses. The field is displayed only when crediting method 04 is selected. Y—Yes The segment defined in the Bonus Credit Rates field is used to calculate bonuses. N—No The segment defined in the Bonus Credit Rates field is not used in calculating bonuses.
Bonus Level Bonus Credit Rates	Typically, the testing method defines the bonus level for a benefit and the number of bonus levels that should be defined on the BN Segment. This segment currently supports up to five different bonus levels (B1-B5) and a sixth bonus code can be entered that can be used for no bonus (Zero Bonus). The B1-B5 Segments can be accessed through this segment by completing the Bonus Level and Bonus Credit Rate fields and pressing F4. The highest bonus should be coded first, down to the most conservative bonus available and ultimately 0, if the testing and crediting methods allow for a no bonus situation. For example, assume that for one client, two distinct tests exist. One is for a higher premium then a lower, second level premium. Rules (defined within the method 01 module) look at the cumulative premiums paid and compare to two distinct bonus premiums, a level 2 (higher) and a level 1 (lower). For another client, the test is that the planned (committed) premium has been paid each year over 10 years.
Guar	This field determines if the bonus rate is used to calculate guaranteed values in policy pages, guideline premiums, reprojections, and illustrations. This field is only applicable to crediting method 04 and is displayed only when that method is selected. Y—Yes Bonus rates are used to calculate guaranteed values in policy pages, guideline premiums, reprojections, and illustrations. N—No Bonus rates are not used to calculate guaranteed values in policy pages, guideline premiums, reprojections, and illustrations.
Testing Ratio	This field defines the multiplier required for use with Testing Method 05 to determine the ratio between the first year and renewal premiums to be tested. If the Testing Method field is Testing Method 05, this field must be greater than .00. If the total renewal premiums from year 2 through year 10, less gross withdrawals, is greater than or equal to the first year flexible premiums multiplied by the value in this field, a bonus is paid. Valid values are 0 through 999.99. The default value is .00.

Field	Description
Initial Bonus Level	This is a one digit numeric field that defines the bonus level where the benefit's bonus begins. Some companies begin by giving the most conservative bonus available. NOTE If the product is defined using shadow funds with a crediting method of 05 and a testing method of 06, the Initial Bonus Level field must be set to zero.
Bonus Levels Allowed to	This field builds from the Initial Bonus Level field and allows companies to define if bonus levels are allowed to fluctuate, increase, or decrease. F—Fluctuate I—Increase D—Decrease For example, some companies begin at the most generous bonus level. But, after a benefit decreases to a less generous bonus (based on the testing method), it cannot go back again. This means that the bonus level is only allowed to decrease which is interpreted on the BN Segment as going down the bonus levels that have been set up. But if they are allowed to regain their original bonus level, then the bonus level is allowed to fluctuate. A company could start a benefit at the most conservative bonus level, and the benefit must work its way up the bonus scale. After the new bonus level is reached, the company allows them to remain at that bonus level even if they no longer meet the testing criteria. This type of setup indicates that the bonus level is allowed to increase.
Testing Tolerance	Many of the testing methods are monetary in nature, such as comparing premiums paid to minimum or target. The testing tolerance field allows the company to be less rigid in their testing. For example, assume \$5.00 is entered in this field. If the benefit's premiums paid are within \$5.00 of the target, the system allows them to move to the next bonus level.
Generate Correspondence n Months Prior to Change in Bonus Level	When the system determines that a bonus is due to be credited on the next anniversary, it checks the field for the number of months prior to the anniversary to see if the bonus level is going to decrease, and if so, it triggers the Decrease in Bonus Level letter defined through the L0—Letter Type Segment.

Click **Bonus Years** to designate the years in which a bonus is paid.

The years in which a bonus is paid are selected on the second screen for the segment. Enter a **Y** in each year that a bonus should be paid.

Enter Bonus Years

Enter Y for each Year End that a Bonus is Present

1	☐	11	☐	21	☐	31	☐	41	☐	51	☐	61	☐	71	☐	81	☐	91	☐
2	☐	12	☐	22	☐	32	☐	42	☐	52	☐	62	☐	72	☐	82	☐	92	☐
3	☐	13	☐	23	☐	33	☐	43	☐	53	☐	63	☐	73	☐	83	☐	93	☐
4	☐	14	☐	24	☐	34	☐	44	☐	54	☐	64	☐	74	☐	84	☐	94	☐
5	☐	15	☐	25	☐	35	☐	45	☐	55	☐	65	☐	75	☐	85	☐	95	☐
6	☐	16	☐	26	☐	36	☐	46	☐	56	☐	66	☐	76	☐	86	☐	96	☐
7	☐	17	☐	27	☐	37	☐	47	☐	57	☐	67	☐	77	☐	87	☐	97	☐
8	☐	18	☐	28	☐	38	☐	48	☐	58	☐	68	☐	78	☐	88	☐	98	☐
9	☐	19	☐	29	☐	39	☐	49	☐	59	☐	69	☐	79	☐	89	☐	99	☐
10	☐	20	☐	30	☐	40	☐	50	☐	60	☐	70	☐	80	☐	90	☐	100	☐

Bonus Rules

OK

Cancel

Keywords

The policy page keywords, BONUSA and BONUSY, pick up the projected bonus amount based on the keyword defined. For example, BONUSA is based on age and BONUSY is based on year.

This correspondence keyword, BENBNS (Current Accumulated Bonus Value), picks up the accumulated bonus amount.

6.27 BO—Bailout Provision Segment

The BO—Bailout Segment defines bailout rules and rates. Bailout essentially tells the system that if the rate currently being paid has deviated a prescribed amount from the given rate (original, specified or last anniversary, for example), then surrender loads are waived.

This segment can be accessed through the BO—Bailout Provision field on the WD—Partial Withdrawal Segment or the SR—Full Surrender Segment.

Enter Segment Screen - BO Criteria (1st)

Segment ID	UL1 >>	Select Period	Duration	0
Segment Type	BO	Ultimate ID		
Current Rate on Principal Fund				
		(Defaults to Fund 01)		
Is Compared To	Rate Entered			
Rate	0.00000			

OK
Cancel

The following table contains definitions for the fields on the BO Segment.

Field	Description
Current Rate on Principal Fund	If the product is multi-funded, you must specify which fund to use, otherwise it defaults to the first fund. Input the fund ID of the principal fund in this field.
Is Compared To	In the comparisons, if the rate being credited is less than the bailout rate, the bailout provision goes into effect and no surrender charges apply. R—Rate Entered The current rate of the principal fund is compared to the rate entered on this segment. O—Original Issue Interest Rate less Rate The original interest rate of the principal fund is compared to the rate entered on this segment. A—Anniversary Interest Rate less Rate The interest rate at last anniversary of the principal fund is compared to the rate entered on this segment.
Rate	The bailout rate used in the comparisons is input in this field.

6.28 BP—Billable Premium Segment

NOTE

Universal life only

The BP—Billable Premium Segment directs *LifePRO*® to the premium rates to use for non-flex UL products (fixed or EIWL). When the Layer Premium By Specified Amount Increase Benefit field is set to Yes, this segment accesses the BI—Billable Premium Solve Segment. The BI Segment is used to define the cost of insurance (COI) and interest rates, expenses, and rules to calculate the billable premium on a policy with specified amount increases. *LifePRO*® uses the same logic for calculating the billable premium as it does in calculating the guideline premium.

Premium Segment File									
Segment ID	FIXED UL >>			Segment Type	BP				
Key Modifier	UG			Do Values Vary By					
Are Values Banded	No			Underwriting Class	No				
Female Rate Basis	Male With Setback								
Setback Years	0								
Rate Type	Issue Age								
Rate Rounding Rule	Truncate After Cents								
Substandard Percentage Rounding Rule	Round To Nearest 7 Decimal Places								
Band Upper Limits	9999999	0	0	0	0	0	0	0	
Premium Select Period	0			Premium Change Frequency	999				
Premium Mode Rule ID	01								
Coverage ID Of Ultimate Rates	NA								
Premium Rate Calculation Rule	Units Purchased								
Extended Key Definition Used	No								
Layer Premium By Specified Amount Increase Benefit (Y/N).				No					
Billable Premium Calculation Rules Segment ID									
Mode Rules Rates Extended Key Table Extra OK Cancel									

Fields Unique to this Segment

The following table contains definitions for the fields on the BP Segment.

Field	Description
Substandard Percentage Rounding Rule	This field determines the rounding rule to be applied to rated premium calculations. (The Rate Rounding Rule field determines the rounding rule to be applied to basic modalized premium calculations.) 0—Round To Nearest 7 Decimal Places Using this rounding rule, LifePRO® adds 0.0099999 to the result of the unrounded premium calculation, then truncates the amount to 2 decimal places. For example, if the unrounded premium is 132.8749376, the rounded premium is 132.88 (132.8749376+0.0099999=132.8849375). This is the default. 1—Truncate After Cents Using this rounding rule, LifePRO® truncates the unrounded premium by discarding everything after the first two decimal places, without rounding. For example, if the unrounded premium is 132.8749376, the rounded premium is 132.87 (132.8749376). 2—Round To Nearest Cent Using this rounding rule, LifePRO® considers the value of the digit three decimal places out, in the unrounded premium. If this digit is 4 or less, the value is rounded down to the nearest cent. If this digit is 5 or more, the value is rounded up to the nearest cent. For example, if the unrounded premium is 132.8749376, the rounded premium is 132.87. Or, if the unrounded premium is 132.8759376, the rounded premium is 132.88. 3—Round To Next Higher Cent Using this rounding rule, LifePRO® considers the value of digits three decimal places out or more, in the unrounded premium. If the value is greater than zero, LifePRO® rounds the value up to the next highest cent. For example, if the unrounded premium is 132.8749376, the rounded premium is 132.88.
Premium Select Period	The length of time, in years, the selected rates are used is input in this field. If the same rate segment is used for all years and the Rate Type is Attained Age, Issue Age, or Duration Only, input 0 in this field. If the same rate segment is used for all years and the Rate Type is Age and Duration, input 999 in this field.
Premium Change Frequency	The change frequency determines the number of durations at a time the rates are held constant. For example, a 5-year renewable and convertible term product that has premiums that are level for 5 years then jump to the attained age and remain level again for 5 years, has a premium change frequency of 5. If the rates remain the same, input 0 in this field.

Field	Description
Premium Mode Rule ID	The Premium Mode Rule ID, coupled with the form (credit card, direct, preauthorized check, list bill, or government allotment) allows the system to access a Mode Rule Record. The modalization factors for each mode, (such as monthly, quarterly) are located in the Mode Rule Record. A maximum of 10 characters may be entered in this field.
Coverage ID Of Ultimate Rates	The Segment ID of the segment that contains the rates that are used when the premiums change is displayed in this field. The rates change as indicated in the Premium Change Frequency field. If the same rate segment is used for all years and the Rate Type is Attained Age , Issue Age , or Duration Only , this field is left blank. If the same rate segment is used for all years and the Rate Type is Age and Duration , input NA in this field.
Premium Rate Calculation Rule	U—Units Purchased The premium is computed as the units purchased at issue of the coverage, multiplied by the premium rate found according to the rules in the upper part of the segment. D—Death Benefit The premium is computed as the death benefit at the point of the calculation, divided by 1000, and then multiplied by the rate found according to the rules code. P—Percentage The premium is calculated as a percentage per unit value of premium for the benefits that are included for premium waiver as defined on the Coverage Record. 1—W1 Segment The premium is calculated using the sum of premiums from the W1 Segment for non-waiver coverages. 2—W2 Segment The premium is calculated using the sum of premiums from the W2 Segment for non-waiver coverages. For example, if a coverage is a decreasing term product with death benefits of 1000, 900, 800, 700, the rates are coded as A changing annually. If the Premium Rate Calculation Rule is coded as premium D, then in year three, the system computes the premium as 800/1000 * year 3 rate, NOT as 1000/1000 * year 3 rate. A—Percent Of Account Value The premium is calculated by determining the average of the monthiversary account values for the time period defined in the Last __ Months field. (This calculation method only averages the account values found during monthiversary processing for the last <i>n</i> months, and does not include partial valuations.)

Field	Description
Premium Rate Calculation Rule (continued)	E—Percent Of Eligible Premiums (GB Only) This option can only be used for GB—Guaranteed Benefit type riders. When this option is used, deductions for the GB rider are based on eligible premiums that are defined on the LM—Living/Maturity Segment for the base benefit. W—Percent of Greater of GMWB Eligible Premiums or Lifetime Basis (GW Only) This option can only be used for GW type riders. When this option is used, deductions for the GW rider are based on the greater of eligible premiums or lifetime basis defined on the GW—Guaranteed Withdrawal Segment for the base benefit.
Extended Key Definition Used	Currently, this field applies to line of business H—Health only. Y—Yes Extended key definitions are used. The KD Segment must also be coded. Then, premiums are not in the Attained Age or Age/Duration File. Instead, they are in separate health files. N—No Extended key definitions are not used.
Layer Premium By Specified Amount Increase Benefit	This field defines if premiums are layered based on the issue age, underwriting class, and duration of each specified amount increase benefit. This field must be set to Yes in order to solve for the face amount using the BP—Billable Premium Calculation Rules Segment. Y—Yes When a specified amount increase is processed, the billable premium for the layer is based on the issue age, underwriting class, and duration for the insured when the specified amount increase is processed. N—No When a specified amount increase is processed, the billable premium for the layer is based on the issue age, underwriting class, and duration for the insured at the time of policy issue.
Billable Premium Calculation Rules Segment ID	This field can only be accessed if Yes is selected in the Layer Premium By Specified Amount Increase Benefit field. This field defines the Segment ID of the BI Segment which is used to define the COI and interest rates, expenses, and rules used to calculate the billable premium. Press F4 to access the BI Segment.

Table Extra Data

Substandard rates per \$1,000 by table number can be defined from the BP Segment. When table extra ratings are used, the substandard rate per 1000 is used instead of the percentage shown on the Validation screen.

The following setup is required to use the table extra ratings.

- The Substandard Type field on the Coverage File screen must be **Table**.
- A rating table must be defined in the Rating Table field on the Component File screen.
- A rating table must be defined based on the table code selected on the Component File screen.
- The number of rating tables must be the same as the number of substandard tables coded on the Table Extra Definition screen.
- The percentage coded must be greater than 100%. Valid values are 100 - 999.

Complete the following steps to input the table extra rates.

1. From the BP Segment press **F10**.
2. Click **Table Extra**. The Table Extra Definition screen is displayed.

3. Press **F10** and complete the fields as described in the following table.
4. **Tab** to the rate table IDs and click **Rates**. The Rate File screen is displayed for the rate table ID selected. The substandard table IDs point to rate files that contain the substandard

rates per 1000 to apply per table. A rate file is created using the Table Extra Key field as the rate file ID. The rates can vary by band, underwriting class, gender, and rate type.

Attained Age Rate File

Segment ID >> Type >> Gender >> Band >> Underwriting Class >>

Age	Rate	Age	Rate	Age	Rate
000	3.0000000	013	3.4000000	026	3.4000000
001	3.1000000	014	3.4000000	027	3.4000000
002	3.2000000	015	3.4000000	028	3.4000000
003	3.3000000	016	3.4000000	029	3.4000000
004	3.4000000	017	3.4000000	030	3.4000000
005	3.4000000	018	3.4000000	031	3.4000000
006	3.4000000	019	3.4000000	032	3.4000000
007	3.4000000	020	3.4000000	033	3.4000000
008	3.4000000	021	3.4000000	034	3.4000000
009	3.4000000	022	3.4000000	035	3.4000000
010	3.4000000	023	3.4000000	036	3.4000000
011	3.4000000	024	3.4000000	037	3.4000000
012	3.4000000	025	3.4000000	038	3.4000000

5. Input the rates and click **OK**.
6. Click **Cancel**. The Table Extra Definition screen is displayed.
7. Click **OK** to save.
8. Click **Cancel** to return to the BP Segment screen.

The following table contains descriptions of the fields on the Table Extra Definition window.

Field	Description
Table Extra Key	The key defines the table that is used to define the rates. The ID selected can be up to 8 alphanumeric characters.
Are Table Extras Banded	Rates can be varied depending on the face amount of the policy. This field determines if rates are banded. Y—Yes Rates are banded by face amount. N—No The rates are the same for all bands.

Field	Description
Vary Table Extras by Und Class	Y—Yes The system looks at all underwriting classes listed on the Coverage Record. N—No Rates do not vary by underwriting class. The system only looks at the default underwriting class (the first one listed on the Coverage Record Screen 1) when finding the rates.
Female Rate Basis	The selection in this field designates the rates that are used for females. U—Unique Different rates are set up for females. S—Setback The same rates are used for males and females, but the rates are set back a designated number of years for females.
Setback Years	This field works in conjunction with the Female Rate Basis field. If Setback is selected in the Female Rate Basis field, the number of years the rates are set back is designated in this field. If the rates are the same for males and females, input 0 in this field, which tells the system that the female rates are set back 0 years from the male rates.
Rate Type	The rate type selected determines what the rates are based on and where in the rate file the rates are input. A—Attained Age I—Issue Age If A—Attained Age or I—Issue Age is selected, input the rates in the Attained Age Rate File. O—Duration Only D—Age And Duration If O—Duration Only is selected, input the rates in the Age/Duration Rate File. If O—Duration Only is selected, the rates are input under age 0 in the Age/Duration Rate File.
Number of Substandard Tables	Input the number of tables that are defined in this field. The number selected generates the same number of table pointers at the bottom of the screen. Up to 40 tables are supported. The rates can be viewed by pressing F10, selecting a table ID, and clicking Rates.

The following policy page and correspondence keywords can be used for table extra ratings.

TBLRATE—This keyword is the rate per 1,000 on a given policy for substandard extra premium.

TBLRTENO—This keyword is the actual substandard table number applied to a given policy.

6.29 BS—Billing Setup Segment

The BS—Billing Setup Segment allows unique timings on billing at the product level. If this segment is coded on a base coverage, then all policies on this product follow these rules, not the rules coded in the company Management Options record. Without this segment, a product uses the rules defined on the Management Options Screen Billing Setup window for the applicable company code.

The right portion of the screen is used when using a special billing feature called adjustment billing. With normal over and short processing, billing does not keep track of what was paid or not paid on previous bills. When using adjustment billing, the system tracks overages and shortages, and adjusts the next bill to reflect these items. This is for line of business L—Traditional and H—Health only. Normal over and short processing is not applicable if adjustment billing is used. Refer to the Billing/Collections Book, Section 20—Adjustment Billing for more information.

Billing Setup Segment	
Segment ID	TERM >>
Segment Type	BS
Report ID	01
Number of Copies Segt ID	01 >>
Billing Notices:	
Days prior to Due Date to Generate First Bill	15
Days	After Due Date to
Generate Reminder Notice	0
Days After Due Date To:	
Generate Late Payment Offer	20
Process Lapse or APL	45
Remove Old Billing Records	240
Generate Group ENS Message	0
Number of Follow-Up Bills for Non-Mandatory Items	1 - First Bill And Reminder Only
For Monthly Direct, Combine Past Due Bills Into First Bill	No
Use Contract Suspend Status Date	No
Override Grace Period by Form/Mode	No
Print All Modes (LOB L and H)	No
Use Adjustment Billing for Traditional Mandatory Bills?	No
Pct Modal Mandatory Payment Required to Pay Bill and not Less Than	.00 (1-100) .00
Pct Modal Mandatory Payment Shortage Allowed to Accumulate and no More Than	.00 (0-99) .00
Payment Shortage Greater Than Will Generate Letter Code	.00
For PAC Policies When Suspense Changes Will Generate Letter Code	
On Termination, Refund Unapplied Cash	LOB - H Yes LOB - L No
Number of Skipped Premiums Before Billing Suspends	0
Days Before Advance is Unsecured	0
Grace Override	
OK	
Cancel	

The BC—Billing Copies Segment and L0—Letter Type Segment can be accessed through the BS—Billing Setup Segment.

The following table contains definitions for the fields on the BS Segment.

Field	Description
Report ID	This field points the Billing System to the print program to use for direct bills, list bills, and government allotment bills.
Number of Copies Segt ID	This field acts as a pointer to the BC—Billing Copies Segment. It controls who receives copies of bills at the product level. The <i>LifePRO</i>® default is 1 copy of the bill to the policy payor. Billing copies cannot be controlled at the company level, only at the product or policy level. If using the BC Segment, assign an alphanumeric segment ID, up to 10 characters.
Billing Notices	
Days prior to Due Date Generate First Bill	The number of days prior to a premium due date for the system to generate a first bill is displayed in this field. This field controls the calculation of the policy bill generation date.
Days __ Due Date to Generate Reminder Notice	If payment has not been received and thus cleared of the billing record from the generated bill, the system creates a reminder notice. Code the number of days before or after the due date this should happen. An entry of 0 (zero) days causes the system to generate the reminder notice on the due date. A—After B—Before
Days After Due Date To	
Generate Late Payment Offer	After the reminder notice has been created, and the billing record is still not paid, the system generates a late payment offer. An entry in this field tells the system how long after the due date to generate the late payment offer.
Process Lapse or APL	After the late payment offer has been generated, and the billing record is still not paid, the system starts NFO processing, using the NFO processing option specified on the contract. An entry in this field controls how long after the due date to wait before starting NFO. This field only controls lapse processing on mandatory premium items, such as traditional and health premium payments. A universal life or annuity policy does not lapse through the Billing System. Modeaversary controls lapse on these types of products.

Field	Description
Remove Old Billing Records	After a bill is paid or marked processed due to an event such as a rebill, the Billing Record is still stored on the system. Inquiry on the record can take place by using the View Old Bills option from the Billing/Collection Menu. At the date specified here, billing records are purged from the system.
Generate Group ENS Message	If the policy is on a list bill and a specific bill is not paid, the ENS message <i>The Group Bill Has Not Been Reconciled</i> is generated for each policy attached to that bill. This field controls the number of days after the due date that this message is generated.
Number of Follow-Up Bills for Non-Mandatory Items	LifePRO® automatically generates a first bill, reminder, late pay offer, and lapse notice for mandatory billing items, such as traditional policies and health policies. For non-mandatory items, such as universal life policies and annuity policies, this field can be used to designate the number of follow up items to generate. 0—First Bill Only 1—First Bill And Reminder Only 2—First Bill; Reminder; And Late Payment Offer (Lapse notices are not generated through billing for non-mandatory items. To generate a lapse notice for items of this type, there is a correspondence letter link for modeaversary lapse.) NOTE *IMPORTANT*—For non-mandatory items, the Billing System clears, or marks processed, a billing record if it reaches the point where a notice does not apply. For example, if 1—First Bill And Reminder Only is selected in this field, the system clears the billing record when it gets to the late payment offer date. After this point, the BCN is not available to use in the Collection System. Thus, it is beneficial in that scenario to input the number of days into the future to generate the late pay offer, even though the notice does not apply.
For Monthly Direct, Combine Past Due Bills Into First Bill	This field allows billing notices to be combined for direct billed monthly policies. Only fixed universal life, traditional, and health products can use this option. N—No All monthly direct billed premiums generate individual notices based on the billing days defined. This is the default. Y—Yes All monthly direct bill premiums are combined and printed with each first notice for policies that have the Report ID/Billing Form field not blank and greater than 07 for which there has been a change in the Status Flag of if the due date is less than or equal to the billing effective date.

Field	Description
Use Contract Suspend Status Date	This field determines if the contract status date of a policy is used instead of the paid to date to calculate the next billing action date. This field is only applicable for direct bill policies when the contract status is changed from Suspended to Active, the Use Contract Suspend Status Date field is set to Yes, and the @SUS follow-up code has been defined through System Configuration, Table Definitions. Y—Yes Use the contract status date to calculate the next billing action date. N—No Do not use the contract status date to calculate the next billing action date. Use the paid to date. NOTE This field is available at the company, product, and policy levels. If it is defined at more than one level, the policy level overrides the product level, which overrides the company level. When this field is set to Yes, the following occur: • A Billing Signal flag on the policy level is switched to ON indicating that the contract status date of the policy is used to calculate the next billing action dates. The status of this flag is viewed through the View Billing Signal option on the Inquiry Menu from the Policy Miscellaneous Information screen. • An @SUS follow up record is created with the Next Follow-up Date field equal to the Contract status date + Number of Days before Lapse Process. • After follow up processing is generated, the Billing Signal flag is automatically set to OFF, and the follow-up record is marked as completed. NOTE Billing must be generated before Follow Up Processing is run.
Override Grace Period by Form/Mode	This field indicates if the grace period can be overridden. Y—Yes The grace period can be overridden. When Yes is selected in this field, the Grace Period Overrides window is displayed. Refer to Section 12, Override Grace Period by Mode and Form on page 12-136 in this book for more information. N—No The grace period cannot be overridden.
Print All Modes (LOB L and H)	Y—Yes Modal premium amounts for monthly, quarterly, semi-annual, and annual modes are all printed on bills for traditional products. If a modal premium is paid that is different from the current mode, the mode, billing dates, and paid to dates are reset. N—No Only the current modal premium is printed on the bill.

Field	Description
The fields in this section are used when adjustment billing is being used.	
Use Adjustment Billing for Traditional Mandatory Bills	With normal over and short processing, billing does not keep track of what was paid or not paid on previous bills. With adjustment billing, the system tracks overages and shortages, and adjusts the next bill to reflect these items. This is for line of business L—Traditional and H—Health only. Normal over and short processing is not applicable if adjustment billing is used. Y—Yes Adjustment billing is used. N—No Normal over and short processing is used.
Pct Modal Premium Payment Required to Pay Bill	This value is the percentage of the premium payment that must be paid in order for LifePRO® to accept a partial payment. This value is computed as shown below. $\text{Unapplied Cash/Mandatory Premium} = \% \text{ for Tolerance}$ If the percentage for Tolerance is less than or equal to the value in this field, the payment is accepted. Note that unapplied cash refers to the entire debit or credit unapplied cash balance, including the incoming payment.
and not Less Than	This field is used to set a minimum payment amount for adjustment billing. For example, if this value is set to 1, the payment is not accepted if the actual payment amount (plus any available unapplied is less than 1). If Unapplied Cash $\geq$ value in this field, accept the payment.
Pct Modal Mandatory Payment Shortage Allowed to Accumulate	$[(\text{Mandatory Premium} - \text{Unapplied Cash}) / \text{Mandatory Premium}] = \text{Tolerance Accum \%}$ If the Tolerance Accum percentage is less than or equal to the value in this field, the payment is accepted.
and no More Than	$\text{Mandatory Premium} - \text{Unapplied Cash} = \text{Tolerance Amount}$ If the Tolerance Amount is less than or equal to the value in this field, the payment is accepted.
Payment Shortage Greater Than	If the shortage amount exceeds the amount designated in this field, generate the correspondence letter designated. Note that the correspondence letter designated must be set up on the L0—Letter Type Segment.
Will Generate Letter Code	This field works in conjunction with the prior field. Designate a five digit letter code if applicable.

Field	Description
For PAC Policies When Suspense Changes Will Generate Letter Code	This field is optional and if entered, defines the letter which is generated when a negative or positive suspense change occurs in PAC processing. For example, assume that a benefit was canceled and a suspense amount was created for the amount of \$19.80. Assume the PAC amount is \$14.86 for the policy. The next PAC cycle does not draft as a result of the suspense on the policy, and the letter coded in this field is generated.
On Termination, Refund Unapplied Cash	For each line of business, designate if any positive unapplied cash balance is refunded when the policy is terminated.
LOB—H	Y—Yes Unapplied cash for health products is refunded. N—No Unapplied cash for health products is not refunded.
LOB—L	Y—Yes Unapplied cash for traditional products is refunded. N—No Unapplied cash for traditional products is not refunded.
Number of Skipped Premiums Before Billing Suspends	This field is only applicable for line of business A—Annuity and determines if billing is suspended for a policy that is not receiving premium payments. If a number is entered greater than zero, missed premium payments are counted. When the number of missed premiums specified is met, the billing status is changed to Suspended—Stopped Premium. In addition, an ENS message is generated identifying when the agent's secured advances become unsecured based on the value in the Days Before Advance is Unsecured field.

Field	Description
Number of Skipped Premiums Before Billing Suspends (continued)	For example, assume a 3 is entered in the Number of Skipped Prm Before Billing Suspends field and two billing cycles complete for a policy. If no premium payment is made, the billing status for the policy is suspended the next time billing is run and an STPRM Rque record is created. The effective date of the Rque record is based on the number of days entered in the Days Before Advance is Unsecured field. • The number of premium payments missed is displayed in the Billing Stops Counter field. • Rebill does not effect the counting of skipped premiums. Regular billing must be run. • A premium reversal does not automatically update the counting of skipped premiums. For example, if the count is zero for missed payments and a payment is reversed, the count does not change to one. • Changing a suspended billing status back to Active does not effect an advance that is unsecured. • When a premium payment is made, the number of skipped premiums is reset to zero. For example, if two payments are missed and then a payment is made, the number of skipped premiums is changed to zero, not one. NOTE This field can be manually updated if this field has a value greater than zero on the BS—Billing Setup Segment. Zero is the default and no monitoring occurs.
Days Before Advance is Unsecured	This field determines when a secured advance becomes unsecured after billing is suspended with a reason code of Stopped Premium. This field is only applicable when the Number of Skipped Prm Before Billing Suspends field has a value greater than zero. A STPRM Rque record is created with an effective date based on the number of days entered in this field. For example, assume 30 is entered in this field, 03 is entered in the Number of Skipped Prm Before Billing Suspends field, and the Billing Stops Counter is 02. Also, assume billing is run as of 03/01/2005. When billing is run, the Billing Stops Counter is increased to 03 and the STPRM Rque request is created with a date of 03/31/2005, 30 days into the future. The Rque record's function is to change the agent's secured advance to unsecured and generate an ENS message.

Override Grace Period by Mode and Form

When used at the BS Segment level, this field allows the override of the Days After Due to Lapse or APL field by policy mode and form. Thus, a policy on a monthly mode can be set up to lapse with different timings than a policy on another mode.

Only the DIR—Direct column is applicable.

- PAC policies do not lapse through billing.
- List bill and government allotment policy lapse is controlled at the group level on the Group Updates Record.
- Credit card policies do not lapse through billing.

Keep in mind also that this option only affects mandatory premium payment items. The grace period for UL and annuity policies is controlled on the LP—Lapse Control Segment.

Enter Grace Period Overrides					
Form/Mode Grace Period Overrides					
Segment ID: PYPARWL Type: BT					
	Form				
Mode	Dir	PAC	Lst	Gvt	Crđ
Monthly	0	0	0	0	N1
Quarterly	0	0	0	0	N1
Semi-Annually	0	0	0	0	N1
Annually	0	0	0	0	N1

OK
Cancel

To access the Grace Period Override window, click **Grace Override** from the Billing Setup screen. In order to set up this window, input a value for each mode, then click **OK** to save.

NOTE

If using this window, you must select a value for each possible mode, not just for the override fields.

6.30 BU—Indexed Interest Bonus

The BU—Indexed Interest Bonus Segment contains the parameters to define one of the available interest rate type methods. Method 0 is used to apply an additional rate to the interest paid on universal life policies for bonus purposes. Methods 1, 2, and 3 tie a product to an index. Method 1 allows an index increase to be applied to the account value of the split fund bucket on the first modeaversary following the end of the index interval. Methods 2 and 3 each base the bonus calculation on the start date of the bucket, rather than on a separately defined option day, although the actual bonuses are calculated differently for these two methods.

The BU—Indexed Interest Bonus Segment is accessed through the Segment List on the Fund Rules screen. In addition, the BU Segment accesses the MI—Minimum Bonus Rate, MX—Maximum Bonus Rate, PZ—Participation Rate, IM—Index Margin Rate, and GM—Guaranteed Index Margin Rate Segments which are used in the equity index calculations depending on the method selected.

Indexed Interest Bonus			
Segment ID		MKWELA >>	Segment Type BU
Interest Index Rate Type '11' ID		MKW1	Rate Rule 00
Equity Index Calculation Method		Index Interval	Number of Months in Index Interval 3
Number of Intervals in Account Term		4	
Interval Averaging Period In Days		20	Day of the Month for Option Purchase 0
Order of Withdrawals (1/')		3rd Step Starts With Most Recent Window	
Exclude Impaired Interest		No	
Index Increases may be Surrendered within		30	Days without Penalty
Account Value may be Surrendered		30	Days after Account Term without Penalty
Generate Notice		30	Days before the End of the Interval or Account Term
Commissions by Fund Apply only after Free Withdrawal Period		Yes	
Use assumed interest rate for Projections		No	
Transfers Received within		0	Days of the Application Date Use
App Date to Determine Margin Rate		No	
Type	Description	Segment ID	
MI	Minimum Bonus Rate	Yes	MKWELA
MX	Maximum Bonus Rate	Yes	MKWELA
PZ	Participation Rate	Yes	MKWELA
IM	Index Margin	No	
GM	Guar Index Margin	No	
			History
			Last Change
			Process
			OK
			Cancel

Complete the following steps to access the BU Segment.

1. From the Fund Rules screen, click **Segments**.
2. Position the cursor on Y/N field for the BU—Index Interest Bonus Segment and select **Yes**.

3. Press **F4** to access the BU Segment.
4. Complete the desired fields and click **Process**.
5. Click **OK** to save or click **Cancel** to exit without saving.

Indexed Interest Bonus Field Definitions

The following table contains definitions for the fields on the BU Segment.

Field	Description
Interest Index Rate Type "I1" ID	This field defines the rate file ID for the index values used in the equity index calculation method. The rate file is accessed by clicking Process from this field. If Method 2 is selected, the Rate Rule must be 0 for the Index Rates.
Rate Rule	This field defines the rate rule associated with the I1 Declared Interest Rate File, whose segment ID is defined in the previous field. The value of this field varies, depending on the equity index calculation method selected. For methods 0 and 1 the Rate Rule must be 00, while for methods 2 and 3 the Rate Rule must be 01.
Equity Index Calculation Method	This field defines the equity index calculation method that uses the setup defined through the BU—Bonus Rates Segment. 0—Index Ratio This is the default method. The current index value is compared to the beginning index value. 1—Index Interval This method allows an index increase to be applied to the account value of the split fund bucket on the first modeaversary following the end of the index interval. The rate is calculated based on factors that indicate how well investments have performed. 2—Index Interest Appreciation This method bases the index bonus calculation for each fund interest bucket on the start day of the bucket, rather than on a separately defined option day. Even though the bonus is not calculated until a partial valuation occurs or the next monthaversary is processed, the index rates used are selected as of the actual bucket interval, rather than the date monthaversary processing is run. The average index value over a defined interval, is compared to the average beginning index value. The interval is defined using the Number of Months Between Bonuses field.

Field	Description
Equity Index Calculation Method (continued)	3—Index Fund Appreciation This method is very similar to method 2, except that no current interest is applied to the fund nor is current interest used in the calculation of the bonuses. Like method 2, this method bases the index bonus calculation for each fund interest bucket on the start day of the bucket, rather than on a separately defined option day. Similarly, the index rates used are selected as of the actual bucket interval, rather than the date monthiversary processing is run. See the following pages for more information about the various index bonus calculation methods. NOTE If methods 2 or 3 are selected, all of the fields on the FS—Deduction Rules Segment must be set to Prorated.
Number of Months in Index Interval	This field functions differently, depending on which equity index calculation method is selected. Method 0: Index Ratio—The bonus is calculated for the number of months input in this field. For example, if 12 is input in this field, the first bonus is due 12 months after the first option date and every 12 months thereafter. Method 1: Index Interval—This field defines the number of months in the index interval. The index interval is defined as the period over which the index start value and index end value are compared for purposes of calculating the index increases. Each indexed account has its own index interval and the first index interval starts when the indexed account is opened. Successive index intervals begin at the end of each prior index interval. Method 2: Index Interest Appreciation or Method 3: Index Fund Appreciation—This field defines the number of months between bonuses, up to a maximum of 12 months. Bonuses are not allowed to cross anniversaries. NOTE If the WM—Window Maturity Segment is defined in conjunction with a product that uses this field, it is suggested that the index interval match the window defined by the Maturity Timing and Code fields on the WM Segment.
Number of Intervals in Account Term	This field defines the number of index intervals in the account term. Each indexed account has its own account term and the first account term starts when the indexed account is opened. Successive account terms begin at the end of each prior account term. This field is applicable only to the equity index calculation method 1.

Field	Description
Interval Averaging Period	This field functions differently, depending on which equity index calculation method is selected. Method 0: Index Ratio—This field is not applicable. Method 1: Index Interval—This field defines the interval averaging period by days. The averaging period is the period over which the average of the index value is taken for calculation of the index increase. For example, if 20 days is defined in this field, the system will start with the current interest interval start date and go back 19 days to arrive at an ending average index value. NOTE The system does not include 0 entries in the denominator total. For example, if 20 days is defined as the average and 6 of those days are defined as 0, then the system would use 14 as denominator rather than 20. Method 2: Index Interest Appreciation or Method 3: Index Fund Appreciation—This field defines the number of months for which index values are averaged, when calculating the bonus rate, from 1 to 12 months. This number must be less than or equal to the value defined for the Number of Months in Index Interval field, but does not have to be the same value. In other words, it is possible to wait twelve months between bonuses, but only use the average index values for the last six months.
Order of Withdrawals (I/')	Withdrawals are processed in three steps. 1. Withdrawal of free index increase 2. Withdrawal of free account value 3. Withdrawal of other value This field defines the order of the other value in step 3. “—Blank 3rd Step Based On FS Segment Values are taken based on the FS—Deduction Rules Segment. 1—3rd Step Starts With Most Recent Window Values are taken from each window starting with the most recent.
Day of the Month for Option Purchase	The day of the month input in this field is used to determine the indexed interest rate to use and the day the bonus is due on the policy. The bonus is calculated as of the day entered in this field; however, the actual calculation is processed during the next monthaversary following the option day. The bonus is also paid through monthaversary processing.

Field	Description
Exclude Impaired Interest	This field determines if impaired interest is excluded from the bonus calculation. Impaired interest is interest associated with that portion of the policy against which a loan has been taken. Y—Yes The impaired interest is excluded. The bonus is calculated based on unimpaired interest only. N—No The impaired interest is included. The bonus is calculated based on both unimpaired and impaired interest.
Index Increases may be surrendered within ___ Days without Penalty	This field defines the number of days after crediting an index increase that the index increase can be surrendered without penalty. This field is applicable only to equity index calculation method 1.
Account Value may be Surrendered ___ Days after Account Term without Penalty	This field defines the number of days after the end of an account term that the full account value may be surrendered without penalty. This field is applicable only to equity index calculation method 1.
Generate Notice ___ Days before the End of the Interval or Account Term	This field defines the number of days before the end of an index interval or account term to generate a Follow-up Record. For example, this Follow-up Record can be used to notify a client of a 30 day free withdrawal period. This field is only applicable to the equity index calculation method 1.
Commissions by Fund Apply only after Free Withdrawal Period	This field determines if commissions by fund apply only to rolled over accounts, after the free withdrawal period. This field is applicable only to equity index calculation method 1. Y—Yes On the first modeaversary after the expiration of the free account surrender period, the servicing commission is generated based on the balance remaining in the account. N—No Commissions are not paid on the rolled over accounts after the free withdrawal.
Use assumed interest rate for Projections	This field determines whether the assumed index appreciation rate is used for disclosures and rejections, for equity index calculation methods 2 or 3. If used, the assumed index appreciation rate is calculated as of the effective date of the disclosure or rejections. The selection made in this field affects the ULCCV (Current Cash Value), ULCSV (Current Surrender Value), and ULCDB (Current Death Benefit) keywords. Y—Yes Use the assumed index appreciation rate. N—No Do not use the assumed index appreciation rate. This is the default.

Field	Description
Transfers received within ____ Days of the Application Date Use App Date to Determine Margin Rate	This field determines which margin rates, defined on the IM—Index Margin and GM—Guar Index Margin Segments, are selected for transfers received within a specified number of days of the application. If set to Yes and the transfer falls within the specified number of days, the system uses the application received date to determine which IM and GM Rate File is used. In other words, the date is used to select the effective date of the IM and GM Declared Interest Rate Files. After the rate files are selected, the effective date of the transfer is used to pull the actual rate from within that rate file. This field only applies to funds using equity index calculation methods 2 or 3 and only if the process rule on the corresponding FR—Fund Rules Segment is set to New Money/Old Money. It also applies only to contributions recorded using the following accounting transaction codes. 0121—Rollovers 0122—Transfers 0124—1035 Exchanges
MI—Minimum Bonus Rate	This field contains the Segment ID for the MI—Minimum Bonus Rate Segment which defines the minimum bonus index rates used in the designated equity index calculation method. NOTE If using the equity index calculation method 1, the rates coded on the MI Segment are a multiple of the number of months in index interval divided by 12 and multiplied by the desired bonus. For example assume that 36 is coded in the Number of Months in Index Interval field and a 5% bonus a year is desired. The rate is coded as 15% ($36/12 * 5$).
MX—Maximum Bonus Rate	This field contains the Segment ID for the MX—Maximum Bonus Rate Segment which defines the maximum bonus index rates used in the designated equity index calculation method. NOTE If using the equity index calculation method 1, the rates coded on the MX Segment are a multiple of the number of months in index interval divided by 12 and multiplied by the desired bonus. For example assume that 36 is coded in the Number of Months in Index Interval field and a 5% bonus a year is desired. The rates would be coded as 15% ($36/12 * 5$).
PZ—Participation Rate	This field contains the Segment ID for the PZ—Participation Rate Segment which defines the participation rates used in the designated equity index calculation method.

Field	Description
IM—Index Margin	This field contains the Segment ID for the IM—Index Margin Segment which defines the rates for one of two margins, the lesser of which is used in the margin based bonus rate calculation for equity index calculation methods 2 or 3. The index margin rate is a percentage based on index rates. If an IM Segment is defined on the BU Segment, a GM Segment must also be defined.
GM—Guar Index Margin	This field contains the Segment ID for the GM—Guaranteed Index Margin Segment which defines the rates for one of two margins, the lesser of which is used in the margin based bonus rate calculation for equity index calculation methods 2 or 3. The guaranteed index margin is used to ensure the index margin rate never exceeds a specified percentage. If a GM Segment is defined on the BU Segment, an IM Segment must also be defined.

The Indexed Interest Rate Type File is defined on the BU Segment and is accessed by clicking **Process** from this field, which displays the I1 Segment ID. This rate file contains the factors used in the index ratio calculation. The rates entered can be based on an industry index, such as Standard and Poor's, or they can be based on interest rates, such as a specific fund.

Declared Rates File

Rate ID

AMGIA >>

Low

High

Type

I1

Effective Date

01/01/1980

Date

01/01/1980

12/31/2099

Rule

01

Record Sequence

001

Duration

00001

00001

Investment Code

Rate Duration Period Code

Start Date

End Date

Duration

Declared Rate

01/01/1980

02/29/1980

000

17.1000000

03/01/1980

04/30/1980

000

18.1000000

05/01/1980

06/30/1980

000

18.2000000

07/01/1980

08/31/1980

000

18.4500000

09/01/1980

10/31/1980

000

18.9500000

11/01/1980

12/31/1980

000

18.6000000

01/01/1981

02/28/1981

000

19.2500000

03/01/1981

04/30/1981

000

18.7000000

05/01/1981

06/30/1981

000

19.1000000

07/01/1981

08/31/1981

000

19.5000000

09/01/1981

10/31/1981

000

19.6500000

11/01/1981

12/31/2099

000

19.7000000

Multiplier

1.000

Next

Previous

OK

Cancel

NOTE

A zero (0) must be entered for weekends and holidays.

Field	Description
Multiplier	The declared rate is multiplied by the number entered in this field. The new calculated rate is used in the equity index calculation; however, is not displayed on the screen.

NOTE

When the Declared Interest Rate File defines the factors used in the interest index ratio, the rule must be 00 for equity index calculation methods 00 or 01, and the rule must be 01 for equity index calculation methods 02 or 03.

Method 0—Index Ratio

The index ratio method allows an additional rate to be applied to the interest paid on universal life policies for bonus purposes. This rate is calculated based on factors that indicate how well investments have performed. The following segments contain the factors necessary to calculate the bonus rate.

- **BU—Indexed Interest Bonus Segment** This segment contains the indexed interest rates. These rates are used in a ratio to determine how well investments have performed over the past year.
- **MI—Minimum Bonus Rate Segment** and the **MX—Maximum Bonus Rate Segment** define the minimum and maximum ratios used to calculate the bonus rate. If the ratio calculated does not fall between the minimum and maximum ratios, the minimum or maximum ratios defined on these segments are used in the bonus rate calculation.
- **PZ—Participation Rate Segment** contains the additional factor used in the index ratio calculation.

Index Ratio

The *index ratio* for the bonus calculation must first be determined using the formula shown below. It is important to note that the option day is always used when accessing the interest index rates.

$$((\text{Interest Index Rate for Bonus Date} / \text{Interest Index Rate for Beg of Bonus Period}) - 1) * \text{Participation Rate}$$

The index ratio is then compared to the minimum and maximum index ratios. If the index ratio calculated is between the minimum and maximum index ratios, then the ratio calculated is used to calculate the bonus rate. However, if the index ratio is outside of the minimum or maximum, the minimum or maximum rate defined on the segment is used to calculate the bonus rate.

Bonus Rate

The *bonus rate* is calculated as shown below.

$$(\text{Index Ratio} / \text{Current Interest Rate}) - 1$$

The bonus rate is then applied to the interest credited on the policy up to the bonus date (monthiversary date when bonus is applied).

In addition to the segments for the bonus rate calculation, the Deposits Between Dates and Amounts with Option Date in Period reports are available. The first report lists the premium amounts received between two user defined dates. The second report lists the account values of the policies that have a bonus amount calculated as of the next option date.

A correspondence keyword, INDEXBON, when selected, displays the last bonus amount paid on the policy.

Method 1—Index Interval

Equity index calculation method 01 allows an index increase to be applied to the account value of the split fund bucket on the first modeaversary following the end of the index interval. This rate is calculated based on factors that indicate how well investments have performed. The following segments contain the factors necessary to calculate the bonus rate.

- **BU—Indexed Interest Bonus Segment** This segment contains the Indexed Interest Rates Segment. These rates are used in a ratio to determine how well investments have performed over the past interval. The Number of Months in Index Interval, Number of Interval in Account Term, and Interval Averaging Period in Days fields must be completed if using the index by split fund interval method.
- **MI—Minimum Bonus Rate Segment** and the **MX—Maximum Bonus Rate Segment** define the minimum and maximum ratios used to calculate the index increase. If the ratio calculated does not fall between the minimum and maximum ratios, the minimum or maximum ratios defined on these segments are used in the index increase calculation.
- **PZ—Participation Rate Segment** contains the additional factor used in the index ratio calculation.

Index Average

The *index average* must first be determined using the Interval Averaging Period in Days field as defined on the BU Segment.

$$\text{Index Ratio} = ((\text{Average Index Rate} / \text{Index Rate for Beg of Interval}) - 1) * \text{Participation Rate}$$

The index ratio is then compared to the minimum and maximum index ratios. If the index ratio calculated is between the minimum and maximum index ratios, then the ratio calculated is used to calculate the bonus rate. However, if the index ratio is outside of the minimum or maximum, the minimum or maximum rate defined on the segment is used to calculate the bonus rate.

Index Increase

The *index increase* is calculated as shown below.

$$\text{Index Ratio} * \text{Account Value of the Split Fund Bucket}$$

The index increase is then applied to the split fund bucket on the policy.

In addition to the segments for the bonus rate calculation, an Indexed Funds Report is available from the Product Reports Menu in Reports Processing and from Product Reports in Job Scheduler. In addition, the report is available from Print Reports in Job Scheduler. This report displays the funds that are ready to roll into a new index interval or account term.

The following keywords are available for the index interval method.

- **IDXBNMDV—Index Increase Applied By Last Modeaversary.** This correspondence keyword totals all index increases which were applied during the last Modeaversary processed.

- IDXBNFWD—Index Increase Available For Free Withdrawal. This correspondence keyword displays the amount available for free withdrawal.
- EQTIX—Equity Index. This keyword displays the index value for the start of the index interval and can be used as a single or table keyword in correspondence and policy pages. The table entries correspond to the funds defined on the fund segment. The first entry in the table is the index value at issue for the first fund listed, the second entry is for the second fund listed, and so forth. For each fund, the date of the premium payment is compared to the split fund windows to see which window that the premium would go into. The next date of the split fund window is used to look up the index value. For correspondence, the effective date is equal to the correspondence effective date.

Method 2—Index Interest Appreciation

The index interest appreciation method causes the contributions to be placed in separate windows, according to the anniversary date (bucket interval) of that contribution. A bonus based on market values or equity indexes is credited to each window separately, on the anniversary date of the window, rather than on a single contract level anniversary. The bonus is not calculated until a partial valuation occurs or until monthiversary processing is run; however, the index dates are selected as of the window anniversary date, not the date of the valuation or monthiversary processing.

Using Method 02, first a *bonus rate* is determined. The *bonus rate* is used to determine the *bonus factor*. Then, the *bonus factor* is used to determine the actual *bonus*.

Bonus Rate

There are two ways to determine the *bonus rate* for equity index calculation method 02.

- The average index bonus rate, which compares an average index rate to the beginning index rate; and,
- The margin based bonus rate, which uses the *lesser* of two margin rates, defined on the IM and GM Segments.

In either instance, when the contribution is paid on the 29th, 30th, or 31st of the month, the index rates are selected for a matching day if it exists, otherwise the rate is selected as of the last day of the month. (The complete formulas for each way to calculate the bonus rate are defined beginning on the following page.)

The bonus rate is then compared to the minimum and maximum bonus rates, if applicable, defined on the MI and MX Segments. After the final resulting *bonus rate* is found, it is used to determine the *bonus factor*.

Bonus Factor

$$[\text{Bonus Rate} / ((1 + \text{Current Rate})^{y/12} - 1)] - 1$$

where: y = Number of Months in Index Interval

The y variable is defined by the Number of Months in Index Interval field on the BU Segment. If a guaranteed rate is desired, the A1—Current Interest Rate Segment must be coded with the desired guaranteed interest rate.

Next, the *bonus factor* is used to determine the actual bonus credited for that window anniversary date.

Bonus

$$\text{Window Credited Interest} * \text{Bonus Factor}$$

where the window credited interest is the unimpaired or combined unimpaired and impaired interest, depending on how the Exclude Impaired Interest field is set on the BU Segment. The unimpaired and impaired interest for a bucket's current index interval is displayed on the Interest Credited screen accessible from the policy's annual statement. After the interval is reached, the bucket is reset and starts over for the next interval. Negative bonuses are not applied.

Average Index Bonus Rate

One method for determining the *bonus rate* calculates the average index value over a defined interval, and compares that average to the beginning index value.

Average Index Bonus Rate

$$\left\{ \left[\sum_{t=0}^{x-1} \text{Index (Bonus Date - } t \text{ Months)} \right] / [x * \text{Index (Bonus Date - } y \text{ Months)}] - 1 \right\} * \text{Participation Rate}$$

where: x = Interval Averaging Period in Months, and
 y = Number of Months in Index Interval

The x variable is defined by the Interval Averaging Period in Months field and the y variable is defined by the Number of Months in Index Interval field. The index rates are defined on the I1 Rate File. The participation rate, if any, is defined on the PZ—Participation Rate Segment.

Margin Based Bonus Rate

The margin based bonus rate allows the *bonus rate* to be calculated based on the *lesser* of two margin rates, defined on the IM and GM Segments.

First, the current average index for the window is determined using the following formula.

Current Average Index

$$\frac{x-1}{t=0} \{ [S \text{ Index (Bonus Date - } t \text{ Months)}] / [x * \text{Index (Bonus Date - } y \text{ Months)}] - 1 \}$$

where: x = Interval Averaging Period in Months, and
 y = Number of Months in Index Interval

The x variable is defined by the Interval Averaging Period in Months field and the y variable is defined by the Number of Months in Index Interval field. The index rates are defined on the I1 Rate File. This is very similar to the formula for the average index bonus rate displayed above, except that the participation rate is not yet factored into the calculation.

Next, the margin rate is determined.

Margin Rate

Two types of rates are defined. Index rates are defined as percentages on the IM—Indexed Margin Rates Segment. The GM—Guaranteed Margin Rates Segment is used to ensure the index margin rate never exceeds a specified percentage. The *lesser* of these two rates, at the time of the window anniversary, is selected as the Margin Rate.

The *margin rate* and *current average index* are used to determine the margin based bonus rate.

Margin Based Bonus Rate

$$((\text{Current Average Index/Index1}) - 1 - \text{Margin Rate}) * \text{Participation Rate}$$

Index1 is the index value as of the previous window anniversary date. The participation rate, if any is defined on the PZ—Participation Rate Segment, is now applied.

Viewing the Index Rates used in the calculations

Whether the average index bonus rate or the margin based bonus rate is used, the index rates are taken from the I1 Declared Interest Rate File, accessed from the BU Segment. To view the rates used in a given calculation, access the Index Bonus field for that window on the Split Fund/New Old \$ Record Display and press **F3**. The Indexes Used for Bonuses window is displayed. Refer to the Inforce Book, Section 4, Fund Record Display Screen Function Keys for more information.

Available Keywords

The following keywords are available for the equity index calculation methods 02 or 03.

- PRATEY—The participation rate as of the issue date for disclosures or as of the effective date of correspondence. The participation rate is taken from the PZ—Participation Rate Segment.
- EQTYXY—A table keyword which gives the value of the equity index over time. The equity index rates are based on equity index calculation method 02. These equity index rates are based on the issue date of the policy.
- INDXY—The value of the assumed index appreciation rate, based on the rate which would be credited to a bucket, when using equity index calculation method 02. In other words, the assumed index appreciation rate is based on the equity index rates displayed. The calculation formula used to determine the assumed index appreciation rate is displayed on the previous page under the heading **Bonus Factor**.

Method 3—Index Fund Appreciation

The index fund appreciation method is very similar to the index interest appreciation method. Contributions are placed in separate windows, according to the anniversary date (bucket interval) of that contribution. A bonus based on market indexes is credited to each window separately, on the anniversary date of the window, rather than on a single contract level anniversary. The bonus is not calculated until a partial valuation occurs or until monthiversary processing is run; however, the index dates are selected as of the window anniversary date, not the date of the valuation or monthiversary processing.

On the other hand, method 03 has two distinct differences from method 02. First, only a margin based bonus rate is used. Second, no current interest is applied to the fund nor is current interest used in the calculation of index bonuses using equity index calculation method 03; therefore, no bonus factor is needed.

To calculate the bonus based on the index fund appreciation method, first the *margin based bonus rate* is determined. Then the *bonus* is calculated based on the *margin based bonus rate*.

Margin Based Bonus Rate

The margin based bonus rate is calculated using the same formulas described for method 02.

Bonus

$$\text{Current Window Balance} * \text{Margin Based Bonus Rate}$$

After the margin based bonus rate is determined, the bonus is calculated using the above formula.

Available Keywords

The PRATEY, EQTYXY, and INDXY keywords described for equity index calculation method 02 are also available for Method 03—Index Fund Appreciation.

6.31 C0—Confirmation Setup Segment

The C0—Confirmation Setup Segment determines if correspondence is generated when specified transactions are set up or if a confirmation is generated when specified transactions are actually processed. There are four screens that display the different transactions. Click **Next** and **Previous** to move between the screens.

Process Name	Generate Correspondence Upon Setup	Generate Confirm Upon Processing
Purchase Payment 0110 (first)		No >>
Subsequent Payment 0110		No >>
Rollover 0121 (first)		No >>
Subsequent Rollover 0121		No >>
Transfer 0122 (first)		No >>
Subsequent Transfer 0122		No >>
Special Deposit 0123 (first)		No >>
Subsequent SD 0123		No >>
1035 Exchange (first)		No >>
Subsequent 1035 Exchange		No >>
Extrnl Roth Conv 0129 (first)		No >>
Subsequent Extr Roth 0129		No >>
Rollover Annuity 0131 (first)		No >>

The following table contains definitions for the fields on the C0 Segment.

Field	Description
Sort Order	This field determines the order in which the processes appear on the screens. T—Transaction Type The processes are displayed in numerical order by transaction type. N—Process Name The processes are displayed in alphabetical order by the name of the process.
Generate Correspondence Upon Setup	This field indicates if correspondence is generated when the specified transaction is set up and the request is activated. Y—Yes When the process is activated, a prompt is displayed to allow you to select if the correspondence is generated.

Field	Description
Generate Correspondence Upon Setup (continued)	N—No The correspondence is not generated when the transaction is activated. A—Always The correspondence is generated when the specified transaction is activated. A prompt is not displayed. For each transaction set to Yes or Always, the confirmation ID must be input in the next field. The ID can be up to five alphanumeric characters and is user defined. Each correspondence must have a unique ID. Press F4 from this field to access the CU—Confirmation/Correspondence Setup Segment.
Generate Confirm Upon Processing	This field indicates if a confirmation is generated when the specified transaction is processed. The option selected in this field also determines the default value of the Generate Confirmation field on the Systematic Requests screen, the Manual Premium Payment screen, and the Batch Manual Premium Payment screen. Y—Yes A confirmation is generated when the transaction is processed. The Generate Confirm field on the Systematic Requests screen, the Manual Premium Payment screen, or the Batch Manual Premium Payment screen defaults to Yes; however, this field can be changed to No so the confirmation is not generated for that transaction. N—No A confirmation is not generated when the transaction is processed. The Generate Confirm field on the Systematic Requests screen, the Manual Premium Payment screen, or the Batch Manual Premium Payment screen defaults to No and cannot be changed. A—Allowed When the transaction is processed, a prompt allows you to select if the confirmation is generated when the transaction is processed. The Generate Confirm field on the Systematic Requests screen, the Manual Premium Payment screen, or the Batch Manual Premium Payment screen defaults to No; however, this field can be changed to Yes so the confirmation is generated for that transaction. For each transaction set to Yes or Allowed, the identifier for the confirmation must be input in the next field. The ID can be up to five alphanumeric characters and is user defined. Each confirmation must have a unique ID. Press F4 from this field to access the CU—Confirmation/Correspondence Setup Segment. When Payment File Processing is used, this field must be set to Yes in order for a confirmation to be generated. If this field is set to No or Allowed, confirmation is not generated for the transaction.

C0 Segment—Screen 2

Confirmation Setup			
Segment ID	Type C0		Sort Order: Transaction Type
Process Name	Generate Correspondence Upon Setup		Generate Confirm Upon Processing
Subsequent Rollover Ann 0131			No >>
Transfer Annuity 0132 (first)			No >>
Subsequent Transfer Ann 0132			No >>
Single Fund Transfer	No >>		No >>
Systematic Fund Transfer	No >>		No >>
Dollar Cost Averaging	No >>		No >>
Auto Portfolio Rebalancing	No >>		No >>
Single Window Transfer	No >>		No >>
Systematic Window Transfer	No >>		No >>
Fund Termination Transfer			No >>
Systematic Interest Sweep	No >>		No >>
Full Surrender	No >>		No >>
Single Withdrawal	No >>		No >>

Page 2 of 4

Next OK
Previous Cancel

C0 Segment—Screen 3

Confirmation Setup			
Segment ID	Type C0		Sort Order: Transaction Type
Process Name	Generate Correspondence Upon Setup		Generate Confirm Upon Processing
Systematic Withdrawal	No >>		No >>
Required Min Distribution	No >>		No >>
Substantially Equal Payments	No >>		No >>
Single Window Withdrawal	No >>		No >>
Systematic Interest W/D	No >>		No >>
Forfeiture Withdrawal	No >>		No >>
Group Termination			No >>
Death Claim	No >>		No >>
Single Loan Request	No >>		No >>
Systematic Loan Request	No >>		No >>
Loan Repayments	No >>		No >>
Automatic Loan Deduction	No >>		No >>
Address Change	No >>		

Page 3 of 4

Next OK
Previous Cancel

C0 Segment—Screen 4

Confirmation Setup			
Segment ID		Type	C0
	>>	Sort Order:	Transaction Type
Process Name		Generate Correspondence Upon Setup	Generate Confirm Upon Processing
Name Change	No		>>
Beneficiary Change	No		>>
Allocation Change	No		>>
Allocation Change Fund Term	No		>>
Page 4 of 4			
		Next	OK
		Previous	Cancel

6.32 C1—Interest Bearing Account Segment

Interest bearing (IBA) type 01 accounts are used for premiums paid in advance. Another term for IBA type 01 is a premium deposit fund (PDF). Premiums paid in advance can be deposited to an IBA type 01, where they can earn interest. The Billing System can automatically draw from an IBA type 01 record to pay the policy premium. This segment is accessed through the Type 01 field on the IB—Interest Bearing Account Rate Segment.

Enter Interest Bearing Account Segment Screen Criteria									
Segment ID	UL1 >>				Select Period				
Segment Type	C1				Ultimate ID				
Key Modifier	☐								
Banding Method	Current Balance								
Band Upper Limits									
	0	0	0	0	0	0	0	0	
Constant Rates									
Rate File Ids and Rules									
Bill IBA(Y/N):									
Use IBA To Pay Collection Shortage(Y/N):									
Use IBA Before Executing NFO(Y/N):									
Utilize Over And Short When Paying Premium With IBA (Y/N):					No				
Suspend Or Bill If Not Within Short Limit (S/B):					Bill				
								OK	
								Cancel	

Refer to the Product Book, Section 5, Interest Crediting Segment Criteria Screen for more information on Declared Interest Rate File Segments, including descriptions for most of the fields displayed on the Interest Crediting Segment Criteria screen. The fields near the bottom of the screen are applicable only for C1 or C4 rates and are described on the following page.

A constant rate may be defined or the rates may be defined using a Declared Interest Rate File. If a rate file is defined, complete the following steps to view the rates.

1. From the Interest Crediting Segment Criteria screen, position the cursor on the Segment ID for the rate file.
2. Press **F4**. The Declared Interest Rate File is displayed.

Fields Unique to this Segment

The following table contains definitions for the fields on the C1 screen.

Field	Description
Banding Method	X—Not Banded C—Current Balance This is currently the only valid method. I—Issue Age
Bill IBA	Y—Yes An IBA Record can be set up so that the system allows a bill to be produced for an amount to be collected to IBA. In effect, it provides a method for billing for advance premiums to be deposited to the account. N—No The option of billing for IBA Type 01 amounts is not allowed.
Use IBA To Pay Collection Shortage	Y—Yes Collections allows the option of selecting a collection option of IBA on the Batch or List Bill Collections screen. This indicates to draw any shortage from the existing IBA balance. This field must be set to Yes if Partial Modal Billing is selected in the Pay Premium from Type 1 IBA Account field on the NB—New Business Defaults Segment. N—No Do not allow use of IBA 01 money in collections.
Use IBA Before Executing NFO	Y—Yes When processing NFO, the system attempts to draw the premium from IBA Type 01 funds before processing NFO. N—No The system does not try to collect premium from the IBA 01 account when processing NFO.

Field	Description
Utilize Over And Short When Paying Premium With IBA	This field determines if the over and short amount defined on the Management Options screen is used when the premium is paid using funds from an IBA type 01 or type 04 account. Y—Yes The over and short limits are used when determining if the IBA type 01 or type 04 account has enough money to pay the premium. For example, assume the IBA account has \$50.00, the over and short limit is \$5.00, and the premium amount is \$60.00. The premium is not paid from funds in the IBA. However, if the IBA has an amount between \$55 and \$65, the premium is paid from the IBA. N—No The over and short limits are not used when determining if the IBA type 01 or type 04 account contains enough money to pay the premium. The amount in the IBA must be equal to or greater than the premium amount in order to be paid. This is the default.
Suspend Or Bill If Not Within Short Limit	This field determines if the policy is suspended or if a bill for the full premium amount is generated when there is not enough money in the IBA to pay the premium with the short limit. The Utilize Over and Short when Paying Premium with IBA field must be set to Yes in order for this field to apply. If the field is set to No, a bill is always produced if the IBA account does not have enough money to process the premium. S—Suspend If the amount needed to pay the premium from the IBA exceeds the short limit, the policy is suspended and an ENS message is generated. A bill is not generated for the premium amount. B—Bill If the amount needed to pay the premium from the IBA exceeds the short limit, a bill is generated for the full amount of the premium. This is the default.

6.33 C2—Interest Bearing Account Segment

Interest bearing (IBA) type 02 accounts are used for non-premium related items that are left on deposit. For example, a death claim left on deposit could be paid to an IBA 02 account rather than to suspense. The IBA 02 account can be set up to pay interest via this segment. Also, repetitive payments can be set up from the IBA 02 record itself, accessed from the Contract screen, Benefit Inquiry Menu.

The interest rate can be banded according to the current balance of the IBA account. The rate can be a constant rate per band, or a Declared Interest Rate ID and Rule Code can be designated. This segment is accessed through the Type 02 field on the IB—Interest Bearing Account Rate Segment.

Enter Interest Bearing Account Segment Criteria

Segment ID: U >> Select Period: Ultimate ID:

Segment Type: C2

Key Modifier: Minimum Check Amount:

Banding Method: Current Balance Dump Contents If Minimum Met?:

Band Upper Limits: 0 0 0 0 0 0 0

Constant Rates:

Rate File Ids and Rules:

OK Cancel

Refer to the Product Book, Section 5, Interest Crediting Segment Criteria Screen for more information on Declared Interest Rate File Segments, including descriptions for most of the fields displayed on the Interest Crediting Segment Criteria screen. The fields near the bottom of the screen are applicable only for C2 rates and are described on the following page.

A constant rate may be defined or the rates may be defined using a Declared Interest Rate File. If a rate file is defined, complete the following steps to view the rates.

1. From the Interest Crediting Segment Criteria screen, position the cursor on the Segment ID for the rate file.
2. Press **F4**. The Declared Interest Rate File is displayed.

Fields Unique to this Segment

The following table contains definitions for the fields on the C2 Segment.

Field	Description
Banding Method	X—Not Banded C—Current Balance This is currently the only valid method. I—Issue Age
Minimum Check Amount	This field is used in conjunction with the Automatic Withdrawal of Interest to Type 2 IBA option. A default for this option is set on the NB—New Business Defaults Segment, with the option of overriding the default in Policy Add. This option was designed to allow automatic partial withdrawals of interest to an IBA type 2 account through modeaversary processing on flexible premium deferred annuity products. Modeaversary automatically creates the account to pay interest to an IBA type 2 account. The amount paid to the IBA type 2 account is automatically paid to the policy owner through IBA repetitive payment processing. The backup withholding may or may not apply to the payout, depending on the tax code settings on the second Contract screen. This field sets a cap for the minimum payout amount. For example, if automatic withdrawal checks are not generated for an amount less than \$10.00, input \$10.00 in this field. The withdrawal is still made to the IBA type 2 account if it is under \$10.00, but no payout is made through repetitive payment process if the account balance is below \$10.00 (or whatever the limit specified).
Dump Contents If Minimum Met	Y—Yes N—No

6.34 C3—Interest Bearing Account Segment

The C3—Interest Bearing Account Segment is used to define the interest credited on dividend accumulations, and is accessed through the DO—Dividend Option Segment. If IBA Type 03 records are used for dividend accumulations, the C3 Segment must be defined. When IBA Type 03 records are used for dividend accumulations, interest is credited with each dividend transaction.

Enter Interest Bearing Account Segment Screen Criteria

Segment ID: >> Select Period:

Segment Type: C3 Ultimate ID:

Key Modifier:

Banding Method: ▼

Band Upper Limits

0	0	0	0	0	0	0
---	---	---	---	---	---	---

Constant Rates

--	--	--	--	--	--	--

Rate File Ids and Rules

--	--	--	--	--	--	--

OK
Cancel

A constant rate may be defined or the rates may be defined using a Declared Interest Rate File. If a rate file is defined, complete the following steps to view the rates.

1. From the Interest Crediting Segment Criteria screen position the cursor on the Segment ID for the rate file.
2. Press **F4**. The Declared Interest Rate File is displayed.

Refer to the Product Book, Section 5, Declared Interest Rate File for more information about rate files, including field definitions for the Interest Crediting Segment Criteria screen or the Declared Interest Rate File screen.

6.35 C4—Interest Bearing Account Segment

NOTE

The IBA type 04 accounts are used to credit interest on premium deposits paid in advance. As premiums are billed, the money in the type 04 account is withdrawn and the premium is paid. In addition, this segment contains the options that define how premium overages and shortages are handled. The rate file ID for the IBA type 04 account defines the results that occur as a result of an over or short situation. When the IB Segment is type 04, the rate rules ID must also be 04.

This segment is accessed through the Type 04 field on the IB—Interest Bearing Account Rate Segment.

Enter Interest Bearing Account Segment Screen Criteria									
Segment ID	UL1 >>				Select Period				
Segment Type	C4				Ultimate ID				
Key Modifier									
Banding Method	Current Balance								
Band Upper Limits									
Constant Rates									
Rate File Ids and Rules									
Use IBA To Pay Collection Shortage(Y/N):									
Use IBA Before Executing NFO(Y/N):									
Utilize Over And Short When Paying Premium With IBA (Y/N):					No				
Suspend Or Bill If Not Within Short Limit (S/B):					Bill				
								OK	
								Cancel	

Refer to the Product Book, Section 5, Interest Crediting Segment Criteria Screen for more information on Declared Interest Rate File Segments, including descriptions for most of the fields displayed on the Interest Crediting Segment Criteria screen. Refer to 6.32—C1—Interest Bearing Account Segment on page 12-155 in this book for descriptions of the fields near the bottom of the screen, which are applicable only for C1 and C4 rates.

A constant rate may be defined or the rates may be defined using a Declared Interest Rate File. If a rate file is defined, complete the following steps to view the rates.

1. From the Interest Crediting Segment Criteria screen position the cursor on the Segment ID for the rate file.
2. Press **F4**. The Declared Interest Rate File is displayed.

When the rate type is C4, payments that are received during the year that are not on the anniversary date are credited with the current interest rate being paid on the effective date of the last deposit for the remainder of the year, and then the full period as defined on the Declared Interest Rates File. It is important to note that the duration begins on the policy anniversary date. If interest is not paid after a certain period, a duration of 999 must be input with 0.00 rates.

6.36 CA—Calendar Based Statement Segment

The CA—Calendar Based Statement Segment can be used to create an annual statement trigger any time a policy monthiversary crosses one of the months or days listed in the column after the To field.

If triggered, the system creates the trigger record to generate a statement (the next time statements are processed) with a start date listed after the From field.

Thus, it is possible to have statements that always start on 01/01, and end each quarter (03/31, 06/30, 09/30, and finally 12/31). Or, you might choose to have distinct quarters: 01/01 to 03/31, 04/01 to 06/30, 07/01 to 09/30 and at the end, have 01/01 to 12/31, or optionally, 10/01 to 12/31.

NOTE

A statement is generated each quarter for variable products. If the CA Segment is used for the product, the quarterly statements are generated in addition to the statements generated based on the CA Segment. However, if the generation date for the quarterly statement coincides with the generation date for the statement based on the CA Segment, only one statement is produced.

Segment ID		Segment Type
TAMANNUIITY >>		CA
Statement Number		06
Generate Statement	Mn/Dy	Mn/Dy
	from 01 / 01 to 03 / 31	
	from 04 / 01 to 06 / 30	
	from 07 / 01 to 09 / 30	
	from 10 / 01 to 12 / 31	
	from / to /	
	from / to /	
	from / to /	
	from / to /	
	from / to /	
	from / to /	
	from / to /	
Skip Statement If No Activity		Yes
Reporting Format		Calendar
		OK
		Cancel

The following table contains definitions for the fields on the CA Segment.

Field	Description
Statement Number	Input the number of the annual statement to generate in this field.
Generate Statement from	Designate the starting date for the annual statement in this field. A start date can be listed more than once. For example, input 01/01 in the From column and 03/31 in the To column to generate a statement showing 01/01 through 03/31. The statement is generated the monthiversary after 03/31. An additional record could be set with an 01/01 through 06/30 period. Another statement would be generated reflecting the period from 01/01 through 06/30.
to	This field is the ending statement date and triggers the generation of the statement. The statement is generated on the monthiversary following this date.
Skip Statement If No Activity	This field determines if a statement is always generated or if the statement is automatically skipped if there is no activity, (such as a premium payment, withdrawal, or loan activity) when calendar based statements are generated using the Automated Processing option for generating annual statements. Y—Yes For each period defined on the table except the last, LifePRO® automatically skips the policy or contract and does not generate a statement if there has been no activity. For the last period defined on the table, a statement is generated unconditionally, to ensure that at least one statement is generated annually for each policy or contract. N—No A statement is generated unconditionally, for all statement periods. This is the default.
Reporting Format	This field determines how values are calculated. P—Policy Month C—Calendar V—Calendar with Valuation Modeaversary processing generates an RQUE record that causes a partial valuation to generate on the statement dates selected on the CA Segment. When annual statements are processed, annual statements are generated for these policies.

6.37 CC—Commissions Segment

The CC—Commissions Segment points the system to the Commission Class Rules Segment for a specific coverage. This segment does not point to rates.

NOTE

For rider coverages, coding the word **Base** as the Segment ID tells the system to use the base coverage rules for the rider. It is possible to have commissions for riders vary according to the base coverage to which they are linked.

A rider coverage could also have a unique segment ID.

Reinsurance / Commission Segment Screen

Segment ID: >> Segment Type: CC

Are Values Banded:

Banding Method:

Base Amount Or Total Specified Amount:

Band Upper Limits:

99999999	0	0	0	0	0	0
---------------------------------------	--------------------------------	--------------------------------	--------------------------------	--------------------------------	--------------------------------	--------------------------------

Comm Class Pointers:

CM1						
----------------------------------	----------------------	----------------------	----------------------	----------------------	----------------------	----------------------

OK
Cancel

This segment can be accessed through the Commission Class field on the Fund Information screen and the FL—Fund Loan Segment. The FL Segment is accessed through the Loan Fund ID field on the LN—Loan Segment.

The CC—Commission Class Segment accesses the CM—Commission Class Rule Segment through the Comm Class Pointers field by entering the CM Segment ID and pressing **F4**.

The following table contains definitions for the fields on the CC Segment.

Field	Description
Are Values Banded	Y—Yes Commission rules vary according to the face amount of the policy. N—No Commission rules do not vary according to the face amount of the policy.
Banding Method Base Amount Or Total Specified Amount	The Are Values Banded field must be set to Yes in order to access the Banding Method field. B—Base The base specified amount is used to determine the appropriate band. For example, assume there are 2 bands. The first is for 100,000 and the second is for 250,000. The base specified amount for the policy is \$50,000. The band 1 commission rates are used when the policy is issued. Also assume that a specified amount increase of \$100,000 is added. The band 1 commission rates are still used because only the base specified amount (\$50,000) is used to determine the band for the increase layers. T—Total The total specified amount for the policy is used to determine the appropriate band. As each specified amount increase is processed, a new band can be applied if the new total specified amount is in a different band. For example, assume there are 2 bands. The first is for 100,000 and the second is for 250,000. If a policy is issued for \$50,000, then band 1 commission rates are applied. When a specified amount increase is processed for \$100,000, the band 2 commission rates are applied to the new layer because the total specified amount is \$150,000. If using the Total option, the Benefit Add: Recalc Rule field on the CM Segment must be set to Layered Across Class.
Band Upper Limits	Up to seven bands can be set up, with a maximum value of \$9,999,999.00. The bands are numbered 1 through 7, with the left most band being number 1, and the right most being number 7. If banding is used, the lowest dollar amount should be coded in band 1, and the largest dollar amount in the highest band. The last band must be coded with all 9's. If banding is not used, input 9,999,999 in the first band.
Comm Class Pointers	For each band designated in the Band Upper Limits fields, point to a five character commission class. This value serves as a Segment ID for a drop down segment, the CM—Commission Class Segment. This segment, accessible by pressing F4, describes a variety of rules for calculating commissions.

6.38 CD—Claim System Detail

NOTE

Health only

NOTE

The CD—Claim System Detail Segment is for line of business H—Health and is used to assign block IDs and benefit codes to a health product. Normally the Claims Maintenance Menu is used to enter and update block IDs and benefit codes and the CD Segment is used to attach them to a product. However, block IDs and benefit codes can be added and updated through the CD Segment. Each Coverage Record can only have one block ID; however, each block ID can be attached to several different Coverage Records. The block ID groups coverages for claims purposes, such as identifying the claim processing screen that is used.

The CD Segment works with the KD Segment. The combination of the KD and CD Segments can be used across Coverage Records, similar to how other coverage segments (for example, PR—Premium Segment and CC—Commissions Segment) are used within LifePRO®.

The CD Segment is accessed from the Product System in the following way.

1. From the Product Menu select **Coverage Record**. The Coverage Record screen is displayed.
2. Enter the coverage ID and click **OK** or click **>>** for a cross reference list. The Coverage Record screen is displayed with information for the coverage ID selected.
3. Click **Segments**. The Segment List is displayed.
4. Press **F10**.
5. Click **Next** to advance the pages of the available segments.

6. Select **Yes** for the CD Segment, input the Segment ID, and click **Select**. The segment screen is displayed.

The block ID, description, and block type appear on the CD Segment.

There are four block types available.

- **Standard Medical**—This block type provides the capability of paying charges as a single event.
- **Repetitive Pay**—This block type provides the capability of making continuing fixed benefit payments to a payee. A typical coverage is disability income.
- **Special Medical**—This block type provides the capability of paying individual charges as a single event or continuing payments over an extended period of time. Long term care is a typical coverage for this block type.
- **Medicare Supplemental**—This block type provides the capability of paying claims that may have payments with different insurance coverage.

Click >> from the Block ID field on the CD Segment to display a cross reference list of the block IDs available.

Select Block ID							
Block ID	Description	Block Type	FICA	Auth	Bens	Pre-Ex	Qual
DISABILITY	DISABILITY FORMAT 3	Repetitive Pay	Y		Y		
DISABILITY4	DISABILITY FORMAT 4	Repetitive Pay	Y		Y		
HHC	HOME HEALTH CARE	Special Medical			Y		
JAQSTAND	STANDARD TESTING	Standard Medical	N		Y		
LTC	LONG TERM CARE BLOCK ID	Special Medical			Y		
MAJOR MED	MAJOR MEDICAL	Standard Medical	N				
MEDICAL	STANDARD MEDICAL	Standard Medical					
MEDSUPP	MEDICARE SUPPLEMENT	Medicare Supp			Y		
SLNCMME	SLNCMME TEST	Repetitive Pay	N		Y		
SPECIAL	SPECIAL MEDICAL FORMAT 3	Special Medical			Y		
SPECIAL4	SPECIAL FORMAT 4	Special Medical			Y		
STANDARD	STANDARD FORMAT 3	Standard Medical	Y		Y		
STANDARD4	STANDARD FORMAT 4	Standard Medical	Y		Y		
STD	SHORT TERM DISABILITY	Repetitive Pay	Y		Y		

Block IDs can be viewed, added, or updated from the CD Segment. Refer to the Claims Book, Section 8, 2.1—Block IDs and Benefit Codes for details on performing these functions.

The coder authority limits for each block ID can also be viewed, added, and updated from the block ID cross reference list.

View Claim Authority Levels

Block ID ** DFLT **
Description ** Default Auth Limits

Coder CLAIM DETAIL
Authority Dollar Limit

NEW EMPLOYEE	\$ 100
CLERK	\$ 200
SENIOR CLERK	\$ 300
NEW PROCESSOR	\$ 400
PROCESSOR	\$ 500
SR PROCESSOR	\$ 600
TEAM LEAD	\$ 700
SUPERVISOR	\$ 800
MANAGER	\$ 900
DIRECTOR	\$1,000

Cancel

The following options are available from the Claim Authority Levels screen.

- View** From the block ID cross reference list, select the block ID and press **F5** to view the default coder authority limits for the block ID selected.
- If specific coder authority limits have been established for the block ID, select the block ID from the cross reference list and press **F4** to display the limits. If the default coder authority limits are used, the message *Limits not defined; F8 to add* is displayed at the bottom of the screen.
- Add** Coder authority limits can be added by pressing **F8** from the Claim Authority Levels screen. After pressing **F8**, enter the amounts, press **Enter** to save the limits or click **Cancel** to exit without saving the limits.
- Update** The coder authority limits can be updated by pressing **F10** from the Claim Authority Levels screen. After pressing **F10**, enter the amounts and press **Enter** to save the changes or click **Cancel** to exit without saving the changes.
- An authority level is assigned to each coder ID on the Claim System Security screen from the System Configuration Menu, Security Definition option.

Benefit Codes

The benefit codes attached to a block ID are accessed from the CD Segment. To review the benefit codes, press **F4** from the CD Segment ID. Click **Benefit Code** for review.

Benefit Codes						
Benefit Codes Attached To						
Claims Detail Segment ID				DISABILITY		
Extended Key Segment ID				DISABILITY		
Benefit Code	Description	Calc Rule	Network?	Out of Network Calc	Qual	Accum Group
001	70% OF MONTHLY SALARY					
List Options... Calc Rule Next Previous Cancel						

To assign a calculation rule, click **Calc Rule**. Refer to the Claims Book, 3.1—Calculation Rules Types for further information.

Benefit codes can be added, updated, and deleted from the Benefit Codes screen.

The following table contains definitions for the fields on the Benefit Code Description screen.

Field	Description
Benefit Code	The benefit code is displayed in this field.
Internal Description	The description input in this field is displayed on the Claim Detail screen.
EOB Description	This field defaults to the description input for the Internal Description; however, a different description can be input. This description is displayed on the printed explanation of benefits form.
Days/Units Calc	This field determines how the Days/Units field on the Claim Detail screen is used. If the Block ID indicates that the Days/Units field on the Claim Detail screen is calculated based on the benefit code, the Days/Units field on the Claim Detail screen defaults to 0 and is calculated after the benefit code is selected. If the Days/Units field is manually input, the Days/Units Calc logic is bypassed. However, if the dates of service or the benefit code are changed, the Days/Units field is recalculated.

Field	Description
Days/Units Calc (continued)	This field is protected on the Benefit Code if the Calculate Days/Units Based field is set to Block Type Default on the Block ID screen and the new logic for setting the Days/Units field is bypassed. Block Type Default The Days/Units field on the Claim Detail screen defaults to 001 and is calculated based on the Dates of Service entered and the Block Type. This is the default. 1—Thru - From +1 This option is used for Repetitive Pay, Special Medical, and Standard Medical. 2—Thru - From This option is used for Medicare Supplemental if the Bill Type is Part A. 3—001 This option is used for Medicare Supplemental if the Bill Type is Part B.
Paid To Date Edit	This field determines the type of paid to date edits that will be performed on claims. From and Thru Dates Two edits are performed when this option is selected. First, a comparison is made between the Date of Service From to the policy Paid to Date. The message <i>Expense Incurred After the Paid to Date of 99/99/999</i> is displayed when the Date of Service From is greater than the Paid to Date. The second edit compares the Date of Service From, the Date of Service Thru, and the Paid to Date. The message <i>Expenses Overlap Paid To Date of 99/99/9999</i> is displayed when the Date of Service From is less than or equal to the Paid to Date and the Date of Service Thru is greater than the policy Paid to Date. This is the default. From Date Only The Date of Service From is compared to the policy Paid to Date. The message <i>Expense Incurred After the Paid to Date of 99/99/9999</i> is displayed when the Date of Service From is greater than the policy Paid to Date. The claim can be paid when the Date of Service From is less than or equal to the policy Paid to Date and the Date of Service Thru is greater than the policy Paid to Date. PTD+Max Days The Date of Service From is compared to the policy Paid to Date. The message <i>Expenses Beyond Maximum of 99/99/9999</i> is displayed when the Date of Service From is greater than the Paid To Date plus the number of days indicated in the Maximum Days Beyond Paid To Date To Allow Claims field on the Claim Block ID.

The following options are available from the Benefit Code Description screen.

- Add** Access the benefit codes and press **F8** to add a new benefit code. The list of existing benefit codes is displayed. Press **F8** to access the Benefit Code window. The window is blank when it is displayed.
- Input the screen as described in the above table.
- After completing the window, click **OK** to save the changes. The message *Added Successfully, END Key to Exit* is displayed at the bottom of the screen.
- To add the new benefit code to the block ID, select the benefit code. The new benefit code is attached to the block ID.
- Update** The list of benefit codes must first be accessed by pressing **F8** from the Benefit Codes screen. Select the desired code and press **F10**. The Benefit Code window is displayed. Input the changes to the descriptions and click **OK** to save the changes.
- Delete** The list of benefit codes must first be accessed by pressing **F8** from the Benefit Codes screen. Select the benefit code to delete and press **Alt+F8**. A Confirmation window is displayed with the question, Delete Code? Are You Sure? Select **Yes** to delete the code. Each deletion must be selected and processed individually. Click **OK** to return to the Benefit Codes screen.

Calculation Rule—Clone

The same calculation rule may apply to multiple benefit codes. After the rule is initially defined for the product within the CD Segment, it may be cloned to other benefit codes. This causes the selected benefit codes to be added and assigns the previously defined calculation rule to each of them, so that the calculation rule settings do not have to be manually entered for each benefit code.

Complete the following steps to clone an existing calculation rule from a benefit code already defined for the product to additional benefit codes.

1. Position the cursor on the benefit code from which the calculation rule is cloned.

Benefit Codes Attached To

Claims Detail Segment ID DISABILITY

Extended Key Segment ID DISABILITY

Benefit Code	Description	Calc Rule	Network?	Out of Network Calc	Qual	Accum Group
001	70% OF MONTHLY SALARY					

List Options...
Calc Rule
Next
Previous
Cancel

2. Press **Alt+F9**. The Benefit Code Selection window is displayed.

Benefit Codes For Block ID DISABILITY - Dflt Desc Scan:

- ☐ 001 70% OF MONTHLY SALARY
- ☐ - 025 DISABILITY BENEFIT \$25 X UNITS/WK ELIM PD/52 WK MAX
- ☐ - 100 WK \$100 PER WEEK
- ☐ - ACCTOTAL D ACCIDENT TOTAL DISABILITY BENEFIT
- ☐ - TOTAL DISA TOTAL DISABILITY FULL BENEFIT ELIM APPLIES
- ☐ -
- ☐ -
- ☐ -
- ☐ -
- ☐ -
- ☐ -
- ☐ -
- ☐ -
- ☐ -
- ☐ -

List Options...
Next
Previous
OK
Cancel

3. Click in the check box for each benefit code to which the calculation rule is to be cloned.
4. Click **Cancel** to process the selections. (To exit without cloning, uncheck all boxes and click **Cancel**.) The selected benefit codes are added and the calculation rule originally defined for the benefit code is cloned to each of them (C001).

Benefit Codes

Benefit Codes Attached To

Claims Detail Segment ID DISABILITY

Extended Key Segment ID DISABILITY

Benefit Code	Description	Calc Rule	Network?	Out of Network Calc	Qual	Accum Group
001	70% OF MONTHLY SALARY					
TOTAL DISA	TOTAL DISABILITY FULL BENEFIT					

List Options...

Calc Rule

Next

Previous

Cancel

6.39 CE—Collection Setup

The CE—Collection Setup Segment is used to control if automatic mode changes are allowed when a mode other than the current mode is collected and if the balance of a mode payment can be collected.

Enter Collection Setup Segment Criteria

Segment ID >> Segment Type CE

Allow Automatic Mode Changes

Allow Balance of Mode Payments

Allow Partial Payments

Tolerance

OK

Cancel

The following table contains definitions for the fields on the CE Segment.

Field	Description
Allow Automatic Mode Changes	This field determines if an automatic mode change is processed when a mode that is different from the current mode for a policy is collected. This field overrides the same field on the Management Options for Collections. Y—Yes When a modal premium is collected for a mode that is different from the current mode, LifePRO® changes the current mode to the mode that was paid. In order for this process to occur, the Print All Modes Flag on the Billing Options screen must be set to Yes. For example, if the current mode on a policy is monthly and the insured pays the quarterly premium amount, the quarterly premium amount is collected and the mode is changed to quarterly. The billing and paid to dates are also changed to correspond with the new mode. N—No Only the mode that is billed can be collected. This is the default.
Allow Balance of Mode Payments	This field determines if the current mode is changed when the payment of the balance of a different mode is processed. Y—Yes When the balance of a modal premium that is different from the current mode is paid, the mode is changed. The billing and paid to dates are also changed to correspond with the new mode. For example, if the current mode for a policy is quarterly and a subsequent premium payment is processed to pay the remaining portion for a semi-annual premium, the mode is changed to semi-annual. N—No Premiums cannot be collected to pay the balance of a different modal premium.

Field	Description
Allow Partial Payments	This field defines if partial premium payments are allowed on both UL and traditional lines of business without the reconciliation of the bill record. Y—Yes This option is client specific. The system accepts partial premium payments without the reconciliation of the bill record. Outstanding balances on bill records age and correspondence is generated. For UL and annuity policies, paid to dates are advanced in billing. For traditional and fixed UL policies, paid to dates are advanced in collections when the full premium is applied. N—No Partial premium payments are not allowed. T—Tolerance Select Tolerance in this field to access the Tolerance field.
Tolerance	This field contains the tolerance amount and can only be accessible if Tolerance is selected in the Allow Partial Payments field. The Tolerance option indicates that the system accepts a partial payment and advances the paid to date if the amount is within the tolerance amount defined. A debit to cash and a credit to transaction code 0735—PYP Allc Shortg occurs for the shortage, and the bill record is reconciled. When the next payment is received, transaction code 0735 is debited first before unapplied cash is debited for the remainder.

6.40 CF—Commissions By Fund

The CF—Commissions By Fund Segment allows commissions to be set up based on a percentage of a policy's fund value. This segment points the system to the CC—Commission Class Rule Segment for a specific coverage and does not point to rates. This segment is used to define if commissions are based on the fund balance or the unimpaired fund balance. In addition, commissions can be further defined by a discrete or ratcheted banding method and a minimum commissionable fund balance.

In addition to setting up the CF Segment, the CC—Commission Class Segment and the CM—Commission Class Rules Segment must be defined. If commissions are paid only on the fund value, commission rates must be set to 0.

Commission Segment Screen

Segment ID: >> Segment Type: CF

Commissions Source Type:

For Fund Value Commissions:

- Commission Unimpaired Interest since Last Anniversary:
- Commission is Computed on Rolled Account Balance Only:
- Commissions Based Upon Unimpaired Fund Balance Only:
- Use Discrete or Ratcheted Banding Method:
- Minimum Commissionable Fund Balance Amount:

Commission Frequency:

If Calendar Quarter, First Eligible On/After Policy Quarter End:

Are Values Banded:

Band Upper Limits:

999999999	0	0	0	0	0	0
--	--------------------------------	--------------------------------	--------------------------------	--------------------------------	--------------------------------	--------------------------------

Comm Class Pointers:

FNDC1						
------------------------------------	----------------------	----------------------	----------------------	----------------------	----------------------	----------------------

OK
Cancel

Commission by Fund Processing Notes

- When the CF Segment is used, a CE trigger record is written by modeaversary processing that designates the percentage of the fund value. This trigger record is then picked up by commission processing and a Commission Detail Record is produced with a pay date equal to the next monthly date on the Commission Schedule Record. The commission payment is then paid and generated to the commission statement on the date indicated on the Detail Record.

- The Commission Type Code on the CM Segment must be set to **Split by Order**. The premium ordering for the CF Segment must be the same as the premium ordering set up on the CM Segment.
- The commission rates can be **Set Rates** on the Agent Deal screen or they can be accessed from the Age/Duration File. The rates must be set up on the line which matched the premium ordering 1 set up on the Commission Class Rule Record.
- When the Commission Frequency field is set to **Annually**, the first rate field on the Agent Deal screen must be left blank, otherwise commissions are paid on the first monthiversary rather than the first anniversary. This is also important if the rate file is used. The first year rate should be left blank on the rate file with a value in the second year field.
- The CM rates must be coded modally to match the option selected in the Commission Frequency field. For example, if the frequency selected is **Quarterly**, the associated CM rates must be quarterly rates.

This segment **does not point to rates**.

Commission Class Pointers—Each band designated in the Band Upper Limits fields points to a five character commission class. The CR—Commission Rates Segment is accessed by pressing **F4** and describes a variety of rules for computing commissions.

Field	Description
Commissions Source Type	This field determines if commissions vary by premium type. F—Commissions By Fund Value Commissions are paid based on the fund value. The Split Fund Records are used to retrieve this information. This is the default. P—Fund Commissions Vary By Premium Commissions are paid based on the fund value, varying by the premium type on the Deal Record. The Split Fund Records are used to retrieve this information. R—Regular Premiums Less Withdrawals Commissions are calculated on all policy to date premiums paid with a premium transaction code of 0110, minus all policy to date gross withdrawals. The Accounting Detail Records are used to retrieve this information. A—All Premiums Less Withdrawals Commissions are calculated on all policy to date premiums paid with a premium transaction code of 0110, 0121, 0122, 0124, 0131, and 0132, minus all policy to date gross withdrawals. Accounting Detail Records are used to retrieve this information. NOTE In order to display the premium transaction code on the Split Fund Record, the Combine Windows with the Same Effective Date field should be set to No and the Record Premium Trans Code on Bucket field should be set to Yes on the Fund Rules screen.
For Fund Value Commissions	
Commission Unimpaired Interest Since Last Anniversary	On anniversary, accumulate the unimpaired earnings since last anniversary and generate a trigger record for this amount to be picked up by commission processing.

Field	Description
Commission Is Computed On Rolled Accountbalance Only	This field works in conjunction with the Commissions by Fund Apply Only to Rolled Over Accounts after Free Withdrawal Period field on the BU—Indexed Interest Bonus Segment to define if commissions are paid only on the rolled account balance at the end of the free account surrender period. Y—Yes A commission is paid on the rolled account balance at the end of the free account surrender period only. Commissions are not paid on the fund balance at each anniversary. NOTE If this field is set to Yes, the Commissions by Fund Apply Only to Rolled Over Accounts after Free Withdrawal Period field on the BU Segment must also be set to Yes. N—No Commissions are paid on the fund balance at each anniversary in addition to the commission paid on the rolled account balance at the end of the free account surrender period, if the Commissions by Fund Apply Only to Rolled Over Accounts after Free Withdrawal Period field on the BU Segment is set to Yes.
Commissions Based Upon Unimpaired Fund Balance Only	This field determines if commissions are based on the unimpaired fund balance. The unimpaired fund balance is the amount of the fund balance after deducting any loans on the contract. This field must be set to Yes in order to access the Use Discrete or Ratcheted Banding Method and Minimum Commissionable Fund Balance Amount fields. Y—Yes Commissions are based on the unimpaired fund balance. N—No Commissions are based on the fund balance. If this field is set to No, then the Use Discrete or Ratcheted Banding Method and the Minimum Commissionable Fund Balance Amount fields are not accessible.

Field	Description
Use Discrete or Ratcheted Banding Method	This field determines if commissions paid on the fund balance are based on a discrete or ratcheted banding method. Commissions are banded by the size of the fund balance. The Commissions Based Upon Unimpaired Fund Balance Only field must be set to Yes in order to access this field. For the following examples, assume that there are three bands. Band 1 is \$5,000, band 2 is \$7,500, and band 3 is \$10,000. D—Discrete One commission rate is applied to the entire fund balance. The rate that is applied is determined by the band upper limits. For example, assume that the fund balance is \$7,000. Since the amount is more than \$5,000 (band 1) but less than \$7,500 (band 2), the entire fund balance has the band 2 commission rate applied. R—Ratcheted Different commission rates can be paid on one fund balance. For example, assume that the fund balance is \$10,000. The first commission rate is paid for the fund balance up to the first band's limit (\$5,000 is applied at the first commission rate). Any amount over that is paid at the next commission rate up to the next band's upper limit (\$2,500 is applied at the second commission rate). The third band upper limit is \$10,000; therefore, the remaining \$2,500 has commissions paid at the third band rate. The fund balance applied to each band starts with the first band with each commission payment. The rate is determined for each commission payment.
Minimum Commissionable Fund Balance Amount	This field defines the minimum commissionable fund balance. The Commissions Based Upon Unimpaired Fund Balance Only field must be set to Yes in order to access this field.

Field	Description
Commission Frequency	This field determines how often commissions based on the fund value are paid. The CM rates associated with the CR Segment <u>must be coded modally</u>. For example, if the frequency selected is Quarterly, the associated CM rates must be quarterly rates. A—Annual Commissions are paid annually on the policy anniversary. This is the default. S—Semi-Annual Commissions are paid every sixth time modeaversary processing is run. Q—Quarterly Commissions are paid every third time modeaversary processing is run. M—Monthly Commissions are paid every time modeaversary processing is run. C—Calendar Quarter Commissions are calculated at the end of each calendar quarter (3/31, 6/30, 9/30, and 12/31). D—Select Durations Specific durations can be designated in which to pay commissions. When this option is selected, press F3 to access the Commission Years screen used to indicate the years in which commissions are to be paid.
If Calendar Quarter, First Eligible On/After Policy Quarter End	This field is only accessible if Calendar Quarter is selected in the Commissions Frequency field. PTVAl RQUE records are created during monthaversary processing for a policy if the calendar quarter end falls on or after the first eligible policy quarter, as defined in this field. When RQUE is processed, the quarter end PTVAl record is processed and the Commission Extract Trigger record is created for trail commissions. Valid values are 0 - 4.
Are Values Banded	This field determines if the rates are banded by the face amount of the policy. Y—Yes Commission rates vary according to the face amount of the policy. N—No Commission rates do not vary according to the face amount of the policy.

When the Commission Frequency field is set to **Select Durations**, press **F3** to access the Commission Years screen to select the years in which commissions are to be paid. Input **Y** for each year which commissions are to be paid. Click **OK** to save the information.

Enter Commission Years

Enter Y For Each Duration That A Commission Should Be Generated

1	☒	11	☐	21	☐	31	☐	41	☐	51	☐	61	☐	71	☐	81	☐	91	☐
2	☐	12	☐	22	☐	32	☐	42	☐	52	☐	62	☐	72	☐	82	☐	92	☐
3	☐	13	☐	23	☐	33	☐	43	☐	53	☐	63	☐	73	☐	83	☐	93	☐
4	☐	14	☐	24	☐	34	☐	44	☐	54	☐	64	☐	74	☐	84	☐	94	☐
5	☒	15	☐	25	☐	35	☐	45	☐	55	☐	65	☐	75	☐	85	☐	95	☐
6	☐	16	☐	26	☐	36	☐	46	☐	56	☐	66	☐	76	☐	86	☐	96	☐
7	☐	17	☐	27	☐	37	☐	47	☐	57	☐	67	☐	77	☐	87	☐	97	☐
8	☒	18	☐	28	☐	38	☐	48	☐	58	☐	68	☐	78	☐	88	☐	98	☐
9	☐	19	☐	29	☐	39	☐	49	☐	59	☐	69	☐	79	☐	89	☐	99	☐
10	☐	20	☐	30	☐	40	☐	50	☐	60	☐	70	☐	80	☐	90	☐	100	☐

OK
Cancel

The Commission is Computed on Rolled Account Balance Only field on the CF Segment and the Commissions by Fund Apply Only to Rolled Over Accounts after Free Withdrawal Period field on the BU Segment work in conjunction with one another. The table displayed below illustrates various field setup options and the results of each of the options.

CF Segment— Commission is Computed on Rolled Account Balance Only	BU Segment— Commissions by Fund Apply Only to Rolled Over Accounts after Free Withdrawal Period	Results
Y	N	No commissions are paid on the rolled over accounts after the free withdrawal period or on the fund balance at each anniversary.
Y	Y	Commission is only paid on the rolled over accounts after the free withdrawal period.

CF Segment— Commission is Computed on Rolled Account Balance Only	BU Segment— Commissions by Fund Apply Only to Rolled Over Accounts after Free Withdrawal Period	Results
N	N	Commissions are paid based on normal LifePRO® modeaversary commission processing.
N	Y	Commissions are paid on both the fund balance at each anniversary and the rolled account balance at the end of the free account surrender period.

6.41 CI—Current COI Inflation Rate

NOTE

Universal life only

The CI/GI window designates the factor to use when inflating the cost of insurance (COI) factor in modeaversary processing.

Enter Mod by State Rate Criteria

Type: Curr COI Inflator
ID: >>
Company: 00 (Default)
State: >> (Default)

COI Inflation Rate: 0.00000

Durations to Apply: 0
Months or Years: Years

OK
Cancel

Complete the following steps to access the CI—Current COI Inflation Rate Segment.

1. From the Segment Menu select **MS—Rates Modified by State**. The Rates Modified State screen is displayed.
2. Enter the Segment ID and enter CI in the Type field.
3. Click **Mod by State**. The Mod by State Rate Criteria screen is displayed.
4. Enter the company code and the state.
5. Click **OK**. The Curr COI Inflation Rate Segment is displayed.

The following table contains definitions for the fields on the CI Segment.

Field	Description
COI Inflation Rate	Enter the rate to multiply by the current COI rate.
Durations to Apply	Enter the number of durations the inflation rate is in effect. When used, it is compared to the current duration of the base benefit (BF).
Months or Years	Specify, in whole years or months, when to terminate the inflation rate. For example, assume for company 04 across all states, the current COI factor is inflated by 1.005 for the first 2 ³/₄ years on all benefits issued under this coverage. The following values are entered. Company—04 State— “ ” (blank) COI Inflation Rate—1.005 Durations to Apply—30 Months or Years—Months

6.42 CM—Commission Class Rule Segment

The Commission Class Segment designates how commissions are paid for a particular coverage or fund. To set up commissions by coverage, access this segment through the Comm Class Pointers field on the CC—Commissions Segment. To set up commissions by fund, access this segment through the Commission Codes field on the CF—Commission by Fund Segment. In both situations, it is necessary to enter the commission segment ID, press **F10** to update, and press **F4** to display the CM Segment.

Enter Commission Class Rule Criteria			
Commission Class	A103 >>	Segment Type	CM
Commission Type Code	Face Amount		
Prem Order	Advance Control		
Minimum	0		
Target	0		
Planned	0		
Excess	1	n/a	
Policy Fee	0		
Advance Rules ID	>>		
CWA as a Min Adv Amt	No		
Chargebacks	ASSUR I		
Prior Year			
Excess Only			
Pay Commissions On			
Automatic Premium Loan	Yes		
Short Accounting	Yes		
Dividends to Pay Prem	Yes		
Waiver of Prem Payment	Yes		
Vanish Premium	Yes		
Trad Modal Factor	Yes		
Application Fee	No		
Pearrangement Options	>>		
Production Bonus Credit	>>		
Production Bonus Payment	>>		
Universal Life Only			
Generate Group Commissions by Census	No		
1st Year Commissions	012 Months		
Base Commission Rates on Duration of Surrendered Policy	No		
Base Commission Rates on Joint Equal Age	No		
Base Commission Rates on Duration of Policy	No		
Remaining Proration Month Cap	0		
			Next
			OK
			Cancel

The following table contains definitions for the fields on the CM Segment.

Field	Description
Commission Type Code	D—Split By Order Commissions are calculated based on the premium split, in the order specified in the Premium Ordering fields. P—Split By Premium Commissions are based on premiums received between bands defined in the Commission Rates Segment. This is used for annuity policies. Note that if this option is selected, then for the premium ordering, the Excess field must be 1. For the advance control, the Planned field must be Equal To. B—Split By Band This option only works with the banding method Blended that is selected on the CR—Commission Rates Segment. The blended banding method is very similar to the ratcheted banding method. When the blended banding method is selected, the system breaks down the group's premium payment, using bands to vary commission rates by the size of the premium payment. Different commission rates apply to one premium payment. The bands are linked together. For instance, the higher band amounts are actually only caps. These bands can only hold the difference between one band and the next. The system does not empty the bands until the end of the duration assigned on the CR Segment. F—Face Amount Commissions are based on the face amount or the prearrangement amount of the benefit. The face amount of the benefit is used unless the PJ—Prearrangement Options Segment is identified in the Prearrangement Options field. Refer to Section 12, PJ—Prearrangement Options Segment on page 12-710 for additional information.
Prem Order	The Premium Ordering section determines the order and type of premium on which commissions are calculated. Designate the type of premium that commissions are first paid on by inputting 1 in that field. Designate the next type of premium that commissions are paid on by inputting 2 in that field. Continue in this manner for up to five types of premium. If commissions are not paid on a particular type of premium, input 0 in that field.

Field	Description
Prem Order (continued)	Using the numeric premium order option, the system pays the full target amount first, deducting the policy fee from the last premium payment of the duration. The Prorate option is available for lines of business L—Traditional and H—Health and offers the flexibility of prorating the premium payment between the commissionable target premium and the non-commissionable policy fee, making each modal commission payment consistent. The Prorate option works as a number 1 for ordering. Premiums received are distributed to the prorated items before moving on to the second order, if applicable. Modal factors are included in the target and policy fee amounts and are prorated accordingly. If using the Prorate option, the Include Policy Fee in Target field must be set to No. Each type of premium can be assigned unique commission rates on the Agent Deal Record. For example, one rate ID could be assigned to target, and another rate ID assigned to excess. Fixed premium traditional products should be set up in the following manner. Premium Ordering: Target = 1 Advance Control: Target = E, if advances are applicable. If the Prorate option is selected, fixed premium traditional products should be set up in the following manner. Premium Ordering: Target = P and Policy Fee = P Advance Control: Target = E, if advances are applicable.
Advance Control	This field designates the premium amount on which to base the advance. Note that the Excess field is not applicable for advance control. There are three possible entries in the Advance Control fields. E—Equal To The advance is based on an individual premium amount. For example, this option could be selected in the Planned field. If selecting an Equal To amount, an entry can only be made in one of the advance control fields. L—Lesser Of The advance is based on the lesser of any fields in which Lesser Of is selected. For example, if you input Lesser Of in the Target and Planned fields, the advance is based on the lesser of the target and planned premium amounts. G—Greater Of The advance is based on the greater of any fields in which Greater Of is selected. For example, if you select Greater Of in the Target and Planned fields, the advance is based on the greater of the target and planned premium amounts.

Field	Description
Advance Rules ID	Input the advance rule ID for this Deal Record. The value input in this field must have a corresponding Advance Rules Record. This field can be overridden from the Agent Deal Record. However, the advance rules ID on the Agent Hierarchy Record overrides the advance rules ID on both the Commission Class Rule Segment and Agent Deal Record. Refer to 6.37—CC—Commissions Segment on page 12-165 in this book for more information.
CWA as a Min Adv Amt	This field was designed as an alternative set up to using the Base Advance on CWA field on the Advance Rules screen. Y—Yes The system looks to the cash with application (CWA) as a minimum amount of which the advance is to be based and pay the advance based on the greater of the CWA amount or premium amount as defined in the Premium Order field on the CM Segment. N—No This is the field default. Normal advance processing occurs as defined on the CM Segment.
Chargebacks	The BK—Chargeback Segment establishes rules for charging back commission amounts to agents due to full or partial surrenders or death claims. The percentages and duration of the commissions that are charged back are defined on the BK Segment. Refer to 6.24—BK—Commission Chargebacks Segment on page 12-94 in this book for additional information.
Prior Year	The PY—Prior Year Segment defines the transaction codes and upper limits used to determine the premium amount on which additional commissions are paid. Using the PY Segment, commissions can be paid on premiums received above the accumulated amount of prior year premiums. Refer to 6.202—PY—Commissions Prior Year Segment on page 12-789 in this book for additional information.
Excess Only	The EO—Excess Only Segment defines the transaction codes that generate additional commissions on premiums received above an accumulated amount of prior year premiums. Refer to 6.78—EO—Commissions Excess Only Segment on page 12-307 in this book for additional information.
Pay Commissions On	
Automatic Premium Loan	Y—Yes Commissions are paid on premiums received by processing automatic premium loans. N—No Commissions are not paid on premiums generated through automatic premium loans.

Field	Description
Short Accounting	Y—Yes Commissions are paid on the short portion (premium not actually received but applied from an over and short account) of a premium payment that used over and short processing. N—No Commissions are not paid on the short portion.
Dividends to Pay Prem	Y—Yes Commissions are paid on the portion of the premium that is paid by dividends. N—No Commissions are not paid on the premium portion paid by dividends.
Waiver of Prem Payment	Y—Yes Commissions are paid on the portion of a premium payment that is waived. N—No Commissions are not paid on the portion of the premium that is waived.
Vanish Premium	Y—Yes Commissions are paid on vanished premiums. When commissions are processed, the trigger record created from the vanished premium is accessed so commissions are generated. N—No Commissions are not paid on vanished premiums.
Trad Modal Factor	Y—Yes Commissions are paid on the portion of the premium that is increased due to the modal factor being applied. This option applies to health and traditional products only. N—No Commissions are not paid on the portion of the premium that is increased due to the modal factor being applied.
Application Fee	Y—Yes Commissions are paid on the application fee. Commissions can be the same as the base or they can be set up with an alternate deal code with different commissions. N—No Commissions are not paid on the application fee.
Prearrangement Options	This field defines the PJ—Prearrangement Options Segment for this commission class that is used when calculating the prearrangement amount and is only available when the Commission Type Code field is set to Face Amount. The PJ Segment identifies the PK—Prearrangement Factors Segment used for each commission option. The PK Segment then defines the factors used when calculating the prearrangement amount based on the commission option. Input the segment ID in the field or click >> to select a segment ID from the cross reference list. Press F4 to access the segment.

Field	Description
Production Bonus Credit	This field identifies the CW—Production Bonus Credit Segment for this commission class. This segment defines the maximum issue age of the insured for which the agent will receive production credit. It also determines if the face amount or the prearrangement amount is used to calculate the production credit. Input the segment ID in the field or click >> to select a segment ID from the cross reference list. Press F4 to access the segment.
Production Bonus Payment	This field identifies the PW—Production Bonus Payment Segment for this commission class. This segment defines the maximum issue age of the insured for which the agent will receive a bonus payment. It also determines if the bonus is paid based on the face amount or the prearrangement amount. The minimum production limits and the percentage used in calculating the bonus payment are also defined by this segment. Input the segment ID in the field or click >> to select a segment ID from the cross reference list. Press F4 to access the segment. NOTE The Production Bonus Payment Segment ID is comprised of the first five characters of the PW Segment and the 5 character Bonus Code stored on the PW Segment. When the cross reference list is used to select a segment from this field, the PW Segment ID and the Bonus Code are both shown. If a segment is selected from the cross reference list, only the five characters for the PW Segment are displayed. However, when F4 is pressed to access the PW Segment, the segment selected from the cross reference list with the appropriate bonus code is displayed.
Generate Group Commissions by Census	This field allows multiple writing agents to be involved in the same group. For example, the original group could be submitted by Agent 1, but additional employee applications are submitted by Agent 2 and Agent 3. Y—Yes The system does not lump all the commission activity into one Commission Control Record. It creates separate Commission Control Records for every census record, thereby allowing the involvement of multiple agents. N—No The system lumps all the commission activity into one Commission Control Record.

Field	Description
1st Year Commissions	This field can be used to pay the first year commission rate for a period other than 12 months. For example, if 14 months is selected, first year commissions are paid for the first 14 policy months. This in turn reduces the second duration period to only 10 months. Either months or days may be entered, not to exceed 24 months or 730 days. If a greater number is entered, a message is displayed, and the change cannot be saved. If a value is entered, you must indicate if the value is days or months. M—Months D—Days
Remaining Proration Month Cap	This field prorates commissions by the remaining maturity duration, if the remaining duration period is less than the months defined in this field. Zero is the field default. The system compares the payment effective date and the maturity date. If that period of time is less than the number of months defined on the CM Segment, the rate is calculated as shown below. $\text{CM Commission Rate} * \text{Policy Duration} / \text{Remaining Proration Mth Cap}$ This calculation is performed whenever the months to maturity is less than the prorate cap period. The months to maturity is the number of full months remaining. For example, assume a policy is issued on 01/01/2005, with a maturity date of 01/01/2008 and a 120 month period is defined on the CM Segment. If a payment is received on 06/15/2007, the months to maturity is 6 months. If a maturity date is changed at the benefit level after a policy is issued, the future premium payments and reversals use the new maturity date.
Base Commission Rates on Duration of Surrendered Policy	This field applies when annuitizing a deferred annuity to create an immediate annuity application. Y—Yes Commissions are based on the duration of the surrendered policy. For example, assume the immediate annuity commissions are based on the 20th year if the deferred annuity was surrendered on the 20th policy year. This value is carried through to the Surrendered Policy Duration field in Immediate Annuity Add. N—No An immediate annuity created by the annuitization process uses duration 1 for commission purposes. The value of one is carried through to the Surrendered Policy Duration field in Immediate Annuity Add.

Field	Description
Base Commission Rates on Joint Equal Age	Y—Yes For joint life products, use the joint equal age for computing commissions. N—No The age of the primary insured is used when computing commissions for joint life products.
Base Commission Rates on Duration of Policy	Y—Yes Benefit add commissions are based on the duration of the policy and advances <u>are not</u> paid on the benefit add, even if in duration 1. For example, assume that the commission rate for the second year duration on a policy is 3%. If a benefit is added in the second year, commissions are based on the benefit to reflect the second year policy duration rate, in our example 3%. Advances are not paid on the benefit. N—No Benefit add commissions are based on the duration of the benefit and advances <u>are</u> paid. For example, assume that advances are properly set up and the commission rate for first year commissions is 75% and the second year commission rate is 3%. If a benefit is added in the second year, commissions are based on the benefit duration (1st year); therefore the commission rate paid on the benefit is 75%. NOTE If advances are being made on a benefit premium that is off the policy anniversary date, for example a prorated premium amount was paid. Advances are paid on the annual premium, not the prorated premium that was paid for the benefit. Advances do not account for FICA and are not paid on renewal premiums. In order to pay advances, the advance rules ID must be set up on the Agent Hierarchy Record, the Agent Deal Record, and the Commission Class Rule Segment.

NOTE

Fixed premium traditional products should be set up in the following manner.

Premium Ordering: Target = 1

Advance Control: Target = E, if advances are applicable.

Click **Next** to access the second page of the CM Segment.

Commission Class Rule	
Commission Class	CM1
Segment Type	CM
Traditional Only	
Separate Class for Trad Rated Ben	
Trad Flat Extra	
Flat duration qualifier	
Table cap	
Include Policy Fee in Target	Yes
Universal Life Only	
Cap Target By Planned Premium	Yes
Diminish target premium	No
Benefit Add: Recalc Rule	Layered
Prem Alloc Rule	Not Applicable
Include Policy Fee in Target (for Fixed UL)	Yes
Health Only	
Calculate Commissions Using Issue Age Premium Rate when Changes Occur	No
Annuity Only	
Create Requested or Detected Planned Premium Increase	No
Discontinue 1st Year Rates on Increases After Policy Duration	
Page Up OK Cancel	

The following table contains definitions for the fields on the second screen of the CM Segment.

Field	Description
Traditional Only	
Separate Class for Trad Rated Ben	If there is a separate set of commission class rules for a traditional rated benefit, input the corresponding commission class code in this field. If this field is left blank, the system defaults to the base commission class. Note that if a selection is made in this field, a Commission Class Rule Segment with this commission class code must be set up. If a commission class is selected in both the Trad Flat Extra field and this field, the commission class indicated in this field overrides the commission class indicated in the Trad Flat Extra field.

Field	Description
Flat duration qualifier	This is a two digit, numeric (0-99) field used to define the first year commissions that are paid on the flat extra portion of the premium, if the duration for the flat extra exceeds the number of durations in this field. After the first year, commissions are considered on any premium associated with the flat extra. For example, assume this field is 10 and the flat extra duration on a policy is 5. Since the flat extra duration for the policy is less than 10, first year commission is not paid. However, if the flat extra duration is 11, first year commissions are paid on the flat extra portion. NOTE The modal load is not included when the system calculates the flat duration qualifier on a policy.
Include Policy Fee in Target	This field applies to lines of business L—Traditional and H—Health only. Y—Yes The policy fee is included in the target premium. N—No The policy fee is not included in the target premium.
Trad Flat Extra	A commission class for the flat extra portion of a traditional rated benefit can be designated. If a commission class is selected, a separate Commission Control Record is created for the commissions paid on the rating. If the field is left blank, commissions are calculated using the commission class specified for the traditional rated benefit or base benefit. If a commission class is selected in both the Separate Class For Trad Rated Ben field and this field, the commission class indicated in the Separate Class For Trad Rated Ben field is used.
Table Cap	This is a two digit, numeric (0-40) field used to define the maximum table rating that is considered for first year commissions. After the first year, commissions are considered on any premium associated with the table extra. For example, assume 6 is entered in this field and a policy is issued with a Table 10 rating. First year commissions are paid based on the premium for a table 6 rating. Premium in excess of the Table 6 rating is not commissionable.

Field	Description
Table cap (continued)	Commissionable modal premiums are reduced proportionally by the premiums paid above the maximum table cap. For example, assume a policy is issued with a table 10 rating (\$200.00) substandard premium and the table cap is Table 6. The substandard premium for Table 6 for this policy is \$125.00. The amount above the cap (\$75.00) is prorated for each premium, and the first year commissionable premium is reduced by that amount. After the first year, commissions are considered on any premium associated with the table extra. The modal load is not included when the system calculates the table cap rating on a policy.
Universal Life Only	
Cap Target By Planned Premium	Y—Yes The target premium is capped as the amount of the policy's planned annual premium. For example, if the target premium is \$1,000 and the planned premium is \$900, the target premium is \$900 on the Commission Control Record. N—No
Benefit Add: Recalc Rule	L—Layered Commissions are paid on premiums received for benefits added after issue. The Premium Alloc Rule field defines how the commissions are paid. A Commission Control Record is automatically created for each fund when a specified amount increase is processed. A—Layered Across Class This option allocates the premium amount across all specified amount layers when determining the amount to be applied to each layer, regardless of the commission class. This field must be set to Layered Across Class in order to band commission classes by total specified amount. In addition, the Banding Method field on the CC Segment must be set to Total. It is important to set up the fields in the Pay Commissions On section to be identical for each CM Segment for the same product. This prevents inconsistencies in calculating commission payments. N—No Comm Paid Commissions are not paid on premiums received for benefits added after issue.

Field	Description
Benefit Add: Prem Alloc Rule	F—First In Commissions are based on the target premium of the first Commission Control Record, until the full amount of target premium has been received, before going to the additional Commission Records. L—Last In Commissions are based on the target premium of the most recently added benefit, until the full amount of target premium has been received, before being applied to other benefits. P—Plan Prorate The premium is prorated among the various benefits based on the planned premium of each benefit. Commissions for each benefit are then applied to the premium allocated to that benefit. T—Target Prorate The premium is prorated among the various benefits based on the target premium of each benefit. When target premium has been received on one of the riders, the premium amounts are applied to the other rider until target premium has been met. Additional premiums are then applied at the excess commission rate. M—Min Prorate The premium is allocated among the various benefits based on the minimum premium of each benefit. N—Not Applicable
Diminish target premium	This field determines if the system recomputes a maximum target premium on the Commission Control Record for each policy duration, or a diminishing target amount for each policy duration. Y—Yes The system only places the maximum target amount on the first duration of the policy for policy add, benefit add, and specified amount increases. After the first duration, the maximum amount is not replenished for each policy duration. If the maximum amount is not reached upon entering the next policy duration, the remainder of the target is placed in the Max Target Premium field. For example, assume the first year maximum target premium is \$1,800.00 and the first year payment is \$1,200.00. The Commission Control Record is displayed with \$1,800.00 in the Max Target Premium field and \$1,200.00 in the YTD Max Target Premium field. In duration 2, \$600.00 remains in the Max Target Premium field. Assume, a second year premium payment of \$1,200.00. The amount of \$600.00 is applied to the maximum target premium and \$600.00 is applied to YTD Excess Premium. In duration 3, the Max Target Premium field is blank since the second year premium payment filled the entire target premium. Assume, a third duration premium payment of \$1,200.00. The entire amount of \$1,200 is applied to YTD Excess Premium.

Field	Description
Diminish target premium (continued)	N—No The system recomputes a maximum target premium on the Commission Control Record each policy duration. The accumulated target premium is then recorded as each payment is received until the target accumulation field reaches the maximum. The system only pays excess commission rates on any premium received in excess of the maximum target amount.
Include Policy Fee in Target (for Fixed UL)	Y—Yes N—No
Health Only	
Calculate Commissions Using Issue Age Premium Rate when Changes Occur	This field is for health products and off anniversary riders. It determines if commissions for policy changes are based on an insured's original age or attained age. Y—Yes Commissions on policy changes are based on the original issue age. This option holds commissions to a level, non-ratable premium. When this field is set to Yes, the Trad Modal Factor field in the Pay Commissions On section on the first screen of this segment must also be set to Yes. N—No Commissions on policy changes are based on the attained age of the insured.
Annuity Only	
Create Requested or Detected Planned Premium Increase	This field determines if records are created for requested or detected increases in the planned premium. When set to Yes, this field allows advances to be paid on requested annuity planned premium increases. Requested and detected planned premium increases create Commission Control Records for premiums received above the high watermark for a policy. The requested and detected planned premium increases are based on the current attained age. All commission control records are rolled on the policy anniversary. Y—Yes Advances are paid on requested annuity planned premium increases. N—No Advances are not paid on requested annuity planned premium increases. This is the default. NOTE If multiple agents are to receive the increase, the Allow Pay Up Hierarchy for Commission Type Code P field on the Agency Miscellaneous Options screen must be set to Yes.
Discontinue 1st Year Rates on Increase After Policy Duration	This field determines the policy duration at which the 1st year rates on increases are discontinued. This field is only accessible when the Create Requested or Detected Planned Premium Increase Records field is set to Yes . The default for this field, when accessible, is 99.

6.43 CN—Collection Limits

NOTE

Universal life and annuities only

The CN—Collection Limits Segment can be used to set a maximum payment amount for a product (through the base coverage), and can also be used to set minimum payments allowed by tax qualification code, mode, and form.

Enter Segment Screen (CN) Criteria

Segment ID >> Segment Type CN

Additional Dump-In Allowed on Non-Flexible UL

Global Maximum Limit Severity Flag

Type	Description	Y/N	Segment ID
Q0	Collect Limit Not Qualfd	Yes	VQ0
Q1	Collect Limit HR10	Yes	VQ1
Q2	Collect Limit TSA	Yes	VQ2
Q3	Collect Limit IRA	Yes	VQ3
Q4	Collect Limit SEP	Yes	VQ4
Q5	Collect Limit Defer Comp	Yes	VQ5
Q6	Collect Limit 401K Plan	Yes	VQ6
Q7	Collect Limit 457 Plan	Yes	VQ7
Q8	Collect Limit Define Ben	Yes	VQ8
Q9	Collect Limit Define Cmp	Yes	VQ9

OK
Cancel

The CN Segment does not limit special deposits, which use accounting transaction codes 0121—Rollovers, 0122—Transfers, or 0124—1035 Exchanges.

Click **Next** to view the second page of the CN Segment.

Enter Segment Screen (CN) Criteria

Segment ID

VAI

>>

Segment Type

CN

Additional Dump-In Allowed on Non-Flexible UL

No

Global Maximum Limit

1,000,000

Severity Flag

Warning Only

Type	Description	Y/N	Segment ID
QS	Collect Limit Simple IRA	No	
QT	Contr Roth IRA Coll Limit	No	
QQ	Convr Roth IRA Coll Limit	No	
		No	
		No	
		No	
		No	
		No	
		No	
		No	

OK

Cancel

The following table contains definitions for the fields on the second screen of the CN Segment.

Field	Description
Additional Dump-In Allowed on Non-Flexible UL	This field determines if non-normal premium payments (transaction codes 0123 and 0124) are allowed on fixed UL/ISWL products. Y—Yes The manual premium payments are accepted. N—No The manual premium payments cannot be accepted. This is the default.
Global Maximum Limit	This field controls the maximum payment which can be applied at one time. If the Severity Flag field is set to Absolute, a payment over this amount is not allowed. If the field is set to Warning Only, the payment is allowed, but an ENS message is generated.

Field	Description
Severity Flag	A—Absolute A payment over the amount entered in the Global Maximum Limit field is not allowed. Note that the absolute edit only prevents the application of premium, not the deposit of suspense money. W—Warning Only A payment over the amount entered in the Global Maximum Limit field is allowed, but an ENS message is generated.
Type/Description	A CN—Collection Limit Segment can be set up for each tax qualification code. These fields simply list the combination of codes.
Y/N	Y—Yes A CN—Collection Limit Segment (Q0—Q9, QS, QT, and QQ) can be set up for the tax qualification code displayed on that line. N—No The CN—Collection Limit Segment is not defined for the tax qualification code displayed on that line.
Segment ID	The Segment ID of the Collection Limit Segment (Q0—Q9, QS, QT, and QQ) for the tax qualification code displayed on that line is displayed in this field. The Segment ID is ten alphanumeric characters, user defined. Press F4 to drop to the Collection Limit Segment.

6.44 CO—COLI Rates Segment

NOTE

Universal life only

The CO—COLI Rates Segment is a specialized segment used for one client to calculate the face amount and premium COLI rates using the following policy page keywords.

- COLIAPRT—COLI APR Loading
- COLIFAC1—COLI C1—Face Amount
- COLIFAC2—COLI C2—Face Amount
- COLIFAC3—COLI C3—Face Amount
- COLIFORM—COLI Form Number
- COLIPRM1—COLI C1 Premium
- COLIPRM2—COLI C2 Premium
- COLIPRM3—COLI C3 Premium
- COLITARG—COLI Target Face Amount

Enter Segment COLI Rates Criteria

Segment ID: NJD >> Segment Type: CO

COLI Form: COLIFAC1

C1: 5.0 % C2: 5.0 % C3: 5.0 %

OK Cancel

6.45 CP—Target Premium Factors Segment

NOTE

Traditional only

The CP—Target Premium Factors Segment allows the target premium rates to be different from the PR—Premium Segment rates, if the benefit is rider on a UL policy. The UY—Target Premium Assembly Rules Segment can then use these rates.

Premium Segment File									
Segment ID	SR1 >>		Segment Type	CP					
Key Modifier	CP		Do Values Vary By						
Are Values Banded	Yes		Underwriting Class	No					
Female Rate Basis	Male With Setback								
Setback Years	0								
Rate Type	Attained Age								
Rate Rounding Rule	Truncate After Cents								
Band Upper Limits									
50000	999999999	0	0	0	0	0	0	0	0
Premium Select Period	0		Premium Change Frequency	1					
Premium Mode Rule ID	01								
Coverage ID Of Ultimate Rates	NA								
Premium Rate Calculation Rule	Units Purchased								
Extended Key Definition Used	No								
Mode Rules									
Rates									
Extended Key									
Table Extra									
OK									
Cancel									

Fields Unique to this Segment

Field	Description
Premium Select Period	The length of time, in years, that the rates selected are used is displayed in this field. If the same rate segment is used for all years and the Rate Type is Attained Age , Issue Age , or Duration Only , input 0 in this field. If the same rate segment is used for all years and the Rate Type is Age and Duration , input 999 in this field.
Premium Change Frequency	The change frequency indicates the number of durations at a time the rates are held constant. For example, a 5-year renewable and convertible term product with premiums that are level for 5 years then jump to the attained age and remain level again for 5 years, has a premium change frequency of 5. If the rates remain the same for all years, input 0 in this field.
Premium Mode Rule ID	The premium mode rule ID, coupled with the form (direct, preauthorized checking, list bill, government allotment, or credit card) allows the system to access a Mode Rule Record. The modalization factors for each mode, (for example, monthly, quarterly) are located in the Mode Rule Record. A maximum of 10 characters may be entered in this field.
Coverage ID Of Ultimate Rates	The Segment ID of the segment that contains the rates that are used when the premiums change is displayed in this field. The rates change as indicated in the Premium Change Frequency field. If the same rate segment is used for all years and the Rate Type is Attained Age , Issue Age , or Duration Only , this field is left blank. If the same rate segment is used for all years and the Rate Type is Age and Duration , input NA in this field.
Premium Rate Calculation Rule	U—Units Purchased The premium is computed as the units purchased at issue of the coverage, multiplied by the premium rate found according to the rules in the upper part of the segment. D—Death Benefit The premium is computed as the death benefit at the point of the calculation, divided by 1000 and then multiplied by the rate found according to the rules code. P—Percentage The premium is calculated as a percentage per unit of value of premium for the benefits that are included for premium waiver as defined on the Coverage Record. This option is only available for waiver coverages.

Field	Description
Premium Rate Calculation Rule (continued)	1—W1 Segment The premium is calculated using the sum of premiums from the W1 Segment for non-waiver coverages. This option is only available for waiver coverages. 2—W2 Segment The premium is calculated using the sum of premiums from the W2 Segment for non-waiver coverages. This option is only available for waiver coverages. For example, assume a coverage is a decreasing term product with death benefits of 1000, 900, 800, 700, 600, 500, and so on. The rates are coded as A, changing annually. If the premium rate calculation rule is coded as premium Death Benefit, then in year three, the system computes the premium as $800/1000 * \text{year-3 rate}$, NOT as $1000 / 1000 * \text{year-3 rate}$. A—Percent Of Account Value The premium is calculated by determining the average of the monthiversary account values for the time period defined in the Last __ Months field. (This calculation method only averages the account values found during monthiversary processing for the last <i>n</i> months, and does not include partial valuations.) E—Percent Of Eligible Premiums (GB Only) This option can only be used for GB—Guaranteed Benefit type riders. When this option is used, deductions for the GB rider are based on eligible premiums that are defined on the LM—Living/Maturity Segment for the base benefit. W—Percent of Greater of GMWB Eligible Premiums or Lifetime Basis (GW Only) This option can only be used for GW type riders. When this option is used, deductions for the GW rider are based on the greater of eligible premiums or lifetime basis defined on the GW—Guaranteed Withdrawal Segment for the base benefit.
Extended Key Definition Used	Currently, this field applies to line of business H—Health only. Y—Yes The KD Segment must also be coded. Then, premiums are not in the Attained Age or Age/Duration File. Instead, they are in separate health files. N—No

6.46 CR—Commission Rates Segment

The CR—Commission Rates Segment must be set up for each rate ID that is linked to the Agent Deal screen. This segment can be accessed from the Agent Deal Record or directly from the Product Segment Menu.

Enter Commission Rates

Segment ID >> Segment Type CR

Select Period

Coverage ID Of

Ultimate Rates

Rates Vary By

Underwriting Class?

Rate Type

Premiums Banded By

Commission Type Code on the CM segment must
be 'P' for Ratchet banding to work or
be 'B' for Blended banding to work.

Band Upper Limits

100000	200000	300000	0	0	0	0
-------------------------------------	-------------------------------------	-------------------------------------	--------------------------------	--------------------------------	--------------------------------	--------------------------------

OK
Cancel

Complete the following steps to set up the Commission Rates Segment.

1. From the Product System Menu select **Segments**. The Segment Menu is displayed.
2. Select the appropriate type of product for the Commission Rates Segment. The list of segments is displayed.
3. Click **Next** to locate the CR—Commission Rates Segment.
4. Select the segment. The Commission Rates Segment screen is displayed.
5. Input the Segment ID for the product. Or, click >> to select the Segment ID from the cross reference list. If a new Commission Rate Segment is being added, enter the new Segment ID and press **F8**.

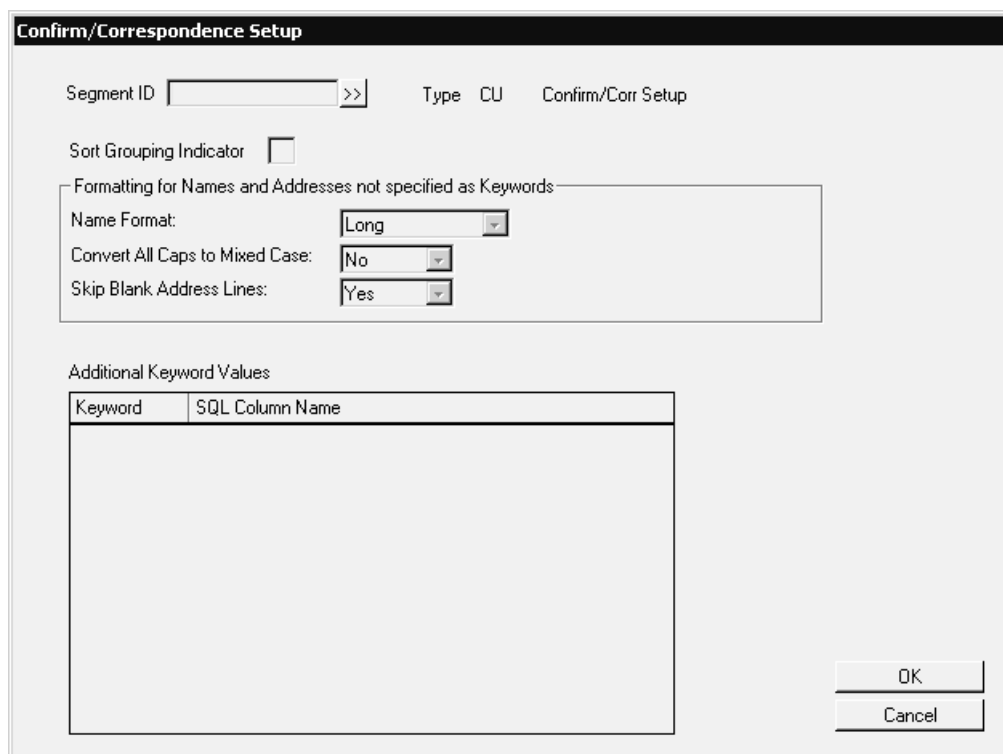
The following table contains definitions for the fields on the screen.

Field	Description
Select Period	This field displays the number of durations for which the segment is valid. For example, if the segment's Select Period is 01, the segment expires after the first duration. If the same rate segment is used for all years, input 0 in this field.
Coverage ID Of Ultimate Rates	This field displays the Coverage ID that is in effect after the select period is over. If the same rate segment is used for all years, this field is left blank.
Rates Vary By Underwriting Class	This field determines if rates vary by underwriting class. Y—Yes Rates vary by underwriting class. N—No Rates do not vary by underwriting class.
Rate Type	This field determines if commission rates vary by duration only, or by age and duration. A—Attained Age D—Age and Duration The commission rates vary by age and duration. For example, commission rates could change based on the policy duration and the insured's age. O—Duration Only The commission rates vary by duration only. For example, first year commission rates differ from renewal commission rates.
Premiums Banded By	The Premiums Banded By field allows banding of commission rates by the size of the premium payment. For the following examples, assume that there are three premium bands. Band 1 = \$5,000 Band 2 = \$7,500 Band 3 = \$10,000 N—None Premiums are not banded.

Field	Description
Premiums Banded By (continued)	R—Ratchet Different commission rates can be paid on one premium payment. For example, assume that a premium payment for \$10,000 is received. The first commission rate is paid for premiums up to the first band's limit (\$5,000 is applied at the first commission rate). Any amount over that is paid at the next commission rate up to the next band's upper limit (\$2,500 is applied at the second commission rate). The third band upper limit is \$10,000; therefore, the remaining \$2,500 of premium pays commissions at the third band rate. The premium amount applied to each band starts with the first band with each premium payment. NOTE Ratcheted commissions are only calculated for the writing agent. Ratcheted commissions do not apply up the hierarchy. D—Discrete One commission rate is applied to the entire premium amount. The rate that is applied is determined by the band upper limits. For example, assume that a premium payment for \$7,000 is received. Since the amount is more than \$5,000 (Band 1) but less than \$7,500 (Band 2), the entire premium has the Band 2 commission rate applied. The rate is determined for each premium payment. The premium amounts are not accumulated. B—Blended Different commission rates can be paid on one premium payment, as described for the Ratchet option. However, after the band upper limit is reached, the next commission rate applies. Also, the blended method applies the commission rates based on accumulated premiums for the duration. Therefore, after the first band's upper limit is reached, that band's rate is not applied to future premium payments. For example, assume a \$7,000 premium is received. The first \$5,000 is applied to Band 1. The remaining \$2,000 is applied to Band 2. Then, assume another premium payment for \$5,000 is received. Since the Band 1 upper limit has been met, and \$2,000 of the Band 2 limit has been met, commissions on the premium payment are paid with \$500 to Band 2 and \$4,500 to Band 3. A—Accumulative Discrete Premiums are banded based on the total premiums paid during the year. This option can be used with the Commission Type Code of Split by Order and By Premium. However, if the Commission Type Code of Split by Order is used, the Premium Order must be set so the Excess is 1.
Band Upper Limits	This field displays the band upper limits. The rates selected can be banded by policy face amount. If commissions are not paid by band, input all 9s in the first Band Upper Limits field. If commissions are paid by band, input the face amount of each band. The last Band Upper Limit field must be input as all 9s.

6.47 CU—Confirmation/Correspondence Setup Segment

The CU—Confirmation/Correspondence Setup Segment is used to define the ID associated with the transaction from the C0—Confirmation Setup Segment and to determine the format of the name and address for the confirmation or correspondence.



The dialog box is titled "Confirm/Correspondence Setup". It contains the following fields and controls:

- Segment ID: A text input field followed by a right-pointing arrow button.
- Type: A dropdown menu with "CU" selected.
- Confirm/Corr Setup: A label.
- Sort Grouping Indicator: A checkbox.
- Formatting for Names and Addresses not specified as Keywords: A section header.
- Name Format: A dropdown menu with "Long" selected.
- Convert All Caps to Mixed Case: A dropdown menu with "No" selected.
- Skip Blank Address Lines: A dropdown menu with "Yes" selected.
- Additional Keyword Values: A table with two columns: "Keyword" and "SQL Column Name". The table is currently empty.
- OK: A button.
- Cancel: A button.

Keyword	SQL Column Name
---------	-----------------

The following table contains definitions for the fields on the CU Segment.

Field	Description
Sort Grouping Indicator	A one digit upper case alphanumeric character can be input in this field. This character is not used by LifePRO®, but it can be used to sort data in the SQL table.
Name Format	This field determines how the name is displayed on the confirmation or correspondence. L—Long The name is displayed as prefix, first name, middle name, last name, and suffix (MR RAYMOND J JOHNSON JR). This option should be selected when the Use Extended Name field on the Name and Address Management Options screen is set to Yes. This allows the entire name to be displayed. S—Short The name is displayed as first name, middle name, and last name (RAYMOND J JOHNSON). R—Reversed The name is displayed as last name, first name, and middle name (JOHNSON, RAYMOND J). I—Reverse Initialed The name is displayed as last name, first and middle initial (JOHNSON, R J).
Convert All Caps to Mixed Case	This field determines if the name is printed in all caps or with upper and lowercase characters. Y—Yes Convert all capitalized letters to mixed case for the name selected. N—No Print the name keyword selected using only capitalized letters.
Skip Blank Address Lines	This field determines if address lines that are blank on the Name and Address record are left as blank in the confirmation or correspondence or if the blank line is deleted when printed on the confirmation or correspondence. Y—Yes If there are blank lines in the address record, delete these lines in the address for the confirmation or correspondence. N—No If there are blank lines in the address record, include them in the address for the confirmation or correspondence.
Keyword	This field displays any additional keywords selected for the correspondence. Currently, the only available keywords are Issue State, Issue Age of Owner, and Policy Billing Form.
SQL Column Name	These fields display the SQL Column Name associated with the keyword.

6.48 CV—Cash Values Segment

NOTE

This segment is required for anything permanent (traditional participating or non-participating). It can also be used for UL or EIWL.

The CV—Cash Values Segment directs the system to any guaranteed tabular cash values attached to the product.

If present, the system verifies that a cash surrender value is never less than the tabular value. The fund value less the surrender charge **MUST** be at least equal to the cash value. The system recomputes the surrender charge to guarantee this relation.

Segment Detail									
Segment ID	UL1 >>			Segment Type	CV				
Key Modifier	CV			Do Values Vary By					
Are Values Banded	No			Underwriting Class	No				
Female Rate Basis	Male With Setback								
Setback Years	0								
Rate Type	Attained Age								
Rate Rounding Rule	00			Rate Mode Rule ID	N/A				
Band Upper Limits:	9999999	0	0	0	0	0	0	0	
For GT Csh Sur Val And ETI/RPU Disclosure Use Tabular Cash Only				No					
First Duration Value Is Available	1								
Alt-F4 - Calc Values									
Cash Value Calculation Rules Segment ID									
Mode Rules Rates Calculate Values OK Cancel									

NOTE

Exception module PEXCCV01 is available to calculate the surrender value of a Return of Premium Cash Value Rider. Refer to Section 8—Processing Exceptions on page 8-1 in this book for additional information.

Fields Unique to this Segment

Field	Description
For GT Csh Sur Val And ETI/ RPU Disclosure Use Tabular Cash Values Only	This field controls how the CV Segments find the rates for ETI/RPU disclosure. Y—Yes Use tabular cash values only for ETI/RPU disclosures. N—No Use the greater of the tabular or guaranteed cash value for ETI/RPU disclosures. If there are no tabular values, use the guaranteed values.
First Duration Value Is Available	The first year the system uses the CV value on file is displayed in this field. If benefits are available for all years, this field is left blank.
Cash Value Calculation Rules Segment ID	This field defines the FN Segment ID that overrides the CV rates. Press F4 to access the FN Segment which is used to specify the rates used in the Standard Nonforfeiture Law minimum cash value calculation. NOTE FN COI rates must be coded as an annual rate per 1,000.

Cash Values Calculation Window Fields

Clicking **Calculate Values** displays a window is used to input the actuarial assumptions used for calculating cash values. This button allows you to create the tabular cash values from basic assumptions. This is done once, via setup; thereafter, the system looks up the values.

Enter Cash Value Reserve

Cash Values Assumptions

Gender/Class Male / STANDARD

Mortality Segment Gender Band Class

Interest Rate for Years, then

Initial Method for Years

Graded to in Year

Non Level Benefit

Function

Negative Values to Zero Round Cent

Calculate from Issue Age thru Increment by

Write Values Write Premiums

Calculate using floating point (Y/N)?

Bypass Gender/Class

OK

Cancel

The following table contains definitions for the fields on the Cash Value Reserve window.

Field	Description
Gender/Class	This field displays the associated gender and class of values to be calculated. When entering assumptions, the system processes each underwriting class with each gender. Therefore, if underwriting classes are (1) non-smoker and (2) smoker and rates vary by gender and class, the system prompts in the order shown below. 1) Male, nonsmoker 2) Male, smoker 3) Female, nonsmoker 4) Female, smoker
Mortality Segment	Input the EM—Guaranteed Mortality Segment and rates to use for mortality assumptions to use to calculate cash values in this field. NOTE EM Segments and associated rates must be set up prior to using this field. Since EM Segments are not attached to the coverage directly, go to the Traditional Segment List to load EM Segments and rates.
Gender	Input the gender of the mortality rate key of the EM Segment. M—Male F—Female U—Unisex
Band	Input the band of the mortality rate key of the EM Segment.
Class	Input the class of the mortality rate key of the EM Segment.
Interest Rate i_1 , for n years, then i_2	Enter the initial interest rate (i_1), the number of years in effect (n), and the ultimate interest rate (i_2) used to calculate cash values in these fields. If only one interest rate is used, the Number of Years field is not entered. The system skips the ultimate interest rate.

Field	Description
Initial Method M_1 for n years	Enter the initial method of calculating the expense allowance (M_1) used to calculate cash values and the number of years the initial method is in effect (n). If the initial method does not change, do not enter the number of years in effect and the system assumes no change. N—Net Level C—CRVM Use the Commissioner's Reserve Valuation Method. F—FPT Use the Full Preliminary Term Method. M—Minimum Use the 1980 Minimum Reserves Method. G—Guertin Use the Pre 1980 Minimum Reserves (Guertin) Method. A—Adj CRVM S—Simple G
Graded to (N,C,A) M_2 in year n	Enter the ultimate method (M_2) and the year it becomes effective (n). The system grades between the initial and ultimate method. N—Net Level C—CRVM Use the Commissioner's Reserve Valuation Method. A—Adj CRVM
Non Level Benefit	If the benefit is not level, enter the rule for calculating the equivalent level amount. A—Average Death Benefit The death benefit is calculated as the average death benefit over the initial 10 years. E—Equivalent Level Amount
Function	Enter the function for treatment of timing of death benefits and premiums. C—Curtate I—Immediate Claim Payments F—Fully Continuous D—Discounted Continuous
Negative Values to Zero	Y—Yes If values are negative, force the value to zero. N—No Do not force the value to zero if the value is negative.

Field	Description								
Round r_1 , r_2	Values are rounded based on the values selected in these fields. <table> <tr> <td>r_1</td><td>r_2</td></tr> <tr> <td>L—Low</td><td>C—Cent</td></tr> <tr> <td>N—Near</td><td>D—Dollar</td></tr> <tr> <td>H—High</td><td></td></tr> </table>	r_1	r_2	L—Low	C—Cent	N—Near	D—Dollar	H—High	
r_1	r_2								
L—Low	C—Cent								
N—Near	D—Dollar								
H—High									
Calculate from Issue Age x_0 thru x_n incremented by x_t	Enter the starting issue age (x_1) and ending issue age (x_n) and the increment age (x_t) to calculate cash values and adjusted premium. (For example, $x_1 = 20$; $x_n = 40$; $x_t = 5$ generate values for issue ages 20, 25, 30, 35, and 40.)								
Write Values	Y—Yes The cash values are written to the Age/Duration or Attained Age Rate File. These are rate type CV values. N—No								
Write Premiums	Y—Yes The adjusted premiums are written to the Age/Duration or Attained Age Rate File. These are rate type NF values. N—No								
Calculate using floating point	This field determines if the values are calculated using floating point math. Y—Yes The values are calculated using the COMP-2 format (long floating point). The final results are stored and displayed in the fixed decimal COMP-3 (S9(07)V9(07)) format. N—No the values are calculated using fixed decimal numbers. The final results are stored and displayed in the fixed decimal COMP-3 (S9(07)V9(07)) format. This is the default.								

6.49 CW—Production Bonus Credit Information Segment

The CW—Production Bonus Credit Information Segment is used to determine if a Commission Detail record is included in the calculation for the production bonus credit amount. If the policy issue age is greater than the age defined in the Max Credit Issue Age field on the CW Segment, the Commission Detail Record is not used. If the policy issue age is equal to or less than the issue age in this field, the Commission Detail record is used in calculating the production bonus credit amount. The segment is also used to indicate if the bonus credit amount is based on the face amount or the prearrangement amount.

This segment is accessed from the Production Bonus Credit field on the CM—Commission Class Rules Segment. The segment ID is defined in this field and the segment is accessed by pressing **F4**.

The screenshot shows a dialog box titled "Enter Production Bonus Credit Information". It contains the following fields and controls:

- Segment ID:** A text input field containing the value "A105".
- Segment Type:** A text input field containing the value "CW".
- Max Credit Issue Age:** A text input field containing the value "999".
- If Commissions Are By Face, Credit Bonus On:** A dropdown menu with "PAA" selected.
- Amount:** A text input field, currently empty.
- Buttons:** "OK" and "Cancel" buttons located at the bottom right of the dialog.

The following table contains definitions for the fields on the CW Segment.

Field	Description
Max Credit Issue Age	This field defines the maximum issue age of the insured when determining if the Commission Detail record is used for the production bonus credit. If the policy issue age of the insured is greater than the age defined in this field, the Commission Detail record is not used. If the policy issue age of the insured is equal to or less than the age defined in this field, the Commission Detail record is used. Valid values are 0 through 999. The default is 999.
If Commissions Are By Face, Credit Bonus On	This field indicates if the bonus credit is calculated using the face amount of the policy or the prearrangement amount if the Commission Type field on the CM—Commission Class Rules Segment is set to Face Amount. F—Face The face amount of the policy is used to calculate the production bonus credit. P—PAA The prearrangement amount is used to calculate the production bonus credit.

6.50 CX—Commissions on Maturity Transfers Segment

The CX—Commissions on Maturity Transfers Segment is used to define the commission rates for the commissions payable on the transfer of funds due to a maturity. This segment is only used when matured funds are transferred from an indexed source fund type (coterminous and non-coterminous). The CX Segment is accessed from the Fund Rules screen.

The CX Segment points the system to the CM—Commission Class Rules Segment for a specific coverage. This segment does not point to rates. The CX Segment accesses the CM—Commission Class Rule Segment through the Comm Class Pointers field by entering the CM Segment ID and pressing **F4**.

Commission Segment Screen

Segment ID >> Segment Type CX

Are Values Banded

Banding Method

Base Amount Or Total Specified Amount

Commission Payable on Coterminous and Non-Coterminous Transfers

Commission Payable on Single and Systematic Transfers

Band Upper Limits

Comm Class Pointers

The following table contains definitions for the fields on the CX Segment.

Field	Description
Are Values Banded	Y—Yes Commission rules vary according to the face amount of the policy. N—No Commission rules do not vary according to the face amount of the policy.
Base Amount Or Total Specified Amount	The Are Values Banded field must be set to Yes in order to access the Banding Method field. B—Base The base specified amount is used to determine the appropriate band. For example, assume there are 2 bands. The first is for 100,000 and the second is for 250,000. The base specified amount for the policy is \$50,000. The band 1 commission rates are used when the policy is issued. Also assume that a specified amount increase of \$100,000 is added. The band 1 commission rates are still used because only the base specified amount (\$50,000) is used to determine the band for the increase layers. T—Total The total specified amount for the policy is used to determine the appropriate band. As each specified amount increase is processed, a new band can be applied if the new total specified amount is in a different band. For example, assume there are 2 bands. The first is for 100,000 and the second is for 250,000. If a policy is issued for \$50,000, then band 1 commission rates are applied. When a specified amount increase is processed for \$100,000, the band 2 commission rates are applied to the new layer because the total specified amount is \$150,000. If using the Total option, the Benefit Add: Recalc Rule field on the CM Segment must be set to Layered Across Class.
Commission Payable on Coterminous and Non-Coterminous Transfers	This field determines if commissions are payable when a coterminous (COTMT) RQUE or non-coterminous (NCTMT) RQUE is processed. This field is defined for the fund upon which the funds are transferred into and upon which commissions are payable when the funds are transferred. Y—Yes Commissions are paid when the coterminous or non-coterminous RQUE is processed. This is the default. N—No Commissions are not paid when the coterminous or non-coterminous RQUE is processed.
Commission Payable on Single and Systematic Transfers	This field determines if commissions are payable when a single or systematic fund transfer requested using the Systematic Requests option is processed. This field is set up for the fund upon which commissions are payable when funds are transferred into that fund. Y—Yes Commissions are paid when a single or systematic fund transfer is processed. N—No Commissions are not paid when a single or systematic fund transfer is processed. This is the default.

Field	Description
Band Upper Limits	Up to seven bands can be set up, with a maximum value of \$9,999,999.00. The bands are numbered 1 through 7, with the left most band being number 1, and the right most being number 7. If banding is used, the lowest dollar amount is coded in band 1, and the largest dollar amount in the highest band. The last band must be coded with all 9's. If banding is not used, input 9,999,999 in the first band.
Comm Class Pointers	For each band designated in the Band Upper Limits fields, point to a five character commission class. This value serves as a Segment ID for a drop down segment, the CM—Commission Class Segment. This segment, accessible by pressing F4, describes a variety of rules for calculating commissions.

6.51 D3—Dividend Type By Option

NOTE

Traditional only—Applicable to PT benefits

The D3—Dividend Type By Option Segment is only applicable to PT benefits and allows default dividend types to be selected for valid dividend options. The DE—Dividend Option Edit Segment contains the valid dividend options for each mode and form. In addition, it defines if a dividend option is available after the policy reaches crossover. Crossover is defined as the point at which the paid-up portion of the PT benefit equals or exceeds the target face amount of the policy.

The Dividend Type field on the Coverage Record must be set to **Variable** in order to use the dividend defaults defined through the D3 Segment. If a default value is not defined on the D3 Segment, a window is displayed to prompt for a dividend type to be input. This window is displayed in Validation or during a dividend option change.

NOTE

Two dividend types can be defined for each dividend option. The first is the pre-crossover and the second is the post-crossover. Pre-crossover is the dividend default if the policy has not reached crossover. The post-crossover dividend default is effective after the policy has reached

crossover. If the post-crossover dividend type is different than the pre crossover dividend type, the dividend automatically changes when the policy reaches crossover.

Dividend Type By Option

Segment ID >> Segment Type D3

Option	Pre Cross-Over Dividend Type	Post Cross-Over Dividend Type
1 =	Segregated	Segregated
2 =	Segregated	Segregated
3 =	Segregated	Segregated
4 =	Segregated	Segregated
5 =	Segregated	Segregated
6 =	Segregated	Segregated
7 =	Segregated	Segregated
8 =	Segregated	Segregated

Options

- 1 - Cash
- 2 - Pay Premium
- 3 - Accumulation
- 4 - Buy PUA
- 5 - Buy OYT
- 6 - Reduce Loan
- 7 - Buy OYT (Edit applied from DE segment)
- 8 - EPP

History
Last Change
OK
Cancel

The dividend type placed on a policy is determined in three ways.

- If a dividend type is selected on the Coverage Record, that dividend type is placed on the benefit.
- If the dividend type on the Coverage Record is **Variable** and a default dividend type is selected on the D3 Segment for the dividend option on the policy, that dividend type is placed on the benefit.
- If the dividend type on the Coverage Record is **Variable** and a default dividend type was not selected for the dividend option on the D3 Segment, then a Dividend Type Selection window is displayed so the dividend type can be selected during Validation.

The following table contains definitions for the fields on the D3 Segment.

Field	Description
Pre Cross-Over Dividend Type	The dividend type purchase logic defined in this field is placed on the benefit if the policy has not reached crossover (paid-up portion of the PT benefit equals or exceeds the target face amount of the policy). For each dividend option, a pre-crossover dividend type can be selected. When a PT benefit reaches crossover, an ENS message is generated. If the dividend option on the policy is invalid after crossover, as designated on the DE—Dividend Edit Segment, an additional ENS message is generated indicating that a dividend option change should be processed. If the post-crossover dividend type is different from the pre-crossover dividend type, the dividend type automatically changes when the policy reaches crossover. “—Blank A window is displayed in New Business during Validation or when the dividend option is changed so that the dividend type can be selected. 1—Fully Segregated 2—Segregated 3—Integrated 4—Fully Integrated

Field	Description
Post Cross-Over Dividend Type	The dividend type purchase logic defined in this field is only effective after the policy has reached crossover (paid-up portion of the PT benefit equals or exceeds the target face amount of the policy). For each dividend option, a post-crossover dividend type can be selected. When a PT benefit reaches crossover, an ENS message is generated. If the dividend option on the policy is invalid after crossover, as designated on the DE—Dividend Edit Segment, an additional ENS message is generated indicating that a dividend option change should be processed. If the post-crossover dividend type is different from the pre-crossover dividend type, the dividend type automatically changes when the policy reaches crossover. “ “—Blank A window is displayed in New Business during Validation or when the dividend option is changed so that the dividend type can be selected. 1—Fully Segregated 2—Segregated 3—Integrated 4—Fully Integrated

6.52 DA—Fund Allocation Criteria

NOTE

Universal life only

The DA—Fund Allocation Criteria Segment provides select and ultimate capability for deposits to funds and is accessed through the Deposit Allocation field on the Segment List accessed from the Fund Rules screen. The top portion of the segment allows the designation of a minimum allocation percentage for each fund for policy level overrides, or allows deposits to be split evenly over all funds. For example, assume a percentage is defined as 10%. Since allocations of percentages below 10% are not allowed, the system performs edits in Validation to verify that this guideline is met.

The lower section of the screen can be used to designate a minimum dollar amount to be allocated to a fund. For example, a minimum allocation of \$1000 prevents allocations that fall below this amount, regardless of the percentages specified. The deposit is made to the fund designated in the Alternate Fund ID field specified.

The Period Away From Maturity field in the lower section of the screen can be used to designate a number of months or years. If the interest rate designated on the Declared Interest Rate File is

changed during this time period, the deposit goes to the Alternate Fund ID selected in the Alternate Fund ID field.

Enter Fund Allocation Criteria	
Segment ID	>>
Segment Type	DA
Select Period	Duration 0
Ultimate ID	
Allocation Flag	Split Evenly over Funds or Percentage 0 %
	Capped by 0.00 , or Target, or 1st Year Deposit
If Allocation Overridden at the Policy Level, the Minimum Allocation Percentage Allowed is 0 %	
Alternate Fund on Deposit	
Alternate Fund ID	>>
Minimum Allocation Amount	0.00
Period away from Maturity	0
If Deposit is Less Than Minimum or Less Than the Period Away from Maturity, the Money Will be Directed to the Alternate Fund Specified.	
Deduction Allocation	
If Allocation Overridden at the Policy the Minimum Allocation Percentage Allowed is: 0 %	
OK	
Cancel	

NOTE

The percentage of the deposit to go to each fund can be overridden in Validation.

The following table contains definitions for the fields on the DA Segment.

Field	Description
Allocation Flag	P—Percentage A percentage, as stated in the next field, is used. If the Allocation Flag field is Percentage, input the percentage to be allocated to this fund. An example of the use of this segment is a situation where two funds exist. The first fund is to receive money during the first policy year only, and the second fund is to receive money only after the first year. The DA Segment is coded on each fund. For the first fund, input a 1 year select period, advancing to an ultimate ID. The select segment has a Percentage and 100% coded, and the ultimate segment has Percentage and 0.00% coded. For the second fund, input a 1 year select period and an ultimate segment. The select period segment has a Percentage and 0.00% coded, and the ultimate segment has a Percentage and 100% coded. F—Funds The premiums are split evenly over the funds (for example, if there are 3 funds, 1/3, 1/3, and 1/3 split). C—Capped T—Target 1—1st Year Deposit NOTE If the Capped, Target, or 1st Year Deposit option is selected, the Allocated Coverage field on the Coverage Record must be set to Fund.
Split Evenly over Funds or Percentage Capped by	
If Allocation Overridden at the Policy Level, the Minimum Allocation Percentage Allowed is	This field provides an edit if an allocation override is processed at the policy level. If coded as 15%, for example, a non-zero entry at the policy level must be 15% or greater.
Alternate Fund on Deposit	
Alternate Fund ID	If an edit causes the attempted fund to fail, the deposit attempts to deposit to the alternate fund selected in this field.
Minimum Allocation Amount	The minimum dollar amount that can be allocated into this fund is displayed in this field.

Field	Description
Period away from Maturity	If the deposit is within the number of months or years of the next interest change seen in the Declared Interest Rate File, the deposit goes to the alternate fund. M—Months Y—Years
Deduction Allocation	
If Allocation Overridden at the Policy Level, the Minimum Allocation Percentage Allowed is	This field determines the minimum deduction allocation percentage allowed when an override is processed at the policy level. For example, if 10% is input in this field, a non-zero entry at the policy level must be 10% or greater.

NOTE

Although the DA Segment can be added to a coverage which includes a DS—Premium Fund Destination Segment, the DS Segment overrides the DA Segment.

6.53 DB—Death Benefits Segment

NOTE

The DB—Death Benefits Segment is only required on traditional products if the death benefit per unit changes. The DB—Incremental % Death Benefits Segment is only required on UL products if the death benefit per unit changes. Otherwise, it is not required.

The DB Segment allows scheduled specified amount changes. In addition, this segment allows the system to have 0.00 specified amounts, making the death benefit dependent entirely upon the fund value.

Death Benefit and Additional Death Benefits									
Segment ID	AD&D >>			Segment Type	DB				
Key Modifier	DB			Values Vary by					
Are Values Banded	No			Underwriting Class	No				
Female Rate Basis	Male With Setback								
Setback Years	0								
Rate Type	Attained Age								
Rate Rounding Rule	00								
Band Upper Limits:	9999999	0	0	0	0	0	0	0	
Benefits Cease at	Age			100					
	Period(s) From Issue								
First Duration Available	1			Use Extended Keys	No			Extended Keys	
Minimum Benefit Duration	1			Do Not Pay out Death Benefit	No			Rates	
Death Benefit based on True Age (Traditional Only)	No			Interpolate Monthly				OK	
Interpolate values per unit	No						Cancel		

The DB Segment also allows the interpolation of the death benefit for a policy between anniversaries, using the two interpolation flags at the bottom of the screen. This interpolation feature allows a traditional product to be defined with a death benefit that changes monthly or daily, instead of annually.

Although the DB Segment is also used for line of business U—Universal Life, the interpolation feature of the segment is only applicable to traditional lines of business. Death claim processing is the only process that has been modified to use these interpolation flags; other areas such as premium lookup for reserves and reinsurance, policy exhibits, surrender quotes, annual

statements, illustrations, rejections, and expenses do not take the interpolation flags into account.

Fields Unique to this Segment

Refer to Section 12, Premiums—Upper Portion of Screen Field Definitions on page 12-17 for a description of the fields in the upper portion of the screen.

Field	Description
Benefits Cease at	The type of period to use when determining when benefits stop is input in this field. A—Age The benefits stop at the age selected. D—Duration Cease Point The benefits stop in the duration designated. O—Off Anniversary Expiration The benefit stops after the number of either months or days have passed. For example, the Off Anniversary Expiration option could be used in travel insurance since coverage is typically good for 180 days or 5 months.
Age/Duration Cease Point	The number of periods (months or days) after which the benefits cease is displayed in this field.
First Duration Available	This field defines the first year the additional benefit is paid. For example, a value of 1 indicates any time during the first year. A value of 2 indicates anytime during the second year. If the benefits are available for all years, this field is left blank.
Minimum Benefit Duration	The value in this field designates the minimum number of years that the benefit is payable. This is used to override a benefit cease period based on age. For example, if the benefit cease point is Age with an age of 65 on a policy issued at age 60, and the minimum benefit duration is 10, then the policy continues to pay the additional benefit through age 70.

Field	Description
Use Extended Keys	This field is used to allow a health benefit amount to be designated to increase on an annual basis, without increasing the premium. Y—Yes Click Extended Keys to access the Extended Key Rate Definition screens. The benefit value input through the extended key selections overrides the Value Per Unit field on the second screen of the Coverage Record. This value can be viewed at the benefit level through the Benefit Detail screen. From the Benefit Detail screen, click Actions to display a Processing Menu, then select Health Benefit Quote. N—No Refer to 6.196—PR—Premium Segment on page 12-725 in this book for additional information on using the Extended Keys to define rates.
Do Not Pay out Death Benefit	This field is used to allow a health benefit amount to be designated to increase on an annual basis, without increasing the premium. Y—Yes The benefit defined through the extended key definition is not paid out as a death benefit during death claim processing. N—No
Death Benefit based on True Age (Traditional Only)	This field determines if the insured's attained age is based on the policy anniversary date or on the insured's birthdate when processing a death quote. Y—Yes The attained age for calculating the death benefit is based on the insured's birthdate and the effective date of the quote. N—No The attained age for calculating the death benefit is based on the policy anniversary date and the effective date of the quote. This is the default. For example, assume that a policy is issued on 07/01/1993 to an insured with a birthdate of 04/01/1963. The issue age of the insured is 30 when the age nearest calculation is used. If the true age method is used to determine the age for a death quote and the quote is processed on 05/01/2005, the insured's age for obtaining the death benefit rate is 42. If the attained age for the death quote is based on the age of the insured on the last policy anniversary, the insured's age for obtaining the death benefit rate is 41 because the policy anniversary for age 42 has not yet been processed.

Field	Description
Interpolate values per unit	This field determines if death claim processing calculates a death benefit between anniversaries, through interpolation. Y—Yes The death benefit is interpolated between anniversaries. If this field is Yes, the Interpolate Monthly field must be set to Months or Days. N—No Do not interpolate a death benefit between anniversaries. This is the default. NOTE Death claim processing is the only process that uses the Interpolate Values Per Unit and Interpolate Monthly fields; other areas such as premium lookup for reserves and reinsurance, policy exhibits, surrender quote, annual statements, illustrations, reprojections, and expenses do not use these fields.
Interpolate Monthly	If the Interpolate Values Per Unit field is set to Yes, this field determines if monthly or daily interpolation is used. M—Month Monthly interpolation is based on the number of completed months from the last anniversary to the date of death. D—Day Daily interpolation is based on the number of days from the last anniversary to the date of death.

DB—Death Benefit Segment Processing Notes

The following formulas are used to perform the interpolation.

Monthly $DB_t - (m - 1)/12 * (DB_t - DB_{t+1})$

where:

- DB_t = Death Benefit in policy year t
- DB_{t+1} = Death Benefit in policy year $t+1$
- m = the number of months from the last anniversary to the date of the death quote

Daily $DB_t - d/365 * (DB_t - DB_{t+1})$

where:

- DB_t = Death Benefit in policy year t
- DB_{t+1} = Death Benefit in policy year $t+1$
- d = the number of days from the last anniversary to the date of the death quote

6.54 DC—Automatic Decrease Rules Segment

NOTE

Universal life only

The DC—Automatic Decrease Rules Segment is for allocated coverages. This segment determines the rules existing for how to decrease a contract's total insurance when there are riders present.

The screenshot shows a dialog box titled "Automatic Decrease Rules". It contains the following fields and controls:

- Segment ID:** A text box containing "UL" followed by a ">>" button.
- Segment Type:** A label with the value "DC".
- Decrease Peel Back Rider to Zero, then Base:** A dropdown menu currently set to "No".
- Decrease 'B'ase or 'T'erm Riders First:** A dropdown menu currently set to "Term".
- Decrease Term Riders in 'L'IFO or 'F'IFO Order:** A dropdown menu currently set to "LIFO".
- (LIFO/FIFO Code for Base Set on UI Segment):** A text label.
- Buttons:** "OK" and "Cancel" buttons at the bottom right.

The following table contains definitions for the fields on the DC Segment.

Field	Description
Decrease Peel Back Rider to Zero, then Base	This field defines how allocated decreases are deducted from a universal life product with a peel back rider. Y—Yes If this option is selected, allocated decrease processing first reduces the peel back rider (defined using the PB—Peel Back Rider component type) before decreasing the base face amount. It terminates the peel back rider if the peel back rider's specified amount is reduced to an amount equal to the base specified amount. Then it reduces the base specified amount. If Yes is chosen, the other two fields displayed on the DC Segment do not apply and are hidden. N—No Allocated decrease processing functions normally. Allocated decreases are based on the settings of the other two fields displayed on the DC Segment, which are no longer hidden. This is the default.
Decrease Base or Term Riders First	This field defines how allocated decreases are deducted from a universal life product with term riders. B—Base The allocated decrease from the base coverage is deducted first, then the term riders. T—Term The allocated decrease is deducted from the term riders first. This is the default.
Decrease Term Riders in LIFO or FIFO Order	This field defines how allocated decreases are deducted from the term riders attached to a universal life product, if Term is selected for the previous field. L—LIFO This option is last in, first out. F—FIFO This option is first in, first out. NOTE If Base is selected for the previous field, the Specified Amount Decrease Rule field on the U1—Monthiversary Control Segment is used to specify if deductions are taken on a LIFO or FIFO basis.

6.55 DD—Dividend Assumption Segment

NOTE

Traditional only

The DD—Dividend Assumption Segment contains the assumptions used to calculate substandard dividends and is accessed through the Dividend Assumption field on the DV Segment.

Enter Dividend Assumption Segment Criteria			
Segment ID	DIV >>	Dividend Basic Values	RV Stat Values >
Type	DD	Use DV Factors for Standard	No >
Segment Description	Flag	Segment ID	
Dividend Interest	No >	>>	
Guaranteed Interest	No >	>>	
Dividend Expense Adjustment	No >	>>	
Dividend Mortality	No >	>>	
Guaranteed Mortality	No >	>>	
			Process
			OK
			Cancel

The formula for calculating the substandard dividends is shown below.

$$\text{Final Dividend} = \text{DI} + \text{DQ} + \text{DE}$$

$$\text{DI} = \frac{(\text{idx} - \text{igcv}) * (x (1 - \text{qg}/1000) + \text{qg})}{(1 + \text{igcv})}$$

$$\text{DQ} = ((\text{qg} - \text{qd})/1000) * (1000 - x)$$

$$\text{DE} = (\text{DE rate}/1000 * \text{face amount})$$

where idx=dividend interest

igcv=guaranteed cash value interest

qg=guaranteed mortality

qd=dividend mortality

x=Net Single Premium, Cash Value, or Reserve factors (determined from DD Segment)

The segment IDs selected on the DD Segment define the rates that are used in the calculation.

Field	Description
Dividend Basic Values	The dividend formula uses the type of rates selected in this field for the value of X. C—CV Cash Values R—RV Stat Values N—NS Net Single Premium
Use DV Factors for Standard	Y—Yes Use the factors on the DV Segment to calculate standard dividends. N—No Use the assumptions on the DD Segment to calculate standard dividends.
Dividend Interest	Enter the segment ID of the A1—Current Interest Rate Segment to use when calculating the dividends.
Guaranteed Interest	Enter the segment ID of the G1—Guaranteed Interest Rate Segment to use when calculating the dividends.
Dividend Expense Adjustment	Enter the segment ID of the DJ—Dividend Expense Adjustment Segment to use when calculating the dividends.

Field	Description
Dividend Mortality	This field points to standard and substandard dividend mortality rates. If the Use DV Factors for Standard field is set to Yes , standard rates must be used.
Guaranteed Mortality	This field points to standard and substandard dividend mortality rates. If the Use DV Factors for Standard field is set to Yes , standard rates must be used.

6.56 DE—Dividend Option Edits

NOTE

Traditional only

The DE—Dividend Option Edit Segment is used to designate the dividend options and excess dividend options that are available for each billing form and mode. The edits are performed during Validation in New Business, when a dividend change is processed from the Dividend Quote screen, and when a form or mode change is processed from the Premium Quote screen.

If different coverages for the same product have different DE Segments and an option is not allowed for one of the coverages on the policy, the option is not allowed on the policy.

NOTE

The dividend options displayed on the DE Segment correspond to the default dividend options on the DO—Dividend Option Setup Segment. If the type of dividend that corresponds to each option was changed on the DO Segment, these changes are not reflected on the DE Segment. The default options are used to designate the valid billing forms and modes allowed. For example, assume that Option 1 was changed to **Pay Premium** on the DO Segment. The Option 1 line on the DE Segment retains the default setting of Cash. Therefore, the Option 2 Reduce line on the DE Segment would be used to designate the valid billing modes and forms for dividends when they are used to reduce the premium.

Dividend Option Edit Segment

Segment ID
Select Period

Segment Type
Ultimate ID

Availability ("Y"es/"N"o/"W"arning)

For Option 7, Maximum Inforce allowed

Option	DIR				PAC				LST				GVT				CRD				Available Alt Xovr
	An	Sm	Qt	Mt	An	Sm	Qt	Mt	An	Sm	Qt	Mt	An	Sm	Qt	Mt	An	Sm	Qt	Mt	
1 Cash	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Yes
2 Reduce	Y	Y	Y	Y	N	N	N	N	N	N	N	N	N	N	N	N	Y	N	N	N	Yes
3 Accums	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Yes
4 PUA	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	N	Y	Y	Y	Yes
5 OYT	N	N	N	N	N	N	N	N	N	N	N	N	N	N	N	N	Y	N	N	N	No
6 Pay Loan	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	Y	N	Y	Y	Y	Yes
7 OYT	N	N	N	N	N	N	N	N	N	N	N	N	N	N	N	N	N	N	N	N	No
8 EPP	N	N	N	N	N	N	N	N	N	N	N	N	N	N	N	N	N	N	N	N	No

This segment is accessed through the Dividend Option Edits field and Excess Option Edit field on the DO—Dividend Option Setup Segment by entering a segment ID and pressing **F4**.

Field	Description
Availability	There are three available selections for each combination of dividend option, billing form, and mode. Y—Yes The combination is allowed. N—No The combination is not allowed. The change cannot be processed until an acceptable combination is selected. NOTE The availability for Dividend Option 2—Reduce should be set to No for the billing form PAC. If the dividend option selected in New Business is 2—Premium Dividend and the billing form is PAC, the dividend option is systematically set to 0—No Dividend. W—Warning A warning message is displayed if this combination is selected. The combination can be used.
For Option 7, Maximum Inforce allowed	The maximum amount of insurance inforce that is allowed when dividend option 7 is selected.
Available Aft Xovr	This field controls the dividend options that can be selected when term is part of a PT rider. This field applies only to PT riders which have a combination of paid-up additional insurance and term. If this field is Yes, the dividend option cannot be selected until the term portion of the rider is gone. In addition, when a PT benefit reaches crossover (paidup portion of PT equals or exceeds the target face amount), an ENS message is generated. If the dividend option is invalid after crossover, an additional ENS message is generated. An edit is also performed on the D3 Segment to verify that the dividend type is valid after crossover. If the dividend type should change after crossover, as indicated on the D3 Segment, it automatically changes. If the dividend option is manually changed to a dividend option that is valid after crossover, the dividend type automatically changes to the default dividend type if selected on the D3 Segment. The same edits are performed if the dividend option or dividend type is changed as a result of the crossover and the premium that caused the crossover is reversed.

The availability for each billing form and mode can be changed by completing the following steps.

1. From the DE—Dividend Option Edit Segment press **F10**.
2. Click on the button for the appropriate billing form. The Dividend Option Edit Segment Criteria screen is displayed.

Enter Dividend Option Edit Segment Criteria

DIR - Dividend Option Edit Segment Criteria

Option	Annual	Semi-Ann	Quarterly	Monthly
1 Cash	Yes	Yes	Yes	Yes
2 Reduce	Yes	Yes	Yes	Yes
3 Accums	Yes	Yes	Yes	Yes
4 PUA	Yes	Yes	Yes	Yes
5 OYT	Yes	Yes	Yes	Yes
6 Pay Loan	Yes	Yes	Yes	Yes
7 OYT	Yes	Yes	Yes	Yes
8 EPP	Yes	Yes	Yes	Yes

OK

Cancel

3. Change any of the availability options necessary.
4. Click **OK**.

6.57 DF—Deficiency Val Prems Segment

NOTE

Traditional only

LifePRO® allows deficiency reserves to be set up using the DF—Deficiency Val Prem Segment and the DR—Deficiency Reserves Segment. The DF—Deficiency Val Prems Segment directs the system to the deficiency reserve premiums. The DR—Deficiency Reserves Segment directs the system to the deficiency reserve factors. LifePRO® does not have a calculation for the development of deficiency reserve and premium factors. These factors must be manually input or uploaded using PCONVRAT.

The set up of the deficiency net premium for all issue ages and policy durations is done by comparing the gross premium ${}_xG_t$ to the valuation premiums $\beta(i_v)$ using the valuation interest rates.

$${}_tDF_x = \text{MAX} [0, \beta(i_v) - {}_xG_t]$$

The factors ${}_tDF_x$ should then be loaded into the DF Segment as Issue Age/Duration files. In developing the deficiency premium ${}_tDF_x$, the valuation actuary may adjust the gross premium ${}_xG_t$ by assuming an average policy size. LifePRO® banding could also be used by setting up banding of the deficiency net premiums, if desired.

LifePRO® calculates deficiency reserves in a seriaturm valuation by applying policy face units to the factors and calculating mean reserves as shown below.

$$\text{DEF Reserve (x,t)} = U * (({}_{t-1}DR_x + {}_tDR_x + {}_tDF_x) / 2)$$

where

${}_tDR_x$ = Unit factor on the DR Segment for issue age x, policy duration t

${}_tDF_x$ = Unit factor on the DF Segment for issue age x, policy duration t

U = Policy units

Premium Segment File	
Segment ID	UL1 >>
Segment Type	DF
Key Modifier	DF
Are Values Banded	No
Female Rate Basis	Male With Setback
Setback Years	0
Rate Type	Attained Age
Rate Rounding Rule	Truncate After Cents
Band Upper Limits 9999999 0 0 0 0 0 0	
Premium Select Period	
Premium Mode Rule ID	
Coverage ID Of Ultimate Rates	
Premium Rate Calculation Rule	
Extended Key Definition Used	No
Premium Change Frequency Mode Rules Rates Extended Key Table Extra OK Cancel	

Fields Unique to this Segment

The following table contains definitions for the fields on the DF Segment.

Field	Description
Rate Rounding Rule	This field is set to Truncate After Cents and cannot be updated.
Premium Select Period	The length of time, in years, the selected rates are used is displayed in this field. If the same rate segment is used for all years and the Rate Type is Attained Age , Issue Age , or Duration Only , input 0 in this field. If the same rate segment is used for all years and the Rate Type is Age and Duration , input 999 in this field.
Premium Change Frequency	The change frequency indicates the number of durations at a time the rates are held constant. For example, a 5-year renewable and convertible term product that has premiums that are level for 5 years then jump to the attained age and remain level again for 5 years, has a premium change frequency of 5. If the rates are the same for all years, input 0 in this field.

Field	Description
Premium Mode Rule ID	The premium mode rule ID, coupled with the form (direct, preauthorized checking, list bill, government allotment, or credit card) allows the system to access a Mode Rule Record. The modalization factors for each mode, (for example monthly, quarterly) are located in the Mode Rule Record. A maximum of 10 characters may be entered in this field.
Coverage ID Of Ultimate Rates	The segment ID of the segment that contains the rates that are used when the premiums change is displayed in this field. The rates change as indicated in the field. If the same rate segment is used for all years and the Rate Type is Attained Age , Issue Age , or Duration Only , this field is left blank. If the same rate segment is used for all years and the Rate Type is Age and Duration , input NA in this field.
Premium Rate Calculation Rule	U—Units Purchased The premium is computed as the units purchased at issue of the coverage, multiplied by the premium rate found according to the rules in the upper part of the segment. D—Death Benefit The premium is computed as the death benefit at the point of the calculation, divided by 1000 and then multiplied by the rate found according to the rules code. P—Percentage The premium is calculated as a percentage per unit of value of premium for the benefits that are included for premium waiver as defined on the Coverage Record. This option is only available for waiver coverages. 1—W1 Segment The premium is calculated using the sum of premiums from the W1 Segment for non-waiver coverages. This option is only available for waiver coverages. 2—W2 Segment The premium is calculated using the sum of premiums from the W2 Segment for non-waiver coverages. This option is only available for waiver coverages. For example, assume a coverage is a decreasing term product with death benefits of 1000, 900, 800, 700, 600, 500, and so on. The rates are coded as A, changing annually. If the premium rate calculation rule is coded as premium Death Benefit, then in year three, the system computes the premium as $800/1000 * \text{year-3 rate}$, NOT as $1000 / 1000 * \text{year-3 rate}$.

Field	Description
Premium Rate Calculation Rule (continued)	A—Percent Of Account Value The premium is calculated by determining the average of the monthiversary account values for the time period defined in the Last __ Months field. (This calculation method only averages the account values found during monthiversary processing for the last <i>n</i> months, and does not include partial valuations.) E—Percent Of Eligible Premiums (GB Only) This option can only be used for GB—Guaranteed Benefit type riders. When this option is used, deductions for the GB rider are based on eligible premiums that are defined on the LM—Living/Maturity Segment for the base benefit. W—Percent of Greater of GMWB Eligible Premiums or Lifetime Basis (GW Only) This option can only be used for GW type riders. When this option is used, deductions for the GW rider are based on the greater of eligible premiums or lifetime basis defined on the GW—Guaranteed Withdrawal Segment for the base benefit.
Extended Key Definition Used	Currently, this field applies to line of business H—Health only. Y—Yes The KD—Key Definitions Segment must also be coded. Then, premiums are not in the Attained Age or Age/Duration File. Instead, they are in separate health files. N—No

6.58 DG—Deduction Allocation Rules

The DG—Deduction Allocation Rules Segment indicates if Deduction Allocation records are optional or mandatory. In addition, this segment also defines the default processing options for loans and withdrawals when Deduction Allocation records are present.

The following table contains definitions for the fields on the DG Segment.

Field	Description
Deduction Allocation is Optional or Mandatory	This field determines if the deduction allocation is optional or mandatory. O—Optional Deduction Allocation record on a policy are optional. This is the default. M—Mandatory Deduction Allocation records on a policy are required for processing.

Field	Description
Default Allocation for Transactions	
Loans	This field determines how money is deducted from funds when a loan is requested using the Loan Quotes screen or through Systematic Requests. P—Pro-Rata Money from the funds is taken out on a prorata basis when a loan is processed using the Loan Quote screen. When a loan is processed through Systematic Requests, the Fund Allocation field defaults to Prorata. This allocation is used for loan capitalization regardless of how the loan was originally processed. This is the default. D—Deduction Allocation Money from the funds is taken out using the Deduction Allocation record at the time of the loan when the loan is processed using the Loan Quotes screen. When a loan is processed through Systematic Requests, the Fund Allocation field defaults to Deduction Allocation. This allocation is used for loan capitalization regardless of how the loan was originally processed. In addition, the deduction allocation in effect at the time of the loan capitalization will be used.
Partial Withdrawals	This field determines how money is withdrawn from funds when a withdrawal is requested using the Values Quotes screen or through Systematic Requests. P—Pro-Rata Money is withdrawn from the funds on a pro-rata basis when a partial withdrawal is processed using the Values Quotes screen. When a partial withdrawal is processed using Systematic Requests, the Fund Allocation field defaults to Prorata. This is the default. D—Deduction Allocation Money is withdrawn from the funds using the Deduction Allocation record in effect at the time of the withdrawal when a partial withdrawal is requested using the Values Quotes screen. When a partial withdrawal is processed using Systematic Requests, the Fund Allocation field defaults to Deduction Allocation.

6.59 DH—Deferred Charges Account

The DH—Deferred Charges Account is used to define the period in which the deferred charges can increase and the rates for the deferred charges.

The screenshot shows a software dialog box titled "Deferred Charges Account". It contains the following fields and controls:

- Segment ID**: A text input field followed by a right-pointing arrow button.
- Segment Type**: A label followed by the text "DH".
- Deferred Charges Increase Period**: A numeric input field followed by the text "Months".
- Deferred Charges Rate**: A text input field followed by a right-pointing arrow button.
- Deferred Charges Annual Reduction**: A text input field followed by a right-pointing arrow button.
- Fund ID for the Deferred Charges Account**: A text input field followed by a right-pointing arrow button.
- Buttons**: "OK" and "Cancel" buttons located at the bottom right of the dialog.

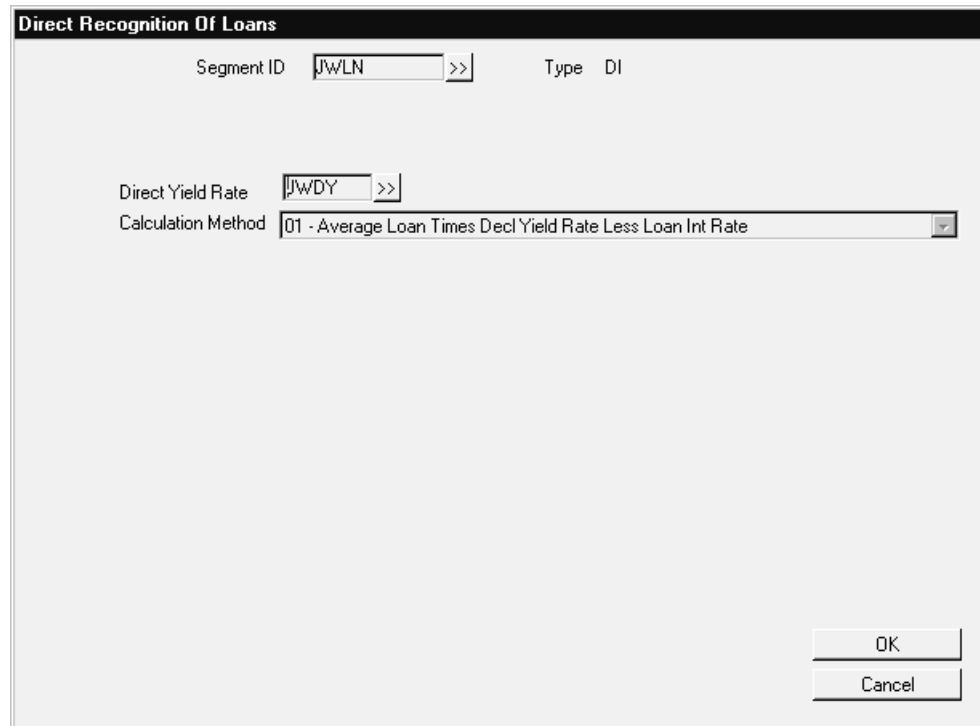
The following table contains definitions for the fields on this screen.

Field	Description
Deferred Charges Increase Period	This field determines the length of time in which the deferred charges are increased after policy issue or a specified amount increase. The increase period may not be greater than 12 months.
Deferred Charges Rate	This field identifies the DK—Deferred Charges Rate Segment that is used to define the rates for the full and partial surrender loads based on the deferred charges account. Position the cursor in the field and press F4 to access the DK Segment.

Field	Description
Deferred Charges Annual Reduction	This field identifies the DU—Deferred Charges Annual Reduction Segment that is used to define the rates for the annual surrender load reduction. Position the cursor in the field and press F4 to access the DU Segment.
Fund ID for the Deferred Charges Account	This field identifies the FR—Fund Rules Segment that is used to define the rules for the deferred charges fund. Position the cursor in the field and press F4 to access the FR Segment.

6.60 DI—Direct Recognition of Loans

The DI—Direct Recognition of Loans Segment allows the method for calculating the direct recognition charge to be selected, and defines the Segment ID for the declared yield rates used in the calculation.



The image shows a software dialog box titled "Direct Recognition Of Loans". It contains the following fields and controls:

- Segment ID:** A text field containing "JW/LN" followed by a double arrow button ">>".
- Type:** A label with the value "DI".
- Direct Yield Rate:** A text field containing "JW/DY" followed by a double arrow button ">>".
- Calculation Method:** A dropdown menu with the selected option "01 - Average Loan Times Decl Yield Rate Less Loan Int Rate".
- Buttons:** "OK" and "Cancel" buttons located at the bottom right of the dialog.

The following table contains definitions for the fields on the DI—Direct Recognition of Loans screen.

Field	Description
Direct Yield Rate	This field is used to define the Segment ID of the subsidiary DY—Declared Yield Rates Segment, which defines the rates used in the calculation of the direct recognition charge.
Calculation Method	This field indicates the method used to calculate the direct recognition charge which is deducted from the dividends if a policy loan is present. 01—Average Loan Time Decl Yield Rate Less Loan Int Rate This calculation method uses the following formula to calculate the direct recognition charge (DRC). This is the default, and is currently the only option available for this field. $\text{Avg Loan} = \text{LI} / \text{IL}$ $\text{DRC} = \text{Avg Loan} * (\text{ID} - \text{IL})$ where DRC = Direct Recognition Charge LI = The policy loan interest accrued on the policy during the policy year. This equals the amount of loan interest capitalized during the policy year plus the projected accrued interest to the next anniversary. IL = The policy loan interest rate applicable to the policy. For policies with a variable loan interest rate, the rate depends on the calendar month and year of the policy anniversary but is fixed during each entire policy year. ID = Declared Yield Rate (DY Segment)

NOTE

If dividends are paid on more than one benefit, the DRC is deducted first from the base benefit (or first benefit on the policy) until either the DRC or the dividend is zero. If the DRC is greater than the dividend, the remainder is deducted from the dividend from the next benefit, until the DRC or all of the dividends are exhausted, whichever comes first.

Position the cursor in the DI Segment ID field on the LN—Loan Interest Rates Segment and press **F4**. The Direct Recognition Of Loans screen is displayed.

Refer to Section 12, LN—Loan Interest Rates Segment on page 12-522 for additional information.

6.61 DJ—Dividend Expense Adjustment Segment

NOTE

Traditional only

The DJ—Dividend Expense Adjustment Segment is accessed through the DD—Dividend Assumption Segment. This segment contains the assumptions used in calculating the dividend expense adjustment for dynamically first principal calculated dividends.

Rate Type Segment	
Segment ID	DIV >>
Segment Type	DJ
Select Period	Duration 0
Ultimate ID	
Constant Rate	0.0000000 (Added to File Rate if Declared)
Rate Type	Constant Rate Only
Type Modifier	☐ Rates Vary by Underwriting Class No
Mult Insured Access	☐
Rate Basis	Separate And Unique
Years of	0
Banding Method	Not Banded
Banding Rule	Traditional
Upper Band Limits	0 0 0 0 0 0 0
Rates Coded As	Actual Amount
Change Frequency	Not Applicable
	0

Mode Rules

Rates

Next

OK

Cancel

Complete the following steps to access the DJ—Dividend Expense Adjustment Segment.

1. From the Dividend Assumption Segment field on the DV—Dividend Assumption Segment, select **Yes**, input the Segment ID, and click **Rates**. The DD Segment is displayed.
2. From the Dividend Expense Adj field on the DD Segment, set the flag to **Yes** and complete the Segment ID field.
3. Click **Process** to access the DJ Segment.

6.62 DK—Deferred Charges Rate Segment

The DK—Deferred Charges Rate Segment is used to define the rates for full and partial surrender loads based on the deferred charge account. This segment is accessed from the Deferred Charges Rate field on the DH—Deferred Charges Account Segment.

Rate Type Segment	
Segment ID	>>
Segment Type	DK
Select Period	Duration 0
Ultimate ID	
Constant Rate	0.0000000 (Added to File Rate if Declared)
Rate Type	
Type Modifier	☐ Rates Vary by Underwriting Class
Mult Insured Access	
Rate Basis	Years of 0
Banding Method	
Banding Rule	
Upper Band Limits	0 0 0 0 0 0
Rates Coded As	Actual Amount
	Not Applicable
Change Frequency	0

To view the rates, click **Rates**.

6.63 DL—Dollar Cost Average Fee

NOTE

Universal life only

For variable annuities there is a concept of dollar cost averaging whereby the client specifies that periodically the system is to move money from one or more funds, and purchase new units in one or more other funds.

It is logically identical to a fund transfer, but may have different fees associated with the transaction.

The DL—Dollar Cost Average Fee Segment, if used, points to the amount of that fee. If money is being withdrawn from more than one fund, the fee is prorated among the funds from which money is being drawn.

Rate Type Segment									
Segment ID	DOLLAR >>		Select Period	Duration	0				
Segment Type	DL		Ultimate ID						
Constant Rate	0.000000		(Added to File Rate if Declared)						
Rate Type	Constant Rate Only								
Type Modifier	☐		Rates Vary by Underwriting Class		No				
Mult Insured Access	☐								
Rate Basis	Separate And Unique		Years of	0					
Banding Method	Not Banded								
Banding Rule	Traditional								
Upper Band Limits	0	0	0	0	0	0	0	Mode Rules	
Rates Coded As	Actual Amount								
Change Frequency	Not Applicable								
	0								
									OK
									Cancel

6.64 DN—Dividends, Non Premium Paying Segment

NOTE

Traditional only. The DN—Dividends, Non Premium Paying Segment on a base policy is basically the dividend per unit that is payable when the policy is in a non-premium paying status. The DN Segment, as designated on a PUA coverage, is the numerator along with the PU rate table, which is the denominator, is used to determine the net single premium that is invoked for PUA purchase rates.

The DN Segment operates differently depending on if it is attached to a base coverage or whether it is attached to a PUA coverage.

This segment is required for traditional participating products if it has a different dividend scale when it is in a non-premium paying status instead of when it is a premium paying status.

This segment is required to make paid-up addition coverages work. This is the numerator in the NSP calculation for determining the purchase rate for paid-up additions. The issue date of the base benefit is used when accessing the rates for the PU benefit. The issue date of the PU benefit is not used when accessing the rates.

The DN—Dividends, Non-Premium Paying Segment directs *LifePRO*® to dividends payable if a policy under this coverage becomes paid up. The policy can become paid up in the following ways.

- Normal pay up (for example, 20 pay life is paid up on duration 21)
- Requested reduced paid up
- Non-forfeiture option is reduced paid up

DN Segment Detail	
Segment ID	DIVTEST >> Segment Type DN
Key Modifier	DV Do Values Vary By
Are Values Banded	No Underwriting Class? No
Female Rate Basis	Male with Setback
Setback Years	0
Rate Type	Attained Age
Rate Rounding Rule	00
Band Upper Limits	9999999 0 0 0 0 0 0
First Duration Value Is Available	1
Pay Dividends On Reduced Paid Up?	
Dividend Payment On Death?	None
PU Rate ID	(Information Purposes Only)
PU Rates must have the same name and rate structure as the DN Segment	
Rates OK Cancel	

If the coverage ID is the same coverage ID for PUA's on another coverage, the DN Segment is paired off with a corresponding (same ID) PU Segment to get the net single premiums to use in PUA calculations.

Fields Unique to this Segment

The following table contains definitions for the fields on the DN Segment.

Field	Description
First Duration Value Is Available	Enter the policy duration (for example, policy year 1 = 1) for which the system allows a non-zero dividend value to be applied on a policy.
Pay Dividends On Reduced Paid Up	Y—Yes The system uses the DN rates to compute dividends if the policy paid up type is RP (reduced paid up). N—No The system does not pay the DN rates on RPU.

Field	Description
Dividend Payment On Death	This field determines if dividends are paid as part of a death claim. N—None Dividends are not paid on death claims. P—Pro-rata Dividends are paid on death claims on a pro-rata basis. The dividends are pro-rated from the previous anniversary to the date of death. M—Post-Mortem Full dividends payable at the next anniversary following death are paid as part of the death claim.
PU Rate ID	Input the rate ID of the PU—Paid Up Additions Segment. This represents the face amount that a corresponding DN dividend purchases. Typically, the DN rates become the NSP values, and the PU rates are coded as either 1.00 or 1000, the $NSP = DN / PU$, scaled accordingly. It is imperative that the structure of the PU rates are identical to that of the DN rates. For example, if the DN rates vary by underwriting class and are age and duration, then so do the PU rates.

6.65 DO—Dividend Option Setup Segment

NOTE

Traditional only. This segment is required only for participating life products.

The DO—Dividend Option Setup Segment can be used to override the LifePRO® default dividend options. LifePRO® automatically assigns a default number to each possible dividend option. For example, policy dividend option 1 is to pay the dividend in cash. This segment is used to override the default numbering scheme for the default and excess dividend option. This segment also contains edit options, and access to dividend option edit segments. The edit segments are used to specify which dividend options are available with certain mode and form combinations.

NOTE

The default dividend options are used on the DE—Dividend Option Edits Segment to designate the valid billing forms and modes for each option.

Dividend Option Setup Segment			
Segment ID		DIVTEST >>	
Segment Type		DO	
Option	Action	Actions Available	
1 =	Cash	1 - Cash	
2 =	Pay Premium	2 - Pay Premium - For Excess, use Option	
3 =	Accumulations	3 - Accumulation - C3 Segment ID	
4 =	Buy PUA	4 - Buy PUA	
5 =	Buy OYT	5 - Buy OYT - Cap OYT at	
6 =	Reduce Loan	If capping OYT: For Excess, use Option	
7 =		Maximize OYT to cap limit using available accums?	
8 =		6 - Reduce Loan - For Excess, use Option	
		Reduce loan before billing for loan interest	
		7 - Buy OYT - Edit applied from DE segment	
		See Option 5 for capping	
		8 - EPP - Target is .00% of Base	
Dividend Option Edits			
Excess Option Edits			
		OK	
		Cancel	

Complete the following steps to complete the Dividend Option Setup Segment.

1. Designate the option default values by inputting one of the numeric values located in the Available column into the Action column. For example, if option 1 is to pay premium, select **2—Pay Premium** in the Action field for option 1.
2. Designate the excess options for selections **2—Pay Premium** and **6—Reduce Loan**. The excess options are listed in the lower right corner of the screen. The excess options define what is done with dividends that remain after the premium is paid or the loan is reduced.
3. Complete the additional option fields where applicable. For example, the C3 Segment must be identified if interest is credited on withdrawals for a partial year. If this is the case, input the C3 Segment ID in this field. If no selection is made in this field, no interest is credited on the withdrawal during the withdrawal year.

The following table contains definitions for the fields on the DO Segment.

Field	Description
Action	The default dividend options are listed in the Available column. The Action column allows for the assignment of dividend option numbers other than the defaults. For example, if dividend option 1 is to pay premium, select 2—Pay Premium in the Action field next to option 1. 1—Cash 2—Pay Premium 3—Accumulations 4—Buy PUA 5—Buy OYT 6—Reduce Loan 7—Buy OYT From DE 8—EPP
For Excess, use Option ____	If the dividend is used to pay premium, this field designates the default for what to do with any dividend amount that exceeds the modal premium. 1—Premium Cash Option 3—Premium Accum Option 4—Premium Buy PUA 5—Premium Buy OYT 6—Premium Reduce Loan U—Premium Unapplied Cash Depending on the NB—New Business Defaults Segment setup, the excess option may or may not be allowed to be updated in Policy Add.
C3 Segment ID	If IBA Type 03 records are used for dividend accumulations, the C3 Segment must be defined. When IBA Type 03 records are used for dividend accumulations, the interest is credited with each dividend transaction. This field acts as a drop down to the C3 Segment. The C3 Segment controls interest crediting on dividend accumulations. To access the segment, code an ID up to ten alphanumeric digits and click >> to drop to the C3 Segment.

Field	Description
Cap OYT at	This field allows the implementation of a cap on the face amount of one year term insurance that may be purchased through the dividend option—Buy OYT. N—Nothing There is not a cap. F—Face Amount of Base The face amount of the base benefit is the cap. C—Cash Value of Base The cash value as of the next policy anniversary is the cap.
If capping OYT: For Excess, use Option	If capping OYT based on the prior field, this field controls how to allocate any amount that exceeds the cap. 1—OYT Cash Option 2—OYT Pay Premium 3—OYT Accum Option 4—OYT Buy PUA 6—OYT Reduce Loan U—OYT Unapplied Cash
Maximize OYT to cap limit using available accums	This field can be used in an attempt to maximize one year term insurance if a cap has been set in the If capping OYT field. Y—Yes The dividend accumulations are used if the policy dividend being applied to one year term is not sufficient to meet the cap. N—No Do not use dividend accumulations to purchase one year term insurance.
For Excess, use Option	If the dividend is used to reduce the existing loan balance, this field designates the default for what to do with any dividend amount that exceeds the loan balance. 1—Loan Cash Option 2—Loan Pay Premium 3—Loan Accum Option 4—Loan Buy PUA 5—Loan Buy OYT U—Loan Unapplied Cash

Field	Description
Reduce loan before billing for loan interest	If dividends are used to reduce loans, this field determines if the dividends are applied before or after loan interest is capitalized. Y—Yes Dividends are applied before loan interest is capitalized. N—No Dividends are applied after loan interest is capitalized.
Target is __ % of Base	The face amount of the combined one year term insurance and paid-up additions are designated as a percentage of the base benefit. For example, if the base benefit is \$100,000 and the percentage selected is 30%, the face amount of the term and paid-up additions is \$30,000. The percentage selected can be guaranteed for a certain number of years. The guarantee period is designated on the GY—Guaranteed Years Segment.
Dividend Option Edits	The segment ID selected in this field points to the Dividend Option Segment that is used to designate the billing forms and modes that are available for each dividend option. The same segment ID cannot be used for the Dividend Edit and Excess Edit Segments. The edits can be viewed by selecting the segment ID and pressing F4.
Excess Option Edits	The segment ID selected in this field points to the Excess Option Segment that is used to designate the billing forms and modes that are available for each dividend excess option. The same segment ID cannot be used for the Dividend Edit and Excess Edit Segments. The edits can be viewed by selecting the segment ID and pressing F4.

6.66 DP—Deposit History Rules Segment

The DP—Deposit History Rules Segment allows specified deposit types to be excluded from the surrender charge calculation when surrender charges are calculated based on Deposit History. This segment indicates if Deposit History Records are created for each premium transaction code. Deposit History Records are not created for premium amounts received through premium transaction codes that are not included in the surrender charge calculation.

NOTE

Deposit History records are also used to calculate the Adjusted Benefit Value for required minimum distributions (RMD) when an Earnings Enhanced Death Benefit Rider exists on the policy. If a deposit type is excluded from the surrender charge calculation, it is also excluded from the calculation of the Adjusted Benefit for RMDs.

Deposit History Rules	
Segment ID	VA2004
Segment Type	DP
Select Period	000 Duration
Ultimate ID	
Trans Codes	Exclude From Surr Charge (Y/N)
0110	No
0121	No
0122	No
0123	Yes
0124	No
0127	No
0128	No
0129	No
0131	No
0132	No
OK	
Cancel	

The following table contains definitions for the fields on the DP Segment.

Field	Description
Select Period	This field indicates the number of durations or the attained age to which premiums can be paid using certain transaction codes and be included or excluded in the surrender charge calculation. For example, if the Select Period is 01 and Duration is selected, premiums paid during the first policy year are excluded or included based on the selections made on this segment. During the second policy year, the premiums paid during the second policy year would be included or excluded based on the segment selected in the Ultimate ID field. If the segment is used for all years, input 0 in this field. It is important to note that the Select Period is applied based on the issue date of the policy, not the window date of the premium payment.
Ultimate ID	This field contains the segment ID of the DP Segment that is used after the Select Period has ended. For example, if 01 and Duration are input in the Select Period field, the segment that is effective beginning in duration 02 is input in this field. If the segment selected in the Select Period field is effective for all years, this field is left blank. It is important to note that the Ultimate ID is applied based on the issue date of the policy, not the window date of the premium payment.
Excluded From Surr Charge	This field indicates if premiums received through the specified transaction code are excluded from the surrender charge calculation when the surrender charge calculation is based on the Deposit History. Y—Yes Premiums received using this transaction code are not included in the surrender charge calculation when the surrender charge calculation is based on the Deposit History. Deposit History Records are not written from premium transactions using this transaction code. N—No Premiums received using this transaction code are included in the surrender charge calculation when the surrender charge calculation is based on the Deposit History. Deposit History Records are written for premium transactions using this transaction code. This is the default.

6.67 DR—Deficiency Reserves Segment

NOTE

Traditional only

The DR—Deficiency Reserves Segment directs LifePRO® to the rates used to compute deficiency reserves on line of business L—Traditional or H—Health policies.

LifePRO® allows deficiency reserves to be set up using the DF—Deficiency Val Prem Segment and the DR—Deficiency Reserves Segment. The DF—Deficiency Val Prem Segment directs the system to the deficiency reserve premiums. The DR—Deficiency Reserves Segment directs the system to the deficiency reserve factors. LifePRO® does not have a calculation for the development of deficiency reserve and premium factors. These factors must be manually input or uploaded using PCONVRAT.

The following example illustrates the development of deficiency reserve factors in the valuation system.

First, develop valuation reserves and valuation net premiums using the CRVM reserve method.

$${}_tV_x(i_v) = A_{x+t}(i_v) - \beta(i_v) * \ddot{a}_{x+t}(i_v)$$

where i_m = Statutory Minimum Interest Rate

i_v = Valuation Interest Rate

Next, determine the statutory minimum reserves for all issue ages and policy durations using the minimum statutory interest rate. The present value of future premiums should use the lesser of the gross premium (${}_xG_t$) and the minimum CRVM valuation net premium ($\beta(i_m)$) calculated using the statutory minimum interest rate.

$${}_t\text{MINV}_x(i_m) = A_{x+t}(i_m) - \text{MIN}[\beta(i_m), {}_xG_t] * \ddot{a}_{x+t}(i_m)$$

Next, for every issue age x and policy duration t , the terminal deficiency reserve should be the excess of the statutory minimum reserve ${}_t\text{MINV}_x(i_m)$ calculated at the statutory minimum interest rate over the valuation reserve ${}_tV_x(i_v)$ using the valuation interest rate.

$${}_t\text{DR}_x = \text{MAX}[0, {}_t\text{MINV}_x(i_m) - {}_tV_x(i_v)]$$

The factors ${}_t\text{DR}_x$ should then be loaded into the DR Segment as Issue Age/Duration files. In developing the minimum statutory reserves ${}_t\text{MINV}_x(i_m)$, the valuation actuary may adjust the gross premium ${}_xG_t$ by assuming an average policy size and dividing the fee by the average policy fee and adding to the unit gross premium. This adjustment is a valuation actuarial decision. LifePRO® banding could also be used by setting up banding of the reserved if desired.

LifePRO® calculates deficiency reserves in a serial term valuation by applying policy face units to the factors and calculating mean reserves as follows:

$$\text{DEF Reserve (x,t)} = U * ((_{t-1}\text{DR}_x + {}_t\text{DR}_x + {}_t\text{DF}_x) / 2)$$

where

${}_t\text{DR}_x$ = Unit factor on the DR Segment for issue age x, policy duration t

${}_t\text{DF}_x$ = Unit factor on the DF Segment for issue age x, policy duration t

U = Policy units

Reserve Factors Screen									
Segment ID	DEF >>		Segment Type	DR					
Key Modifier	DR		Do Values Vary By Underwriting Class	No					
Are Values Banded	No								
Female Rate Basis	Male With Setback								
Setback Years	0								
Rate Type									
Band Limits	0	0	0	0	0	0	0	0	
Reporting Basis	(Life) Mean Reserves/Deferred Premiums								
Valuation Code		Rate Rounding Rule	00	Cash Reserves					
If Reserves Are Split Interest		Type	Terminal	Rates					
Rates, Split Is 'A'ge or 'D'ur		Apply To	Specified Amount	Table Extra Rates					
Interest Rate Point Of Change	000	Value Per Premium Unit	0	Extended Key					
Reserve Ultimate ID				OK					
Reserve Method				Cancel					
Extended Key Definition Used	No								

Fields Unique to this Segment

The following table contains definitions for the fields on the DR Segment.

Field	Description
Reporting Basis	0—(Life) Mean Reserve / Deferred Premiums 1—(Health 1) Mid Trml Res / Exact Unearned Premiums 2—(Health 2) Mid Trml Res / Half Mode Unearned Premiums 3—(Health 3) Mid Trml Res / Half Q/S/A Mode Unearned 4—(UL RDR 1) Res = Half Of Monthly Ded; No Due/Deferred
Valuation Code	The valuation code is a 10 character, user defined code used in valuation reporting as a sort key. All benefits with the same valuation code can be sorted together in this manner (sort option). If a valuation code is not selected, the system defaults to the coverage ID on the Valuation Reports screen.
If Reserves Are Split Interest Rates, Split Is Age or Dur	If pointing to an ultimate ID, use this field to define if the change to the ultimate ID is based on an age or duration. Note that the actual point of change is defined in the Interest Rate Point Of Change field. A—Age D—Duration
Interest Rate Point Of Change	Enter the interest rate after split in this field. This field is an information only field. If the same rate segment is used for all years, input 000 in this field.
Reserve Ultimate ID	This field is an information only field. True select and ultimate reserves are handled directly in the computation of the tabular factors themselves. If the same rate segment is used for all years, this field is left blank.
Reserve Method	H—Half Of Reinsurance Premium
Extended Key Definition Used	For health products, reserve rates can be defined using extended key definitions by setting this field to Yes . Note that to use extended key definitions, the KD—Key Definition Segment must be defined. Refer to 6.196—PR—Premium Segment on page 12-725 in this book for information on using the Extended Key Definition screen to define rates.
Rate Rounding Rule	This field is set to Round After Cents , and cannot be updated.

Field	Description
Type	This indicator specifies if the reserve factors are stored as terminal, midterminal, or mean. T—Terminal This is the default. M—Mid Terminal N—Mean
Apply To	This indicator specifies if the factors are applied against the specified face amount or premium. S—Specified Amount This is the default. P—Premium
Value Per Premium Unit	If the Apply To field is set to Premium, input the value per unit. For example, if the rates are per \$100 of premium, input 100.00 in this field.

6.68 DS—Premium Fund Destination Segment

NOTE

Applicable to annuity and universal life lines of business

The DS—Premium Fund Destination Segment directs premiums paid using specific premium transaction codes to specific funds. This segment contains all premium types within LifePRO® and allows you to set up a specific Fund ID associated with each premium transaction type.

If the DS—Premium Fund Destination Segment is enabled, each premium type must contain a Fund ID. A cross reference list of Fund IDs is available by clicking >> next to each field.

Premium Fund Destination	
Segment ID	UL1 >>
Segment Type	DS
Select Period	D 0 (Duration/A'ge)
Ultimate ID	
Premium Transactions	
0110-Normal Premium	PES1 >>
0121-Premium Rollover	>>
0122-Premium Transfer	>>
0123-Premium Special Deposits	PES2 >>
0124-Premium 1035 Exchanges	>>
0126-Vanish Premium	>>
0129-External Roth Ira Premium	>>
0131-Rollover Annuity	PES4 >>
0132-Transfer Annuity	>>
0150-Waiver Premium	>>
Enter Cancel	

If the DS—Premium Fund Destination Segment is enabled on the base coverage, other types of deposit allocation processing are disabled. The Premium Allocation Rules for Deposit screen cannot be accessed. The error message *Access not allowed when premium fund distribution is enabled* is displayed when an attempt is made to access this screen. This screen is available in three areas of LifePRO®.

- New Business**—The error message is displayed if you press **Alt+F5** or select **Premium Allocation** from the List Options list. The contract may be issued without setting up a Premium Deposit Allocation record if the DS—Premium Fund Destination Segment is defined.

- **Inforce**—The Premium Fund Allocation option is disabled on the Inquiry Menu and the error message is displayed.
- **Inforce**—From the Manual Premium Payments screen, the error message is displayed when an attempt is made to access the Fund Allocation Rules for Deposits screen by pressing **F5**.

NOTE

Premium Transaction codes 0126—Vanish Premium and 0150—Waiver Premium are internal transaction codes. These codes do not apply to contracts with line of business A—Annuity.

6.69 DT—Variable Deduct

NOTE

Universal life only

The DT—Variable Deduct Segment points to rates which modify the cost of insurance (COI) rates used in computing the final COI rate for a first to die product for one particular client.

Turning on this segment does not trigger this logic generically since it is unique to one client's system.

Rate Type Segment	
Segment ID	VAR >>
Segment Type	DT
Select Period	Duration 0
Ultimate ID	
Constant Rate	0.0000000 (Added to File Rate if Declared)
Rate Type	Constant Rate Only
Type Modifier	☐ Rates Vary by Underwriting Class No
Mult Insured Access	
Rate Basis	Separate And Unique Years of 0
Banding Method	Not Banded
Banding Rule	Traditional
Upper Band Limits	0 0 0 0 0 0 0
Rates Coded As	Actual Amount
Change Frequency	0
	Not Applicable
Mode Rules	
Rates	
Next	
OK	
Cancel	

6.70 DU—Deferred Charges Annual Reduction

The DU—Deferred Charges Annual Reduction Segment is used to define the rates for the annual reduction in the surrender load when the Deferred Charges Account is used. This segment is accessed from the Deferred Charges Annual Reduction field on the DH—Deferred Charges Account Segment.

Rate Type Segment	
Segment ID	>>
Segment Type	DU
Select Period	Duration 0
Ultimate ID	
Constant Rate	0.0000000 (Added to File Rate if Declared)
Rate Type	
Type Modifier	☐ Rates Vary by Underwriting Class ☐
Mult Insured Access	
Rate Basis	Years of 0
Banding Method	
Banding Rule	
Upper Band Limits	0 0 0 0 0 0
Rates Coded As	Actual Amount Not Applicable
Change Frequency	0

Click **Rates** to view the annual percentages.

6.71 DV—Dividends Segment

NOTE

Traditional and health only. This segment is required for traditional participating products. This is the per 1,000 dividend.

The DV—Dividends Segment is used to define cash dividend rates for participating coverages.

Segment Detail									
Segment ID	20PL65 >>			Segment Type	DV				
Key Modifier	DV			Do Values Vary By					
Are Values Banded	No			Underwriting Class	No				
Female Rate Basis	Male With Setback								
Setback Years	0								
Rate Type	Age And Duration								
Rate Rounding Rule	00			Rate Mode Rule ID	N/A				
Band Upper Limits:	9999999	0	0	0	0	0	0	0	
Dividend Assumption Segment	No								
First Duration Value Is Available	1								
Dividend Payment On Death?	Pro-rata								
Use dividend clearing account for dividend distributions	No								
Debit 51X account for excess dividend option	No								
Use Dividend Accumulations used to buy PUA account	No								
Mode Rules Rates Calculate Values OK Cancel									

Fields Unique to this Segment

The following table contains definitions for the fields on the DV Segment.

Field	Description
Dividend Assumption Segment	Substandard dividends can be calculated through the DD Segment. If substandard dividends apply select Yes in this field. Enter the segment ID in the following field to point to the appropriate DD Segment where the factors for defining the substandard dividend formula are set up.
First Duration Value Is Available	If a non-zero value is coded in this field, the system replaces any CV rate returned from a file with 0.00 if the policy duration is <u>less</u> than that value. If the dividends are available for all years, this field is left blank.
Dividend Payment On Death	This field determines if dividends are paid as part of a death claim. N—None Dividends are not paid on death claims. P—Pro-rata Dividends are paid on death claims on a pro-rata basis. The dividends are pro-rated from the previous anniversary to the date of death. M—Post-Mortem Full dividends payable at the next anniversary following death are paid as part of the death claim.
Use dividend clearing account for dividend distributions	This field determines if dividend disbursements are processed through a clearing account or directly through a dividend payout account. Y—Yes Dividend disbursements are processed through clearing account 0041. N—No Dividend disbursements are processed directly through the dividend payout account. This is the default.

Field	Description
Debit 51X account for excess dividend option	When the dividend option is a combination of two options, this field determines if the accounting for each portion of the dividend is processed individually or together. Y—Yes When the dividend option is a combination of two options, separate accounting is created for each portion of the dividend. N—No When the dividend option is a combination of two options, both portions are processed from the dividend option account. This is the default.
Use Dividend Accumulations used to buy PUA account	This field determines the transaction code used when dividend accumulations are converted to paid up additional insurance. Y—Yes Transaction code 0117—Dividend Accumulations Buy PUA is credited when dividend accumulations are converted to paid up additional insurance. N—No Transaction code 0112—Single Premium PUA is credited when dividend accumulations are converted to paid up additional insurance. This is the default.

6.72 DY—Declared Yield Rates

The DY—Declared Yield Rates Segment is used to store the declared yield rates used to calculate the direct recognition charge which is deducted from the dividends if a policy loan is present.

Declared Rates File

Rate ID: Low: High:

Type: Effective Date: Date: 12/31/2099

Rule: Record Sequence: Duration:

Investment Code: Rate Duration Period Code:

Start Date	End Date	Duration	Declared Rate
01/01/1998	12/31/1999	000	7.6000000
01/01/2000	12/31/2000	000	8.6000000
01/01/2001	12/31/2099	000	9.6000000
00/00/0000	00/00/0000	000	0.0000000
00/00/0000	00/00/0000	000	0.0000000
00/00/0000	00/00/0000	000	0.0000000
00/00/0000	00/00/0000	000	0.0000000
00/00/0000	00/00/0000	000	0.0000000
00/00/0000	00/00/0000	000	0.0000000
00/00/0000	00/00/0000	000	0.0000000
00/00/0000	00/00/0000	000	0.0000000
00/00/0000	00/00/0000	000	0.0000000
00/00/0000	00/00/0000	000	0.0000000
00/00/0000	00/00/0000	000	0.0000000

Next
Previous
OK
Cancel

Position the cursor in the Direct Yield Rate field on the DI—Direct Recognition of Loans Segment and press **F4**. The DY—Declared Rates File is displayed.

6.73 EC—Excluded Commissions

NOTE

Health only

The EC—Excluded Commissions Segment allows commissionable premiums to be decreased by a flat dollar amount. This flat amount is modalized the same as the premium and a separate accounting record is created. This segment is designed the same as the PR—Premium Segment and can be used with extended keys.

The first year premium amount is calculated to include all rerates and modifiers for a product. This all inclusive premium amount includes any adjustments for the EC amount and is reflected in the Commission Control Record. However, in renewal years, each rater and modifier is considered separately, including the rates on the EC Segment. If the rates are defined as non-commissionable, the EC logic is not used.

Premium Segment File

Segment ID: HEALTH >> Segment Type: EC

Key Modifier: EC Do Values Vary By: No

Are Values Banded: No Underwriting Class: No

Female Rate Basis: Male With Setback

Setback Years: 0

Rate Type: Attained Age

Rate Rounding Rule: Truncate After Cents

Band Upper Limits: 9999999 0 0 0 0 0 0

Premium Select Period: Premium Change Frequency:

Premium Mode Rule ID: Coverage ID Of Ultimate Rates: Premium Rate Calculation Rule:

Extended Key Definition Used: No

Mode Rules Rates Extended Key Table Extra OK Cancel

The PR Segment and EC Segment can be cloned with all of the elements of the extended key definitions, including any rerates and modifiers. The segments can be cloned within a coverage or from other coverages. For example, a PR Segment with key definition rates can be cloned from an existing coverage into a new coverage. Or, the PR Segment with key definition rates can be cloned to the EC Segment for the same product.

EC—Excluded Commission Segment—Clone

The Cloning window is accessed from the PR—Premiums or EC—Excluded Commission Segment when a new product is being set up.

First, the top portion of the PR—Premium Segment screen or the EC—Excluded Commission Segment screen for the new product must be completed. From the Segment List, input a Segment ID for the PR or EC Segment. Press **Alt+F9**. The Cloning window is displayed.

The screenshot shows a software interface for setting up key definitions. A modal window titled "Extended Key Clone Window" is open, asking for "Key Information of the Extended Key Data You Wish to Copy From". It contains three input fields: "Key Def ID" with the value "HEALTH1", an empty "Segment ID" field, and an unchecked "Segment Type" checkbox. Below these fields are "OK" and "Cancel" buttons. The background window, "Key Definition Base Rate Setup", is partially visible, showing a list of key definitions on the left and various configuration options on the right, including "Insured Issue Date", "months", and "times".

The following fields appear in the Cloning window.

Field	Description
Key Def ID	The segment ID of the KD Segment from which you are cloning is input in this field.
Segment ID	The segment ID of the PR or EC Segment from which you are cloning is input in this field.
Segment Type	The two digit segment type of the segment from which you are cloning is input in this field. EC —Excluded Commission Segment PR —Premium Segment

Input the segment IDs and click **OK** to process the clone.

Next, complete the bottom portion of the screen and set the Extended Key Definition Used field to **Yes**. Click **Extended Key** to view the extended keys. The message *KD Segment Not Defined Esc To Exit* appears at the bottom of the screen if the KD Segment was not defined for the product. The Key Definitions Base Rate Setup screen is displayed if the KD Segment was previously set up.

The KD Segment must be set up. To access the KD Segment from the Segment List, input the Segment ID and click **Rates** to add the Key Definition elements and the selections.

	Key Description	# of Sels
1	DEDUCTIBLE	3

The rates for the new PR—Premiums Segment or EC—Excluded Commissions Segment are cloned by completing the following steps.

1. From the Segment List for the product, input the segment ID for the PR or EC Segment and click **Select**.
2. After completing the PR or EC Segment screen click **Extended Key**.

The Key Definition Base Rate Setup screen is displayed.

The values on the Key Definition Base Rate Setup screen are updated to reflect the rates that have been cloned.

KD—Key Definition Segment Notes

- If a different KD—Key Definition Segment ID is used on the new coverage, and the number of positions for the elements or selections are the same, the clone processes; however, a warning message *Target Coverage Uses KD Segment ID (Name of Segment ID)* is displayed on the bottom of the Key Definition Base Rate Setup screen. If the same KD Segment ID is used, no warning message is displayed and the clone automatically processes.
- The rates for each key definition are cloned by position. For example, assume the elimination period is coded as the first key definition and the benefit period is coded as the second key definition on the existing product. Also assume the benefit period is coded as the first key definition and the elimination period is coded as the second key definition on the new product. The actual definitions are not used. The rates for the elimination period are cloned to the benefit period and the benefit period rates are cloned to the elimination period because the positions of the key definitions were reversed.
- If the number of elements or selections are not the same on the new coverage as they are on the existing coverage, the clone process displays the message *Inconsistent KD Elements/Selections—Clone NOT Allowed* at the bottom of the Key Definition Base Rate Setup screen.

6.74 EG—Extended No Lapse Guarantee

The EG—Extended No Lapse Guarantee Segment allows for an extended premium calculation other than the minimum premium calculation to be used to determine the extended no lapse guarantee period. This segment defines the starting anniversary and testing intervals for lapsation.

Rate Type Segment	
Segment ID	>>
Segment Type	EG
Select Period	Duration 0
Ultimate ID	
Constant Rate	0.0000000 (Added to File Rate if Declared)
Rate Type	
Type Modifier	☐ Rates Vary by Underwriting Class
Mult Insured Access	
Rate Basis	Years of 0
Banding Method	
Banding Rule	
Upper Band Limits	0 0 0 0 0 0
Rates Coded As	Actual Amount
	Not Applicable
Change Frequency	0

Click **Next** to access the second screen of the segment.

The following table contains definitions for the fields on this screen.

Field	Description
Starting Anniversary for Extended No Lapse Guarantee	For the extended no lapse guarantee, the anniversary duration for the extended no lapse guarantee provision to start is input in this field. The number selected should equal the ending no lapse guarantee period from the LP—Lapse Segment if electing to use an extended no lapse period. For the death benefit guarantee, testing begins immediately after issue and occurs every monthaversary. The default is 1.
Subsequent Testing Interval	For the extended no lapse guarantee, input the annual frequency of the extended no lapse guarantee testing interval. For example, if 5 is input, the test would be performed every 5 years. For the death benefit guarantee, input 0 since testing occurs every monthaversary.

Field	Description
Reduce Premiums for Extended No Lapse Guarantee by	This field determines if the premiums paid into the policy are reduced by withdrawals and loans when the extended no lapse guarantee period or death benefit guarantee is calculated. W—Withdrawals Only For the extended no lapse guarantee period, premiums paid are reduced by the amount of any withdrawals taken on the policy. For the death benefit guarantee, the final actual accumulation each month is reduced by the withdrawals processed in that month. L—Loan Balance Only For the extended no lapse guarantee period, premiums paid are reduced by the amount of the loan balance on the policy. For the death benefit guarantee, the loan payoff, as of the end of the month, reduces the accumulation. B—Both Loan Balance and Withdrawals For the extended no lapse guarantee period, premiums paid are reduced by the amount of any withdrawals taken on the policy and the loan balance on the policy. For the death benefit guarantee, the withdrawals processed during the month and the loan payoff, as of the end of the month, reduce the accumulation. This is the default. N—No Adjustment for Loans/Withdrawals An adjustment is not made for withdrawals or loans. A—Loan Activity Only The impaired (payoff) amount each month is tracked each year and reduces the accumulations as though withdrawn, as opposed to the payoff as of the end of the last month processed. Note that LifePRO® normally does not compute a payoff each month, just on loan events such as new loans, capitalization, or loan repayments. C—Both Loan Activity and Withdrawals Withdrawals, as of the beginning or end of the month per the XG—Death Benefit Guarantee Rules Segment, and the monthly impaired amount reduce the accumulation.

If the following go negative while extended NLG active specify action to be taken

Surrender Value	This field determines the action that is taken if the policy surrender value becomes negative. L—Lapse Unconditionally The policy lapses if the policy surrender value goes negative. O—Lapse if extended NLG req not met The policy lapses if the no lapse guarantee, either death benefit guarantee or extended no lapse guarantee, requirement is not met. N—No Action The policy does not lapse if the policy surrender value goes negative.
-----------------	---

Field	Description
Fund Value	This field determines the action that is taken if the policy fund value becomes negative. L—Lapse Unconditionally The policy lapses if the policy surrender value goes negative. O—Lapse if extended NLG req not met The policy lapses if the no lapse guarantee, either death benefit guarantee or extended no lapse guarantee, goes negative. N—No Action The policy does not lapse if the policy surrender value goes negative.

Concurrent No Lapse Guarantee and Death Benefit Guarantee Processing

There are two secondary no lapse guarantee options available in LifePRO®, the extended no lapse guarantee and the secondary death benefit guarantee. The extended no lapse guarantee usually starts when the initial no lapse guarantee terminates. It typically has a higher premium requirement than the minimum premium requirement. As long as this extended no lapse guarantee premium requirement is satisfied, the company guarantees the death benefit regardless of the policy value.

The second no lapse guarantee is the secondary death benefit guarantee. This guarantee can run concurrently with the classic no lapse guarantee. A code on the PRBN detail record indicates the status of the secondary guarantee. If the secondary guarantee has been satisfied, the status is **Active**. If the secondary guarantee premium requirement has not been met, but may still be reinstated if the premium requirement is satisfied, the status is **Failed but Active**. If the secondary guarantee remains in the Failed but Active status over a period of time defined by the product setup, then the provision is terminated and the status is set to **Terminated**. As long as the two secondary benefits are not concurrent, the status code monitors the availability of the secondary guarantee. A status date is also stored on the PRBN detail record. This date reflects the date of the last status change. It is used to determine the time period for which the status on the provision has been Failed but Active. After the time period elapses, the provision expires and the status code is set to Terminated with the status date reflecting the date of the termination.

LifePRO® also has the ability to generate an ENS message indicating that the no lapse guarantee or the extended no lapse guarantee requirement has not been met. This feature is defined using the fields on the LP—Lapse Control Segment. It is possible to have the classic no lapse guarantee and the secondary death benefit guarantee running concurrently. While the classic no lapse guarantee typically expires after a certain number of years, the secondary death benefit guarantee may continue to be a permanent provision as long as the premium requirements are satisfied. If the guarantees run concurrently, the secondary death benefit guarantee provision

prevails with regard to the generation of the ENS message and the status code on the PRBN record. The system requires that the premium requirement for only one of the two provisions is satisfied to guarantee the death benefit.

The following table describes how the status code is affected by the guarantees and the ENS messages that are generated in each situation.

NLG Provision	DB Guarantee	Status Code	ENS Message
Passed	Passed	A	None
Passed	Failed	F	Generate ENS Failure
Failed	Passed	A	None
Failed	Failed	F	Generate ENS Failure
Passed	Reinstated	A	Generate ENS Reinstatement
Passed	Expired	T	Generate ENS Termination

After the classic no lapse guarantee provision expires, the ENS messages and status codes continue to monitor only the death benefit guarantee provision. This is also done when these two provisions are not concurrent.

DB Guarantee	Status Code	ENS Message
Passed	A	None
Failed	F	Generate ENS Failure
Reinstated	A	Generate ENS Reinstatement
Expired	T	Generate ENS Termination

The conditions are defined as shown below.

Passed	Premium requirement for provision satisfied.
Failed	Premium requirement for provision failed.
Reinstated	Premium requirement for provision satisfied while in Failed but Active status.
Expired	Premium requirement for provision failed past the elapsed time period defined on the LP—Lapse Control Segment.

6.75 EI—Generic EIA Segment

The EI—Generic EIA Segment contains segments and rules used in the calculation of the final annualized index rate for equity indexed annuities. The segment includes rules for the calculation of Index Start and End Values and the segment IDs of additional segments providing rates used in the calculation.

The formulas used for this calculation are found in Section 12, Final Annualized Index Rate Formula on page 12-295 in this book. The EI Segment can be accessed through the Segment List from the Fund Rules screen by entering a Generic EIA Segment ID and pressing **F4**.

Generic EIA Rules and Rates									
Segment ID		UL1 >>		Segment Type		EI			
Index Calculation Method		Index Averaging							
Use Business Days Only		No							
				Segment Name/Type		Segment ID		Lookup Rule	
				Index Start Value (Z0)		UL1		Issue	
				Index End Value (Z1)		UL1		Issue	
				Interim Participation Rate (Z2)					
				Final Participation Rate (Z3)					
				Interim Bonus Participation (Z4)					
				Final Bonus Participation (Z5)					
				Interim Vesting Factor (Z6)					
				Final Vesting Factor (Z7)					
				Interim Cap (Z8)					
				Final Cap (Z9)					
				Interim Floor (ZA)					
				Final Floor (ZB)					
				Interim Spread Factor (ZE)					
				Final Spread Factor (ZC)					
				State Min Participation Rate (ZD)					
Number of Index Points (1-999)									
Duration Between Index Points (1-999)									
Duration Type									
Basis									
Index Point Direction		Prior Rates		Prior Rates					
Index Point Usage		Average		Average					
Require Minimum of Two Index Points		No							
Waive Vesting Factor On Death		No							
Adjust Annualization Factor using Bankers Year		No							
Rate Retrieval Rules Apply		No							
OK Cancel									

Refer to Section 12, Premiums—Upper Portion of Screen Field Definitions on page 12-17 for a description of the fields in the upper portion of the screen. The following table contains definitions for the fields on the EI Segment.

Field	Description
Index Calculation Method	This field determines the method used when calculating the index rate for equity indexed annuities. 0—Index Averaging Index points are averaged and an annual rate is calculated. This is the default. 1—Point to Point Arithmetic The growth rate within index points is calculated and added to determine the annual index rate. 2—Point to Point Geometric The growth rate within index points is calculated and multiplied to determine the annual index rate.
Use Business Days Only	This field determines if the index points used in the calculation are limited to the business days defined on the Equity Index Fund Calendar. This field can only be set to Yes if the Index Calculation Method field is set to Index Averaging. Y—Yes The index points used in the calculation are limited to the business days defined on the Equity Index Fund Calendar. N—No This is the default.
Term of the Fund	When the Use Business Days Only field is set to Yes, the Term of the Fund field is displayed. This field defines the period of time in which the index rates for the business days defined on the Equity Index Fund Calendar are included in the averaging calculation.
The following fields define the Index Averaging Rules used in conjunction with the Z0—Index Start Value Segment to calculate the Start Index value and the Index Averaging Rules used in conjunction with the Z1—Index End Value Segment to calculate the End Index value.	
Number Of Index Points (1-999)—Start Index	This field defines the number of index points (rates) used in the calculation of the Start Index.
Number Of Index Points (1-999)—End Index	This field defines the number of index points (rates) used in the calculation of the End Index.
Duration Between Index Points (1-999)—Start Index	This field defines the number of intervals (months, days, years - see the Duration Type field which follows) between the index points (rates) used in the calculation of the Start Index.
Duration Between Index Points (1-999)—End Index	This field defines the number of intervals (months, days, years - see the Duration Type field which follows) between index points (rates) summed in the calculation of the End Index.

Field	Description
Duration Type—Start Index	The field defines the time period between the index points (rates) used in the calculation of the Start Index. M—Months The Duration Between Index Points (rates) field contains the number of months between index points used in the calculation of the Start Index. D—Days The Duration Between Index Points (rates) field contains the number of days between index points used in the calculation of the Start Index. Y—Years The Duration Between Index Points (rates) field contains the number of years between index points used in the calculation of the Start Index.
Duration Type—End Index	The field defines the time period between the index points (rates) used in the calculation of the End Index. M—Months The Duration Between Index Points (rates) field contains the number of months between index points (rates) used in the calculation of the End Index. D—Days The Duration Between Index Points field contains the number of days between index points (rates) used in the calculation of the End Index. Y—Years The Duration Between Index Points field contains the number of years between index points (rates) used in the calculation of the End Index.
Basis—Start Index	This field indicates which day of the month to use when accessing the rates to be averaged for Duration Types Months and Years. S—Start Day The day of the start date is used to look up rates. I—Issue Day The day of the issue date is used to look up rates. E—End Day The day of the end date is used to look up rates.
Basis—End Index	This field defines which day of the month to use when accessing the rates to be averaged for Duration Types Months and Years. S—Start Day The day of the start date is used to look up rates. I—Issue Day The day of the issue date is used to look up rates. E—End Day The day of the end date is used to look up rates.

Field	Description
Index Point Direction	This field can only be accessed if the Index Calculation Method field is Index Averaging. This field allows for the index rates to use next or prior index rates for the retrieval of the Index Start (Z0) and Index End (Z1) values. For the end index, Prior Rates must be selected. N—Next Rates Index rates for dates that follow the initial rate. P—Prior Rates Index rates for dates that precede the initial rate. This is the default.
Index Point Usage—Start Index	This field can only be accessed if the Index Calculation Method field is Index Averaging. This field determines the Start Index Value used in the calculation. A—Average The average of the indexes for the Start Index is used. This is the default. H—Highest The highest of the indexes for the Start Index is used. L—Lowest The lowest of the indexes for the Start Index is used.
Index Point Usage—End Index	This field can only be accessed if the Index Calculation Method field is Index Averaging. This field determines the End Index Value used in the calculation. A—Average The average of the indexes for the End Index is used. This is the default. H—Highest The highest of the indexes for the End Index is used. L—Lowest The lowest of the indexes for the End Index is used.
Require Minimum of Two Index Points	This field determines if a minimum of two index points is used in the EIA calculation. Y—Yes A minimum of two index points is used whenever an average of index points is calculated. N—No There is no minimum number of index points that can be used. It is possible to only use one index point in the averaging calculation. This is the default.
Waive Vesting Factor On Death	This field specifies if the vesting factors are waived upon death. Y—Yes V0 and V1 are forced to be 1.00 for death processing. N—No V0 and V1 are not forced to be 1.00 for death processing.

Field	Description
Adjust Annualization Factor using Bankers Year	This field determines if the banker's year is used when calculating the index rate. N—No The calendar year and the actual number of days are used when calculating the final index rate. This is the default for the Index Averaging calculation method. Y—Yes The banker's year is used when calculating the index rate. This option must be used for the Point to Point Arithmetic calculation method and the Point to Point Geometric calculation method.
Rate Retrieval Rules Apply	This field is used to define the A5—Rate Retrieval Rules Segment. The A5 Segment is used to define the rules related to rate retrieval for the current interest rate. Y—Yes The A5 Segment is used to define the rules for the current interest rate retrieval. The Segment ID is defined in the next field. N—No The A5 Segment is not used to define the rules for the current interest rate retrieval.
A series of lower level segments is accessible from the main EI Segment. These segments define the rules and rates for segments used in calculating the final annualized index rate. The fields that apply to each segment are as follows.	
Y/N	Where present, this field indicates if the segment on this line applies to this coverage. Y—Yes A lower level segment with this segment type is defined for this coverage. N—No A segment with this segment type is not available for this coverage. This field does not apply to Segment IDs Z0 and Z1 because they are not optional. They are required when the EI Segment is set up.
Lookup Rule	This field defines the date used to access the rates for this segment. I—Issue The issue date is used to access rates for this lower level segment. W—Window The window date is used to access rates for this lower level segment.
Initial Premium	This field determines if the Initial Premium Date input on the New Business Premium Information screen is used for the rate retrieval. Y—Yes The Initial Premium Date from the New Business Premium Information screen is used to retrieve the rates. N—No The date indicated in the Lookup Rule field is used to retrieve the rates. This is the default.

Field	Description
Segment ID	The effective date used to retrieve rates is the Bucket Window Date for the Z2, Z3, Z4, and Z5 Segments. The effective date used to retrieve rates for all other Zx Segments is the Indexing Date.
Z0	This field contains the ID of the segment which directs LifePRO® to the rates used in the calculation of the value of A in the formulas for the final annualized index rate.
Z1	This field contains the ID of the segment which directs LifePRO® to the rates used in the calculation of the value of B in the formulas for the final annualized index rate.
Z2	This field contains the ID of the segment which directs LifePRO® to the rates for P0 (the participation rate used before the rate is annualized), used in the formulas for the final annualized index rate.
Z3	This field contains the ID of the segment which directs LifePRO® to the rates for P1 (the participation rate used after the rate is annualized), used in the formulas for the final annualized index rate.
Z4	This field contains the ID of the segment which directs LifePRO® to the rates for B0 (the bonus participation rate used with P0), used in the formulas for the final annualized index rate.
Z5	This field contains the ID of the segment which directs LifePRO® to the rates for B1 (the bonus participation rate used with P1), used in the formulas for the final annualized index rate.
Z6	This field contains the ID of the segment which directs LifePRO® to the rates for V0 (the vesting factor used before the rate is annualized), used in the formulas for the final annualized index rate.
Z7	This field contains the ID of the segment which directs LifePRO® to the rates for V1 (the vesting factor used after the rate is annualized), used in the formulas for the final annualized index rate.
Z8	This field contains the ID of the segment which directs LifePRO® to the rates for C0 (the cap on the value before the rate is annualized), used in the formulas for the final annualized index rate.
Z9	This field contains the ID of the segment which directs LifePRO® to the rates for C1 (the cap on the value after the rate is annualized), used in the formulas for the final annualized index rate.
ZA	This field contains the ID of the segment which directs LifePRO® to the rates for F0 (the floor on the value before the rate is annualized), used in the formulas for the final annualized index rate.

Field	Description
ZB	This field contains the ID of the segment which directs <i>LifePRO</i> ® to the rates for F1 (the floor on the value after the rate is annualized), used in the formulas for the final annualized index rate.
ZC	This field contains the ID of the segment which directs <i>LifePRO</i> ® to the rates for K (spread factor), used in the formulas for the final annualized index rate.
ZD	The field contains the ID of the segment which directs <i>LifePRO</i> ® to the rates for M (the state minimum participation rate), used in the formulas for the final annualized index rate.
ZE	This field contains the ID of the segment which directs <i>LifePRO</i> ® to the rates for the spread to be applied before the rate is annualized.

Final Annualized Index Rate Formula

The EI—Generic EIA Segment and the lower level segments set up from the EI Segment are used to control the rates used in the following series of formulas for the index rate for equity indexed annuities.

First, calculate the values of A (Start Index) and B (End Index).

Calculation of A (Start Index)

The Start Index is calculated as the average of a specified number of index points. The points used for the Start Index include the rate for the Start Date and the rates for the dates prior to the Start Date specified in the EI Segment.

- Find the index point (rate) for the Start Date.
Make A equal to the constant or incremental rate from the Z0 Segment or, if rates are held in the Declared Interest Rates file, find the interest rates record with the Rate ID indicated on the Z0 Segment and the latest effective date prior to the Issue Date (if the Lookup Rule for the Z0 Segment is Issue Date) or the Window Date (if the Lookup Rule for the Z0 Segment is Window Date). Use the rate from that rate table for the Start Date. A equals the rate found.

If the rate obtained was a constant or incremental rate from the Z0 Segment or if the Number of Index Points To Be Averaged is 1, A equals the rate found.
- Find the additional start index points to be averaged. If the Number of Index Points To Be Averaged is greater than 1, find the rates for the specified number of previous index dates, add them to A, and divide the total by the number of rates totaled in A.
 - a. If the Duration Type for the Start Index is **Days**, subtract the Duration Between Index Points from the Start Date and find the rate for that date. Repeat this step until the rates found equal the Number of Index Points to Be Averaged. For example, assume

the Duration Type is **Days**, the Duration Between Index Points is 3, and the Start Date is 03/25/2005, and the Number of Index Points to be Averaged is 5. Rates will be retrieved and totaled for 03/25/2005, 03/22/2005, 03/19/2005, 03/16/2005, 03/13/2005, then the total is divided by 5.

- b. If the Duration Type for the Start Index is **Months** or **Years**

and the Basis is **Start**, follow the same steps outlined in the procedure for calculating the Start Index for Duration Type Days, substituting Months or Years for Days.

and the Basis is **Issue**, after finding the index point for the Start Date, subtract the Duration Between Index Points from the Start Date (07/01/2005 - 1 month = 06/01/2005). Next, substitute the Issue Day for the Start Day (for Issue Day = 15, the next date = 06/15/2005). Find the rate for that date and add it to A. Subtract the duration for the next date (05/15/2005), retrieve its rate, and add it to A until the specified number of Index Points has been reached. Divide the total by the number of rates.

NOTE

If the number of points to be averaged results in accessing a date in the declared interest file with a rate of 0.00, the 0.00 rate is included in the average. If the number of points to be averaged results in accessing a date that does not exist in the rate table, the last rate in the table is used.

Calculation of B (End Index)

The End Index is calculated as the average of a specified number of index points. The points used for the End Index include the rate for the End Date and rates for the dates prior to the End Date as indicated in the EI Segment.

The logic used in calculating B (End Index) is the same as that described for A (Start Index) above, substituting End Date for Start Date and Z1 Segment for Z0 Segment.

NOTE

The number of points to be averaged for the End Date cannot go beyond the Start Date. For example, an End Date of 07/15 and a Start Date of 01/15 with the EI Segment setup of ten points to be averaged will only allow averaging up to 01/15.

The *Index Change* is calculated using the following formula.

$$IC = (B - A) / A$$

The *Adjusted Change* is calculated using the following formula.

$$AC = IC - S0$$

The *Index Average* is calculated using the following formula.

$$IA = \max\{M, (P0 + B0)\} * V0 * AC$$

The *Index Average Floor Cap* is the minimum determined by using the following formula.

$$\text{IAFC} = \max\{F0, \text{IA}\}$$

$$\text{IAFC} = \min\{\text{IAFC from the step above}, C0\}$$

The *Index Average Index Rate* determines the effective annual rate.

$$\text{IAIR} = [(1 + \text{IAFC})^{(365/T)}] - 1$$

The *Index Average Index Rate Vesting Participation* adjusts the rate.

$$\text{IAIRvp} = \max\{M, (P1 + B1)\} * V1 * \text{IAIR}$$

The *Index Average Index Rate Ceiling Spread* adjusts the rate further by determining the minimum using the following formula.

$$\text{IAIRck} = \min\{C1, \text{IAIRvp} - K\}$$

The *Final Annualized Index Rate (Index Average Index Rate Ceiling Spread Floor)*

$$\text{IAIRckf} = \max\{F1, \text{IAIRck}\}$$

Where

A [Start Index] = The value calculated using rates from the Z0 Segment and the EI Index Averaging Rules for Start Date. Refer to Calculation of A (Start Index) on page 12-295 in this chapter for additional information.

B [End Index] = The value calculated using rates from the Z1 Segment and the EI Index Averaging Rules for End Date. Refer to Calculation of B (End Index) on page 12-296 in this chapter for additional information.

T = Days in the term of the fund or days from start to ending index point

	The Rate from Segment	Default Value (no Segment)
B0 [Bonus (additional) participation rate used with P0]	Z4	0.00
B1 [Bonus (additional) participation rate used with P1]	Z5	0.00
C0 [Cap on the value prior to annualizing]	Z8	+999999.
C1 [Cap on the value after annualizing]	Z9	+999999.
F0 [Floor on the value prior to annualizing]	ZA	+999999.
F1 [Floor on the value after annualizing and reducing by the spread]	ZB	+999999.
K [Spread factor]	ZC	0.00
M [State Minimum Participation Rate]	ZD	0.00
P0 [Participation rate used before rate is annualized]	Z2	1.00
P1 [Participation rate used after rate is annualized]	Z3	1.00
S0 [Interim Spread]	ZE	1.00

V0 [Vesting factor used before rate is annualized]	Z6	1.00
V1 [Vesting factor used after rate is annualized]	Z7	1.00

Calculation of Point to Point Arithmetic Index Rate

The Point to Point Arithmetic Index Rate is calculated by adding the growth rate within index points to determine the annual rate.

- First, compute the capped growth rate for each segment within the crediting period.

$$IG_t = (B_t - A_t) / A_t$$

Apply the interim spread, floor, and cap to the calculated growth rate.

$$IGC_t = IG_t - S0$$

$$IGC_t = \max\{F0, IGC_t\}$$

$$IGC_t = \min\{C0, IGC_t\}$$

- Second, compute the aggregate gain during the crediting period.

$$AG = IGC_1 + IGC_2 \dots + IGC_n$$

Apply the final spread, floor, and cap to the aggregate gain percentage calculated.

$$AGC = \max\{F1, AG\}$$

$$AGC = \min\{C1, AG\}$$

$$AGC = AGC - S1$$

Where,

The crediting period is 1 year

n = The number of indexing periods in the crediting period

A_t = The index value at the beginning of the indexing period t

B_t = The index value at the end of the indexing period t where the end of the indexing period is calculated as the beginning + length (in months, years, or days) defined on the segment. Therefore, $A_t = B_{t-1}$.

	Rate from Segment
C0 (Current Cap on Index Period Gain)	Z8 Segment
C1 (Aggregate Cap on Crediting Period Gain)	Z9 Segment
F0 (Current Floor on Index Period Gain)	ZA Segment
F1 (Final Floor on Crediting Period Gain)	ZB Segment

S0 (Interim Spread)

ZE Segment

S1 (Final Spread)

ZC Segment

Calculation of Point to Point Geometric Index Rate

The Point to Point Geometric Index Rate is calculated by multiplying the growth rate within index points to determine the annual rate.

- First, compute the capped growth rate for each indexing period within the crediting period.
Compute the raw growth rate during the indexing period.

$$IG_t = (B_t - A_t) / A_t$$

Apply the current floor and cap to the calculated growth rate.

$$IGC_t = \max\{F0, IG_t\}$$

$$IGC_t = \min\{C0, IGC_t\}$$

- Second, compute the aggregate gain during the crediting period.

$$AG = (1 + IGC_1) * (1 + IGC_2) * \dots * (1 + IGC_n)$$

Apply the final floor and cap to the aggregate gain percentage calculated.

$$AGC = \max\{F1, AG\}$$

$$AGC = \min\{C1, AG\}$$

Where,

The crediting period is 1 year

n = The number of indexing periods in the crediting period

A_t = The index value at the beginning of the indexing period t

B_t = The index value at the end of the indexing period t where the end of the indexing period is calculated as the beginning + length (in months, years, or days) defined on the segment. Therefore, $A_t = B_{t-1}$.

	Rate from Segment
C0 (Current Cap on Index Period Gain)	Z8 Segment
C1 (Aggregate Cap on Crediting Period Gain)	Z9 Segment
F0 (Current Floor on Index Period Gain)	ZA Segment
F1 (Final Floor on Crediting Period Gain)	ZB Segment

Calculation of Low Water Mark Rate

The Low Water Mark Rate calculation allows an alternative for calculating the Start Index Value (A) and End Index Value (B) before applying other parameters. In addition, this calculation also allows for an interim spread factor to be applied before the rate is annualized.

Calculate or retrieve the Start Index Value (A) and the End Index Value (B) based on the values selected in the Index Point Direction and Index Point Usage fields on the EI Segment.

The *Index Change* is calculated using the following formula.

$$IC = (B - A) / A$$

The *Adjusted Change* is calculated using the following formula.

$$AC = IC - S0$$

The *Index Average* is calculated using the following formula.

$$IA = \max\{M, (P0 + B0)\} * V0 * AC$$

The *Index Average Floor Cap* is calculated using the following formula.

$$IAFC = \max(\min(IA, C0), F0)$$

The *Index Average Index Rate* is calculated using the following formula.

$$IAIR = [(1 + IAFC)^{(365/T)}] - 1$$

The *Final Index Average Rate* is calculated using the following formula.

$$IAIRvp = \max\{M, (P1 + B1)\} * V1 * IAIR$$

The *Index Average Index Rate Ceiling Spread* is calculated using the following formula.

$$IAIRck = \min\{C1, IAIRvp - K\}$$

The *Final Annualized Index Rate (Index Average Index Rate Ceiling Spread Floor)*

$$IAIRckf = \max\{F1, IAIRck\}$$

Where

A [Start Index] = The value calculated using rates from the Z0 Segment and the EI Index Averaging Rules for Start Date. Refer to Calculation of A (Start Index) on page 12-295 in this chapter for additional information.

B [End Index] = The value calculated using rates from the Z1 Segment and the EI Index Averaging Rules for End Date. Refer to Calculation of B (End Index) on page 12-296 in this chapter for additional information.

T = Days in the term of the fund or days from start to ending index point

The Rate from Segment	Default Value (no Segment)
-----------------------------	-------------------------------------

B0 [Bonus (additional) participation rate used with P0]	Z4	0.00
B1 [Bonus (additional) participation rate used with P1]	Z5	0.00
C0 [Cap on the value prior to annualizing]	Z8	+999999.
C1 [Cap on the value after annualizing]	Z9	+999999.
F0 [Floor on the value prior to annualizing]	ZA	+999999.
F1 [Floor on the value after annualizing and reducing by the spread]	ZB	+999999.
K [Spread factor]	ZC	0.00
M [State Minimum Participation Rate]	ZD	0.00
P0 [Participation rate used before rate is annualized]	Z2	1.00
P1 [Participation rate used after rate is annualized]	Z3	1.00
S0 (Interim spread factor)	ZE	0.00
V0 [Vesting factor used before rate is annualized]	Z6	1.00
V1 [Vesting factor used after rate is annualized]	Z7	1.00

6.76 EM—Guaranteed Mortality

The EM—Guaranteed Mortality Segment is used to define mortality rates. In addition, the rates defined through this segment can be used to calculate guideline and TAMRA premiums. This segment is accessed from the DD—Dividend Assumption Segment to define the assumptions used in calculating the guaranteed mortality portion of dynamically first principal calculated dividends. It is also accessed from the ABV Mortality Rate Segment ID field on the MD—Required Minimum Distribution Segment to define the mortality rates used in the calculation of the adjusted benefit value for required minimum distribution amounts.

Rate Type Segment	
Segment ID	DIVS >>
Segment Type	EM
Select Period	Duration 0
Ultimate ID	
Constant Rate	0.0000000 (Added to File Rate if Declared)
Rate Type	Constant Rate Only
Type Modifier	☐ Rates Vary by Underwriting Class No
Mult Insured Access	
Rate Basis	Separate And Unique Years of 0
Banding Method	Not Banded
Banding Rule	Traditional
Upper Band Limits	0 0 0 0 0 0 0
Rates Coded As	Actual Amount
Change Frequency	Not Applicable 0
Mode Rules Rates Next OK Cancel	

EM Segment Processing Notes

- Guideline and TAMRA premiums may be calculated based on an EM Rate File. When calculating guideline and TAMRA premiums, the system first looks for EM rates defined using any Segment ID from the M3—Miscellaneous Segment. If no such rates are found, the system then looks for EM rates defined using a Segment ID of TAMRA, defined from the GP—Guaranteed Premiums Segment, using a key modifier of EM (thus using EM rates rather than GP rates).
- Table extras can be defined through the second page of the EM Segment which is accessed by clicking **Next**.
- If the mortality rates do not vary by underwriting class, the Rates Vary by Underwriting Class field should be set to **No** and the underwriting class on the rate file should be set to

X. If the mortality rates do vary, the appropriate underwriting class should be used when defining the rates.

The table below contains definitions for the fields on the EM Segment.

Field	Description
Rate Type	The rate type selected determines on what the rates are based and where in the rate file the rates are input. A—Attained Age I—Issue Age If Attained Age or Issue Age is selected, input the rates in the Attained Age Rate File. O—Duration Only D—Age And Duration If Duration Only or Age And Duration is selected, input the rates in the Age/Duration Rate File. If Duration Only is selected, the rates are input under age 0 in the Age/Duration Rate File. C—Constant Rate Only
Type Modifier	The type modifier points the system to the proper rates in the rate file. The type modifier should match the segment type if the rates are unique for the segment. To point to another segment's rates, update the type modifier to match that segment's segment type. (The segment IDs must also be the same to point to the other segment's rates.)
Rates Vary by Underwriting Class	If the mortality rates do not vary by underwriting class, this field should be set to No and the underwriting class on the rate file should be set to X. If the mortality rates do vary by underwriting class, rates should be set up for each underwriting class. Y—Yes The system looks at all underwriting classes listed on the Coverage Record. N—No Rates do not vary by underwriting class. The system only looks at the default underwriting class (the first one listed on the first screen of the Coverage Record) when finding the rates.
Rate Basis	The selection in this field designates the rates that are used for females. S—Male With Setback The same rates are used for males and females, but the rates are set back a designated number of years for females. U—Separate And Unique Different rates are set up for females.

Field	Description
Bending Method	X—Not Banded F—Fund Value The band is based on the total fund value. If this segment is at a fund level, then it is banded by the individual fund value, not total in the policy. N—NAR If this fund is on a UL product, the banding is by the net amount of risk in the entire policy. Y—YTD Premium O—Original Specified Amount If this option is selected, the original specified amount at issue determines the band number. P—Premium Amount L—Specified Amt + Prev Layers (for SL Only) The band is based on the current specified amount and any previous specified amount layers. For example, assume the SL—Full Surrender Load Segment contains rates for three bands and the Banding Method field is set to Specified Amt + Prev Layers (For SL Only). Also assume the Upper Band Limits fields are completed as shown below. Band 1—100,000 Band 2—250,000 Band 3—999,999 A policy is issued with an original specified amount of \$75,000. Since the specified amount is less than \$100,000, the band 1 rates are used when determining the surrender charges at issue. Then assume that a specified amount increase is processed in the amount of \$50,000. The total of the specified amounts for all layers on the policy is used when determining the band to use for the new layer (the increase). Since the specified amount increase added to the base amount is \$125,000, the rates for band 2 are used when determining the surrender charges for the band 2 portion of the specified amount. S—Current Specified Amount If this option is selected, the system uses the total current specified amount to compute the band number. V—Fund Value per Fund (FV Benefit) The banding limits are applied to the fund value of the fund instead of the fund value of the policy.

Field	Description
Banding Rule	T—Traditional All the value to be used is applied to get one and only one band number. R—Ratcheted The value used is split up over each band, and a separate rate from each band applies to the portion in that band. For example, assume there are three bands set at 10,000, 20,000, and 999999999. The band 1 rate is 10%, the band 2 rate is 8%, and the band 3 rate is 5%. If the banding method is to apply a percentage to the fund being withdrawn (typical for an annuity), and the fund is 40,000, then the system splits the fund into a 10,000 piece and applies 10%, a 20,000 piece and applies 8%, and then has 10,000 in the last band where 5% is applied. A—Accumulative
Rates Coded As	A—Actual Amount P—Percentage (1% Entered As 1.00) Interpret the rate found as a percentage, (scale it by multiplying by .01).

6.77 EN—Non Premium Paying

NOTE

PT benefits only

The EN—Non Premium Paying Segment was designed to pay a dividend based on the number of units of a PT benefit when non-premium paying as determined by the PT benefit mode equal to zero. This segment is accessed through the EPR Dividends Non-premium Paying field on the PT—Paid Up Term Control Segment by pressing **F4**.

DN Segment Detail	
Segment ID	EN >>
Segment Type	EN
Key Modifier	EN
Do Values Vary By	
Are Values Banded	No
Underwriting Class?	No
Female Rate Basis	Male with Setback
Setback Years	0
Rate Type	Attained Age
Rate Rounding Rule	00
Band Upper Limits	9999999 0 0 0 0 0 0
First Duration Value Is Available	1
Pay Dividends On Reduced Paid Up?	
Dividend Payment On Death?	None
PU Rate ID	(Information Purposes Only)
PU Rates must have the same name and rate structure as the DN Segment	
Rates	
OK	
Cancel	

Click **Rates** to display the EN Rate File.

6.78 EO—Commissions Excess Only Segment

This EO—Commissions Excess Only Segment is used in conjunction with the PY—Commission Prior Year Segment and is accessed through the Excess Only field on the CM—Commission Class Rule Segment by entering a Segment ID and pressing **F4**. The EO and PY Segments allow the payment of commissions to be based on a comparison of current year premiums paid to the total of premiums paid in the prior year. As first year premiums are paid, the prior year bucket is accumulated based on limits as designated on the PY Segment. In duration two, the prior year bucket is rolled to the target bucket on the Commission Control Record. When payments are received in year two in excess of the target bucket, they are accumulated in both the excess bucket and the prior year bucket. This excess amount receives a higher commission rate. The duration two prior year bucket then rolls to the duration three target bucket. This process continues for the life of the policy.

The EO Segment allows for each type of premium to be directed to the target and excess bucket, or to the excess only bucket. Note that select and ultimate capability is present.

Enter Commission Excess Only Segment			
Segment ID	EXCONL >>	Segment Type	EO
Select Period	5	Ultimate ID	EXCONL5
Accounting Transaction Codes		Apply Only To Excess	
Normal Payment	110		Yes
Premium Rollover	121		Yes
Premium Transfer	122		Yes
Special Deposits	123		No
1035 Exchanges	124		No
Vanish Premium	126		No
Rollover - Annuity	131		Yes
Transfer - Annuity	132		Yes
Waiver Premium	150		Yes
			OK
			Cancel

6.79 ET—Extended Term/Reduced Paid Up Segment

NOTE

Traditional only. This segment is required for traditional participating or non-participating products, if invoking standard nonforfeiture options.

The ET—Extended Term/Reduced Paid Up Segment directs *LifePRO*® to commutation functions used in the calculation of the following items.

- ETI term given the face, gender, age, UWCLS
- ETI cash value on a given date
- ETI reserves (statutory and tax)
- RPU face amount given cash value, gender, age, UWCLS
- RPU cash value

RPU reserves (statutory and tax)

Extended Term/Reduced Paid Up				
Segment ID: 58NFD >>		Segment Type: ET		
Load	Comm	Functions	CX And DX	EE Segment Defines Sex Class
Then System Generates		MX And NX	Band And Data Organization	
No EE Segment		Rating Class X		
Rate Key Uses		Male or Female		
		Band 1		
ETI Commutation Function Calculation Rules Segment ID				
RPU Commutation Function Calculation Rules Segment ID				
Extended Term Conversion Age Rule				
	Extended Term Ins	ETI Val Code	Reduced Paid Up	RPU Val Code
Cash Value and Benefit Amounts	58CETL4500		58CSQL4500	
Statutory Reserves	58CETL4500		58CSQL4500	
Tax Reserves	58CETL4500		56CSQL4500	
GAAP Reserves				
				OK
				Cancel

The lower portion of the ET screen defines 4 rows and 4 columns. The columns are grouped in pairs of two. One is for extended term insurance (ETI) and one is for reduced paid up (RPU) calculations. The column values point to IDs for commutation functions (CX, DX), and valuation codes (for sorting), or to a segment where exceptional commutation values are defined.

If the lower level EE Segment is NOT found, LifePRO® reverts to the default of M/F commutation function with only band 1 and underwriting class X in the Attained Age File.

If an EE Segment is found, LifePRO® then allows normal rate structures (underwriting class, banding, age/duration rates, and so on).

Thus, the first pair of values in each row point to IDs for ETI. The ID in the column labeled Extended Term Ins is either the ID of an EE Segment (**F4** key), which then points to CX and DX rates, or it is the ID used directly for CX and DX attained age rates in the file for M/F, Band 1, UWCLS X.

The ID in the column labeled ETI Val Code is not required, but if present, causes similarly labeled benefits to sort together in valuation whenever valuation code is a sort key.

Similarly, the first pair of values in each row point at IDs for RPU. The ID in the Reduced Paid Up column is either the ID of an EE segment (**F4** key), which then points to CX and DX rates, or, is the ID used directly for CX and DX attained age rates in the file for M/F, band 1, and UWCLS X.

The ID in the RPU Val Code column is not required, but if present causes similarly labeled benefits to sort together in valuation whenever valuation code is a sort key.

NOTE

When calling the MX, DX, and CX Tables using exception processing, it is important to note that the table size is 150. The following table contains definitions for the fields on the ET Segment.

Field	Description
ETI Commutation Function Calculation Rules Segment ID	This field defines the FN Segment ID. Press F4 to access the FN Segment used to define commutation functions used for ETI calculations.

NOTE FN COI rates must be coded as an annual rate per 1,000.

Field	Description
RPU Commutation Function Calculation Rules Segment ID	This field defines the FN Segment ID. Press F4 to access the FN Segment used to define commutation functions used for RPU calculations. NOTE FN COI rates must be coded as an annual rate per 1,000.
Extended Term Conversion Age Rule	This field determines the age to use when a policy is converted off the anniversary date. This field defines the age to use for the calculation. L—Last Age This is the default. C—Current Age

Complete the following steps to create CSO and CET tables.

1. From the ET Segment, input the table name and interest rate in the appropriate Extended Term Insurance or Reduced Paid Up field.
2. Press **F4**. The EE Segment is displayed.
3. Input the EE Segment field and click **Cash Reserves**. The Commutation Function Calculation Assumptions screen is displayed.

Commutation Function Calculation Assumptions

Gender/Class Male / STANDARD

Mortality (EM) Segt: Gender: Band: Class:

Interest Rate: for Years Then

or Interest Table (Type G1):

Function:

Lives generated: Using a Radix of:

Storage Format:

Round Lives to: Decimals Write Cx/Dx Values:

Round Cx/Mx to: Decimals Write Mx/Dx Values:

Round Dx/Nx to: Decimals Print Values:

Enter (Process) Esc-Key (Exit) F4 (Bypass Sex/Class)

OK Cancel

4. Input the EM Segment ID or press **F7** to select the EM Segment from a cross reference list.
5. Input the remaining fields if rates vary by gender, band, or underwriting class.

6. Select an option in the Storage Format field. If the default of **Decimal Fixed** is selected, the commutation function values are stored and displayed as a fixed decimal (PIC S9(07)V9(07)) in COMP-3 format. If the **Floating Point** option is selected, the commutation function values are stored and displayed in COMP-2 format (long floating point).
7. Click **OK**. The gender and class will change.
8. Continue to click **OK** until the EE Segment is displayed without the Commutation Function Calculation Assumptions screen.

6.80 EV—EPR Dividends

NOTE

PT benefits only

The EV—Premium Paying Segment was designed to pay a dividend based on the number of units of the benefit when premium paying as determined by the PT benefit mode premium greater than zero. This segment is accessed through the EPR Dividends Premium Paying field on the PT Segment by pressing **F4**.

Segment Detail									
Segment ID	DIVS >>			Segment Type	EV				
Key Modifier	EV			Do Values Vary By					
Are Values Banded	No			Underwriting Class	No				
Female Rate Basis	Male With Setback								
Setback Years	0								
Rate Type	Attained Age								
Rate Rounding Rule	00			Rate Mode Rule ID	N/A				
Band Upper Limits:	9999999	0	0	0	0	0	0	0	
Dividend Assumption Segment	No								
First Duration Value Is Available	1								
Dividend Payment On Death?									
Mode Rules Rates Calculate Values									

Click **Rates** to display the EV Rate File.

6.81 EW—Early Withdrawal

NOTE

Universal only

The EW—Early Withdrawal Segment is accessed through the EW—Early Withdrawals field on the WD—Partial Withdrawal Segment and the SR—Full Surrender Segment.

For certain tax qualification codes, money pulled out prior to some earliest age triggers penalties. For example, an early withdrawal of IRA funds prior to age 59.5 can trigger such penalties.

This segment controls edits during surrenders or partial withdrawals. If turned on, the system allows the selection of tax distribution codes of 3 or higher only, if the policyholder is older than the age indicated for the qualification code entered.

For example, if the age 59.5 is entered for the tax code 3 (IRA), then a policyholder who is only 59 at the time of a withdrawal is only allowed to use a distribution code of 1 or 2. On the other hand, at age 60, all distribution codes are allowed.

Note that this segment does not prevent an early withdrawal. It simply controls the distribution code allowed.

Tax Description	Penalty Age
0 Not Qualified	.0
1 HR10	.0
2 TSA	59.5
3 IRA	59.5
4 SEP	.0
5 Deferred Compensation	.0
6 401(k)	.0
7 457	.0
8 Defined Benefit	.0
9 Defined Compensation	.0
S Simple IRA	.0
R Contribution Roth IRA	59.5
Q Conversion Roth IRA	59.5

The following table contains definitions for the fields on the EW Segment.

Field	Description
Tax Description	Each available tax qualification code is listed in this column.
Penalty Age	This field allows for three numeric characters, with one decimal. A separate penalty age can be defined for each tax qualification code. The penalty age designates the age when a tax penalty is no longer applicable for that tax qualification code. If a surrender is processed, and the owner is less than the age, the system only allows tax distribution codes of 1 or 2 to be used during surrender processing.

6.82 EX—Interest Exclusion Segment

NOTE

Universal life only

The EX—Interest Exclusion Segment tells LifePRO® how to compute the amount of fund value (in this fund) that has a rate other than the current interest rate credited to it. It also specifies the rate to use instead of the current rate. This segment can be accessed through the Segment List on the Fund Rules screen by selecting the Interest Exclusion Segment. It can also be accessed from the FL—Fund Rule Segment. The FL Segment is accessed through the Loan Fund ID field on the LN—Loan Interest Rates Segment.

For example, if 10% of the fund is to be credited with 1.00% less than the current rate, that information could be input here. It would be more common for \$1,000.00 to get the guaranteed rate, and any amount over \$1,000.00 to receive the current interest rate.

This segment has select and ultimate capability, so this feature can be temporary in the life of a policy.

Enter UL Interest Exclusion Criteria		
Segment ID	INT1	Select Period
Segment Type	EX	Ultimate ID
Banding Method		Not Banded
Upper Band Limits	Exclusion Amount	Exclusion Percent
0	0.00	0.000%
0	0.00	0.000%
0	0.00	0.000%
0	0.00	0.000%
0	0.00	0.000%
0	0.00	0.000%
0	0.00	0.000%
Maximum Exclusion	0.00	
Exclusion Interest Rate Type		
Rate to Apply	0.000%	
		OK
		Cancel

The following table contains definitions for the fields on the EX Segment.

Field	Description
Banding Method	This field determines if the excluded amount or percent is banded. X—Not Banded One upper band limit and an exclusion amount with or without an exclusion percent can be defined. S—Current Specified Amount Up to seven upper band limits and an exclusion amount with or without an exclusion percent can be defined.
Upper Band Limits	This is a 9 digit numeric field used to define different face amount limits for each band.
Exclusion Amount	This field is used to define a specific amount of the fund balance which the system uses to credit the interest excluded amount. For example, assume that 1,000 is entered in this field and the fund value is 1,200.00. The Exclusion Interest Rate Type field is defined as Absolute and the Rate to Apply field is defined as 4%. The interest rate of 4% is applied to \$1,000 and the balance of \$200.00 is credited at the current interest rate.
Exclusion Percent	This field is used to define a specific percent of the fund balance which the system uses to credit the interest excluded amount. For example, assume that 10% was defined in this field and the total fund amount is 1,200. The Exclusion Interest Rate Type field is defined as Absolute and the Rate to Apply field is defined as 4%. The interest rate of 4% is applied to \$120.00. The balance of \$1,080 is credited at the current interest rate.
Maximum Exclusion	A non-zero amount in this field serves as a cap on the amount computed. The system computes the amount based on the exclusion amount, exclusion percent, or both fields. If the amount calculated is less than the amount entered in the Maximum Exclusion field then the system will apply the interest rate defined in the Exclusion Interest Rate Type field. If the amount is greater than the amount entered in this field, then the amount that is greater receives the current interest rate while the amount that is less receives the interest rate defined in the Exclusion Interest Rate Type field. For example, if the exclusion percent is 10% and this field has 1,000 in it, then for a fund of \$20,000, 10% (2,000) is excluded, capped at 1,000. Hence, only 1,000 is excluded from the current interest rate.

Field	Description
Exclusion Interest Rate Type	This field tells the system how to use the rate defined in the Rate to Apply field. A—Absolute Use the Rate to Apply field as the interest rate to apply to the amount being excluded. G—Guaranteed Rate Plus Rate To Apply Add the Rate to Apply field from the policy's guaranteed rate, and apply that to the exclusion amount. For example, if 1.00 is entered in the Rate to Apply field and the product guarantees 5.5%, then the exclusion amount is credited with 6.50% (5.50 + 1.00). C—Current Rate Minus Rate To Apply Subtract the Rate to Apply field from the policy's current rate, and apply that to the exclusion amount. For example, if 1.00 is entered in the Rate to Apply field and the product's current rate is 7.5%, then the exclusion amount is credited with 6.50% (7.50—1.00).
Rate to Apply	This field is used with the Exclusion Interest Rate Type field to determine an excluded amount.

6.83 F0—Fund Package Segment

NOTE

This segment is required for universal life and annuity products. Neither UL policies nor annuities will process without a valid F0—Fund Package Segment.

The F0—Fund Package Segment is fundamental to any product that has interest-bearing, unit-valued, or market-valued funds, such as annuities and universal life products. These funds are grouped together as attachments to this segment.

The screenshot shows a software dialog box titled "Fund Package Segment". At the top, there are two fields: "Segment ID" containing the text "UL1" and a ">>" button, and "Segment Type" containing the text "F0". Below these, there are five columns, each labeled "Fund ID" followed by a ">>" button. There are 15 rows of these "Fund ID" fields. At the bottom right of the dialog are two buttons: "OK" and "Cancel".

LifePRO® allows up to 60 funds to be attached for either UL or annuity products. Each fund has its own rules for computing interest or deductions. For the most part, UL products have only one fund, while annuities may have more than one fund. Interest-bearing funds and unit-valued funds may be mixed on the same F0 Segment, but if one of the funds is defined as a market-valued fund (fund type M on the subsidiary FR—Fund Rules Segment) then all of the funds on the F0 Segment must be market-valued funds.

Input the ID used for each fund on a separate line. The Fund Rule Segment for each line that has been input can be accessed by positioning cursor on the desired line, and pressing **F4**.

NOTE

After the product is set up and active with real policies attached, do not change the fund ID. Errors will occur.

6.84 FC—Fund Contract Rules Segment

NOTE

Universal life, annuities, and variable products only

The FC—Fund Contract Rules Segment describes rules for various aspects of the monthly processing of UL and annuity funds. For variable funds, this segment allows the ability to have funds created dynamically (as money is deposited into them, also referred to as *on the fly*), or to have funds created regardless of the deposits when the policy is issued. This segment also allows up to 40 benefit sequence number to be reserved for potential funds on a policy when funds are created dynamically.

Enter Fund Administration Criteria	
Segment ID	>>
Segment Type	FC
Interest on Deposits	
Interest will process Full Cycle if Advance PTD flag is "Y" on Coverage	
Timing On Interest Crediting	
Allow Negative Fund Value?	Yes
If Fund Value Is Negative, Allow Crediting of Negative Interest	
Impaired Values Based On Loan	Balance
COI Deduct Timing	
COI Discount Rate	
Guarantee Riders/Benefits Deduct Charges	Monthly
Inflate Mortality Cost By Substandard Ratings	
Apply Flat Extra to	
Timing On Lapse Testing	
If Allocating to More Than One Fund, Force Equal Allocation	
Allow Annuity Rider to MPR past Paid to Date of Traditional Base	
Suspend If Policy Fee Depletes All Funds	
Next OK Cancel	

The Suspend if Policy Fee Depletes all Funds field is accessible if a contract should be suspended due to the policy fee, as defined on the AE—Arrears Policy Fee Segment or UF—Per Policy Monthly Expense Segment, depleting the value of all funds. This field is used in conjunction with the Allocate Fee to Unit Based Fund Only field on the Variable Coverage Free Look State window. The combination of the two fields define how the policy fee is deducted on an issue state basis.

The following table contains definitions for the fields on the FC Segment.

Field	Description
Interest on Deposits	D—Daily When monthaversary picks up a premium from accounting, use the number of days from the effective date of the payment to the monthaversary date being processed. C—Full Cycle When monthaversary picks up a premium from accounting, credit no interest, simply add the premium to the fund.
Timing On Interest Crediting	This field was used to determine how interest was credited during monthaversary processing. Since monthaversary is no longer used, this field is not used. The Modeaversary Frequency field is used to determine the timing on interest crediting for modeaversary processing. M—Monthly Interest is credited each month. Y—Yearly Interest is credited only on the anniversary.
Allow Negative Fund Value	This field is used to prevent the value of a benefit from becoming negative. The value of a fund may become negative as a result of usual deductions, such as loads and fees, or as a result of shadow fund processing. For annuity products defined using shadow benefits, where the Allow As Shadow Coverage field on the Coverage Record is set to Yes for one or more components, this field is used to prevent the values of “spectator” shadow benefits from becoming negative as a result of a dollar for dollar deduction based on a non-terminating event. This field is only applicable for line of business A—Annuity. Y—Yes Allow the fund value to become negative. This is the default. N—No Do not allow the fund value to become negative. An FA—Negative Fund Adjustment Fund Detail record is created to record the adjustment made to force the fund value to equal zero.
If Fund Value Is Negative, Allow Crediting of Negative Interest	Y—Yes If the fund value is negative (enters grace period), the system computes negative interest. N—No If the fund value is negative, the system does not compute interest.
Impaired Values Based On Loan	B—Balance The impaired value is computed using the loan balance as of the loan activity date. C—Credit Date Payoff The impaired value is computed using the loan balance as of the current date. L—Last Credit Date Payoff The impaired value is computed using the loan balance as of the last valuation date. NOTE This field cannot be used for separate loan funds.

Field	Description
COI Deduct Timing	C—Each Process Cycle Cost of insurance (COI) is deducted every month (or annual, if this is annual loop process). A—Only On Anniversary Cost of insurance is deducted on the policy anniversary. B—On Billing Mode For example, if the UL is on a quarterly mode, then at the beginning of the fourth month, three months of COI are taken out. This can be independent of interest crediting.
COI Discount Rate	Most UL products compute net amount at risk (NAR) by dividing the specified amount by a monthly interest factor (discounts the death benefit). That rate is usually the guaranteed rate, but there are three additional options. C—Current Use the monthly current rate for the discount rate. G—Guaranteed Use the guaranteed rate specified for the discount rate. F—Fixed Rate
Guarantee Riders/Benefits Deduct Charges	This field is used to define how charges for guaranteed riders are deducted and is applicable only if the product has guaranteed riders. This field is defined on the FC Segment of the base benefit, to which one or more rider components are attached with a Type field set to GW—Guaranteed Withdrawal or GR—Guaranteed Rider. The charges for guaranteed riders are defined on the PR—Premium Segment for each GW—Guaranteed Withdrawal or GR—Guaranteed Rider component. These charges are applied only for those guaranteed riders selected as benefits for a particular contract. A—Annually The charges are deducted once a year on the contract's anniversary date. If this option is selected, the charges may be deducted in advance or in arrears. Thus, the Charge field must be defined if this field is set to Annually. M—Monthly The charges are deducted once a month on the contract's monthiversary date. This is the default. If this option is selected, the charges are automatically taken in advance, and the Charge field is not displayed. NOTE If GW—Guaranteed Withdrawal or GR—Guaranteed Riders are attached to an annuity contract for which premiums are allocated to multiple funds, the charges are deducted on a prorata basis across all funds.

Field	Description
Charge	This field is displayed only if the Guarantee Riders Deduct Charges field is set to Annually. 1—Advance The guaranteed rider's annual deductions are charged on the anniversary date for the next 12 months. For example, if the contract's anniversary date is 01/01, charges for 01/01/2006 through 12/31/2006 are processed on 01/01/2006. 2—Arrears The guaranteed rider's annual deductions are charged on the anniversary date for the previous 12 months. For example, if the contract's anniversary date is 01/01, charges for 01/01/2006 through 12/31/2006 are processed on 01/01/2007.
Inflate Mortality Cost By Substandard Ratings	In many fixed premium or EIWL products, the substandard rating is taken as load from the premium as received. In that case, the COI rates for substandard are the same as non-rated cases. Select No in this field if this is a product feature. Y—Yes N—No
Apply Flat Extra to	N—Net Amount At Risk Apply the flat rate per 1000 to the net amount at risk. S—Specified Amount Apply the flat rate to the full specified amount layer to which that flat rate applies.
Timing On Lapse Testing	1—Following Earnings After Deductions This is the method used in versions of LifePRO® prior to 6.00. It indicates lapse testing should be done following earnings and after deductions. This is the default. 2—Following MPR & Surrender Load Calc This option causes MPR to wait and test for lapse as the last step before completing its cycle. This means it has calculated the new surrender load unlike option 1 which uses last month's surrender load.
If Allocating to More Than One Fund, Force Equal Allocation	During validation of a policy, the premium allocation must be set up if more than one fund is defined on the F0—Fund Package Segment for the product. This field determines if the percentage allocated to each fund must be equal, if allocations are made to more than one fund. Y—Yes The premium must be allocated 100% to one fund or in equal proportions across all available funds. N—No The percentage allocated to each fund may be set in any proportions desired, as long as the total percentage allocated across all funds is 100%. This is the default.

Field	Description
If Allocating to More Than One Fund, Force Equal Allocation (continued)	If this field is set to Yes when a new Premium Allocation Record is added, the Allocated fields for each fund default to an equal allocation percentage. LifePRO® uses an algorithm to determine these percentages, to force the allocations to be as equal as possible, if 100 is not easily divisible by the number of funds defined on the F0—Fund Package Segment. This may result in funds listed earlier on the F0 Segment to have a slightly higher percentage than later funds. For example, if six funds are defined, 17% is allocated to the first, second, third, and fourth funds, and 16% is allocated to the fifth and sixth funds (as opposed to 20% for the first fund and 16% for all remaining funds). If an attempt is made to reallocate the percentages to be unevenly distributed across more than one fund, the message <i>Allocations must be evenly distributed across all funds or else all in one fund</i> is displayed. Pressing F9 causes LifePRO® to recalculate the default values. LifePRO® enforces this criteria during initial allocation, reallocation of funds, or fund rebalancing. NOTE If this option is selected, it is strongly suggested that the Combine Windows with the same Effective Date field on the Fund Rules screen is set to Yes for each fund.
Allow Annuity Rider to MPR past Paid to Date of Traditional Base	Y—Yes N—No

Field	Description
Suspend If Policy Fee Depletes All Funds	This field is used in conjunction with the Allocate Fee to Unit Based Fund Only field on the Variable Coverage Free Look State window. The combination of the two fields defines how the policy fee, as defined on the AE—Arrears Policy Fee Segment or UF—Per Policy Monthly Expense Segment, is deducted on an issue state basis. This field determines if a contract is suspended if the policy fee depletes the value of all funds. Y—Yes The contract is suspended if the policy fee depletes the value of all funds. This occurs only if the policy fee is paid by all funds as defined through the Allocate Fee to Unit Based Fund Only field on the Variable Coverage Free Look State window. If the option is set to Yes, the fee is deducted only from unit based funds and if there is value in the interest bearing funds, the contract cannot be suspended. The payment of the policy fee cannot be taken out of the interest bearing funds. As long as there is fund value, the policy is not suspended. For example, the policy fee is set to only deduct from unit based funds and both unit based and guaranteed interest funds are set up. Even if there is not sufficient value in the unit based funds to cover the entire fee, the policy is not suspended. If, however, all funds are exhausted by the deduction of the policy fee, the policy is suspended. When this occurs, the ENS message <i>Processing Aborted—Policy Requires Attention—Policy Fee has depleted all funds</i> is generated and the policy is suspended. N—No Do not suspend the contract if the policy fee depletes the value of all funds. Policy fees are deducted from all funds on a pro-rata, LIFO, or FIFO basis depending on product setup.

Click **Next** for additional options on the segment.

There are a series of computations possible in the system to calculate what is called the minimum contract equity. The purpose of this value is to give a threshold value on partial surrenders and loans. If the amount left in the contract after the requested withdrawal or loan is less than this computed minimum contract equity, then the system considers that a full surrender. This value is displayed.

Input the non-zero basic amount of the minimum contract equity. It may be further modified with the other available questions on the screen.

Enter Fund Administration Criteria

Segment ID: Segment Type:

Minimum Contract Equity Adjustments

Minimum Contract Equity:

Increased by:

To the Next: Rider Expenses?:

Mortality? .. Monthly Policy Expense:

Curr or Guar?: Monthly Per 1000 Load?:

On Withdrawals:

Full Surr Load?: % of Loan Balance:

OR an Absolute Amount of: , whichever is:

Allow Withdrawals to Decrease the Specified Amount Below Minimum Issue Amount?

- Or -

Apply Minimum and Maximum Limits After Policy Change? Minimums/Maximums MM Segment ID:

Minimum Contract Value RW Segment ID: Create Funds Dynamically?

Number Of Months Prior Guarantee Expiry Letter: If Base Benefit, Number of FV Benefits?

Fund ID for Negative Values: Create Rque To Value On Premium Deposits?

High-water Mark For U2: Create Rque For Full Surrenders?

Alt 1 Alt 2 Alt 3

Used as a Contract Minimum:

Used to Calculate Surrender Charges:

Previous
Next
OK
Cancel

A series of other items may be added to the base minimum equity amount (which might have been set to 0.00).

The following table describes the fields on the second FC Segment screen.

Field	Description
Minimum Contract Equity	The minimum value that must remain in the contract after a withdrawal or loan is processed is input in this field.
Increased by	
To the Next	B—Bill To Date
	A—Next Anniversary
	M—Num Of Months

Field	Description
The following values are then added to the base minimum equity	
Mortality	This field designates if the current or guaranteed mortality expenses are included in the minimum equity calculation. Y—Yes Mortality expenses are included in the minimum equity calculation. N—No Mortality expenses are not included in the minimum equity calculation.
Curr or Guar	When the Mortality field is set to Yes, this field indicates if the current expense or guaranteed expense is included in the minimum equity calculation. C—Current Current expense is included in the minimum equity calculation. G—Guarantee Guaranteed expense is included in the minimum equity calculation.
Rider Expenses	This field determines if the rider expenses are included in the minimum equity calculation. Y—Yes Input the amount of the monthly policy expense flat amount or the monthly per 1000 load amount to be included in one of the following fields. N—No Rider expenses are not used in the minimum equity calculation.
Monthly Policy Expense	Input the constant amount for the monthly expense that is included in the minimum equity calculation. The Rider Expenses field must be Yes in order to use this field.
Monthly Per 1000 Load	Input the amount per \$1000 load amount that is included in the minimum equity calculation. The Rider Expenses field must be Yes in order to use this field.
On Withdrawals	
Full Surr Load	N—No The minimum equity is not increased by the surrender charge. This option applies only to withdrawals. B—Yes—Calculated Before Withdrawal The minimum equity is increased by the surrender charge calculated before the withdrawal is taken. This option applies only to withdrawals.

Field	Description
Full Surr Load (continued)	A—Yes—Calculated After Withdrawal The minimum equity is increased by the surrender charge calculated after the withdrawal is taken. This option applies to withdrawals and loans. This option only applies to annuities, line of business A. In addition, the Pro Rata Surrender Method field on the WC—Partial Withdrawal Control Segment must be set to None and the SL—Full Surrender Load Segment must not be set up on a per fund basis.
% of Loan Balance	This field applies to withdrawals only. Y—Yes The minimum equity includes the percentage of the loan balance input in this field. N—No The minimum equity does not include any of the loan balance. The default is 0.00%.
OR an Absolute Amount of	This field is applicable to loan quotes and withdrawals. After the minimum equity has been computed as the base amount plus the various option items above, it must be determined if there is a non-zero maximum to this value. If so, enter a non-zero amount in the Absolute Amount of field.
whichever is	“ “—There is no cap or floor for the calculated minimum equity amount. M—More L—Less
Allow Withdrawals to Decrease the Specified Amount Below Minimum Issue Amount	Y—Yes The system allows the total specified amount to be less than the minimum issue limits defined on the component. N—No If the withdrawal will result in the total specified amount to be less than the minimum issue limits defined on the component, the withdrawal cannot be processed.

Field	Description
Apply Minimum and Maximum Limits After Policy Change	This field determines if minimum and maximum limits defined on the MM—Minimum/Maximum Segment are applied after issue to specified amount changes, partial withdrawals, and death benefit option changes. Y—Yes The minimum and maximum limits are applied according to the MM Segment. This field must be set to Yes in order to access the Minimum/Maximum MM Segment ID field. If this field is set to Yes, the fields on the MM Segment can be set to override the Allow Withdrawals to Decrease the Specified Amount Below Minimum Issue Amount field. N—No The minimum and maximum limits are applied according to the Component File. If the Allow Withdrawals to Decrease the Specified Amount Below Minimum Issue Amount field is set to Yes, withdrawals may be processed that result in the specified amount being less than the minimum amount defined on the component.
Minimums/Maximums MM Segment ID	This field defines the MM Segment ID that is used to determine the type of actions that minimum and maximum amount limits apply to and the type of editing that occurs. Input the MM Segment ID and press F4 to access the MM Segment.
Minimum Contract Value RW Segment ID	This field contains the Segment ID of the RW—Calc Min Contract Value Segment used in the calculation of minimum contract values.
Number Of Months Prior Guarantee Expiry Letter	This is a two digit numeric field used to define the number of months before a contract's guaranteed current interest rate expires to generate a letter. If this field is left blank, or if a zero is entered, no letter is generated. This field is used in conjunction with Current Interest Guarantee Period field on the Fund Rules screen. The Current Interest Expiry field on the L0—Letter Type Segment is used to define the letter which is to be generated and is where the automatic letter generation process is turned on. Refer to 6.131—L0—Letter Type Segment on page 12-484 in this book for additional information. The keywords, CURRLOCK (Locked in Current Rate) and LOCKDUR (Locked in Duration), are available for use in policy pages and correspondence. These keywords assume that the entire policy value is deposited into one fund. If more than one deposit is made into a fund, the system uses a weighted average of the guaranteed current interest rates.

Field	Description
Fund ID for Negative Values	This field contains the ID of the interest bearing fund that is used only when the variable policy fund value goes negative. Enter the fund ID and press F4 to set up or display the FR—Fund Rules Segment screen for this fund. The fund does not appear on the Premium Allocation screen, nor does it appear on the System Request screen. It is used strictly to make sure that the unit value funds do not reflect negative activity. This allows the activity to be reflected in an interest bearing fund. When the FR Segment is set up for this fund, the interest rates can be set to zero so that negative interest is not credited, or an interest rate can be coded if negative interest is desired.
Highwater Mark For U2	This field contains the Segment ID of the HW—Highwater Mark for U2 Segment. If it is entered, first year U2 loads are limited to premium amounts paid after the accumulated premium payments already paid for the current year equal the highwater mark amount. Premiums which do not cause the accumulated premium for the duration to exceed the highwater mark use U2 charges for the duration in which the premium is paid. In the first duration, the highwater mark is zero. After the first duration, the Highwater Mark is reset by monthiversary processing at anniversary. The Highwater Mark is set to the greater of the existing Highwater Mark and the accumulated premiums paid in the duration ending with the anniversary. Both the current Highwater Mark and the accumulated premiums for U2 loads can be seen on the HW: U2 Highwater Mark fund element accessed from the online Annual Statement for the contract.
Create Funds Dynamically	This field determines if the funds are created as money is deposited, or if they are all created regardless of the deposits when the policy is issued. Y—Yes A fund is only created when money is deposited into it. After the fund is created, however, it remains on the policy even if the amount in the fund is depleted. N—No All funds are added to each policy at issue. It is important to note that if this field is changed, it only effects new policies. After a policy is issued as dynamic or non-dynamic, existing policies are not changed even if the product is changed. The following keywords are available for funds that are created dynamically. FNDID—This keyword is for the fund ID. It can be used for disclosures and correspondence.

Field	Description
Create Funds Dynamically (continued)	FPALAY—This keyword is for the amount of the premium allocation as of the last premium allocation. This keyword can only be used for disclosures. FPALPY—This keyword is for the percentage of the premium allocation as of the last premium allocation. This keyword can be used for disclosures and correspondence. For policy pages, only funds that have had money allocated to them during premium allocation are shown. The funds appear on the policy pages in the display order selected on the FM—Miscellaneous Info Segment.
If Base Benefit, Number of FV Benefits	This field determines the number of benefit sequence numbers that are reserved for potential funds on a policy. This field can only be accessed when funds are created dynamically. Valid values are 0 and 40. 0—No benefit sequence numbers are reserved. All funds, including loans and riders are created dynamically. 40—Forty benefit sequence numbers are reserved for potential funds on a policy, regardless of the number of available funds for the product. Riders, loans, or any other type of benefit begin with benefit sequence number 42. The first benefit sequence number is always assigned to the policy, the next 40 numbers are for the funds, for a total of 41 numbers.
Create Rque To Value On Premium Deposits	This field determines if a non-variable universal life or annuity benefit may be systematically valued whenever a deposit is made. This field is applicable only for Benefit Types BF and AR on the Component File. Y—Yes When a new benefit is issued, the Prem RQUE field on that benefit record (BF or AR) is systematically populated as Yes. For all deposits made after the initial premium payment date, an RQUE (remote access queue) record is generated. Running RQUE processing causes the deposit to be applied immediately and causes valuation processing to occur for that benefit N—No When a new benefit is issued, the Prem RQUE field on that benefit record (BF or AR) is systematically populated as No. The application of deposits and valuation processing occur normally. This is the default. NOTE After a benefit is issued, the Prem RQUE field is permanently set on the benefit record. If the coverage level field on the FC Segment is subsequently changed, the only way to update an existing benefit is to reissue that benefit.

Field	Description
Create Rque For Full Surrenders	This field determines if full surrenders create an RQUE transaction or if they are processed immediately. Y—Yes Full surrenders are processed as an RQUE transaction. N—No Full surrenders are processed immediately through the quote logic. This is the default.
Used as a Contract Minimum	These three fields are only applicable if the product is defined using market-valued funds (fund type M on the FR—Fund Rules Segment). If so, these flags determine how the cash value is calculated for the product. To determine the cash value, the base accumulation is added up for all market-valued funds defined for the product. Then the first alternate accumulation (Alternate Value 1) is added up for all market-valued funds defined for the product. Next, the second alternate accumulation (Alternate Value 2) is added up across all the funds. Finally, the third alternate accumulation (Alternate Value 3) is added up across all the funds. The sum of each accumulation across the funds is then compared to the sum for the other accumulations, using a greatest of comparison. Only the base accumulation and the alternate accumulations for which these fields are set to Yes are used in this comparison. Y—Yes Include this alternate value accumulation in the comparison to determine the cash value for a product using market-valued funds. N—No Do not include this alternate value accumulation in the comparison to determine the cash value for product using market-valued funds. This is the default. NOTE The setting for each alternate value (Alt 1, Alt 2, or Alt 3) applies to that alternate value accumulation across all of the market-valued funds defined for the product. Therefore, it is important that the alternate values are defined in the same order for each market-valued fund defined for the product.

Field	Description
Used to Calculate Surrender Charges	These fields are only applicable if the product is defined using market-valued funds (fund type M on the FR Segment). This field is also only applicable if the Are Alternate Fund Accumulations Used Instead of the Fund Value for Surrender Charge Calculation field on the SC—Full Surrender Controls Segment is set to Yes. Otherwise, surrender charges for a market-valued product are calculated using the sum of the base accumulation across all market-valued funds. If all of the conditions are met, the base accumulation is ignored and only the alternate accumulations are used when calculating surrender charges. The Used to Calculate Surrender Charges fields determine which alternate values are used in a greatest of comparison. First, the accumulations for each applicable alternate value are added up across all market-valued funds defined for the product. Then, the greatest of these sums is determined. This is the accumulation used to determine the surrender charge. The contract's surrender value is found by deducting the surrender charge from the contract's cash value (calculated as described for the previous field, Used as a Contract Minimum). Y—Yes This alternate value accumulation is used when calculating the surrender charge. N—No This alternate value accumulation is not used when calculating the surrender charge. This is the default. NOTE The settings of these fields are only applicable if the corresponding field on the SC Segment is set to Yes. If the SC Segment field is No, the settings for the Used to Calculate Surrender Charges field on this segment are overridden.

Click **Next** to access the third FC Segment screen.

Transfer Type	Retain Original Payment Date
Single Fund Transfer	No
Systematic Fund Transfer	No
Fund Maturity	No
Loan	No
Dollar Cost Averaging	No
Auto Portfolio Rebalancing	No
Window Maturity	No
Coterminous Maturity	No
Non-Coterminous Maturity	No

For new money/old money funds, the original payment date is always used to determine the rate file when computing interest, rather than the window date, the transfer date, or the date of the most recent fund rebalancing. The Original Payment Date field is displayed on the Split Fund/New \$ Old \$ Record Display, accessed from the online annual statement. (The window date is used for other processes, such as window maturity.)

The fields on the third FC Segment screen determine if the original payment date is also used when determining rates for indexed interest bonuses and if the original payment date is retained when funds are transferred. If the original payment date is retained, this causes the “old money” rates to continue to be in effect for that window over the life of the contract. If the original payment date is not retained for a certain type of transfer, then the Original Payment Date field for the new window created for the transferred funds is populated by LifePRO® using the same date as the date displayed in the Window Date field for that situation.

For example, retaining the original payment date upon window maturity allows the original payment date to remain constant, even though the window date is updated as each new window is created. This allows the same “old money rates” to be applied to the window over time.

Similarly, if the product offers an equity indexed margin-based bonus defined on the BU—Indexed Interest Bonus Segment, the Original Payment Date is also used to access the MI, MX,

PZ, IM, and GM rates used to calculate the bonus. Refer to 6.30—BU—Indexed Interest Bonus on page 12-137 in this book for more information about equity indexed margin-based bonuses.

The following table describes the fields on the third FC Segment screen.

Field	Description
Use Original Payment Date For Accessing Indexed Interest Bonus Rates	This field is only applicable if the product has at least one fund defined with a Process Rule of NO—New \$ Old \$ Processing and if the product uses MI, MX, PZ, IM, or GM rates defined on segments which are subsidiary to the BU—Indexed Interest Bonus Segment. Y—Yes The Original Payment Date displayed on the Split Fund/New Old \$ Record Display is used to determine the MI—Minimum Bonus, MX—Maximum Bonus, PZ—Participation, IM—Index Margin, and GM—Guaranteed Index Margin rates used to calculate the equity indexed bonus. N—No The issue date of the policy is used to determine the effective date of the MI, MX, PZ, IM, and GM rate files. Then, the window date is used to select the rate from within that file. This is the default.
Allow Allocation Overrides at Maturity	This field indicates if maturity allocation overrides are allowed at the policy level. Y—Yes Maturity allocation overrides are allowed at the policy level. Any override records at the policy level override maturities set up at the product level using the MT—Fund Maturity, WM—Window Maturity, XN—Non-Coterminous Maturity, or XC—Coterminous Maturity segments. N—No Maturity allocation overrides are not allowed at the policy level. This is the default.

Field	Description
Retain Original Payment Date	These fields are only applicable for annuities and universal life products for which at least one fund is defined using a Process Rule of NO—New \$ Old \$ Processing. The original payment date is used to determine the rate file when computing interest, rather than the window date, the transfer date, or the date of the most recent fund rebalancing. It is displayed on the Split Fund/New Old \$ Record Display, accessed from the online annual statement. If any of these fields is set to Yes, the original payment date is retained when a transfer due to that situation occurs. If any of these fields is set to No, the Original Payment Date field is populated by the system using the same date as the window date in that situation. Both the Original Payment Date and Window Date fields are always populated by the system and stored on the fund detail record. Y—Yes Retain the Original Payment Date if a transfer occurs as a result of the given situation. N—No Do not retain the Original Payment Date. This is the default. Processing Notes • The Auto Portfolio Rebalancing option applies only to funds defined with a Fund Type of U—Unit-Valued Fund Accumulation on the FR Segment. • The Coterminous Maturity field and the Non-Coterminous Maturity field indicate if the original deposit date is retained on the Fund Split (FNDS) record when that type of maturity is processed. For Version 14, this date is not used to retrieve any rates and is reserved for future development.

Mid-Month Premium Valuations

This option is available only to non-variable universal life or annuity benefits defined with a benefit type of BF—UL Base or AR—Annuity Rider on the component record.

For non-variable universal life and annuity benefits, LifePRO® normally values funds modally or whenever money is withdrawn or transferred. Premium deposits are held until the policy is valued.

However, if the Create RQUE To Value On Premium Deposits field on the FC Segment is set to **Yes** when a new BF or AR benefit is issued, LifePRO® systematically populates the Prem RQUE field for that benefit with **Yes**. Whenever a deposit is made after the initial premium payment date, the system reads the value in the Prem RQUE field and if it is set to **Yes**, an

RQUE record is generated. When RQUE processing is run, this causes LifePRO® to immediately apply the deposit and perform mid-month premium valuation processing.

If RQUE processing is not run daily within LifePRO® (such as in conjunction with variable processing), the RQUE record might not be immediately applied. Reverse and recompute functionality processes mid-month premium valuations properly.

Refer to the Inforce Book, Section 3, Benefit Detail Screen (LOB = U) for more information.

Determining Values for a Product with Market-Valued Funds

At the bottom of the second FC Segment screen, are two series of fields related to the alternate value accumulations for products using market-valued funds. These fields are only valid if the product is defined using only market-valued funds on the FR—Fund Rules Segment.

For each market-valued fund, there is a base accumulation up to three alternate accumulations. The base accumulation is credited with interest calculated using indexes (A1—Current Interest Rate Segment) and certificate charges may be deducted (J1—Certificate Charge Segment). The three alternate accumulations are defined using fund-level RW—Calculate Minimum Contract Value Segments, and are credited with traditionally calculated interest based on subsidiary G1—Guaranteed Interest Rate Segment rates. Any one of these four accumulations might be considered the value. The fields displayed near the bottom of the second FC Segment screen define how the cash value, surrender charges, and surrender value are calculated for a market-valued product.

Determining the Cash Value for a Product with Market-Valued Funds

To determine which accumulation is considered the value, first add the base accumulation across all funds for the product, then add all of the alternate value 1 accumulations, next all of the alternate value 2 accumulations, and finally all of the alternate value 3 accumulations.

The resulting sums are then compared, in a greatest of comparison. The sum of the base accumulation across all funds is compared to the sum across all funds for each Alternate Value accumulation for which the Used as a Contract Minimum field is set to **Yes** on the FC—Fund Contract Segment. Whichever accumulation is the greatest in this comparison is considered the value for each of the funds. The sum of that accumulation is the contract's cash value.

For market-valued products, the ULCCV keyword projects the cash value for the contract, based on the greatest interest rate associated with any alternate value accumulation for the *first* market-valued fund associated with the product, if the Used as a Contract Minimum field is set to **Yes** for that alternate accumulation. This is only a projection and does not reflect all of the market-valued funds defined for the product.

Reprojections also reflect the projected cash value for a market-valued product, based on a similar calculation, adjusted for a calendar year of only 360 days. Again, this calculation is a projection based on only the *first* market-valued fund associated with the contract.

NOTE

Because the accumulations are first summed across all funds, and then used in the greatest of comparison, this may result in the value for a specific fund to be less than other accumulations. For example, assume that there are two market-valued funds attached to a product, and each has only one alternate value accumulation. Assume that this alternate value accumulation is considered in the greatest of comparison. If the base accumulation is \$50 for the first fund, and \$200 for the second fund, this adds up to \$250 across both funds. If the alternate value accumulation is \$100 for the first fund and \$100 for the second fund, this adds up to \$200 across both funds. In this example, the base accumulation is considered the value for both funds (\$250 > \$200). This results in the value for the first fund to be \$50 (base accumulation) even though the alternate value accumulation is higher (\$200).

Determining the Surrender Charges for a Product with Market-Valued Funds

The surrender charges for a market-valued product are calculated differently depending on the settings for the Are Alternate Fund Accumulations Used Instead of the Fund Value for Surrender Charge Calculation field on the SC—Full Surrender Controls Segment, and the three Used to Calculate Surrender Charges fields at the bottom of the second FC Segment screen.

If the field on the SC—Full Surrender Controls Segment is set to **No**, then the base accumulation is used to determine the surrender charges. If the SC Segment field is set to **Yes**, then the base accumulation is ignored. Instead, the surrender charges are based on the greatest of the alternate accumulations for which the Used to Calculate Surrender Charges fields are set to **Yes**.

If the alternate accumulations are used to calculate the surrender charges, first add the alternate value 1 accumulation across all funds, then all of the alternate value 2 accumulations, and then all of the alternate value 3 accumulations.

The resulting sums are then compared, in a greatest of comparison. The sum of each alternate accumulation across all funds is compared if the Used to Calculate Surrender Charges field is set to **Yes** on the FC—Fund Contract Segment. Whichever alternate accumulation is the greatest in this comparison is considered the basis for the surrender charges. The sum of that accumulation is multiplied by the rate defined on the SL—Full Surrender Load Segment, to determine the actual surrender charges.

Determining the Surrender Value of a Product with Market-Valued Funds

After the cash value and surrender charges are determined for the market-valued product, the surrender value can be determined. The surrender value is the cash value, less any applicable surrender charges. Thus, the calculation of the surrender value for a market-valued product is dependent on these Alternate Value fields on the FC Segment.

For market-valued products, the ULCSV keyword projects the surrender value for the contract, based on the greatest interest rate associated with any alternate value accumulation for the *first* market-valued fund associated with the contract, if the Used to Calculate Surrender Charges field is set to **Yes** for that alternate accumulation. This is only a projection and does not reflect all of the market-valued funds defined for the product.

Reprojections also reflect the projected surrender value for a market-valued product, based on a similar calculation, adjusted for a calendar year of only 360 days. Again, this calculation is a projection based on only the *first* market-valued fund associated with the contract.

6.85 FL—Loan Fund Package Rules Segment

NOTE

Universal life and annuities only

The FL—Loan Fund Package Rules Segment is accessed through the Loan Fund ID field on the LN—Loan Interest Segment and contains all of the subsegments that are necessary to create an interest bearing or unit linked fund. This segment is also used to define rules that are applied to funds that are loaned. If this fund is set up, the rules from the FL Segment apply to the amount of the fund that is loaned. This provides a way to retain the interest earned on a loan impaired balance and to credit that amount with a separate interest rate.

Fund Rule Segment			
Segment ID	LOAN ACCT >>		
Type	FL		
Process Rule	Aggregate Processing		
Fund Type	Interest Bearing Fund Accum		
Fund Subtype	>>		
		Fund Dates	
		Inception	Alternate Fund ID:
		Closed	>>
		Terminated	>>
Segment Description	Flag	Segment ID	
Miscellaneous Info	Yes	LOAN ACCT >>	
Mortality and Expense	No	>>	
		Unit ID	No >>
		Unit Value Calculation	Not Applicable
Multiple M&E Charges (Unit Price Numbers) Exist? N/A			
State Codes			
OK			
Cancel			

The following table contains definitions for the fields on the FL Segment.

Field	Description
Process Rule	Three types of fund structures are available in <i>LifePRO</i>®. AG—Aggregate Processing This fund structure is also known as portfolio. With this structure, the system maintains the balance for the fund as a single value. Each month, the prior month's value (a single number) is brought forward with the interest, and each premium received is brought forward with interest, and added to the fund. Thus, the accumulated value of individual premiums is lost. NO—New S, Old S Processing This is the extreme opposite of the AG—Aggregate Processing method. Every payment is kept in a bucket, and that bucket grows from month to month. Full history of each payment's value from date of receipt to the current date is available online. Essentially, there is no limit to the number of such payments (actually, the system runs out of sequence numbers after 32,000+ payments, not a limitation). SF—Split Fund Processing This is a simpler version of NO—New S, Old S Processing. Periodically, a new bucket is opened and from that point on (or until still another new bucket is opened), new premiums are accumulated on an aggregate basis in the new bucket. When a new bucket is opened, the older buckets continue to grow on an aggregate basis. Each bucket may, of course, have its own set of interest rates attached in the Declared Rates File. DB—Daily Interest Buckets This method places all premiums paid on the same month and day, ignoring the year, into the same bucket in aggregate. Thus, a premium paid on 05/14/2005 is combined with a premium paid on 05/14/2004 into the 5/14 bucket. There are a maximum of 366 possible buckets on a policy for index processing using the DB Process Rule.
Fund Type	There are four types of fund accumulations which may be defined. I—Interest-Bearing Fund Accum This type of fund accumulates based on standard interest rates, defined using A1—Current Interest Rate Segment and G1—Guaranteed Interest Rate Segment. U—Unit-Valued Fund This type of fund accumulates based on equity rates defined using the Units by Coverage or Units by Date options from the Product System's Rates and Factors Menu. Within <i>LifePRO</i>®, these equity rates are called unit values. This type of accumulation is valid for variable products only. Unit-valued funds and interest-bearing funds may both be used for the same variable product.

Field	Description
Fund Type (continued)	M—Market-Valued Fund This type of fund has up to four accumulations, a base accumulation and up to three alternate accumulations. The base accumulation is credited with interest calculated using indexes defined on the A1 Segment. When monthiversary is processed or whenever a fund valuation occurs, the required interest rates are calculated based on the index value of the starting date and the index value of the ending date, adjusted for the time period. The alternate accumulations are defined from fund level RW—Minimum Contract Value Calculation Segments, accessed from the Fund Rules screen. These accumulations are credited traditional interest based on the subsidiary G1—Guaranteed Interest Rate Segment. The value of the fund is determined by flags on the FC—Fund Contract Segment. Refer to Section 12, Determining Values for a Product with Market-Valued Funds on page 12-337 for more information. This type of fund is valid for annuities only. Market-valued funds may not be mixed with other fund types within the same product. X—Indexed Fund This fund type invokes the equity index annuity logic. When this option is selected, the Process Rule must be NO—New S, Old S Processing.
Fund Subtype	This field defines the Fund Subtype for the Fund ID to which it is attached when separate accounts are used and the funds are defined by Fund/Coverage ID. The field cannot be accessed when Unit ID is used. When the Unit ID field is Yes , this field displays the Fund Subtype assigned to the Unit ID. If the Unit ID field is No , the Fund Subtype table can be accessed to select a Fund Subtype for the Fund ID.
Fund Dates	The fields in this section are only accessible if the Fund Type is Unit Valued Fund.
Inception	The beginning date for the fund is entered in this field.
Closed	The date on which a fund can no longer receive new money is entered in this field. An error message is received if the date entered is prior to the Global Transaction Date.
Terminated	The date on which a fund is terminated and all money in the fund is transferred to the alternate fund identified in the Alternate Fund ID field is entered in this field. An error message is received if the date entered is prior to the Global Transaction Date.

Field	Description
Alternate Fund ID	If the fund selected for processing is closed or terminated, the fund identified in this field is used instead of the fund requested. This field is required if the Closed Date field or a Terminated Date field is entered. There are no edits to ensure that the Alternate Fund ID selected is part of the fund package. If the Trigger Record for closing the fund is processed and the Alternate Fund ID is not part of the fund package, the new Premium Fund Allocation record is not created. When new money is received or a systematic request is processed that would direct money into the closed fund is processed, the FR Segment is read and if the Alternate Fund ID is not on the fund package, an error is received. To correct the error, access the FR Segment and input an Alternate Fund ID that is on the fund package. If the Alternate Fund ID selected for the termination is not part of the fund package and the RQUE for the termination transfer is processed, the RQUE ends without processing and an ENS message is generated. To correct the error, access the FR Segment and select an Alternate Fund ID that is on the fund package and then Reverse/Recompute the policy to reset the status of the RQUE to Pending and complete the transfer. If the Closed or Terminated Date has been input, but the Trigger records have not been processed, the dates can be updated. After the Trigger records are processed, these dates can no longer be updated.
Miscellaneous Info	This segment allows the assignment of a descriptive name to a fund.
Mortality and Expense	When Y—Yes is selected, a segment ID may be entered. Mortality and expense charges can be date sensitive or can use the normal rate type structure (such as attained age or duration). Whenever F4 is pressed from the Mortality and Expense Charges Segment identified on the FR— Fund Rule Segment, the ME—Mortality and Expense Segment is displayed.
Unit ID	The first Unit ID field indicates if unit rates are used for the fund. Y—Yes The name of the unit ID from which to access the rates for the fund is input in the second field. Click on >> to select a unit ID from the cross reference list. N—No The unit rates for the fund are accessed by coverage. This field is only accessible for unit valued funds. It is not accessible for interest bearing funds.
Description	This is the Short Description field from the Unit ID screen. It is a 15 character alphanumeric identifier for a unit ID.

Field	Description
Unit Value Calculation	This field can only be updated on this screen if the Unit ID field is set to No. If the Unit ID field is set to Yes, this field displays the Unit Value Calculation selected on the Unit ID screen. N—Not Applicable The unit value for this Unit ID is not calculated by the system. R—Ratio Method For each annual mortality and expense charge (price number) within the fund, the ratio of the current net asset value plus the dividends to the prior net asset value is adjusted by the daily mortality and expense charges for the number of days since the last net asset value for that annual mortality and expense charge (price number). The result is then multiplied by the last unit value for that annual mortality and expense charge (price number) within the fund. D—Different Method For each annual mortality and expense charge (price number) within the fund, the difference between the current net asset value plus the dividends and the prior net asset value is adjusted by the daily mortality and expense charges for the number of days since the last net asset value for that annual mortality and expense charge (price number). The result is then added to the last unit value for that annual mortality and expense charge (price number) within the fund.
Multiple M&E Charges (Unit Price Numbers) Exist	This field indicates if there are multiple unit prices for a fund. This field is systematically set when more than one unit price is found for the Unit ID or Fund/Coverage ID combination. Yes—This fund has multiple unit values. No—Only one unit value exists for this fund.

6.86 FM—Miscellaneous Information Segment

NOTE

Universal life only

The Miscellaneous Information Segment allows a fund to be given a name that is different from the fund ID. This description is displayed when setting up the fund allocation for a new policy in Validation. This segment also offers the ability to define the display order for each fund.

Enter Miscellaneous Fund Information

Segment ID: AAHY >> Segment Type: FM

Fund Full Description: AAHY

Fund Short Description:

Fund Display Sequence: 0 (If zero, displays in Default Order)

Asset Class Code:

Fund Family:

OK Cancel

The FM—Miscellaneous Information Segment can be accessed through the Segment List on the Fund Rules screen by entering the FM Segment ID and pressing **F4**.

The following fields are unique to the FM Segment.

Field	Description
Fund Full Description	This field further defines the fund segment ID. The first 13 characters of the description input in this field are stored and displayed on the trigger record for FC commissions, on the COMX record for FC commissions, and the COMX record for CC commissions at the fund level.

Field	Description																																																								
Fund Short Description	The description for the fund input in this field is displayed on the Systematic Requests Fund screen. The description can contain up to 15 alphanumeric characters.																																																								
Fund Display Sequence: (If zero, displays in Default Order)	This field is used to designate the order of the funds when they are displayed after issue. The system reads the fund display sequence number that has been defined in this field and displays the funds accordingly. If this field is not used, the funds are displayed in the natural order sequence determined by the F0—Fund Package Segment. For example, assume CAP STOCK is the first fund displayed on the F0 Segment. Therefore, the benefit sequence number is 02. (Remember the benefit sequence 01 is always for the policy.) However, the display sequence assigned is 11. Therefore, if all funds were attached to a policy, this benefit has a benefit sequence number of 02 but appears in the twelfth position on the Benefit screen. <table><tr><th>Ben Seq # FO</th><th>Fund Name FM</th><th>Display Seq #</th><th>Order shown on screen</th></tr><tr><td>01</td><td>Policy</td><td></td><td></td></tr><tr><td>02</td><td>Cap Stock</td><td>11</td><td>Government</td></tr><tr><td>03</td><td>Income Stock</td><td>9</td><td>Fixed 10</td></tr><tr><td>04</td><td>Balanced</td><td>7</td><td>Money Mrkt</td></tr><tr><td>05</td><td>Bond</td><td>5</td><td>Fixed 1</td></tr><tr><td>06</td><td>Money Mrkt</td><td>3</td><td>Bond</td></tr><tr><td>07</td><td>Government</td><td>1</td><td>Fixed 3</td></tr><tr><td>08</td><td>Intl Stock</td><td>12</td><td>Balanced</td></tr><tr><td>09</td><td>Fixed 1</td><td>4</td><td>Fixed 5</td></tr><tr><td>10</td><td>Fixed 3</td><td>6</td><td>Income Stock</td></tr><tr><td>11</td><td>Fixed 5</td><td>8</td><td>Fixed 7</td></tr><tr><td>12</td><td>Fixed 7</td><td>10</td><td>Cap Stock</td></tr><tr><td>13</td><td>Fixed 10</td><td>2</td><td>Intl Stock</td></tr></table> The same display sequence number can be assigned to different funds. If this occurs, the funds with the display sequence number are ordered based on the natural order from the F0 Segment. For example, if 5 is assigned to the Balanced Fund and the Bond Fund, the Balanced Fund is displayed in position 5 and the Bond Fund is displayed in position 6 when the display order is used. If another fund is assigned a display sequence of 6, it appears in position 7.	Ben Seq # FO	Fund Name FM	Display Seq #	Order shown on screen	01	Policy			02	Cap Stock	11	Government	03	Income Stock	9	Fixed 10	04	Balanced	7	Money Mrkt	05	Bond	5	Fixed 1	06	Money Mrkt	3	Bond	07	Government	1	Fixed 3	08	Intl Stock	12	Balanced	09	Fixed 1	4	Fixed 5	10	Fixed 3	6	Income Stock	11	Fixed 5	8	Fixed 7	12	Fixed 7	10	Cap Stock	13	Fixed 10	2	Intl Stock
Ben Seq # FO	Fund Name FM	Display Seq #	Order shown on screen																																																						
01	Policy																																																								
02	Cap Stock	11	Government																																																						
03	Income Stock	9	Fixed 10																																																						
04	Balanced	7	Money Mrkt																																																						
05	Bond	5	Fixed 1																																																						
06	Money Mrkt	3	Bond																																																						
07	Government	1	Fixed 3																																																						
08	Intl Stock	12	Balanced																																																						
09	Fixed 1	4	Fixed 5																																																						
10	Fixed 3	6	Income Stock																																																						
11	Fixed 5	8	Fixed 7																																																						
12	Fixed 7	10	Cap Stock																																																						
13	Fixed 10	2	Intl Stock																																																						
Asset Class Code	A user-defined class code can be assigned to the fund. This field can contain up to 15 alphanumeric characters. This field is informational only and there are no edits for the value input. If this field is entered, the value is displayed on the VLAG Detail record.																																																								

Field	Description
Fund Family	A user-defined fund family can be assigned to the fund. This field can contain up to 15 alphanumeric characters. This field is informational only and there are no edits for the value input. If this field is entered, the value is displayed on the VLAG Detail record.

6.87 FN—Commutation Rules

The FN—Commutation Rules Segment accesses the U5—Universal Life Guaranteed COI Rates Segment and the IC—Commutation Interest Rate Segment to compute commutation functions realtime as needed. This segment can be accessed from the UL—Universal Life Corridor Segment, the CV—Cash Value Segment, and the ET—Extended Term/Reduced Paid Up Segment.

The screenshot shows a software dialog box titled "Commutation Rules". At the top, there are two fields: "Segment ID" with the value "EwL" and a selection button ">>", and "Segment Type" with the value "FN". Below these, there are four more fields: "Guaranteed COI" with the value "80CSOL4000" and a selection button ">>", "Commutation Interest Rates" with the value "4.0PERCENT" and a selection button ">>", "Continuous Dx" with a dropdown menu set to "Yes", and "Continuous Cx" with a dropdown menu set to "Yes". At the bottom, there are two numeric fields: "Dx Adjustment" with the value "1.0000000" and "Cx Adjustment" with the value "1.0000000". In the bottom right corner, there are three buttons: "Rates", "OK", and "Cancel".

The following table contains descriptions for the fields on the FN Segment.

Field	Description
Guaranteed COI	The Segment ID for a U5—Universal Life Guaranteed COI Rates Segment is input in this field. Press F4 from this field to display the U5 Segment and view the rates.
Commutation Interest Rates	The Segment ID for an IC—Commutation Interest Rates Segment is input in this field. Press F4 from this field to display the IC Segment and view the rates.

Field	Description
Continuous Dx	Y—Yes Continuous Dx and continuous Cx factors are desired. The Dx Adjustment and Cx Adjustment fields should be set to 1.00. Continuous factors assume that premium and death benefits are paid at any time during the year. N—No Semi-continuous commutation factors or curtate commutation factors are desired. The appropriate adjustment factors are input in the Dx Adjustment and Cx Adjustment fields. Semi-continuous factors assume that premiums are paid at the beginning of the year and death benefits are paid at any time during the year. Curtate factors assume that premiums are paid at the beginning of the year and death benefits are paid at the end of the year.
Continuous Cx	Y—Yes Continuous Dx and continuous Cx factors are desired. The Dx Adjustment and Cx Adjustment fields should be set to 1.00. Continuous factors assume that premium and death benefits are paid at any time during the year. N—No Semi-continuous commutation factors or curtate commutation factors are desired. The appropriate adjustment factors are input in the Dx Adjustment and Cx Adjustment fields. Semi-continuous factors assume that premiums are paid at the beginning of the year and death benefits are paid at any time during the year. Curtate factors assume that premiums are paid at the beginning of the year and death benefits are paid at the end of the year.
Dx Adjustment	If continuous commutation functions are desired, the adjustment factor is 1.00. If semi-continuous or curtate factors are desired, the appropriate adjustment factor is input in this field.
Cx Adjustment	If continuous commutation functions are desired, the adjustment factor is 1.00. If semi-continuous or curtate factors are desired, the appropriate adjustment factor is input in this field.

LifePRO® computes 7-pay premiums for traditional products using commutation functions generated from basic principles as shown below.

$$D_{x+t} = v^t * d_{x+t}$$

$$C_{x+t} = v^{t+1} * d_{x+t}$$

Continuous functions are developed as shown below.

$$\bar{D}_x = \left(\frac{\delta - \frac{i}{1+i}}{\delta^2} \right) D_x + \left(\frac{i - \delta}{\delta^2} \right) D_{x+1}$$

$$\bar{C}_x = \frac{i}{\delta} \cdot C_x$$

Since COBOL does not support a natural logarithm (ln) function, δ (delta) is calculated as shown below. The value is then truncated to nine decimal places.

$$\delta = \ln(1 + i) = i - \frac{i^2}{2} + \frac{i^3}{3} - \frac{i^4}{4} + \frac{i^5}{5}$$

The 7-pay premium is then computed using the following formula.

$$\frac{M_x}{N_x - N_{x+7}}$$

6.88 FQ—Feature Questions Segment

NOTE

Universal life and annuity base benefits only

Features are product variations selected by the owner and agent. The combination of features can affect the unit price, free withdrawals, bonuses, surrender loads, and other product options. Defining features on the FQ—Feature Questions Segment and valid feature combinations on the FX—Feature Control Segment allows unit values and segments to vary based on these selections.

The FQ—Feature Questions Segment is used to define up to 25 features with a minimum of 1 option and a maximum of 99 options for each feature. These features are selected during New Business for each policy issued that uses this coverage. In addition, up to 10 policy level effective date substitution segments can be assigned based on the feature selections.

Definitions

Feature Definition ID: JAO UL >> Segment Type: FQ

Number of Features: 3

	Feature Description	# of Sels
1	FREE WITHDRAWAL	2
2	BONUS CREDIT	2
3	SPECIAL FEATURES	2

Page 1 of 1

Buttons: List Options..., Selections, Description, Next, Previous, OK, Cancel

Complete the following steps to access the FQ Segment and add feature descriptions.

1. From the Segment List press **F10**.
2. Set the Y/N field to **Yes**, input the segment ID for the FQ Segment, and click **Select**. The FQ Feature Questions Segment screen is displayed.

3. Input the number of features this coverage offers in the Number of Features field. The number of Feature Descriptions lines are displayed for the number of features stated in the Number of Features field.
4. Input the fields as described in the following table. If more than 10 feature descriptions are available, click **Next** to access additional lines for the feature descriptions.

Field	Description
Number of Features	This field defines the number of features available for this coverage. LifePRO® opens up exactly the number of Feature Description lines defined in this field and requires that the entire list and the possible options in the lower file are completed before the segment can be saved.
Feature Description	This field describes the product feature and is displayed on the Feature Selections screen during New Business. These fields are user defined and can contain up to 20 alphanumeric characters. Click Selections while the cursor is in this field to access the Feature Selections screen to define the options for this feature.
# of Sels	This field defines the number of choices or selections associated with each feature description.

5. After completing the screen click **OK**.

Feature Selections Screen

The Feature Definition Selection screen is used to define the possible selections for each feature description. For example, assume Free Withdrawal is a feature description and 2 is input in the # of Sels field. The Feature Selection screen is used to define the two options available for the free withdrawal.

LifePRO® opens up exactly the number of Available Selection lines defined in the # of Sels field on the FQ Segment. If more than 10 selections are defined, click **Next** to access the second screen of available selections.

The Feature Selections screen is accessed from the FQ—Feature Questions Segment screen by positioning the cursor in the appropriate Feature Description field and clicking **Selections**.

The following table contains definitions for the field on the Feature Selections screen.

Field	Description
Available Selections	These fields define the available options for a given feature. <i>LifePRO</i>® opens up the number of lines entered in the # of Sels field indicated on the FQ Segment. All options must be defined to continue processing. It is important to note that the option listed in the first Available Selections line is the default selection displayed on the Feature Selection window in New Business. The most common selection should be input in the first Available Selections line for each feature.

Feature Segment Substitution List

The Feature Segment Substitution List allows ten occurrences of Segment Type and ID to be defined as overrides for each feature selection. This screen is accessed by clicking **Additional Setup** while the cursor is on the desired selection on the Feature Selections screen.

If a segment type is not defined on this list, the segment is not overridden and the segment attached to the product is used when this feature selection is chosen. If the segment type and ID

are defined, the segment attached to the product is overridden with the segment ID from the substitution list when this feature selection is selected.

All segment types selected must be high level segments. For example if the SL—Full Surrender Load Segment is substituted, the SR—Full Surrender Segment is the actual segment that is substituted because the SL Segment is a lower level segment accessed from the SR Segment.

When segment substitutions are selected from the FQ Segment, they take precedence over all issue date substitution types. They also override all effective date substitution types except those made for a specific company and policy.

Feature Segment Substitution List		
Feature Definition ID	JAO UL	
Question Number	001	
Description	FREE WITHDRAWAL	
Selection Number	002	
Description	20%	
Type	Segment ID	
SR	10%	>>
WD	10%	>>
		>>
		>>
		>>
		>>
		>>
		>>
		>>
		>>
		>>
		>>

Select

OK

Cancel

The following table contains definitions for the fields on the Feature Segment Substitution List screen.

Field	Description
Type	This field defines the override segment type to be used when the feature selection is chosen in New Business. If the type is input, it must be a valid UL or annuity segment. Duplicate segment types are not allowed. The segment type must not be blank if the segment ID is not blank.
Segment ID	This field defines the override segment ID to be used when the feature selection is chosen. A ten character, alphanumeric segment ID may be created. Or, an existing segment ID can be selected from a cross reference list by clicking >>. If a segment type is input, an existing valid segment ID must also be input. Press F4 from the Segment ID to access the segment.

6.89 FR—Fund Rule ID Segment

NOTE

Universal life and annuities only

The FR—Fund Rule ID Segment can be accessed through the F0—Fund Package Segment or the S0—Specified Amount Increase Fund Package Segment by entering a fund ID and pressing **F4**. The FR Segment controls the rules that govern the accumulation of money in a fund.

Fund Rule Segment		
Segment ID	UL1 >>	
Type	FR	
Process Rule	Aggregate Processing	
Fund Type	Interest Bearing Fund Accum	
Fund Subtype	>>	
		Fund Dates
Inception		Alternate Fund ID:
Closed		>>
Terminated		>>
Segment Description	Flag	Segment ID
Miscellaneous Info	No >	>>
Mortality and Expense	No >	>>
Unit ID	No >	>>
Unit Value Calculation	Not Applicable >	
Multiple M&E Charges (Unit Price Numbers) Exist? N/A		
State Approval		
OK		
Cancel		

The following table contains definitions for the fields on the FR—Fund Rule ID Segment.

Field	Description
Process Rule	Four types of fund structures are available in LifePRO®. AG—Aggregate Processing This fund structure is also known as portfolio. With this structure, the system maintains the balance for the fund as a single value. Each month, the prior month's value (a single number) is brought forward with the interest, and each premium received is brought forward with interest, and added to the fund. Thus, the accumulated value of individual premiums are lost. SF—Split Fund Processing This is a simpler version of New \$, Old \$ method. Periodically, a new bucket is opened and from that point on (or until still another new bucket is opened), new premiums are accumulated on an aggregate basis in the new bucket. When a new bucket is opened, the older buckets continue to grow on an aggregate basis. Each bucket may, of course, have its own set of interest rates attached in the Declared Rates File. NO—New \$, Old \$ Processing Unlike the Aggregate Processing option, all money applied to the fund is maintained in separate buckets (also referred to as windows). The applied money can be the result of a deposit or a transfer into the fund. Each deposit or transfer opens a new bucket with the effective date of the deposit or transfer. However, additional fund level rules and segment settings can alter this functionality. Each bucket (or window) is brought forward with interest each processing cycle. However, the interest rate is retrieved based on the date of the bucket instead of the policy date. Thus, each bucket (or window) can have an entirely different interest rate applied. DB—Daily Interest Buckets This method places all premiums paid on the same month and day, ignoring the year, into the same bucket in aggregate. Thus, a premium paid on 05/14/2005 is combined with a premium paid on 05/14/2004 into the 05/14 bucket. There are a maximum of 366 possible buckets on a policy for index processing using the DB process rule.

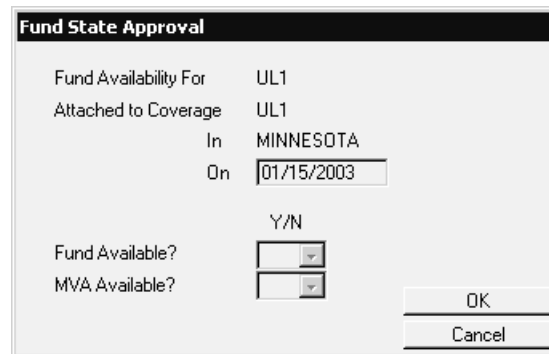
Field	Description
Fund Type	There are four types of fund accumulations which may be defined. I—Interest-Bearing Fund Accum This type of fund accumulates based on standard interest rates, defined using the A1—Current Interest Rate Segment and G1—Guaranteed Interest Rate Segment. U—Unit-Valued Fund This type of fund accumulates based on equity rates defined using the Units by Coverage or Units by Date options from the Product System's Rates and Factors Menu. Within LifePRO®, these equity rates are called unit values. This type of accumulation is valid for variable products only. Unit-valued funds and interest-bearing funds may both be used for the same variable product. M—Market-Valued Fund This type of fund has up to four accumulations, a base accumulation and up to three alternate accumulations. The base accumulation is credited with interest calculated using indexes defined on the A1 Segment. When monthaversary is processed or whenever a fund valuation occurs, the required interest rates are calculated based on the index value of the starting date and the index value of the ending date, adjusted for the time period. The alternate accumulations are defined from fund level RW—Minimum Contract Value Calculation Segments, accessed from the Fund Rules screen. These accumulations are credited traditional interest based on the subsidiary G1—Guaranteed Interest Rate Segment. The value of the fund is determined by fields on the FC—Fund Contract Segment. Refer to Section 12, Determining Values for a Product with Market-Valued Funds on page 12-337 for more information. This type of fund is valid for annuities only. Market-valued funds may not be mixed with other fund types within the same product. X—Indexed Fund This fund type invokes the equity index annuity logic. When this option is selected, the Process Rule must be New \$, Old \$ Processing.
Fund Subtype	This field defines the Fund Subtype for the Fund ID to which it is attached when separate accounts are used and the funds are defined by Fund/Coverage ID. The field cannot be accessed when Unit ID is used. When the Unit ID field is Yes, this field displays the Fund Subtype assigned to the Unit ID. If the Unit ID field is No, the Fund Subtype table can be accessed to select a Fund Subtype for the Fund ID.
Fund Dates	The fields in this section are only accessible if the Fund Type is Unit Valued Fund.
Inception	The beginning date for the fund is entered in this field.

Field	Description
Closed	The date on which a fund can no longer receive new money is entered in this field. An error message is received if the date entered is prior to the Global Transaction Date.
Terminated	The date on which a fund is terminated and all money in the fund is transferred to the alternate fund identified in the Alternate Fund ID field is entered in this field. An error message is received if the date entered is prior to the Global Transaction Date.
Alternate Fund ID	If the fund selected for processing is closed or terminated, the fund identified in this field is used instead of the fund requested. This field is required if the Closed Date field or a Terminated Date field is entered. There are no edits to ensure that the Alternate Fund ID selected is part of the fund package. If the Trigger Record for closing the fund is processed and the Alternate Fund ID is not part of the fund package, the new Premium Fund Allocation record is not created. When new money is received or a systematic request is processed that would direct money into the closed fund is processed, the FR Segment is read and if the Alternate Fund ID is not on the fund package, an error is received. To correct the error, access the FR Segment and input an Alternate Fund ID that is on the fund package. If the Alternate Fund ID selected for the termination is not part of the fund package and the RQUE for the termination transfer is processed, the RQUE ends without processing and an ENS message is generated. To correct the error, access the FR Segment and select an Alternate Fund ID that is on the fund package and then Reverse/Recompute the policy to reset the status of the RQUE to Pending and complete the transfer. If the Closed or Terminated Date has been input, but the Trigger records have not been processed, the dates can be updated. After the Trigger records are processed, these dates can no longer be updated.
Miscellaneous Info	This segment allows the assignment of a descriptive name to a fund.
Mortality and Expense	When Yes is selected, a segment ID may be entered. Mortality and expense charges can be date sensitive or can use the normal rate type structure (such as attained age or duration). Whenever F4 is pressed from the Mortality and Expense Charges Segment identified on the FR—Fund Rule Segment, the ME—Mortality and Expense Segment is displayed.

Field	Description
Unit ID	The first Unit ID field indicates if unit rate are used for the fund. Y—Yes The name of the unit ID from which to access the rates for the fund is input in the second field. Click on >> to select a unit ID from the cross reference list. N—No The unit rates for the fund are accessed by coverage. This field is only accessible for unit valued funds. It is not accessible for interest bearing funds.
Description	This is the Short Description field from the Unit ID screen. It is a 15 character alphanumeric identifier for a unit ID.
Unit Value Calculation	This field can only be updated on this screen if the Unit ID field is set to No. If the Unit ID field is set to Yes, this field displays the Unit Value Calculation selected on the Unit ID screen. N—Not Applicable The unit value for this Unit ID is not calculated by the system. R—Ratio Method For each annual mortality and expense charge (price number) within the fund, the ratio of the current net asset value plus the dividends to the prior net asset value is adjusted by the daily mortality and expense charges for the number of days since the last net asset value for that annual mortality and expense charge (price number). The result is then multiplied by the last unit value for that annual mortality and expense charge (price number) within the fund. D—Different Method For each annual mortality and expense charge (price number) within the fund, the difference between the current net asset value plus the dividends and the prior net asset value is adjusted by the daily mortality and expense charges for the number of days since the last net asset value for that annual mortality and expense charge (price number). The result is then added to the last unit value for that annual mortality and expense charge (price number) within the fund.
Multiple M&E Charges (Unit Price Numbers) Exist	This field indicates if there are multiple unit prices for a fund. This field is systematically set when more than one unit price is found for the Unit ID or Fund/Coverage ID combination. Yes—This fund has multiple unit values. No—Only one unit value exists for this fund.

State Approval Window

Click **State Approval** from the FR—Fund Rules ID Segment to display the Fund State Approval screen. This option can be used to designate fund approval in specific states. As a default, a fund is automatically approved in all states as long as the state is approved for the product in the State Control File. If a Fund State Approval record is not found for the issue state, it is assumed that the fund is available.



The image shows a dialog box titled "Fund State Approval". It contains the following fields and controls:

- Fund Availability For: UL1
- Attached to Coverage: UL1
- In: MINNESOTA
- On: 01/15/2003
- Y/N: (radio buttons)
- Fund Available?: (checkbox)
- MVA Available?: (checkbox)
- OK button
- Cancel button

To set up fund approval for a state, click on the desired state. A selection window is displayed. Complete the date, then press **F8** to add a new detail record for that state. After completing a record, click **OK** to save the record or click **Cancel** to exit without saving.

Multiple Records—Multiple records can be added for one state by selecting a subsequent issue date and pressing **F8** to add.

Deleting Records—An existing record can be deleted by clicking the desired state. From the detail record, press **Alt+F8** to delete. A confirmation window is displayed. Press **Alt+F8** again to confirm the deletion.

The following table contains field descriptions for the fields on the Fund State Approval window.

Field	Description
Fund Availability In/On	The state selected is displayed in the In field. Input the effective date of this record in the In field. This date is compared to the issue date of the policy in Policy Add to determine the date when a fund is available. In order for a fund to be unavailable in a specific state, a record must exist with the Fund Available field set to No. If the Fund Available field is set to Yes without a previously existing record that is set to No, LifePRO® assumes that the fund has always been available for that state and the Fund Availability date is not verified.
Fund Available	Y—Yes The fund is available in the state selected. If this is the only record for the state, the system assumes that the fund has always been available for the state and the date is not used. In order for a fund to be unavailable in a specific state, a record with an earlier date must exist with this field set to No. N—No The fund is not available in the state selected. NOTE If the Fund Available field on the Fund Rules screen is set to No, the fund is not available even if this field is set to Yes.
MVA Available	Y—Yes If the product is a market value adjusted product, MVA logic is invoked normally for the issue state. If the product has MVA, but the issue state does not allow that feature on the issue date, then MVA logic is suppressed. N—No

Annual M&E Charges

Press **F5** from the FR—Fund Rules Segment to access the Annual M&E Charges screen. This screen displays the unit values for all annual mortality and expense charges (price numbers) for the effective date. In addition, the External Charge Band ID is displayed if there are charge bands identified for the unit ID.

Annual M&E Charges			
Valid Annual M&E Charges For:			
Unit ID	UAME	Effective Date:	
			03/26/2004
Annual M&E Charges	External Charge Band ID	Unit Value	
75			
90			
95			
110			
125			
140			
150			
165	0000	12.4784890	
170			
175	0010	12.4582240	
180	0015	12.4480690	
190		12.4278720	
195	0030	12.4178410	
200	0035	12.4077040	
205		12.3976720	

The following processes can be performed from this screen.

Add From the FR—Fund Rules ID Segment press **F5** to display the Annual M&E Charges screen. Press **F8** to add the new unit values. Input the effective date for the values. The Unit Values column is opened so multiple unit values can be input. Input all the unit values and click **OK** to complete the transaction. A Confirmation window is displayed to confirm the new values.

Update Unit values can be added for an existing fund by positioning the cursor on the appropriate Annual M&E Charge and pressing **F8**. Input the unit value for the annual M&E charge and click **OK**.

Fund Type Comparison of LifePRO® Functionality

The following chart compares LifePRO® functionality depending on the fund type as defined on the FR—Fund Rules Segment. Products with market-valued funds are compared to products with other fund types.

LifePRO® functionality	Products with market-valued funds	Products with other fund types
The method by which the fund accumulation increases differs according to the fund type. The fund type is defined on the FR—Fund Rule Segment for each fund.	Products with market-valued funds have a base accumulation and up to three alternate accumulations. The base accumulation is credited with interest calculated from indexes defined on the A1 Segment. A certificate charge may be deducted from the base accumulation, if one is defined on the J1 Segment. The alternate accumulations are defined on fund level RW Segments and are credited with interest based on the subsidiary G1 Segment. If a field is set on the fund level RW Segment, the contract level BE Segment rate may be added to the G1 rate when determining the current interest for the alternate accumulation. Loads and monthly expenses may also be deducted from the alternate accumulation, as defined on subsidiary U2 and UF Segments.	Interest-bearing funds have only one accumulation. They are credited with the greater of the current interest rate or the guaranteed interest rate, defined on the A1 and G1 Segments. The value of unit-valued funds is based on the value per unit. These values are defined using the Units by Date and Units by Coverage options from the Product System's Rates and Factors Menu.

LifePRO® functionality	Products with market-valued funds	Products with other fund types
Some types of funds may be used together for the same product, as defined on the F0—Fund Package Segment.	If one fund on the F0 Segment is defined using fund type M on the FR Segment, then all funds on the F0 Segment must also be market-valued funds.	A product may be defined using only interest-bearing funds (fund type I), only unit-valued funds (fund type U), or some combination of both. If at least one fund is unit-valued, the product is considered within LifePRO® to be a variable product. Other product types which do not vary may also be created, such as a fixed universal life product consisting of only interest-bearing funds.
The value of the fund is determined differently, depending on the fund type defined on the FR Segment. This affects whether the online annual statement reflects the product's cash value.	For market-valued funds (fund type M), the value of the fund is determined based on a greatest of comparison, depending on fields on the FC Segment. The annual statement reflects the sum of the base accumulation for all market-valued funds associated with the product, which may or may not be the cash value. The alternate accumulations are viewed from the Fund Record Display, using the 100, 200, and 300 series of benefit sequence numbers.	There is only one accumulation associated per fund for either an interest-bearing (fund type I) or unit-valued (fund type U) fund. The online annual statement reflects the sum of these accumulations across all funds associated with the product. Therefore, for products using interest-bearing or unit-valued funds (or both), the online annual statement reflects the cash value.

LifePRO® functionality	Products with market-valued funds	Products with other fund types
The policy owner may make choices about how to invest his or her money into the various funds defined on the F0—Fund Package Segment. These choices are entered into the system from the Premium Fund Allocation screen during Validation.	For products with market-valued funds, the policy owner may choose in which funds to invest his or her money. All market-valued funds are based on interest credited to the various accumulations. Therefore, the policy owner may not choose between fixed and variable fund for a market-valued product.	For products with interest-bearing or unit-valued funds (or both), the policy owner may choose in which funds to invest his or her money. If both types of funds are available for the same product on the F0 Segment, the policy owner may also choose the proportion of funds to invest in fixed funds versus variable funds.
The method for importing rates or values varies according to the fund type as defined on the FR Segment.	Products with market-valued funds may use A1, G1, and J1 Declared Interest Rates. These rates may be imported using the Import Daily Rates option from the Report/Processing System's Product Reports Menu.	A1 and G1 rates for interest-bearing funds may also be imported using the Import Daily Rates option from the Report/Processing System's Product Reports Menu. The unit values for a unit-valued fund are imported using the Import Unit Values option from the Report/Processing System's Product Reports Menu. For variable products, a new price day must be established for each day with new rates, by selecting the Extract Unit Values option from the same menu. This option also generates a report summarizing the previous price day's business for variable products only.

LifePRO® functionality	Products with market-valued funds	Products with other fund types
The method for processing transfers, withdrawals, and surrenders is the same for all products defined using more than one fund on the F0—Fund Package Segment. Systematic requests are processed automatically through a nightly cycle process called RQUE processing or prior to monthiversary processing. Loss and gain (LAG) accounting is generated in association with systematic requests, RQUE, and monthiversary processing.	For products with market-valued funds, transfers, withdrawals, and surrenders must be processed using the Systematic Requests option from the Inforce Policy Requests Menu.	For products with unit-valued funds or both interest-bearing and unit-valued funds, transfers, withdrawals, and surrenders must be processed using the Systematic Requests option from the Inforce Policy Requests Menu. (Typically products are not defined using more than one interest-bearing fund without at least one unit-valued fund.)
The Global Trans Date field determines which rates or values are used. If products with market-valued funds and variable products are both used, the global transaction date must be carefully managed.	For market-valued funds, the last day for which the system uses the A1, G1, and J1 Declared Interest Rate Files is the date defined as the global transaction date.	For interest-bearing funds, the last day for which the system uses the A1 and G1 Declared Interest Rate Files is the date defined as the global transaction date. For unit-valued funds, the last day for all values defined using the Units by Date or Units by Coverage options must be equal to the global transaction date.

6.90 FS—Deduction Rules Segment

NOTE

Universal only

The FS—Deduction Rules Segment allows the order in which buckets are affected to be specified if the process rule on the FR—Fund Rules Segment is **Split Fund** or **New \$ Old \$**, since there is typically more than one bucket in a fund.

Whenever deductions are to be taken, a withdrawal, or a portion of the fund to be impaired with a loan, the order in which the buckets are affected must be specified on this segment (LIFO, FIFO, or Prorata). Both LIFO and FIFO are dependent on the bucket date.

Split/N\$O\$ Fund Rules

Segment ID: >> Segment Type: FS

Process Requests	LIFO / FIFO / Prorated	MPR Expenses	LIFO / FIFO / Prorated
Withdrawals	Prorated	Mortality (COI)	Prorated
Free Withdrawal	Prorated	Monthly Deductions	Prorated
Loans (*)	Prorated	Spec Amt Change Deductions	Prorated
		Policy Fee	Prorated
		Rider Deductions	Prorated

* Use Policy or Window Duration to retrieve the LC Segment

* Allocate Preferred Loan in Aggregate

Calc Interest Exclusion based on Balance per Window or Entire Fund

Note: Per Window option uses Window Duration to read EX Segment.
Entire Fund option uses Policy Duration to read EX Segment and Exclusion is applied across the Windows on a FIFO basis.

OK Cancel

This segment is accessed through the Segment List on the Fund Rules screen or the FL—Fund Rule Segment. The FL Segment is accessed through the Loan Fund ID field on the LN—Loan Interest Rates Segment.

The following table contains definitions for the fields on the FS Segment.

Field	Description
Withdrawals	Partial surrenders are taken from each bucket per the rule. L—LIFO Money coming out of the windows is considered on a last in, first out basis. F—FIFO Money coming out of the windows is considered on a first in, first out basis. P—Prorated The percentage of the overall fund value in each window is considered. Money coming out of each window is based on the percentage of the amount of money in the window compared to the amount of money in the other windows. Thus, the money coming out of each window is proportionately equal.
Mortality (COI)	The base cost of insurance is deducted on the basis selected. L—LIFO Money coming out of the windows is considered on a last in, first out basis. F—FIFO Money coming out of the windows is considered on a first in, first out basis. P—Prorated The percentage of the overall fund value in each window is considered. Money coming out of each window is based on the percentage of the amount of money in the window compared to the amount of money in the other windows. Thus, the money coming out of each window is proportionately equal.
Free Withdrawal	When computing surrender charges on a fund basis, if the Withdrawals field is set to FIFO, then the free withdrawal exclusion amount is offset by any gain. L—LIFO Money coming out of the windows is considered on a last in, first out basis. F—FIFO Money coming out of the windows is considered on a first in, first out basis. P—Prorated The percentage of the overall fund value in each window is considered. Money coming out of each window is based on the percentage of the amount of money in the window compared to the amount of money in the other windows. Thus, the money coming out of each window is proportionately equal.
Monthly Deductions	Any policy charges other than those generated by the UF—Per Policy Monthly Exp Segment are deducted on the basis selected in this field. L—LIFO Money coming out of the windows is considered on a last in, first out basis. F—FIFO Money coming out of the windows is considered on a first in, first out basis.

Field	Description
Monthly Deductions (continued)	P—Prorated The percentage of the overall fund value in each window is considered. Money coming out of each window is based on the percentage of the amount of money in the window compared to the amount of money in the other windows. Thus, the money coming out of each window is proportionately equal.
Loans	A bucket is impaired based on the basis selected in this field. L—LIFO Money coming out of the windows is considered on a last in, first out basis. F—FIFO Money coming out of the windows is considered on a first in, first out basis. P—Prorated The percentage of the overall fund value in each window is considered. Money coming out of each window is based on the percentage of the amount of money in the window compared to the amount of money in the other windows. Thus, the money coming out of each window is proportionately equal.
Spec Amt Change Deductions	If a product has UJ—Specified Amount Increase Load Fee Per \$1000 Segment or UK—Specified Amount Increase Load Percent Segment charges (for each specified amount increase, either as a constant or on a per 1000 basis, an additional charge is taken), the charge is taken from the buckets in the order selected. L—LIFO Money coming out of the windows is considered on a last in, first out basis. F—FIFO Money coming out of the windows is considered on a first in, first out basis. P—Prorated The percentage of the overall fund value in each window is considered. Money coming out of each window is based on the percentage of the amount of money in the window compared to the amount of money in the other windows. Thus, the money coming out of each window is proportionately equal.
Policy Fee	The UF—Per Policy Monthly Exp charges are deducted on the basis selected in this field. L—LIFO Money coming out of the windows is considered on a last in, first out basis. F—FIFO Money coming out of the windows is considered on a first in, first out basis. P—Prorated The percentage of the overall fund value in each window is considered. Money coming out of each window is based on the percentage of the amount of money in the window compared to the amount of money in the other windows. Thus, the money coming out of each window is proportionately equal.

Field	Description
Rider Deductions	Any rider charges are deducted in the order selected in this field. L—LIFO Money coming out of the windows is considered on a last in, first out basis. F—FIFO Money coming out of the windows is considered on a first in, first out basis. P—Prorated The percentage of the overall fund value in each window is considered. Money coming out of each window is based on the percentage of the amount of money in the window compared to the amount of money in the other windows. Thus, the money coming out of each window is proportionately equal.
Use Policy or Window Duration to retrieve the LC Segment	This field defines the type of duration that is used when locating the interest rates on the LC—Loan Impairment Int Crdt Segment. P—Policy Duration The policy duration is used to determine the rates to use on the LC Segment. W—Window Duration The window duration is used to determine the rates to use on the LC Segment. This is the default.
Allocate Preferred Loan in Aggregate	This field defines if the preferred loan process uses all of the income first, before basis, or if the entire loan balance is applied against each window fund balance. Y—Yes Use all of the policy's income first, before using the basis. N—No Allocate the entire loan balance against each window fund balance following the fund deduction rules.
Calc Interest Exclusion based on Balance per Window or Entire Fund	This field defines if the interest exclusion rate is applied to split fund and new money, old money funds on an aggregate window fund basis or on a total fund balance. W—Window Interest exclusion is calculated per window. The EX—Interest Exclusion Segment is read for each window using the window date. Based on the select and ultimate setup of the segment, each window could use a different segment. Essentially, each window is treated as its own aggregate fund. The only value that is applied across windows is the maximum exclusion value coded on the segment. F—Entire Fund Interest exclusion is calculated for the entire fund balance and then the exclusion amount is applied to each window on a FIFO basis until the exclusion amount runs out. The system reads the EX Segment using the fund value of the parent benefit's issue date. The maximum exclusion amount is applied using the entire fund balance.

6.91 FU—Pre-Defined Follow Ups

The FU—Pre-Defined Follow Ups Segment is accessed through the Segment ID of Pre-Defined Follow-up Setup field on the NB—New Business Defaults Segment by pressing **F4**. This segment allows pre-defined Follow-up Records to be set up on a policy at the time of issue. For example, the policy ownership can be automatically transferred to an insured upon a designated birthday. The ability to override the FU Segment by state exists through the State Follow Up Overrides screen accessed through the State Follow-up Overrides option from the State Control File.

The system first verifies if the segment ID of the Pre-Defined Follow-Up Setup field on the NB—New Business Segment has been defined. If the FU Segment has been defined, the system loads the information on the segment and checks to see if any state overrides are present. Overrides are defined by coverage ID and issue state through the State Follow-up Overrides option from the State Control File.

Pre-Defined Follow Ups				
Segment ID	TEDI	>>	Segment Type	FU
Default Follow Up Notice to Generate @MRI				
Generate the Above Defined Follow up Notice at Issue to be Processed				
010	Days Before or		Date After the	010 Birthday of the IN Relationship
Default Follow up Notice to Generate				
Generate the Above Defined Follow up Notice at Issue to be Processed				
	Days Before or		Date After the	Birthday of the Relationship
Default Follow up Notice to Generate				
Generate the Above Defined Follow up Notice at Issue to be Processed				
	Days Before or		Date After the	Birthday of the Relationship
Default Follow up Notice to Generate				
Generate the Above Defined Follow up Notice at Issue to be Processed				
	Days Before or		Date After the	Birthday of the Relationship
Default Follow up Notice to Generate				
Generate the Above Defined Follow up Notice at Issue to be Processed				
	Days Before or		Date After the	Birthday of the Relationship

Each of the fields on the Pre-Defined Follow Ups screen is dependent on one another. All fields must be completed. Click **OK** to save the information.

Field	Description
Default Follow Up Notice to Generate	A valid Follow-up code must be entered in this field or the message <i>Invalid Follow-Up Code</i> is displayed when the information is saved by clicking OK. Duplicate Follow-up codes are not permitted. Follow up codes are defined through Follow-up Definition accessed through the Table Definition Menu in System Configuration. Refer to the System Configuration Book, Section 9, 5.2—Follow-Up Definition Screen for further information. If using the automatic ownership change feature, @OWC must be entered in this field, and the policy code on the policy must be equal to the predefined policy code on the Follow-up Definition screen. If this field is left blank, the message <i>Provide Missing Follow-Up Code</i> is displayed.
___ Days Before or	This field is used to designate the number of days before the designated birthday to generate the Follow-up. If this field is left as 0 or blank, the message <i>Provide Either Missing Number of Days Before or Date After</i> is displayed when the information is saved by clicking OK. Valid values are 1-999.
Date After the ___ Birthday of the	Enter the desired number of the birthday upon which to designate the desired Follow-up. If this field is left blank, the message <i>Provide Missing Birthday</i> is displayed after clicking OK to save the information. Valid values are 1-999.
Relationship	Any valid LifePRO® relationship may be entered in this field. If a policy relationship is not entered the message <i>Provide Missing Relationship Code</i> is displayed.

6.92 FW—Free Withdrawal Segment

NOTE

Universal life and annuities only

The FW—Free Withdrawal Segment controls how the amount available for a free withdrawal is calculated and is accessed through the WD—Partial Withdrawal Segment. The rules and the calculation method are defined on this segment.

Rate Type Segment									
Segment ID	HIGH >>		Select Period	Duration	0				
Segment Type	FW		Ultimate ID						
Constant Rate	0.0000000		(Added to File Rate if Declared)						
Rate Type	Constant Rate Only								
Type Modifier	☐		Rates Vary by Underwriting Class		No				
Mult Insured Access	☐								
Rate Basis	Separate And Unique		Years of	0					
Banding Method	Not Banded								
Banding Rule	Traditional								
Upper Band Limits	0	0	0	0	0	0	0	Mode Rules	
Rates Coded As	Actual Amount								
Change Frequency	Not Applicable								
	0								
									OK
									Cancel

Fields Unique to this Segment

Refer to Chapter 3—Premiums—Upper Portion of Screen Field Definitions on page 12-17 in this book for a description of the fields in the upper portion of the screen.

Click **Next** to access the calculation rules.

The calculation rules are located on the second screen of the segment.

Segment Screen - FW (2nd)

Calculation Code:

Minimum Calculation Code:

Adjust Account Value by Withdrawals in Last Months

NOTE: Prior Year-End Values will not affect reprojections

Free Withdrawal Rules

Maximum Exclusion Amount Reduced by Prior Withdrawals:

Number of Months:

Should Exclusion Amount be Reduced by Transaction Charge:

Should Accounting for Free Withdrawal be Separated Out:

Maximum Number of Exclusions:

of this maximum, the Number that can be Systematic: Only Include:

Non-Systematic:

Use Current RMD as Minimum Exclusion Amount:

Maximum Exclusion Amount:

Cumulative Maximum % of Fund Value:

Add Premiums Since Anniversary:

No Free Partial if Automatic Withdrawal in Effect:

Exclude Free Withdrawals from MVA Calculation:

Accumulate unused exclusion percentage up to a maximum of %

OK Cancel

The following table contains definitions for the fields on the second screen of the FW Segment.

Field	Description
Calculation Code	This field controls the basis for the free withdrawal calculation.
	F—Current Fund Value
	C—Current Anniversary Fund Value When calculating the free withdrawal on a full surrender, this option uses the fund value for the current anniversary period, even if monthiversary or anniversary processing has not been run.
	A—Last Anniversary Fund Value
	P—Initial Gross Premium
	V—Fund Value as of First Withdrawal for Policy Year The amount calculated using this option is in effect for the entire policy year. The Maximum Exclusion Based on Calculation Code field must be Yes in order to use this option.
	N—Calculate by Net Percent The free withdrawal is calculated as a percentage of the net surrender value less the current loan balance.

Field	Description
Calculation Code (continued)	M—Minimum Fund Value The maximum free withdrawal is calculated based on the minimum value of the entire policy or annuity contract. G—Total Gross Premiums The free withdrawal is calculated based on the total gross premiums paid. Y—Prior Year-End Fund Value The free withdrawal is calculated based on the fund value as of the end of the prior calendar year. If 12/31 of the prior year falls before the policy's issue date, the free withdrawal amount is zero. S—Prior Year-End Surrender Value The free withdrawal is calculated based on the surrender value as of the end of the prior calendar year. If 12/31 of the prior year falls before the policy's issue date, the free withdrawal amount is zero. NOTE If the Calculation Code is set to Prior Year-End Fund Value or Prior Year-End Fund Value, the Maximum Exclusion amount reduced by prior Withdrawals field must be set to Since Anniversary. If the 12/31 calendar year end falls off-anniversary, an intermediate valuation record is created for the policy, so that the fund value and surrender value are available for free withdrawal calculations. Caution should be exercised when quoting free withdrawals which cross the end of the calendar year if the Calculation Code is set to Prior Year-End Fund Value or Prior Year-End Fund Value. If the appropriate 12/31 value is not yet available, a message is displayed. For example, when monthiversary processing is run on the December policy anniversary, a Remote Queue (RQUE) record is created as of 12/31, to capture the 12/31 fund value and surrender value. If this RQUE record has not yet been processed, the message <i>FW Segment setup required</i> is displayed. E—Earnings The free withdrawal amount is calculated based on the earnings calculated on the date of the withdrawal (Account Value less Net Deposits, where Net Deposits are defined as premiums collected less non-free amounts withdrawn). L—Cumulative Percentage as of Last Anniversary The free withdrawal amount is a percentage of the last anniversary fund value (or current anniversary if the withdrawal is taken on an anniversary date). The percentage accumulates each year since policy issue.

Field	Description
Calculation Code (continued)	J—Adjusted Account Value The free withdrawal amount is calculated as the total fund value plus any cumulative gross withdrawals taken during the preceding rolling period multiplied by the free percentage. When this calculation code option is selected, the number of months in the rolling period defined in the Adjust Account Balance by Withdrawals in Last __ Months field must be greater than zero. R—Remaining Purchase Payments The free withdrawal amount is calculated using the remaining purchase payments that were received during the surrender charge period. This option is only available if the Alternative Surrender Method Number field on the SR—Full Surrender Segment is set to Alternate Surrender Method 4.
Minimum Calculation Code	This field is used to determine the minimum free withdrawal amount. E—Earnings The free withdrawal amount calculated using the option in the Calculation Code field is compared to Earnings. The greater amount is used when determining the free withdrawal amount. If this option is selected, the option of the Calculation Code field cannot be set to Earnings. This option is only available if the Alternative Surrender Method Number field on the SR—Full Surrender Segment or the WD—Partial Surrender Segment is set to Alternate Surrender Method 4. N—None The free withdrawal amount calculated using the option in the Calculation Code field is used. This is the default.
Adjust Account Value by Withdrawals in Last __ Months	This field defines the number of months in the rolling period. If the number of months is greater than zero, the Calculation Code field must be set to Adjusted Account Value. Valid values are 0 - 99. This field defaults to zero.

Field	Description
Free Withdrawal Rules	
Maximum Exclusion Amount Reduced by Prior Withdrawals	This field determines if the exclusion amount is reduced by prior withdrawals and the time frame in which these prior withdrawals are considered. A—Since Anniversary N—Neither I—Since Issue P—Percent Since Issue The free withdrawal percentage is reduced by the percentage free taken in prior years. M—In the Last n Months The maximum exclusion amount is reduced by the number of free withdrawals during the preceding rolling period. When this calculation code option is selected, the number of months in the rolling period selected in the Number of Months field must be greater than zero.
Number of Months	This field defines the number of months in the rolling period. If the number of months is greater than zero, the Maximum Exclusion Amount Reduced by Prior Withdrawals field must be set to In the Last n Months. Valid values are 0 - 99. This field defaults to zero.
Should Exclusion Amount be Reduced by Transaction Charge	This field defines if the exclusion amount is reduced by the transaction charge defined in the Transaction Charge field on the WC—Partial Withdrawal Control Segment. Y—Yes Reduce the exclusion amount by the transaction charge. N—No Do not reduce the exclusion amount by the transaction charge.
Should Accounting for Free Withdrawals be Separated Out	Y—Yes Accounting codes 0568—Free Part Withd and 1022—Fund Deduction are used, if applicable. N—No
Maximum Number of Exclusions	This field can be used to set a cap on the maximum number of exclusions allowed per anniversary.
of this maximum, the Number that can be Systematic	The number of withdrawals that can be processed during the policy year using the Systematic Requests screen before surrender charges are applied is displayed in this field. It is important to note that if the amount of the withdrawal is greater than the calculated free withdrawal amount, the surrender charges are applied even if the withdrawal is within the number allowed.

Field	Description
Non-Systematic	The number of withdrawals that can be processed during the policy year through methods other than systematic requests before the surrender charges are applied is displayed in this field. It is important to note that if the amount of the withdrawal is greater than the calculated free withdrawal amount, the surrender charges are applied even if the withdrawal is within the number allowed.
Only Include	This field defines the type of systematic withdrawals that are included when determining the maximum number of exclusions or the maximum number of systematic exclusions. S—Single Only single systematic withdrawals are included when determining the maximum number of exclusions or systematic exclusion. P—Periodic Only periodic systematic withdrawals are included when determining the maximum number of exclusions or systematic exclusions. B—Both Both single and periodic systematic withdrawals are included when determining the maximum number of exclusions or systematic exclusions. This is the default.
Use Current RMD as Minimum Exclusion Amount	This field indicates if the required minimum distribution amount should be considered when calculating the free withdrawal amount allowed in a year. This comparison is only made if a required minimum distribution systematic request is active on the policy. Y—Yes The required minimum distribution amount is compared to the free withdrawal amount determined by the FW—Free Withdrawal Segment. The greater of the required minimum distribution amount or the free withdrawal amount is the free withdrawal amount for the year. N—No The free withdrawal amount for the year is the amount determined by the FW—Free Withdrawal Segment. The required minimum distribution amount is not considered.
Maximum Exclusion Amount	This field is used to set a cap on the maximum exclusions amount per anniversary.
Cumulative Maximum % of Fund Value	This field determines if there is a maximum percentage of fund value that is available for a free withdrawal at any given time. This field is only applicable when the Calculation Code field is set to Cumulative Percentage as of Last Anniversary. Y—Yes A maximum percent of the fund value can be withdrawn free. This percentage amount is entered in the next field. N—No There is no cap on the percent of the fund value that can be withdrawn free. This is the default.

Field	Description
Percentage	Input the maximum percentage of the fund value that can be withdrawn free at any given time.
Add Premiums Since Anniversary	This field determines if the premiums received since the last anniversary are included when the free withdrawal amount is calculated. Y—Yes Add premiums received since the last anniversary to the anniversary value when calculating the free withdrawal amount. This option is only available when the Calculation Code Is % Of field is set to Current Anniversary Fund Value or Last Anniversary Fund Value. N—No Do not add premiums received since the last anniversary when calculating the free withdrawal amount. This is the default.
No Free Partial if Automatic Withdrawal in Effect	Y—Yes N—No
Exclude Free Withdrawals from MVA Calculation	This field determines if the free portion of the partial withdrawal is included in the market value adjustment calculation. Y—Yes The free portion of the partial withdrawal is excluded from the market value adjustment calculation. This is the default. N—No The market value adjustment calculation includes the entire gross partial withdrawal, including the free portion.
Accumulate unused exclusion percentage up to a maximum of	If desired, the percentage rate used in the calculation of the free withdrawal may be set to accumulate, up to a defined maximum, using this field. If defined, the number displayed in this field is the maximum free withdrawal permitted at any time, with or without accumulations.

6.93 FX—Feature Control Segment

NOTE

Universal life or annuity base benefits only

Features are product variations selected by the owner and agent. The combination of features can affect the unit price, free withdrawals, bonuses, surrender loads, and other product options.

The FX—Feature Control Segment is used to define the valid combinations of features. Product features are defined on the FQ—Feature Questions Segment. In addition, the FX Segment assigns a price number, valuation code, valuation description, commission option, and policy level effective date substitution segments that are used during policy processing.

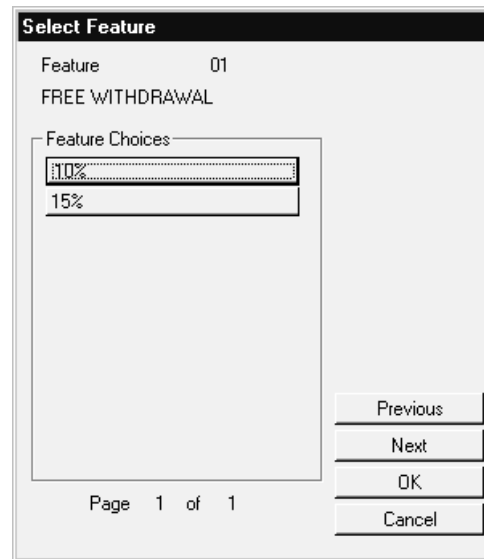
The feature questions defined on the FQ Segment are displayed on the FX Segment when it is accessed.

No	Feature Question	Feature Selection
1	FREE WITHDRAWAL	
2	BONUS CREDIT	
3	SPECIAL FEATURES	

Complete the following steps to set up the FX Segment.

1. From the Segment List press **F10**.
2. Set the Y/N field to **Yes**, input the segment ID for the FX Segment, and click **Select**. The FX—Feature Control Segment screen is displayed with a list of features defined on the FQ—Feature Questions Segment.

- Click on the first feature. The Select Feature screen is displayed with the list of options defined on the FQ Segment.



Select Feature

Feature 01
FREE WITHDRAWAL

Feature Choices

10%
15%

Page 1 of 1

Previous
Next
OK
Cancel

- Select the desired option from the list of choices.
- Continue this process until a selection has been made for all features.
- Click **Values**. The Define Feature Control Values screen is displayed.

Feature Control Values Screen

The Define Feature Control Values screen displays the list of features and the selection made for each feature.

Define Feature Control Values					
Feature Control ID	VA2004	Feature Definition ID	05VA2004	Segment Type	FX
Feature Combination					
No	Feature Question	Feature Selection			
☒	1	Model Allocation?	Cons 7-14 Years		
☐					
☐					
☐					
☐					
☐					
☐					
☐					
☐					
☐					
Page 1 of 1					
Override Segments					
Type	Y/N	Segment ID			
☐	☐				
☐	☐				
☐	☐				
☐	☐				
☐	☐				
☐	☐				
☐	☐				
☐	☐				
☐	☐				
☐	☐				
☐	☐				
Feature Combination Values					
Valid Combination?	☒	Fund Level Variations?	☐		
Error Message					
Price Number					
Valuation Code					
Valuation Code Description					
Commission Option	☒	Validate Commission Option?	☒		
Next Previous OK Cancel					

The following table contains definitions for the fields on the Define Feature Control Values screen.

Field	Description
Feature Combination	
This section contains the list of feature descriptions and the selections made for the features. These fields cannot be updated.	
When setting up the FX—Feature Control Segment, each feature combination must be defined as valid or not valid using the Valid Combination field. The default feature combination must be a valid combination.	
Valid Combination	This field determines if the feature combination displayed in the top portion of the screen is valid. Y—Yes The feature combination is valid. This is the default. N—No The feature combination is not valid. If this combination is selected during New Business, the error message input in the Error Message field in the lower section of this screen is displayed. Options for the features must be selected in New Business until a valid combination is selected before the policy can be issued.
Fund Level Variations	This field is used to define variations, at the fund level, for the combination of answers to the questions defined on the FQ—Feature Questions Segment. Y—Yes When the feature combination is selected, fund level variations are used. The Fund Variations by Feature Combination screen is displayed so the fund and parameters can be identified. N—No Variations by fund are not used when the feature combination is selected. This is the default.
Error Message	This user defined, 50 character, alphanumeric field is used to input the error message description that is displayed in New Business when a feature combination that is not valid is selected. The default error message is <i>Selected Feature Combination Is Not Valid</i>. The default error message is displayed if it is not overridden by a user defined error message.
Price Number	This field allows a unique price number to be assigned to each feature combination. This allows different unit prices to be in effect for different feature combinations. This four digit, numeric field defines the price number used to access the Unit Price File. The default is 0.

Field	Description
Valuation Code	This 25 character, alphanumeric field is a user defined numeric description of the feature combination. This number is displayed on the loss and gain (LAG) file and cannot be blank. This code is not used for LifePRO® processing.
Valuation Description	This 50 character, alphanumeric field is used to hold a user defined optional text description of the feature combination. This description is not used for LifePRO® processing.
Commission Option	This field allows the commission rate to vary based on the feature combination. If the Valid Combination field is set to Yes , this field must contain a 2 character, alphanumeric value. The default is 01.
Validate Commission Option	This field determines which commission option is used when the commission option for the feature combination and the commission option selected on the Policy Dates and Agent Information screen during New Business are different. Y—Yes The commission option input on the Policy Dates and Agent Information New Business screen is compared to the commission option for the feature combination. If they differ, the Commission Option Mismatch screen is displayed when the feature combination is processed. This window allows you to decide which commission option is used for the policy. This is the default. The commission options available are controlled by the Comm Option Override field on the New Business Security screen. When the Commission Option Override field on the New Business Security screen is set to 0—No Access you must choose to use the commission option defined for the feature combination or perform no action. If you choose to use the feature combination option, LifePRO® replaces the commission option on the Policy Dates and Agent Information New Business screen with the option defined for the feature combination. If you choose to perform no action, you cannot submit the application. If you attempt to submit the application, the system displays the Commission Option Mismatch window again. When the Override Comm Option field on the New Business Security screen is set to 9—Full Access, the Commission Option Mismatch window is displayed if the commission options are different. You can choose the option defined for the feature combination, the option selected in New Business, or you may enter a different option for the feature combination. The commission option selected is displayed on the Policy Dates and Agent Information New Business screen. N—No The value on the Dates/Agent New Business screen is replaced with the commission option for the feature combination. No error message is displayed when a mismatch occurs.

Field	Description
Override Segments	
Type	This field defines the override segment type that is used when the feature combination is selected in New Business. If the type is input, it must be a valid UL or annuity segment. Duplicate segment types are not permitted. The segment type must not be blank if the segment ID field is not blank.
Y/N	This field indicates if the segment is overridden when the feature combination is selected or if the segment is not used for this feature combination. Y—Yes The segment for the product is overridden, using the segment defined in the Segment ID field when this feature combination is selected. N—No The segment is turned off and not used if the segment it is set up for the base coverage.
Segment ID	This field defines the override segment ID that is used when the feature combination is chosen. A ten character, alphanumeric segment ID may be created or an existing segment ID can be selected from the cross reference list by clicking >>. If a segment type is input, a valid existing segment ID must also be input. To view the segment, position the cursor in the Segment ID field and press F4 .

The Fund Variations by Feature Combination screen is used to define the fund information for the feature combination selected on the Feature Control Values screen when fund variations are used. This screen is immediately displayed when the Fund Level Variations field is set to **Yes**.

In addition, this screen can be displayed by selecting a fund on the Cross Reference of Fund Variations by Feature Combination screen.

The following table contains definitions for the fields on the Fund Variations by Feature Combination screen.

Field	Description
Feature Questions (FQ) ID	The FQ—Feature Questions Segment ID associated with these variations is displayed in this field.
Feature Control (FX) ID	The FX—Feature Control Segment ID associated with these variations is displayed in this field.
Fund ID	The Fund ID for this set of variations is input in this field. A fund can be selected from a list of all funds by clicking >>.
Issue State	The variations can be defined by issue state. If the variations are not defined by state, input @@ in this field and the variations will apply to all issue states.
Issue Date	The variations can be defined by issue date. If the variations are defined by issue date, input the starting issue date in this field. If the variations are not defined by issue date, leave this field blank.
Effective Date	The variations can be defined by an effective date. If the variations are defined by an effective date, input the starting effective date in this field. If the variations are not defined by an effective date, leave this field blank.

Field	Description
Available with GLB	This field determines if the fund is available when the guaranteed living benefit is attached to the policy. Y—Yes The fund is available when a guaranteed living/maturity benefit is present on a policy. This is the default. N—No The fund is not available when a guaranteed living/maturity benefit is present on a policy.
Available with Guaranteed Withdrawal	This field determines if the fund is available when the guaranteed withdrawal benefit is attached to the policy. Y—Yes This fund is available when a guaranteed withdrawal benefit is included on the policy. This is the default. N—No This fund is not available when a guaranteed withdrawal benefit is included on the policy.

The Cross Reference of Fund Variations by Feature Combination screen is accessed from the Feature Controls screen by pressing **Alt+F7**. This screen displays the variations for the funds. The Fund Variations by Feature Combination screen can be displayed for the each fund by positioning the cursor on the fund and clicking **OK**.

Cross Reference of Fund Variations by Feature Combination					
Feature Questions (FQ) ID 05VA2004					
Feature Control (FX) ID VA2004					
Fund ID	State	Issue Date	Effective Date	Avail w/ GLB	Avail w/ GW
Next			OK		
Previous			Cancel		

The following table contains definitions for the fields on the cross reference screen.

Field	Description
Feature Questions (FQ) ID	The FQ—Feature Questions Segment ID associated with the variation is displayed in this field.
Feature Control (FX) ID	The FX—Feature Control Segment ID associated with the variation is displayed in this field.
Fund ID	The Fund ID for the variation is displayed in this field.
State	If the fund variation is limited to a particular state, the 2 digit state abbreviation is displayed in this field. If @@ is displayed, the fund variation is available for all states.
Issue Date	If the fund variation is limited to policies issued after a particular date, this date is displayed in this field.
Effective Date	If the fund variation is limited based on an effective date, this date is displayed in this field.
Avail w/ GLB	This field indicates if the fund is available when a guaranteed living/maturity benefit is present on a policy.
Avail w/ GW	This field indicates if the fund is available when a guaranteed withdrawal benefit is included on the policy.

6.94 G1—Guaranteed Interest Rate Segment

The G1—Guaranteed Interest Rate Segment directs *LifePRO*® to the guaranteed interest rate.

Enter Interest Crediting Segment Criteria

Segment ID: >> Select Period: 0

Segment Type: Ultimate ID:

Key Modifier: ☐ Band Process:

Upper Band Limits

99999999	0	0	0	0	0	0
----------	---	---	---	---	---	---

Constant/Incremental Rates

3.00000						
---------	--	--	--	--	--	--

Rate File IDS and Rules

--	--	--	--	--	--	--

OK
Cancel

The G1—Guaranteed Interest Rate Segment can be accessed through the following screens.

- DD—Dividends Segment (through the Dividend Assumption Segment field on the DV Segment)
- Fund Information screen

Refer to the Product Book, Section 5, Interest Crediting Segment Criteria Screen Field Definitions for descriptions of each field displayed on the G1 Interest Crediting Segment.

A constant rate may be defined or the rates may be defined using a Declared Interest Rate File. If a rate file is defined, complete the following steps to view the rates.

1. From the Interest Crediting Segment Criteria screen position the cursor on the segment ID for the rate file.
2. Press **F4**. The Declared Interest Rate File is displayed.

6.95 G2—Guaranteed Percentage of Premium Load

NOTE

Universal Life—The G2 Segment is identical to the U2—Percent of Premium Load Segment.

Traditional Life—The G2 Segment is accessed through the M4 Segment and is used for allocated coverages in order to specify the percentage of a premium load on traditional riders.

The G2—Guaranteed Percentage of Premium Load Segment is identical to the U2—Percent of Premium Load Segment. When using the G2 Segment, the U2 Segment must be turned on; however, it can be set to zero. The segment is used in two ways, as described below.

- If the segment is present on the Coverage Record for a UL, or possibly an annuity, it is used when projecting the guaranteed values in policy page projections.
- If the segment is present on the Coverage Record for a UL, it is used in the computation of guideline premiums.

It is not used otherwise.

Enter Premium Collection Expenses Criteria - Percentages									
Segment ID	G2			Select Period	0				
Type	G2			Ultimate ID					
Constant Rate	0.00%			Vary By UWCLS	No				
Key Modifier				Sum Rates For Each Insured	No				
Rate Type									
Rate Basis	Male With Setback								
Setback Years	0								
Banding Rule									
Banding Method	Specified Amount								
Band Limits Vary	No			If Yes, BD Segment ID					
	999999999	0	0	0	0	0	0	0	
Maximum Load	0			Load Annually Capped By Target Premium					
Premium Amount Excluded from Load	\$0.00			Number of Years For Cap (0=Nonstop)					
Calculation Method									
If Banded By Total Premium, Incorporate Processed Premium For Entire Policy									
Add Premium Tax Rate To Load in: Guideline Calc				Reserve Calc					
									Rates
									Band Limits
									OK
									Cancel

Fields Unique to this Segment

Refer to Section 12, Chapter 3—Premiums—Upper Portion of Screen Field Definitions on page 12-17 in this book for a description of the fields in the upper portion of the screen.

Field	Description										
Sum Rates For Each Insured	For per unit, per policy, and percent of premium rates, this field defines for joint products if the rate used is the sum of the rates for both insureds or the rate of the primary insured only. Y—Yes The expense rate is the sum of the rates for both insureds. N—No The age, gender, and underwriting class of the primary insured is used.										
Maximum Load	If not zero, the amount in this field caps the percentage premium load just computed. If there is a load fee from the U1—Premium Load Fee Segment attached, only the percentage load is capped.										
Premium Amount Excluded from Load	If this field is a numeral other than zero, this amount is subtracted from the premium being processed. Any positive value left is then used in computing the amount of the load. Also, if the banding method is by either premium (that being processed currently), or by total premium (collected), the band number is based on the gross amount, not the amount less the exclusion amount. For example, assume the banding method is Premium (banded based on the premium being processed and there are two bands). <table> <tr> <td>Up to 1000</td><td>Load = 10%</td></tr> <tr> <td>Over 1000</td><td>Load = 5%</td></tr> </table> Exclusion amount = 500 The load on a premium of 1100 is based on the 1100, hence a load of 5% is applied to $1100 - 500 = 600$, so the load = 30.00. If this load is banded and has the exclusion amount just described and there is a U1—Premium Load Fee Segment attached, \$10.00 for example, then the banding is based on the total premium. The percentage is applied to the premium after the exclusion is subtracted, and finally, the fee is added. If the loads and exclusion are as above, and the U1 fee is \$10.00, a premium collected of \$1,010.00 has a load of \$35.50. <table> <tr> <td>5% x (1010—500)</td><td>= 25.50</td></tr> <tr> <td>+ U1 fee</td><td>= 10.00</td></tr> <tr> <td>Total load</td><td>= 35.50</td></tr> </table>	Up to 1000	Load = 10%	Over 1000	Load = 5%	5% x (1010—500)	= 25.50	+ U1 fee	= 10.00	Total load	= 35.50
Up to 1000	Load = 10%										
Over 1000	Load = 5%										
5% x (1010—500)	= 25.50										
+ U1 fee	= 10.00										
Total load	= 35.50										

Field	Description
Load Annually Capped By Target Premium	Y—Yes The target premium is accumulated from the BF benefit and from any specified amount increase using the target deltas on the specified amount increase event. This figure is then compared to the accumulated premium from the last anniversary. If the premium accumulation is greater than or equal to the target premium, then there is no load computed. If the premium accumulation is less than the target premium, then the difference is computed and compared to the deposit. If the difference is less than the deposit, the percentage of the premium load is calculated on the difference between the premium accumulation and the target premium. Otherwise, it is calculated on the deposit. If there is an exclusion and the load is being calculated on the difference, the exclusion is applied to it instead and the remaining amount is used to calculate the percentage of premium load. N—No
Number of Years for Cap (0 = Nonstop)	When accumulating the target from the base and any specified amount increases, the system first calculates the current duration for each of them. This figure is then used only if the duration falls into the limitations specified in this field.
Calculation Method	This field designates how the load from the G2 Segment is applied. P—Premium Received The load from the G2 Segment is applied to the entire premium received. This is the default. I—Initial Planned Premium The load designated on the G2 Segment is applied to the initial planned premium. B—Base Billable Premium with Percent Rating The load is applied to the base billable premium with percent table rating for fixed universal life products only when the BP—Billable Premium Segment is applicable.

Field	Description
If Banded By Total Premium, Incorporate Processed Premium For Entire Policy	Y—Yes If there is an annuity rider present, it adds the premiums that have already been processed for both the base benefit and the annuity rider to find the correct band to use to retrieve the correct rate. Normally, when modeaversary processes, it picks up the base benefit and processes it as many months as requested. It then picks up the annuity rider and does the same. When this field is set to Yes, it causes each benefit to be processed one month at a time, keeping pace with one another. Because it is a processed premium, the premium loads for each benefit could come out differently depending on how many months were processed at once. LifePRO® processes one month at a time to keep the load calculated consistent. N—No
Add Premium Tax Rate To Load in: Guideline Calc	This field determines if the premium tax rate is included in the load when calculating the guideline premium during policy validation. Y—Yes The premium tax rate is included in the load when calculating the guideline premium during policy validation. N—No The premium tax rate is not included in the load when calculating the guideline premium during policy validation.
Add Premium Tax Rate To Load in: Reserve Calc	This field determines if the premium tax rate is included in the load when calculating reserves. Y—Yes The premium tax rate is included in the load when calculating reserves. N—No The premium tax rate is not included in the load when calculating reserves.

6.96 G3—Guaranteed Per 1000 of Face

NOTE

Universal life only

The G3—Guaranteed Per 1000 of Face Segment is identical to the U3—Per 1000 Expense Segment.

It is only used in two ways, as described below.

- If the segment is present on the Coverage Record for a UL, or possibly an annuity, it is used when projecting the guaranteed values in policy page projections.
- If the segment is present on the Coverage Record for a UL, it is used in the computation of guideline premiums.

It is not otherwise used.

Enter Per Thousand Expense Load Criteria			
Segment ID	UL1 >>	Select Period	0
Type	G3	Ultimate ID	
Constant Amount	0.00	Rates Vary by U/WCLS?	No
Key Modifier		Sum Rates For Each Insured?	
Rate Type			
Rate Basis	Separate & Unique		
Setback Yrs	0		
Banding Rule	Traditional		
Banding Method	Not Banded		
Band Limits			
	0	0	0
	0	0	0
	0	0	0
	0	0	0
	0	0	0
	0	0	0
Load Timing		Adjust for Event	
Times to Deduct	0 (0 = Non-Stop)	Maximum Load	0.00
Calculation Codes			
Spec Amt Layering			
Fund Allocation			
	[Cycle Proc]		
Base Layered Charges on 'O'riginal Layer/'C'urrent Layer			
Layered Charges Applied to SP Layers from Option Changes?			
Decrement Duration by Periods of Non-Coverage?			
			OK
			Cancel

Fields Unique to this Segment

Refer to Section 12, Chapter 3—Premiums—Upper Portion of Screen Field Definitions on page 12-17 in this book for a description of the fields in the upper portion of the screen.

Field	Description
Sum Rates For Each Insured	For per unit, per policy, and percent of premium rates, this field defines for joint products if the rate used is the sum of the rates for both insureds or the rate of the primary insured only. Y—Yes The expense rate is the sum of the rates for both insureds. N—No The age, gender, and underwriting class of the primary insured are used.
Load Timing	The load is deducted from the policy based on the selection in this field. M—Monthly A—Annually
Adjust for Event	Y—Yes N—No
Times to Deduct	If a monthly load timing code is used, the number of times per year to deduct the load is displayed in this field.
Maximum Load	This field can be used to place a cap on the final calculated load.
Calculation Codes	F—Fund Value Apply the rate to the fund value of the policy. S—Specified Amount Apply the rate to the specified amount of the policy. N—NAR Apply the rate to the net amount at risk of the policy. I—Init Sp Amt Apply the rate to the initial specified amount of the policy. T—Target Apply the rate to the target premium for the policy.
Spec Amt Layering	T—Total Amount Apply the load to the total specified amount. L—Layer Increases Apply the load separately to each layer.
Fund Allocation	P—Prorate L—LIFO F—FIFO
Base Layered Charges on Original/Current Layer	C—Current Layer O—Original Layer

Field	Description
Layered Charges Applied to SP Layers from Option Changes	Y—Yes N—No
Decrement Duration by Periods of Non-Coverage	This field allows the expenses defined through the UF—Per Policy Monthly Exp Segment and the U3—Per thousand Exp Load Segment to be accounted for during periods of non-coverage for lines of business U—Universal Life and A—Annuity. Y—Yes If a policy lapses and is reinstated, the system reads the Times to Deduct field and the Load Timing field on the U3 Segment. If the number defined in the Decrement Duration By Periods Of Non-Coverage field is greater than or equal to the contract effective date, normal processing occurs. If the number defined is less than a policy's contract effective date, the system at the time the policy is reinstated continues to deduct charges on an annual or monthly mode as defined in the Load Timing field until the number has been met. For example, assume that 36 is defined in the Times to Deduct field and Monthly is defined in the Load Timing field. Assume that a policy was inforce for 33 months until it lapsed on 01/01/2005. Assume, a year later (01/01/2006) that the policy is reinstated. Charges are deducted on a monthly basis for an additional 3 months (03/01/2006), until the 36 months have been met. N—No If a policy lapses and is reinstated, the system ignores any charges that may have occurred during the lapse period and begins charges based on the reinstatement date.

6.97 GA—Misc Reserve Factors

NOTE

Traditional only

This segment is used if GAAP reserves are being produced from LifePRO®. This is not a true segment. It is a pointer to the Misc Factors File, accessed through the Rates and Factors option on the Product Menu. This is where the GAAP factors are defined.

To use this segment, assign a segment ID. The actual values must be set up in the Misc Factors File. This file cannot be accessed by pressing **F4** from the Segment List.

Miscellaneous Factors File	
Segment ID	PARWL >>
Type	GA
Age	30
Gender	Male
Band	1
Underwriting Class	S
Duration	0
Description	Factor
Benefit Reserve	0.0000000
Benefit Expense Premium	0.0000000
Service Expense	0.0000000
Unamortized Acquisition Expense	0.0000000
Acquisition Expense Premium	0.0000000
Acquisition Expense Percentage	0.0000000
Acquisition Expense Per Policy	0.0000000
Generic Factor 8	0.0000000
Generic Factor 9	0.0000000
Generic Factor 10	0.0000000
Notes	
Replicate Rates	
OK	
Cancel	

6.98 GB—GAAP Benefit Reserves

NOTE

Traditional only

The GB—GAAP Benefit Reserves Segment directs *LifePRO*® to the tabular GAAP benefit reserve factors. This segment is available to compute GAAP benefit reserves for PP and PU coverages. If this segment is not active, the NS rates are used to calculate GAAP reserves for PP coverages and the DN/PU rates are used to calculate the GAAP reserves for PU coverages.

Reserve Factors Screen									
Segment ID	EW/L >>			Segment Type	GB				
Key Modifier	GB			Do Values Vary By Underwriting Class	Yes				
Are Values Banded	No								
Female Rate Basis	Separate And Unique								
Setback Years	0								
Rate Type	Age And Duration								
Band Limits	0	0	0	0	0	0	0		
Reporting Basis									
Valuation Code	AH11D2AAP			Rate Rounding Rule	00			Cash Reserves	
If Reserves Are Split Interest				Type	Terminal			Rates	
Rates, Split Is 'A'ge or 'D'ur				Apply To	Specified Amount			Table Extra Rates	
Interest Rate Point Of Change	000			Value Per Premium Unit	0			Extended Key	
Reserve Ultimate ID									
Reserve Method									
Extended Key Definition Used									
								OK	
								Cancel	

Fields Unique to this Segment

Refer to Section 12, Chapter 3—Premiums—Upper Portion of Screen Field Definitions on page 12-17 in this book for a description of the fields in the upper portion of the screen.

Field	Description
Reporting Basis	0—(Life) Mean Reserves / Deferred Premiums 1—(Health 1) Mid Trml Res / Exact Unearned Premiums 2—(Health 2) Mid Trml Res / Half Mode Unearned Premiums 3—(Health 3) Mid Trml Res / Half Q/S/A Mode Unearned 4—(UL RDR 1) Res = Half Of Monthly Ded; No Due/Deferred
Valuation Code	The valuation code is a 10 character, user defined code used in valuation reporting as a sort key. All benefits with the same valuation code can be sorted together in this manner (sort option). If the Valuation Code field is left blank, LifePRO® defaults to the coverage ID on the Valuation Report screen.
If Reserves Are Split Interest Rates, Split Is	If pointing to an ultimate ID, use this field to define if the change to the ultimate ID is based on an age or duration. Note that the actual point of change is defined in the Interest Rate Point Of Change field. A—Age D—Duration
Interest Rate Point Of Change	Enter the interest rate after split in this field. This field is an information only field. If the rate segment is the same for all years, input 000 in this field.
Reserve Ultimate ID	This field is an information only field. True select and ultimate reserves are handled directly in the computation of the tabular factors themselves. If the rate segment is the same for all years, this field is left blank.
Reserve Method	H—Half Of Reinsurance Premium
Extended Key Definition Used	For health products, reserve rates can be defined using extended key definitions by setting this field to Yes . Note that to use extended key definitions, the KD—Key Definition Segment must be defined. Refer to Section 12, 6.196—PR—Premium Segment on page 12-725 in this book for information on how to use the Extended Key Definition screen to define rates.
Rate Rounding Rule	This field is set to Round After Cents and cannot be updated.

Field	Description
Type	This field specifies how the reserve factors are stored. T—Terminal This is the default. M—Mid Terminal N—Mean
Apply To	This field determines to what factors are applied. S—Specified Amount This is the default. P—Premium
Value Per Premium Unit	If the Apply To field is set to Premium, input the value per unit. For example, if the rates are per \$100 of premium, input 100.00 in this field.

6.99 GD—GAAP DAC Premiums Segment

NOTE

Traditional only

The GD—GAAP DAC Premiums Segment directs *LifePRO*® to the valuation premiums used in GAAP DAC reserve calculations.

Premium Segment File

Segment ID: >> Segment Type: GD

Key Modifier: Do Values Vary By:

Are Values Banded: Underwriting Class:

Female Rate Basis:

Setback Years:

Rate Type:

Rate Rounding Rule:

Band Upper Limits:

Premium Select Period: Premium Change Frequency:

Premium Mode Rule ID:

Coverage ID Of Ultimate Rates:

Premium Rate Calculation Rule:

Extended Key Definition Used:

Mode Rules
Rates
Extended Key
Table Extra
OK
Cancel

Fields Unique to this Segment

Refer to Section 12, Chapter 3—Premiums—Upper Portion of Screen Field Definitions on page 12-17 in this book for a description of the fields in the upper portion of the screen.

Field	Description
Rate Rounding Rule	This field is set to Truncate After Cents and cannot be updated.
Premium Select Period	The length of time, in years, the selected rates are used is displayed in this field. If the same rate segment is used for all years and the Rate Type is Attained Age , Issue Age , or Duration Only , input 0 in this field. If the same rate segment is used for all years and the Rate Type is Age and Duration , input 999 in this field.

Field	Description
Premium Change Frequency	The premium change frequency is the number of durations at a time the rates are held constant. For example, a typical 5-year renewable and convertible term with premiums that are level for 5 years then jump to the attained age and remain level again for 5 years, has a premium change frequency of 5. If the rates remain the same for all years, input 0 in this field.
Premium Mode Rule ID	The premium mode rule ID, coupled with the form (direct, preauthorized check, list bill, government allotment, or credit card) allows the system to access a Mode Rule Record. The modalization factors for each mode, (for example, monthly, quarterly) are located in the Mode Rule Record. A maximum of 10 characters may be entered in this field.
Coverage ID Of Ultimate Rate	The segment ID of the segment that contains the rates that are used when the premiums change is displayed in this field. The rates change as indicated in the premium change frequency field. If the same rate segment is used for all years and the Rate Type is Attained Age, Issue Age, or Duration Only , this field is left blank. If the same rate segment is used for all years and the Rate Type is Age and Duration , input NA in this field.
Premium Rate Calculation Rule	U—Units Purchased The premium is computed as the units purchased at issue of the coverage, multiplied by the premium rate found according to the rules in the upper part of the segment. D—Death Benefit The premium is computed as the death benefit at the point of the calculation, divided by 1000, and then multiplied by the rate found according to the rules code. P—Percentage The premium is calculated as a percentage per unit of value of premium for the benefits that are included for premium waiver as defined on the Coverage Record. This option is only available for waiver coverages. 1—W1 Segment The premium is calculated using the sum of premiums from the W1 Segment for non-waiver coverages. This option is only available for waiver coverages. 2—W2 Segment The premium is calculated using the sum of premiums from the W2 Segment for non-waiver coverages. This option is only available for waiver coverages. For example, assume a coverage is a decreasing term product with death benefits of 1000, 900, 800, 700, 600, and 500. The rates are coded as A, changing annually. If the premium rate calculation rule is coded as premium D, then in year three, the system computes the premium as 800/1000 * year-3 rate, NOT as 1000 / 1000 * year-3 rate.

Field	Description
Premium Rate Calculation Rule (continued)	A—Percent Of Account Value The premium is calculated by determining the average of the monthiversary account values for the time period defined in the Last __ Months field. (This calculation method only averages the account values found during monthiversary processing for the last <i>n</i> months, and does not include partial valuations.) E—Percent Of Eligible Premiums (GB Only) This option can only be used for GB—Guaranteed Benefit type riders. When this option is used, deductions for the GB rider are based on eligible premiums that are defined on the LM—Living/Maturity Segment for the base benefit. W—Percent of Greater of GMWB Eligible Premiums or Lifetime Basis (GW Only) This option can only be used for GW type riders. When this option is used, deductions for the GW rider are based on the greater of eligible premiums or lifetime basis defined on the GW—Guaranteed Withdrawal Segment for the base benefit.
Extended Key Definition Used	Currently, this field applies to line of business H—Health only. Y—Yes The KD Segment must be set up. Premiums are not in the Attained Age or Age/Duration File. Instead, they are in separate health files.

6.100 GE—GAAP DAC Reserves

NOTE

Traditional only

The GE—GAAP DAC Reserves Segment directs *LifePRO*® to the tabular GAAP DAC reserve factors per unit.

Reserve Factors Screen			
Segment ID	EE >>	Segment Type	GE
Key Modifier	GE	Do Values Vary By Underwriting Class	No
Are Values Banded	No		
Female Rate Basis	Male With Setback		
Setback Years	0		
Rate Type			
Band Limits	0	0	0
	0	0	0
	0	0	0
Reporting Basis	(Life) Mean Reserves/Deferred Premiums		
Valuation Code		Rate Rounding Rule	00
If Reserves Are Split Interest		Type	Terminal
Rates, Split Is 'A'ge or 'D'ur		Apply To	Specified Amount
Interest Rate Point Of Change	000	Value Per Premium Unit	0
Reserve Ultimate ID			
Reserve Method			
Extended Key Definition Used	No		
			Cash Reserves
			Rates
			Table Extra Rates
			Extended Key
			OK
			Cancel

Fields Unique to this Segment

Refer to Section 12, Chapter 3—Premiums—Upper Portion of Screen Field Definitions on page 12-17 in this book for a description of the fields in the upper portion of the screen.

Field	Description
Reporting Basis	0—(Life) Mean Reserves / Deferred Premiums 1—(Health 1) Mid Trml Res / Exact Unearned Premiums 2—(Health 2) Mid Trml Res / Half Mode Unearned Premiums 3—(Health 3) Mid Trml Res / Half Q/S/A Mode Unearned 4—(UL RDR 1) Res = Half Of Monthly Ded; No Due/Deferred
Valuation Code	The valuation code is a 10 character, user defined code used in valuation reporting as a sort key. All benefits with the same valuation code can be sorted together in this manner (sort option). If a valuation code is not selected, the system defaults to the coverage ID on the Valuation Reports screen.
Rate Rounding Rule	This field is set to Round After Cents , and cannot be updated.
If Reserves Are Split Interest Rate, Split Is	If pointing to an ultimate ID, use this field to define if the change to the ultimate ID is based on an age or duration. Note that the actual point of change is defined in the Interest Rate Point Of Change field. A—Age D—Duration
Interest Rate Point Of Change	Enter the interest rate after split in this field. This field is informational only. If the same rate segment is used for all years, input 0 in this field.
Reserve Ultimate ID	This field is informational only. True select and ultimate reserves are handled directly in the computation of the tabular factors themselves. If the same rate segment is used for all years, this field is left blank.
Reserve Method	H—Half Of Reinsurance Premium
Extended Key Definition Used	For health products, reserve rates can be defined using extended key definitions by setting this field to Yes . Note that to use extended key definitions, the KD—Key Definition Segment must be defined. Refer to Section 12, 6.196—PR—Premium Segment on page 12-725 in this book documentation for information on how to use the Extended Key Definition screen to define rates.

Field	Description
Type	This indicator specifies how the reserve factors are stored. T—Terminal This is the default. M—Mid Terminal N—Mean
Apply To	This indicator specifies to what the factors are applied. S—Specified Amount This is the default. P—Premium
Value Per Premium Unit	If the Apply To field is set to Premium, input the value per unit. for example, if the rates are per \$100 of premium, input 100.00 in this field.

6.101 GF—Guaranteed Monthly Policy Fee

NOTE

Universal only

The GF—Guaranteed Monthly Policy Fee Segment is identical to the UF—Per Policy Expense Segment.

This segment is used in only two ways, as described below.

- If the segment is present on the Coverage Record for a UL, or possibly an annuity, it is used when projecting the guaranteed values in policy page projections.
- If the segment is present on the Coverage Record for a UL, it is used in the computation of guideline premiums, minimum premiums, and target premiums unless the Calculation Code field is **Init Prem**.

It is not otherwise used.

Per Policy Monthly Expense	
Segment ID	>>
Type	GF
Select Period	0
Ultimate ID	
Constant Amt	0.00
Key Modifier	
Rate Type	
Rate Basis	
Setback Yrs	0
Band Method	
Vary By UWCLS?	No
Sum Rates For Each Insured?	
Band Limits	
0 0 0 0 0 0 0	
Rates Coded As	Actual Amount
Calculation Flag	Flat Deduct
Waive Maintenance Charge if previous year's payments exceed	0.00
Maximum Deduction	0.00
Cap Expense at Current Excs Int?	No
Load Timing Code	Monthly
Premium Not Commissionable	0.00%
Times To Deduct	0 (0 for Non-Stop)
Percentage	0.00%
Fund Allocation	LIFO
Flat Amount	0.00
Decrement Duration By Periods Of Non-Coverage?	
Rates OK Cancel	

Fields Unique to this Segment

Refer to Section 12, Chapter 3—Premiums—Upper Portion of Screen Field Definitions on page 12-17 in this book for a description of the fields in the upper portion of the screen.

Field	Description
Sum Rates For Each Insured	For per unit, per policy, and percent of premium rates, this field defines for joint products if the rate used is the sum of rates for both insureds or the rate of the primary insured only. Y—Yes The expense rate is the sum of the rates for both insureds. N—No The age, gender, and underwriting class of the primary insured are used.
Rates Coded As	This field is common to many segments. It tells <i>LifePRO</i>® how to interpret the rates it finds. A—Actual Amount Use the rate as is. P—Percentage (1% coded as 1.00) Interpret the rate as a percentage, and hence to scale the value by multiplying by .01. Thus, a value of 90 means 90%, and it is scaled to become .90 in the actual use.
Calculation Flag	D—Flat Deduct The value found in the rate file is used as is as a flat dollar deduction. For example, if the rate file has the value 2.00, then 2.00 dollars is deducted from the policy's fund in monthaversary processing. I—Init Prem A percentage is coded and is multiplied by the initial first premium. It is then deducted from the fund. When this option is selected, the rates from the GF Segment are not included in the calculation of the minimum premium, the target premium, or the guideline premium, regardless of the values selected on the UX—Minimum Premium Assembly Rules Segment, UY—Target Premium Assembly Rules Segment, or UZ—Guideline Premium Assembly Rules Segment. 1—1st Yr Prem A percentage is multiplied against the total premium paid during the first policy year. Obviously, during the first year, this value may be changing from month to month. F—Fund Bal The GF rate is applied to the total fund balance to calculate the deduction. M—Maint Charge
Waive Maintenance Charge if previous year's payments exceed	This field is used in conjunction with the Calculation Flag option Maint Charge. Input the amount of expense charge that is waived if the total payments in the previous year are greater than the amount entered in this field.

Field	Description
Maximum Deduction	If either Init Prem or 1st Yr Prem was selected in the Calculation Code field, the resulting value can be capped by the amount in this field. If a zero is coded here, no capping takes place, for example, the value computed is used unmodified.
Cap Expense at Current Excs Int	This field is used to determine the monthly expense charge that is used. Y—Yes At modeaversary, the excess interest earned for the month is compared to the constant rate coded on the GF Segment. The lesser of the two amounts is deducted from the policy as a monthly expense charge. N—No The monthly expense charge is the constant rate stated on the GF Segment.
Load Timing Code	M—Monthly The load is deducted on a monthly basis. A—Annually The load, either the flat amount or the computed amount, is deducted only on anniversary, not each month.
Times To Deduct	If the Load Timing Code field is Monthly, the system deducts less than 12 times during the year. If the Load Timing Code field is Annually, a temporary deduction pattern should be handled via the select period, or via the rate files themselves. For example, if the deductions last only three years, input either a duration only record with zeros after three years, or use the select period to have 3 years, then another segment pointing to zeros.
Premium Not Commissionable Percentage	A percentage of the load is deducted from the premium before computing commissions.
Fund Allocation	If the product has more than one fund, this field tells LifePRO® how to share the deduction among the funds. P—Prorate The deduction is shared based on the fund value. L—LIFO The last fund listed has the entire deduction taken from it. F—FIFO The first fund listed has the entire deduction taken from it, with the remainder from the next fund.

Field	Description
Premium Not Commissionable Flat Amount	A flat amount is deducted from the premium before computing commissions.
Decrement Duration By Periods Of Non-Coverage	This field allows the expenses defined on the UF—Per Policy Monthly Exp Segment and the U3—Per Thousand Exp Load Segment to be accounted for during periods of non-coverage for lines of business U—Universal Life and A—Annuity. Y—Yes If a policy lapses and is reinstated, the system reads the Times to Deduct field and the Load Timing Code field on the U3 Segment. If the number defined in the Decrement Duration By Periods Of Non-Coverage field is greater than or equal to the contract effective date, normal processing occurs. If the number defined is less than a policy's contract effective date, the system at the time the policy is reinstated continues to deduct charges on an annual or monthly mode as defined in the Load Timing Code field until the number has been met. For example, assume that 36 is defined in the Times to Deduct field and Monthly is defined in the Load Timing Code field. Assume that a policy was inforce for 33 months until it lapsed on 01/01/2005. Assume, a year later (01/01/2006) that the policy is reinstated. Charges are deducted on a monthly basis for an additional 3 months (03/01/2006), until the 36 months have been met. N—No If a policy lapses and is reinstated, the system ignores any charges that may have occurred during the lapse period and begins charges based on the reinstatement date.

6.102 GG—UL Guar Min Premium Segment

NOTE

Universal life only

The GG—UL Guar Min Premium Segment is identical to the UG—Per Policy Expense Segment.

These values represent the maximum value the UG can take on, and are not used except for reporting.

Enter UL Minimum Premium Rates Segment Criteria																
Segment ID	GUAR			Segment Type	GG											
Select Period	0			Ultimate ID												
Premiums Vary by UWCLS?	☐			Key Modifier	☐											
Rate Type																
Rate Basis																
Setback Years	0															
Banding Method																
Band Limits																
<table border="1"><tr><td>0</td><td>0</td><td>0</td><td>0</td><td>0</td><td>0</td><td>0</td></tr></table>										0	0	0	0	0	0	0
0	0	0	0	0	0	0										
Rate Code				Minimum Premium Requirement Period												
Calculation Code				Period		Code										
No Lapse Guarantee Period				Computation IDs For Minimum Prem Lapses												
Period		Code		Extended Term ID												
				Reduced Paid Up ID												
Rates OK Cancel																

Fields Unique to this Segment

Refer to Section 12, Chapter 3—Premiums—Upper Portion of Screen Field Definitions on page 12-17 in this book for a description of the fields in the upper portion of the screen.

Field	Description
Rate Code	M—Monthly A—Annually
Calculation Code	This field indicates that the values are either tabular or computed. C—Computed The use of this code requires a version of processing exceptions. T—Tables
No Lapse Guarantee Period	This field is used by an earlier version of monthiversary processing and is now overridden by a field on the LP—Lapse Segment. The length, in years, months, or days for the no lapse guaranteed period is entered in this field.
No Lapse Guarantee Code	This field is used by an earlier version of monthiversary processing and is now overridden by a field on the LP—Lapse Segment. This field designates the time frame for the number selected in the No Lapse Guaranteed Period field. D—Day M—Month Y—Year
Minimum Premium Requirement Period	If this field has a value, the system tracks the actual deposits less withdrawals on a policy, and lapses a policy (per the LP—Lapse Segment). If this value falls behind, the cumulative minimum premiums are due. The length of the requirement period in years, months, or days is displayed in this field. NOTE If a policy is a flexible product, this field allows for a temporary period during which it is treated as a fixed premium UL. If the product is fixed, this field should be coded as 100.

Field	Description
Minimum Premium Requirement Code	This field displays the time period for the number selected in the Minimum Premium Requirement Period field. D—Day M—Month Y—Year
Computation IDs for Minimum Prem Lapses	If a policy fails to pass the above mentioned requirement period test, premiums paid (less withdrawals) are less than the cumulative premiums due, then the grace period starts. At the end of the grace period, modeaversary lapses the policy, and if the nonforfeiture option is extended term insurance (ETI) or reduced paid up insurance (RPU), the system looks to a traditional coverage ID coded in these two fields to get the ETI or RPU rules.
—Extended Term ID	
—Reduced Paid Up ID	

6.103 GI—Guaranteed COI

NOTE

Universal only

The CI/GI window designates the factor to use when inflating the cost of insurance (COI) factor in modeaversary processing.

Enter Mod by State Rate Criteria

Type: Guar COI Inflator
ID: COI >>
Company: 00 (Default)
State: >> (Default)

COI Inflation Rate: 0.00000

Durations to Apply: 0
Months or Years: Years

OK
Cancel

Complete the following steps to access the GI Segment.

1. From the Segment List, access the MS—Rates Modified by State Segment. The MS Segment is displayed.
2. From the MS—Rates Modified by State Segment window enter GI in the Type field.
3. Input the St Rate ID field and enter the segment ID.
4. Click **Rates**. The Curr COI Inflation Rt Segment is displayed.

The following table contains definitions for the fields on the GI Segment.

Field	Description										
COI Inflation Rate	Enter the rate to multiply to the guaranteed COI rate.										
Durations to Apply	Enter the number of durations the inflation rate should be in effect. When used, it is compared against the current duration of the base benefit (BF).										
Months or Years	Specify, in whole years or months, the time period to use for the Durations to Apply field. The inflation rider could terminate midyear. For example, assume that for company 04 across all states, the current COI factor is inflated by 1.005 for the first 2 ½ years on all benefits issued under this coverage. The following values are entered. <table><tr><td>Company</td><td>04</td></tr><tr><td>State</td><td>“ ” (blank)</td></tr><tr><td>COI Inflation Rate</td><td>1.005</td></tr><tr><td>Durations to Apply</td><td>30</td></tr><tr><td>Months or Years</td><td>M</td></tr></table>	Company	04	State	“ ” (blank)	COI Inflation Rate	1.005	Durations to Apply	30	Months or Years	M
Company	04										
State	“ ” (blank)										
COI Inflation Rate	1.005										
Durations to Apply	30										
Months or Years	M										

6.104 GM—Guaranteed Index Margin Rate Segment

The GM—Guaranteed Index Margin Rate Segment directs *LifePRO*® to the guaranteed index margin rates for a fund using a margin-based bonus rate. This type of bonus is available for more than one equity index calculation method as defined on the BU—Indexed Interest Bonus Segment. Refer to the Product Book, 6.30—BU—Indexed Interest Bonus for more information about margin-based bonus rates.

Enter Interest Crediting Segment Criteria

Segment ID: >> Select Period:

Segment Type: Ultimate ID:

Key Modifier: ☐ Band Process:

Upper Band Limits

99999999	0	0	0	0	0	0
---------------------------------------	--------------------------------	--------------------------------	--------------------------------	--------------------------------	--------------------------------	--------------------------------

Constant/Incremental Rates

----------------------	----------------------	----------------------	----------------------	----------------------	----------------------	----------------------

Rate File IDS and Rules

----------------------	----------------------	----------------------	----------------------	----------------------	----------------------	----------------------	----------------------	----------------------	----------------------

OK Cancel

The GM—Guaranteed Index Margin Rate Segment is accessed from the BU—Indexed Interest Bonus Segment. The guaranteed index margin and index margin are compared when calculating a margin-based bonus rate. Therefore, if a GM Segment is defined, an IM—Index Margin Rate Segment must also be defined from the BU Segment.

For a Declared Interest Rate Segment, the Key Modifier field is typically the same as the Segment Type field (GM). If desired, the Key Modifier field on the Interest Crediting Segment Criteria screen may be updated from GM to A1. This allows an A1 Rate File to be associated with the GM Segment, which enables the Multiplier field to be used. Refer to the Product Book, Section 5, Interest Crediting Segment Criteria Screen Field Definitions for field descriptions.

A constant rate may be defined or the rates may be defined using a Declared Interest Rate File. If a rate file is defined, complete the following steps to view the rates.

1. From the Interest Crediting Segment Criteria screen position the cursor on the segment ID for the rate file.
2. Press **F4**. The most current GM Rate File is displayed.
3. If the Key Modifier field on the Interest Crediting Segment Criteria screen is updated to A1, input A1 in the Type field and input the effective date of the rate file to be viewed.
4. Click **OK**. The A1 Rate File associated with the GM Segment is displayed.

Refer to the Product Book, Section 5, Declared Interest Rate File for more information about rate files, including field definitions for the Declared Interest Rate File screen.

6.105 GN—GAAP Benefit Premiums Segment

NOTE

Traditional only

The GN—GAAP Benefit Premiums Segment directs LifePRO® to the valuation premiums used in GAAP benefit reserve calculations.

The screenshot shows the 'Premium Segment File' dialog box. The 'Segment ID' is 'EwL' and the 'Segment Type' is 'GN'. The 'Key Modifier' is 'GN'. The 'Do Values Vary By' is 'No'. The 'Are Values Banded' is 'No'. The 'Underwriting Class' is 'No'. The 'Female Rate Basis' is 'Male With Setback'. The 'Setback Years' is '0'. The 'Rate Type' is 'Attained Age'. The 'Rate Rounding Rule' is 'Truncate After Cents'. The 'Band Upper Limits' are '9999999', '0', '0', '0', '0', '0', '0'. The 'Premium Select Period' is '0'. The 'Premium Change Frequency' is '0'. The 'Premium Mode Rule ID' is empty. The 'Coverage ID Of Ultimate Rates' is empty. The 'Premium Rate Calculation Rule' is empty. The 'Extended Key Definition Used' is 'No'. On the right side, there are buttons for 'Mode Rules', 'Rates', 'Extended Key', 'Table Extra', 'OK', and 'Cancel'.

Refer to Section 12, Chapter 3—Premiums—Upper Portion of Screen Field Definitions on page 12-17 in this book for a description of the fields in the upper portion of the screen. The following table contains definitions for the fields on the GN Segment.

Field	Description
Rate Rounding Rule	This field is set to Truncate After Cents and cannot be updated.
Premium Select Period	The length of time, in years, the selected rates are used is displayed in this field. If the same rate segment is used for all years, input 0 in this field.

Field	Description
Premium Change Frequency	The premium change frequency is the number of durations at a time the rates are held constant. For example, a typical 5-year renewable and convertible term with premiums that are level for 5 years then jump to the attained age and remain level again for 5 years, has a premium change frequency of 5. If the rates remain the same for all years, input 0 in this field.
Premium Mode Rule ID	The premium mode rule ID, coupled with the form (direct, preauthorized checking, list bill, government allotment, or credit card) allows the system to access a Mode Rule Record. The modalization factors for each mode, (for example, monthly, quarterly) are located in the Mode Rule Record. A maximum of 10 characters may be entered in this field.
Coverage ID Of Ultimate Rates	The segment ID of the segment that contains the rates that are used when the premiums change is input in this field. The rates change as indicated in the Premium Change Frequency field. If the same rate segment is used for all years, this field is left blank.
Premium Rate Calculation Rule	U—Units Purchased The premium is computed as the units purchased at issue of the coverage, multiplied by the premium rate found according to the rules in the upper part of the segment. D—Death Benefit The premium is computed as the death benefit at the point of the calculation, divided by 1000, and then multiplied by the rate found according to the rules code. P—Percentage The premium is calculated as a percentage per \$100 of premium for the benefits that are included for premium waiver as defined on the Coverage Record. This option is only available for waiver coverages. 1—W1 Segment The premium is calculated using the sum of premiums from the W1 Segment for non-waiver coverages. This option is only available for waiver coverages. 2—W2 Segment The premium is calculated using the sum of premiums from the W2 Segment for non-waiver coverages. This option is only available for waiver coverages. For example, assume a coverage is a decreasing term product with death benefits of 1000, 900, 800, 700, 600, and 500. The rates are coded as A, changing annually. If the premium rate calculation rule is coded as premium D, then in year three, the system computes the premium as $800/1000 * \text{year-3 rate}$, NOT as $1000 / 1000 * \text{year-3 rate}$.

Field	Description
Premium Rate Calculation Rule (continued)	A—Percent Of Account Value The premium is calculated by determining the average of the monthiversary account values for the time period defined in the Last __ Months field. (This calculation method only averages the account values found during monthiversary processing for the last <i>n</i> months, and does not include partial valuations.) E—Percent Of Eligible Premiums (GB Only) This option can only be used for GB—Guaranteed Benefit type riders. When this option is used, deductions for the GB rider are based on eligible premiums that are defined on the LM—Living/Maturity Segment for the base benefit. W—Percent of Greater of GMWB Eligible Premiums or Lifetime Basis (GW Only) This option can only be used for GW type riders. When this option is used, deductions for the GW rider are based on the greater of eligible premiums or lifetime basis defined on the GW—Guaranteed Withdrawal Segment for the base benefit.
Extended Key Definition Used	Currently, this field applies to line of business H—Health. Y—Yes The KD Segment must be set up. Then, premiums are not in the Attained Age or Age/Duration File. Instead, they are in separate health files.

6.106 GP—Guaranteed Premiums Segment

NOTE

Traditional only

The GP—Guaranteed Premiums Segment directs the system to the maximum premiums allowed for the product.

For line of business L—Traditional, issued on line of business L—Traditional contracts (not as riders to UL), these premiums are informational only, used in printing policy disclosures.

For line of business L—Traditional issued on line of business U—Universal Life contracts, these values, if present, are used in guaranteed calculations involving the rider, specifically the guaranteed accumulations in disclosures, and the guideline premium calculations. They might also be used in the minimum and target premium calculations as determined by the UX—Minimum Premium Assembly Rules Segment and the UY—Target Premium Assembly Rules Segment setup.

Premium Segment File									
Segment ID	ART >>			Segment Type	GP				
Key Modifier	GP			Do Values Vary By					
Are Values Banded	No			Underwriting Class	No				
Female Rate Basis	Male With Setback								
Setback Years	0								
Rate Type	Attained Age								
Rate Rounding Rule	Truncate After Cents								
Substandard Percentage Rounding Rule				Round To Nearest 7 Decimal Places					
Band Upper Limits									
9999999	0	0	0	0	0	0	0	0	0
Premium Select Period				Premium Change Frequency					
Premium Mode Rule ID									
Coverage ID Of Ultimate Rates									
Premium Rate Calculation Rule									
Extended Key Definition Used	No								
Mode Rules Rates Extended Key Table Extra OK Cancel									

NOTE

Guideline and TAMRA premiums may be calculated based on an EM Rate File. When calculating guideline and TAMRA premiums, the system first looks for EM rates defined using any segment ID from the M3—Miscellaneous Segment. If no such rates are found, the system

then looks for EM rates defined using a segment ID of TAMRA, defined from the GP Segment, using a key modifier of EM (thus using EM rates rather than GP rates).

Fields Unique to this Segment

Refer to Section 12, Chapter 3—Premiums—Upper Portion of Screen Field Definitions on page 12-17 in this book for a description of the fields in the upper portion of the screen.

Field	Description
Substandard Percentage Rounding Rule	This field determines the rounding rule to be applied to rated premium calculations. (The Rate Rounding Rule field determines the rounding rule to be applied to basic modalized premium calculations.) 0—Round To Nearest 7 Decimal Places Using this rounding rule, LifePRO® adds 0.0099999 to the result of the unrounded premium calculation, then truncates the amount to 2 decimal places. For example, if the unrounded premium is 132.8749376, the rounded premium is 132.88 (132.8749376+0.0099999=132.8849375). This is the default. 1—Truncate After Cents Using this rounding rule, LifePRO® truncates the unrounded premium by discarding everything after the first two decimal places, without rounding. For example, if the unrounded premium is 132.8749376, the rounded premium is 132.87 (132.8749376). 2—Round To Nearest Cent Using this rounding rule, LifePRO® considers the value of the digit three decimal places out, in the unrounded premium. If this digit is 4 or less, the value is rounded down to the nearest cent. If this digit is 5 or more, the value is rounded up to the nearest cent. For example, if the unrounded premium is 132.8749376, the rounded premium is 132.87. Or, if the unrounded premium is 132.8759376, the rounded premium is 132.88. 3—Round To Next Higher Cent Using this rounding rule, LifePRO® considers the value of digits three decimal places out or more, in the unrounded premium. If the value is greater than zero, LifePRO® rounds the value up to the next highest cent. For example, if the unrounded premium is 132.8749376, the rounded premium is 132.88.
Premium Select Period	The length of time, in years, that the rates selected are used is displayed in this field. If the same rate segment is used for all years and the Rate Type is Attained Age, Issue Age, or Duration Only, input 0 in this field. If the same rate segment is used for all years and the Rate Type is Age and Duration, input 999 in this field.

Field	Description
Premium Change Frequency	The change frequency indicates the number of durations at a time the rates are held constant. For example, a 5-year renewable and convertible term product with premiums that are level for 5 years then jump to the attained age and remain level again for 5 years, has a premium change frequency of 5. If the rates remain the same for all years, input 0 in this field.
Premium Mode Rule ID	The premium mode rule ID, coupled with the form (direct, preauthorized checking, list bill, government allotment, or credit card) allows the system to access a Mode Rule Record. The modalization factors for each mode (for example, monthly, quarterly) are located in the Mode Rule Record. A maximum of 10 characters may be entered in this field.
Coverage ID Of Ultimate Rates	The segment ID of the segment that contains the rates that are used when the premiums change is input in this field. The rates change as indicated in the Premium Change Frequency field. If the same rate segment is used for all years and the Rate Type is Attained Age, Issue Age , or Duration Only , this field is left blank. If the same rate segment is used for all years and the Rate Type is Age and Duration , input NA in this field.
Premium Rate Calculation Rule	U—Units Purchased The premium is computed as the units purchased at issue of the coverage, multiplied by the premium rate found according to the rules in the upper part of the segment. D—Death Benefit The premium is computed as the death benefit at the point of the calculation, divided by 1000, and then multiplied by the rate found according to the rules code. P—Percentage The premium is calculated as a percentage per \$100 of premium for the benefits that are included for premium waiver as defined on the Coverage Record. This option is only available for waiver coverages. 1—W1 Segment The premium is calculated using the sum of premiums from the W1 Segment for non-waiver coverages. This option is only available for waiver coverages. 2—W2 Segment The premium is calculated using the sum of premiums from the W2 Segment for non-waiver coverages. This option is only available for waiver coverages. For example, assume a coverage is a decreasing term product with death benefits of 1000, 900, 800, 700, 600, and 500. The rates are coded as A, changing annually. If the premium rate calculation rule is coded as premium D, then in year three, the system computes the premium as $800/1000 * \text{year-3 rate}$, NOT as $1000 / 1000 * \text{year-3 rate}$.

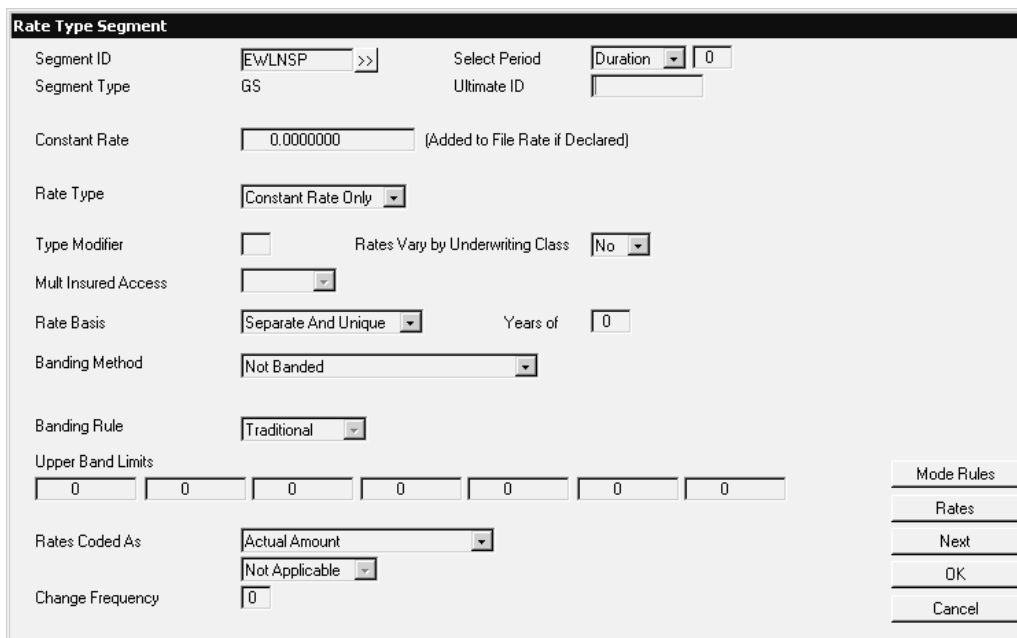
Field	Description
Premium Rate Calculation Rule (continued)	A—Percent Of Account Value The premium is calculated by determining the average of the monthiversary account values for the time period defined in the Last __ Months field. (This calculation method only averages the account values found during monthiversary processing for the last <i>n</i> months, and does not include partial valuations.) E—Percent Of Eligible Premiums (GB Only) This option can only be used for GB—Guaranteed Benefit type riders. When this option is used, deductions for the GB rider are based on eligible premiums that are defined on the LM—Living/Maturity Segment for the base benefit. W—Percent of Greater of GMWB Eligible Premiums or Lifetime Basis (GW Only) This option can only be used for GW type riders. When this option is used, deductions for the GW rider are based on the greater of eligible premiums or lifetime basis defined on the GW—Guaranteed Withdrawal Segment for the base benefit.
Extended Key Definition Used	Currently this field only applies to line of business H—Health. Y—Yes The KD Segment must be set up. Premiums are not in the Attained Age or Age/Duration File. They are in a separate health file. Refer to Section 12, 6.196—PR—Premium Segment on page 12-725 in this book for a detailed explanation of the Extended Key Definition screens.

6.107 GS—Guar NSP Purchase Rates

NOTE

Traditional only

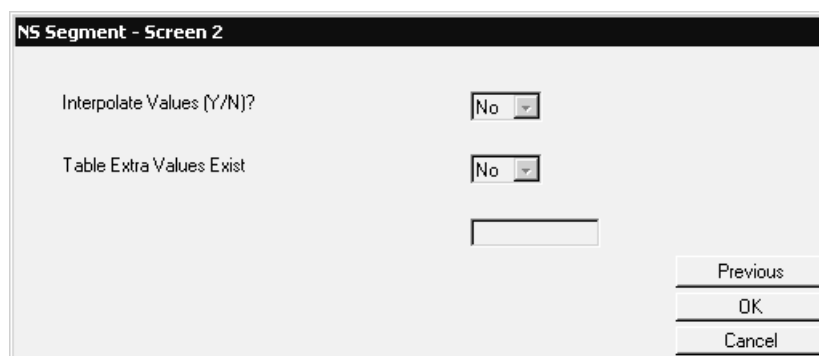
The GS—Guaranteed Net Single Premium Rates Segment uses the benefit level cost indexes for policy page keywords.



The 'Rate Type Segment' dialog box contains the following fields and controls:

- Segment ID: EWLNSP >>
- Select Period: Duration 0
- Segment Type: GS
- Ultimate ID: (empty)
- Constant Rate: 0.000000 (Added to File Rate if Declared)
- Rate Type: Constant Rate Only
- Type Modifier: (empty)
- Rates Vary by Underwriting Class: No
- Mult Insured Access: (empty)
- Rate Basis: Separate And Unique
- Years of: 0
- Banding Method: Not Banded
- Banding Rule: Traditional
- Upper Band Limits: 0 0 0 0 0 0 0
- Rates Coded As: Actual Amount
- Not Applicable (dropdown)
- Change Frequency: 0
- Buttons: Mode Rules, Rates, Next, OK, Cancel

Click **Next** to access the second page of the GS Segment.



The 'NS Segment - Screen 2' dialog box contains the following fields and controls:

- Interpolate Values (Y/N?): No
- Table Extra Values Exist: No
- (empty text box)
- Buttons: Previous, OK, Cancel

6.108 GT—Guar OYT Purchase Rates

NOTE

Traditional only

The GT—Guaranteed OYT Purchase Rates Segment is used for benefit level cost indexes used for policy page keywords.

Rate Type Segment	
Segment ID	WAREWL >>
Segment Type	GT
Select Period	Duration 0
Ultimate ID	
Constant Rate	0.0000000 (Added to File Rate if Declared)
Rate Type	Constant Rate Only
Type Modifier	☐ Rates Vary by Underwriting Class No
Mult Insured Access	
Rate Basis	Separate And Unique Years of 0
Banding Method	Not Banded
Banding Rule	Traditional
Upper Band Limits	0 0 0 0 0 0 0
Rates Coded As	Actual Amount
Change Frequency	Not Applicable 0
Mode Rules Rates Next OK Cancel	

Click **Next** to access the second page of the GT Segment.

NS Segment - Screen 2	
Table Extra Values Exist	Yes
Press F6 To Access Table Extra Rates	
Previous OK Cancel	

6.109 GW—Guaranteed Withdrawal Benefit

The GW—Guaranteed Withdrawal Segment is used to define the rules and rates used in the calculation of the Guaranteed Minimum Withdrawal benefit.

The following table contains definitions for the fields on the GW Segment.

Field	Description
Is Benefit Optional	This field determines if the guaranteed withdrawal benefit is optional or inherent to policies issued using this product. Y—Yes The guaranteed withdrawal benefit is optional. N—No The guaranteed withdrawal benefit is inherent on policies issued with the base coverage. This is the default.
GW Benefit Coverage ID	If the guaranteed withdrawal benefit is optional, the coverage ID for the benefit is input in this field.

Field	Description
Eligible Premiums & Lifetime Basis	
Deposits Made in the First ____ Policy Months	This field defines the number of policy months within which deposits can be made that will be included when calculating the value of the guaranteed withdrawal benefit. This field is used for inherent benefits or when the guaranteed withdrawal rider is issued with the base coverage.
Deposits Made in the First ____ Benefit Months if Added later	This field defines the number of months in which deposits can be made that will be included in the value of the guaranteed withdrawal benefit for the guaranteed withdrawal eligible premiums or lifetime basis. This field is used when the guaranteed withdrawal rider is added after the base coverage is issued. This field cannot be accessed if the Is Benefit Optional field is set to No.
Benefit Add Basis	This field determines the value to use when a guaranteed withdrawal rider is added after issue. A—Account Value The eligible premiums and lifetime basis for the guaranteed withdrawal rider are set to the account value on the effective date of the benefit addition. This is the default. G—GLB Value The eligible premiums and lifetime basis for the guaranteed withdrawal rider are set to the guaranteed living benefit value on the effective date of the benefit addition if there is an active guaranteed benefit rider on the policy. If there is not an active guaranteed benefit rider on the policy, the eligible premiums and lifetime basis for the guaranteed withdrawal rider are set to the account value. O—Greater of Account Value or GLB Value The eligible premiums and lifetime basis for the guaranteed withdrawal rider are set to the greater of the account value or the guaranteed living benefit value on the effective date of the benefit addition if there is a guaranteed benefit rider with a termination date equal to the issue date of the guaranteed withdrawal rider. If a guaranteed benefit rider, with a termination date equal to the issue date of the guaranteed withdrawal rider does not exist, the eligible premiums and lifetime basis for the guaranteed withdrawal rider are set to the account value.
Increase Rate for Eligible Premiums	This field identifies the XE—Eligible Premium Increase Rate Segment used to define the rate increase for the eligible premiums. This increase only occurs on the benefit anniversary and is only applicable if no withdrawals have been processed on the policy. After the Segment ID is input, press F4 to access the rates.

Field	Description
Increase Rate for Lifetime Basis	This field identifies the XL—Lifetime Basis Increase Rate Segment used to define the rate increase for the lifetime basis. This increase only occurs on the benefit anniversary and is only applicable if no withdrawals have been processed on the policy. After the Segment ID is input, press F4 to access the rates.
Benefits Available	This section determines the type of guaranteed withdrawal benefit that is available and the policy year in which the benefit becomes available.
Withdrawal Benefit	An annual withdrawal benefit is available, beginning in the policy year indicated in the Benefit Yr field.
Benefit Yr	This field indicates the first benefit year for which the withdrawal benefit is available. If the withdrawal benefit is available, this field should be set to a number greater than 0.
Rate Segment ID	This field defines the Segment ID for the rates used to calculate the value of the guaranteed withdrawal benefit. After the Segment ID is input, press F4 to access the rates. The rate defined on this segment is applied to the withdrawal benefit eligible premiums.
Lifetime Benefit	A lifetime benefit is available, beginning in the policy year indicated in the Benefit Yr field.
Benefit Yr	This field indicates the first benefit year for which the lifetime benefit is available. If the lifetime benefit is available, this field should be set to a number greater than 0.
Rate Segment ID	This field defines the Segment ID for the rates used to calculate the value of the lifetime benefit. After the Segment ID is input, press F4 to access the rates. The rate defined on this segment is applied to the lifetime basis, which is the same as the eligible premiums before any withdrawals are processed. After each excess withdrawal, the lifetime basis is recalculated.

Field	Description
Minimum Frequency	This field defines the minimum frequency for systematic requests when the Fund Allocation type is Withdrawal Benefit or Lifetime Benefit. The minimum frequency edit is invoked when the systematic request is activated. M—Monthly Q—Quarterly S—Semi-Annual A—Annually
Benefit Rates Set at First Withdrawal	This field determines if the benefit rate for both the withdrawal benefit and the lifetime benefit are retrieved based on the age and/or the duration at the time of the first withdrawal. These rates are stored on the GWBN Record at the time of the first withdrawal and are used for all subsequent calculations for the guaranteed withdrawal rider benefits. If no withdrawals have been processed on the policy, the rates for these benefits will continue to be retrieved from the rate file. Y—Yes The benefit rate for the withdrawal benefit and lifetime benefit age and/or the duration at the time of the first withdrawal is stored on the GWBN Record. These rates are used for all subsequent calculations of the guaranteed withdrawal rider benefits. N—No The benefit rate for the withdrawal benefit and lifetime benefit age and/or the duration at the time of the first withdrawal is not stored on the GWBN Record. This is the default.
RMD's May Trigger Excess Withdrawal Adjustments	This field determines if required minimum distributions requested using systematic requests are excluded from the excess withdrawal adjustment logic during guaranteed withdrawal rider processing. N—No Required minimum distributions, processed using a systematic request, are excluded from the excess withdrawal adjustment logic during guaranteed withdrawal rider processing. This is the default. Y—Yes Required minimum distributions, processed using a systematic request, are included in the excess withdrawal adjustment logic during guaranteed withdrawal rider processing.

6.110 GY—Guaranteed Years

NOTE

Traditional only

The GY—Guaranteed Years Segment was designed to administer the guarantee period of PUA/OYT benefits and is structured to allow for variances on banding the face amount, underwriting class, and female rate basis with setback years. This segment is always organized using issue age structure, as is noted on the bottom of the segment. When the PUA/OYT benefit is purchased the guarantee period is calculated based on the benefit issue age.

Enter Age Rateup Segment Criteria																																							
Segment ID	GY >>		Segment Type	GY																																			
Key Modifier	GY																																						
Are Values Banded	No																																						
Do Values Vary By	No																																						
Underwriting Class	No																																						
Female Rate Basis	Male with Setback																																						
Setback Years	0																																						
Band Upper Limits																																							
9999999	0	0	0	0	0	0																																	
<table border="1"> <tbody> <tr> <td></td><td></td><td></td><td></td><td></td><td></td><td></td><td></td><td></td><td></td><td></td><td></td><td></td><td></td><td></td> </tr> <tr> <td></td><td></td><td></td><td></td><td></td><td></td><td></td><td></td><td></td><td></td><td></td><td></td><td></td><td></td><td></td> </tr> </tbody> </table>																																							
Rates OK Cancel																																							

Note: File Always Organized by Issue Age

Refer to Section 12, Chapter 3—Premiums—Upper Portion of Screen Field Definitions on page 12-17 in this book for a description of the fields in the upper portion of the screen.

The number of years the target face amount is guaranteed is based on issue age. Enter the number of years guaranteed for each issue age in the Rate File corresponding with each band.

6.111 HR—Health Claims Reinsurance Segment

NOTE

Traditional only

The HR—Health Claims Reinsurance Segment contains reinsurance information regarding the reinsurance treaties for a health product.

Select Health Claim Treaty

Company Code: 01

Treaty Selection Code: HEALTH

Date Range:

Start: 01/01/1980

Stop: 99/99/9999

Health Claim Reinsurance Information:

Company Code: RATED R REINSURED

Claim Percentage: 75.0000%

Actions ...

Next

Previous

OK

Cancel

Complete the following steps to access the HR Segment.

1. From the Product Menu select **Coverage Record**. The Coverage Record screen is displayed.
2. Enter the coverage ID and click **OK**. If the Coverage ID is not known, click **>>** to select a coverage ID from the cross reference list. The Coverage Record screen is displayed with information for the coverage ID selected.
3. Click **Segments**. The Segment List is displayed.

4. Click **Next** to locate the HR Segment.
5. Press **F10**.
6. Select **Yes** in the Y/N field and click **Select**. The HR Segment screen is displayed.

Each Health Reinsurance Treaty File lists the stop and start dates for the specific treaty. The reinsurance company and the percentage of the claim that is reinsured are displayed on the record. It is important to note that the value in the Treaty Selection Code field must match the Segment ID.

Health Reinsurance Treaty Files can be added, updated, and deleted from this screen.

- Add** Input the Treaty Selection Code field and press **F8** to add information for a new treaty. Complete the Start and Stop Date fields, the Reinsurance Company, and Reinsurance Claim Percentage fields. After the information is entered, click **OK** to save the addition or press **Alt+F10** to exit without saving the addition.
- Update** Press **F10** when the treaty that needs to be updated is displayed on the screen. Change any of the necessary fields. After the information is entered, click **OK** to save the addition or click **Cancel** to exit without saving the addition.
- Delete** Pressing **Alt+F8** deletes the Health Reinsurance Treaty File for the record selected. A Confirmation window is displayed with the question, Are you sure you want to delete this record? Click **Yes** to delete the record or click **No** to retain the record.

6.112 HW—High-Water Mark for U2 Load Segment

The HW—High Water Mark for U2 Load Segment supports the ability to calculate premium expense charges on premiums for a policy using two different U2—Premium Load Pcts rates. For all premiums paid in a duration up to the limit set for the policy, called the high water mark, the charges are calculated using the rates for the payment duration. For all additional premiums paid in the duration, the first year U2 rates are used.

The high water mark for a policy is set for a duration during monthiversary processing at each anniversary. It is calculated as the greater of the high water mark for the previous duration and the current accumulation of premiums for the previous duration. The HW—High Water Mark for U2 Load Segment defines the premium transactions which are included in the calculation. High water mark premium processing is enabled for a coverage by entering a valid HW Segment ID in the Highwater Mark for U2 field on the FC—Fund Contract Rules Segment.

High-Water Mark For U2 Load		
Segment ID:	HIGHWATER	Segment Type: HW
Select Period:	3	Ultimate ID: HIGHW2
Accounting Transaction Codes	Include In High-Water Mark	
Normal Payment:	110	N
Premium Rollover:	121	N
Premium Transfer:	122	N
Special Deposits:	123	N
1035 Exchanges:	124	N
Vanish Premium:	126	N
Rollover - Annuity:	131	N
Transfer - Annuity:	132	N
Waiver Premium:	150	N
		OK
		Cancel

The HW—High Water Mark Segment can be accessed through the FC—Fund Contract Rules Segment by pressing **F4** from the HW Segment ID.

The following table contains field definitions for the HW Segment.

Field	Description
Select Period	This field defines the number of durations this segment is effective. If this segment is effective for all years, input 0.
Ultimate ID	This field contains the segment ID of the HW Segment, if any, to be used after the Select Period has ended. If this segment is effective for all years, this field is left blank.
Accounting Transaction Codes	This column lists the premium payment transaction codes which may be selected for use in high water mark premium processing.
Include in High-Water Mark	This column contains an indicator which specifies if the premium payment transaction code on the same line is to be used in high water mark premium processing. Y—Yes Include premiums for transactions with this transaction code in high water mark processing. N—No Do not include premiums for transactions with this transaction code in high water mark processing.

The deposit expense for a high water mark renewal premium payment is calculated using the following formula.

$$\text{Deposit expense} = (\text{Prem for 1st yr load} * \text{1st yr U2 rate}) + (\text{Prem for dur } x \text{ load} * \text{dur } x \text{ U2 rate})$$

where (Prem for 1st yr load) = the portion of the premium using first year U2 rates,

dur x is the duration in which the payment is made, and

(Prem for dur x load) = the portion of the premium using U2 rates for the payment duration.

The (Prem for 1st yr load) and (Prem for dur x load) are calculated using the following logic. Note that in these steps, the current accumulation amount used does not include the current premium payment.

- If the current accumulation is equal to or greater than the high water mark, the entire premium is (Prem for 1st yr load), and (Prem for dur x load) is 0.
- If the current accumulation is 0 and the premium payment is equal to or less than the high water mark, (Prem for dur x load) equals the premium payment, and (Prem for 1st yr load) is 0.
- If the current accumulation is 0 and the premium payment is greater than the high water mark, the (Prem for dur x load) equals the high water mark, and the (Prem for 1st yr load) equals the premium payment less the high water mark.
- If the current accumulation is greater than 0, but less than the high water mark, and the sum of the current accumulation and the premium payment is less than or equal to the high

water mark, the (Prem for dur x load) equals the premium payment, and the (Prem for 1st yr load) is 0.

- If the current accumulation is greater than 0, but less than the high water mark, and the sum of the current accumulation and the premium payment is greater than the high water mark, the (Prem for dur x load) equals the high water mark less the current accumulation and the (Prem for 1st yr load) equals the premium payment less the (Prem for dur x load).

When high water mark premium processing is used, the following rules must be followed when setting up the U2 Segment for the coverage.

- Banding Rule cannot be **Ratcheted**
- Load Annually Capped By Target Premium cannot be **Yes**
- Calculation Method cannot be **Initial Planned Premium**

Both the high water mark and the current accumulation are displayed on the HW: U2 High-water Mark fund element for each monthiversary date under Benefit Sequence 1.

6.113 I1—Indexed Interest Rate File

The I1—Indexed Interest Rate File is accessed from the BU—Indexed Interest Bonus Segment, using an interest index rate type I1 Segment ID.

Indexed Interest Bonus			
Segment ID		FPDA >>	Segment Type BU
Interest Index Rate Type 'I1' ID		FPDA	Rate Rule 00
Equity Index Calculation Method		Index Interval	Number of Months in Index Interval 3
Number of Intervals in Account Term		4	
Interval Averaging Period In Days		20	Day of the Month for Option Purchase 15
Order of Withdrawals (I/')		3rd Step Starts With Most Recent Window	
Exclude Impaired Interest		No	
Index Increases may be Surrendered within		0	Days without Penalty
Account Value may be Surrendered		0	Days after Account Term without Penalty
Generate Notice		0	Days before the End of the Interval or Account Term
Commissions by Fund Apply only after Free Withdrawal Period		No	
Use assumed interest rate for Projections		No	
Transfers received within		0	days of the application date use
App Date to determine Margin Rate		No	
Type	Description	Segment ID	
MI	Minimum Bonus Rate	Yes	FPDA
MX	Maximum Bonus Rate	Yes	FPDA
PZ	Participation Rate	Yes	FPDA
IM	Index Margin		
GM	Guar Index Margin		
History Last Change Process OK Cancel			

From the I1 Segment ID field, press **F4** to access the I1 Rate File.

Declared Rates File

Rate IDAC 3>>

TypeC3

Rule01

Effective Date01/01/1909

Record Sequence001

Low01/01/1909

High12/31/2099

Date01/01/1909

Duration00001

Investment Code

Rate Duration Period Code

Start Date	End Date	Duration	Declared Rate
01/01/1909	12/31/2099	000	7.0000000
00/00/0000	00/00/0000	000	0.0000000
00/00/0000	00/00/0000	000	0.0000000
00/00/0000	00/00/0000	000	0.0000000
00/00/0000	00/00/0000	000	0.0000000
00/00/0000	00/00/0000	000	0.0000000
00/00/0000	00/00/0000	000	0.0000000
00/00/0000	00/00/0000	000	0.0000000
00/00/0000	00/00/0000	000	0.0000000
00/00/0000	00/00/0000	000	0.0000000
00/00/0000	00/00/0000	000	0.0000000
00/00/0000	00/00/0000	000	0.0000000

Multiplier

Next

Previous

OK

Cancel

These rates are defined using a standard *LifePRO*® Declared Interest Rate File. The indexed interest rates cannot be banded. Therefore, the Interest Crediting Segment Criteria screen is not displayed prior to displaying the rate file.

Refer to the Product Book, Section 5, Declared Interest Rate File for more information about rate files, including field definitions for the Declared Interest Rate File screen.

6.114 IA—SPIA Annuity Transfer

NOTE

This segment is only required if invoking SPIA processing from any sort of client settlement, for example, death claim, maturity, or surrender.

The IA—SPIA Annuity Transfer Segment is used for any line of business that has value to annuitize upon surrender or maturity. You can enter the coverage name of the SPIA to which the value is moved. It is effectively a way to take an insurance policy and move it to an immediate annuity and still keep it within *LifePRO*® so that there is a cash trail of the proceeds. Define the SPIA coverage ID on the base coverage from which you are moving it.

If a policy is surrendered, and the policyholder decides to annuitize (for example, purchase a single premium immediate annuity), rather than take the proceeds in cash, this segment points the system to the default SPIA in *LifePRO*®. The client's name, dollar proceeds, and preset options are then automatically created for a pending, incomplete SPIA contract.

The screenshot shows a software dialog box titled "SPIA Annuity Transfer". It contains the following fields and controls:

- Segment ID:** A text box containing "ASD" followed by a ">>" button.
- Segment Type:** A text box containing "IA".
- SPIA Product ID:** A text box containing "1800R08".
- Use Transaction Code 0135 For Annuitizations:** A dropdown menu currently showing "No".
- Buttons:** "OK" and "Cancel" buttons located at the bottom right of the dialog.

Enter the product ID of the SPIA product to use on the screen.

6.115 IB—Interest Bearing Account Rate Segment

The IB—Interest-Bearing Account Rate Segment directs LifePRO® to the declared rates for attached interest bearing accounts (IBAs).

If this segment is used, the IBA logic can be used as needed, as either a holding fund for premiums (type 01), a payout account (type 02), or an account to credit interest on deposits (Type 04).

The following table contains definitions for the fields on the IB Segment.

Field	Description
IBA Accounts	This field contains the three types of IBA accounts. This field cannot be updated.
Y/N	Y—Yes This IBA account type is available. N—No This IBA account type is not used.

Field	Description
Segment ID	Type 01—Enter the segment ID for a C1 Segment. This segment is identical in features to the A1—Current Interest Rate Segment. Type 02—Enter the segment ID for a C2 Segment. This is also identical to the A1 Segment. Type 04—Input the segment ID for a C4 Segment. The C4 Segment is used to define the Rate File that contains the interest rate for the IBA. The C4 also contains the options that define how premium overages and shortages are handled. Press F4 from any of the Segment ID fields to access the corresponding rate file.
Valuation Code	The valuation code is a 10 character, user defined code. This code is used to sort valuation reports when they are run. If this field is left blank, LifePRO® defaults to the coverage ID on the Valuation Reports screen to sort the valuation reports.

6.116 ID—Discount Rate Crediting Segment

The ID—Discount Rate Crediting Segment defines the discount rate for the adjusted benefit value calculation for required minimum distribution amounts. The discount rate is retrieved using the issue date of the contract and the effective date of the valuation date. After the rate is retrieved, it remains constant for the entire calculation period. Thus, a single discount rate is used each time the Adjusted Benefit Value is calculated. Refer to 6.150—MD—Required Minimum Distribution on page 12-574 in this book for additional information.

The ID Segment is accessed from the ABV Discount Rate Segment ID field on the MD Segment.

Enter Interest Crediting Segment Criteria

Segment ID: ABVDIS >> Select Period: Duration 0
Segment Type: ID Ultimate ID:

Key Modifier: ☐
Band Process: Not Banded

Upper Band Limits
99999999 0 0 0 0 0 0

Constant/Incremental Rates
5.00000

Rate File IDs and Rules

OK
Cancel

Refer to Section 5, Interest Crediting Segment Criteria Screen on page 5-29 in this book for field definitions and information on completing the screen.

6.117 IE—Issue Edits

NOTE

Traditional only

The IE—Issue Edits Segment designates the maximum amount of premium that is allowed for a rider, stated as a percentage of the base premium. Edits are available for first year and renewal premiums and standard and substandard premiums.

Segment ID		Segment Type
PUAR		IE

Standard Issue Limits			
Use Rider/Base?	Warning	Absolute	
No	15.00	25.00	Times Base Premium 1st Year
No	3.00	5.00	Times Base Premium Renewal Years

Substandard Issue Limits			
Use Rider/Base?	Warning	Absolute	
No	10.00	15.00	Times Base Premium 1st Year
No	2.00	3.00	Times Base Premium Renewal Years

OK
Cancel

The screen is divided into standard and substandard sections. The edits defined in the Standard Issue Limits section are applied to policies that are issued as standard. The edits defined in the Substandard Issue Limits section are applied to policies that are issued as substandard.

Field	Description
Use Rider/Base	This edit applies to VAR riders only. Y—Yes LifePRO® compares the value entered on the IE Segment to the ratio of the rider face to the base face and uses the larger value. If the ratio is larger than the value in the IE Segment, the ratio is used to determine the limits.
Edit Type	There are two types of edits available for each option. W—Warning A message is displayed during Validation if the rider premium exceeds the premium percentage limit. However, this is just a warning and processing can continue without making any changes. For example, assume the warning limit for a standard policy is 15.00 and the absolute limit is 25.00. If the rider premium is 20 times greater than the base premium, a warning message is displayed. The policy can be issued as originally entered. A—Absolute A message is displayed during Validation if the rider premium exceeds the premium percentage limit. The policy cannot be validated until the rider is changed to fall within the allowable edit limits. For example, assume the warning limit for a substandard policy is 5.00 and the absolute limit is 10.00. If a substandard policy is issued with a rider premium that is 11 times greater than the base premium, an error message is displayed. The policy cannot be issued until the rider is reduced enough to be less than the absolute limit.

6.118 IG—Guaranteed Accumulation Rate Segment

The IG—Guaranteed Accumulation Rate Crediting Segment defines the accumulation rate for the adjusted benefit value calculation for required minimum distribution amounts. The guaranteed accumulation rate is retrieved using the issue date of the contract and the effective date of the valuation date. After the rate is retrieved, it remains constant for the entire calculation period. Thus, a single discount rate is used each time the Adjusted Benefit Value is calculated. Refer to 6.150—MD—Required Minimum Distribution on page 12-574 in this book for additional information.

The IG Segment is accessed from the ABV Guaranteed Accumulation Rate Segment ID field on the MD Segment.

Enter Interest Crediting Segment Criteria

Segment ID: ABVACC >> Select Period: Duration 0
Segment Type: IG Ultimate ID:

Key Modifier: ☐
Band Process: Not Banded

Upper Band Limits
99999999 0 0 0 0 0 0

Constant/Incremental Rates
3.00000

Rate File IDs and Rules

OK
Cancel

Refer to Section 5, Interest Crediting Segment Criteria Screen on page 5-29 in this book for field definitions and information on completing the screen.

6.119 IM—Index Margin Rate Segment

The IM—Index Margin Rate Segment directs *LifePRO*® to the index margin rates for a fund using a margin-based bonus rate. This type of bonus is available for more than one equity index calculation method as defined on the BU—Indexed Interest Bonus Segment. Refer to 6.30—BU—Indexed Interest Bonus on page 12-137 in this book for more information about margin-based bonus rates.

Enter Interest Crediting Segment Criteria

Segment ID: >> Select Period:

Segment Type: Ultimate ID:

Key Modifier: ☐ Band Process:

Upper Band Limits

99999999	0	0	0	0	0	0
---------------------------------------	--------------------------------	--------------------------------	--------------------------------	--------------------------------	--------------------------------	--------------------------------

Constant/Incremental Rates

----------------------	----------------------	----------------------	----------------------	----------------------	----------------------	----------------------

Rate File IDS and Rules

----------------------	----------------------	----------------------	----------------------	----------------------	----------------------	----------------------	----------------------	----------------------	----------------------	----------------------	----------------------

OK Cancel

The IM—Index Margin Rate Segment is accessed from the BU—Indexed Interest Bonus Segment. The index margin and guaranteed index margin are compared when calculating a margin-based bonus rate. Therefore, if an IM Segment is defined, a GM—Guaranteed Index Margin Rate Segment must also be defined from the BU Segment.

For a Declared Interest Rate Segment, the Key Modifier field is typically the same as the Segment Type field (IM). If desired, the Key Modifier field on the Interest Crediting Segment Criteria screen may be updated from IM to A1. This allows an A1 Rate File to be associated with the IM Segment, which enables the Multiplier field to be used. Refer to Section 5, Interest Crediting Segment Criteria Screen Field Definitions on page 5-30 in this book for field descriptions.

A constant rate may be defined or the rates may be defined using a Declared Interest Rate File. If a rate file is defined, complete the following steps to view the rates.

1. From the Interest Crediting Segment Criteria screen position the cursor on the Segment ID for the rate file.
2. Press **F4**. The most current IM Rate File is displayed.
3. If the Key Modifier field on the Interest Crediting Segment Criteria screen is updated to A1, type A1 in the Type field and type in the effective date of the rate file to be viewed.
4. Click **OK**. The A1 Rate File associated with the IM Segment is displayed.

Refer to Section 5, Declared Interest Rate File on page 5-33 in this book for more information about rate files, including field definitions for the Declared Interest Rate File screen.

6.120 IO—Claims Benefit Inflation Override Information Segment

The IO—Claims Benefit Inflation Override Information Segment defines the inflation factor that is used when a benefit inflation rider is added after issue. The inflation factor is calculated based on the benefit effective date and not the policy issue date. The hourly, daily, per visit, and maximum rates are determined using the inflation factor and type (simple or compound) defined on the IO Segment.

The following table contains definitions for the fields on the IO Segment.

Field	Description
Claims Benefit Inflation Override	
for Maximum Hourly Rate	This field determines if an inflation factor is applicable to the maximum hourly rate when an inflation benefit is added after a policy is issued. N—No The inflation factor is not applied to the maximum hourly rate when the inflation benefit is added after the policy is issued. This is the default. Y—Yes The inflation factor selected in the IPR Factor field and the type of inflation calculation selected in the IPR Type field are used to determine the maximum hourly rate when the inflation benefit is added after the policy is issued.

Field	Description
for Maximum Daily Rate	This field determines if an inflation factor is applicable to the maximum daily rate when an inflation benefit is added after a policy is issued. N—No The inflation factor is not applied to the maximum daily rate when the inflation benefit is added after the policy is issued. This is the default. Y—Yes The inflation factor selected in the IPR Factor field and the type of inflation calculation selected in the IPR Type field are used to determine the maximum daily rate when the inflation benefit is added after the policy is issued.
for Maximum Per Visit Rate	This field determines if an inflation factor is applicable to the maximum per visit rate when an inflation benefit is added after the policy is issued. N—No The inflation factor is not applied to the maximum per visit rate when an inflation benefit is added after the policy is issued. This is the default. Y—Yes The inflation factor selected in the IPR Factor field and the type of inflation calculation selected in the IPR Type field are used to determine the maximum per visit rate when the inflation benefit is added after the policy is issued.
for Maximum Payment Rate	This field determines if an inflation factor is applicable to the maximum payment rate when an inflation benefit is added after the policy is issued. N—No the inflation factor is not applied to the maximum payment rate when the inflation benefit is added after the policy is issued. This is the default. Y—Yes The inflation factor selected in the IPR Factor field and the type of inflation calculation selected in the IPR type field are used to determine the maximum payment rate when an inflation benefit is added after the policy is issued.
IPR Factor	The inflation factor for the type of associated maximum rate is input in this field. This factor is used to increase the benefit amount when the inflation rider is added after the policy is issued.
IPR Type	The field indicates the type of inflation used to calculate the inflation factor. C—Compound The inflation factor is applied to the benefit amount using a compound interest methodology. S—Simple The inflation factor is applied to the benefit amount using a simple interest methodology.

6.121 IP—NAIC Proposal Assumption

Life Insurance Illustration Model Regulation Summary

As a result of the Life Insurance Illustrations Model Regulation from the NAIC, the calculations used in determining the current values for illustrations, policy pages, and reprojections were changed. The current values are calculated as the lesser of the disciplined current scale or the current payable scale.

Disciplined Scale	The assumptions used for illustrating the cost of insurance, expenses, and interest can be more favorable to the insured than the current values. These assumptions are determined by the clients' company.
Current Payable Scale	The assumptions the clients' company are using for the product at the present time.

Also, guaranteed values must accompany any projected values on illustrations, policy disclosures, and reprojections that show non-guaranteed values.

Illustrations—There are three parts to the illustration format.

- **Narrative Summary**—This portion of the illustration describes the policy, riders, and features, a description of the column headings on the illustration, and a statement regarding non-guaranteed values.
- **Numeric Summary**—The policy values for different assumptions are contained on the Numeric Summary for policy years 0, 5, 10, and 20. If applicable, the values at age 70 are also illustrated. The three assumptions that are used to determine the values are the guaranteed rate, the midpoint rate, and the illustrated rate. The midpoint rate is a rate calculated by LifePRO® that is between the guaranteed and illustrated rate. The illustrated rate is the lesser of the disciplined current scale or the current payable scale, as determined by the clients' company.

In addition, the Numeric Summary also contains a statement with a signature line that indicates the applicant and the agent have discussed the illustration.

- **Tabular Summary**—The guaranteed and illustrated values for years 1 through 15 and for ages 60, 65, 75, 85, and 95 are illustrated in the Tabular Summary.

Keywords—The value of keywords for current values illustrated on policy pages is the lesser of the disciplined current values or the current payable values. Keywords for current values can be included on policy pages but they cannot be used in the projection values.

Reprojections—The current values used in reprojections are the lesser of the disciplined current scale or the current payable scale.

The assumptions used for illustrated values are controlled through the IP—NAIC Proposal Assumption. This segment must be set to **Yes** in order to use alternate assumptions. If the IP Segment is set to **No**, the current assumptions are used for illustrations, policy pages, and reprojections purposes.

Type	Segment Description	Segment ID
NP	Net Valuation Premiums	No
TX	Tax Reserve Factors	No
TP	Tax Valuation Premiums	No
M2	Miscellaneous Segments	No
TB	Tabular Guar. Dth Ben	No
CE	Collection Setup	No
V0	New Business Questions	No
O0	Benefit Add Questions	No
IP	NAIC Proposal Assumption	Yes UL1
RA	Req Min Prem Period Adtl	No
BA	UL Methodology	No
QR	Qualified COI Rates	No

Page 10 of 13

Setting the IP Segment to **Yes** causes the following effects.

- The segments named on the IP Segment are used for determining the illustrated values for illustrations, policy disclosures, and reprojections.
- A third set of values are calculated and printed on illustrations. These values are a midpoint using the numeric average of the guaranteed loads and current and illustrated loads.
- Illustration pages are numbered as “This is page X of XX pages and is not valid unless all pages are included.”
- Since the current interest rate is overridden by the IP Segment, the assumed interest rate that appears on the Proposal Entry screen in the Illustration System cannot be entered.
- If the premium is not sufficient to keep the policy active when a vanishing premium illustration is shown, the minimum premium paying period necessary to keep the policy active to maturity is printed on the illustration for the guaranteed, midpoint, and illustrated rates.

The IP—NAIC Proposal Assumption Segment contains 6 segments that can be used to override the current assumptions and provide illustrated values. It is important to note that if the IP Segment is used, all segments used for the product must be coded **Yes** and point to a segment on the IP Segment. The segment can only be coded **No** on the IP Segment if it is also coded **No** on

the product. If an override segment is not used, the original segment ID can be pointed to. If a segment ID is not named, the value is assumed to be zero.

Enter NAIC Proposal Assumptions

Segment ID: >> Segment Type: IP

Annuity and UL Segment Overrides

Type	Description	Y/N	Segment ID
U1	Premium Load Fee	<input type="checkbox" value="N"/>	>>
U2	Premium Load Pcts	<input type="checkbox" value="N"/>	>>
U3	Per Thousand Exp Load	<input type="checkbox" value="N"/>	>>
U6	Illustration CDI Rates	<input type="checkbox" value="N"/>	>>
UF	Illustration Per Pol Exp	<input type="checkbox" value="N"/>	>>
A1	Illustration Int Rates	<input type="checkbox" value="N"/>	>>

Override Verbiage

Fund Value	Surrender Value	Premium

Narrative Summary Block ID:

Additional Summary Ages: ☐ ☐

Allow overriding of Illustration Interest Rates (Y/N) ☐ Reflect Durational Illustration Int Rate Changes (Y/N) ☐

Settlement Options Age/Years:

OK Cancel

The top portion of the screen contains the segments that can be overridden for the illustrated values. For each segment, input the appropriate segment ID. If the segment needs to be set up, click **Select** while the cursor is on the segment to drop down to the segment.

NOTE

If the U3—Per Thousand Expense Load Segment is set up for a product, the **Specified Amount** calculation code option is used to determine the expense loads for reprojections, regardless of the value selected in the Calculation Codes field on the U3 Segment.

The following table contains descriptions for the remaining fields.

Field	Description
Narrative Summary Block ID	Input the name of the smart block or text file that is used to print the Narrative Summary. If a smart block is used, the program name is PILLnnn. If a boilerplate text file in ASCII format is used, the file name is FILLnnnn.txt. This file is stored on the work drive designated on the Management Options screen.
Additional Summary Ages	This field allows two additional summary ages included in the Numeric Summary for the policy values.
Override Verbiage	
Fund Value	The description that is used on the illustration for the fund value column is entered in these fields. The heading on the illustration is split into three lines.
Surrender Value	The description that is used on the illustration for the surrender value column is entered in these fields. The heading on the illustration is split into three lines.
Premium	The description that is used on the illustration for the premium value column is entered in these fields. The heading on the illustration is split into three lines.
Allow overriding of Illustration Interest Rates	This field determines if the initial, secondary, and ultimate rates for the interest rates on an illustration can be overridden.
Reflect Durational Illustration Int Rate Changes	This field determines if the interest rate changes defined in the rate fields for the product are included in the illustration.
Settlement Options Age/Years	These fields determine the default years or attained ages used to calculate the monthly income from settlement options for proposals. The values can be changed on the Illustration Input screen. The factors from the MC—Current Monthly Income Factors Segment and the MG—Guaranteed Monthly Income Factors Segment are used to calculate the current and guaranteed monthly income values, respectively. Therefore, these segment must be set up for the product in order for these values to be calculated for illustrations. The first field for each pair of fields determines if the monthly income is calculated for a specific policy year or an attained age. Y is input if the value is for a policy year and A is input if the value is for an attained age. The policy year or attained age is input in the second field for each pair.

6.122 IR—Inflation Rider Segment

NOTE

Traditional riders only

The IR—Inflation Rider Segment directs the system to the consumer price index (CPI) rates used (optionally) in cost of living adjustment (COLA) or inflation riders. An inflation rider operates on an annual basis, and may or may not have actual premiums associated with it.

- **Traditional**—If this segment is attached to a traditional policy, the face amount of the benefit to which it is attached is increased in accordance with the rules defined here. If the segment is attached to a UL benefit, a face amount increase is created via the specified amount (SP) layer. For traditional lines of business, the ability to process off-anniversary inflation increases is available.
- **Universal Life**—For universal life, premiums required may or may not change, depending on options selected on this segment.

Inflation Rider Segment					
Segment ID	INFL RIDR >>		Select Period	Duration	0
Segment Type	IR		Ultimate ID		
Rate File ID		Rate File Rule	00	or Fixed Percentage	8.00%
				or By New Business	No
				or By Premium	No
The First Duration the Inflation Rider Will Be	001				
Effective Month	00	Effective Day	00	Decline as of PTD	No
Declinations Before Duration	005		to Terminate Inflation Rider	002	
Declinations On or After Duration	006		to Terminate Inflation Rider	001	
Rounding Rule	Nearest	Number of Decimal Places	9	Face Amount As of Effective	No
Minimum Increase Amount	\$0.00		Threshold		
Maximum Increase Amount / Lifetime Maximum	\$9,999,999.00		/	999,999,999.00	
Increase UL Planned Premium					
Inflation Increase Occurs Every	0 Years				
Reduce Increase By Prior Year Underwritten					
Terminate Inflation Rider Option Selected	Neither				
For Base Benefit and Peel Back Rider Only					
The Total Maximum Multiple of Original Face Amount	0.00 (Not Used)				
If Using Rate File					
The Number of Months Before Anniversary to Setback/Avg CPI Rates	000	Use As-Is	No		
The Number of Months to Setback Prior CPI Rates	000	Original Face	No		
The Minimum Percentage of the Inflation Increase	0.00%	Use Orig Face			
(Threshold/Absolute) Minimum					
The Maximum Percentage of The Inflation Increase	0.00%				
					OK
					Cancel

The increases associated with the inflation rider may be defined using only one of the four methods listed across the top of the screen. The methods are Rate File ID/Rule, Fixed Percentage, by New Business, or by Premium. If an increase method is selected in error, it must be cleared out before the correct method can be selected.

IR—Inflation Rider Processing Notes

Inforce

- The ENS message *Inflation Increase to Occur On YYYYMMDD* is automatically generated for inflation increases as defined in the # Days Prior to Action for ENS Note field defined through Management Options. The YYYYMMDD is the year, month, and day of the inflation increase defined through the IR Segment. When an increase is processed or declined, this message is automatically deleted.

Billing/Collections

- If an inflation increase creates an off anniversary situation, billing automatically generates a prorated bill.

Correspondence—L0 Segment

- If the Inflation Rider Notify letter is used, the effective date of inflation increase, death benefit increase amount, current death benefit amount, new mode premium, premium due date, mode premium increase amount, and increase percentage fields are automatically displayed for each inflation rider processed.
- If the Decline of COLA Letter is used, the date of declination is automatically displayed.

The following table contains definitions for the fields on the IR Segment.

Field	Description
Select Period	Indicate the length of time that the selected rates are used in this field. The first field is used to define if the rates are based on duration, months, or age. The second field is used to define the length of time. For instance, if Duration is selected in the first field, and 99 is entered in the second field, the rates are valid for the first 99 durations of a policy. If the same rate segment is used for all years, input 0 in this field. A—Age D—Duration
Ultimate ID	The segment ID that contains the rates used when the rates change at the end of the select period is displayed in this field. If the same rate segment is used for all years, this field is left blank.

Field	Description
Rate File ID	If a consumer price index (CPI) set of values is used to compute the amount of inflation, enter the ID in this field. These rates are typically values based on some original base point set as 100.00. So, if in the next month following the base point, inflation is up 1.00%, 101.00 is displayed. If the rate file ID is defined, the Rate File Rule field must also be defined.
Rate File Rule	Enter the rate rule ID in this field. The rule is fixed as 00 only. If the rate file rule is defined, the rate file ID must also be defined.
or Fixed Percentage	If the CPI logic is not used, enter the constant percentage to use (for example, 8.00%). This can vary using the select period.
or By New Business	This method enables the increase to be specified during New Business processing, during Batch New Business processing, or during Benefit Add. When the benefit is added, the increase is specified at the policy level by amount, by percent, or by premium (premiums paid). Y—Yes The increases associated with the inflation rider are specified on a schedule when the inflation rider benefit is added. This schedule can be set by percent, by amount, or by premium. Only one of these options can be chosen, which is in effect for the life of the policy. N—No The increase associated with the inflation rider is not specified when the benefit is added. A different increase method is valid. This is the default. Blank—A different increase method is valid. This increase method is only available if the line of business is U—Universal or L—Traditional. It is not available for Simplified New Business. When using this increase method, inflation rider processing is modified to access the inflation rider schedule for the increase amounts, rather than using rates from the IR Segment. NOTE If the By Premiums option is selected (available for flexible universal life only) at the policy level, it operates the same as if the By Premiums increase method was selected. The guideline level premium and guideline single premium are recalculated after each increase, but the TAMRA premium is not recalculated and a material change does not occur. Additionally, normal inflation rider correspondence is suppressed if the By Premiums option is selected at the policy level. Refer to the following By Premiums increase method description.

Field	Description
or By Premium	This method bases the increase on premiums paid. Using this method, the specified amount of the benefit to which the inflation rider is attached is increased each month by the total amount of premiums paid during the prior month (based on an accounting transaction code of 0100-0199). Y—Yes The increase associated with the inflation rider is based on the premiums paid. An increase occurs monthly as a result of premiums paid. N—No The increase associated with the inflation rider is not based on the premiums paid. A different increase method is valid. This is the default. Blank—A different increase method is valid. Increases are not displayed at issue. The premium from the issue date is included at the beginning of the second month. Therefore the first increase at the beginning of the second month includes an increase based on both the initial premium and the second month's premium. If an inflation rider is added after issue using this method, the initial increase occurs in the month the rider is added, based on the total premiums paid since the policy's issue date. Since this method may result in increases as frequently as once a month, normal inflation rider correspondence is suppressed if this method is selected. This increase option is only available for inflation riders attached to flexible universal life coverages. NOTE The guideline level premium and guideline single premium are recalculated after each increase using this option. The TAMRA premium is not recalculated and a material change does not occur.
The First Duration the Inflation Rider Will Be	This field determines the first duration that an inflation increase is available. You have the option of using the actual anniversary duration, or an even/odd logic to define the number of months after anniversary (based on an even/odd year) that the inflation increase is to be effective. 000 - 099—The inflation increase is based on the actual duration and is available on the anniversary defined. Input the beginning of the year in the third field when the inflation rider becomes effective. For example, inputting 005 indicates that the inflation increase becomes effective on the anniversary at the end of the fourth year, starting the fifth year.

Field	Description
The First Duration the Inflation Rider Will Be (continued)	800 - 899—The inflation increase is based on the even calendar year following the 00-99 months after issue. Input 8 in the first field. The 8 indicates that the even calendar logic is used and that the inflation increase is available in the first even calendar year. In the second and third fields, input the number of months after the anniversary (based on the even year) that the inflation increase is available. 900 - 999—The inflation increase is based on the odd calendar year following the 00-99 months after issue. Input 9 in the first field. The 9 indicates that the odd calendar logic is used and that the inflation increase is to occur in the first odd calendar year. In the second and third fields, input the number of months after the anniversary (based on the odd year) that the inflation increase is available.
Effective Month	This field defines the effective month of an inflation increase. For example, assume that The First Duration the Inflation Rider Will Be field is defined as 903 and that a policy is issued with an effective date of 06/01/2005. Although the increase is defined to be effective 3 months after the policy issue date, the Effective Month field is defined as 11 and further specifies the effective month of the increase. In this example, the effective month of the inflation increase is 11/2005. 00—The effective date of the increase defaults to the base benefit anniversary month using normal LifePRO® processing. The following options must be used if the Effective Day field is not equal to 00. These options are not valid if using the 000-099 actual duration option defined through The First duration the Inflation Rider Will Be field. 01-12—Actual calendar month 98—Beginning of quarter month (01, 04, 07, 10) 99—End of quarter month (03, 06, 09, 12)

Field	Description
Effective Day	This field is used to define the effective day of an inflation increase. For example, assume that The First Duration the Inflation Rider Will Be field is defined as 903 and that a policy is issued with an effective date of 06/01/2005. The Effective Month field is defined as 11. Although the increase is defined to be effective 3 months after the policy issue date, the Effective Month field further specifies the effective month of the increase to be the eleventh month. The Effective Day field is defined as 5 and further defines the specific day of the increase. In this example, the effective month and day of the inflation increase is 11/05/2005. 00—The effective date of the increase defaults to the base benefit anniversary month using normal <i>LifePRO</i>® processing. The following option must be used if the Effective Month field is not equal to 00. This option is not valid if using the 000-099 actual duration option defined through The First Duration the Inflation Rider Will Be field. 01-31—Actual calendar day
Decline as of PTD	This field is applicable only to inflation rider declinations processed through the Inforce Processing Menu and determines if the declination date of the inflation rider is based on the paid to date of the policy or the effective date of the increase. Y—Yes The inflation declination date is based on the paid to date of the policy. N—No The inflation declination date is based on the increase effective date of the inflation rider.
Declinations Before Duration to Terminate Inflation Rider	This field has two numeric inputs. The first number refers to the first point at which the client may lose this benefit if the option is not exercised. The second number refers to the number of such refusals (declinations), which then cause the benefit to terminate. For example, if the client may only decline the inflation increases three times prior to the sixth duration (beginning of year 6), the following values are input. First number = 6 Second number = 3

Field	Description
Declinations On or After Duration to Terminate Inflation Rider	This field allows for a two-tiered approach to the declinations. In the first field, input the beginning duration of the second tier of counting declinations. In the second field, input the number of second tier declinations which lead to the discontinuation of the rider. For example, assume in the first tier you can decline only two times prior to the beginning of year 6 (through year 5). A third decline in this period discontinues the rider. Suppose that starting in year 6, you can decline four times without losing the rider. Also assume a fifth decline terminates the rider. The fields are input as shown below. First field = 6 and Second field = 5
Rounding Rule	This field is an alphanumeric one character field used to determine how the inflation increase rate is rounded for determining the inflation increase percentage. H—High L—Low N—Nearest
Number of Decimal Places	This field is a numeric one character field used to determine the number of decimal places that the system uses for the inflation increase percentage. This field must be set to a value greater than 0. The default is 9.
Face Amount As of Effective	This field is only applicable for level and decreasing term products. Y—Yes For decreasing term products, the cost of living adjustment (COLA) increase amount is calculated based on the new decreased amount when the increase is applied on an anniversary in which the death benefit decreases. For example, assume the value per unit in year 1 is 1,000 and the value per unit in year 2 is 950. If the increase happens to occur on the policy anniversary (product is set up for off-anniversary COLA but due to the issue date and the off-anniversary COLA set up on the IR Segment they occur together) the COLA increase is calculated based on the 950 per unit of death benefit. N—No For decreasing term products, the COLA increase amount is calculated based on the face amount before the decrease when the COLA increase is applied on an anniversary in which the death benefit decreases. In the example discussed in the Yes option, the COLA increase is calculated based on 1,000 per unit of death benefit. This is current LifePRO® functionality.

Field	Description
Minimum Increase Amount	Enter the minimum amount of increase in this field. For example, the result of the calculation must yield at least this amount. T—Threshold If the calculated amount of the increase is less than the minimum entered, there is no increase on this anniversary. For example, the inflation amount must be at least over the minimum, or no increase is granted. A—Absolute If the policy always gets at least a fixed minimum amount, perhaps even when inflation has actually gone down, then there is an absolute minimum.
Maximum Increase Amount	This field defines the maximum amount of the inflation rider increase for each occurrence per policy. If the computed value exceeds this amount, this amount becomes the increase. Input either 0.00 or all 9s to signify no upper limit.
Lifetime Maximum	This field defines the maximum amount of the inflation rider increase for all occurrences combined per policy, for the life of that policy. In the year that the cap is reached, the system applies the largest allowable increase even though it may be less than the scheduled increase amount. For example, if the limit is \$1,000.00 and \$750.00 is already used, and if the policy is scheduled to get an additional \$500.00 increase in the current year, only \$250.00 is applied.
Increase UL Planned Premium	Y—Yes A new billed premium amount is increased by the ratio of the base benefit's face after the increase to the benefit face before the increase. N—No Do not automatically increase the planned (billed) premium.
Inflation Increase Occurs Every	Input the number of years between increases in this field. For example, a value of 1 means every year and 2 means every other year.
Reduce Increase By Prior Year Underwritten	If a prior requested increase (for example, underwriting) has occurred, select Y—Yes if that is to reduce the inflation increase.
Terminate Inflation Rider Option Selected	This field determines if the inflation rider is terminated if a withdrawal is taken or when the benefit to which the rider is attached is decreased. N—Neither The inflation rider is not terminated if a withdrawal is taken or if the benefit to which the rider is attached is decreased. This is the default. W—Withdrawal The inflation rider is terminated if a withdrawal is taken. D—Decrease The inflation rider is terminated if the benefit to which the rider is attached is decreased.

Field	Description
Terminate Inflation Rider Option Selected (continued)	B—Both The inflation rider is terminated if a withdrawal is taken or if the benefit to which the rider is attached is decreased. NOTE This field is not applicable to the By Premium inflation rider option, whether selected at the coverage or policy level.
For Base Benefit and Peel Back Rider Only The Total The Maximum Multiple of Original Face Amount	If the total of all increases, due to the operation of the inflation rider, is not to exceed some multiple of the original face amount, enter that multiple in this field. For example, if the original base benefit has a face amount of \$100,000.00 and a peel back rider for an additional \$100,000.00 is attached, and the maximum of all increases is not to exceed \$200,000.00 (the base + the peel back rider), enter 2.00 in this field. If no maximum multiple applies, input 0.00. The system interprets 0.00 as unlimited with respect to this field.
The lower section of the screen is used only if the CPI Rate field ID is set to Yes.	
The Number of Months Before Anniversary to Setback/Avg CPI Rates	This field, the Use As-Is field, and the Orig Face field were designed for a specific client. These fields can be used only with specific exception processing programs. This field is used in one of the following ways, depending on the value selected for the Use As-Is field. Y—Yes This option is client specific and should not be used. If the Use As-Is field is set to Yes, input the number of months to average the CPI rates. The CPI rate for each month is added together and divided by the number of months selected. This average is the factor used to increase the benefit amount. For example, if 06 is input, the CPI rates for the 6 months prior to the anniversary month are averaged. N—No If the Use As-Is field is set to No, input the month prior to the anniversary to use to determine the CPI for the numerator in the inflation calculation. The denominator in the calculation is automatically one year prior to the numerator. For example, if the company's practice is to measure inflation as it existed three months prior to the anniversary, input 03 in this field. The system then gets the CPI rate for three and 15 months prior to the anniversary, ratios the 3 month value to the 15 month value and proceeds per the rules defined above.

Field	Description
Use As-Is	This field, the Number of Months before Anniv to Setback/Avg CPI Rates field, and the Orig Face fields were designed for a specific client. These fields can be used only with specific exception processing programs. This field determines how the CPI rate is used. Y—Yes This option is client specific and should not be used. The average CPI rate is applied as a percentage to determine the new face amount. N—No The CPI rate is calculated as a ratio between the number of months prior to the anniversary specified in the previous field and the rate 12 months prior. The percentage calculated is then used to determine the new face amount.
The Number of Months to Setback Prior CPI Rates	This field is a numeric three character field used to determine the number of months from the effective date of the increase that the system uses to calculate the inflation increase percentage. For example, assume that this field is set to 28 and that the effective date of the increase is 09/01/2004. The system uses the 05/01/2005 inflation rate, along with the inflation rate determined through the Number of Months before Anniversary to setback CPI rates field to determine the inflation increase percentage. NOTE This field is ignored if the First Duration the Inflation Rider will be Effective field is 000, and the Effective Month and Effective Day fields are 00.
Original Face	This field, the Number of Months before Anniv to Setback/Avg CPI rates field, and the Use As-Is fields were designed for a specific client. These fields can be used only with specific exception processing programs. This field determines if the original or current face amount is used when determining the minimum inflation amount. The original face amount is only used if a minimum percentage is stated on the IR Segment. If a minimum percentage is not stated, the current death benefit is always used when calculating the increase. Y—Yes This option is client specific and should not be used. The original face amount is used in determining the minimum increase amount. N—No The current face amount is used when determining the minimum increase amount.
The Minimum Percentage of the Inflation Increase	Input the smallest increase allowed.

Field	Description
Use Orig Face	This field is a numeric three character field used to determine the number of months from the effective date of the increase that the system uses to calculate the inflation increase percentage. For example, assume that this field is set to 28 and that the effective date of the increase is 09/01/2004. The system uses the 05/01/2005 inflation rate, along with the inflation rate determined through the Number of Months before Anniversary to setback CPI rates field to determine the inflation increase percentage. NOTE This field is ignored if The First Duration the Inflation Rider Will Be field is 000, and the Effective Month and Effective Day fields are 00.
Threshold/Absolute Minimum	T—Threshold The ratio computed must be at least this minimum value or the increase ratio is set to 0.00. Other minimums may then take over. A—Absolute The ratio computed is forced to be at least the minimum input, even if the value is zero or negative.
The Maximum Percentage of The Inflation Increase	Input a non-zero value in this field if the computed inflation percentage obtained using the CPI calculation is not to exceed a predetermined value. The minimums and maximums imposed on the inflation factor may still lead to values that require further editing by the dollar minimum and maximums.

6.123 J1—Certificate Charge Segment

The J1—Certificate Charge Segment, accessed from the Segment List on the Fund Rules screen, is used to define certificate charges which are deducted from the base accumulation for a market-valued fund. A table keyword, J1CHGY, is available to display the yearly (durational) value of the certificate charge for each fund.

Enter Interest Crediting Segment Criteria									
Segment ID	JUL1 >>		Select Period	Duration 0					
Segment Type	J1		Ultimate ID						
Key Modifier									
Band Process	Not Banded								
Upper Band Limits									
99999999	0	0	0	0	0	0	0	0	
Constant/Incremental Rates									
Rate File IDS and Rules									
									OK
									Cancel

Refer to Section 5, Interest Crediting Segment Criteria Screen Field Definitions on page 5-30 in this book for descriptions of each field displayed on the screen above.

A constant rate may be defined or the rates may be defined using a Declared Interest Rate File. If a rate file is defined, complete the following steps to view the rates.

1. From the Interest Crediting Segment Criteria screen position the cursor on the Segment ID for the rate file.
2. Press **F4**. The Declared Interest Rate File is displayed.

Refer to Section 5, Declared Interest Rate File on page 5-27 in this book for more information about rate files, including field definitions for the Declared Interest Rate File screen.

6.124 JA—Joint Equal Age Conversion Segment

The JA—Joint Equal Age Conversion Segment, along with the JE—Joint Equal Age Adjustment Segment, determines the single age and underwriting classification to use for reinsurance. The setup of this segment is used to add and subtract years to determine the single age and underwriting classification to use.

Joint Equal Age Conversion Segment					
Segment ID	JOINT >>		Segment Type	JA	
Converting Insureds to Gender Code	Male		Underwriting Class	N	
If Below Age	017	Adjust Male Age	006	and Female Age	004
For UWCLS		Adjust Male Age		and Female Age	
If Above Age	016	Adjust Male Age		and Female Age	
For UWCLS	S	Adjust Male Age	006	and Female Age	004
For all Ages,		Adjust Male Age		and Female Age	005
Per Table Rating, Adjust Male Age			002	and Female age	002
Through Age	040	Convert \$1/\$1000 Flat Ex to	2.00	Tables	
Through Age	050	Convert \$1/\$1000 Flat Ex to	1.00	Tables	
Through Age	060	Convert \$1/\$1000 Flat Ex to	0.50	Tables	
Through Age	065	Convert \$1/\$1000 Flat Ex to	0.25	Tables	
Through Age	999	Convert \$1/\$1000 Flat Ex to	0.20	Tables	
OK Cancel					

6.125 JC—Joint COI Rate Rules Segment

NOTE

Universal life only

The JC—Joint COI Rate Rules Segment directs *LifePRO*® to the rule for computing joint last to die cost of insurance (COI) rates.

The following table contains definitions for fields on the JC Segment.

Field	Description
Current COI Process Flag	This field determines if the current and guaranteed rate rules are calculated independently. D—Dependent On Guaranteed COI The guaranteed rate rule applies to both the current and guaranteed COI rates. When this option is selected, the Current COI Rate Rule field cannot be accessed. I—Independent Of Guaranteed COI The current COI rates are independent of the guaranteed rates. Different rate rules can be defined for the current and guaranteed COI rates.
Annual To Month Conversion Is Exponential Or Linear	E—Exponential L—Linear

Field	Description
Derive Joint COI Rates From Rates Of Insureds	This field determines how the COI is calculated for a joint insured product. Y—Yes The COI rate is calculated for each insured based on the individual's age. Then both rates are added together to determine the total COI rate for the policy. NOTE If Yes selected, the Guaranteed and Current COI Rate Rules fields must be left blank. In addition, the COI Discount Rate field on the FC—Fund Administration Segment must be set to Fixed, and the fixed rate must be zero. N—No The COI rate is calculated using the guaranteed and current COI rate rules coded on the JC Segment.
Guaranteed COI Rate Rule	This field is used to define the guaranteed COI rate rule. Input the last three characters of the program to be executed. CON—Joint COI Program. The following formula is used to determine the joint COI rate. COI Rate_x = Annual individual COI rate for Insured x from the U5 or U6 segment. (If rates are coded as monthly, they are multiplied by 12) COI Rate_y = Annual individual COI rate for Insured y from the U5 or U6 segment. (If rates are coded as monthly, they are multiplied by 12) Sub% = Substandard extra percentage for individual insured Flat = Flat extra per 1000 for individual insured $tq_x = \text{Min} \{ \text{COI Rate}_x * (1 + \text{Sub}\%) + \text{Flat}, 1 \} / 1000$ $tq_y = \text{Min} \{ \text{COI Rate}_y * (1 + \text{Sub}\%) + \text{Flat}, 1 \} / 1000$ $1p_x = 1 - tq_x \quad 1p_y = 1 - tq_y$ $tp_x = t-1p_x * (1 - tq_x) \quad tp_y = t-1p_y * (1 - tq_y)$ $tp_{xy} = tp_x + tp_y - (tp_x * tp_y)$ $1q_{xy} = 1 - 1p_{xy}$ $tq_{xy} = 1 - tp_{xy} / t-1p_{xy}$

Field	Description
Guaranteed COI Rate Rule (continued)	FTD—The following formula is used to determine the cost of insurance. This calculation is done on an annual basis with the resulting COI rate converted to a monthly rate. COI rates should be added to the per dollar amount defined on the rate file. $(qx + qy) - (qx * qy)$ where qx = Cost of insurance rate for the first insured (U5—Guaranteed COI Segment rate multiplied by any percentage rating plus flat extra rating) qy = Cost of insurance rate for the second insured (U5—Guaranteed COI Segment rate multiplied by any percentage rating plus flat extra rating)
Current COI Rate Rule	This field is used to define the current joint COI rate rule. 001—This points at a module which computes the guaranteed rate, and then on the same call, passes back the current rate (for example, the Process flag is D). FTD—The following formula is used to determine the cost of insurance. This calculation is done on an annual basis with the resulting COI rate converted to a monthly rate. COI rates should be added to the per dollar amount defined on the rate file. $(qx + qy) - (qx * qy)$ where qx = Cost of insurance rate for the first insured (U6—Current COI Segment rate multiplied by any percentage rating plus flat extra rating) qy = Cost of insurance rate for the second insured (U6—Current COI Segment rate multiplied by any percentage rating plus flat extra rating)

6.126 JE—Joint Equal Age Adjustment Segment

The JE—Joint Equal Age Adjustment Segment, along with the JA—Joint Equal Age Conversion Segment, determines the single age and underwriting classification to use for reinsurance. The setup of this segment is used to add and subtract years to determine the single age and underwriting classification to use.

Joint Equal Age Adjustment Segment			
Segment ID	JOINT >>		Segment Type JE
The Reinsurance Joint Equal Age is the		Younger ▾	Age Increased ▾ by
000	if Less Than	001	Years Difference Between the Ages
001	if Less Than	003	Years Difference Between the Ages
002	if Less Than	005	Years Difference Between the Ages
003	if Less Than	007	Years Difference Between the Ages
004	if Less Than	010	Years Difference Between the Ages
005	if Less Than	013	Years Difference Between the Ages
006	if Less Than	016	Years Difference Between the Ages
007	if Less Than	019	Years Difference Between the Ages
008	if Less Than	024	Years Difference Between the Ages
009	if Less Than	029	Years Difference Between the Ages
010	if Less Than	035	Years Difference Between the Ages
011	if Less Than	040	Years Difference Between the Ages
012	if Less Than	045	Years Difference Between the Ages
013	if Less Than	048	Years Difference Between the Ages
014	if Less Than	051	Years Difference Between the Ages
015	if Less Than	999	Years Difference Between the Ages
	if Less Than		Years Difference Between the Ages
			OK
			Cancel

6.127 JT—Joint Equal Age

NOTE

Traditional only

The JT—Joint Equal Age Segment points to the appropriate combination of gender codes and which insured is younger when a joint age product is used. This segment was designed to translate table ratings on joint insured lives into one.

Method 1 calculates the joint equal age as explained below.

1. Determine the age difference between the insureds, in years
2. Determine which insured is older
3. Access the JT Segment and determine the band to use, based on the gender of the insureds
4. Access the rates from the band determined in Step 3
5. Use the number of years difference in age, as calculated in Step 1, as the duration and retrieve the rate

6. Add this rate to the age of the younger insured
7. Add any constant

Enter JT Segment - Joint Equal Age Criteria	
Segment ID	JOINT >>
Segment Type	JT
Select Period	Duration 0
Ultimate ID	
Constant Rate	0 (Added to JEA, if Declared)
Type Modifier	
Rates Vary By Underwriting Class?	No
Where the Older Insured is Listed First, Indicate the Mapping to Band Numbers in the Rate Files.	
If Unisex, Map All Bands to 1.	
MM = Band	0
MF = Band	0
FF = Band	0
FM = Band	0
Method 1	Take Difference in Ages, Determine the "Band Number", Get the Adjustment from Files, Add to Younger Age. Add Constant if Not Zero.
Other Methods	Reserved for Future Use.
Final Age Adjustment Program Number	00
Substandard Table	Method
JEA Table Id	F6 to Access JEA Table
Rates JEA Table OK Cancel	

The substandard rating methods are listed below.

- 00—The table rating applied to the primary insured is used to retrieve the substandard extra premium. This is the default.
- 01—The table ratings for each insured are translated into one table rating number.
- 02—The table extra rates from each insured are added together.

Table Extra Data

Substandard extra premiums by table number can be defined from the JT Segment. To access the window to set up the substandard premium rates, complete the JEA Table ID field and click **JEA Table**.

The substandard table IDs point to rate files that contain the substandard rates per 1000 to apply per table. The rates can vary by band, underwriting class, gender, and rate types.

The following table contains definitions for the fields on the Table Extra Data screen.

Field	Description
Table Extra Key	The key defines the table that is used to define the rates. The ID selected can be up to 8 alphanumeric characters.
Are Table Extras Banded	Rates can be varied depending on the face amount of the policy. This field determines if rates are banded. Y—Yes Rates are banded by face amount. N—No The rates are the same for all bands.
Vary Table Extras by Und Class	Y—Yes The system looks at all underwriting classes listed on the Coverage Record. N—No Rates do not vary by underwriting class. The system only looks at the default underwriting class (the first one listed on the first Coverage Record screen) when finding rates.

Field	Description
Female Rate Basis	The selection in this field designates the rates that are used for females. S—Setback The same rates are used for males and females, but the rates are set back a designated number of years for females. U—Unique Different rates are set up for females.
Setback Years	This field works in conjunction with the Female Rate Basis field. If Setback was selected in the Female Rate Basis field, the number of years the rates are set back is designated in this field.
Rate Type	The rate type selected determines what the rates are based on, and where in the rate file the rates are input. A—Attained Age I—Issue Age If Attained Age or Issue Age is selected, input the rates in the Attained Age Rate File. O—Duration Only D—Age And Duration If Duration Only or Age And Duration is selected, input the rates in the Age/Duration Rate File. If Duration Only is selected, the rates are input under age 0 in the Age/Duration Rate File.
Number of Substandard Tables	Input the number of tables that are defined in this field. The number selected generates the same number of table pointers at the bottom of the screen. Up to 40 tables are supported. The rates can be viewed by positioning the cursor on a Table ID pointer and clicking Rates.

6.128 K1—Keyword Segment

The K1-K5 Keyword Segment is used to define correspondence keywords. The first ten keywords are completed automatically.

The K1-K5 Segment is accessed by clicking **Keyword Setup** from the Letter Number field on the LD—Letter Definition Segment.

Correspondence Keyword Segment (K1 - K5)

Letter File: >> Process: New Business Activation

Field	Keyword	Description	Field	Keyword	Description
11	CURRDATE	>> CURRENT DATE	25		
12	NAMEOFIN	>> NAME OF SPECIFIED RE	26		
13	NAMEOFPO	>> NAME OF SPECIFIED RE	27		
14	NAMEOFSA	>> NAME OF SPECIFIED RE	28		
15	ADDR01SA	>> ADDRESS LINE 1 OF SP	29		
16	ADDR03SA	>> ADDRESS LINE 3 OF SP	30		
17	ADDR05SA	>> ADDRESS LINE 5 OF SP	31		
18	COMPNAME	>> COMPANY NAME FROM MA	32		
19	MAC_NEW1	>>	33		
20	BENHSLBA	>> EXTENDED KEY SELECTI	34		
21			35		
22			36		
23			37		
24			38		

OK
Cancel

The Keyword Segment is used to define additional keywords to be included in a correspondence letter. Refer to the Reports Book, Section 6—Correspondence for more information on how keywords are used.

The following table contains descriptions of the Keyword Segment fields.

Field	Description
Letter File	This field displays the name of the letter form which needs to be defined in the word processing package. The letter form defined must have this name, plus a .FRM extension. The format is shown below. L Letter Type Letter Number
Process	If this letter is linked to a specific process on the LD—Letter Definition Segment, the process is displayed in this field. It cannot be updated.
Field	The keyword selected on this line is placed in the field number listed in this field. The field number cannot be updated. Normally this field starts with 11, but if the letter has additional defaults above the normal 10, it starts with a later number.
Keyword	Click >> to access the Keyword Selection window. The cursor is positioned at the top of the window on a blank field. This field is a search field. Type in a letter, or part of a keyword, and click OK to move to that point in the list. On the selection list, if a value is displayed in the LOB column, that keyword is only available for the line of business listed. To select a keyword, click OK. A formatting window is displayed. Complete the selections, then click OK to select. Variable Macro Keywords—Press F3 to display a selection list for keywords NPT1, NPT2, NPT3, NPT4. These keywords act as placeholders when using the variable text option on manual letters. The Manual Letter Generation screen in Inforce allows the input of user defined text. These keywords control where that text is placed. From the Macro Code Menu press F8 to add a macro. Type in a macro ID, then press F8 to add, complete the fields, then click OK to save. These macros are really just strings of predefined text that can be used when defining variable text on the Manual Letter Generation screen. (From the Manual Generation screen, you have the option of typing in custom text, or selecting from these predefined macros.)
Description	A description for the keyword selected is listed and cannot be updated.

6.129 KD—Key Definition Segment

NOTE

Health only

The KD—Key Definitions Segment is used to define extended keys. Extended keys are user defined factors which affect health premium rates. Refer to Section 12, 6.196—PR—Premium Segment on page 12-725 in this book for additional information on setting up the KD Segment.

When setting up the PR—Premium Segment, there are standard variances that you do not have to define as extended keys. The variances not included are listed below.

- Gender
- Underwriting Class
- Band
- State Code
- Area Code

The extended keys are variances which are not defined in this standard list. For example, deductible amount, waiting period, and co-payment amount could be potential extended keys. Defining extended keys on the KD Segment allows premium rates to be varied by these factors.

When coding a new business application in Policy Add, the system prompts for designation of extended key information on the New Business Insurance Benefits App screen.

Key Definition

Key Definition ID: >>

Number of Additional Key Elements:

	Key Description	# of Sels
1	BENEFIT PERIOD	4
2	ELIMINATION PERIOD	3
3	INFLATION PROTECTION	2
4	SPOUSE DISCOUNT	2
5	GROUP DISCOUNT	2

Page 1 of 1

Description
List Options...
OK
Cancel

Currently, this feature is limited to line of business H—Health. Up to 25 key definitions can be defined.

The following table contains definitions for the fields on the Key Definition screen.

Field	Description
Number of Additional Key Elements	Enter the number of extended keys desired in this field. The system opens up exactly this many lines, and demands that the entire list and the possible selections in the lower file (accessed from the F4 key) are completed. NOTE You may not exit this screen until all descriptions and all choices for each category have been completed.
Key Description	Enter the appropriate description. No editing is performed. For example, capitals or numbers are all allowed. Press F4 from this field or the next to access the Key Definition Selections screen.
# of Sels	Enter the number of choices associated with each description. In the example shown on the previous page, there are 4 benefit periods and 3 elimination periods. There are 2 selections available for the remaining extended keys.

KD—Key Definition Setup Notes

- The format is entirely user defined. Press **F4** on any of the lines to drop to the selections for the key definition. For example, if the Benefit Period is selected, there must be four selections listed (for example, 6 months, 1 year, 2 years, and 5 years).
- Additional keys and additional choices can also be added. Never rearrange or delete keys after the product is in production. To do so creates invalid premiums for policies issued with the original list and choices.

Key Definition Selections

The Key Definition Selection screen is used to define the descriptions for each extended key. For example, if Benefit Period is an extended key, this screen is used to define the possible benefit periods.

The number of available selections depends on the number of selections defined on the Key Definition screen. The field is 20 characters, alphanumeric.

Select Key Definitions

Key Definition ID LTC-12345

Key Number	Description
1	BENEFIT PERIOD

Available Selections

1	2 YEARS
2	3 YEARS
3	5 YEARS
4	LIFETIME

Page 1 of 1

Next
Previous
OK
Cancel

Minimum/Maximum Issue Age Extended Key Selection

The Min/Max Iss Age Extended Key Selection window allows a minimum and maximum issue age limit to be defined for each key definition. The Minimum Issue Age and Maximum Issue Age fields determine an allowable age range for an extended key selection in Policy Add, Health Requote, Benefit Add, and Benefit Change.

Selection#	Description
001	1 YEAR

Minimum Issue Age: 32
Maximum Issue Age: 44

OK Cancel

If an age is not defined, the system does not edit the issue age of the insured. If an age is defined, the system edits the insured issue age against the allowable age range for each extended key selection. If the issue age of the insured does not fall into the allowable age range, the message *Insured not within issue limits*, is displayed. This message is displayed when **F4** is pressed from the Extended Key Selection screen to process the selection for an insured. This edit is applicable to Policy Add, Health Requote, Benefit Add, and Benefit Change.

NOTE

The Min/Max Iss Age Key Selection window is applicable to default, copy, and autoselect extended key selections; however, it is not applicable to the Group Product System.

Complete the following steps to define minimum and maximum issue ages for a selected key definition.

1. From the KD Segment, press **F4** from the desired Key Description field. The Key Definition Selection screen is displayed.
2. Place the cursor on the key definition to define and press **F4**. The Min/Max Iss Age Extended Key Selection window is displayed.
3. Press **F8** to add a new record or press **F10** to update an existing record.

4. Complete the desired fields.

Field	Description
Selection #	This field is protected and defaults the sequence number of the extended key selected.
Description	This field is protected and defaults the description of the extended key selected.
Minimum Issue Age	The issue age of the insured must be at least the age defined in this field in order to be eligible for the extended key selection displayed in the Selection # and Description fields.
Maximum Issue Age	The issue age of the insured cannot exceed the age defined in this field in order to be eligible for the extended key selection displayed in the Selection # and Description fields.

5. Press **Enter** to save.
6. Click **End** to return to the Key Definition Selection screen.

6.130 KW—Keyword Segment

NOTE

Traditional only

The KW—Keyword Segment defines which components are included in the policy total premium keywords (PTPPRA and PTPPRY) and the policy guaranteed maximum premium keywords (PGXPRA and PGXPRY). This segment is only applicable for traditional base coverages.

Enter Keyword Segment Criteria

Segment ID: KEY >> Segment Type KW

Policy Total Premium Keyword - Ptppr

Include Rating: Yes Benefits: [][][][][][][][][][]

Policy Guaranteed Maximum Premium - Pgxpr

Include Rating: No Benefits: [][][][][][][][][][]

OK Cancel

If table and flat ratings are to be included in the keywords, select **Yes** in the Include Rating field.

A cross reference list of the available components can be accessed by pressing **F7** from the Benefits fields.

NOTE

Important: The BA—Base benefit must be one of the selections.

6.131 L0—Letter Type Segment

The L0—Letter Type Segment consists of ten pages of correspondence letters which can be generated for a base coverage. Refer to the Reports Book, Section 6—Correspondence for more information on the Letter Type Segment.

L0 Segment—Page 1

Correspondence Letter Type Segment					
Segment ID		PARWL >>		Type L0	
Process Name	Letter Type	Process Name	Letter Type		
New Business Activation	Yes >>	TEST >>	Premium Quote Change	No >>	>>
Benefit Change Activation	No >>	>>	IBA Type 01 Deposit	No >>	>>
Benefit Add Activation	No >>	>>	IBA Type 01 Withdrawal	No >>	>>
Specified Amount Increase	No >>	>>	IBA Type 02 Deposit	No >>	>>
Beneficiary Change	No >>	>>	IBA Type 02 Withdrawal	No >>	>>
Payor/Owner Change	No >>	>>	Death Benefit Opt Change	No >>	>>
PAC Bank Change	No >>	>>	Dividend- Suspns To Accum	No >>	>>
Non-Forfeiture Opt Change	No >>	>>	Dividend- Suspns To PUA	No >>	>>
Policy Code Change	No >>	>>	Dividend- Suspns To OYT	No >>	>>

Page 01 Of 10

Click **Next** and **Previous** to move between multiple pages of the Letter Type Segment. Each process name listed represents a correspondence link.

After a letter is defined on this screen, press **F4** from the Type field to drop to the Letter Definition Segment to define who should receive the letter.

The following table contains descriptions of the fields on the L0—Letter Type Segment.

Field	Description
Process Name	This column lists the processes in the system that have automatic correspondence links. Correspondence can be turned on or off for each process listed. This list cannot be manually updated.
Letter	This field determines if the process listed generates a correspondence letter. Y—Yes When the process occurs, prompt is displayed and allows you to select whether or not the letter is generated. You have the option of selecting N—No to not generate the letter. For example, a New Business Activation letter may not be requested in the case of a reissue, as opposed to regular activation. Do not select Y—Yes for letters that are generated by a nightly cycle type process. For example, lapse letters are generated by billing so they should be defined as Automatic. N—No The letter is not generated. A—Automatic The letter is always generated and you do not have the option of not generating the letter. No prompt is displayed. NOTE The Service Information Request Letter must be Automatic.
Type	This field is a five character, alphanumeric field which is used to build the name of the letter. It is totally user defined, although it is helpful to make the name of the letter correspond with the description so it is easier to identify. Each different letter must have a unique ID. Press F4 from this field to access the LD—Letter Definition Segment.

L0 Segment—Page 2

Correspondence Letter Type Segment					
Segment ID		PARWL >>		Type L1	
Process Name	Letter Type	Process Name	Letter Type	Process Name	Letter Type
New Business - Withdrawn	No >>		>>	Benefit Add - Declined	No >>
New Business - Not Taken	No >>		>>	Benefit Add - Incomplete	No >>
New Business - Not Issued	No >>		>>	Benefit Add - Postponed	No >>
New Business - Declined	No >>		>>	Benefit Chng - Withdrawn	No >>
New Business - Incomplete	No >>		>>	Benefit Chng - Not Taken	No >>
New Business - Postponed	No >>		>>	Benefit Chng - Not Issued	No >>
Benefit Add - Withdrawn	No >>		>>	Benefit Chng - Declined	No >>
Benefit Add - Not Taken	No >>		>>	Benefit Chng - Incomplete	No >>
Benefit Add - Not Issued	No >>		>>	Benefit Chng - Postponed	No >>

Page 02 Of 10

L0 Segment—Page 3

Correspondence Letter Type Segment					
Segment ID		PARWL >>		Type L2	
Process Name	Letter Type	Process Name	Letter Type	Process Name	Letter Type
Anniversary	No >>		>>	NFO Activation - Lapse	No >>
Paid Up Policy	No >>		>>	NFO Activation - ETI	No >>
Cease Of Policy	No >>		>>	NFO Activation - RPU	Yes >>
Cease Of Benefit	No >>		>>	NFO Activation - APL	No >>
Automatic Death Ben Inc	No >>		>>	Reminder Notice	No >>
Automatic Premium Change	No >>		>>	Late Payment Offer	Yes >>
Loan Interest Capped	Yes >>	LNCAP	>>	Late Payment Receipt	Yes >>
Vanish Processing	No >>		>>	Reinstatement	Yes >>
Anniv Dividend Accum	Yes >>	TEST1	>>	Anniv Dividend Puas	Yes >>

Page 03 Of 10

The following table defines two of the letters on the third screen of the L0 Segment.

Field	Description
Loan Interest Capped	This letter can be generated when loan interest is capitalized on a traditional policy during anniversary processing. This letter is not available for annuity or universal life policies.
NFO Activation—APL	This letter can be generated when an automatic premium loan is processed. NOTE This letter is not generated when an automatic premium loan is processed if the loan value is insufficient to pay the current modal premium and a mode change is processed to pay a lower modal premium amount using an automatic premium loan.

L0 Segment—Page 4

Correspondence Letter Type Segment			
Segment ID	PARWL >>	Type	L3
Process Name	Letter Type	Process Name	Letter Type
Death Of Base Insured	No >>	Dividend Option Change	No >>
Death Of Other Insured	No >>	Dividend- PUA To Cash	No >>
Full Surrender Of Policy	No >>	Dividend- PUA To Suspense	No >>
Full Surrender Of Benefit	No >>	Dividend- PUA To Accums	No >>
Policy Cancel	No >>	Dividend- Accum To Cash	No >>
Decline Of COLA (IR Ben)	No >>	Dividend- Accum To Suspns	No >>
New Loan Taken	No >>	Dividend- Accum To PUA	No >>
Spec Amt Decrease	No >>	Partial Surrender Of Polc	No >>
Death Quote - Suspend	No >>	Partial Surrender Of Benf	No >>
Next Previous OK Cancel			
Page 04 Of 10			

The following table defines one of the letters on the fourth screen of the L0 Segment.

Field	Description
Policy Cancel	When this letter is set up for a coverage, the letter is generated when a benefit or a policy is cancelled.

L0 Segment—Page 5

Correspondence Letter Type Segment

Segment ID

PARWL >>

Type

L4

Process Name	Letter Type	Process Name	Letter Type
Quoted Values Statement	No >>	Policy Add - Ineligible	No >>
Entering Grace Period	No >>	Policy Add - Deferred	No >>
Decrease In Bonus Level	No >>	Benefit Add - Ineligible	No >>
Grace Reminder Notice	No >>	Benefit Add - Deferred	No >>
Policy Deduction Change	No >>	Benefit Chng - Ineligible	No >>
Create Issue Processing	No >>	Benefit Chng - Deferred	No >>
Issue Process Collections	No >>	Underwriting Requirements	No >>
Issue Process Recalc	No >>	Change Billing Form	No >>
Issue Process Polc Pages	No >>	PAC Premium Change Notify	No >>

Next

Previous

OK

Cancel

Page 05 Of 10

The following table defines one of the letters on the fifth screen of the L0 Segment.

Field	Description
Change Billing Form	This letter is generated from List Bill Collections. When the Option field on the Group Collections screen is set to Delete From Group for a policy, the Premium Quote screen is displayed so the new form can be selected. When this premium quote is processed, the Change Billing Form letter is generated.

L0 Segment—Page 6

Correspondence Letter Type Segment					
Segment ID	PARWL >>		Type	L5	
Process Name	Letter Type	Process Name	Letter Type	Process Name	Letter Type
Adjustment Billing Notice	No >>	1st Gen Input Paymnt Del	No >>		
Waiver Change	No >>	2nd Gen Input Paymnt Del	No >>		
Inflation Rider Notify	No >>	Policy Del Follow-Up #1	No >>		
New Busin - Decline (DU)	No >>	Policy Del Follow-Up #2	No >>		
New Busin - Decline (DR)	No >>	Service Agent Change	No >>		
New Busin - Decline (DN)	No >>	Service Info Request(Sir)	No >>		
New Busin - Decline (DS)	No >>	Premium Allocation Change	No >>		
New Busi - Incomplete(MB)	No >>	Systematic Request Failed	No >>		
TAR Premium Insufficient	No >>	Detailed NFO Values	No >>		

Next
Previous
OK
Cancel

Page 06 Of 10

The following table describes one of the letters available on the sixth L0 screen.

Field	Description
Inflation Rider Notify	The Inflation Rider Notify letter must be defined on the base benefit. This letter is generated when an inflation increase occurs based on the Number of Days Prior to Action for ENS Note field on the default Miscellaneous Management Options screen. For example, if the field is set to 60, the letter generates 60 days before the inflation increase. The following fields default as described below. Field 11—Effective date of increase Field 12—Declination date if the increase is declined Field 13—Death benefit increase Field 14—Increase percentage Field 15—Death Benefit. The death benefit that the COLA increase on which Field 13 is based. Field 16—New mode premium Field 17—Premium increase Field 18—Premium increase percentage Field 19—Premium due date Field 20—Current death benefit. The death benefit as of the increase date as shown on the death benefit quote. This field only appears when the Face Amount As of Effective field on the IR—Inflation Rider Segment is set to Yes. NOTE When the Face Amount As of Effective field on the IR Segment is set to Yes, the values on the letter are based on the effective date of the increase. The new mode premium is the premium rate effective on the date of the increase applied to the new face amount after the increase is added. The premium increase is the difference between Field 16 and the premium rate effective on the date of the increase applied to the face amount before the increase is added. Fields 13 and 15 display an unrounded amount as needed so that Field 13 plus Field 15 matches Field 20. This means that Field 13 does not always match the increase amount that is shown on the IR—Inflation Rider event record. The IR event record rounds the increase to the next highest dollar and this amount is applied to the benefit. If the Face Amount As of Effective field on the IR Segment is set to No, the values on the letter are based on the effective date of the letter and the premium values reflect the next premium to be paid.

L0 Segment—Page 7

Correspondence Letter Type Segment			
Segment ID	PARWL >>	Type	L6
Process Name	Letter Type	Process Name	Letter Type
Premium Recalc Values	No >>	MC SPIA Death Cash	No >>
Div Option 8 Shortfall	No >>	MC Dividends To Cash	No >>
Div Option 8 Needed Prem	No >>	MC IBA To Cash	No >>
Partial Withdrawl / Vanish	No >>	MC Loan To Cash	No >>
Grace W/Outstanding Var	No >>	MC Surrender To Cash	No >>
Internal Replacement	No >>	MC Suspense To Cash	No >>
External Replacement	No >>	Cashring Receipt	No >>
MC Manual Actg Cash	No >>	MC Cancel To Cash	No >>
MC Group Death Cash	No >>	MC Death To Cash	No >>
Next			
Previous			
OK			
Cancel			

Page 07 Of 10

L0 Segment—Page 8

Correspondence Letter Type Segment			
Segment ID	PARWL >>	Type	L7
Process Name	Letter Type	Process Name	Letter Type
Minimum Deposit Quote	No >>	Correction Of Basis	No >>
MEC Notification	No >>	IBA Type 4 Deposits	No >>
Non-Forfeiture Option 8	No >>	IBA Type 4 Withdrawals	No >>
Agent Net Commissions	No >>	Free Partial W/Drawal	No >>
Requirements Letter	No >>	NCL Payoff	No >>
Inforce Requirements	No >>	Qualified CDI Enter Grace	No >>
Mult Insured Health Quote	No >>	Reduce Bill By Guideline	No >>
Current Interest Expiry	No >>	Reduce Bill By TAMRA	No >>
Max Consecutv APL Reached	No >>	Window Maturity Notify	No >>
Next			
Previous			
OK			
Cancel			

Page 08 Of 10

The following table contains definitions for some of the letters on page 8 of the L0—Letter Type Segment.

Field	Description
MEC Notification	The MEC Notification letter can be generated for traditional and universal life products. Three options are available in the Letter field for the MEC Notification letter. Y—Yes For universal life policies, if monthaversary is processed individually for the policy and the policy enters MEC status, a Correspondence Prompt window is displayed providing the option to generate the letter or not. If monthaversary is processed during batch, a Correspondence Prompt window is not displayed and the letter is generated. For traditional policies, the letter is generated when the policy enters MEC status. However, a Correspondence Prompt window is not displayed. A—Automatic The letter is generated during monthaversary, processed individually or by batch, without a Correspondence Prompt window. N—No The letter is not generated when the policy enters MEC status.
Mult Insured Health Quote	The Multiple Insured Health Quote letter is generated from the Multiple Insured Health Quote screen after the quote has been processed. The letter can be generated by pressing Alt+P or by selecting Generate Quote Letter from the List Options Menu. NOTE This letter must be requested from the Multiple Insured Quote screen even if the Letter field on the L0 Segment is defined as Automatic. The letter is not automatically generated for each quote processed. If the Letter field on the L0 Segment is Yes, a Correspondence Prompt window is displayed to confirm that the letter should be generated. This window is not displayed if the Letter field is set to Automatic.

Field	Description
Current Interest Expiry	The Current Interest Expiry letter is generated when the system finds an aggregate, new money/old money, or split fund (as defined on the FC—Fund Administration Segment) which has a guaranteed current interest rate which expires (as defined on the FR—Fund Rules Segment in the Current Interest Guarantee Period (Years/Months) field and the FC Segment Number of Months Prior Guar Expiry for Letter field). The keywords CURRLOCK (Locked in Current Rate) and LOCKDUR (Locked in Duration) are available for use in policy pages and correspondence. These keywords assume that the entire policy value is deposited into one fund. If more than one deposit is made into a fund, the system uses a weighted average of the guaranteed current interest rates. Y or A—Yes or Automatic The letter designated in the Type field is systematically generated (a Correspondence Prompt window <u>does not</u> appear) when monthiversary is processed for contracts which have a guaranteed current interest rate expiring (as defined on the FR—Fund Rule Segment) for aggregate, new money/old money, or split level funds. N—No The letter is not generated when the guaranteed current interest rates for an aggregate, new money/old money, or split level fund is about to expire.
Max Consecutv APL Reached	The Max Consecutv APL Reached letter is generated when the last automatic premium loan (APL) is taken on a policy, which is when the Current Consecutive APL's field on the Policy Miscellaneous screen equals the Maximum Consecutive APL's field on the NO—Nonforfeiture Segment, or the Number of APL's field, as defined through the State Control File. Corresponding keywords are CURRAPLS (Current Consecutive APL's) and MAXIAPLS (Maximum Consecutive APL's).

Field	Description
Correction Of Basis	The Correction Of Basis letter is generated when a basis correction has been processed through the Processing Menu from the Contract screen. NOTE The Basis Correction option is available only by setting the Global field in the Taxation Section on the second page of the Coverage Record screen to Yes, and the Basis Correction field on the Inforce Security Detail screen to 9—Full Access. Y—Yes The Correspondence Prompt window is displayed on the Basis Correction screen when OK is clicked to process the correction. A—Automatic The Correction Of Basis letter is generated without the Correspondence Prompt window displaying during the correction process. N—No Do not generate the letter for a basis correction.
IBA Type 4 Deposits	The IBA Type 4 Deposits letter is generated when money is deposited into an IBA type 04 account.
IBA Type 4 Withdrawals	The IBA Type 4 Withdrawals letter is generated when a premium payment or requested withdrawal is processed from an IBA type 04 account.
Free Partial W/Drawal	The Free Partial W/Drawal letter is generated when a free withdrawal is processed. <i>LifePRO®</i> has the ability to compute free withdrawals based on a percentage of the gross fund less surrender charge less current loan balance as of the date of the quote. In addition, the free withdrawal can be further reduced by the sum of all previous withdrawals (free or not), and a withdrawal fee, if applicable. Three correspondence keywords, CHGINSUR (change in surrender load due to the last partial surrender), PRIORSC (surrender charge prior to last partial surrender), and NEWSC (surrender charge after reduction by CHGINSUR) are available.
NCL Payoff	The NCL Payoff letter is generated when the payment for the last non-collateralized loan repayment is processed. A—Automatic The letter is generated by the system without prompting when the last loan repayment is processed. Y—Yes A Correspondence Prompt window is displayed when the last loan repayment is processed. N—No The letter is not generated when the last loan repayment is processed.

Field	Description
Qualified COI Enter Grace	The Qualified COI Enter Grace letter is generated when a policy enters the alternate grace period as defined on the QR—Qualifying Rules Segment. Three correspondence keywords, SNDRYPRM (amount of the qualified minimum premium defined on the QR Segment), SNDRYGRC (date of entering alternate grace period), and SNDMINRQ (additional premium required to meet the qualified minimum premium) are available.
Reduce Bill By Guideline	The Reduce Bill By Guideline letter is generated if the Use Guideline/TAMRA Limits To Reduce Bill field on the Coverage Record is set to Reduce by Guidelines or Reduce-By-Guide & TAMRA and a policy premium bill is reduced to avoid a TEFRA violation. This letter is generated for PAC and Direct billing forms.
Reduce Bill By TAMRA	The Reduce Bill By TAMRA letter is generated if the Use Guideline/Tamra Limits To Reduce Bill field on the Coverage Record is set to Reduce-By-TAMRA or Reduce-By-Guide & TAMRA and a policy premium bill is reduced to avoid a TAMRA violation. This letter is generated for PAC and Direct billing forms.
Window Maturity Notify	The Window Maturity Notify letter is generated the number of days prior to a fund maturing that is identified on the WM—Window Maturity Segment and contains the following information in the designated fields. Field 11—Bucket (window) maturity date Field 12—Current interest rate for the window Field 13—New money interest rate as of the date of the last activity Field 14—Fund ID Field 15—Current balance in bucket as of the last activity date Field 16—Original amount of bucket Field 17—Bucket (window) date from the WFNDS File Field 18—Window renewal date (This is the actual date the Rque for the auto-maturity occurs. For example, if the window maturity date is for a non-price day, the Rque actually has the next valid price day.) Field 20—Last activity date

L0 Segment—Page 9

Correspondence Letter Type Segment					
Segment ID				Type L8	
Process Name		Letter Type	Process Name	Letter Type	
Window Maturity Failure	No		NLG Tier Grace Period	No	
Auto PAC Reversals	No		MEC - Premium Payments	No	
Index Interval Completion	No		MEC - Policy Changes	No	
Eq Large Premium Letter	No		Conversion Roth IRA	No	
Invalid Credit Card Type	No		Trans Win of Opportunity	No	
Credit Card Due To Expire	No		Loan Deeming Action 5	No	
Credit Card Pymt Declined	No		Loan Payoff	No	
Credit Card Expired	No		Required Min Distribution	No	
Invalid Credit Card State	No		Window Withdrawal	No	

Next

Previous

OK

Cancel

Page 09 Of 10

The following table contains descriptions for some of the letters on the ninth screen of the L0 Segment.

Field	Description
Window Maturity Failure	The Window Maturity Failure letter is generated when the matured amount from the original fund attempts to transfer to the new fund identified on the WM—Window Maturity Segment if the transfer cannot be completed. The Window Maturity Failure letter contains the following information in the designated fields. Field 11—Bucket (window) maturity date Field 12—Current interest rate for the window Field 13—New money interest rate as of the date of the last activity Field 14—Fund ID Field 15—Current balance in the bucket as of the last activity date Field 16—Original amount of the bucket Field 17—Bucket (window) date from the WFNDS File Field 18—Window renewal date (This is the actual date the Rque for the auto-maturity occurs. For example, if the window maturity date is for a non-price day, the Rque actually has the next valid price day.) Field 19—Reason for failure (blank on maturity notify) Field 20—Last activity date
Index Interval Completion	The Index Interval Completion letter is generated at the completion of an index interval as defined through the BU—Indexed Interest Bonus Segment and is generated out of the modeaversary following the crediting of an index increase.
Eq Large Premium Letter	The Eq Large Premium letter corresponds to the EQ Large Premium field on the second page of the Coverage Record. The EQ Large Premium field defines the minimum premium that triggers the EQ Large Premium letter. If the premium is equal to or greater than the amount defined in this field, the EQ Large Premium letter is generated. This correspondence event is used in normal billed batch collections, manual batch collections, manual premium payments, list bill collections, and lock box collections.

Field	Description
Invalid Credit Card Type	If the Letter field is set to Yes, the Invalid Credit Card Type letter can be manually generated by pressing F2 from the Contract screen and selecting Policy Correspondence. From the Correspondence Menu, select Generate Manual Correspondence and input the letter to generate. NOTE The only available options are Y—Yes and N—No.
Credit Card Due To Expire	The Credit Card Due to Expire letter is generated “x” number of days in advance based on the Generate Correspondence ___ days in advance of expiration field on the Credit Card Type Definition screen. The Letter field should be set to Automatic to avoid interrupting the credit card process. NOTE Each time credit card processing is run, the system checks all credit card records to verify the expiration date.
Credit Card Pymt Declined	The Credit Card Payment Declined letter is generated during reversal processing, if the reversal action is Reverse Payment and Rebill or Reverse Pmt, Change Bill Mode and Rebill. The Letter field should be set to Automatic to avoid interrupting the credit card process
Credit Card Expired	If the Letter field is set to Yes, the Credit Card Expired letter can be manually generated by pressing F2 from the Contract screen and selecting Policy Correspondence. From the Correspondence Menu, select Generate Manual Correspondence and input the letter to generate. NOTE The only available options are Y—Yes and N—No.
Invalid Credit Card State	The Invalid Credit Card State letter is generated when a payor state is changed to a state that does not allow credit card billing based on the Valid States for CR Card screen accessed through the Valid States for CR Cards option on the State Control Menu. The Letter field should be set to Automatic to avoid interrupting the credit card process.

Field	Description
NLG Tier Grace Period	The NLG Tier Grace Period letter is generated when a policy enters the grace period for its current no lapse guarantee tier. No lapse guarantee tiers and the grace period for these tiers are defined through the LT—Tiered No Lapse Guarantee Segment. The following fields are automatically displayed on the NLG Tier Grace Period letter. Field 11—Required net payment to avoid termination of tier Field 12—Date of end of grace period Field 13—Current NLG premium Field 14—Current premium mode Field 15 - 18—Tier 1 premium—annual, semi-annual, quarterly, and monthly, respectively Field 19 - 22—Tier 2 premium—annual, semi-annual, quarterly, and monthly, respectively Field 23 - 26—Tier 3 premium—annual, semi-annual, quarterly, and monthly, respectively Field 27 - 30—Tier 4 premium—annual, semi-annual, quarterly, and monthly, respectively Field 31—The tier that is expiring NOTE For any tiers that have expired, the respective fields for the tier premiums contain blanks.
MEC - Premium Payments	A policy is said to be in warning status if it becomes a MEC within 60 days if no action is taken, according to TAMRA regulations. If a premium payment causes the policy to be placed on warning status, the MEC—Premium Payments letter is generated. The following fields are automatically displayed on the MEC—Premium Payments letter. Field 11—Description of the MEC indicator <i>Warning</i> Field 12—Effective date of the warning status Field 13—Description of the reason code <i>Premium Payment</i> Refer to the Inforce Book, Section 1, 4.5—Contract Screen Updates - MEC Field Utility (TAMRA/MEC Information Window) for more information about the MEC indicator, effective date, and reason code.

Field	Description
MEC - Policy Changes	If a policy change causes the policy to be placed on warning status, the MEC—Policy Changes letter is generated. The following fields are automatically displayed on the MEC—Premium Payments letter. Field 11—Description of the MEC indicator <i>Warning</i> Field 12—Effective date of the warning status Field 13—Description of the reason code <i>Premium Payment</i>
Conversion Roth IRA	If an existing SEP, simple, or traditional IRA (tax qualification codes of 4, S, and 3, respectively) is converted to a Roth IRA (tax qualification code of Q), using the Inforce Tax Qual Code Change option, the Conversion Roth IRA letter is generated.
Trans Win of Opportunity	If transfers are restricted to a user defined number of days at the end of a policy year on the OL—Transfer Out Limits Segment, correspondence may be generated using the Transfer Window of Opportunity letter. If desired, the letter may be set to generate automatically, if the Correspondence Days field on the OL Segment is defined. Refer to 6.180—OL—Transfer Out Limits on page 12-681 in this book for more information.
Loan Deeming Action 5	This letter is only available for tax-sheltered annuities (TSAs) that offer loans. Y—Yes A letter may be manually generated if a TSA loan is deemed based on TSA Loan Action Flag 5, defined on the State Loan Cap Information screen. A—Automatic A letter is automatically generated during RQUE or monthiversary processing, if a TSA loan is deemed based on TSA Loan Action Flag 5. N—No The letter is not available. This is the default.
Loan Payoff	This letter is available for any type of product which offers loans, other than non-collateralized loans. Y—Yes A letter may be generated when the entire loan is repaid. A—Automatic A letter is automatically generated when the entire loan is repaid. N—No The letter is not available. This is the default.
Required Min Distribution	This letter can be generated when a Required Minimum Distribution transaction is processed.
Window Withdrawal	This letter can be generated when a WIndow Withdrawal transaction, either single or systematic, is processed.

L0 Segment—Page 10

Correspondence Letter Type Segment			
Segment ID		Type	L9
Process Name		Letter Type	Process Name
		Letter Type	
Increment Index Notify	No		
Guar Withdrawal - Excess	No		
Deduction Alloc Change	No		
Policy Changes Info	No		
Premium Receipt	No		
GTD DB LAPSE START	No		
Free Out Anniversary	No		

Next

Previous

OK

Cancel

Page 10 Of 10

The following table contains the definition for the letter on the tenth screen of the L0 Segment.

Field	Description
Increment Index Notify	This letter is created when an indexation is processed that increases the premium and specified amounts. The Generate Correspondence ____ Days Before Indexation field on the XI—Increment Indexation Rules Segment determines the number of days prior to the indexation that the letter is created.
Guar Withdrawal—Excess	This letter is generated when an excess withdrawal is processed, causing the GMWB eligible premiums or the lifetime basis to be adjusted.
Deduction Alloc Charge	This letter can be created when a Deduction Allocation Record is added to a policy.
Policy Changes Info	This letter is generated from monthiversary processing when the event for a benefit add, benefit change, specified amount increase, or specified amount decrease calculates new TAMRA and guideline premiums on the event record and calculates the no lapse guaranteed premium amount on the PRBN record.

Field	Description
Premium Receipt	This letter is created when a premium is paid. For the purpose of this letter, a premium is defined as any money applied with a premium transaction code of 0110, 0121, 0122, 0123, 0124, 0127, 0128, 0129, 0131, or 0132. Y—Yes For manual premium payments, the Generate Correspondence window is displayed when the premium is paid to allow the option of creating the premium receipt letter. For payment methods other than manual (Manual Batch, PAC, List Bill), the letter will be created when the premium is paid without displaying the Generate Correspondence window. N—No The letter is not generated when a premium payment is made. This is the default. A—Automatic The letter is generated for all premium payments.
GTD DB LAPSE START	This letter is generated when a policy fails the death benefit guarantee (DBG) test and enters the no lapse guarantee grace period.
Free Out Anniversary	This letter is generated the number of days prior to a Free Out anniversary date, as defined on the OC—Free Out Surrender Charge Rules Segment.

6.132 LA—Calendar Dividend Processing

NOTE

Traditional only

The LA—Calendar Dividend Added Amount Segment defines flat rates that are added to the dividend amount calculated using the rates on the LV—Calendar Dividend Segment. The LA Segment is accessed from the LV Segment by inputting the LA Segment ID in the Additional Amount Segment ID field and pressing **F4**. The LA Segment is displayed.

The LA Segment allows a flat amount to be designated to be paid in addition to the dividends generated from the LV Segment. The flat amount for the additional dividends can be banded.

The screenshot shows the 'Calendar Dividends' form with the following fields and values:

- Segment ID: TRAD >>
- Segment Type: LA
- Key Modifier: LA
- Values Banded: No
- Values Vary by: No
- Underwriting Class: No
- Female Rate Basis: Male With Setback
- Setback Years: 0
- Rate Type: Attained Age
- Rate Rounding Rule: 00
- Rate Mode Rule ID:
- Band Upper Limits: 9999999, 0, 0, 0, 0, 0, 0

Buttons on the right side of the form:

- Notes
- Date Substitution
- Rates
- OK
- Cancel

Refer to Section 12, 6.143—LV—Calendar Dividend Segment on page 12-555 in this book for a processing example, illustrating this segment.

6.133 LC—Loan Impairment Interest Crediting Segment

NOTE

Universal life only

The LC—Loan Impairment Interest Crediting Segment can be accessed through the Segment List accessed on the Fund Rules screen and the FL—Fund Rule Segment. The FL Segment is accessed through the Loan Fund ID field on the LN—Loan Interest Rates Segment. This segment tells LifePRO® the interest rate to apply to that portion of a fund which is impaired, for example, if the policy has a loan. For example, assume a fund value is \$10,000 with a \$2,000 loan, \$2,000 of the fund value is impaired. Most companies do not credit the same rate on the \$2,000 as on the other \$8,000 (the unimpaired fund value). For example, a company might credit only the guaranteed rate, or some floating rate between the guaranteed and current. Also, some companies split the impaired amount into the gain portion and the basis portion. If the LC Segment is not defined and a loan is processed for a flexible premium policy, the guaranteed rate is used to credit the interest on the impaired amount.

Then, different rates (and each might be different from the current rate) can be applied to each piece. This situation is sometimes called a preferred or wash loan. Often, the rate applied to the gain portion is the same as the rate being charged the policyholder on the loan taken. Thus, in the example above, if the basis is \$8,500 and the gain is \$1,500, the loan of \$2,000 is viewed as \$1,500 gain and \$500 basis. The \$1,500 might be credited with the same rate the policy holder is paying for the \$2,000 loan (8.00%) and the \$500 basis is credited with the guaranteed rate.

Enter UL Impaired Interest Crediting Criteria			
Segment ID	JUL1	Select Period	Duration 0
Segment Type	LC	Ultimate ID	
Loan Crediting			
Rate Type	Absolute Rate to Apply		
Rate to Apply	6.00%		
or A1 Rate Segment ID			
Preferred Loan Crediting			
Rate Type	Not Applicable		
Rate to Apply	0.00%		
or A1 Rate Segment ID			
Preferred Loan Method	Gain		
Preferred Available at Age	000	or on Policy Duration	000 , whichever comes First
			OK
			Cancel

The following table contains definitions for the fields on the LC Segment.

Field	Description
Loan Crediting	
Rate Type	A—Absolute Rate to Apply An absolute rate is used, coded in the Rate To Apply field. G—Guaranteed Plus Rate to Apply Add the guaranteed rate to the rate in the Rate To Apply field rate to determine the loan crediting rate. C—Current Minus Rate to Apply Subtract the current rate from the rate input in the Rate To Apply field to determine the loan crediting rate. L—Loan Rate Minus Rate to Apply Subtract the rate in the Rate To Apply field from the current loan interest rate defined in the LN—Loan Interest Segment.
Rate to Apply	Input the rate as defined in the Rate Type field as a percentage. For example, if the rate is 4%, input .04. If the rate is not constant, an A1—Current Interest Segment can be used to define the rates. The segment ID is input in the field below.
A1 Rate Segment ID	If the rate is not constant, an A1 Segment can be set up to define the variations. If the A1 Segment is used, enter the segment ID in this field.
Preferred Loan Crediting	
Rate Type	N—Not Applicable A—Absolute Rate to Apply An absolute rate is used, coded in the Rate To Apply field. G—Guaranteed Plus Rate to Apply Add the guaranteed rate to the rate in the Rate To Apply field rate to determine the loan crediting rate. C—Current Minus Rate to Apply Subtract the current rate from the rate input in the Rate To Apply field to determine the loan crediting rate. L—Loan Rate Minus Rate to Apply Subtract the rate in the Rate To Apply field from the current loan interest rate defined in the LN—Loan Interest Segment.
Rate to Apply	Input the rate as defined in the Rate Type field as a percentage. For example, if the rate is 4%, input .04. If the rate is not constant, an A1—Current Interest Segment can be used to define the rates. The segment ID is input in the field below.
Or A1 Rate Segment ID	If the rate is not constant, an A1 Segment can be set up to define the variations. If the A1 Segment is used, enter the segment ID in this field.

Field	Description
Preferred Loan Method	Two choices exist for the computation of gain. G—Gain Gain is the balance less the basis. If the value is negative, set the value to 0. D—Gain + Total Deductions to Date Gain is the balance less the basis plus the total deductions from all sources to date.
Preferred Available at Age ____, or on Policy Duration ____, which ever comes (first or last)	These fields control preferred loans and respective rules by policy duration as well as attained age of an insured. For example, a product may permit preferred policy loans after the tenth policy anniversary, or the insureds attainment of age 55, whichever comes first. If the Preferred Loan Crediting Rate Type field is set to Not Applicable, this field is protected. F—First L—Last

6.134 LD—Letter Definition Segment

The LD—Letter Definition Segment defines who receives a copy of the letter specified and can be accessed through the Product System and through the Contract screen in Inforce. From the Product System, this segment can be accessed through the L0—Letter Type Segment and the Generate Associated Letter field on the NT—Notify Messages Segment. From Inforce, this segment can be accessed by pressing **F2** from the Contract screen and selecting **Generate Manual Correspondence**.

The LD—Letter Definition Segment displays fifteen system default relationships; however, user defined relationships can be added by selecting the default relationship to override and pressing **F7**. A cross reference list of user defined relationships is displayed.

NOTE

User defined relationships are defined through the Name and Address Management Options screen at the default company level.

Correspondence Letter Definition Segment			
Letter Type	NBACT >>		
Segment ID	LD		
Process	New Business Activation		
Group By	None		
Max Policies on Letter			Generate Service Information Request No
Suppress Print	Never		
	Letter Number	Copies	File Copies
Insured >>	IN		
Joint Equal >>	JE		
Payor >>	PA		
Addnl Payor >>	P1		
Policy Owner >>	P0	01	
Addnl Owner >>	O1		
Service Agent >>	SA		
Writing Agent >>	WA		
PAC Bank >>	BK		
Group Number >>	GP		
Beneficiary 1 >>	B1		
Beneficiary 2 >>	B2		
Assignee >>	AS		
Affiliate >>	AF		
Reinsurer >>	RI		
			Keyword Setup
			OK
			Cancel

When a letter is generated certain default fields, or keywords, are included automatically in the letter. The default fields include the following information.

- Field 2 Name of individual
- Field 3 Address line 1
- Field 4 Address line 2
- Field 5 Address line 3
- Field 6 City, state, zip

This segment controls who the individual referenced in Field 2 is. For example, if a letter is defined for the policy owner, Field 2 contains the name of the policy owner. The address information is the owner's address. Refer to the Reports Book, Section 6, Keyword Defaults for more information on default fields.

The following table contains descriptions of the fields on the LD—Letter Definition Segment fields.

Field	Description
Letter Type	The letter type is the user defined type from the L0—Letter Type Segment. It cannot be updated when this segment is accessed from the Letter Type Segment. NOTE This segment can also be accessed by selecting Segments from the Product System Menu, selecting a line of business, and dropping directly to the LD—Letter Definition Segment. If accessed in this manner, a new letter type can be added and this field is accessible. This is used for letters that are not linked to specific processes, for example, letters that are set up for use with the Follow Up System. If accessing the segment in this manner, a new segment can be added by coding an ID, then pressing F8 to add.
Segment ID	LD is displayed if accessing this segment from the LD—Letter Definition Segment. This field cannot be updated.
Process	If this letter is defined on the LD—Letter Definition Segment, the process the letter is linked to is displayed in this field. This field cannot be updated.

Field	Description
Group By	This field is used to group multiple letter requests into one letter. This option is only applicable if generating multiple letter requests to the same person, and if the letters are generated at the same time. For example, if correspondence is generated daily, the letter has to be generated on the same day. Using the Group By option affects the data file generated for that letter. If two letters are combined, for example, the system generates all the records for the first letter, then add the fields for the second letter to the same record. Keep in mind that if combining letters, the letter form must be set up accordingly. For any of these groupings, the addressee must be the same for the letter to be grouped. A—Account The letters are grouped by the account number defined in Policy Add or on the Contract screen. G—Group The letters are grouped by the list bill group number. B—Both The letters are grouped by the account number and the list bill group number. N—None The letters are not grouped.
Max Policies on Letter	If using a Group By option other than None, this field controls the maximum number of letter requests that are generated together. For example, if 03 is selected, only three letters are combined, and any additional letters are added as a new letter.
Generate Service Information Request	A service information request letter contains default keywords which provide values quote information. This provides a means of generating an additional values quote type letter at the same time another letter is generated. For example, this letter could be linked to a process such as Specified Amount Increase. At the time a normal specified amount increase letter is generated, this field allows for the generation of an additional values quote type letter. Refer to the Reports Book, Section 6, 6.1—Policy Values Statement for more information. Y—Yes Generate the service information request with this letter. The service information request (SIR) must be defined on the Letter Definition Segment. If the letter type displayed is present on more than one Letter Definition Segment, (for example, for a different base coverage), the SIR letter must be defined on any Letter Definition Segment where the original letter type is present. The system edits and makes sure that the letter is set up before allowing a save. N—No Do not generate the service information request letter.

Field	Description
Suppress Print	This field determines how the Gen field in correspondence, including file copies where applicable, is set based on the value in the Bad Address field on the Name and Address record. N—Never The Gen field is set to Yes regardless of the value of the Bad Address field on the Name and Address record. This is the default. A—Bad Address Only The Gen field is set to No if the Bad Address field on the Name and Address record is set to Yes. L—Locate Attempted Only The Gen field is set to No if the Bad Address field on the Name and Address record is set to Locate Attempted. B—Bad Address or Locate Attempted The Gen field is set to No if the Bad Address field on the Name and Address record is set to Yes or Locate Attempted.
Letter Number	This field determines if a letter is generated for the person or relationship listed to the left. This field does not control the number of letters generated. If the relationship listed on that line should receive the letter, type a number in this field. Typically the first field is 01. If more than one letter is to be generated, the number is usually updated sequentially. For example, if the policy owner should receive a letter, type 01 next to the Policy Owner field. If another relationship listed should receive the same letter, type the same number next to the applicable relationship. If another relationship listed should receive a different letter, type a different number. For example, assume 01 is listed by the policy owner. To generate a different letter to the servicing agent, type 02 next to Servicing Agent. If the relationship selected is not present for the policy, no letter is generated. If the payee is deceased, no letter is generated.
Copies	This field controls the number of copies of a letter to be generated.
File Copies	This field controls the number of file copies that are generated for the letter displayed on that line. The default keyword number 7 contains the words File Copy for file copy letters. This allows the printing of the words File Copy on letters.

6.135 LE—NLG and Policy Change Segment

The LE—NLG and Policy Change Segment is used to determine the no lapse guarantee provision that is to continue after a policy change. This is a lower level segment accessed through the NLG and Policy Changes Segment ID field on the LP—Lapse Segment and is only applicable to tiered no lapse guarantee periods.

Enter NLG And Policy Change	
Segment ID	AMG-IUL
Type	LE
Policy Change Processing	
Increase to Base	Start New NLGP
Increase to Rider(s)	Start New NLGP
Addition to Rider(s)	Continuation
Non-Level to Level DBO Change	Expiry Of NLGP
Decrease to Base	Continuation
Decrease to Rider(s)	Expiry Of NLGP
Removal of Rider(s)	Continuation
Termination of Rider(s)	Expiry Of NLGP
Level to Non-Level DBO Change	Expiry Of NLGP
Partial Surrender	Expiry Of NLGP
Table Rating Change	Expiry Of NLGP
Underwriting Class Change	Start New NLGP
OK	
Cancel	

Complete the following steps to access the LE—NLG and Policy Change Segment.

1. Access the LP—Lapse Control Segment and press **F10**.
2. Select **Y—Yes** in the NLG and Policy Changes Segment field.
3. Input the LE Segment ID in the ID field and press **F4**. The LE—NLG and Policy Change Segment is displayed.

Field	Description
Action	Each of the lines in this section of the screen displays the description of a policy change. The action field following the description defines the effect of each change on the policy's no lapse guarantee period. E—Expiry of NLGP The no lapse guarantee period expires. C—Continuation The no lapse guaranteed period continues from the issue of the no lapse guarantee. S—Start New NLGP A new no lapse guarantee period starts from the point of the change. The following examples illustrate each of the field options. For the example, assume that there is a 20 year no lapse guarantee premium and the target premium is \$1,000. At the start of year 3 a specified amount increase raises the target premium to \$1,200 thus raising the 20 year no lapse premium to \$1,200. If Expiry of NLGP is selected, the 20 year no lapse period is no longer in effect. If Continuation is selected, a total amount of \$3,200 has to be paid through the end of year 3 to maintain the 20 year no lapse guarantee period. If Start New NLGP is selected, the amount of \$1,200 must be paid during year 3 to maintain the 20 year no lapse guarantee period to the end of year 3, assuming the 20 year no lapse was in effect at the end of year 2.

6.136 LK—Letter Key Definitions Segment

The LK—Letter Key Definitions Segment allows user defined relationships to be added at the company level through a cross reference function.

Correspondence Letter Definition Segment			
Letter Type	JLGGR >>		
Segment ID	LK		
Process			
Group By	None		
Max Policies on Letter	☐ Generate Service Information Request		No
Suppress Print	Never		
	Letter Number	Copies	File Copies
Insured >>	IN	☐	☐
Joint Equal >>	JE	☐	☐
Payor >>	PA	☐	☐
Addtl Payor >>	P1	☐	☐
Policy Owner >>	PO	☐	☐
Addtl Owner >>	O1	☐	☐
Service Agent >>	SA	☐	☐
Writing Agent >>	WA	☐	☐
PAC Bank >>	BK	☐	☐
Group Number >>	GP	☐	☐
Beneficiary 1 >>	B1	☐	☐
Beneficiary 2 >>	B2	☐	☐
Assignee >>	AS	☐	☐
Affiliate >>	AF	☐	☐
Reinsurer >>	RI	☐	☐
			Keyword Setup
			OK
			Cancel

6.137 LL—Level Premium Factors

NOTE

Traditional only

The LL—Level Premium Factor Segment and the LS—Lump Sum Factor Segment were created to be used with component type PP riders only. These segments work together to calculate an additional amount which is added to the total inforce amount to determine the underwriting requirements for a policy. These segments are also used in Benefit Add when adding a PP type rider.

Rate Type Segment	
Segment ID	PREWL >>
Segment Type	LL
Select Period	Duration 0
Ultimate ID	
Constant Rate	0.0000000 (Added to File Rate if Declared)
Rate Type	Constant Rate Only
Type Modifier	☐ Rates Vary by Underwriting Class No
Mult Insured Access	
Rate Basis	Separate And Unique
Years of	0
Banding Method	Not Banded
Banding Rule	Traditional
Upper Band Limits	0 0 0 0 0 0 0
Rates Coded As	Actual Amount
	Not Applicable
Change Frequency	0

Mode Rules
 Rates
 Next
 OK
 Cancel

When a PP rider is selected in Policy Add or Benefit Add, PUA Purchase Premium and PUA Purchase Dump In fields are displayed on the New Business Premium Information screen in Policy Add, or the NWBEN screen in Benefit Add. The amount entered in the PUA Purchase Premium field is multiplied by the rate in the LL—Level Premium Factor Segment and added to the rate in the LS—Lump Sum Factor Segment multiplied by the PUA Purchase Dump In amount. This amount is then added to the total inforce amount and that number is used to access the underwriting requirements. The PP underwriting table requirement calculation is displayed below.

$$((\text{PUA Purchase Premium} * \text{LL Factor}) + (\text{PUA Purchase Dump In} * \text{LS Factor})) + \text{Total Inforce} = \text{New Total Inforce}$$

Refer to Section 12, Chapter 3—Premiums—Upper Portion of Screen Field Definitions on page 12-17 in this book for a description of the fields in the upper portion of the screen.

6.138 LM—Living/Maturity Benefit Segment

The LM—Living/Maturity Benefit Segment is used to define the parameters for the guaranteed living/maturity benefit for a fund, if applicable.

The guaranteed living/maturity benefit is applied during monthiversary processing that occurs on the anniversary of the policy. When the benefit is applied based on the annuitant's age, it is applied on the anniversary that follows the attainment of the specified age.

Living/Maturity Benefit	
Segment ID	>>
Segment Type	LM
Benefits Maintained	By Fund
Optional Benefit	
Is Benefit Optional?	No
GB Benefit Coverage ID	>>
Charges Refundable?	No
Benefit Applied	
Later of:	Months After Policy Issue Date 000000 , OR Annuitant's Age 000
Minimum Benefit Amount at Maturity	\$0.00
When Full Termination Occurs On Maturity Date	No
Eligible Premiums	
No	Initial Premium(s)
No	Deposits Made prior to Annuitant's Age 000
No	Deposits Made in the First 00000 Policy Months, OR
No	Deposits Made in the First 00000 Benefit Months if Added Later
Withdrawal Calculation Method	
No	Dollar for Dollar to Annuitant's Age 000
No	Prorata, based on current fund value, thereafter
No	Prorata, based on current value of Eligible Premium(s), thereafter
No	Greater of Prorata, based on current value, or Dollar for Dollar, thereafter
OK Cancel	

The following table contains definitions for the fields on the LM Segment.

Field	Description
Benefits Maintained	This field is used to indicate if the guaranteed living/maturity benefit is maintained across all the funds or on a fund by fund basis. A—Across All Funds The benefit is maintained for all funds; therefore, the fund activity does not affect the guaranteed living/maturity benefit. Only deposits into the policy or withdrawals out of the policy will affect the benefit. F—By Fund The benefit is maintained for each fund; therefore, fund activity, such as loans and transfers, impacts the guaranteed living/maturity benefit. The fund activity is tracked on the GBEN record. This is the default. NOTE If the P2—Premium Load Pct By Trans Code Segment or the U2—Premium Collection Expenses Segment is set up at the fund level and the Across All Funds option is selected in this field, the option will be overridden and the benefits will be maintained by fund.
Optional Benefit	
Is Benefit Optional	This field indicates if the living/maturity benefit is inherent for the policy or if it can be added as a rider. Y—Yes The living/maturity benefit can be added as a rider and is not inherent. N—No The living/maturity benefit is inherent for the policy. This is the default.
GB Benefit Coverage ID	When the Is Benefit Optional field is set to Yes , the Coverage ID for the living/maturity benefit is defined in this field.
Charges Refundable	This field is used to indicate if deductions for the Guaranteed Benefit rider can be refunded. Y—Yes If the GB payout amount is calculated to be less than or equal to zero at maturity, refund all deductions assessed for the guaranteed benefit rider. N—No Do not refund deductions. This is the default.

Field	Description
Benefit Applied	
Later of: Months After Policy Issue Date	This field defines the number of months after issue when the guaranteed living/maturity benefit is applied during monthaversary processing. For example, if the benefit is applied at the tenth policy anniversary, input 120 in this field. This field works in conjunction with the Annuitant's Age field. When both fields are defined, the benefit is applied during monthaversary processing when the later of the two events occur.
Later of: Months After Policy Issue Date (continued)	For example, assume a policy is issued on 1/15/2001 to an insured age 45. Also assume that the Months After Policy Issued Date field is set to 120 and the Annuitant's Age field is set to 50. In this situation, the guaranteed living/maturity benefit is applied on 1/15/2011, using the duration instead of the age since it is the later of the events. If either one of the Benefit Applied fields is set to 00, only the remaining field is used to determine when the living/maturity benefit is applied. For example, if the Months After Policy Issue Date field is set to 120 and the Annuitant's Age field is set to 00, the benefit is applied on the 10th policy anniversary.
OR Annuitant's Age	This field defines the age of the annuitant when the guaranteed living/maturity benefit is applied during monthaversary processing. This field works in conjunction with the Months After Policy Issued Date field. When both fields are defined, the benefit is applied during monthaversary processing when the later of the two events occur. For example, assume a policy is issued on 1/15/2001 to an insured age 45. Also assume that the Months After Policy Issued Date field is set to 120 and the Annuitant's Age field is set to 50. In this situation, the guaranteed living/maturity benefit is applied on 1/15/2011, using the duration instead of the age since it is the later of the events. If either one of the Benefit Applied fields is set to 00, only the remaining field is used to determine when the living/maturity benefit is applied. For example, if the Months After Policy Issue Date field is set to 120 and the Annuitant's Age field is set to 00, the benefit is applied on the 10th policy anniversary.
Minimum Benefit Amount at Maturity	This field defines the minimum amount that can be applied to a fund as an adjustment for the guaranteed living/maturity benefit. If the adjustment is less than this amount, nothing is added to the fund.

Field	Description
When Full Termination Occurs On Maturity Date	This field determines if the guaranteed benefit amount is applied if a full surrender is processed using the maturity date of the guaranteed benefit rider. Y—Yes Apply the guaranteed benefit logic. N—No Do not apply the guaranteed benefit logic. This is the default.
Eligible Premiums	
Initial Premium(s)	This field determines if premiums applied to the guaranteed living/maturity benefit are limited to initial premiums. Y—Yes The premiums applied to the guaranteed living/maturity benefit are limited to initial premiums. When this field is set to Yes, the Deposits Made prior to Annuitant's Age field must be set to No. N—No The premiums applied to the guaranteed living/maturity benefit are not limited to initial premiums. The Deposits Made prior to Annuitant's Age field is used to define the premiums that are included.
Deposits Made prior to Annuitant's Age	These two fields define the deposits that are applied to the guaranteed living/maturity benefit. After selecting Yes, input the age to which deposits can be made and applied to the guaranteed living/maturity benefit. Y—Yes Premiums applied to the guaranteed living/maturity benefit are limited to those received prior to the age of the annuitant stated in the second field. When this field is set to Yes, the Initial Premium field must be set to No. N—No Premiums applied to the guaranteed living/maturity benefit are not limited by the age of the annuitant.
Deposits Made in the First ____ Policy Months	This field defines the number of policy months within which deposits can be made that will be included when calculating the value of the guaranteed living/maturity benefit when the benefit is added at issue. If the benefit is maintained on a fund basis, only deposits allocated to funds with the Guaranteed Living/Maturity Benefit Applies field on the FR—Fund Rules Segment set to Yes are included when calculating the value of the benefit.
OR Deposits Made in the First ____ Benefit Months if Added Later	This field defines the number of months in which deposits will be added to the value of the guaranteed benefit amount when the benefit is added after the policy is issued. If the benefit is maintained on a fund basis, only deposits allocated to funds with the Guaranteed Living/Maturity Benefit Applies field on the FR—Fund Rules Segment set to Yes are included when calculating the value of the benefit.

Field	Description
Withdrawal Calculation Method	
Dollar for Dollar to Annuitant's Age	These two fields determine if withdrawals made prior to the annuitant's age defined in the second field reduce the guaranteed living/maturity benefit dollar for dollar. This field can be used alone to define the reduction of the guaranteed living/maturity benefit due to withdrawals, or it can be used in conjunction with the following two Prorata fields. Y—Yes Any withdrawal made prior to the annuitant's age defined in the second field reduces the guaranteed living/maturity benefit dollar for dollar. For example, if a withdrawal for \$1000 is made from the fund prior to the age defined in the second field, the guaranteed living/maturity benefit is reduced by \$1000. N—No Any withdrawals made to the fund do not reduce the guaranteed living/maturity benefit.
Prorata, based on current fund value, thereafter	This field can be used in conjunction with the Dollar for Dollar to Annuitant's Age field. When the Dollar for Dollar to Annuitant's Age field is set to Yes, after the annuitant's age defined is reached, withdrawals reduce the guaranteed living/maturity benefit based on the fund value for the given fund on a prorata basis. Y—Yes The guaranteed living/maturity benefit is reduced by the amount of any withdrawals based on the fund value for the given fund on a prorata basis. When this field is set to Yes, the Prorata, based on current value of Eligible Premium(s), thereafter field must be set to No. N—No The guaranteed living/maturity benefit is not reduced by the amount of any withdrawals on a prorata basis.

Field	Description
Prorata, based on current value of Eligible Premium(s), thereafter	This field can be used in conjunction with the Dollar for Dollar to Annuitant's Age field. When the Dollar for Dollar to Annuitant's Age field is set to Yes, after the annuitant's age defined is reached, withdrawals reduce the guaranteed living/maturity benefit based on the value of the eligible premiums for the given fund on a prorata basis. Y—Yes The guaranteed living/maturity benefit is reduced by the amount of any withdrawals based on the value of the eligible premiums for the given fund on a prorata basis. When this field is set to Yes, the Prorata, based on current fund value, thereafter field must be set to No. N—No The guaranteed living/maturity benefit is not reduced by the amount of any withdrawals on a prorata basis.
Greater of Prorata, based on current value, or Dollar for Dollar, thereafter	This field can be used independently or in conjunction with the Dollar for Dollar to Annuitant's Age or Prorata, based on current fund value, thereafter fields to determine how withdrawals affect the guaranteed living/maturity benefit. Y—Yes The guaranteed living/maturity benefit is reduced by the greater of the amount of the withdrawal, dollar for dollar, or the prorata amount based on the current fund value. N—No The guaranteed living/maturity benefit is not reduced by the amount of any withdrawals on a prorata basis. This is the default.

6.139 LN—Loan Interest Rates Segment

The LN—Loan Interest Rates Segment provides control at the coverage level of, among other factors, loan interest rates charged, the rules for the calculation of a policy's loanable value, limits for special types of loans such as TSA loans, and options to apply when a policy is at the point of lapse.

Variables for most types of loans are defined on the first LN—Loan Interest Rates Segment screen.

Enter Loan Interest Rates Segment Criteria			
Segment ID	FPDA >>	Constant Loan Rate	8.00% or
Type	LN	Variable Rate ID	Variable Rate Loans
		Reduce Max Loan by Interest to Anniversary	
Traditional Loan Options			
Dividend Accrues in Loan Quote		Downgrade Mode	No
PUA Values in Loan Quote		Minimum Mode	
Compare Year End Cash Value with the Interpolated Cash Value (Default) to Determine the Smallest CV for Loan Quotes			
Use 'E'ffective Loan Date, 'P'aid-To-Date or 'A'PL-To-Date on Base Benefit CV			
Discount Interest in Arrears to APL-To-Date	No	Gen IBA Warning	No
APL/NFO Option	Suspend & Generate ENS	Use Direct Recognition of Policy Loans When Computing Dividends	No
UL Loan Options			
Use Separate Loan Fund	No	Loan Fund ID	>>
Repayment Destination Fund ID	>>	Capitalization Source Fund ID	>>
Capitalization & Fund Earnings Rule			
Maximum Fund Impairment	0%	Maximum Loan Rules ID	110 >>
Limit Loan to Tabular Guar CV	No	Modify Loan Interest Start Date	No
		Minimum Loan Amount	
		Loan Interest Delay Default	00
Qualified Loans			
Maximum Loan Calculation			
Minimum Limit	9997300	Maximum Limit	?202
		Accrued Benefit Percent	2.02%
Maximum Loan Duration			
	009		
			Next
			OK
			Cancel

If the loan has a variable interest rate, a variable rate ID and rule may be coded on this screen. The actual rates are not viewed from this screen. They are viewed by selecting **Declared Interest** from the Product System's Rates and Factors Menu. Refer to Section 5, Declared Interest Rate File on page 5-27 in this book for more information about Declared Interest Rates.

The following table describes the fields on the first LN Segment screen.

Field	Description
Constant Loan Rate	If the loan interest rate does not vary, the constant rate is input in this field.
Variable Rate ID	If the loan has a variable interest rate, a rate ID is input in this field. The rate ID can be up to five alphanumeric characters. The actual rates are set up in the Declared Interest Rates File, accessed through the Rates and Factors option from the Product Menu. The rate ID selected here must be used on the Declared Interest Rates File and the Rule Code field must be 03. If a variable interest rate is used, the interest rate for a specific loan is only updated at policy anniversary. The Variable Rate field on the second Coverage Record screen determines if variable rate loans are allowed.
Rule	This field indicates if the loan interest rate varies for all loans on a contract or for each individual loan. 01—Rule 1 02—Rule 2 03—The loan interest rate used to capitalize the loans on the contract is changed on the contract anniversary that follows the effective date of the new rate. The same rate is used to capitalize all loans on the contract. 04—The loan interest rate used to capitalize the loans on the contract is determined individually for each loan that is billed separately. The rate that is used the first time that the loan is capitalized is used for the duration of the loan. It is important to note that the Separate Loan Billing field on the LN—Loan Segment must be set to Yes in order to use Rule 04.
Reduce Max Loan by Interest to Anniversary	Y—Yes On the Loan Quote screen, the projected interest to the next anniversary is subtracted when determining the maximum loan available. This field must be set to Yes if the Discount Interest in Arrears to APL-to-Date field is set to Yes or if the Special Class Loan Available field is set to Capped Per Policy Year. N—No On the Loan Quote screen, the interest to the next anniversary is not subtracted when determining the maximum loan available. NOTE This field only applies to interest in arrears.

Field	Description
Traditional Loan Options	
Dividend Accums in Loan Quote	Y—Yes When the maximum loan available is calculated, the dividend accumulations are included. N—No When the maximum loan available is calculated, the dividend accumulations are not included.
Downgrade Mode	Y—Yes The system attempts to downgrade the policy mode if an automatic premium loan (APL) is attempted and the loan value is not sufficient. For example, if the value is sufficient to pay a monthly premium but not a higher mode, the policy mode is changed, the premium is paid, and an ENS message stating that the mode has been changed is generated. N—No The system does not attempt to downgrade the policy mode if an APL is attempted and the loan value is not sufficient. NOTE If the NFO Activation—APL letter is set up on the L0—Letter Type Segment to be generated when an automatic premium loan is processed, the letter is not generated if the mode is downgraded so the loan value is sufficient to pay the premium.
PUA Values in Loan Quote	Y—Yes The cash value of paid up additions is included in the gross maximum loan value on the Loan Quote screen. N—No The cash value of paid up additions is not included in the gross maximum loan value on the Loan Quote screen.
Minimum Mode	If the Downgrade Mode field is set to Yes, designate the minimum mode allowed by the APL process. For example, if Quarterly is selected, a policy is never downgraded to Monthly. S—Semi-annually Q—Quarterly M—Monthly
Compare Year End Cash Value with the Interpolated Cash Value to Determine the Smallest CV for Loan Quotes	Y—Yes In some cases, cash values may be decreasing from year to year. If this field is set to Yes, the system tries to preclude a predictable overloan situation and ensure that the cash value by year end can pay off a loan. Interest to the next anniversary is computed in this comparison. N—No A comparison calculation is not done to ensure that the cash value is sufficient to pay off the loan at year end.

Field	Description
Use Effective Loan Date, Paid-To-Date or APL-To-Date on Base Benefit CV	This field is used to determine the date that is used to calculate the base benefit's cash value. E—Effective Loan Date The effective loan date is used to calculate the cash value of the base benefit. P—Paid-To-Date The current paid to date is used to calculate the cash value of the base benefit. A—APL-To-Date The date to which the automatic premium loan pays the policy is used to calculate the cash value of the base benefit.
Discount Interest in Arrears to APL-To-Date	This field defines if interest in arrears is discounted based on the date to which premiums are paid (paid to date), or based on the next anniversary. The Reduce Max Loan by Interest to Anniversary field must be set to Yes to use this option. Y—Yes Interest in arrears is discounted to the date to which premiums are paid (paid to date) or the date to which premiums are paid if the loan is an APL. N—No Interest in arrears is discounted to the next anniversary.
Gen IBA Warning	This field determines if a warning message is generated when a loan is requested on a policy that has an existing IBA type 01 account. Y—Yes The warning message <i>IBA Type 1 Account Present</i> is displayed when a loan is requested on a policy with an existing IBA type 01 account. This is a warning message only. The loan can still be processed. N—No A warning message is not displayed when a loan quote is processed for a policy that has an IBA type 01 account.
DI Segment ID	This field is used to define the Segment ID for the subsidiary DI—Direct Recognition of Loans Segment, which defines the direct recognition charge that is deducted from the dividends. This field is only applicable if the Use Direct Recognition of Policy Loans When Computing Dividends field is set to Yes.
APL/NFO Option	If a policy is in an overloan status, there are three options that may be applied in billing for attempted automatic premium loans during lapse processing. S—Suspend & Generate ENS The contract is suspended and an ENS message is generated. N—Nonforfeiture The normal nonforfeiture option is processed, paying off the loan for lapse processing. O—No ENS Message Ignore the overloan. No ENS message is generated.

Field	Description
Use Direct Recognition of Policy Loans When Computing Dividends	This field is used to indicate if the dividend computation for the product includes a charge for the direct recognition of loans. Y—Yes The dividends are calculated and then the direct recognition charge, defined on the subsidiary DI—Direct Recognition of Loans Segment, is deducted. If this field is set to Yes, the DI Segment ID field must also be defined. Refer to Section 12, DI—Direct Recognition of Loans on page 12-253 for additional information. N—No The dividends are calculated normally. This is the default.
UL Loan Options	
Use Separate Loan Fund	Y—Yes A separate fund is created specifically for the loan. The subsequent Loan Fund ID field must be completed. N—No No separate loan fund is used. This is the default.
Loan Fund ID	If the Use Separate Loan Fund field is set to Yes, designate the fund ID of the loan fund, up to ten alphanumeric characters. Press F4 from the Loan Fund ID field to access the Fund Rule Segment and define the fund. The Loan Fund ID field defaults to the LN Segment ID. Refer to Section 12, 6.85—FL—Loan Fund Package Rules Segment on page 12-340 in this book for more information.
Repayment Destination Fund ID	This field is used to designate the fund ID to which loan repayments will be made. The selected fund ID must be a fund ID that has been defined on the F0—Fund Package Segment. Press F4 from this field to access the FR—Fund Rule Segment. At the time of a loan repayment, if the Repayment Destination Fund specified is not part of the current policy fund package, it is added to the policy. This field is only available when the Use Separate Loan Fund field is set to Yes.
Capitalization Source Fund ID	This field is used to designate the fund ID from which loan interest will be transferred at the time of capitalization to the loan fund. The selected fund ID must be a fund ID that has been defined on the F0—Fund Package Segment. Press F4 from this field to access the FR—Fund Rule Segment. When the loan interest capitalization occurs, the amount is transferred from the Loan Capitalization Source Fund, if present, until the fund is exhausted. Any remaining amount is deducted from the remaining funds on a prorated basis. The order in which the needed interest is transferred from the Capitalization Source Fund buckets is determined by the FS—Split/N\$O\$ Fund Rules Segment, as set for the defined fund. This field is only available when the Use Separate Loan Fund field is set to Yes.

Field	Description
Capitalization & Fund Earnings Rule	S—Separate Capitalization & Fund Earnings Earnings on a loan fund are moved back to normal funds, then the loan interest is capitalized. N—Net together Capitalization & Fund Earnings Capitalized earnings stay with the loan fund. E—Net Together Capitalization & Fund Earnings At Each Capitalization When capitalization occurs, the earnings on the loan fund are subtracted from the loan interest and only the difference is transferred to the loan fund. This occurs each time the loan interest is capitalized.
Maximum Fund Impairment	This field displays the maximum percentage of the fund available for loan.
Maximum Loan Rules ID	Input the Segment ID of the ML—Maximum Loan Rules Segment (accessed by pressing F4 from this field). The ML Segment allows the minimum contract equity for a loan to be calculated using different options than those selected for partial withdrawals. The options selected on the ML Segment override the options selected on the FC—Fund Administration Segment when the minimum contract equity is calculated for a loan. Refer to Section 12, 6.155—ML—Maximum Loan Rules on page 12-587 in this book for further information. The Maximum Fund Impairment field must be 100% in order to use the ML Segment to calculate the minimum contract equity amount. If the Maximum Fund Impairment field is less than 100%, the error message, <i>Max Fund Impair Pct not allowed with Min Equity</i>, is displayed.
Minimum Loan Amount	This field defines the absolute minimum amount of each loan for universal life and annuity products. If a loan is requested for an amount less than the minimum, the error message <i>Loan Requested < Minimum Loan Amount</i> is displayed when the loan is processed online. This edit is not invoked for loans processed through Systematic Requests.

Field	Description
Limit Loan to Tabular Guar CV	This field determines if loan amounts are based on the policy current surrender value as of the effective date of the loan quote, or if the system limits the loan amount to the tabular guaranteed cash value as of the policy paid to date and sets the surrender charge to zero. In either situation, the loan amount includes adjustments for prior loans, minimum equity, interest refund (advanced interest loans), and interest to the next anniversary as defined through product setup. This field was designed to be used for fixed premium universal life products only. Y—Yes Limit the loan value to the tabular guaranteed cash surrender value as of the policy paid to date and set the surrender charge to zero. N—No The loan value is based on the current surrender value as of the effective date of the loan quote.
Modify Loan Interest Start Date	This field specifies if policy loans on this coverage are allowed to use a loan interest start date different from the loan effective date to calculate loan interest when they are initiated on the Systematic Requests screen. Y—Yes A loan interest start date can be calculated and used as the beginning date for loan interest accrual. N—No Interest calculation uses the loan effective date as the beginning date. This field is applicable only to variable coverages with lines of business A—Annuity or U—Universal and with loan interest in arrears.
Loan Interest Delay Default	This is the default number of days after the loan effective date that loan interest accrual begins. Valid values are 00 - 99. This value can be overridden at the policy level on a new loan when the Modify Loan Interest Start Date field is Yes. This field is applicable only when the Modify Loan Interest Start Date field is Yes.
Qualified Loans	The following fields only apply to qualified loans on tax sheltered annuity (TSA) policies. These policies have a tax qualification code of 2 and the Qualify Rules Apply field on the Coverage Record is set to Yes.
Minimum Limit	This field is used only for TSA loans. This field defines the minimum account value used to calculate the maximum loan amount available. Any balance less than this amount is available for loan at 100%. Any balance greater than this amount is limited based on the percentage defined in the Accrued Benefit Percent field.

Field	Description
Maximum Limit	This field is used for TSA loans. It controls the maximum total loan amount for a policy. For example, when the field is set to \$50,000, total loans for more than \$50,000 on a policy is not allowed. Assume there is a maximum limit of \$50,000 and an existing loan of \$40,000 on a policy. The maximum for a new loan that could be processed is \$10,000.
Accrued Benefit Percent	This field is used for TSA loans. It indicates the percentage of the fund value that is available for loan. For example, if the fund value is \$60,000 and this field is set to 50%, the maximum loan available is \$30,000.
Maximum Loan Duration	These fields define the maximum loan repayment period in years for separately billed and non-collateralized loans. A user-defined, 8 alphanumeric character label can be input in the first field. This field only applies to separately billed loans. When the Qualified Loan Billing Information screen is displayed during the loan request process, the values defined in this field are available for selection. The second column is used to define the duration. Up to 83 years (996 months) can be defined. If the duration input exceeds 83, an error message <i>Maximum Loan Duration is not within range</i> is displayed. This field is required for products defined with separately billed or non-collateralized loans.

Special Class and Non-Collateralized Loans

Click **Next** to access the second LN—Loan Interest Rates Segment screen. The variables needed for special class loans or non-collateralized loans are defined on this screen. Special class loans are available for universal life products only. Non-collateralized loans are available for all product types.

Special Class Loans Issue Age Banding

Segment ID >>

Type LN

Separately Billed Loans

Separate Loan Billing Allow Override of Loan Interest Add Defaulted/Reported Amount to Cost Basis

Generate Default Notification Payoff Loan Balances Below Impairment Method

Allow New Loans if Any Defaulted Loans With a Balance Reduce PAC Draw Amount to Remaining Loan Balance

Use Fund Ranking for Automatic Loan Payoff

Special Class Loan Available?

Banding Method

Upper Band Limits

Special Class Loan ID

>> >> >> >> >> >> >>

Special class loans may be banded by issue age. For each band, a separate Special Class Loan ID must be defined, that points to a PL—Special Class Loan Rules Segment. If special class loans are not banded, and only one PL—Special Class Loan Rules Segment applies, the first Upper Band Limits field is set to 99 and only the first Special Class Loan ID field is defined.

In the example above, three bands are defined based on issue age. The Upper Band Limits fields are set to 55, 59, and 99. For issue ages up to and including age 55, the first Special Class Loan ID, SCLOAN55, is used. From an issue age of 56 up to and including age 59, the second Special Class Loan ID, SCLOAN59, is used. For issue ages from 60 up to and including age 99, the third Special Class Loan ID, SCLOAN99, is used.

Position the cursor in a Special Class Loan ID field and press **F4** to access the PL Segment. Refer to 6.193—PL—Special Class Loan Rules on page 12-713 in this book for more information.

Banded Special Class Loans

If special class loans are banded by issue age, two PL Segments must be defined for each band. The first PL Segment, defined in the Special Class Loan ID field, indicates the Select Period for which the rate defined on the LN Segment applies. After this period, the rate defined on the ultimate PL Segment is used. This ultimate PL Segment may be shared between bands, if desired, by using the same Ultimate ID.

Continuing with the example above, assume that the select period for the first band is defined by a duration of ten years on the SCLOAN55 PL Segment. This band is defined for issue ages up to and including age 55. If a policy originally issued at age 55 is in its ninth duration, the rate from the LN Segment applies. If the policy is in its eleventh duration, the rate from the ultimate PL Segment applies. (The rate on the SCLOAN55 PL Segment is not used. It must match the rate defined on the LN Segment.)

Assume that the select period for the second band is defined by an attained age of 65 on the SCLOAN59 PL Segment. This band is defined for issue ages from 56 up to and including age 59. If a policy originally issued at age 59 is advanced to an attained age of 64, the rate from the LN Segment applies. If the policy is advanced to an attained age of 66, the rate from the ultimate PL Segment applies. Refer to the field descriptions for the LN and PL Segments for more information on properly defining the PL Segments for banded special class loans.

The following table describes the fields on the second LN Segment screen.

Field	Description
Separately Billed Loans	
Separate Loan Billing	This field is only applicable if using tax sheltered annuity (TSA) loans. TSA loan interest bills are separate from bills for premiums. The system creates a unique Billing Control Record for the loan repayment. Y—Yes N—No If using the TSA Loan feature for this coverage, this field must be set to Yes. Otherwise, set it to No.
Allow Override of Loan Interest	This field allows the loan interest rate obtained from the rate file to be overridden when requesting a qualified loan either through a Systematic Request or the Loan Quote screen. Y—Yes The loan interest rate displayed on the Systematic Loan Parameters screen or the Loan Quote screen may be overridden. This option can only be selected when the Separate Loan Billing field is set to Yes. N—No The loan interest rate displayed on the Separate Loan Parameters screen or the Loan Quote screen may not be overridden. This is the default.

Field	Description
Add Defaulted/Reported Amount to Cost Basis	This field is used to indicate if the defaulted loan amount is added to the Policy Contract Cost Basis. Y—Yes The defaulted loan amount is added to the Policy Contract Cost Basis. This is the default. N—No The defaulted loan amount is not added to the Policy Contract Cost Basis, but serves as a cap and any loan repayments made after the loan defaults are added to the Policy Contract Cost Basis. With this field set to No, the defaulted loan amount displays on the Qualified Loan Billing Information screen. This option can only be selected when the Separate Loan Billing field is set to Yes.
Generate Default Notification	This field determines if an ENS message is generated to the policy if the loan payment meets the Late Pay Offer Number of Days as defined on the Billing Management Options screen. Y—Yes If the unprocessed billing record for a loan bill changes to Late Pay Offer, an ENS message is generated. This option can only be selected when the Separate Loan Billing field is set to Yes. N—No An ENS message is not generated if the unprocessed billing record for the loan payment changes to Late Pay Offer. This is the default.
Payoff Loan Balances Below	This is the amount of loan balance that can be paid off automatically. When a loan repayment is processed, if the new loan balance is equal to or less than the amount defined in this field, the loan balance will be paid off using a company loan write-off account, transaction code 0417. This field can only be set when the Separate Loan Billing field is set to Yes.
Impairment Method	This field indicates if the impaired amount is spread, in total, across all the loan fund buckets or if each loan fund bucket is impaired. T—Impair in Total The total impaired amount is calculated and then spread in either LIFO/FIFO/Prorata order across all the loan fund buckets. This is the default. B—Impair Each Bucket The impaired amount is calculated for each bucket within each loan within the loan fund. This selection is only allowed when the Separate Loan Billing field is set to Yes.

Field	Description
Allow New Loans if Any Defaulted Loans With a Balance	This field indicates if a policy has a loan that has defaulted, if any new loans are allowed. Y—Yes If the policy has a loan with a defaulted status and a non-zero balance, new loans are allowed. This is the default. N—No If the policy has a loan with a defaulted status and a non-zero balance, no new loans are allowed. This option can only be selected when the Separate Loan Billing field is set to Yes.
Reduce PAC Draw Amount to Remaining Loan Balance	This field determines if PAC processing compares the scheduled loan repayment draft amount to the loan balance for a possible reduction in the amount drafted. The value selected in this field can be overridden on a policy basis from the TSA Loan Billing File. Y—Yes PAC processing compares the scheduled loan repayment draft amount to the loan balance. If the loan balance is less than the scheduled payment amount, then the draft is reduced to the loan balance to prevent an over payment. N—No PAC processing drafts for the amount of the policy loan repayment regardless of the loan amount. This is the default.
Use Fund Ranking for Automatic Loan Payoff	This field determines if the fund rank defined in the Fund Rules file is used to determine the fund priority for the withdrawal that occurs as part of the automatic loan payoff when a loan defaults or when requested by the user. Y—Yes The fund rank defined in the Fund Rules file is used to determine the fund priority for the withdrawal that occurs as part of the automatic loan payoff when a loan defaults or as requested by the user. N—No The fund ranking is not used. This is the default.

Field	Description
Special Class Loan Available	If this field is set to Yes, Non-collateralized loans available, or Capped Per Policy Year, alternate loan logic is substituted for normal preferred loan logic. This logic allows control of when loans become available. Y—Yes Special class loans are available. N—No Special class loans are not available. This is the default. R—Non-collateralized loans available This option may be selected for all product types; it is not limited to universal life products. C—Capped Per Policy Year This option establishes a maximum amount for the special class loan on a per policy year basis. Any loan taken over this calculated amount is considered a non-preferred (not special class) loan. If the loan amount for one year is not used in its entirety, the remaining amount is not carried forward to the next year. When this option is selected, the Reduce Max Loan by Interest to Anniversary field must be set to Yes. NOTE If this field is set to Yes, Non-collateralized loans available, or Capped Per Policy Year, the Banding Method field and at least one Special Class Loan ID must be defined.
Banding Method	This field determines if the PL Segment is used to define special class loans varied by bands. X—Not Banded If special class loans are not banded, then only the first Special Class Loan ID must be defined. This is the default. I—Issue Age The PL Segment used to define the special class loans may vary by issue age. A range of issue ages is used to define a band, and a Special Class Loan ID must be defined for each band.
Upper Band Limits	Up to seven bands may be defined for special class loans which vary by band. The bands are numbered 1 through 7, with the left most band being number 1 and the right most being number 7. If banding is not being used, enter 99 in the first field and define only the Special Class Loan ID for band 1. This is the default. If banding is being used, each band may be used to define a range of issue ages, up to and including the value entered in the Upper Band Limit field. Multiple ranges may be defined, beginning with an assumed issue age of 0, but the last band should be entered as 99. For example, if the issue age ranges are 0-55, 56-60, and 61 and older, enter 55 in band 1, 60 in band 2, and 99 in band 3.

Field	Description
Special Class Loan ID	This field is 10 alphanumeric characters in length. It is available only if the Special Class Loan Available field is set to Yes or Non-collateralized loans available. A Special Class Loan ID must be defined for each band defined by the Upper Band Limits fields. The Special Class Loan ID identifies the first PL—Special Class Loan Rules Segment that is applied to that band. To access the segment, position the cursor on the Segment ID and press F4. If banding is not used, only the first Special Class Loan ID field is available. Enter the Segment ID for the PL Segment which applies to special class loans in this field. If banding is used, two PL Segments must be defined for each band. The first segment, defined in the Special Class Loan ID field, indicates the Select Period for which the LN Segment rate applies for that range of issue ages. The second PL Segment is defined in the Ultimate ID field of the first PL Segment. This second PL Segment defines the ultimate rate to be applied to loans for that band, after the Select Period from the first segment expires. NOTE For banded special class loans, the Constant Rate or Variable Rate ID and Rule defined on the first PL Segment must match the definition of the ultimate PL Segment for that band, even though the LN Segment rates apply during the initial Select Period. The Maximum Amount Available and Maximum Times Per Year fields must be defined on the ultimate PL Segment(s) to define the limits for banded special class loans.

6.140 LP—Lapse Control

NOTE

Universal and annuities only

The LP—Lapse Control Segment controls the process of lapse processing for policies with a line of business of U—Universal or A—Annuity.

Segment Screen - LP 1 of 3

Segment ID >> Segment Type LP Select Period Duration 0 Ultimate ID

If the following go negative,
specify the action to be taken:

Surrender Value

Fund Value

Generate ENS if No Lapse Requirement Failed No

Generate ENS if No Lapse Provision Reinstated No

Lapse check on the Paid-to-Date of the Current Paid Deposit? ...

Skip Noncoverage Periods in Required Minimum Prem Accumulation?

Administrative Grace Period 0 Do Deposits restart the Grace Prd?

Gen 1st Letter in 0 Months If "Y", Percentage of Min Required 0 %

Reminder Letters in 0 Days Enforce Lapse from conversion only?

Print Min Prem Req UL Evaluate Req. Min before Negative? No

Set Lapse Date to 'S'tart or 'E'nd of Grace

Suspend at End of Grace Period

Grace Override

Next

OK

Cancel

The following table contains definitions for the fields on the LP Segment.

Field	Description
Select Period	Indicate the length of time that the selected rates are used in this field. The first field is used to define whether the rates are based on duration or age. The second field is used to define the length of time. For instance, if Duration is selected in the first field, and 99 is entered in the second field, the rates are valid for the first 99 durations of a policy. If the same rate segment is used for all years, input 0 in this field.
Ultimate ID	The segment ID that contains the rates used when the rates change at the end of the select period is displayed in this field. If the same rate segment is used for all years, this field is left blank.

Field	Description
If the following amounts become negative, specify the action to be taken	
Surrender Value	L—Lapse Unconditionally O—Lapse If Out Of No Lapse Guarantee Period N—No Action To Be Taken
Fund Value	L—Lapse Unconditionally O—Lapse If Out Of No Lapse Guarantee Period N—No Action To Be Taken
Generate ENS if No Lapse Requirement Failed	This field determines if an ENS message is generated if the minimum premium amount is not met during the current monthaversary processing cycle. Y—Yes An ENS message is generated if the minimum premium calculated is not met during the current monthaversary processing cycle. N—No An ENS message is not generated if the minimum premium amount calculated is not met during the current monthaversary processing cycle. This is the default.
Generate ENS if No Lapse Provision Reinstated	This field determines if an ENS message is generated if the minimum premium amount was not met during a previous monthaversary processing cycle, but was met during the current monthaversary processing cycle. Y—Yes An ENS message is generated if the minimum premium calculated was not previously met but is not met during the current monthaversary processing cycle. N—No An ENS message is not generated if the minimum premium calculated was not previously met, but is now met during the current monthaversary processing cycle. This is the default.
Lapse check on the Paid-to-Date of the Current Paid Deposit	This is another way to put the policy into grace (or lapse it). This field triggers the lapse test to retrieve the last Deposit Accounting Record and compare the paid to date on the Accounting Record to the MPR processing effective date, if the paid to date is not greater than, then the policy goes into grace (or lapses). Y—Yes N—No

Field	Description
Skip Noncoverage Periods in Required Minimum Prem Accumulation	The purpose of this field is related to the minimum annual premium accumulation on universal life and annuity policies. This field designates if periods of skipped coverage are used when determining if a policy has met minimum annual premium (MAP) requirements. Y—Yes Skip periods when the policy is not inforce when determining minimum annual premium. N—No Include periods when the policy is not inforce when determining minimum annual premium.
Administrative Grace Period	Enter the number, and then indicate if the period is for days, months, or years.
Gen 1st Letter in ___ Months	A grace notification letter can be set up on the L0—Letter Type Segment. If the Entering Grace Period letter is defined, this field controls the timing of the letter after the policy enters the grace period. Note that a value of 0 indicates that the letter is generated when the policy enters the grace period.
Reminder Letters in ___ Days	A Grace Reminder letter can be set up on the L0—Letter Type Segment. If the Grace Reminder Notices letter is defined, this field controls the timing of the letter. The letter is only generated on a monthiversary day.
Print Min Prem Req UL	This field defines, at the product level, if the minimum premium required to keep the policy active is printed on first bills, reminder notices, and late payment offers. Y—Yes Print the minimum premium required on first bills, reminder notices, and late payment offers. N—No Do not print the minimum premium required on first bills, reminder notices, and late payment offers.
Do Deposits Restart the Grace Prd	Y—Yes The system takes a deposit on a UL and starts the grace period over (unless the premium is sufficient to bring the negative values back to positive or the premium is sufficient to surpass the accumulated minimum premiums). N—No

Field	Description
If “Y,” Percentage of Min Required	This field is only used if there is a required minimum premium for the product. 100%—When the policy enters the grace period, the grace date is reset to the date where the actual gross premiums paid are greater than the required minimum premium. For example, assume a policy issued on 01/15/2005 has a required minimum premium of \$300 per year (\$25/month). The initial grace date is 07/01/2005 because the gross premiums paid of \$2,825 were less than the required minimum premium of \$2,850. If no premium is collected prior to 08/01/2005, the policy continues to be in the grace period with the grace date of 07/01/2005 when monthiversary is processed. Next, assume two premium payments (\$50) are received prior to the next monthiversary date of 09/01/2005. The gross premiums paid are \$2,875 and the required minimum premium is \$2,900. While the premiums collected are not enough to remove the lapse status, additional premium was received. Therefore, the grace date is adjusted to 08/01/2005 since this is the date where the gross premiums paid (\$2,875) are equal to or greater than the required minimum premium (\$2,875). 0%—The grace date is reset if any premium is received since the last monthiversary processing date.
Enforce Lapse from conversion only	This field indicates if lapse testing is done from the conversion valuation date or the policy issue date. Y—Yes Lapse testing is done from conversion. The premium payments paid on the policy are used to calculate the minimum premium requirements from the conversion date. If premium payments are not converted, the policy will lapse. N—No Lapse testing is done from issue. The gross deposits paid on the policy are used to calculate the minimum premium due from the issue date to the current date.

Field	Description
Evaluate Req Min before Negative	This field determines if the minimum premium test is performed before or after the fund balance is checked to see if it is negative. This field is applicable to flexible premium universal life policies, as well as fixed premium universal life policies when the policy is within the no lapse guarantee period. Y—Yes The minimum premium test is performed first. If the policy passes the minimum premium test, it is then checked for a negative fund balance. If it does not pass the minimum premium test, the lapse correspondence that is generated contains the value calculated using the formula selected in the If in Grace due to Minimum Premium Requirement field. N—No The fund balance is first tested for a negative fund balance. If the balance is not negative, the minimum premium test is performed. If a negative fund balance does exist, the lapse correspondence that is generated contains the value calculated using the formula selected in the If in Grace due to Balance going Negative field.
Set Lapse Date to Start or End of Grace	S—Start The system reverses back to the date grace was entered, and lapses the policy back using that date. Otherwise, lapse occurs immediately at the end of grace. E—End
Suspend at End Of Grace Period	A policy can actually lapse or be suspended with an ENS message. Y—Yes The policy is suspended with a status of S—MP. The ENS message <i>Lapse Aborted—Policy Suspended as of xx/xx/xxxx</i> is also generated N—No The policy lapses.

Click **Next** to access the second page of the LP Segment.

Segment Screen - LP 2 of 3

No Lapse Guarantee Setup

No Lapse Guarantee Is Forfeited If The Required Minimum Premium Has Not Been Met

No Lapse Guarantee Period

Increase Period For Variable

Tiered Segment ID

NLG And Policy Changes Segment ID

For A Specified Amount Increase: Reset No Lapse Guar?

Reset Min Prem Period?

Checking For Required Minimum Premium Is Done?

Include Current Month In RMPP?

Count MPR Date In Quotes?

Next
Previous
OK
Cancel

The following table describes the fields displayed on the second page of the LP Segment. Refer to Section 12, Policy Level No Lapse Guarantee Period on page 12-549 in this book for additional information. Or, for more information on the NLG and Policy Changes Segment and ID fields, refer to the NLG and Policy Changes Segment field definition in the following table.

Field	Description
No Lapse Guarantee Period	The first part of the field contains the number of periods, in months or years, the policy is guaranteed to have a death benefit, predicated upon the payment of minimum premiums. The value entered in this part is ignored if the second part of the field is set to Policy or Tiered. Valid values for the second part of the field are described below. M—Months The number in the first part of the field is a number of months. Y—Years The number in the first part of the field is a number of years.

Field	Description
No Lapse Guarantee Period (continued)	P—Policy The no lapse guarantee period is defined at the policy level. The value is entered in New Business on the Premium Information screen. When this value is entered, the Guarantee Selection Period screen is displayed for the entry of minimum and maximum durations. V—Variable The length of the no lapse guarantee period is calculated by the system. If this value is entered, the Increase Period for Variable field must be entered. T—Tiered The no lapse guarantee tiers are defined through the LT—Tiered No Lapse Guarantee Segment. NOTE The UG—Universal Life Minimum Premium Segment and the LP Segment contain the No Lapse Guarantee Period field. If the LP Segment is set, a required minimum premium period is automatically set as equal to the no lapse guarantee period. This required minimum premium period is separate from the required minimum premium coded on the UG Segment and is only used if the fund value is negative within the no lapse guarantee period.
Increase Period For Variable	This field determines the period of time that a policyholder has until the no lapse guarantee period is calculated.
Tiered Segment ID	This field defines the LT—Tiered No Lapse Guarantee Segment ID. The LT Segment is used to define the number of tiers and the parameters for each tier. NOTE This field is only applicable if Tiered is selected in the No Lapse Guarantee Period field.
NLG And Policy Changes Segment	This field determines if an LE—NLG Policy Change Segment ID is used. The LE Segment is used to define how the no lapse provision continues after a policy change such as a benefit add, benefit change, benefit termination, death benefit option change, or specified amount increase or decrease. NOTE This field is only applicable if Tiered is selected in the No Lapse Guarantee Period field. Y—Yes The LE Segment is used. Define the LE Segment through the ID field. N—No The LE Segment is not used.
ID	If Yes is selected in the NLG and Policy Changes Segment field, this field is accessible. Input the LE Segment ID and press F4 to access the LE Segment.

Field	Description
For A Specified Amount Increase: Reset No Lapse Guar	If the No Lapse Guarantee Period is defined and the effective date of the specified amount increase is within the no lapse guarantee period designated, then the minimum premium required (stored on the base benefit and subsequent events) and the premiums paid are accumulated and compared. If the accumulated premiums paid meet or exceed the accumulated minimum premium requirement, then the policy is prevented from going into lapse processing even though other conditions (such as a negative fund or surrender value) may exist on the policy that normally initiate lapse processing. However, if the accumulated premiums paid do not meet the accumulated minimum premium requirement, then the no lapse guarantee is forfeited. Lapse processing is then initiated and the policy may lapse (depending on product setup) since the guarantee is no longer valid. Y—Yes The No Lapse Guarantee Period is restarted on the effective date of the most recent specified amount increase. The accumulation of the minimum premium requirement and the premiums paid is started. Therefore, it is possible for a policy to have the no lapse guarantee period expire and then have a subsequent specified amount increase reinstate it for the designated period of time beginning with the effective date of the new specified amount increase. N—No The no lapse guarantee period starts on the issue date. The accumulations for the minimum premium requirement and the premiums paid start at the issue date of the policy for the designated period. NOTE This accumulation and comparison is independent of the accumulation and comparison done for the minimum premium requirement period.

Field	Description
For a Specified Amount Increase: Reset Min Prem Period	If the Minimum Premium Requirement Period is defined on the UG—Minimum Premiums Segment and the effective date of the specified amount increase is within the period designated, then the minimum premium required (stored on the base benefit and subsequent events) and the premiums paid are accumulated and compared. If the accumulated premiums paid meet or exceed the accumulated minimum premium requirement, then the policy is prevented from going into lapse processing even though other conditions (such as a negative fund or surrender value) may exist on the policy that normally initiate lapse processing. However, if the accumulated premiums paid do not meet the accumulated minimum premium requirement, lapse processing is initiated and the policy may lapse (depending on product setup). Y—Yes The Minimum Premium Requirement Period is restarted on the effective date of the most recent specified amount increase. The accumulation of the minimum premium requirement and the premium paid is started. Therefore, it is possible for a policy to have the minimum premium requirement period expire and then have a subsequent specified amount increase reinstate it for the designated period of time beginning with the specified amount increase. N—No The minimum premium requirement period starts on the issue date of the policy. The accumulations for the minimum premium requirement and the premiums paid start at the issue date of the policy. NOTE This accumulation and comparison is independent of the accumulation and comparison done for the no lapse guarantee period.
Checking For Required Minimum Premium Is Done	This field determines the frequency that the system runs a required minimum premium test on a policy. M—Monthly Q—Quarterly S—Semi-Annual A—Annual

Field	Description
Include Current Month in RMPP	This field indicates if the current month is used in the calculation of the required premium. Y—Yes The current month is used in the calculation of the required premium. For example, assume a policy is issued on 1/1/2007 and the minimum annual premium is \$1,200. On the 5/1/2007 monthiversary the required premium calculation is 5 (1200/12) = \$500. N—No The current month is not used in the calculation of the required premium. For example, assume a policy is issued on 1/1/2007 and the minimum annual premium is \$1,200. On the 5/1/2007 monthiversary, the required premium calculation is 4 (1200/12) = \$400.
Count MPR Date In Quotes	This field determines how the minimum premium amount for a variable no lapse guarantee quote is calculated. This field is only used for variable no lapse guarantee products. Y—Yes The minimum premium amount needed is calculated through the next modeaversary. N—No The minimum premium amount needed is calculated as of the last modeaversary.

Click **Next** to access the third page of the LP Segment.

Segment Screen - LP 3 of 3

Lapse Correspondence

Amount Needed To Return Policy To A Non-Lapse Status

If In Grace Due To Balance Going Or Minimum Premium Requirement

A) Non-Negative Balance Months In The Future

B) Bring Minimum Premium Requirement Current Plus Additional Months Of Minimum Premium

C) Lesser Of A Or B

D) Non-Negative Balance On Paid-To-Date

E) Bring Minimum Premium Requirement Current To Paid-To-Date

F) Fund Balance Plus Guaranteed Interest less Current CUI less Surrender Load And

Loan Balance Up To Paid-To-Date Is Not Less Than 0

G) The > Of -Or- (Fund Balance - Current Surrender Load - Current Loan Payoff

+ Months Of (Guaranteed Interest - Current Months Deduct - Current Loan Interest))

Adjusted For Loading

Reverse And Recompute

When Reversal Has Taken Place,

Override Or Reduction

Override Grace Period By Form/Mode?

Reduce Premiums Paid For Required Minimum Premium By

Reduce Premiums Paid For No Lapse Guarantee By

Grace Override

Previous

OK

Cancel

The following table contains descriptions of the fields on the third screen of the LP Segment.

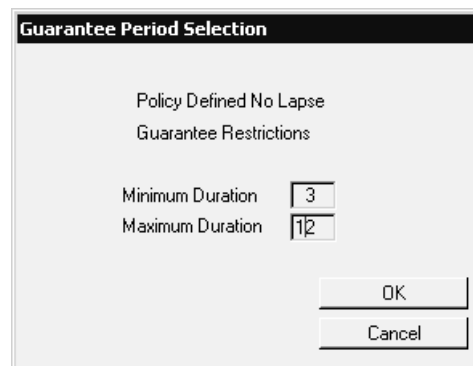
Field	Description
If In Grace Due To Balance Going ___Or Minimum Premium Requirement	This field is used to define the amount which is displayed in field 9 on the Entering Grace Period letter defined through the L0—Letter Type Segment. This letter is used to notify a policyholder of the premium amount due in order to keep the policy inforce. NOTE The two fields can both occur on a fixed premium/EIWL product. The second field has no meaning for a flexible premium UL. A—Option A The amount displayed is the non-negative balance x months in the future. B—Option B The amount displayed is the minimum premium requirement brought current plus x additional months of minimum premium. C—Option C The amount displayed is the lesser of Option A or Option B. D—Option D The amount displayed is the non-negative balance on the paid to date. E—Option E The amount displayed is the minimum premium requirement brought current to the paid to date. F—Option F The amount displayed is the fund balance plus the guaranteed interest less the current COI less the surrender load and loan balance up to the paid to date but not less than ____. G—Option G The amount displayed is the greater of a user defined value, or an amount calculated as shown in the formula below. (Fund balance - Current surrender load - Current loan payoff plus a number of user defined months of (Guaranteed interest - Current month's deduction - Current loan interest)) adjusted for loading The user defined value is any dollar amount up to 9,999,999.99. The number of months used in the calculation can be any number of months up to 9999. The fund balance, surrender load, and loan payoff amounts are as of the current monthiversary. Guaranteed interest is calculated as the interest on the fund balance x months into the future at the guaranteed interest rate in effect for the current monthiversary.

Field	Description
If In Grace Due To Balance Going ____ Or Minimum Premium Requirement (continued)	The current month's deduction is the total current month's expense deduction times the number of months selected. Current loan interest is calculated based on the current loan payoff amount x months in the future using the loan interest rate in effect as of the current month anniversary. Adjustment for loading is based on the product setup using the premium collection expense fees or percentages from the U1—Premium Collection Expenses/Fees or U2—Premium Collections Expenses Segment. If a premium collection fee is in effect, it is subtracted from the result. If a premium collection percentage is in effect, the result is grossed up by the percent to overcome the premium load.
Reverse And Recompute	
When Reversal Has Taken Place	This field controls the situation where a policy is reversed back, and a change in the past is made. If, in coming forward, it is found on this recompute that the policy should have lapsed in the past, the system either processes the lapse or waits until the recompute is done to start grace. N—Immediately Allow Lapsing On The Date Negative P—Wait Until Reprocessing Has Been Done
Override Or Reduction	
Override Grace Period By Form/Mode	Y—Yes When Yes is selected the Form/Mode Grace Overrides window, this window allows an override of the Administrative Grace Period field based on the mode and form of the policy. A value can be selected for each mode and form combination. NOTE Days is displayed in the lower section of the window; however, it reflects days, months, or years depending on the value selected in the Administrative Grace Period field on the first page of the LP Segment. List bill and government allotment settings can also be controlled at the group updates level. N—No

Field	Description
Reduce Premiums Paid For Required Minimum Premium By	The required minimum premium test compares the gross premiums paid to the minimum premiums due. This field determines if the gross premiums paid are reduced by withdrawals, loan balance, both, or neither for the required minimum premium test. W—Withdrawals L—Loan Balance B—Both N—Neither
Reduce Premiums Paid For No Lapse Guarantee By	The no lapse guarantee test compares the gross premiums paid to the minimum premiums due. This field determines if the gross premiums paid should be reduced by withdrawals, loan balance, both, or neither for the no lapse guarantee test. W—Withdrawals L—Loan Balance B—Both N—Neither NOTE If the no lapse guarantee period in this segment is defined as Tiered for this coverage, this field only determines if the gross premiums paid are reduced by the loan balance. For a tiered product, the gross premiums are always reduced by the gross withdrawals for the no lapse guarantee test, regardless of the value of this field.

Policy Level No Lapse Guarantee Period

The no lapse guarantee period for a non-traditional product can be set up to vary by policy, within the range of user-defined minimum and maximum durations. On the second LP—Lapse Control screen, the No Lapse Guarantee Period field must be set to **Policy**. When this option is input, the Policy Defined No Lapse Guarantee Restrictions screen is displayed.



If the Policy option is selected for the No Lapse Guarantee Period field on the LP—Lapse Control Segment, a no lapse period must be entered for each policy in the Variable No Lapse Period field on the Premium Information screen during New Business processing. For example, if a no lapse period of less than 5 or greater than 30 is input, during New Business processing the message *No Lapse Period must be >=05 or <= 30 >* is displayed, and processing cannot continue until a No Lapse Period within the specified range is selected.

The following table describes the fields on the Policy Defined No Lapse Guarantee Restrictions screen.

Field	Description
Minimum Duration	The minimum no lapse guarantee period for the product is displayed in this field.
Maximum Duration	The maximum no lapse guarantee period for the product is displayed in this field.

6.141 LS—Lump Sum Factors

NOTE

Traditional only

The LS—Lump Sum Factor and the LL—Level Premium Factor Segments were created to be used with component type PP riders only. These segments work together to calculate an additional amount which is added to the total inforce amount to determine the underwriting requirements for a policy. These segments are also used in Benefit Add when adding a PP type rider.

Rate Type Segment	
Segment ID	PREWL >>
Segment Type	LS
Select Period	Duration 0
Ultimate ID	
Constant Rate	0.0000000 (Added to File Rate if Declared)
Rate Type	Constant Rate Only
Type Modifier	☐ Rates Vary by Underwriting Class No
Mult Insured Access	
Rate Basis	Separate And Unique
Years of	0
Banding Method	Not Banded
Banding Rule	Traditional
Upper Band Limits	0 0 0 0 0 0 0
Rates Coded As	Actual Amount
	Not Applicable
Change Frequency	0
Mode Rules Rates Next OK Cancel	

When a PP rider is selected in Policy Add or Benefit Add, the PUA Purchase Premium and PUA Purchase Dump In fields are displayed on the New Business Premium Information screen in Policy Add, or the NWBEN screen in Benefit Add. The amount entered in the PUA Purchase Premium field is multiplied by the LL—Level Premium Factor Segment and added to the LS—Lump Sum Factor Segment multiplied by the PUA Purchase Dump In amount. This amount is then added to the total inforce amount and that number is used to access the underwriting requirements.

The PP underwriting table requirement calculation is shown below.

$$((\text{PUA Purchase Premium} * \text{LL Factor}) + (\text{PUA Purchase Dump In} * \text{LS Factor})) + \text{Total Inforce} = \text{New Total Inforce}$$

Refer to Section 12, Chapter 3—Premiums—Upper Portion of Screen Field Definitions on page 12-17 in this book for a descriptions of the fields in the upper portion of the screen.

6.142 LT—Tiered No Lapse Guarantee

The LT—Tiered No Lapse Guarantee Segment is a lower level segment accessed through the Tiered Segment ID field on the LP—Lapse Segment. This segment is only applicable to tiered no lapse guarantee periods and is used to define the number of no lapse guarantee tiers, the parameters for each tier, and the grace period for the tiers. In addition, it specifies if the system can automatically update a policy's current tier if it qualifies for a higher tier, or if manual intervention is required to change a policy's current tier to a higher one.

	To Age	Min Dur	Months/ Years	Required % of Premium
1				
2				
3				
4				
5				

Complete the following steps to access the LT—Tiered No Lapse Guarantee Segment.

1. Access the LP—Lapse Control Segment.
2. Press **F10**.
3. Input the LT Segment ID in the Tiered Segment ID field.

4. Press **F4**. The LT—Tiered No Lapse Guarantee Segment is displayed.
5. Complete the fields as described in the following table.

Field	Description
Number of Tiers	The number of no lapse guarantee tiers applicable to a product is displayed in this field. Up to five tiers can be defined.
Tier	The number of the tier which is defined on this line is displayed. This field cannot be updated. 1—One Tier 2—Two Tier 3—Three Tier 4—Four Tier 5—Five Tier
To Age	The age through which the no lapse guarantee tier level is applicable is input in this field. NOTE If the Min Dur field is defined, the system does not allow a tier to expire before the end of the minimum duration. Assume a tier is defined to age 65, with a minimum duration of 5 years. Also assume a policy is issued to a 64 year old insured. Based on the To Age field of 65, the tier expires when the insured turns age 65; however, the Min Dur field is defined as 5 years; therefore, the tier does not expire until the fifth year duration or age 69.
Min Dur	The minimum duration that the no lapse guarantee tier level is applicable is defined in this field. If this field is defined, the Months/Years field must also be defined. NOTE If the To Age field is defined, this field works in conjunction with the To Age field to determine the length of a tier.
Months/Years	This field is used in conjunction with the Min Dur field to determine if the minimum duration is defined in Months or Years. M—Months Y—Years

Field	Description
Required % of Premium	These fields define the percentage of the required premium that is required for a tier and the type of premium required to maintain the no lapse guarantee tier. Input the percentage of the required premium in the first field and then select the type of premium required to maintain the no lapse guarantee tier in the second field. M—Minimum T—Target G—Guideline F—Minimum Premium Factor
Tier Extension Grace Period	The length of time after a policy has failed the no lapse guarantee test that the tier remains in effect is displayed in this field. Input the number in the first part of the field and then indicate the appropriate time period in the second part of the field. D—Days M—Months Y—Years NOTE If the NLG Tier Grace Period letter is defined on the L0—Letter Type Segment, the letter is generated at the time a policy enters the grace period.
Require Action to Increase No Lapse Guarantee Tier	This field defines if the system or a user is to determine a higher tier level. Y—Yes A user action is required through the No Lapse Guarantee Period Quote screen to increase the no lapse guaranteed to a higher tier level. N—No LifePRO® automatically determines and assigns the longest no lapse guarantee period for the net deposits to date.

6.143 LV—Calendar Dividend Segment

NOTE

Traditional only

The LV—Calendar Dividend Segment allows dividends to be paid at the end of the year (12/31) instead of on each policy's anniversary date. The dividend is paid during the anniversary processing that is generated on 12/31. The rates defined on the LV Segment can be based on the face amount of the policy or on the premium amount received during the calendar year.

In addition, the LA—Additional Calendar Dividend Segment is available to allow an additional flat amount to be added to the LV dividend amount at the end of the year. When the dividends are processed at the end of the year, the accounting can be generated for the pay out of the dividend, an ASCII file can be created, or both accounting and an ASCII file can be created.

Calendar Dividends							
Segment ID	PARWL >>		Segment Type	LV			
Key Modifier	LV		Values Vary by	Underwriting Class			
Values Banded	No		Underwriting Class	No			
Female Rate Basis	Male with Setback		Setback Years	0			
Rate Type	Attained Age		Rate Rounding Rule	00		Rate Mode Rule ID	N/A
Band Upper Limits							
9999999	0	0	0	0	0	0	0
Apply Rates to	Face Amount		Notes				
Calculate Calendar Dividends based upon True Age	Yes		Date Substitution				
Add Additional Amount to Calendar Dividend	Yes		Rates				
Additional Amount Segment ID	PARWL		OK				
Dividend Processing	Export to File		Cancel				

Complete the following steps to access the LV Segment.

1. From the Coverage Record click **Segments**. The Segment List is displayed.
2. Select **LV Calendar Dividend**. The LV Segment is displayed.

The following table contains field definitions for the LV Segment.

Field	Description
Apply Rates to	This field determines if the face amount or the premium amount is used to calculate the dividends payable. F—Face Amount The dividend rate on the LV Segment is applied to the face amount or units for the policy. P—Premium The dividend rate on the LV Segment is applied to the premiums received during the previous calendar year.
Calculate Calendar Dividends based upon True Age	This field designates the insured's age that is used to determine the dividend rate on the LV Segment. Y—Yes The age of the insured on 12/31 of the year the dividends are being calculated is used. N—No The age calculation method selected in product setup is used to determine the age of the insured on 12/31 of the year in which the dividends are being calculated.
Add Additional Amount to Calendar Dividend	This field determines if a flat amount is added to the dividends calculated using the LV Segment. The LA—Calendar Dividend Processing Segment is used to define the flat amount of additional dividends. Y—Yes An additional flat amount is added to the dividends calculated using the LV Segment. The LA Segment ID must be input in the following field. N—No An additional flat amount is not added to the dividends calculated using the LV Segment. If this field is set to No, the Additional Amount Segment ID field cannot be accessed.
Additional Amount Segment ID	If an additional flat amount of dividends is paid, the segment ID of the LA Segment that defines the flat amount is input in this field.
Dividend Processing	This field determines what is done with the dividend amount that is calculated using the LV Segment and the LA Segment. A—Generate Accounting Accounting transactions are generated for the dividend amount calculated. E—Export to File An ASCII file is created with all the dividend amounts calculated on 12/31. B—Both Accounting transactions are generated and an ASCII file is created for all dividend amounts calculated on 12/31.

If the **Export to File** or **Both** option is selected in the Dividend Processing field on the LV Segment, an ASCII file is created with the format displayed below.

```
05  WS-CDP-FILE-OPEN-FLAG      PIC X (01) VALUE 'N' .
88  WS-CDP-FILE-OPEN           VALUE 'Y' .
05  WS-CDP-FILE-RECORD .
10  WS-CDP-FILE-COMPANY-CODE    PIC X (02) .
10  WS-CDP-FILE-POLICY-NUMBER   PIC X (12) .
10  WS-CDP-FILE-PRODUCT-ID     PIC X (10) .
10  WS-CDP-FILE-UW-CLASS       PIC X (01) .
10  WS-CDP-FILE-PAYOR-NAME     PIC X (50) .
10  WS-CDP-FILE-DIV-PREM-USED   PIC S9 (07) V9 (02) .
10  WS-CDP-FILE-DIV-FACE-USED   PIC S9 (07) V9 (02) .
10  WS-CDP-FILE-DIVIDEND-AMT    PIC S9 (07) V9 (02) .
```

6.144 (M-)—Minimum Segment

NOTE

Universal life, annuities, and variable life only. The M1, M2, and M3—Miscellaneous Segments are used in client specific modifications and are not used generically in LifePRO®.

The (M-) Minimum Segment is used to define minimum amount limits for specified amount changes, partial withdrawals, and death benefit option changes as defined on the MM—Minimum/Maximum Segment. Limits can be defined as issue age only, policy duration only, attained age, or issue age and policy duration.

Rate Type Segment	
Segment ID	AMG >>
Segment Type	M-
Select Period	Duration 0
Ultimate ID	
Constant Rate	0.0000000 (Added to File Rate if Declared)
Rate Type	Constant Rate Only
Type Modifier	☐ Rates Vary by Underwriting Class No
Mult Insured Access	
Rate Basis	Separate And Unique Years of 0
Banding Method	Not Banded
Banding Rule	Traditional
Upper Band Limits	0 0 0 0 0 0 0
Rates Coded As	Actual Amount
Change Frequency	Not Applicable 0
Mode Rules Rates Next OK Cancel	

Complete the following steps to access the (M-) Minimum Segment.

1. From the Segment List select **MM—Min/Max Rate Segment**. The MM Segment is displayed.
2. Press **F10**.

3. Select **Y—Yes** in the Minimum Specified Amount After Change field and input a segment ID for the (M-) Segment in the Segment ID field.
4. Press **F4**.

6.145 (M+)—Maximum Segment

NOTE

Universal, annuities, and variable life only.

The M1, M2, and M3—Miscellaneous Segments are used in client specific modifications and are not used generically in LifePRO®.

The (M+) Maximum Segment is used to define maximum amount limits for specified amount decreases, and death benefit option changes as defined on the MM—Minimum/Maximum Segment. Limits can be defined as issue age only, policy duration only, attained age, or issue age and policy duration.

Rate Type Segment	
Segment ID	UL >>
Segment Type	M+
Select Period	Duration 0
Ultimate ID	
Constant Rate	0.0000000 (Added to File Rate if Declared)
Rate Type	Constant Rate Only
Type Modifier	☐ Rates Vary by Underwriting Class No
Mult Insured Access	
Rate Basis	Separate And Unique Years of 0
Banding Method	Not Banded
Banding Rule	Traditional
Upper Band Limits	0 0 0 0 0 0 0
Rates Coded As	Actual Amount
Change Frequency	Not Applicable 0
Mode Rules Rates Next OK Cancel	

Complete the following steps to access the (M+) Maximum Segment.

1. From the Segment List select **MM—Min/Max Rate Segment**. The MM Segment is displayed.
2. Press **F10**.

3. Select **Y—Yes** in the Maximum Specified Amount After Change field and input a segment ID for the (M+) Segment in the Segment ID field.
4. Press **F4**.

6.146 M1, M2, M3, and M4—Miscellaneous Segments

M1—Miscellaneous Segments

MC Segment

Segment ID >> Segment Type M1

Type	Description	Y/N	Segment ID
CS	Corporate Surplus Ratio	No ☐	
CG	Corporate Growth	No ☐	
CT	Corporate After Tax Grwt	No ☐	
CL	Corporate Loss Expense	No ☐	
PG	Pricing Goals	No ☐	
AV	Average Size	No ☐	
IX	Issue Rate For Dividends	No ☐	
KC	Surplus Charge	No ☐	
AR	Agent Comm Rates	Yes ☐	PLANA
CB	Agent Benefits	No ☐	

OK
Cancel

M2—Miscellaneous Segments

MC Segment

Segment ID >> Segment Type M2

Type	Description	Y/N	Segment ID
EP	Expense Per Policy	No ☐	
E1	Expense Per 1000	No ☐	
E2	PUA Expense Per 1000	No ☐	
PE	Policy Loan Expense	No ☐	
MF	Medical Inspection Fees	No ☐	
AS	Agent Survival Rates	No ☐	
LR	Lapse Rates	No ☐	
EA	Equity Add-On Rate	No ☐	
XP	Tax Rates	No ☐	
RI	Reserve Interest Rates	No ☐	

OK
Cancel

M3—Miscellaneous Segments

MC Segment

Segment ID >> Segment Type M3

Type	Description	Y/N	Segment ID
LU	Loan Utilization	No ☐	
EM	Experience Mortality	No ☐	
RO	Rollover Rates To Bucket	No ☐	
DM	Dividend Ramps	No ☐	
U5	Guar CDI Rates	Yes ☒	UL1
U6	Curr CDI Rates	Yes ☒	UL1
U2	Premium Load Pcts	Yes ☒	ULOR
U3	Per Thousand Exp Load	No ☐	
D1	Current Interest Rate	No ☐	
LX	Loan Rates	No ☐	

OK
Cancel

M4—Miscellaneous Segments

MC Segment

Segment ID >> Segment Type M4

Type	Description	Y/N	Segment ID
G2	Guar Premium Load Pcts	No ☐	
		☐	
		☐	
		☐	
		☐	
		☐	
		☐	
		☐	
		☐	
		☐	

OK
Cancel

6.147 MA—Market Value Adjust Segment

NOTE

Annuities only

The MA—Market Value Adjustment Segment can be accessed from the coverage level as well as the fund level. This segment points to logic which adjusts surrender charges based on changes to current interest rates or external indices. When MVA processing is used, the MA Segment must be set up at the coverage level to invoke the calculations. The MA Segment must be set up at the fund level to define the rates and rules used in the calculations.

Enter Segment Screen - MA Criteria

Segment ID >> Select Period 0

Segment Type MA Ultimate ID

The Market Value Adjustment is calculated per Fund
 If the Fund is New Money / Old Money, it is Calculated Per Payment Window Duration

Define End of the Market Value Adjustment Period by: Number Of Months
 Segment ID

Measure MVA Period from the Issue Date even if New Money/Old Money

CAP Positive MVA Amount by Excess Interest Minus prior MVA Amounts

Use External Index for Interest External Index Segment ID

Adjust Taxable Income by MVA on Partial Withdrawals (Y/N)?

Calculation Method

00 - None (used to 'turn off' MVA in Ultimate Period)
 01 - Simple Interest $C * (I - J + K) * (N/12)$
 02 - Compound Interest $((1 + I) / (1 + J + K)) ^ t - 1$

I - Interest Rate as of Payment Date
 J - Current Interest Rate for New Issues
 C -
 K -
 N - Months Remaining
 t - Years & Days Remaining
 Cap Number Of Years Remaining (t) At

Available only for Single Premium
 MVA Minimum Factor
 MVA Maximum Factor

OK
 Cancel

The MA Segment is accessed for the Coverage Record for full surrenders by completing the following steps.

1. From the Segment List select **SR—Full Surrender Segment**. Input the Segment ID or click >> for a cross reference list. The SR Segment is displayed.
2. Press **F10**.

3. Select **Y—Yes** in the Y/N field next to MA—Market Value Adjustment Segment. Input the segment ID or click >> for a cross reference list and select an existing segment.
4. Press **F4**. The MA Segment is displayed.

The MA Segment for partial surrenders is accessed by completing the same steps from the WD—Partial Withdrawal Segment instead of the SR—Full Surrender Segment.

If the MA Segment is set up differently on the F0—Fund Package Segment than the Coverage Record, the options selected on the F0 Segment are used during surrender processing.

The following table contains definitions for the fields on the MA Segment.

Field	Description
Define End of the Market Value Adjustment Period by: Number of Months	This field is used to determine the N value in the interest formula. For example, if 72 is input in this field, the MVA period is 72 months less the number of months that have passed in the MVA period. If the Measure MVA Period from the Issue Date even if New Money/Old Money field is set to Yes, the number of months that have passed is the number of months since issue. If the Measure MVA Period from the Issue Date even if New Money/Old Money field is No, the number of months that have passed is the number of months since the last window date. If the Use External Index for Interest field is set to Yes, this field must contain a non-zero value.
Define End of the Market Value Adjustment Period by: Segment ID	This field is used to define the Segment ID of the MQ—Rate Type Segment that contains the rates for the number of months to the end of the MVA period. When this rate segment is defined, the number of months to the end of the market value adjustment period can vary by issue age, attained age, duration only, or age and duration. It can be set to a constant rate. This field cannot be accessed if the Number of Months field is defined.
Measure MVA Period from the Issue Date even if New Money/Old Money	This field determines if the issue date or the window date is the beginning of the MVA period. Y—Yes The issue date is the beginning of the MVA period. N—No This is the default. The window date for each premium payment begins a new MVA period if the fund has new money/old money funds.

Field	Description
CAP Positive MVA Amount by Excess Interest Minus prior MVA Amounts	Y—Yes Any positive market value adjustments (MVA) are limited to the amount of excess interest, as calculated by the system during valuation, less any prior MVA amounts. N—No There is not a limit imposed on positive MVA amounts. This is the default.
Use External Index for Interest	This field determines if an external index is used to calculate the market value adjustments. Y—Yes An external index is used to calculate the market value adjustment. The XV—External Index Segment must be set up with the rates. The Segment ID of the XV Segment must be input in the External Index Segment ID field. N—No An external index is not used to calculate the market value adjustment. This is the default.
External Index Segment ID	The Segment ID of the XV—External Index Segment containing the rates for the external index is input in this field. This field is required when the Use External Index for Interest field is set to Yes.
Adjust Taxable Income by MVA on Partial Withdrawals	This field determines if the MVA is included in the taxable income on a partial withdrawal. N—No The MVA is excluded from the calculation of the taxable income on a partial withdrawal. This is the default. Y—Yes The taxable portion of the partial withdrawal will be adjusted by the MVA amount. Both federal and state withholding will be adjusted to reflect the change in taxable income.
Calculation Method	
Method	00—None This option is selected to turn off MVA in the ultimate period. 01—Simple Interest Interest is calculated according to the formula displayed. The C and K values must be supplied. 02—Compound Interest Interest is calculated according to the formula displayed. The K value must be supplied.

Field	Description
Calculation Variables	I—The interest rate in effect when the payment was originally received is the I value. J—The interest rate that is currently being paid on payments received as new business is the J value. C—A user defined adjustment factor to the simple interest formula is the C value. K—A user defined adjustment factor to the simple and compound interest formula is the K value. N—The number of months remaining in the commitment period is the N value. For example, if the interest rate is locked in for 3 years (36 months), and the contract has been in force for 1 year (12 months), then 24 months are remaining. t—The number of years or fraction of years remaining in the commitment period is the t value.
Cap Number Of Years Remaining (t) At	This field determines if the value (t) used in the Compound Interest Calculation Method is capped at a certain number of years. This field can only be accessed when the Calculation Method is 02—Compound Interest. This field should be left blank when no cap is applied.
Available only for Single Premium	
MVA Minimum Factor	This field determines if a minimum MVA factor is calculated. If a minimum MVA factor is calculated, the calculation method is also determined by this field. 0—None The MVA minimum factor is not calculated. This is the default. 1—Excess Interest Cap The following formula is used to calculate the MVA minimum factor. $(P - GWA + G) / AV - 1 \text{ where,}$ P = Purchase Payment GWA = All Gross Withdrawal Amounts previously withdrawn from the contract G = Interest calculated on the basis of the Guaranteed Minimum Interest Rate (G1) AV = Account Value immediately prior to the surrender or withdrawal

Field	Description
MVA Minimum Factor (continued)	NOTE This field only functions when the Premiums Cease at field on the Coverage Record is set to Single Premium, the Cease Point field on the Coverage Record is set to 0, and the Policy Billing Code is Single Premium. If the Coverage Record fields are set to any other values and the Policy Billing Code is not Single Premium, the MVA minimum factor calculation is not performed.
MVA Maximum Factor	This field determines if a maximum MVA factor is calculated. If a maximum MVA factor is calculated, the calculation method is also determined by this field. 0—None The MVA maximum factor is not calculated. This is the default. 1—Surrender Charge Rule The following formula is used to calculate the MVA maximum factor. $1 / (1 - SC) - 1 \text{ where,}$ SC = Surrender charge in effect at the time of the transaction (SL rate) NOTE This field only functions when the Premiums Cease at field on the Coverage Record is set to Single Premium, the Cease Point field on the Coverage Record is set to 0, and the Policy Billing Code is Single Premium. If the Coverage Record fields are set to any other values and the Policy Billing Code is not Single Premium, the MVA maximum factor calculation is not performed.

6.148 MB—Minimum Billing Amounts

The MB—Minimum Billing Amounts Segment is used to specify minimum billing amounts by mode and form, for UL and annuity products.

The system edits in Validation if a policy is set up that does not meet any minimum amount specified. The policy cannot be issued if the policy premium violates the minimum billing amount guidelines. Edits are also performed during Benefit Add, Benefit Change, Premium Quotes, and Specified Amount Increases based on these limits.

Enter Minimum Billing Amounts Segment Criteria

Segment ID >> Segment Type MB

Billing Form

Billing Mode	Direct	Pac	Govt	List	Crd
Annually	100	25	25	25	25
Semi-Annually	100	25	25	25	25
Quarterly	100	25	25	25	25
Monthly	100	25	25	25	25
13thly	100	0	25	25	0
09thly	100	0	25	25	0
10thly	100	0	25	25	0
Weekly	100	0	25	25	0
Biweekly	100	0	25	25	0
26 Pay	100	0	25	25	0
52 Pay	100	0	25	25	0

OK

Cancel

The following table contains definitions for the fields on the MB Segment.

Field	Description
Billing Mode	Each possible billing mode is listed in this column. A different minimum can be set up for each mode and form combination.
Billing Form	A column is displayed for each billing form. For each mode and form combination, a dollar amount can be specified. This is the minimum mode premium that can be designated for the mode and form combination. For example, a policy with an annual mode and a direct form could not have a planned annual premium below \$100.00. The maximum field size is five numeric characters.

6.149 MC—Current Monthly Income Factors

The MC—Current Monthly Income Factors Segment defines factors per 1,000 of cash value to express current monthly income settlement options for policy pages using the keyword, SOMICURR (Settlement Option Monthly Income Current). Settlement options are user defined through the Policy Miscellaneous screen.

$$\text{Monthly Income}^c = \text{CSV}_{x,t}^C / 1000 * \text{Mc}_{x,t}$$

Additional keywords, SOMIDESC (Settlement Option Description) and SOMIAGE (Settlement Option Age), are available for policy pages.

Segment Detail							
Segment ID	>>			Segment Type	MC		
Key Modifier	MC			Do Values Vary By			
Are Values Banded	No			Underwriting Class	No		
Female Rate Basis	Male With Setback						
Setback Years	0						
Rate Type	Attained Age						
Rate Rounding Rule	00			Rate Mode Rule ID	N/A		
Band Upper Limits:	9999999	0	0	0	0	0	0
Annuitization Value							
First Duration Value Is Available	1						
Mode Rules Rates Calculate Values OK Cancel							

Refer to Section 12, Chapter 3—Premiums—Upper Portion of Screen Field Definitions on page 12-17 in this book for a description of the fields in the upper portion of the screen.

6.150 MD—Required Minimum Distribution

NOTE

Universal life only

The purpose of this segment is to provide notification that a distribution is required for a tax qualified annuity. For qualified annuities, the IRS guidelines state that by age 70½, some minimal amount of value must be taken each year. The notification can be in the form of a correspondence letter, ENS message, or both.

The amount is based on the life expectancy at 70½, modified each subsequent anniversary. The method chosen to compute and modify the life expectancy is available real time at the time the RMD starts.

A notification that the RMD will begin is triggered via this segment at one of two points.

- The first point is the year end preceding the start point.
- The second point is on the birth date preceding the start point.

Enter Required Minimum Distribution Criteria			
Segment ID	VAI >>	Select Period	Duration 0
Segment Type	MD	Ultimate ID	
Notification Method	Birth Date		
Use Primary Beneficiary for Joint Life Expectancy?	Yes		
Adjusted Benefit Value (ABV) Calculation			
Compute Adjusted Benefit Value for RMD	Yes	Beginning in Calendar Year	2005
Beginning with Attained Age of	69.50	Exemption % for ABV Adjustment	20.00%
ABV Guaranteed Accumulation Rate Segment ID	ABVACC >>		
ABV Mortality Rate Segment ID	415 >>		
ABV Discount Rate Segment ID	ABVDIS >>		
OK			
Cancel			

The notification is actually processed through the Follow Up System. When the required minimum distribution (RMD) is triggered, the system automatically attaches two Follow-up Records to the policy. The Follow-up Records must be named @MRN and @MRD. **These codes must be present on the Follow Up Definition Table.** Refer to the System Configuration Book, Section 9—Table Definitions for information on the Follow Up Definition Table.

The @MRN Follow-up code is designed to provide notification to the policyholder through correspondence. The @MRD Follow-up code is designed to provide online notification through an ENS message that a distribution is required. Refer to the System Configuration Book, Section 9, Chapter 5—Follow-Up Definition for more information on setting up the records.

NOTE

After the Follow Up Record is attached to a policy, follow up processing must be run in order to generate the associated ENS message or letter. Follow up processing can be run in the Job Scheduler.

The following table contains definitions for fields on the MD Segment.

Field	Description
Notification Method	00—Year End 01—Birth Date
Use Primary Beneficiary for Joint Life Expectancy	This field indicates if the age and gender of the individual with a B1—Beneficiary 1 relationship is used instead of the age and gender of the individual with a JI—Joint Insured relationship for purposes of calculating the required minimum distribution if any of the joint life expectancy methods are selected. Y—Yes Use the age and gender of the individual with a B1—Beneficiary 1 relationship and the age and gender of the individual with the IN—Primary Insured relationship when determining the life expectancy for RMD calculations. N—No Use the age and gender of the individual with a JI—Joint Insured relationship and the age and gender of the individual with an IN—Primary Insured relationship when determining life expectancy for the RMD calculation. This is the default.

Field	Description
Adjusted Benefit Value (ABV) Calculation	This section allows the required minimum distribution amount to be calculated using the adjusted benefit value instead of the account value.
Compute Adjusted Benefit Value for RMD	This field determines if the required minimum distribution amount is calculated based on the adjusted benefit value. Y—Yes The required minimum distribution amount is calculated using the adjust benefit value. N—No The required minimum distribution amount is calculated using the year-end account values. This is the default.
Beginning in Calendar Year	This field indicates the first year in which the adjusted benefit value is used to calculated the required minimum distribution amount.
Beginning with Attained Age of	This field indicates the attained age of the annuitant upon which the adjusted benefit value is used to calculate the required minimum distribution amount.
Exemption % for ABV Adjustment	The percentage defined in this field is the floor used for the ratio of the discounted additional benefits to the account value. If the ratio calculated exceeds this floor, the adjusted benefit value is used.
ABV Guaranteed Accumulation Rate Segment ID	This field identifies the IG—Guaranteed Accumulation Rate Segment that designates the accumulation rate used in projecting the account value and other guaranteed values forward for required minimum distribution amounts. Access the IG Segment by positioning the cursor in this field and pressing F4 . The accumulation rate is retrieved using the issue date of the contract and the effective date of the valuation date. After the rate is retrieved, it remains constant during the projection period. Thus, a single accumulation rate is used each time the Adjusted Benefit Value is calculated.
ABV Mortality Rate Segment ID	This field identifies the EM—Mortality Rate Segment that designates the mortality rates used in the calculation of the adjusted benefit value for required minimum distribution amounts. Access the EM Segment by positioning the cursor in this field and pressing F4 .
ABV Discount Rate Segment ID	This field identifies the ID—Discount Rate Segment that designates the discount rate used in the calculation of the adjusted benefit value for required minimum distribution amounts. Access the ID Segment by positioning the cursor in this field and pressing F4 . The discount rate is retrieved using the issue date of the contract and the effective date of the valuation.date. After the rate is retrieved, it remains constant for the entire calculation period. Thus, a single discount rate is used each time the Adjusted Benefit Value is calculated.

Adjusted Benefit Value Calculation

When Guaranteed Minimum Death Benefits and Guaranteed Living Maturity Benefits exist on a policy, the adjusted benefit value can be used to determine the required minimum distribution amount.

Monthiversary processing will create the RMDAB RQUE to invoke the calculation of the adjusted benefit value using the following criteria.

- The Qualification Code must be other than 0, C, R, Q, O, or N.
- The MD—Required Minimum Distribution Segment must be used.
- The Compute Adjusted Benefit Value for RMD field on the MD Segment must be set to **Yes**.
- The upcoming 12/31/xxxx must be on or after the year defined in the Beginning in Calendar Year field on the MD Segment.
- The true attained age of the annuitant, based on the date of birth, must be greater than or equal to the age defined in the Beginning with Attained Age field on the MD Segment.
- There must be at least one guaranteed Minimum Death Benefit (defined via the VU—Annuity Death Benefit Values Segment and the VL—Annuity Minimum Values Segment or Guaranteed Living Benefit (defined via the LM—Living/Maturity Segment) on the policy.
- If Premium Floor is the only option on the policy, the adjustment method for withdrawals should be Prorata. The exemption percentage floor will be set to the percentage from the MD Segment.
- If GLB is the only option on the policy, the adjustment method for withdrawals should be Prorata. The exemption percentage floor will be set to the percentage from the MD Segment. Note: The withdrawal adjustment method of Greater of Prorata and Dollar for Dollar is treated the same as a Prorata method.
- If Earnings Enhanced Death Benefit (EEDB) is the only option on the policy, the exemption percentage floor will be set to the percentage from the MD Segment.
- If other benefits, in addition to the Premium Floor exist,
 - and at least one uses a Dollar for Dollar withdrawal adjustment method, the exemption percentage floor will be set to zero.
 - and ALL use a Prorata withdrawal adjustment method, the exemption percentage floor will be set to the percentage from the MD Segment.
 - and the ONLY other benefit is EEDB, the exemption percentage floor will be set to the percentage from the MD Segment.

The following steps outline the process used to calculate the adjusted benefit value. This calculation is performed when the RMDAB RQUE is processed.

Step 1	Determine the age of the annuitant, in years and months	$\text{Years} = \text{Valuation Year} - \text{Year of Birth}$ $\text{Months} = \text{Valuation Month} - \text{Month of Birth}$
Step 2	Determine the number of years for the projected values	$\text{Years} = \text{Maturity/Expiry Year of the Base Coverage} - \text{Valuation Year}$ If any of the death benefit options expire or mature prior to the maturity year of the base coverage, the values for that coverage should only be projected based on the Maturity/Expiry Year for that benefit.
Step 3	Determine the greatest death benefit	Death Benefit During Year (DBDY) for Year 1 = Greatest value of all existing GMDB values as of the valuation date
Step 4	Determine the account value as of the end of the year	End of Year Account Value After Withdrawals (EOYAVAW) for Year 0 = Account Value as of 12/31/xxxx
Step 5	Determine the end of year account value before withdrawals	$\text{End of Year Account Value Before Withdrawals (EOYAVBW) for Year 1} = \text{Accumulate the Account Value as of 12/31/xxxx for one year}$ If the account value includes any fixed funds, use the A1—Current Interest Rate for the fixed funds to the end of the guarantee period, then use the IG—Guaranteed Accumulation Rate designated on the MD Segment. For variable funds, use the IG—Guaranteed Accumulation Rate from the MD Segment. If a loan fund is present, the value should be projected using the current rate for the loan fund to the end of the guarantee period for that fund. If there is not a guaranteed rate for the loan, the guaranteed accumulation rate from the MD Segment is used. The loan fund balance should then be subtracted from the account value.
Step 6	Compute the Average Account Value (AAV) for Year 1	$\text{Average Account Value} = (\text{EOYAVAW for Year 0} + \text{EOYAVBW for Year 1}) / 2$

Step 7	Retrieve the RMD factor, depending on the RMD table selected	Compute the ages for the RMD factor as follows: Primary Annuitant's Attained Age = Valuation Year + 1 - Year of Birth of Annuitant Beneficiary's Attained Age = Valuation Year + 1 - Year of Birth of Beneficiary (if a beneficiary relationship exists) Assumed RMD Beneficiary's Attained Age = Annuitant's Age - 10 Years (if a beneficiary relationship does not exist)
Step 8	Compute the RMD for Year 1	EOYAVBW for Year 0 / RMD factor (retrieved in Step 7)
Step 9	Compute the EOYAVAW for Year 1	EOYAVBW - RMD for Year 1 (computed in Step 8) If any Guaranteed Living Benefits (GLB) are due to mature at the end of this year, add the GLB adjustment to this amount
Step 10	Compute the Survivorship Rate (p_X)	For Year 1, use the survivorship rate of 1.0000
Step 11	Compute the Mortality Rate (q_X)	Interpolate the mortality rates to the nearest month
Step 12	Compute the Discount	For Year 1, allow 1/2 year of the discount, $[1/(1+i)^{(1/.2)}]$ where i is the ABV Discount Rate
Step 13	Compute the Discounted Death Benefit for Year 1	$q_X * (DBDY_1 - AAV_1) * p_X * [1/(1+i)^{(1/.2)}]$
Step 14	Increase all ages by 1	
Step 15	Compute the EOYAVBW for Year 2	Repeat the process used in Step 5 for Year 2
Step 16	Compute the AAV for Year 2	Repeat the process used in Step 6 for Year 2
Step 17	Retrieve the RMD factors	Repeat the process used in Step 7 for Year 2
Step 18	Compute the RMD for Year 2	Repeat the process used in Step 8 for Year 2
Step 19	Compute the EOYAVAW for Year 2	Repeat the process used in Step 9 for Year 2 This is also the account value that is used in the Greatest Of Comparison for death benefit options

- Step 20** Project values for each of the death benefits that apply to the policy during Year 2
- Use the Withdrawal Adjustment Method on the VL Segment for each option to determine whether withdrawals should adjust the values on a Prorata or Dollar for Dollar basis, where
- Premium Floor Death Benefit = Prior Premium Floor adjusted for the withdrawal (RMD amount)
- Reset Death Benefit = If this is a reset year, Reset Death Benefit = EOYAVAW for Year 2, then adjust for the withdrawal (RMD amount)
- Max Anniversary Death Benefit = Prior Maximum Anniversary Death Benefit adjusted for the withdrawal (RMD amount). If the result is less than the EOYAVAW for Year 2, Maximum Anniversary = EOYAVAW for Year 2
- Roll Up Death Benefit = Prior Years uncapped roll up amount plus roll up interest, adjusted for the withdrawal (RMD amount). The premium cap should then be applied to the result.
- EEDB = First, determine if any premiums were withdrawn by the RMD withdrawal. Next, calculate Premiums Remaining. Third, compute the Enhancement Amount = (EOYAVAW - Premiums Remaining) * EEDB%. Finally compute EEDB = EOYAVAW + Enhancement
- Step 21** Use the greatest of the values calculated in Step 20 as the Death Benefit for Year 2
- Step 22** Calculate the Survivorship Rate for Year 2
- Survivorship for Year 2 = Survivorship Rate for Year 1 * (1 - Mortality Rate for Year 1)
- Step 23** Compute the Mortality Rate for Year 2
- Interpolate the mortality rates for Year 2 to the nearest month
- Step 24** Compute the Discount Rate for Year 2
- Discount Rate for Year 2 = Discount Rate for Year 1 / (1+i)
- Step 25** Compute the Discounted Death Benefit for Year 2
- Repeat the process used in Step 13 for Year 2
- Step 26** Repeat this process for the entire projection period as determined in Step 2

Step 27	Calculate GLB	First, retrieve the latest GLB value from the GBEN record. Second, determine if the GLB benefit is due to mature the year. $\text{GLB Benefit} = \text{GLB} - \text{EOYAVBW for year}$ Third, add the GLB benefit to the EOYAVAW for Year 1, as calculated in Step 9. Fourth, if GLB is still in effect (not matured) calculate the GLB amount for Year 2, taking into account the withdrawal (RMD amount) in Year 1 and the adjustment method from the LM Segment. Fifth, discount the GLB benefit to the valuation date using the Survivorship and Discount Rates calculated in Step 10 and Step 12. Since the GLB is a survival benefit, no mortality should be used. Finally, calculate the discounted value of the GLB and the Death Benefit, from Step 25 for each year.
Step 28	Calculate the sum of discounted benefits for all projection years	Death Benefit + GLB (for all projection years)
Step 29	Apply the Exemption Percentage stored on the RQUE record	Result from Step 28 / Account Value as of 12/31/xxxx If the result is greater than (1 + Exemption % stored on the RQUE record), store the Total of (Account Value + ABV Adjustment) in the Adjusted Benefit Value field on the PRBN record. If the result is less than or equal to (1 + Exemption % stored on the RQUE record), store the Account Value as of 12/31/xxxx in the Adjusted Benefit Value field on the PRBN record. If both scenarios, store the Sum of the Discounted Additional Benefits and the Exemption % Floor and the ratio calculated on the PRBN record.

6.151 ME—Mortality and Expense Charges Segment

NOTE

Universal life only

The ME—Mortality and Expense Charges Segment allows a designated charge to be added to the unit price for deposits and transfer in events.

Mortality and expense charges can be date sensitive or use the normal rate type structure (for example, attained age or duration). This segment is accessed from the FR—Fund Rule Segment.

The effective date can be changed whenever new rates are declared as a result of changes in the economy.

Type	ME	ID
	ME	FUNDA

Effective Date	
Segment ID	

Effective Date	Segment ID
01/01/2000	FUNDA00
01/01/1999	FUNDA
01/01/1998	FUNDA

Complete the following steps to access the ME—Mortality and Expense Charges Segment.

1. Access the FR—Fund Rule Segment.
2. Press **F10**.

3. Set the Mortality and Expense field to **Y—Yes**.
4. Press **F4** from the Mortality and Expense Segment on the FR—Fund Rule Segment screen to display the Mortality and Expense Segment by Date screen.

The following table contains field definitions for the ME—Mortality and Expense Segment.

Field	Description
ID	This field contains the segment ID.
Effective Date	This is the date from which the mortality and expense charges are established from the appropriate rate file.
Segment ID	This is the rate type segment that contains the mortality and expense rates. Press F4 to access the rate file.

6.152 MF—Common Modifier/Rerate Segment

NOTE

Health only

The MF—Common Modifier/Rerate Segment is used to define modifier and rerates to be used across several coverages. It is important to note that the KD Segment must be the same for all coverages sharing the same MF Segment.

The image shows a 'Key Definition Setup' dialog box. It contains the following fields:

- Key Definition: P201-F
- Segment ID: DISABILITY
- Type: MF
- Rerates - : Insured Issue Date (with a dropdown arrow)

At the bottom right, there are four buttons: Modifiers, Re-rates, OK, and Cancel.

The following table contains definitions for fields on the MF Segment.

Field	Description
Rerates	This field defines the date to use to determine if the rerate is included in the premium calculation. B—Benefit Issue Date The date the benefit was issued is used to determine if the rerate is included in the premium. I—Insured Issue Date The date the specific insured was added to the policy is used to determine if the rerate is included in the premium. This is the default.

6.153 MG—Guaranteed Monthly Income Factors

The MG—Guaranteed Monthly Income Factors Segment defines the factors per 1,000 of cash value to express guaranteed monthly income settlement options for policy pages using the keyword, SOMIGUAR (Settlement Option Monthly Income Guaranteed). Settlement options are user defined through the Policy Miscellaneous screen.

$$\text{Monthly Income}^G = \text{CSV}_{x,t}^G / 1000 * \text{Mg}_{x,t}$$

Additional keywords, SOMIDESC (Settlement Option Description) and SOMIAGE (Settlement Option Age), are available for policy pages.

Segment Detail							
Segment ID	10YCL3 >>			Segment Type	MG		
Key Modifier	MG			Do Values Vary By			
Are Values Banded	No			Underwriting Class	No		
Female Rate Basis	Separate And Unique						
Setback Years	0						
Rate Type	Attained Age						
Rate Rounding Rule	00			Rate Mode Rule ID	N/A		
Band Upper Limits:	9999999	0	0	0	0	0	0
Annuitization Value	Cash Value						
First Duration Value Is Available	1						
							Mode Rules
							Rates
							Calculate Values
							OK
							Cancel

Refer to Section 12, Chapter 3—Premiums—Upper Portion of Screen Field Definitions on page 12-17 in this book for a description of the fields in the upper portion of the screen.

6.154 MI—Minimum Bonus Rate Segment

The MI—Minimum Bonus Rate Segment is used in conjunction with the MX—Maximum Bonus Rate Segment to define the minimum and maximum ratios used to calculate the index interval and index ratio bonus methods from the BU—Indexed Interest Bonus Segment.

This segment is accessed through the MI—Minimum Bonus Rate Segment field on the BU—Indexed Interest Bonus Segment.

Rate Type Segment	
Segment ID	AMG-IUL >> Select Period Duration 0
Segment Type	MI Ultimate ID
Constant Rate	0.0000000 (Added to File Rate if Declared)
Rate Type	Constant Rate Only
Type Modifier	Rates Vary by Underwriting Class No
Mult Insured Access	
Rate Basis	Separate And Unique Years of 0
Banding Method	Not Banded
Banding Rule	Traditional
Upper Band Limits	0 0 0 0 0 0 0
Rates Coded As	Actual Amount
	Not Applicable
Change Frequency	0

Mode Rules
 Rates
 Next
 OK
 Cancel

NOTE

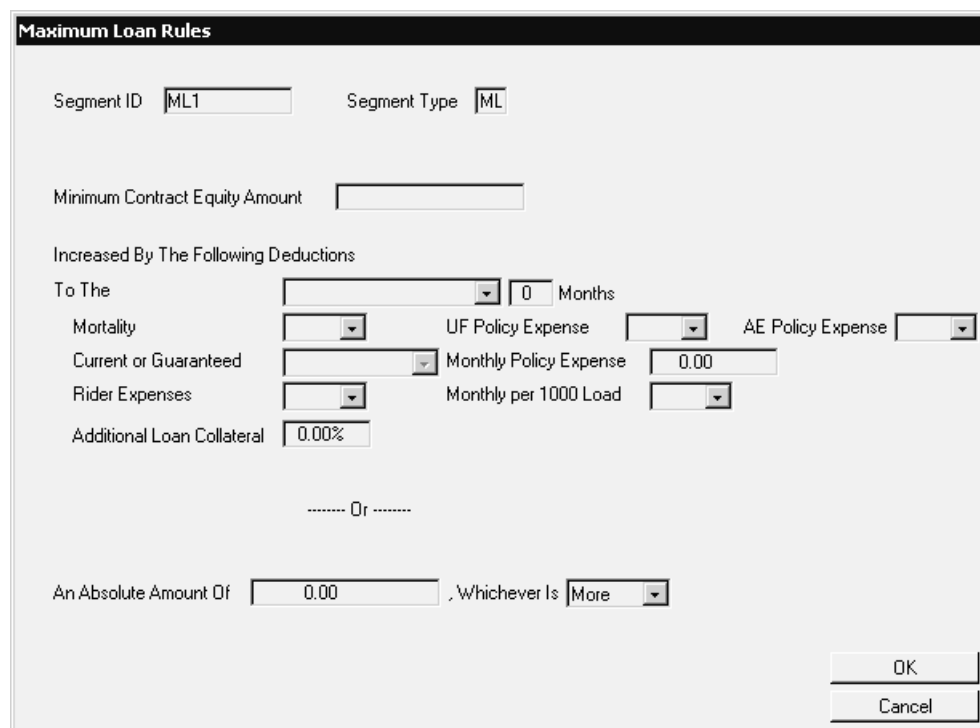
If using the equity index calculation method 1, the rates coded on the MI Segment are a multiple of the value in the Number of Months in Index Interval field divided by 12 and multiplied by the desired bonus. For example, assume that 36 is coded in the Number of Months in Index Interval field and a 5% bonus a year is desired. The rate is calculated as 15% ($36/12 * 5$).

6.155 ML—Maximum Loan Rules

The ML—Maximum Loan Rules Segment allows the minimum contract equity for a loan to be calculated using different options than those selected for partial withdrawals. The options selected on the ML Segment override the options selected on the FC—Fund Administration Segment when the minimum contract equity is calculated for a loan. This segment is accessed from the Maximum Loan Rules ID field on the LN—Loan Interest Segment.

NOTE

The Maximum Fund Impairment field on the LN Segment must be set to 100% in order to use the ML Segment to calculate the minimum contract equity amount.



The Maximum Loan Rules dialog box contains the following fields and controls:

- Segment ID:
- Segment Type:
- Minimum Contract Equity Amount:
- Increased By The Following Deductions:
 - To The: Months
 - Mortality:
 - Current or Guaranteed:
 - Rider Expenses:
 - Additional Loan Collateral:
 - UF Policy Expense:
 - Monthly Policy Expense:
 - Monthly per 1000 Load:
 - AE Policy Expense:
- Or -----
- An Absolute Amount Of: , Whichever Is:
- OK button
- Cancel button

If there is a value in the Minimum Contract Equity Amount field, the minimum equity calculation begins with the amount displayed. The current mortality charge, the monthly policy expense from the UF—Per Policy Monthly Expense Segment, and the monthly per 1000 load from the U3—Per Thousand Expense Load Segment to the next anniversary are included and then added to the value in the Minimum Contract Equity Amount field. The amount calculated is then compared to the absolute amount stated on the ML Segment. The greater amount of the calculated amount or the absolute amount is the minimum equity amount for a loan.

The table below contains descriptions of the fields on the ML—Maximum Loan Rules Segment.

Field	Description
Minimum Contract Equity Amount	The minimum value left in the fund after a policy loan is processed is displayed in this field. The amount entered in this field is adjusted by the amounts designated in the remaining fields to determine the minimum equity for the policy when a loan is processed.
Increased By The Following Deductions	
To The ___ Months	If mortality charges, rider expenses, or monthly policy expenses are included in calculating the minimum contract equity amount, this field indicates how far into the future the expenses are included. A—Next Anniversary The mortality charges, rider expenses, and monthly policy expenses up to the next anniversary are included in the calculation. B—Next Bill To Date The mortality charges, rider expenses, and monthly policy expenses up to the next bill to date are included in the calculation. M—Number Of Months The mortality charges, rider expenses, and monthly policy expenses for the number of months input in the next field are included in the calculation. If this option is selected, the number of months must be input in the next field.
Mortality	This field indicates if mortality charges are included in the minimum equity calculation. Y—Yes Mortality charges are included in the calculation. N—No Mortality charges are not included in the calculation.
Current or Guaranteed	If mortality charges are included in the minimum equity calculation, this field indicates the type of mortality charge included. C—Current The current mortality charge is included in the calculation. G—Guaranteed The guaranteed mortality charge is included in the calculation.
Rider Expenses	This field indicates if rider expenses are included in the calculation. Y—Yes Include the monthly deductions for all riders in the calculation. N—No Do not include the monthly deductions for all riders in the calculation.

Field	Description
UF Policy Expense	This field indicates if the UF—Per Policy Monthly Expense Segment is used to define the monthly policy expense. Y—Yes The UF Segment defines the monthly policy expense. The Monthly Policy Expense field cannot be accessed. N—No A constant monthly expense can be defined in the Monthly Policy Expense field.
Monthly Policy Expense	If a constant monthly policy expense is included in the calculation, input the amount in this field. The monthly policy expense from the UF—Per Policy Monthly Expense Segment is not included in the calculation.
Monthly Per 1000 Load	This field indicates if the monthly per 1000 load amount is included in the minimum equity calculation. Y—Yes The monthly per 1000 load amount from the U3—Per Thousand Expense Load Segment is included in the calculation. N—No The monthly per 1000 load is not included in the calculation.
AE Policy Expense	This field indicates if the arrears policy fee, defined on the AE—Arrears Policy Fee Segment, is included in the minimum equity calculation. Y—Yes The arrears policy fee from the AE Segment is included in the calculation. N—No The arrears policy fee from the AE Segment is not included in the calculation.
Additional Loan Collateral	This field indicates if a percentage of the loan balance is included in the minimum equity calculation.
-Or-An Absolute Amount Of ___ Whichever Is	The amount input in this field is compared to the minimum contract equity calculated using the above options. M—More The minimum contract equity amount calculated and the absolute amount input in this field are compared. The greater amount is then used as the minimum contract equity amount. L—Less The minimum contract equity amount calculated and the absolute amount input in this field are compared. The lesser amount is then used as the minimum contract equity amount.

6.156 MM—Minimum/Maximum Segment

NOTE

Universal life, annuities, and variable life only

The MM—Minimum/Maximum Segment determines the type of actions that minimum and maximum amount limits apply to and the type of editing that is to occur. In addition, minimum and maximum limits are defined. This segment is accessed through the FC—Fund Contract Rules Segment by defining the MM Segment ID in the Minimums/Maximums MM Segment ID field and pressing **F4**.

The following table contains definitions for fields on the MM Segment.

Field	Description
Requested Function	This column defines the types of actions that are applicable to minimum and maximum limit testing.
Enforce Component Limit - Allow Amount To Go	This column determines if an amount can go above a maximum or below a minimum for actions displayed in the Requested Function column.

Field	Description
Online	This column determines if the system checks minimum and maximum limits during online processing. NOTE Online processing is not applicable to death benefit option changes. Y—Yes Minimum and maximum amount limits are not tested for the action. N—No Minimum and maximum amount limits are tested and the action is not allowed if the amount violates the test. A message is displayed indicating the action is not allowed because the amount limit has been violated. Processing cannot continue until a valid amount limit is defined. W—Warning Minimum and maximum amount limits are tested. If an amount limit violates the test, a warning message is displayed indicating the amount limit is violated. You have the option to end out of the transaction, or override and violate the amount.
Batch	This column defines if the system checks minimum and maximum limits during batch processing. Y—Yes Minimum and maximum amount limits are not tested for the action. N—No Minimum and maximum amount limits are tested and the action is not allowed if the amount violates the test. The policy is suspended and an ENS message is generated indicating the action is not allowed because the amount limit has been violated. W—Warning Minimum and maximum amount limits are tested. If an amount limit violates the test, the action is processed, the policy is suspended, and an ENS message is generated.
Minimum Specified Amount After Change	This field determines if an (M-) Segment is defined to designate the minimum specified amount allowed after a change. Y—Yes An (M-) Segment is defined. When this field is set to Yes, the segment ID of the (M-) Segment must be input in the Segment ID field. N—No An (M-) Segment is not defined.
Maximum Specified Amount After Change	This field determines if an (M+) Segment is defined to designate the maximum specified amount allowed after a change. Y—Yes An (M+) Segment is defined. When this field is set to Yes, the segment ID of the (M+) Segment must be input in the Segment ID field. N—No An (M+) Segment is not defined.

Field	Description
Component Minimum/Maximum Limits	
Allow Withdrawals to Decrease Specified Amt Below Minimum Issue Amt Online	This field only applies to withdrawals during online processing and is used to determine if the total specified amount can be less than the minimum issue limit defined on the component. Y—Yes The total specified amount can be less than the minimum issue limits defined on the component. The Partial Withdrawal (Online) field cannot be set to No or Warning to allow the minimum amounts to be defined on the MM Segment. This is the default. N—No Minimum amount limits are tested based on the values defined for the component. The withdrawal is not allowed if the amount violates the test. A message is displayed indicating the withdrawal is not allowed because the amount limit has been violated. Processing cannot continue until a valid amount limit is defined. This option overrides the Allow Withdrawals to Decrease the Specified Amount Below Minimum Issue Amount field on the FC—Fund Contract Segment. It is important to note that when this field is set to No, the test against the minimum amount defined on the component is absolute. The Partial Withdrawal (Online) field cannot be set to No or Warning. W—Warning Minimum and maximum amount limits are tested based on the values defined for the MM Segment. If an amount limit violates the test, a warning message is displayed indicating the amount limit is violated. You have the option to end out of the transaction, or override and violate the amount.

Field	Description
Allow Withdrawals to Decrease Specified Amt Below Minimum Issue Amt Rque	This field only applies to withdrawals during Rque processing and is used to determine if the total specified amount can be less than the minimum issue limit defined on the component. Y—Yes The total specified amount can be less than the minimum issue limits defined on the component. The Partial Withdrawal (Rque) field cannot be set to No or Warning to allow the minimum amounts to be defined on the MM Segment. This is the default. N—No Minimum amount limits are tested based on the values defined for the component. The withdrawal is not allowed if the amount violates the test. A message is displayed indicating the withdrawal is not allowed because the amount limit has been violated. Processing cannot continue until a valid amount limit is defined. This option overrides the Allow Withdrawals to Decrease the Specified Amount Below Minimum Issue Amount field on the FC—Fund Contract Segment. It is important to note that when this field is set to No, the test against the minimum amount defined on the component is absolute. The Partial Withdrawal (Rque) field cannot be set to No or Warning. W—Warning Minimum and maximum amount limits are tested based on the values defined for the MM Segment. If an amount limit violates the test, a warning message is displayed indicating the amount limit is violated. You have the option to end out of the transaction, or override and violate the amount.

6.157 MN—Minimum Billable Premium Segment

The MN—Minimum Billable Premium Segment defines a minimum billable premium for a coverage. If this segment is turned on, an edit is performed during Validation to verify that the minimum premium for the policy is equal to or greater than the premium defined on the MN Segment. If the minimum premium for the policy is less than the premium defined on the MN Segment, the message *NWBS Insured is not within Age Limits* is displayed, and processing cannot continue. The policy issue amounts must be adjusted so that the policy's minimum premium is equal to or greater than the premium on the MN Segment.

In the screen print displayed below, the minimum billable premium is defined as a constant amount of \$500.00. Therefore, the minimum premium for all policies issued with this coverage must be equal to or greater than \$500.00.

Rate Type Segment	
Segment ID	ULC1 >>
Segment Type	MN
Select Period	Duration 0
Ultimate ID	
Constant Rate	500.0000000 (Added to File Rate if Declared)
Rate Type	Constant Rate Only
Type Modifier	☐ Rates Vary by Underwriting Class No
Mult Insured Access	
Rate Basis	Separate And Unique
Years of	0
Banding Method	Not Banded
Banding Rule	Traditional
Upper Band Limits	0 0 0 0 0 0 0
Rates Coded As	Actual Amount
Change Frequency	Not Applicable
	0

Mode Rules

Rates

Next

OK

Cancel

6.158 MO—Annual M&E Charge Segment

The MO—Annual M&E Segment is used to define the mortality and expense charge for a coverage. For unbundled products, this segment should be set up for the base coverage and the GR type benefits used to define various death benefit guarantees. For products that are not unbundled, this segment should be set up for the base coverage only.

If the product requires the use of both Variations (FQ Segment/FX Segment and VU Segment/VL Segment), annual mortality and expense charges for the base coverage should be defined in the Price number field on the FX Segment. This value overrides the annual mortality and expense charge defined on the MO Segment if both the MO and FX Segments are set up for the base coverage.

Annual M&E Charge

Segment ID >> Segment Type MO

Annual M&E Charge >>

OK
Cancel

The following table contains the definition for the field on the MO Segment.

Field	Description
Annual M&E Charge	The Mortality and Expense charge associated with all funds when they are used for this coverage (price number) is displayed in this field.

6.159 MP—Minimum Premium Factors Segment

NOTE

Traditional only

The MP—Minimum Premium Factors Segment allows the minimum premium rates to be different from the PR—Premium Segment. The UX—Minimum Premium Assembly Rules Segment can then use these rates.

Premium Segment File									
Segment ID	005U3974R >>			Segment Type	MP				
Key Modifier	MP			Do Values Vary By					
Are Values Banded	No			Underwriting Class	Yes				
Female Rate Basis	Separate And Unique								
Setback Years	0								
Rate Type	Age And Duration								
Rate Rounding Rule	Rate Per Unit Multiplied By Number Of Units; Then Rounded To Nearest Cent								
Add Substandard To Premium?				Use for Billing?	No				
Band Upper Limits									
999999999	0	0	0	0	0	0	0	0	0
Premium Select Period	0			Premium Change Frequency	1				
Premium Mode Rule ID	10								
Coverage ID Of Ultimate Rates	NA								
Premium Rate Calculation Rule	Units Purchased								
Extended Key Definition Used	No								
Mode Rules Rates Extended Key Table Extra OK Cancel									

Fields Unique to this Segment

Refer to Section 12, Chapter 3—Premiums—Upper Portion of Screen Field Definitions on page 12-17 in this book for a description of the fields in the upper portion of the screen.

Field	Description
Add Substandard To Premium	Y—Yes N—No
Use for Billing	This field is only applicable if the MP Segment is defined for a traditional rider associated with a universal life product. It determines if the PR—Premium Segment rates or MP Segment rates are used for billing. Y—Yes Use the MP Segment rates for billing the rider in addition to the billable premium for the base UL product. This option allows the billable premium for the rider to be defined separately (MP Segment rates) from the costs of insurance (PR Segment rates). N—No Do not use the MP Segment rates for billing. The PR Segment rates for the rider are included with the base UL billable premium. Both the costs of insurance and the billable premiums are defined using the PR Segment rates.
Premium Select Period	The length of time, in years, that the rates selected are used is displayed in this field. If the same rate segment is used for all years and the Rate Type is Attained Age, Issue Age, or Duration Only, input 0 in this field. If the same rate segment is used for all years and the Rate Type is Age and Duration, input 999 in this field.
Premium Change Frequency	The change frequency indicates the number of durations at a time the rates are held constant. For example, a 5-year renewable and convertible term product with premiums that are level for 5 years then jump to the attained age and remain level again for 5 years, has a premium change frequency of 5. If the rates remain the same for all years, input 0 in this field.
Premium Mode Rule ID	The premium mode rule ID, coupled with the form (direct, preauthorized checking, list bill, government allotment, or credit card) allows the system to access a Mode Rule Record. The modalization factors for each mode (monthly, quarterly) are located in the Mode Rule Record. A maximum of 10 characters may be entered in this field.

Field	Description
Coverage ID Of Ultimate Rates	The segment ID of the segment that contains the rates that are used when the premiums change is displayed in this field. The rates change as indicated in the Premium Change Frequency field. If the same rate segment is used for all years and the Rate Type is Attained Age , Issue Age , or Duration Only , this field is left blank. If the same rate segment is used for all years and the Rate Type is Age and Duration , input NA in this field.
Premium Rate Calculation Rule	U—Units Purchased The premium is computed as the units purchased at issue of the coverage, multiplied by the premium rate found according to the rules in the upper part of the segment. D—Death Benefit The premium is computed as the death benefit at the point of the calculation, divided by 1000, and then multiplied by the rate found according to the rules code. P—Percentage The premium is calculated as a percentage per unit value of premium for the benefits that are included for premium waiver as defined on the Coverage Record. This option is only available for waiver coverages. 1—W1 Segment The premium is calculated using the sum of premiums from the W1 Segment for non-waiver coverages. This option is only available for waiver coverages. 2—W2 Segment The premium is calculated using the sum of premiums from the W2 Segment for non-waiver coverages. This option is only available for waiver coverages. For example, assume a coverage is a decreasing term product with death benefits of 1000, 900, 800, 700, 600, 500. The rates are coded as A, changing annually. If the premium rate calculation rule is coded as premium D, then in year three, the system computes the premium as $800/1000 * \text{year-3 rate}$, NOT as $1000 / 1000 * \text{year-3 rate}$. A—Percent Of Account Value The premium is calculated by determining the average of the monthiversary account values for the time period defined in the Last __ Months field. (This calculation method only averages the account values found during monthiversary processing for the last n months, and does not include partial valuations.)

Field	Description
Premium Rate Calculation Rule (continued)	E—Percent Of Eligible Premiums (GB Only) This option can only be used for GB—Guaranteed Benefit type riders. When this option is used, deductions for the GB rider are based on eligible premiums that are defined on the LM—Living/Maturity Segment for the base benefit. W—Percent of Greater of GMWB Eligible Premiums or Lifetime Basis (GW Only) This option can only be used for GW type riders. When this option is used, deductions for the GW rider are based on the greater of eligible premiums or lifetime basis defined on the GW—Guaranteed Withdrawal Segment for the base benefit.
Extended Key Definition Used	Currently, this field applies to line of business H—Health. Y—Yes The KD Segment must also be coded. Then, premiums are not in the Attained Age or Age/Duration File. Instead, they are in separate health files. N—No

Table Extra Data

Substandard rates per 1000 by table number can be defined from the MP Segment. When table extra ratings are used, the substandard rate per 1000 is used instead of the percentage shown on the Validation screen.

The following setup is required to use the table extra ratings.

- The Substandard Type field on the Coverage File screen must be **Table**.
- A rating table must be defined in the Rating Table field on the Component File screen.
- A rating table must be defined based on the table code selected on the Component File screen.
- The number of rating tables must be the same as the number of substandard tables input on the Table Extra Definition screen.
- The percentage coded must be greater than 100%. Valid values are 100 - 999.

Complete the following steps to input the table extra rates.

1. From the MP Segment press **F10**.
2. Click **Table Extra**. The Table Extra Definition screen is displayed.

Table Extra Definition

Table Extra Key

Are Table Extras Banded ?

Vary Table Extras by Und Class ?

Female Rate Basis

Setback Years

Rate Type

Number of Substandard Tables

01	02	03	04	05	06	07	08	09	10
11	12	13	14	15	16				

3. Press **F10** and complete the fields as described in the following table.
4. **Tab** to the rate table IDs and click **Rates**. The Rate File screen is displayed for the rate table ID selected. The substandard table IDs point to rate files that contain the substandard

rates per 1000 to apply per table. A rate file is created using the Table Extra Key field as the rate file ID. The rates can vary by band, underwriting class, gender, and rate type.

Attained Age Rate File

Segment ID >> Type >> Gender >> Band >> Underwriting Class >>

Age	Rate	Age	Rate	Age	Rate
000	3.0000000	013	3.4000000	026	3.4000000
001	3.1000000	014	3.4000000	027	3.4000000
002	3.2000000	015	3.4000000	028	3.4000000
003	3.3000000	016	3.4000000	029	3.4000000
004	3.4000000	017	3.4000000	030	3.4000000
005	3.4000000	018	3.4000000	031	3.4000000
006	3.4000000	019	3.4000000	032	3.4000000
007	3.4000000	020	3.4000000	033	3.4000000
008	3.4000000	021	3.4000000	034	3.4000000
009	3.4000000	022	3.4000000	035	3.4000000
010	3.4000000	023	3.4000000	036	3.4000000
011	3.4000000	024	3.4000000	037	3.4000000
012	3.4000000	025	3.4000000	038	3.4000000

5. Input the rates and click **OK**.
6. Click **Cancel**. The Table Extra Definition screen is displayed.
7. Click **OK** to save.
8. Click **Cancel** to return to the MP Segment screen.

The following table contains descriptions of the fields on the Table Extra Definition window.

Field	Description
Table Extra Key	The key defines the table that is used to define the rates. The ID selected can be up to 8 alphanumeric characters.
Are Table Extras Banded	Rates can be varied depending on the face amount of the policy. This field determines if rates are banded. Y—Yes Rates are banded by face amount. N—No The rates are the same for all bands.

Field	Description
Vary Table Extras by Und Class	Y—Yes The system looks at all underwriting classes listed on the Coverage Record. N—No Rates do not vary by underwriting class. The system only looks at the default underwriting class (the first one listed on the first screen of the Coverage Record) when finding the rates.
Female Rate Basis	The selection in this field designates the rates that are used for females. S—Setback The same rates are used for males and females, but the rates are set back a designated number of years for females. U—Unique Different rates are set up for females.
Setback Years	This field works in conjunction with the Female Rate Basis field. If Setback is selected in the Female Rate Basis field, the number of years the rates are set back is designated in this field. If the rates are the same for males and females, input 0 in this field, which tells the system that the female rates are set back 0 years from the male rates.
Rate Type	The rate type selected determines on what the rates are based, and where in the rate file the rates are input. A—Attained Age I—Issue Age If Attained Age or Issue Age is selected, input the rates in the Attained Age Rate File. O—Duration Only D—Age And Duration If Duration Only or Age And Duration is selected, input the rates in the Age/Duration Rate File. If Duration Only is selected, the rates are input under age 0 in the Age/Duration Rate File.
Number of Substandard Tables	Input the number of tables that are defined. The number selected generates the same number of table pointers at the bottom of the screen. Up to 40 tables are supported. The rates can be viewed by pressing F10, clicking on a Table ID pointer, and clicking Rates.

The following policy page and correspondence keywords can be used for table extra ratings.

TBLRATE—This keyword is the rate per 1,000 on a given policy for substandard extra premium.

TBLRTENO—This keyword is the actual substandard table number applied to a given policy.

6.160 MR—MPR COI Rate Rules Segment

NOTE

Universal life only

The MR—MPR COI Rate Rules Segment defines rules for rate lookups for guaranteed cost of insurance (COI) rates on the U5—Guaranteed COI Rate Segment and current COI rates on the U6—Current COI Rate Segment. This segment allows the ability to define the COI calculation method and the COI rate lookups by reason of a specific amount increase. Available reasons include requested increases, increases due to death benefit option changes, and cost of living adjustment (COLA) increases. Within each reason both issue age and policy duration can be defined for guaranteed and current COI rates.

MPR COI Rate Rules			
Segment ID		UL1	>>
Segment Type		MR	
COI Rate Retrieval for Specified Amount Increases			
	Issue Age	Duration	
Requested			
Curr COI	Parent	Increase	
Guar COI	Increase	Increase	
COLA Inc			
Curr COI	Increase	Increase	
Guar COI	Increase	Increase	
DB Opt Chg			
Curr COI	Increase	Increase	
Guar COI	Increase	Increase	
COI Calculation Method for Specified Amount Increases			
Non-Corridor	Level	Weighted by Layers	
	Increase	Weighted by Layers	
Corridor	Level	Weighted by Layers	
	Increase	Weighted by Layers	
OK			
Cancel			

The following table contains definitions for the fields on the MR Segment.

Field	Description
COI Rate Retrieval for Specified Amount Increases	
Issue Age	I—Increase The issue age of the increase benefit is used to determine the COI rates. P—Parent The issue age of the parent benefit is used to determine the COI rates.
Duration	I—Increase The duration of the increase benefit is used to determine the COI rates. P—Parent The duration of the parent benefit is used to determine the COI rates. As an example, assume a policy is issued to a 30 year old, and three years, 2 months later, an increase is taken. If the specified amount increase layer is to use its own age and duration in rate lookups, selecting Increase for both age and duration forces this. If the specified amount increase layer is to use the rates for age 30 (the parent), and duration 4 (the parent), select Parent.
COI Calculation Method for Specified Amount Increases	
Non-Corridor Level	The fund values are allocated across the layers. When the death benefit is level, method 3 must be used. Although three options are displayed for this field, only the following two are valid. 1—Weighted by Layers The adjusted COI rate is computed using the ratio of each layer times the COI rate for each layer. The net amount at risk is computed normally. The death benefit is the sum of the BF and SP benefits. 3—Exhaust Layers FIFO This method exhausts the layers on a FIFO basis. The total fund value and the total specified amount are retrieved and the amount of the corridor is calculated. On a FIFO basis, starting with the BF benefit, the layer specified amount is compared to the fund value. If the fund value is larger than the layer, the fund value is reduced by that layer's face amount and then continues to the next layer. If the fund value is smaller than the layer, a NAR and COI loop is started. This loop discounts the layer's specified amount, subtracts the fund value left at that layer and computes the COI using that layer's COI rate. The remaining fund is reduced to zero.

Field	Description
Non-Corridor Increase	Although three options are displayed for this field, only the following two options are available. 1—Weighted by Layers The adjusted COI rate is computed using the ratio of each layer times the COI rate for each layer. The net amount at risk is computed normally. The death benefit is the sum of the BF and SP benefits. 2—Allocate funds by Layer Ratios This method allocates the funds by layer ratios. The total fund value and specified amount are determined and the amount of the corridor is calculated. The corridor amount is then added to the most recent SP layer. For each layer, its share of the fund value as the ratio of the layer to the total specified amount plus any corridor amount is computed. Finally, the net amount at risk for each layer is determined. The layer's share of the fund value is added to the layer specified amount. This value is multiplied by the COI rate for the layer and is accumulated into the final COI charge. 3—Exhaust Layers FIFO This method is not available.
Corridor Level	The fund values are allocated across the layers. When the death benefit is level, method 3 must be used. 1—Weighted by Layers The adjusted COI rate is computed using the ratio of each layer times the COI rate for each layer. The net amount at risk is computed normally. The death benefit is the sum of the BF and SP benefits. 3—Exhaust Layers FIFO This method exhausts the layers on a FIFO basis. The total fund value and the total specified amount are retrieved and the amount of the corridor is calculated. On a FIFO basis, starting with the BF benefit, the layer specified amount is compared to the fund value. If the fund value is larger than the layer, the fund value is reduced by that layer's face amount and then continues to the next layer. If the fund value is smaller than the layer, a NAR and COI loop is started. This loop discounts the layer's specified amount, subtracts the fund value left at that layer and computes the COI using that layer's COI rate. The remaining fund is reduced to zero.

Field	Description
Corridor Increase	When the death benefit is increasing, a different method can be used. The following two options are available. 1—Weighted by Layers The adjusted COI rate is computed using the ratio of each layer times the COI rate for each layer. The net amount at risk is computed normally. The death benefit is the sum of the BF and SP benefits. 2—Allocate funds by Layer Ratios This method allocates the funds by layer ratios. The total fund value and specified amount are determined and the amount of the corridor is calculated. The corridor amount is then added to the most recent SP layer. For each layer, its share of the fund value as the ratio of the layer to the total specified amount plus any corridor amount is computed. Finally, the net amount at risk for each layer is determined. The layer's share of the fund value is added to the layer specified amount. This value is multiplied by the COI rate for the layer and is accumulated into the final COI charge.

6.161 MS—Rates Modified By State Segment

NOTE

Universal life only

The MS—Rates Modified By State Segment is used to modify the current or guaranteed cost of insurance (COI) rates by state or company code for a specified number of months or years, or the entire life of the policy.

Type	Description	ST Rate ID
CI		INUL2

The following table contains definitions for the fields on the MS Segment.

Field	Description
Type	CI —Modify the current COI inflation rate. GI —Modify the guaranteed COI inflation rate.
Description	This field is completed with the description of the segment that is being modified. It cannot be updated.
St Rate ID	Input the ID for the CI/GI window that is used to modify the rates in this field. Click Mod by State to enter the new rate and the length of time to apply the rate.

Click **Mod by State** from the St Rate ID field to access the CI/GI window.

The screenshot shows a dialog box titled "Enter Mod by State Rate Criteria". It contains the following fields and controls:

- Type:** A dropdown menu with "Curr COI Inflation" selected.
- ID:** A text box containing "UL1" and a ">>" button.
- Company:** A text box containing "00" with "(Default)" to its right.
- State:** A text box with a ">>" button and "(Default)" to its right.
- COI Inflation Rate:** A text box containing "0.00000".
- Durations to Apply:** A text box containing "0".
- Months or Years:** A dropdown menu with "Years" selected.
- Buttons:** "OK" and "Cancel" buttons at the bottom right.

6.162 MT—Fund Maturity Rules Segment

NOTE

Universal life only

NOTE

The MT—Fund Maturity Rules Segment can be accessed through the Segment List on the Fund Rules screen and the FL—Fund Rule Segment. The FL Segment is accessed through the Loan Fund ID field on the LN—Loan Interest Rates Segment.

The MT Segment allows LifePRO® to automatically move some portion of a fund out to another fund. The destination fund might even be the same as the source. For example, if a fund is new money/old money, money could be rolled, a regular basis, from existing old buckets into one new bucket.

Enter Fund Maturity Segment Criteria				
Segment ID	ZFPDA >>	Select Period	Duration	0
Segment Type	MT	Ultimate ID		
Fund Maturity Details				
	Maturity Timing Code	Transfer %	Destination Fund ID	
Entire Fund	No Maturity			
Accumulated Interest	No Maturity			
Current Basis	X			
Current Income	X			
Date to Use on Matured Amounts				
			OK	
			Cancel	

The following table contains definitions for fields on the MT Segment.

Field	Description
Maturity Timing Code	X—No Maturity No action is to occur upon maturity. C—Mature every # cycles An action occurs upon maturity. Input the frequency of the action in the next field. For example, if 12 is input, the action occurs every 12 months from the date of issue.
Transfer %	Input the amount to transfer to a different fund.
Destination Fund ID	Input the fund ID to which the amount in the Transfer % field is to be moved in this field.
Current Basis	This field is reserved for future use.
Current Income	This field is reserved for future use.
Date to Use on Matured Amounts	If buckets are transferred to open new buckets, this field controls whether to use the effective date of the move, or the benefit issue date of the original bucket. E—Effective Date I—Issue Date

6.163 MV—Alternate Minimum Cash Value

NOTE

Annuities only

The MV—Alternate Minimum Cash Value Segment is used to define the fees and rates used to determine an alternative minimum cash surrender value for a policy. The MV Segment is accessed from the SC—Full Surrender Controls Segment. The Alternative MSV field on the SC Segment must be set to **Yes** and the MV Segment must be defined on the SC Segment to use the alternative minimum cash surrender value calculation.

Enter Alternate Minimum Cash Value Criteria	
Segment ID	Segment Type
SPDA >>	MV
Contract Fee	\$50.00
Premium Load	10.000%
Interest Rate	3.000%
OK	
Cancel	

The following table contains the definitions for the fields on the MV Segment.

Field	Description
Contract Fee	This field defines the contract fee, if any, applied to the first premium in the alternative minimum cash value calculation.
Premium Load	This field defines the premium load, if any, applied to all premium payments in the alternative minimum cash value calculation.
Interest Rate	This field defines the interest rate used in the alternative minimum cash value calculation.

The alternative minimum cash surrender value for a policy is calculated as shown below.

First, the alternate value for the initial premium is calculated.

$$(\text{Initial Premium} - \text{Contract Fee}) * (1 - \text{Premium Load}) * (1 + \text{Interest Rate})^t, \text{ where}$$

t = time from issue date to quote effective date

Next, the alternate value for the subsequent premiums is calculated.

$$(\text{Premiums} * (1 - \text{Premium Load})) * (1 + \text{Interest Rate})^t, \text{ where}$$

t = time from effective date of premium to quote effective date

Next, the alternate value for withdrawals is calculated.

$$(\text{Net Withdrawals}) * (1 + \text{Interest Rate})^t, \text{ where}$$

t = time from effective date of withdrawal to quote effective date

Finally, the alternative minimum cash surrender value is calculated.

$$\text{Initial Premium Alt Value} + \text{Subsequent Premium Alt Value} - \text{Withdrawal Alt Value}$$

6.164 MW—Maximum Waiver Premiums

NOTE

Traditional only

The MW—Maximum Waiver Premiums Segment allows waiver premium on riders to be limited to a maximum rate, per \$1000 of the rider face amount.

Premium Segment File						
Segment ID	EWL >>		Segment Type	MW		
Key Modifier	PR		Do Values Vary By			
Are Values Banded	Yes		Underwriting Class	Yes		
Female Rate Basis	Separate And Unique					
Setback Years	0					
Rate Type	Issue Age					
Rate Rounding Rule	Rate Per Unit Multiplied By Number Of Units; Then Rounded To Nearest Cent					
Add Substandard To Premium?						
Band Upper Limits						
249999	999999999	0	0	0	0	0
Premium Select Period	0		Premium Change Frequency	999		
Premium Mode Rule ID	MODE 1					
Coverage ID Of Ultimate Rates	NA					
Premium Rate Calculation Rule	Units Purchased					
Extended Key Definition Used	No					
				Mode Rules		
				Rates		
				Extended Key		
				Table Extra		
				OK		
				Cancel		

Refer to Section 12, Chapter 3—Premiums—Upper Portion of Screen Field Definitions on page 12-17 in this book for a description of the fields in the upper portion of the screen.

Field	Description
Premium Select Period	The length of time, in years, the rates selected are used is displayed in this field. If the same rate segment is used for all years and the Rate Type is Attained Age , Issue Age , or Duration Only , input 0 in this field. If the same rate segment is used for all years and the Rate Type is Age and Duration , input 999 in this field.
Premium Change Frequency	The change frequency indicates the number of durations at a time the rates are held constant. For example, a 5-year renewable and convertible term product with premiums that are level for 5 years then jump to the attained age and remain level again for 5 years, has a premium change frequency of 5. If the rates remain the same for all years, input 0 in this field.
Premium Mode Rule ID	The premium mode rule ID, coupled with the form (direct, preauthorized checking, list bill, government allotment, or credit card) allows the system to access a Mode Rule Record. The modalization factors for each mode (monthly, quarterly) are located in the Mode Rule Record. A maximum of 10 characters may be entered in this field.
Coverage ID Of Ultimate Rates	The segment ID of the segment that contains the rates that are used when the premium change is displayed in this field. The rates change as indicated in the Premium Change Frequency field. If the same rate segment is used for all years and the Rate Type is Attained Age , Issue Age , or Duration Only , this field is left blank. If the same rate segment is used for all years and the Rate Type is Age and Duration , input NA in this field.
Premium Rate Calculation Rule	U—Units Purchased The premium is computed as the units purchased at issue of the coverage, multiplied by the premium rate found according to the rules in the upper part of the segment. D—Death Benefit The premium is computed as the death benefit at the point of the calculation, divided by 1000, and then multiplied by the rate found according to the rules code. P—Percentage The premium is calculated as a percentage per \$100 of premium for the benefits that are included for premium waiver as defined on the Coverage Record. This option is only available for waiver coverages. 1—W1 Segment The premium is calculated using the sum of premiums from the W1 Segment for non-waiver coverages. This option is only available for waiver coverages.

Field	Description
Premium Rate Calculation Rule (continued)	2—W2 Segment The premium is calculated using the sum of premiums from the W2 Segment for non-waiver coverages. This option is only available for waiver coverages. A—Percent Of Account Value The premium is calculated by determining the average of the monthiversary account values for the time period defined in the Last __ Months field. (This calculation method only averages the account values found during monthiversary processing for the last <i>n</i> months, and does not include partial valuations.) E—Percent Of Eligible Premiums (GB Only) This option can only be used for GB—Guaranteed Benefit type riders. When this option is used, deductions for the GB rider are based on eligible premiums that are defined on the LM—Living/Maturity Segment for the base benefit. W—Percent of Greater of GMWB Eligible Premiums or Lifetime Basis (GW Only) This option can only be used for GW type riders. When this option is used, deductions for the GW rider are based on the greater of eligible premiums or lifetime basis defined on the GW—Guaranteed Withdrawal Segment for the base benefit.
Extended Key Definition Used	Currently, this field applies to line of business H—Health. Y—Yes The KD Segment must be coded. Premiums are not in the Attained Age or Age/Duration File. Instead, they are in separate health files. Refer to Section 12, 6.196—PR—Premium Segment on page 12-725 in this book for a detailed description of extended keys.

Table Extra Data

Substandard rates per 1000 by table number can be defined from the MW Segment. When table extra ratings are used, the substandard rate per 1000 is used instead of the percentage shown on the Validation screen.

The following setup is required to use the table extra ratings.

- The Substandard Type field on the Coverage File screen must be **Table**.
- A rating table must be defined in the Rating Table field on the Component File screen.
- A rating table must be defined based on the table code selected on the Component File screen.
- The number of rating tables must be the same as the number of substandard tables coded on the Table Extra Definition screen.
- The percentage coded must be greater than 100%. Valid values are 100 - 999.

Complete the following steps to input the table extra rates.

1. From the MW Segment press **F10**.
2. Click **Table Extra**. The Table Extra Definition screen is displayed.

Table Extra Definition

Table Extra Key

Are Table Extras Banded ?

Vary Table Extras by Und Class ?

Female Rate Basis

Setback Years

Rate Type

Number of Substandard Tables

01	02	03	04	05	06	07	08	09	10
11	12	13	14	15	16				

3. Press **F10** and complete the fields as described in the following table.
4. **Tab** to the rate table IDs and click **Rates**. The Rate File screen is displayed for the rate table ID selected. The substandard table IDs point to rate files that contain the substandard

rates per 1000 to apply per table. A rate file is created using the Table Extra Key field as the rate file ID. The rates can vary by band, underwriting class, gender, and rate type.

Attained Age Rate File

Segment ID >> Type >> Gender >> Band >> Underwriting Class >>

Age	Rate	Age	Rate	Age	Rate
000	3.0000000	013	3.4000000	026	3.4000000
001	3.1000000	014	3.4000000	027	3.4000000
002	3.2000000	015	3.4000000	028	3.4000000
003	3.3000000	016	3.4000000	029	3.4000000
004	3.4000000	017	3.4000000	030	3.4000000
005	3.4000000	018	3.4000000	031	3.4000000
006	3.4000000	019	3.4000000	032	3.4000000
007	3.4000000	020	3.4000000	033	3.4000000
008	3.4000000	021	3.4000000	034	3.4000000
009	3.4000000	022	3.4000000	035	3.4000000
010	3.4000000	023	3.4000000	036	3.4000000
011	3.4000000	024	3.4000000	037	3.4000000
012	3.4000000	025	3.4000000	038	3.4000000

- Input the rates and click **OK**.
- Click **Cancel**. The Table Extra Definition screen is displayed.
- Click **OK** to save.
- Click **Cancel** to return to the MW Segment screen.

The following table contains descriptions of the fields on the Table Extra Definition window.

Field	Description
Table Extra Key	The key defines the table that is used to define the rates. The ID selected can be up to 8 alphanumeric characters.
Are Table Extras Banded	Rates can be varied depending on the face amount of the policy. This field determines if rates are banded. Y—Yes Rates are banded by face amount. N—No The rates are the same for all bands.

Field	Description
Vary Table Extras by Und Class	Y—Yes The system looks at all underwriting classes listed on the Coverage Record. N—No Rates do not vary by underwriting class. The system only looks at the default underwriting class (the first one listed on the first screen of the Coverage Record) when finding rates.
Female Rate Basis	The selection in this field designates the rates that are used for females. S—Setback The same rates are used for males and females, but the rates are set back a designated number of years for females. U—Unique Different rates are set up for females.
Setback Years	This field works in conjunction with the Female Rate Basis field. If Setback is selected in the Female Rate Basis field, the number of years the rates are set back is designated in this field.
Rate Type	The rate type selected determines on what the rates are based and where in the rate file the rates are input. A—Attained Age I—Issue Age If Attained Age or Issue Age is selected, input the rates in the Attained Age Rate File. O—Duration Only D—Age And Duration If Duration Only or Age And Duration is selected, input the rates in the Age/Duration Rate File. If Duration Only is selected, the rates are input under age 0 in the Age/Duration Rate File.
Number of Substandard Tables	Input the number of tables that are defined. The number selected generates the same number of table pointers at the bottom of the screen. Up to 40 tables are supported. The rates can be viewed by pressing F10, positioning the cursor on a Table ID pointer, and clicking Rates.

The following policy page and correspondence keywords can be used for table extra ratings.

TBLRATE—This keyword is the rate per 1,000 on a given policy for substandard extra premium.

TBLRTENO—This keyword is the actual substandard table number applied to a given policy.

6.165 MX—Maximum Bonus Rate Segment

The MX—Maximum Bonus Rate Segment is used in conjunction with the MI—Minimum Bonus Rate Segment to define the minimum and maximum ratios used to calculate the index interval and index ratio bonus methods from the BU—Indexed Interest Bonus Segment.

This segment is accessed through the MX—Maximum Bonus Rate Segment field on the BU—Indexed Interest Bonus Segment.

Rate Type Segment	
Segment ID	AMG-DBUL >>
Segment Type	MX
Select Period	Duration 10
Ultimate ID	
Constant Rate	0.000000 (Added to File Rate if Declared)
Rate Type	Constant Rate Only
Type Modifier	☐ Rates Vary by Underwriting Class No
Mult Insured Access	
Rate Basis	Separate And Unique
Years of	0
Banding Method	Not Banded
Banding Rule	Traditional
Upper Band Limits	0 0 0 0 0 0 0
Rates Coded As	Actual Amount
	Not Applicable
Change Frequency	0

Mode Rules
 Rates
 Next
 OK
 Cancel

NOTE

If using the equity index calculation method 1, the rates coded on the MI Segment are a multiple of the value in the Number of Months in Index Interval field divided by 12 and multiplied by the desired bonus. For example, assume that 36 is coded in the Number of Months in Index Interval field and a 5% bonus a year is desired. The rate is calculated as 15% ($36/12 * 5$).

6.166 N0—New Business Auto Issue Process

The N0—New Business Auto Issue Process Segment provides the ability to set up underwriting rules which are used to identify applications which are not eligible for automatic underwriting based on the responses to the questions provided in the segment.

Applications which do not meet the requirements defined in this segment error in the validation process and cannot be issued until normal underwriting is done.

	Title	Process Type	Table ID/Program
1	HEALTH QUESTIONS	Passive Underwriting Rule	PAUTOHWP
2	HEALTH/WEIGHT	Intelligent Underwriting Rule	PAUTOLIC
3	BUILD TABLE	Intelligent Underwriting Rule	PAUTOHWP
4			
5			
6			
7			
8			
9			
10			

Buttons: History, Last Changed, Next, Previous, OK, Cancel

The N0—New Business Auto Issue Process Segment can be accessed by pressing **F4** from the Auto Issue ID field on the Component File screen. The segment has multiple screens which may be accessed by clicking **Next** and **Previous**.

The following table contains definitions for fields on the N0 Segment.

Field Name	Description
Title	The name of the underwriting rule is displayed in this field.
Process Type	This field specifies the process type of the underwriting rule. P—Passive Underwriting Rule I—Intelligent Underwriting Rule
TableID/Program	If the process type of this underwriting rule is Passive Underwriting Rule , this field contains the ID of the table which contains the questions to be answered, the possible answers, and classifies each answer as B—Bad , disqualifying the application for automatic underwriting, or G—Good , not disqualifying the application for automatic underwriting. If the process type of this underwriting rule is Intelligent Underwriting Rule , this field contains the name of a program which is run to perform automatic underwriting. PAUTOHWB is the ID of a program which may reject an applicant for auto underwriting based on a comparison of the height and weight of the applicant using the Height/Weight Build Tables set up on the New Business Management Options screen. A second program, PAUTOSBS (Prior Substandard Ratings) checks all other policies to determine if the proposed insured has been rated substandard, postponed, declined, or has on any existing policy history notes for a benefit which covers the proposed insured. In addition, other intelligent underwriting programs developed by client companies can be designated here.

Press **F10** to change the value in an existing field or to add another underwriting rule. Click **Next** and **Previous** to move through multiple screens of underwriting rules. Position the cursor on one of the underwriting rules and press **F4** to add or display the additional detail.

From the first screen of the N0 Segment, pressing **F4** from a line that is marked as a process type **Passive Underwriting Rule** displays the first auto issue question, the valid answers, and the

classification of the answers as good or bad for that question. Additional auto issue questions can be added by pressing **F8** from any Auto Issue Questions screen.

The following table contains the field descriptions for the Auto Issue Questions screen.

Field Name	Description
Question #	The question which must be answered with one of the valid answers from the next field is displayed in this field.
Description	This column contains all of the valid answers to the question entered above.
Good/Bad	The value in this column specifies if the valid answer to the left on the same line is classified as good or bad. In Validation a bad response to an underwriting requirement question rejects the application from automatic underwriting. G—Good B—Bad

Click **Next** and **Previous** to display additional questions.

From the first screen of the N0 Segment, press **F4** from the line with process type **Intelligent Underwriting Rule** and Table ID/Program PAUTOHWB to display the Height/Weight Build Table. Click **Next** and **Previous** to display additional Height/Weight Build Tables (tables for female, boy, and girl) and **Ctrl+Page Up** and **Ctrl+Page Down** to switch from English to metric tables.

If **F4** is pressed from the line with process type **Intelligent Underwriting Rule** and Table ID/Program PAUTOSBS, the message *No Setup Necessary - Press Esc To Exit* is displayed.

Height/Weight Build Table						
Boys Limits - English Measurements						
Age	Height in Feet/Inches		Weight in Pounds			
	From	To	From	To		
1	4' 5"	4' 6"	64	124		
2	4' 7"	4' 8"	70	133		
3	4' 9"	4' 10"	74	141		
4	4' 11"	5' "	81	150		
5	5' 1"	5' 2"	87	159		
6	5' 3"	5' 4"	94	168		
7	5' 5"	5' 6"	101	177		
8	5' 7"	5' 8"	107	185		
9						
10						
11						
12						
13						
14						
15						
16						
17						

6.167 NB—New Business Defaults

The NB—New Business Defaults Segment controls the default answers to certain questions on the last page of the New Business application. The first of two New Business Defaults screens is displayed below.

Modify	New Business Field	Default	Valid Entries
☒	Payment Mode	Monthly	
☒	Billing Form	Direct	
☒	Policy Billing Day	00	(00-31)
☒	Policy Billing Code		
☒	Tax Quality		
☒	Dividend Option / Excess	/	
☒	Nonforfeiture		
☒	Death Benefit Optn		(Refer to UI Segment)
☒	Payment Period	000	(000-100)
☐	Pay Initial Premium	No	
☒	Short term period	None	(0-999)
☒	ERISA/Non-ERISA	Non-ERISA	
☐	NLG Tier		

Segment ID of Pre-Defined Follow-up Setup:

Enter Rating Percent as Additional Percent Only: ☐

Pay Premium from IBA Account: Type 01: ☐ Or Type 04?: ☐

Automatic Withdrawal of Interest to IBA Type 02: ☐

Auto Withdrawal of Interest Override Flag: ☐

Next OK Cancel

The FU—Pre-Defined Follow Ups Segment can be accessed through the Segment ID of Pre-Defined Follow-up Setup field by entering the FU Segment ID and pressing **F4**.

The following table contains definitions for the fields on the NB Segment.

Field	Description
Modify	The Modify field next to each New Business field must be set to Yes or No. Y—Yes The system loads the specified default so it is displayed during the New Business process. However, the field value can be changed during the New Business process. N—No The system loads the specified default and protects the field, thereby preventing the default value from being updated during the New Business process.

Field	Description
Payment Mode	A—Annually
	M—Monthly
	Q—Quarterly
	S—Semi-Annually
	52—Weekly
	B—Biweekly
	N—Ninthly
	T—Tenthly
	1—13thly
	2—26 pay
	5—52 pay
	C—Calendar
Billing Form	D—Direct
	L—List Bill
	P—Preauthorized Check
	G—Mil/Govt Allotment
	C—Credit Card
Policy Billing Day	Any day of the month may be entered to generate bills, regardless of the issue day. A value of 00 here implies the billing and issue day are the same. For PAC policies, the value selected in this field is the default value used for the Policy Bill Day on the Premium Information screen in New Business and the Specified Bill Day field on the PAC Detail record when added through New Business.

Field	Description
Policy Billing Code	“ ”—Blank The bill generation date is based on the paid to date and normal bill generation timings. P—Prior Month The bill generation date is set to the month before the paid to date month and year. The policy billing day is used as the bill generation day. C—Current Month The bill generation date is set to the current paid to date month and year. The policy billing day is used as the bill generation day. N—Next Month The bill generation date is set to the month after the paid to date month and year. The policy billing day is used as the bill generation day. 0—Single Premium For traditional policies, setting this field to Single Premium prevents billing and collections regardless of the value selected in the Premium Cease field on the Coverage Record. For annuity policies, setting this field to Single Premium allows premiums during the first policy year and must be used for single premium annuities. For both traditional and annuity policies, setting this field to Single Premium results in a billing status of Suspended, Paid Up and a policy status of Paid Up Type SP. 1-9—1 Yr In Advance For annual mode policies, this option causes the policy mode to equal the number of years specified by the policy billing code. For example, a 5 input in this field is a 5 year mode.
Tax Qualify	The default tax qualification code is selected in this field. Codes 0 and 5 are non-qualified and contributions are recorded as basis. All other codes are qualified and have contributions recorded as income. 0—Not qualified 1—HR10 2—TSA 3—IRA 4—SEP 5—Deferred Compensation 6—401(k) 7—Sec. 457 Plan 8—Defined Benefit 9—Defined Contribution S—Simple IRA

Field	Description
Tax Qualify (continued)	C—Section 125 This option is valid only for health products. NOTE The option defined on the Sec 125 Indicator field on the Group Updates screen overrides this field. R—Roth IRA Contribution Q—Roth IRA Conversion O—OLAB N—Non-OLAB
Dividend Option/Excess	The system uses the DO—Dividend Option Setup Segment for this list. Valid dividend options are 0—9. Valid excess dividend options are 1—6. Refer to Section 12, 6.65—DO—Dividend Option Setup Segment on page 12-261 in this book for additional information. 0—No Dividend 1—Cash Dividend 2—Premium Dividend 3—Dividend Accumulations 4—Buy PUA 5—Buy OTY 6—Reduce Loan 7—Buy OYT-DE Segment 8—Buy EPP 9—Special
Nonforfeiture	This field defines the default non-forfeiture option. Non-forfeiture is processed through billing for traditional policies. Non-forfeiture is processed through monthaversary processing for UL policies. A line edit is performed in Validation against the NO—Nonforfeiture Segment to control the availability of a given NFO option when a policy is issued as standard or substandard. 0—Lapse 1—APL/ETI An automatic premium loan is attempted. If the APL is not possible, extended term insurance is purchased. 2—APL/RPU An automatic premium loan is attempted. If the APL is not possible, reduced paid up insurance is purchased. 3—APL An automatic premium loan is processed.

Field	Description
Nonforfeiture (continued)	4—ETI Extended term insurance is purchased. 5—RPU Reduced paid up insurance is purchased. 6—APL/AR An automatic premium loan is attempted. If the APL is not possible, value from the annuity rider is used to pay premiums. 7—AR Value from the annuity rider is used to pay premiums, even if taxable. 8—Process Nonforfeiture Options This option processes nonforfeiture options in the order outlined below. 1. IBA type 01 account 2. Unapplied cash 3. Accumulated dividends 4. Annuity rider (JCI) 5. Cash value The system looks at the value in each fund starting with 1 and works its way down. If the value of the first fund cannot pay the premium, the net amount available is placed in unapplied cash. The process continues through the sequence of funds until the premium can be paid. If the total amount of the IBA, unapplied cash, dividend accumulations, and annuity rider are insufficient to pay the modal premium, then the system goes to APL processing. For APL processing, if the Downgrade Mode field is Yes on the LN—Loan Rules Segment, the system attempts to downgrade the mode as defined in the Minimum Mode field on the LN Segment in order to pay the premium due. After the policy has been downgraded, three possible outcomes may occur when the next billing runs, as explained below. 1. ETI is purchased if the values in unapplied cash and cash value are less than one month's premium. 2. The policy lapses if the values in unapplied cash and cash value equal 0. 3. If values in unapplied cash and cash value are greater than 0 but insufficient to provide one day of coverage, the policy surrenders itself and money remains in unapplied cash. 9—Special Pay the premium from dividend accumulations. If dividend accumulations are insufficient to pay the entire premium, an automatic premium loan is processed for the balance.
Death Benefit Optn	The allowed values are those entered on the UI—Monthaversary Control Segment for the level or non-level death benefit codes.

Field	Description
Payment Period	If the policy is non-traditional (UL), a default period can be specified by either duration or age. If the policy is a fixed premium UL or EIWL, select P—Planned. This causes New Business to load the computed premium for the fixed/EIWL product into planned premium automatically and locks the Planned Premium field on the application. A—Age D—Duration G—Guideline P—Planned Do not use with source 4 type tracking.
Pay Initial Premium	This field is used to determine the default value for the Pay Initial Prem field on the New Business screen for list bill and government allotment policies. If the default Billing Form is set to List Bill and this field is set to No, the Pay Initial Prem field on the New Business screen displays No. If the default Billing Form is any form other than List Bill, the Pay Initial Premium field in New Business displays Yes. Y—Yes The policy does not bill until the initial premium has been paid and the policy has been activated. N—No The system produces a bill for the initial premium.
Short Term Period	This field indicates the default benefit period for short term coverages. M—Months D—Days Y—Years A—Age N—None
ERISA/Non-ERISA	This field is used to determine if a tax sheltered annuity is an ERISA or non-ERISA. This option is displayed and can be updated on the Policy Miscellaneous File. The ERISA/Non-ERISA field impacts the processing of TSA loans if using the Separately Billed Loans option on the LN—Loan Interest Segment. E—ERISA N—Non-ERISA

Field	Description
NLG Tier	This field defines the default tier value that is displayed in the No Lapse Guar Tier field on the New Policy—Premium Information screen in Policy Add. 1—One Tier 2—Two Tiers 3—Three Tiers 4—Four Tiers 5—Five Tiers
Segment ID of Pre-Defined Follow-up Setup	This field defines the FU—Pre-Defined Follow Up Segment which is accessed by pressing F4 from this field.
Enter Rating Percent as Additional Percent Only	This field controls how substandard table ratings are viewed in Validation. Y—Yes The rating must be entered as an additional percentage only. For example, if Table 02 has a 125% rating, the Validation screen displays 25% as the rating. N—No The rating must be entered as the full percentage. For example, if Table 02 has a 125% rating, the Validation screen displays 125% as the rating.
Pay Premium from IBA Account: Type 01 Or Type 04	This field controls a default on the Cash Disposition window. This window applies only if IBA type 1 or type 4 accounts are allowed for the base coverage. The Cash Disposition window is displayed when, at issue, the full cash with application amount is not applied as a premium. The system displays the window and allows the selection of transferring the cash to unapplied cash or to an IBA type 1 or type 4 account. The Pay Premium from Type 1 Acct or Pay Premium from Type 4 Acct field is also displayed on the Cash Disposition window. It is important to note that Y—Yes can only be selected for either the type 01 or type 04 account, not both. If Y—Yes is selected in both fields, the error message <i>Cannot have more than 1 Premium Paying Account</i> is displayed at the bottom of the screen. Y—Yes Billing automatically attempts to pay the mode premium from the IBA account. If the amount in the IBA account does not cover the mode premium, the option selected in the Suspend or Bill if not within Short Limit field on the C4 Segment determines if a bill for the full mode premium is produced or if the policy is suspended. N—No Billing does not consider the IBA amount.

Field	Description
Pay Premium from IBA Account: Type 01 Or Type 04 (continued)	P—Partial Modal Billing The Billing System attempts to draw from the IBA account for the mode premium before producing a bill. If the IBA balance is sufficient to pay the premium, a bill is not produced. However, if the IBA balance is not sufficient to pay the premium, the amount in the IBA account is deducted from the modal premium due and a bill is produced for the difference. This option is only available for type 01 accounts.
Automatic Withdrawal of Interest to IBA Type 2	This option allows automatic partial withdrawals of interest to an IBA Type 2 account through modeaversary processing on flexible premium deferred annuity products. Modeaversary automatically creates accounting to pay interest to an IBA Type 2 account. The amount paid to the IBA Type 2 account is automatically paid to the policy owner through IBA repetitive payment processing. Note that backup withholding may or may not apply to the payout, depending on the tax code settings on page 2 of the Contract screen. This field provides the defaults for the Auto Withdrawal option in Policy Add, which controls the feature. I—Use automatic Interest Withdrawals N—Do Not Utilize Automatic Interest Withdrawals Some additional setup related to this option is contained on the C2—Interest Bearing Account Segment.
Auto Withdrawal of Interest Override Flag	This field determines if the tax withholding amounts or the surrender charge for automatic interest withdrawals can be manually updated (accessed through the Auto Withdrawals option by clicking Actions from the Contract screen). W—Withhold The withholding amount can be updated when an automatic withdrawal of interest is processed. S—Surrender Charge The surrender charge amount can be updated when an automatic withdrawal of interest is processed. B—Both The withholding amount and surrender charge amount can be updated when an automatic withdrawal of interest is processed. N—None Neither the withholding amount or surrender charge amount can be updated when an automatic withdrawal of interest is processed.

Field	Description
Additional CWA Edits	These edits are performed during Policy Add when Submit App and Validate is selected or during Validation when the Calculate Premium Values, Validate Data and Issue, or Pay Premium and Activate options are selected. If the results exceed the defined field limit, an action occurs depending upon the selection made. Y—Yes An absolute error message is displayed. The error must be resolved before the policy can be activated. W—Warning A warning message is displayed; however, the warning does not prevent processing. The policy may be activated without resolution. N—No Do not perform the edit. This is the default. NOTE These edits are also performed during Batch New Business, if they are defined. The messages appear on the Batch New Business Detail Report.

Click **Next** to view the second New Business Defaults screen.

New Business Defaults

Additional CWA Edits

No Planned + 1035 vs Minimum

No CWA Edit vs TAMRA

No CWA Edit vs Tefra

No CWA Edit vs Modal Premium

No CWA Edit vs Minimum Premium

001 Required Month(s) of Premium

Previous

OK

Cancel

The second New Business Defaults screen contains fields that control edits that occur during New Business processing. These edits are based on planned premiums or cash with application. These product level New Business edits can be defined in addition to company level New Business edits available on the New Business Management Options screen.

The following table contains definitions for the fields on the second New Business Defaults screen.

Field	Description
Planned + 1035 vs Minimum	This edit compares the minimum premium, not the cash with application, to the sum of the planned annual premium plus the 1035 exchange amount entered during Policy Add on the Premium Information screen, if any. If the sum is less than the minimum premium, the edit is performed.
CWA Edit vs TAMRA	This edit compares the cash with application (CWA), less any 1035 exchange amount, to the calculated TAMRA value. If the CWA less the 1035 exchange amount is greater than the TAMRA value, the edit is performed.
CWA Edit vs Tefra	This edit compares the cash with application (CWA) to the calculated guideline single (TEFRA) premium value. If the CWA amount is greater than the TEFRA value, the edit is performed.
CWA Edit vs Modal Premium	For traditional products, this edit compares the cash with application (CWA) to the modal premium to determine if the CWA is within the over and short limits. If the CWA amount is beyond the over limit, this edit is treated as a warning, even if the field is set to Yes . For universal life products, this edit compares the CWA to the modal minimum premium to determine if the CWA is within the short limit.
CWA Edit vs Minimum Premium	This edit compares the cash with application (CWA) to the minimum UL premium adjusted for the number of months defined in the Required Month(s) of Premium field, using the formula below. $[(\text{Minimum premium}/12) * \text{Required months of premium}]$ If the CWA is less than the result, the edit is performed.
Required Month(s) of Premium	This field defines the number of months used when adjusting the minimum premium, when the CWA Edit vs Minimum Premium field is defined. This field is only applicable if the line of business is U—Universal and if the CWA Edit vs Minimum Premium field is set to Yes or Warning . The default value is 1.

6.168 NC—Net Premium Credited Segment

NOTE

Fixed premium UL coverages only

The NC—Net Premium Credited Segment is used to designate the total amount credited to the fund of a fixed premium UL. It is applicable to fixed premium UL coverages only.

Rate Type Segment								
Segment ID	UL1 >>							
Segment Type	NC							
Select Period	Duration 0							
Ultimate ID								
Constant Rate	0.0000000 (Added to File Rate if Declared)							
Rate Type	Constant Rate Only							
Type Modifier	☐ Rates Vary by Underwriting Class No							
Mult Insured Access								
Rate Basis	Separate And Unique							
Years of	0							
Banding Method	Not Banded							
Banding Rule	Traditional							
Upper Band Limits	<table border="1"><tr><td>0</td><td>0</td><td>0</td><td>0</td><td>0</td><td>0</td><td>0</td></tr></table>	0	0	0	0	0	0	0
0	0	0	0	0	0	0		
Rates Coded As	Actual Amount							
Change Frequency	Not Applicable							
	0							
<table border="1"><tr><td>Mode Rules</td></tr><tr><td>Rates</td></tr><tr><td>Next</td></tr><tr><td>OK</td></tr><tr><td>Cancel</td></tr></table>		Mode Rules	Rates	Next	OK	Cancel		
Mode Rules								
Rates								
Next								
OK								
Cancel								

Refer to Section 12, Chapter 3—Premiums—Upper Portion of Screen Field Definitions on page 12-17 in this book for a description of the fields in the upper portion of the screen.

Click **Next** to define the calculation rules for the segment.

Calculation Rules Window

The calculation used to determine the net premium credited as well as the features of allowing for the crediting of premium on anniversary only, allowing off anniversary quotes processing, and refund of paid premium on full surrenders and death is defined on the second screen of the segment.

NC Segment - Screen 2

Calculate Based On

Additional Flat Amount Added to Annual Net Crediting Premium

Mode Rule ID

Credit Premium Only On Anniversary

Off Anniversary Quotes Processing

Subtract Unearned Net Crediting Premium

Subtract Current Interest on Unearned Net Crediting Premium

Add Unused COI Charges

Add Interest on Unused COI Charges

Refund Paid Premium On Full Surrenders And Deaths

Previous OK Cancel

The following table contains definitions for the fields on the second screen of the NC Segment.

Field	Description
Calculate Based On	A—Flat amount S—Per \$1000 Of Specified Amount
Additional Flat Amount	If the Calculate Based On field is Per \$1000 Of Specified Amount , the net crediting amount is a rate times the specified amount (in units). The value of this field is then added to that computed amount.
Mode Rule ID	If the amount going to the fund is to be modalized, enter the mode rule in this field. If no rule is coded, the amount is divided by the frequency. For example, if the premium is quarterly, it is divided by 4.

Field	Description
Credit Premium Only On Anniversary	This field allows the option of crediting the net crediting premium on the anniversary only, or crediting the net crediting premium based on the premium billing mode of the policy for fixed premium UL coverages only. Y—Yes Credit the net crediting premium only on the policy anniversary. Ratings or rider premiums are not credited to the fund, but a policy fee may be credited. The net crediting premium is credited annually and the net amount at risk (NAR) formula assumes that the premium is credited annually. The crediting of the fund is not tied to the collection of premiums. The calculation of the annual net crediting premium rounds the final result to the nearest cent rather than being truncated. This field is used when calculating NAR for NAR method 02. If the field is set to Yes, then the net crediting premium is included in the NAR method 02 only on the anniversary NAR calculation. Otherwise, the NC is included in the NAR calculation depending upon the COI timing code on the FC—Fund Contract Rules Segment. Under NAR method 02 the timing of the NAR calculation as defined on the U1—Monthiversary Control Segment with respect to other deductions to the fund must be considered. N—No Credit the net crediting premium on the premium billing mode.
Off Anniversary Quotes Processing	
Subtract Unearned Net Crediting Premium	This field defines if unearned net crediting premium should be deducted from the fund value on death, loan, and value quotes. This field is only applicable if the Credit Premium Only On Anniversary field is set to Yes. Y—Yes The unearned net crediting premium is subtracted from the fund balance. The unearned net crediting premium adjustment is a reduction to the fund balance because the fund balance assumed the premium has been paid to the next anniversary based on the Credit Premium Only On Anniversary field being set to Yes. An adjustment is made for the assumed full annual premium reflected in the unadjusted fund balance. The unearned net crediting premium calculation is shown below. (Net crediting premium on last anniversary/number days in policy year) * number of days to next anniversary from quote date N—No Do not subtract unearned net crediting premium.

Field	Description
Subtract Current Interest on Unearned Net Crediting Premium	This field defines if the current interest on unearned net crediting premium is deducted from the fund balance on death, loan, and value quotes. This field is only applicable if the Credit Premium Only On Anniversary field is set to Yes. Y—Yes The current interest on unearned net crediting premium is deducted from the fund balance. The current interest rate comes from the Declared Interest Rate File. This rate can vary daily, monthly, or annually. When calculating the interest on the unearned net crediting premium, the formula reflects the changing interest rates over the time period for which the interest was credited. Finally, the unearned net crediting premium interest is subtracted from the fund balance on the quote screen. If the policy has a loan on it, this does not affect the calculation. The unearned net crediting interest adjustment is a reduction to the fund balance because the fund balance assumed the full net premium earned interest for the full policy year. An adjustment is made for the interest earned on the unearned net crediting premium reflected in the unadjusted fund balance. The unearned net crediting premium interest calculation is shown below. $\text{Unearned Net Crediting Premium} * ((1+I) d/y - 1) \text{ where}$ d = days since last policy anniversary y = days in policy year N—No The current interest on unearned net crediting premium is not deducted from the fund balance.
Add Unused COI Charges	This field defines if the system credits unused cost of insurance (COI) charges to the fund balance on death, loan, and value quotes. This field is only applicable if the Credit Premium Only On Anniversary field is set to Yes. Y—Yes The unused COI charge adjustment is added to the fund balance because the COI made on the anniversary/modeaversary is for the full period as defined on the FC—Fund Contract Rules Segment. A prorated COI amount is based on the quote date to the next anniversary/modeaversary cycle.

Field	Description
Add Unused COI Charges (continued)	The unused COI charges calculation is shown below. Annual loop = (Annual COI charge/days in policy year) * days to anniversary from quote date Monthly Loop = (Monthly COI charge/days in month) * days to next modeaversary from quote date. N—No The unused COI charges are not added to the fund balance.
Add Interest on Unused COI Charges	This field defines if the system credits interest on unused cost of insurance (COI) charges to the fund balance on death, loan, and value quotes. This field is only applicable if the Credit Premium Only On Anniversary field is set to Yes. Y—Yes Credit interest on unused COI charges to the fund balance. The unused COI charge interest is an addition to the fund balance because the unearned COI earned interest is since the date it was taken (either last modeaversary or last anniversary depending on the processing cycle). The unused COI interest charge calculation is shown below. Annual Loop = Unused COI charge * (1+I) (d/y)—1 where d = days since last anniversary y = days in policy year Monthly Loop = Unused COI charge * (1+I) (d/m)—1 where d = days since last modeaversary m= days in policy month N—No The interest on unused COI charges is not added to the fund balance.
Refund Paid Premium On Full Surrenders And Deaths	Y—Yes The system calculates and refunds the amount of unused premium. In addition, the system also processes accounting and reverse commissions, if applicable. N—No Do not refund paid premium on surrenders and deaths.

NC—Net Premium Crediting Segment Processing Notes

The Credit Premium Only On Anniversary to the NC Segment field offers the following features.

- This field allows the ability to credit funds with the net crediting premium on the anniversary even though the actual mode may be different. The crediting of the fund is not tied to the collection of premiums.

- The calculation of the annual net crediting premium rounds the final result to the nearest cent. This field is also used when calculating NAR for NAR method 02.
- If the field is set to **Yes**, then the net crediting premium is included in the NAR method 02 only on the anniversary NAR calculation. Otherwise, the net crediting premium is included in the NAR calculation depending upon the COI timing code on the FC—Fund Contact Rule Segment. Under NAR method 02, the timing of the NAR calculation, as defined on the UI—Monthiversary Control Segment, with respect to other deductions to the fund must be considered.
- With this flag for quotes on the policy anniversary, the fund value equals the last online annual statement fund value plus accrued interest from the last online annual statement fund value to the quote date.

Quoting Off Anniversary

For quotes off anniversary, the last online statement fund value is brought forward with current interest to the actual quote date. The Subtract Unearned Net Crediting Premium, Subtract Current Interest on Unearned Net Crediting Premium, Add Unused COI Charges, and Add Interest on Unused COI Charges fields then come into play if set to **Yes**. These adjustments are made to the fund value calculation for the fund value quotes presented by values quotes, withdrawals, loans, and death quotes. For the increasing death benefit option, the total death benefit on the base coverage should reflect the fund value adjustments as of the death quote date.

NOTE

The quoting of the fund balance with the adjustments does not generate any fund detail information in the amount of the adjustment. Nor is any accounting generated for the adjustment amount. This is because the adjustments are made to correct inaccuracies inherent to the annual net crediting premium and the annual or monthly deduction of the COI.

When calculating the interest adjustments, the actual interest rate used since the crediting of the net crediting premium and deduction of the COI charge needs to be taken into account. If the policy has a loan against it, it is assumed that the impaired interest rate does not apply to the unearned net crediting premium or the unused COI deduction.

The Refund Paid Premium on Full Surrenders and Deaths field refunds premiums paid beyond the quote date. The billable premium (including riders, substandard extras, and policy fees) is refunded on a daily prorata basis from the paid to date back to the quote date. The refund process is similar to traditional products. If the policy is surrendered and has unprocessed premium, accounting is created that debits the 0110 (premium payment transaction code) and credits the 0013 (surrender clear transaction code). This accounting transaction is also set to **Yes** in the Comm Prem field so commissions are reversed on the refunded premium.

6.169 ND—Addl Div, Non Prem Pay Segment

NOTE

Traditional only

The ND—Addl Div, Non Prem Pay Segment directs *LifePRO*® to rates used to compute additional dividends payable with DN dividends. These are for policies which are NOT in a premium paying phase. Policies which are either paid up normally, or paid up through RPU processing are an example.

Additional Dividend Information						
Segment ID	DIVTEST >>			Segment Type	ND	
Key Modifier	DV			Do Values Vary By		
Are Values Banded	No			Underwriting Class	No	
Female Rate Basis	Male With Setback					
Setback Years	0					
Rate Type	Attained Age					
Rate Rounding Rule	0					
Include Pro-Rata Value with Cash Value Off-Anniversary	No					
Band Upper Limits						
9999999	0	0	0	0	0	0
Constant Adjust						
0.00	0.00	0.00	0.00	0.00	0.00	0.00
Dividend Cap						
0.00	0.00	0.00	0.00	0.00	0.00	0.00
						Rates
						OK
						Cancel

Fields Unique to this Segment

The following table contains definitions for the fields on the ND Segment.

Field	Description
Include Pro-Rata Value with Cash Value Off-Anniversary	This field provides the ability to pay an additional dividend as part of the interpolated cash value payments for surrender, loan, and nonforfeiture processing for premium paying and paid up policies. This field appears on the AD—Additional Dividend Premium Paying and the ND—Additional Dividend, Non Premium Paying Segments. Y—Yes An additional dividend is paid as part of the interpolated cash value and payment of the dividend as part of normal processing on the policy anniversary if not paid as part of cash surrender value during the year. The following calculation interpolates to the effective date of the activity. In the example following, the paid to date is being used as the effective date since most surrender processing is done as of the paid to date. $\text{Cash Value} = \text{Unit} * 1,000 * \text{CSV Factor}$ $\text{CSV Factor} = \text{CSV}_t (1 - \text{Factor}) + \text{CSV}_{t+1} + \text{Additional Dividend}_{t+1} * \text{Factor}$ $\text{Factor} = \frac{(\text{PTD} - \text{last anniversary})}{365} / \frac{(1 + i(\text{PTD} - \text{SD}))}{365}$ where: $i = 20\%$ PTD = paid to date SD = surrender date t = number of completed policy years N—No The cash value is the interpolation to the surrender date. For loanable values, the system interpolates value based on the effective date of the loan, the paid to date, or the APL date.
Constant Adjust	LifePRO® first computes the DN, computes any additional dividend, then adds the constant amount input in this field. The constant follows the banding of the ND rate itself.
Dividend Cap	The adjustment amount calculated using the ND Segment cannot exceed the amount entered in this field. For example, if the adjustment amount is \$100 and the dividend cap is \$50, the dividend is only adjusted by \$50. The value in this field can be positive or negative and can be banded using the same bands as the ND rates.

6.170 NF—Non-Forfeiture Factors

NOTE

This segment is required for lines of business L—Traditional and H—Health if the system generates cash values through the internal cash value generator, or if using policy pages. This segment must be coded with the net single premium rates for single premium traditional products.

The NF—Non-Forfeiture Factors Segment is used to define non-forfeiture factors, which have two potential uses.

- The non-forfeiture factors can be used by the policy page system.
- Cash value reserves used in tax reserves use these numbers as valuation premiums and the CV rates as the terminal reserves.

Segment Detail							
Segment ID	5PAY >>			Segment Type	NF		
Key Modifier	NF			Do Values Vary By			
Are Values Banded	No			Underwriting Class	No		
Female Rate Basis	Separate And Unique						
Setback Years	0						
Rate Type	Age And Duration						
Rate Rounding Rule	00			Rate Mode Rule ID	N/A		
Band Upper Limits:	9999999	0	0	0	0	0	0
First Duration Value Is Available	1						
				Mode Rules Rates Calculate Values OK Cancel			

Refer to Section 12, Chapter 3—Premiums—Upper Portion of Screen Field Definitions on page 12-17 in this book for a description of the fields in the upper portion of the screen.

6.171 NL—Notify Messages Segment

The NL—Notify Messages Segment is an extension of the NT—Notify Messages Segment and stores the letter IDs for the Generate Associated Letter fields on the NT Segment. The NL Segment cannot be updated or changed.

6.172 NN—Non-Deduction Reserve Segment

NOTE

Traditional only

The NN—Non-Deduction Reserve Segment directs *LifePRO*® to non-deduction of premium reserve factors.

Reserve Factors Screen									
Segment ID	PYPARWL >>			Segment Type	NN				
Key Modifier	NN			Do Values Vary By Underwriting Class	No				
Are Values Banded	No								
Female Rate Basis	Male With Setback								
Setback Years	0								
Rate Type	Attained Age								
Band Limits	999999999	0	0	0	0	0	0		
Reporting Basis	(Life) Mean Reserves/Deferred Premiums								
Valuation Code	XYZ			Rate Rounding Rule	00			Calculate Values	
If Reserves Are Split Interest				Type	Terminal			Rates	
Rates, Split Is 'A'ge or 'D'ur				Apply To	Specified Amount			Table Extra Rates	
Interest Rate Point Of Change	000			Value Per Premium Unit	0			Extended Key	
Reserve Ultimate ID									
Reserve Method									
Extended Key Definition Used	No								
									OK
									Cancel

The following table contains definitions for the fields on the NN Segment.

Field	Description
Reporting Basis	0—(Life) Mean Reserves / Deferred Premiums 1—(Health 1) Mid Trml Res / Exact Unearned Premiums 2—(Health 2) Mid Trml Res / Half Mode Unearned Premiums 3—(Health 3) Mid Trml Res / Half Q/S/A Mode Unearned 4—(UL RDR 1) Res = Half Of Monthly Ded; No Due/Deferred
Valuation Code	The valuation code is a 10 character, user defined code used in valuation reporting as a sort key. All benefits with the same valuation code can be sorted together in this manner (sort option). If a valuation code is not selected, the system defaults to the coverage ID from the Valuation Reports screen.
If Reserves Are Split Interest Rates, Split Is Age or Dur	If pointing to an ultimate ID, use this field to define if the change to the ultimate ID is based on an age or duration. Note that the actual point of change is defined in the Interest Rate Point Of Change field. A—Age D—Duration
Interest Rate Point of Change	Enter the interest rate after split in this field. This field is an information only field. If the same rate segment is used for all years, input 000 in this field.
Reserve Ultimate ID	This field is an information only field. True select and ultimate reserves are handled directly in the computation of the tabular factors themselves. If the same rate segment is used for all years, this field is left blank.
Reserve Method	H—Half Of Reinsurance Premium
Extended Key Definition Used	For health products, reserve rates can be defined using extended key definitions by setting this field to Yes . Note that to use extended key definitions, the KD—Key Definition Segment must be defined. Refer to Section 12, 6.196—PR—Premium Segment on page 12-725 in this book for information on using the Extended Key Definition screen to define rates.
Rate Rounding Rule	This field is set to Round After Cents and cannot be updated.

Field	Description
Type	This field specifies how the reserve factors are stored. T—Terminal This is the default. M—Midterminal N—Mean
Apply To	This field specifies to what the factors are applied. S—Specified Amount This is the default. P—Premium
Value Per Premium Unit	If the Apply To field is set to Premium , input the value per unit in this field. For example, if the rates are per \$100 of premium, input 100.00.

Calculation Rules Window

The Calculation Rules window is accessed from the NN Segment by clicking **Calculate Values**. This window displays the assumptions selected that are used when calculating the reserves.

Enter Cash Value Reserve

Non Deduct Res Assumptions

Gender/Class Male / STANDARD

Mortality Segment Gender Band Class

Interest Rate for Years, then

Initial Method for Years

Graded to in Year

Non Level Benefit

Function

Negative Values to Zero Round Cent

Calculate from Issue Age thru Increment by

Write Values Write Premiums

Calculate using floating point (Y/N)?

Bypass Gender/Class

OK

Cancel

The following table contains definitions for the fields on the Reserve Factors screen.

Field	Description
Gender/Class	This field displays the associated gender and class of values to be calculated. When entering assumptions, the system processes each underwriting class with each gender. Therefore, if underwriting classes are (1) nonsmoker and (2) smoker and rates vary by gender and class, the system prompts in the order shown below. 1) Male—Nonsmoker 2) Male—Smoker 3) Female—Nonsmoker 4) Female—Smoker
Mortality Segment	Input the segment ID of the EM Segment and rates for the mortality assumption to use to calculate reserves in this field. EM Segments and associated rates must be set up prior to using this utility. Since EM Segments are not attached to the coverage directly, go to the Traditional Segment List to load EM Segments and rates.
Gender	Input the gender code of the mortality rate key of the EM Segment. M—Male F—Female U—Unisex
Band	Input the band of the mortality rate key of the EM Segment.
Class	Input the class of the mortality rate key of the EM Segment.
Interest Rate i_1 for n years, then i_2	Enter the initial interest rate (i_1), the number of years in effect (n), and the ultimate interest rate (i_2) used to calculate cash values. If only one interest rate is applicable, the number of years in effect should not be entered. The system skips to the ultimate interest rate.

Field	Description
Initial Method M_1 for n years	Enter the initial method of calculating the expense allowance (M_1) used to calculate cash values and the number of years the initial method is in effect (n) in this field. If the initial method does not change, do not enter the number of years in effect. The system assumes no change. N—Net Level C—CRVM (Commissioner's Reserve Valuation) F—FPT (Full Preliminary Term) M—Minimum (1980 Minimum Reserves) G—Guerin (Pre-1980 Minimum Reserves) A—Adj CRVM S—Simple G
Graded to (N,C) M_2 in year n	Enter the ultimate method (M_2) and the year it becomes effective (n) in this field. The system grades between the initial and ultimate method. N—Net Level C—CRVM (Commissioner's Reserve Valuation) A—Adj CRVM
Non Level Benefit	If the benefit is not level, enter the rule for calculating the equivalent level amount in this field. A—Average Death Benefit The non-level benefit is calculated as the average death benefit for the initial 10 years. E—Equivalent Level Amount
Function	Enter the function for treatment of timing of death benefits and premiums. C—Curtate I—Immediate Claim Payments F—Fully Continuous D—Discounted Continuous The Discounted Continuous option calculates fully continuous reserves but recalculates curtate net premiums to load to the NP/TP Segment type rate files for calculation of due and deferred net premiums.
Negative Values to Zero	Y—Yes If values are negative, force to zero. N—No Do not force the value to zero if the values are negative.

Field	Description
Round r_1 , r_2	The method of rounding values is displayed in this field. r_1 r_2 L—Low C—Cent N—Near D—Dollar H—High
Calculate from Issue Age x_0 thru x_n Increment by x_t	Enter the starting issue age (x_1), ending issue age (x_n), and the increment age (x_t), to calculate cash values and adjusted premiums. For example, entering $x_1 = 20$, $x_n = 40$, $x_t = 5$ generates values for issue ages 20, 25, 30, 35, and 40
Write Values	Y—Yes Reserves are written to the Age/Duration or Attained Age Rate File. Depending on the Type field on the RV—Reserve Factors Segment, the system writes Terminal, Mean, or Mid-terminal reserve factors to the rate files. These are rate type RV values. N—No
Write Premiums	Y—Yes The valuation net premiums are written to the Age/Duration or Attained Age Rerate File. These are rate type NP values. N—No
Calculate using floating point	This field determines if the values are calculated using floating point math. Y—Yes The values are calculated using the COMP-2 format (long floating point). The final results are stored and displayed in the fixed decimal COMP-3 (S9(07)V9(07)) format. N—No The values are calculated using fixed decimal numbers. The final results are stored and displayed in the fixed decimal COMP-3 (S9(07)V9(07)) format. This is the default.

6.173 NO—Non Forfeiture Rules Segment

NOTE

This segment is required for any permanent line of business that goes to nonforfeiture.

The NO—Non-Forfeiture Rules Segment controls, at the benefit level, the components of cash value to be used for ETI or RPU as an NFO option. The availability of the options can vary depending on how the policy was issued, standard or substandard, from the second screen for the segment. For example, dividend accumulations can be used in NFO processing to buy ETI, or they can be cashed out separately.

Non Forfeiture Rules			
Segment ID	Segment Type NO		
	NFO Defaults	Rider Remains Active	
Purchase Includes Value			ETI Face/RPU Cap Includes
OR (Other Rider)	None		OR Face No
OR/PP Rider	None		OR/PP None
OR/PT Rider	None		OR/PT None
Dividend Accumulations	None		Dividend Accumulations No
Unearned Dividends (Adjustments)	None		PUA Face No
PUA (Paid Up Additions)	None		OYT Face No
OYT (One Year Term)	None		Allow RPU face amount to exceed Cap No
AR (Annuity Rider)	None		Do Vanish test before executing NFO No
Contract Suspense	None		RPU Calculation Method Round at End
IBA (Interest Bearing Account)	None		
Premium Refund (Unprocessed Premium)	None		
Payoff Loan on RPU	No	On NFO Loan Payoff Report Excess of Cost Basis Effective	NFO Conversion Year
ETI Death Benefit Pattern	Current Benefit At Time Of Conversion		
RPU Death Benefit Pattern	Follow Pattern Defined By Cx Rates		
ETI Excess Value Goes To		RPU Excess Value Goes To	Next
NO Segment Applies to Online Surrenders	No		OK
Maximum Consecutive APL's (default)	9999		Cancel

The following table contains definitions for the fields on the NO Segment.

Field	Description
Purchase Includes Value	
OR (Other Rider)	The value of OR riders is included in the policy value for ETI, RPU, both, or neither depending on the option selected in this field. E—ETI For ETI processing include OR values. R—RPU For RPU processing include OR values. B—Both For ETI and RPU processing include OR values. N—None Do not include OR values for ETI or RPU processing.
OR/PP Rider	The value of the PP rider is included in the policy value for ETI, RPU, both, or neither depending on the option selected in this field. The OR (Other Rider) field must be set to None in order to use this field. If the OR (Other Rider) field is set to ETI, RPU, or Both, the PP Rider field is ignored by the system. E—ETI For ETI processing include OR or PP values. R—RPU For RPU processing include OR or PP values. B—Both For ETI and RPU processing include OR or PP values. N—None Do not include OR or PP values for ETI or RPU processing.
OR/PT Rider	The value of the PT rider is included in the policy value for ETI, RPU, both, or neither depending on the option selected in this field. The OR (Other Rider) field must be set to None in order to use this field. If the OR (Other Rider) field is set to ETI, RPU, or Both, the PT Rider field is ignored by the system. E—ETI For ETI processing include OR or PT values. R—RPU For RPU processing include OR or PT values. B—Both For ETI and RPU processing include OR or PT values. N—None Do not include OR or PT values for ETI or RPU processing.

Field	Description
Dividend Accumulations	The value of dividend accumulations is included in the policy value for ETI, RPU, both, or neither depending on the option selected in this field. E—ETI For ETI processing include dividend accumulations. R—RPU For RPU processing include dividend accumulations. B—Both For ETI and RPU processing include dividend accumulations. N—None Do not include dividend accumulations for ETI or RPU processing.
Unearned Dividends (Adjustments)	The value of unearned dividends is included in the policy value for ETI, RPU, both, or neither depending on the option selected in this field. E—ETI For ETI processing include unearned dividends. R—RPU For RPU processing include unearned dividends. B—Both For ETI and RPU processing include unearned dividends. N—None Do not include unearned dividends for ETI or RPU processing.
PUA (Paid Up Additions)	The value of paid up additional insurance (PUA) is included in the policy value for ETI, RPU, both, or neither depending on the option selected in this field. E—ETI For ETI processing include the value of the paid up additions. R—RPU For RPU processing include the value of the paid up additions. B—Both For ETI and RPU processing include the value of the paid up additions. N—None Do not include the value of the paid up additions for ETI or RPU processing.

Field	Description
OYT (One Year Term)	The value of one year term insurance (OYT) is included in the policy value for ETI, RPU, both, or neither depending on the option selected in this field. E—ETI For ETI processing include the value of the one year term insurance. R—RPU For RPU processing include the value of the one year term insurance. B—Both For ETI and RPU processing include the value of the one year term insurance. N—None Do not include the value of the one year term insurance for ETI or RPU processing.
AR (Annuity Rider)	The value of an annuity rider is included in the policy value for ETI, RPU, both, or neither depending on the option selected in this field. E—ETI For ETI processing include the annuity rider value. R—RPU For RPU processing include the annuity rider value. B—Both For both ETI and RPU processing include the annuity rider value. N—None Do not include the annuity rider value for ETI or RPU processing.
Contract Suspense	The contract suspense amount is included in the policy value for ETI, RPU, both, or neither depending on the option selected in this field. E—ETI For ETI processing include the contract suspense amount. R—RPU For RPU processing include the contract suspense amount. B—Both For both ETI and RPU processing include the contract suspense amount. N—None Do not include the contract suspense amount for ETI or RPU processing.
IBA (Interest Bearing Account)	The value of an IBA account is included in the policy value for ETI, RPU, both, or neither depending on the option selected in this field. E—ETI For ETI processing include the value of an IBA account. R—RPU For RPU processing include the value of an IBA account. B—Both For both ETI and RPU processing include the value of an IBA account. N—None Do not include the value of an IBA account for ETI or RPU processing.

Field	Description
Premium Refund (Unprocessed Premium)	The unprocessed premium amount is included in the policy value for ETI, RPU, both, or neither depending on the option selected in this field. E—ETI For ETI processing include the unprocessed premium amount. R—RPU For RPU processing include the unprocessed premium amount. B—Both For both ETI and RPU processing include the unprocessed premium amount. N—None Do not include the unprocessed premium amount for ETI or RPU processing.
Rider Remains Active	This field determines if an OR rider remains active when the policy is converted to reduced paid up or extended term insurance. Y—Yes The OR rider remains active when the policy is converted to reduced paid up insurance or extended term insurance. If commissions are charged back due to non-forfeiture processing, the OR rider is not included in the commission chargeback calculation. N—No The OR rider is terminated when the policy is converted to reduced paid up insurance or extended term insurance. This is the default. NOTE The OR rider only remains active if the policy remains active as a non-forfeiture option. If the base benefit has no cash value, the contract is terminated and the value of the OR rider is transferred to suspense.
ETI Face/RPU Cap Includes	
OR Face	Y—Yes Other rider (OR) face amounts are added to the base face amount. If the option is ETI, the system computes the term of that increased face amount as the term face. If the option is for RPU, the system allows the RPU face to be over the base, but still no greater than the new increase face (base + ORs). N—No ETI is for the base face amount and RPU is not allowed to exceed the base face amount. ORs are not counted in any way.

Field	Description
OR/PP	The OR Face field must be set to No if the system is to pick up the OR/PP field independently. If the OR Face field is set to Yes, then the OR/PP is included in the calculation along with any other OR riders designated. F—Face PP face amounts are added to the face of amount of the base policy. If the option is ETI, the system computes the term of that increased face amount as the term face. If the option is for RPU, the system allows the RPU face to be over the base, but still no greater than the new increase face (Base + OR/PP). N—None PPs are not counted toward the ETI/RPU cap.
OR/PT	The OR Face field must be set to No if the system is to pick up the OR/PT field independently. If the OR Face field is set to Yes then the OR/PT is included in the calculation along with any other OR riders designated. F—Face PT face amounts are added to the face amount of the base policy. If the option is ETI, the system computes the term of that increased face amount as the term face. If the option is for RPU, the system allows the RPU face to be over the base, but still no greater than the new increase face (Base + OR/PT). P—Paid Up The paid up portion of the face amount is added to the face amount of the base policy. N—None PTs are not counted toward the ETI/RPU cap.
Dividend Accumulations	Y—Yes Add the amount of dividend accumulations to the base (+ perhaps ORs if the previous field is set to Yes). This total is the ETI face amount, or the RPU cap. N—No Do not add the accumulations to the base (+ ORs perhaps) to get the ETI face or the RPU cap.
PUA Face	Y—Yes If PUAs exist, add that face amount to the total allowed (Base + ORs perhaps + Accums perhaps) to get the ETI face amount, or the RPU cap. N—No Do not add the PUA face into the total for the ETI face or RPU cap.
OYT Face	Y—Yes If an OYT benefit exists, add that face amount to the total allowed for ETI face amount, or as the cap for RPU. N—No Do not add the OYT face amount to the total allowed for ETI face or RPU cap.

Field	Description
Allow RPU face amount to exceed Cap	This field determines if the system allows the RPU face amount to exceed the cap as defined on the NO Segment. Y—Yes Allow the RPU face amount to exceed the cap. N—No Do not allow the RPU face amount to exceed the cap.
Do Vanish test before executing NFO	This field checks a policy's ability to be placed on vanish before executing the NFO option. Y—Yes A policy goes to vanish, if applicable, before executing the NFO option. N—No The system executes the defined NFO option for a policy.
RPU Calculation Method	This field determines which rounding method is used when calculating the amount of reduced paid up (RPU) insurance during non-forfeiture processing. 0—Round at End Using this method, the <i>total</i> cash value is divided by the net single premium (NSP) to arrive at a subtotal. A rounding factor of 0.0099999 is added to the subtotal to arrive at the new total, which is rounded to the nearest penny. This total is the RPU amount. 1—Round CV per Unit/NSP Using this method, the <i>unit</i> cash value is divided by the net single premium to arrive at a subtotal. This subtotal is rounded to the highest dollar. Then, the rounded subtotal is multiplied by the number of units to arrive at a new subtotal, also rounded to the highest dollar. Once rounded, this is the RPU amount. NOTE RPU calculation method 1 only affects tabular cash value (the base cash value for the policy). It does not apply to any other cash value pieces, such as dividends, paid up additions, or cash in an IBA. Calculations for all non-tabular cash values use method 0 only. In some cases, method 1 is applied to tabular cash value and method 0 is applied to non-tabular cash value, and the results are added to determine the total RPU amount.
Payoff Loan on RPU	This field determines if a loan on a policy is paid off when the policy is processed through RPU. Y—Yes The loan is paid off from cash value before RPU is purchased. N—No The loan continues with the RPU status.

Field	Description
On NFO Loan Payoff Report Excess of Cost Basis Effective	This field indicates if the loan payoff in excess of basis is reported as gain when the policy is converted to ETI or RPU or when the policy reaches the maturity or expiry of the non-forfeiture option. Blank—No Reporting Gain is not reported. This is the default. C—NFO Conversion Year Gain is reported using the tax year of the conversion. E—NFO Expiry Year Gain is reported using the tax year of the NFO expiry or maturity. NOTE This option does not apply when using the Manual NFO option on the Actions Menu.
ETI Death Benefit Pattern	This field defines how the death benefit is calculated for ETI processing. 0—Current Benefit At Time Of Conversion 1—Follow Pattern Defined On DB Segment The pattern defined on the DB—Death Benefit Segment on the base benefit or the value per unit on the Coverage Record, if level, is used. Any additional amounts, as defined on the NO Segment, are included. 2—Ultimate Benefit Defined On DB Segment This option sets the ETI face amount equal to the ultimate base death benefit. The ultimate death benefit is the death benefit in the policy year of maturity or expiry. Any additional amounts, as defined on the NO Segment, are included.

Field	Description
RPU Death Benefit Pattern	This field defines how the death benefit is calculated for RPU processing. 0—Follow Pattern Defined By Cx Rates 1—Follow Pattern Defined On DB Segment The Cx rates are adjusted for the death benefit pattern as defined by the DB—Death Benefit Segment when the calculation is performed. The difference between option 0 and 1 is determined by how the Cx rate is loaded. If option 0 is used, modified Cx rates have been coded via the ET—Extended Term/Reduced Paid Up Segment. The modified Cx rates take into account the changing death benefit pattern. If option 1 is used, non modified Cx rates are coded. When values are calculated for RPU, the system modifies the Cx rates appropriately. 2 —Step Up If Excess Cash Value The system caps the amount of RPU at the current death benefit at the time of conversion to RPU, as defined by the NO Segment, and buys a level amount of RPU. If there is excess cash value, the system uses it to purchase an additional death benefit beginning on the anniversary when the next increase in the base death benefit occurs. Only one increase is allowed. The keyword, EXCESSVL, is the amount of excess cash value and is available for correspondence.
ETI Excess Value Goes To	This field defines how the system directs excess ETI value. E—Endowment This option should not be selected if the product maturity age is equal to the ending age of the mortality tables. If this option is selected and the product maturity age is equal to the ending age of the mortality tables, the excess cash value is placed in suspense during non-forfeiture processing. The keyword, PURENDOW, is the amount of pure endowment purchased on ETI/RPU conversion and is available for correspondence. C—Cap/Susp The system purchases the maximum amount of ETI and deposits any remaining amount into suspense. S—Suspense

Field	Description
RPU Excess Value Goes To	This field defines how the system directs excess RPU value. E—Endowment This option should not be selected if the product maturity age is equal to the ending age of the mortality tables. If this option is selected and the product maturity age is equal to the ending age of the mortality tables, the excess cash value is placed in suspense during non-forfeiture processing. The keyword, PURENDOW, is the amount of pure endowment purchased on ETI/RPU conversion and is available for correspondence. S—Suspense
NO Segment Applies to Online Surrenders	This field defines if the rules defined through the NO Segment are used when an online surrender occurs. Y—Yes N—No
Maximum Consecutive APLs (default)	This field defines the maximum number of automatic premium loans (APLs) that the system allows for policies in states not further defined through the Maximum Consecutive APLs option on the State Control File Menu. This field defaults to 9s; however, it can be updated.

Click **Next** to designate the availability of each non-forfeiture option for standard and substandard policies and define minimum and maximum percentage ratings.

Non Forfeiture Rules (2 of 2)

Segment ID: >> Segment Type: NO

NFO Code	Description	Standard	Availability Substandard	Minimum % Rating	Maximum % Rating
0	Lapse	Allowed	Allowed	224	224
1	APL/ETI	Allowed	Allowed	224	224
2	APL/RPU	Allowed	Allowed	224	224
3	APL	Allowed	Allowed	224	224
4	ETI	Allowed	Not Allowed	224	224
5	RPU	Allowed	Allowed	224	224
6	APL/AR	Not Allowed	Not Allowed	224	224
7	AR	Not Allowed	Not Allowed	224	224
8	Not Available	Y	Y	224	224
9	Special	Not Allowed	Not Allowed	224	224

Previous
OK
Cancel

The following table contains definitions for the fields on the second screen of the NO Segment.

Field	Description
Standard/Substandard	There are three codes that can be used to determine the availability of the non-forfeiture option. Y—Allowed The non-forfeiture option is available. This is the default. N—Not Allowed The non-forfeiture option is not available. If the non-forfeiture option is selected when the policy is added, an error message is displayed when the policy is validated. The policy cannot be issued until the non-forfeiture option is changed to an acceptable option. If the non-forfeiture option is changed after issue to an option that is not available, an error message is displayed and the change is not processed. W—Warning A warning message is displayed in Validation if the non-forfeiture option is selected in Policy Add. However, the option can be selected and the policy can be issued with the non-forfeiture option. A warning message is also displayed if the option is selected for a non-forfeiture option change after issue. Again, the option can be selected and the change is processed.
Minimum % Rating	This is a three digit numeric field which defines the minimum percentage rating that the system accepts and processes an NFO code. For example, assume that 125 is entered. The system checks the table rating on the policy, and if the rating is 125 or greater, then the selected NFO option is allowed. If a table rating goes below the minimum, then the error message <i>Invalid NFO option based on NO segment</i> is displayed in Validation, when Validate Data and Issue is selected in Policy Add. When the error message appears, the rating must be changed, or a new NFO option must be selected in order to continue processing.
Maximum % Rating	This is a three digit numeric field which defines the maximum percentage rating that the system accepts and processes an NFO code as defined on the NO Segment. For example, assume that 500 is entered. The system checks the table rating on the policy, and if the rating was 500 or less, then the selected NFO option is allowed. If a table rating goes below the maximum, then the error message <i>Invalid NFO option based on NO segment</i> is displayed in Validation, when Validate Data and Issue is selected in Policy Add. When the error message appears, the rating must be changed, or a new NFO option must be selected in order to continue processing.

6.174 NP—Net Valuation Premiums Segment

NOTE

This segment is required on traditional business if using the reserve generator to generate RV—Reserve Factor Segment values.

The NP—Net Valuation Premiums Segment directs *LifePRO*® to the valuation premiums used in traditional and health statutory reserve calculations. The NP Segment contains the one year term (OYT) rates for computing the reserves for PT benefits.

Premium Segment File	
Segment ID	005T3974 >>
Segment Type	NP
Key Modifier	NP
Are Values Banded	No
Female Rate Basis	Separate And Unique
Setback Years	0
Rate Type	Age And Duration
Rate Rounding Rule	Truncate After Cents
Band Upper Limits	
9999999	0 0 0 0 0 0
Premium Select Period	0
Premium Mode Rule ID	10
Coverage ID Of Ultimate Rates	NA
Premium Rate Calculation Rule	Units Purchased
Extended Key Definition Used	No
Do Values Vary By	
Underwriting Class	Yes
Premium Change Frequency	1
Mode Rules	
Rates	
Extended Key	
Table Extra	
OK	
Cancel	

Fields Unique to this Segment

Refer to Section 12, Chapter 3—Premiums—Upper Portion of Screen Field Definitions on page 12-17 in this book for a description of the fields in the upper portion of the screen.

Field	Description
Rate Rounding Rule	This field is set to 00—Truncate After Cents and cannot be updated.
Premium Select Period	The length of time, in years, the rates selected are used is displayed in this field. If the same rate segment is used for all years and the Rate Type is Attained Age , Issue Age , or Duration Only , input 0 in this field. If the same rate segment is used for all years and the Rate Type is Age and Duration , input 999 in this field.
Premium Change Frequency	The change frequency indicates the number of durations at a time the rates are held constant. For example, a 5-year renewable and convertible term product with premiums that are level for 5 years then jump to the attained age and remain level again for 5 years, has a premium change frequency of 5. If the rates remain the same for all years, input 0 in this field.
Premium Mode Rule ID	The premium mode rule ID, coupled with the form (direct, preauthorized checking, list bill, government allotment, or credit card) allows the system to access a Mode Rule Record. The modalization factors for each mode (for example monthly or quarterly) are located in the Mode Rule Record. A maximum of 10 characters may be entered in this field.
Coverage ID Of Ultimate Rates	The segment ID of the segment that contains the rates that are used when the premiums change is displayed in this field. The rates change as indicated in the Premium Change Frequency field. If the same rate segment is used for all years and the Rate Type is Attained Age , Issue Age , or Duration Only , this field is left blank. If the same rate segment is used for all years and the Rate Type is Age and Duration , input NA in this field.
Premium Rate Calculation Rule	U—Units Purchased The premium is computed as the units purchased at issue of the coverage, multiplied by the premium rate found according to the rules in the upper part of the segment. D—Death Benefit The premium is computed as the death benefit at the point of the calculation, divided by 1000, and then multiplied by the rate found according to the rules code. P—Percentage The premium is calculated as a percentage per unit of value of premium for the benefits that are included for premium waiver as defined on the Coverage Record. This option is only available for waiver coverages.

Field	Description
Premium Rate Calculation Rule (continued)	1—W1 Segment The premium is calculated using the sum of premiums from the W1 Segment for non-waiver coverages. This option is only available for waiver coverages. 2—W2 Segment The premium is calculated using the sum of premiums from the W2 Segment for non-waiver coverages. This option is only available for waiver coverages. For example, assume a coverage is a decreasing term product with death benefits of 1000, 900, 800, 700, 600, and 500. The rates are coded as A, changing annually. If the premium rate calculation rule is coded as premium D, then in year three, the system computes the premium as $800/1000 * \text{year-3 rate}$, NOT as $1000 / 1000 * \text{year-3 rate}$. A—Percent Of Account Value The premium is calculated by determining the average of the monthiversary account values for the time period defined in the Last __ Months field. (This calculation method only averages the account values found during monthiversary processing for the last <i>n</i> months, and does not include partial valuations.) E—Percent Of Eligible Premiums (GB Only) This option can only be used for GB—Guaranteed Benefit type riders. When this option is used, deductions for the GB rider are based on eligible premiums that are defined on the LM—Living/Maturity Segment for the base benefit. W—Percent of Greater of GMWB Eligible Premiums or Lifetime Basis (GW Only) This option can only be used for GW type riders. When this option is used, deductions for the GW rider are based on the greater of eligible premiums or lifetime basis defined on the GW—Guaranteed Withdrawal Segment for the base benefit.
Extended Key Definition Used	Currently this field only applies to line of business H—Health. Y—Yes The KD Segment must also be coded. Premiums are not in the Attained Age or Age/Duration File. They are in a separate health file. Refer to Section 12, 6.196—PR—Premium Segment on page 12-725 in this book for a detailed explanation of the Extended Key Definition screens. N—No

6.175 NR—NAR Calculation Method

NOTE

Universal life only

The NR—NAR Calculation Method Segment indicates to LifePRO® the formula to use in calculating the net amount at risk. The default method is 00, both in the corridor and out.

Enter NAR Calculation Method									
Segment ID									
Segment Type	NR								
NAR Calculation Method	00								
Method In Corridor ...	00								
Methods <table border="1"> <tbody> <tr> <td>Method 01</td> <td>$((DB - \text{Fundvalue}) * COI - \text{Discount}) / 1000$</td> </tr> <tr> <td>Method 02</td> <td>$(DB - ([t+1]\text{Fundvalue})) / 1000$</td> </tr> <tr> <td>Method 03</td> <td>Use Method 00, set COI equal to $q/(1-q)$</td> </tr> <tr> <td>Method 04</td> <td>$(Bcv * (Corr - 1)) / (1 - q + (Corr * q))$</td> </tr> </tbody> </table>		Method 01	$((DB - \text{Fundvalue}) * COI - \text{Discount}) / 1000$	Method 02	$(DB - ([t+1]\text{Fundvalue})) / 1000$	Method 03	Use Method 00, set COI equal to $q/(1-q)$	Method 04	$(Bcv * (Corr - 1)) / (1 - q + (Corr * q))$
Method 01	$((DB - \text{Fundvalue}) * COI - \text{Discount}) / 1000$								
Method 02	$(DB - ([t+1]\text{Fundvalue})) / 1000$								
Method 03	Use Method 00, set COI equal to $q/(1-q)$								
Method 04	$(Bcv * (Corr - 1)) / (1 - q + (Corr * q))$								
Increase negative COI charges to zero (Y/N)	No								
Calc NAR using zero fund value if fund value is neg (Y/N)	No								
Peel-Back Charges in NAR Calculation (Annual/Monthly/None)	Annual								
$[t+1]\text{Fundvalue}$ is the Theoretical End of Mode Fund Balance $= ([t]\text{FV} + \text{Netcredprem} - \text{Mort}) * (1 + \text{int})^{(1/\text{mode})}$ $/ 1 - \{([.001 * COI] / \text{mode}) * (1 + \text{int})^{(1/\text{mode})}\}$									
Set Netcredprem to Modal Premium (Y/N)	No								
OK Cancel									

The following table contains definitions for the fields on the NR Segment.

Field	Description
NAR Calculation Method	This field is used to indicate the method by which the net amount at risk (NAR) is calculated (out of corridor). The cost of insurance (COI) discount factor is taken from the COI Discount Rate field on the FC—Fund Contract Rules Segment. The fund value is the prior month's balance, less any applicable loads, plus the current month's interest. 00—Method 00 This option is the normal method. The death benefit is discounted with the COI discount factor (1 / the monthly COI Discount Rate from the FC Segment), then the fund value is subtracted. This is the default. 01—Method 01 This is a variation of the normal method. The difference is that the death benefit is first reduced by the fund value, then discounted with the FC rate. 02—Method 02 The death benefit is reduced by the ending year fund value which is determined by the formula described at the bottom of the screen. This field must be set to 02 if the Set Netcredprem to Modal Premium field is set to Yes. 03—Method 03 This option is a variation of the normal method. The result of method 00 is further adjusted by dividing it by [1 - (Current COI charges / 1000)]. 04—Method 04 When this option is selected, the net amount at risk (NAR) is calculated per the formula shown, where BCV = value from the UI—Monthaversary Control Segment (fund value plus interest from the prior month, less prospective deductions), Corr = corridor factor from the UL—Universal Life Corridor Segment, and q = monthly COI rate.
Method In Corridor	The method for calculating the net amount at risk (NAR) may be defined differently in corridor. This field is used to indicate the method by which the NAR is calculated when in corridor using any of the NAR calculation methods. 00—Method 00 This option is the normal method. The death benefit is discounted with the COI discount factor (1 / the monthly COI Discount Rate from the FC—Fund Contract Rules Segment), then the fund value is subtracted. This is the default. 01—Method 01 This is a variation of the normal method. The difference is that the death benefit is first reduced by the fund value, then discounted with the FC rate.

Field	Description
Method In Corridor (continued)	02—Method 02 The death benefit is reduced by the ending year fund value which is determined by the formula described at the bottom of the screen. This field must be set to 02 if the Set Netcredprem to Modal Premium field is set to Yes. 03—Method 03 This option is a variation of the normal method. The result of method 00 is further adjusted by dividing it by $[1 - (\text{Current COI charges} / 1000)]$. 04—Method 04 When this option is selected, the net amount at risk (NAR) is calculated per the formula shown, where BCV = value from the UI—Monthaversary Control Segment (fund value plus interest from the prior month, less prospective deductions), Corr = corridor factor from the UL—Universal Life Corridor Segment, and q = monthly COI rate.
Increase negative COI charges to zero (Y/N)	This field allows the option to use zero for cost of insurance (COI) charges when calculating the net amount at risk (NAR) if the COI charges are negative, instead of using the actual negative COI charges. Y—Yes Substitute zero for the COI charges when calculating the NAR, if the COI charges are negative. N—No Use the actual COI charges when calculating the NAR, even if those charges are negative.
Calc NAR using zero fund value if fund value is neg (Y/N)	This field allows the option to use a fund value of zero when calculating the net amount at risk (NAR) if the fund value is negative, instead of using the actual negative fund value. Y—Yes Substitute a fund value of zero when calculating the NAR, if the fund value is negative. If this option is selected, the NAR must be calculated normally for a layered death benefit by setting the Increase fields for Non-Corridor and Corridor on the MR—MPR COI Rate Rules Segment to 1. N—No Use the actual negative fund value when calculating the NAR, if the fund value is negative. This is the default. This option has the effect of increasing the NAR and may cause additional costs of insurance (COI) to be charged.

Field	Description
Peel-Back Charges in Net Amount at Risk Calculation	This field determines how charges are deducted for the net amount at risk calculation for a peel back rider, if one is attached to the base coverage. A—Annual The charges for the peel back rider are deducted on an annual basis. This is the default. M—Monthly The charges for the peel back rider are deducted on a monthly basis. N—None Charges for the peel back rider, if any, are not deducted.
Set Netcredprem to Modal Premium (Y/N)	When this field is set to Y—Yes, both the NAR Calculation Method field and Method in Corridor field must be set to Method 02. The Expense Timing Code fields on the UI—Monthiversary Control Segment must be set to Prospective After NAR Calculations.

Method 02 is used exclusively by EIWL formulas. A derivation of the method 02 formula is shown below.

(t)F	=	Fund value at beginning of current cycle (for example, last year's ending value)
NP	=	Net Premium after loads removed
(t+1)F	=	Fund value at end of current cycle
C	=	COI rate
I	=	Interest factor for period. For simplicity, assume $I = 1 + I$

where I = annual interest rate in use. If this is for a monthly process, then I is the value $(1 + I) ** (1/12)$.

DB	=	Death benefit (may be specified amount, may be corridor amount)
(t+1)F	=	$((t)F + NP - \text{COI charges}) * I$
COI chgs	=	$(DB - (t+1)F) * C$

Substitute:

$$(t+1)F = ((t)F + NP - DB * C + (t+1)F * C) * I$$

Grouping and solving for (t+1)F yields:

$$(t+1)F = (((t)F + NP - DB * C) * I) / (1 - C * I)$$

Call $DB * C = \text{Mort}$, and this gives the formula displayed on the screen.

It is important to note that the cost of insurance (COI) charge is using a net amount of risk (NAR) computed as the difference between the death benefit and the yet unknown fund value at the end of the period. Universal life processing normally uses the fund value at the beginning of the period, and normally discounts the death benefit back to the beginning of the period using the discount rate.

6.176 NS—NSP Purchase Rates

NOTE

Traditional only

For both the PT—Paid Up Term Rider Component and the PP Paid-up Additions Rider Component, net single premiums are used, not premiums from the PR—Premium Segment. The NS—NSP Purchase Rates Segment points to standard or substandard rates.

Rate Type Segment							
Segment ID	EWL >>		Select Period	Duration	0		
Segment Type	NS		Ultimate ID				
Constant Rate	0.0000000		(Added to File Rate if Declared)				
Rate Type	Constant Rate Only						
Type Modifier			Rates Vary by Underwriting Class	No			
Mult Insured Access							
Rate Basis	Separate And Unique		Years of	0			
Banding Method	Not Banded						
Banding Rule	Traditional						
Upper Band Limits	0	0	0	0	0	0	0
Rates Coded As	Actual Amount						
	Not Applicable						
Change Frequency	0						
							Mode Rules
							Rates
							Next
							OK
							Cancel

Refer to Section 12, Chapter 3—Premiums—Upper Portion of Screen Field Definitions on page 12-17 in this book for a description of the fields in the upper portion of the screen.

Table Extra Data

Substandard rates per 1000 by table number can be defined from the NS Segment. Click **Next** from the NS Segment to designate if additional premiums are included for substandard policies.

NS Segment - Screen 2

Interpolate Values (Y/N)?

Table Extra Values Exist

<F5> - Flat Extra Factors Segment

Previous
OK
Cancel

The SL Benefit field on the PT Segment determines if the flat extra factors increase the NSP rate or if they are added to an SL benefit. The WE Segment defines the flat extra factors to be used. The WE Segment is accessed through the Flat Extra Factors Segment field. This field is used to define the WE Segment ID.

The following table contains descriptions of the fields on the second NS Segment screen.

Field	Description
Interpolate Values	This field allows net single premiums to be interpolated on a monthly 1/12th basis for modal purchases of paid up additional insurance (PUA), and allows net single premiums to be interpolated for cash value quotes and repurchases on a per day basis. Y—Yes The net single premium rate is an averaged value between the last year's value and the next year's value, depending on the person's age within the year. For example, if the net single premium rate increases from year to year, then the net single premium rate gradually increases (interpolates) throughout the year. N—No
Table Extra Values Exist	Y—Yes The Table Extra Definition screen is displayed upon selecting Y—Yes. N—No The Table Extra Definition screen cannot be accessed.

6.177 NT—Notify Messages Segment

The NT—Notify Messages Segment can be used to trigger ENS messages and correspondence letters at predetermined anniversaries. Up to five combinations of messages and letters can be defined.

Notify Messages Segment					
Segment ID	ART >>				Type NT
Message #	9002	0	0	0	0
Anniv Basis	Before				
Generate Associated Letter					
Message/Letter Initiation Information					
Generate After Reaching	Either				
Age	31	0	0	0	0
Or					
Duration	2	0	0	0	0
Message Repetition Information					
Message is repeated how often (ie, every Nth duration)	9	0	0	0	0
to a maximum number of times	99	0	0	0	0
to a maximum age	99	0	0	0	0
to a maximum duration	99	0	0	0	0
					OK
					Cancel

- **Timing of Messages/Letters**—The timing of the message or letter generation is controlled by the Number of Days Prior to Action for ENS General Notification field on the Management Options screen and the true policy anniversary date. For example, if the field is set to 30, messages are generated 30 days prior to anniversary.
- **Definition of ENS Messages**—Customized ENS messages can be defined through the System Configuration Menu, Message Definition option. ENS messages for use with the NT Segment should have message numbers of 9000 and above.
- **Definition of Correspondence Letters**—Correspondence letters are defined on the LD—Letter Definition Segment. The segment can be accessed within the Product System by selecting **Segments**, then a line of business. (The line of business selected is not relevant for letters defined from the LD Segment.)
- **Generation of Messages/Letters**—The actual messages and letters are generated through the G—General Notification process on the Anniversary Processing screen. It is important to note that the messages and letters are only generated for the specific effective date entered on the Anniversary Processing screen. General Notification does not process from the previous effective date to the current effective date. Any day that is not specifically

entered as an effective date is skipped and the letter or message is not generated. Thus, General Notification must be processed each day.

Complete the following steps to add or select a message for the NT Segment.

1. From the Notify Message Segment screen press **F10**.
2. Enter a valid message number from 9000-9999 in any of the five Message # fields.
3. Press **Ctrl+F4**. The message screen displays existing messages.
4. To add a new message, press **F8**.
5. Click **OK** to save.

The following table contains definitions for the fields on the NT Segment.

Field	Description
Message #	Enter the four digit number of the description defined on the Message Definition screen. It must be a 9000 series message. Press Ctrl+F4 from this field to add a message. NOTE If the same message number is used for two processes that occur at the same time, only one ENS message is written and only one correspondence letter is generated. When an ENS message is generated, LifePRO® first verifies that an ENS message with the same number has not already been generated. If an ENS message with the same number has been generated, any other messages with the same number are not generated. The correspondence attached to the first ENS message is the only correspondence generated.
Anniv Basis	This process is triggered from anniversary processing. It compares the insured's date of birth with the anniversary date. This field works in conjunction with the Generate After Reaching field to determines when the ENS message or letter is generated. N—Near The process is initiated on the anniversary that is nearest to the date of birth for the insured on which the insured turns the age specified in the Age field. B—Before The process is initiated on the anniversary before the insured turns the age specified in the Age field. A—After The process is initiated on the anniversary after the insured turns the age specified in the Age field.
Generate Associated Letter	In order to generate a correspondence letter in addition to the ENS message, type in the correspondence letter ID, as defined on the LD—Letter Definition Segment.
Message/Letter Initiation Information	The fields in this section determine when the message occurs.
Generate After Reaching	This field works in conjunction with the Anniv Basis field to determine when the ENS message or letter is generated. E—Either The timing is based on either the age or a policy duration. Both criteria do not have to be met. B—Both The timing is based on both an age and a policy duration. Both criteria have to be met before generation.
Age	The age at which the associated message or letter is generated is input in this field.

Field	Description
Duration	The policy duration when the associated message or letter is generated is input in this field.
Message Repetition Information	
Message is repeated how often	This field determines the number of times the message is repeated, based on policy duration. For example, 1 indicates that the original message is generated and then repeated one more time, for a total of two messages.
to a maximum number of times	The maximum number of times that a message can be repeated is input in this field.
to a maximum age	The maximum policyholder age to which the message can be repeated is input in this field.
to a maximum duration	The maximum policy duration to which a message can be repeated is input in this field.

6.178 00—Benefit Add Question Setup

The 00—Benefit Add Question Setup Segment defines the segment IDs that point to user defined interview questions that can be accessed through Benefit Add and through the Contract screen. A separate segment ID is necessary for each question. Up to 110 questions can be included.

Question Setup Segment			
Segment ID		PHLTC	>>
Type		00	
Update responses on Inforce Contract?		No	
Question Number	Segment ID	Question Number	Segment ID
Question 1	DOB	Question 12	
Question 2	HT AND WT	Question 13	
Question 3	ADDRESS	Question 14	
Question 4	DR	Question 15	
Question 5	HOSPITAL	Question 16	
Question 6		Question 17	
Question 7		Question 18	
Question 8		Question 19	
Question 9		Question 20	
Question 10		Question 21	
Question 11		Question 22	

Next

Previous

OK

Cancel

Page 01 Of 05

To define the question associated with the Segment ID, position the cursor on the Segment ID and click >>. The QD Segment is displayed.

Field	Definition
Update responses on Inforce Contract	This field determines if responses to the questions defined through the QD—Questions Definition Segment can be updated at the policy level. Y— Yes Responses can be updated at the policy level. N— No Updates are not allowed at the policy level. Responses can only be viewed.
Question 1 - 110	The Question fields are used to define up to 110 separate QD Segment IDs. To access the QD—Questions Definition Segment, input a segment ID in one of the Question fields and press F4.

6.179 OC—Free Out Surrender Charge Rules

The OC—Free Out Surrender Charge Rules Segment is used to allow surrender charges to be waived on partial and full surrenders processed on pre-designated anniversaries. This segment defines the anniversaries on which the surrender charges are to be waived and if the market value adjustment is applied to these free out withdrawals and surrenders.

The following table contains definitions for the fields on the OC Segment.

Field	Description
MVA Calculations Do Not Apply to Free Out Withdrawals	This field determines how market value adjustment (MVA) calculations are handled for a partial free out withdrawal. Y—Yes The MVA is not calculated on the withdrawal amount. N—No The MVA is calculated on the entire withdrawal amount. This is the default.
MVA Calculations Do Not Apply to Free Out Full Surrenders	This field determines how market value adjustment (MVA) calculations are handled for a full free out surrender. Y—Yes The MVA is not calculated on the full surrender amount. N—No The MVA is calculated on the entire surrender amount. This is the default.

Field	Description
Cap Free Withdrawal Recapture Date by Last Free Out Anniversary	This field determines if the free withdrawal recapture date is capped at the last free out anniversary date. This field works in conjunction with the Recapture Surrender Charges on Free Withdrawals in the Last ____ Months field defined on the SC—Full Surrender Controls Segment. Y—Yes The number of months entered on the SC Segment are used to calculate the Free Withdrawal Recapture Date. If the calculated recapture date is prior to the last free out anniversary date, the last free out anniversary date is used in the recapture logic. N—No The recapture date is not capped at the last free out anniversary. This is the default.
Generate Correspondence ____ Days Prior to Free Out Anniversary	This field defines the number of days prior to a Free Out anniversary to generate correspondence if the Free Out Anniversary letter is defined on the L0—Letter Type Segment. This field is also used to produce a warning message a number of days prior to a Free Out anniversary when quoting a full or partial surrender. The same warning message is displayed when activating a single systematic withdrawal request with a First Process Date x number of days prior to a Free Out anniversary. A zero in this field indicates that no correspondence or warning messages are generated. The default is 0.

Click **Free Out Rules** to access the Free Out Years screen. This screen determines the anniversaries on which a Free Out withdrawal or surrender is available. The default is blank and indicates that a Free Out withdrawal or surrender is not available in the corresponding

anniversary year. Input **Y** to indicate that a Free Out withdrawal or surrender is available in the corresponding anniversary year.

Enter Free Out Years

Enter Y for each Year End that a Free Out is Present

1	☐	11	☐	21	☐	31	☐	41	☐	51	☐	61	☐	71	☐	81	☐	91	☐
2	☐	12	☐	22	☐	32	☐	42	☐	52	☐	62	☐	72	☐	82	☐	92	☐
3	☐	13	☐	23	☐	33	☐	43	☐	53	☐	63	☐	73	☐	83	☐	93	☐
4	☐	14	☐	24	☐	34	☐	44	☐	54	☐	64	☐	74	☐	84	☐	94	☐
5	☐	15	☐	25	☐	35	☐	45	☐	55	☐	65	☐	75	☐	85	☐	95	☐
6	☐	16	☐	26	☐	36	☐	46	☐	56	☐	66	☐	76	☐	86	☐	96	☐
7	☐	17	☐	27	☐	37	☐	47	☐	57	☐	67	☐	77	☐	87	☐	97	☐
8	☐	18	☐	28	☐	38	☐	48	☐	58	☐	68	☐	78	☐	88	☐	98	☐
9	☐	19	☐	29	☐	39	☐	49	☐	59	☐	69	☐	79	☐	89	☐	99	☐
10	☐	20	☐	30	☐	40	☐	50	☐	60	☐	70	☐	80	☐	90	☐	100	☐

Free Out Rules

OK

Cancel

6.180 OL—Transfer Out Limits

NOTE

Universal life and annuities only

The OL—Transfer Out Limits Segment is used to impose limits on the minimum and maximum amounts that can be transferred out of a fund. The limits can also be applied to dollar cost averaging, auto portfolio rebalancing, and withdrawals. This segment can be accessed through the Segment List on the Fund Rules screen and the SL—Full Surrender Load Segment. (The SL Segment is accessed through the SR—Full Surrender Segment.)

Enter Transfer Out Limits Criteria					
Segment ID	GLOBAL2 >>		Select Period	Duration 0	
Segment Type	OL		Ultimate ID		
			Minimum Fund Value		
Process	Minimum Amount Out	Maximum Amount Out	Required to Initiate Request	Maximum Percentage Of Fund Out	Exhaust Fund?
Transfer	10.00	100000.00	10	0.00% *	
Single Trans	10.00	100000.00		0.00% *	
Dollar Cost Averaging	10.00	100000.00	10	0.00%	No
Auto Premium Rebalancing	10.00	100000.00	10	0.00%	
Systematic Withdrawal	10.00	100000.00	10	0.00%	
Single Withdrawal	10.00	100000.00			
Restrict Transfers to Last			00 Days of Policy Year.	Correspondence Days	00
					Next
					OK
					Cancel

- The Minimum Fund Value column is used to prevent systematic requests from being added when the transfer to fund balance is lower than a designated amount. This is a real-time edit. The system does not allow the systematic request to be set up if it violates this guideline.

For example, if a transfer for \$500.00 is attempted and the fund value is \$900.00, the systematic request is rejected.

- Minimum and maximum values for the amounts being transferred or withdrawn from an account are designated in the Minimum Amount Out and Maximum Amount Out fields. Different limits can be imposed for each type of transaction.

The following table contains definitions for the fields on the OL Segment.

Field	Description
Process	Limits may be defined for each of the processes listed, which may cause money to be transferred or withdrawn out of the fund. Transfer—This row applies to transfers out of the fund made using the Systematic Requests Menu as a repetitive transfer. Single Trans—This row applies to single transfers out of the fund, regardless of whether the request is made through the Systematic Requests Menu. Dollar Cost Averaging—This row applies to transfers out of the fund, made as a result of dollar cost averaging. Auto Premium Rebalancing—This row applies to transfers out of the fund made due to automatic premium rebalancing. Systematic Withdrawal—This row applies to withdrawals out of the fund made using the Systematic Requests Menu as a repetitive withdrawal. Single Withdrawal—This row applies to single withdrawals out of the fund, regardless of whether the request is made through the Systematic Requests Menu.
Minimum Amount Out	The minimum transfer or withdrawal out of the fund permitted using the process is defined in this field. When this field is set to .00, it is not used in processing. An actual amount must be input in order for the amount to be considered during processing.
Maximum Amount Out	The maximum transfer or withdrawal out of the fund permitted using the process is defined in this field. When this field is set to .00, it is not used in processing. An actual amount must be input in order for the amount to be considered during processing.
Minimum Fund Value Required to Initiate Request	This column is applicable for transfers or withdrawal requests made using the Systematic Requests Menu only. This is the minimum fund value which the policy must have, before the transfer or withdrawal out is permitted using that process. It is a real-time edit. The system does not allow the systematic request to be set up if it violates this limit.

Field	Description
Maximum Percentage Of Fund Out	This field limits the maximum cumulative percentage of a given fund that may be transferred out when processing a single or systematic transfer request from the Systematic Requests Menu. If this percentage is set to zero, no edit is performed and the Additional Transfer Limit Percentage Calculation Method defined on the second page of the OL Segment is not executed. Valid values are 0 - 100. For fixed interest accounts, the maximum transfer is determined on a policy year basis. The maximum in each policy year is the greater of a percentage of the total fund value as of the last policy anniversary and the interest credited to the fund. The interest credited during the policy year is the sum of all interest credited to the fund as part of monthiversary processing. If multiple transfers out of the same fixed fund occur during the policy year, the maximum transfer amount is calculated as described above, less any prior transfers during the current policy year. Systematic transfers occurring out of a fixed fund compare the maximum amount that may be transferred at the fund level, regardless of the fund rule used. For equity indexed funds, the maximum transfer is computed on an indexed account basis. Each indexed account bucket generates a maximum transfer based on the value in the bucket as of the last date that index interest was credited. The maximum is the greater of a percentage of the indexed account value as of the last crediting date and the index interest that was credited. When index interest is credited to a bucket, that bucket starts over with a fresh available transfer amount. Only the last bucket that has received index interest is included in the maximum transfer calculation. If there have been 12 monthly contributions, each month the annuitant can have a different maximum transfer based upon the indexed adjustment period just completed. If multiple transfers out of the same equity indexed fund occur before the next bucket is indexed, the maximum transfer amount is the amount calculated as described above, less any period transfers out of that bucket since it was last indexed.

Field	Description
Exhaust Fund	For dollar cost averaging, this field determines if a transfer for a flat dollar amount that is less than the requested amount is allowed when the fund value is less than the amount requested. Y—Yes A flat dollar amount can be transferred out when the fund value is less than the amount requested. N—No A flat dollar amount cannot be transferred out when the fund value is less than the amount requested. The fund value must be greater than the amount requested in order for the transfer to be processed. This is the default.
Restrict Transfers to Last __ Days of Policy Year	This field allows transfers out of a fund to be limited to a user defined window immediately before the end of a contract year. If a transfer is attempted outside of this window, a message is displayed. Additionally, an ENS message is generated. The message displayed on the screen and the ENS message are only displayed for systematic requests. This field is only applicable for transfers made using the Systematic Requests Menu.
Correspondence Days	If transfers are restricted to a window using the Restrict Transfers to Last __ Days of Policy Year field, correspondence may be automatically generated. Enter the minimum number of days prior to the end of the contract year by which the correspondence should be generated. The system automatically generates the Trans Win of Op letter, if defined on the L0—Letter Type Segment with a letter type of Automatic, during monthiversary processing just prior to this minimum number of days. This field is only applicable for transfers made using the Systematic Requests Menu. The Correspondence Days field is set as the minimum number of days prior to the end of the contract year by which the letter should be generated. The letter is generated during monthiversary just prior to this minimum number of days. For example, assume that the transfers are restricted to the last 30 days of the contract year, and that the Correspondence Days field is set to 45 days. Further assume that the anniversary date is 1/1. In this example, the letter is automatically generated during November's monthiversary processing.

Click **Next** to access the second screen of the OL Segment.

Transfer Out Limits Criteria - Page 2

Segment ID >>

Segment Type OL

Additional Transfer Limits

Percentage Calculation Method

* (1) Percent of Fund Value as of

(2) Interest Credited

'G'reater/'L'esser of (1) and (2)

Previous

OK

Cancel

The second screen of the OL Segment defines how the maximum transfer amount is calculated when the Maximum Percentage Of Fund Out field is used on the first screen of the OL Segment.

Field	Description
(1) Percent of Fund Value as of	The field determines the date that is used to calculate the fund value for the maximum amount allowed to be transferred out of the fund. T—Transaction Date The transaction date of the systematic request is used. A—Last Anniversary The last policy anniversary date is used. I—Last Index Date The most recent date that index interest was credited is used. This edit is not used if the Maximum Percentage Of Fund Out field is zero.
(2) Interest Credited	This field determines if the interest credited to the fund is used to calculate the maximum amount allowed to be transferred out of the fund. N—Does Not Apply Interest credited is not used in any comparison. This is the default. P—During the Last Policy Year Interest credited during the last policy year is used. I—At the Last Indexation Point The interest credited on the last bucket is used.
Greater/Lesser of (1) and (2)	G—Greater The greater of the percentage of the fund value and the interest credited is used in the calculation. This is the default. L—Lesser The lesser of the percentage of the fund value and the interest credited is used in the calculation. This field is only applicable if both (1) Percent of Fund Value as of and (2) Interest Credited fields are completed and used in the comparison.

The following table demonstrates the combinations of the selections made in the fields that can be used to determine the maximum transfer amount that is allowed.

Additional Transfer Limits

Maximum Amount Out	Maximum Percentage of Fund Out	Interest Credited	Greater or Lesser	Final Result
0 (no limit)	0 (no edit)	N—Does Not Apply	N/A	Fund value as of the transaction date
0 (no limit)	0 (no edit)	P—During the Last Policy Year or I—At the Last Indexation Point	N/A	Interest credited
0 (no limit)	10%	N—Does Not Apply	N/A	Percentage
0 (no limit)	10%	P—During the Last Policy Year or I—At the Last Indexation Point	G—Greater	The percentage or interest, whichever is greater
0 (no limit)	10%	P—During the Last Policy Year or I—At the Last Indexation Point	L—Lesser	The percentage or interest, whichever is less
\$.01	N/A	P—During the Last Policy Year or I—At the Last Indexation Point	N/A	\$.01

6.181 OP—7702 Override Premium Segment

NOTE

Traditional Only

The OP—7702 Override Premium Segment is used to define current COI rates used to calculate guideline and TAMRA premiums for traditional riders attached to universal life base coverages. If this segment is not used, the rates on the GP—Guaranteed Premiums Segment are used. If the GP Segment is not defined, the rates from the PR—Premium Segment are used.

Premium Segment File									
Segment ID	PYADB >>			Segment Type	OP				
Key Modifier	OP			Do Values Vary By					
Are Values Banded	No			Underwriting Class	No				
Female Rate Basis	Male With Setback								
Setback Years	0								
Rate Type	Issue Age								
Rate Rounding Rule	Truncate After Cents								
Band Upper Limits									
9999999	0	0	0	0	0	0	0	0	0
Premium Select Period	0			Premium Change Frequency	0				
Premium Mode Rule ID	PARWL								
Coverage ID Of Ultimate Rates	NA								
Premium Rate Calculation Rule	Units Purchased								
Extended Key Definition Used	No								
Mode Rules Rates Extended Key Table Extra OK Cancel									

Fields Unique to this Segment

Refer to Section 11, Chapter 3—Premiums—Upper Portion of Screen Field Definitions on page 11-16 in this book for a description of the fields in the upper portion of the screen.

Field	Description
Premium Select Period	The length of time, in years, that the rates selected are used is displayed in this field. If the same rate segment is used for all years, input 0 in this field.
Premium Change Frequency	The change frequency indicates the number of durations at a time the rates are held constant. For example, a 5-year renewable and convertible term product with premiums that are level for 5 years then jump to the attained age and remain level again for 5 years, has a premium change frequency of 5. If the same rate segment is used for all years, input 0 in this field.
Premium Mode Rule ID	The premium mode rule ID, coupled with the form (direct, preauthorized checking, list bill, government allotment, or credit card) allows the system to access a Mode Rule Record. The modalization factors for each mode (for example, monthly, quarterly) are located in the Mode Rule Record. A maximum of 10 characters may be entered in this field.
Coverage ID Of Ultimate Rates	The segment ID of the segment that contains the rates that are used when the premiums change is displayed in this field. The rates change as indicated in the Premium Change Frequency field. If the same rate segment is used for all years, this field is left blank.
Premium Rate Calculation Rule	U—Units Purchased The premium is computed as the units purchased at issue of the coverage, multiplied by the premium rate found according to the rules in the upper part of the segment. D—Death Benefit The premium is computed as the death benefit at the point of the calculation, divided by 1000, and then multiplied by the rate found according to the rules code. P—Percentage The premium is calculated as a percentage per \$100 of premium for the benefits that are included for premium waiver as defined on the Coverage Record. This option is only available for waiver coverages. 1—W1 Segment The premium is calculated using the sum of premiums from the W1 Segment for non-waiver coverages. This option is only available for waiver coverages.

Field	Description
Premium Rate Calculation Rule (continued)	2—W2 Segment The premium is calculated using the sum of premiums from the W2 Segment for non-waiver coverages. This option is only available for waiver coverages. For example, assume a coverage is a decreasing term product with death benefits of 1000, 900, 800, 700, 600, and 500. The rates are coded as A, changing annually. If the premium rate calculation rule is coded as premium D, then in year three, the system computes the premium as $800/1000 * \text{year-3 rate}$, NOT as $1000 / 1000 * \text{year-3 rate}$. A—Percent Of Account Value The premium is calculated by determining the average of the monthiversary account values for the time period defined in the Last __ Months field. (This calculation method only averages the account values found during monthiversary processing for the last <i>n</i> months, and does not include partial valuations.) E—Percent Of Eligible Premiums (GB Only) This option can only be used for GB—Guaranteed Benefit type riders. When this option is used, deductions for the GB rider are based on eligible premiums that are defined on the LM—Living/Maturity Segment for the base benefit. W—Percent of Greater of GMWB Eligible Premiums or Lifetime Basis (GW Only) This option can only be used for GW type riders. When this option is used, deductions for the GW rider are based on the greater of eligible premiums or lifetime basis defined on the GW—Guaranteed Withdrawal Segment for the base benefit.
Extended Key Definition Used	Currently this field only applies to line of business H—Health. Y—Yes The KD Segment must be set up. Premiums are not in the Attained Age or Age/Duration File. They are in a separate health file. Refer to Section 11, 6.175—PR—Premium Segment on page 11-651 in this book for a detailed explanation of the Extended Key Definition screens.

6.182 OT—Paid Up Term Rates

NOTE

Traditional only

The OT—Paid Up Term Rate Segment is used in the setup of a PT—Paid Up Term Rider. This segment points to the premiums per 1000 of total face for the rider. LifePRO® then takes this premium and uses it and other rules of the setup to compute a mix of paid-up face and one year term insurance for the year.

Rate Type Segment	
Segment ID	VARY >>
Segment Type	OT
Select Period	Duration 0
Ultimate ID	
Constant Rate	0.000000 (Added to File Rate if Declared)
Rate Type	Constant Rate Only
Type Modifier	☐ Rates Vary by Underwriting Class No
Mult Insured Access	
Rate Basis	Separate And Unique
Years of	0
Banding Method	Not Banded
Banding Rule	Traditional
Upper Band Limits	0 0 0 0 0 0 0
Rates Coded As	Actual Amount
Change Frequency	Not Applicable
	0

Mode Rules
Rates
Next
OK
Cancel

Refer to Section 12, Chapter 3—Premiums—Upper Portion of Screen Field Definitions on page 12-17 in this book for a description of the fields in the upper portion of the screen.

Table Extra Data

Substandard rates per 1000 by table number can be defined on the OT Segment. Click **Next** from the OT Segment to designate if additional premiums are included for substandard policies.

Select **Y—Yes** in the Table Extra Values Exist field to be able to access the Table Extra Definition screen. If **N—No** is selected in this field, the Table Extra Definition screen cannot be accessed.

NS Segment - Screen 2

Table Extra Values Exist Yes

Press F6 To Access Table Extra Rates

Previous
OK
Cancel

After selecting **Y—Yes** in the Table Extras Exist field press **F6** to set up the Table Extra screen.

Table Extra Definition

Table Extra Key

Are Table Extras Banded ? No

Vary Table Extras by Und Class ? Yes

Female Rate Basis Setback

Setback Years 0

Rate Type Age And Duration

Number of Substandard Tables 16

01	02	03	04	05	06	07	08	09	10
11	12	13	14	15	16				

Rates
OK
Cancel

The following table contains descriptions of the fields on the Table Extra Definition window.

Field	Description
Table Extra Key	This field defines the table that is used to define the rates. The ID selected can be up to 8 alphanumeric characters.
Are Table Extras Banded	Rates can be varied depending on the face amount of the policy. This field determines if rates are banded. Y—Yes Rates are banded by face amount. N—No The rates are the same for all bands.
Vary Table Extras by Und Class	Y—Yes The system looks at all underwriting classes listed on the Coverage Record. N—No Rates do not vary by underwriting class. The system only looks at the default underwriting class (the first one listed on the first screen of the Coverage Record) when finding the rates.
Female Rate Basis	The selection in this field designates the rates that are used for females. U—Unique Different rates are set up for females. S—Setback The same rates are used for males and females, but the rates are set back a designated number of years for females.
Setback Years	This field works in conjunction with the Female Rate Basis field. If Setback is selected in the Female Rate Basis field, the number of years the rates are set back is designated in this field. If the rates are the same for males and females, input 0 in this field, which tells the system that the female rates are set back 0 years from the male rates.

Field	Description
Rate Type	The rate type selected determines on what the rates are based and where in the rate file the rates are input. A—Attained Age I—Issue Age If Attained Age or Issue Age is selected, input the rates in the Attained Age Rate File. O—Duration Only D—Age and Duration If Duration Only or Age and Duration is selected, input the rates in the Age/Duration Rate File. If Duration Only is selected, the rates are input under age 0 in the Age/Duration Rate File.
Number of Substandard Tables	Input the number of tables that are defined. The number selected generates the same number of table pointers at the bottom of the screen. Up to 40 tables are supported. The rates can be viewed by pressing F10, clicking on a table ID pointer, and clicking Rates.

The substandard table IDs point to rate files that contain the substandard rates per 1000 to apply per table. A rate file is created using the Table Extra Key field as the rate file ID. The rates can vary by band, underwriting class, gender, and rate type.

6.183 P1—Premium Load Fee By Trans Code Segment

NOTE

Universal life only

The P1—Premium Load Fee By Trans Code Segment directs the system to use unique premium collection fees (segment type U1) by premium transaction code. This is for both internal and external exchanges (type 0124).

Internal			External	
Trans Code	Override	Segment ID	Override	Segment ID
0121	No			
0122	No			
0123	No			
0124	No		No	
0126	No			
0129	No		No	
0131	No		No	
0132	No		No	
0150	Yes	UL1		

The following table contains definitions for the fields on the P1 Segment.

Field	Description
For each premium transaction code, for both internal and external premiums, a separate U1—Premium Load Fees Segment can be set up. If this segment is coded, then the normal premium (0110) uses the coverage level U1, and all others use the loads designated on the P1 Segment. If there is no U1 Segment designated on this segment, no load is taken.	
Override	Y—Yes N—No The override of Y—Yes on the Premium Payment screen is ignored and the load from the P1 Segment is used.
Segment ID	Input the segment ID for a U1—Premium Collection Expenses/Fees Segment as needed in this field.

6.184 P2—Premium Load Pct By Trans Code Segment

NOTE

The P2—Premium Load Pct By Trans Code Segment directs the system to use unique percent of premium loads (segment type U2) by premium transaction code. This is for both internal and external exchanges (type 0124). This segment can be accessed through the Segment List on the Fund Rules screen and the FL—Fund Rules Segment. The FL Segment is accessed through the Loan Fund ID field on the LN—Loan Interest Rates Segment.

Enter Premium Load Criteria																																								
Segment ID		>>	Segment Type	P2																																				
Internal <table><thead><tr><th>Trans Code</th><th>Override</th><th>Segment ID</th></tr></thead><tbody><tr><td>0121</td><td>No</td><td></td></tr><tr><td>0122</td><td>No</td><td></td></tr><tr><td>0123</td><td>No</td><td></td></tr><tr><td>0124</td><td>No</td><td></td></tr><tr><td>0126</td><td>No</td><td></td></tr><tr><td>0129</td><td>No</td><td></td></tr><tr><td>0131</td><td>No</td><td></td></tr><tr><td>0132</td><td>No</td><td></td></tr><tr><td>0150</td><td>No</td><td></td></tr></tbody></table> External <table><thead><tr><th>Trans Code</th><th>Override</th><th>Segment ID</th></tr></thead><tbody><tr><td>0124</td><td>No</td><td></td></tr></tbody></table>					Trans Code	Override	Segment ID	0121	No		0122	No		0123	No		0124	No		0126	No		0129	No		0131	No		0132	No		0150	No		Trans Code	Override	Segment ID	0124	No	
Trans Code	Override	Segment ID																																						
0121	No																																							
0122	No																																							
0123	No																																							
0124	No																																							
0126	No																																							
0129	No																																							
0131	No																																							
0132	No																																							
0150	No																																							
Trans Code	Override	Segment ID																																						
0124	No																																							
OK Cancel																																								

The following table contains definitions for the fields on the P2 Segment.

Field	Description
For each premium transaction code, for both internal and external premiums, a separate U1—Premium Load Segment can be set up. If this segment is coded, then the normal premium (0110) uses the coverage level U1, and all others use the loads designated on the P2 Segment. If there is no U1 Segment designated on the P2 Segment, no load is taken.	
Override	Y—Yes N—No The override of Y—Yes on the Premium Payment screen is ignored and the load from the P2 Segment is used.
Segment ID	Input the segment ID for a U2—Premium Collection Expenses Segment, as needed, in this field.

NOTE

The BD—Band Limit Segment can be accessed from the U2 Segment selected. If the BD Segment is used in conjunction with the P2 Segment, the same band calculation code must be used on the P2 Segment and the U2 Segment. For example, if the BD Segment is set up to use a band limit varying by initial premium, then the P2 Segment must also use a band limit varying by initial premium.

6.185 PA—Variable Perchg

NOTE

Universal life only

The PA—Variable Perchg Segment points to rates which modify the cost of insurance (COI) rates used in computing the final COI rate for a first to die product for one particular client.

Turning on this segment does not trigger this logic generically since it is unique to one client's modification.

These rates are available for use in future modifications, or in processing exceptions logic. They are not used generically by the system otherwise.

Rate Type Segment									
Segment ID	[UL] >>		Select Period	[Duration] [0]					
Segment Type	PA		Ultimate ID						
Constant Rate	[0.000000]		(Added to File Rate if Declared)						
Rate Type	[Constant Rate Only]								
Type Modifier	☐		Rates Vary by Underwriting Class		[No]				
Mult Insured Access	[]								
Rate Basis	[Separate And Unique]		Years of	[0]					
Banding Method	[Not Banded]								
Banding Rule	[Traditional]								
Upper Band Limits	[0]	[0]	[0]	[0]	[0]	[0]	[0]	Mode Rules	
Rates Coded As	[Actual Amount]								
	[Not Applicable]								
Change Frequency	[0]								
									Rates Next OK Cancel

Refer to Section 12, Chapter 3—Premiums—Upper Portion of Screen Field Definitions on page 12-17 in this book for a description of the fields on the upper portion of the screen.

6.186 PB—Paid Marketing Credits

The PB—Paid Marketing Credits Segment was developed for one client to be used in a highly specialized extract for external processing. It is not used by any processing logic within LifePRO®.

Submit/Paid Business [Contest]					
Marketing Segment ID		TRAD >>	Segment Type PB		
Premium Does This Segment Receive Premium Yes Based On Prem Order Premium Order (0 - 4) Minimum 0 Target 0 Planned 0 Excess 0 Initial Credit Select (E,L,G) L (na) Credit Percent Regional Sum Breakout					
Volume Does This Segment Receive Volume Yes Based On Face Amount Policy Count Credit % Policy Count Yes Credit Pct					
Product Group		Alternate Marketing Credit Segments			
(Blank defaults to Base)		For Trad Rated Ben			
Business Type Primary		For Specified Amt Inc			
		For Othr Rdr/Ann Rdr			
				OK	
				Cancel	

6.187 PC—UL Premium Change Segment

NOTE

Universal life only

The PC—UL Premium Change Segment controls the changing of minimum, target, guideline, and TAMRA premiums when certain policy changes occur.

Enter UL Premium Change Segment Criteria				
Segment ID	Segment Type	PC		
Processing Action Causing an Event to be Created	Minimum	Target	Guideline Level & Single	TAMRA
Select Increase Premiums to Update				
1. Increase to Base	Attained Age	Attained Age	Attained Age	Yes
2. Increase to Rider(s)				Yes
3. Addition of Rider(s)				Yes
4. Non-Level to Level Death				Yes
Benefit Option Change (Increase)				Yes
Select Decrease Premiums to Update				
5. Decrease to Base				Yes
6. Decrease to Rider(s)				Yes
7. Removal of Rider(s)				Yes
8. Termination of Rider(s)			NA	NA
9. Level to Non-level Death				Yes
Benefit Option Change (Decrease)				Yes
10. Partial Surrender on Level UL				Yes
Select Insured Benefit Options to Update				
11. Table Rating Change				Yes
12. Underwriting Class Change				Yes

OK
Cancel

For the events listed, designate the effect of the event on minimum, target, guideline, and TAMRA premiums.

A—Attained Age

I—Issue Age

N—No calculation If the event occurs, and the field is set to **No**, the Event record displays a 0.00 change in the corresponding premium.

NOTE

The TAMRA premium calculation is only based on attained age, not issue age. Therefore, for this column, the choices are limited to **Y—Yes** and **N—No**.

The TAMRA column for the Table Rating Change and Underwriting Class Change fields has the following options.

Y—Yes The event is treated as a material change.

N—No The event is not treated as a material change.

R—Reduction The 7-pay premium is recalculated as of the original policy issue date. The reduced TAMRA premium is equal to the TAMRA premium that the policy has without the rating on the original issue date.

A reduction event sets the MEC Indicator to **Warning** if the recalculated 7-pay premium limit is less than or equal to zero and any non-1035 premium has been collected within the 7-pay period. The MEC Date on the benefit is set to the date the cumulative premiums paid exceeded the cumulative new 7-pay premium limit.

6.188 PD—Policy Delivery Follow Up

NOTE

Universal life only

If the PD—Policy Delivery Follow Up Segment is turned on, the system creates an RQUE record at issue with a date of the issue date plus the number of days in the Days to 1st Delivery Date Check field.

When that date is reached and the RQUE processes, the system looks to see if the Delivery Date field on the contract is non-zero, having been set manually through Inforce.

If still zero, a letter goes to the agent and a second RQUE record for the issue date plus the number in the Days to 2nd Delivery Date Check field is created.

At that future point, the RQUE process again checks for a zero date.

If zero, policy documents are reprinted for mailing to the policyholder, and any commissions paid to the agents are reversed (the policy is not reversed in any way).

The screenshot shows a dialog box titled "Enter Policy Delivery Follow-up Criteria". It contains the following fields and controls:

- Segment ID:** A text field containing "STD UL" followed by a ">>" button.
- Segment Type:** A label with the value "PD".
- Days to 1st Delivery Date Check:** A numeric field containing the value "45".
- Days to 2nd Delivery Date Check:** A numeric field containing the value "60".
- Buttons:** "OK" and "Cancel" buttons located at the bottom right of the dialog.

6.189 PF—Policy Fees Segment

NOTE

Traditional only

The PF—Policy Fees Segment directs *LifePRO*® to banded policy fees instead of the usual policy fee on the Coverage Record. This segment overrides the Policy/Rider Basis field on the first screen of the Coverage Record.

LifePRO® uses these fees as annual fees each year. For example, there is no variation of policy fees over time. If such a structure is needed (for example, 20.00 in band 1 for years 1-5, then 10.00 thereafter), use the VP—Variable Policy Fee Segment.

Policy Fee Segment						
Segment ID	P&RWL >>			Segment Type	PF	
Are Values Banded	Yes					
Mode Rule ID	>>					
Rounding Rule						
Band Upper Limits						
99999	199999	999999999	0	0	0	0
10.00	20.00	30.00	0.00	0.00	0.00	0.00
						Mode Rule
						OK
						Cancel

The following table contains definitions for the fields on the PF Segment.

Field	Description
Are Values Banded	Rates can be varied depending on the face amount of the policy. This field determines if rates are banded. Y—Yes N—No
Mode Rule ID	Enter the ID for the Premium Mode Rule Table in this field.
Rounding Rule	The rate type selected determines on what the rates are based and where in the rate file the rates are input. 00—The rate is truncated after cents. 12—The rate per unit is multiplied by the number of units, then rounded to the nearest cent. 32—Special rules are applicable to premiums. 42—Special rules are applicable to premiums. 52—Special rules are applicable to premiums. <u>Step 1:</u> Premium rates are multiplied by the mode factor. <u>Step 2:</u> Round the result from Step 1 according to the first digit. 3—Truncate the rate after cents. 4—Round the rate to the nearest cent. 5—Round the rate to the highest cent. <u>Step 3:</u> Multiply the result in Step 2 by the number of units and round to the nearest cent.
Band Upper Limits	The policy fee amount can be varied by the face amount of the policy. Enter the maximum face amount for each band in the Band Upper Limit fields.
Policy Fee	Enter the annual policy fee amount for each band directly below the Band Upper Limit header. The annual policy fee is modalized using the modal factors on the Premium Mode Rules screen.

6.190 PI—Pour In

NOTE

Traditional only

The PI—Pour-in Segment was created for component type PI—Pour-in only. This segment provides controls that define parameters for the use of the pour-in rider. Through this segment, the pour-in may be restricted to only the first year, or to only one deposit. In addition, the amount that may be applied to the policy contract through the pour-in rider is limited to a percentage of face amount. The face amount includes the base universal life coverage as well as any universal life riders attached at issue with a component type IT. For instance, if more than one pour-in is allowed within the product setup, the maximum amount that may be paid, based on the percentage, can be increased by adding such a UL rider. The percentage amount may vary by issue age with 10 age ranges provided. The face amount that the percentage is applied is based on the issue face amount.

Enter Pour In Segment Criteria						
Segment ID	TRAD		>>		Segment Type	PI
Restrict Pour-in Deposits to First Year			Yes			
Limit Pour-in to One Deposit			Yes			
Through Age	20	30	35	40	45	
Percent Allowed	6.00%	7.50%	8.00%	9.00%	9.50%	
Through Age	50	55	60	65	70	
Percent Allowed	11.00%	11.56%	13.00%	13.50%	14.00%	
					OK	
					Cancel	

The following table contains definitions for the fields on the PI Segment.

Field	Description
Restrict Pour-in Deposits to First Year	Y—Yes Pour-in deposits are restricted to the first year only. If a pour-in payment is entered with an effective date after the first year with an allocation to the pour-in rider, the system applies the full amount to the base coverage and displays the message <i>Pour-in restricted to 1st year. Pour-in applied to Base- \$ ____ Accounting Control # ____ . Accounting Effective Date MM/DD/YYYY.</i> N—No Pour-in rider deposits are allowed to be made after the first year.
Limit Pour-in to One Deposit	Y—Yes Pour-in rider deposits are limited to one. If payments are limited to one deposit and more than one deposit is attempted, the payment is not accepted and is reversed leaving the money in unapplied cash. The message <i>Only one Pour-in allowed. Pour-in amt. Applied to Base- \$ ____ Accounting Control # ____ . Accounting Effective Date MM/DD/YYYY</i> is displayed. Additionally, the error message <i>Pour-in exceeded max of \$ ____ by \$ ____ . Applied to base Accounting Control # ____ . Accounting Effective Date MM/DD/YYYY</i> is displayed if the first deposit amount, not the percent, of the allocation to the pour-in rider exceeds the issue age based percent limitation. N—No More than one pour-in rider deposit can be made.

Field	Description
Through Age	This field is used in calculating the pour-in limit restriction amount and defines the issue age through which the percentage defined in the Percent Allowed field is applicable. Up to 10 age ranges may be defined. The pour-in limit calculation is shown below. $D * API\% \leq (BF + ULF) * MPI\%$ where D = Premium deposit API% = Percentage of deposit allocated to pour-in rider BF = Base face amount ULF = UL rider face amount MPI% = Maximum percentage of face allocatable to pour-in rider
Percent Allowed	This field is used in calculating the pour-in limit restriction amount and defines the percentage allowed for specific issue ages as defined in the Through Age field. The maximum field amount is 999.99. The pour-in limit calculation is displayed below. $D * API\% \leq (BF + ULF) * MPI\%$ where D = Premium deposit API% = Percentage of deposit allocated to pour-in rider BF = Base face amount ULF = UL rider face amount MPI% = Maximum percentage of face allocatable to pour-in rider

Pour-in Riders Processing Notes

NOTE

The Manual Premium Payment screen is the facility provided for processing pour-in payments and providing warning messages. The minimum premium requirements for the policy contract must be satisfied prior to any money being allocated to the pour-in rider. Any payment overrides the allocation percentages and allocates the payment to the base coverages in total until that requirement is satisfied.

When **Process w/ Prem** is clicked from a Manual Premium Payment screen, the system processes the premium, if applicable, and displays the warning message when **OK** is clicked. You have the option of choosing to accept the warning message and process a payment, which has been reallocated to the base coverage, or to reject the payment to unapplied cash for further analysis. The reallocation is accepted by clicking **OK**.

Pour-in warning messages are displayed in the following list.

- If the maximum pour-in allowed amount is exceeded, the Manual Premium Payment screen applies the payment when **Process w/ Prem** is clicked and displays the message *Pour-in exceeded max of \$ ____ by \$ ____ . Applied to base Accounting Control # ____ . Accounting Effective Date MM/DD/YYYY.* when **Cancel** is clicked.
- If a pour-in payment is entered with an effective date after the first year with an allocation to the pour-in rider, the system applies the full amount to the base coverage and displays the message *Pour-in restricted to 1st year. Pour-in applied to Base- \$ ____ Accounting Control # ____ . Accounting Effective Date MM/DD/YYYY.*
- If payments are limited to one deposit and more than one deposit is attempted, the payment is not accepted and is reversed leaving the money in unapplied cash. The message *Only one Pour-in allowed. Pour-in amt. Applied to Base- \$ ____ Accounting Control # ____ . Accounting Effective Date MM/DD/YYYY.* is displayed.

6.191 PJ—Prearrangement Options Segment

NOTE

Traditional only for BA and OR type components

The PJ—Prearrangement Options Segment determines if commissions are calculated using the face amount of the policy or a prearrangement amount. The prearrangement amount is the total amount of goods and services used to fund a funeral.

Each PJ Segment can be used to define four different commission option and prearrangement factor combinations. The prearrangement factors are defined on the PK—Prearrangement Factors Segment identified on the PJ Segment for each commission option. The prearrangement amount is calculated by dividing the benefit face amount by the prearrangement factor.

This segment is accessed from the Prearrangement Options field on the CM—Commission Class Rule Segment. This segment ID is defined in this field and the segment is accessed by pressing **F4**.

Prearrangement Options	
Segment ID	KLE
Segment Type	PJ
Commissions Paid on	PAA Amount
Commission Option	Prearrangement Factors
01	50 >>
	>>
	>>
	>>
Preneed Tolerance Amount	0.00
OK	
Cancel	

The following table contains definitions for the fields on the PJ Segment.

Field	Description
Commissions Paid on	This field determines if commissions are calculated based on the face amount of the benefit or the prearrangement amount. P—PAA Commissions are calculated using the prearrangement amount. The calculation is the benefit face amount divided by the prearrangement factor defined on the PK Segment. This is the default. F—Face Commissions are calculated using the face amount.
Commission Option	These fields define up to four commission options that use the PK—Prearrangement Factors Segment to calculate the prearrangement amount.
Prearrangement Factors	The PK—Prearrangement Factors Segment for the corresponding commission option is selected and accessed from this field by pressing F4. The PK Segment is used to define the factors that are used when calculating the prearrangement amount for the associated commission option.
Preneed Tolerance Amount	This field defines the range allowed when comparing the system calculated prearrangement amount to the amount input in the Total Prearrangement Goods and Service field in New Business. If the difference is not within the tolerance limits, the warning message <i>Goods and Services Amount is not within Tolerance</i> is displayed. This warning message does not prohibit the policy from being issued.

6.192 PK—Prearrangement Factors Segment

NOTE

Traditional only for BA and OR type components.

The PK—Prearrangement Factors Segment defines the rates used to calculate the system generated prearrangement amount. The system generated prearrangement amount is calculated by dividing the face amount of the benefit by the appropriate factor on the PK Segment.

Segment Detail							
Segment ID	SO >>			Segment Type	PK		
Key Modifier	PK			Do Values Vary By			
Are Values Banded	No			Underwriting Class	No		
Female Rate Basis	Male With Setback						
Setback Years	0						
Rate Type	Attained Age						
Rate Rounding Rule	00			Rate Mode Rule ID	N/A		
Band Upper Limits:	9999999	0	0	0	0	0	0
First Duration Value Is Available	1						
				Mode Rules Rates Calculate Values OK Cancel			

Refer to Section 12, Chapter 3—Premiums—Upper Portion of Screen Field Definitions on page 12-17 in this book for a description of the fields on the upper portion of the screen.

6.193 PL—Special Class Loan Rules

This segment is accessed through the Special Class Loan ID field on the LN—Loan Interest Rates Segment and is used to define an alternate loan rate and to administer non-collateralized loans. This segment defines the loan parameters and rules for using the alternate rates based on a percentage of a fund balance or constant amount.

Enter Special Class Loan Segment Criteria			
Segment ID	UL1 >>	Select Period	Duration 10
Type	PL	Ultimate ID	
Constant Loan Rate	.00% -Or-	Variable Rate ID	Rule 03
Loan Basis:	Cash Value		
Maximum Amount Available	0.00000		
Based On	Fund Balance Multiple		
	Greater Of		Last Anniversary Surrender Value
	Or		Anniversary Surrender Value Prior To
			Most Recent Spec Class Loan
Maximum Times Per Year	0		
Valid NCL Multiple	0	Relationship Check For NCL	
NCL Default Deferment	0	NCL Default Repayment:	0
NCL Maximum Deferment	0	NCL Maximum Repayment:	0
Use Separate Loan Fund?			
Special Class Fund ID	>>		
Recommended: This Fund ID Is Not The Same As The Fund ID For The Regular Loan Fund If It Also Uses New Money / Old Money.			
			View
			OK
			Cancel

For banded special class loans, the first PL Segment defines the Select Period for which the rate on the LN—Loan Interest Rate Segment is applicable. After the Select Period expires, the rates are based on the PL Segment defined in the Ultimate ID field. Thus, two PL Segments must be defined for each special class loan band.

Refer to 6.139—LN—Loan Interest Rates Segment on page 12-522 in this book for more information regarding special class loans, including banded special class loans. The field descriptions for both the LN and PL Segments contain details on properly defining the PL Segments for banded special class loans.

The following table contains definitions for the fields on the PL Segment.

Field	Description
Constant Loan Rate	If a constant loan rate is applied when calculating the interest on the loan, input the rate in this field. The interest amount is used for the special class or non-collateralized loans only. If a cash value loan or an automatic premium loan (APL) is taken, the loan interest rate defined on the LN—Loan Interest Segment is used to calculate the interest for that loan. It is important to note that if the loan interest rate is zero, it must be set up as a variable rate and the Declared Interest Rates File must be added. A zero rate cannot be defined in the Constant Rate field.
Variable Rate ID	If the loan has a variable interest rate, input the rate ID in this field. The rate ID can be up to five alphanumeric characters. The actual rates are set up via the Declared Interest Rates File, accessed through the Rates and Factors option in the Product System. The rate ID selected in this field must be used on the Declared Interest Rates File. The rate type must be PL, and the rule code must be 03. The Variable Rate field on the third Coverage Record screen controls if variable rate loans are allowed. The interest amount is used for the special class or non-collateralized loans only. If a cash value loan or an APL loan is taken, the loan interest rate defined on the LN—Loan Segment is used to calculate the interest for that loan. It is important to note that if the loan interest rate is zero, it must be set up as a variable rate and the Declared Interest Rates File must be added with zero rates.
Rule	03 is the only valid option. This indicates that variable rate loans are used.
Loan Basis	This field defaults based on the selection made in the Special Class Loan Available field on the LN—Loan Segment. The field cannot be updated. ● Cash Value If Yes is selected in the Special Class Loan Available field on the LN Segment, the PL Segment is used for special class loans and this field is set to Cash Value.

Field	Description
Loan Basis (continued)	Non-Collateralized If Non-Collateralized Loans Available is selected in the Special Class Loan Available field on the LN Segment, the PL Segment is used for non-collateralized loans and this field is set to Non-Collateralized.
Maximum Amount Available	For non-collateralized loans, this field is the maximum loan amount that can be taken as a non-collateralized loan. An edit is performed when the loan is quoted to verify that the amount requested does not exceed the maximum amount selected in this field. It is important to note that if the Relationship Check for NCL field limits the loan to one during an individual's lifetime with that particular relationship, only one non-collateralized loan is allowed, regardless of the amount. For special class loans, this is the amount of the loan that qualifies for the special class loan interest rate. Any amount borrowed in excess is charged the interest rate from the LN—Loan Segment. This field is not applicable when the Capped Per Policy Year is selected for the Special Class Loan Available field on the LN—Loan Segment. If the Maximum Amount Available field is set up and the Capped Per Policy Year option is selected, <i>Capped By Policy Year Spec Class Loans Require Greater Than Option To Be Used</i> is displayed during loan processing.
Based On	This field determines if the loan amount must be a multiple of the number selected in the Valid NCL Multiple field. An edit is performed when the loan is quoted to verify that the amount requested is a multiple of the amount selected, if this field is set to Constant Amount. C—Constant Amount This option is used for non-collateralized loans. The loan amount requested must be a multiple of the number selected in the Valid NCL Multiple field. When the PL Segment is used for non-collateralized loans, this field defaults to Constant Amount and cannot be changed. For example, if the Valid NCL Multiple field is set to 100, the loan amount requested must be a multiple of 100. Therefore, the amount of \$4200 could be processed, but the amount of \$4250 could not be processed because it is not a multiple of 100.

Field	Description
Based On (continued)	F—Fund Balance Multiple G—Greater Of This option uses the greater of the percentage of the anniversary fund value, or the percentage of the fund value on the anniversary prior to the most recent special class loan to compute a special class loan amount. The amount calculated acts as a cap on the total of the outstanding special class loans for the policy.
Last Anniversary Value	
Anniversary Surrender Value Prior To First Spec Class Loan	
Maximum Times per Year	This field is for special class loans only. This field determines the number of special class loans allowed during one year.
Valid NCL Multiple	If the Based On field is Constant Amount, the multiple number is defined in this field. An edit is performed when the loan is requested to verify that the amount is a multiple of the amount selected in this field. For example, if the multiple selected is \$50, the loan amount must be an increment of \$50. Therefore, a loan for \$3200 or \$3250 could be processed but a loan for \$3230 could not be processed.
Relationship Check For NCL	This field limits the non-collateralized loan allowed to one per individual for the relationship defined in this field. An edit is performed against the individual's name and relationship to his relationship on other policies. For all policies on which the individual has the same relationship defined on the Relationship Check for NCL field, only one non-collateralized loan can be processed. If a second non-collateralized loan is requested, the error <i>Non-collateral loan already exists for ___ Relationship</i> is displayed. For example, if the PA—Payor relationship is selected, the individual can only take one loan on a policy where he is the payor. However, he may take a second loan on a policy if he has another relationship on the policy that is not the payor. To select a relationship, input the relationship code or press F7 to select a relationship code from a relationship cross reference list. If the field is left blank, the edit is not performed.
NCL Default Deferment	This field defines the default number of months or days from the date of the loan when repayments begin. After the loan is processed, the date calculated is displayed. The date can be overridden when the loan is processed. After inputting the number, click to the next field to select either M—Months or D—Days.

Field	Description
NCL Default Repayment	This field defines the default number of months or years that the individual has to repay the loan. This number of months or years is used to calculate the loan repayment amortization table. This length of the repayment period can be overridden when the loan is processed. After inputting the number, click to the next field to select the time period. M—Months Y—Years
NCL Maximum Deferment	This field defines the maximum number of months or days that the loan can be deferred. If the default deferment is overridden when the loan is processed, the date selected must not be after the maximum deferment months or days. An edit is performed when the deferment period is overridden to verify that the date selected does not exceed the maximum limit. If the maximum deferment does exceed the limit, the error message <i>Loan deferment period exceeds maximum of xx months</i> is displayed. After inputting the number click to the next field to select the time period. M—Months D—Days
NCL Maximum Repayment	This field defines the maximum number of months or years that the loan can be repaid. If the default repayment period is overridden when the loan is processed, the period selected must not be longer than the maximum repayment period in months or years. An edit is performed when the repayment is overridden to verify that the period selected does not exceed the maximum limit. If the maximum repayment period does exceed the limit, the error message <i>Loan payment period exceeds maximum of xx months</i> is displayed. After inputting the number click to the next field to select the time period. M—Months Y—Years
Use Separate Loan Fund	This field is only accessible if Yes is selected in the Special Class Loan Available field on the LN Segment. Select Y—Yes to define the Special Class Fund ID field on the PL Segment.
Special Class Fund ID	This field defines the fund segment that applies to the special class loan.

Non Collateralized Loan Notes

The PL—Special Class Loan Rules Segment and the following areas are available to administer non-collateralized loans.

Non-collateralized Loan Setup

- **Coverage Record**—The Loan Allowed field on the third screen of the Coverage Record must be set to **Yes** and the Interest Basis field must be set to **Arrears**. If the Interest Basis field is **Advance**, an error message is displayed when a non-collateralized loan is processed.
- **LN Segment**—The NFO Over Loan Opt field on the LN—Loan Segment must be set to **Suspend & Generate ENS** in order for the policy status to change to suspended and to have an ENS message generated. This prevents the policy from being surrendered and the loan being paid off. This works in conjunction with the automatic premium loan (APL) nonforfeiture option for the policy. In addition, the Special Class Loan Available field must be set to **Non-Collateralized Loans Available** and a Segment ID for the PL Segment must be defined in the Special Class Loan ID field on the LN Segment.

Non-collateralized Loan Processing

- **Accounting**—The 0414 Loans, 0415 Loan Interest, and 0416 Loan Repayments accounting transaction codes are available to administer non-collateralized loans.
- **Correspondence**—An NCL Payoff letter is available on the L0—Letter Type Segment. This letter is generated when the payment for the last non-collateralized loan repayment is processed.
- **Follow-up Record**—The follow up code @CAP is available through Follow Up Definitions. This Follow up Record is generated the number of days defined prior to the last loan payment.
- **Loan Quote Processing**—When processing a non-collateralized loan, the Basis field is set to **Non-Collateralized** on the Loan Quote screen. The fields on the right side of the Loan Quote screen are completed with information from the PL Segment. Pressing **F5** from the Loan Quote screen displays an amortization table for the loan repayment. When processing the loan, the Accounting Destination screen is displayed. If **Pay Suspense** is selected, the non-collateralized loan is processed and the Loan Repayment window is displayed. The Loan Repayment window displays the total amount of the loan that must be repaid and the amount of each payment. In addition, the deferment period is calculated and the date the repayments should begin is displayed. When the deferment period is over, the bill for the policy includes the loan repayment amount.
- **Nonforfeiture Processing**—The policy nonforfeiture option must be set to 1, 2, or 3. If NFO processing is invoked and there is not an outstanding non-collateralized loan, the policy is suspended due to the fact that an APL cannot be processed. This prevents the policy from being surrendered and paying off the loan.

6.194 PN—Non-Ded Valuation Prem Segment

NOTE

Traditional only

The PN—Non-Ded Valuation Prem Segment directs LifePRO® to valuation premiums used in non-deduction of premium reserves.

Premium Segment File

Segment ID: 10TSWL94 >> Segment Type: PN

Key Modifier: NP Do Values Vary By: No

Are Values Banded: No Underwriting Class: Yes

Female Rate Basis: Male With Setback

Setback Years: 0

Rate Type: Age And Duration

Rate Rounding Rule: Truncate After Cents

Band Upper Limits: 9999999 0 0 0 0 0 0

Premium Select Period: 0 Premium Change Frequency: 1

Premium Mode Rule ID: NA

Coverage ID Of Ultimate Rates: NA

Premium Rate Calculation Rule: Units Purchased

Extended Key Definition Used: No

Mode Rules
Rates
Extended Key
Table Extra
OK
Cancel

Fields Unique to this Segment

Refer to Section 12, Chapter 3—Premiums—Upper Portion of Screen Field Definitions on page 12-17 in this book for a description of the fields in the upper portion of the screen.

Field	Description
Rate Rounding Rule	This field is set to Truncate After Cents and cannot be updated.
Premium Select Period	The length of time, in years, the selected rates are used is displayed in this field. If the same rate segment is used for all years and the Rate Type is Attained Age , Issue Age , or Duration Only , input 0 in this field. If the same rate segment is used for all years and the Rate Type is Age and Duration , input 999 in this field.

Field	Description
Premium Change Frequency	The change frequency indicates the number of durations at a time the rates are held constant. For example, a 5-year renewable and convertible term product with premiums that are level for 5 years then jump to the attained age and remain level again for 5 years, has a premium change frequency of 5. If the rates remain the same for all years, input 0 in this field.
Premium Mode Rule ID	The premium mode rule ID, coupled with the form (direct, preauthorized check, list bill, government allotment, or credit card) allows the system to access a Mode Rule Record. The modalization factors for each mode (monthly, quarterly) are located in the Mode Rule Record. A maximum of 10 characters may be entered in this field.
Coverage ID Of Ultimate Rates	The segment ID of the segment that contains the rates that are used when the premiums change is displayed in this field. The rates change as indicated in the Premium Change Frequency field. If the same rate segment is used for all years and the Rate Type is Attained Age, Issue Age, or Duration Only , this field is left blank. If the same rate segment is used for all years and the Rate Type is Age and Duration , input NA in this field.
Premium Rate Calculation Rule	U—Units Purchased The premium is computed as the units purchased at issue of the coverage, multiplied by the premium rate found according to the rules in the upper part of the segment. D—Death Benefit The premium is computed as the death benefit at the point of the calculation, divided by 1000, and then multiplied by the rate found according to the rules code. P—Percentage The premium is calculated as a percentage per \$100 of premium for the benefits that are included for premium waiver as defined on the Coverage Record. This option is only available for waiver coverages. 1—W1 Segment The premium is calculated using the sum of premiums from the W1 Segment for non-waiver coverages. This option is only available for waiver coverages. 2—W2 Segment The premium is calculated using the sum of premiums from the W2 Segment for non-waiver coverages. This option is only available for waiver coverages. For example, assume a coverage is a decreasing term product with death benefits of 1000, 900, 800, 700, 600, 500. The rates are coded as A, changing annually. If the premium rate calculation rule is coded as premium D, then in year three, the system computes the premium as $800/1000 * \text{year-3 rate}$, not as $1000 / 1000 * \text{year-3 rate}$.

Field	Description
Premium Rate Calculation Rule (continued)	A—Percent Of Account Value The premium is calculated by determining the average of the monthaversary account values for the time period defined in the Last __ Months field. (This calculation method only averages the account values found during monthaversary processing for the last <i>n</i> months, and does not include partial valuations.) E—Percent Of Eligible Premiums (GB Only) This option can only be used for GB—Guaranteed Benefit type riders. When this option is used, deductions for the GB rider are based on eligible premiums that are defined on the LM—Living/Maturity Segment for the base benefit. W—Percent of Greater of GMWB Eligible Premiums or Lifetime Basis (GW Only) This option can only be used for GW type riders. When this option is used, deductions for the GW rider are based on the greater of eligible premiums or lifetime basis defined on the GW—Guaranteed Withdrawal Segment for the base benefit.
Extended Key Definition Used	Currently, this field applies to line of business H—Health only. Y—Yes The KD Segment must be coded. Premiums are not in the Attained Age or Age/Duration File. Instead, they are in separate health files. Refer to Section 12, 6.196—PR—Premium Segment on page 12-725 in this book for a detailed description of extended keys.

6.195 PO—Money Purchase Option Segment

The PO—Money Purchase Option Segment directs *LifePRO*® on how to compute face amount from a given premium in New Business.

The screenshot shows a dialog box titled "Money Purchase Option Segment". It contains the following fields and controls:

- Segment ID: A text input field followed by a right-pointing arrow button.
- Segment Type: A text field containing the value "PO".
- Default Money Purchase Type: A dropdown menu currently showing "Minimum".
- Percentage of Planned Premium: A text input field containing ".00%".
- Modifiable?: A dropdown menu currently showing "No".
- Money Purchase Ratebook Variables: A section containing three rows, each with a label and a text input field:
 - Monthly Income Per 1000 CSV at 55 (Current): .00
 - Monthly Income Per 1000 CSV at 65 (Current): .00
 - Monthly Income Per 1000 CSV at 65 (Guaranteed): .00
- OK and Cancel buttons: Located at the bottom right of the dialog.

The following table contains definitions for the fields on the PO Segment.

Field	Description
Default Money Purchase Type	T—Target Compute a face amount such that the premium entered is the target premium for that face amount or riders. G—Guideline Compute a face amount such that the premium entered is the guideline level premium for that face or riders. M—Minimum Compute a face amount such that the premium entered is the minimum premium for that face or riders. N—None P—Percent of Planned Premium The specified amount is computed based on a specific percentage of the annual planned premium and the premium payment period.

The computed face amount is calculated as shown below.

$$\text{Annualized modal purchase premium} * \text{Percentage of planned premium} * (\text{Number of premium payment months}/12)$$

When this option is used with contribution enablement (source and type tracking), money purchase rules are applied on an increment by increment basis to determine a specified amount of each increment layer. The purchase rule is applied separately to each increment that is defined to have an associated specified amount generated (based on the TS—Source/Type Record Rules Segment setup).

When the money purchase method is target, minimum, or guideline, the face amount is computed using the total premium of all increments that generate specified amount, and then distributed on a pro-rata basis based on the amount of premium each increment applies to the total. Performing an increment add does not change the specified amount for older increment layers on the policy.

Field	Description
Percentage of Planned Premium	The percentage input in this field is valid only when Percent of Planned Premium is selected in the Default Money Purchase Type field. The default for this field is zero. Valid values allow for percentages up to 9999.9%. For products that do not use a percent of planned premium death benefit and only have a percent of fund value or premium paid death benefit, this field can be set to zero, resulting in all increments having a specified amount of zero. The death benefit for the increments are then based on the setup of the UL—Corridor Calculation Segment. When setting up the PO Segment with an existing money purchase type (target, guideline, or minimum), it is suggested that this field is set to a percentage other than zero if the Modifiable field is set to Yes.
Modifiable	Y—Yes The default can be changed to any of the other values, as well as N—None. If None is chosen in New Business, the system defaults to the normal approach (for example, enter face amounts). N—No No choice exists.
Monthly Income Per 1000 CSV at 55 (Current)	The amount input in this field is used when ratebook illustrations are processed through the Illustration System.
Monthly Income Per 1000 CSV at 65 (Current)	The amount input in this field is used when ratebook illustrations are processed through the Illustration System.
Monthly Income Per 1000 CSV at 65 (Guaranteed)	The amount input in this field is used when ratebook illustrations are processed through the Illustration System.

6.196 PR—Premium Segment

NOTE

This segment is required for lines of business L—Traditional and H—Health.

The PR—Premium Segment directs *LifePRO*® to the premium rates for traditional coverages, health coverages, or the mortality charges for riders on universal life products.

Premium Segment File	
Segment ID	DISINC >>
Segment Type	PR
Key Modifier	PR
Are Values Banded	No
Female Rate Basis	Male With Setback
Setback Years	0
Rate Type	Issue Age
Rate Rounding Rule	Round Premium Rate To Next Higher Cent
Substandard Percentage Rounding Rule	Round To Nearest 7 Decimal Places
Band Upper Limits	9999999 0 0 0 0 0 0
Premium Select Period	0
Premium Mode Rule ID	HLTH
Coverage ID Of Ultimate Rates	NA
Premium Rate Calculation Rule	Units Purchased
Extended Key Definition Used	Yes
Premium Change Frequency	999
Mode Rules	
Rates	
Extended Key	
Table Extra	
OK	
Cancel	

Fields Unique to this Segment

Refer to Section 12, Chapter 3—Premiums—Upper Portion of Screen Field Definitions on page 12-17 in this book for a description of the fields in the upper portion of the screen.

Field	Description
Substandard Percentage Rounding Rule	This field determines the rounding rule to be applied to rated premium calculations. (The Rate Rounding Rule field determines the rounding rule to be applied to basic modalized premium calculations.) 0—Round To Nearest 7 Decimal Places Using this rounding rule, LifePRO® adds 0.0099999 to the result of the unrounded premium calculation, then truncates the amount to 2 decimal places. For example, if the unrounded premium is 132.8749376, the rounded premium is 132.88 ($132.8749376 + 0.0099999 = 132.8849375$). This is the default. 1—Truncate After Cents Using this rounding rule, LifePRO® truncates the unrounded premium by discarding everything after the first two decimal places, without rounding. For example, if the unrounded premium is 132.8749376, the rounded premium is 132.87 (132.87 49376). 2—Round To Nearest Cent Using this rounding rule, LifePRO® considers the value of the digit three decimal places out, in the unrounded premium. If this digit is 4 or less, the value is rounded down to the nearest cent. If this digit is 5 or more, the value is rounded up to the nearest cent. For example, if the unrounded premium is 132.8749376, the rounded premium is 132.87. Or, if the unrounded premium is 132.8759376, the rounded premium is 132.88. 3—Round To Next Higher Cent Using this rounding rule, LifePRO® considers the value of digits three decimal places out or more, in the unrounded premium. If the value is greater than zero, LifePRO® rounds the value up to the next highest cent. For example, if the unrounded premium is 132.8749376, the rounded premium is 132.88. NOTE This field is not used to calculate premiums for health products with multiple insureds. For health products, the standard annual premium per unit is multiplied by the substandard rating. The result of this calculation is left at full 7 decimals. Next, the result of this calculation is multiplied by the number of units. This second result is rounded according to the Rate Rounding Rule selected on the PR Segment. This result is then modalized.

Field	Description
Premium Select Period	The length of time, in years, the selected rates are used is displayed in this field. If the same rate segment is used for all years and the Rate Type is Attained Age , Issue Age , or Duration Only , input 0 in this field. If the same rate segment is used for all years and the Rate Type is Age and Duration , input 999 in this field.
Premium Change Frequency	The change frequency indicates the number of durations at a time the rates are held constant. For example, a 5-year renewable and convertible term product that has premiums that are level for 5 years then jumps to the attained age and remains level again for 5 years, has a premium change frequency of 5. If the rates remain the same for all years, input 0 in this field.
Premium Mode Rule ID	The premium mode rule ID, coupled with the form (direct, preauthorized check, list bill, government allotment, or credit card) allows the system to access a Mode Rule Record. The modalization factors for each mode (monthly, quarterly) are located in the Mode Rule Record. A maximum of 10 characters may be entered in this field. NOTE If a policy fee is declared on the Coverage Record, it is only applied to the annual premium. The modalized fee is not applied to premiums with other modes. However, any fees declared using the Premium Mode Rule are applied to the appropriate modalized premiums.
Coverage ID Of Ultimate Rate	The segment ID of the segment that contains the rates that are used when the premiums change is displayed in this field. The rates change as indicated in the Premium Change Frequency field. If the same rate segment is used for all years and the Rate Type is Attained Age , Issue Age , or Duration Only , this field is left blank. If the same rate segment is used for all years and the Rate Type is Age and Duration , input NA in this field.
Premium Rate Calculation Rule	U—Units Purchased The premium is computed as the units purchased at issue of the coverage, multiplied by the premium rate found according to the rules in the upper part of the segment. If the rates are banded by units, the value per unit must be set to zero and a DB—Death Benefit Segment must be added. D—Death Benefit The premium is computed as the death benefit at the point of the calculation, divided by 1000, and then multiplied by the rate found according to the rules code. P—Percentage The premium is calculated as a percentage per unit value of premium for the benefits that are included for premium waiver as defined on the Coverage Record. This option is only available for waiver coverages.

Field	Description
Premium Rate Calculation Rule (continued)	1—W1 Segment The premium is calculated using the sum of premiums from the W1 Segment for non-waiver coverages. This option is only available for waiver coverages. 2—W2 Segment The premium is calculated using the sum of premiums from the W2 Segment for non-waiver coverages. This option is only available for waiver coverages. For example, assume a coverage is a decreasing term product with death benefits of 1000, 900, 800, 700, 600, 500. The rates are coded as A, changing annually. If the premium rate calculation rule is coded as premium D, then in year three, the system computes the premium as $800/1000 * \text{year-3 rate}$, not as $1000 / 1000 * \text{year-3 rate}$. A—Percent Of Account Value The premium is calculated by determining the average of the monthiversary account values for the time period defined in the Last __ Months field. (This calculation method only averages the account values found during monthiversary processing for the last <i>n</i> months, and does not include partial valuations.) When this option is selected for an HR—Health Rider, the deduction for the rider is calculated as the current account balance multiplied by the premium rate for the health rider. The deduction for the HR Rider is always monthly, in advance. E—Percent Of Eligible Premiums (GB Only) This option can only be used for GB—Guaranteed Benefit type riders. When this option is used, deductions for the GB rider are based on eligible premiums that are defined on the LM—Living/Maturity Segment for the base benefit. W—Percent of Greater of GMWB Eligible Premiums or Lifetime Basis (GW Only) This option can only be used for GW type riders. When this option is used, deductions for the GW rider are based on the greater of eligible premiums or lifetime basis defined on the GW—Guaranteed Withdrawal Segment for the base benefit. NOTE When this field is set to Percentage, W1 Segment, or W2 Segment, the Default Issue Amount field on the Component Record for the Waiver of Premium benefit should be set to Absolute with an amount of 1.00.

Field	Description
Last __ Months	This field is only displayed if the Premium Rate Calculation Rule field is set to Percent Of Account Value. This field is used to define the time period over which the account value is averaged for the premium calculation. The current month is not included in the last <i>n</i> months calculation; the last <i>n</i> months begins with the month just prior to the current month. For example, if the premium is calculated as of the monthiversary dated 01/01/2006 and this field is set to 12 months, the account value is averaged based on the twelve monthiversary account values from 01/01/2005 through 12/01/2005.
Extended Key Definition Used	Currently, this field applies to line of business H—Health only. Y—Yes The KD Segment must be coded. Then, premiums are not in the Attained Age or Age/Duration File. The following pages describe the process for defining health premium rates. N—No

The PR Segment and EC Segment can be cloned with all of the elements of the extended key definitions, including any rerates and modifiers. The segments can be cloned within a coverage or from other coverages. For example, a PR Segment with key definition rates can be cloned from an existing coverage into a new coverage. Or, the PR Segment with key definition rates can be cloned to the EC Segment for the same product.

The rates for the new PR—Premiums Segment or EC—Excluded Commissions Segment are cloned by completing the following steps.

1. From the Segment List for the product input the Segment ID for the PR or EC Segment and press **F4**.
2. Complete the screen, setting the Extended Key Definition Used field to **Yes**.

3. Click **Extended Key**. The Key Definition Base Rate Setup screen is displayed.

Key Definition Base Rate Setup			
Key Definition	DISABILITY	Rate Type	I
Segment ID	DISINC	Vary By Gender?	N
Type	PR	UWCLS?	N
Key Modifier	PR	Band?	N
Attained Age Increase Apply	Benefit Anniversary	Guarantee Period Varies by State?	
ENS Message on Rerate	No	Guarantee Period	12 months - 0 times (0 = once)
Base Rate Variance		2nd Guarantee Period	0 months - 0 times
State Code	No Variance	2nd Guarantee	Set
Area Code	No Variance	Section 125	
WEEKLY BENEFIT	Full Variance	Guarantee Period	0 months - 0 times (0 = once)
ELIMINATION PERIOD	Full Variance	2nd Guarantee Period	0 months - 0 times
		2nd Guarantee	Set
		Use Rerate Applied Date History?	No
		Override Guarantee Period for Change of Residence?	No
		Override Premium Change Frequency?	No
		Apply Rerate After Correspondence Notification?	No
		Use State?	Resident State
		Area Code Custom Translation	

[States](#)
[Modifiers](#)
[Rates](#)
[Re-rates](#)
[Variances](#)
[Rules](#)
[OK](#)
[Cancel](#)

4. Press **Alt+F9**. The Cloning window is displayed.

The screenshot shows the 'Key Definition Base Rate Setup' window. An 'Extended Key Clone Window' is open in the foreground, prompting the user to 'Input the Key Information of the Extended Key Data You Wish to Copy From'. The fields in the clone window are: Key Def ID (MAJOR MED), Segment ID (MAJOR MED), and Segment Type (PR). The background window shows various setup options, including 'Use Rerate Applied Date History?' (No), 'Override Guarantee Period for Change of Residence?' (No), 'Override Premium Change Frequency?' (No), 'Apply Rerate After Correspondence Notification?' (No), 'Use State?' (Resident State), and 'Area Code Custom Translation'. The 'Page 1 of 1' indicator is visible at the bottom left of the background window.

5. Complete the fields on the Cloning window.

Field	Description
Key Def ID	The segment ID of the KD Segment from which you are cloning is input in this field.
Segment ID	The segment ID of the PR or EC Segment from which you are cloning is input in this field.
Segment Type	The two digit segment type of the segment from which you are cloning is input in this field. EC —Excluded Commission Segment PR —Premium Segment

The values on the Key Definition Base Rate Setup screen are updated to reflect the rates that have been cloned.

Key Definition Base Rate Setup

Key Definition: DISABILITY
 Segment ID: DISINC
 Type: PR Key Modifier: PR
 Rate Type: I Vary By Gender?: N UWCLS?: N Band?: N
 Rerates Date: Insured Issue Date
 Attained Age Increase Apply: Benefit Anniversary
 ENS Message on Rerate: No
 Guarantee Period Varies by State?: No
 Guarantee Period: 12 months - 0 times (0 = once)
 2nd Guarantee Period: 0 months - 0 times
 2nd Guarantee: Set
 Section 125
 Guarantee Period: 0 months - 0 times (0 = once)
 2nd Guarantee Period: 0 months - 0 times
 2nd Guarantee: Set
 Use Rerate Applied Date History?: No
 Override Guarantee Period for Change of Residence?: No
 Override Premium Change Frequency?: No
 Apply Rerate After Correspondence Notification?: No
 Use State?: Resident State
 Area Code Custom Translation: ☐
 Base Rate Variance
 State Code: No Variance
 Area Code: No Variance
 WEEKLY BENEFIT: Full Variance
 ELIMINATION PERIOD: Full Variance
 Page 1 of 1

States
 Modifiers
 Rates
 Re-rates
 Variances
 Rules
 OK
 Cancel

KD—Key Definition Segment Notes

- If a different KD Segment ID is used on the new coverage and the number of positions for the elements and selections are the same, the clone processes; however, a warning message *Target Coverage Uses KD Segment ID (Name of Segment ID)* is displayed on the bottom of the Key Definition Base Rate Setup screen. If the same KD Segment ID is used, no warning message is displayed and the clone automatically processes.
- The rates for each key definition are cloned by position. For example, assume the elimination period is coded as the first key definition and the benefit period is coded as the second key definition on the existing product. Also assume the benefit period is coded as the first key definition and the elimination period is coded as the second key definition on the new product. The actual definitions are not used. The rates for the elimination period are cloned to the benefit period and the benefit period rates are cloned to the elimination period because the position of the key definitions were reversed.
- If the number of elements and selections are not the same on the new coverage as they are on the existing coverage, the clone process displays the message *Inconsistent KD Elements/Selections—Clone not Allowed* at the bottom of the Key Definition Base Rate Setup screen.

Mode Rules Substitution

The Mode Rule Substitution File is used to change the mode rule for a coverage without having to set up a new PR—Premium Segment through Issue Date Substitution. For example, assume that a coverage currently uses Mode Rule 01 which has a monthly factor of .0875. Also assume that Mode Rule 02 is set up with the monthly factor of .09, the new factor that will be effective 1/1/2008.

The Mode Rules Substitution screen is accessed by clicking **Mode Rules** from the Premium Segment.

Input the current Mode Rule in the Substitute Mode Rule with field and the new Mode Rule in the New Mode Rule field. Click **OK** to save the Substitution record.

Table Extra Data

Substandard rates per 1000 by table number can be defined from the PR Segment. When table extra ratings are used, the substandard rate per 1000 is used instead of the percentage shown on the Validation screen.

The following setup is required to use the table extra ratings.

- The Substandard Type field on the Coverage File screen must be **Table**.
- A rating table must be defined in the Rating Table field on the Component File screen.
- A rating table must be defined based on the table code selected on the Component File screen.
- The number of rating tables must be the same as the number of substandard tables coded on the Table Extra Definition screen.
- The percentage coded must be greater than 100%. Valid values are 100 - 999.

Complete the following steps to input the table extra rates.

1. From the PR Segment press **F10**.
2. Click **Table Extra**. The Table Extra Definition screen is displayed.

3. Press **F10** and complete the fields as described in the following table.
4. **Tab** to the rate table IDs and click **Rates**. The Rate File screen is displayed for the rate table ID selected. The substandard table IDs point to rate files that contain the substandard

rates per 1000 to apply per table. A rate file is created using the Table Extra Key field as the rate file ID. The rates can vary by band, underwriting class, gender, and rate type.

Attained Age Rate File

Segment ID >> Type >> Gender >> Band >> Underwriting Class >>

Age	Rate	Age	Rate	Age	Rate
000	3.0000000	013	3.4000000	026	3.4000000
001	3.1000000	014	3.4000000	027	3.4000000
002	3.2000000	015	3.4000000	028	3.4000000
003	3.3000000	016	3.4000000	029	3.4000000
004	3.4000000	017	3.4000000	030	3.4000000
005	3.4000000	018	3.4000000	031	3.4000000
006	3.4000000	019	3.4000000	032	3.4000000
007	3.4000000	020	3.4000000	033	3.4000000
008	3.4000000	021	3.4000000	034	3.4000000
009	3.4000000	022	3.4000000	035	3.4000000
010	3.4000000	023	3.4000000	036	3.4000000
011	3.4000000	024	3.4000000	037	3.4000000
012	3.4000000	025	3.4000000	038	3.4000000

5. Input the rates and click **OK**.
6. Click **Cancel**. The Table Extra Definition screen is displayed.
7. Click **OK** to save.
8. Click **Cancel** to return to the PR Segment screen.

The following table contains descriptions of the fields on the Table Extra Definition window.

Field	Description
Table Extra Key	The key defines the table that is used to define the rates. The ID selected can be up to 8 alphanumeric characters.
Are Table Extras Banded	Rates can be varied depending on the face amount of the policy. This field determines if rates are banded. Y—Yes Rates are banded by face amount. N—No The rates are the same for all bands.

Field	Description
Vary Table Extras by Und Class	Y—Yes The system looks at all underwriting classes listed on the Coverage Record. N—No Rates do not vary by underwriting class. The system only looks at the default underwriting class (the first one listed on the first screen of the Coverage Record) when finding the rates.
Female Rate Basis	The selection in this field designates the rates that are used for females. S—Setback The same rates are used for males and females, but the rates are set back a designated number of years for females. U—Unique Different rates are set up for females.
Setback Years	This field works in conjunction with the Female Rate Basis field. If Setback is selected in the Female Rate Basis field, the number of years the rates are set back is designated in this field. If the rates are the same for males and females, input a 0 in this field, which tells the system that the female rates are set back 0 years from the male rates.
Rate Type	The rate type selected determines on what the rates are based, and where in the rate file the rates are input. A—Attained Age I—Issue Age If Attained Age or Issue Age is selected, input the rates in the Attained Age Rate File. O—Duration Only D—Age And Duration If Duration Only or Age And Duration is selected, input the rates in the Age/Duration Rate File. If Duration Only is selected, the rates are input under age 0 in the Age/Duration Rate File.
Number of Substandard Tables	Input the number of tables that are defined. The number selected generates the same number of table pointers at the bottom of the screen. Up to 40 tables are supported. The rates can be viewed by pressing F10, clicking on a table ID pointer, and clicking Rates.

The following policy page and correspondence keywords can be used for table extra ratings.

TBLRATE—This keyword is the rate per 1,000 on a given policy for substandard extra premium.

TBLRTENO—This keyword is the actual substandard table number applied to a given policy.

Extended Key Definition

Before detailing the setup of LifePRO® health premium rates, the following example helps illustrate some basic concepts.

For the purpose of discussion, assume a major medical plan has the following set of rate categories.

Category	Values
Gender	● Male ● Female
Underwriting Class	● Standard ● Preferred
Band Number	● One band only
State	● TX ● OH ● All Other States
Area Code	● 1 ● 2 ● All Others
Deductible	● \$250 ● \$500
Waiting Period	● 1 Month ● 6 Months ● 12 Months

There are two methods of computing issue rates for these two plans.

- Base rates only
- Base rates and modifiers

- **Method 1—Base Rates Only**

Rates are coded for each combination of rating categories, based on all of the rating factors. This results in a large number of rate records. In the above example, this translates into 216 combinations, as shown below.

$$2(\text{gender}) * 2(\text{underwriting class}) * 3(\text{state}) * 3(\text{area}) * 2(\text{deductible}) * 3(\text{waiting period}) = 216$$

Keep in mind this example illustrates a case with relatively few variance factors. The possible combinations increase rapidly as the factors increase, such as more state or area code variations.

- **Method 2—Base Rates and Modifiers**

Method 2 allows for the least possible number of rate records. This method is best explained through an example.

Using the setup on the previous page, assume there are basic rates which depend on gender code and underwriting class. These base rates are modified by a state modifier, an area code modifier, a deductible modifier, and finally a waiting period modifier.

This type setup would require the following rates.

$$2(\text{gender}) * 2(\text{underwriting class}) = 4 \text{ base records}$$

Plus:

3 State Modifiers

3 Area Code Modifiers

2 Deductible Modifiers

3 Waiting Period Modifiers

for a total of 15 records (instead of 216 using method 1)

KD—Key Definition Segment Notes

The KD Key Definitions Segment is used to define extended keys. Extended keys are user defined factors which affect health premium rates. When setting up the PR—Premium Segment, there are standard variances that you do not have to define as extended keys, as listed below.

- Gender
- Underwriting class
- Band
- State code
- Area code

The extended keys are variances which are not defined in this standard list. These may include a deductible amount, a waiting period, or a co-payment amount. Defining extended keys on the KD Segment allows premium rates to be varied by these factors.

When coding a new business application in Policy Add, the system prompts for designation of extended key information on the New Business Insurance Benefits App screen. Refer to Section 12, 6.129—KD—Key Definition Segment on page 12-477 in this book for more information on defining extended keys.

Key Definition Base Rate Setup

Base premium rates are defined on the Key Definition Base Rate Setup screen. This screen is accessed by clicking **Extended Key** from the PR—Premium Segment.

The following table contains descriptions of the Key Definition Base Rate Setup screen fields.

Field	Description
Key Definition	This field lists the segment ID name selected when setting up the PR—Premium Segment.
Segment ID	The segment ID is listed in this field.
Type	The type is always PR—Premium.

Field	Description
Key Modifier	The key modifier points the system to the proper rates in the rate file. The key modifier should match the segment type if the rates are unique for the segment. To point to another segment's rates, update the key modifier to match that segment's segment type. (The segment IDs must also be the same to point to the other segment's rates.)
Rate Type	This field displays the rate type from the Premium Segment screen. It identifies the type of rates that are coded. A—Attained Age I—Issue Age O—Duration Only D—Age And Duration
Vary By Gender	Y—Yes Rates vary by the gender of the insured. Base rates or modifier rates are defined for male and female. N—No Rates do not vary by the gender of the insured.
Vary By UWCLS	This field indicates if rates vary by underwriting class. Y—Yes Rates vary by the underwriting class of the insured. Base rates or modifier rates are defined for each underwriting class. N—No Rates do not vary by underwriting class.
Vary By Band	This field indicates if rates vary by face amount. Y—Yes Rates vary by band. Base rates or modifier rates are defined for each band. N—No Rates do not vary by band.
Rerates Date	B—Benefit Issue Date The guarantee period for the effective date of the rerate is based on the issue date of the benefit when it is added to the policy. I—Insured Issue Date The guarantee period for the effective date of the rerate is based on the date the insured was added to the policy. P—Policy Issue Date The guarantee period for the effective date of the rerate is based on the policy anniversary date. The rerates for all benefits occur on the same date.
Guarantee Period Varies by State	Y—Yes The guarantee periods can vary by state. Click States to access the State Selection screen and define the guarantee periods for each state. If a state does not have a guarantee period specified, the default guarantee periods defined in the following two fields are used. N—No The guarantee period does not vary by state. The guarantee period specified in the following two fields is used for all states.

Field	Description
Attained Age Increase Apply	This field defines if an attained age increase is to occur on the benefit anniversary or the policy anniversary. B—Benefit Anniversary P—Policy Anniversary
Guarantee Period	The number of months the premium amount is guaranteed for the first period is input in this field. The second field specifies the number of times this period is in effect. For example, the premium amount could be guaranteed for 6 months for 1 time. Therefore, if a rerate is effective during the first 6 months of the policy, the premium amount does not change until the seventh policy month.
ENS Message on Rerate	This field defines if an ENS message is generated when a rerate occurs on a policy. Y—Yes Generate an ENS message when a rerate occurs. N—No Do not generate an ENS message when a rerate occurs.
2nd Guarantee Period	The number of months the premium amount is guaranteed for the second period is input in this field. The second field specifies the number of times this guarantee period is in effect. For example, the second guarantee period could be for 3 months for the remaining life of the policy. The premium amount only changes once each three months, regardless of the rerates effective during the guarantee period.
occurring ____ times	Designate the number of times the rate guarantee period recurs. If this field is set to 0, the rate guarantee period only occurs once. For example, if the Guarantee Period field is set to 12 and the Occur ____ Times field is set to 5, rates are guaranteed for 12 months, then the rates can change. At that point they are guaranteed for another 12 months. This process continues until 5 cycles are complete. At that point, there is not a rate guarantee.
2nd Guarantee	This field further defines the second guarantee period as either a set or a floating period. S—Set A set period immediately follows the first guarantee period. F—Floating A floating period is calculated with the beginning date being equal to the date a rerate increase was last applied to the policy plus the number of months on the second guarantee period. NOTE Guarantee periods are based solely on a rerate increase not on an attained age increase.

Field	Description
Section 125	
Guarantee Period	Used only for Section 125 policies, the number of months the premium amount is guaranteed for the first period is input in this field. The second field specifies the number of times this period is repeated. For example, the premium amount could be guaranteed for 12 months for 1 time. Therefore, if a rerate is effective during the first 12 months of the policy, the premium amount does not change until the first plan month following the 12 month guarantee period. This field defaults to 0.
2nd Guarantee Period	Used only for Section 125 policies, this field contains the number of months the premium amount is guaranteed for the second period. The second field specifies the number of times this period is repeated. For example, the second guarantee period could be for 12 months for the remaining life of the policy. The premium amount only changes once each twelve months, regardless of the rerates effective during the guarantee period. This field defaults to 0.
2nd Guarantee	This field indicates if the second guarantee period is a set or a floating period. S—Set A set period immediately follows the first guarantee period. F—Floating A floating period is calculated with the beginning date equal to the date a rerate increase was last applied to the policy plus the number of months on the second guarantee period.
Use Rerate Applied Date History	This field controls if the Rerate Applied Date History record is used in the calculation of the guarantee period. Y—Yes The Rerate Applied Date History record is created and maintained by the system and is used in the calculation of the guarantee period. N—No The Rerate Applied Date History record is not created. This is the default.
Override Guarantee Period for Change of Residence	This field is only used when the Use State field is set to Resident State. This field controls the application of rerates after a change of resident state. Y—Yes Allow rerates to be applied to the Bill Date following the Change of Residence Event Date. N—No Do not override the guarantee period following a change of resident state. This is the default.

Field	Description
Override Premium Change Frequency	The Premium Change Frequency field on the PR—Premium Segment defines the number of policy durations that rates are held constant. This field allows the Premium Change Frequency field to be overridden in order that rerates can be applied before the end of a set duration. Y—Yes Override the Premium Change Frequency field on the PR—Premium Segment. N—No Do not override the Premium Change Frequency field on the PR—Premium Segment.
Apply Rerate After Correspondence Notification	This field prohibits a rerate from being applied until rerate correspondence has been generated with the proper notification days as defined on the RC—Rerate Correspondence Segment or on the Health Rerate Correspondence overrides on the State Control File. Y—Yes The rerate is applied after rerate correspondence has been generated with the proper notification days. The Follow-Up file is read searching for a Follow-Up record with a Start Date equal to the Next Rerate Date. If a Follow-Up record is found and the Next Rerate Follow-Up date is greater than or equal to the current date (future notification) or the status is Completed (notification already generated), the rerate is applied as of the Next Rerate date. If a Follow-Up record is not found, a Follow-Up record needs to be generated prior to applying the rerate. A Rerate Correspondence Generation Date is calculated by subtracting the Rerate Correspondence Number of Days from the Next Rerate Date. If the Rerate Correspondence Generation Date is greater than or equal to the Current Date, the rerate is applied as of the Next Rerate Date since rerate notification can be generated with the proper notification days. If the Rerate Correspondence Generation Date is less than the current date, the Next Rerate Date is increased by one mode to allow for rerate notification with the proper notification days and the previous two steps are repeated until a matching Follow-Up record is found or the Rerate Correspondence Generate Date is greater than or equal to the Current Date. N—No The rerate is applied without regard to the notification days. NOTE Terminated Follow-Up records or active records with a Next Follow-Up date less than the current date are bypassed since these records indicate that the Follow-Up has not been generated.

Field	Description
Use State	If rates vary by state, this field indicates the state on which the rates are based. I—Issue State R—Resident State
Area Code Custom Translation	This field defines rates for a specific range of area codes and surcharge factors for state and county codes. 3ZP—This field varies rates or base rates by the first three digits of the zip code. This option applies to range variance rates only. This option should be used by itself or in combination with Resident State. SCT—The state and the first three digits of the county code are used to define the rates for the surcharge rider. SCT Processing Notes The SCT option is available for SR coverage types only. The Max Multiple Insureds field must be set to 1 to ensure that the surcharge factor is only applied once, and the Rate Rounding Rule field must be set to 12 on the PR—Premium Segment so that the surcharge premium amount is calculated consistently between billing and anniversary processing. The following rules apply to base the surcharge factor on the state and county code. The area code variance rule must be Partial Variance. This indicates that the surcharge factor is based on the state and the first three numeric digits of the county code. If the area code variance rule is not set to Partial Variance, the error message <i>Partial Var required with SCT Translation Code</i> is displayed at the bottom of the screen. • The county code must be completed on the Name and Address Record for individuals that are having a policy added. If a county code is not on the policy, an error message is displayed when the policy data is validated. • If Resident State is selected in the Use State field, at least one key definition must be set up with at least one selection since the residence state is stored on the Extended Key Selection window accessed from the Multiple Insured Record.

Field	Description
Area Code Custom Translation (continued)	The state and county code are used to access the rate file. If the state is found but a record for the county code is not, the factor on the default record of 000 is applied. Therefore, it is important that a default county code record of 000 is set up for each state. - When a state and county factor exists, it is included in the premium calculation for billing, premium quotes, and anniversary processing. In addition, the date of the Change of Residence Event and the last rerate effective date are used to determine if the rerate on the SR component is used. The state and county factor rerate is applied to the policy when the following conditions are met. - When the policy is issued, if the issue date is equal to or greater than the date of the rerate, then the rerate is applied to the premium amount. - If the insured's address has changed and the rerate date is less than or equal to the event date of the address change, then the rerate is applied to the premium amount. - When a base rerate is processed and the date of the state and county factor rerate is less than or equal to the base rerate, the county factor rerate is applied to the premium amount. The Create Event When State, County Code, or City Code Changes on Insured Address field, if set to Yes on the default Name and Address Management Options screen, creates a policy event each time a change is made to the State, County Code, or City Code field on a Name and Address Record. The event provides a record of each change to these fields. This can be helpful to determine when rerates were processed for the policy due to a state or county code change. If No is selected, an event is not created when the State, County Code, or City Code field is changed on a Name and Address Record. SAZ—This option allows a full variance by state and a range variance by area. The zip code file is read until a match is found for both the state and area. For example, assume the state is TX and the zip code is 78719. also assume that the following 3 records are in the zip code file: TX 75000, AR 75500, and TX 80000. The first code matches the state of TX but the area is not in the range. The second code does not match the state. The third code is a match because the state is the same and the range is 75000 - 80000.

Field	Description
Base Rate Variance	This area of the screen is used to designate how rates vary based on the state code, area code, and extended key definitions. The extended key definitions set up on the KD Segment are listed in this section of the screen also. N—No Variance Rates do not vary based on this factor. F—Full Variance Rates vary by each possible selection. For example, if the State Code is coded as Full Variance, this indicates that each state has its own rates. P—Partial Variance Some factors within a category have their own rates, plus there is a default record. For example, if Partial Variance is coded for the State Code selection, the individual state by state rates can be coded, plus rates can be coded for a default record. The default record is used if there is not a specific state record. R—Range Variance Rates can be varied for specific ranges of Area Codes by selecting Range Variance in the area code selection. If Range Variance is selected, the lower range for area codes is selected. Click Rates to view the rates. Health rates are only accessible from the Key Definition screen. They cannot be accessed through the rates file.

Defining Guarantee Periods by State

The State Selection screen is accessed by clicking **States** from the Key Definition Base Rate Setup screen. The guarantee period can be varied for each state. If a guarantee period is not specified for a state, the default guarantee period on the Key Definition Base Rate Setup screen is used.

Click in the box next to the appropriate state to define the guarantee periods for the state.

NOTE

The Guarantee Period Varies by State field on the Key Definition Base Rate Setup screen must be set to **Yes** in order to access the State Code screen.

Select State Code

State Guarantee Periods

☐ AL-ALABAMA

☐ AR-ARKANSAS

☐ CT-CONNECTICUT

☐ FL-FLORIDA

☐ ID-IDAHO

☐ IA-IOWA

☐ LA-LOUISIANA

☐ MA-MASSACHUSETTS

☐ MS-MISSISSIPPI

☐ NE-NEBRASKA

☐ NJ-NEW JERSEY

☐ NC-NORTH CAROLINA

☐ OK-OKLAHOMA

☐ RI-RHODE ISLAND

☐ TN-TENNESSEE

☐ VT-VERMONT

☐ WV-WEST VIRGINIA

☐ AK-ALASKA

☐ CA-CALIFORNIA

☐ DE-DELAWARE

☐ GA-GEOORGIA

☐ IL-ILLINOIS

☐ KS-KANSAS

☐ ME-MAINE

☐ MI-MICHIGAN

☐ MO-MISSOURI

☐ NV-NEVADA

☐ NM-NEW MEXICO

☐ ND-NORTH DAKOTA

☐ OR-OREGON

☐ SC-SOUTH CAROLINA

☐ TX-TEXAS

☐ VA-VIRGINIA

☐ WI-WISCONSIN

☐ AZ-ARIZONA

☐ CO-COLORADO

☐ DC-DISTRICT OF COLUMBIA

☐ HI-HAWAII

☐ IN-INDIANA

☐ KY-KENTUCKY

☐ MD-MARYLAND

☐ MN-MINNESOTA

☐ MT-MONTANA

☐ NH-NEW HAMPSHIRE

☐ NY-NEW YORK

☐ OH-OHIO

☐ PA-PENNSYLVANIA

☐ SD-SOUTH DAKOTA

☐ UT-UTAH

☐ WA-WASHINGTON

☐ WY-WYOMING

☐ XX-OTHER

Next

Previous

Select

Cancel

(Pg 1)

The Guarantee Period window for the state is displayed. Input the guarantee period information and click **OK** to save the information.

One Date Entry Screen

CALIFORNIA Guarantee Periods

Primary Guarantee Months

Occurs times (0 = once)

Second Guarantee Months

Occurs times (0 = once)

Second Guarantee

Override Section 125 Guarantee Period Default?

Section 125

Primary Guarantee Months

Occurs times (0 = once)

Second Guarantee Months

Occurs times (0 = once)

Second Guarantee

OK

Cancel

The following table contains definitions for the fields on the Guarantee Period window for each state.

Field	Description
Primary Guarantee Months	The number of months the premium amount is guaranteed for the first period is input in this field.
Occurs ____ times	The number of times the first guarantee period is in effect is input in this field.
Second Guarantee Months	The number of months the premium amount is guaranteed for the second period is input in this field.
Occurs ____ times	The number of times this guarantee period is in effect is input in this field.

Field	Description
Second Guarantee	This field further defines the second guarantee period as either a set or a floating period. S—Set A set period immediately follows the first guarantee period. F—Floating A floating period is equal to the date a rerate increase was last applied to the policy plus the number of months on the second guarantee period. NOTE Guarantee periods are based solely on a rerate increase not on an attained age increase.
Override Section 125 Guarantee Period Default	This field determines if the Section 125 guarantee months selected on the Key Definition Base Rate Setup screen can be overridden. N—No The Section 125 fields default to the values on the Key Definition Base Rate Setup screen. The Section 125 area on this screen cannot be accessed. Y—Yes The Section 125 fields default to the values on the Key Definition Base Rate Setup screen. However, these values can be changed for the state selected.

A primary guarantee period must be entered in order to save the Second Guarantee Period fields. If a second guarantee period is entered without a primary guarantee period, the error message *Must Have Primary Information to Save* appears at the bottom of the screen.

Defining Base Rates

In order to define base rates, access the Key Definition Base Rate Setup screen and click **Rates**. The Key Definition Rates screen is displayed.

Define Key Rates

Key Definition P201-F Sex Code

Segment ID P201-F UWCLS ☐

Type PR Band

Base Rates State

Area

Issue Age Rates

No	Key Definition	Key Selection
1	ELIMINATION PERIOD	

Page 1 of 1

Copy Rates
Defaults
Rates
Next Key
Prev Key
Next
Previous
OK
Cancel

The Key Definition Rates screen allows access to all items that were selected as variance factors on the previous screen. For example, if the Vary By Gender field is set to **Yes**, the Gender Code field is accessible on the Key Definition Rates screen.

Before coding the rates, set up the variance factors to match the set of rates to be coded. For example, the rates could be coded for Gender Code—Male, Uwcls—S, and Benefit Period—2 Years.

- Extended key definition items are selected by clicking a specific selection criteria.
- If there is a partial variance for an extended key item, a default selection is available by clicking **Defaults**.
- To input rates, click **Rates** to access the rate file.

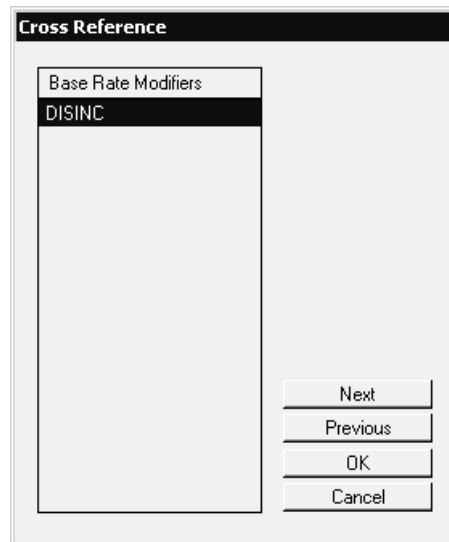
NOTE

A Math Function window is available by pressing **Alt+F2** from the Key Definition Rate screen and can be accessed for extended key rates, modifiers, and rerates. This window has the ability to increase or decrease all rates on a file by a specific factor defined through the Amount and Function (Multiply/Divide/Add) fields on the Math Function window.

Defining Modifiers

Modifiers are used when base rates are available that can be modified based on a factor, such as issue state or key definition. This saves time in setup, because each possible combination of premium factors does not need a unique set of rates.

From the Key Definition Base Rate Setup screen, click **Modifiers** to display a cross reference list of modifiers.



The cross reference list displays any modifier records that have been added.

Click the desired record to access an existing modifier record. Or, press **F8** to add a new modifier record.

Key Definition Base Rate Modifiers

The Key Definition Base Rate Modifiers screen is used to define the variance factors for the modifier. For example, if you are setting up a variance for a deductible key definition, this screen is used to designate that deductible as a variance factor.

When the screen is accessed, it is already in update mode.

After completing the Modifier screen click **OK** to save the screen. Click **Rates** to access the Rates Setup screen.

NOTE

You must click **OK** on the Modifier screen before the Rates Setup screen is accessible.

The following table contains definitions for the fields on the Base Rate Modifier screen.

Field	Description
Key Definition	This field lists the segment ID name selected when setting up the PR—Premium Segment. It cannot be updated.
Segment ID	The segment ID is listed in this field. It cannot be updated.

Field	Description
Type	The type is always PR—Premium. It is cannot be updated.
Modifier ID	This field is used to assign a user defined ID to the modifier record. It should help designate the type of modifier for later reference. The field is 10 characters, alphanumeric.
Key Modifier	This field is typically coded as PR.
Rate Type	This field identifies the type of rates that are coded. It should match the rate type on the Key Definition Base Rate Setup screen. A—Attained Age I—Issue Age O—Duration Only D—Age And Duration
Use Issue or Residence State	If modifiers vary by state, this field designates the state used. I—Issue State R—Residence State
Area Code Custom Translation	If the Rerate is for a specific area code or range of area codes, this field is used to designate which portion of the area code is used. For example, 3ZP for the first three digits of the zip code. 3ZP—This field varies rerates or base rates by the first three digits of the zip code. This option applies to range variance rates only. This option should be used by itself or in combination with Resident State. SCT—The state and the first three digits of the county code are used to define the rates for the surcharge rider. SCT Processing Notes The SCT option is available for SR coverage types only. The Max Multiple Insureds field must be set to 1 to ensure that the surcharge factor is only applied once, and the Rate Rounding Rule field must be set to 12 on the PR—Premium Segment so that the surcharge premium amount is calculated consistently between billing and anniversary processing.

Field	Description
Area Code Custom Translation (continued)	The following rules apply to base the surcharge factor on the state and county code. The area code variance rule must be Partial Variance. This indicates that the surcharge factor is based on the state and the first three numeric digits of the county code. If the area code variance rule is not set to Partial Variance, the error message <i>Partial Var required with SCT Translation Code</i> is displayed at the bottom of the screen. • The county code must be completed on the Name and Address Record for individuals who are having a policy added. If a county code is not on the policy, an error message is displayed when the policy data is validated. • If Resident State is selected in the Use State field, at least one key definition must be set up with at least one selection since the residence state is stored on the Extended Key Selection window accessed from the Multiple Insured Record. The state and county code are used to access the rate file. If the state is found but a record for the county code is not, the factor on the default record of 000 is applied. Therefore, it is important that a default county code record of 000 is set up for each state. • When a state and county factor exists, it is included in the premium calculation for billing, premium quotes, and anniversary processing. In addition, the date of the Change of Residence Event and the last rerate effective date are used to determine if the rerate on the SR component is used. The state and county factor rerate is applied to the policy when the following conditions are met. • When the policy is issued, if the issue date is equal to or greater than the date of the rerate, then the rerate is applied to the premium amount. • If the insured's address has changed and the rerate date is less than or equal to the event date of the address change, then the rerate is applied to the premium amount. • When a base rerate is processed and the date of the state and county factor rerate is less than or equal to the base rerate, the county factor rerate is applied to the premium amount.

Field	Description
Area Code Custom Translation (continued)	The Create Event When State, County Code, or City Code Changes on Insured Address field, if set to Yes on the default Name and Address Management Options screen, creates a policy event each time a change is made to the State, County Code, or City Code field on a Name and Address Record. The event provides a record of each change to these fields. This can be helpful to determine when rerates were processed for the policy due to a state or county code change. If No is selected, an event is not created when the State, County Code, or City Code field is changed on a Name and Address Record. SAZ—This option allows a full variance by state and a range variance by area. The zip code file is read until a match is found for both the state and area. For example, assume the state is TX and the zip code is 78719. also assume that the following 3 records are in the zip code file: TX 75000, AR 75500, and TX 80000. The first code matches the state of TX but the area is not in the range. The second code does not match the state. The third code is a match because the state is the same and the range is 75000 - 80000.
Modifier Variance	This area of the screen is used to designate how modifiers vary based on gender code, underwriting class, band, state code, area code, and the extended key definitions. The extended key definitions set up on the KD Segment are listed in this section. Select one of the codes listed for each modifier variance to designate how that item affects the modifier. N—No Variance Modifiers do not vary based on this factor. F—Full Variance Modifiers vary by each possible selection. For example, if the state code is coded as Full Variance, this indicates that each state has its own modifier. P—Partial Variance Some factors within a category have their own modifiers, plus there is a default record. For example, if the state code is coded as Partial Variance, individual state rates can be coded, plus rates are coded for a default record. The default record is used if there is not a specific state record. R—Range Variance Rates can be varied for specific ranges of area codes by selecting Range Variance in the area code selection. If Range Variance is selected, the lower range for area codes is selected. Click Rates to view rates. Health rates are only accessible from the Key Definition screen.

Modifiers—Set Key Definition Rates

The Key Definition Rates screen is accessed by pressing **F4** from the Key Definition Base Rate Modifier screen and is used to select the specific modifier that is being defined. For example, assume an elimination period is being defined. This screen allows a specific elimination period to be selected, 30 Days, then designates the modifier for the elimination period.

The screenshot shows the 'Define Key Rates' window. It contains fields for Key Definition (P201-F), Segment ID (P201-F), Type (KL), and Variance ID (DISINC). There are also dropdowns for Sex Code and UWCLS, and a checkbox for Band. Below these is the 'Issue Age Rates' section, which includes a 'Key Rates' table. The table has two columns: 'No' and 'Key Definition'. The first row is highlighted with '1' in the 'No' column and 'ELIMINATION PERIOD' in the 'Key Definition' column. To the right of the table is a 'Select New Business Key' dialog box. This dialog has a label 'Extended Key' with the value '01' and a label 'ELIMINATION PERIOD'. Below these labels is a list box containing three options: '0 DAYS', '30 DAYS', and '90 DAYS'. The '30 DAYS' option is selected. At the bottom of the dialog are 'OK' and 'Cancel' buttons. The status bar at the bottom of the window shows 'Page 1 of 1'.

The Key Definition Rates screen allows access to all items that are selected as variance factors on the Key Definition Base Rate Modifier screen.

Before coding the rates, choose the specific variance factor on which the modifier is being defined.

- Extended key definition items are selected by clicking the specific selection criteria.
- If there is a partial variance for an extended key item, a default selection is available by clicking **Defaults**.
- To input rates, click **Rates** to access the rate file. After coding the rates, click **OK** to save or **Alt+F10** to exit without saving.

NOTE

A Math Function window is available by pressing **Alt+F2** from the Key Definition Rate screen and can be accessed for extended key rates, modifiers, and rerates. This window has the ability to increase or decrease all rates on a file by a specific factor defined through the Amount and Function (Multiply/Divide/Add) fields on the Math Function window.

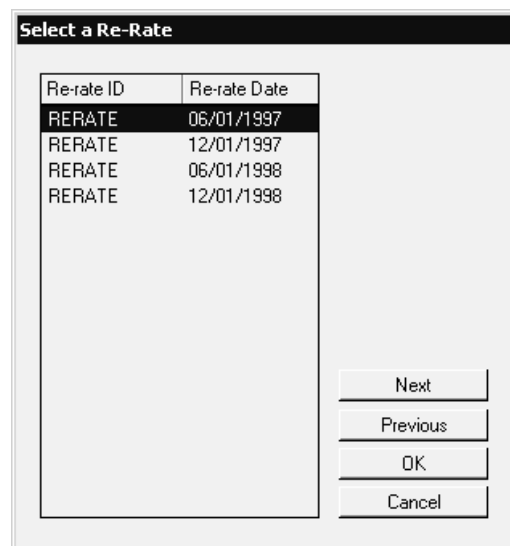
Rerates

NOTE

Rerates are used to adjust base rates as of a specific point in time. In Inforce, an ENS message and a rerate has occurred message is displayed in the notification window when a rerate has occurred through billing or manual premium payments for a policy. The ENS message is displayed as follows: *Policy has had a rerate on YYYYMMDD* where the date equals the date of rerate, for example, 20060101.

If rerates are designated to be included in the initial premium, they are treated as modifiers at issue.

Click **Re-rates** to display the Rerate list. This list displays the Rerate ID and the date of the Rerate.



Complete the following steps to set up a rerate.

1. From the PR—Premium Segment click **Extended Key**. The Key Definition Base Rate Setup screen is displayed.
2. Click **Re-rates**. The Rerate ID Selection window is displayed. This window displays the rerate ID and the rerate date.
3. Select an existing rerate ID or press **F8** to add a new rerate. The Key Definition Re-Rates screen is displayed.

Key Definition Rerates Screen

The Key Definition Re-Rates screen is used to designate the variance rules for the rerate. State rerate approvals are accessed from this screen, and the actual rates are accessed from this screen. State approvals must be coded in order for a policy issued in that state to recognize it.

The following table contains descriptions of the input fields on the Key Definitions Re-Rates screen.

Field	Description
Effective Date	The effective date of the rerate is input in this field. The actual date the rerate is applied depends on a variety of factors. If state approval is necessary, the rerate is not applied before the state approval is met. If the guarantee period exists for the base rate, the rerate is not applied until after guarantee period, unless the Override Guarantee Period field is set to Yes .
Key Modifier	This field is typically coded as PR.

Field	Description
Rate Type	This field identifies the type of rates that are coded. It should match the rate type on the Key Definition Base Rate Setup screen. A—Attained Age I—Issue Age O—Duration Only D—Age And Duration
Use Issue or Residence State	I—Issue State Apply the rerate based on the insured's issue state. R—Residence State Apply the rerate based on the insured's residence state.
Area Code Custom Translation	If the rerate is for a specific area code or range of area codes, this field is used to designate which portion of the area code is used. For example, 3ZP for first three digits of the zip code. 3ZP—This field varies rerates or base rates by the first three digits of the zip code. This option applies to range variance rates only. This option should be used by itself or in combination with Resident State. SCT—The state and the first three digits of the county code are used to define the rates for the surcharge rider. SCT Processing Notes The SCT option is available for SR coverage types only. The Max Multiple Insureds field must be set to 1 to ensure that the surcharge factor is only applied once, and the Rate Rounding Rule field must be set to 12 on the PR—Premium Segment so that the surcharge premium amount is calculated consistently between billing and anniversary processing. The following rules apply to base the surcharge factor on the state and county code. The area code variance rule must be Partial Variance. This indicates that the surcharge factor is based on the state and the first three numeric digits of the county code. If the area code variance rule is not set to Partial Variance, the error message <i>Partial Var required with SCT Translation Code</i> is displayed at the bottom of the screen. • The county code must be completed on the Name and Address Record for individuals that are having a policy added. If a county code is not on the policy, an error message is displayed when the policy data is validated.

Field	Description
Area Code Custom Translation (continued)	● If Resident State is selected in the Use State field, at least one key definition must be set up with at least one selection since the residence state is stored on the Extended Key Selection window accessed from the Multiple Insured Record. The state and county code are used to access the rate file. If the state is found but a record for the county code is not, the factor on the default record of 000 is applied. Therefore, it is important that a default county code record of 000 is set up for each state. ● When a state and county factor exists, it is included in the premium calculation for billing, premium quotes, and anniversary processing. In addition, the date of the Change of Residence Event and the last rerate effective date are used to determine if the rerate on the SR component is used. The state and county factor rerate is applied to the policy when the following conditions are met. ● When the policy is issued, if the issue date is equal to or greater than the date of the rerate, then the rerate is applied to the premium amount. ● If the insured's address has changed and the rerate date is less than or equal to the event date of the address change, then the rerate is applied to the premium amount. ● When a base rerate is processed and the date of the state and county factor rerate is less than or equal to the base rerate, the county factor rerate is applied to the premium amount. The Create Event When State, County Code, or City Code Changes on Insured Address field, if set to Yes on the default Name and Address Management Options screen, creates a policy event each time a change is made to the State, County Code, or City Code field on a Name and Address Record. The event provides a record of each change to these fields. This can be helpful to determine when rerates were processed for the policy due to a state or county code change. If No is selected, an event is not created when the State, County Code, or City Code field is changed on a Name and Address Record.

Field	Description
Area Code Custom Translation (continued)	SAZ—This option allows a full variance by state and a range variance by area. The zip code file is read until a match is found for both the state and area. For example, assume the state is TX and the zip code is 78719. Also assume that the following 3 records are in the zip code file: TX 75000, AR 75500, and TX 80000. The first code matches the state of TX but the area is not in the range. The second code does not match the state. The third code is a match because the state is the same and the range is 75000 - 80000.
Issue Usage	This field is only used at issue to designate if any rerates that were effective before or on the issue date of a policy are included in the initial premium calculation. S—State Use only the rerates that are effective in the issue state since the rerate state effective date can be different or later as compared to the rerate effective date. Click State App to access the State Approval List. N—None Previous rerates do not apply to this product.
Re-rate Variance	This area of the screen is used to designate how rerates vary based on gender code, underwriting class, band, state code, area code, and extended key definitions. The extended key definitions set up on the KD Segment are listed in this section. Select one of the codes listed for each rerate variance to designate how that item affects the rerate. N—No Variance Rerates do not vary based on this factor. F—Full Variance Rerates vary by each possible selection. For example, if the state code is coded as Full Variance, each state has its own rerate. P—Partial Variance Some factors within a category have their own rerates, plus there is a default record. For example, if Partial Variance is coded for the state code selection, individual state by state rates can be coded, plus rates are coded for a default record. The default record is used if there is not a specific state record. R—Range Variance Rates can be varied for specific ranges of area codes by selecting an Range Variance in the area code selection. If Range Variance is selected, the lower range for area codes is selected.

Field	Description
Skip this record if Re-Rate ID has another more recent record	This field determines the effect of subsequent rerates with the same ID. Y—Yes Use only the most current rerate record. (The current rerate replaces the previous rerate). N—No Apply the previous record in addition to new record.
Override Guarantee Period	Y—Yes The new rate is applied on the next bill and any guarantee period is ignored. (Assuming the state approval has been met, if applicable.) N—No

State Approval

Click **State App** from the Key Definition Re-Rates screen to display the State Code screen. If the Issue Usage field is **State**, the state approval must be indicated before the rerate is effective.

A screenshot of a software dialog box titled "One Date Entry Screen". Inside the dialog, the text "MAINE Approval:" is displayed above a date input field. The input field contains the date "01/15/2002". Below the input field are two buttons: "OK" and "Cancel".

In order to designate a state approval, click in the box next to the desired state. Type in the date of the approval and click **OK**.

NOTE

If the state has a mandatory notification period, the approval date must include the notification period. For example, assume there is a 30 day mandatory notification period and that the rerate is approved as of 6/1/2003. The date that is input should be 6/1/2003 plus 30 days, or 7/1/2003 in this case, to allow for proper notification.

Coding Rerate Rates

Click **Rates** from the Key Definition Re-Rates screen to display the Key Definition Rates screen.

No	Key Definition	Key Selection
1	ELIMINATION PERIOD	No Variance

The Key Definition Rates screen allows access to all items that are selected as variance factors on the Key Definition Re-Rates screen. For example, if the Vary By Gender field is set to **Yes**, the Sex Code field is accessible on the Key Definition Rates screen.

Before coding the rates, set up the variance factors to match the set of rates to be coded.

- Extended key definition items are selected by clicking the desired selection criteria.
- If there is a partial variance for an extended key item, a default selection is available by clicking **Defaults**.
- To input rates, click **Rates** to access the rate file.

NOTE

A Math Function window is available by pressing **Alt+F2** from the Key Definition Rate screen and can be accessed for extended key rates, modifiers, and rerates. This window has the ability to increase or decrease all rates on a file by a specific factor defined through the Amount and Function (Multiply/Divide/Add) fields on the Math Function window.

Deleting Rerate Rates

Key Rate records for a partial variance can be deleted. After the Key Rate record is deleted, the default record is used to calculate the rerate.

For example, assume the State Code is set up as a partial variance for rerates in three states. The remaining states use the default rates for rerates. If the rates for 1 state should no longer be varied, the Key Rate record for the state can be deleted and the default rates are used.

Complete the following steps to delete a Key Rate record for a partial variance.

1. Access the Key Rate screen of the variance to delete.
2. Press **Alt+F8**. The Response window is displayed.

The screenshot shows the 'Define Key Rates' window. It contains a table with the following data:

No	Key Definition	Key Selection
1	BENEFIT PERIOD	No Variance
2	ELIMINATION PERIOD	
3	INFLATION PROTECT	

Below the table is a 'Page' label. To the right of the table is a 'Copy Rates' button. A 'Select Response' dialog box is open, asking 'Delete Rate Record?' with 'Yes' and 'No' buttons. The 'Yes' button is highlighted.

3. Select **Yes**. The message *Deleted Successfully* is displayed at the bottom of the screen.

The variance must also be deleted from the Partial Variance Usage List in order for the default record to be used.

1. From the Key Definition Re-Rates screen press **F10**.
2. Position the cursor on the appropriate rerate variance and press **F5**. The Setup Partial Variance Usage screen is displayed.

Setup Partial Variance Usage

Current Usage List
For State Variance

Usage

IN
MT
OH

Next
Previous
OK
Cancel

3. Position the cursor on the appropriate option and press **Alt+F8**. The option is deleted.

Setup Partial Variance Usage

Current Usage List
For State Variance

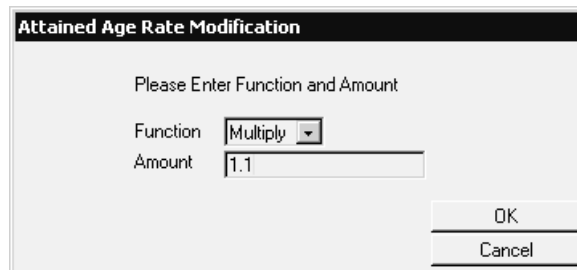
Usage

IN
MT

Next
Previous
OK
Cancel

Math Function Display Window

The Math Function display window is available to update extended key rates, modifiers, and rerates by pressing **Alt+F2** from the Key Definition Rate screen. This window has the ability to increase or decrease all rates on a file by a specific factor defined through the Amount and Function (Multiply/Divide/Add) fields on the Math Function window.



NOTE

Press **Alt+F2** from the Key Definition Rates screen to display the Math Function window. Select the appropriate math function **M—Multiply**, **D—Divide**, or **A—Add**. In this example **Multiply** is entered. In the Amount field enter the designated amount. This field calculates up to seven decimal places. In this example 1.1 is entered.

Click **OK** to process. The Rate File displayed below illustrates the change to the rates as a result of the math function window.

Enter Key Definition Rates					
Commissionable [Y/N]		Yes 	Inquiry		
Age	Rate	Age	Rate	Age	Rate
0	1.3200000	18	2.2000000	36	2.2000000
1	1.4300000	19	2.2000000	37	2.2000000
2	1.5400000	20	2.2000000	38	2.2000000
3	1.6500000	21	2.2000000	39	2.2000000
4	1.7600000	22	2.2000000	40	2.2000000
5	1.8700000	23	2.2000000	41	2.2000000
6	1.9800000	24	2.2000000	42	2.2000000
7	2.0900000	25	2.2000000	43	2.2000000
8	2.2000000	26	2.2000000	44	2.2000000
9	2.2000000	27	2.2000000	45	2.2000000
10	2.2000000	28	2.2000000	46	2.2000000
11	2.2000000	29	2.2000000	47	2.2000000
12	2.2000000	30	2.2000000	48	2.2000000
13	2.2000000	31	2.2000000	49	2.2000000
14	2.2000000	32	2.2000000	50	2.2000000
15	2.2000000	33	2.2000000	51	2.2000000
16	2.2000000	34	2.2000000	52	2.2000000
17	2.2000000	35	2.2000000	53	2.2000000

6.197 PS—Premium Refund

NOTE

Traditional only

LifePRO® computes premium refunds for surrenders using to the day logic interpolation between the current date and the next paid to date, only if the effective date does not equal the policy month and day; otherwise, the system uses $x/12$. This segment allows the ability by coverage to apply a percentage varying by duration to a prorated premium refund.

Rate Type Segment	
Segment ID	PAR >>
Segment Type	PS
Select Period	Duration 0
Ultimate ID	
Constant Rate	0.000000 (Added to File Rate if Declared)
Rate Type	Constant Rate Only
Type Modifier	☐ Rates Vary by Underwriting Class No
Mult Insured Access	
Rate Basis	Separate And Unique
Years of	0
Banding Method	Not Banded
Banding Rule	Traditional
Upper Band Limits	0 0 0 0 0 0 0
Rates Coded As	Actual Amount
Change Frequency	Not Applicable
	0

Mode Rules
Rates
Next
OK
Cancel

For example, assume a \$25,000 policy is issued effective 10/16/2002 and is paid to 10/16/2005 on a male age 40. The annual premium is \$854.00. The insured's third year duration PS rate is defined as 90.00.

Assume that a surrender quote is run as of 04/16/2005 (duration 2³/₄). The system calculates the interpolated cash value and applies the PS rate percentage to the premium refund for the base coverage only.

$$\text{CV rate duration 2} = 8.72 \quad (8.72 * 6) + (23.73 * 6)/12 * 25 = \$405.62$$

$$3 = 23.73$$

$$\text{Total Cash Value} = \$405.62$$

The amount of unprocessed premium is equal to the base calculation of \$854.00 (annual premium) * 183 days (4/16/1999 to 10/16/2002) / 365 = \$428.17 * .90 (PS Rate) = \$385.35 unprocessed premium.

6.198 PT—Paid-Up Term Control

NOTE

Traditional only

A PT—Paid Up Term Rider component (a given face is broken into a paid up portion and a term portion each anniversary) is controlled via this segment.

One of two methods exist. First, both the premium and face amount can be entered. Or, a face amount can be entered and the system looks up and requires the premium amount.

Segment Screen - PT Page 1

Segment ID	PUA >>	Select Period	Duration 0
Segment Type	PT	Ultimate ID	
Premium Entry Type	Tabular		
Rider Type	Paid-up(Term)		
If Rider Not Paid, Enter Grace Period	☐ Days after Due Date		
Send Grace Letter	No		
If Rider not paid, Zero Premium	☐ Days after Due Date		
Paid-up term purchased	☐		
Policy Exhibit by Premium/Dividend Purchase	No		
Method for Calculation Cost Index	Current Calculation		
Flat Extras Increase the 'N'SP or Add to 'SL Benefit	NSP		
Should 'PT' & 'PP' premium be included in premium keywords	Yes	EPR Dividends	
Alternative Tabular Premium Rates		Premium Paying	
Update Benefit Units During Anniversary Processing	No	Non-Premium Paying	
		Next	
		OK	
		Cancel	

NOTE

Processing of PT benefits requires the presence of a target number of units equal to the initial PT benefit number of units, reduced by withdrawals. This information is used each time a premium payment is made to calculate the PUA/OYT split on the benefit and to write the PP event record. If the target units are not available or if the units are zero, no additional purchase is done.

The target number of units can be viewed from the Benefit Utility from the System Utilities option on the System Configuration Menu.

The following table contains definitions for the fields on the PT Segment.

Field	Description
Premium Entry Type	A—Annual Input Both a premium and face amount are entered for the PT component. M—Modal Input T—Tabular Only the face amount is coded for the PT component, and the system looks up and requires the premium amount.
Rider Type	1—Paid-up (Term) Purchase paid up and term additions rider (type PT). 2—Paid-up Purchase paid up riders (type PP).
If Rider Not Paid, Enter Grace Period ___ Days after Due Date	Input the number of days after the due date when the Grace correspondence letter is generated. This correspondence letter is generated when the premium for the PT or PP type component is not paid. The Send Grace Letter field must be Yes in order for the correspondence to be generated after the number of days selected in this field.
Send Grace Letter	Y—Yes The Grace correspondence letter is generated the number of days selected in the above field. N—No The Grace correspondence letter is not generated if the premium for the PT or PP type component is not paid.
If Rider not paid, Zero Premium ___ Days after Due Date	Input the number of days after the due date when the premium for the PT or PP type component has not been received, that the premium amount for the component is changed to zero.
Paid-up term purchased	This field is used to determine if the purchase of PP/PT riders is performed on an annual or modal basis. A—Annual The system purchases paid-up additions for PP/PT benefits on an annual basis. If a surrender occurs, any premiums that have not been paid for the year are deducted from the rider cash value. For example, assume that a policy has a 01/01/2003 anniversary and PP/PT premiums are paid semiannually to 07/01/2005. If a full surrender occurs on 06/01/2005, the system deducts the premium due on 07/01/2005 from the cash value of the PP/PT benefit. M—Modal
Policy Exhibit by Premium/Dividend Purchase	Y—Yes Special exhibit processing is necessary. N—No Special exhibit processing is not applicable.

Field	Description
Method for Calculation Cost Index	This field defines the cost index methodology for PP and PT type benefits. 0—Current Calculation 1—Client Specific Calculation
Flat Extras Increase the NSP or Add to SL Benefit	This field provides the ability to determine if flat extras are added to the SL benefit or increase the NSP by the flat extras factors (defined through the WE—Net Single Premium Segment). N—NSP The extra premium amount is calculated using flat extra factors defined through the WE Segment and added to the appropriate NSP for purchase by premium or dividends and for cash value. Extra premium = Flat extra/1000 * Flat extra factor * (flat duration—current duration) For example, assume the following information for this illustration using NS rates. A—Age 35 NS—198.87 WE—.5415 Flat extra = 8.00 per thousand for 10 years $8.00 * .5415 * 10 + 198.87 = 242.19$—Adjusted NSP The first anniversary values are displayed below. A—Age 36 NS—206.44 WA—206.44 WE—.5331 $8.00 * .5331 * (10-1) + 206.44 = 244.8232$ Adjusted NSP S—SL Benefit The flat extra premium amount coded in New Business is added to the SL for PT benefits. Extra Premium = Flat extra * Number of units

Field	Description
Should PT & PP premium be included in premium keywords	Y—Yes The following key words include the premium for the benefit to which the PT Segment is attached. POLIDRAN—Direct Annual Premium POLDIRSE—Direct Semi-Annual Premium POLDIRQU—Direct Quarterly Premium POLDIRMN—Direct Monthly Premium POLDEFAN—Default Annual Premium POLDEFSE—Default Semi-Annual Premium POLDEFQU—Direct Quarterly Premium POLDEFMN—Default Monthly Premium POLPACAN—PAC Annual Premium POLPACSE—PAC Semi-Annual Premium POLPACQU—PAC Quarterly Premium POLPACMN—PAC Monthly Premium TANPRA—Total Annual Premiums TANPRY—Total Annual Premiums TQUPRA—Total Quarterly Premium TQUPRY—Total Quarterly Premium TSEPRA—Total Semi-Annual Premium TSEPRY—Total Semi-Annual Premium The keyword BENMPY—Benefit Cease Years (flexible, single, years) takes into account the possible override to the premium paying period through the New Business Insurance Benefits App screen by pressing Ctrl+F3.

Field	Description
Should PT & PP premium be included in premium keywords (continued)	Additional Keywords The following table keywords are available to show each year how much of the PP premium is associated with the standard premium, the special class premium, and the temporary flat extra premium. PPSTPY (Standard) = Death Benefit * (Std NS/1000) PPTXPY (Table Extra) = Death Benefit * (Rated NS—Std NS)/1000 PPFXPY (Flat Extra) = Death Benefit * (Flat Extra * FX Factor * Remaining FX duration / 1000) These are benefit specific, table only keywords. In policy page definitions, they must be attached to a page for the coverage to which they apply.
Alternative Tabular Premium Rates	This field defines alternate tabular premium rates which are accessed by clicking Rates from this field. The PR—Premium Segment points to tabular premiums per 1000 which are used to modify premiums in Premium Quotes through the Ctrl+F5 function. These rates are used regardless of whether the benefit is originally set to modal or tabular.
EPR Dividends—Premium Paying	This is a 10 digit user defined segment ID. Define the segment ID and press F4 . The EV—EPR Dividends Segment is displayed.
EPR Dividends—Non Premium Paying	This is a 10 digit user defined segment ID. Define the segment ID and press F4 . The EN—EPR Divs, Non Prem Pay Segment is displayed.
Update Benefit Units During Anniversary Processing	This field determines if a PT rider benefit face amount, offset by any paid up additions purchase, is recalculated when a premium is paid or only during anniversary processing. Y—Yes The PT face amount, offset by any paid up additions purchase, is recalculated only during anniversary processing. This field can only be set to Yes if the Offset By Base PUA field on the second screen of the segment is also set to Yes. N—No The PT face amount, offset by any paid up additions purchase, is recalculated when a premium is paid. This is the default.

Click **Next** to view the second page of the PT Segment.

Paid-Up/Term Segment - Page 2 of 2

Segment ID	JWPARWL	Select Period	Duration 0
Segment Type	PT	Ultimate ID	

Paid-Up/Term Questions

If Premium Payments Stop -
Terminate OYT or Continue by Surrender of Paid-Up

If Premium is Inadequate -
Support Full Face by Surrender of Paid-Up

Valuation Code Use Guaranteed or Current Net

Retain the Target Face on 'PT' Benefit Withdrawals

When Calculating the Paid-Up/Term Split, Target Face Amount

Offset By Base PUA	Yes
Offset By Recurring Premium PP	Yes
Offset By Dump In Premium PP	No

Refund OYT Premium Upon Full Surrender

Does extra 'SL' premium go to purchase

Reinsurance premium based on original number of units

PT Keywords

Policy Page Keywords

TARFCA (Age) —Tar (Term Addition Rider) Face Amount

TARFCY (Year)—Tar (Term Addition Rider) Face Amount

TARPUA (Age) —Tar (Term Addition Rider) Paid Up Amount

TARPUY (Year)—Tar (Term Addition Rider) Paid Up Amount

TAROYA (Age)—Tar (Term Addition Rider) One Year Term Amount

TAROYY (Year)- Tar (Term Addition Rider) One Year Term Amount

Policy Page and Correspondence Keywords

BENPUA—Benefit PUA Portion

BENOYT—Benefit OYT Portion

If the Should PT and PP Premium be Included in Premium Keywords field is set to **Yes**, the following keywords include the premium for the benefit to which the PT Segment is attached.

Policy Page and Correspondence Keywords

POLIDRAN—Direct Annual Premium

POLDIRSE—Direct Semi-Annual Premium

POLDIRQU—Direct Quarterly Premium

POLDIRMN—Direct Monthly Premium

POLDEFAN—Default Annual Premium

POLDEFSE—Default Semi-Annual Premium

POLDEFQU—Direct Quarterly Premium

POLDEFMN—Default Monthly Premium

POLPACAN—PAC Annual Premium

POLPACSE—PAC Semi-Annual Premium

POLPACQU—PAC Quarterly Premium

POLPACMN—PAC Monthly Premium

Policy Page Keywords

TANPRA—Total Annual Premiums

TANPRY—Total Annual Premiums

TQUPRA—Total Quarterly Premium

TQUPRY—Total Quarterly Premium

TSEPRA—Total Semi-Annual Premium

TSEPRY—Total Semi-Annual Premium

NOTE

The keyword BENMPY—Benefit Cease Years (flexible, single, years) takes into account the possible override to the premium paying period through the New Business Insurance Benefits App screen by pressing **Ctrl+F3**.

Additional Keywords The following policy page table keywords are available to show each year how much of the PP premium is associated with the standard premium, the special class premium, and the temporary flat extra premium.

PPSTPY (Standard) = Death Benefit * (Std NS/1000)

PPTXPY (Table Extra) = Death Benefit * (Rated NS—Std NS)/1000

PPFXPY (Flat Extra) = Death Benefit * (Flat Extra * FX Factor * Remaining FX duration / 1000)

NOTE

These are benefit specific, table only keywords. In policy page definitions, they must be attached to a page for the coverage to which they apply.

The following table contains definitions for the fields on the second screen of the PT Segment.

Field	Description
Paid-Up/Term Questions	
If Premium Payments Stop—Terminate OYT or Continue by Surrender of Paid-Up	T—Terminate OYT The OYT portion of the face amount is terminated and the PUA portion is retained. C—Continue By Surrender Of Paid-Up The current face amount is retained by surrendering portions of the PUA face amount.

Field	Description
If Premium is Inadequate, Support Full Face by Surrender of Paid-Up	Y—Yes Support the full face amount by surrendering the PUA if the premium is insufficient. N—No
Valuation Code	The valuation code is a user defined, 10 character code used in valuation reporting as a sort key. All benefits with the same valuation code are sorted together. If this field is left blank, the system defaults to the coverage ID on the Valuation Reports screen.
Use Guaranteed or Current Net	G—Guaranteed Net The guaranteed one year term rates from the GT—Guaranteed OYT Purchase Rates Segment and the guaranteed net single premium purchase rates from the GS—Guaranteed NSP Purchase Rates Segment are used. N—Current Net The current one year term rates from the OT—Paid-up Term Rates Segment and the current net single premium purchase rates from the NS—NSP Purchase Rates Segment are used.
Retain the Target Face on PT Benefit Withdrawals	This field provides the ability to control the change in target face amount for PT benefits when a partial withdrawal is processed. Y—Yes Withdrawals have no impact on the target face amount. N—No The amount of paid up additions surrendered reduces the target face amount. O—Optional A box is displayed when processing a partial withdrawal asking if the withdrawal should reduce the target face amount.
When Calculating the Paid-Up/Term Split, Offset the Target Face Amount	
Offset By Base PUA	This field determines if base PUA amounts offset PT rider target face amounts. Y—Yes A base PUA is used. N—No A base PUA is not used. This is the default. Abbreviations: TFA Target Face Amount OT OT rate (Cost of term of PT) Paidup PU/PP PUA face NS NS rate (premium purchase rate) WA WA rate (dividend purchase/cash value rate) Adjface Adjusted Face Amount TBOPUAp PUA amount on TBO rider (previous)

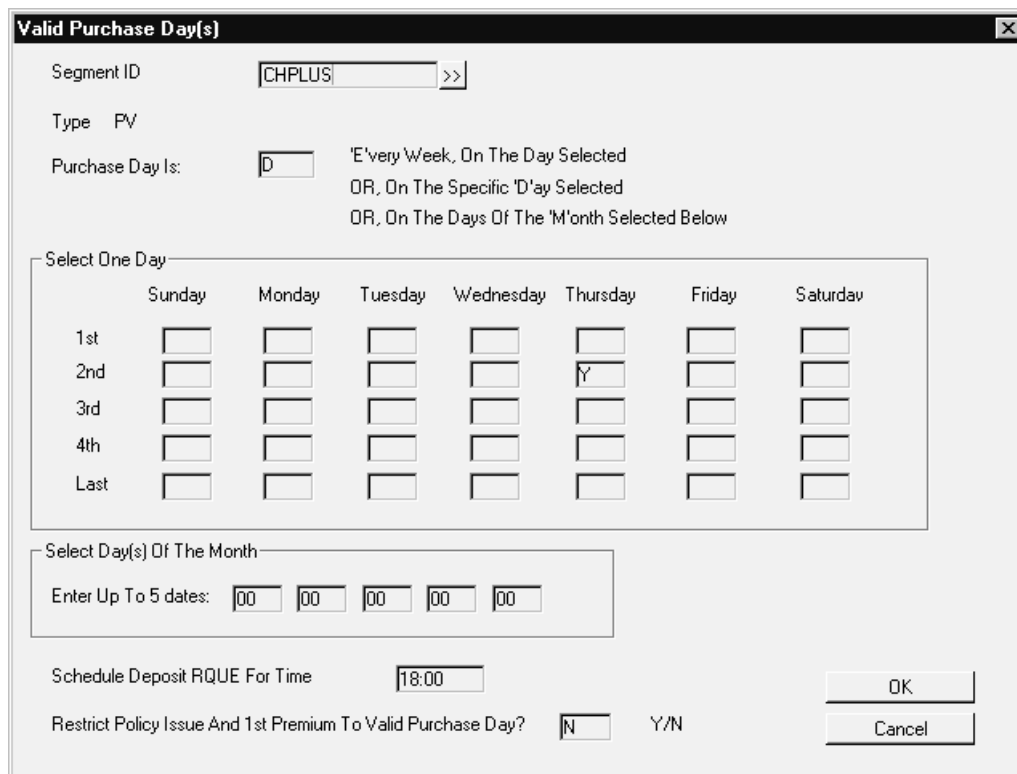
Field	Description
Offset by Base PUA (continued)	TBOPUAc PUA amount on TBO rider (current)
	TBOdv Dividend earned on TBO
	TBOcost Premium per unit for TBO
	Term TBO term amount
	Dvpur TBO PUA amount purchased by dividends
	PREMpur TBO PUA amount purchased by premium
	$Dvpur = (TBOdv/WA) * 1000$
	$Adjface = TFA - (Paidup + TBOPUAp + Dvpur)$
	$PREMpur = Adjface * (TBOcost * (TFA/Adjface) - OT) / (NS - OT)$
	$TBOPUAc = TBOPUAp + PREMpur + Dvpur$
	$Term = TFA - Paidup - TBOPUAc$
	Example:
	Issue Date = 1/1/1996, IAge = 35M, Und Class = S, Rated Table 01
	Issue Calculation
	TFA 100,000
	TBOcost 7.45
	Aage 35 Tbl 01 OT 2.83
	NS 272.57
	$TBOPUAc = 100,000 * (7.45 - (100,000/100,000) - 2.83) / (272.57 - 2.83)$
	$Term = 100,000 - 1,712.76 = 98,287.24$
	First Anniversary
	Aage 36 Tbl 01 OT 3.03 TFA 100,000
	NS 282.40 TBOcost 7.45
	Aage 36 WA 257.34 TBOdv 16.07
	$(16.07/257.34)/1,000 = 62.45$ DVpur 100,000—(1,712.76 + 62.45) =
	98,224.79 Adjface
	$98,224.79 * (7.45 * (100,000/98,224.79) - 3.03) / (282.40 - 3.03) = 1,601.38$
	PREMpur
	$1,712.76 + 1,601.38 + 62.45 = 3,376.59$ TBOPUAc 100,000—3,376.59 =
	96,623.41 Term

Field	Description
Offset By Base PUA (continued)	Second Anniversary Age 37 Tbl 01 OT 3.28 TFA 100,000 NS 292.54TBOcost 7.45 Age 36 WA 266.80TBOdv 32.96 TBOPUAp 3,376.58 Paidup 2,709.30 $(32.96/266.80) * 1,000 = 123.54$ Dvpur 100,000—$(2,709.30 + 3,376.59 + 123.54) = 93,790.57$ Adjface $93,790.57 * 7.45 * (100,000/93,790.57) - 3.28 / (292.54 - 3.28) = 1,512.02$ PREMp $3,376.59 + 123.54 + 1,512.02 = 5,012.15$ TBOPUAc 100,000—$(5,012.15 + 2,709.30) = 92,290.70$ Term The number of units on the PT benefit reflect the total of the PUA face and Term face on the PT benefit which is equal to the TFA less paidup.
Offset By Recurring Premium PP	This field determines if a recurring premium PP is used to offset the PT rider target face amount when calculating the PUA and OYT split. Y—Yes A recurring premium PP is used. N—No A recurring premium PP is not used. This is the default. Refer to the Offset By Base PUA field definition for examples. NOTE The Offset By Recurring Premium PP field and the Offset By Dump In Premium PP field must be set to Yes to allow paid up additions on PP benefits to offset when not using the recurring logic.
Offset By Dump In Premium PP	This field determines if a dump in premium PP is used to offset the PT rider target face amount when calculating the PUA and OYT split. Y—Yes A dump in premium PP is used. N—No A dump in premium PP is not used. This is the default. Refer to the Offset By Base PUA field definition for examples. NOTE The Offset By Recurring Premium PP field and the Offset By Dump In Premium PP field must be set to Yes to allow paid up additions on PP benefits to offset when not using the recurring logic.
Refund OYT Premium Upon Full Surrender	Y—Yes N—No

Field	Description
Does extra SL premium go to purchase	This field determines if the table extra premiums set up on the PR Segment for the PT benefit are used to purchase PUA/Term face split on the PT benefit. Y—Yes The table extra premium is used to purchase the PUA/Term face split. N—No Only the base PT premium is used to purchase the PUA/Term face split.
Reinsurance premium based on original number of units	This field determines if the coinsurance premium is based on the initial number of PT units or the current net amount at risk (NAR). NOTE This field is only applicable if the Reinsurance Code field is defined as Coinurance on the TR—Treaty Select Segment field. Y—Yes The coinsurance premium is based on the initial number of PT units. N—No The coinsurance premium is based on the current NAR.

6.199 PV—Valid Purchase Days Segment

The PV—Valid Purchase Days Segment is used to define the days when premiums and other deposits are transferred from the holding account into the equity, indexed fund.



The dialog box titled "Valid Purchase Day(s)" contains the following fields and controls:

- Segment ID:** A text field containing "CHPLUS" followed by a right-pointing arrow button.
- Type:** A dropdown menu set to "PV".
- Purchase Day Is:** A dropdown menu set to "D". To its right are three lines of text: "E'very Week, On The Day Selected", "OR, On The Specific 'D'ay Selected", and "OR, On The Days Of The 'M'onth Selected Below".
- Select One Day:** A table with days of the week as columns and frequency options as rows.
- Select Day(s) Of The Month:** A section with a label and a row of five input boxes.
- Schedule Deposit RQUE For Time:** A text field containing "18:00".
- Restrict Policy Issue And 1st Premium To Valid Purchase Day?:** A dropdown menu set to "N", followed by the text "Y/N".
- Buttons:** "OK" and "Cancel" buttons at the bottom right.

	Sunday	Monday	Tuesday	Wednesday	Thursday	Friday	Saturday
1st	☐	☐	☐	☐	☐	☐	☐
2nd	☐	☐	☐	☐	☒	☐	☐
3rd	☐	☐	☐	☐	☐	☐	☐
4th	☐	☐	☐	☐	☐	☐	☐
Last	☐	☐	☐	☐	☐	☐	☐

The following table contains definitions for the fields on the PV Segment.

Field	Description
Purchase Day Is	This field is used to define the frequency of purchase days. E—Every Week, On The Day Selected The valid purchase days occur on a specific day of each week, as defined in the Select One Day section of the segment. For example, the valid purchase day may be Thursday of each week. When this option is selected, only the first row in the Select One Day section can be accessed. D—Specific Day Selected The valid purchase day can be only one of the days identified in the Select One Day section of the segment. For example, the second Thursday of each month can be selected. This causes all deposits into the fund (premiums and transfers) that occur between purchase months to be scheduled with an effective date equal to the second Thursday of the month. The Premium Deposits Only On Valid Purchase Days field or the Requested Transfers In Only On Valid Purchase Days field on the Fund Rules screen must also be set to Yes when this option is selected. M—Days Of The Month Up to five specific days of the month can be defined as valid purchase days. For example, the 1st, 8th, 15th, 22nd, and 29th can be selected in the Select Days Of The Month section of the segment. In this example, all deposits into the fund (premiums and transfers) that occur after the 1st of the month and on or before the 8th of the month are scheduled with an effective date equal to the 8th of the month. A—On Policy Anniversary The valid purchase day occurs on the policy anniversary. This causes all deposits into the fund (premiums and transfers) that occur between policy anniversary dates to be scheduled with an effective date equal to the next policy anniversary date. The Valid Purchase Day works in conjunction with the Premium Deposits Only On Valid Purchase Days field and the Requested Transfers In Only On Valid Purchase Days field on the Fund Rules screen. When this option is selected, only the Schedule Deposit RQUE For Time field can be accessed on this screen. NOTE When this field is set to Every Week, On The Day Selected, Specific Day Selected, or Days Of The Month, the Restrict Policy Issue And 1st Premium To Valid Purchase Day field must be completed.

Field	Description
Select One Day	These fields are used to further define the day that is used when the Purchase Day Is field is set to Every Week, On The Day Selected or Specific Day Selected. If the Every Week, On The Day Selected option is selected in the Purchase Day Is field, only the first line in this section is available. Only one day can be selected. For example, if the valid purchase day is Thursday each week, select Y—Yes in the field under Thursday in the 1st line. If the Specific Day Selected option is selected in the Purchase Day Is field, only one day of the month can be selected. Each line (1st, 2nd, 3rd, 4th, or Last) determines the occurrence of the day during the month. For example, if the valid purchase day is the first Monday each month, select Y—Yes in the 1st line under Monday. If the valid purchase day is the third Wednesday of each month, select Y—Yes in the field under Wednesday in the 3rd line.
Select Day(s) Of The Month	This field is used to further define the day that is used when the Purchase Day Is field is set to Days Of The Month. Therefore, inputting 01, 15, and 30 in these fields indicates that valid purchase days are on the 1st, 15th, and 30th of the month. If the 30th or 31st of the month is selected and the month does not contain these days, the last day of the month is used. Up to five days can be selected.
Schedule Deposit RQUE For Time	This field defines the desired time to process RQUE records that are used to transfer funds from the holding account into the desired funds. This field is based on the 24 hour time setting. For example, if RQUE processing should start at 6 pm, 18:00 is input in this field. The time selected should be after the end of the workday but prior to the beginning of the nightly batch cycle. This allows the deposit RQUE records to process on the correct day in the event that nightly cycle extends to the next day.

Field	Description
Restrict Policy Issue And 1st Premium To Valid Purchase Day	This field is only applicable to the base benefit on a policy. This field does not apply to annuity riders at issue or when a benefit is added. Y—Yes The policy issue date and the effective date of the first premium MUST be set to a valid purchase date. The policy cannot be validated if the issue date is an invalid purchase date. In addition, the initial premium cannot be applied if the initial premium is attempted to be applied as of an invalid purchase date. N—No The policy can be issued and the initial premium can be applied as of an invalid purchase date. The initial premium, however, is subject to the holding account logic. NOTE When the Purchase Day Is field is set to Every Week, On The Day Selected, Specific Day Selected, or Days Of The Month, this field must be completed.

6.200 PW—Production Bonus Limit And Payment Percent

The PW—Production Bonus Limit And Payment Percent Segment is used to calculate the production bonus payment amount based on the bonus credit amount determined by the CW—Production Bonus Credit Information Segment. The Bonus Code on the Agent Hierarchy record is used to determine the bonus limits and payment percentages used to calculate the bonus payment amount. A default PW Segment should be set up without a bonus code. The default segment is used if a Bonus Code is present on the Agent Hierarchy record but a matching Bonus Code on the PW Segment is not found.

This segment is accessed from the Production Bonus Payment field on the CM—Commission Class Rule Segment. The segment ID is defined in this field and the segment is accessed by pressing **F4**.

The screenshot shows a dialog box titled "Enter Production Bonus Limit And Payment Percent". It contains the following fields and controls:

- Segment ID:** A text box containing "A105".
- Bonus Code:** A text box containing "512".
- Segment Type:** A text box containing "PW".
- Max Payment Issue:** A text box containing "999".
- If Commissions Are By Face, Pay Bonus On:** A dropdown menu with "PAA" selected, followed by the word "Amount".
- Min Production Limit:** A vertical stack of 10 empty text boxes.
- Percent:** A vertical stack of 10 empty text boxes.
- Buttons:** "OK" and "Cancel" buttons at the bottom right.

The following table contains definitions for the fields on the PW Segment.

Field	Description
Bonus Code	This field contains the 5 alphanumeric character ID that allows the PW Segment to be defined by agent. The corresponding Bonus Code field on the Agent Hierarchy record determines the PW Segment to use when calculating the bonus payment. If the Bonus Code is input in this field, it becomes part of the PW Segment ID. If a Bonus Code is input on the Agent Hierarchy record but the bonus code selected is not found for the PW Segment for the product, the default PW Segment is used. Therefore, it is recommended that all PW Segments have a default segment without a bonus code defined.
Max Payment Issue	The maximum issue age of the insured for which an agent can receive a production bonus payment is defined in this field. Valid values are 0 - 999. The default is 999.
If Commissions Are By Face, Pay Bonus On	This field indicates if the bonus payment is calculated based on the face amount of the policy or the prearrangement amount if the Commission Type field on the CM—Commission Class Rule Segment is set to Face Amount. If the Commission Type field is not set to Face Amount, this field is ignored and the production bonus is paid based on the premium amount. F—Face The face amount of the policy is used to calculate the production bonus payment. P—PAA The prearrangement amount is used to calculate the production bonus payment.
Min Production Limit	The percentage applied to calculate the bonus payment amount can vary based on the amount of production credit. The minimum production amounts necessary to earn the corresponding percentages are defined in these fields. The limits should be coded from the smallest limit in the first field to the largest limit. If the production bonus payment has no production limit (the bonus is paid regardless), the minimum production limit should be coded with a 1.
Percent	The percent to apply to the production bonus credit amount to determine the amount of the bonus is input in this field. The percentage applied to calculate the bonus payment amount can vary based on the amount of production credit. Each percentage corresponds to the production limit input in the Min Production Limit fields.

6.201 PX—Paid Contest Credits

The PX—Paid Contest Credits Segment was developed for one client to be used in a highly specialized extract. The segment is used in conjunction with the Marketing History File. It is generated when the Marketing History field in Management Options is set to **Yes**. It does not trigger any processing logic within LifePRO® other than defining the extract.

Submit/Paid Business [Contest]																																	
Marketing Segment ID		UL >>		Segment Type		PX																											
Premium Does This Segment Receive Premium Yes Based On CWA/Prem Credit Percent <table> <tr> <td>Premium</td> <td>Initial Credit</td> <td></td> <td></td> </tr> <tr> <td>Order (0 - 4)</td> <td>Select (E,L,G)</td> <td></td> <td></td> </tr> <tr> <td>Minimum</td> <td></td> <td></td> <td></td> </tr> <tr> <td>Target</td> <td></td> <td></td> <td></td> </tr> <tr> <td>Planned</td> <td></td> <td></td> <td></td> </tr> <tr> <td>Excess</td> <td></td> <td></td> <td></td> </tr> </table>										Premium	Initial Credit			Order (0 - 4)	Select (E,L,G)			Minimum				Target				Planned				Excess			
Premium	Initial Credit																																
Order (0 - 4)	Select (E,L,G)																																
Minimum																																	
Target																																	
Planned																																	
Excess																																	

Volume Does This Segment Receive Volume Based On 		Policy Count Credit % Policy Count Credit Pct 	
---	--	---	--

Product Group 	Alternate Marketing Credit Segments			
(Blank defaults to Base)	For Trad Rated Ben			
Business Type Primary	For Specified Amt Inc			
	For Othr Rdr/Ann Rdr			
			OK	
			Cancel	

6.202 PY—Commissions Prior Year Segment

The PY—Commissions Prior Year Segment is accessed through the Prior Year field on the CM—Commission Class Rule Segment by entering a segment ID and pressing **F4**. The PY Segment, working in conjunction with the EO—Commission Excess Only Segment, allows higher commissions to be paid on any premium received above an accumulated amount of prior year premiums. On the Commission Class Rule screen, target premium must be set to **1** in the Premium Ordering Section, and excess set to **2** to use this option.

Enter Commission Prior Year Segment		
Segment ID	FFFF >>	Segment Type PY
Select Period	5	Ultimate ID
Accounting		
Transaction Codes		Upper Limits
Normal Payment	110	100000
Premium Rollover	121	200000
Premium Transfer	122	100
Special Deposits	123	1000
1035 Exchanges	124	55555
Vanish Premium	126	150000
Rollover - Annuity	131	0
Transfer - Annuity	132	0
Waiver Premium	150	200000
		OK
		Cancel

6.203 PZ—Participation Rate Segment

The PZ—Participation Rate Segment contains the additional factor used in the index ratio and index interval bonus methods defined through the BU—Indexed Interest Bonus Segment.

This segment is accessed through the PZ—Participation Rate Segment field on the BU—Indexed Interest Bonus Segment.

Enter Interest Crediting Segment Criteria

Segment ID: >> Select Period:

Segment Type: Ultimate ID:

Key Modifier: ☐

Band Process:

Upper Band Limits

Constant/Incremental Rates

Rate File IDs and Rules

OK
Cancel

6.204 Q0—Q9—Collection Minimum Limits

The Q0-Q9 Collection Minimum Limits Segments are accessed through the CN—Collection Limits Segment. These segments define the minimum collection limits which can be set for each tax qualification code. The maximum valid value for these fields is \$9,999,999.

Each form of billing has a corresponding A/W field. The A/W field works in conjunction with the Global Maximum Limit field on the CN Segment to determine the maximum premium payment that can be applied at one time. Depending on the setup defined in the A/W field, you can either prevent the application of a premium amount greater than the amount defined through the Global Maximum Limit field, or you can bypass the edit and input an amount greater than the amount defined through the Global Maximum Limit field.

Collection Minimum Limits by Mode/Form

Segment ID: Segment Type: Q0

Mode	PAC	A/W	Direct	A/W	Lst	A/W
Issue						
Annual						
Semi-Annual						
Quarterly						
Other						

Mode	Gvt	A/W	Crd	A/W
Issue				
Annual				
Semi-Annual				
Quarterly				
Other				

Minimum Limits left blank
will disable editing for
particular Mode / Form

OK
Cancel

The following table contains definitions for fields on the Q0 - Q9 Segments.

Field	Description
PAC	The minimum premium amount that the system accepts for a preauthorized (PAC) payment for the tax qualification code defined is displayed in this field.
Direct	The minimum premium amount that the system accepts for a direct bill payment for the tax qualification code defined is displayed in this field.

Field	Description
Lst	The minimum premium amount that the system accepts for a list bill payment for the tax qualification code defined is displayed in this field.
Gvt	The minimum premium amount that the system accepts for a government allotment payment for the tax qualification code defined is displayed in this field.
Crd	The minimum premium amount that the system accepts for a credit card payment for the tax qualification code defined is displayed in this field.
A/W	This field works in conjunction with the Global Maximum Limit field on the CN—Collection Limits Segment. A—Absolute A payment over the amount entered in the Global Maximum Limit field is not allowed. This edit prevents the application of premium, but not the deposit of suspense money. W—Warning A payment over the amount entered in the Global Maximum Limit field is allowed, but an ENS message is generated.

6.205 QC—Set Up by Tax Qualification Code Segment

The QC—Set Up by Tax Qualification Code Segment is used to define loan and policy fee options that may vary based on the tax qualification code. The options can vary by duration, months, or age in addition to select and ultimate.

Setup by Tax Qualifications Code

Segment ID: JUL1 >> Select Period: Duration 0
 Segment Type: QC Ultimate ID:

Tax Qual Code	Loans Allowed? (Y/N)	Policy (AE) Fee
0 Not Qualified		
1 HR10		
2 TSA		
3 IRA		
4 SEP		
5 Defer Comp		
6 401K Plan		
7 457 Plan		
8 Defined Ben		
9 Defined Comp		
S Simple IRA		
R Contr Roth IRA		
Q Convr Roth IRA		

For Roth IRA (Q & R), add contributions to income? No (Y/N)
 PAC allowed on TSA (2)? Yes (Y/N)

OK
Cancel

The following table contains definitions for the fields on the QC Segment.

Field	Description
Select Period	This field indicates the length of time for which the Select Period is used. The first field is used to define the type of Select Period. The second field is used to define the length of time. If the same rate segment is used for all years, input 0 in this field.
	D—Duration
	M—Months
	A—Age

Field	Description
Ultimate ID	This field contains the segment ID that is used at the end of the select period. If the same rate segment is used for all years, this field is left blank.
Tax Qual Code	Each possible tax qualification code is listed in this column.
Loans Allowed	This field indicates if policy loans are allowed on a policy with the specified tax qualification code. Y—Yes Loans are allowed for a specific tax qualification code. N—No Loans are not allowed for this tax qualification code. “ —Blank Loans are allowed for a specific tax qualification code.
Policy (AE) Fee	An arrears policy fee can be deducted from a policy based on the tax qualification code. The AE—Arrears Policy Fee Segment defined in this field is used to determine the deduction amount. The AE Segment is accessed by pressing F4 from this field.
For Roth IRA (Q&R), add contributions to income	This field is used to define if contributions, both conversion amounts and premiums collected, for a Roth IRA are considered basis or income. Roth IRAs are defined using tax qualification codes Q—Roth Conversion and R—Roth Contributory. Y—Yes Contributions for conversion Roth IRAs and contributory Roth IRAs are added to income. N—No Contributions for conversion Roth IRAs and contribution Roth IRAs are added to basis. This is the default.
PAC allowed on TSA (2)	This field determines if preauthorized checking (PAC) is an available billing form when the policy is a tax sheltered annuity (TSA) with the tax qualification code set to 2. This field does not apply to Separately Billed Loans. “ —Blank PAC is a valid billing form for TSA policies. Y—Yes PAC is a valid billing form for TSA policies. N—No PAC is not a valid billing form for TSA policies. If PAC is selected as a billing form during New Business or when a mode change is processed, the change is not allowed.

6.206 QD—Question Definition

The QD—Question Definition Segment is accessed through the V0—New Business Question Setup Segment and O0—Benefit Add Question Setup Segment, by completing the Segment ID field and clicking >>. This segment contains the text for the interview questions and the QX—Interview Questions Pre-Defined Responses Segment ID, if applicable. Refer to Section 12, 6.213—QX—Interview Question Pre-Defined Responses Segment on page 12-806 in this book for further information on setting up pre-defined responses to interview questions.

Two lines of 58 characters each can be used to input the question. Upper, lower, and mixed cased characters, symbols, and numbers are acceptable when inputting the text.

Enter Question Definition Segment

Segment ID >> Type QD

Question Text Entry

Line 1

Line 2

Pre-defined Response Segment: >>

OK

Cancel

The following table contains definitions for the fields on the QD Segment.

Field	Description
Question Text Entry	This field is used as an identifier for the description field for predefined responses. Up to eight user defined characters can be used.
Pre-defined Response Segment	This field defines the segment ID for the QX—Interview Question Pre-Defined Responses Segment that is used to provide answers to the interview questions.

6.207 QL—Limits by Tax Qualification Code

NOTE

Annuities only

This segment controls limits on contributions based on contribution year and attained age by policy level tax qualification code. If these limits are exceeded, an ENS message will be generated. These limits are only applied to premium payments that are processed manually or through the lockbox collection process using Transaction Code 0110.

The calendar year limits and actions for each tax qualification code for a year are accessed by pressing **F4** from the Segment ID field.

The screenshot shows a software window titled "Segments Setup by Effective Date" with a subtitle "Limits By Tax Qual Code". The window contains several input fields and buttons. At the top, there is a "Segment ID" field with the value "JUL1" and a "Type" field with the value "QL". Below these, there is a "Year" field and a "Segment ID" field. Further down, there is an "Effective Year" field with the value "2003" and a "Segment ID" field with the value "JUL1". In the bottom right corner, there are four buttons: "Next", "Previous", "OK", and "Cancel".

The following table contains definitions for the fields on the QL Segment screen.

Field	Description
Year	The calendar year in which the QL—Limits by Tax Qualification Code Segment is effective is displayed in this field.
Segment ID	The corresponding Segment ID for the QL—Limits by Tax Qualification Code Segment is displayed in this field. Press F4 to access the QL Segment.

The second screen of the QL Segment displays the calendar limits and actions for each tax qualification code.

Enter Limitations by Tax Qualifications Code

Segment ID >> Select Period Age

Segment Type QL Ultimate ID

Tax Qual Code	Calendar Limit	% of Limit for ENS	Flag
0 Not Qualified		%	
1 HR10		%	
2 TSA		%	
3 IRA		%	
4 SEP		%	
5 Defer Comp		%	
6 401K Plan		%	
7 457 Plan		%	
8 Defined Ben		%	
9 Defined Comp		%	
S Simple IRA		%	
R Contr Roth IRA		%	
Q Convr Roth IRA		%	

OK
Cancel

The following table contains definitions for the fields on the QL Segment.

Field	Description
Select Period	This field indicates the attained age on which the calendar limits are effective. The attained age is defined as the age of the annuitant on 12/31. If there is no Select and Ultimate Period, 99 should be input in this field.
Ultimate ID	This field contains the segment ID for the calendar limits that are used when the limits change at the end of the select period. If there is no Ultimate Period, NA should be input in this field.
Tax Qual Code	Each possible tax qualification code is listed in this column. The calendar limits can be varied by each tax qualification code.
Calendar Limit	Designate the maximum payment which can be applied in a calendar year for the applicable tax qualification code in this field. If this field is left blank, the edit does not apply. The A/W column controls the effects of the edit.
% of Limit for ENS	This field determines the percent of the Calendar Limit amount at which an ENS message is generated. The field contains numeric values from 001 to 100. For example, assume the Calendar Limit field is \$2000.00 and the % of Limit for Ens field is 90. When premium payments received in the calendar year exceed \$1800.00, an ENS message is generated. NOTE Normal edits still apply to ENS processing. If the premium is so large as to actually violate the limit, both the percentage ENS message and the normal Warning or Absolute edits apply.
Flag (A/W)	A—Absolute The portion of the payment that does not exceed the limit is applied. Any payment remaining is left in suspense. An ENS message is generated stating that a partial payment was applied. The ENS message also includes the amount of the payment. W—Warning Only An ENS message is generated whenever the limit is violated, but the payment is allowed.

6.208 QQ—Collection Minimum Limit Conversion Roth IRA

The QQ—Collection Minimum Limit Conversion Roth IRA Segment is accessed through the CN—Collections Limits Segment and is used to set minimum payments allowed by mode and form for conversion Roth IRAs (tax qualification code of Q).

Collection Minimum Limits by Mode/Form

Segment ID: Segment Type:

Mode	PAC	A/W	Direct	A/W	Lst	A/W
Issue						
Annual						
Semi-Annual						
Quarterly						
Other						

Mode	Gvt	A/W	Crd	A/W
Issue				
Annual				
Semi-Annual				
Quarterly				
Other				

Minimum Limits left blank will disable editing for particular Mode / Form

OK Cancel

The following table contains definitions for the fields on the QQ Segment.

Field	Description
Mode	Input the collection limit for the desired mode in this field. The maximum valid value is \$9,999,999.
A/W	The A/W column controls the effects of the collection limit edit. A—Absolute The payment cannot be applied if it is more than the maximum. W—Warning Only An ENS message is generated whenever the limit is violated, but the payment is allowed.

6.209 QR—Qualified COI Rules Segment

NOTE

Universal life only

The QR—Qualified COI Rules Segment defines the parameters used in defining the qualifying minimum premium test run at the time of monthiversary processing for universal life products. The qualified minimum premium test determines if a policy receives non-qualified mortality cost of insurance (COI) rates as defined on the U6—Current COI Rates Segment or qualified mortality COI rates defined through the U6 Override Segment field on the QR Segment.

The qualified minimum premium test is done every month when monthiversary is processed. The result of the test is displayed on the Benefit Record Mortality Detail window in the Qualified COI Flag field. This window is displayed by pressing **Alt+F7** from the Monthiversary screen and selecting **MR: Mortality**.

Segment Screen - Qual COI	
Segment ID	UL
Segment Type	QR
Qualification Rules	
Initial Qualification Year	1
Requalification Years	5
Qualification Percent	10
Qualification Premium	Minimum
Forgiving	Yes
U6 Override Segment	UL1
Adjust Premium with Loans/Withdrawals	Yes
Alternate Grace Period	2 Months
Rate Schedule to use at end of Requalification	Coverage

The following table contains definitions for the fields on the QR Segment.

Field	Description
Initial Qualification Year	The first policy anniversary to test the qualifying minimum premium is displayed in this field.
Requalification Years	The number of years after the initial qualification year to perform the premium qualification test is displayed in this field.
Qualification Percent	The percent to apply against the minimum or target premium defined on the UG—Minimum Premium Segment or the UH—Target Premium Segment to determine the qualified minimum premium is displayed in this field.
Qualification Premium	This field defines if the minimum or target premium is used in determining the qualifying minimum premium. T—Target M—Minimum
Forgiving	This field defines if the policy can requalify for qualified COI rates after a qualification fails. Y—Yes The policy can reinstate the qualified COI rates in a subsequent requalification. N—No After a qualification fails, the COIs thereafter are the nonqualified COI rates.
U6 Override Segment	This field defines the U6—Current COI Rates Segment that is used if the policy meets the qualified minimum premium test.
Adjust Premium with Loans/ Withdrawals	This field determines if the premium paid is reduced by loans and withdrawals. Y—Yes Loans and withdrawals reduce the sum of premiums paid. N—No Loans and withdrawals have no effect on the qualification test.
Alternate Grace Period	After a policy falls behind, this field defines the number of months before the system uses the nonqualified COI rates defined through the U6 Override Segment field.
Rate Schedule to use at end of Requalification	This field is used to determine which COI rate schedule is used at the end of the requalification period. F—Final The rate scale in effect at the end of the requalification period is used. C—Coverage Non-qualified COI rates from the U6—Current COI Rates Segment are used.

6.210 QS—Collection Minimum Limit Simple IRA

The QS—Collection Minimum Limit Simple IRA Segment is accessed through the CN—Collections Limits Segment and is used to set minimum payments allowed by mode and form for simple IRAs (tax qualification code of S).

Collection Minimum Limits by Mode/Form

Segment ID: Segment Type:

Mode	PAC	A/W	Direct	A/W	Lst	A/W
Issue						
Annual						
Semi-Annual						
Quarterly						
Other						

Mode	Gvt	A/W	Crd	A/W
Issue				
Annual				
Semi-Annual				
Quarterly				
Other				

Minimum Limits left blank will disable editing for particular Mode / Form

OK Cancel

The following table contains definitions for the fields on the QS Segment.

Field	Description
Mode	Input the collection limit for the desired mode in this field. The maximum valid value is \$9,999,999.
A/W	The A/W column controls the effects of the collection limit edit. A—Absolute The payment cannot be applied if it is more than the maximum. W—Warning Only An ENS message is generated whenever the limit is violated, but the payment is allowed.

6.211 QT—Collection Minimum Limit Contributory Roth IRA

The QT—Collection Minimum Limit Contributory Roth IRA Segment is accessed through the CN—Collections Limits Segment and is used to set minimum payments allowed by mode and form for contributory Roth IRAs (tax qualification code of R).

The following table contains definitions for the fields on the QT Segment.

Field	Description
Mode	Input the collection limit for the desired mode in this field. The maximum valid value is \$9,999,999.
A/W	The A/W column controls the effects of the collection limit edit. A—Absolute The payment cannot be applied if it is more than the maximum. W—Warning Only An ENS message is generated whenever the limit is violated, but the payment is allowed.

6.212 QW—Qualified Withdrawal

NOTE

Universal life only

LifePRO® allows certain withdrawals to be processed from level death benefit universal life policies without reducing the specified amount. The QW—Qualified Withdrawal Segment defines how the qualified withdrawal amount is calculated and is accessed through the WD—Partial Withdrawal Segment.

Enter Qualified Withdrawals Segment Criteria

Segment ID: >> Select Period:

Type: Ultimate ID:

Calculation Code:
 [Cash Value = Fund Value less Surrender Charge]

Percentage to Apply:

Anniversary to Date Maximum:

Reduce Death Benefit following Withdrawal for: Months

OK Cancel

The following table contains definitions for the fields on the QW Segment.

Field	Description
Calculation Code	The current method available is based on a percentage of the cash value as of the last anniversary. 1—Percentage Of Cash Value From Last Anniversary
Percentage to Apply	The percentage of the cash value used in computing the qualified withdrawal available is displayed in this field.

Field	Description
Anniversary to Date Maximum	The dollar value of the maximum qualified withdrawal permitted in a policy year is displayed in this field.
Reduce Death Benefit following Withdrawal for	The number of months for which the temporary adjustment to the death benefit is in effect is displayed in this field. If the death benefit will not be adjusted, input 0.

6.213 QX—Interview Question Pre-Defined Responses Segment

The QX—Interview Question Pre-Defined Responses Segment is used to define up to fourteen predefined responses to interview questions defined through the QD—Question Definition Segment.

This segment is accessed through the Pre-Defined Response Segment field on the QD—Question Definition Segment by inputting the QX Segment ID, pressing **F10**, then pressing **F4**.

Code	Description
100	Yes
101	No
102	Not Applicable

The following table contains definitions for the fields on the QX Segment.

Field	Definition
Code	This field is used as an identifier for the description field for predefined responses. Up to eight user defined characters can be used.
Description	This field defines the text for predefined responses. Up to 60 user defined characters can be defined.

6.214 R0—Reinsurance By Treaty

This segment is used if reserves on reinsured amounts are to be set up by treaty and coverage.

[illegible]

The following table contains definitions for the fields on the R0 Segment.

Field	Description
Treaty	Indicate the reinsurance treaty ID in this field.
Reins Reserve Calc Rule	F—Factor Factors from the RR—Reinsurance Reserve Factors Segment and RP—Reinsurance Valuation Premiums Segment are used to calculate reserves. Pressing F4 on the RR or the RP Segment field accesses the RR or RP Segment. These are identical to the usual reserve segments RV and NP respectively. Using the Factor method implies that the ceded amount under the given treaty uses tabular factors to compute reserves. P—Prorata The pro-rata method computes the normal reserve for the coverage, by whatever method has been set on the RV—Reserve Factors Segment, if traditional. It then ratios the amount ceded in this treaty and applies the ratio of ceded to face to that reserve. This is the default. H—Half Prem This method computes the reinsurance premium and simply holds half of that.
RR Segment	If the Rein Reserve Calc Rule is Factor , the RR Segment ID can be entered in this field. To access the RR Segment from the R0 Segment, click in the Treaty field and press F4 .
RP Segment	If the Rein Reserve Calc Rule is Factor , the RP Segment ID can be entered in this field. To access the RP Segment from the R0 Segment, click in the Treaty field and press F4 .

6.215 RA—Alternate Minimum Premium Required Period

NOTE

Universal life only

LifePRO® does not automatically change the required minimum premium period nor the no lapse guaranteed period based on the presence of a particular rider. The RA—Alternate Minimum Premium Required Period Segment allows the ability to override the base required minimum premium and the no lapse guarantee period for rider coverage IDs. This segment defines the required minimum premium period, by number of months or years, for up to four coverage IDs. The RA Segment overrides the Minimum Premium Requirement Period field on the UG—Minimum Premiums Segment and the No Lapse Guarantee Period field on the LP—Lapse Segment and is applicable only to universal life products.

Alternate Minimum Premium Required Period			
Segment ID	UL1		
Segment Type	RA		
Enter Coverage ID and Minimum Premium Required Period to Override the UG Segment Period when these Coverages are Present on a Policy:			
Coverage ID	UL1	Min Prem Period	10
			Code Years
Coverage ID		Min Prem Period	
			Code
Coverage ID		Min Prem Period	
			Code
Coverage ID		Min Prem Period	
			Code
OK			
Cancel			

Press **F8** to add a new record, or press **F10** to update an existing record. The Segment ID and Segment Type fields automatically default and cannot be updated from this screen. Complete the screen and click **OK** to save.

Field	Description
Coverage ID	Input the coverage ID of the rider to define the minimum premium period. The coverage ID overrides the base Required Minimum Premium Period field on the UG—Minimum Premiums Segment and the base No Lapse Guarantee Period field on the LP—Lapse Segment.
Min Prem Period	The required minimum time period that a policyowner must pay the minimum premium on a policy is input in this field. This field overrides the base Required Minimum Premium Period field on the UG—Universal Life Minimum Premium Segment and the base No Lapse Guarantee Period field on the LP—Lapse Control Segment.
Code	This field is required to define the Min Prem Period field. D—Days M—Months Y—Years

6.216 RB—Auto Portfolio Rebalancing Fee

NOTE

Universal life only

For variable annuity and UL products there is a concept of *portfolio rebalancing* whereby the client specifies that periodically the system is to reappportion the total value in all funds into certain funds on a percentage basis.

For example, every three months collapse the total value into dollars, and then redistribute the total on a 25%, 25%, 50% basis into three specific funds.

If this transaction has a fee attached, use the RB—Auto Portfolio Rebalancing Fee Segment to point to the fee amount. The system prorates the fee among the funds from which the funds are being withdrawn.

Rate Type Segment									
Segment ID	UL1 >>		Select Period	Duration 0					
Segment Type	RB		Ultimate ID						
Constant Rate	0.000000		(Added to File Rate if Declared)						
Rate Type	Constant Rate Only								
Type Modifier	☐		Rates Vary by Underwriting Class		No				
Mult Insured Access	☐								
Rate Basis	Separate And Unique		Years of	0					
Banding Method	Not Banded								
Banding Rule	Traditional								
Upper Band Limits	0	0	0	0	0	0	0	Mode Rules	
Rates Coded As	Actual Amount								
Change Frequency	Not Applicable								
	0								
Rates Next OK Cancel									

Refer to Section 12, Chapter 3—Premiums—Upper Portion of Screen Field Definitions on page 12-17 in this book for a description of the fields on the upper portion of the screen.

6.217 RC—Rerate Correspondence

NOTE

Health only. This segment is required if generating follow-up correspondence or an extract file using rerates.

The RC—Rerate Correspondence Segment defines the number of days prior to the rerate that a follow-up record is generated. This segment defines the rerate process ID that accesses the Follow-Up Definition Table and in addition, defines the event that must take place in order to generate the follow-up for example, rerate, anniversary processing, or both rerate and anniversary processing. Either follow-up correspondence or an extract file can be generated.

The Rerate Follow-Up Gen option accessed through the Correspondence Menu in Reports/Processing directs the system to pick up rerates that are added to a coverage after the policy issue date but before the policy bill generation date in order to generate a follow-up record for upcoming rerates.

The Health Rerate Correspond option on the State Control File defines the number of days prior to the rerate date to generate the correspondence letter for a specific state. If no value is coded, the system defaults to the RC Segment.

NOTE

The follow-up code must be defined on the Follow-Up Definition Table in System Configuration with a caret ^ in the first position followed by the three digit rerate process ID or correspondence is not generated.

The screenshot shows a dialog box titled "Rerate Correspondence Segment". It contains the following fields and controls:

- Segment ID:** A text box containing "DISINC" and a ">>" button.
- Segment Type:** A text box containing "RC".
- Select Period:** A dropdown menu set to "Duration" and a text box containing "0".
- Ultimate ID:** An empty text box.
- Number of Days:** A text box containing "0" with the text "Used as Default if None Found in State Control File" to its right.
- Generate Correspondence Due To:** A dropdown menu set to "Rerates".
- Re-rate Process ID:** An empty text box.
- Extract Used:** A dropdown menu.
- Buttons:** "OK" and "Cancel" buttons at the bottom right.

The following table contains definitions for the fields on the RC Segment.

Field	Description
Number of Days	The number of days prior to the rerate date to generate correspondence is displayed in this field. The number of days can also be set up by state in the State Control File. If not found there, then it defaults to the field on the segment.
Generate Correspondence Due To	This field defines the event that causes the Follow-Up Record to be created. R—Rerates Only rerates cause the Follow-Up Record to be generated. This is the default. A—Anniversary Only anniversary processing causes the Follow-Up Record to be generated. B—Both Either a rerate or anniversary processing causes the Follow-Up Record to be generated.
Rerate Process ID	The rerate process ID is displayed in this field. The ID can be three characters, alphanumeric. This ID points to a follow-up definition record that contains letter setup to be used in the correspondence. Important—The Follow Up Record must start with an ^ symbol. For example, if this field is RER, the follow up record is named ^RER.

Field	Description
Extract Used	This field determines if the extract record is generated. Y—Yes The extract is generated instead of a letter. An extract is produced even if the Generate Letter field on the Follow-Up Definition screen is set to generate a letter. The Coverage Record overrides the Follow-Up Definition screen. N—No The extract, RCXT(Coder ID).DAT, is generated to the LifePRO® work drive. As additional records are created, the extract is appended. The extract contains the following information for each Follow-Up Record generated. Policy number Owner name Owner address Group number (if applicable) Group name (if applicable) Group address (if applicable) Insured name (for primary insured only) Product ID Rerate effective date for the next rerate Billing mode Billing form Current modal premium Servicing agent number Servicing agent name Number of first base benefit extended key selection Description of first base benefit extended key selection Premium amounts for each first base extended key selection

RC—Rerate Correspondence Processing Notes

NOTE

The following screen is a sample Follow Up Definition Record. The Number of Days field on the segment controls how far in advance of the rerate that the letter is generated. The Letter Code and the Maximum Number of Follow-Ups fields are not used for rerate follow-up processing and should be left blank.

Even after the follow up is attached to a rerate policy, follow up processing must be run in order to generate the actual correspondence letter. Follow up processing is generally run as a nightly cycle type process.

NOTE

When the option **Extract** is selected for the Generate Letter field, a Follow Up Record is created the number of days selected on the RC Segment or the Health Rerate Correspondence window on the State Control File before the rerate occurs. The extract is then generated during follow up processing.

6.218 RD—Endowment, Deposit Return Segment

NOTE

Traditional life only. This segment designates the endowment amount per thousand. It is required for any coverage, including base benefits, additional benefits, or paid up additional insurance that pays a maturity or endowment value. Endowment policies do not mature unless this segment is turned on.

The RD—Endowment, Deposit Return Segment directs LifePRO® to money payable at certain points on a policy. This may be a normal endowment to the policyholder (owner) at the normal termination of a policy (for example, face amount at age 100) or any number of periodic endowments along the way.

Segment Detail							
Segment ID	WL >>			Segment Type	RD		
Key Modifier	RD			Do Values Vary By			
Are Values Banded	No			Underwriting Class	No		
Female Rate Basis	Male With Setback						
Setback Years	0						
Rate Type	Attained Age						
Rate Rounding Rule	00			Rate Mode Rule ID	N/A		
Band Upper Limits:							
9999999	0	0	0	0	0	0	0
First Duration Value Is Available							
1							
Mode Rules							
Rates							
Calculate Values							
OK							
Cancel							

Fields Unique to this Segment

Refer to Section 12, Chapter 3—Premiums—Upper Portion of Screen Field Definitions on page 12-17 in this book for a description of the fields in the upper portion of the screen.

Field	Description
First Duration Value Is Available	Enter the policy duration (for example, policy year 1 is 1) that the system allows a non-zero cash value to be applied on a policy. If all years are applicable, this field is left blank.

6.219 RE—Retention Limits File

NOTE

This segment is required if using reinsurance on any line of business.

The Retention Limits File is used to designate the amount of insurance to retain for a specific benefit. Retention limits can be varied by policy substandard table rating, policy issue date, or issue age of insured. The retention limits can also be applied on a per policy or per life basis.

Each coverage can have its own Retention Limits Segment. If a supplemental coverage uses the base coverage setup rules, input **Base** as the retention limits ID.

Enter Retention Limits			
Company Code	[01]	Retention Limits ID	[KGF]
		Group Reinsurance by Census?	[No]
Start Date for This Retention Record	[01/01/1989]	Tbl Rating	Retention Limit
Stop Date for This Retention Record	[01/01/2100]	00	\$ 100,000
Max Issue Age for This Retention Record	[999]	01	\$ 100,000
Traditional NAR Calculation Option	[Net Amount At Risk]	02	\$ 100,000
Calculate Retention Per Policy	[Policy Benefit]	03	\$ 100,000
If Per Life Use Either Cumulative	[]	04	\$ 100,000
		05	\$ 100,000
		06	\$ 100,000
Reinsurance Premium Calculation Option	[Current Base Unit]	07	\$ 100,000
Calc Retention Per Insured on Joint Policies	[No]	08	\$ 100,000
		09	\$ 100,000
		10	\$ 100,000
		11	\$ 100,000
		12	\$ 100,000
		13	\$ 100,000
		14	\$ 100,000
		15	\$ 100,000
		16	\$ 100,000
			[Add]
			[Next]
			[Previous]
			[OK]
			[Cancel]

The following table contains definitions for the fields on the RE Segment.

Field	Description
Company Code	The company code to which this record applies is displayed in this field. Retention limits can be varied by company code.
Retention Limits ID	The segment ID selected from the Segment List is displayed in this field.

Field	Description
Start Date for This Retention Record	Retention limits can be varied based on the issue date of the policy. This field defines the starting date when this record is valid. When retention limits are modified, they can be changed by adding a new Retention Limits Record with the same retention limits ID, but a new start or stop date.
Stop Date for This Retention Record	Retention limits can be varied based on the issue date of the policy. This field defines the last date when this record is valid. When retention limits are modified, they can be changed by adding a new Retention Limits Record with the same retention limits ID, but a new start and stop date.
Max Issue Age for This Retention Record	Retention limits can be varied based on the issue age of the insured. In order to vary the limits, set up multiple records with the same retention limits ID. On each record, use this field to designate the maximum age for which this Retention Limits File Record is applicable.
Traditional NAR Calculation Option	This field uses end of year terminal reserves in computing a net amount at risk for traditional benefits. “—Net Amount At Risk The net amount at risk equals the face amount. R—Net Amount At Risk Less Terminal Reserve The net amount at risk is the face amount less the terminal reserve as defined in the RV—Reserve Factors Segment of the coverage. The net amount at risk is then used for the reinsured amount calculation. The net amount at risk is computed at each reinsurance processing for a given policy. If the terminal reserve changes, the net amount at risk is computed at each reinsurance processing for a given policy. If the terminal reserve changes, the net amount at risk reflects the change in reserve. The Trad NAR field is carried on the Reinsurance Detail Record.
Calculate Retention Per Policy	B—Policy Benefit The retention limit is applied to each policy for an insured, regardless of the insured's total inforce. L—Life Basis The retention limits are applied based on the total inforce for the insured. Thus, after the retention limit is met for a specific insured, no additional amount is retained on new policies. The benefits designated with a Yes in the lower section of the screen are benefits that are considered in the total inforce calculation.

Field	Description
If Per Life Use Either Cumulative	This field determines if manual retention amount overrides are taken into account when determining new retention. F—Find Retention On Table Overrides are not taken into account when calculating retention. In other words, the system looks at the total inforce, and if the retention amount should have been met, it does not retain any additional amount. If a retention limit override was processed, it is ignored. R—Retention Of Inforce Benefits Overrides are taken into account when calculating the retention. In other words, the system takes into account what has actually been retained when determining if any additional amount is retained.
Reinsurance Premium Calculation Option	This field defines if reinsurance premium calculations are based on the original base unit of a policy or the current base unit of a policy. The premium calculation only applies to reinsurance premiums. This field can be updated on a policy level through the Reinsurance Detail screen. This field is most commonly used for traditional products which have an increasing rider such as an inflation rider, which automatically increases the base units each anniversary on a policy. C—Current Base Unit The reinsurance premium calculation is based on the current base unit of a policy. O—Original Base Unit The reinsurance premium calculation is based on the original base unit of a policy. This option only affects reinsurance premiums not the reinsured amount. For example, assume a policy is issued with 2 units and an inflation rider. On the first anniversary, the inflation rider increases the number of base units by .07. This option calculates the reinsurance premium based on the original 2 units; however, the reinsurance amount is based on 2.07 units.
Calc Retention Per Insured on Joint Policies	This field determines if the system tracks retention for each insured on joint benefits. Y—Yes Retention is tracked for each insured. N—No Retention is tracked on a policy basis.

Field	Description
Group Reinsurance by Census	This field is the only group specific field on the Retention Limits Segment. Y—Yes Reinsurance occurs per census record by benefit. For instance, if one census record contains 3 benefits, retention limits are created for each benefit. N—No Reinsurance occurs per policy by benefit. All census records on the policy are categorized together by benefit, and retention limits are created per benefit.
Tbl Rating	Retention limits can be varied by each possible substandard table rating code. The possible table codes are displayed in these fields, 01 through 16.
Retention Limit	The retention limit for each table rating is displayed in these fields. To clone a dollar amount down the rest of the list, press F4 from the original field.

6.220 RF—Multiple Insured Rider Factor

NOTE

Traditional life only

The RF—Multiple Insured Rider Factor Segment is not used generically. It is used only in an exceptions program for one client where multiple insureds in a first to die universal life product are involved.

Multiple Insured Rider Factor Segment	
Segment ID	TRAD >>
Segment Type	RF
Select Period	Duration 0
Ultimate ID	
Minimum Lives in Rate Formula	0
Reduction to Number of Lives	0
Factor	0.00000
Divide or Multiply by Factor	☐
Decimal Place to Round Rate	☐
Rounding for Substandard	☐
Round Monthly or Annual	☐
BVI Type Premium Calculation	
OK	
Cancel	

6.221 RG—Guaranteed Table Rating

Rate Type Segment	
Segment ID	TRAD >>
Segment Type	RG
Select Period	Duration 0
Ultimate ID	
Constant Rate	0.0000000 (Added to File Rate if Declared)
Rate Type	Constant Rate Only
Type Modifier	☐ Rates Vary by Underwriting Class No
Mult Insured Access	
Rate Basis	Separate And Unique
Years of	0
Banding Method	Not Banded
Banding Rule	Traditional
Upper Band Limits	0 0 0 0 0 0 0
Rates Coded As	Actual Amount
Change Frequency	Not Applicable
	0

Mode Rules

Rates

Next

OK

Cancel

6.222 RH—Current Table Rating

The RH—Current Table Rating Segment is a specialized segment which uses the cost of insurance (COI) rates pointed to by this segment to compute substandard rates.

If active, the system in monthiversary takes the extra percent rating factor times the COIs on this segment and adds the result to the standard COI rate. Otherwise, LifePRO® applies the percentage rating to the usual (U6) rates directly.

Rate Type Segment	
Segment ID	TOR >>
Segment Type	RH
Select Period	Duration 0
Ultimate ID	
Constant Rate	0.0000000 (Added to File Rate if Declared)
Rate Type	Constant Rate Only
Type Modifier	☐ Rates Vary by Underwriting Class No
Mult Insured Access	
Rate Basis	Separate And Unique
Years of	0
Banding Method	Not Banded
Banding Rule	Traditional
Upper Band Limits	0 0 0 0 0 0 0
Rates Coded As	Actual Amount
	Not Applicable
Change Frequency	0

Mode Rules
Rates
Next
OK
Cancel

6.223 RI—Reserve Interest Rates Criteria

Enter Reserve Interest Rates Criteria

Segment ID >> Segment Type RI

Interest Rate to Use When Computing Reserves for Values Calls

Call	Code	Interest Rate i	Log (1 + i)	Reserve Mortality Segment ID
Statutory Reserves	RV	0.00000	0.000000000	>>
Dividends	DV	0.00000	0.000000000	
Non Prem Pay Dividends	DN	0.00000	0.000000000	
Cash Values	CV	0.00000	0.000000000	
Tax Reserves	TX	0.00000	0.000000000	>>
Premiums	PR	0.00000	0.000000000	

OK
Cancel

6.224 RL—Fund Rollover Segment

NOTE

Universal life only

The RL—Fund Rollover Segment points to very specific fund maturity and transfer logic for multiple funds. This segment can be accessed through the Segment List on the Fund Rules screen, or the FL—Fund Rule Segment. The FL Segment is accessed through the Loan Fund ID field on the LN—Loan Interest Rate Rates Segment.

Enter Segment Screen - RL Criteria

Segment ID >> Select Period

Segment Type Ultimate ID

Rollover Timing Code Cycle(s)

Rollover is Based on

Segment RL Details

	Rollover %		Fund ID	Remainder
	ID	Rule	Destination	Destination
Beginning Balance				
Balance Gain				
- Or -				
Ending Balance				

Send Average Interest Rate with Transferred Amount

OK Cancel

NOTE

The RL—Fund Rollover Segment cannot be used if the Create Funds Dynamically field on the FC—Fund Contract Rules Segment is set to **Yes**. If the RL Segment is used and the Create Funds Dynamically field is set to **Yes**, an error is generated during monthiversary processing for any policy issued using the product.

The following table contains definitions for the fields on the RL Segment.

Field	Description
Rollover Timing Code	X—No Rollovers Rollovers are not processed. C—Rollover Every Rollovers are processed for the frequency entered in the Cycles field. For example, if 12 is entered in the Cycles field, a rollover occurs every 12 months.
Rollover is Based on	1—Beginning Balance and Gain This option is further defined through the Rollover ID, % Rule, Fund ID Destination, and Remainder Destination fields displayed in the Beginning Balance Gain row. 2—Current Ending Balance This option is further defined through the Rollover ID, % Rule, Fund ID Destination, and Remainder Destination fields displayed in the Ending Balance row.
Segment RL Details	
Rollover ID	The ID of the rate defined by date or duration is entered in this field. NOTE Press F4 from this field to access to the Declared Interest Rates File.
Rule	This field identifies the rate by date or duration.
Fund ID Destination	This field defines where the money will roll.
Remainder Destination	This field defines where the remainder of the money that was not defined through the Fund ID Destination field will roll.
Send Average Interest Rate with Transferred Amount	When a rollover is processed, the system computes a weighted average of the interest rates on the amounts being rolled. The system then applies the weighted average of interest rates to the transferred amount. Y—Yes N—No

6.225 RM—Replenishment Rates Segment

The RM—Replenishment Rates Segment defines the replenishment rates used at the product level (fixed by product), policy level (input by the user), or by cumulative premium to include a bonus premium amount at issue. The RM Segment allows the duration of the replenishment period to be set in months or years, and also allows both a lower and upper limit (replenishment rates) to be set at the policy level. At the product level, the policy level, and the cumulative premium level the rates are associated with individual transaction codes.

Replenishment Type Segment		
Segment ID	FDLEIA	Select Period 999 Duration
Segment Type	RM	Ultimate ID
Type of Replenishment	Fixed	Policy Limits
Create Accounting When Applied		Lower Limit 0.000 Upper Limit 0.000
Create Deposit History When Applied	No	Limits Apply to All Selected Tran Codes
Trans Codes	Fixed Rate	Other Apply?(Y/N)
0110	5.000	No
0121	5.000	No
0122	5.000	No
0123	5.000	No
0124	5.000	No
0127	5.000	No
0128	5.000	No
0129	0.000	No
0131	5.000	No
0132	5.000	No
		OK
		Cancel

The following table contains definitions for the fields on the RM Segment.

Field	Description
Type of Replenishment	This field defines the type of replenishment rates to be used in the calculation of the bonus. F—Fixed This option sets the replenishment rates at the transaction level. When Fixed is selected, the information in the Fixed box is accessible. A fixed rate is set per the individual transaction code. This is the only option that will allow the replenishment rate to vary by transaction code. P—Policy This option sets the replenishment rates at the policy level. When Policy is selected, the information in the Policy Limits box is accessible. The upper and lower rate limits are set in the Policy Limits box and can be applied to the individual transaction code. C—Cumulative Premiums This option allows the bonus to be based on cumulative premiums, allowing for withdrawals and prior bonuses. When Cumulative Premiums is selected, press Page Down to access a banding screen. This screen is used to define up to 7 bands with different replenishment rates. The replenishment rate can be applied to premiums of a specific type (transaction code) by using the Other Apply field.
Create Accounting When Applied	This field indicates if accounting is generated for the premium bonus when payments are applied. The premium bonus is applied to all deposits received and distributed to the funds using the same allocation elections. Y—Yes The accounting is generated for the total premium bonus. N—No Accounting is not generated for the premium bonus. This is the default.
Create Deposit History When Applied	This field determines if a Deposit History record is created for replenishment bonus amounts when they are applied to a policy. Y—Yes A Deposit History record is created when a replenishment bonus amount is applied to a policy. The Benefit Sequence for the record is 1 and the Type field is B on the History record. N—No A Deposit History record is not created when a replenishment bonus is applied to a policy. This is the default. NOTE Deposit History records are only created if the Global Tax field on the Coverage Record is set to Yes or Across All Rows.

Field	Description
Lower Limit	This field defines the lower limit of the rate that is used to calculate a bonus. If the RM—Replenishment Type Segment is used and the Type of Replenishment field is Policy , a non zero rate must be entered. If a rate of 0 is entered, the message <i>Lower limit cannot be ZERO</i> is displayed.
Upper Limit	This field defines the upper limit of the rate that is used to calculate a bonus when the Type of Replenishment field is Policy .

If **Cumulative Premiums** is selected in the Type of Replenishment field, press **Page Down** to access the premium bands and associated rates.

The following table describes the fields on the Replenishment Type Limits screen.

Field	Description
Band Upper Limits	Input the maximum premium dollar amount that applies to each band. The upper limit is cumulative for the Select Period indicated on the first screen.
Rates	The premium bonus percentage is input in these fields.

6.226 RN—Premium Recalculation Rules

NOTE

Universal life only

The RN—Premium Recalculation Rules Segment defines the factors used when determining if the premium is adequate to sustain the current death benefit based on current fund value, interest, and cost factors.

The NC—Net Premium Crediting Segment cannot be used when the RN Segment is used.

Enter Premium Recalculation Rules

Segment ID >> Segment Type RN

Bill the new premium if, after recalculation, it is
less than % the current premium or
greater than % the current premium

If new premium is greater than current, mark the
valid options with either Y or Default:

1) New Premium & Current Death Benefit
2) Same Premium & Lower Death Benefit
3) No change & End of No Lapse Guarantee Period

Recalculation Formula

Recalculate on Anniversary or use Notification Values?

Number of months prior to Anniversary to generate change
notification (If 00, then no notification will be done)

Recalc Years
OK
Cancel

The following table contains definitions for the fields on the RN Segment.

Field	Description
Bill the new premium if, after recalculation, it is less than ___% the current premium or greater than ___% the current premium	The premium tolerance level is defined in this field. The recalculated premium must fall in the range defined as the less than or greater than value. If the new premium does not fall into the range selected, the policy changes according to the default option or a policyholder selected option. For example, if the value for x is 90 and the value for y is 110, then the new premium can be greater than 90% of the current premium or less than 110% of the current premium without causing the policy to change.
If new premium is greater than current, mark the valid options with either Y or Default.	
New Premium & Current Death Benefit	Option 1 leaves the death benefit constant but increases the premium to allow the coverage to continue. If the premium changes due to the recalculation, an MD event is generated to reflect the mode change to the adjusted premium. Y—Yes The option is available. N—No The option is not available. D—Default This option is the default. Only one option can be selected as the default value.
Same Premium & Lower Death Benefit	Option 2 leaves the premium but decreases the death benefit to allow the coverage to continue. If the death benefit is reduced due to the recalculation, a DC event is generated to reflect the specified amount decrease. Y—Yes The option is available. N—No The option is not available. D—Default This option is the default. Only one option can be selected as the default value.
No change & End of No Lapse Guarantee Period	Option 3 leaves the policy unchanged even if the new premium is calculated and is outside the tolerance range. The policy could lapse if the surrender value becomes negative. An RN event is created; however, no values are changed. Y—Yes The option is available. N—No The option is not available. D—Default This option is the default. Only one option can be selected as the default value.

Field	Description
Recalculation Formula	There are two formulas that can be used for recalculating the premium. 1—Pure Commutation Functions These functions are used with no premium load or expense adjustments. 2—Load And Interest Adjusted Comm Fnx Commutation functions are adjusted for premium load and expense load.
Recalculate on Anniversary or use Notification Values	R—Recalculate On Anniversary Values are recalculated at the anniversary, regardless of the values stated in the notification letter. N—Use Notification Values Anniversary calculations match those used in the notification letter.
Number of months prior to Anniversary to generate change notification	The number of months prior to the recalculation anniversary that the recalculation event and notification letter is generated is displayed in this field.

Click **Recalc Years** from the RN Segment screen to define the years when premiums are recalculated.

Checkmark each policy year when the recalculation should be processed.

Enter Recalculation Years

Enter/Select For Each Beginning Year Point Premiums/Benefits
Are To Be Recalculated

1 ☒	11 ☐	21 ☐	31 ☐	41 ☐	51 ☐	61 ☐	71 ☐	81 ☐	91 ☐
2 ☐	12 ☐	22 ☐	32 ☐	42 ☐	52 ☐	62 ☐	72 ☐	82 ☐	92 ☐
3 ☐	13 ☐	23 ☐	33 ☐	43 ☐	53 ☐	63 ☐	73 ☐	83 ☐	93 ☐
4 ☐	14 ☐	24 ☐	34 ☐	44 ☐	54 ☐	64 ☐	74 ☐	84 ☐	94 ☐
5 ☒	15 ☐	25 ☐	35 ☐	45 ☐	55 ☐	65 ☐	75 ☐	85 ☐	95 ☐
6 ☐	16 ☐	26 ☐	36 ☐	46 ☐	56 ☐	66 ☐	76 ☐	86 ☐	96 ☐
7 ☐	17 ☐	27 ☐	37 ☐	47 ☐	57 ☐	67 ☐	77 ☐	87 ☐	97 ☐
8 ☐	18 ☐	28 ☐	38 ☐	48 ☐	58 ☐	68 ☐	78 ☐	88 ☐	98 ☐
9 ☐	19 ☐	29 ☐	39 ☐	49 ☐	59 ☐	69 ☐	79 ☐	89 ☐	99 ☐
10 ☒	20 ☐	30 ☐	40 ☐	50 ☐	60 ☐	70 ☐	80 ☐	90 ☐	100 ☐

Recalc Rules
OK
Cancel

6.227 RO—Rollover Rates To Bucket

Rate Type Segment	
Segment ID	ROLL >>
Segment Type	RO
Select Period	Duration 0
Ultimate ID	
Constant Rate	0.0000000 (Added to File Rate if Declared)
Rate Type	Constant Rate Only
Type Modifier	☐ Rates Vary by Underwriting Class No
Mult Insured Access	
Rate Basis	Separate And Unique
Years of	0
Banding Method	Not Banded
Banding Rule	Traditional
Upper Band Limits	0 0 0 0 0 0 0
Rates Coded As	Actual Amount
Change Frequency	Not Applicable
	0

Mode Rules
Rates
Next
OK
Cancel

6.228 RP—Reins Valuation Premiums

The RP—Reinsurance Valuation Premiums Segment points to the valuation premiums to use if unique reserves are held for the reinsured portion of a UL policy.

Premium Segment File

Segment ID: 10 YEAR T >> Segment Type: RP

Key Modifier: NP Do Values Vary By: No

Are Values Banded: No Underwriting Class: Yes

Female Rate Basis: Separate And Unique

Setback Years: 0

Rate Type: Age And Duration

Rate Rounding Rule: Truncate After Cents

Band Upper Limits: 0 0 0 0 0 0 0

Premium Select Period: 0 Premium Change Frequency: 1

Premium Mode Rule ID: NEW

Coverage ID Of Ultimate Rates: NA

Premium Rate Calculation Rule: Units Purchased

Extended Key Definition Used: No

Mode Rules
Rates
Extended Key
Table Extra
OK
Cancel

Fields Unique to this Segment

Refer to Section 12, Chapter 3—Premiums—Upper Portion of Screen Field Definitions on page 12-17 in this book for a description of the fields in the upper portion of the screen.

Field	Description
Rate Rounding Rule	This field is set to Truncate After Cents and cannot be updated.
Premium Select Period	The length of time, in years, the selected rates are used is displayed in this field. If the same rate segment is used for all years and the Rate Type is Attained Age , Issue Age , or Duration Only , input 0 in this field. If the same rate segment is used for all years and the Rate Type is Age and Duration , input 999 in this field.

Field	Description
Premium Change Frequency	The change frequency codes the number of durations at a time the rates are held constant is displayed in this field. For example, the typical 5-year renewable and convertible term product with premiums that are level for 5 years then jump to the attained age and remain level again for 5 years, has a premium change frequency of 5. If the rates remain the same for all years, input 0 in this field.
Premium Mode Rule ID	The premium mode rule ID, coupled with the form (direct, preauthorized check, list bill, government, or credit card) allows the system to access a Mode Rule Record. The modalization factors for each mode, (monthly, quarterly) are located in the Mode Rule Record. A maximum of 10 characters may be entered in this field.
Coverage ID Of Ultimate Rates	This field displays the segment ID of the segment that contains the rates that are used when the premiums change. The rates change as indicated in the Premium Change Frequency field. If the same rate segment is used for all years and the Rate Type is Attained Age , Issue Age , or Duration Only , this field is left blank. If the same rate segment is used for all years and the Rate Type is Age and Duration , input NA in this field.
Premium Rate Calculation Rule	U—Units Purchased The premium is computed as the units purchased at issue of the coverage, multiplied by the premium rate found according to the rules in the upper part of the segment. D—Death Benefit The premium is computed as the death benefit at the point of the calculation, divided by 1000, and then multiplied by the rate found according to the rules code. P—Percentage The premium is calculated as a percentage per unit value of premium for the benefits that are included for premium waiver as defined on the Coverage Record. 1—W1 Segment The premium is calculated using the sum of premiums from the W1 Segment for non-waiver coverages. 2—W2 Segment The premium is calculated using the sum of premiums from the W2 Segment for non-waiver coverages. For example, assume a coverage is a decreasing term product with death benefits of 1000, 900, 800, 700, 600, 500. The rates are coded as A, changing annually. If the premium rate calculation rule is coded as premium D, then in year three, the system computes the premium as $800/1000 * \text{year-3 rate}$, not as $1000 / 1000 * \text{year-3 rate}$.

Field	Description
Premium Rate Calculation Rule (continued)	A—Percent Of Account Value The premium is calculated by determining the average of the monthiversary account values for the time period defined in the Last __ Months field. (This calculation method only averages the account values found during monthiversary processing for the last <i>n</i> months, and does not include partial valuations.) E—Percent Of Eligible Premiums (GB Only) This option can only be used for GB—Guaranteed Benefit type riders. When this option is used, deductions for the GB rider are based on eligible premiums that are defined on the LM—Living/Maturity Segment for the base benefit. W—Percent of Greater of GMWB Eligible Premiums or Lifetime Basis (GW Only) This option can only be used for GW type riders. When this option is used, deductions for the GW rider are based on the greater of eligible premiums or lifetime basis defined on the GW—Guaranteed Withdrawal Segment for the base benefit.
Extended Key Definition Used	Currently, this field applies to line of business H—Health only. Y—Yes The KD Segment must be coded. Then, premiums are not in the Attained Age or Age/Duration File. Instead, they are in separate health files.

6.229 RQ—RQUE Sequence Segment

The RQ—RQUE Sequence Segment is used to define the specified order in which RQUE records are processed when they have the same queue date and time.

RQUE Sequence

Segment ID

RQUE

>>

Segment Type

RQ

Process

Sequence

Transfers

User Requested

200

Product Driven(automatic)

200

Withdrawals

User Requested

300

Product Driven(automatic)

300

Loans

User Requested

400

Product Driven(automatic)

400

OK

Cancel

The following table contains the definition for the field on the RQ—RQUE Sequence Segment.

Field	Description
Sequence	For each process shown, this field determines the order in which the RQUE records are processed when they have the same queue date and time. The valid values are 100 through 899. The default is 100. Values 000 through 099 and 900 through 999 are reserved for RQUE record types that are scheduled by the system. Premium RQUEs (PPREM) and non-fund related RQUEs will use sequence 000 so they process first. All terminating RQUEs and Partial Valuation (PTVAL) RQUES will use sequence 999 so they process last.

The RQUE request types that are sequenced are displayed in the table below. A description for each request type and the sequencing category are also included.

RQUE Type	Description	Sequencing Category
SYSRQ	One Time Withdrawal	User Requested Withdrawal
SYSRQ	Systematic Withdrawal	User Requested Withdrawal
SYSRQ	Window Withdrawal	User Requested Withdrawal
SYSRQ	Interest Withdrawal	User Requested Withdrawal
SYSRQ	RMD	User Requested Withdrawal
SYSRQ	SEP	User Requested Withdrawal
SYSRQ	One Time Transfer	User Requested Transfer
SYSRQ	Systematic Transfer	User Requested Transfer
SYSRQ	Window Transfer	User Requested Transfer
SYSRQ	Interest Sweep	User Requested Transfer
SYSRQ	DCA	User Requested Transfer
SYSRQ	APR	User Requested Transfer
SYSRQ	One Time Loan	User Requested Loan
SYSRQ	Systematic Loan	User Requested Loan
GDIST	Gain Distribution	User Requested Transfer
LNOFF	Loan Offset	User Requested Loan
FWITH	Forfeiture Withdrawal	User Requested Withdrawal
LNDEM	Loan Deeming	Product Driven Loan
WNMAT	Window Maturity	Product Driven Transfer
BNSCP	Bonus Cash Payout	Product Driven Withdrawal
AEFEE	Arrears Policy Fee	Product Driven Withdrawal
COTMT	Coterminous Maturity	Product Driven Transfer
NCTMT	Non-Coterminous Maturity	Product Driven Transfer
RDRCT	Redirect from EIA Holding Account	Product Driven Transfer
LNREP	Loan Repayment	User Requested Loan
TFSYS	Fund Termination	Product Driven Transfer

6.230 RR—Reins Reserve Factors Segment

The RR—Reinsurance Reserve Factors Segment directs the system to unique reserves for the reinsured portion of a policy.

If this segment is not used, the system simply prorates the normal full reserve between the retained and ceded amounts.

Reserve Factors Screen									
Segment ID	UL1 >>		Segment Type	RR					
Key Modifier	RR		Do Values Vary By Underwriting Class	No					
Are Values Banded	No								
Female Rate Basis	Male With Setback								
Setback Years	0								
Rate Type	Attained Age								
Band Limits	0	0	0	0	0	0	0	0	
Reporting Basis									
Valuation Code			Rate Rounding Rule	00					
If Reserves Are Split Interest			Type	Terminal					
Rates, Split Is 'A'ge or 'D'ur			Apply To	Specified Amount					
Interest Rate Point Of Change	000		Value Per Premium Unit	0					
Reserve Ultimate ID			Use 1/2 Of GP On SL?	No					
Reserve Method									
Extended Key Definition Used									
Cash Reserves Rates Table Extra Rates Extended Key OK Cancel									

Fields Unique to this Segment

Refer to Section 12, Chapter 3—Premiums—Upper Portion of Screen Field Definitions on page 12-17 in this book for a description of the fields in the upper portion of the screen.

Field	Description
Reporting Basis	0—(Life) Mean Reserves / Deferred Premiums 1—(Health1) Mid Trml Res / Exact Unearned Premiums 2—(Health2) Mid Trml Res / Half Mode Unearned Premiums 3—(Health3) Mid Trml Res / Half Q/S/A Mode Unearned 4—(UL RDR 1) Res = Half Of Monthly Ded; No Due / Deferred
Valuation Code	This is a 10 character, user defined code used in valuation reporting as a sort. All benefits with the same valuation code can be sorted together in this manner. If this field is left blank, the system defaults to the coverage ID on the Valuation Reports screen when sorting.
If Reserves Are Split Interest Rates, Split Is Age or Dur	A—Age D—Duration
Interest Rate Point Of Change	Enter the interest rate after split. This field is an information only field. If the same rate segment is used for all years, input 000 in this field.
Reserve Ultimate ID	This field is an information only field. True select and ultimate reserves are handled directly in the computation of the tabular factors themselves. If the same rate segment is used for all years, this field is left blank.
Reserve Method	H—Half Of Reinsurance Premium
Extended Key Definitions Used	Y—Yes The factors are related directly to key definition selections on the policy.

Field	Description
Rate Rounding Rule	The rate type selected determines on what the rates are based and where in the rate file the rates are input. 00—Truncated after cents. 12—Rate per unit multiplied by the number of units, then rounded to the nearest cent. 32—Special rules applicable to premiums. 42—Special rules applicable to premiums. 52—Special rules applicable to premiums. Step 1: Premium rate multiplied by the mode factor Step 2: Round result from step 1 according to first digit. 3—Truncate after cents. 4—Round to nearest cent. 5—Round to highest cent. Step 3: Multiply result from step 2 by the number of units and round to the nearest cent.
Type	This field specifies how the reserve factors are stored. T—Terminal This is the default. M—Midterminal N—Mean
Apply To	This field indicates to what the factors are applied. S—Specified Amount This is the default. P—Premium
Value Per Premium Unit	If the Apply To field is set to Premium, input the units in this field. For example, if the rates are per \$100 of premium, input 100.00 in this field.
Use ½ Of GP On SL	Y—Yes The system holds ½ of the substandard premium for the SL benefit as the reserve.

6.231 RS—CARVM Reserves

NOTE

Annuities using Commissioner's Annuity Reserve Valuation Method (CARVM) only

The RS—CARVM Statutory Reserves Segment points the system to the surrender load pattern to use in computing CARVM reserves on annuities. These might be identical to the SL loads, or they may be modified by the company's actuary to simulate surrender patterns taken in mid year, or the actuary may wish to account for some percentage of free withdrawals. This simply adds flexibility to that system.

Rate Type Segment	
Segment ID	AFPDA >>
Segment Type	RS
Select Period	Duration 0
Ultimate ID	
Constant Rate	0.0000000 (Added to File Rate if Declared)
Rate Type	Duration Only
Type Modifier	RS Rates Vary by Underwriting Class No
Mult Insured Access	
Rate Basis	Male With Setback Years of 0
Banding Method	Not Banded
Banding Rule	Traditional
Upper Band Limits	0 0 0 0 0 0 0
Rates Coded As	Percentage (1% Entered As 1.00)
	Not Applicable
Change Frequency	36

Mode Rules
 Rates
 Next
 OK
 Cancel

Refer to Section 12, Chapter 3—Premiums—Upper Portion of Screen Field Definitions on page 12-17 in this book for a description of the fields in the upper portion of the screen.

6.232 RT—CRVM Tax Reserve

NOTE

Universal life only

The RT—CRVM Tax Reserve Segment describes to LifePRO® the rules for computing UL tax CRVM reserves.

Enter U/L Reserve Segment Criteria									
Segment ID	>>				Segment Type	RT			
Reserve Method					Guaranteed Interest Rate	0.00%			
Valuation Table Key					Current Rate to Anniversary	0.00%			
Rates Vary by					Collection Fee	0.00			
Gender Code	No				Use 10 Year ELRA	No			
Rating Class	No				Accrue 1/2 Month Interest?	No			
Alt Min Reserve Table					Use Annual GMP	No			
Valuation Code					Force R = 1	No			
					Return of Premium	No			
Constant Per Month Expenses									
Upper Band Limits	0	0	0	0	0				
Expenses per Band	0.00	0.00	0.00	0.00	0.00				
Constant Percent of Premium Expenses									
Upper Band Limits	0	0	0	0	0				
Expenses per Band	0.00	0.00	0.00	0.00	0.00				
OK Cancel									

The following table contains definitions for the fields on the RT Segment.

Field	Description
Reserve Method	I—Int The McKen/Bailey method of calculating interpolated terminal reserves is used. M—Mean The Tillinghast method of calculating reserves is used. F—Fund The full fund is held, unmodified. The Valuation Extract file is used to pass policy values to an external system for the calculation of reserves. C—Csv The cash surrender value is held. T—Tabular
Valuation Table Key	Input the ID of the commutation tables used. Rate types CX, DX, MX, and NX are needed.
Rates Vary By	
Gender Code	This field indicates if the rates vary by the gender of the insured. Y—Yes Rates vary based on gender. N—No Rates do not vary based on gender. This is the default.
Rating Class	This field indicates if the rates vary by the rating class. Y—Yes Rates vary based on the rating class. N—No Rates do not vary based on the rating class. This is the default.
Alt Min Reserve Table	The rate file name for the commutation column rate files (CX, DX, MX, or NX) used if alternate minimum reserves are required can be input in this field. If this field is input, the ULCRVM program recalculates the reserves using this commutation table for present value calculations. The lesser of the guaranteed maturity premium (GMP) and the Alt Min valuation premium is used in the present value of future premiums. LifePRO® sets the reserve to the greater of this reserve assumption and the reserve assumption defined by the Valuation Table Key.
Valuation Code	A user-defined 10 character sort key can be defined, if desired, for valuation reports. The calculations do not use this field.
Guaranteed Interest Rate	The guaranteed interest rate for this coverage, used to calculate the guaranteed maturity premium (GMP) and guaranteed maturity fund (GMF), is input in this field.
Current Rate to Anniversary	Input a rate to be used to project interest until the next anniversary. If the guaranteed rate is used, leave this field blank.

Field	Description
Collection Fee	Input the fee, if required. If this field is left blank, the value from the U1—Premium Load Fees Segment is used.
Use 10 Year ELRA	Y—Yes The system computes the equivalent level renewal amount as the average death benefit over years 2 - 10. N—No An actuarially level amount over the life of the policy is computed, weighted by mortality and interest.
Accrue 1/2 Month Interest	Y—Yes Add 1/2 month's interest (either guaranteed or the current rate to next anniversary, if input) to the fund value. The combined amount (less the surrender charge, if applicable) is used as a minimum reserve. N—No The fund balance at the last month anniversary is used.
Use Annual GMP	This field determines if the system applies the guideline premium annually (none applied until next anniversary) or if it computes a monthly endowment premium and applies it immediately. Y—Yes The projected fund and death benefits are based on annual GMP. N—No The projected fund and death benefits are based on monthly GMP. If the reserve method selected is Mean, this has impact since that method computes the "R" value on the next anniversary. A policy near lapse can be rejuvenated if the guideline premiums are deposited immediately. If the reserve method selected is Int, it has little effect since "R" is computed immediately using the fund value available.
Force R = 1	Y—Yes This option should be selected for fixed premium universal life and EIWL products. N—No This option should be selected for flexible premium universal life products.
Return of Premium	Y—Yes The surrender value and fund value are forced to be at least the basis. N—No The surrender value and fund value are not forced to be at least the basis.

Field	Description
Constant Per Month Expense	This section is used to override the values on the GF—Gtd Monthly Policy Fee or UF—Per Policy Monthly Exp Segments. This allows the valuation actuary to use per month expenses more appropriate for valuation, if required.
Upper Band Limits	If the monthly premium expense is banded by the face amount of the policy, input the upper limit face amount for each band. Up to 5 bands can be defined. If banding is not used, code all 9s in the first Upper Band Limits field.
Expenses per Band	If the monthly premium expense is banded by the face amount, input the amount for each band in the field directly below the band to which the amount applies.
Constant Percent of Premium Expenses	This section can be used to override the values on the G2—Gtd % Of Premium Load or U2—Premium Load Pct Segments. This allows the valuation actuary to use the percent of premium expenses, more appropriate for valuation, if required.
Upper Band Limits	If the percent of premium expenses is banded by the face amount of the policy, input the upper limit face amount for each band. Up to 5 bands can be defined. If banding is not used, code all 9s in the first Upper Band Limits field.
Expenses per Band	If the percent of premium expenses is banded by the face amount, input the percentage for each band in the field directly below the band to which the rate applies.

6.233 RU—Age Rate-up Table

NOTE

Traditional life only

The RU—Age Rate-up Table Segment allows the rate-up years for age rate-ups used in joint processing to be defined. Age rate-ups are defined by table rating. The Age/Optional/Pct/Tbl/None field on the Coverage screen must be set to **Age** or **Optional**; otherwise, the rates are calculated.

Enter Age Rateup Segment Criteria									
Segment ID	PAR >>			Segment Type	RU				
Key Modifier	RU								
Are Values Banded	No								
Do Values Vary By	No								
Underwriting Class	No								
Female Rate Basis	Male with Setback								
Setback Years	0								
Number Of Age Rateup Tables				16	Age Rateup Table ID				
Band Upper Limits									
9999999	0	0	0	0	0	0	0	0	0
01	02	03	04	05	06	07	08	09	10
11	12	13	14	15	16				
Position Cursor On Desired Table Number And									
Press F4 On Table Pointer To Access Age Rate Up Adjustments									
Note: File Always Organized by Issue Age									
								Rates	
								OK	
								Cancel	

6.234 RV—Reserve Factors

The RV—Reserve Factors Segment directs the system to the tabular statutory reserve factors.

The RV Segment contains the rates for computing reserves for PT, PP, and PU Benefits. Using this segment, the system computes separate reserves for the paid up face amounts. If this segment is not active, the NS rates are used to calculate statutory reserves for PT and PP coverages and the DN/PU rates are used to calculate the statutory reserves for PU coverages.

Reserve Factors Screen	
Segment ID	>>
Segment Type	RV
Key Modifier	RV
Are Values Banded	No
Female Rate Basis	Male With Setback
Setback Years	0
Rate Type	
Band Limits	
Reporting Basis	(Life) Mean Reserves/Deferred Premiums
Valuation Code	
If Reserves Are Split Interest Rates, Split Is 'A'ge or 'D'ur	
Interest Rate Point Of Change	000
Reserve Ultimate ID	
Reserve Method	
Extended Key Definition Used	No
Do Values Vary By Underwriting Class	No
Rate Rounding Rule	00
Type	Terminal
Apply To	Specified Amount
Value Per Premium Unit	0
Calculate Values	
Rates	
Table Extra Rates	
Extended Key	
OK	
Cancel	

Fields Unique to this Segment

Refer to Section 12, Chapter 3—Premiums—Upper Portion of Screen Field Definitions on page 12-17 in this book for a description of the fields in the upper portion of the screen.

Field	Description
Reporting Basis	0—(Life) Mean Reserves/Deferred Premiums 1—(Health 1) Mid Trml Res/Exact Unearned Premiums 2—(Health 2) Mid Trml Res/Half Mode unearned Premiums 3—(Health 3) Mid Trml Res/Half /Q/S/A Mode Unearned 4—(UL RDR 1) Res = Half Of Monthly Ded; No Due/Deferred
Valuation Code	The valuation code is a 10 character code used in valuation reporting as a sort key. All benefits with the same valuation code can be sorted together in this manner (sort option). If the Valuation Code field is left blank, the system defaults to the coverage ID on the Valuation Reports screen. NOTE PU benefits are always reported under the base coverage valuation code.
If Reserves Are Split Interest Rates, Split Is Age or Dur	If pointing to an ultimate ID, use this field to determine if the change to the ultimate ID is based on an age or duration. The actual point of change is defined in the Interest Rate Point Of Change field. A—Age D—Duration
Interest Rate Point Of Change	If using select and ultimate (or split interest) rates, enter the interest rate point of change in this field. The point of change can be based on an age or duration, dependent on the setting of the If Reserves Are Split Interest Rates, Split Is Age or Dur field. If the same rate segment is used for all years, input 000 in this field.
Reserve Ultimate ID	If using select and ultimate factors, input the ultimate segment ID in this field. The If Reserves Are Split Interest Rates, Split Is Age or Dur and Interest Rate Point Of Change fields define if the change is based on an age or duration, and when the change occurs. If the same rate segment is used for all years, this field is left blank.
Reserve method	H—Half Of Reinsurance Premium
Extended Key Definition Used	Y—Yes For health products, reserve rates are defined using extended key definitions. Note that to use extended key definitions, the KD—Key Definition Segment must be defined. Refer to 6.196—PR—Premium Segment on page 12-725 in this book for information on using the Extended Key Definition screen to define rates.

Field	Description
Rate Rounding Rule	This field is set to Round After Cents and cannot be updated.
Type	This field specifies how the reserve factors are stored. T—Terminal This is the default. M—Midterminal N—Mean.
Apply To	This field specifies how the factors are applied. S—Specified Face Amount This is the default. P—Premium
Value Per Premium Unit	If the Apply To field is set to Premium , input the value per unit in this field. For example, if the rates are per \$100 of premium, input 100.00 in this field.

Cash Values Calculation Window Fields

Click **Calculate Values** to display the window where the actuarial assumptions used to calculate cash values can be entered. The system calculates both cash values and adjusted premium (non-forfeiture) values.

Enter Cash Value Reserve

Reserves Assumptions

Gender/Class Male / STANDARD

Mortality Segment Gender Band Class

Interest Rate for Years, then

Initial Method for Years

Graded to in Year

Non Level Benefit

Function

Negative Values to Zero Round Cent

Calculate from Issue Age thru Increment by

Write Values Write Premiums

Calculate using floating point (Y/N)?

Bypass Gender/Class

OK

Cancel

The following table contains definitions for the fields on the Cash Values Calculation window.

Field	Description
Gender/Class	This field displays the associated gender and class of values to be calculated. When entering assumptions, the system processes each underwriting class with each gender. Therefore, if the underwriting classes are (1) Nonsmoker and (2) Smoker and rates vary by gender and class, the system prompts in the following order. 1. Male—Nonsmoker 2. Male—Smoker 3. Female—Nonsmoker 4. Female—Smoker
Mortality Segment	Input the EM segment and rates to use for the mortality assumption to use to calculate reserves in this field. EM segments and associated rates must be set up prior to using this utility. Since EM Segments are not attached to the coverage directly, go to the traditional segment list to load EM Segments and rates.
Gender	Input the gender code of the mortality rate key of the EM Segment. M—Male F—Female U—Unisex
Band	Input the band of the mortality rate key of the EM Segment.
Class	Input the class of the mortality rate key of the EM Segment.
Interest Rate i_1 for n Years, then i_2	Enter the initial interest rate, i_1 , the number of years in effect, n, and the ultimate interest rate, i_2 , used to calculate cash values. If only one interest rate is used, leave the Then field blank and the system skips the ultimate interest rate.

Field	Description
Initial Method M_1 for n Years	Enter the initial method of calculating the expense allowance (M_1) used to calculate cash values and the number of years the initial method is in effect (n) in this field. If the initial method does not change, do not enter the number of years in effect. The system assumes no change. N—Net Level C—CRVM (Commissioner's Reserve Valuation) F—FPT (Full Preliminary Term) M—Minimum (1980 Minimum Reserves) G—Guerin (Pre-1980 Minimum Reserves) A—Adj CRVM S—Simple G
Graded to (N,C) M_2 in year n	Enter the ultimate method (M_2) and the year it becomes effective (n) in this field. The system grades between the initial and ultimate method. N—Net Level C—CRVM (Commissioner's Reserve Valuation) A—Adj CRVM
Non Level Benefit	If the benefit is not level, enter the rule for calculating the equivalent level amount in this field. A—Average Death Benefit The non-level benefit is calculated as the average death benefit for the initial 10 years. E—Equivalent Level Amount
Function	Enter the function for treatment of timing of death benefits and premiums. C—Curtate I—Immediate Claim Payments F—Fully Continuous D—Discounted Continuous The Discounted Continuous option calculates fully continuous reserves but recalculates curtate net premiums to load to the NP/TP Segment type rate files for calculation of due and deferred net premiums.
Negative Values to Zero	Y—Yes If values are negative, force to zero. N—No Do not force the value to zero if the values are negative.

Field	Description
Round r_1 , r_2	Rounding of values is based on the selection made in this field. r_1 r_2 L—Low C—Cent N—Near D—Dollar H—High
Calculate from Issue Age x_0 thru x_n increment by x_t	Enter the starting issue age, x_1, and ending issue age, x_n, and the increment age, x_t, to calculate cash values and adjusted premiums. (For example, $x_1 = 20$; $x_n = 40$; $x_t = 5$ generates values for issue ages 20, 25, 30, 35, and 40).
Write Values	Y—Yes The reserves are written to the Age/Duration or Attained Age Rate File. Depending on the Type field on the RV Segment, the system writes Terminal, Mean, or Mid-Terminal reserve factors to the rate files. These are rate type RV values. N—No
Write Premiums	Y—Yes The valuation net premiums are written to the Age/Duration or Attained Age Rate File. These are rate type NP values. N—No
Calculate using floating point	This field determines if the values are calculated using floating point math. Y—Yes The values are calculated using the COMP-2 format (long floating point). The final results are stored and displayed in the fixed decimal COMP-3 (S9(07)V9(07)) format. N—No The values are calculated using fixed decimal numbers. The final results are stored and displayed in the fixed decimal COMP-3 (S9(07)V9(07)) format. This is the default.

6.235 RW—Calculate Minimum Contract Value Segment

The RW—Calculate Minimum Contract Value Segment may be accessed at the contract level from the FC—Fund Contract Segment or at the fund level from the Segment List on the Fund Rules screen.

At the contract level, the RW—Calculate Minimum Contract Value Segment is used to calculate a minimum contract value. The minimum contract value is the minimum surrender value for the contract. If upon surrender, death or annuitization, the accumulated value less any applicable withdrawal fees is less than the minimum contract value, the client receives the minimum contract value. At the contract level, the Minimum Contract Calculation fields apply.

Calculate Minimum/Alternate Contract Values				
Segment ID	UL1 >>		Segment Type	RW
Alternate Contract Calculation Fields				
Interest Crediting Method (AG/NO)	Aggregate			
Deduction Allocation Rule (LIFO / FIFO / Prorata)	LIFO			
Add the rate on the 'Be' segment to the guaranteed interest (Y/N)?	No			
Minimum Contract Calculation Fields				
Add excess interest credits to end of the accounting term (Y/N)?	No			
Minimum And Alternate Contract Calculation Fields				
Use the lessor of actual policy expense and actual monthly expense (Y/N)?				No
Type	Description	Y/N	Segment ID	
G1	Guaranteed Interest Rate	Yes	UL1	
U2	Premium Load Percents	No		
UF	Per Policy Monthly Exp	No		
Process History Last Change OK Cancel				

At the fund level, the RW Segment is used to define alternate accumulations associated with a market-valued fund (fund type M on the FR Segment). In this situation the Alternate Contract Calculation fields apply.

In either case, the RW Segment allows interest rates, loads, and monthly expenses to be defined for the minimum or alternate contract calculation, using the following subsidiary segments.

- G1—Guaranteed Interest Rate
- U2—Premium Load Pcts
- UF—Per Policy Monthly Expense

The following table contains definitions for the fields on the RW Segment.

Field	Description
Alternate Contract Calculation Fields	The Alternate Contract Calculation fields apply only to alternate accumulations defined from fund level RW Segments, accessed from the Alternate Value 1, Alternate Value 2, and Alternate Value 3 fields on the Segment List of the Fund Rule screen.
Interest Crediting Method (AG/NO)	This field defines which method for crediting interest is used for the alternate accumulation. AG—Aggregate This method is also called portfolio. With this structure, the system maintains the balance as a single value. Each month, the prior month's value (a single number) is brought forward with the interest, and each contribution received is brought forward with interest and added. Thus, the accumulated value of individual contributions is lost. NO—New Money/Old Money This option is the extreme opposite of the aggregate method. With this structure, each contribution is kept in a bucket, and that bucket grows from month to month. A full history of each contribution's value from the date of receipt through the current date is available.
Deduction Allocation Rule (LIFO/FIFO/Prorata)	This field defines how deductions are allocated for the alternate accumulation if the Interest Crediting Method field above is set to New Money/Old Money. When the New Money/Old Money interest crediting method is used, over time more than one bucket is created. As a result, the system must be instructed how to allocate deductions, such as loads or withdrawals. " "—Blank This field may be left blank if the Interest Crediting Method field above is set to Aggregate. L—LIFO Deductions are taken first from the most recently created bucket. F—FIFO Deductions are taken first from the oldest bucket created. P—Prorata—Deductions are taken proportionally from each bucket.
Add the rate on the 'Be' segment to the guaranteed interest (Y/N)	This field determines if the rate defined on the coverage level BE—Bonus Earnings Segment is added to the rates defined in the subsidiary G1—Guaranteed Interest Rate Segment (accessed from the lower part of the RW Segment screen) for this alternate accumulation. Y—Yes Add the rate from the BE Segment to the G1 Segment rate. N—No Do not add the BE Segment rate. This is the default.

Field	Description
Minimum Contract Calculation Fields	The Minimum Contract Calculation fields apply only to contract level RW Segments, defined from the Minimum Contract Value RW Segt ID field on the FC—Fund Contract Rules Segment.
Add excess interest credits to end of the accounting term (Y/N)	This field defines if the excess interest credit is paid to the indexed accounts minimum contract value as the end of the account term. This field is applicable only if the index equity calculation is defined as method Indexed Equity on the BU—Indexed Interest Bonus Segment. Y—Yes The excess interest credit is applied to the indexed accounts minimum contract value at the end of the account term. The excess credit is equal to the excess of the total index increase during the account term, over the interest credited to the minimum account value. N—No Interest credits are not applied to the minimum contract value at the end of the term.
The following fields apply to both alternate contract calculations (from fund level RW Segments) and to minimum contract calculations (from contract level RW Segments).	
Use the lesser of the actual policy expense and the actual monthly expense (Y/N)	This field defines if the lesser of the actual policy expenses or the UF load from the RW Segment is used when calculating the minimum contract value. Y—Yes The system compares the UF—Per Policy Monthly Exp Segment rate defined through the RW Segment to the UF Segment defined at the product level and takes the lesser of the two. N—No The UF amount defined through the RW Segment is used without comparison.
G1—Guaranteed Interest Rate	This field accesses the GI—Guaranteed Interest Rate Segment which defines the interest rate for the alternate contract accumulation or minimum contract value.
U2—Premium Load Percents	This field accesses the U2—Premium Load Pcts Segment which defines the premium load to be used for the alternate contract accumulation or minimum contract value.
UF—Per Policy Monthly Exp	This field accesses the UF—Per Policy Monthly Exp Segment which defines the per policy monthly expense to be used for the alternate contract accumulation or minimum contract value.

6.236 RX—UL Reserve Method Segment

NOTE

Universal life only

The RX—UL Reserve Method Segment describes to LifePRO® the rules for computing UL CRVM reserves.

Enter U/L Reserve Segment Criteria					
Segment ID	>>		Segment Type	RX	
Reserve Method			Guaranteed Interest Rate	0.00%	
Valuation Table Key			Current Rate to Anniversary	0.00%	
Rates Vary by			Collection Fee	0.00	
Gender Code	No		Use 10 Year ELRA	No	
Rating Class	No		Accrue 1/2 Month Interest?	No	
Alt Min Reserve Table			Use Annual GMP	No	
Valuation Code			Force R = 1	No	
			Return of Premium	No	
Constant Per Month Expenses					
Upper Band Limits	0	0	0	0	0
Expenses per Band	0.00	0.00	0.00	0.00	0.00
Constant Percent of Premium Expenses					
Upper Band Limits	0	0	0	0	0
Expenses per Band	0.00	0.00	0.00	0.00	0.00
					OK
					Cancel

The following table contains definitions for the fields on the RX Segment.

Field	Description
Reserve Method	I—Int The McKen/Bailey method of calculating interpolated terminal reserves is used. M—Mean The Tillinghast method of calculating reserves is used. F—Fund The full fund is held, unmodified. The Valuation Extract file is used to pass policy values to an external system for the calculation of reserves. C—Csv The cash surrender value is held. T—Tabular
Valuation Table Key	Input the ID of the commutation tables used. Rate types CX, DX, and MX are needed.
Rates Vary By	
Gender Code	This field indicates if the rates vary by the gender of the insured. Y—Yes Rates vary based on gender. N—No Rates do not vary based on gender. This is the default.
Rating Class	This field indicates if the rates vary by the rating class. Y—Yes Rates vary based on the rating class. N—No Rates do not vary based on the rating class. This is the default.
Alt Min Reserve Table	The rate file name for the commutation column rate files (CX, DX, or MX) used if alternate minimum reserves are required can be input in this field. If this field is input, the ULCRVM program recalculates the reserves using this commutation table for present value calculations. The lesser of the guaranteed maturity premium (GMP) and the Alt Min valuation premium is used in the present value of future premiums. LifePRO® sets the reserve to the greater of this reserve assumption and the reserve assumption defined by the Valuation Table Key.
Valuation Code	A user-defined 10 character sort key can be defined, if desired, for valuation reports. The calculations do not use this field.
Guaranteed Interest Rate	The guaranteed interest rate for this coverage, used to calculate the guaranteed maturity premium (GMP) and guaranteed maturity fund (GMF), is input in this field.
Current Rate to Anniversary	Input a rate to be used to project interest until the next anniversary. If the guaranteed rate is used, leave this field blank.

Field	Description
Collection Fee	Input the fee, if required. If this field is left blank, the value from the U1—Premium Load Fees Segment is used.
Use 10 Year ELRA	Y—Yes The system computes the equivalent level renewal amount as the average death benefit over years 2 - 10. N—No An actuarially level amount over the life of the policy is computed, weighted by mortality and interest.
Accrue 1/2 Month Interest	Y—Yes Add 1/2 month's interest (either guaranteed or the current rate to next anniversary, if input) to the fund value. The combined amount (less the surrender charge, if applicable) is used as a minimum reserve. N—No The fund balance at the last month anniversary is used.
Use Annual GMP	This field determines if the system applies the guideline premium annually (none applied until next anniversary) or if it computes a monthly endowment premium and applies it immediately. Y—Yes The projected fund and death benefits are based on annual GMP. N—No The projected fund and death benefits are based on monthly GMP. If the reserve method selected is Mean, this has impact since that method computes the "R" value on the next anniversary. A policy near lapse can be rejuvenated if the guideline premiums are deposited immediately. If the reserve method selected is Int, it has little effect since "R" is computed immediately using the fund value available.
Force R = 1	Y—Yes This option should be selected for fixed premium universal life and EIWL products. N—No This option should be selected for flexible premium universal life products.
Return of Premium	Y—Yes The surrender value and fund value are forced to be at least the basis. N—No The surrender value and fund value and not forced to be at least the basis.

Field	Description
Constant Per Month Expense	This section is used to override the values on the GF—Gtd Monthly Policy Fee or UF—Per Policy Monthly Exp Segments. This allows the valuation actuary to use per month expenses more appropriate for valuation, if required.
Upper Band Limits	If the monthly premium expense is banded by the face amount of the policy, input the upper limit face amount for each band. Up to 5 bands can be defined. If banding is not used, code all 9s in the first Upper Band Limits field.
Expenses per Band	If the monthly premium expense is banded by the face amount, input the amount for each band in the field directly below the band to which the amount applies.
Constant Percent of Premium Expenses	This section can be used to override the values on the G2—Gtd % Of Premium Load or U2—Premium Load Pct Segments. This allows the valuation actuary to use percent of premium expenses more appropriate for valuation, if required.
Upper Band Limits	If the percent of premium expenses is banded by the face amount of the policy, input the upper limit face amount for each band. Up to 5 bands can be defined. If banding is not used, code all 9s in the first Upper Band Limits field.
Expenses per Band	If the percent of premium expenses is banded by the face amount, input the percentage for each band in the field directly below the band to which the rate applies.

6.237 S0—Fund Package Segment

NOTE

Universal life—allocated coverages only

The S0—Fund Package Segment is used with allocated coverages only. The funds set up in the S0 Segment are funds that are added to specified amount increases. The new fund parent sequence is the SP benefit. For allocated coverages it is possible to set up separate funds attached to each SP layer. The S0—Fund Package Segment is otherwise identical to the F0—Fund Package Segment. The segments attached here are the same segments as described in the Fund Rules documentation. Refer to Section 14—Fund Information on page 14-1 in this book for additional information.

Fund Package Segment					
Segment ID		NJD	>>	Segment Type S0	
Fund ID	Fund ID	Fund ID	Fund ID	Fund ID	Fund ID
CAP_STOCK >>					
>>					
>>					
>>					
>>					
>>					
>>					
>>					
>>					
>>					
>>					
>>					
>>					
>>					
>>					
>>					
>>					
>>					
>>					
>>					
>>					
>>					
>>					

OK
Cancel

6.238 SA—Full Surrender Amortization Segment

NOTE

Universal life only

The SA—Full Surrender Amortization Segment points to the amortization rates for UL surrender logic and is accessed through the SR—Full Surrender Segment.

Rate Type Segment	
Segment ID	UL1 >>
Segment Type	SA
Select Period	Duration 0
Ultimate ID	
Constant Rate	0.0000000 (Added to File Rate if Declared)
Rate Type	Duration Only
Type Modifier	U4
Rates Vary by Underwriting Class	No
Mult Insured Access	External
Rate Basis	Male With Setback
Years of	0
Banding Method	Not Banded
Banding Rule	Traditional
Upper Band Limits	0 0 0 0 0 0 0
Rates Coded As	Percentage (1% Entered As 1.00)
Change Frequency	Not Applicable
36	

Mode Rules

Rates

Next

OK

Cancel

Click **Next** to view the second page of the SA Segment.

Surrender Ammortization	
Use Rate as Additional Surrender Charge?	No
OK Cancel	

6.239 SB—Submit Marketing Credits

The SB—Submit Marketing Credits Segment was developed for one client to be used in a highly specialized extract for external processing. It is not used by any processing logic within LifePRO®. The segment is used in conjunction with the Marketing History File generated when the Market History field on the Management Options screen is set to **Yes**.

Submit/Paid Business (Contest)			
Marketing Segment ID		UL1	>>
Segment Type		SB	
Premium			
Does This Segment Receive Premium		Yes	
Based On		CWA/Prem	
Premium	Initial Credit	Credit Percent	Regional Sum
Order (0 - 4)	Select (E,L,G)		Breakout
Minimum	0		
Target	0		
Planned	0		
Excess	0		
	(na)		
Volume			
Does This Segment Receive Volume			
Based On -			
Policy Count			
Credit %	Policy Count		
	Credit Pct		
Product Group		Alternate Marketing Credit Segments	
(Blank defaults to Base)		For Trad Rated Ben	
Business Type		For Specified Amt Inc	
Primary		For Othr Rdr/Ann Rdr	
		OK	
		Cancel	

6.240 SC—Full Surrender Controls Segment

NOTE

Universal life only

The SC—Full Surrender Controls Segment is purely a rules segment, listing general rules for full surrenders and is accessed through the SR—Full Surrender Segment.

Full Surrender Control			
Segment ID	UL1	Select Period	Duration 0
Segment Type	SC	Ultimate ID	
Amortization Rule	Monthly - Interpolate Based On Policy Month		
If Monthly Amortization, Count Current Month	No		
Excess Interest	No	In Last	Calendar Year Including Impaired EI
If Load is Zero, still add EI			
Add 'B'efore Annual Amort, 'A'fter Annual Amort, or after 'M'onthly Amort			
Add 'C'overage Policy Fee, 'M'onthly Policy Fee, or 'N'one to Surrender Load	None		
Add Fee 'P'rior to Amortization or 'A'fter Amortization	After Amortization		
Return of Principal Guaranteed	No	Alternative MSV	
Recapture Surrender Charges on Free Withdrawals in the Last	0 Months		
Exclude Bonus From Full Surrender	No		
Market Value Adjustment			
Adjust for MVA Prior to Calculating Surrender Charges	No	Cap MVA Amount to Excess of	0.00% % of
Suppress MVA on Surrender Charge Override	No	Account Value less Surrender Load	
Spec Amt		UWCLS	
Base Benefit	Current	Current	
Requested Inc	Current	Current	
DB Opt Change	Current	Current	
Inflation Rider	Current	Current	
			Next
			OK
			Cancel

The SC Segment consists of two pages and is accessed from the Coverage Record by completing the following steps.

1. From the Coverage Record click **Segments** to display the Segment List.
2. Press **F10**.
3. Select **SR—Full Surrender Segment**.
4. Select **Y—Yes** to activate the segment and click **Select**. The SR Segment is displayed.

5. From the SR Segment, select **SC—Full Surrender Controls Segment** and select **Y—Yes** to activate the segment.
6. Press **F4** and the SC Segment is displayed.

The SC Segment is accessed for the fund by completing the following steps.

1. From the Product System select Fund Information. The Fund Information Menu is displayed.
2. Select **Fund Rules**. The Fund Rules screen is displayed.
3. Input the Fund ID and click OK. The values for the fund are displayed.
4. Click **Segments**. The Segment List is displayed.
5. Locate the SR—Full Surrenders Segment on the list and select **Y—Yes** to activate the segment.
6. Press **F4**. The SR—Full Surrenders Segment is displayed.
7. From the SR Segment, select **SC—Full Surrender Control Segment** and click **>>**.

If the SC—Full Surrender Control Segment is set up for the Coverage Record and the fund, the options selected on the fund record will be used during surrender processing.

The following table contains definitions for the fields on the SC Segment.

Field	Description
Amortization Rule	A—Annual—Level Rate Over Policy Year Surrender charges are level during the policy year. M—Monthly—Interpolate Based On Policy Month Surrender charges are interpolated from month to month.
If Monthly Amortization, Count Current Month	Y—Yes Include the current month for amortization. N—No Only count completed months for amortization.
Excess Interest	Y—Yes The system adds the last 12 month's excess interest to the surrender charge based on the options selected in the next two fields. N—No The excess interest is not added to the surrender charge.

Field	Description
In Last ____ Year	P—Policy C—Calendar
____ Impaired EI	I—Including E—Excluding
If Load is Zero, still add EI	Y—Yes Add excess interest, even if the normal load is 0.00. N—No If the load is 0.00, do not add excess interest.
Add Before Annual Amort, after Annual Amort, or after Monthly Amort	This field determines if excess interest is amortized. B—Before Annual Amort A—After Annual Amort M—After Monthly Amort
Add Coverage Policy Fee, Monthly Policy Fee, or None to Surrender Load	This field determines if the policy fee from the Coverage Record or the UF—Per Policy Monthly Expense Segment is included in the surrender load. C—Coverage Policy Fee The policy fee from the Coverage Record is added to the surrender load. M—Monthly Policy Fee The policy fee from the UF Segment is added to the surrender load. N—None Policy fees are not included in the surrender load.
Add Fee Prior to Amortization or After Amortization	This field works in conjunction with the Add Coverage Policy Fee, Monthly Policy Fee, or None to Surrender Load field. If a policy fee is added to the surrender load, this field determines if the fee is added before or after the surrender load is amortized. P—Prior to Amortization The policy fee is added before the surrender load is amortized. A—After Amortization The policy fee is added after the surrender load is amortized. The policy fee is not included in the amortization.
Return of Principal Guaranteed	Y—Yes After the surrender value is computed, the value is compared to principal. If the surrender value is less than the principal, principal is the surrender value. $\text{Principal} = \text{Gross Deposits} - \text{Gross Withdrawals}$ N—No The surrender value is not compared to the principal in determining the surrender value. D—Death Claims Only The death benefit floor is equal to the gross premiums paid less the gross withdrawals.

Field	Description
Alternative MSV	This field determines if an alternative minimum surrender value calculation is used. Y—Yes An alternative minimum surrender value calculation is used. Input the Segment ID for the MV—Alternate Minimum Cash Value Segment that defines the fees and rates used to determine the minimum surrender value. To view the MV Segment, position the cursor on the Segment ID and press F4. N—No An alternative minimum surrender calculation value is not used.
Recapture Surrender Charges on Free Withdrawals in the Last ____ Months	A specified number of months is input in this field to indicate that the surrender charges waived on a free partial withdrawal are deducted from the full surrender amount if the policy is fully surrendered within the number of months selected. The Alternative Surrender Method Number field on the SR—Full Surrender Segment must be set to Standard Surrender Method or Alternate Method 4 if using this field. For example, assume 12 is input in this field. Also assume that a partial surrender is processed within the free withdrawal limits. The surrender charge is calculated even though it is not deducted at the time of the partial withdrawal. This amount is stored on the Policy Event Record. If the policy is fully surrendered on or before 12 months later, the amount of the surrender charges calculated and waived for the free partial withdrawal is added to the surrender charges deducted from the surrender value of the policy.
Exclude Bonus From Full Surrender	This field determines if premium replenishment bonus amounts applied to the policy are included when calculating the surrender amount. This field is only available if the Global Tax field on the Coverage Record is set to Yes or Across All Rows. In addition, the Alternative Surrender Method Number field on the SR—Full Surrender Segment must be set to 1—Variable Surrender Method 1, 3—Variable Surrender Method 3, or 4—Alternate Surrender Method 4. Y—Yes Any premium replenishment bonus amounts applied to the policy are not included when calculating the surrender amount. N—No Any premium replenishment bonus amounts applied to the policy are included when calculating the surrender amount. This is the default.

Field	Description
Track System Calculated Surrender Load	This field determines if the original quoted surrender load is stored when the surrender load is overridden. Y—Yes If the surrender load quoted during the full surrender process is overridden, the original quoted amount is stored in the Quoted Surrender Load field on the Full Surrender/Annuitization /Death Event Record. N—No The original quoted surrender load is not stored on the event record. This is the default.
Market Value Adjustment	
Adjust for MVA Prior to Calculating Surrender Charges	This field defines if the surrender charge is calculated on the full fund value adjusted by the Market Value Adjustment (MVA) or on the full fund value with no adjustment by the MVA. Y—Yes The surrender charge is calculated on the full fund value adjusted by the MVA. N—No The surrender charge is calculated based on the full fund value with no adjustment by the MVA. This is the default.
Suppress MVA on Surrender Charge Override	This field determines if the market value adjustment is calculated when the surrender charge is overridden for a full surrender. Y—Yes The market value adjustment is not calculated when the surrender charge is overridden for a full surrender. N—No The market value adjustment is calculated when the surrender charge is overridden for a full surrender. This is the default.
Cap MVA Amount to Excess of ___% of Account Value less Surrender Load	The percentage used to determine the MVA cap is defined in this field. If the value of this field is greater than zero, the MVA is reduced, to the extent possible, with no reduction to the surrender charges. If multiple MVA funds exist, the maximum is applied per fund in the order in which they are processed. The default is 0.

Field	Description
Spec Amt/UWCLS	These fields are used to calculate the layered surrender charges when specified amount increases are present. This field is applicable only if the Calculation Code field on the SL—Full Surrender Load Segment is set to Per \$1000 of Specified Amount. The Reduced Independently option is the only option not available in the UWCLS column. I—Issued This option uses the specified amount or underwriting class as of the benefit issue date when calculating surrender charges. C—Current This option uses the specified amount and underwriting class as of the current policy date. R—Reduced Independently This option is not available in the UWCLS column. The system looks at the originally issued face amount, adjusted for any requested decreases, to calculate surrender charges. This field is designed to be used in conjunction with the Requested or all decreases reduce face for surrender charges field. If using this option, the Specified Amount Decrease Rule for Surrender Charges field needs to be set to LIFO, FIFO, or Prorate and the Calculate For Each Layer Surrendered field on the SD Segment should be set to Yes. X—Not Used to Calculate Charges The system ignores fields designated with an X. If X is entered in the Spec Amt field for a selection, the UWCLS field automatically defaults to X. If X is entered in the UWCLS field and not in the Spec Amt field for a selection, then the message <i>Invalid Data Entered</i> appears. CI and IC options are available for a selection; however, if X is entered in one of the field selections, then both the Spec Amt and UWCLS fields must be coded with an X for that selection. A Ctrl+F3 function is available from the Benefit Detail Record in order to view the adjusted face amount used when calculating surrender charges. This window can only be accessed if the Calculate For Each Layer Surrendered field on the SD—Specified Amount Decrease Deductions Segment is set to Yes and the Reduced Independently option is defined in the Spec Amt field on the SC Segment. This window is displayed only after the first monthiversary cycle has been run on a policy.

Click **Next** to view the second page of the SC Segment.

Segment Screen - SC (2nd)

When using "R" for Specified Amt
'R'equested or 'A'll Decreases Reduce Face for Surrender Charges:

Specified Amount Decrease Rule for Surrender Charges:

Are alternate fund accumulations used instead of the fund value
for surrender charge calculation? (Y/N):

Prorata deduction of earnings from alternate accumulations? (Y/N):

The following table contains definitions for the fields on the second screen of the SC Segment.

Field	Description
When using "R" for Specified Amt: 'R'equested or 'A'll Decreases Reduce Face for Surrender Charges	This field defines if only requested decreases or all decreases are used in adjusting the original face amount for calculation of surrender charges. This field is applicable only when Reduced Independently is selected in the Spec Amt field on the first page of the SC Segment. A—All All specified amount decreases reduce the face amount for calculation of surrender charges. R—Requested Only requested specified amount decreases reduce the face amount for calculation of surrender charges. Partial withdrawals are not considered requested decreases and therefore do not reduce the face amount for the calculation of surrender charges.

Field	Description
Specified Amount Decrease Rule for Surrender Charges	This field allows for surrender charges to be computed independently of how decreases are applied to the face amount and defines the order for which specified amount layers are reduced when calculating surrender charges. “ ”—Blank Surrender charges are applied to each layer in the same way that decreases are applied to the specified amount (current functionality). L—LIFO F—FIFO P—Prorata
Are alternate fund accumulations used instead of the fund value for surrender charge calculation (Y/N)	This field is applicable only if the product has alternate accumulations defined on the Segment List accessed from the Fund Rule screen using fund level RW—Calculate Minimum Contract Value Segments. It determines if the surrender charge is based on the alternate accumulations instead of the base accumulation. Y—Yes Use the alternate accumulations when calculating the surrender charge. Specifically, use the accumulations for those alternate values selected on the FC—Fund Contract Rules Segment with the Used to Calculate Surrender Charges field set to Yes. N—No Do not use the alternate accumulations when calculating the surrender charge. Use the base accumulation to calculate the surrender charge. This is the default. Refer to Section 12, 6.84—FC—Fund Contract Rules Segment on page 12-320 in this book for more information on calculating surrender charges for products with alternate accumulations.
Prorata deduction of earnings from alternate accumulations (Y/N)	This field is applicable only if the product has alternate accumulations defined on the Segment List accessed from the Fund Rules screen using fund level RW—Calculate Minimum Contract Value Segments. It determines if transfers, withdrawals, and surrenders are deducted from the accumulations in equal portions of earnings or by subtracting the same dollar amount from earnings. This field only affects the earnings for the accumulations; deductions from principal are always taken dollar for dollar. Y—Yes Transfers, withdrawals, and surrenders are deducted in equal proportions, including the base accumulation, by deducting the same percentage of earnings from each. N—No Transfers, withdrawals, and surrenders are not deducted based on an equal proportion of earnings. Instead, the same dollar amount of earnings is deducted from each accumulation. This is the default.

6.241 SD—Spec Amt Decrease Deduct

NOTE

Universal life only

The SD—Spec Amt Decrease Deduct Segment directs *LifePRO*® to the rate used to determine any charges taken from a UL fund if a specified amount decrease occurs.

Rate Type Segment	
Segment ID	FPDA >>
Segment Type	SD
Select Period	Duration 0
Ultimate ID	
Constant Rate	0.0000000 (Added to File Rate if Declared)
Rate Type	Constant Rate Only
Type Modifier	☐ Rates Vary by Underwriting Class No
Mult Insured Access	
Rate Basis	Separate And Unique
Years of	0
Banding Method	Not Banded
Banding Rule	Traditional
Upper Band Limits	0 0 0 0 0 0 0
Rates Coded As	Actual Amount
Not Applicable	
Change Frequency	0

Mode Rules
Rates
Next
OK
Cancel

Refer to Section 12, Chapter 3—Premiums—Upper Portion of Screen Field Definitions on page 12-17 in this book for a description of the fields in the upper portion of the screen.

Click **Next** to define how the specified amount decrease deduction is calculated.

The specified amount decrease deduction calculation is defined on the second screen of the SD Segment.

SD Segment - Screen 2

Calculate Based On: Flat Amount

Calculate For Each Layer Surrendered: Yes

Future Surrender Load Write Off Method: Percent

Amortization Rule: Annual - Level Rate Over Policy Year

If Monthly Amortization, Count Current Month: No

OK Cancel

The following table contains definitions for the fields on the second screen of the SD Segment.

Field	Description
Calculate Based On	This field defines how to use the rate to calculate the decrease penalty. A—Flat Amount S—Per \$1000 Of Specified Amount Decrease P—Prorata Full Surrender Charge

Field	Description
Calculate For Each Layer Surrendered	This field defines if the decrease charge is calculated based on the issue ages and durations of each layer surrendered. Y—Yes A separate decrease charge for each layer which was decreased is calculated. The charge for the decrease is the sum of the charges for all the layers. How the decrease is applied to each layer, LIFO, FIFO, prorata, or blank is the same as is done for computing surrender charges (as defined in the Specified Amount Decrease Rule for Surrender Charges field on the SC—Full Surrender Controls Segment). N—No The decrease charge is based on the issue age and duration of the base benefit and ignores the issue age and duration of additional layers. A Ctrl+F3 function is available from the Benefit Detail Record to view the adjusted face amount used when calculating surrender charges. This window can only be accessed if the Calculate For Each Layer Surrendered field on the SD—Specified Amount Decrease Deduction Segment is set to Yes and the Reduced Independently option is selected in the Spec Amt field on the SC Segment. This window is displayed only after the first monthiversary cycle has been run on a policy.
Future Surrender Load Write Off Method	This field determines the way the write off from a specified amount decrease is used when quoting. N—None A—Absolute P—Percent
Amortization Rule	A—Annual—Level Rate Over Policy Year The rate on the file is used as is, and is not dependent on the policy month of the decrease. M—Monthly—Interpolate Based On Policy Month Interpolate the rate to use on a policy month basis from the beginning of the year to end of the year rate.
If Monthly Amortization, Count Current Month	If the Amortization Rule field is set to M—Monthly—Interpolate Based On Policy Month, this tells the system to count completed months or not. Y—Yes The system amortizes the first month. For example, the current month starts as 1. N—No The first month uses the beginning of the year value. For example, the completed months is 0.

6.242 SE—Shadow Benefit Use Segment ID Segment

The SE—Shadow Benefit Use Segment ID Segment allows the subsidiary SU—Shadow Benefit Use Segments to vary by select period, by bonus level, or both. If the subsidiary SU Segments vary by bonus level, the bonus levels defined on the SE Segment screen must correspond to the bonus level defined on the coverage level BN—Bonus Segment of the base benefit.

This segment can only be accessed when the Allow As Shadow Coverage field on the Coverage Record is set to Yes.

Enter Shadow Benefit Use Segment ID

Segment ID	GPA\VAI >>	Select Period	1 Duration
Segment Type	SE	Ultimate ID	VAI
Access Rule	None		
Bonus Level	Segment ID's		
☐			
☐			
☐			
☐			
☐			
Default			

Default should be used for access rule 'N' or for Bonus Levels not defined above.

The following table contains definitions for the fields on the SE Segment.

Field	Description
Access Rule	This field indicates if the definitions on the subsidiary SU—Shadow Benefit Use Segment vary by bonus level for the defined select period. B—Bonus Level The subsidiary SU Segment definitions vary by bonus level. N—None The subsidiary SU Segment definitions do not vary by bonus level. This is the default.
Bonus Level	The Bonus Level fields are only available if the Access Rule field is set to Bonus Level. The bonus levels defined on the coverage level BN—Bonus Segment attached to the base benefit can be listed and a subsidiary SU—Shadow Benefit Use Segment can be defined for each bonus level. A default SU Segment ID should also be defined.
Segment ID's	These fields list the ten character, alphanumeric code identifying the subsidiary SU—Shadow Benefit Use Segment ID which is applicable to that bonus level.
Default	A default SU—Shadow Benefit Use Segment ID should be defined. If the Access Rule field is set to Bonus Level, this field determines the SU Segment definitions to be used before a bonus level is attained. If the Access Rule field is set to None, this field determines the SU Segment definitions.

6.243 SF—Free Surrender Segment

NOTE

Universal life and annuities only

The SF—Free Surrender Segment points to the rates and rules for the calculation of excluded or free amounts on a full surrender and is accessed through the SR—Full Surrender Segment.

Rate Type Segment								
Segment ID	ULMDV >>							
Segment Type	SF							
Select Period	Duration 0							
Ultimate ID								
Constant Rate	0.0000000 (Added to File Rate if Declared)							
Rate Type	Constant Rate Only							
Type Modifier	☐ Rates Vary by Underwriting Class No							
Mult Insured Access								
Rate Basis	Separate And Unique Years of 0							
Banding Method	Not Banded							
Banding Rule	Traditional							
Upper Band Limits	<table border="1"><tr><td>0</td><td>0</td><td>0</td><td>0</td><td>0</td><td>0</td><td>0</td></tr></table>	0	0	0	0	0	0	0
0	0	0	0	0	0	0		
Rates Coded As	Actual Amount							
Change Frequency	Not Applicable							
	0							
<table border="1"><tr><td>Mode Rules</td></tr><tr><td>Rates</td></tr><tr><td>Next</td></tr><tr><td>OK</td></tr><tr><td>Cancel</td></tr></table>		Mode Rules	Rates	Next	OK	Cancel		
Mode Rules								
Rates								
Next								
OK								
Cancel								

Refer to Section 12, Chapter 3—Premiums—Upper Portion of Screen Field Definitions on page 12-17 in this book for a description of the fields in the upper portion of the screen.

Click **Next** to access the calculation options for the segment.

The calculation options are located on the second screen of the segment.

The following table contains definitions for the fields on the second screen of the SF Segment.

Field	Description
Calculation Code Is % Of	This field controls the basis for the free withdrawal calculation. A—Last Anniversary Fund Value When calculating the free withdrawal on a full surrender, this option uses the fund value as of the last monthiversary or anniversary. C—Current Anniversary Fund Value When calculating the free withdrawal on a full surrender, this option uses the fund value for the current anniversary period, even if monthiversary or anniversary processing has not been run. F—Current Fund Value P—Initial Gross Premium V—Fund Value As Of First Withdrawal For Policy Year The amount calculated using this option is in effect for the entire policy year. The Maximum Exclusion Based on Calculation Code field must be Yes in order to use this option.

Field	Description
Calculation Code Is % Of (continued)	G—Total Gross Premium The calculation of the free withdrawal on a full surrender is based on the total gross premiums paid. Y—Prior Year-End Fund Value The free withdrawal amount is calculated based on the fund value as of the end of the prior calendar year. If 12/31 of the prior year falls before the policy's issue date, the free withdrawal amount is zero. E—Current Earnings The free withdrawal amount is calculated based on the earnings calculated at the time of the full surrender (Account Value less Net Deposits, where Net Deposits are defined as premium collected less non-free amounts withdrawn). L—Cumulative Percentage as of Last Anniversary The free withdrawal is a percentage of the last anniversary fund value (or current anniversary if withdrawal is taken on an anniversary date). The percentage accumulates each year since policy issue. S—Prior Year-End Surrender Value The free withdrawal is calculated based on the surrender value as of the end of the prior calendar year. If 12/31 of the prior year falls before the policy's issue date, the free withdrawal amount is zero. NOTE If the Calculation Code is set to Prior Year-End Fund Value or Prior Year-End Fund Value, the Maximum Exclusion amount reduced by prior Withdrawals field on the FW—Free Withdrawal Segment must be set to Since Anniversary. If the 12/31 calendar year end falls off-anniversary, an intermediate valuation record is created for the policy, so that the fund value and surrender value are available for free surrender calculations. Caution should be exercised when quoting free surrenders which cross the end of the calendar year if the Calculation Code is set to Prior Year-End Fund Value or Prior Year-End Fund Value. If the appropriate 12/31 value is not yet available, a message is displayed. For example, when monthiversary processing is run on the December policy anniversary, a Remote Queue (RQUE) record is created as of 12/31 to capture the 12/31 fund value and surrender value. If this RQUE record has not yet been processed, the message <i>SF Segment setup required</i> is displayed.

Field	Description
Calculation Code Is % Of (continued)	J—Adjusted Account Value The account value as of the date of the surrender is increased by any amounts withdrawn during the preceding rolling period. When this calculation code option is selected, the number of months in the rolling period defined in the Adjust Account Balance by Withdrawals in Last ____ Months field must be greater than zero. R—Remaining Purchase Payments The free withdrawal amount is calculated using the remaining purchase payments that were received during the surrender charge period. This option is only available if the Alternative Surrender Method Number field on the SR—Full Surrender Segment or the WD—Partial Surrender Segment is set to Alternate Surrender Method 4.
Minimum Calculation Code	This field is used to determine the minimum free withdrawal amount. E—Earnings The free withdrawal amount calculated using the option in the Calculation Code Is % Of field is compared to earnings. The greater amount is used when determining the free withdrawal amount. If this option is selected, the option for the Calculation Code Is % Of field cannot be set to Earnings. This option is only available if the Alternative Surrender Method Number field on the SR—Full Surrender Segment or the WD—Partial Surrender Segment is set to Alternate Surrender Method 4. N—None The free withdrawal amount calculated using the option in the Calculation Code Is % Of field is used. This is the default.
Adjust Account Balance by Withdrawals in Last ____ Months	This field defines the number of months in the rolling period. If the number of months is greater than zero, the Calculation Code Is % Of field must be set to Adjusted Account Value. Valid values are 0 - 99. This field defaults to 0.

Field	Description
Maximum Exclusion Limits	
Exclusion Based on Calculation Code	This field determines if the exclusion amount is reduced by prior withdrawals and the time frame in which these prior withdrawals are considered. Y—Yes The free amount is available once per anniversary, unless defined otherwise in next field. N—No The calculated amount is applied against every withdrawal. P—Percent Since Issue The free withdrawal percentage is reduced by the percentage free taken in prior years. M—In the Last n Months The maximum exclusion amount is reduced by the number of free withdrawals during the preceding rolling period. When this calculation code option is selected, the number of months in the rolling period selected in the Exclusion Amount Reduced by Withdrawal in Last ___ Months field must be greater than zero.
Exclusion Amount Reduced by Withdrawal in Last ___ Months	This field defines the number of months in the rolling period. If the number of months is greater than zero, the Exclusion Based on Calculation Code field must be set to In the Last n Months. Valid values are 0 - 99. This field defaults to 0.
Number of Exclusions	This field can be used to set a cap on the maximum number of exclusions allowed per anniversary.
Amount of Exclusions	This field can be used to set a cap on the maximum exclusions amount per anniversary.
Cumulative % of Fund	This field determines if there is a maximum percentage of fund value that is available for a free withdrawal at any given time. This field is only applicable when the Calculation Code field is set to Cumulative Percentage as of Last Anniversary. Y—Yes A maximum percent of the fund value can be withdrawn free. This percentage amount is entered in the next field. N—No There is no cap on the percent of the fund value that can be withdrawn free. This is the default.

Field	Description
Add Premiums Since Anniversary	This field determines if the premiums received since the last anniversary are included when the free withdrawal amount is calculated. Y—Yes Add premiums received since the last anniversary to the anniversary value when calculating the free withdrawal amount. This option is only available when the Calculation Code Is % Of field is set to Current Anniversary Fund Value or Last Anniversary Fund Value. N—No Do not add premiums received since the last anniversary when calculating the free withdrawal amount. This is the default.
Percentage	Input the maximum percentage of the fund value that can be withdrawn free at any given time.
No free partial if automatic withdrawal in effect	This field determines if a free withdrawal can be processed if automatic interest withdrawals are being generated. Y—Yes Free withdrawals are not available when automatic interest withdrawals are being processed. If automatic interest withdrawals are not being processed, the free withdrawals are available. N—No Free withdrawals are available without regard to automatic interest withdrawals being processed.
Exclude Free Withdrawals from MVA Calculation	This field determines if the free portion of the full surrender is included in the market value adjustment calculation. Y—Yes The free portion of the full surrender is excluded from the market value adjustment calculation. N—No The market value adjustment calculation includes the entire gross surrender, including the free portion. This is the default.

6.244 SG—Source/Type Rates and Rules Segment

The SG—Source/Type Rates and Rules Segment provides the ability to set up TS—Source/Type Record Rules, U2—Premium Load Pcts, CC—Commissions, WD—Partial Withdrl Segments, U6—Current COI Rates Segments, UL—Universal Life Corridor, DB—Death Benefit Segments, and XI—Indexation Segments for this coverage. These segments are used with coverages that use source and type tracking, where the contents of funds are identified not just by fund and date of deposit, but also by source (defined in Management Options) and type (0110, 0121, 0122, 0123, 0124). This segment allows partial withdrawal charges and rules to be set up to differ by source or type or both. With additional development work, payment of source and type based commissions can be processed.

Source and type tracking is available for lines of business A—Annuity and U—Universal Life. Variable products are also supported by this feature. Source and type tracking requires that the coverage also have an SV Segment attached and defined.

When one of these segments is set up through the SG Segment, this *lower level* segment overrides the segment of the same name which is accessed by selecting the segment directly from the segment list. If the SG Segment is set to **Yes** on the segment list, the TS Segment must be defined.

If the SG Segment setup is used for a TS, U2, CC, WD, U6, UL, DB, or XI Segment under this coverage, select **Y— Yes** on the segment line. The Segment ID field defaults to the Segment ID from the top of the screen, but it can be updated.

Segment Type	Segment ID	
TS	No	
U2	No	
CC	No	
WD	No	
U6	No	
UL	No	
DB	No	
XI	No	

The following table contains field definitions for the SG—Source/Type Rates and Rules Segment screen.

Field	Description
Rows (Unit Pools) Vary by Source Only	This field determines if multiple transaction codes can be used for the same source code. When multiple transaction codes are used for a single source, the deposit information is displayed by source instead of by row. Y—Yes Multiple transaction codes within a source in a single fund can be combined and maintained. The TS, U2, CC, WD, U6, U1, DB, and XI Segments may only vary by Source as defined on the Source Variance Rules or have no variance. If this field is set to Yes and one of the segments is set to vary by Type or Increment Type on the Source Variance Rules screen, the error message <i>Segment Variance Rules Can Only Vary by Money Source</i> is displayed. When the premium is applied, a row is created in the Fund Balance Table with a new source without reference to type. The Type field on the Premium Source and Type screen is protected and initialized. The Increment record is stored by company code, policy number, benefit sequence, source, type, increment type, and parent start date. N—No A row is created for each transaction code. This is the default.
Premium Increment Rules	This field determines if the premium amount applied to an Increment record can be greater than the amount stored on the Increment record for the corresponding parent start date, increment type, source, and type. L—Limited to Planned Premium A premium payment cannot be applied if it is greater than the amount stored on the Increment record for the corresponding parent start date, increment type, source, and type. A new Increment record must be added when the premium is increased. This is the default. F—Flexible Premium A premium payment can be applied for any amount on the Increment record with a corresponding parent start date, increment type, source, and type. NOTE The Rows (Unit Pools) Vary by Source Only field must be set to Yes in order to allow flexible premiums. If the Rows (Unit Pools) Vary by Source Only field is set to No, the Premium Increment Rules field is set to Limited to Planned Premium and is protected so it cannot be updated.

Field	Description
Segment Type	The seven segments which may be accessed from this screen are listed below. TS Source Type Record Rules U2 Premium Load Pcts CC Commissions WD Partial Withdrawal Segments U6 Current COI Rates UL Universal Life Corridor DB Death Benefit XI Indexation The field in the second column indicates if the segment identified in the first column can be accessed through this screen. If the value of this field is Yes, a Segment ID must be present in the Segment ID field. Y—Yes N—No
Segment ID	This field contains a user defined Segment ID which points toward the lower level TS, UG, CC, WD, U6, UL, DB, or XI Segment.

Source Era Definition Screen

U2, CC, WD, U6, UL, DB, and XI Segments set up under the SG Segment can have more than one version or variance, based on date. The Source Era Definition screen contains a list of variance IDs which point to the multiple variances. The variance ID points to the variance in effect from its era date to the next. Position the cursor on the lower level U2, CC, WD, U6, UL,

DB, or XI Segment on the Source/Type Rates and Rules screen and press **F4** to display the Source Era Definition screen for that segment.

Segment ID	Type
TESTU2	U2

Era Date	Variance ID
03/14/2000	U220000314
02/11/2000	U220000211
02/10/2000	U220000210
01/01/1998	CEU298AB
01/01/1990	U219991109

The following table contains definitions for the fields on the Source Era Definition screen.

Field	Description
Era Date	This field contains the first date that this variance of the segment is effective. It is effective until the era date of the next variance.
Variance ID	This field contains the variance ID assigned to this variance of the segment. It points to the segment variance for this variance of the segment. When a new era date is added, the system adds a default variance ID equal to the two digit segment type followed by the system date in YYYYMMDD format. It can be changed if desired.

Complete the following steps to add a new Era record.

1. From the Source/Type Rates and Rules screen for the desired segment press **F4**. The Source Era Definition screen is displayed.
2. Press **F8** to add a new segment. The cursor moves to the era date field at the top of the screen. The message *Enter Era Date and Variance ID and Press Enter* is displayed. The Era Date and Variance ID fields default, but they can be updated.
3. Change the era date and the variance ID if desired, making sure that the new era date is greater than the era dates already present and click **OK**. The new era date and variance ID are moved to the next row. Click **Cancel** to exit the screen.

Complete the following steps to delete an Era record.

1. From the Source Era Definition screen press **Alt+F8**. The message *Enter Era Date to Delete and Press Enter* is displayed.
2. Type the era date to be deleted in the Era field at the top of the screen and press **Enter**. The era date and variance ID are deleted.

Complete the following steps to update a variance ID.

1. From the Source Era Definition screen press **F10**. The message *Enter Era Date to Update and Press Enter* is displayed.
2. In the Era Date field at the top of the screen type the era date of the record to be changed and press **Enter**. The variance ID field at the top of the screen is highlighted, and the message *Enter New Variance ID and Press Enter* is displayed.
3. Type the desired new variance ID in the field and press **Enter** to save the change, or press **Alt+F10** to leave the screen without changing it.

NOTE

Notice that the Source Era Definition screen is not displayed for the TS—Source/Type Record Rules Segment since it does not have multiple records for different time spans.

Complete the following steps to clone a Source Era Date record.

1. From the Source Era Date screen press **F8**. The current date is displayed in the Source Era Date field at the top of the screen, along with a calculated variance ID.
2. Update the source era date or the variance ID, if required, and press **Alt+F9**. The Source Clone screen is displayed.

The screenshot shows two overlapping windows from a software application. The background window is titled "Source Era Definition" and contains the following fields: "Segment ID" with value "CE FIXEDUL", "Type" with value "U2", "Era Date" with value "05/15/2000", and "Variance ID" with value "U220000517". The foreground window is titled "Source Clone" and contains the following fields: "New Era Date" with value "05/15/2000", "New Variance ID" with value "U220000517", and "Enter the Existing Era Date to Clone From" with value "01011998". Both windows have "OK" and "Cancel" buttons. In the bottom right corner of the "Source Era Definition" window, there are four additional buttons: "Next", "Previous", "OK", and "Cancel".

3. In the Enter the Existing Era Date to Clone From field, type the era date of the record you are cloning and click **OK**. If the date selected is not the date for an existing record, the error message *Error Accessing the WWNDW File* is displayed. A valid date must be entered to complete the clone.

NOTE

When a Coverage Record with an SG Segment attached is cloned, the clone generated includes not only the SG Segment from the original coverage, but also the lower level records and ultimate segments for the cloned SG Segment.

Segment Variance Screen

The variance IDs point to the Segment Variance screen. This screen is used to specify which elements cause variances in the rates or rules for the segment. From the Source Era Definition screen press **F4** with the cursor on the desired variance ID to display the Segment Variance screen for a U2, CC, WD, U6, UL, DB, or XI Segment.

Segment Variance

Variance ID V19900101 Type U2

Source

Type

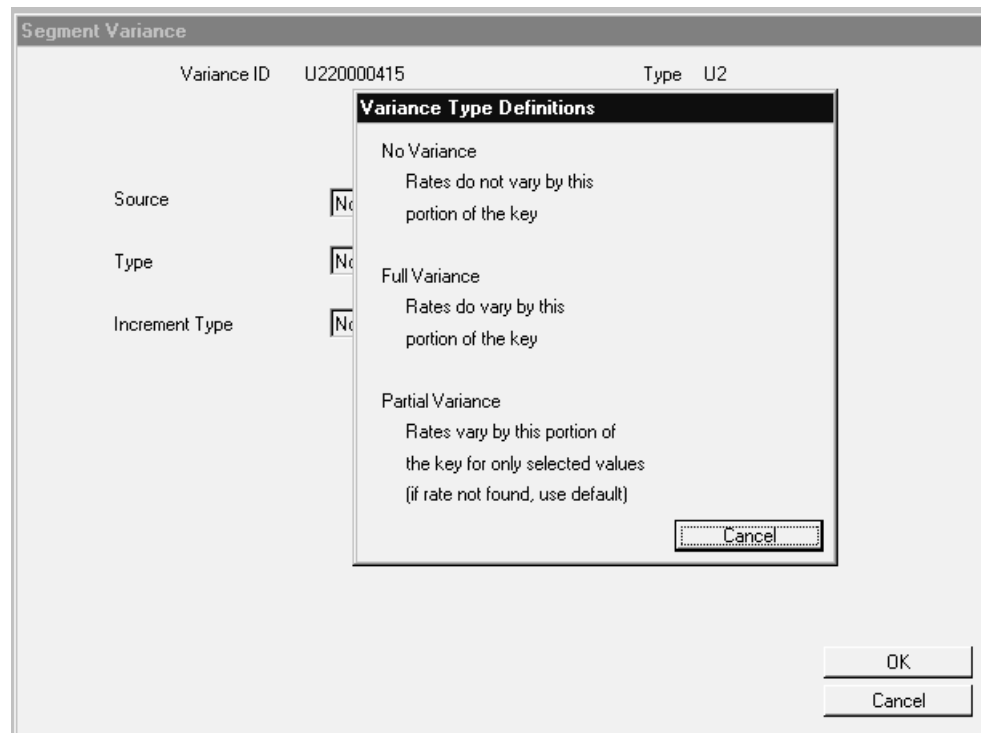
Increment Type

OK
Cancel

The following table contains definitions of the Segment Variance screen fields.

Field	Description
Source	This field specifies if the rates and rules for this variation of the segment vary based on the source. Valid sources are listed in the SV—Valid Premium Sources Segment for this coverage. Whether or not rates and rules vary based on the source, at least one ultimate segment with the appropriate rates and rules must be set up. N—No Variance The rates or rules for this segment do not vary based on the source of the premium. F—Full Variance The rates or rules for this segment vary based on the source of the premium as defined on the Source Key Variances screen. P—Partial Variance The rates or rules for this segment vary by source for some sources, but are the same for the balance of the sources.
Type	This field specifies if the rates and rules for this version of the segment vary based on the premium type. Valid types are the premium transactions 0110, 0121, 0122, 0123, and 0124. Whether or not rates and rules vary based on the type, at least one ultimate segment with the appropriate rates and rules must be set up. N—No Variance The rates or rules for this segment do not vary based on the source of the premium. F—Full Variance The rates or rules for this segment vary based on the premium type as defined on the Source Key Variances screen. P—Partial Variance The rates or rules for this segment vary by type for some types, but are the same for the balance of the types.
Increment Type	This field specifies if the rates and rules for this version of the segment vary based on the increment type of the premium payment. Only increment type Ad Hoc is valid, so the value in this field is not used even though values are displayed on the screen.

Press **Alt+F5** to display the Variance Type Definitions screen.



Use the following steps to complete the Segment Variance screen for a new era on a segment.

1. From the Source Era Definition screen, position the cursor on the new variance ID and press **F4**. The Segment Variance screen for the selected variance ID is displayed with the Source, Type, and Increment Type fields set to **No Variance**.
2. Press **F10**. If the rates and rules for these segments do not vary based on source, type, or increment type click **OK**. Or change the source or type fields to **Full Variance** or **Partial Variance** as desired, and click **OK**.

3. From the Segment Variance screen for a segment press **F4**. The Source Key Variances screen is displayed.

NOTE: If **F4** is pressed without clicking **OK** first, the message *Variance Can Be Accessed After Record Has Been Saved to File* is displayed.

4. Click **OK** and press **F4** again. The Source Key Variances screen is displayed.

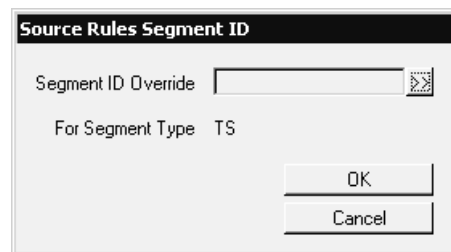
No	Key Definition	Key Selection
1	Source	
2	Type	No Variance
3	Increment Type	No Variance

Buttons: Set Default, Partial Variance, Process, OK, Cancel

The values displayed on this screen differ depending upon the values of the Segment Variance screen which preceded it. If the Source, Type, and Increment Type fields are all **No Variance**, the corresponding Key Selection fields on this screen are also **No Variance**.

Complete the following steps to assign the ultimate segment for a Source Key Variances screen with all key selections set to **No Variance**.

1. From the Source Key Variances screen press **F4**. The Source Rules Segment ID screen is displayed with the message *Source Rules Record Not Found - F8 to Add*.



2. Press **F8** and type the desired user defined ultimate segment ID or click the **>>** to display the Segment cross reference list and select a segment from the list.
3. Click **OK**. Note that the list is available only when this screen is in update mode after **F8** or **F10** has been pressed.
4. From the Source Key Variances screen press **F4**. The ultimate segment screen is displayed. Unless an existing segment was selected from the cross reference list, the screen includes the error message *Segment Not Found - Press F8 to Add*.

- Press **F8** and complete the screen.

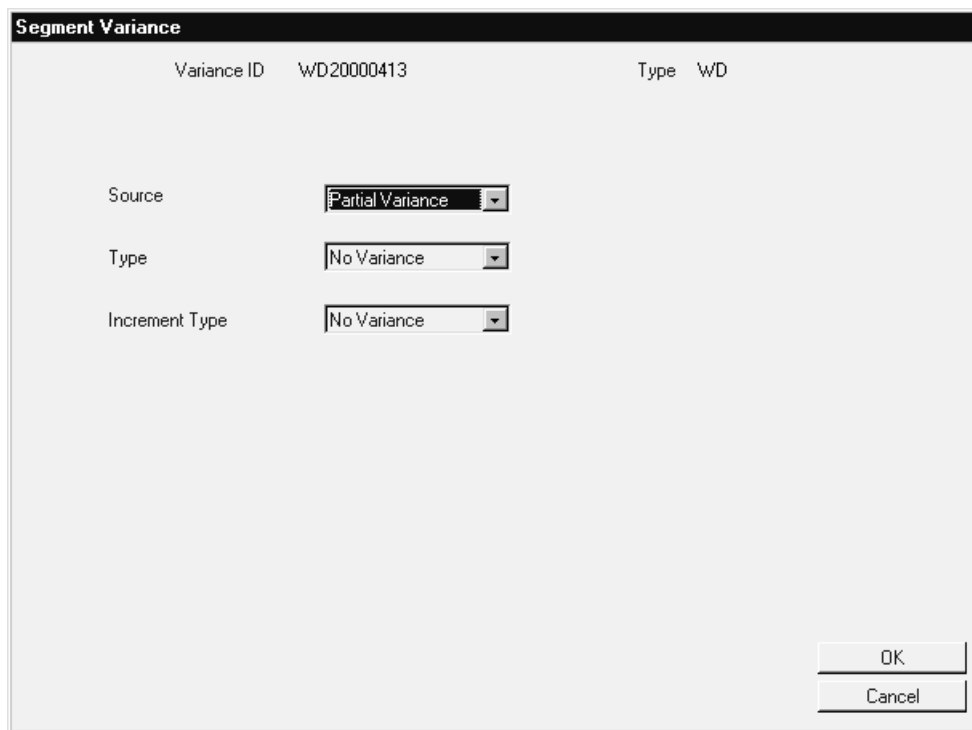
Enter Premium Collection Expenses Criteria - Percentages									
Segment ID	U2VAR0101 >>			Select Period	99				
Type	U2			Ultimate ID	NA				
Constant Rate	7.00%			Vary By UWCLS	No				
Key Modifier				Sum Rates For Each Insured	No				
Rate Type									
Rate Basis	Male With Setback								
Setback Years	0								
Banding Rule									
Banding Method	Specified Amount								
Band Limits Vary	No			If Yes, BD Segment ID					
	999999999	0	0	0	0	0	0	0	
Maximum Load	0			Load Annually Capped By Target Premium					
Premium Amount Excluded from Load	\$0.00			Number of Years For Cap (0=Nonstop)	0				
Calculation Method									
If Banded By Total Premium, Incorporate Processed Premium For Entire Policy									
Add Premium Tax Rate To Load in: Guideline Calc	No			Reserve Calc	No				
Rates									
Band Limits									
OK									
Cancel									

- Click **Cancel** to move back through the completed setup. Please note that any time you move through one of this series of screens for SG setup, and changes have been entered on a screen but not saved, an error message is displayed.

Partial Variances

If a Partial Variance is entered for a lower level segment on the SG Segment Variance screen, rates and rules vary by some sources or types, but are the same for all the rest. The current partial variance usage, or the sources or types which have their own rates, is displayed by pressing **F4** from the field displaying the **Partial Variance** on the Segment Variance screen to

display the Segment Variance Setup Screen. Next, position the cursor on a type and click **Partial Variance**.



The image shows a software window titled "Segment Variance". At the top, it displays "Variance ID" as "WD20000413" and "Type" as "WD". Below this, there are three dropdown menus: "Source" is set to "Partial Variance", "Type" is set to "No Variance", and "Increment Type" is set to "No Variance". In the bottom right corner, there are two buttons: "OK" and "Cancel".

When **Partial Variance** is entered on the Segment Variance screen in the Source, Type, or Increment Type field, a default value should be included on the Source Key Variances screen to define the ultimate segment for all of the sources or types which do not cause variance in rates and rules. Select **Partial Variance**, click **OK**, and press **F4**.

With the cursor on the partial variance item press **F2** to set the Key Selection to the default value.

Segment ID U220051227 Segment Type U2

No	Key Definition	Key Selection
1	Source	***** Default *****
2	Type	***** Default *****
3	Increment Type	***** Default *****

Set Default
Partial Variance
Process
OK
Cancel

*****Default***** is displayed in the Key Selection field for the item designated as partial variance.

The default value is viewed and set up from the Segment Variance screen. To display the values, press **F5** from the item with partial variance on the Segment Variance screen. Established values

are displayed on the Setup Partial Variance Usage screen, but if no values have been set up, the message *No Partial Variance Usage Has Been Setup* is displayed.

Segment Variance Setup

Segment ID U220051227 Segment Type U2

No	Key Definition	Key Selection
1	Source	XXXXX Default XXXXX
2	Type	
3	Increment Type	

Source Variance Selection List

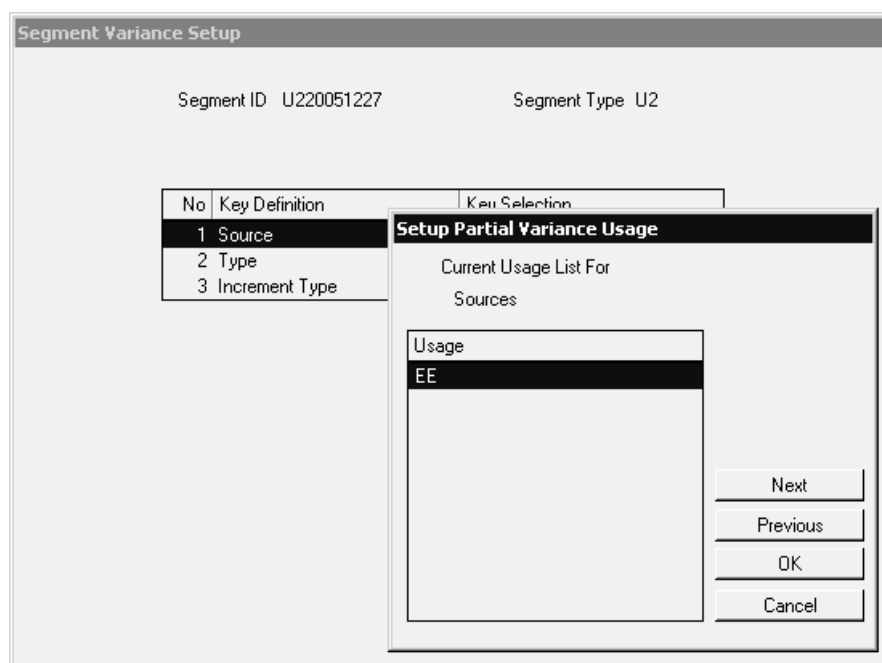
Sources

- EE
- ER

Next
Previous
OK
Cancel

Complete the following steps to set up default partial variance values.

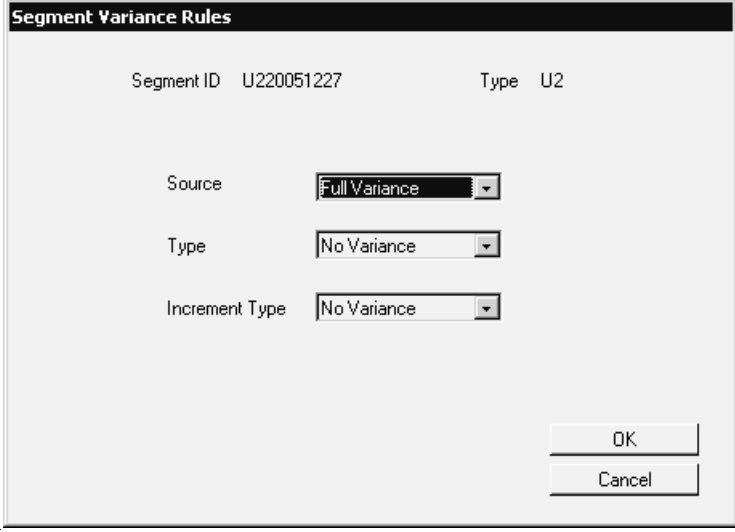
1. From the Setup Partial Variance Usage screen press **F8**.
2. The Source Variance Selection List is displayed. Select a source from the list.
3. The Setup Partial Variance Usage screen is displayed with the selected source listed.



4. Repeat steps 1 through 3 until all desired sources have been added to the Setup Partial Variance Usage screen.
5. Click **Cancel**.

Full Variances

Completing the SG Segment setup for coverages with one or more Key Selections on the Source Key Variance screen set to **Full Variance** requires additional setup. An ultimate segment must be provided for every valid combination of variances.

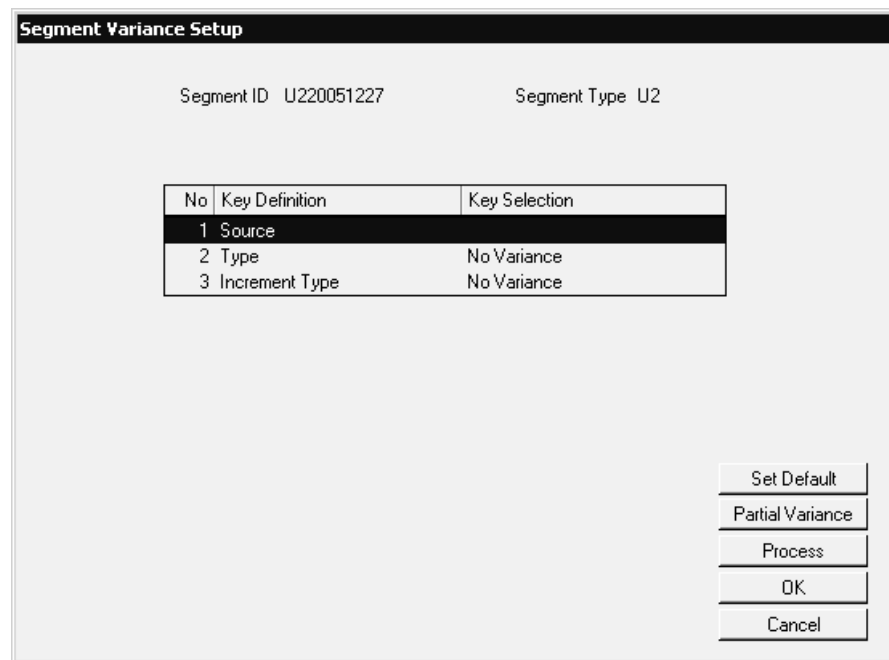


The image shows a dialog box titled "Segment Variance Rules". It contains the following fields and controls:

- Segment ID: U220051227
- Type: U2
- Source: Full Variance (dropdown menu)
- Type: No Variance (dropdown menu)
- Increment Type: No Variance (dropdown menu)
- OK button
- Cancel button

Complete the following steps to create the SG Segment setup for a coverage a lower level segment set to **Full Variance**.

1. From the Segment Variances screen press **F4**. The Source Key Variances screen is displayed. The Source Key Selection field is blank.



The image shows a software window titled "Segment Variance Setup". At the top, it displays "Segment ID U220051227" and "Segment Type U2". Below this is a table with three columns: "No", "Key Definition", and "Key Selection". The table contains three rows: "1 Source", "2 Type", and "3 Increment Type". The "Key Selection" column for "2 Type" and "3 Increment Type" is set to "No Variance". At the bottom right of the window, there are five buttons: "Set Default", "Partial Variance", "Process", "OK", and "Cancel".

No	Key Definition	Key Selection
1	Source	
2	Type	No Variance
3	Increment Type	No Variance

Buttons: Set Default, Partial Variance, Process, OK, Cancel

2. Press **Enter** to display the valid sources.

Segment Variance Setup

Segment ID U220051227 Segment Type U2

No	Key Definition	Key Selection
1	Source	
2	Type	
3	Increment Type	

Source Variance Selection List

Sources

EE

ER

Next

Previous

OK

Cancel

3. Select an option. The Source Key Variance screen is displayed with the option selected.

4. Press **F4**. The Source Rules Segment ID screen is displayed with the message *Source Rules Record Not Found - F8 to Add*.

Segment Variance Setup

Segment ID U220051227 Segment Type U2

No	Key Definition	Key Selection
1	Source	EE
2	Type	No Variance
3	Increment Type	No Variance

Source Rules Segment ID

Segment ID Override

For Segment Type U2

OK
Cancel

Set Default
Partial Variance
Process
OK
Cancel

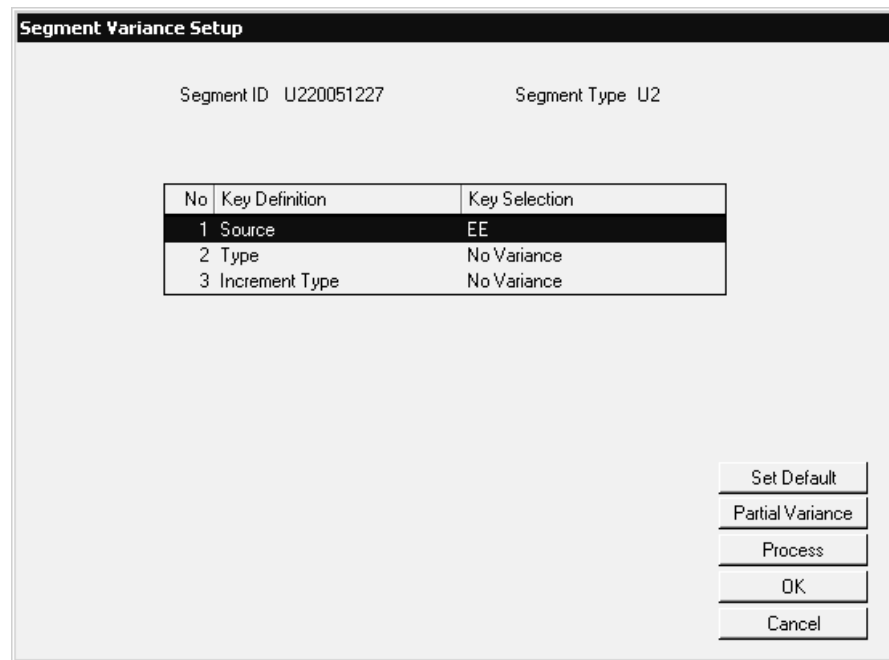
5. Press **F8**. Type the desired user defined Segment ID in the Segment ID field and click **OK**.

6. Press **F4**. The appropriate Segment screen is displayed.

Enter Premium Collection Expenses Criteria - Percentages									
Segment ID	UL0121 >>			Select Period	0				
Type	U2			Ultimate ID					
Constant Rate	2.00%			Vary By UWCLS	No				
Key Modifier				Sum Rates For Each Insured	No				
Rate Type									
Rate Basis	Male With Setback								
Setback Years	0								
Banding Rule									
Banding Method	Specified Amount								
Band Limits Vary	No			If Yes, BD Segment ID					
	999999999	0	0	0	0	0	0	0	
Maximum Load	0			Load Annually Capped By Target Premium					
Premium Amount Excluded from Load	\$0.00			Number of Years For Cap (0=Nonstop)	0				
Calculation Method									
If Banded By Total Premium, Incorporate Processed Premium For Entire Policy									
Add Premium Tax Rate To Load in: Guideline Calc				Reserve Calc					
Rates Band Limits OK Cancel									

7. Complete all the applicable fields on the segment screen and click **OK**.
8. Click **Cancel** two times to display the Source Key Variances screen.

9. Press **Enter** to display the valid source codes and select an option.



The image shows a 'Segment Variance Setup' dialog box. At the top, it displays 'Segment ID U220051227' and 'Segment Type U2'. Below this is a table with three columns: 'No', 'Key Definition', and 'Key Selection'. The table contains three rows: '1 Source' with 'EE' in the selection column, '2 Type' with 'No Variance', and '3 Increment Type' with 'No Variance'. The first row is highlighted. At the bottom right, there are five buttons: 'Set Default', 'Partial Variance', 'Process', 'OK', and 'Cancel'.

No	Key Definition	Key Selection
1	Source	EE
2	Type	No Variance
3	Increment Type	No Variance

Buttons: Set Default, Partial Variance, Process, OK, Cancel

10. Press **F4** to display the Source Rules Segment ID screen.

11. Press **F8**. Type the desired Segment ID in the Segment ID field and click **OK**.

Segment Variance Setup

Segment ID U220051227 Segment Type U2

No	Key Definition	Key Selection
1	Source	ER
2	Type	No Variance
3	Increment Type	No Variance

Source Rules Segment ID

Segment ID Override >>

For Segment Type U2

OK Cancel

Set Default
Partial Variance
Process
OK
Cancel

12. Press **F4** to display the lower level segment screen.

Enter Premium Collection Expenses Criteria - Percentages

Segment ID >> Select Period

Type U2 Ultimate ID

Constant Rate Vary By UWCLS

Key Modifier Sum Rates For Each Insured

Rate Type

Rate Basis

Setback Years

Banding Rule

Banding Method

Band Limits Vary If Yes, BD Segment ID

999999999 0 0 0 0 0 0

Maximum Load Load Annually Capped By Target Premium

Premium Amount Excluded from Load Number of Years For Cap (0=Nonstop)

Calculation Method

If Banded By Total Premium, Incorporate Processed Premium For Entire Policy

Add Premium Tax Rate To Load in: Guideline Calc Reserve Calc

Rates
Band Limits
OK
Cancel

13. Complete the required fields on the lower level segment and click **OK**.
14. Click **Cancel** to return to the Source Key Variances screen. Notice that the Key Selection field for Source is still ER.

Segment ID U220051227 Segment Type U2

No	Key Definition	Key Selection
1	Source	ER
2	Type	No Variance
3	Increment Type	No Variance

Set Default
Partial Variance
Process
OK
Cancel

15. Click **Cancel** on each screen displayed until the SG Segment screen is displayed.

Segment Type	Segment ID	
TS	No	
U2	Yes	UL1
CC	No	
WD	No	
U6	No	
UL	No	
DB	No	
XI	No	

16. Press **F4** to display the Source Era Definition screen.
17. Press **F4**. The Segment Variance Rules screen is displayed.

18. Press **F4**. The Segment Variance Setup screen is displayed.

No	Key Definition	Key Selection
1	Source	EE
2	Type	No Variance
3	Increment Type	No Variance

Buttons: Set Default, Partial Variance, Process, OK, Cancel

NOTE

Although ultimate segments may be set up for two sources, the Source Key Selection field is blank. Whether creating, updating, or just viewing this screen or the lower level segment attached, you must indicate which Key Selection value to display for a source or type set to **Full Variances**. Press **Enter** to display the valid choices.

The process of setting up this segment is essentially the same for a coverage with more than one source or type set to **Full Variance**.

For example, consider a coverage with premium load rates and rules that vary based on both the premium source and type. Further, assume there are 2 valid sources and 5 valid types. This requires setting up 10 ultimate U2 Segments as listed below.

1. One with values for Source 1 and Type 1
2. One with values for Source 1 and Type 2
3. One with values for Source 1 and Type 3
4. One with values for Source 1 and Type 4
5. One with values for Source 1 and Type 5
6. One with values for Source 2 and Type 1
7. One with values for Source 2 and Type 2
8. One with values for Source 2 and Type 3
9. One with values for Source 2 and Type 4
10. One with values for Source 2 and Type 5

The process is the same as the one described above for the lower level segment, but the steps are repeated for ten ultimate segments, not two.

6.245 SH—Shadow Benefit ID Segment

The SH—Shadow Benefit ID Segment is used to identify up to nine coverage IDs and assign each a number from 1 to 9. The base benefit is always shadow benefit 0. The numbers assigned to these coverage IDs are used on the SU—Shadow Benefit Use Segment ID Segment and SY—Shadow Benefit Edit Segment. These coverage IDs must have the Allow As Shadow Benefit field on the coverage record set to **Yes**.

The product's shadow benefits must be defined on the SH Segment in the same order as they are attached to the product. For example, assume VANN111 is the second component for a product and VRANN202 is the third component. The VANN111 coverage must be input as shadow benefit 1 and the VRANN202 coverage must be input as shadow benefit 2 on the SH Segment.

Because shadow funds are used to define values for specific events and processes in LifePRO®, the SH Segment and the RW—Minimum Contract Value Segment are mutually exclusive.

Shadow Benefits	Coverage ID
Shadow Benefit 1	>>
Shadow Benefit 2	>>
Shadow Benefit 3	>>
Shadow Benefit 4	>>
Shadow Benefit 5	>>
Shadow Benefit 6	>>
Shadow Benefit 7	>>
Shadow Benefit 8	>>
Shadow Benefit 9	>>

The following table contains the definitions for the fields on the SH Segment.

Field	Description
Shadow Benefits	There may be up to nine shadow benefits defined for a product. Each shadow benefit is identified by a number from 1 to 9. The base benefit is identified as shadow benefit 0. On the SU—Shadow Benefit Use Segment ID Segment and the SY—Shadow Benefit Edit Segment, reference is made to the shadow coverages based on these assigned shadow benefit numbers.
Coverage ID	A coverage ID is a ten character alphanumeric code identifying a specific benefit. Select the coverage ID for each shadow benefit defined for the product. The Allow As Shadow Coverage field on the Coverage Record must be set to Yes for each shadow benefit. The coverage IDs are defined on this segment in the same order as they are attached to the product as SB—Shadow Benefit components.

6.246 SL—Full Surrender Load Segment

The SL—Full Surrender Load Segment directs *LifePRO*® to the full surrender load rates and describes rules for the application of that rate.

Rate Type Segment	
Segment ID	UL1 >>
Segment Type	SL
Select Period	Duration 0
Ultimate ID	
Constant Rate	0.000000 (Added to File Rate if Declared)
Rate Type	Duration Only
Type Modifier	SL Rates Vary by Underwriting Class No
Mult Insured Access	External
Rate Basis	Male With Setback Years of 0
Banding Method	Not Banded
Banding Rule	Traditional
Upper Band Limits	0 0 0 0 0 0 0
Rates Coded As	Actual Amount
	Not Applicable
Change Frequency	36
Mode Rules Rates Next OK Cancel	

To access the SL Segment complete the following steps.

1. From the Coverage Record click **Segments**. The Segment List is displayed.
2. Press **F10**.
3. Select **SR—Full Surrender Segment** and click **Select**. The SR—Full Surrender Segment is displayed.
4. Select **SL—Full Surrender Load**, input the segment ID, and click >>.

Fields Unique to this Segment

Refer to Section 12, Chapter 3—Premiums—Upper Portion of Screen Field Definitions on page 12-17 in this book for a description of the fields in the upper portion of the screen.

Field	Description
Banding Method	X—Not Banded F—Fund Value The band is based on the total fund value. If this segment is at a fund level, then it is banded by the individual fund value, not total in the policy. N—NAR If this fund is on a UL product, the banding is by the net amount of risk in the entire policy. Y—YTD Premium O—Original Specified Amount If this option is selected, the original specified amount at issue determines the band number. P—Premium Amount L—Specified Amt + Prev Layers (for SL Only) The band is based on the current specified amount and any previous specified amount layers. For example, assume the SL—Full Surrender Load Segment contains rates for three bands and the Banding Method field is set to Specified Amt + Prev Layers (For SL Only). Also assume the Upper Band Limits fields are completed as shown below. Band 1—100,000 Band 2—250,000 Band 3—999,999 A policy is issued with an original specified amount of \$75,000. Since the specified amount is less than \$100,000, the band 1 rates are used when determining the surrender charges at issue. Then, assume that a specified amount increase is processed in the amount of \$50,000. The total of the specified amounts for all layers on the policy is used when determining the band to use for the new layer (the increase). Since the specified amount increase added to the base amount is \$125,000, the rates for band 2 are used when determining the surrender charges for the band 2 portion of the specified amount.

Field	Description
Banding Method (continued)	S—Current Specified Amount If this option is selected, the system uses the current specified amount for each layer to compute the band number. V—Fund Value per Fund (FV Benefit) The banding limits are applied to the fund value of the fund instead of the fund value of the policy.
Banding Rule	T—Traditional All the value used is applied to get one and only one band number. R—Ratcheted This option is not available for this segment. A—Accumulative
Rate Coded As	A—Actual Amount P—Percentage (1% Entered As 1.00) Interpret the rate found as a percentage, (scale it by multiplying by .01).
Change Frequency	This field is not applicable for this segment.

Click **Next** to define the calculation code and the caps on the surrender charges.

SL Segment - Screen 2

Calculation Code

Full Load Computed on Remaining Premium
(Only available on Alt Surr Method 1 and 4)

Variable Surrender Method 3 Flags:

Surrender Charges Based on Premium Duration

Caps On Surrender Charge Information

Constant

Percent of 1st Year Premium

Use CM Definition of 1st Year

Per \$1000 of Specified Amount

Planned Premium at Issue

Current Target Premium

Use Target including riders

Cap to Basis less FY Target/Gap

Surrender Charge Minimum Information

If SL or Target is less than Minimum,
use cap on Surrender Charge

Current Minimum Premium

Use Minimum including riders

Previous

OK

Cancel

The following table contains definitions for the fields on the second screen of the SL Segment.

Field	Description
Calculation Code	S—Per \$1000 Of Specified Amount Multiply the rate found by the number of units of specified amount. F—Based On Fund Value Multiply the rate found by the fund value. B—Based On Fund Basis Multiply the rate found by the basis in the contract (premiums less withdrawals to date). P—Constant Rate Per Policy Do not multiply the rate, simply use it as a constant, (for example, if 25.00 is coded and is interpreted as an amount A, then the surrender load is assumed to be 25.00).
Full Load Computed on Remaining Premium (Only available on Alt Surr Method 1 and 4)	This field determines if the surrender charge is based on the premiums remaining in the policy when the contract is in a loss situation (the fund value is less than the premiums minus withdrawals). This field only applies when the Alternative Surrender Method Number field is set to Variable Surrender Method 1 or Alternate Surrender Method 4 on the SR—Full Surrender Segment. N—No If the contract is in a loss situation, the surrender charge is based on the fund value. This is the default. Y—Yes If the contract is in a loss situation, the surrender charge is based on the premiums remaining in the contract.
Surrender Charges Based on Premium Duration	This field determines how surrender charges are accessed and applied. This field is only used when the Alternative Surrender Method Number field is set to Variable Surrender Method 3. Y—Yes Surrender charges are accessed based on premium duration. Premiums are withdrawn on a FIFO basis. N—No Surrender charges are accessed based on policy duration. This is the default.
Caps on Surrender Charge Information	
Constant	Input a value, not zero, in this field if the system is to first compute a surrender load, and then cap it. For example, if the surrender load is 10% of the fund, but is not to exceed 10,000, input 10,000 in this field.
Percent of 1st Year Premium	Input a percentage in this field if the total premium paid by the end of the policy year is to cap the surrender load. For example, assume 150% is input in this field and the surrender load is 10% of the fund. Also assume the total first year premium paid is 1,000. If this calculation yields a surrender charge of 2,000, then the cap is 150% of 1000, or 1500. Thus, 1500 is the surrender charge.

Field	Description
Use CM Definition of 1st Year	This field defines if surrender charges are based on the same time period as first year commissions, as defined on the CM—Commission Class Rules Segment. Y—Yes Surrender charges are based on the same time period. N—No Surrender charges are based on a fixed 12 month period. This is the default.
Per \$1000 of Specified Amount	The value computed via the calculation code can be capped as an amount per \$1000 of specified amount. The system takes the final surrender load value as it was computed, divides by the number of units of specified amount, and compares to this cap. The smaller value is taken, multiplied by the number of units, and this becomes the surrender load.
Planned Premium at Issue	If the client plans to pay some premium then that planned amount becomes the cap. Y—Yes N—No
Current Target Premium	For ULs, the target or conscionable premium is often set as the surrender load. Y—Yes The target premium is for the base benefit only, not the total target for the entire contract (it excludes riders). N—No
Use Target including riders	Y—Yes The target from the Commission Control Record is the cap for the computed surrender load. N—No
Cap to Basis less FY Target/ Gap	Y—Yes N—No

Field	Description
Surrender Charge Minimum Information	
If SL or Target is less than Minimum, use cap on Surrender Charge	This field indicates if the surrender load or target premium is the minimum surrender charge even if either of these amounts is less than minimum premium. S—Surrender Load If the surrender load calculated using the calculation code on the SL—Full Surrender Load Segment is less than the target or planned premium, the surrender load is the minimum surrender charge that is applied to a policy. T—Target Premium If the target premium is less than the surrender load and planned premium, the target premium is the minimum surrender charge that is applied to a policy. B—Both The lesser of the surrender load calculated using the calculation code on the SL—Full Surrender Load Segment or the target premium amount is the minimum surrender charge that is applied to a policy. N—None The minimum premium is the minimum surrender charge that is applied to a policy, assuming that the Current Minimum Premium field is set to Yes.
Current Minimum Premium	Y—Yes The computed surrender charge is at least the base benefit minimum premium. N—No
Use Minimum including riders	Y—Yes The computed surrender charge is at least equal to the contract minimum premium currently, not just the minimum on the base benefit. N—No

6.247 SQ—Systematic Request Rules Segment

The SQ—Systematic Request Rules Segment is used to define the parameters for transactions processed using systematic requests, such as automatic portfolio rebalancing, dollar cost averaging, and interest sweeps.

Systematic Request Rules

Segment ID >> Segment Type

To Initiate Request, Fund Value Must Not Be Less Than Requested Amount?

Int. Sweeps, Dollar Cost Average and Portfolio Rebalancing - mutually exclusive?

Perform Portfolio Rebalancing On a Net Basis?

Allow Only One Request Per Policy?

Systematic Withdrawal

Interest Sweeps

Portfolio Rebalancing

Include Fixed Funds?

Portfolio Rebalancing

As Target Funds For Dollar Cost Averaging

Systematic Requests

Single Requests

When Withdrawal Request From Fund > Fund Value

When Transfer Request from Fund > Fund Value

OK
Cancel

The following table contains definitions for the fields on the SQ Segment.

Field	Description
To Initiate Request, Fund Value Must Not Be Less Than Requested Amount	This field determines if the fund value can be less than the requested amount. Y—Yes An error message is displayed on the Systematic Requests screen if the amount requested is greater than the amount available in the fund. N—No When initiating the request, the fund value can be less than the amount specified. This is the default.

Field	Description
Int. Sweeps, Dollar Cost Average and Portfolio Rebalancing - mutually exclusive	This field determines if more than one interest sweep, dollar cost averaging, or portfolio rebalancing systematic request can be active at the same time. Y—Yes Only one type of these three systematic requests can be active at one time. When a systematic request is active for one of these three types, another systematic request of any of these types cannot be added. N—No Multiple systematic requests can be active at one time. This is the default.
Perform Portfolio Rebalancing On a Net Basis	This field determines if the amount transferred out of a fund during a portfolio rebalancing transaction is performed as a net amount. Y—Yes The amount transferred out of the fund during the portfolio rebalancing transaction is limited to the amount necessary to rebalance the portfolio based on the percentages selected. N—No During the portfolio rebalancing transaction, the full value of the fund is transferred out of the fund. The amount transferred back into the fund is based on the percentages selected. This is the default.
Allow Only One Request Per Policy—Systematic Withdrawal	This field determines if more than one active systematic withdrawal, including required minimum distribution, substantially equal payments, and interest withdrawals, can exist for a policy. This does not include window withdrawals. Y—Yes Only one active systematic withdrawal can be attached to the policy. When a systematic withdrawal is active, the other systematic withdrawal types on the Systematic Requests screen are not available for selection. N—No More than one active systematic withdrawal request can be attached to a policy. This is the default.
Allow Only One Request Per Policy—Interest Sweeps	This field determines if more than one interest sweep transaction request can exist for a policy. Y—Yes Only one active interest sweep systematic request can be attached to the policy. When a systematic request is active for an interest sweep, another interest sweep systematic request cannot be added when adding a new systematic request. N—No More than one active interest sweep systematic request can be attached to a policy. This is the default.

Field	Description
Allow Only One Request Per Policy—Portfolio Rebalancing	This field determines if more than one active portfolio rebalancing transaction request can exist for a policy. Y—Yes Only one active portfolio rebalancing systematic request can be attached to a policy. N—No More than one active portfolio rebalancing systematic request can be attached to a policy. This is the default.
Include Fixed Funds—Portfolio Rebalancing	This field determines if fixed funds can be included when the portfolio rebalancing transaction is processed. Y—Yes Fixed funds are included in the portfolio rebalancing transaction. N—No Fixed funds are not included in the portfolio rebalancing transaction. The fixed funds displayed on the Systematic Requests Funds screen are protected so money cannot be allocated to them. This is the default. NOTE If this field is set to Yes, a specific fixed fund can be excluded from the portfolio rebalancing process by setting the Minimum Fund Value Required to Initiate Request field on the OL—Transfer Out Limits Segment to 999999999 for automatic portfolio rebalancing.
Include Fixed Funds—As Target Funds For Dollar Cost Averaging	This field determines if money can be transferred into fixed funds during a dollar cost averaging transaction. Y—Yes Money can be transferred into a fixed fund during a dollar cost averaging transaction. This is the default. N—No Money cannot be transferred into a fixed fund during a dollar cost averaging transaction. The fixed funds displayed on the Systematic Requests Funds screen are protected so money cannot be allocated to them. NOTE If this field is set to Yes, a specified fund can be excluded from the dollar cost averaging process by setting the Minimum Fund Value Required to Initiate Request field on the OL—Transfer Out Limits Segment to 999999999 for dollar cost averaging.
When Withdrawal Request From Fund > Fund Value	This field determines if a withdrawal is processed when the requested withdrawal amount is larger than the fund value of the fund requested. There are two values selected for this field, one for systematic requests and one for single requests. S—Skip Fund and Continue The withdrawal is processed for the amount available in the fund. This is the default. T—Terminate Entire Process The withdrawal is not processed.

Field	Description
When Transfer Request from Fund > Fund Value	This field determines if a transfer is processed when the requested transfer amount is greater than the fund value for the fund requested. There are two values selected for this field, one for systematic requests and one for single requests. S—Skip Fund and Continue The transfer is processed for the amount available in the fund. This is the default. T—Terminate Entire Process The transfer is not processed and an ENS message is generated.

6.248 SR—Full Surrender Segment

The SR—Full Surrender Segment only applies to line of business L—Traditional if the coverage is designated as an allocated coverage. For allocated UL coverages, traditional riders may have funds attached. If so, input the appropriate values to drive the surrender logic on these funds. This segment points the system to up to eight segments which describe the rules and point to the rates for full surrender logic.

Segment Screen - SR (1st)					
Segment ID		Segment Type		SR	
Type	Description	Y/N	Segment ID	Issue Age	Dur
SC	Full Surrender Controls	No			
SA	Full Surrender Amort	No			
SL	Full Surrender Load	Yes	7-1		
BO	Bailout Provision	No			
SF	Free Surrender	Yes	7-1		
MA	Market Value Adjust	No			
EW	Early Withdrawals	No			
A4	Amortization Method	No			
Compute values on Anniversary basis?		No			
Alternative Surrender Method Number		Alternate Surrender Method 4		Earnings Taken	First
Use Adjusted Target For Load?				NF law cap?	No
Surrender Charge Monthly Offset		0	(No Offset)		
Decrement Duration by Periods of Non-Coverage?		No			
Use Conversion History surrender load on Base Only?		No			
For Full Surr Load Use			Of	None	

Segments Accessed from the SR Segment

SC—Full Surrender Controls	The SC Segment is purely a rules segment giving rules for general items on surrender. If set to Yes , input the SC Segment ID. This segment is accessible by clicking >>.
SA—Full Surrender Amort	The SA Segment points to the amortization rates for UL surrender logic. If set to Yes , input the SA Segment ID. This segment is accessible by clicking >>.
SL—Full Surrender Load	The SL Segment points to the actual surrender load rates and rules on how to compute the surrender charges. It has been documented in this section. If set to Yes , input the SL Segment ID. This segment is accessible by clicking >>.
BO—Bailout Provision	The BO Segment defines bailout rules and rates. Bailout essentially tells the system that if the rate currently being paid has deviated a prescribed amount from the given rate (original, specified or last anniversary, for example), then surrender loads are waived. If set to Yes , input the BO Segment ID. This segment is accessible by clicking >>.
SF—Free Surrender	The SF Segment points to rates and rules for the calculation of excluded or free amounts on a full surrender. If set to Yes , input the SF Segment ID. This segment is accessible by clicking >>.
MA—Market Value Adjust	This segment points to logic which adjusts surrender charges based on the current interest rate or the original interest rate. If set to Yes , input the MA Segment ID. This segment is accessible by clicking >>.
EW—Early Withdrawals	This segment controls edits on the tax distribution code during surrender processing. If set to Yes , input the EW Segment ID. This segment is accessible by clicking >>.
A4—Amortization Method	This segment stores the rate used when the amortization life expectancy method is selected for a policy with substantially equal payments (SEP).

The following table contains definitions for the fields on the second screen of the SR Segment.

Field	Description
Y/N	This field indicates if the segment is used to define rules or rates for surrenders. Y—Yes This segment is used to define rules or rates for surrenders. The Segment ID is input in the next field. N—No This segment is not used to define rules or rates for surrenders. D—Def Chrgs The rates and rules defined on the DH—Deferred Charges Account Segment are used instead of the rates and rules defined on the SL—Full Surrender Load Segment to determine the surrender charges for a full surrender. This option is only available for the SL Segment.
Segment ID	The ID of the segment used is input in this field. Position the cursor in this field and press F4 to access the associated segment.
Issue Age	If an SP layer exists, input I—Increase if the system uses the issue age of the increase layer to access SA/SL rates, or P—Parent Benefit, if the system uses the parent (base) issue age. Assume the following setup for the example below. Issue age of layer—30 SL rate at issue age—10.00/1000 Issue age of increase—33 SL rate at age 33—13.00/1000 If the Issue Age field for SL's is coded as Increase, then the system computes surrender charges for each layer (base and the SP increase). The base uses 10.00/1000 and the layer uses 13.00 per 1000. If the Issue Age field for SL's is coded as Parent Benefit, both layers use 13.00 per 1000.

Field	Description
Dur	If an SP layer exists, input I—Increase if the system uses the duration age of the increase layer to access SA/SL rates, or P—Parent Benefit, if the system uses the parent (base) issue age. Assume the following setup for the example below. Issue age of layer—30 SL rate at issue age—10.00/1000 Policy duration of a later increase—4 Issue age of increase—33 SL rate at age 33—13.00/1000 Assume at the time the increase occurs, the base is in duration 4 and the layer is in duration 1. If the Dur field for SL's is coded as Increase, then the system computes surrender charges for each layer (base and the SP increase). The base uses duration 4 in its calculation, and the SP layer uses duration 1 in its calculation. If the Dur field for SL's is coded as Parent Benefit, both layers use duration 4 in the calculations.
Compute values on Anniversary basis	Y—Yes When an increase layer is added, the earlier of the most recent policy anniversary or the issue date of the increase is used for retrieving rates when calculating the surrender loads. N—No The surrender loads are not calculated using the anniversary basis. This is the default.

Field	Description
Alternative Surrender Method Number	This field is used to determine the surrender charge and the free withdrawal calculation method. It is also used to determine when the surrender charge and the market value adjustment factor are applied. 0—Standard Surrender Method This is the default. The surrender charge and the market value adjustment factor are applied as described below. This field must be set to 0—Standard Surrender Method when the surrender charge on free withdrawals is recaptured (Recapture Surrender Charges on Free Withdrawals in the Last 12 months field on the SC Segment) during a full surrender and when the MVA is applied prior to the surrender charge. ● Partial Surrenders—The portion of the partial surrender that is free is processed without surrender charges and the market value adjustment factor is not applied. If the partial surrender exceeds the free withdrawal amount, the surrender charge and market value adjustment factor is applied to the excess amount. ● Full Surrenders—The free withdrawal portion on the surrender is processed without surrender charges. The surrender charge is applied to the remaining surrender value. The market value adjustment factor is applied to the entire surrender amount, including the free withdrawal portion. 1—Variable Surrender Method 1 This method is unique to one particular client. Fund taxes cannot be set up on the State Control File. Fund tax is calculated on the gross fund value. This method includes premium based surrender charges and earnings plus a percentage of premiums free. 2—Alternate Surrender Method 2 This method is used for a particular client in conjunction with the BA—Universal Methodology Segment. 3—Variable Surrender Method 3 This method allows for premium based surrender charges on a FIFO basis. The surrender charge cap (assessed only on a maximum of premiums paid) is also included in this surrender method. 4—Alternate Surrender Method 4 This method calculates surrender charges based on purchase payments in first in, first out (FIFO) order. The earnings may be withdrawn prior to purchase payments or after purchase payments are depleted, depending upon how the Earnings Taken field is set up.

Field	Description
Earnings Taken	This field determines the point at which the earnings on a policy are withdrawn. This field is only available if the Alternative Surrender Method Number field is set to Alternate Surrender Method 4. F—First The earnings on the policy are withdrawn prior to purchase payments. This is the default. L—Last The earnings on a policy are withdrawn after purchase payments are depleted.
Use Adjusted Target For Load	This field defines if an adjusted target premium calculation or rates from the SL—Full Surrender Load Segment are used in calculating the initial surrender charge on a policy. Y—Yes Instead of the system using rates from the SL Segment to calculate the initial surrender charge, an adjusted target premium calculation is used. N—No The system uses rates from the SL—Segment to calculate the initial surrender charge.
NF law cap	This field is used in conjunction with the Use 150% Target for Full Surrender Load field and was designed for a specific client. Y—Yes The system calculates the initial surrender charge as 150% of the target premium per 1000, compares it to the Standard Nonforfeiture Law, and uses the lesser of the two numbers. The 150% Target for Full Surr Load field must be set to Yes if using the NF Law Cap field. The Standard Nonforfeiture Law Calculation is shown below. $1.25 * \min [.04 * ADB, p^{NL}] + .01 * ADB - p^{NL} * .01 * 20 / 19$ where: min - Minimum of ADB -Average Death Benefit for years 1 through 10 assumed to always be level. p^{NL} - Net Level Premium = A_X / a_X using Fraizierized q_{x+ty+t} and quaranteed interest. A_X - Net Single Premium using Fraizierized q_{x+ty+t} and quaranteed interest. a_X - Annuity factor using Fraizierized q_{x+ty+t} and quaranteed interest. N—Not Applicable
Surrender Charge Monthly Offset	If the surrender charges change durations at a point other than anniversary, input the number of months before (+) or after (-) this is to happen. For example, if you wish to use the next year's surrender loads starting in the twelfth month of a policy year, input -1 here.

Field	Description
Decrement Duration by Periods of Non-Coverage	If a policy lapses and, in x months is reinstated, selecting Y—Yes computes the policy month the policy is currently in, and subtracts the total of all periods of non-coverage prior to computing surrender charges.
Use Conversion History surrender load on Base Only	This field indicates if the surrender charges on the Conversion History Record are used for all benefits on a policy or for the base benefit only. Y—Yes The surrender charges on the Conversion History Record are used for the base benefit and the surrender charges on the SC—Full Surrender Load Segment are used for the specified amount increase benefits. N—No The surrender charges on the Conversion History Record are used for the base benefit and the specified amount increase benefits. This is the default.
For Full Surr Load Use _ Of	This field defines the surrender charge for a policy as a percentage of the planned premium or target premium. When this field is used, rates defined on the SL—Full Surrender Load Segment are overridden. The first portion of the field is used to define the percentage used to compute a surrender charge for the base benefit or specified amount increase layer. The second portion of the field defines the type of premium used in the calculation. N—None P—Planned T—Target

6.249 SS—Surcharge Premium

NOTE

Universal life only

The SS—Surcharge Premium Segment is applicable to the base coverage on universal life products only. It allows the designation of a smoker surcharge. The surcharge is added to other deposit expenses.

A keyword, SSANNPRM, is available in the Policy Page and Correspondence Subsystems to support the smoker surcharge premium. It is not modalized.

Premium Segment File	
Segment ID	FPDA >>
Segment Type	SS
Key Modifier	SS
Do Values Vary By	No
Are Values Banded	No
Underwriting Class	No
Female Rate Basis	Male With Setback
Setback Years	0
Rate Type	Attained Age
Rate Rounding Rule	Truncate After Cents
Band Upper Limits	
9999999	0 0 0 0 0 0
Premium Select Period	Premium Change Frequency
Premium Mode Rule ID	
Coverage ID Of Ultimate Rates	
Premium Rate Calculation Rule	
Extended Key Definition Used	No
Mode Rules	
Rates	
Extended Key	
Table Extra	
OK	
Cancel	

6.250 ST—Substandard Table Ratings

The ST—Substandard Table Ratings Segment allows for an additional rating or a different rating substitution for reinsurance calculations as opposed to the table rating values defined in on the Define Table Ratings option in New Business. Up to 40 tables can be defined.

Table	Percent	Table	Percent	Table	Percent	Table	Percent
01	100.00%	11	100.00%	21	100.00%	31	100.00%
02	100.00%	12	100.00%	22	100.00%	32	100.00%
03	100.00%	13	100.00%	23	100.00%	33	100.00%
04	100.00%	14	100.00%	24	100.00%	34	100.00%
05	100.00%	15	100.00%	25	100.00%	35	100.00%
06	100.00%	16	100.00%	26	100.00%	36	100.00%
07	100.00%	17	100.00%	27	100.00%	37	100.00%
08	100.00%	18	100.00%	28	100.00%	38	100.00%
09	100.00%	19	100.00%	29	100.00%	39	100.00%
10	100.00%	20	100.00%	30	100.00%	40	100.00%

The ST Segment is used in conjunction with the Substd Rein Premium ID, Replace Rated Premium, and Substandard Expense ID2 fields on the treaty file.

If the Replace Rated Premium field is **No** on the treaty file, the calculation shown below is used.

Std Calc + Substd Calc + ST Substd Calc

Std Calc = face x premium/M x rating % on SL

ST Substd Calc = face x Substd Rein premium ID premium/M x rating % from ST segment.

If the Replace Rated Premium field is **Yes** on the treaty file, the calculation shown below is used.

Std Calc + ST Substd Calc

6.251 SU—Shadow Benefit Use Segment

The SU—Shadow Benefit Use Segment displays a list of events and processes that are used in LifePRO®. For each event or process, a single shadow benefit, or the greater of two shadow benefits, is defined as the actual or controlling fund. The shadow benefits are referenced by the numbers assigned to their coverage IDs on the SH—Shadow Benefit ID Segment. Shadow benefit 0 refers to the base accumulation value, while shadow benefits 1 through 9 refer to alternate calculation values based on the shadow benefits.

The SU Segment is accessed from the Default field on the SE—Shadow Benefit Use ID Segment.

For required minimum distributions and loans, and for the commissions by fund and policy exhibit processes, a single shadow benefit may be designated as the controlling fund. A comparison of the greater of two shadow benefits is not available.

For the remaining events and processes, either a single shadow benefit may be designated as the controlling fund in the first Shadow Benefit No to Use (0 - 9) field or a comparison of the greater of two shadow benefits defined in both of the Shadow Benefit No to Use (0 - 9) fields may be used to determine the controlling fund. If a comparison is used, the Net/Gross field is used to determine if a comparison is made by comparing the gross values (before surrender charges) or the net values (after surrender charges) of the designated shadow benefits to determine the controlling fund.

After the controlling fund is determined, or if there is only one shadow benefit defined, the Subtract Surrender Charge field is used to indicate if surrender charges are actually deducted

from the controlling shadow benefit for that particular event or process. Thus, the actual deduction of charges is separate from the comparison of the shadow benefits.

Shadow Benefit Use Segment									
Segment ID		KGF							
Segment Type		SU							
	Shadow Benefit No to Use (0-9)	Net/Gross	Subtract Surrender Charge	Impose Return of Premium	Reduce Other Funds	Allow for Free Amount			
Non-terminating Events									
Partial Withdrawal	0	Gross	No		No	No			
Partial Annuitization	0	Gross	No		No	No			
Required Minimum Distribution	0		No		No	No			
Recurring Interest Withdrawals	0	Gross	No		No	No			
Recurring Partial Withdrawals	0	Gross	No		No	No			
Loan	0								
Terminating Events									
Full Surrender	0	Gross	No	No					
Full Annuitization	0	Gross	No	No					
Death of Owner	0	Gross	No	No					
Death of Annuitant	0	Gross	No	No					
Processes									
Commission by Fund	0								
Policy Exhibit	0								
5498 Reporting	0	Gross	No						
							Copy/Clone		
							OK		
							Cancel		

SU Segment—Clone

Complete the following steps to clone an existing SU Segment to create a new SU Segment.

1. From the SU Segment screen, input a new segment ID in the Segment ID field.
2. Click **Copy/Clone**. The Segment Clone Information window is displayed.
3. Input the segment ID of an existing SU Segment or click >> to select the segment ID from a cross reference list.
4. Click **OK**. The new SU Segment is displayed.

The following table contains definitions for the fields on the SU Segment.

Field	Description
Shadow Benefit No to Use (0 - 9)	For each non-terminating event, terminating event, or process, a single shadow benefit or the base benefit may be designated as the controlling accumulation by inputting the number of that benefit in the first field. The numbers for the shadow benefits (1 through 9) are defined on the SH—Shadow Benefit ID Segment, while the base coverage is shadow benefit 0. If there are two fields for an event or process, a comparison is made between two shadow benefits, defined by number (0 - 9). The greater of the two shadow benefits is considered the controlling shadow benefit. During this comparison, either the gross value (before surrender charges) or the net value (after surrender charges) may be compared, depending on the definition of the Net/Gross field for that event or process.
Net/Gross	This field is only available if the controlling shadow benefit for that event or process is determined using a comparison to find the greater of two shadow benefits. This field is not used to determine if the surrender charges are actually deducted from the controlling benefit. N—Net The values of the shadow benefits are compared after surrender charges are deducted. G—Gross The values of the shadow benefits are compared before surrender charges are deducted. This is the default.
Subtract Surrender Charge	After the controlling shadow benefit is determined, or if a single shadow benefit is designated, the actual surrender charges are deducted for an event or process based on the selection in this field. The selection in this field overrides the surrender rules defined for the controlling shadow coverage. Surrender charges may still be overridden during surrender processing, if desired. Y—Yes Deduct the surrender charges from the actual amount. This is the default. If the Surrender Charge field in the Annuities section on the fourth screen of the coverage record is set to No, a surrender charge is not calculated when processing a death claim even if this field is set to Yes. N—No Do not deduct the surrender charges from the actual amount; however, a free amount is not calculated.

Field	Description
Impose Return of Premium	The field is only applicable to terminating events. This field determines if the total gross premiums paid (before deducting taxes) are considered the minimum amount available. Y—Yes If the value of the controlling shadow benefit (after deducting surrender charges if the Subtract Surrender Charges field is set to Yes) is less than the total gross premiums paid, then the total gross premiums paid is considered the minimum amount available. N—No The value of the controlling benefit is used for the terminating event, regardless of whether the value of that benefit is less than the total gross premium paid. This is the default. The selection in this field overrides the selection made in the Return of Principal Guaranteed field on the SC—Full Surrender Controls Segment defined for the controlling shadow coverage.
Reduce Other Funds	This field is only applicable to non-terminating events. On any non-terminating event, only one shadow benefit becomes the controlling benefit in terms of the fund or surrender value to be used. The accumulations for the other shadow benefits may then be similarly reduced to reflect the non-terminating event. This field indicates how the other “spectator” shadow benefits are reduced. N—No The spectator shadow benefits are not reduced. Only the controlling shadow benefit is reduced by the non-terminating event. D—Dollar for Dollar The spectator shadow benefits are reduced by the same dollar amount that is deducted from the controlling shadow benefit. P—Proportional The spectator shadow benefits are reduced by the same percentage that the controlling shadow benefit is reduced.
Allow for Free Amount	This field is only applicable to non-terminating events when the Reduce Other Funds field is set to Proportional. This field determines if the free withdrawal amount, if any, is considered when computing the proportional adjustment to the spectator shadow benefits. Y—Yes Allow for the free amount when computing the proportional adjustment to the spectator benefits. N—No Do not allow for the free amount. This is the default.

6.252 SV—Valid Sources Segment

The SV—Valid Sources Segment is available to define which of the source codes set up in Management Options are valid for a coverage. To access this screen, position the cursor on the SV line on the segment list and press **F4**. The SV Segment screen is displayed.

All of the source codes set up in Management Options are listed on the screen. Click on the checkbox for each of the codes which is valid for this coverage. A check appears in the checkbox. A source code which has a check in its checkbox can be turned off by clicking on the checkbox. Additional sources can be viewed by pressing **Page Down** and **Page Up**.

The PAC Source Default field defines the source of payment to use when PAC premium payments are collected. Only one source can be defined as the default PAC source. However, the default PAC source can be changed on the Policy Miscellaneous Collection Information screen for an individual policy. After the source code is selected as the PAC source default, the PAC Source Default field for the remaining sources cannot be selected.

Click **Cancel** to leave the screen.

Source Code	Valid	PAC Source Default
AA-AA Source	☒	☐
AAB-Rela Repo CE Testing	☐	☐
AAC-Testing Updates	☐	☐
BB-BB Source	☒	☒
EE-Employee	☒	☐
ER-Employer	☒	☐
ERX-Employer Special	☐	☐

NOTE

Product History is not available for this segment.

6.253 SX—Submit Contest Credits

The SX—Submit Contest Credits Segment was developed for one client to be used in a highly specialized extract for external processing. It is not used by any processing logic within *LifePRO*®.

Submit/Paid Business (Contest)																											
Marketing Segment ID	UL1	>>	Segment Type SX																								
Premium Does This Segment Receive Premium Yes Based On CWA/Prem Credit Percent <table border="1"> <thead> <tr> <th>Premium</th> <th>Initial Credit</th> <th></th> <th></th> </tr> </thead> <tbody> <tr> <td>Order (0 - 4)</td> <td>Select (E,L,G)</td> <td></td> <td></td> </tr> <tr> <td>Minimum 0 </td> <td> </td> <td></td> <td></td> </tr> <tr> <td>Target 0 </td> <td> </td> <td></td> <td></td> </tr> <tr> <td>Planned 0 </td> <td> </td> <td></td> <td></td> </tr> <tr> <td>Excess 0 </td> <td>(na)</td> <td></td> <td></td> </tr> </tbody> </table>				Premium	Initial Credit			Order (0 - 4)	Select (E,L,G)			Minimum 0				Target 0				Planned 0				Excess 0	(na)		
Premium	Initial Credit																										
Order (0 - 4)	Select (E,L,G)																										
Minimum 0																											
Target 0																											
Planned 0																											
Excess 0	(na)																										
Volume Does This Segment Receive Volume Based On -		Policy Count <table border="1"> <thead> <tr> <th>Credit %</th> <th>Policy Count</th> <th>Credit Pct</th> </tr> </thead> <tbody> <tr> <td> </td> <td> </td> <td> </td> </tr> </tbody> </table>		Credit %	Policy Count	Credit Pct																					
Credit %	Policy Count	Credit Pct																									
Product Group	Alternate Marketing Credit Segments																										
(Blank defaults to Base)	For Trad Rated Ben		OK Cancel																								
Business Type Primary	For Specified Amt Inc																										
	For Othr Rdr/Ann Rdr																										

6.254 SY—Shadow Benefit Edit Segment

The SY—Shadow Benefit Edit Segment is used to identify the shadow benefit that is used to override the free amount on partial withdrawals, free amount on full surrenders, or the maximum partial withdrawal amount.

For example, assume the greater of shadow benefits 0 and 1 is the controlling shadow benefit accumulation from which a partial withdrawal is taken, as defined on the SU—Shadow Benefit Use Segment. The free withdrawal amount available may be controlled by the definitions on the FW—Free Withdrawal Segment for yet another shadow benefit, such as shadow benefit 0.

Shadow Benefit Edit Segment

Segment ID

FPDA

Select Period

Duration

0

Segment Type

SY

Ultimate ID

Shadow Benefit No. to Use (0-9)

Net/Gross (N/G)

Free Amount on Partial Withdrawals

1

Free Amount on Full Surrenders

1

Maximum Partial Withdrawals

1

Gross

OK

Cancel

The following table contains definitions for the fields on the SY Segment.

Field	Description
Shadow Benefit No. to Use (0 - 9)	For each edit, a single shadow benefit or the base benefit may be designated as the controlling shadow benefit by entering the number of that benefit in the first field. The numbers for the shadow benefits (1 through 9) are defined on the SH—Shadow Benefit ID Segment while the base coverage is shadow benefit 0. The appropriate segment (FW, SF, or WC) is defined for each shadow benefit defined for an edit. If the shadow benefit used for an edit is also a spectator shadow benefit for that event, it may only be reduced dollar for dollar, not proportionally, regardless of the definition of the appropriate Reduce Other Funds field on the SU—Shadow Benefit Use Segment.
Free Amount on Partial Withdrawals	The definitions on the FW—Free Withdrawal Segment of the controlling shadow benefit for this edit are used to determine the free amount available for partial withdrawals, regardless of the actual shadow accumulation from which the withdrawal is taken, based on the definition on the SU—Shadow Benefit Use Segment.
Free Amount on Full Surrenders	The definitions on the SF—Free Surrender Segment of the controlling shadow benefit for this edit are used to determine the free amount available for full surrenders, regardless of the actual shadow accumulation from which the surrender is taken, based on the definition on the SU—Shadow Benefit Use Segment.
Maximum Partial Withdrawals	The definitions on the WC—Withdrawal Controls Segment of the controlling shadow benefit for this edit are used to determine the maximum partial withdrawal amount available. If the value of the actual shadow accumulation from which the partial withdrawal is taken is less than this maximum amount, then the lower actual shadow accumulation is used as the maximum. A comparison is made between two shadow benefits, defined by number (0 through 9). The greater of the two shadow benefits is considered the controlling shadow benefit.
Net/Gross (N/G)	This field is only available if the controlling shadow benefit for that edit is determined using a comparison. N—Net The values of the shadow benefits are compared after surrender charges are deducted. G—Gross The values of the shadow benefits are compared before surrender charges are deducted. This is the default.

6.255 TA—Traditional TAMRA Rules Segment

The TA—Traditional TAMRA Rules Segment is used to define the premiums used in the calculation of the TAMRA premium and TAMRA testing, the amount used in the calculation of the lowest death benefit within the 7-pay window, and processing rules. This segment is used for the base coverage since it defines policy level rules.

NOTE

Material Change transactions start a new 7-Pay Window beginning on the effective date of the transaction and reset the premiums paid used for TAMRA testing to zero. Reduction transactions maintain the exiting 7-Pay Window and TAMRA testing uses premiums paid in the existing window to determine if they exceed the newly calculated TAMRA premium.

Enter Traditional TAMRA Rules	
Segment ID	
Segment Type	TA
7 Pay Premium and TAMRA Test	
Include Premium	Exclude if Premium Ceases within 7 Years
Qualified Additional Benefit(s)	No
Substandard Extra	No
Lowest Death Benefit Calculation	
If PP Rider offsets Target Face Amount for PT Rider, exclude PP Rider from Lowest Death Benefit	No
Include PUA purchased using dividends in the Lowest Death Benefit	No
If Initial Death Benefit is \$10,000 or less, add \$75 to Annual 7-Pay Premium	No
Maturity Age for TAMRA 7 pay Premium	Coverage Record ...
Deemed Maturity Age	0
Next	
OK	
Cancel	

The following table contains definitions for the fields on the first screen of the TA Segment.

Field	Description
Include Premium	This field is used to determine if the substandard extra premium is included in both the TAMRA premium and the premiums paid used when the 7-pay test is performed. Y—Yes The premium is included in the TAMRA premium and premiums paid when the 7-pay test is performed. N—No The premium is not included in the TAMRA premium nor the premiums paid when the 7-pay test is performed. This is the default.
Exclude if Premium Ceases within 7 Years	This field determines if the type of premium indicated on the left side of the screen is excluded from both the TAMRA premium and the premiums paid when the 7- pay test is performed if the premium is payable for less than 7 years. Y—Yes The premium is excluded if it is payable for less than 7 years. N—No The premium is included if it is payable for less than 7 years. This is the default.
If PP Rider offsets Target Face Amount for PT Rider, exclude PP Rider from Lowest Death Benefit	This field functions in conjunction with the When Calculating the Paid Up/Term Split, Target Face Amount Other By Recurring Premium PP and Offset By Dump In Premium PP fields on the second screen of the PT—Paid Up Term Segment. Y—Yes If either of the above named fields on the PT Segment is set to Yes, exclude the paid up addition amounts provided by the PP rider from the lowest death benefit used in the calculation of TAMRA premium. N—No If either of the above named fields on the PT Segment is set to Yes, add the paid up additional amount provided by the PP rider to the lowest death benefit used in the calculation of the TAMRA premium. This is the default.
Include PUA purchased using dividends in the Lowest Death Benefit	This field determines if the paid up additions purchased using dividends are included in the lowest death benefit when the TAMRA premium is recalculated after issue. Y—Yes When the TAMRA premium is recalculated after issue, include any PUA purchased using dividends in the lowest death benefit. N—No When the TAMRA premium is recalculated after issue, exclude any PUA purchased using dividends in the lowest death benefit. This is the default.

Field	Description
If Initial Death Benefit is \$10,000 or less, add \$75 to Annual 7-Pay Premium	This field allows for a \$75 expense charge that can be included when computing the TAMRA premium for certain small policies. Y—Yes After the TAMRA premium is calculated using the appropriate mortality and interest assumptions, a \$75 expense charge is added. N—No The TAMRA premium is calculated using the appropriate mortality and interest assumptions. No further adjustments are made. This is the default.
Maturity Age for TAMRA 7 pay Premium	This field controls the limiting age used in the calculation of the TAMRA premium. C—Coverage Record Maturity Age The age selected in the Benefit Cease Age field on the Coverage Record is the maturity age used to calculate the TAMRA 7-pay premium. This is the default. D—Deemed Maturity Age The age selected in the Deemed Maturity Age field is the maturity age used to calculate the TAMRA 7-pay premium.
Deemed Maturity Age	This field defines the maturity age to use when calculating the TAMRA 7-pay premium when the Maturity Age for TAMRA 7 pay Premium field is set to Deemed Maturity Age. If Coverage Record Maturity Age is selected in the Maturity Age for TAMRA 7 pay Premium field, this field is set to zero and cannot be updated.

Click **Next** to access the second screen of the TA Segment.

Enter Traditional TAMRA Rules

Segment ID: Segment Type: TA

Treat as Material Change, Reduction or Non-event

	Grandfathered Contracts	Non-Grandfathered Contracts
Increase to Base	\$150000 Exemption	Material Change
Increase to Qualified Additional Benefit(s)	Material Change	Material Change
Increase to Other Rider(s)	\$150000 Exemption	Material Change
Addition of Qualified Additional Benefit(s)	Material Change	Material Change
Addition of Other Riders	\$150000 Exemption	Material Change
Additional Premium on PP Rider	Necessary Premiu...	Necessary Premiu...
Premium Causing Crossover on PT Rider	Necessary Premiu...	Necessary Premiu...
Decrease to Base		Reduction
Decrease to Qualified Additional Benefit(s)		Reduction
Decrease to Other Rider(s)		Reduction
Removal of Qualified Additional Benefit(s)		Reduction
Removal of Other Rider(s)		Reduction
Partial Surrender of PP Rider		Reduction
Conversion to RPU		Reduction
Conversion to ETI with Loan		Reduction
Surrender of PUA Dividends		Reduction
Vanish Resulting in Reduction		Reduction
Substandard Rating Change	Material Change	Material Change
Underwriting Class Change	Material Change	Material Change

Previous
OK
Cancel

The following table contains definitions for the fields on the second screen of the TA Segment.

Field	Description
Grandfathered Contracts	For the process or transaction listed on the left side of the screen, this field indicates if the process or transaction is treated as a material change or a non-event. This field also indicates if this transaction or process requires an additional exemption or a premium test. The selections made in this column apply to policies issued prior to June 21, 1988. The type of process or transaction determines the options that are available and the default value for that type of event. E—\$150000 Exemption This option refers to the \$150,000 exemption for grandfathered contracts. If the death benefit under a grandfathered contract increases by an amount greater than \$150,000 over the death benefit in effect as of October 20, 1988, the policy becomes subject to the material change rules and may lose its grandfathered status. When this option is selected, the \$150,000 exemption is applied to determine if the transaction processed constitutes a material change to the grandfathered contract. Non-grandfathered contracts are not subject to this exemption. M—Material Change When this option is selected, the transaction processed is treated as a material change to the grandfathered contract, without applying the \$150,000 exemption. N—Non-Event When this option is selected, the transaction processed is treated as a non-event and will not affect the TAMRA status of the grandfathered contract. P—Necessary Premium Test This option refers to the Necessary Premium Test to be applied in order to determine if increases in the death benefit attributable to unnecessary premiums are treated as material changes to the contract. When this option is selected, the Necessary Premium Test is applied when a premium resulting in an increase to the death benefit is processed.

Field	Description
Non-Grandfathered Contracts	For the process or transaction listed on the left side of the screen, this field indicates if the process or transaction is treated as a material change, a non-event, or a reduction. This field also indicates if this transaction or process requires a premium test. The selections made in this column apply to policies issued on or after June 21, 1988. The type of process or transaction determines the options that are available and the default value for that type of event. M—Material Change When this option is selected, the transaction processed is treated as a material change to the non-grandfathered contract. N—Non-Event When this option is selected, the transaction processed is treated as a non-event and will not affect the TAMRA status of the non-grandfathered contract. P—Necessary Premium Test This option refers to the Necessary Premium Test that is applied in order to determine if increases in the death benefit attributable to unnecessary premiums are treated as material changes to the contract. When this option is selected, the Necessary Premium Test is applied when a premium resulting in an increase to the death benefit is processed. R—Reduction When this option is selected, the transaction processed is treated as a TAMRA reduction in benefit.

The following table lists the available selections for each field on the TA Segment. The default value is displayed in bold.

	Grandfathered	Non-Grandfathered
Increase to Base	E—\$150,000 Exemption M—Material Change N—Non-Event	M—Material Change N—Non-Event
Increase to Qualified Additional Benefit(s)	M—Material Change N—Non-Event	M—Material Change N—Non-Event
Increase to Other Rider(s)	E—\$150,000 Exemption M—Material Change N—Non-Event	M—Material Change N—Non-Event
Addition of Qualified Additional Benefit(s)	M—Material Change N—Non-Event	M—Material Change N—Non-Event

	Grandfathered	Non-Grandfathered
Addition of Other Riders	E—\$150,000 Exemption M—Material Change N—Non-Event	M—Material Change N—Non-Event
Additional Premium on PP Rider	P—Necessary Premium N—Non-Event M—Material Change	P—Necessary Premium N—Non-Event M—Material Change
Premium Causing Crossover on PT Rider	P—Necessary Premium N—Non-Event M—Material Change	P—Necessary Premium N—Non-Event M—Material Change
Decrease to Base		R—Reduction N—Non-Event
Decrease to Qualified Additional Benefit(s)		R—Reduction N—Non-Event
Decrease to Other Rider(s)		R—Reduction N—Non-Event
Removal of Qualified Additional Benefit(s)		R—Reduction N—Non-Event
Removal of Other Rider(s)		R—Reduction N—Non-Event
Partial Surrender of PP Rider		R—Reduction N—Non-Event
Conversion to RPU		R—Reduction N—Non-Event
Conversion to ETI with Loan		R—Reduction N—Non-Event
Surrender of PUA Dividends		R—Reduction N—Non-Event
Vanish Resulting in Reduction		R—Reduction N—Non-Event

	Grandfathered	Non-Grandfathered
Substandard Rating Change	M—Material Change	M—Material Change
	N—Non-Event	R—Reduction
		N—Non-Event
Underwriting Class Change	M—Material Change	M—Material Change
	N—Non-Event	R—Reduction
		N—Non-Event

6.256 TB—Tabular Guar, Death Benefits

NOTE

Universal life only

The TB—Tabular Guaranteed, Death Benefit Segment is used to define the guaranteed death benefits used in policy page calculations for extended term insurance.

Rate Type Segment									
Segment ID	UL1 >>		Select Period	Duration	0				
Segment Type	TB		Ultimate ID						
Constant Rate	0.0000000		(Added to File Rate if Declared)						
Rate Type	Constant Rate Only								
Type Modifier			Rates Vary by Underwriting Class	No					
Mult Insured Access									
Rate Basis	Separate And Unique		Years of	0					
Banding Method	Not Banded								
Banding Rule	Traditional								
Upper Band Limits	0	0	0	0	0	0	0	Mode Rules	
Rates Coded As	Actual Amount								
Change Frequency	Not Applicable								
	0								
									OK
									Cancel

Refer to Section 12, Chapter 3—Premiums—Upper Portion of Screen Field Definitions on page 12-17 in this book for a description of the fields in the upper portion of the screen.

6.257 TC—CARVM Tax Reserves Segment

NOTE

Annuities using Commissioner's Annuity Reserve Valuation Method (CARVM) only

The TC—CARVM Tax Reserves Segment points the system at the surrender load pattern to use in computing CARVM tax reserves on annuities. These might be identical to the SL loads, or they may be modified by the company's actuary to simulate surrender patterns taken in mid year, or the actuary may wish to account for some percentage of free withdrawals. This simply adds flexibility to that system.

Rate Type Segment									
Segment ID	UL >>		Select Period	Duration	0				
Segment Type	TC		Ultimate ID						
Constant Rate	0.0000000		(Added to File Rate if Declared)						
Rate Type	Constant Rate Only								
Type Modifier	☐		Rates Vary by Underwriting Class		No				
Mult Insured Access									
Rate Basis	Separate And Unique		Years of	0					
Banding Method	Not Banded								
Banding Rule	Traditional								
Upper Band Limits	0	0	0	0	0	0	0	Mode Rules	
Rates Coded As	Actual Amount								
	Not Applicable								
Change Frequency	0								
									OK
									Cancel

Refer to Section 12, Chapter 3—Premiums—Upper Portion of Screen Field Definitions on page 12-17 in this book for a description of the fields in the upper portion of the screen.

6.258 TD—Terminal Dividends

NOTE

Traditional only

The TD—Terminal Dividend Segment is used to define additional dividends that can be paid when a policy is terminated due to death, maturity, or surrender.

Terminal dividends are not included in the value calculated during normal lapse processing or in the value calculated during manual ETI or RPU processing.

Segment Detail							
Segment ID	EWL		>>		Segment Type	TD	
Key Modifier	TD				Do Values Vary By		
Are Values Banded	No				Underwriting Class	No	
Female Rate Basis	Male With Setback						
Setback Years	0						
Rate Type	Age And Duration						
Rate Rounding Rule	12				Rate Mode Rule ID		
Band Upper Limits:							
99999999	0	0	0	0	0	0	0
First Duration Value Is Available	1						

Fields Unique to this Segment

Refer to Section 12, Chapter 3—Premiums—Upper Portion of Screen Field Definitions on page 12-17 in this book for a description of the fields in the upper portion of the screen.

Field	Description
First Duration Value Is Available	Enter the policy duration (policy year 1 = 1) on which the system allows terminal dividends to be included when processing a death claim, maturity, or surrender. If the dividends are available for all years, this field is left blank.

6.259 TF—Fund Transfer Fee

NOTE

Universal life and annuity only

In Variable processing, or in multi-funded products (UL/annuity) allowing such actions, it is common to move money from one or more funds to one or more other funds.

Oftentimes, this activity can be done some number of times per policy year without any charges being assessed for the transactions.

After this upper limit is reached, the system uses the rates pointed to from here and deducts the fees from the funds affected on a prorata basis. The fee charged can be either an amount or a percentage of the fund balance. If the Rates Coded As field is set to **Actual Amount**, the rate is the amount that is deducted. If the Rates Coded As field is set to **Percentage**, the rate is the percentage multiplied by the fund value and then deducted.

Click **Next** to access the second page of the segment.

NOTE

There is a select period capability on this segment.

Rate Type Segment									
Segment ID	VAL >>		Select Period	Duration	0				
Segment Type	TF		Ultimate ID						
Constant Rate	10.0000000		(Added to File Rate if Declared)						
Rate Type	Constant Rate Only								
Type Modifier			Rates Vary by Underwriting Class	No					
Mult Insured Access									
Rate Basis	Male With Setback		Years of	0					
Banding Method	Not Banded								
Banding Rule	Traditional								
Upper Band Limits	0	0	0	0	0	0	0	0	0
Rates Coded As	Actual Amount								
	Not Applicable								
Change Frequency	0								

Mode Rules

Rates

Next

OK

Cancel

Refer to Section 12, Chapter 3—Premiums—Upper Portion of Screen Field Definitions on page 12-17 in this book for a description of the fields on the upper portion of the screen.

Click **Next** to access the second screen of the TF Segment.



Enter Fund Transfer Fee

Number of Exempt Transfers in a Policy Year

Requested Amount Includes Fee

The following table contains definitions for the fields on this screen.

Field	Description
Number of Exempt Transfers in a Policy Year	This field indicates the number of transfers that can be processed in a single policy year without incurring a fee. Input 0 if no transfers are free. Otherwise, the system keeps track of the number of transfers per duration that have occurred and does not charge the fee until that number in a given policy duration is exceeded.
Requested Amount Includes Fee	This field determines if the request amount includes a transfer fee. N—No The requested transfer amount plus the transfer fee is transferred into the target fund or funds. This is the default. Y—Yes The requested transfer amount less the transfer fee is transferred into the target fund or funds.

6.260 TL—Transfer In Limits

NOTE

Universal life only

The TL—Transfer In Limits Segment is used to impose limits on the minimum and maximum amounts that can be transferred into a fund. The limits can also be applied to dollar cost averaging and auto portfolio rebalancing. This segment can be accessed through the Segment List on the Fund Rules screen.

Enter Transfer in Edits and Alternate Fvs Criteria					
Segment ID	UL1 >>		Select Period	Duration 0	
Segment Type	TL		Ultimate ID		
Process	Minimum		Maximum		Alternate
	Amount	Percentage	Amount	Percentage	Fund ID
Transfer	.00	0.00	0.00	0.00	
Dollar Cost Averaging	.00	0.00	0.00	0.00	
Auto Premium Rebalancing	.00	0.00	0.00	0.00	
					OK
					Cancel

- If an amount and percentage are coded for minimum values, the system uses the smaller of the two.
- If an amount and percentage are coded for maximum values, the system uses the larger of the two.
- Different limits can be imposed for each type of transaction. For example, the limits for transfers and auto premium rebalancing can be different.
- If the transfer in amount fails to meet the minimum and maximum fund requirements, LifePRO® attempts to transfer to the alternate fund ID, if defined. If the transfer in amount does not meet the minimum and maximum fund requirements for the alternate fund ID (for example, Fund5), it attempts to deposit the transfer in amount to the alternate fund ID

identified on the first Alternate Fund Record. This process is repeated until it finds a fund that meets the designated criteria. If a fund is not found, the policy is suspended and transactions are voided.

6.261 TN—Trend Factors Segment

The TN—Trend Factors Segment enables the addition of a trend factor to a health benefit premium at issue in anticipation of a rerate. The factors may vary by issue state and benefit issue, signed, or application received date as defined by the component. The factor is used in calculating the premium on a policy until the first rerate occurs for the benefit.

[illegible]

The following table contains the descriptions of the fields on the TN Segment.

Field	Description
Issue State	Enter the code for the state whose trend factors are displayed.
Display Start Date	Enter the date to be the starting point for the trend factors to be displayed. Trend factors with effective dates equal to or greater than the entered date are displayed. The format is MM/DD/YYYY.
Benefit Effective Date	This field contains the effective date of the trend factor displayed in the next column. The format is MM/DD/YYYY.
Trend Factor	This field contains the trend factor for the corresponding effective date. The format is n.nnnnnnn. Valid values are equal to or greater than 1.0000000.

Complete the following steps to utilize Trend Factors Inquiry.

1. Select **TN—Trend Factors Segment** from the Segment list. The TN—Trend Factors Segment is displayed.
2. Click the **>>** next to the Issue State field. The State Code screen is displayed.
3. Highlight the desired state and click **Select**. The TN Segment screen is displayed with the selected state code in the Issue Date field.
4. Type the desired date in the Display Start Date field and click **OK**. All trend factors for the selected state with dates equal to or greater than the Display Start Date are displayed in ascending order.
5. Click **Next** and **Prev** to scroll through the trend factors on the record. Or type in a different state, a different display start date, or both, and click **OK** to display different rates. If the display start date is left blank, the rates are displayed in ascending order beginning with the first record on the file.

Complete the following steps to update the Trend Factors record.

1. Display the TN Segment for the desired state and display date as described above.
2. Press **F10**.
3. Click **Next** and **Prev** to scroll through trend factors on the record. Or type in a different state, a different display start date, or both, and click **OK** to display different rates.

Update	To modify an existing effective date or trend factor, type the desired value over the existing value and click OK . After the value is successfully updated, it is automatically displayed in the correct effective date order.
Add	To add a new trend factor, enter the effective date and the trend factor on any blank line and click OK . The date entered must not be equal to an existing date, but it does not have to be greater than the last date on the file. After the rate is successfully added, it is automatically displayed in the correct effective date order.
Delete	To delete an existing trend factor, enter blanks for the effective date and trend factor and click OK .

4. Several changes can be entered before clicking **OK**. If there are errors in any of the changes, an error message is displayed, and none of the changes is completed. When **OK** is clicked after all errors have been corrected, all of the changes are processed.

6.262 TP—Tax Valuation Premiums

The TP—Tax Valuation Premiums Segment directs LifePRO® to the valuation premiums used in traditional and health statutory reserve calculations.

Premium Segment File

Segment ID: >> Segment Type: TP

Key Modifier: Do Values Vary By:

Are Values Banded: Underwriting Class:

Female Rate Basis:

Setback Years:

Rate Type:

Rate Rounding Rule:

Band Upper Limits:

Premium Select Period: Premium Change Frequency:

Premium Mode Rule ID:

Coverage ID Of Ultimate Rates:

Premium Rate Calculation Rule:

Extended Key Definition Used:

Mode Rules
Rates
Extended Key
Table Extra
OK
Cancel

Fields Unique to this Segment

Refer to Section 12, Chapter 3—Premiums—Upper Portion of Screen Field Definitions on page 12-17 in this book for a description of the fields in the upper portion of the screen.

Field	Description
Rate Rounding Rule	This field is set to Truncate After Cents and cannot be updated.
Premium Select Period	The length of time, in years, the selected rates are used. If the same rate segment is used for all years and the Rate Type is Attained Age , Issue Age , or Duration Only , input 0 in this field. If the same rate segment is used for all years and the Rate Type is Age and Duration , input 999 in this field.

Field	Description
Premium Change Frequency	The change frequency codes the number of durations at a time the rates are held constant. For example, the typical 5-year renewable and convertible term product, with premiums that are level for 5 years then jump to the attained age and remain level again for 5 years, has a premium change frequency of 5. If the rates are the same for all years, input 0 in this field.
Premium Mode Rule ID	The premium mode rule ID, coupled with the form (direct, preauthorized check, list bill, government allotment, or credit card) allows the system to access a Mode Rule Record. The modalization factors for each mode (monthly, quarterly) are located in the Mode Rule Record. A maximum of 10 characters may be entered in this field.
Coverage ID Of Ultimate Rate	The segment ID of the segment that contains the rates that are used when the premium change is displayed in this field. The rates change as indicated in the Premium Change Frequency field. If the same rate segment is used for all years and the Rate Type is Attained Age, Issue Age, or Duration Only , this field is left blank. If the same rate segment is used for all years and the Rate Type is Age and Duration , input NA in this field.
Premium Rate Calculation Rule	U—Units Purchased The premium is computed as the units purchased at issue of the coverage, multiplied by the premium rate found according to the rules in the upper part of the segment. D—Death Benefit The premium is computed as the death benefit at the point of the calculation, divided by 1000, and then multiplied by the rate found according to the rules code. P—Percentage The premium is calculated as a percentage per unit of value of premium for the benefits that are included for premium wavier as defined on the Coverage Record. 1—W1 Segment The premium is calculated using the sum of premiums from the W1 Segment for non-waiver coverages. 2—W2 Segment The premium is calculated using the sum of premiums from the W2 Segment for non-waiver coverages. For example, assume a coverage is a decreasing term product with death benefits of 1000, 900, 800, 700, 600, 500, and so on. The rates are coded as A, changing annually. If the premium rate calculation rule is coded as premium D, then in year three, the system computes the premium as $800 / 1000 * \text{year-3 rate}$, not as $1000 / 1000 * \text{year-3 rate}$.

Field	Description
Premium Rate Calculation Rule (continued)	A—Percent Of Account Value The premium is calculated by determining the average of the monthiversary account values for the time period defined in the Last __ Months field. (This calculation method only averages the account values found during monthiversary processing for the last <i>n</i> months, and does not include partial valuations.) E—Percent Of Eligible Premiums (GB Only) This option can only be used for GB—Guaranteed Benefit type riders. When this option is used, deductions for the GB rider are based on eligible premiums that are defined on the LM—Living/Maturity Segment for the base benefit. W—Percent of Greater of GMWB Eligible Premiums or Lifetime Basis (GW Only) This option can only be used for GW type riders. When this option is used, deductions for the GW rider are based on the greater of eligible premiums or lifetime basis defined on the GW—Guaranteed Withdrawal Segment for the base benefit.
Extended Key Definition Used	Currently, this field applies to line of business H—Health only. Y—Yes The KD Segment must be coded. Premiums are not in the Attained Age or Age/Duration File. Instead, they are in separate health files. N—No

Table Extra Data

Substandard rates per 1000 by table number can be defined from the TP Segment. When table extra ratings are used, the substandard rate per 1000 is used instead of the percentage shown on the Validation screen.

The following setup is required to use the table extra ratings.

- The Substandard Type field on the Coverage File screen must be **Table**.
- A rating table must be defined in the Rating Table field on the Component File screen.
- A rating table must be defined based on the table code selected on the Component File screen.
- The number of rating tables must be the same as the number of substandard tables coded on the Table Extra Definition screen.
- The percentage coded must be greater than 100%. Valid values are 100 - 999.

Complete the following steps to input the table extra rates.

1. From the TP Segment press **F10**.
2. Click **Table Extra**. The Table Extra Definition screen is displayed.

Table Extra Definition

Table Extra Key

Are Table Extras Banded ?

Vary Table Extras by Und Class ?

Female Rate Basis

Setback Years

Rate Type

Number of Substandard Tables

01	02	03	04	05	06	07	08	09	10
11	12	13	14	15	16				

3. Press **F10** and complete the fields as described in the following table.
4. **Tab** to the rate table IDs and click **Rates**. The Rate File screen is displayed for the rate table ID selected. The substandard table IDs point to rate files that contain the substandard

rates per 1000 to apply per table. A rate file is created using the Table Extra Key field as the rate file ID. The rates can vary by band, underwriting class, gender, and rate type.

Attained Age Rate File

Segment ID >> Type >> Gender >> Band >> Underwriting Class >>

Age	Rate	Age	Rate	Age	Rate
000	3.0000000	013	3.4000000	026	3.4000000
001	3.1000000	014	3.4000000	027	3.4000000
002	3.2000000	015	3.4000000	028	3.4000000
003	3.3000000	016	3.4000000	029	3.4000000
004	3.4000000	017	3.4000000	030	3.4000000
005	3.4000000	018	3.4000000	031	3.4000000
006	3.4000000	019	3.4000000	032	3.4000000
007	3.4000000	020	3.4000000	033	3.4000000
008	3.4000000	021	3.4000000	034	3.4000000
009	3.4000000	022	3.4000000	035	3.4000000
010	3.4000000	023	3.4000000	036	3.4000000
011	3.4000000	024	3.4000000	037	3.4000000
012	3.4000000	025	3.4000000	038	3.4000000

5. Input the rates and click **OK**.
6. Click **Cancel**. The Table Extra Definition screen is displayed.
7. Click **OK** to save.
8. Click **Cancel** to return to the TP Segment screen.

The following table contains descriptions of the fields on the Table Extra Definition window.

Field	Description
Table Extra Key	The key defines the table that is used to define the rates. The ID selected can be up to 8 alphanumeric characters.
Are Table Extras Banded	Rates can be varied depending on the face amount of the policy. This field determines if rates are banded. Y—Yes Rates are banded by face amount. N—No The rates are the same for all bands.

Field	Description
Vary Table Extras by Und Class	Y—Yes The system looks at all underwriting classes listed on the Coverage Record. N—No Rates do not vary by underwriting class. The system only looks at the default underwriting class (the first one listed on the first screen of the Coverage Record) when finding the rates.
Female Rate Basis	The selection in this field designates the rates that are used for females. S—Setback The same rates are used for males and females, but the rates are set back a designated number of years for females. U—Unique Different rates are set up for females.
Setback Years	This field works in conjunction with the Female Rate Basis field. If Setback is selected in the Female Rate Basis field, the number of years the rates are set back is designated in this field. If the rates are the same for males and females, input 0 in this field, which tells the system that the female rates are set back 0 years from the male rates.
Rate Type	The rate type selected determines on what the rates are based and where in the rate file the rates are input. A—Attained Age I—Issue Age If Attained Age or Issue Age is selected, input the rates in the Attained Age Rate File. O—Duration Only D—Age And Duration If Duration Only or Age And Duration is selected, input the rates in the Age/Duration Rate File. If Duration Only is selected, the rates are input under age 0 in the Age/Duration Rate File.
Number of Substandard Tables	Input the number of tables that are defined. The number selected generates the same number of table pointers at the bottom of the screen. Up to 40 tables are supported. The rates can be viewed by pressing F10, clicking on a table ID pointer, and clicking Rates.

The following policy page and correspondence keywords can be used for table extra ratings.

TBLRATE—This keyword is the rate per 1,000 on a given policy for substandard extra premium.

TBLRTENO—This keyword is the actual substandard table number applied to a given policy.

6.263 TR—Treaty Selection File

NOTE

This segment is required on any line of business being reinsured.

The Treaty Selection File is used to designate the reinsurance treaty to which the reinsured amount for a benefit is assigned. Treaty selection can vary by policy issue date, policy size, or issue age of the insured. The treaty selection can point to a single treaty or multiple treaties.

[illegible]

The following table contains definitions for fields on the TR Segment.

Field	Description
Company Code	The company code to which this record applies is displayed in this field. The Treaty Selection File must be set up for each company.
Treaty Select ID	The treaty selection ID is displayed in this field. The treaty selection ID must match the treaty selection segment ID which is designated on the Coverage Record via the TR—Treaty Selection Segment.

Field	Description
Stop Date	The benefit issue date is compared to the Stop Date field and the Start Date field in order to determine the correct Treaty Selection File. If the treaty selection information changes, a new record can be added using new start and stop dates. Note that the stop and start dates are inclusive, thus the dates cannot overlap. A new record has a start date one day after the previous record's stop date.
Maximum Policy Size	This field can be used to designate a maximum policy size to which this record applies. If this field is not applicable, input all 9's.
Single Or Multiple	This field is used to designate if there is a single or multiple reinsurer. This field determines which section of the screen is completed. S—Single All reinsurance is ceded to one reinsurer. M—Multiple The reinsurance is ceded to more than one reinsurer.
Start Date	The benefit issue date is compared to the Stop Date field and the Start Date field in order to determine the correct Treaty Selection File. If the treaty selection information changes, a new record can be added using new start and stop dates. Note that the stop and start dates are inclusive, thus the dates cannot overlap. A new record would have a start date one day after the previous record's stop date.
Minimum Policy Size	This field can be used to designate a minimum policy size to which this record applies. If this field is not applicable, input 0. NOTE These fields can be used to vary information according to policy size. Different records can be added for a particular treaty selection ID using different policy size ranges. (These ranges cannot overlap). For example, all policies with a face amount under \$100,000 could be assigned to a different treaty than policies greater than \$100,000. A record is set up with a policy size of \$0—\$100,000. An additional record is added with a policy size of \$100,001—\$999,999,999. The treaty selection ID is the same for both of these records.
Maintain Constant Percent	This field allows for the retention and allocation percentages to vary by the net amount at risk (NAR). Y—Yes Maintain a constant percentage allocation for the treaties and retention amounts. The same percentage allocation at issue remains as the NAR changes. Both the retained and the renowned amounts change as the NAR changes. N—No Do not maintain a constant percent.

Field	Description
Max Issue Age	This field can be used to designate a maximum issue age to which this record applies. If this field is not applicable, input all 9's.
Min Issue Age	This field can be used to designate a minimum issue age to which this record applies. If this field is not applicable, input all 0's.
NOTE The Minimum and Maximum Issue Age fields can be used to vary the treaty selection according to the issue age of the insured. A different record can be added for a particular treaty selection ID using different minimum and maximum issue age ranges. (These ranges cannot overlap).	

Single Reinsurer

The values entered in the fields in the Single Reinsurer Section of the screen should be entered as shown in the following chart.

Selection Code	Key	Treaty Code
N—Insured's Last Name Group	Enter the first letter of the last name in this field. This is an ending range. For example, if the reinsurer reinsures all insureds with last names that begin with A through D, input D in this field.	One treaty must be assigned for each key.
P—Policy Number Group	Enter the first five characters of the policy numbers that are reinsured in this field. This is an ending range. For example, if policies 11111—33333 are included in this treaty, 33333 is entered in this field.	One treaty must be assigned for each key.
S—Issue State Group	Enter a two-digit state abbreviation in this field. All policies issued in this state are covered by the treaty selected.	One treaty must be assigned for each key.
U—Underwriting Group	Enter an underwriting class in this field. All policies issued with this underwriting class are reinsured under this treaty.	One treaty must be assigned for each class.
X—All Policies In Group	Data is not input in this field for this option.	One treaty is assigned.

Multiple Reinsurers

The following fields are entered if more than one reinsurer is used for a benefit.

Field	Description
Treaty Code	Designate a treaty code for each reinsurer in this field.
Percent Applied To Treaty	Input the percentage to apply to each treaty entered. The total for all treaties must equal 100%.
Total	The total of the percentages designated to each treaty is input in this field. The total for all treaties must equal 100%.
Excess	The excess treaty is coded in case the portion ceded to a specific treaty falls below that treaty's minimum cession limit. The amount that cannot be reinsured is allocated to the excess treaty.

6.264 TS—Source/Type Record Rules Segment

The TS—Source/Type Record Rules Segment is used as a *lower level* segment accessed through the SG Segment. In order to understand the purpose and effect of this segment, it is necessary to understand the concept of "rows."

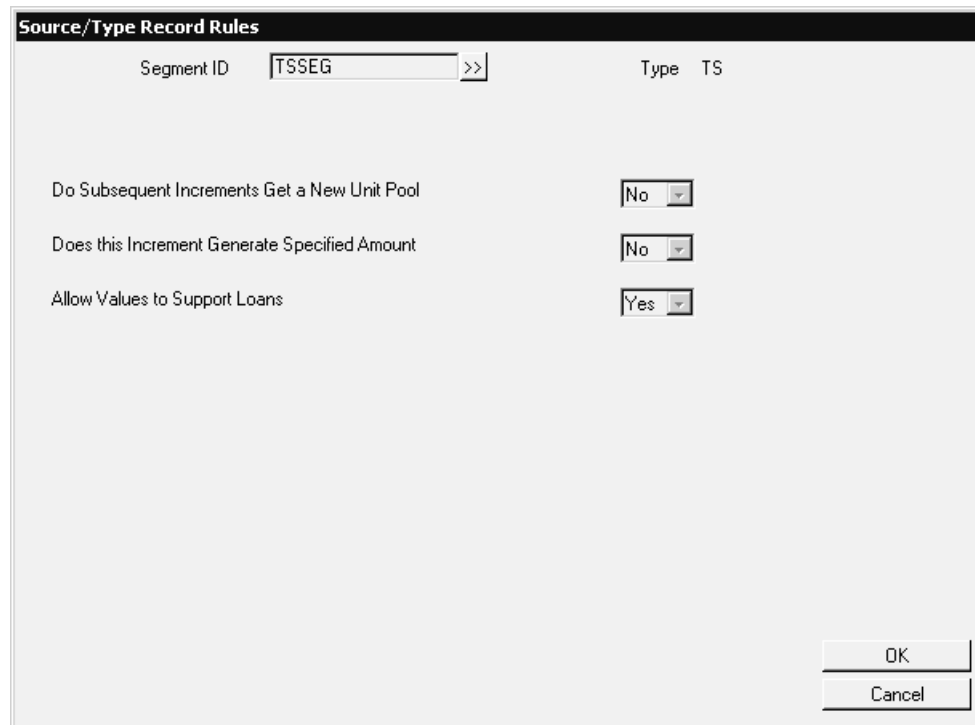
Deposits made to the policy under the source and type tracking concept can be represented visually as a matrix where the policy's funds are columns, and each row is a source and type combination under which payments are made.

	Fund One	Fund Two	Fund Three	Fund Four	Fund Five
Source A and Type 0110					
Source B and Type 0110					
Source C and Type 0110					
Source A, Type 0122					
Source B, Type 0122					
Source A, Type 0124					

Increments added to a policy define the source and type used for a payment. Each unique combination of these two factors results in a new row. The policyowner also specifies how each of these payments is to be allocated among the available funds.

The TS Segment determines the result of a new increment added with a source and type combination which already exists in the matrix. If the TS Segment is set to **No**, when a new increment is added and it has the same source and type as an existing row, amounts paid under

the new increment are added to the existing row with the specified source and type combination. If the TS Segment is **Yes**, a new increment gets a new row, even if there is already a row present with the same source and type combination.



The dialog box is titled "Source/Type Record Rules". It contains a "Segment ID" field with the text "TSSEG" and a ">>" button. To the right of this is a "Type" field with the text "TS". Below these are three rows of settings, each with a label and a dropdown menu:

Setting	Value
Do Subsequent Increments Get a New Unit Pool	No
Does this Increment Generate Specified Amount	No
Allow Values to Support Loans	Yes

At the bottom right of the dialog are two buttons: "OK" and "Cancel".

The following table contains definitions for the fields on the TS Segment.

Field	Description
Do Subsequent Increments Get a New Unit Pool	This field determines the treatment of a new increment added to a fixed premium UL policy when the new increment has the same source and type as an existing row. Y—Yes The premiums contributed under the new increment are accumulated separately in a new row with the same source and type. N—No Contributions under the new increment are added to the existing accumulation. They are not kept separate. When using the UI Segment field the issue date of the row equals the issue date of the policy, regardless of when the increment was added. A death benefit is computed for each row equal to the sum of the specified amounts of all increments that feed money to that row. A corridor benefit is based on the total fund value for that row. NOTE Each increment with a unique source and type combination results in a new row regardless of the value of this segment. Flexible premium annuity and UL policies can have only one row with the same source and type combination regardless of the value of this segment.
Does this Increment Generate Specified Amount	This field determines if a specified source, type, increment type combination generates any specified amount. Y—Yes Each premium increment generates an associated specified amount with the increment layer when using money purchase. If the Specified Amount Handling field on the UI—Monthiversary Control Segment is set to Inc/Dec to Base Benefit/CE Layer, the specified amount is stored on the increment. The issue date of the increment is equal to the Parent Start and Increment Start date of the increment. N—No A specified amount is not generated with the premium increment.
Allow Values to Support Loans	This field determines if the Money Source/Type can be used to support the loan values. Y—Yes The Money Source/Type can be selected when requesting a loan from Systematic Requests. This is the default. N—No For the selected Money Source/Type, loans are not allowed. The Money Source is protected when requesting a loan from Systematic Requests. NOTE If using Contribution Enablement, the TS Segment must be set up.

6.265 TX—Tax Reserve Factors

The TX—Tax Reserve Factors Segment directs *LifePRO*® to the tabular tax reserve factors. This segment is available to compute tax reserves for PP and PU coverages. If this segment is not active, the NS rates are used to calculate the tax reserves for PP coverages and the DN/PU rates are used to calculate the tax reserves for PU coverages.

Reserve Factors Screen									
Segment ID	EWL >>		Segment Type	TX					
Key Modifier	TX		Do Values Vary By Underwriting Class	Yes					
Are Values Banded	No								
Female Rate Basis	Separate And Unique								
Setback Years	0								
Rate Type	Age And Duration								
Band Limits	0	0	0	0	0	0	0	0	
Reporting Basis									
Valuation Code	AH13L2AAP		Rate Rounding Rule	00		Calculate Values			
If Reserves Are Split Interest			Type	Terminal		Rates			
Rates, Split Is 'A'ge or 'D'ur			Apply To	Specified Amount		Table Extra Rates			
Interest Rate Point Of Change	000		Value Per Premium Unit	0		Extended Key			
Reserve Ultimate ID						OK			
Reserve Method						Cancel			
Extended Key Definition Used									

Fields Unique to this Segment

Refer to Section 12, Chapter 3—Premiums—Upper Portion of Screen Field Definitions on page 12-17 in this book for a description of the fields in the upper portion of the screen.

Field	Description
Reporting Basis	0—(Life) Mean Reserves / Deferred Premium 1—(Health 1) Mid Trml Res / Exact Unearned Premiums 2—(Health 2) Mid Trml Res / Half Mode Unearned premiums 3—(Health 3) Mid Trml Res / Half Q/S/A Mode Unearned 4—(UL RDR 1) Res = Half Of Monthly Ded; No Due/Deferred
Valuation Code	The valuation code is a 10 character code used in valuation reporting as a sort key. All benefits with the same valuation code can be sorted together in this manner (sort option). If the Valuation Code field is left blank, the system defaults to the coverage ID on the Valuation Reports screen.
Rate Rounding Rule	This field is set to Round After Cents and cannot be updated.
If Reserves Are Split Interest Rates, Split Is Age or Dur	If pointing to an ultimate ID, use this field to define if the change to the ultimate ID is based on an age or duration. Note that the actual point of change is defined in the Interest Rate Point Of Change field. A—Age D—Duration
Interest Rate Point of Change	Enter the interest rate after split in this field. This field is an information only field. If the same rate segment is used for all years, input 000 in this field.
Reserve Ultimate ID	This field is an information only field. True select and ultimate reserves are handled directly in the computation of the tabular factors themselves. If the same rate segment is used for all years, this field is left blank.
Reserve Method	H—Half Of Reinsurance Premium
Extended Key Definition Used	For health products, reserve rates can be defined using extended key definitions by setting this field to Yes . Note that to use extended key definitions, the KD—Key Definition Segment must be defined. Refer to Section 12, 6.196—PR—Premium Segment on page 12-725 in this book for information on using the Extended Key Definition screen to define rates.

Field	Description
Type	This field indicates how the reserve factors are stored. T—Terminal M—Mid Terminal N—Mean
Apply To	This field specifies to what the factors are applied against. S—Specified Amount This is the default. P—Premium
Value Per Premium Unit	If the Apply To field is set to Premium , input the value per unit in this field. For example, if the rates are per \$100 of premium, input 100.00.

Cash Values Calculation Window Fields

Click **Calculate Values** from the TX Segment to access a window where the actuarial assumptions used to calculate cash values can be entered. The system calculates both cash values and adjusted premium (nonforfeiture) values.

Enter Cash Value Reserve

Tax Reserves Assumptions

Gender/Class Male / STANDARD

Mortality Segment Gender Band Class

Interest Rate for Years, then

Initial Method for Years

Graded to in Year

Non Level Benefit

Function

Negative Values to Zero Round Cent

Calculate from Issue Age thru Increment by

Write Values Write Premiums

Calculate using floating point (Y/N)?

Bypass Gender/Class

OK

Cancel

The following table contains definitions for the fields on the Cash Values Calculation window.

Field	Description
Gender/Class	This field displays the associated gender and class of values to be calculated. When entering assumptions, the system processes each underwriting class with each gender. Therefore, if underwriting classes are (1) nonsmoker and (2) smoker and rates vary by gender and class, the system prompts in the order shown below. 1) Male—Nonsmoker 2) Male—Smoker 3) Female—Nonsmoker 4) Female—Smoker
Mortality Segment	Input the EM Segment and rates to use for the mortality assumption to use to calculate reserves in this field. EM Segments and associated rates must be set up prior to using this utility. Since EM Segments are not attached to the coverage directly, go to the Traditional Segment List to load EM Segments and rates.
Gender	Input the gender code of the mortality rate key of the EM Segment. M—Male F—Female U—Unisex
Band	Input the band of the mortality rate key of the EM Segment.
Class	Input the class of the mortality rate key of the EM Segment.
Interest Rate i_1 for n years, then i_2	Enter the initial interest rate (i_1), the number of year in effect (n), and the ultimate interest rate (i_2) used to calculate cash values. If only one interest rate is applicable, the number of years in effect should not be entered. The system skips to the ultimate interest rate.

Field	Description
Initial Method M_1 for n years	Enter the initial method of calculating the expense allowance (M_1) used to calculate cash values and the number of years the initial method is in effect (n) in this field. If the initial method does not change, do not enter the number of years in effect. The system assumes no change. N—Net Level C—CRVM (Commissioner's Reserve Valuation) F—FPT (Full Preliminary Term) M—Minimum (1980 Minimum Reserves) G—Guerin (Pre-1980 Minimum Reserves) A—Adj CRVM S—Simple G
Graded to (N,C) M_2 in year n	Enter the ultimate method (M_2) and the year it becomes effective (n) in this field. The system grades between the initial and ultimate method. N—Net Level C—CRVM (Commissioner's Reserve Valuation) A—Adj CRVM
Non Level Benefit	If the benefit is not level, enter the rule for calculating the equivalent level amount in this field. A—Average Death Benefit The non-level benefit is calculated as the average death benefit for the initial 10 years. E—Equivalent Level Amount
Function	Enter the function for treatment of timing of death benefits and premiums. C—Curtate I—Immediate Claim Payments F—Fully Continuous D—Discounted Continuous The Discounted Continuous option calculates fully continuous reserves but recalculates curtate net premiums to load to the NP/TP Segment type rate files for calculation of due and deferred net premiums.
Negative Values to Zero	Y—Yes If values are negative, force to zero. N—No Do not force the value to zero if the values are negative.

Field	Description
Round r_1 , r_2	The method of rounding values is displayed in this field. r_1 r_2 L—Low C—Cent N—Near D—Dollar H—High
Calculate from Issue Age x_0 thru x_n Increment by x_t	Enter the starting issue age (x_1), ending issue age (x_n), and the increment age (x_t), to calculate cash values and adjusted premiums. For example, entering $x_1 = 20$, $x_n = 40$, $x_t = 5$ generates values for issue ages 20, 25, 30, 35, and 40.
Write Values	Y—Yes Reserves are written to the Age/Duration or Attained Age Rate File. Depending on the Type field on the RV Segment, the system writes Terminal, Mean, or Mid-terminal reserve factors to the rate files. These are rate type RV values. N—No
Write Premiums	Y—Yes The valuation net premiums are written to the Age/Duration or Attained Age Rerate File. These are rate type NP values. N—No
Calculate using floating point	This field determines if the values are calculated using floating point math. Y—Yes The values are calculated using the COMP-2 format (long floating point). The final results are stored and displayed in the fixed decimal COMP-3 (S9(07)V9(07)). N—No The values are calculated using fixed decimal numbers. The final results are stored and displayed in the fixed decimal COMP-3 (S9(07)V9(07)) format. This is the default.

Table Extra Data

Substandard rates per 1000 by table number can be defined from the TX Segment. When table extra ratings are used, the substandard rate per 1000 is used instead of the percentage shown on the Validation screen.

The following setup is required to use the table extra ratings.

- The Substandard Type field on the Coverage File screen must be **Table**.
- A rating table must be defined in the Rating Table field on the Component File screen.
- A rating table must be defined based on the table code selected on the Component File screen.

- The number of rating tables must be the same as the number of substandard tables coded on the Table Extra Definition screen.
- The percentage coded must be greater than 100%. Valid values are 100 - 999.

Complete the following steps to input the table extra rates.

1. From the TX Segment press **F10**.
2. Click **Table Extra Rates**. The Table Extra Definition screen is displayed.

Table Extra Definition

Table Extra Key

Are Table Extras Banded ?

Vary Table Extras by Und Class ?

Female Rate Basis

Setback Years

Rate Type

Number of Substandard Tables

01	02	03	04	05	06	07	08	09	10
11	12	13	14	15	16				

3. Press **F10** and complete the fields as described in the following table.
4. **Tab** to the rate table IDs and click **Rates**. The Rate File screen is displayed for the rate table ID selected. The substandard table IDs point to rate files that contain the substandard

rates per 1000 to apply per table. A rate file is created using the Table Extra Key field as the rate file ID. The rates can vary by band, underwriting class, gender, and rate type.

Attained Age Rate File

Segment ID >> Type >> Gender >> Band >> Underwriting Class >>

Age	Rate	Age	Rate	Age	Rate
000	3.0000000	013	3.4000000	026	3.4000000
001	3.1000000	014	3.4000000	027	3.4000000
002	3.2000000	015	3.4000000	028	3.4000000
003	3.3000000	016	3.4000000	029	3.4000000
004	3.4000000	017	3.4000000	030	3.4000000
005	3.4000000	018	3.4000000	031	3.4000000
006	3.4000000	019	3.4000000	032	3.4000000
007	3.4000000	020	3.4000000	033	3.4000000
008	3.4000000	021	3.4000000	034	3.4000000
009	3.4000000	022	3.4000000	035	3.4000000
010	3.4000000	023	3.4000000	036	3.4000000
011	3.4000000	024	3.4000000	037	3.4000000
012	3.4000000	025	3.4000000	038	3.4000000

- Input the rates and click **OK**.
- Click **Cancel**. The Table Extra Definition screen is displayed.
- Click **OK** to save.
- Click **Cancel** to return to the TX Segment screen.

The following table contains descriptions of the fields on the Table Extra Definition window.

Field	Description
Table Extra Key	This key defines the table that is used to define the rates. The ID selected can be up to 8 alphanumeric characters.
Are Table Extras Banded	Rates can be varied depending on the face amount of the policy. This field determines if rates are banded. Y—Yes Rates are banded by face amount. N—No The rates are the same for all bands.

Field	Description
Vary Table Extras by Und Class	Y—Yes The system looks at all underwriting classes listed on the Coverage Record. N—No Rates do not vary by underwriting class. The system only looks at the default underwriting class (the first one listed on the first screen of the Coverage Record) when finding the rates.
Female Rate Basis	The selection in this field designates the rates that are used for females. S—Setback The same rates are used for males and females, but the rates are set back a designated number of years for females. U—Unique Different rates are set up for females.
Setback Years	This field works in conjunction with the Female Rate Basis field. If S—Setback is selected in the Female Rate Basis field, the number of years the rates are set back is designated in this field. If the rates are the same for males and females, input 0 in this field, which tells the system that the female rates are set back 0 years from the male rates.
Rate Type	The rate type selected determines on what the rates are based and where in the rate file the rates are input. A—Attained Age I—Issue Age If Attained Age or Issue Age is selected, input the rates in the Attained Age Rate File. O—Duration Only D—Age And Duration If Duration Only or Age And Duration is selected, input the rates in the Age/Duration Rate File. If Duration Only is selected, the rates are input under age 0 in the Age/Duration Rate File.
Number of Substandard Tables	Input the number of tables that are defined. The number selected generates the same number of table pointers at the bottom of the screen. Up to 40 tables are supported. The rates can be viewed by pressing F10, clicking on a table ID pointer, and clicking Rates.

The following policy page and correspondence keywords can be used for table extra ratings.

TBLRATE—This keyword is the rate per 1,000 on a given policy for substandard extra premium.

TBLRTENO—This keyword is the actual substandard table number applied to a given policy.

6.266 U1—Premium Collection Expenses/Fees Segment

NOTE

Universal life only

The U1—Premium Collection Expenses/Fees Segment directs the system to the rate used as a collection fee. The amount is a flat deduction taken from the premium that it is charged only when a premium is processed.

If this load is also coupled with a percentage of premium load (segment type U2), the percentage is first computed on the gross premium processed, then the flat fee is taken.

Enter Premium Collection Expenses Criteria - Fees	
Segment ID	UL1
Select Period	Q
Segment Type	U1
Ultimate ID	
Constant Fee, if Applicable	\$0.00
Fee Varies by UWCLS ?	☐
If Not Constant, Key Modifier to Use in Age/Duration File	☐
Rate Type	
Rate Basis	
If Rate Basis is Setback, Specify Number of Years	0
Banding Method	
Band Limits	0 0 0 0 0 0 0
Amount of Premium Excluded from Loading	\$0.00
Maximum Amount of Charge	0
OK	
Cancel	

For example, if a percentage of premium load of 10% is applicable and a 10.00 flat collection fee is applicable, the total load taken from a premium of 1000 is calculated as shown below.

10% x 1000 = 100

+Flat fee = 10

Total load = 110

The net premium applied = 1000—110 = 890

Fields Unique to this Segment

Refer to Section 12, Chapter 3—Premiums—Upper Portion of Screen Field Definitions on page 12-17 in this book for a description of the fields in the upper portion of the screen.

Field	Description
Amount of Premium Excluded from Loading	Since this is a flat deduction, the only way this field can have an effect is if the premium collected is less than this field. NOTE The same results can be achieved by banding the loads.
Maximum Amount of Charge	To edit against a varying charge in a rate file, this field caps the value in the file. Typically, this field can be left at zero, and the value in the rate file can be used as is.

6.267 U2—Premium Collection Expenses Segment

NOTE

Universal life (accessed through the Segment List)

Universal life or annuity (accessed through the Segment List on the Fund Rules screen)

Traditional life—PP benefit only (accessed through the M3—Miscellaneous Segment)

The U2—Premium Collection Expenses/Percentages Segment accessed through the Segment List, directs the system to the percentage load on annuity or UL premiums. The U2 Segment accessed through the Segment List on the Fund Rules screen allows premium loads to be applied to individual funds associated with a universal life or annuity product. The U2 Segment accessed through the M3 Segment is designed to allow premium loads to PP type riders.

For universal life or annuities, if this value exists with the U1—Premium Collection Expenses/Fees Segment also in place, it is applied to the gross premium first, then the flat fee (U1 value) is taken out. See the comments on the U1 Segment.

Enter Premium Collection Expenses Criteria - Percentages									
Segment ID	UL1 >>		Select Period	0					
Type	U2		Ultimate ID						
Constant Rate	10.00%		Vary By UWCLS	No					
Key Modifier	U2		Sum Rates For Each Insured	No					
Rate Type									
Rate Basis	Male With Setback								
Setback Years	0								
Banding Rule	Traditional								
Banding Method	Specified Amount								
Band Limits Vary	No		If Yes, BD Segment ID						
	24999	999999999	0	0	0	0	0	0	
Maximum Load	9999999		Load Annually Capped By Target Premium	No					
Premium Amount Excluded from Load	\$0.00		Number of Years For Cap (0=Nonstop)	0					
Calculation Method									
If Banded By Total Premium, Incorporate Processed Premium For Entire Policy			No						
Add Premium Tax Rate To Load in: Guideline Calc	No		Reserve Calc	No					
									Rates
									Band Limits
									OK
									Cancel

When the U2 Segment is accessed from the Segment List on the Fund Rule screen for a universal life or annuity product, it is possible to define the U2 Segment using a constant rate that is negative. This has the effect of applying a credit to the fund with each premium applied, instead of a load.

The U2 Segment may be used in conjunction with the HW—High Water Mark Segment to vary the U2 rate used. The current duration rate is used for premiums up to a limit set at anniversary, and first year rates are used for premiums over that limit, or high water mark.

Fields Unique to this Segment

Refer to Section 12, Chapter 3—Premiums—Upper Portion of Screen Field Definitions on page 12-17 in this book for a description of the fields in the upper portion of the screen.

Field	Description
Sum Rates For Each Insured	For per unit, per policy, and percent of premium rates, this field defines for joint products if the rate used is the sum of the rates for both insureds or the rate of the primary insured only. Y—Yes The expense rate is the sum of the rates for both insureds. N—No The age, gender, and underwriting class of the primary insured is used.
Banding Rule	T—Traditional The system looks at the banding method, decides the amount to which the rate applies (face, fund, NAR), and determines in which band that value falls. For example, if the Banding Method field is set to Specified Amount, then the entire specified amount falls into one band or another. This band number is then used to get the appropriate rate. R—Ratcheted The system applies the band 1 rate to amounts up to the first band limit. Then the amount remaining up to the second band limit has the band 2 rate applied. This continues until the last band is reached. These separate amounts are then added to yield the deduction. Ratcheted cannot be used when this segment is used in conjunction with the HW—High Water Mark Segment.
Banding Method	P—Premium Amount F—Fund Value S—Specified Amount X—Not Banded T—Total Premium To Date Banding is based on the total premium received for the life of the policy. I—Initial Planned Annual Premium Banding is based on the initial annual planned premium, not the premium amount received. Y—YTD Premium Banding is based on the premium received for the current year.
Maximum Load	If this field is not zero, it caps the percentage premium load just computed. If there is a U1—Premium Collection Expenses/Fees Segment fee attached, only the percentage load is capped.

Field	Description
Premium Amount Excluded from Load	If this field is not set to zero, this amount is subtracted from the premium being processed. Any positive value left is then used in computing the amount of the load. Also, if the banding method is Premium Amount (processed currently), or Total Premium To Date (collected), the band number is based on the gross amount, not the amount less the exclusion amount. For example, assume the banding method is Premium Amount so banding is based on the premium being processed and there are two bands. Up to 1000 Load = 10% Over 1000 Load = 5% Also assume the exclusion amount is = 500. The load on a premium of 1100 is based on the 1100, hence a load of 5% is applied to 1100—500 = 600, so the load = 30.00. If this load is banded, has the exclusion amount just described, and there is a U1—Premium Collection Expenses/Fees Segment attached, 10.00, then the banding is based on the total premium. The percentage is applied to the premium after the exclusion is subtracted, and finally, the fee is added. For example, if the loads and exclusion are as above, and the U1 fee is 10.00, a premium collected of 1010.00 has a load as calculated below. $5\% \times (1010 - 500) = 25.50$ $+ \text{U1 fee} = 10.00$ $\text{Total load} = 35.50$

Field	Description
Load Annually Capped By Target Premium	The target premium is accumulated from the BF benefit and from any specified amount increase using the target deltas on the specified amount increase event. This figure is then compared to the accumulated premium from last anniversary. If the premium accumulated from the last anniversary is greater than or equal to the target premium, then there is no load computed. If the premium accumulation is less than the target premium, then the difference is computed and compared to the deposit. If the difference is less than the deposit, the percentage of premium load is calculated on the difference between the premium accumulated and the target premium. Otherwise, it is calculated on the deposit. NOTE If there is an exclusion and the load is calculated on the difference, the exclusion is applied to it instead and the remaining amount is used to calculate the percentage of premium load. Y—Yes This option cannot be used when this coverage also has a HW—High Water Mark Segment. N—No
Number of Years For Cap	When accumulating the target from the base and any specified amount increases, the system first calculates the current duration each of them are in. This figure is then used only if the duration falls into the limitations specified in this field.
Calculation Method	This field designates how the load from the U2 Segment is applied. P—Premium Received The load from the U2 Segment is applied to the entire premium received. This is the default. I—Initial Planned Premium The load designated on the U2 Segment is applied to the initial planned premium. This option cannot be used when this segment is used in conjunction with the HW—High Water Mark Segment. B—Base Billable Premium with Percent Rating The load is applied to the base billable premium with percent table rating for fixed universal life products only when the BP—Billable Premium Segment is applicable.

Field	Description
If Banded By Total Premium, Incorporate Processed Premium For Entire Policy	Y—Yes If there is an annuity rider present, it adds the premiums that have already been processed for both the base and the annuity rider to find the correct band to use to retrieve the correct rate. NOTE Normally, when modeaversary processes, it picks up the base benefit and processes it as many months as requested. It then picks up the annuity rider and does the same. When this flag is set, it causes each benefit to be processed one month at a time, keeping pace with one another. Because it is a processed premium, the premium loads for each benefit could come out differently depending on how many months are processed at once. LifePRO® processes one month at a time to keep the load calculated consistent. N—No
Add Premium Tax Rate To Load in Guideline Calc	This field determines if the premium tax rate is included in the load when calculating the guideline premium during policy validation. Y—Yes The premium tax rate is included in the load when calculating the guideline premium during policy validation. N—No The premium tax rate is not included in the load when calculating the guideline premium during policy validation.
Add Premium Tax Rate To Load in Reserve Calc	This field determines if the premium tax rate is included in the load when calculating reserves. Y—Yes The premium tax rate is included in the load when calculating reserves. N—No The premium tax rate is not included in the load when calculating reserves.

If Band Limits are set to vary on the segment, click **Band Limits** to view the BD—Band Limits Segment attached.

6.268 U3—Per Thousand Expense Load Segment

NOTE

Universal life only

The U3—Per Thousand Expense Load Segment directs LifePRO® to an expense load based on a per 1000 concept.

The rate picked up applies to face amount, fund value, or net amount at risk.

For example, a rate of 2.00 applied to 100,000 is $2.00 * 100$ units, or 200.00. Similarly, the rate of 2.00 applied to 100,000 of fund value yields a 200.00 charge.

Enter Per Thousand Expense Load Criteria						
Segment ID	UL1 >>	Select Period	0			
Type	U3	Ultimate ID				
Constant Amount	0.00	Rates Vary by UWCLS?	No			
Key Modifier		Sum Rates For Each Insured?	No			
Rate Type	Duration Only					
Rate Basis	Male with Setback					
Setback Yrs	0					
Banding Rule	Ratcheted					
Banding Method	Total Specified Amount					
Band Limits						
50000	100000	500000	1000000	99999999	0	0
Load Timing	Monthly	Adjust for Event				
Times to Deduct	12 (0 = Non-Stop)	Maximum Load	9999999.00			
Calculation Codes						
Spec Amt Layering	Layer Increases					
Fund Allocation	LIFO [Cycle Proc]					
Base Layered Charges on 'O'riginal Layer/'C'urrent Layer	Current Layer					
Layered Charges Applied to SP Layers from Option Changes?	No					
Decrement Duration by Periods of Non-Coverage?	No					
						OK
						Cancel

The policy page keyword, MTHEXPDC, is available to display the monthly expense charge at issue for a policy.

Fields Unique to this Segment

Refer to Section 12, Chapter 3—Premiums—Upper Portion of Screen Field Definitions on page 12-17 in this book for a description of the fields in the upper portion of the screen.

Field	Description
Sum Rates For Each Insured	For per unit, per policy, and percent of premium rates, this field defines for joint products if the rate used is the sum of rates for both insureds or the rate of the primary insured only. Y—Yes The expense rate is the sum of the rates for both insureds. N—No The age, gender, and underwriting class of the primary insured is used.
Banding Rule	T—Traditional The system looks at the calculation code, decides the amount to which the rate applies (face, fund, net amount at risk), and determines in which band that value falls. For example, if the calculation code is Specified Amount, then the entire specified amount falls into one band or another. This band number is then used to get the appropriate rate. R—Ratcheted The system applies the band 1 rate to amounts up to the first band limit. Then the amount remaining up to the second band limit has the band 2 rate applied. This continues until the last band is reached. These separate amounts are then added to yield the deduction.
Banding Method	S—Total Specified Amount F—Fund Value X—Not Banded
Load Timing	M—Monthly Deduct the load each month. A—Annually Deduct the load each anniversary.
Adjust for Event	Y—Yes N—No
Times to Deduct	If a monthly time code is used, the system deducts it x times per year.
Maximum Load	This field can be used to place a cap on the final calculated answer.

Field	Description
Calculation Codes	This field designates how the load from the U3 Segment is applied. F—Fund Value S—Specified Amount This option is used when reprojections are processed, regardless of the selection made in this field. N—NAR I—Init Sp Amt T—Target The load designated as a constant amount or as a rate in the rate file is used as a percentage and is applied to the target premium for the policy. The calculated load amount is then compared to the maximum load. The lesser amount is the load that is charged to the policy. If a percentage is entered in the Constant Amount field and as a rate on a rate file, the two percentages are added together and applied to the target premium. NOTE When this field is set to Target and the Spec Amt Layering field is set to Layer Increases, the first year target expense is deducted from the base benefit beginning at issue and for the first year of each requested specified amount increase. It is important to note that first year target expense is only deducted for specified amount increases that are requested. The first year target expense is not deducted for automatic specified amount increase, such as increases due to an increasing death benefit or inflation rider.
Spec Amt Layering	T—Total Amount L—Layer Increases
Fund Allocation	P—Prorata L—LIFO F—FIFO
Base Layered Charges on Original Layer/ Current Layer	C—Current Layer O—Original Layer

Field	Description
Layered Charges Applied to SP Layers from Option Changes	Y—Yes N—No
Decrement Duration by Periods of Non- Coverage	This field allows the expenses defined through these segments to be accounted for during periods of non-coverage for lines of business U—Universal and A—Annuity. Y—Yes If a policy lapses and is reinstated, the system reads the Times to Deduct field and the Load Timing Code field on the U3 Segment. If the number defined in the Decrement Duration By Periods Of Non-Coverage field is greater than or equal to the contract effective date, normal processing occurs. If the number defined is less than a policy's contract effective date, the system at the time the policy is reinstated continues to deduct charges on an annual or monthly mode as defined in the Load Timing Code field until the number has been met. For example, assume that 36 is selected in the Times to Deduct field and Monthly is selected in the Load Timing Code field. Assume that a policy was in force for 33 months until it lapsed on 01/01/2005. Assume, a year later (01/01/2006) that the policy is reinstated. Charges are deducted on a monthly basis for an additional 3 months (03/01/2006), until the 36 months have been met. N—No If a policy lapses and is reinstated, the system ignores any charges that may have occurred during the lapse period and begins charges based on the reinstatement date.

6.269 U4—Rate Amortization Segment

NOTE

Universal life only

The U4—Rate Amortization Segment directs *LifePRO*® to the amortization schedule for surrender load write off for universal life products.

Enter Rate Amortization Segment Criteria							
Segment ID	UL1			Segment Type	U4		
Select Period	0			Ultimate ID			
Constant Percentage, If Applicable	.00%			Vary by Rating Class	No		
				Key Modifier	U4		
Rate Type	Duration Only						
Rate Basis	Male With Setback						
Setback Years	0						
Banding Method	Not Banded						
Band Limits	999999999 0 0 0 0 0 0						
Amortization Rule	Monthly - Interpolate Based On Policy Month						
If Monthly Amortization, Count Current Month							
							OK
							Cancel

NOTE

This segment is used only by the original version of monthiversary, and is not used for new users to the system. Its replacement is the SA—Full Surrender Amortization Segment accessible from the SR—Surrender Rules Segment.

Fields Unique to this Segment

Refer to Section 12, Chapter 3—Premiums—Upper Portion of Screen Field Definitions on page 12-17 in this book for a description of the fields in the upper portion of the screen.

Field	Description
Amortization Rule	A—Annually—Level Rate Over Policy Year The surrender charge is level during the year for each layer on which there is a surrender load. M—Monthly—Interpolate Based On Policy Month The surrender load on a UL product grades from anniversary to anniversary on a monthly basis.
If Monthly Amortization, Count Current Month	This field determines if the monthly amortization is computed on a completed month basis. Y—Yes Grading starts immediately in the first month. N—No

6.270 U5—Guaranteed COI Rates Segment

NOTE

Universal life only

The U5—Universal Life Guaranteed COI Rates Segment directs *LifePRO*® to the guaranteed cost of insurance rates for UL (flexible, fixed, or EIWL).

Enter Universal Life Guaranteed COI Rates Segment Criteria							
Segment ID	UL1	>>	Select Period	0			
Type	U5		Ultimate ID				
Key Modifier	U5		Rates Vary by U/WCLS?	No			
Rate Type	Attained Age						
Rate Basis	Male With Setback						
Setback Years	0						
Band Method	Not Banded						
Band Limits	999999999	0	0	0	0	0	0
Rates Coded As	Monthly						
Fund Allocation							
							Rates
							OK
							Cancel

Fields Unique to this Segment

Refer to Section 12, Chapter 3—Premiums—Upper Portion of Screen Field Definitions on page 12-17 in this book for a description of the fields in the upper portion of the screen.

Field	Description
Rates Coded As	M—Monthly The rate is used as is.
	A—Annually The system multiplies the rate by 12.
Fund Allocation	After the cost of insurance deduction is known, the system deducts that amount from a multi-fund product.
	P—Prorate The deduction is processed from each fund, based on the ratio of the fund's value to the total of all the funds' value.
	F—FIFO The deduction is processed from the first fund listed to the last fund listed in order.
	L—LIFO The deduction is processed from the last fund listed to the first fund listed in order.

6.271 U6—Current COI Rates Segment

NOTE

Universal life only

The U6—Universal Life Current COI Rates Segment directs *LifePRO*® to the current cost of insurance rates for UL (flexible, fixed, or EIWL).

Enter Universal Life Current COI Rates Segment Criteria							
Segment ID	UL1	>>	Select Period	0			
Type	U6		Ultimate ID				
Key Modifier	U6		Rates Vary by UWCLS?	No			
Rate Type	Attained Age						
Rate Basis	Male With Setback						
Setback Years	0						
Band Method	Not Banded						
Band Limits							
	999999999	0	0	0	0	0	0
Rates Coded As	Monthly						
Fund Allocation							
							Rates
							OK
							Cancel

Fields Unique to this Segment

Refer to Section 12, Chapter 3—Premiums—Upper Portion of Screen Field Definitions on page 12-17 in this book for a description of the fields in the upper portion of the screen.

Field	Description
Rates Coded As	M—Monthly The rate is used as is.
	A—Annually The system multiplies the rate by 12.
Fund Allocation	After the cost of insurance deduction is known, the system deducts that amount from a multi-fund product.
	L—LIFO The deduction is processed from the last fund listed to the first fund listed.
	F—FIFO The deduction is processed from the first fund listed to last fund listed.
	P—Prorata The deduction is processed from each fund, based on the ratio of the fund's value to the total of all the funds' value.

6.272 U7—Full Surrender Load/Fees Segment

NOTE

Universal life only

The U7—Universal Life Full Surrender Load—Fees Segment directs *LifePRO*® to the surrender loads on UL products.

Enter Universal Life Full Surrender Load Criteria - Fees							
Segment ID	UL1			Segment Type	U7		
Select Period	0			Ultimate ID			
Constant Fee, If Applicable	\$0.00			Fee Varies by UWCLS?	No		
Rate Type	Issue Age			Key Modifier			
Rate Basis	Male With Setback						
Setback Years	0						
Banding Method	Not Banded						
Band Limits	999999999	0	0	0	0	0	0
Calculation Code	Per \$1000 of Specified Amount						
Caps on Surrender Fee				Additional Surrender Loads			
Constant	1			Excess Interest	No		
Percent of 1st Year Premium	0.01%			Full Interest Chargeback from last Anniversary	No		
Per \$1000 of Spec Amt	\$0.01						
				OK			
				Cancel			

NOTE

This segment is used only by the original version of monthiversary, and is not used for new users to the system. Its replacement is the SL—Full Surrender Load Segment accessible from the SR—Surrender Rules Segment.

Fields Unique to this Segment

Refer to Section 12, Chapter 3—Premiums—Upper Portion of Screen Field Definitions on page 12-17 in this book for a description of the fields in the upper portion of the screen.

Field	Description
Calculation Code	P—Per Policy The rate is a constant, used as is. For example, 25.00 per policy is used, regardless of face amount. S—Per \$1000 of Specified Amount The rate found is multiplied by the number of units in the policy. E—E
Caps on Surrender Fee	
Constant	The surrender load can be capped by a constant amount. For example, if the cap is \$10000, the surrender load cannot exceed \$10000.
Percent of 1st Year Premium	The surrender load can be capped by a percent of the premium received in the first policy year. For example, if the percent entered in this field is 50% and the premium received in the first year is \$10000, then the surrender load cap is calculated as \$5000.
Per \$1000 of Spec Amt	The system takes the final surrender load value as it was computed, divides by the number of units of specified amount, and compares to this cap. The smaller value is taken, multiplied by the number of units, and this becomes the surrender load.
Additional Surrender Loads	
Excess Interest	Y—Yes The system adds up the prior 12 months of excess interest and adds to the surrender load as calculated per the rules above. This amount is added to the capped value. N—No
Full Interest Chargeback from last Anniversary	Y—Yes The system reverses all interest credited on the policy since the last anniversary. N—No

6.273 U8—Full Surrender Load/Percentages Segment

NOTE

Universal life only

The U8—Universal Life Full Surrender Load—Percentages Segment directs *LifePRO*® to the surrender loads percentage for annuity and UL products.

Enter Universal Life Full Surrender Load Criteria -Percentages			
Segment ID	UL1	Segment Type	U8
Select Period	0	Ultimate ID	
Constant Percentage, if Applicable	.00%		
Percent Varies by UWCLS ?	☐		
If Not Constant, Key Modifier to Use in Age/Duration File	☐		
Rate Type			
Rate Basis			
If Rate Basis is Setback, Specify Number of Years	0		
Banding Method			
Band Limits	0 0 0 0 0 0 0		
Maximum Load	0		
Calculation Code	Percent Of Fund Value		
OK			
Cancel			

NOTE

This segment is used only by the original version of monthiversary, and is not used for new users to the system. It was used primarily on annuities. Its replacement is the SL—Full Surrender Load Segment accessible from the SR—Surrender Rules Segment. That segment allows a choice of interpreting the rates as a percentage or dollar amounts.

Fields Unique to this Segment

Refer to Section 12, Chapter 3—Premiums—Upper Portion of Screen Field Definitions on page 12-17 in this book for a description of the fields in the upper portion of the screen.

Field	Description
Maximum Load	When the surrender charge is known, it is compared to this field. If this field is not zero, the smaller value becomes the surrender charge.
Calculation Code	F—Percent Of Fund Value The fund value is multiplied by the rate to calculate the surrender charge.

6.274 U9—Full Surrender Exclusion/Amounts Segment

NOTE

Universal life only

The U9—Universal Life Full Surrender Exclusion Amounts Segment directs *LifePRO*® to a flat dollar amount which is not included in the fund value of an annuity (or possibly a UL) for purposes of computing surrender charges. For example, if the system finds the value 1000 here, and the annuity fund is 20,000, then only 19,000 is used to compute the surrender charge.

Enter Universal Life Full Surrender Exclusion Criteria - Amounts			
Segment ID	UL1	Segment Type	U9
Select Period	0	Ultimate ID	
Constant Exclusion Amount, if Applicable	\$0.00		
Exclusion Amount Varies by UWCLS ?	☐		
If Not Constant, Key Modifier to Use in Age/Duration File	☐		
Rate Type			
Rate Basis			
If Rate Basis is Setback, Specify Number of Years	0		
Banding Method			
Band Limits	0 0 0 0 0 0 0		
Maximum Exclusion	0		
OK			
Cancel			

NOTE

This segment is used only by the original version of monthiversary processing. New products requiring an exclusion or free withdrawal should use the SF—Free Surrender Segment accessed from the SR—Full Surrender Segment.

Fields Unique to this Segment

Refer to Section 12, Chapter 3—Premiums—Upper Portion of Screen Field Definitions on page 12-17 in this book for a description of the fields in the upper portion of the screen.

Field	Description
Maximum Exclusion	The rate used is applied as is. It is not computed based on the fund value. A non-zero entry simply ensures that the value in the rate file is not larger than a fixed value.

6.275 UA—Full Surrender Exclusion/Percents Segment

NOTE

Universal life only

This segment directs the system to the rate used to compute the amount of annuity fund value which is not used in the computation of surrender charges. For example, if the surrender percentage is 20% but that 20% is applicable only to 90% of the fund, 10% of the fund is excluded. This segment points to a rate of 10.00%. The surrender logic then computes the surrender load as 20% of 90% of the fund.

Enter Universal Life Full Surrender Exclusion Criteria - Percentages	
Segment ID	VAR
Select Period	0
Segment Type	UA
Ultimate ID	
Constant Exclusion Percent, if Applicable	0.00%
Exclusion Percent Varies by UWCLS ?	☐
If Not Constant, Key Modifier to Use in Age/Duration File	
Rate Type	
Rate Basis	
If Rate Basis is Setback, Specify Number of Years	0
Banding Method	
Band Limits	0 0 0 0 0 0 0
Maximum Exclusion	0
OK	
Cancel	

NOTE

This segment is used only by the original version of monthiversary processing. New products requiring an exclusion or free withdrawal should use the SF—Free Surrender Segment accessed from the SR—Full Surrender Segment.

Fields Unique to this Segment

Refer to Section 12, Chapter 3—Premiums—Upper Portion of Screen Field Definitions on page 12-17 in this book for a description of the fields in the upper portion of the screen.

Field	Description
Maximum Exclusion	A non-zero amount in this field serves as a cap on the amount computed. For example, if the exclusion percentage is 10% and this field has 1000 in it, then for a fund of 20,000, 10% (2000) is excluded, capped at 1000. Hence, only 1000 is excluded and 19,000 is subject to surrender charges.

6.276 UB—Partial Surrender Load/Fees Segment

NOTE

Universal life only

The UB—Partial Surrender Load/Fees Segment directs LifePRO® to the partial surrender loads (per 1000 or flag) on UL products.

Enter Universal Life Partial Surrender Load Criteria - Fees	
Segment ID	UL1 >>
Select Period	0
Segment Type	UB
Ultimate ID	
Constant Fee, if Applicable	\$25.00
Fee Varies by UWCLS	Yes
If Not Constant, Key Modifier to Use in Age/Duration File	
Rate Type	
Rate Basis	Male With Setback
If Rate Basis is Setback, Specify Number of Years	0
Banding Method	Not Banded
Band Limits	99999999 0 0 0 0 0 0
Constant Cap	9999999
Calculation Code	Per Policy
Percent of 1ST Year Premium Cap	
Per \$1000 of Spec Amount Cap	
Excess Interest Surrender Load ?	
OK	
Cancel	

NOTE

This segment is used only by the original version of monthiversary, and is not used for new users to the system. Its replacement is the WL—Partial Withdrawal Load Segment accessible from the WD—Surrender Rules Segment.

Fields Unique to this Segment

Refer to Section 12, Chapter 3—Premiums—Upper Portion of Screen Field Definitions on page 12-17 in this book for a description of the fields in the upper portion of the screen.

Field	Description
Constant Cap	The surrender load can be capped by a constant amount. For example, if the cap is \$10000, the surrender load cannot exceed \$10000.
Calculation Code	S—Per \$1000 of Spec Amount The rate found is multiplied by the number of units in the policy. P—Per Policy The rate is a constant, used as is. For example, 25.00 is deducted per policy, regardless of face amount. E—E
Percent of 1ST Year Premium Cap	The surrender load can be capped by a percent of the premium received in the first policy year. For example, if the percent entered in this field is 50% and the premium received in the first year is \$10000, then the surrender load cap is calculated as \$5000.
Per \$1000 of Spec Amount Cap	The system takes the final surrender load value as it was computed, divides by the number of units of specified amount, and compares to this cap. The smaller value is taken, multiplied by the number of units, and this becomes the surrender load.
Excess Interest Surrender Load	Y—Yes The system adds up the prior 12 months of excess interest and adds to the surrender load as calculated per the rules above. This amount is added to the capped value. N—No

6.277 UC—Partial Surrender Load/Percentages Segment

NOTE

Universal life only

The UC— Partial Surrender Load/Percentages Segment directs the system to the partial surrender load percentages for annuity and UL products.

Enter Universal Life Partial Surrender Load Criteria - Percentages	
Segment ID	UL1
Select Period	0
Segment Type	UC
Ultimate ID	
Constant Percentage, if Applicable	.00%
Percent Varies by UWCLS ?	☐
If Not Constant, Key Modifier to Use in Age/Duration File	
Rate Type	
Rate Basis	
If Rate Basis is Setback, Specify Number of Years	0
Banding Method	
Band Limits	0 0 0 0 0 0 0
Maximum Load	0
Calculation Code	Percent of Value Surrendered
OK	
Cancel	

NOTE

This segment is used only by the original version of monthiversary, and is not used for new users to the system. It was used primarily on annuities. Its replacement is the WL—Partial Surrender Load Segment accessible from the SD—Partial Withdrawal Segment. That segment allows a choice of interpreting the rates as percentages or dollar amounts.

Fields Unique to this Segment

Refer to Section 12, Chapter 3—Premiums—Upper Portion of Screen Field Definitions on page 12-17 in this book for a description of the fields in the upper portion of the screen.

Field	Description
Maximum Load	When the surrender charge is known, it is compared to this field. If this field is not zero, the smaller value becomes the surrender charge.
Calculation Code	F—Percent of Value Surrendered The fund value is multiplied by the rate to get the surrender charge.

6.278 UD—Partial Surrender Exclusion/Amounts Segment

NOTE

Universal life only

The UD—Partial Surrender Exclusion/Amounts Segment directs *LifePRO*® to a flat dollar amount which is not included in the fund value of an annuity (or possibly a UL) for purposes of computing surrender charges. For example, if the system finds the value 1000 here, and the annuity fund is 20,000, then a partial withdrawal of 10000 has only 9000 subject to any partial surrender charges.

Enter Universal Life Part Surrender Exclusion Criteria - Amounts	
Segment ID	UL1
Select Period	0
Segment Type	UD
Ultimate ID	
Constant Exclusion Amount, If Applicable	\$0.00
Exclusion Amount Varies by U/WCLS ?	☐
If Not Constant, Key Modifier to Use in Age/Duration File	
Rate Type	
Rate Basis	
If Rate Basis is Setback, Specify Number of Years	0
Banding Method	
Band Limits	0 0 0 0 0 0 0
Maximum Exclusion	0
OK	
Cancel	

NOTE

This segment is used only by the original version of monthiversary processing. New products requiring a partial exclusion or free partial withdrawal should use the FW—Free Withdrawal Segment on the WD—Partial Withdrawal Segment.

Fields Unique to this Segment

Refer to Section 12, Chapter 3—Premiums—Upper Portion of Screen Field Definitions on page 12-17 in this book for a description of the fields in the upper portion of the screen.

Field	Description
Maximum Exclusion	The rate is applied as is. It is not computed based on the fund value. A non-zero entry simply ensures that the value in the rate file is not larger than a fixed value.

6.279 UE—Partial Surrender Exclusion/Percents Segment

NOTE

Universal life only

The UE—Partial Surrender Exclusion/Percents Segment directs *LifePRO*® to the rate used to compute the amount of a partial surrender from an annuity fund value which is not used in the computation of surrender charges. For example, if the partial surrender percentage is 20% but that 20% is applicable only to 90% of the partial withdrawal amount, we have 10% of the fund excluded. This segment then points to a rate of 10.00%. The surrender logic then computes the surrender load as 20% of 90% of the fund.

Enter Universal Life Partial Surrender Exclusion Criteria - Pcts			
Segment ID	UL1	Segment Type	UE
Select Period	0	Ultimate ID	
Constant Exclusion Percent		Varies by UWCLS	☐
If Applicable	0.00%	Key Modifier	
Rate Type			
Rate Basis			
Setback Years	0		
Banding Method			
Band Limits			
	0	0	0
	0	0	0
	0	0	0
	0	0	0
	0	0	0
	0	0	0
Maximum Exclusion	0		
Exclusion Percentage Flag			
If Partial Withdrawal is Greater Than Exclusion % of Fund Value,			
Is the Exclusion Still Applicable			
OK			
Cancel			

NOTE

This segment is used only by the original version of monthiversary processing. New products requiring a partial exclusion or free partial withdrawal should use the FW—Free Withdrawal Segment on the WD—Partial Withdrawals Segment.

Fields Unique to this Segment

Refer to Section 12, Chapter 3—Premiums—Upper Portion of Screen Field Definitions on page 12-17 in this book for a description of the fields in the upper portion of the screen.

Field	Description
Maximum Exclusion	A non-zero amount in this field serves as a cap on the amount computed. For example, if the exclusion percentage is 10% and this field has 1000 in it, then for a partial surrender of 20000 from a fund, 10% (2000) is excluded, capped at 1000. Therefore, only 1000 is excluded and 19000 is subject to surrender charges.
Exclusion Percentage Flag	F—% of Fund The percentage in the rate file is applicable to the full fund value. For example, if the fund is 20,000 and the rate here is 10%, then 2000 of the fund can be withdrawn without a surrender load applied. P—% of Partial Withdrawal The percentage is applied to the amount being withdrawn (gross). For example, if the rate is 10%, then a partial withdrawal of 2000 has 200 not charged with surrender loads.
If Partial Withdrawal is Greater Than Exclusion % of Fund Value, Is the Exclusion Still Applicable	This field is applicable when the exclusion Percentage Flag field is set to % of Fund. Y—Yes If the percentage times the fund is less than the partial withdrawal being requested, setting this field to Yes causes the system to deduct the free (excluded) amount (a percent of the entire fund) from the partial amount requested (gross) and apply any surrender charge logic to what is remaining. N—No If the percentage times the fund is less than the partial withdrawal being requested, setting this field to No causes the system to end the free (exclusion) calculation and applies the partial surrender charge logic to the entire partial surrender.

6.280 UF—Per Policy Monthly Expense

NOTE

Universal life only

The UF—Per Policy Monthly Expense Segment directs the system to the per policy charge taken out of the fund value, sometimes called a policy fee or an administration fee.

This fee is deducted regardless of the receipt of premium.

Per Policy Monthly Expense									
Segment ID	UL1 >>		Select Period	0					
Type	UF		Ultimate ID						
Constant Amt	3.00		Vary By UWCLS?	No					
Key Modifier	UF		Sum Rates For Each Insured?	No					
Rate Type									
Rate Basis	Male With Setback								

Fields Unique to this Segment

Refer to Section 12, Chapter 3—Premiums—Upper Portion of Screen Field Definitions on page 12-17 in this book for a description of the fields in the upper portion of the screen.

Field	Description
Sum Rates For Each Insured	For per unit, per policy, and percent of premium rates, this field defines for joint products if the rates used are the sum of rates for both insureds or the rate of the primary insured only. Y—Yes The expense rate is the sum of the rates for both insureds. N—No The age, gender, and underwriting class of the primary insured is used.
Rates Coded As	This field tells LifePRO® how to interpret the rates it finds. A—Actual Amount The system uses the rate as is. P—Percentage (1% coded as 1.00) The system interprets the rate as a percentage, and hence to scale the value by multiplying by .01. Thus, a value of 90 means 90%, and is scaled to become .90 in the actual use. A very common error is to code percentages but enter a value of Actual Amount.
Calculation Flag	D—Flat Deduct The value found in the rate file is used as is as a flat dollar deduction. For example, if the rate file has the value 2.00, then 2.00 dollars is deducted from the policy's fund in monthiversary processing. I—Init Prem A percentage is coded and is multiplied by the initial first premium. It is then deducted from the fund. When this option is selected, the rates from the UF Segment are not included in the calculation of the minimum premium, the target premium, or the guideline premium, regardless of the values selected on the UX—Minimum Premium Assembly Rules Segment, UY—Target Premium Assembly Rules Segment, or UZ—Guideline Premium Assembly Rules Segment. 1—1st Yr Prem The digit “one” implies that a percentage is multiplied against the total premium paid during the first policy year. Obviously, during the first year, this value may be changing from month to month. F—Fund Bal The UF rate is applied to the total fund balance to calculate the deduction. M—Maint Charge This option allows the amount on the UF—Per Policy Monthly Expense Segment to be deducted at the end of the policy year. This option is used in conjunction with the Waive Maintenance Charge if Previous Year's Payments Exceed field on the UF Segment to define the maximum amount of premium for which the expense charge is deducted.

Field	Description
Waive Maintenance Charge if previous year's payments exceed	This field is used in conjunction with the Calculation Flag field option Maint Charge . Input the amount of expense charge that is waived if the total payments in the previous year are greater than the amount entered in this field.
Maximum Deduction	This field works in conjunction with the Calculation Flag field option of Init Prem and 1st Yr Prem . If either of these options are selected in the Calculation Code field, the resulting value can be capped by this field. If a zero is input, no capping takes place and the value computed is used unmodified.
Cap Expense at Current Excs Int	This field is used to determine the monthly expense charge that is used. Y—Yes At modeaversary, the excess interest earned for the month is compared to the constant rate coded on the UF—Per Policy Month Expense Segment. The lesser of the two amounts is deducted from the policy as a monthly expense charge. N—No The monthly expense charge is the constant rate stated on the UF Segment.
Load Timing Code	M—Monthly The value is deducted each month. A—Annually The value, either the flat amount or the computed amount, is deducted only on the anniversary, not each month.
Times To Deduct	If the Load Timing Code field is set to Monthly, LifePRO® can be instructed to deduct less than 12 times during the year. If the Load Timing Code field is set to Annually, a temporary deduction pattern should be handled via the select period, or through the rate files themselves. For example, if the deductions last only three years, code either a Duration Only Rate File Record with zeros after three years, or use the select period to have 3 years, then another segment pointing to zeros.
Premium Not Commissionable - Percentage	For annuity and UL products, a percentage of the deduction can be deducted from the premium before computing commissions.
Fund Allocation	If the product has more than one fund, this field tells LifePRO® how to allocate the deduction among the funds. P—Prorate The deduction is made from each fund as a ratio of the fund value. L—LIFO The last fund listed has the entire deduction taken from it. F—FIFO The first fund listed has the entire deduction taken from it, with the remainder from the next fund.

Field	Description
Premium Not Commissionable - Flat Amount	For annuity and UL products, a flat amount can be deducted from the premium before computing commissions.
Decrement Duration By Periods Of Non-Coverage	This field allows the expenses defined to be accounted for during periods of non-coverage for lines of business U—Universal and A—Annuity. Y—Yes If a policy lapses and is reinstated, the system reads the Times to Deduct field and the Load Timing Code field on the U3—Per Thousand Expense Load Segment. If the number defined in the Decrement Duration By Periods Of Non-Coverage field is greater than or equal to the contract effective date, normal processing occurs. If the number defined is less than a policy's contract effective date, the system at the time the policy is reinstated continues to deduct charges on an annual or monthly mode as defined in the Load Timing Code field until the number has been met. For example, assume that 36 is selected in the Times to Deduct field and Monthly is selected in the Load Timing Code field. Assume that a policy was inforce for 33 months until it lapsed on 01/01/2005. Assume a year later (01/01/2006) that the policy is reinstated. Charges are deducted on a monthly basis for an additional 3 months (03/01/2006), until the 36 months have been met. N—No If a policy lapses and is reinstated, the system ignores any charges that may have occurred during the lapse period and begin charges based on the reinstatement date.

6.281 UG—Universal Life Minimum Premium Segment

NOTE

Universal life only

The UG—Universal Life Minimum Premium Rates Segment directs *LifePRO*® to the rates used for minimum premium calculations on the base benefit.

The rules governing the actual calculation are contained in the UX—Minimum Premium Assembly Rules Segment.

Enter UL Minimum Premium Rates Segment Criteria									
Segment ID	UL1			Segment Type	UG				
Select Period	0			Ultimate ID					
Premiums Vary by UWCLS?	No			Key Modifier	UG				
Rate Type	Issue Age								
Rate Basis	Male With Setback								
Setback Years	0								
Banding Method	Not Banded								
Band Limits									
999999999	0	0	0	0	0	0	0	0	0
Rate Code	Annually			Minimum Premium Requirement Period					
Calculation Code	Tables			Period	3	Code	Year		
No Lapse Guarantee Period									
Period	2	Code	Year	Computation IDs For Minimum Prem Lapses					
				Extended Term ID					
				Reduced Paid Up ID					
Rates									
OK									
Cancel									

Fields Unique to this Segment

Refer to Section 12, Chapter 3—Premiums—Upper Portion of Screen Field Definitions on page 12-17 in this book for a description of the fields in the upper portion of the screen.

Field	Description
Rate Code	M—Monthly A—Annually
Calculation Code	This field determines if the values used are stored in tables or if the values are computed. C—Computed To date, this option has not been used (it is a version of processing exceptions). T—Tables
No Lapse Guarantee Period and Code	This field is used by an earlier version of monthiversary processing and is now overridden by a field on the LP—Lapse Segment. The first part of this field defines the numeric length of time for the no lapse guaranteed period. The second part of this field defines the type of time for the no lapse guaranteed period. D—Day M—Month Y—Year NOTE The UG Segment, as well as the LP Segment, contains the No Lapse Guarantee Period field. If the LP Segment is set, a required minimum premium period is automatically set as equal to the no lapse guarantee period. This required minimum premium period is separate from the required minimum premium coded on the UG Segment and is only used if the fund value is negative within the no lapse guarantee period.

Field	Description
Minimum Premium Requirement Period and Code	If this field has a value, the system tracks the actual deposits less withdrawals on a policy, and lapses a policy, per the LP—Lapse Segment. If this value falls behind, the cumulative minimum premiums are due. The policy can lapse to an automatic premium loan (APL), extended term insurance (ETI), or reduced paid up insurance (RPU). The first field defines the length of the requirement period in years, months or days. The second field defines the type of time used for the requirement period. D—Day M—Month Y—Year If a policy is a flexible product, this field allows for a temporary period during which it is treated as a fixed premium UL. If the product is fixed forever, this field is coded as 100. NOTE The Coverage Record and the UG Segment contain the Required Minimum Premium Payment Duration field. The field on the UG Segment, if set, overrides the period code on the Coverage Record and is used when determining the minimum premium payment.
Computation IDs For Minimum Prem Lapses	If a policy fails to pass the requirement period test, and premiums paid (less withdrawals) are less than the cumulative premiums due, then grace starts. At the end of grace, modeaversary lapses the policy, and if the nonforfeiture option is extended term insurance (ETI) or reduced paid up insurance (RPU), the system looks to a traditional coverage ID coded in these two fields to get the ETI or RPU rules.
Extended Term ID	
Reduced Paid Up ID	

6.282 UH—Universal Life Target Premium Rates Segment

NOTE

Universal life only

The UH—Universal Life Target Premium Rates Segment points the UL premium calculator to the rates needed to compute target or maximum commissionable premiums. The rules governing the use of these rates are contained in the UY—Target Premium Assembly Rules Segment.

Enter Universal Life Target Premium Rates Segment Criteria						
Segment ID	UL1		Segment Type	UH		
Select Period	0		Ultimate ID			
Target Premium Rates Vary by UWCLS ?				No		
Key Modifier to Use in Age/Duration File				UH		
Rate Type				Issue Age		
Rate Basis				Male With Setback		
If Rate Basis is Setback, Specify Number of Years				0		
Rate Code				Annually		
Banding Method				Not Banded		
Upper Band Limits						
999999999	0	0	0	0	0	0
Inflate Target by Substandard Ratings?				Yes		
				Rates		
				OK		
				Cancel		

Fields Unique to this Segment

Refer to Section 12, Chapter 3—Premiums—Upper Portion of Screen Field Definitions on page 12-17 in this book for a description of the fields in the upper portion of the screen.

Field	Description
Inflate Target by Substandard Ratings	This field tells <i>LifePRO</i>® that the company is paying more commission on the substandard cases. This field can be overridden by more detailed fields on the UY—Target Premium Assembly Rules Segment. Y—Yes Inflate target by substandard ratings. N—No Do not inflate target by substandard ratings.

6.283 UI—Monthaversary Control Segment

NOTE

Universal life only

The UI—Monthaversary Control Segment directs *LifePRO*® in the timing of deductions relative to the computation of net amount at risk (NAR). It also allows other rules to be defined. There are no rates attached to this segment.

Enter UL MPR Control Segment Criteria			
Segment ID	>>	Segment Type	UI
MPR Fund Valuation Code		Specified Amount Handling	
Non-Level Death Benefit Option		Description	
Level Death Benefit Option		Description	
Rider Surcharge Amount	\$0.00	Calculate Minimum in Layers	
Surcharge Identifier(s)			
Maturity Timing Code			
Rider Deduction Method			
Suppress Specified Amount Change on DB Option Change	No		
Non-Level Death Benefit Method	Fund Value		
Process Redo via RQUE	N	Schedule Redo RQUE for Time	
Expense	Timing Code		
1 Monthly			
2 Spec Amt Increase			
3 Policy Fee			
4 Rider Deductions			
Deductions For HR Riders Treated As Taxable Distributions	No		
			OK
			Cancel

The following table contains definitions for the fields on the UI Segment.

Field	Description
MPR Fund Valuation Code	B—BCV The fund value, with all interest from the prior month credited and all prospective deductions (loads, COI charges) taken out, is stored at the end of the monthiversary process. A quote during the month credits interest up to the day. M—MCV This option is a hybrid method specifically for one client. This option is not supported in modeaversary processing. A—ACV Interest is not credited at mid-month. If a loan or withdrawal is processed in the middle of a month, interest is credited as though the activity occurred on the last monthiversary processing date. A quote during the month does not credit interest or take deductions.
Specified Amount Handling	If, after issue, specified amount increase layers (SP benefits) have been added and then a decrease is requested, the layers are decreased in either a LIFO basis or a FIFO basis. F—FIFO The layers are decreased starting with the base benefit and progressing to the most recent SP layer. L—LIFO The layers are decreased starting with the most recent SP layer and progressing to the base benefit. B—Inc/Dec to Base Benefit/CE Layer The specified amount is associated with each increment layer and added to the base rather than tracking by individual SP benefits. This option is only valid when contribution enablement and money purchase are used on the coverage. Decrements are not supported for policies using source and type tracking. NOTE After a specified amount increase, all deductions are computed using the new face amount, at the beginning of MPR, regardless of the timing code.
Non-Level Death Benefit Option	Input the one character identifier for the increasing death benefit option for the product in this field. NOTE If this field is left blank and the Level Death Benefit Option field is left blank, the system assumes that the death benefit option is non-level.
Description	Input the description to be used for the increasing (non-level) DB option.

Field	Description
Level Death Benefit Option	Input the one character identifier for the level death benefit option for the product in this field. NOTE If this field is left blank and the Non-Level Death Benefit Option field is left blank, the system assumes that the death benefit option is non-level.
Description	Input the description to be used for the level DB option.
Rider Surcharge Amount	An additional flat dollar deduction may be made from the fund(s) if any one of (up to) four riders are in the contract.
Calculate minimum in Layers	Y—Yes For each SP layer, use the rates on the UG—Universal Life Minimum Premium Segment. N—No Use the total SP layer.
Surcharge Identifier(s)	Enter in these 4, 10 character fields the riders involved. If any one or more of these coverage IDs are found as riders in the contract, the flat deduction is taken. NOTE It is not a deduction per rider, just the flat amount, if any one or more of the riders is found.
Maturity Timing Code	This field is associated with the MT—Fund Maturity Rules Segment. A—After Deductions The transactions directed by the options selected on the MT Segment occur after all deductions are processed. B—Before Deductions The transactions directed by the options selected on the MT Segment occur before all deductions are processed.
Rider Deduction Method	This field determines how to deduct the rider changes from the funds if multi-funded. L—LIFO F—FIFO P—Prorata
Suppress Specified Amount Change on DB Option Change	This field determines if the specified amount changes when a Death Benefit Option change is processed. Y—Yes The system suppresses the specified amount increase or decrease. O—Optional A question appears at the time of processing the Death Benefit Option change to manually determine if the change affects the specified amount. N—No The specified amount increases or decreases when a Death Benefit Option change is processed. This is the default.

Field	Description
Non-Level Death Benefit Method	This field is used to indicate the alternate method for calculating the non-level death benefit. 1—Fund Value This method bases the death benefit on the specified amount in addition to the fund value of the policy. This is current processing and is the default. 2—Greater of Surrender Value Or Guaranteed Cash Value This method for calculating the non-level death benefit is only available for fixed universal life or EIWL benefits. This method bases the death benefit on the specified amount plus the greater of the surrender value (fund value less surrender charges) or the guaranteed cash value as defined on the CV—Cash Values Segment. Refer to Section 12, CV—Cash Values Segment on page 12-215 for additional information. NOTE This option applies only if the following segments are set to No. ● NP—Net Valuation Premiums ● NR—NAR Calculation Methods ● RT—Crm Tax Reserve Segment ● RV—Reserve Factors ● RX—UL Reserve Method ● TP—Tax Valuation Premiums ● TX—Tax Reserve Factors ● UZ—Guideline Premium Rules
Process Redo Via RQUE	This field determines if redo processing is suppressed during reversal processing and processed using RQUE. As a result, the policy is reversed to the date entered and redo is not processed. The RREDO RQUE type is created with a queue date equal to the current system date and a queue time equal to the start time on the RQUE calendar or the time on the UI—Monthiversary Control Segment for non-variable products. Redo processing is then executed with RQUE processing. Y—Yes When reversal processing is executed, the redo processing is suppressed and the RREDO RQUE record is created. N—No Redo processing is executed as part of reversal processing. This is the default.

Field	Description
Schedule Redo RQUE for Time	If the Process Redo via RQUE field is set to Yes, the time to schedule the RREDO RQUE must be entered. This time is only used for non-variable products. For variable products the RREDO RQUE is scheduled using the start time entered on the RQUE calendar. The time entered is military (24 hour) time. NOTE LifePRO® schedules the RQUE for the next time the selected time is reached. For example, if the time is set to 15:00 and the reversal is done after 3:00 pm, the date stamp for the RQUE is for the following day.
Monthly Expense Timing Code	0—Prospective Before NAR Calculations 1—Prospective After NAR Calculations This is the required value when the Set Netcredprem to Modal Premium field on the NR—NAR Calculation Method Segment is set to Yes. 2—After Interest Crediting 3—No Timing Code
Spec Amt Increase Expense Timing Code	0—Prospective Before NAR Calculations 1—Prospective After NAR Calculations This is the required value when the Set Netcredprem to Modal Premium field on the NR—NAR Calculation Method Segment is set to Yes. 2—After Interest Crediting 3—No Timing Code
Policy Fee Expense Timing Code	0—Prospective Before NAR Calculations 1—Prospective After NAR Calculations This is the required value when the Set Netcredprem to Modal Premium field on the NR—NAR Calculation Method Segment is set to Yes. 2—After Interest Crediting 3—No Timing Code

Field	Description
Rider Deductions Expense Timing Code	0—Prospective Before NAR Calculations 1—Prospective After NAR Calculations This is the required value when the Set Netcredprem to Modal Premium field on the NR—NAR Calculation Method Segment is set to Yes . 2—After Interest Crediting 3—No Timing Code
Deductions For HR Riders Treated As Taxable Distributions	This field determines if the deduction for the health rider benefit is treated as a taxable distribution. Y—Yes The health rider benefit deduction is treated as a taxable distribution. N—No The health rider benefit deduction is not treated as a taxable distribution. This is the default.

6.284 UJ—Specified Amt Increase Load—Fee Per \$1000 Segment

NOTE

Universal life only

The UJ—Specified Amt Increase Load—Fee Per \$1000 Segment directs *LifePRO*® to the rate per \$1000 of increase to use if a specified amount increase has an additional charge associated with it.

Enter Specified Amount Increase Load Criteria - Fee Per \$1000							
Segment ID	UL1			Select Period	0		
Type	UJ			Ultimate ID			
Constant Fee				Vary by UWCLS	No		
If Applicable	\$0.00			Key Modifier			
Rate Type							
Rate Basis	Male With Setback						
Setback Years	0						
Banding Method	Specified Amount						
Band Limits							
	99999999	0	0	0	0	0	0
Specified Amount Increase Excluded from Load				\$0.00			
Maximum Amount of Charge				\$0.00			
Load Timing Code							
Period Effective	0						
				Rates			
				OK			
				Cancel			

Fields Unique to this Segment

Refer to Section 12, Chapter 3—Premiums—Upper Portion of Screen Field Definitions on page 12-17 in this book for a description of the fields in the upper portion of the screen.

Field	Description
Specified Amount Increase Excluded from Load	Input any amount of increase which is not counted towards the load. For example, if only the excess of an increase over 10,000 generates a load, code 10000 in this field.
Maximum Amount of Charge	If there is a non-zero cap on the increase charge, input that value in this field.
Load Timing Code	M—Monthly The charge is deducted on a monthly basis. A—Annually The charge is deducted only on the anniversary of the increase.
Period Effective	Input the number of periods to deduct the charge. For example, if the deduction is processed over 3 months, select Monthly for the Load Timing Code field, and 3 in the Period Effective field. NOTE The select period is used to get the rate and this field tells the system the number of cycles to use it.

6.285 UK—Specified Amount Increase Load/Percent Segment

NOTE

Universal life only

The UK—Specified Amount Increase Load—Percent Per \$1000 Segment directs LifePRO® to the percentage rate, per \$1000 of increase, to use if a specified amount increase has an additional charge associated with it.

Enter Specified Amount Increase Load Criteria - Percent Per \$1000						
Segment ID	UL1			Select Period	0	
Type	UK			Ultimate ID		
Constant Percent	.00%			Vary by UWCLS	No	
If Applicable				Key Modifier		
Rate Type						
Rate Basis	Male With Setback					
Setback Years	0					
Banding Method	Specified Amount					
Band Limits	999999999	0	0	0	0	0
Specified Amount Increase Excluded from Load				\$0.00		
Maximum Amount of Charge				\$0.00		
Load Timing Code						
Period Effective	0					
				Rates		
				OK		
				Cancel		

Fields Unique to this Segment

Refer to Section 12, Chapter 3—Premiums—Upper Portion of Screen Field Definitions on page 12-17 in this book for a description of the fields in the upper portion of the screen.

Field	Description
Specified Amount Increase Excluded from Load	Input any amount of increase which is not counted towards the load. For example, if only the excess of an increase over 10,000 generates a load, code 10000 in this field.
Maximum Amount of Charge	If there is a non-zero cap on the increase charge, input that value in this field.
Load Timing Code	M—Monthly The charge is deducted on a monthly basis. A—Annually The charge is deducted only on the anniversary of the increase.
Period Effective	Input the number of periods to deduct the charge. For example, if the deduction is processed over 3 months, select Monthly for the Load Timing Code field, and 3 in the Period Effective field. NOTE The select period is used to get the rate, and this field tells the system the number of cycles to use it.

6.286 UL—Universal Life Corridor Segment

The UL—Universal Life Corridor Segment directs *LifePRO*® to the corridor used for UL products and defines the corridor factors for funds attached to a traditional coverage via allocated coverages. The death benefit calculation is displayed below.

$$\text{Death Benefit} = \text{FUt} * \text{ULt,DB} \times t \text{ or VPU (Value Per Unit defined on the Coverage Record)} * \text{Units.}$$

NOTE

For rows where the death benefit is the return of premium, the corridor for that row should be set to 100% of premium paid. For rows that should not have any death benefit associated with them, the corridor for that row should be set to 0. The cost of insurance charge can be set to zero to avoid any possible charges. The TS—Type/Source Tracking Rules Segment should specify that the row does not generate the specified amount.

Universal Life Corridor Segment							
Segment ID	CORRIDOR >>			Select Period	0		
Type	UL			Ultimate ID			
Vary By UWCLS?	No						
Rate Type	Attained Age						
Rate Basis	Male With Setback						
Setback Years	0						
Banding Method	Not Banded						
Band Limits	99999999	0	0	0	0	0	0
Floor On Corridor	0.00						
Modify Corridor by Current Interest Rate?	No						
Interpolate Factors Monthly	No			Corridor DB Never Decreases	No		
Corridor DB Calc Method	Multiply						
Calculation Basis	Fund Value						
Net single premium calculation rules segment ID							
				Rates			
				OK			
				Cancel			

Fields Unique to this Segment

Refer to Section 12, Chapter 3—Premiums—Upper Portion of Screen Field Definitions on page 12-17 in this book for a description of the fields in the upper portion of the screen.

Field	Description
Floor On Corridor	If you wish to take a more conservative approach on the corridor calculation, input any minimum desired here.
Modify Corridor by Current Interest Rate	This field inflates the corridor rate by the current interest rate being credited. If there is more than one fund, it uses the rate from the first one. $\text{Corridor Rate} = \text{Rate-From-File} * (1 + \text{Int-Rate} * .01))$ Y—Yes N—No
Interpolate Factors Monthly	This field determines if the corridor factor for the policy is determined for the month by interpolating between the two annual durations or if the corridor factor for the current duration is used for the entire year when the policy is in corridor. Y—Yes The corridor factor is interpolated each month between two durations when a policy is in corridor. The following formula is used to interpolate the value of the corridor factor. $\text{CF (m)} = \text{CF (x+t)} * (12 - \text{m}) / 12 + \text{CF (x+t+1)} * (\text{m} / 12)$ N—No The corridor factor at the beginning of the duration is used for the entire duration when a policy is in corridor.
Corridor DB Never Decreases	This field determines if the death benefit decreases even if the policy is in corridor and the expenses deducted cause the fund value to decrease. Y—Yes The death benefit does not decrease even if the fund value decreases. The following formula is used to calculate the death benefit using the interpolated corridor factor. $\text{DB(m)} = \text{Max} \{ \text{Face Amount}, \text{FV} - (\text{m}) / \text{CF (m)}, \text{DB(m-1)} \}$ N—No The death benefit decreases if the fund value decreases.
Corridor DB Calc Method	This field determines how the death benefit is calculated when the policy is in corridor. M—Multiply The death benefit is calculated by multiplying the fund value by the corridor value. D—Divide The death benefit is calculated by dividing the fund value by the corridor value.

Field	Description
Calculation Basis	This field determines if the corridor is based on the fund value or on the premiums paid less withdrawals. F—Fund Value The corridor is calculated against the fund value. This is the default. P—Premiums less Withdrawals The corridor is calculated against premiums paid less gross withdrawals.
Net single premium calculation rules segment ID	This field defines the FN—Commutation Rules Segment ID that overrides the rates on the UL Segment. Press F4 to access the FN Segment which is used to define the net single premium rates for the cash value accumulation test. The corridor calculation is $(Dx/Mx) * FV$. NOTE FN cost of insurance (COI) rates must be coded as an annual rate per 1,000.

6.287 UM—Universal Life Waiver of Premium Rates Segment

NOTE

Universal life only

The UM—Universal Life Waiver of Premium Rates Segment describes the two aspects of waiver for UL.

- First, this segment defines how the deductions are taken. For example, deductions can be a percentage of the COI charges or as a rate per 1000.
- Second, after the policy is on waiver, this segment defines what is paid. For example, the deductions can be paid or an amount related to minimum premiums can be paid.

Universal Life Waiver of Premium Rates (Page 1 of 2)

Segment ID Segment Type UM

Available	Per \$1 of 'M'onthly Deduction	'P'lanned Premium
Waiver	Per \$1 of Premium to be 'W'aived	Per \$1000 of 'N'AR
Types	Per \$1 of Monthly Mortality 'C'harge	Per \$1000 of 'S'pecified Amount

Available	Pay Monthly 'D'eductions
Waiver	Pay Greater of Monthly Deductions
Benefits	or Monthly 'M'inimum Premium

Process DI benefit as 'W'aiver of Premium or 'N'o processing

Insured Waiver

Waiver Type

Benefit

Identifier

Inflation Rider

Rate Multiplier

Min/Target Adj

Payor Waiver

Waiver Type

Benefit

Identifier

Inflation Rider

Rate Multiplier

Min/Target Adj

Vanish Waiver

Waiver Type

Benefit

Identifier

Inflation Rider

Rate Multiplier

Min/Target Adj

Next
OK
Cancel

The second screen of the UM—Universal Life Waiver of Premium Rates Segment is accessed by clicking **Next** after the first screen is complete.

The following table contains definitions for the fields on the UM Segment.

Field	Description
Process DI Benefit as Waiver of Premium or No Processing	W—Waiver of Premium If the policy is placed on disability waiver, the DI benefits are processed as waiver of premium and applied to the policy. This is the default. N—No Processing The DI benefit does not apply to the policy.
These fields repeat for insured waiver (component type is WP), and for payor waiver (component types PW, PJ).	
Waiver Type	M—Rate * Mo. Ded The rate for the waiver is multiplied times the total monthly deductions. W—Rate To Spec Prem The rate is applied to a specific premium and the waiver benefit carries this rather than a face amount. C—Rate To Total COI The rate is applied to the total cost of insurance deductions (base + riders), but not to all deductions. For example, a per policy charge could be excluded each month. P—Rate To Planned Prem The rate is applied to the planned premium. N—Rate to NAR Only The rate is applied to the net amount at risk only. S—Rate To No. Of Units Of Spec Amt The rate is applied to the number of units of specified amount.
Benefit	D—Monthly Deductions Pay monthly deductions during the disability period. M—Large Of Ded Or Mo. Min Prem Pay the larger of the deductions or the monthly minimum premium.
Identifier	Input the coverage ID of the waiver in this field.

Field	Description
Inflation Rider Rate Multiplier	Input a non-zero amount if the female waiver is a multiple of the male rates. For example, if female rates are 150% of male rates, input 1.5 in this field.
Min/Target Adj	Blank When the RT (Rate to Use) field on the UX or UY Segment indicates the current or guaranteed charge should be added, the waiver portion of the minimum or target premium is computed based on the Waiver Type field. When the UX or UY Segment indicates the minimum or target amount should be added, the waiver portion is based on the minimum or target rate on the waiver, multiplied by the waiver units. M—Minimum For the minimum premium calculation, the waiver portion of the minimum or target premium is computed by the following formula. $(\text{Minimum premium not including waiver}) * f / (1-f), \text{ where } f \text{ is a waiver rate based on the RT (Rate to Use) field on the UX or UY Segment}$ T—Target The waiver portion of the minimum or target premium is computed by the following formula. $(\text{Target premium not including waiver}) * f / (1-f), \text{ where } f \text{ is a waiver rate based on the RT (Rate to Use) field on the UX or UY Segment}$ P—Premium The waiver portion of the minimum or target premium is computed by the following formula. $(\text{Minimum or target premium not including waiver}) * f / (1-f), \text{ where } f \text{ is a waiver rate based on the RT (Rate to Use) field on the UX or UY Segment}$

The second screen is used to indicate if the premium amount for the waiver of premium benefit is based on the minimum or target premium amount. There are also two different calculation methods to choose from this screen.

Universal Life Waiver of Premium Rates (Page 2 of 2)

Segment ID Segment Type

Available	Per \$1 of Minimum Premium
Waiver	Per \$1 of Target Premium
Types	

Available	Pay Minimum Premium
Waiver	Pay Target Premium
Benefits	

Minimum And Target Premium

Waiver Type

Benefit

Identifier

Minimum Calculation Method

The top of the screen displays the options that are available for the bottom portion of the screen. For example, the calculation for the minimum and target premium is based on \$1 of minimum premium if the Waiver Type field is set to **Minimum Premium**.

The fields on the bottom portion of the screen are defined in the table below.

Field	Description
Waiver Type	This field determines if the monthly deduction for the waiver of premium amount is based on the minimum premium amount for the policy or the target premium amount for the policy. M—Minimum Premium The monthly deduction for the waiver of premium is based on the minimum premium amount of the policy. T—Target Premium The monthly deduction for the waiver of premium is based on the target premium amount of the policy.
Benefit	This field determines if the amount paid for the benefit when the premium amount is waived on a policy is based on the minimum premium amount for the policy or the target premium amount for the policy. M—Minimum Premium The amount of premium waived when a policy is placed on waiver is based on the minimum premium amount of the policy. T—Target Premium The amount of premium waived when a policy is placed on waiver is based on the target premium amount of the policy.
Identifier	This field defines the coverage ID of the waiver of premium benefit.
Minimum Calculation Method	The formula for calculating the waiver of premium charge is defined in this field. NOTE When this field is set to 0 or left blank, the TAMRA calculation does not include the monthly expenses and charges. When this field is set to 1, the TAMRA calculation does include the monthly expenses and charges. 0—Waiver Rate * Total Policy Premium (Minimum or Target) 1—Waiver Rate * Total Policy Premium (Minimum or Target) / (1—Waiver Rate / 12) The TAMRA premium calculation reflects the expenses and charges that are included in the waiver of monthly charge deduction.

6.288 UT—Per Fund Expense Segment

NOTE

Universal life only

The UT—Per Fund Expense Segment allows the expense load calculation to be based on the first year premium, based on the target, or based on the actual amount of premium paid for coverages with allocated funds. It also allows the expense load calculation to be based on the fund value of the policy. The system takes the first year premium or the fund value and multiplies it by a user defined rate in order to determine the expense load that should be deducted from the policy on either an annual or monthly mode.

There are two pages of the UT—Per Fund Expense Segment. The first page contains basic segment setup fields.

Rate Type Segment	
Segment ID	UL1 >>
Segment Type	UT
Select Period	Duration 0
Ultimate ID	
Constant Rate	0.0000000 (Added to File Rate if Declared)
Rate Type	
Type Modifier	☐ Rates Vary by Underwriting Class ☐
Mult Insured Access	
Rate Basis	
Years of	0
Banding Method	
Banding Rule	
Upper Band Limits	0 0 0 0 0 0 0
Rates Coded As	Actual Amount
	Not Applicable
Change Frequency	0

The following table contains definitions for the fields on the UT Segment.

Field	Description
Banding Method	X—Not Banded F—Fund Value Total The band is based on the total fund value. If this segment is at a fund level, then it is banded by the individual fund value, not total in the policy. N—NAR If this fund is on a UL product, the banding is by the net amount of risk in the entire policy. Y—YTD Premium O—Original Specified Amount If this option is selected, the original specified amount at issue determines the band number. P—Premium Amount L—Specified Amt + Prev Layers (for SL Only) The band is based on the current specified amount and any previous specified amount layers. For example, assume the SL—Full Surrender Load Segment contains rates for three bands and the Banding Method field is set to Specified Amt + Prev Layers (For SL Only). Also assume the Upper Band Limits fields are completed as shown below. Band 1—100,000 Band 2—250,000 Band 3—999,999 In this example, a policy is issued with an original specified amount of \$75,000. Since the specified amount is less than \$100,000, the band 1 rates are used when determining the surrender charges at issue. Then, assume that a specified amount increase is processed in the amount of \$50,000. The total of the specified amounts for all layers on the policy is used when determining the band to use for the new layer (the increase). Since the specified amount increase added to the base amount is \$125,000, the rates for band 2 are used when determining the surrender charges for the band 2 portion of the specified amount. S—Current Specified Amount If this option is selected, the system uses the total current specified amount to compute the band number. V—Fund Value per Fund (FV Benefit) The banding limits are applied to the fund value of the fund instead of the fund value of the policy.

Field	Description
Banding Rule	T—Traditional All the value used is applied to get one and only one band number. R—Ratcheted The value used is split up over each band, and a separate rate from each band applies to the portion in that band. For example, assume there are three bands set at 10,000, 20,000, and 999999999. The band 1 rate is 10%, the band 2 rate is 8%, and the band 3 rate is 5%. If the banding method is to apply a percentage to the fund being withdrawn (typical for an annuity), and the fund is 40,000, then the system splits the fund into a 10,000 piece and applies 10%, a 20,000 piece and applies 8%, and then has 10,000 in the last band where 5% is applied. A—Accumulative
Rates Coded As	A—Actual Amount P—Percentage (1% Entered As 1.00) Interpret the rate found as a percentage (scale it by multiplying by .01).
Change Frequency	This field is not applicable for this segment.

Click **Next** to access the second page.

Segment Screen - UT (2nd)

Calculation Flag Pct of 1st Year Premium

Capping 1st Year Premium at Target No

Deduction is Annual or Monthly Monthly

Mode Rules

Rates

Previous

OK

Cancel

Complete the following step to access the UT—Per Fund Expense Segment.

1. From the Product Menu select **Fund Information**. The Fund Information Menu is displayed.
2. Select **Fund Rules**. The Fund Rules screen is displayed.
3. Input the Fund ID or select a Fund ID by clicking >> to select the fund from the cross reference list.
4. Click **Segments**. The Segment List is displayed.
5. Click in the Per Fund Expense field and select **Y—Yes** to activate the segment. Click >> and the Per Fund Expense Segment is displayed.

The following table contains definitions for the fields on the UT Segment.

Field	Description
Calculation Flag	P—Pct of 1st Year Premium The policy expense at the fund level is defined as a percent of the first year premium of the fund. This option is only available for coverages with allocated funds. F—Fund Value The policy expense at the fund level is defined as a percent of the fund value.
Capping 1st Year Premium at Target	Y—Yes The system calculates the expense load of the fund based on the first year amount of premium paid up to the target premium. If the amount of the first year premium is less than the target, the system uses the actual premium paid. NOTE This option does not depend on the total premium payment amount paid in future years. It always uses the first year premium amount and deducts the expense load amount on an annual or monthly basis depending on how the Deduction is Annual or Monthly field is defined. For example if the target amount is \$897.00 and the first year premium paid is \$1,000.00, the system multiplies the expense load by the first year target premium amount of \$897.00. If the first year premium payment would have been less than the target, assume it was \$500.00, the system uses \$500.00 as the first year premium. N—No The system calculates the expense load of the fund based on the total amount of the first year premium paid. This option does not depend on the total premium payment amount paid in future years. It always uses the first year premium amount and deducts the expense load amount on an annual or monthly basis depending on how the Deduction is Annual or Monthly field is defined. For example, if the target amount is \$897.00 and the premium paid is \$1,000.00, the system multiplies the expense load by the total premium amount of \$1,000.00.
Deduction is Annual or Monthly	M—Monthly The expense load is calculated and deducted from the policy on a monthly basis. For example, assume a product has a .0025 expense load and a premium of \$897.00. An amount of \$2.24 ($\\$897.00 * .0025$) is deducted from the policy on a monthly basis. A—Annually The expense load is calculated and deducted from the policy on an annual basis. For example, assume a product has an expense load of .0025 and a premium of \$897.00. An annual deduction in the amount of \$2.24 ($\\$897.00 * .0025$) is deducted from the policy.

6.289 UU—Exception Processing Minimum Premium

NOTE

Universal life only

The UU—Exception Processing Minimum Premium Segment is accessed through the Exception Processing field on the UX—Minimum Premium Assembly Rules Segment by pressing **F4**. This segment was designed for a specific client and defines the assumptions for the minimum premium calculation. Target premium assumptions are defined through the UW—Target Premium Solve For Segment accessed by pressing **F4** from the Exception Processing field on the UY—Target Premium Assembly Rules Segment.

The screenshot shows a software window titled "Segment Screen". It contains several input fields and buttons. The "Segment ID" field is populated with "UL". The "Segment Type" is "UU". The "Current or Guaranteed COI" is a dropdown menu set to "Current COI". The "Interest Rate" is a text field with "6.000%". The "Death Benefit Option" is a dropdown menu set to "Level". The "Maturity Type, Value" consists of a dropdown menu set to "Duration" and a text field with "005". The "Maturity Amount (of Face)" is a text field with "0.000%". Below this, there is a label "Use Calculated Minimum Defined Or" followed by "0.000%" and "Of The Target, If Greater". On the right side, there are four stacked buttons: "History", "Last Changed", "OK", and "Cancel".

Segment ID	UL
Segment Type	UU
Current or Guaranteed COI	Current COI
Interest Rate	6.000%
Death Benefit Option	Level
Maturity Type, Value	Duration 005
Maturity Amount (of Face)	0.000%
Use Calculated Minimum Defined Or	0.000% Of The Target, If Greater

History
Last Changed
OK
Cancel

The following table contains definitions for the fields on the UU Segment.

Field	Description
Current or Guaranteed COI	This field defines if the system uses the current or guaranteed cost of insurance (COI) rates for calculating the minimum premium. C—Current COI G—Guaranteed COI
Interest Rate	Input the user defined interest rate that the system uses to define the minimum premium.
Death Benefit Option	This field defines the death benefit option that the system uses to calculate the minimum premium. 0—Policy DB Option The system uses the current death benefit option coded on the policy to calculate the minimum premium. 1—Level The system assumes a level death benefit. 2—Increasing The system assumes an increasing death benefit.
Maturity Type, Value	This field is used to define a specific duration or attained age when calculating the minimum premium. A—Attained Age D—Duration
Maturity Amount (of Face)	This field defines the percentage of the specified face amount of the policy at maturity.
Use Calculated Minimum Defined Or ____% Of The Target, If Greater	The system uses the greater of the minimum defined or the percentage amount of the target input in this field to calculate the minimum premium.

6.290 UW—Exception Processing Target Premium

NOTE

Universal life only

The UW—Exception Processing Target Premium Segment is accessed through the Exception Processing field on the UY—Target Premium Assembly Rules Segment by pressing **F4**. This segment was designed for a specific client and defines the assumptions for the target premium calculation. Minimum premium assumptions are defined through the UU—Exception Processing Minimum Premium Segment which is accessed through the Exception Processing field on the UX—Minimum Premium Assembly Rules Segment by pressing **F4**.

The screenshot shows a software window titled "Segment Screen". It contains several input fields and buttons. The "Segment ID" field is set to "UL". The "Segment Type" is "UW". The "Current or Guaranteed COI" dropdown is set to "Current COI". The "Interest Rate" field is set to "6.000%". The "Death Benefit Option" dropdown is set to "Level". The "Maturity Type, Value" field has a dropdown set to "Duration" and a text box containing "005". The "Maturity Amount (of Face)" field is set to "0.000%". In the bottom right corner, there are four buttons: "History", "Last Changed", "OK", and "Cancel".

Segment ID	UL
Segment Type	UW
Current or Guaranteed COI	Current COI
Interest Rate	6.000%
Death Benefit Option	Level
Maturity Type, Value	Duration 005
Maturity Amount (of Face)	0.000%

History
Last Changed
OK
Cancel

The following table contains definitions for the fields on the UW Segment.

Field	Description
Current or Guaranteed COI	This field defines if the system uses the current or guaranteed cost of insurance (COI) rates for calculating the target premium. C—Current COI G—Guaranteed COI
Interest Rate	Input the user defined interest rate which the system uses to define the target premium in this field.
Death Benefit Option	This field defines the death benefit option that the system uses to calculate the target premium. 0—Policy DB Option The system uses the current death benefit option coded on the policy to calculate the minimum premium. 1—Level The system assumes a level death benefit. 2—Increasing The system assumes an increasing death benefit.
Maturity Type, Value	This field is used to define a specific duration or attained age when calculating the target premium. A—Attained Age D—Duration
Maturity Amount (of Face)	This field defines the percentage of the specified face amount of the policy at maturity.

6.291 UX—Minimum Premium Assembly Rules Segment

NOTE

Universal life only

The UX—Minimum Premium Assembly Rules Segment allows the formula by which the minimum premium for the product is computed to be constructed.

The minimum premium must be sufficient to carry the policy to some future point (the no lapse guarantee period) under some set of assumptions (set by the designer or actuary of the product). Thus, a wide range of calculation methods exist.

Enter Premium Assembly Rules Criteria													
Segment ID FIXEDUL				Segment Type UX									
Average		of Next 1 Years		Premium Ceiling None									
----- Standard -----				----- Table Extra -----				----- Flat Extra -----					
	Apply	Include	RT	U2 Load		Apply	Include	RT	U2 Load		Apply	Include	U2 Load
Base	M	100%	Min	No	M	100%	Min	No	M	100%	100%	No	No
Riders	M	100%	Cprm	No	M	100%	Cprm	No	M	100%	100%	No	No
Waiver	M	100%	Cprm	No	M	100%	Cprm	No	M	100%	100%	No	No
UF Exp.	M												
U1 Exp.	M												
U3 Exp.	M												
Component Rounding Rule Near Cent Annl				Include Rider Surcharge Amount No									
Final Rounding Rule Near Cent Annl				Round Substandard Unit Rate No									
Exception Processing				Table Maximum 500% Flat Maximum 99.99									
				Min. Years for Temporary Extra Inclusion 1									
				Include Initial Surrender Charge No									
Upper Band Limit													
99999999	0	0	0	0	0	0	0	0	0	0	0	0	0
Policy Fee per Band													
50.00000													
												OK	
												Cancel	

Minimum premium formulas normally consist of several parts.

- Minimum premium rate for the base benefit
- Rates for riders
- Rules for handling substandard table ratings, perhaps differently on riders than on the base
- Rules for handling flat extra ratings, again perhaps differently on the base or on riders
- The addition of monthly fees (for example, UF rates such as 2.00 per month or 24.00 per year)
- The addition of any collection fees (for example, U1 rates such as 5.00 per premium collected)

- The addition of any per 1000 of specified amount charges (for example, U3 charges such as .20/1000 of face each month)
- Invariably, waiver riders are handled still differently than other riders, so the waiver is distinct in the formula
- Rounding rules, both along the way (benefit by benefit or component rounding), and at the end (add up the rounded pieces and apply one more final rounding rule to the total)

The following table contains definitions for the fields on the UX Segment.

Field	Description
____ of Next ____ Years	In addition to all the above mentioned possibilities, many companies compute the minimum for 2 or more years into the future and average them, or take the minimums out for 2 or more years and take the largest, or the smallest of these. Thus, an unlabeled method must be input with the first two fields at the top of the screen. A—Average X—Maximum N—Minimum For example, if the minimum is the average of the first five years' minimum premiums, enter A—Average and 5, or if it is to be the largest over the next 5 years, enter X—Maximum and 5.
Premium Ceiling	M—Minimum Cap the value computed per the method over the next x years with the first year minimum. This may seem redundant, but for at least one client, minimums may be less than the normal tabular value. For example, this guarantees that a computed minimum does not exceed a tabular one. T—Target Cap the value computed instead of the target (maximum commissionable premium) computed through the UY—Target Premium Assembly Rules Segment. N—None No cap is in effect.

Field	Description
The next section of the screen contains several lines of data. The first three lines are rules for the base, riders and waiver benefits. For each benefit (base, rider, or waiver), there are eight fields in three groups requiring answers including Standard (not rated), Table Extra (% rating), and Flat Extra.	
Standard	
Apply	This field determines how the percentage input in the Include field is used when defining how much of the premium is included in the calculation of the total minimum premium. M—Multiply The rate in the RT field is multiplied by the percentage defined in the Include field. This is the default. D—Divide The rate in the RT field is divided by the percentage defined in the Include field.
Include	Enter the percentage of the rate to use. Values from 0% to 999% are allowed.
RT (Rate to Use)	M—Min The minimum premium rate is used. The UG rate is used for the base and the MP rate is used for riders and waiver. T—Tar The target premium rate is used. The UH rate is used for the base and the CP rate is used for riders and waiver. G—GCOI The guaranteed cost of insurance (COI) rate is used. C—CCOI The current cost of insurance (COI) rate is used. The U6 rate for base is used and the PR rate is used for riders and waiver. E—Excp
U2 Load	This field determines if the calculated premium amount is grossed up and the method used to calculate the amount. Y—Yes Gross the answer up by the load. Divide the answer by (1—% of premium load) or (1—U2 rate). N—No Do not gross up. S—State Tax Gross the premium amount up by (1 - State Tax Rate defined for the Company/Product/Coverage).

Field	Description
U2 Load (continued)	B—Both Gross the premium amount up by (1 - State Tax Rate defined for the Company/Product/Coverage) and (1 - U2 rate). For example, assume that the minimum for an unrated base benefit is to be the minimum premium factor (UG), grossed up with a 5% premium load. If the UG rate is 10.00 / 1000 and the face amount is 100,000, then this piece of the minimum calculation is calculated as shown below. $100000 * 10/1000 * 1.5 / (1 - .05) = 1578.95$ The Include field is set to 150%, the RT field is set to Min, and the U2 Load field is set to Yes. If the U2 Load field is set to No, the calculation has a result of 1500. These same fields apply for the base, waiver, and all other riders.
Table Extra	
Apply	This field determines how the percentage input in the Include field is used when defining how much of the table extra premium is included in the calculation of the total minimum premium. M—Multiply The rate in the RT field is multiplied by the percentage defined in the Include field. This is the default. D—Divide The rate in the RT field is divided by the percentage defined in the Include field.
Include	Enter the percentage of the rate to use. Values from 0% to 999% are allowed.
RT (Rate to Use)	M—Min The minimum premium rate is used. The UG rate is used for the base and the MP rate is used for riders and waiver. T—Tar The target premium rate is used. The UH rate is used for the base and the CP rate is used for riders and waiver. G—GCOI The guaranteed cost of insurance (COI) rate is used. C—CCOI The current cost of insurance (COI) rate is used. The U6 rate for base is used and the PR rate is used for riders and waiver. E—Excp

Field	Description
U2 Load	This field determines if the calculated premium amount is grossed up and the method used to calculate the amount. Y—Yes Gross the answer up by the load. Divide the answer by (1—% of premium load) or (1—U2 rate). N—No Do not gross up. S—State Tax Gross the premium amount up by (1 - State Tax Rate defined for the Company/Product/Coverage). B—Both Gross the premium amount up by (1 - State Tax Rate defined for the Company/Product/Coverage) and (1 - U2 rate). For example, assume that a policy is rated an extra 125%. A common approach to the minimum premium in such a case is to add the extra COI charges the rating generates to the standard portion just computed. Assume the COI (current U6) rate is 2.40 per year (.20/1000 monthly), and that the company chooses to increase minimum premiums in this case by 100% of the extra COI charge, grossed up by the load. The table extra, ignoring rounding rules, is calculated as follows. $100\% * 1.25 * 2.00/1000 * 100000 / (1—.05) = 263.16$ The Include field is set to 100%, the RT field is set to CCOI, and the U2 Load field is set to Yes. At this point, the minimum premium is 1578.95 + 263.16, ignoring rounding.
Flat Extra	
Apply	This field determines how the percentage input in the Include field is used when defining how much of the flat extra premium is included in the calculation of the total minimum premium. M—Multiply The rate in the RT field is multiplied by the percentage defined in the Include field. This is the default. D—Divide The rate in the RT field is divided by the percentage defined in the Include field.
Include	Enter the percentage of the rate to use. Values from 0% to 999% are allowed.
U2 Load	This field determines if the calculated premium amount is grossed up and the method used to calculate the amount. Y—Yes Gross the answer up by the load. Divide the answer by (1—% of premium load) or (1—U2 rate). N—No Do not gross up.

Field	Description
U2 Load (continued)	S—State Tax Gross the premium amount up by (1 - State Tax Rate defined for the Company/Product/Coverage). B—Both Gross the premium amount up by (1 - State Tax Rate defined for the Company/Product/Coverage) and (1 - U2 rate). Assume that a policy has a 1.30 flat extra rating and the company policy is to increase the minimum by 75% of the flat extra and not gross up. The flat extra is calculated as shown below. $75\% * 1.35 / 1000 * 100000 = 101.25$ The Include field is set to 75% and the U2 Load field is set to No. The minimum premium for the base benefit is $1578.95 + 263.16 + 101.25 = 1943.36$.
The lines pertain to the UF (per policy) expense, the U1 (premium collection fee) expense, and the U3 (per 1000) expense.	
Component Rounding Rule	This field indicates the rounding rule or when each piece is computed, how it should be rounded. 0—No Rounding 1—Low Cent Annl 2—Near Cent Annl 3—High Cent Annl 4—Low Dollar Annl 5—Near Dollar Annl 6—High Dollar Annl A—Low Cent Mtly B—Near Cent Mtly C—High Cent Mtly D—Low Dollar Mtly E—Near Dollar Mtly F—High Dollar Mtly
Final Rounding Rule	This field indicates how the total of all the pieces should be rounded. 0—No Rounding 1—Low Cent Annl 2—Near Cent Annl

Field	Description
Final Rounding Rule (continued)	3—High Cent Annl 4—Low Dollar Annl 5—Near Dollar Annl 6—High Dollar Annl A—Low Cent Mtly B—Near Cent Mtly C—High Cent Mtly D—Low Dollar Mtly E—Near Dollar Mtly F—High Dollar Mtly
Exception Processing	This field contains the ID for the UU—Minimum Premium Solve For Segment which contains the assumptions used in calculating the minimum premium. Press F4 to access the UU Segment. Refer to 6.289—UU—Exception Processing Minimum Premium on page 12-1046 in this book for further information.
Include Rider Surcharge Amount	This field is located on the UX—Minimum Premium Assembly Rules Segment, the UY—Target Premium Assembly Rules Segment, and the UZ—Guideline Premium Rules Segment. This field has the ability to add in a rider surcharge as defined on the UI—Monthiversary Control Segment into the minimum, target, and guideline premium calculations. Since the rider surcharge is an expense item, the TAMRA 7 Pay premium does not include the rider surcharge amount. The surcharge amount on the UI Segment is a monthly amount. Since the minimum and target premiums are annual amounts, the UI surcharge amount is annualized (multiplied by 12). The U2 Load field for the UF expense as defined on the UX and UY Segments controls if the annualized surcharge amount is grossed up for the premium load, since the surcharge amount is an additional per policy maintenance expense. Therefore, if the U2 load is turned on, the annualized surcharge amount also receives the load. On the guideline premium calculation, the surcharge amount is treated like any other monthly expense. If the UZ Segment indicates that the UI rider surcharge amount is included in the guideline premium calculation, the monthly rider surcharge amount is added to the monthly per policy maintenance expense as defined by the UF Segment. Y—Yes N—No

Field	Description
Round Substandard Unit Rate	Y—Yes N—No
Table Maximum	Input the maximum of the table extra that is used in the table extra calculation piece. If left at 0, any table extra is used uncapped. For example, if the minimum includes 100% of table extras up to 300, input 300. A table extra of 400% is reduced to 300% in the calculations.
Flat Maximum	Input the maximum flat extra rating that is used in the table extra calculation. If left at 0, any flat extra is used uncapped. For example, if the minimum includes 100% of flat extras up to 4.00 per 1000, input 4.00. A table extra of 5.00 is reduced to 4.00 in the calculations.
Min Years for Temporary Extra Inclusion	If a non-zero value is entered here, only substandard ratings for durations greater than this value are considered. For example, if the value 5 is entered here, and either the table extra or the flat extra is for 5 years or less, that substandard or extra piece is 0.
Include Initial Surrender Charge	Y—Yes The first year surrender load on the policy is added to the minimum premium. N—No
The last section of entries describe any final policy fee which is added to the final answer arrived through the information input above.	
Upper Band Limit	Input up to 7 upper specified amounts which constitute band limits. The band limit test always assumes the band limit is included in that band. For example, a band 1 limit of 25000 implies that 25000 is considered to be band 1. If not banded, input all 9's in the first band limit.
Policy Fee per Band	For each band, input the annual policy fee to add to the computed minimum.

6.292 UY—Target Premium Assembly Rules Segment

NOTE

Universal life only

The UY—Target Premium Assembly Rules Segment allows the formula by which the target premium for the product is computed to be constructed.

The target premium must be sufficient to carry the policy to some future point (the no lapse guarantee period) under some set of assumptions (set by the designer of the product). Thus, a wide range of calculation methods exists.

Enter Premium Assembly Rules Criteria									
Segment ID				FIXEDUL >>		Segment Type		UY	
Average		of Next		1		Years		Premium Ceiling	
								None	
----- Standard -----					----- Table Extra -----				----- Flat Extra -----
	Apply	Include	RT	U2 Load	Apply	Include	RT	U2 Load	Apply Include U2 Load
Base	M	100%	Min	No	M	100%	Min	No	M 100% No
Riders	M	100%	Cprm	No	M	100%	Cprm	No	M 100% No
Waiver	M	100%	Cprm	No	M	100%	Cprm	No	M 100% No
UF Exp.	M								
U1 Exp.	M								
U3 Exp.	M								
Component Rounding Rule					Near Cent Annl				
Final Rounding Rule					Near Cent Annl				
Exception Processing									
Upper Band Limit					99999999 0 0 0 0 0 0				
Policy Fee per Band					50.00000				
					Include Rider Surcharge Amount No				
					Round Substandard Unit Rate No				
					Table Maximum 500% Flat Maximum 99.99				
					Min. Years for Temporary Extra Inclusion 1				
					Include Initial Surrender Charge No				
OK									
Cancel									

Target premium formulas normally consist of several parts.

- Target premium rate for the base benefit
- Rates for riders
- Rules for handling substandard table ratings, perhaps differently on riders than on the base
- Rules for handling flat extra ratings, again perhaps differently on the base vs on riders
- The addition of monthly fees (for example, UF rates such as 2.00 per month or 24.00 per year)

- The addition of any collection fees (for example, U1 rates such as 5.00 per premium collected)
- The addition of any per 1000 of specified amount charges (for example., U3 charges such as .20/1000 of face each month)
- Invariably, waiver riders are handled still differently than other riders, so the waiver is distinct in the formula
- Rounding rules, both along the way (benefit by benefit or component rounding), and at the end (add up the rounded pieces and apply one more final rounding rule to the total)

The following table contains definitions for the fields on the UY Segment.

Field	Description
___ of Next ___ Years	In addition to all the above mentioned possibilities, many companies compute the minimum for 2 or more years into the future and average them, or take the minimums out for 2 or more years and take the largest, or the smallest of these. Thus, an unlabeled method must be input with the first two fields at the top of the screen. A—Average X—Maximum N—Minimum For example, if the minimum is the average of the first five years' minimum premiums, select A—Average and 5, or if it is to be the largest over the next 5 years, select X—Maximum and 5.
Premium Ceiling	M—Minimum Cap the value computed per the method over the next x years with the first year minimum. This may seem redundant, but for at least one client, minimums may be less than the normal tabular value. For example, this guarantees that a computed minimum does not exceed a tabular one. T—Target Cap the value computed instead of the target (maximum commissionable premium) computed through the UY—Target Premium Assembly Rules Segment. N—None No cap is in effect.

Field	Description
The next section of the screen contains several lines of data. The first three lines are rules for the base, riders, and waiver benefits. For each benefit (base, rider, or waiver), there are eight fields in three groups requiring answers including Standard (not rated), Table Extra (% rating), and Flat Extra.	
Standard	
Apply	This field determines how the percentage input in the Include field is used when defining how much of the premium is included in the calculation of the total target premium. M—Multiply The rate in the RT field is multiplied by the percentage defined in the Include field. This is the default. D—Divide The rate in the RT field is divided by the percentage defined in the Include field.
Include	Enter the percentage of the rate to use. Values from 0% to 999% are allowed.
RT (Rate to Use)	M—Min The minimum premium rate is used. The UG rate is used for the base and the MP rate is used for riders and waiver. T—Tar The target premium rate is used. The UH rate is used for the base and the CP rate is used for riders and waiver. G—GCOI The guaranteed cost of insurance (COI) rate is used. C—CCOI The current cost of insurance (COI) rate is used. The U6 rate for base is used and the PR rate is used for riders and waiver. E—Excp
U2 Load	This field determines if the calculated premium amount is grossed up and the method used to calculate the amount. Y—Yes Gross the answer up by the load. Divide the answer by (1—% of premium load) or (1—U2 rate). N—No Do not gross up. S—State Tax Gross the premium amount up by (1 - State Tax Rate defined for the Company/Product/Coverage).

Field	Description
U2 Load (continued)	B—Both Gross the premium amount up by (1 - State Tax Rate defined for the Company/Product/Coverage) and (1 - U2 rate). For example, assume that the target for an unrated base benefit is the minimum premium factor (UG), grossed up with a 5% premium load. If the UG rate is 10.00 / 1000 and the face amount is 100,000, then this piece of the minimum calculation is calculated as shown below. $100000 * 10/1000 * 1.5 / (1 - .05) = 1578.95$ The Include field is set to 150%, the RT field is set to Tar, and the U2 Load field is set to Yes. If the U2 Load field is set to No, the calculation has a result of 1500. These same questions apply for the base, waiver, and all other riders.
Table Extra	
Apply	This field determines how the percentage input in the Include field is used when defining how much of the table extra premium is included in the calculation of the total target minimum premium. M—Multiply The rate in the RT field is multiplied by the percentage defined in the Include field. This is the default. D—Divide The rate in the RT field is divided by the percentage defined in the Include field.
Include	Enter the percentage of the rate to use. Values from 0% to 999% are allowed.
RT (Rate to Use)	M—Min The minimum premium rate is used. The UG rate is used for the base and the MP rate is used for riders and waiver. T—Tar The target premium rate is used. The UH rate is used for the base and the CP rate is used for riders and waiver. G—GCOI The guaranteed cost of insurance (COI) rate is used. C—CCOI The current cost of insurance (COI) rate is used. The U6 rate for base is used and the PR rate is used for riders and waiver. E—Excp
U2 Load	This field determines if the calculated premium amount is grossed up and the method used to calculate the amount. Y—Yes Gross the answer up by the load. Divide the answer by (1—% of premium load) or (1—U2 rate). N—No Do not gross up.

Field	Description
U2 Load (continued)	S—State Tax Gross the premium amount up by (1 - State Tax Rate defined for the Company/Product/Coverage). B—Both Gross the premium amount up by (1 - State Tax Rate defined for the Company/Product/Coverage) and (1 - U2 rate). For example, assume that a policy is rated an extra 125%. A common approach to the minimum premium in such a case is to add the extra COI charges the rating generates to the standard portion just computed. Assume the COI (current U6) rate is 2.40 per year (.20/1000 monthly), and that the company chooses to increase minimum premiums in this case by 100% of the extra COI charge, grossed up by the load. The table extra, ignoring rounding rules, would be calculated as follows. $100\% * 1.25 * 2.00/1000 * 100000 / (1 - .05) = 263.16$ The Include field is set to 100%, the RT field is set to CCOI, and the U2 Load field is set to Yes. At this point, the minimum premium is 1578.95 + 263.16, ignoring rounding.
Flat Extra	
Apply	This field determines how the percentage input in the Include field is used when defining how much of the flat extra premium is included in the calculation of the total target premium. M—Multiply The rate in the RT field is multiplied by the percentage defined in the Include field. This is the default. D—Divide The rate in the RT field is divided by the percentage defined in the Include field.
Include	Enter the percentage of the rate to use. Values from 0% to 999% are allowed.
U2 Load	This field determines if the calculated premium amount is grossed up and the method used to calculate the amount. Y—Yes Gross the answer up by the load. Divide the answer by (1—% of premium load) or (1—U2 rate). N—No Do not gross up. S—State Tax Gross the premium amount up by (1 - State Tax Rate defined for the Company/Product/Coverage).

Field	Description
U2 Load (continued)	B—Both Gross the premium amount up by (1 - State Tax Rate defined for the Company/Product/Coverage) and (1 - U2 rate). Assume that a policy has a 1.30 flat extra rating and the company policy is to increase the minimum by 75% of the flat extra and not gross up. The flat extra is calculated as shown below. $75\% * 1.35 / 1000 * 100000 = 101.25$ The Include field is set to 75% and the U2 Load field is set to No. The minimum premium for the base benefit is 1578.95 + 263.16 + 101.25 = 1943.36.
The lines pertain to the UF (per policy) expense, the U1 (premium collection fee) expense, and the U3 (per 1000) expense.	
Component Rounding Rule	This field indicates the rounding rule or when each piece is computed, how it is rounded. 0—No Rounding 1—Low Cent Annl 2—Near Cent Annl 3—High Cent Annl 4—Low Dollar Annl 5—Near Dollar Annl 6—High Dollar Annl A—Low Cent Mtly B—Near Cent Mtly C—High Cent Mtly D—Low Dollar Mtly E—Near Dollar Mtly F—High Dollar Mtly
Final Rounding Rule	This field indicates how the total of all the pieces is rounded. 0—No Rounding 1—Low Cent Annl 2—Near Cent Annl 3—High Cent Annl 4—Low Dollar Annl

Field	Description
Final Rounding Rule (continued)	5—Near Dollar Annl 6—High Dollar Annl A—Low Cent Mtly B—Near Cent Mtly C—High Cent Mtly D—Low Dollar Mtly E—Near Dollar Mtly F—High Dollar Mtly
Exception Processing	This field contains the ID for the UU—Minimum Premium Solve For Segment which contains the assumptions used in calculating the minimum premium. Press F4 to access the UU Segment. Refer to 6.289—UU—Exception Processing Minimum Premium on page 12-1046 in this book for further information.
Include Rider Surcharge Amount	This field is located on the UX—Minimum Premium Assembly Rules Segment, the UY—Target Premium Assembly Rules Segment, and the UZ—Guideline Premium Rules Segment. This field has the ability to add in a rider surcharge as defined on the UI—Monthiversary Control Segment into the minimum, target, and guideline premium calculations. Since the rider surcharge is an expense item, the TAMRA 7 Pay premium does not include the rider surcharge amount. The surcharge amount on the UI Segment is a monthly amount. Since the minimum and target premiums are annual amounts, the UI surcharge amount is annualized (multiplied by 12). The U2 Load field for the UF expense as defined on the UX and UY Segments controls if the annualized surcharge amount is grossed up for the premium load, since the surcharge amount is an additional per policy maintenance expense. Therefore, if the U2 load is used, the annualized surcharge amount also receives the load. On the guideline premium calculation, the surcharge amount is treated like any other monthly expense. If the UZ Segment indicates that the UI rider surcharge amount is included in the guideline premium calculation, the monthly rider surcharge amount is added to the monthly per policy maintenance expense as defined by the UF Segment. Y—Yes N—No
Round Substandard Unit Rate	Y—Yes N—No

Field	Description
Table Maximum	Input the maximum of the table extra that is used in the table extra calculation piece. If left at 0, any table extra is used uncapped. For example, if the minimum includes 100% of table extras up to 300, input 300. A table extra of 400% is reduced to 300% in the calculations.
Flat Maximum	Input the maximum flat extra rating that is used in the table extra calculation. If left at 0, any flat extra is used uncapped. For example, if the minimum includes 100% of flat extras up to 4.00 per 1000, input 4.00. A table extra of 5.00 is reduced to 4.00 in the calculations.
Min Years for Temporary Extra Inclusion	If a non-zero value is entered here, only substandard ratings for durations greater than this value are considered. For example, if the value 5 is entered here, and either the table extra or the flat extra is for 5 years or less, that substandard or extra piece is 0.
Include Initial Surrender Charge	Y—Yes The first year surrender load on the policy is added to the minimum premium. N—No
The last section of entries describe any final policy fee which is added to the final answer arrived through the information input above.	
Upper Band Limit	Input up to 7 upper specified amounts which constitute band limits. The band limit test always assumes the band limit is included in that band. For example, a band 1 limit of 25000 implies that 25000 is considered to be band 1. If not banded, input all 9s in the first band limit.
Policy Fee per Band	For each band, input the annual policy fee to add to the computed minimum.

6.293 UZ—Guideline Premium Rules Segment

NOTE

Universal life only

The UZ—Guideline Premium Rules Segment controls certain aspects of the computation of the guideline level premium (GLP), the guideline single premium (GSP), and the TAMRA 7-pay (TAMRA) premium.

Enter Guideline Premium Rules Segment Criteria			
Segment ID	GUIDELINE >>	Segment Type	UZ
Interest Rates For		Override Segments	
Guideline Level	4.500%	Guaranteed COI	U5
Guideline Single	6.000%	Maintenance Expense	UF
TAMRA 7 Pay	4.500%	Per Premium	U1
		Premium Load	U2
		Per \$1000	U3
Consider Corridor in GSP/GLP Calculation	Ap...	Consider Corridor in TAMRA Calculation	Ap...
Include Rider Surcharge in the Guidelines	No		
Treat Warning Status as MEC for Taxes			
Treat the Guideline Single Increasing Death Benefit Option as a	Level	Death Benefit	
Policy goes to MEC Status 60 Days after	TAMRA Violation		
Ignore 'LP' segment NSV flag in Disclosures	No		
Restrict Premiums by DEFRA Maximum on Disclosures	Yes		
Restrict Premiums by TAMRA Maximum on Disclosures	Yes	on Disclosure	
Recalc TAMRA for 1035 first year as of	Policy Issue Date	other 1035 as of	Effective Date Of 1035 Transfer
Current COI Rate Guaranteed for	0	Years on Disclosure	
Use Policy Guaranteed Rate in NAR Calculation for GSP	No		
Maturity Age for Calculation of Guidelines and TAMRA	Coverage Record Mat...	Deemed Maturity Age	0
			Next
			OK
			Cancel

The following table contains descriptions for the first screen of the UZ Segment.

Field	Description
Interest Rates For	Input the rate to use for the guideline level premium (GLP), the guideline single premium (GSP), and the TAMRA 7-Pay (TAMRA) premium. NOTE If this segment is not coded, the system uses the following values. Guideline Level—The guaranteed rate from product setup is used. Guideline Single—The larger of 6.00% or the guaranteed rate from setup is used. TAMRA 7 Pay—The guaranteed rate from product setup is used.
Override Segments	The U5, UF, U1, U2, and U3 segments allow the override of the segments for guideline premium calculations only. The U5 Segment also affects the TAMRA premium calculation. In order to use an override segment, type the segment ID, then press F4 to access the override segment.
Consider Corridor in GSP/GLP Calculation	This field determines if corridor is imposed when the GSP (guideline single premium) and GLP (guideline level premium) are calculated. Y—Apply UL Segment Corridor The corridor defined on the UL—Universal Life Corridor Segment is imposed for the GSP and GLP calculations. N—No The corridor defined on the UL Segment is not imposed when calculating the GSP and GLP. If the projected accumulated value exceeds the death benefit, resulting in a negative NAR (net amount at risk), the negative NAR is used in the calculation of the GLP and GSP. F—No but floor NAR to 0 The corridor defined on the UL Segment is not imposed when calculating the GSP and GLP. However, this option does not allow the NAR value to be negative. If the NAR value is negative, it is set to 0 for the GSP and GLP calculations.

Field	Description
Consider Corridor in TAMRA Calculation	This field determines if corridor is imposed when the TAMRA premium is calculated. Typically, corridor factors do not apply to TAMRA 7-pay calculations; however, <i>LifePRO</i>® does access this information during the TAMRA calculation. Y—Apply UL Segment Corridor The corridor defined on the UL—Universal Life Corridor Segment is imposed for the calculation of the TAMRA premium. N—No The corridor defined on the UL Segment is not imposed when calculating the TAMRA premium. If the projected accumulated value exceeds the death benefit, resulting in a negative NAR (net amount at risk), the negative NAR is used in the calculation of the TAMRA premium. F—No but floor NAR to 0 The corridor defined on the UL Segment is not imposed when calculating the TAMRA premium. However, this option does not allow the NAR value to be negative. If the NAR value is negative, it is set to 0 for the TAMRA premium calculation.
Include Rider Surcharge in the Guidelines	This field is located on the UX—Minimum Premium Assembly Rules Segment, the UY—Target Premium Assembly Rules Segment, and the UZ—Guideline Premium Rules Segments. This field has the ability to add a rider surcharge as defined on the UI—Monthaversary Control Segment into the minimum, target, and guideline premium calculations. Since the rider surcharge is an expense item, the TAMRA 7-Pay premium does not include the rider surcharge amount. The surcharge amount on the UI Segment is a monthly amount. Since the minimum and target premiums are annual amounts, the UI surcharge amount is annualized (multiplied by 12). The U2 Load field for the UF expense, as defined on the UX and UY Segments, determines if the annualized surcharge amount is grossed up for the premium load, since the surcharge amount is an additional per policy maintenance expense. Therefore, if the U2 load is used, the annualized surcharge amount also receives the load. On the guideline premium calculation, the surcharge amount is treated like any other monthly expense. If the UZ Segment indicates that the UI rider surcharge amount is included in the guideline premium calculation, the monthly rider surcharge amount is added to the monthly per policy maintenance expense as defined by the UF Segment.

Field	Description
Treat Warning Status as MEC for Taxes	This field defines how the system treats a policy when the policy MEC Indicator field is set to Warning as defined on the second page of the Contract screen. Y—Yes Treat the policy as if it were an actual MEC policy even though it is in the 60 day MEC warning period. N—No This is the default.
Treat the Guideline Single Increasing Death Benefit Option as a	This field defines if an increasing death benefit or a level death benefit is used when calculating the guideline single premium for a policy with a non-level or increasing death benefit option. I—Increasing L—Level This is the default.
Policy goes to MEC Status 60 Days after	V—TAMRA Violation The MEC status changes to Yes 60 days after the actual violation. M—Next Material Change Anniversary A—Next Anniversary following TAMRA Violation The MEC status changes to Yes 60 days after the anniversary following the actual violation.
Ignore LP segment NSV flag in Disclosures	This field works in conjunction with the If the following go negative, specify the action to be taken for both Fund Value and Surrender Value fields on the LP—Lapse Control Segment. This field affects the values printed on disclosure for certain keywords when the If the following go negative, specify the action to be taken field is set to Lapse Unconditionally or Lapse If Out Of No Guarantee Lapse Period and the value for the duration or age is calculated to be zero or negative. Y—Yes Values continue to be projected and printed regardless of a zero or negative value. N—No Values are printed for the keyword for the duration or age (or for any subsequent duration or age) in which the policy's value is zero or negative. This is the default.
Restrict Premiums by DEFRA Maximum on Disclosures	Y—Yes Projection logic keeps a running total of GLPs, comparing this to the year by year cumulative planned premium. When the cumulative premium exceeds the larger of the running total of GLPs and the GSP, the projection logic stops paying the planned premium into the projection. It starts up again with the allowable amount when it can, finally coming back up to the GLPs. N—No Do not stop paying in the planned premium for projections, but do give a warning message.

Field	Description
Restrict Premiums by TAMRA Maximum on Disclosures	Y—Yes Do not project with a planned premium in the first seven years that causes the policy to be a MEC. N—No Do not stop paying the planned premium. Simply give a warning message.
Recalc TAMRA for 1035 first year as of	This field determines if the 7-pay premium test is recalculated when 1035 money is applied during a policy's first contract year. It also indicates if the policy issue date or the effective date of the 1035 transfer is used as the basis for the TAMRA recalculation. I—Policy Issue Date Recalculate TAMRA as of the policy's issue date. E—Effective Date Of 1035 Transfer Recalculate TAMRA as of the effective date of the 1035 transfer. N—Do Not Recalculate
other 1035 as of	This field determines if the 7-pay premium test is recalculated when 1035 money is applied during contract years 2 through 7. It also indicates if the policy issue date or the effective date of the 1035 transfer is used as the basis for the TAMRA recalculation. I—Policy Issue Date Recalculate TAMRA as of the policy's issue date. E—Effective Date Of 1035 Transfer Recalculate TAMRA as of the effective date of the 1035 transfer. N—Do not recalculate
Current COI Rate Guaranteed for ____ Years on Disclosure	
Use Policy Guaranteed Rate in NAR Calculation for GSP	This field defines how the cost of insurance (COI) discount rate is determined when calculating the net amount at risk (NAR) for GSP purposes. Y—Yes The net amount at risk is calculated using the guaranteed cost of insurance discount rate from the FC—Fund Contract Rules Segment. N—No The net amount at risk is calculated using the greater of the guaranteed COI discount rate from the FC Segment and 6%. This is the field default.

Field	Description
Maturity Age for Calculation of Guidelines and TAMRA	This field controls the limiting age used in the calculation of the Guideline and TAMRA premiums. C—Coverage Record Maturity Age The age selected in the Benefit Cease Age field on the Coverage Record is the maturity age used to calculate the Guideline premium and TAMRA 7-pay premium. This is the default. D—Deemed Maturity Age The age selected in the Deemed Maturity Age field is the maturity age used to calculate the Guideline premium and TAMRA 7-pay premium.
Deemed Maturity Age	This field defines the maturity age to use when calculating the Guideline premium and TAMRA 7-pay premium when the Maturity Age for Calculation of Guidelines and TAMRA field is set to Deemed Maturity Age. If Coverage Record Maturity Age is selected in the Maturity Age for Calculation of Guidelines and TAMRA field, this field is set to zero and cannot be updated.

Click **Next** to view the second Guideline Premium Rules Segment screen.

Guideline Prem Rules Segment

Segment ID: Segment Type:

Project Standardized Premium:

Standardized Single Premium Amount:

Standardized Annual Premium Amount:

The following table contains definitions for the fields on the second screen of the UZ Segment.

Field	Description
Project Standardized Premium	This field controls if standardized premium projections are generated for policy pages. These projections include projected fund values and cash surrender values, under both guaranteed and current assumptions, in addition to the normal projections available based on the planned premium. Y—Yes Standardized premium projections are generated using the amounts defined in the following two fields. The results of the projections are available for policy pages using 16 standardized single and standardized annual premium keywords. Eight of the keywords are table keywords, indexed by policy year. The corresponding eight keywords are indexed by attained age. N—No Standardized premium projections are not generated. This is the default.
Standardized Single Premium Amount	This field is only available if the Project Standardized Premium field is set to Yes. It allows flexibility when defining the standardized single premium amount used for policy page projections, the results of which are available for policy pages using 8 different standardized single premium keywords. The projections are calculated using the assumption that a single premium, equivalent to the amount entered in this field, is applied to the policy at issue.
Standardized Annual Premium Amount	This field is only available if the Project Standardized Premium field is set to Yes. It allows flexibility when defining the standardized annual premium amount used for policy page projections, the results of which are available for policy pages using 8 different standardized annual premium keywords. The projections are calculated using the assumption that a premium equivalent to the amount entered in this field is applied to the policy at issue and annually on the issue anniversary date of the policy, regardless of the actual policy mode.

6.294 V0—New Business Question Setup

The V0—New Business Question Setup Segment defines the segment IDs that point to the appropriate interview questions that appear when policies are added in New Business. A separate segment ID is necessary for each question. Up to 110 questions can be included.

Question Setup Segment			
Segment ID		PHI-LTC >>	Type V0
Update responses on Inforce Contract?		No	
Question Number	Segment ID	Question Number	Segment ID
Question 1	DOB >>	Question 12	>>
Question 2	HT AND WT >>	Question 13	>>
Question 3	ADDRESS >>	Question 14	>>
Question 4	DR >>	Question 15	>>
Question 5	HOSPITAL >>	Question 16	>>
Question 6	HOSPITAL2 >>	Question 17	>>
Question 7	NH >>	Question 18	>>
Question 8	HHC >>	Question 19	>>
Question 9	FRACTURES >>	Question 20	>>
Question 10	ADLS >>	Question 21	>>
Question 11	WALKER >>	Question 22	>>

Next

Previous

OK

Cancel

Page 01 Of 05

To define the question associated with the segment ID, position the cursor on the Segment ID field and click >>. The QD—Question Definition Segment is displayed. Refer to the Product Book, Section 12, 6.206—QD—Question Definition for further information.

Field	Definition
Update responses on Inforce Contract	This field determines if responses to the questions defined through the QD—Questions Definition Segment can be updated at the policy level. N—No Updates are not allowed at the policy level. Responses can only be viewed. Y—Yes Responses can be updated at the policy level.
Question 1 - 110	The Question fields are used to define up to 110 separate QD Segment IDs. To access the QD—Questions Definition Segment, input a segment ID in one of the question fields and press F4.

6.295 VA—Vanish Adjustments

NOTE

Traditional only

This segment is unique to one client's processing exceptions logic for vanish premiums. It has no effect generically in LifePRO®.

Rate Type Segment	
Segment ID	TRAD >>
Segment Type	VA
Select Period	Duration 0
Ultimate ID	
Constant Rate	0.0000000 (Added to File Rate if Declared)
Rate Type	Constant Rate Only
Type Modifier	☐ Rates Vary by Underwriting Class No
Mult Insured Access	
Rate Basis	Separate And Unique
Years of	0
Banding Method	Not Banded
Banding Rule	Traditional
Upper Band Limits	0 0 0 0 0 0 0
Rates Coded As	Actual Amount
Change Frequency	Not Applicable
	0

Mode Rules

Rates

Next

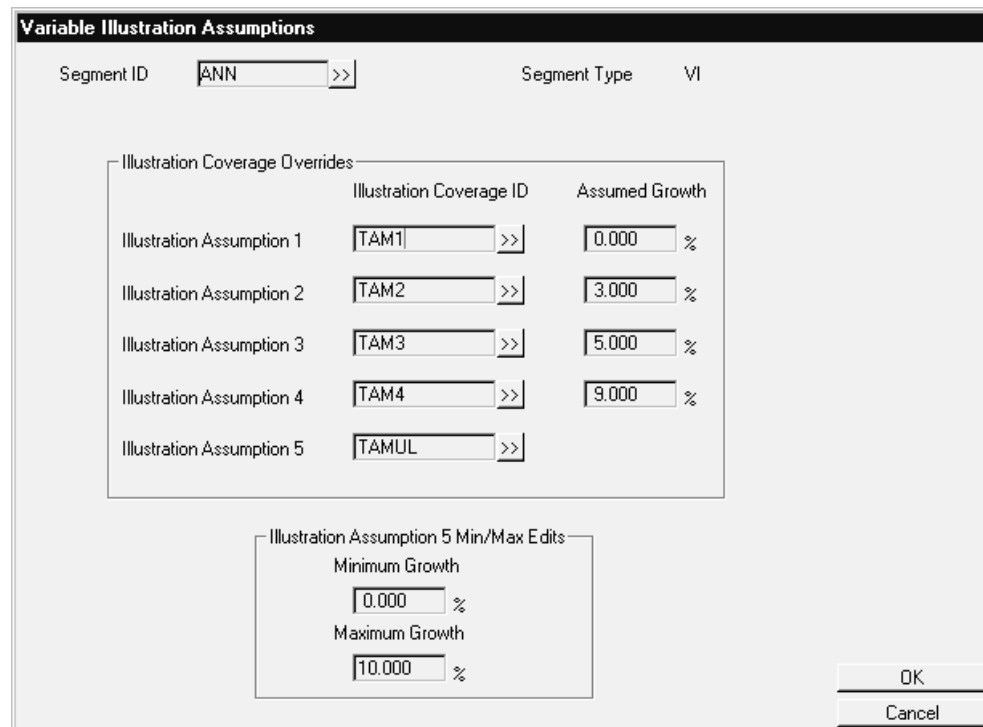
OK

Cancel

Refer to Section 12, Chapter 3—Premiums—Upper Portion of Screen Field Definitions on page 12-17 in this book for a description of the fields in the upper portion of the screen.

6.296 VI—Variable Illustration Assumptions

The VI—Variable Illustration Assumptions Segment is used to calculate projected values for variable (unit linked) products. This segment points to the non-unit linked illustration coverage IDs. These illustration coverage IDs must be valid coverages that have been set up through the Product System. Five projection assumptions can be made using the VI Segment. Four of the assumptions use illustration coverage IDs and assumed growth rates. The fifth assumption uses an illustration coverage ID with a minimum and maximum growth rate. When an illustration is input for the variable product, each of the assumptions defined on the VI Segment is calculated and displayed.



The dialog box titled "Variable Illustration Assumptions" contains the following fields and controls:

- Segment ID: >>
- Segment Type: VI
- Illustration Coverage Overrides section:

	Illustration Coverage ID	Assumed Growth
Illustration Assumption 1	TAM1 >>	0.000 %
Illustration Assumption 2	TAM2 >>	3.000 %
Illustration Assumption 3	TAM3 >>	5.000 %
Illustration Assumption 4	TAM4 >>	9.000 %
Illustration Assumption 5	TAMUL >>	
- Illustration Assumption 5 Min/Max Edits section:

Minimum Growth	0.000 %
Maximum Growth	10.000 %
- Buttons: OK, Cancel

The following table contains definitions for the fields on the VI Segment.

Field	Description
Illustration Coverage ID	The coverage ID of the non-unit linked coverage is input in this field. A valid coverage ID for line of business A—Annuity or U—Universal must be selected. If a valid coverage ID is not selected, the error message <i>Policy LOB Must Be UL or Annuity</i> is displayed.
Assumed Growth	The interest rate used in the illustration projections is input in this field. If a rate is input in this field, the A1 interest rate on the illustration coverage ID is overridden with the assumed growth rate. To use the A1 interest rate, input 99.999- in this field.
Minimum Growth	The minimum interest rate allowed for Illustration Assumption 5 is input in this field. If the Alternate Interest Rate Assumptions field on the Illustration Input screen contains a rate less than the defined minimum growth rate, the error message <i>Starting Rate Must Be Between the VI Segment Minimum and Maximum Growth Rate</i> is displayed.
Maximum Growth	The maximum interest rate allowed for Illustration Assumption 5 is input in this field. If the Alternate Interest Rate Assumptions field on the Illustration Input screen contains a rate greater than the defined maximum growth rate, the error message <i>Starting Rate Must Be Between the VI Segment Minimum and Maximum Growth Rate</i> is displayed.

6.297 VL—Annuity Minimum Values Segment

NOTE

Annuities only

For each segment ID created on the VU—Annuity Death Benefit Values Segment, a VL—Annuity Minimum Values Segment must be set up that corresponds to the issue age on the VU Segment. From the VU Segment, position the cursor on the VL Segment ID field to be viewed and press **F4**. Refer to Section 12, 6.301—VU—Annuity Death Benefit Values Segment on page 12-1107 in this book for more information.

The VL—Annuity Minimum Values Segment is used to define the guaranteed minimum death, accumulation, and income benefits. For each of the three guaranteed minimum benefits (death, accumulation, and income), up to seven calculation methods are used in a *greatest of* comparison to determine the final benefit.

Each calculation method is defined to be always, optionally, or never included in the greatest of comparison for each guaranteed minimum benefit. If the calculation method is optionally included, a corresponding GR—Guaranteed Rider Coverage ID must be defined.

If the calculation methods are defined using guaranteed riders, only those riders selected for a specific contract are included in the greatest of comparison for guaranteed minimum death benefits. For guaranteed minimum accumulation and income benefits, the contract value is *always* part of the comparison.

The annuitant's eligibility for each method of calculating a guaranteed minimum benefit value may vary by the greater of attained age or duration. If no attained age or duration maximums apply, input 999 in each field. Withdrawal adjustments may be defined on either a prorata or dollar for dollar basis.

When the death benefit (GMDB), surrender (GMAB), and annuitization (GMIB) alternate values are calculated, they are maintained in the fund records using the following benefit sequences.

Value from the VL Segment	GMDB	GMAB	GMIB
Maximum anniversary value	913	923	933
Roll Up	914	924	934
Premium Floor	912	922	932
Anniversary Reset (Step Up)	911	921	931
EEDB	915	NA	NA
Unadjusted Maximum Anniversary	916	NA	NA

Guaranteed Minimum Death Benefits (GMDB)

The first two screens define the guaranteed minimum death benefit (GMDB) calculation methods that are available during death quote processing.

Annuity Minimum Values									
Segment ID		MKWVAIL >>		Type		VL			
Guaranteed Minimum Death Benefit									
Values to Use in "Greatest of Comparison"									
		GR Benefit Coverage ID		Calc Cease Date		Benefit Cease Date		Withdrawal Adjustment	
				Attained Age		Greater Of Att Age or Duration			
Maximum Anniversary Value	No			999	0	0	Dollar		
Anniversary Years	0								
Roll-Up	No			999	0	0	Dollar		
Roll-Up Interest		Compound							
Maximum %	0%	Premiums							
Contract Value	Yes				0	25			
Premium Floor	Yes				0	25	Dollar		
Include Replenishment Bonus	No								
Anniversary Reset	Yes			999	0	25	Dollar		
Reset Years	2	Years							
Earnings Enhanced	No				999	999			
EE Rate Sement Id									
Maximum % Premium	0%								

Next
Previous
OK
Cancel

There are seven calculation methods on the VL—Guaranteed Minimum Death Benefit screen of the VL Segment. The greatest of the values resulting from the selected GMDB calculation methods is displayed on the Death Value Quote screen and the annual statement for the policy.

The following table contains definitions for fields on the Annuity Minimum Values screen for guaranteed minimum death benefits.

Field	Description
Maximum Anniversary Value	Indicate if the maximum anniversary value calculation method is included in the <i>greatest of</i> comparison in this field. This calculation method is available for all three types of guaranteed minimum benefits. The maximum anniversary value method uses the greater of the contract value or the most recently calculated maximum anniversary value as of a specific anniversary, plus purchase payments, less withdrawals since that date. In other words, the Maximum Anniversary Value may only increase, unlike the Anniversary Reset value which may fluctuate up or down. The specific anniversary used is called the <i>nth</i> anniversary, which is defined by the Anniversary Years field. Y—Yes Always use this method in the <i>greatest of</i> comparison. N—No Do not use this method in the comparison. This is the default. O—Optional Use this method in the <i>greatest of</i> comparison, only if the corresponding GR—Guaranteed Rider Coverage is selected for the contract. NOTE If this field is set to Yes or Optional, the Anniversary Years, Attained Age, Duration, and Withdrawal Adjustment fields must be defined.
Anniversary Years	If the Maximum Anniversary Value field is set to Yes or Optional for a guaranteed minimum benefit, the Anniversary Years field must also be defined. This field defines the number of years between anniversaries, used in the Maximum Anniversary Value calculation method, to determine the value as of the last <i>nth</i> anniversary. For example, if this field is set to 2, the <i>nth</i> anniversary is the anniversary corresponding to contract year 2, 4, 6, 8, 10, 12, 14, 16, and so on. If, in this example, the benefit is calculated during year 1, the <i>nth</i> anniversary fund value is displayed as of contract year 0.

Field	Description
Roll-Up	Indicate if the roll-up calculation method is included in the <i>greatest of</i> comparison in this field. This calculation method is available for all three types of guaranteed minimum benefits. The roll-up method uses the premiums accumulated at interest, up to a maximum percentage of premiums paid, as the basis for the guaranteed minimum benefit calculation. The interest rate is defined in a rate file, identified by the declared interest rate Segment ID in the Roll-Up Interest field and the maximum percentage of premiums paid is defined in the Maximum % Premium field. Y—Yes Always use this method in the <i>greatest of</i> comparison. N—No Do not use this method in the comparison. This is the default. O—Optional Use this method in the <i>greatest of</i> comparison, only if the corresponding GR—Guaranteed Rider is selected for the contract. NOTE If this field is set to Yes or Optional, the Roll-Up Interest, Maximum % Premium, Attained Age, Duration, and Withdrawal Adjustment fields must be defined.
Roll-Up Interest	If the Roll-Up field is set to Yes or Optional for a guaranteed minimum benefit, the Roll-Up Interest fields must also be defined. The first field is used to define the Segment ID of the declared interest rate file used to accumulate premiums in the roll-up calculation method. The second field is used to define the type of interest. C—Compound The calculation is completed using compound interest. This is the default. S—Single The calculation is completed using simple interest. NOTE Interest is calculated based on calendar year only. Additionally, the Rate Rule field must be defined as 00 on the rate segment.
Maximum %	If the Roll-Up field is set to Yes or Optional for a guaranteed minimum benefit, the Maximum % fields must also be defined in order for the cap to be applicable. The first field caps the value of the roll-up to a percentage of the premiums paid or premiums paid less withdrawals when quoting values during death quote, full surrender, or annuitization processing. If this field is set to 0, then a cap is not applicable. The second field determines if the value of the roll-up cap is a percentage of premiums paid or premiums paid less withdrawals. P—Premiums The maximum percentage defined in the first field is applied to the premiums paid. This is the default. W—Prem's Less W/D's The maximum percentage defined in the first field is applied to the premiums paid less withdrawals.

Field	Description
Contract Value	Indicate if the contract value calculation method is included in the <i>greatest of</i> comparison for the GMDB. The contract value is always included in the calculation for the GMAB and GMIB. The contract value method uses the fund value as the basis for the guaranteed minimum benefit calculation. (This calculation method is also sometimes called the Account Value method.) Y—Yes Always use this method in the <i>greatest of</i> comparison. N—No Do not use this method in the comparison. This is the default. O—Optional Use this method in the <i>greatest of</i> comparison, only if the corresponding GR—Guaranteed Rider is selected for the contract. NOTE If this field is set to Yes or Optional, the Attained Age and Duration fields must be defined.
Premium Floor	Indicate if the premium floor calculation method is included in the <i>greatest of</i> comparison in this field. This calculation method is available for all three types of guaranteed minimum benefits. The premium floor method uses the aggregate purchase payments less partial withdrawals as of the date due proof is received as the basis for the guaranteed minimum benefit calculations. Y—Yes Always use this method in the <i>greatest of</i> comparison. N—No Do not use this method in the comparison. This is the default. O—Optional Use this method in the <i>greatest of</i> comparison, only if the corresponding GR—Guaranteed Rider is selected for the contract. NOTE If this field is set to Yes or Optional, the Attained Age, Duration, and Withdrawal Adjustment fields must be defined.
Include Replenishment Bonus	This field determines if the replenishment bonus is included in the premium floor calculation. This field is only available when the Premium Floor field is set to Yes or Optional. In addition, it is only applicable for the guaranteed minimum death benefit. Y—Yes The replenishment bonus is included in the premium floor calculation. N—No The replenishment bonus is not included in the premium floor calculation.

Field	Description
Anniversary Reset	Indicate if the anniversary reset calculation method is included in the <i>greatest of</i> comparison in this field. This calculation method is available for all three types of guaranteed minimum benefits. The anniversary reset method uses the contract value as of a specific anniversary, plus purchase payments, less withdrawals since that date. Unlike the Maximum Anniversary Value method, the Anniversary Reset method may fluctuate up or down over time. The specific anniversary used is called the <i>nth</i> anniversary, which is defined by the Reset Years field. (This method is also sometimes called the Step Up Floor method.) Y—Yes Always use this method in the <i>greatest of</i> comparison. N—No Do not use this method in the comparison. This is the default. O—Optional Use this method in the <i>greatest of</i> comparison, only if the corresponding GR—Guaranteed Rider is selected for the contract. NOTE If this field is set to Yes or Optional, the Reset Years, Attained Age, Duration, and Withdrawal Adjustment fields must be defined.
Reset Years	If the Anniversary Reset field is set to Yes or Optional for a guaranteed minimum benefit, the Reset Years field must also be defined. This field defines the number of years between anniversaries, used in the Anniversary Reset calculation method to determine the value as of the last <i>nth</i> anniversary. For example, if this field is set to 2, the <i>nth</i> anniversary is the anniversary corresponding to contract year 2, 4, 6, 8, 10, 12, 14, 16, and so on. If, in this example, the benefit is calculated during year 1, the <i>nth</i> anniversary fund value is displayed as of contract year 0.

Field	Description
Earnings Enhanced	This field indicates if the earnings enhanced calculation is included in the <i>greatest of</i> comparison. This method calculates an additional death benefit as a percentage of the earnings in the contract. This additional death benefit can assist in offsetting the taxes that will be imposed on those earnings. The earnings enhancement method multiplies a defined percentage by the account value balance less any loan balance and remaining premiums. This amount is then added to the account value to determine the earnings enhanced death benefit. The percentage can be defined using a standard rate segment and can vary by attained age. The percentage of earnings added to the account value can be capped at a percentage of premiums paid. Y—Yes Always use this method in the <i>greatest of</i> comparison. N—No Do not use this method in the comparison. This is the default. O—Optional Use this method in the <i>greatest of</i> comparison if the corresponding GR—Guaranteed Rider Coverage is selected for the contract in New Business. If this field is set to Yes or Optional, a coverage ID must be set up for the earnings enhancement death benefit. This calculation method is only available for the guaranteed minimum death benefit.
EE Rate Segment ID	If the Earnings Enhanced field is set to Yes or Optional, this field must be defined. The Segment ID input in this field determines the rate segment used to define the percentage of earnings used in the earnings enhanced calculation. The percentage can be varied by attained age. This percentage is multiplied by the account value less any outstanding loan balance and remaining premiums.
Maximum % Premium	If the Earnings Enhanced field is set to Yes or Optional, this field can be used to define the maximum percentage of earnings that can be added to the account value, based on the percentage of premiums paid. If this field is set to 0, it is ignored in the earnings enhanced calculation. If this field is set to a non-zero amount, the cap is applied to the additional death benefit amount calculated. This field defaults to zero.

Field	Description
Calc Cease Date—Attained Age	This field defines the attained age at which the calculations cease based on the corresponding option. Maximum Anniversary Value This option compares the anniversary account value every x years and stores the highest value as the guaranteed benefit. If the Calc Cease Date—Attained Age field is not 999, the comparison of the values ceases after the defined attained age is reached. The current maximum anniversary value is rolled forward every time the policy is valued. Roll-Up This option accumulates premiums or premiums less withdrawals with compound interest when the compound interest option is used and applies simple interest for the number of completed policy years when the simple interest option is used. If the Calc Cease Date—Attained Age field is not 999, processing occurs as described below for each interest method. ● Compound Interest is applied up to and including the policy year in which the annuitant's attained age is less than or equal to the Calc Cease Date—Attained Age field. The benefit value is not increased with interest when the attained age is greater than this age. ● Simple Calculate the value $\text{Max (N)} = \text{Calc Cease Date Attained Age} - \text{Issue Age}$. This is the maximum value for N. If the attained age is less than the issue age, set Max (N) to zero. Anniversary Reset This option compares the anniversary account value every x years and stores the appropriate value as the guaranteed benefit. The Anniversary Reset value may increase or decrease every x years, as opposed to the Max Anniversary Value which always increases. If the Calc Cease Date—Attained Age field is not 999, the values are no longer stored after the attained age is reached. The current Anniversary Reset Value is rolled forward every time the policy is valued.
Benefit Cease Date—Greater Of	The system applies both an attained age test and a test by contract duration to determine eligibility for a given guaranteed minimum benefit calculation method. If the policy passes either test, it is considered eligible for that calculation method.
Att Age	The maximum age of the annuitant as of the effective date for the type of guaranteed minimum benefit is input in this field. For example, the effective date for a guaranteed minimum death benefit is the date of death. If there are joint annuitants, the attained age of the youngest (surviving) annuitant is used. If no attained age maximum applies, input 999 in this field.

Field	Description
Duration	The maximum number of years that the contract has been in force, as of the effective date for the guaranteed minimum benefit is input in this field. If no maximum for a duration applies, input 999 in this field.
Withdrawal Adjustment	For each of the guaranteed minimum benefit calculation methods other than the Contract Value method, the method for adjusting withdrawals must be defined. D—Dollar Every dollar withdrawn impacts the guaranteed minimum benefit by a dollar. (This is also sometimes called Dollar for Dollar.) This is the default. P—Prorata The guaranteed minimum benefit is adjusted by the percentage of the contract value that is withdrawn.

Click **Next** to access the second screen.

Annuity Minimum Values

Segment ID >> Type VL

Guaranteed Minimum Death Benefit

Values to Use in "Greatest of Comparison"

Unadj Max Annu Value	Yes v	GR Benefit Coverage ID	Up to Greater of Attained Age or Duration		Withdrawal Adjustment
Anniversary Years	0		999	999	v
Anniversary Available	0				
Maximum % Premium	999%				

Next
Previous
OK
Cancel

The following table contains definitions for the fields on the second VL Segment screen.

Field	Description
Unadj Max Annv Value	This field indicates if the unadjusted maximum anniversary value calculation method is included in the <i>greatest of</i> comparison. This calculation method is only available for the Guaranteed Minimum Death Benefit. The unadjusted maximum anniversary value method uses the greater of the contract value or the most recently calculated maximum anniversary value as of a specific anniversary. The specific anniversary used is defined by the Anniversary Years field. Y—Yes Always use this method in the <i>greatest of</i> comparison. N—No Do not use this method in the comparison. This is the default. O—Optional Use this method in the <i>greatest of</i> comparison only if the corresponding GR Benefit Coverage ID is selected for the contract. If this field is set to No, the GR Benefit Coverage ID, Up to the Greater or Age or Duration, Withdrawal Adjustment, Anniversary Years, Anniversary Available, and Maximum % Premium fields are not available.
Anniversary Years	This field defines the number of years between anniversaries in the Unadj Max Annv Value calculation method to determine the values as of the last specified anniversary. For example, if this field is set to 2, the specified anniversary is the anniversary corresponding to policy year 2, 4, 6, and so on.
Anniversary Available	This field determines at which anniversary the Unadj Max Annv Value calculation method becomes available. If the method is available from issue, 0 is input in this field.
Maximum % Premium	This field caps the value of the Unadj Max Annv Value to a percentage of the premiums paid. This field defaults to zero indicating that no cap applies.
GR Benefit Coverage ID	This field must be defined for each calculation method set to Optional. It is not applicable if the calculation method is set to Yes or No. This field is used to define the Coverage ID of the GR—Guaranteed Rider component attached to the base benefit for this calculation method. The annuitant must select the guaranteed minimum benefit as a rider for it to be available.

Field	Description
Calc Cease Date—Attained Age	This field defines the attained age at which the calculations cease based on the corresponding option. Unadjusted Max Anniversary Value This option is similar to the Maximum Anniversary Value, except that the value stored by the system is not adjusted due to premiums and withdrawals. If the Calc Cease Date—Attained Age field is not 999, comparison of the values ceases after this attained age is reached.
Benefit Cease Date Greater Of	The system applies both an attained age test and a test by contract duration to determine eligibility for a given guaranteed minimum benefit calculation method. If the policy passes either test, it is considered eligible for that calculation method.
Att Age	The maximum age of the annuitant as of the effective date of the type of guaranteed minimum benefit is input in this field. For example, the effective date for a guaranteed minimum death benefit is the date of death. If there are joint annuitants, the attained age of the youngest (surviving) annuitant is used. If no attained age maximum applies, input 999 in this field.
Duration	The maximum number of years that the contract has been in force, as of the effective date for the guaranteed minimum benefit is input in this field. If no durational maximum applies, input 999 in this field.
Withdrawal Adjustment	For each of the guaranteed minimum benefit calculation methods other than the Contract Value method, the method for adjusting withdrawals must be defined. D—Dollar Every dollar withdrawn impacts the guaranteed minimum benefit by a dollar. (This is also sometimes called Dollar for Dollar.) This is the default. P—Prorata The guaranteed minimum benefit is adjusted by the percentage of the contract value that is withdrawn.

Guaranteed Minimum Accumulation Benefits (GMAB)

Press **Ctrl+Page Down** to access the second screen, the V2 screen, that defines which of the guaranteed minimum accumulation benefit (GMAB) calculation methods are available during full surrender processing.

Annuity Minimum Values

Segment ID >> Type VL

Guaranteed Minimum Accumulation Benefit

Values to Use in "Greatest of Comparison"

	GR Benefit Coverage ID	Calc Cease Date Attained Age	Benefit Cease Date Greater Of Att Age or Duration	Withdrawal Adjustment
Maximum Anniversary Value	Optional	999	999	999
Anniversary Years	0	999	999	999
Roll-Up	No	999	999	999
Roll-Up Interest	Compound	999	999	999
Maximum %	0%	999	999	999
Premium Floor	No	999	999	999
Anniversary Reset	No	999	999	999
Reset Years	0 Years			
Number of Years Inforce	0 Years			

Next
Previous
OK
Cancel

There are four calculation methods on the V2—Guaranteed Minimum Accumulation Benefit screen of the VL Segment. The contract value is always included in the greatest of comparison for the GMAB, even though it is not displayed on the V2 screen.

The guaranteed minimum accumulation benefits may be restricted to only those contracts which have been inforce for a given number of years. The Number of Years Inforce field defines the duration a contract must be inforce before the GMAB is applicable.

The following table contains definitions for fields on the Annuity Minimum Values screen for Guaranteed Minimum Accumulation Benefits.

Field	Description
Maximum Anniversary Value	Indicate if the maximum anniversary value calculation method is included in the <i>greatest of</i> comparison in this field. This calculation method is available for all three types of guaranteed minimum benefits. The maximum anniversary value method uses the greater of the contract value or the most recently calculated maximum anniversary value as of a specific anniversary, plus purchase payments, less withdrawals since that date. In other words, the Maximum Anniversary Value may only increase, unlike the Anniversary Reset value which may fluctuate up or down. The specific anniversary used is called the <i>nth</i> anniversary, which is defined by the Anniversary Years field. Y—Yes Always use this method in the <i>greatest of</i> comparison. N—No Do not use this method in the comparison. This is the default. O—Optional Use this method in the <i>greatest of</i> comparison, only if the corresponding GR—Guaranteed Rider Coverage is selected for the contract. NOTE If this field is set to Yes or Optional, the Anniversary Years, Attained Age, Duration, and Withdrawal Adjustment fields must be defined.
Anniversary Years	If the Maximum Anniversary Value field is set to Yes or Optional for a guaranteed minimum benefit, the Anniversary Years field must also be defined. This field defines the number of years between anniversaries, used in the Maximum Anniversary Value calculation method, to determine the value as of the last <i>nth</i> anniversary. For example, if this field is set to 2, the <i>nth</i> anniversary is the anniversary corresponding to contract year 2, 4, 6, 8, 10, 12, 14, 16, and so on. If, in this example, the benefit is calculated during year 1, the <i>nth</i> anniversary fund value is displayed as of contract year 0.

Field	Description
Roll-Up	Indicate if the roll-up calculation method is included in the <i>greatest of</i> comparison in this field. This calculation method is available for all three types of guaranteed minimum benefits. The roll-up method uses the premiums accumulated at interest, up to a maximum percentage of premiums paid, as the basis for the guaranteed minimum benefit calculation. The interest rate is defined in a rate file, identified by the declared interest rate Segment ID in the Roll-Up Interest field and the maximum percentage of premiums paid is defined in the Maximum % Premium field. Y—Yes Always use this method in the <i>greatest of</i> comparison. N—No Do not use this method in the comparison. This is the default. O—Optional Use this method in the <i>greatest of</i> comparison, only if the corresponding GR—Guaranteed Rider is selected for the contract. NOTE If this field is set to Yes or Optional, the Roll-Up Interest, Maximum % Premium, Attained Age, Duration, and Withdrawal Adjustment fields must be defined.
Roll-Up Interest	If the Roll-Up field is set to Yes or Optional for a guaranteed minimum benefit, the Roll-Up Interest fields must also be defined. The first field is used to define the Segment ID of the declared interest rate file used to accumulate premiums in the roll-up calculation method. The second field is used to define the type of interest. C—Compound The calculation is completed using compound interest. This is the default. S—Single The calculation is completed using simple interest. NOTE Interest is calculated based on calendar year only. Additionally, the Rate Rule field must be defined as 00 on the rate segment.
Maximum %	If the Roll-Up field is set to Yes or Optional for a guaranteed minimum benefit, the Maximum % fields must also be defined in order for the cap to be applicable. The first field caps the value of the roll-up to a percentage of the premiums paid or premiums paid less withdrawals when quoting values during death quote, full surrender, or annuitization processing. If this field is set to 0, then a cap is not applicable. The second field determines if the value of the roll-up cap is a percentage of premiums paid or premiums paid less withdrawals. P—Premiums The maximum percentage defined in the first field is applied to the premiums paid. This is the default. W—Prem's Less W/D's The maximum percentage defined in the first field is applied to the premiums paid less withdrawals.

Field	Description
Premium Floor	Indicate if the premium floor calculation method is included in the <i>greatest of</i> comparison in this field. This calculation method is available for all three types of guaranteed minimum benefits. The premium floor method uses the aggregate purchase payments less partial withdrawals as of the date due proof is received as the basis for the guaranteed minimum benefit calculations. Y—Yes Always use this method in the <i>greatest of</i> comparison. N—No Do not use this method in the comparison. This is the default. O—Optional Use this method in the <i>greatest of</i> comparison, only if the corresponding GR—Guaranteed Rider is selected for the contract. NOTE If this field is set to Yes or Optional, the Attained Age, Duration, and Withdrawal Adjustment fields must be defined.
Anniversary Reset	Indicate if the anniversary reset calculation method is included in the <i>greatest of</i> comparison in this field. This calculation method is available for all three types of guaranteed minimum benefits. The anniversary reset method uses the contract value as of a specific anniversary, plus purchase payments, less withdrawals since that date. Unlike the Maximum Anniversary Value method, the Anniversary Reset method may fluctuate up or down over time. The specific anniversary used is called the <i>nth</i> anniversary, which is defined by the Reset Years field. (This method is also sometimes called the Step Up Floor method.) Y—Yes Always use this method in the <i>greatest of</i> comparison. N—No Do not use this method in the comparison. This is the default. O—Optional Use this method in the <i>greatest of</i> comparison, only if the corresponding GR—Guaranteed Rider is selected for the contract. NOTE If this field is set to Yes or Optional, the Reset Years, Attained Age, Duration, and Withdrawal Adjustment fields must be defined.
Reset Years	If the Anniversary Reset field is set to Yes or Optional for a guaranteed minimum benefit, the Reset Years field must also be defined. This field defines the number of years between anniversaries, used in the Anniversary Reset calculation method to determine the value as of the last <i>nth</i> anniversary. For example, if this field is set to 2, the <i>nth</i> anniversary is the anniversary corresponding to contract year 2, 4, 6, 8, 10, 12, 14, 16, and so on. If, in this example, the benefit is calculated during year 1, the <i>nth</i> anniversary fund value is displayed as of contract year 0.

Field	Description
Number of Years Inforce	This field is only displayed on the V2 and V3 screens. It defines the number of years that a contract must be inforce before the guaranteed minimum accumulation or income benefits are used in the <i>greatest of</i> comparison. Up to that point, only the Contract Value is used for GMAB and GMIB.
GR Benefit Coverage ID	This field must be defined for each calculation method set to Optional. It is not applicable if the calculation method is set to Yes or No. This field is used to define the Coverage ID of the GR—Guaranteed Rider component attached to the base benefit for this calculation method. The annuitant must select the guaranteed minimum benefit as a rider for it to be available.
Calc Cease Date—Attained Age	This field defines the attained age at which the calculations cease based on the corresponding option. Maximum Anniversary Value This option compares the anniversary account value every x years and stores the highest value as the guaranteed benefit. If the Calc Cease Date—Attained Age field is not 999, the comparison of the values ceases after the defined attained age is reached. The current maximum anniversary value is rolled forward every time the policy is valued. Roll-Up This option accumulates premiums or premiums less withdrawals with compound interest when the compound interest option is used and applies simple interest for the number of completed policy years when the simple interest option is used. If the Calc Cease Date—Attained Age field is not 999, processing occurs as described below for each interest method. • Compound Interest is applied up to and including the policy year in which the annuitant's attained age is less than or equal to the Calc Cease Date—Attained Age field. The benefit value is not increased with interest when the attained age is greater than this age. • Simple Calculate the value $\text{Max (N)} = \text{Calc Cease Date Attained Age} - \text{Issue Age}$. This is the maximum value for N. If the attained age is less than the issue age, set Max (N) to zero. Anniversary Reset This option compares the anniversary account value every x years and stores the appropriate value as the guaranteed benefit. The Anniversary Reset value may increase or decrease every x years, as opposed to the Max Anniversary Value which always increases. If the Calc Cease Date—Attained Age field is not 999, the values are no longer stored after the attained age is reached. The current Anniversary Reset Value is rolled forward every time the policy is valued.

Field	Description
Benefit Cease Date Greater Of	The system applies both an attained age test and a test by contract duration to determine eligibility for a given guaranteed minimum benefit calculation method. If the policy passes either test, it is considered eligible for that calculation method.
Att Age	The maximum age of the annuitant as of the effective date of the type of guaranteed minimum benefit is input in this field. For example, the effective date for a guaranteed minimum death benefit is the date of death. If there are joint annuitants, the attained age of the youngest (surviving) annuitant is used. If no attained age maximum applies, input 999 in this field.
Duration	The maximum number of years that the contract has been inforce, as of the effective date for the guaranteed minimum benefit, is input in this field. If no durational maximum applies, input 999 in this field.
Withdrawal Adjustment	For each of the guaranteed minimum benefit calculation methods other than the Contract Value method, the method for adjusting withdrawals must be defined. D—Dollar Every dollar withdrawn impacts the guaranteed minimum benefit by a dollar. (This is also sometimes called Dollar for Dollar.) This is the default. P—Prorata The guaranteed minimum benefit is adjusted by the percentage of the contract value that is withdrawn.

Guaranteed Minimum Income Benefits (GMIB)

Press **Ctrl+Page Down** to access the third screen, the V3 screen, that defines which of the guaranteed minimum income benefit (GMIB) calculation methods are available during annuitization processing.

Annuity Minimum Values									
Segment ID		MKWVAII		>>		Type		VL	
Guaranteed Minimum Income Benefit									
Values to Use in "Greatest of Comparison"									
Maximum Anniversary Value	No		GR Benefit Coverage ID		Calc Cease Date	Attained Age	Benefit Cease Date	Greater Of	Withdrawal Adjustment
Anniversary Years	0					999	999	999	Dollar
Roll-Up	No					999	999	999	Dollar
Roll-Up Interest		Compound							
Maximum %	0%		Premiums						
Premium Floor	No						999	999	Dollar
Anniversary Reset	No					999	999	999	Dollar
Reset Years	0	Years							
Number of Years Inforce	0	Years							

There are four calculation methods on the V3—Guaranteed Minimum Income Benefit screen of the VL Segment. The contract value is always included in the greatest of comparison for the GMIB, even though it is not displayed on the V3 screen.

The guaranteed minimum income benefits may be restricted to only those contracts which have been inforce for a given number of years. The Number of Years Inforce field defines the duration a contract must be inforce before the GMIB is applicable.

The following table contains definitions for fields on the Annuity Minimum Values screen for Guaranteed Minimum Income Benefits.

Field	Description
Maximum Anniversary Value	Indicate if the maximum anniversary value calculation method is included in the <i>greatest of</i> comparison in this field. This calculation method is available for all three types of guaranteed minimum benefits. The maximum anniversary value method uses the greater of the contract value or the most recently calculated maximum anniversary value as of a specific anniversary, plus purchase payments, less withdrawals since that date. In other words, the Maximum Anniversary Value may only increase, unlike the Anniversary Reset value which may fluctuate up or down. The specific anniversary used is called the <i>nth</i> anniversary, which is defined by the Anniversary Years field. Y—Yes Always use this method in the <i>greatest of</i> comparison. N—No Do not use this method in the comparison. This is the default. O—Optional Use this method in the <i>greatest of</i> comparison, only if the corresponding GR—Guaranteed Rider Coverage is selected for the contract. NOTE If this field is set to Yes or Optional, the Anniversary Years, Attained Age, Duration, and Withdrawal Adjustment fields must be defined.
Anniversary Years	If the Maximum Anniversary Value field is set to Yes or Optional for a guaranteed minimum benefit, the Anniversary Years field must also be defined. This field defines the number of years between anniversaries, used in the Maximum Anniversary Value calculation method, to determine the value as of the last <i>nth</i> anniversary. For example, if this field is set to 2, the <i>nth</i> anniversary is the anniversary corresponding to contract year 2, 4, 6, 8, 10, 12, 14, 16, and so on. If, in this example, the benefit is calculated during year 1, the <i>nth</i> anniversary fund value is displayed as of contract year 0.

Field	Description
Roll-Up	Indicate if the roll-up calculation method is included in the <i>greatest of</i> comparison in this field. This calculation method is available for all three types of guaranteed minimum benefits. The roll-up method uses the premiums accumulated at interest, up to a maximum percentage of premiums paid, as the basis for the guaranteed minimum benefit calculation. The interest rate is defined in a rate file, identified by the declared interest rate Segment ID in the Roll-Up Interest field and the maximum percentage of premiums paid is defined in the Maximum % Premium field. Y—Yes Always use this method in the <i>greatest of</i> comparison. N—No Do not use this method in the comparison. This is the default. O—Optional Use this method in the <i>greatest of</i> comparison, only if the corresponding GR—Guaranteed Rider is selected for the contract. NOTE If this field is set to Yes or Optional, the Roll-Up Interest, Maximum % Premium, Attained Age, Duration, and Withdrawal Adjustment fields must be defined.
Roll-Up Interest	If the Roll-Up field is set to Yes or Optional for a guaranteed minimum benefit, the Roll-Up Interest fields must also be defined. The first field is used to define the Segment ID of the declared interest rate file used to accumulate premiums in the roll-up calculation method. The second field is used to define the type of interest. C—Compound The calculation is completed using compound interest. This is the default. S—Single The calculation is completed using simple interest. NOTE Interest is calculated based on calendar year only. Additionally, the Rate Rule field must be defined as 00 on the rate segment.
Maximum %	If the Roll-Up field is set to Yes or Optional for a guaranteed minimum benefit, the Maximum % fields must also be defined in order for the cap to be applicable. The first field caps the value of the roll-up to a percentage of the premiums paid or premiums paid less withdrawals when quoting values during death quote, full surrender, or annuitization processing. If this field is set to 0, then a cap is not applicable. The second field determines if the value of the roll-up cap is a percentage of premiums paid or premiums paid less withdrawals. P—Premiums The maximum percentage defined in the first field is applied to the premiums paid. This is the default. W—Prem's Less W/D's The maximum percentage defined in the first field is applied to the premiums paid less withdrawals.

Field	Description
Premium Floor	Indicate if the premium floor calculation method is included in the <i>greatest of</i> comparison in this field. This calculation method is available for all three types of guaranteed minimum benefits. The premium floor method uses the aggregate purchase payments less partial withdrawals as of the date due proof is received as the basis for the guaranteed minimum benefit calculations. Y—Yes Always use this method in the <i>greatest of</i> comparison. N—No Do not use this method in the comparison. This is the default. O—Optional Use this method in the <i>greatest of</i> comparison, only if the corresponding GR—Guaranteed Rider is selected for the contract. NOTE If this field is set to Yes or Optional, the Attained Age, Duration, and Withdrawal Adjustment fields must be defined.
Anniversary Reset	Indicate if the anniversary reset calculation method is included in the <i>greatest of</i> comparison in this field. This calculation method is available for all three types of guaranteed minimum benefits. The anniversary reset method uses the contract value as of a specific anniversary, plus purchase payments, less withdrawals since that date. Unlike the Maximum Anniversary Value method, the Anniversary Reset method may fluctuate up or down over time. The specific anniversary used is called the <i>nth</i> anniversary, which is defined by the Reset Years field. (This method is also sometimes called the Step Up Floor method.) Y—Yes Always use this method in the <i>greatest of</i> comparison. N—No Do not use this method in the comparison. This is the default. O—Optional Use this method in the <i>greatest of</i> comparison, only if the corresponding GR—Guaranteed Rider is selected for the contract. NOTE If this field is set to Yes or Optional, the Reset Years, Attained Age, Duration, and Withdrawal Adjustment fields must be defined.
Reset Years	If the Anniversary Reset field is set to Yes or Optional for a guaranteed minimum benefit, the Reset Years field must also be defined. This field defines the number of years between anniversaries, used in the Anniversary Reset calculation method to determine the value as of the last <i>nth</i> anniversary. For example, if this field is set to 2, the <i>nth</i> anniversary is the anniversary corresponding to contract year 2, 4, 6, 8, 10, 12, 14, 16, and so on. If, in this example, the benefit is calculated during year 1, the <i>nth</i> anniversary fund value is displayed as of contract year 0.

Field	Description
Number of Years Inforce	This field is only displayed on the V2 and V3 screens. It defines the number of years that a contract must be inforce before the guaranteed minimum accumulation or income benefits are used in the <i>greatest of</i> comparison. Up to that point, only the Contract Value is used for GMAB and GMIB.
GR Benefit Coverage ID	This field must be defined for each calculation method set to Optional. It is not applicable if the calculation method is set to Yes or No. This field is used to define the Coverage ID of the GR—Guaranteed Rider component attached to the base benefit for this calculation method. The annuitant must select the guaranteed minimum benefit as a rider for it to be available.
Calc Cease Date—Attained Age	This field defines the attained age at which the calculations cease based on the corresponding option. Maximum Anniversary Value This option compares the anniversary account value every x years and stores the highest value as the guaranteed benefit. If the Calc Cease Date—Attained Age field is not 999, the comparison of the values ceases after the defined attained age is reached. The current maximum anniversary value is rolled forward every time the policy is valued. Roll-Up This option accumulates premiums or premiums less withdrawals with compound interest when the compound interest option is used and applies simple interest for the number of completed policy years when the simple interest option is used. If the Calc Cease Date—Attained Age field is not 999, processing occurs as described below for each interest method. • Compound Interest is applied up to and including the policy year in which the annuitant's attained age is less than or equal to the Calc Cease Date—Attained Age field. The benefit value is not increased with interest when the attained age is greater than this age. • Simple Calculate the value $\text{Max (N)} = \text{Calc Cease Date Attained Age} - \text{Issue Age}$. This is the maximum value for N. If the attained age is less than the issue age, set Max (N) to zero. Anniversary Reset This option compares the anniversary account value every x years and stores the appropriate value as the guaranteed benefit. The Anniversary Reset value may increase or decrease every x years, as opposed to the Max Anniversary Value which always increases. If the Calc Cease Date—Attained Age field is not 999, the values are no longer stored after the attained age is reached. The current Anniversary Reset Value is rolled forward every time the policy is valued.

Field	Description
Benefit Cease Date Greater Of	The system applies both an attained age test and a test by contract duration to determine eligibility for a given guaranteed minimum benefit calculation method. If the policy passes either test, it is considered eligible for that calculation method.
Att Age	The maximum age of the annuitant as of the effective date of the type of guaranteed minimum benefit is input in this field. For example, the effective date for a guaranteed minimum death benefit is the date of death. If there are joint annuitants, the attained age of the youngest (surviving) annuitant is used. If no attained age maximum applies, input 999 in this field.
Duration	The maximum number of years that the contract has been inforce, as of the effective date for the guaranteed minimum benefit is input in this field. If no durational maximum applies, input 999 in this field.
Withdrawal Adjustment	For each of the guaranteed minimum benefit calculation methods other than the Contract Value method, the method for adjusting withdrawals must be defined. D—Dollar Every dollar withdrawn impacts the guaranteed minimum benefit by a dollar. (This is also sometimes called Dollar for Dollar.) This is the default. P—Prorata The guaranteed minimum benefit is adjusted by the percentage of the contract value that is withdrawn.

6.298 VN—Vanish Rules

The VN—Vanish Rules Segment describes to LifePRO® the rules and methods allowed for vanishing a fixed premium UL (or EIWL).

Vanish Rules

Segment ID >> Segment Type VN

Vanish Available Policy Duration

Vanish Only Annual Modes

UL Products

Vanish Test Method

Pay Prem w/Gross Withdrawal

Amount Used to Vanish

Vanish Base Only

Traditional Products

Traditional Products	Support Vanish Rank	(0 = Do Not Support)	Support Vanish Rank
Dividend Accums	0	Paid Up on 'PP' Type Rider	0
Premium Deposit Fund	0	'PT' Type Rider	0
Base PUA	0	Paid Up on 'PT' Type Rider	0
'PP' Type Rider	0	Dump In 'PP' Rider	0
		Paid Up on Dump In 'PP' Rider	0

OK Cancel

The following table contains definitions for the fields on the VN Segment.

Field	Description
Vanish Available Policy Duration	Input the first policy duration that the vanish test can be processed in this field.
Vanish Only Annual Modes	Y—Yes The vanish option is only available for policies with an annual mode. This is the default. N—No Premiums can be vanished for policies with any mode of premium. However, the vanish test continues to be tested on an annual basis and the full annualized premium is vanished. If a policy vanishes, the normal mode of the policy is used for billing in the next due period for the additional riders.

Field	Description
UL Products	
Vanish Test Method	O—One Year Vanish (CSV-Tabular CV>Gross Annual Prem) Each year on anniversary, compare the fund value to the tabular cash values (must have CV—Cash Value Segment coded) and the gross annual premium. If this value exceeds the gross annual premium, the system makes a withdrawal for the amount of the gross annual premium, and passes it back through the system as a 0126 premium transaction. This amount of 0126 premium can be separately loaded and commissioned. M—Modal Vanish (CSV-Interpolated Tabular CV > Gross Modal Prem) Each monthiversary process compares the difference between the current cash surrender value and the guaranteed tabular cash value against the current modal premium due. For modal dates that do not coincide with the policy anniversary date, the guaranteed tabular cash value is defined using linear interpolation between the guaranteed tabular cash value on the previous policy anniversary and the corresponding value from the next policy anniversary. In all other respects, the new vanish option is identical to O—One Year Vanish. C—Current NSP Vanish Assumptions Compare the fund value to a current net single premium, computed at the interest rate and COI rates currently in the product. If the test is favorable, no premium is required, and processing continues as normal. For example, no lapsing occurs due to non-payment of the premium due. G—Guaranteed NSP Vanish Assumptions Compare the fund value to a guaranteed net single premium, computed at the interest rate and COI rates guaranteed in the product. If the test is favorable, no premium is required, and processing continues as normal. For example, no lapsing occurs due to non-payment of the premium due.
Pay Premium w/ Gross Withdrawal	Y—Yes Even if the method chosen is Current NSP Vanish Assumptions or Guaranteed NSP Vanish Assumptions, the premium is actually paid as a 0126 premium via a withdrawal of the gross annual premium. N—No Processing continues without lapsing, but no premium payment occurs internally.
Amount Used to Vanish	This field determines if the full fund value or the net cash surrender value is used in the above tests. F—Full Fund The fund value is used in the vanish test C—Cash Surrender Value The net cash surrender value, which is the full fund less surrender load, is used in the vanish test.

Field	Description
Vanish Base Only	Y—Yes Only the base premium of the policy vanishes. Other rider premiums continue to bill. N—No The full policy premium vanishes. This is the default.
Traditional Products	
The bottom portion of the Vanish Rules Segment screen refers to the order in which the policy determines what values to use to attempt to vanish a premium for a traditional policy. The policy dividends are always used first, then the order selected on the Vanish Segment is used to determine the next value used. Next to each category, input a number from 1—9 to order the options. If one of the options is not used to vanish the premium, enter 0 next to the option.	
Dividend Accums	Amount of dividends accumulated from the base policy.
Premium Deposit Fund	Amount in the Premium Deposit Fund.
Base PUA	Amount of PUA purchased using dividends from the base policy.
PP Type Rider	Amount of PP rider purchased by premiums.
Paid Up on PP Type Rider	Amount of PUA purchased from dividends on the PP rider.
PT Type Rider	Amount of PT rider purchased by premiums.
Paid Up on PT Type Rider	Amount of PUA purchased from dividends on the PT rider.
Dump In PP Rider	Amount of Dump In PP rider purchased by premiums.
Paid Up on Dump In PP Rider	Amount of PUA purchased from dividends on the Dump In PP rider

6.299 VP—Variable Policy Fee

NOTE

Traditional only

If a traditional benefit has an annual policy fee which varies over the life of the policy, it has what *LifePRO*® calls a variable policy fee. The VP—Variable Policy Fee Segment points to rates which can vary in all the normal ways rates may in *LifePRO*®, including by duration, by age, and by band.

Segment Detail									
Segment ID	PARWL >>			Segment Type	VP				
Key Modifier	VP			Do Values Vary By					
Are Values Banded	No			Underwriting Class	No				
Female Rate Basis	Male With Setback								
Setback Years	0								
Rate Type	Attained Age								
Rate Rounding Rule	00			Rate Mode Rule ID					
Band Upper Limits:	9999999	0	0	0	0	0	0	0	
First Duration Value Is Available	1								
Mode Rules Rates Calculate Values OK Cancel									

For example, a product with a policy fee of \$20.00 for 5 years that drops to \$10.00 thereafter could be administered through this segment.

This is accomplished by first coding the Variable Policy Fee Record as Duration Only, not banded and not varying by gender or underwriting class. Then a Duration Only Rate Record is coded with 20.00 in the first 5 durations and 10.00 thereafter.

Refer to Section 12, Chapter 3—Premiums—Upper Portion of Screen Field Definitions on page 12-17 in this book for a description of the fields in the upper portion of the screen.

6.300 VR—CARVM Valuation Segment

The VR—CARVM Valuation Segment directs the system to the valuation rate to use in CARVM annuity reserving for both statutory and tax valuations. Also, it tells the system what valuation code (a sorting mechanism) to use for both statutory and tax reserving.

When this segment is set up for a product, the CARVM reserves are activated. If this segment is not used for a product, the reserve is set to the fund value (online value), including history values.

The following table contains definitions for the fields on the VR Segment.

Field	Description
Statutory Rate	Enter the interest rate (6.00%) to use in statutory valuation in this field. This is the discount rate used when calculating the present value of future cash value.
Statutory Code	Enter the 10 character sort field to use for reporting statutory reserves for annuities in this field.

Field	Description
Valuation Preferential Purchase	Y—Yes The final CARVM reserve is the greatest of the following: - the current fund balance * (1 - interest rate), where the interest rate, not to exceed 7%, is an expense allowance of the fund balance as of the valuation date - the current cash surrender value - the greatest present value of future cash value N—No
Tax Rate	Enter the interest rate (8.10%) to use in tax valuation in this field.
Tax Code	Enter the 10 character sort field to use for reporting tax reserves for annuities in this field.
Valuation Preferential Purchase	Y—Yes The final CARVM reserve is the greatest of the following: - the current fund balance * (1 - interest rate), where the interest rate, not to exceed 7%, is an expense allowance of the fund balance as of the valuation date - the current cash surrender value - the greatest present value of future cash value N—No
Additional Waive Surrender Charge Reserves	This section allows up to four contingency factors to be identified that cause the surrender charge to be waived. The X factors contain the probability factors of the contingency to occur. For example, if the surrender charge is waived due to death, the X1 factor would be used for the appropriate mortality rates. The CARVM reserve is then calculated by adding the additional reserve for waiving the surrender charge to the largest discounted surrender value. This reserve is calculated by applying the projected surrender charges as calculated by the RS—CARVM Reserves Segment, then applying the mortality factor and discount back to the valuation date using the valuation interest rate.

6.301 VU—Annuity Death Benefit Values Segment

NOTE

Annuities only

The VU—Annuity Death Benefit Values Segment allows the calculation of the guaranteed minimum death, accumulation, and income benefits to vary by issue age. It defines which VL—Annuity Minimum Values Segment is used to calculate the guaranteed minimum benefits for each range of issue ages. The VU Segment also defines the net versus gross purchase payments used in the maximum anniversary value, premium floor, and anniversary reset calculations. Additionally, the VU Segment determines if the withdrawals used in the guaranteed minimum benefit calculations include surrender charges.

Annuity Death Benefit Values			
Segment ID		VADTHBEN	
Type		VU	
Issue Age		Segment ID	
Up to Age	:	075	0 TO 75
Up to Age	:	999	OVER 75
Up to Age	:	000	
Up to Age	:	000	
Net premium With		Net Withdrawal With	
Premium Tax	:	No	Surrender Charge : Yes
Premium load	:	No	
Collection charge	:	No	

The net premium calculation for the maximum anniversary value, premium floor, and anniversary reset benefit calculation methods are based on gross consideration received only. No deductions are made for premium taxes, loads, or collection charges. It is important that the net premium tax option on the VU Segment is consistent with the selections defined for the State Tax Methods for Premium Tax Calculations made through the State Control Menu. Refer to 7.3—State Tax—State Tax Methods Info on page 10-25 in this book for more information.

The following table contains definitions for the fields on the VU Segment.

Field	Description
Issue Age	The maximum age of the insured as of the policy's issue date, which corresponds to the segment ID shown in the right column, is displayed in this field. NOTE The code or name given by the user to indicate a specific VL—Annuity Minimum Values Segment, corresponding to the issue age in the left column is displayed in this field. For benefit calculations on joint annuitant contracts, the calculations are made based on the youngest surviving annuitant.
Segment ID	The code or name given by the user to indicate a specific VL—Annuity Minimum Values Segment, corresponding to the issue age in the left column, is displayed in this field.
Net premium With	This section only applies to benefit calculations made using the maximum anniversary value, premium floor, or anniversary reset benefit calculation methods.
Premium Tax	In this field, indicate if the premium tax should be deducted, if paid up-front, to arrive at the net premium for the benefit calculation. Y—Yes The premium tax is deducted. The calculation is based on gross consideration less premium taxes. N—No The premium tax is not deducted. The calculation is based on gross consideration only, with no premium taxes taken out. NOTE It is important that the Premium Tax field be set up so that it is consistent with the flags chosen on the State Tax Methods screen for the product.
Premium load	Indicate in this field if the premium load charged to the contract is deducted to arrive at the net premium for the benefit calculation. The premium load is the percentage amount charged to the policy with each premium payment as defined in the U2—Premium Collection Expenses Segment. Y—Yes The premium load is deducted. The calculation is based on gross consideration less premium (sales) loads. N—No The premium load is not deducted. The calculation is based on gross consideration only.

Field	Description
Collection charge	Indicate in this field if the collection charges applied to the contract are deducted to arrive at the net premium for the benefit calculation. The collection charge is the flat or fixed amount charged to the policy with each payment as defined in the U1—Premium Collection Expenses/ Fees Segment. Y—Yes The collection charges are deducted. The calculation is based on gross consideration less collection charges. N—No The collection charges are not deducted. The calculation is based on gross consideration only.
Net Withdrawal With	
Surrender Charge	Indicate if the surrender charges applied to the contract at the time of partial withdrawals are refunded to arrive at the net withdrawal value for the benefit calculation. Surrender charges are defined in the WL—Partial Withdrawal Load Segment accessible from the WD—Partial Withdrawal Segment. Y—Yes The surrender charges are added back to the withdrawal for the benefit calculation. The calculation does not include a deduction for the surrender charges. N—No The surrender charges are not refunded. The calculation includes the deduction for the surrender charge applied at the time of the withdrawal.

6.302 W1—Special Waiver Premium Segment

NOTE

Traditional only

The W1—Special Waiver Premium Segment is used to store separate waiver premiums. If the W1 Segment is used for a product, the rates on the W1 Segment are used in waiver calculations if the premium rate calculation rule on the PR—Premium Segment is set to **W1 Segment** and the Control Premium Calculations for Waiver Benefits field on the Coverage Record is set to **Yes**.

Premium Segment File									
Segment ID	W1 >>			Segment Type	W1				
Key Modifier	W1			Do Values Vary By					
Are Values Banded	No			Underwriting Class	No				
Female Rate Basis	Male With Setback								
Setback Years	0								
Rate Type	Attained Age								
Rate Rounding Rule	Truncate After Cents								
Band Upper Limits									
9999999	0	0	0	0	0	0	0	0	0
Premium Select Period				Premium Change Frequency					
Premium Mode Rule ID									
Coverage ID Of Ultimate Rates									
Premium Rate Calculation Rule	Units Purchased								
Extended Key Definition Used	No								
Mode Rules Rates Extended Key Table Extra OK Cancel									

Fields Unique to this Segment

Refer to Section 12, Chapter 3—Premiums—Upper Portion of Screen Field Definitions on page 12-17 in this book for a description of the fields in the upper portion of the screen.

Field	Description
Premium Select Period	The length of time, in years, the selected rates are used is displayed in this field. If the same rate segment is used for all years and the Rate Type is Attained Age , Issue Age , or Duration Only , input 0 in this field. If the same rate segment is used for all years and the Rate Type is Age and Duration , input 999 in this field.
Premium Change Frequency	The change frequency indicates the number of durations at a time the rates are held constant. For example, a 5-year renewable and convertible term product with premiums that are level for 5 years then jump to the attained age and remain level again for 5 years, has a premium change frequency of 5. If the rates remain the same for all years, input 0 in this field.
Premium Mode Rule ID	The premium mode rule ID, coupled with the form (direct, preauthorized check, list bill, government allotment, or credit card) allows the system to access a Mode Rule Record. The modalization factors for each mode, (monthly, quarterly) are located in the Mode Rule Record. A maximum of 10 characters may be entered in this field.
Coverage ID Of Ultimate Rates	The segment ID of the segment that contains the rates that are used when the premium changes is displayed in this field. The rates change as indicated in the Premium Change Frequency field. If the same rate segment is used for all years and the Rate Type is Attained Age , Issue Age , or Duration Only , this field is left blank. If the same rate segment is used for all years and the Rate Type is Age and Duration , input NA in this field.
Premium Rate Calculation Rule	U—Units Purchased The premium is computed as the units purchased at issue of the coverage, multiplied by the premium rate found according to the rules in the upper part of the segment. D—Death Benefit The premium is computed as the death benefit at the point of the calculation, divided by 1000, and then multiplied by the rate found according to the rules code. P—Percentage The premium is calculated as a percentage per unit value of premium for the benefits that are included for premium waiver as defined on the Coverage Record. This option is only available for waiver coverages. 1—W1 Segment The premium is calculated using the sum of premiums from the W1 Segment for non-waiver coverages. This option is only available for waiver coverages.

Field	Description
Premium Rate Calculation Rule (continued)	2—W2 Segment The premium is calculated using the sum of premiums from the W2 Segment for non-waiver coverages. This option is only available for waiver coverages. A—Percent Of Account Value The premium is calculated by determining the average of the monthiversary account values for the time period defined in the Last __ Months field. (This calculation method only averages the account values found during monthiversary processing for the last <i>n</i> months, and does not include partial valuations.) E—Percent Of Eligible Premiums (GB Only) This option can only be used for GB—Guaranteed Benefit type riders. When this option is used, deductions for the GB rider are based on eligible premiums that are defined on the LM—Living/Maturity Segment for the base benefit. W—Percent of Greater of GMWB Eligible Premiums or Lifetime Basis (GW Only) This option can only be used for GW type riders. When this option is used, deductions for the GW rider are based on the greater of eligible premiums or lifetime basis defined on the GW—Guaranteed Withdrawal Segment for the base benefit.
Extended Key Definition Used	Currently, this field applies to line of business H—Health only. Y—Yes The KD Segment must be coded. Premiums are not in the Attained Age or Age/Duration File. Instead, they are in separate health files. Refer to Section 12, PR—Premium Segment on page 12-725 for a detailed description of extended keys.

Table Extra Data

Substandard rates per 1000 by table number can be defined from the W1 Segment. When table extra ratings are used, the substandard rate per 1000 is used instead of the percentage shown on the Validation screen.

The following setup is required to use the table extra ratings.

- The Substandard Type field on the Coverage File screen must be **Table**.
- A rating table must be defined in the Rating Table field on the Component File screen.
- A rating table must be defined based on the table code selected on the Component File screen.
- The number of rating tables must be the same as the number of substandard tables coded on the Table Extra Definition screen.
- The percentage coded must be greater than 100%. Valid values are 100 - 999.

Complete the following steps to input the table extra rates.

1. From the W1 Segment press **F10**.
2. Click **Table Extra**. The Table Extra Definition screen is displayed.

Table Extra Definition

Table Extra Key

Are Table Extras Banded ?

Vary Table Extras by Und Class ?

Female Rate Basis

Setback Years

Rate Type

Number of Substandard Tables

01	02	03	04	05	06	07	08	09	10
11	12	13	14	15	16				

3. Press **F10** and complete the fields as described in the following table.
4. **Tab** to the rate table IDs and click **Rates**. The Rate File screen is displayed for the rate table ID selected. The substandard table IDs point to rate files that contain the substandard

rates per 1000 to apply per table. A rate file is created using the Table Extra Key field as the rate file ID. The rates can vary by band, underwriting class, gender, and rate type.

Attained Age Rate File

Segment ID >> Type >> Gender >> Band >> Underwriting Class >>

Age	Rate	Age	Rate	Age	Rate
000	3.0000000	013	3.4000000	026	3.4000000
001	3.1000000	014	3.4000000	027	3.4000000
002	3.2000000	015	3.4000000	028	3.4000000
003	3.3000000	016	3.4000000	029	3.4000000
004	3.4000000	017	3.4000000	030	3.4000000
005	3.4000000	018	3.4000000	031	3.4000000
006	3.4000000	019	3.4000000	032	3.4000000
007	3.4000000	020	3.4000000	033	3.4000000
008	3.4000000	021	3.4000000	034	3.4000000
009	3.4000000	022	3.4000000	035	3.4000000
010	3.4000000	023	3.4000000	036	3.4000000
011	3.4000000	024	3.4000000	037	3.4000000
012	3.4000000	025	3.4000000	038	3.4000000

- Input the rates and click **OK**.
- Click **Cancel**. The Table Extra Definition screen is displayed.
- Click **OK** to save.
- Click **Cancel** to return to the W1 Segment screen.

The following table contains definitions for the fields on the Table Extra window.

Field	Description
Table Extra Key	The key defines the table that is used to define the rates. The ID selected can be up to 8 alphanumeric characters.
Are Table Extras Banded	Rates can be varied depending on the face amount of the policy. This field determines if rates are banded. Y—Yes Rates are banded by face amount. N—No The rates are the same for all bands.

Field	Description
Vary Table Extras by Und Class	Y—Yes The system looks at all underwriting classes listed on the Coverage Record. N—No Rates do not vary by underwriting class. The system only looks at the default underwriting class (the first one listed on the first screen of the Coverage Record) when finding rates.
Female Rate Basis	The selection in this field designates the rates that are used for females. S—Setback The same rates are used for males and females, but the rates are set back a designated number of years for females. U—Unique Different rates are set up for females.
Setback Years	This field works in conjunction with the Female Rate Basis field. If Setback is selected in the Female Rate Basis field, the number of years the rates are set back is designated in this field.
Rate Type	The rate type selected determines on what the rates are based and where in the rate file the rates are input. A—Attained Age I—Issue Age If Attained Age or Issue Age is selected, input the rates in the Attained Age Rate File. O—Duration Only D—Age And Duration If Duration Only or Age And Duration is selected, input the rates in the Age/Duration Rate File. If Duration Only is selected, the rates are input under age 0 in the Age/Duration Rate File.
Number of Substandard Tables	Input the number of tables that are defined. The number selected generates the same number of table pointers at the bottom of the screen. Up to 40 tables are supported. The rates can be viewed by pressing F10, clicking on a table ID pointer, and clicking Rates.

The following policy page and correspondence keywords can be used for table extra ratings.

TBLRATE—This keyword is the rate per 1,000 on a given policy for substandard extra premium.

TBLRTENO—This keyword is the actual substandard table number applied to a given policy.

6.303 W2—Special Waiver Premium Segment

NOTE

Traditional only

The W2—Special Waiver Premium Segment is used to store separate waiver premiums. If the W2 Segment is used for a product, the rates on the W2 Segment are used in waiver calculations if the premium rate calculation rule on the PR—Premium Segment is set to **W2 Segment** and the Control Premium Calculations for Waiver Benefits field on the Coverage Record is set to **Yes**.

Premium Segment File									
Segment ID	WL >>			Segment Type	W2				
Key Modifier	W2			Do Values Vary By					
Are Values Banded	No			Underwriting Class	No				
Female Rate Basis	Male With Setback								
Setback Years	0								
Rate Type	Attained Age								
Rate Rounding Rule	Truncate After Cents								
Band Upper Limits 9999999 0 0 0 0 0 0									
Premium Select Period				Premium Change Frequency					
Premium Mode Rule ID									
Coverage ID Of Ultimate Rates									
Premium Rate Calculation Rule	Units Purchased								
Extended Key Definition Used	No								
				Mode Rules Rates Extended Key Table Extra OK Cancel					

Fields Unique to this Segment

Refer to Section 12, Chapter 3—Premiums—Upper Portion of Screen Field Definitions on page 12-17 in this book for a description of the fields in the upper portion of the screen.

Field	Description
Premium Select Period	The length of time, in years, the selected rates are used is displayed in this field. If the same rate segment is used for all years and the Rate Type is Attained Age , Issue Age , or Duration Only , input 0 in this field. If the same rate segment is used for all years and the Rate Type is Age and Duration , input 999 in this field.
Premium Change Frequency	The change frequency indicates the number of durations at a time the rates are held constant. For example, a 5-year renewable and convertible term product with premiums that are level for 5 years then jump to the attained age and remain level again for 5 years, has a premium change frequency of 5. If the rates remain the same for all years, input 0 in this field.
Premium Mode Rule ID	The premium mode rule ID, coupled with the form (direct, preauthorized check, list bill, government allotment, or credit card) allows the system to access a Mode Rule Record. The modalization factors for each mode (monthly, quarterly) are located in the Mode Rule Record. A maximum of 10 characters may be entered in this field.
Coverage ID Of Ultimate Rates	The segment ID of the segment that contains the rates that is used when the premium changes. The rates change as indicated in the Premium Change Frequency field. If the same rate segment is used for all years and the Rate Type is Attained Age , Issue Age , or Duration Only , this field is left blank. If the same rate segment is used for all years and the Rate Type is Age and Duration , input NA in this field.
Premium Rate Calculation Rule	U—Units Purchased The premium is computed as the units purchased at issue of the coverage, multiplied by the premium rate found according to the rules in the upper part of the segment. D—Death Benefit The premium is computed as the death benefit at the point of the calculation, divided by 1000, and then multiplied by the rate found according to the rules code. P—Percentage The premium is calculated as a percentage per \$100 of premium for the benefits that are included for premium waiver as defined on the Coverage Record. This option is only available for waiver coverages. 1—W1 Segment The premium is calculated using the sum of premiums from the W1 Segment for non-waiver coverages. This option is only available for waiver coverages.

Field	Description
Premium Rate Calculation Rule (continued)	2—W2 Segment The premium is calculated using the sum of premiums from the W2 Segment for non-waiver coverages. This option is only available for waiver coverages. A—Percent Of Account Value The premium is calculated by determining the average of the monthiversary account values for the time period defined in the Last __ Months field. (This calculation method only averages the account values found during monthiversary processing for the last <i>n</i> months, and does not include partial valuations.) E—Percent Of Eligible Premiums (GB Only) This option can only be used for GB—Guaranteed Benefit type riders. When this option is used, deductions for the GB rider are based on eligible premiums that are defined on the LM—Living/Maturity Segment for the base benefit. W—Percent of Greater of GMWB Eligible Premiums or Lifetime Basis (GW Only) This option can only be used for GW type riders. When this option is used, deductions for the GW rider are based on the greater of eligible premiums or lifetime basis defined on the GW—Guaranteed Withdrawal Segment for the base benefit.
Extended Key Definition Used	Currently, this field applies to line of business H—Health only. Y—Yes The KD Segment must be coded. Premiums are not in the Attained Age or Age/Duration File. Instead, they are in separate health files. Refer to Section 12, PR—Premium Segment on page 12-725 for a detailed description of extended keys.

Table Extra Data

Substandard rates per 1000 by table number can be defined from the W2 Segment. When table extra ratings are used, the substandard rate per 1000 is used instead of the percentage shown on the Validation screen.

The following setup is required to use the table extra ratings.

- The Substandard Type field on the Coverage File screen must be **Table**.
- A rating table must be defined in the Rating Table field on the Component File screen.
- A rating table must be defined based on the table code selected on the Component File screen.
- The number of rating tables must be the same as the number of substandard tables coded on the Table Extra Definition screen.
- The percentage coded must be greater than 100%. Valid values are 100 - 999.

Complete the following steps to input the table extra rates.

1. From the W2 Segment press **F10**.
2. Click **Table Extra**. The Table Extra Definition screen is displayed.

Table Extra Definition

Table Extra Key

Are Table Extras Banded ?

Vary Table Extras by Und Class ?

Female Rate Basis

Setback Years

Rate Type

Number of Substandard Tables

☐	☐	☐	☐	☐	☐	☐	☐	☐	☐
☐	☐	☐	☐	☐	☐	☐	☐	☐	☐
☐	☐	☐	☐	☐	☐	☐	☐	☐	☐
☐	☐	☐	☐	☐	☐	☐	☐	☐	☐

3. Press **F10** and complete the fields as described in the following table.
4. **Tab** to the rate table IDs and click **Rates**. The Rate File screen is displayed for the rate table ID selected. The substandard table IDs point to rate files that contain the substandard

rates per 1000 to apply per table. A rate file is created using the Table Extra Key field as the rate file ID. The rates can vary by band, underwriting class, gender, and rate type.

Attained Age Rate File

Segment ID >> Type >> Gender >> Band >> Underwriting Class >>

Age	Rate	Age	Rate	Age	Rate
000	3.0000000	013	3.4000000	026	3.4000000
001	3.1000000	014	3.4000000	027	3.4000000
002	3.2000000	015	3.4000000	028	3.4000000
003	3.3000000	016	3.4000000	029	3.4000000
004	3.4000000	017	3.4000000	030	3.4000000
005	3.4000000	018	3.4000000	031	3.4000000
006	3.4000000	019	3.4000000	032	3.4000000
007	3.4000000	020	3.4000000	033	3.4000000
008	3.4000000	021	3.4000000	034	3.4000000
009	3.4000000	022	3.4000000	035	3.4000000
010	3.4000000	023	3.4000000	036	3.4000000
011	3.4000000	024	3.4000000	037	3.4000000
012	3.4000000	025	3.4000000	038	3.4000000

5. Input the rates and click **OK**.
6. Click **Cancel**. The Table Extra Definition screen is displayed.
7. Click **OK** to save.
8. Click **Cancel** to return to the W2 Segment screen.

The following table contains descriptions of the fields on the Table Extra Definition window.

Field	Description
Table Extra Key	The key defines the table that is used to define the rates. The ID selected can be up to 8 alphanumeric characters.
Are Table Extras Banded	Rates can be varied depending on the face amount of the policy. This field determines if rates are banded. Y—Yes Rates are banded by face amount. N—No The rates are the same for all bands.

Field	Description
Vary Table Extras by Und Class	Y—Yes The system looks at all underwriting classes listed on the Coverage File. N—No Rates do not vary by underwriting class. The system only looks at the default underwriting class (the first one listed on the first screen of the Coverage Record) when finding rates.
Female Rate Basis	The selection in this field designates the rates that are used for females. S—Setback The same rates are used for males and females, but the rates are set back a designated number of years for females. U—Unique Different rates are set up for females.
Setback Years	This field works in conjunction with the Female Rate Basis field. If Setback is selected in the Female Rate Basis field, the number of years the rates are set back is designated in this field.
Rate Type	The rate type selected determines on what the rates are based and where in the rate file the rates are input. A—Attained Age I—Issue Age If Attained Age or Issue Age is selected, input the rates in the Attained Age Rate File. O—Duration Only D—Age And Duration If Duration Only or Age And Duration is selected, input the rates in the Age/Duration Rate File. If Duration Only is selected, the rates are input under age 0 in the Age/Duration Rate File.
Number of Substandard Tables	Input the number of tables that are defined. The number selected generates the same number of table pointers at the bottom of the screen. Up to 40 tables are supported. The rates can be viewed by pressing F10, clicking on a table ID pointer, and clicking Rates.

The following policy page and correspondence keywords can be used for table extra ratings.

TBLRATE—This keyword is the rate per 1,000 on a given policy for substandard extra premium.

TBLRTENO—This keyword is the actual substandard table number applied to a given policy.

6.304 WA—Net Single Rates Segment

NOTE

Traditional only

The WA—Net Single Rates Segment allows separate net single premium rates to be used to calculate the cash surrender value for PP, PT, and PU coverages. The NS—NSP Purchase Rates Segment continues to be used to calculate the purchase by premium. For PU coverages, if the WA Segment is not active, the DN/PU rates are used.

Rate Type Segment	
Segment ID	TRA12 >>
Segment Type	WA
Select Period	Duration 10
Ultimate ID	
Constant Rate	0.0000000 (Added to File Rate if Declared)
Rate Type	Constant Rate Only
Type Modifier	☐ Rates Vary by Underwriting Class No
Mult Insured Access	
Rate Basis	Separate And Unique
Years of	0
Banding Method	Not Banded
Banding Rule	Traditional
Upper Band Limits	0 0 0 0 0 0 0
Rates Coded As	Actual Amount
Change Frequency	Not Applicable
	0

Mode Rules
Rates
Next
OK
Cancel

Table Extra Data

Substandard rates per 1000 by table number can be defined from WA Segment.

Click **Next** from the WA Segment to designate if additional premiums are included for substandard policies.

NS Segment - Screen 2

Interpolate Values (Y/N)?

Table Extra Values Exist

<F5> - Flat Extra Factors Segment

The following table contains descriptions of the fields on the NS Segment.

Field	Description
Interpolate Values	This field was designed to allow net single premiums to be interpolated on a monthly 1/12th basis for modal purchases of paid up additional insurance (PUA) and to allow net single premiums to be interpolated for cash value quotes and repurchases on a per day basis. Y—Yes The net single premium rate is an averaged value between the last year's value and the next year's value, depending on the person's age within the year. For example, if the net single premium rate increases from year to year, then the net single premium rate gradually increases (interpolates) throughout the year.
Table Extra values exist	Y—Yes This allows the Table Extra Definition screen to be accessed. N—No The Table Extra Definition screen cannot be accessed.

6.305 WC—Partial Withdrawal Control Segment

NOTE

Universal life and annuities

The WC—Partial Withdrawal Control Segment is purely a rules segment giving rules for general items on partial surrenders. This segment is accessed through the WD—Partial Withdrawal Segment.

Partial Withdrawal Control			
Segment ID	UL1	Select Period	Duration 0
Segment Type	WC	Ultimate ID	NA
Partial Surrender Load is dependent on Full Surrender Load			
Pro Rata Surrender Method			
Amortization Rule			
If Monthly Amortization, Count Current Month			
Maximum Partial Withdrawal Allowed	500.00	Minimum	0.00
Maximum Percent of Net Surrender Value	50.000%		
Reduce Net Surrender Value by Guaranteed Cash Value	No		
Add Excess Interest to Partial Surrender Load	No		
Transaction Charge	0.00	added to Surrender Load if more	0 Withdrawal(s) per Policy Year
Exclude Bonus From Partial Withdrawals	No		
Market Value Adjustment			
Adjust for MVA Prior to Calculating Surrender Charges	No	Cap MVA Amount to Excess of	0.00% % of
Suppress MVA on Surrender Charge Override	No	Withdrawal Amount less Withdrawal Load	
Specified Amount Decrease (Level)			
Suppress Specified Amount Reduction	No		
Include Load in Specified Amount Decrease	Yes		
If Death Benefit in Corridor, decrease Funds until out of Corridor then decrease Specified Amount with Withdrawal Amt remaining			
Reduce Specified Amount Basis	Dollar		
			Next
			OK
			Cancel

The WC—Partial Withdrawal Control Segment is accessed for the fund by completing the following steps.

1. From the Product System select **Fund Information**. The Fund Information Menu is displayed.
2. Select **Fund Types**. The Fund Rules screen is displayed.
3. Input the Fund ID or click >> from the Fund ID field to select a fund ID from the cross reference list. The screen displays the information for the fund selected.
4. Click **Segments**. The Segment List is displayed.

5. Click beside the WD—Partial Withdrawal By Fund field and click >>. The WD Segment is displayed.
6. Click beside the WC—Partial Withdrawal Control field and click >>. The WC Segment is displayed.

This segment consists of two pages and is accessed for the Coverage Record by completing the following steps.

1. From the Coverage Record click **Segments**. The Segment List is displayed.
2. Press **F10**.
3. Click in the WD—Partial Withdrawal Y/N field and select **Y—Yes**.
4. Click **Select**. The WD Segment is displayed.
5. Click next to the WC—Partial Withdrawal Control and select **Y—Yes** in the Y/N field.
6. Click **Select**. The WC Segment is displayed.

If the WC Segment is set up differently on the F0—Fund Package Segment than on the Coverage Record for the product, the options selected on the F0 Segment are used during partial surrender processing.

The following table contains definitions for the fields on the WC Segment.

Field	Description
Partial Surrender Load is dependent on Full Surrender Load	N—It is Independent The system looks at the partial surrender rates on the WL—Partial Withdrawal Load Segment. 1—Gross Withdrawal/Surrender Value * Full Load The system takes the gross withdrawal or surrender value and multiplies it by the full surrender load rates on the SL—Full Surrender Load Segment. 2—Partial Surrender Charges This option takes the net withdrawal against the net full surrender value to get the portion of the full surrender change to apply to the withdrawal.

Field	Description
Pro Rata Surrender Method	This field controls the calculation of total surrender charges on a full surrender, based on the surrender charges already incurred from previous partial surrenders. N—None The surrender charge is not prorated, and an attempt is made to deduct 100% of the surrender charge at the time a partial surrender is processed. A—Absolute The absolute surrender charge equals the computed surrender charge on a policy reduced by any prior surrender charges accessed. For example, assume that the current total surrender charge on a policy is \$1,000 and a \$250 surrender charge was previously taken from a earlier partial withdrawal on the policy. The system takes the current \$1,000 charge and reduces it by \$250.00 so that the absolute surrender charge is \$750.00. P—Percentage This field depends on how the Partial Surrender Load is Dependent on the Full Surrender Load field is defined. If the Partial Surrender Load is Dependent on the Full Surrender Load field is set to 1—Gross Withdrawal/Surrender Value * Full Load, each time a partial withdrawal is requested, the following calculation is performed. $R^1 * = \frac{\text{Gross Withdrawal} - \text{Excluded Amount}}{\text{Fund Value}}$ If the Partial Surrender Load is Dependent on the Full Surrender Load field is set to N—It is Independent, each time a partial withdrawal is requested, the same calculation is performed, the R^1 changed, as shown below. $R^1 * = \frac{\text{Partial Withdrawal Charge Computed}}{\text{Full Surrender Charge}^{**}}$ * R^1 = Write Off Amount ** Full Surrender Charge = Computed Charge $(1 - R^1)(1 - R^2) \dots (1 - R^n)$ Where n = number of prior withdrawals
Amortization Rule	This field allows for monthly amortization of the partial withdrawal loads, net of any free withdrawal amount. The Partial Surrender Load is Dependent on Full Surrender Load field must be set to N—It is Independent. A—Annual-Level Rate Over Policy Year Partial surrender charges are level during the year. M—Monthly-Interpolate based On Policy Month Partial surrender charges are interpolated from month to month without being dependent upon the full surrender load.

Field	Description
If Monthly Amortization, Count Current Month	If the Amortization Rule field is set to Monthly-Interpolate based on Policy Month, this field must be coded as Yes or No. Y—Yes Include the current month. The system uses the completed month plus the current month when interpolating the partial surrender charges. N—No Only include the completed months. The system only uses the completed months when interpolating the partial surrender charges.
Maximum Partial Withdrawal Allowed	This field defines the maximum partial withdrawal amount that is available per withdrawal.
Minimum	This field defines the minimum partial withdrawal amount that is available per withdrawal.
Maximum Percent of Net Surrender Value	This field defines the maximum partial withdrawal percent of the net fund value (gross fund value less surrender charges) that is available per withdrawal.
Reduce Net Surrender Value by Guaranteed Cash Value	This field allows the option of controlling if the system provides a minimum equity check when processing gross and net partial withdrawals. This field is designed for fixed universal life products only. Y—Yes When a gross withdrawal is processed, the system takes the fund value less surrender charge (defined through the SC/SA/SL Segments), compares it to the greater of the guaranteed tabular cash value or loan balance, and only allows withdrawals on the excess amount over the guaranteed tabular cash value or loan balance. When processing a net withdrawal, the system takes the fund value less surrender charge <u>and</u> transaction charge (defined on the WC Segment) and only allows withdrawals on the excess amount over the guaranteed tabular cash value or loan balance. NOTE The system displays the message <i>Max w/d is (Fund Val—Surr Chrg)—GCV. Max Amt is _____</i> when processing a partial withdrawal for a requested amount greater than the maximum amount available. N—No There is no minimum equity check to prevent a withdrawal of the guaranteed tabular cash value.

Field	Description
Add Excess Interest to Partial Surrender Load	This field defines if the excess interest since last policy anniversary date is added to the surrender load. Y—Yes Add the excess interest since the last policy anniversary date to the surrender load. N—No Do not add the excess interest to the surrender load. P—Prorata The following calculation is used to determine the amount of excess interest to add to the partial surrender load. $\text{Gross withdrawal-Free withdrawal/Full surrender value} * \text{Total excess interest}$
Transaction Charge ____ added to Surrender Load if more ____Withdrawal(s) per Policy Year	If the number of withdrawals in a policy year exceeds “n” withdrawals, start adding the amount entered in the Transaction Charge field as an additional transaction charge for any subsequent withdrawal in the policy year.
Exclude Bonus From Partial Withdrawals	This field determines if the premium replenishment bonus applied to the policy is included in the amounts available for partial withdrawal. This field is only available if the Global Tax field on the Coverage Record is set to Yes or Across All Rows. Y—Yes Any premium replenishment bonus amount applied to the policy is not included when calculating the amount available for partial withdrawal. N—No Any premium replenishment bonus amount applied to the policy is included when calculating the amounts available for partial withdrawal. This is the default.
Market Value Adjustment	
Adjust for MVA Prior to Calculating Surrender Charges	This field determines if the market value adjustment is calculated on the full fund value before the surrender charge is deducted, or the full fund value less the surrender charge. Y—Yes The market value adjustment is calculated on the full fund value before the surrender charge is deducted. N—No This is the default. The market value adjustment is calculated based on the full fund value less the surrender charge.

Field	Description
Suppress MVA on Surrender Charge Override	This field determines if the market value adjustment is calculated when the surrender charge is overridden for a partial withdrawal. This field is considered for partial withdrawals when they are processed online (including required minimum distributions and auto withdrawals) or through systematic requests. Y—Yes The market value adjustment is not calculated when the surrender charge is overridden for a partial withdrawal. N—No The market value adjustment is calculated when the surrender charge is overridden for a partial withdrawal. This is the default.
Cap MVA Amount to Excess of ___% of Withdrawal Amount less Withdrawal Load	The percentage used to determine the MVA maximum cap is defined in this field. If the value of this field is greater than zero, the MVA is reduced, to the extent possible, with no reduction to the surrender charges. If multiple MVA funds exist, the cap is applied per fund in the order in which they are processed.
Specified Amount Decrease (Level)	
Suppress Specified Amount Reduction	This field determines if the specified amount is reduced when a partial surrender is processed or when a systematic withdrawal is processed. Y—Yes The specified amount is not reduced by the amount of the partial surrender or systematic withdrawal. The specified amount decrease is suppressed. O—Optionally For partial surrenders, a window is displayed when the partial surrender is processed. The option of decreasing the specified amount is selected from the window. For systematic withdrawals, the Suppress Specified Amount Reduction field is displayed on the Systematic Withdrawal Parameters screen. The option of decreasing the specified amount is selected using this field. N—No The specified amount is reduced by the amount of the partial surrender or systematic withdrawal. The specified amount decrease is not suppressed. This is the default.
Include Load in Specified Amount Decrease	On partial withdrawals for level death benefit option, select Y—Yes to reduce the specified amount by the gross withdrawal. No specified amount decrease occurs on the increasing death benefit option. Y—Yes Reduce the specified amount by the gross withdrawal. N—No Reduce the specified amount by the net withdrawal.

Field	Description
If Death Benefit in Corridor, decrease Funds until out of Corridor then decrease Specified Amount with Withdrawal Amt remaining	This field only applies to withdrawals on a level death benefit option, and if the policy is in the corridor. Y—Yes On a level death benefit option while the contract is in the corridor, reduce the amount of the fund value which forces the corridor situation. For example, assume that a policy has a specified amount of \$100,000 with a fund value of \$42,000. The corridor percentage is defined as 250% on the UL Segment. The death benefit formula is displayed below. $DB = \text{Max} [FV * \text{Corr}, SA] = \text{Max} [42,000 * 2.5, 100,000] = \$105,000$ Corridor Entry Point $SA/\text{Corr} = 100,000/2.5 = 40,000$ Excess FV over Corridor entry point $42,000 - 40,000 = 2,000$ If the requested withdrawal is less than \$2,000, then no specified amount reduction occurs. If the requested withdrawal exceeds \$2,000, then the specified amount decrease is reduced by the excess fund value over corridor. In this example, a \$5,000 decrease results in a \$3,000 specified amount decrease. N—No The entire withdrawal reduces the specified amount dependent on how the Include Load in Specified Amount Decrease field is defined.
Reduce Specified Amount Basis	LifePRO® processing handles partial withdrawals as a dollar for dollar reduction of face amount. As a result of this methodology, the net amount at risk remains the same. This field permits a prorata basis for partial withdrawals on universal life products. D—Dollar For line of business U (universal life, fixed premium UL), a partial withdrawal always reduces the face amount dollar for dollar. The theory is that the net amount at risk (NAR) is to remain the same. This is the default.

Field	Description
Reduce Specified Amount Basis (continued)	P—Prorata Prorata withdrawals reduce the face amount on a formula basis. This formula is displayed below. The withdrawal includes applicable charges. In the first seven policy years the face amount is not reduced if the following conditions are met. • All premiums must have been paid up to the time of the withdrawal. • The withdrawal amount must not be greater than the base annual premium. Otherwise, the face amount is reduced by a partial withdrawal. • If the policy is not in corridor, the face amount is reduced in proportion to the ratio of the withdrawal to the cash value. $\text{Reduction} = \text{Face Amount} * (\text{Withdrawal} / \text{Cash Value})$ • If the policy is in corridor, no reduction in face amount occurs if the withdrawal is less than or equal to the difference between the cash value and the ratio of the face amount prior to the withdrawal and the corridor factor. $\text{Reduction} = 0 \text{ if } \text{Withdrawal} \leq \text{Cash Value} - (\text{Face amount prior to withdrawal}) / \text{Corridor Factor}$ If this last condition is not met, then the face amount reduction is as shown in the following calculation. $\text{Reduction} = A * (B - C) / (D - C), \text{ where}$ A = Face amount prior to the withdrawal B = Withdrawal amount C = Cash value—(Face amount prior to the withdrawal)/Corridor factor D = Cash value

Click **Next** to view the second page of the WC Segment.

The following table contains definitions for the fields on the second screen of the WC Segment.

Field	Description
Write-Off Applies to Surrender Charge Due To	This field defines if the write off applies to the entire surrender charge or only to the surrender charge due to benefits which existed prior to the partial withdrawal. 1—All Benefits 2—Only Benefits That Existed At Time Of Withdrawal. This option only applies if the Spec Amt field on the SC—Full Surrender Controls Segment is set to Reduced Independently, the Calculate for Each Layer Surrendered field on the SD—Specified Amount Decrease Deduction Segment is set to Yes, and the Partial Surrender Load field on the WC Segment is set to Gross Withdrawal/Surrender Value * Full Load.
Should Accounting for Transaction Charges Be Separated Out	Y—Yes N—No

Field	Description
Number of Grade Off to Maturity Years	This field defines the number of years prior to the maturity of a policy to apply a grade off deduction. When an amount greater than zero is input in this field and the policy maturity date is within the number of years specified as the grade off period, the system takes the partial withdrawal rate defined through the WL—Partial Withdrawal Load Segment and multiplies that rate by the number of years to maturity. This number is then divided by the number of grade off years to determine the grade off deduction.
Prorate Gain Based On Basis and Income	This field determines if a prorata cost recovery rule is applied to partial withdrawals and the deeming of tax sheltered annuity (TSA) loans. This prorata cost recovery rule distributes the funds in proportion to the basis and income, yielding both taxable and non-taxable portions. Y—Yes The funds are divided based on the partial withdrawal or loan deeming event into both taxable and non-taxable amounts, in proportion to the basis and income. The basis portion is excluded from taxation. The following prorata calculation is used to determine the non-taxable portion. $\text{Non-taxable} = \text{Total Distribution} * (\text{Tax Basis} / \text{Accumulation Value})$ If Pre-TEFRA balances exist, LifePRO® withdraws money in the order shown below. 1. Pre-TEFRA basis 2. Pre-TEFRA income 3. Post-TEFRA income 4. Post-TEFRA basis N—No Do not distribute the funds based on the partial withdrawal or loan deeming event using the prorata calculation. NOTE This field only applies for TSA Loan Action Flags 1 and 4, as defined on the State Control File, State Loan Cap Information screen. Refer to the Inforce Book, 3.4—Loan Quote—TSA Loans for more information.

Field	Description
If Yes, Net Loan Balances Out of Fund Value	When the Prorate Gain Based On Basis and Income field is set to Yes, the funds from a partial withdrawal are divided into both taxable and non-taxable amounts in proportion to the basis and income. Setting this field to Yes deducts the total of all loan balances, including defaulted loans with a non-zero balance, from the fund value that is used in the denominator in computing the split between the basis and income. Y—Yes The total of all loan balances, including defaulted loans with a non-zero balance, is used in the calculation of the split between basis and income. This field can only be set to Yes when the Prorate Gain Based On Basis and Income field is set to Yes. N—No The total of all loan balances, including defaulted loans with a non-zero balance, is not used in the calculation of the split between basis and income. This is the default.
Maximum Number of Withdrawals Per Year	This field allows the maximum number of partial withdrawals per policy year to be defined, up to 99. If more than that number of partial withdrawals is attempted in a policy year, the message <i>Withdrawal exceed maximum number, of __, allowed in policy year</i> is displayed. If the withdrawal which exceeds the maximum is set up as a systematic withdrawal, it is not performed and an ENS message is generated.
Maximum Number of Withdrawal Requests Per Year	This field is used to determine the number of withdrawal requests that are allowed in a policy year. A periodic systematic withdrawal, required minimum distribution, substantially equal payment, or interest withdrawal is only counted as one request even though multiple withdrawals could be processed from the request. A value of zero, blank, or 99 indicates that there are no maximums. The default is blank.
Reduce Peel Back Rider to Zero Before Reducing Base	This field affects how partial withdrawals are deducted from a universal life product with a peel back rider. Y—Yes Partial withdrawal processing first reduces the peel back rider (defined using the PB—Peel Back Rider component type) before decreasing the base face amount. It terminates the peel back rider if the peel back rider's specified amount is reduced to an amount equal to the base specified amount. Then it reduces the base specified amount. N—No Partial withdrawal processing functions normally. This is the default. NOTE This field is not applicable for a universal life policy with a non-level death benefit. A partial withdrawal does not reduce the peel back rider specified amount nor the base specified amount if a non-level death benefit is selected.

6.306 WD—Partial Withdrawal Segment

NOTE

Universal life and annuities only

The WD—Partial Withdrawal Segment points the system to segments which describe the rules and point to the rates for partial surrender logic.

Segment Screen - SR (1st)

Segment ID >> Segment Type WD

Type	Description	Y/N	Segment ID	Issue Age	Dur
WC	Partial Withdrl Control	Yes	MINP/W		
WL	Partial Withdrl Load	Yes	7-1 NAT		
BO	Bailout Provision	No			
FW	Free Withdrawal	Yes	7-1		
EW	Early Withdrawals	No			
QW	Qualified Withdrawal	No			
MA	Market Value Adjust	No			

Compute values on Anniversary basis?
 Alternative Surrender Method Number
 Use Adjusted Target For Load?
 Surrender Charge Monthly Offset (No Offset)
 Decrement Duration by Periods of Non-Coverage?
 Use Conversion History surrender load on Base Only?

Earnings Taken
 NF law cap?

The following segments can be accessed from the WD Segment.

WC—Partial Withdrl Control	The WC Segment is purely a rules segment giving rules for general items on partial surrender. If this segment is used select Y—Yes and input the WC Segment ID. This segment is accessible by clicking Select .
WL—Partial Withdrl Load	The WL Segment points to the actual partial surrender load rates, and rules on how to compute the partial surrender charges. It has been documented in this section. If this segment is used, select Y—Yes and input the WL Segment ID. This segment is accessible by clicking Select .
BO—Bailout Provision	The BO—Bailout Segment contains bailout rules and rates. Bailout essentially tells the system that if the rate currently being paid has deviated a prescribed amount from a given rate (original, specified or last anniversary, for example), then partial surrender loads are to be waived. If this segment is used, select Y—Yes and input the BO Segment ID. This segment is accessible by clicking Select .
FW—Free Withdrawal	The FW Segment points to rates and rules for the calculation of excluded or free amounts on a partial surrender. If this segment is used, select Y—Yes and input the FW Segment ID. This segment is accessible by clicking Select .
EW—Early Withdrawals	The EW Segment controls edits on surrenders. If used, the system allows the selection of tax distribution codes 3 or higher only when processing a partial surrender, if the policyholder is less than a specified age. If this segment is used, select Y—Yes and input the EW segment ID. This segment is accessible by clicking Select .
QW—Qualified Withdrawals	The QW Segment controls how the amount that is available for a qualified withdrawal is calculated. Qualified withdrawals from a level death benefit universal life policy do <u>not</u> reduce the specified amount. If this segment is used, select Y—Yes and input the QW segment ID. This segment is accessible by clicking Select .
MA—Market Value Adjustment	The MA Segment points to logic which adjusts surrender charges based on the current interest rate instead of the original interest rate. If this segment is used, select Y—Yes and input the MA segment ID. This segment is accessible by clicking Select .

The following table contains definitions for the fields on the WD Segment.

Field	Description
Y/N	This field indicates if the segment is used to define rules or rates for partial withdrawals. Y—Yes This segment is used to define rules or rates for partial withdrawals. The Segment ID is input in the next field. N—No This segment is not used to define rules or rates for partial withdrawals. D—Def Chrgs The rates and rules defined on the DH—Deferred Charges Account Segment are used instead of the rates and rules defined on the WL—Partial Withdrawal Load Segment to determine the surrender charges for a partial withdrawal. This option is only available for the WL Segment.
Segment ID	The ID of the segment used is input in this field. Position the cursor in this field and press F4 to access the associated segment.
Issue Age	If an SP layer exists, select I—Increase if the system is to use the issue age of the increase layer to access FW—Free Withdrawal rates, or P—Parent to use the issue age for the base benefit. For example, assume that the issue age of the base is 30 and the WL rate at issue age 30 is 10.00/1000. Also assume that an increase is processed at issue age 33 and the SL rate at age 33 is 13.00/1000. If the Issue Age field for SL's is set to Increase, then the system computes surrender charges for each layer (base and the SP increase). The base uses 10.00/1000 and the layer uses 13.00 per 1000. If the Issue age field for SL's is set to Parent, both layers use 13.00 per 1000. NOTE If this field is set to Increase, the Specified Amount Decrease Rule for Surrender Charges field on the SC—Full Surrender Controls Segment must be set to FIFO, LIFO, or Prorata.
Dur	If an SP layer exists, select I—Increase if the system is to use the duration age of the increase layer to access SA/SL rates (if that is needed), or P—Parent to use the base benefit's issue age. For example, assume that the issue age of the base benefit is 30 and the SL rate for issue age 30 is 10.00/1000. Also assume that at policy duration 4, an increase is processed. The issue age at the time of the increase is 33 and the SL rate at age 33 is 13.00/1000. At the time the increase occurs, the base is in duration 4, the layer in duration 1.

Field	Description
Dur (continued)	If the Duration field for SL's is set to Increase, then the system computes surrender charges for each layer (base and the SP increase). The base uses duration 4 in its calculation, and the SP layer uses duration 1 in its calculation. If the Duration field for SL's is set to Parent, both layers use duration 4 in its calculations. NOTE If this field is set to Increase, the Specified Amount Decrease Rule for Surrender Charges field on the SC—Full Surrender Controls Segment must be set to FIFO, LIFO, or Prorata.
Compute values on Anniversary basis	Y—Yes When an increase layer is added, the earlier of the most recent policy anniversary or the issue date of the increase is used for retrieving rates when calculating the surrender loads. N—No The surrender loads are not calculated using the anniversary basis. This is the default.
Alternative Surrender Method Number	This field is used to determine the surrender charge and free withdrawal calculation method. 0—Standard Surrender Method This is the default method used for surrender charge calculations. 1—Variable Surrender Method 1 This method is used for a particular client. This method includes premium based surrender charges and earnings plus a percentage of premiums free. 2—Alternate Surrender Method 2 This method is used for a particular client in conjunction with a BA—Universal Methodology Segment. 3—Variable Surrender Method 3 This method allows for premium based surrender charges on a FIFO basis. The surrender charge cap (assessed only on a maximum of premiums paid) is also included in this surrender method. 4—Alternate Surrender Method 4 This method calculates surrender charges based on purchase payments in first in, first out (FIFO) order. The earnings may be withdrawn prior to purchase payments or after purchase payments are depleted, depending upon how the Earnings Taken field is set up.

Field	Description
Earnings Taken	This field determines the point at which the earnings on a policy are withdrawn. This field is only available if the Alternative Surrender Method Number field is set to Alternate Surrender Method 4. F—First The earnings on the policy are withdrawn prior to purchase payments. This is the default. L—Last The earnings on a policy are withdrawn after purchase payments are depleted.
Use Adjusted Target For Load	Y—Yes N—No
NF law cap	Y—Yes N—No
Surrender Charge Monthly Offset	If the surrender charges are to change durations at a point other than anniversary, enter the number of months before (+) or after (-) this is to happen in this field. For example, if you wish to use the next year's surrender loads starting in the 12th month of a policy year, input -1 in this field.
Decrement Duration by Periods of Non-Coverage	Y—Yes If a policy lapses and, in x months is reinstated, the total of all periods of non-coverage is subtracted from the policy month the policy is currently in before computing surrender charges. N—No
Use Conversion History surrender load on Base Only	Y—Yes N—No

6.307 WE—Flat Extra Factors/NS—NSP Purchase Rates

NOTE

Traditional only

The WE—Flat Extra Factors Segment is accessed through the <F5>—Flat Extra Factors Segment field on the second page of the NS Segment. The WE Segment is designed to be used in conjunction with the Flat Extras Increase The NSP or Added to SL Benefit field on the PT—Paid-up Term Control Segment. This segment defines if the flat extra factors increase the NSP rate, or the flat extra amount is added to an SL benefit.

Rate Type Segment	
Segment ID	TRAD >>
Segment Type	WE
Select Period	Duration 0
Ultimate ID	
Constant Rate	0.0000000 (Added to File Rate if Declared)
Rate Type	Constant Rate Only
Type Modifier	☐ Rates Vary by Underwriting Class No
Mult Insured Access	
Rate Basis	Separate And Unique
Years of	0
Banding Method	Not Banded
Banding Rule	Traditional
Upper Band Limits	0 0 0 0 0 0 0
Rates Coded As	Actual Amount
Change Frequency	Not Applicable
	0

Mode Rules
Rates
Next
OK
Cancel

6.308 WL—Partial Withdrawal Load Segment

The WL—Partial Withdrawal Load Segment points to the actual partial surrender load rates and rules on how to compute the partial surrender charges.

Rate Type Segment	
Segment ID	UL1 >>
Segment Type	WL
Select Period	Duration 0
Ultimate ID	
Constant Rate	10.0000000 (Added to File Rate if Declared)
Rate Type	Constant Rate Only
Type Modifier	☐ Rates Vary by Underwriting Class No
Mult Insured Access	
Rate Basis	Male With Setback Years of 0
Banding Method	Not Banded
Banding Rule	Traditional
Upper Band Limits	0 0 0 0 0 0 0
Rates Coded As	Percentage (1% Entered As 1.00)
Change Frequency	Not Applicable 36

Mode Rules
Rates
Next
OK
Cancel

Refer to Section 12, Chapter 3—Premiums—Upper Portion of Screen Field Definitions on page 12-17 in this book for a description of the fields on the upper portion of the screen.

Click **Next** to access the calculation rules.

The calculation rules are defined on the second screen of the segment.

WL Segment - Screen 2

Calculation Code

Variable Surrender Method 3 Flags

Surrender Charges Based on Premium Duration

Caps On Surrender Charge Information

	Maximums	Minimums
Constant	9999999.99	0.00
Percent of 1st Year Premium	0.00%	
Use CM Definition of 1st Year Premium	No	
Per \$1000 of Specified	0.00	

Specified Amount Decrease Flags

Include Load in Decrease Amount if Level DB

if Non-Level DB Option

Previous
OK
Cancel

The following table contains definitions for the fields on the second screen of the WL Segment.

Field	Description
Calculation Code	S—Per \$1000 of Specified Amount Multiply the rate found by the number of units of specified amount. F—Based On Fund Value Multiply the rate found by the fund value. B—Based On Fund Basis Multiply the rate found by the basis in the contract (premiums—withdrawals to date). W—Based On Gross Withdrawal Amount This option computes the partial surrender charges based on the gross withdrawal amount. P—Constant Rate Per Policy Do not multiply the rate, simply use it as the answer. For example, if 25.00 is coded and is interpreted as an amount A, then the surrender load is assumed to be 25.00. N—Based On Net Withdrawal Amount This option computes the partial surrender charges based on the net withdrawal amount.
Surrender Charges Based on Premium Duration	This field determines how surrender charges are accessed and applied. This field is only used when the Alternative Surrender Method Number field is set to Variable Surrender Method 3. Y—Yes Surrender charges are accessed based on premium duration. Premiums are withdrawn on a FIFO basis. N—No Surrender charges are accessed based on policy duration. This is the default.
Constant	Input a value other than zero in this field if the system is to first compute a surrender load, and then cap it off. For example, if the surrender load is 10% of the fund, but is not to exceed 10,000, code 10,000 in this field.
Percent of 1st Year Premium	Input a percentage in this field if the total premium paid by the end of the policy year is to cap the surrender load. For example, assume 150% is coded in this field and the surrender load is 10% of the fund. Also assume the total first year premium paid is 1,000. If this calculation yields a surrender charge of 2,000, then the cap is 150% of 1000, or 1500. Thus, 1500 is the surrender charge.
Use CM Definition of 1st Year Premium	This field defines if surrender charges are based on the same time period as first year commissions, as defined on the CM—Commission Class Rules Segment. Y—Yes Surrender charges are based on the same time period. N—No Surrender charges are based on a fixed 12 month period. This is the default.

Field	Description
Per \$1000 of Specified	If a per 1000 rate is input in this field, the system divides the computed surrender load by the number of 1000's of specified amount, caps that value with this value, and then multiplies the result back by the number of 1000's (units) of specified amount.
Include Load in Decrease Amount if Level DB	This field is applicable to monthiversary processing only. Y—Yes The level option ULs specified amount is decreased by the gross withdrawal amount. For example, the surrender charge also reduces the specified amount. N—No
If Non-Level DB Option	This field is applicable to monthiversary processing only. Y—Yes The non-level option ULs specified amount is decreased by the gross withdrawal amount. For example, the surrender charge also reduces the specified amount. If the client plans to pay some premium then that planned amount becomes the cap. N—No

6.309 WM—Window Maturity Rules Segment

The Window Maturity Rules Segment designates when a fund matures and the fund ID of the fund to which the matured amount is transferred. This segment can only be used if the Process Rule field on the FR—Fund Rule Segment is defined as **New \$**, **Old \$**, or **Split Fund**. In addition, the fund must be a fixed interest fund. The WM Segment cannot be used if the Process Rule field is defined as **Aggregate** or the fund is a unit based fund.

Transfer Out Limits					
Segment ID	UL1		Select Period	Duration 0	
Segment Type	WM		Ultimate ID		
	Maturity Timing	Maturity Code	Destination Transfer %	Destination Fund/Allocation	Destination Fund ID
Entire Window	Days	0	0%	Fund	
Generate Correspondence	0 Days				
					OK
					Cancel

The WM Segment is accessed through the Segment List on the Fund Rules screen.

Field	Description
Maturity Timing	This field works in conjunction with the Maturity Code field. This field indicates the period of time used to measure the maturity date. D—Days The maturity code is stated as a number of days. M—Months The maturity code is stated as a number of months. Y—Years The maturity code is stated as a number of years.
Maturity Code	This field works in conjunction with the Maturity Timing field. The number of days, months, or years is input in this field. For example, assume the WM Segment has a Maturity Timing and Maturity Code of M, 12, respectively. Therefore, the fund matures in 12 months from the date of the deposit.
Destination Transfer %	The percentage of the fund amount to be transferred to the fund identified is input in this field.
Destination Fund/Allocation	The percentage of the fund amount to be transferred may be transferred to a specific fund or it may be transferred according to the premium allocation percentages defined for the policy. F—Fund Transfer the percentage amount directly to the specific fund defined in the Destination Fund ID field. A—Allocation Transfer the percentage amount according to the premium allocation defined for the policy. This setting also causes changes to premium allocation rules for the policy to be applied only upon maturity, regardless of when those changes are entered into the system. NOTE If this field is set to Allocation, it is suggested the Combine Windows with same Effective Date field is set to Yes on the — Fund Rules screen for each fund associated with the product, to prevent exponentially increasing the number of windows for a policy.
Destination Fund ID	The fund ID of the new fund is input in this field. This is the fund to which the money is transferred on the maturity date.
Generate Correspondence	The number of days prior to the transfer of the matured fund amount that the letter identified for the Window Maturity Notify event is generated if designated in this field.

Window Maturity Notify and Window Maturity Failure are two WM Segment correspondence letters available through the L0—Letter Type Segment.

The Window Maturity Notify letter is generated the number of days prior to a fund maturing that is identified on the WM Segment and contains the following information in the designated fields.

Field 11	Bucket (window) maturity date
Field 12	Current interest rate for the window
Field 13	New money interest rate as of the date of the last activity
Field 14	Fund ID
Field 15	Current balance in bucket as of the last activity date
Field 16	Original amount of bucket
Field 17	Bucket (window) date from the WFNDS File
Field 18	Window renewal date (This is the actual date the Rque for the auto-maturity occurs. For example, if the window maturity date is for a non-price day, the Rque actually has the next valid price day.)
Field 20	Last activity date

The Window Maturity Failure letter is generated when the matured amount from the original fund attempts to transfer to the new fund identified on the WM Segment if the transfer cannot be completed.

The Window Maturity Failure letter contains the following information in the designated fields.

Field 11	Bucket (window) maturity date
Field 12	Current interest rate for the window
Field 13	New money interest rate as of the date of the last activity
Field 14	Fund ID
Field 15	Current balance in bucket as of the last activity date
Field 16	Original amount of bucket
Field 17	Bucket (window) date from the WFNDS File
Field 18	Window renewal date (This is the actual date the Rque for the auto-maturity occurs. For example, if the window maturity date is for a non-price day, the Rque actually has the next valid price day.)
Field 19	Reason for failure (would be blank on maturity notify)
Field 20	Last activity date

6.310 WN—Fund Split Accum Windows Segment

NOTE

Universal life only

The WN—Fund Split Accum Windows Segment can be accessed through the Segment List on the Fund Rule screen. This segment opens new window dates. After a new date exists, the system automatically applies money to a new bucket with the window date in the fund. Until a new bucket is opened, payments continue to be added to the most recent date.

Press **F8** to add a record. After the screen is in add mode, input a date. The system sorts these fields, so it is possible to insert dates. The date is tied to a Declared Interest Rate File Record. Multiple dates can be designated in order. For example, if a date of 01/01/2000 is designated, any payment on or after uses the 01/01/2000 interest rate. If another rate is designated as of 07/01/2001, any payment on or after 07/01/2001 uses the new rate.

Monthiversary accesses the Declared Interest Rate File using the window date in comparison to the effective date on the Declared Rate Records.

The screenshot shows a dialog box titled "Enter Split Funds Accum Date Windows Criteria". At the top, there are fields for "Type" (set to "WN") and "ID" (set to "UL1"), followed by a ">>" button. Below this is a section labeled "Current Accumulation Date Windows" with an empty text input field. Underneath the input field, two dates are listed: "12/15/2005" and "12/16/2005". At the bottom right of the dialog box, there are two buttons: "OK" and "Cancel".

6.311 XA—Assumed Accumulation Rates Segment

The XA—Assumed Accumulation Rates Segment defines the interest rates used to accumulate actual premiums and death benefit guarantee premiums. This segment is accessed from the Actual Premiums and DBG Premiums fields on the XG—Death Benefit Guarantee Rules Segment.

The following table contains definitions for the fields on this segment.

Field	Description
Banding Method	This field determines if the premiums accumulated for the target premium are banded. X—Not Banded The premium amounts accumulated for the target premium are not banded. T—Target Premium Accumulation The premium amounts accumulated for the target premium are banded. When this method is used, the band limit changes each month. It is the accumulation of the target premiums in effect at the beginning of each year at the interest rate defined as a constant rate in the Constant Rates field or defined in the Rate Files identified in the fields below.
Initial Band Rates - Constant Rates	If the rate used in the initial band (up to the target premium accumulation) is a constant, the value is input in this field. For example, a rate of 15% is input as 15.00.
Excess of Target - Constant Rates	If the Banding Method field is set to Target Premium Accumulation and the excess rate is a constant, the constant rate is input in this field. For example, a rate of 6% is input as 6.00.

Field	Description
Rate File IDs and Rules - Initial Band Rates	If the rate used in the initial band is not a constant rate, input the Rate ID used to identify the Declared Interest Rate File that contains the rates. Press F4 to access the Declared Interest Rate File. The Rate File Type is XA and the Rate Rule is 00. The effective date is the policy issue date.
Rate File IDs and Rules - Excess of Target	If the Banding Method field is set to Target Premium Accumulation and the excess rate is not a constant rate, input the Rate ID used to identify the Declared Interest Rate File that contains the rates. Press F4 to access the Declared Interest Rate File. The Rate File Type is XA and the Rate Rule is 00. The effective date is the policy issue date.

6.312 XC—Coterminous Rules Segment

The XC—Coterminous Rules Segment is used to define the timing rules for the fund maturity. On the fund maturity date, each window within the fund is valued and transferred into a new window. Each window within the fund remains separate and is not valued/indexed until the end of the term date for the entire fund is reached. The maturity of a coterminous fund does not have to coincide with a valid purchase day.

Coterminous Rules																			
Segment ID		Select Period	D 00 (Dur/Age)																
Segment Type	XC	Ultimate ID																	
<table border="1"><thead><tr><th></th><th>Y/N</th><th>Timing Code</th><th>Destination Transfer %</th><th>Destination Fund ID</th></tr></thead><tbody><tr><td>Entire Fund Maturity</td><td>☐</td><td> 00 </td><td> 0% </td><td> </td></tr><tr><td>Intermediate Ratcheting?</td><td>☒ N</td><td> 00 </td><td></td><td></td></tr></tbody></table>						Y/N	Timing Code	Destination Transfer %	Destination Fund ID	Entire Fund Maturity	☐	00	0%		Intermediate Ratcheting?	☒ N	00		
	Y/N	Timing Code	Destination Transfer %	Destination Fund ID															
Entire Fund Maturity	☐	00	0%																
Intermediate Ratcheting?	☒ N	00																	
Timing Codes - Every Number Of Days/Months/Years																			
Generate ENS Message	☐	Days Prior To Transfer																	
Free Withdrawal On Maturity?	☒ N																		
At Maturity, set Account Value to Greatest Value for all Coverages?			☒ N																
			OK																
			Cancel																

The following table contains definitions for the fields on the XC Segment.

Field	Description
Entire Fund Maturity Timing Code	These fields determine the frequency and duration of the entire fund maturity. First, the frequency is selected. Y—Years M—Months D—Days Next, the duration is selected to define how often the entire fund matures. The duration is a numeric, two digit field. For example, to allow a fund to mature every four years, Years is selected in the first field and 04 is input in the second field. The End Of Term date is also determined by this setting and is stored on the Fund Detail Record accessed from the On-Line Annual Statement.
Destination Transfer %	This field identifies the percentage of the fund that is indexed and transferred when the fund reaches maturity.
Destination Fund ID	This field identifies the fund in which to transfer indexed values. This can be the existing fund or another fund. First, the existing balance is credited with the indexed earnings. Then, a percentage of this balance, as defined in the Destination Transfer % field, is transferred into the destination fund identified in this field. This field does not apply to indexed funds as a result of intermediate ratcheting. When intermediate ratcheting occurs, all windows within the fund are valued and indexed on the intermediate ratchet date and a new window is opened. Fund values are not transferred into another fund.
Intermediate Ratcheting	This field determines if funds are indexed at certain times prior to maturity. Y—Yes The indexation of the fund occurs at points in time other than at the time of fund maturity. N—No The fund is indexed only at maturity.

Field	Description
Intermediate Ratcheting Timing Code	These fields determine the frequency and duration of the intermediate valuation of the fund. First, the frequency is selected. Y—Years M—Months D—Days Next, the duration is selected to define how often the entire fund is valued. The duration is a numeric, two digit field. For example, to allow a fund to be valued every four years, Years is selected in the first field and 04 is input in the second field.
Generate ENS Message ____ Days Prior To Transfer	This field indicates the number of days prior to fund maturity to generate an ENS message. This field does not apply to intermediate ratcheting. ENS messages are not generated prior to the intermediate ratchet date.
Free Withdrawal On Maturity	This field determines if a withdrawal can be taken when a fund matures without incurring surrender charges or minimum and maximum edits. Y—Yes Surrender charges, maximum and minimum partial withdrawal edits on the SC—Partial Withdrawal Control Segment, and minimum equity edits on the FC—Fund Administration Criteria Segment are waived when the effective date of a partial withdrawal or surrender equals the end of term date AND maturity or indexation has not been processed. N—No The surrender charges, maximum and minimum partial withdrawal edits on the SC—Partial Withdrawal Control Segment, and minimum equity edits on the FC—Fund Administration Criteria Segment always apply.
At Maturity, set Account Value to Greatest Value for all Coverages	This field is only applicable when shadow coverages (type SB) are associated with the product. Y—Yes At the time of indexation, a comparison of the fund values of the base and any shadow benefit coverage is performed. All coverage fund values are then set equal to the greatest of the fund values. N—No No comparison of the fund values of the base and any shadow benefit coverage is performed.

6.313 XE—Eligible Premium Increase Rate Segment

The XE—Eligible Premium Increase Rate Segment defines the rates used when calculating the rate increase for the eligible premiums. This increase only occurs on the benefit anniversary and is only applicable if no withdrawals have been processed on the policy.

The XE Segment is accessed from the Increase Rate for Eligible Premiums field on the GW—Guarantee Withdrawal Benefit Segment by entering the Segment ID and pressing **F4**.

Rate Type Segment	
Segment ID	>>
Segment Type	XE
Select Period	Duration 0
Ultimate ID	
Constant Rate	0.0000000 (Added to File Rate if Declared)
Rate Type	Duration Only
Type Modifier	☐ Rates Vary by Underwriting Class No
Mult Insured Access	
Rate Basis	Male With Setback Years of 0
Banding Method	Not Banded
Banding Rule	Traditional
Upper Band Limits	0 0 0 0 0 0
Rates Coded As	Percentage (1% Entered As 1.00)
Change Frequency	Not Applicable 0

6.314 XG—Death Benefit Guarantee Rules Segment

The XG—Death Benefit Guarantee Rules Segment defines the rules used to control the accumulation of the actual premiums along with the rules to keep the death benefit guarantee provision in force. This segment also contains fields to control how and when the death benefit guarantee premiums change in the case of certain events.

It is important to note that the various features on the XG Segment are independent features. In addition, the options selected on this segment only affect the testing for the death benefit guarantee provision and do not affect actual monthiversary processing.

It is also important to note that the features on the XG Segment which reaccumulate from issue on either a specified amount decrease or on an underwriting class change must have the target premium changing on those events or no new values will be accumulated. For example, assume the Reaccumulate on Specified Amount Decrease field is set to **Yes** but the PC Segment is set up so that the target premium is not recomputed on a decrease. The result of the reaccumulation will not be different than it was prior to the decrease.

Refer to Section 12, Concurrent No Lapse Guarantee and Death Benefit Guarantee Processing on page 12-287 in this book for information on using the no lapse guarantee and the death benefit guarantee provisions together.

Death Benefit Guarantee Rules Segment

Segment ID >> Segment Type XG Select Period Duration Ultimate ID

Accumulation Rates and Rules

Rate Segment ID Withdrawal Timing Code Beginning of Cycle

Actual Premiums >> 1035 Premium from Issue No

DBG Premiums >> Reaccumulate from Issue on SA Decrease No

Modalize Monthly DBG Premium No Reaccumulate from Issue on Underwriting Class Change No

Watch for Due Premiums for Cycles

Criteria for Termination of Guarantee

Goes Negative for Cycles

Benefit Increase No

Benefit Reduction No

Lapse No

After Reinstatement No

Increase GDB Premiums to Update

1. Increase to Base Use PC Segm...

2. Increase to Rider(s) Use PC Segm...

3. Addition of Rider(s) Use PC Segm...

4. Non-Level to Level Use PC Segm...

DB Option Change (Increase)

Decrease GDB Premiums to Update

5. Decrease to Base Use PC Segm...

6. Decrease to Rider(s) Use PC Segm...

7. Removal of Rider(s) Use PC Segm...

8. Termination of Rider(s) Use PC Segm...

9. Level to Non-Level Use PC Segm...

DB Option Change (Decrease)

10. Partial Surrender of Level UL Use PC Segm...

Insured Benefit Options to Update

11. Table Rating Change Use PC Segm...

12. Underwriting Class Change Use PC Segm...

OK Cancel

The following table contains definitions for the fields on the XG Segment.

Field	Description
Accumulation Rates and Rules	
Actual Premiums	This field identifies the XA—Assumed Accumulation Rates Segment used to define the rate at which the actual premiums paid accumulate for the death benefit guarantee tests. Press F4 to access the segment.
DBG Premiums	This field identifies the XA—Assumed Accumulation Rates Segment used to define the rate at which the monthly death benefit guarantee premiums paid accumulate for the death benefit guarantee tests. Press F4 to access the segment.

Field	Description
Modalize Monthly DBG Premium	This field determines if the death benefit guarantee premium is modalized. Y—Yes This adjustment is based on the interest rate defined for the accumulation of the death benefit guarantee premium. N—No The monthly death benefit guarantee premium amount is not modalized. This is the default.
Withdrawal Timing Code	This field defines how withdrawals are aligned to a monthiversary. B—Beginning of Cycle The withdrawal is treated as if it occurred on the first day of the MPR cycle, regardless of when it actually occurred during the month. This is the default. E—End of Cycle The withdrawal is treated as if it occurred on the last day of the MPR cycle, regardless of when it actually occurred during the month. A—Actual Withdrawal Date The actual date of the withdrawal is used.
1035 Premium from Issue	This field determines if interest is credited on 1035 premium amounts. Y—Yes Interest is credited on any 1035 premium from issue, regardless of the actual receipt date. N—No The 1035 premium receives interest only from the beginning of the month in which it was received. This is the default.
Reaccumulate from Issue on SA Decrease	This field determine if the actual premium accumulation is recalculated from issue using the new target premium as calculated after the specified amount decrease or using the original target premium. Y—Yes When the actual premium accumulation is recalculated from issue, the target premium used in the calculation is the target premium for the policy after the specified amount decrease. If the Banding Method field on the XA—Assumed Accumulation Rates Segment is set to Band by Accumulated Target Premium, the ending accumulation is affected. The accumulated value is lowered since it lowers the monthly band limits, therefore applying the higher band 1 interest rate to a smaller amount. N—No When the actual premium accumulation is recalculated from issue, the original target premium for the policy, prior to the specified amount decrease, is used. This is the default.

Field	Description
Reaccumulate from Issue on Underwriting Class Change	This field determines if the actual premium accumulation is recalculated from issue using the target premium as calculated after the underwriting class change or using the original target premium. Y—Yes When the actual premium accumulation is recalculated from issue, the target premium used in the calculation is the target premium for the policy after the underwriting class change. If the Banding Method field on the XA—Assumed Accumulation Rates Segment is set to Band by Accumulated Target Premium, the ending accumulation is affected. The accumulated value is lowered since it lowers the monthly band limits, therefore applying the higher band 1 interest rate to a smaller amount. N—No When the actual premium accumulation is recalculated from issue, the original target premium for the policy, prior to the underwriting class change, is used. This is the default.
Watch for Due Premiums for ___ Cycles	This field determines the number of MPR cycles in which premiums can be paid and be considered to have been received when due. For example, assume 2 is input in this field and the premium due date is 10/1. If the premium is received between 10/1 and 12/1, it is considered to have been paid on time.
Criteria for Termination of Guarantee	
Goes negative for	This field defines the number of months in which the death benefit guarantee test can fail before the provision is terminated. A value of zero indicates that this test is not used.
Benefit Increase	This field determines if the death benefit guarantee is terminated if a benefit increase is processed. Y—Yes The death guarantee benefit provision is terminated after a benefit increase. N—No The the death guarantee benefit provision is not terminated after a benefit increase. This is the default.
Benefit Reduction	This field indicates if the death benefit provision is terminated when a benefit reduction is processed. Y—Yes The death guarantee benefit provision is terminated after a benefit reduction. N—No The death guarantee benefit provision is not terminated after a benefit reduction. This is the default.

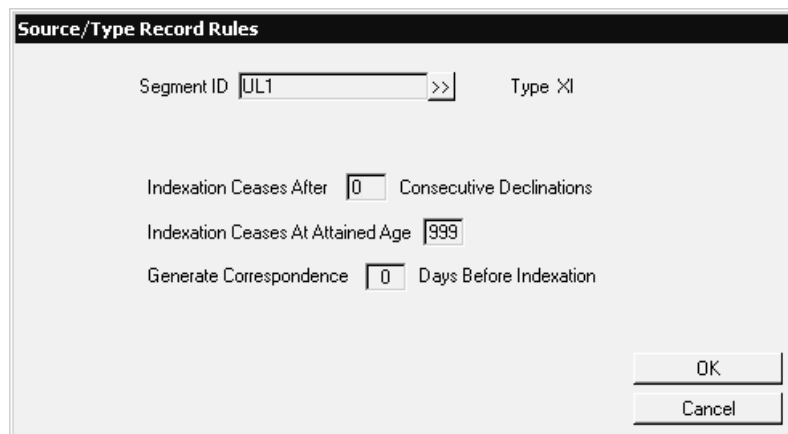
Field	Description
Lapse	This field determines if the death benefit guarantee provision is terminated when a policy enter the grace period. Y—Yes If a policy enters the grace period because of insufficient policy values and the death benefit guarantee test fails to protect against an impending lapse, the death benefit guarantee feature is terminated. This is not to imply the policy actually lapses since the policyholder can send in sufficient money to save the policy during the grace period. N—No If a policy enters the grace period because of insufficient policy values and the death benefit guarantee test fails to protect against an impending lapse, the death benefit guarantee feature remains active. This is the default.
After Reinstatement	This field determines how the death benefit guarantee provision is handled when a policy is reinstated, assuming that the death benefit guarantee provision was active when the policy was terminated. Y—Yes If a policy had an active death benefit guarantee provision at the time of termination, the death benefit guarantee provision is terminated when the policy is reinstated. N—No If a policy had an active death guarantee benefit provision at the time of termination, the death guarantee benefit provision remains active when the policy is reinstated. This is the default.
Increase GDB Premiums to Update	The fields in this section determine the impact on the death benefit guarantee premium amount for each event. The following options are available for the fields. A—Attained Age The current age of the policyholder is used to compute the new premium amount. I—Issue Age The original issue age of the policyholder is used to compute the new premium amount. N—No Recalculation The death benefit guarantee premium amount is not changed. Blank—Use PC Segment Minimum Rule The death benefit guarantee premium amount changes as the normal minimum premium amount does, using the rates on the EG—Rate Type Segment. This is the default.
Increase to Base	This field determines the impact to the death benefit guarantee premium amount when the base benefit is increased.
Increase to Rider(s)	This field determines the impact to the death benefit guarantee premium amount when a rider benefit is increased.d

Field	Description
Addition of Rider(s)	This field determines the impact to the death benefit guarantee premium amount when a rider is added.
Non-Level to Level DB Option Change (Increase)	This field determines the impact to the death benefit guarantee premium amount when the death benefit option is changed from a non-level benefit to a level benefit.
Decrease GDB Premiums to Update	The fields in this section determine the impact on the death benefit guarantee premium amount for each event. The following options are available for the fields. A—Attained Age The current age of the policyholder is used to compute the new premium amount. I—Issue Age The original issue age of the policyholder is used to compute the new premium amount. N—No Recalculation The death benefit guarantee premium amount is not changed. Blank—Use PC Segment Minimum Rule The death benefit guarantee premium amount changes as the normal minimum premium amount does, using the rates on the EG—Rate Type Segment. This is the default.
Decrease to Base	This field determines the impact to the death benefit guarantee premium amount when the base benefit is decreased.
Decrease to Rider(s)	This field determines the impact to the death benefit guarantee premium amount when a rider benefit is decreased.
Removal of Rider(s)	This field determines the impact to the death benefit guarantee premium amount when a rider is removed from a policy.
Termination of Rider(s)	This field determines the impact to the death benefit guarantee premium amount when a rider is terminated.
Level to Non-Level DB Option Change (Decrease)	This field determines the impact to the death benefit guarantee premium amount when a death benefit option is changed from a level benefit to a non-level benefit.
Partial Surrender of Level UL	This field determines the impact to the death benefit premium amount when a partial surrender is processed.

Field	Description
Insured Benefit Options to Update	The fields in this section determine the impact on the death benefit guarantee premium amount for each event. The following options are available for the fields. A—Attained Age The current age of the policyholder is used to compute the new premium amount. I—Issue Age The original issue age of the policyholder is used to compute the new premium amount. N—No Recalculation The death benefit guarantee premium amount is not changed. Blank—Use PC Segment Minimum Rule The death benefit guarantee premium amount changes as the normal minimum premium amount does, using the rates on the EG—Rate Type Segment. This is the default.
Table Rating Change	This field determines the impact to the death benefit guarantee premium amount when a table rating change is processed.
Underwriting Class Change	This field determines the impact to the death benefit guarantee premium amount when an underwriting class change is processed.

6.315 XI—Increment Indexation Rules Segment

The segment can only be accessed from the SG—Source/Type Rates and Rules Segment. This segment determines if the indexation rate and rule are available in New Business and during the processing of indexations.



The dialog box titled "Source/Type Record Rules" contains the following fields and controls:

- Segment ID: >>
- Type: XI
- Indexation Ceases After: Consecutive Declinations
- Indexation Ceases At Attained Age:
- Generate Correspondence: Days Before Indexation
- OK button
- Cancel button

The following table contains definitions for the fields on the XI Segment.

Field	Description
Indexation Ceases After ____ Consecutive Declinations	This field defines the number of consecutive times that an indexation must be declined before indexation is ceased. When the specified number of consecutive indexations has been declined, indexation is ceased. Intermittent declinations are not considered. This 3 character, numeric field defaults to 0.
Indexation Ceases At Attained Age	This field determines the Indexation Expiry Date based on the attained age of the insured. The Indexation Expiry Date is the date on which indexation is no longer processed. For example, assume that indexation should be discontinued when the insured reaches age 60. Input 60 in this field. In this example, the Indexation Expiry Date would reflect the effective date of the anniversary on which the insured reaches the attained age of 60. Indexations would occur through age 59 and cease beginning with age 60. For joint, first to die contracts, indexation ceases when the older insured reaches the age selected. For joint, last to die contracts, indexation ceases when the younger insured reaches the age selected. This 3 character, numeric field defaults to 999.
Generate Correspondence ____ Days Before Indexation	This field determines the number of days prior to indexation to generate correspondence. If the number of days is set to 0, correspondence is not generated. This 3 character, numeric field defaults to 0.

6.316 XL—Lifetime Basis Increase Rate Segment

The XL—Lifetime Basis Increase Rate Segment defines the rates used to calculate the rate increase for the lifetime basis. This increase only occurs on the benefit anniversary and is only applicable if no withdrawals have been processed on the policy.

The XL Segment is accessed from the Increase Rate for Lifetime Basis field on the GW—Guarantee Withdrawal Benefit Segment by entering the Segment ID and pressing **F4**.

Rate Type Segment	
Segment ID	VA2004 >>
Segment Type	XL
Select Period	Duration 0
Ultimate ID	
Constant Rate	0.0000000 (Added to File Rate if Declared)
Rate Type	Duration Only
Type Modifier	☐ Rates Vary by Underwriting Class No
Mult Insured Access	
Rate Basis	Male With Setback
Years of	0
Banding Method	Not Banded
Banding Rule	Traditional
Upper Band Limits	0 0 0 0 0 0 0
Rates Coded As	Percentage (1% Entered As 1.00)
Change Frequency	Not Applicable
	0

Mode Rules
Rates
Next
OK
Cancel

6.317 XM—Indexing Methods and Rules Segment

The XM—Indexing Methods and Rules Segment determines the calculation used to index/value funds when they mature or at intermediate ratcheting dates.

Indexing Methods And Rules

Segment ID >>

Segment Type XM

Indexing Method 01 - Use Ending Balance With Highest Impaired
02 - Use Ending Balance With Current Impaired
03 - Re-compute Since The Last Index Date Using Tunneling
04 - Use Ending Balance Less Current Interest Credited and Highest Impaired
05 - Use Ending Balance Less Current Interest Credited

Indexing Events Y/N

Full Surrender

Full Annuitization

Death Of The Owner

OK

Cancel

The following table contains definitions for the fields on the XM Segment.

Field	Description
Indexing Method	The indexing method is used to arrive at the amount to be credited to the fund at maturity.

01—Use Ending Balance With Highest Impaired

$$\text{Interest Bonus} = (\text{Account Value} - \text{Loan Balance}) * [(1 + \text{IAIRckf})^{t/365} - 1]$$

$$[(1 + \text{IAIRckf})^{t/365} - 1]$$

where Loan Balance = Highest loan balance as of the indexation date,

IAIRckf = index adjusted interest rate returned from the GEIA calculator, and

t = number of days from the fund or window start or last index date through the current index date.

The Impaired Values Based On Loan field on the FC—Fund Contract Rules Segment must be set to either **Credit Date Payoff** or **Last Credit Date Payoff**. The Loan Crediting Rate Type field on the LC—UL Impaired Interest Crediting Segment must be set to **Absolute**, **Current**, or **Guaranteed**. If **Current** or **Guaranteed** is selected along with Indexing Method 01 or Indexing Method 02, 0% is assumed.

02—Use Ending Balance With Current Impaired

$$\text{Interest Bonus} = (\text{Account Value} - \text{Loan Balance}) * [(1 + \text{IAIRckf})^{t/365} - 1]$$

$$[(1 + \text{IAIRckf})^{t/365} - 1]$$

where Loan Balance = Current loan balance on the maturity date,

IAIRckf = index adjusted interest rate returned from the GEIA calculator, and

t = number of days from the fund or window start or last index date through the current index date.

Field	Description
Indexing Method (continued)	03—Re-compute Since The Last Index Date Using Tunneling The interest bonus is calculated by using the IAIRckf as of the maturity date and performing an internal recalculation of the values with this final rate. Internal recalculation is used to define this method because the calculation is used to determine the total interest that is credited upon maturity. Only the final interest credit is displayed on the indexation date. Fund activity is not changed to reflect any changes to the intermediate values. $\text{Interest Bonus} = V_n - \text{Account Value}$ where V_1 = Window value as of the last indexation, $V_x = (V_{x-1} - \text{IM}_{x-1}) * (1 + \text{IAIRckf})^{[t(x)-t(x-1)]/365} - \text{CF}_x + \text{IM}_{x-1} * (1+g)^{[t(x)-t(x-1)]/365},$ CF_x = Amounts removed from the window at time $t(x)$, IM_x = Impaired window value at time $t(x)$, g = Rate credited to impaired funds, and $t(1), t(2), \dots, t(n)$ = Times at which the window has been valued starting with $t(1)$ as the last indexation date and $t(n)$ as the processing effective date. Differences in $t(x)$ values are measured in days. Note that this is the true number of days. 04—Use Ending Balance Less Current Interest Credited and Highest Impaired The index interest is calculated using the ending balance at the end of the term minus the current interest (A1 Segment) credited for the term period minus the highest impaired amount. 05—Use Ending Balance Less Current Interest Credited This indexing method is used to calculate the amount to be credited to the fund at maturity. The index interest is calculated using the ending balance at the end of the term minus the current interest from the A1—Current Interest Segment credited for the term period.
Indexing Events	These fields determine if the corresponding, non-maturity events result in fund or window indexation.
Full Surrender	Y—Yes The full surrender quote displays the fund value plus the index bonus as of the surrender quote effective date. This amount reflects the surrender value of the indexed fund when the surrender is processed. This field does not apply to partial withdrawals. N—No The index bonus is not calculated when a surrender is processed.

Field	Description
Full Annuitization	Y—Yes The annuitization displays the fund value plus the index bonus as of the annuitization effective date. N—No The index bonus is not calculated when an annuitization is processed.
Death Of The Owner	Y—Yes When a death claim is processed for the owner of the policy, the indexed value is displayed and processed. N—No The index bonus is not calculated when a death claim is processed for the owner of the policy.

6.318 XN—Non-coterminous Rules Segment

The XN—Non-coterminous Rules Segment is used to define the timing rules for the window maturity. On the window maturity date, each window is valued and transferred into a new window. Each window within the fund is valued based on its own end of term date.

The following table contains the definitions for the fields on the XN Segment.

Field	Description
Entire Window Maturity Timing Code	These two fields determine the frequency and duration of each window's maturity. First, the frequency is selected. Y—Years M—Months D—Days Next, the duration is selected to define how often the window matures. The duration is a numeric, two digit field. For example, to allow a window to mature every six months, Months is selected in the first field and 06 is input in the second field. The End Of Term date is also determined by this setting and is stored on the Fund Split Record accessed from the On-Line Annual Statement.
Destination Transfer %	This field identifies the percentage of the window that is indexed and transferred when the window reaches maturity.

Field	Description
Destination Fund ID	This field identifies the fund in which to transfer the window's indexed values. This can be the existing fund or another fund. The window's balance is credited with the indexed earnings, then a percentage of this balance, as defined in the Destination Transfer % field, is transferred into this fund. When transferred, earnings are not credited until the next indexation date in accordance with the destination fund's XN Segment.
Generate ENS Message ____Days Prior To Transfer	This field indicates the number of days prior to the window maturity to generate an ENS message.
Maturity Occurs On Valid Purchase Day	This field determines if the window maturity date must coincide with a valid purchase day. Y—Yes The maturity (end of term) date is not the exact duration defined on the XC—Coterminous Rules Segment and XN—Non-coterminous Rules Segment. This date is adjusted to ensure maturity occurs on a valid purchase day. Since the end of term date is established when the window is opened, the valid purchase date is identified as the end of term date on the Fund Split Record. N—No The maturity date is defined on the XC—Coterminous Rules Segment and XN—Non-coterminous Rules Segment and does not have to be on a valid purchase day.
Free Withdrawal On Maturity	This field determines if a withdrawal can be taken when a window matures without incurring surrender charges. Y—Yes Surrender charges, maximum and minimum partial withdrawal edits on the WC—Partial Withdrawal Control Segment, and minimum equity edits on the FC—Fund Administration Criteria Segment are waived when the effective date of a partial withdrawal or surrender equals the end of term date AND maturity/indexation has not been processed. N—No Surrender charges, maximum and minimum partial withdrawal edits on the WC—Partial Withdrawal Control Segment, and minimum equity edits on the FC—Fund Administration Criteria Segment are applied.

6.319 XV—External Index Segment

The XV—External Index Segment is accessed from the External Index Segment ID field on the MA—Market Value Adjust Segment. This segment defines the rates that are used when calculating the market value adjustment when an external index is identified.

The segment is an interest crediting segment.

Enter Interest Crediting Segment Criteria

Segment ID: >> Select Period:

Segment Type: Ultimate ID:

Key Modifier:

Band Process:

Upper Band Limits

99999999	0	0	0	0	0	0
---------------------------------------	--------------------------------	--------------------------------	--------------------------------	--------------------------------	--------------------------------	--------------------------------

Constant/Incremental Rates

----------------------	----------------------	----------------------	----------------------	----------------------	----------------------	----------------------

Rate File IDs and Rules

----------------------	----------------------	----------------------	----------------------	----------------------	----------------------	----------------------	----------------------

OK
Cancel

6.320 YP—Death Computations Segment

NOTE

Traditional only

The YP—Death Computations Segment is used to calculate death benefits based on the return of premiums. Using this method, the death benefit is the accumulation of all modal premiums paid, accrued with interest to the date of death.

Death Computations						
Segment ID	DISABILITY >>			Segment Type	YP	
Key Modifier	YP			Do Values Vary By		
Are Values Banded	No			Underwriting Class	No	
Female Rate Basis	Male With Setback					
Setback Years	0					
Rate Type	Issue Age					
Rate Rounding Rule	00					
Band Upper Limits:						
	9999999	0	0	0	0	0
Interest Rate for Accumulation of Premiums:	0.000%					
Interest Accumulation Method:	Exact Number Of Days Method					
				Extended Keys		
				Rates		
				OK		
				Cancel		

This method of calculating a death benefit can be defined for the first x years of a policy, by issue ages, after which normal death claim processing applies. No unprocessed premium is refunded for a return of premium death benefit calculation, unless that premium has been paid in advance, is not yet due on the date of death, and is to be refunded without interest.

The date on which premiums are due is used for all return of premium death benefit calculations, rather than the date the premiums are received.

Field	Description
Interest Rate for Accumulation of Premiums	For death benefit calculations based on the return of premiums, the death benefit is the accumulation of all modal premiums paid, accrued with interest to the date of death. The interest rate used is defined in this field.
Interest Accumulation Method	00—Exact Number Of Days Method The premium is accumulated to the date of death using the exact number of days. 01—Banker's Rule Method Each premium is accumulated to the monthly due date prior to the date of death using the banker's rule, and then accumulated with interest to the date of death using the exact number of days. The banker's rule assumes that all months are a constant 30 days, yielding 360 days per year. This rule weights all months the same.

The number of years for which the death benefit calculation is based on the return of premiums is defined in the rate file. The rate file is based on issue ages and is displayed by clicking **Rates**.

Attained Age Rate File

Segment ID >> Type >> Gender >> Band >> Underwriting Class >>

Age	Rate	Age	Rate	Age	Rate
000	3.0000000	013	3.5000000	026	3.5000000
001	4.5000000	014	3.5000000	027	3.5000000
002	0.0000000	015	3.5000000	028	3.5000000
003	0.0000000	016	3.5000000	029	3.5000000
004	0.0000000	017	3.5000000	030	3.5000000
005	0.0000000	018	3.5000000	031	3.5000000
006	0.0000000	019	3.5000000	032	3.5000000
007	0.0000000	020	3.5000000	033	3.5000000
008	0.0000000	021	3.5000000	034	3.5000000
009	0.0000000	022	3.5000000	035	3.5000000
010	0.0000000	023	3.5000000	036	3.5000000
011	0.0000000	024	3.5000000	037	3.5000000
012	0.0000000	025	3.5000000	038	3.5000000

For example, assume the return of premium death benefit calculation is applicable during the first three policy years for insureds whose issue age is up to 64, and during the first two policy years for insureds whose issue age is 65 or more.

When the return of premiums death benefit calculation no longer applies, the normal method for death claim processing defined for the product is applied.

YP—Death Computations Segment Processing Notes

The following formulas are used to accumulate interest.

Method 00—Exact Number Of Days Method ($d_t/365$)

$$\text{Death Benefit during first } x \text{ years of policy} = \sum \text{Premium}_t * (1 + I)$$

where

- t is the time from the issue date to the date of the death quote
- Premium_t is the premium paid at time t , based on the due date of the premium and not the actual date of the payment
- d_t is the number of days between the date of Premium_t and the death quote
- I is the interest rate defined in the YP - Death Computations Segment

Method 01—Banker's Rule Method ($M_t/12 + d/365$)

$$\text{Death Benefit during first } x \text{ years of policy} = \sum \text{Premium}_t * (1 + I)$$

where

- t is the time from the issue date to the date of the death quote
- Premium_t is the premium paid at time t , based on the due date of the premium and not the actual date of the payment
- M_t is the whole number of months between the date of Premium_t and the death quote
- d is the remaining number of days between the last monthiversary and the death quote
- I is the interest rate defined in the YP—Death Computations Segment

The following points are important to consider when defining a death benefit calculation based on the return of premiums.

- The YP Segment depends on the accounting records for premiums paid to calculate the death benefit. If policies are converted into LifePRO®, but the associated accounting records are not converted, the system is unable to calculate the death benefits based on the return of premiums using the YP Segment.
- If a return of premiums death benefit calculation is set up using the YP Segment, it only changes the amount that is calculated for the death benefit; existing death benefit claim processing is not affected. For instance, commissions are not reversed.

- The YP Segment is used to define the death benefit calculations at a benefit level. If a product has more than one traditional benefit for which a return of premium death benefit calculation should be made, the YP Segment must be defined for each benefit.
- Reinsurance recovery processing is modified to recognize when the YP Segment applies. If the YP Segment does not apply to the death benefit, current reinsurance recovery processing applies. If a return of premium death claim is processed, the reinsurance recovery amount is calculated as follows, and written to accounting.

$$1 - (\text{retention limit} / \text{face amount}) = \text{reinsurance ratio}$$

$$\text{reinsurance ratio} * \text{death benefit} = \text{reinsurance recovery amount}$$

6.321 YS—California Yield Index

For policies issued in the state of California, a yield comparison index is required. This segment supports the California Yield Index. This segment indicates which mortality table to use when calculating the index for each underwriting class. This segment applies to line of business U—Universal and L—Traditional and must be accessed from the Coverage Record.

When the segment is first accessed, it is necessary to press **F8** to create the segment, and pull in the current underwriting class and Mortality EM Segment information.

The Mortality EM Segment defaults to the 1980 CSO select rates for either age last birthday or age near birthday depending on the coverage setup. The Mortality Class field must be completed with either **S—Smoker** or **N—Nonsmoker**.

The Mortality Adjustment Factors fields on the lower half of the YS Segment default to the required current formula and correspond with the calculation of the standardized value of death protection per \$1,000.00 for policy year t. The Maximum Yield = Current Plus field defaults to 2%. If the actual calculation is greater than the maximum, the maximum is printed on the disclosure page.

[illegible]

Monthaversary or ULPro Products using the YS Segment Notes

Additional setup is required for these products because monthaversary processing uses the U6, U7, U9, and UA Full Surrender Segments which are not recognized by the California yield index logic. The SR—Full Surrender Segment for monthaversary products needs to be turned on with a **C** in the Y/N field on the Segment List. The **C** allows the Modeaversary Full Surrender segments to be set up for calculating the California yield indexes. For the California yield indexes to be calculated correctly for monthaversary products, the SR Segment must be set up. The SR Segment is only used for calculations of the California yield indexes and does not affect other normal monthaversary processing.

6.322 Z0—Index Start Value Segment

The Z0—Index Start Value Segment is used in concert with the Index Averaging Rules on the EI—Generic EIA Segment to direct LifePRO® to the rates to be used to calculate the Index Start Value. This value is then used in the calculation of the final annualized index rate. Refer to Section 12, EI—Generic EIA Segment on page 12-289 for more information about the calculation of the final annualized index rate.

To access the Z0 Segment, highlight a field on the Z0 Segment ID line on the EI—Generic EIA Segment and click **Process**.

Enter Interest Crediting Segment Criteria

Segment ID

UL1

>>

Select Period

Duration

10

Segment Type

Z0

Ultimate ID

Key Modifier

Band Process

Not Banded

Upper Band Limits

99999999

0

0

0

0

0

0

Constant/Incremental Rates

Rate File IDS and Rules

OK

Cancel

The following table describes the fields on the Z0—Index Start Value Segment.

Field	Description
Segment ID	The Segment ID selected on the Segment List is displayed in this field.
Segment Type	The Segment Type field is completed automatically by the system.

Field	Description
Select Period	Indicate in this field the length of time that the selected rates are used. The first field is used to define if the rates are based on duration, months, or age. The second field is used to define the length of time. For instance, if Duration is selected in the first field and 99 is entered in the second field, the rates are valid for the first 99 durations of a policy. If the same rate segment is used for all years, input 0 in this field.
Ultimate ID	This field defines the ID of the segment that contains the rates used when the interest rates change at the end of the select period. If the same rate segment is used for all years, this field is left blank.
Key Modifier	The Key Modifier points the system to the proper rates in the Rate File. The Key Modifier should match the Segment Type if the rates are unique for the segment. To point to another segment's rates, update the Key Modifier to match that segment's Segment Type. (The Segment IDs must also be the same to point to the other segment's rates.)
Band Process	There are several types of banding available. X—Not Banded Code all 9s in the first upper band limit field if there is no banding. S—Specified Amount The system takes the total specified amount in a policy, determines the band number (1—7) through the upper band limits as defined on the segment, and then uses the rate ID or constant rate as input on the segment below the band number. P—Initial Gross Premium The band is computed by taking the initial gross premium through the band limits. This is primarily for single premium deferred annuities. F—Fund Value Per Window If the fund is either split fund (SF) or New Money/Old Money (NO), this option tells the system to take the value of each bucket and compute the band number. This is possibly the slowest method, if there are several bands and buckets.

Field	Description						
Band Process (continued)	I—Incrementally Tiered By Fund When this option is selected, the system breaks the fund value up into one or more pieces, based on the band limits. Then, a base (band 1) rate is picked up (either as a variable rate in a file, or as a constant coded here on the segment). The band 2 and band 3 rate to use is the band 1 rate plus the band 2 increment, the band 1 rate plus the band 3 increment, and so on. The increments must be constants, not in a Rate File. Code the constants as percentages (for example, $\frac{1}{2} = .5\%$, and so on.) For example, assume the band limits are set as 10,000, 20,000, and 9999999. Also assume the band 1 rate is 9.00%, the band 2 (constant) increment is 0.25%, and the band 3 increment is 0.5%. A fund value of \$35,000 has interest computed as follows. 10,000 gets the 9.00% 5,000 gets the 9.25% 10,000 gets the 9.50% T—Total Fund Value (Across All Fund Values At Start Of Crediting) When this option is selected, banding is based on the total fund value in the policy. If several funds exist, some SF, some NO and some AG, the grand total is taken, and this total is used to find the band number for any fund so marked. There may be funds mixed which are NOT banded this way. These are treated appropriately. A—Initial Planned Annual Premium Banding is based on the initial planned annual premium when this option is selected. D—Incrementally Banded By Policy Duration An additional interest rate can be applied for up to seven different policy duration band limits when this option is selected. For example, assume the Upper Band Limits fields are coded as Band 1—10, Band 2—15, and Band 3—100 and the constant/incremental rates are 0.5, and 0.75. The results are shown below. <table> <tr> <td>Years 1—10</td><td>No Bonus</td></tr> <tr> <td>Years 11—15</td><td>.5% Bonus</td></tr> <tr> <td>Years 16 & After</td><td>.75% Bonus</td></tr> </table>	Years 1—10	No Bonus	Years 11—15	.5% Bonus	Years 16 & After	.75% Bonus
Years 1—10	No Bonus						
Years 11—15	.5% Bonus						
Years 16 & After	.75% Bonus						

Field	Description
Constant/Incremental Rates	There are seven fields into which a constant rate may be entered (for example, 4.00%). If the banding method is Incrementally Tiered By Fund or Incrementally Banded By Policy Duration , these are, from band 2 through band 7, the additional increments.
Rate File IDs and Rules	If the rates are not constants, set up a five character ID for the Declared Rate File and use one of four rules. 00—Rates change immediately during the month. 01—Same as 00. 02—Rate at the beginning of the month holds for the entire month. 03—Rate changes are effective on the policy anniversary.

6.323 Z1—Index End Value Segment

The Z1—Index End Value Segment is used in concert with the Index Averaging Rules on the EI—Generic EIA Segment to direct *LifePRO*® to the rates used to calculate the Index End Value. This value is, in turn, used in the calculation of the final annualized index rate. Refer to Section 12, EI—Generic EIA Segment on page 12-289 for more information about the calculation of the final annualized index rate.

To access the Z1 Segment, highlight the Z1 Segment ID line on the EI—Generic EIA Segment and click **Process**.

Enter Interest Crediting Segment Criteria

Segment ID: JUL1 >> Select Period: Duration 0
Segment Type: Z1 Ultimate ID:

Key Modifier: ☐
Band Process: Not Banded

Upper Band Limits
99999999 0 0 0 0 0 0

Constant/Incremental Rates

Rate File IDS and Rules

OK
Cancel

Refer to 6.322—Z0—Index Start Value Segment on page 1178 in this book for descriptions of the fields on this screen.

6.324 Z2—Interim Participation Rate Segment

The Z2—Interim Participation Rate Segment directs *LifePRO*® to the participation rate used before annualization (P0 in the final annualized index rate formula). Refer to Section 12, EI—Generic EIA Segment on page 12-289 for more information about the formula.

To access the Z2 Segment, highlight a field on the Z2 Segment ID line on the EI—Generic EIA Segment and click **Process**.

Enter Interest Crediting Segment Criteria

Segment ID: >> Select Period: 0
Segment Type: Z2 Ultimate ID:

Key Modifier: ☐
Band Process:

Upper Band Limits

Constant/Incremental Rates

Rate File IDS and Rules

OK
Cancel

Declared Interest Rate Substitution

The rates defined on the Z2 Segment can be substituted for specified time periods. The rate substitutions are defined by completing the following steps.

1. From any of the Rate File IDs and Rules fields on the Z2 Segment press **Alt+I**. The Declared Interest Rate Substitution screen is displayed.
2. Press **F8**. The message *Fill in Policy No, Effective Date, Rate ID and Press Enter* is displayed.

Declared Interest Rate Substitution			
Rate ID	KGF	Rate Type	Z2
			Rate Rule 01
Co/Pol Number			
Effective Date		00/00/0000	
Substitution Rate ID			
Co/Pol Number	Effective Date	Substitution Rate ID	
01EIAMTHD1	05/01/1999	PED	

3. Complete the screen as described in the table below and press **Enter**. The Company/Policy Number, Effective Date, and Substitution Rate ID fields are displayed in the bottom portion of the screen.

Field	Description
Co/Pol Number	This field defines the company and policy number for the substituted rate, if a substituted rate is available. If a substituted rate is not found, the system defaults to the initial declared interest rates.

Field	Description
Effective Date	This field determines the effective (bucket) date of the substitution rate.
Substitution Rate ID	This field defines the Declared Interest Rate Record that contains the substituted rates using the same rate type and rate rule.

- Position the cursor in the Substitution Rate ID field and press **F4**. The Declared Rates File screen is displayed.

Declared Rates File

Rate ID: PED >> Low: High: Date: 00/00/0000 03/30/2003

Type: 22 Effective Date: 03/25/2002 Record Sequence: 001 Duration: 00001 00001

Rule: 01 Investment Code: Rate Duration Period Code: >

Start Date	End Date	Duration	Declared Rate
03/31/2002	03/30/2003	000	0.7000000
00/00/0000	00/00/0000	000	0.0000000
00/00/0000	00/00/0000	000	0.0000000
00/00/0000	00/00/0000	000	0.0000000
00/00/0000	00/00/0000	000	0.0000000
00/00/0000	00/00/0000	000	0.0000000
00/00/0000	00/00/0000	000	0.0000000
00/00/0000	00/00/0000	000	0.0000000
00/00/0000	00/00/0000	000	0.0000000
00/00/0000	00/00/0000	000	0.0000000
00/00/0000	00/00/0000	000	0.0000000
00/00/0000	00/00/0000	000	0.0000000
00/00/0000	00/00/0000	000	0.0000000
00/00/0000	00/00/0000	000	0.0000000
00/00/0000	00/00/0000	000	0.0000000

Next
Previous
OK
Cancel

- Press **F10**.
- Input the date and rates for the policy and click **OK**.

6.325 Z3—Final Participation Rate Segment

The Z3—Final Participation Rate Segment directs *LifePRO*® to the participation rate used after annualization (P1 in the final annualized index rate formula). Refer to Section 12, EI—Generic EIA Segment on page 12-289 for more information regarding the formula.

To access the Z3 Segment, highlight a field on the Z3 Segment ID line on the EI—Generic EIA Segment and click **Process**.

Enter Interest Crediting Segment Criteria

Segment ID: >> Select Period:

Segment Type: Ultimate ID:

Key Modifier:

Band Process:

Upper Band Limits

Constant/Incremental Rates

Rate File IDS and Rules

OK Cancel

Declared Interest Rate Substitution

The rates defined on the Z3 Segment can be substituted for specified time periods. The rate substitutions are defined by completing the following steps.

1. From any of the Rate File IDs and Rules fields on the Z3 Segment press **Alt+I**. The Declared Interest Rate Substitution screen is displayed.
2. Press **F8**. The message *Fill in Policy No, Effective Date, Rate ID and Press Enter* is displayed.

Declared Interest Rate Substitution					
Rate ID	KDL	Rate Type	Z3	Rate Rule	01
Co/Pol Number					
Effective Date			00/00/0000		
Substitution Rate ID					
Co/Pol Number	Effective Date	Substitution Rate ID			
MKWEQUITY1	05/01/2002	KLM			

3. Complete the screen as described in the table below and press **Enter**. The Company/Policy Number, Effective Date, and Substitution Rate ID fields are displayed in the bottom portion of the screen.

Field	Description
Co/Pol Number	This field defines the company and policy number for the substituted rate, if a substituted rate is available. If a substituted rate is not found, the system defaults to the initial declared interest rates.

Field	Description
Effective Date	This field determines the effective (bucket) date of the substitution rate.
Substitution Rate ID	This field defines the Declared Interest Rate Record that contains the substituted rates using the same rate type and rate rule.

- Position the cursor in the Substitution Rate ID field and press **F4**. The Declared Rates File screen is displayed.

Declared Rates File

Rate ID: >> Low: High:

Type: Effective Date: Date:

Rule: Record Sequence: Duration:

Investment Code: Rate Duration Period Code:

Start Date	End Date	Duration	Declared Rate
05/01/2002	04/30/2003	000	0.6500000
00/00/0000	00/00/0000	000	0.0000000
00/00/0000	00/00/0000	000	0.0000000
00/00/0000	00/00/0000	000	0.0000000
00/00/0000	00/00/0000	000	0.0000000
00/00/0000	00/00/0000	000	0.0000000
00/00/0000	00/00/0000	000	0.0000000
00/00/0000	00/00/0000	000	0.0000000
00/00/0000	00/00/0000	000	0.0000000
00/00/0000	00/00/0000	000	0.0000000
00/00/0000	00/00/0000	000	0.0000000
00/00/0000	00/00/0000	000	0.0000000
00/00/0000	00/00/0000	000	0.0000000
00/00/0000	00/00/0000	000	0.0000000

Next
Previous
OK
Cancel

- Press **F10**.
- Input the date and rates for the policy and click **OK**.

6.326 Z4—Interim Bonus Participation Rate Segment

The Z4—Interim Bonus Participation Rate Segment directs *LifePRO*® to the bonus (additional) participation rate applied with the participation rate used before the rate is annualized (B0 in the final annualized index rate formula). Refer to Section 12, EI—Generic EIA Segment on page 12-289 for more information regarding the formula.

To access the Z4 Segment, highlight a field on the Z4 Segment ID line on the EI—Generic EIA Segment and click **Process**.

Enter Interest Crediting Segment Criteria									
Segment ID	JL1 >>		Select Period	Duration		0			
Segment Type	Z4		Ultimate ID						
Key Modifier	☐								
Band Process	Not Banded								
Upper Band Limits									
99999999	0	0	0	0	0	0	0	0	0
Constant/Incremental Rates									
Rate File IDs and Rules									
OK									
Cancel									

6.327 Z5—Final Bonus Participation Rate Segment

The Z5—Final Bonus Participation Rate Segment directs *LifePRO*® to the bonus (additional) participation rate applied with the participation rate used after the rate is annualized (B1 in the final annualized index rate formula). Refer to Section 12, EI—Generic EIA Segment on page 12-289 for more information regarding the formula.

To access the Z5 Segment, highlight a field on the Z5 Segment ID line on the EI—Generic EIA Segment and click **Process**.

Enter Interest Crediting Segment Criteria									
Segment ID	JUL1 >>			Select Period	Duration 0				
Segment Type	Z5			Ultimate ID					
Key Modifier	☐								
Band Process	Not Banded								
Upper Band Limits									
99999999	0	0	0	0	0	0	0	0	0
Constant/Incremental Rates									
Rate File IDs and Rules									
									OK
									Cancel

6.328 Z6—Interim Vesting Factor Segment

The Z6—Interim Vesting Factor Segment directs *LifePRO*® to the vesting factor used before the rate is annualized (V0 in the final annualized index rate formula). Refer to Section 12, EI—Generic EIA Segment on page 12-289 for more information regarding the formula.

To access the Z6 Segment, highlight a field on the Z6 Segment ID line on the EI—Generic EIA Segment and click **Process**.

Enter Interest Crediting Segment Criteria									
Segment ID	UL1 >>		Select Period	Duration 0					
Segment Type	Z6		Ultimate ID						
Key Modifier	☐								
Band Process	Not Banded								
Upper Band Limits									
99999999	0	0	0	0	0	0			
Constant/Incremental Rates									
Rate File IDS and Rules									
									OK
									Cancel

6.329 Z7—Final Vesting Factor Segment

The Z7—Final Vesting Factor Segment directs *LifePRO*® to the vesting factor used after the rate is annualized (V1 in the final annualized index rate formula). Refer to Section 12, EI—Generic EIA Segment on page 12-289 for more information regarding the formula.

To access the Z7 Segment, highlight a field on the Z7 Segment ID line on the EI—Generic EIA Segment and click **Process**.

Enter Interest Crediting Segment Criteria

Segment ID: >> Select Period:

Segment Type: Ultimate ID:

Key Modifier:

Band Process:

Upper Band Limits

99999999	0	0	0	0	0	0
----------	---	---	---	---	---	---

Constant/Incremental Rates

--	--	--	--	--	--	--

Rate File IDS and Rules

--	--	--	--	--	--	--	--	--	--

OK Cancel

6.330 Z8—Interim Cap Segment

The Z8—Interim Cap Segment directs *LifePRO*® to the cap on the value prior to annualizing the rate (C0 in the final annualized index rate formula). Refer to Section 12, EI—Generic EIA Segment on page 12-289 for more information regarding the formula.

To access the Z8 Segment, highlight a field on the Z8 Segment ID line on the EI—Generic EIA Segment and click **Process**.

Enter Interest Crediting Segment Criteria

Segment ID >> Select Period

Segment Type Ultimate ID

Key Modifier ☐

Band Process

Upper Band Limits

Constant/Incremental Rates

Rate File IDS and Rules

OK

Cancel

6.331 Z9—Final Cap Segment

The Z9—Final Cap Segment directs *LifePRO*® to the cap on the value after annualizing the rate (C1 in the final annualized index rate formula). Refer to Section 12, EI—Generic EIA Segment on page 12-289 for more information regarding the formula.

To access the Z9 Segment, highlight a field on the Z9 Segment ID line on the EI—Generic EIA Segment and click **Process**.

Enter Interest Crediting Segment Criteria

Segment ID: >> Select Period:

Segment Type: Ultimate ID:

Key Modifier:

Band Process:

Upper Band Limits

Constant/Incremental Rates

Rate File IDS and Rules

OK Cancel

6.332 ZA—Interim Floor Segment

The ZA—Interim Floor Segment directs *LifePRO*® to the floor on the value before annualizing the rate (F0 in the final annualized index rate formula). Refer to Section 12, EI—Generic EIA Segment on page 12-289 for more information regarding the formula.

To access the ZA Segment, highlight a field on the ZA Segment ID line on the EI—Generic EIA Segment and click **Process**.

Enter Interest Crediting Segment Criteria

Segment ID >> Select Period

Segment Type Ultimate ID

Key Modifier ☐

Band Process

Upper Band Limits

Constant/Incremental Rates

Rate File IDS and Rules

OK

Cancel

6.333 ZB—Final Floor Segment

The ZB—Final Floor Segment directs *LifePRO*® to the floor on the value after annualizing the rate (F1 in the final annualized index rate formula). Refer to Section 12, EI—Generic EIA Segment on page 12-289 for more information regarding the formula.

To access the ZB Segment, highlight a field on the ZB Segment ID line on the EI—Generic EIA Segment and click **Process**.

Enter Interest Crediting Segment Criteria

Segment ID: >> Select Period:

Segment Type: Ultimate ID:

Key Modifier:

Band Process:

Upper Band Limits

99999999	0	0	0	0	0	0
---------------------------------------	--------------------------------	--------------------------------	--------------------------------	--------------------------------	--------------------------------	--------------------------------

Constant/Incremental Rates

----------------------	----------------------	----------------------	----------------------	----------------------	----------------------	----------------------

Rate File IDS and Rules

----------------------	----------------------	----------------------	----------------------	----------------------	----------------------	----------------------	----------------------

OK Cancel

6.334 ZC—Final Spread Factor Segment

The ZC—Final Spread Factor Segment directs *LifePRO*® to the rates for the spread factor (K in the final annualized index rate formula). Refer to Section 12, EI—Generic EIA Segment on page 12-289 for more information regarding the formula.

To access the ZC Segment, highlight a field on the ZC Segment ID line on the EI—Generic EIA Segment and click **Process**.

Enter Interest Crediting Segment Criteria

Segment ID: >> Select Period:

Segment Type: Ultimate ID:

Key Modifier: ☐

Band Process:

Upper Band Limits

99999999	0	0	0	0	0	0
---------------------------------------	--------------------------------	--------------------------------	--------------------------------	--------------------------------	--------------------------------	--------------------------------

Constant/Incremental Rates

----------------------	----------------------	----------------------	----------------------	----------------------	----------------------	----------------------

Rate File IDS and Rules

----------------------	----------------------	----------------------	----------------------	----------------------	----------------------	----------------------	----------------------

OK Cancel

6.335 ZD—State Minimum Participation Segment

The ZD—State Minimum Participation Segment directs LifePRO® to the minimum participation rates per state (M in the final annualized index rate formula). Refer to Section 12, EI—Generic EIA Segment on page 12-289 for more information regarding the formula.

Minimum Participation Rate by State

Segment ID >> Select Period

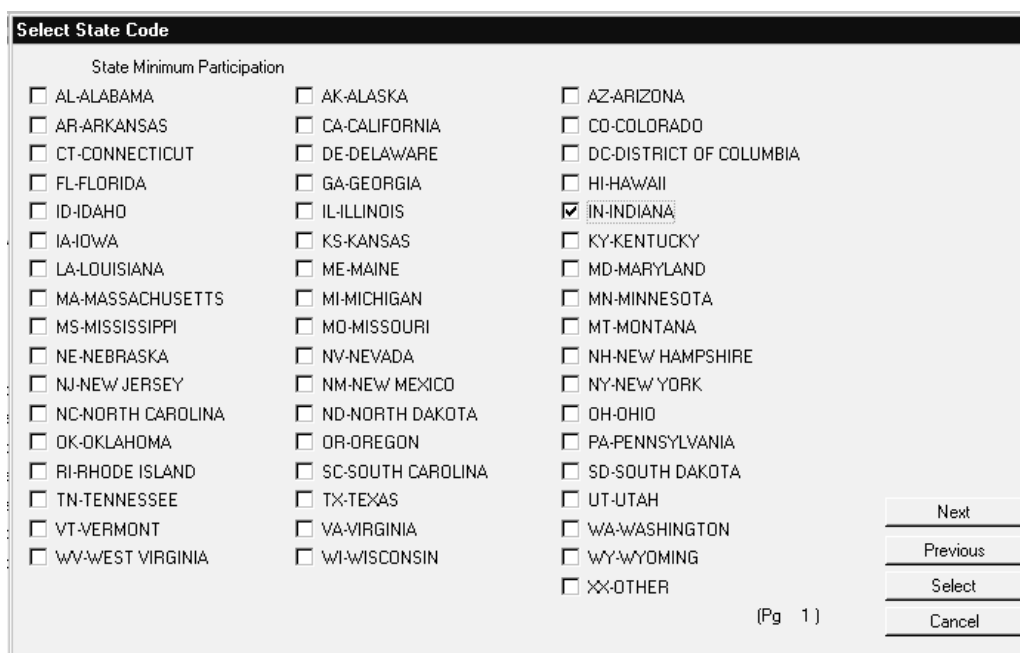
Segment Type ZD Ultimate ID

State Rates
OK
Cancel

Complete the following steps to define the minimum participation rates per state.

1. Highlight a field on the ZD Segment ID line on the EI—Generic EIA Segment and click **Process**. The Minimum Participation Rate by State screen is displayed.
2. Press **F10**.
3. Update the Select Period and Ultimate ID if desired.
4. Click **State Rates**. The Select State Code screen is displayed. (If **State Rates** is clicked when not in update mode, the message *State Rates Accessed in Update Mode Only* is displayed).

5. Click **OK** to save changes made or press **Alt+F10** to exit without saving.



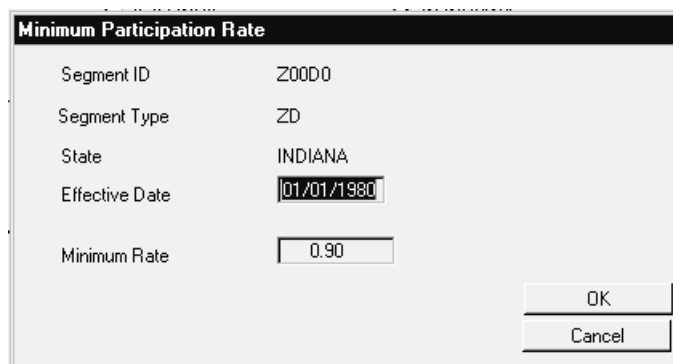
The "Select State Code" dialog box displays a list of states under the heading "State Minimum Participation". The states are arranged in three columns. The state "IN-INDIANA" is selected, indicated by a checkmark in the checkbox. At the bottom right, there are four buttons: "Next", "Previous", "Select", and "Cancel". The page number "(Pg 1)" is displayed at the bottom center.

State Minimum Participation		
☐ AL-ALABAMA	☐ AK-ALASKA	☐ AZ-ARIZONA
☐ AR-ARKANSAS	☐ CA-CALIFORNIA	☐ CO-COLORADO
☐ CT-CONNECTICUT	☐ DE-DELAWARE	☐ DC-DISTRICT OF COLUMBIA
☐ FL-FLORIDA	☐ GA-GEORGIA	☐ HI-HAWAII
☐ ID-IDAHO	☐ IL-ILLINOIS	☒ IN-INDIANA
☐ IA-IOWA	☐ KS-KANSAS	☐ KY-KENTUCKY
☐ LA-LOUISIANA	☐ ME-MAINE	☐ MD-MARYLAND
☐ MA-MASSACHUSETTS	☐ MI-MICHIGAN	☐ MN-MINNESOTA
☐ MS-MISSISSIPPI	☐ MO-MISSOURI	☐ MT-MONTANA
☐ NE-NEBRASKA	☐ NV-NEVADA	☐ NH-NEW HAMPSHIRE
☐ NJ-NEW JERSEY	☐ NM-NEW MEXICO	☐ NY-NEW YORK
☐ NC-NORTH CAROLINA	☐ ND-NORTH DAKOTA	☐ OH-OHIO
☐ OK-OKLAHOMA	☐ OR-OREGON	☐ PA-PENNSYLVANIA
☐ RI-RHODE ISLAND	☐ SC-SOUTH CAROLINA	☐ SD-SOUTH DAKOTA
☐ TN-TENNESSEE	☐ TX-TEXAS	☐ UT-UTAH
☐ VT-VERMONT	☐ VA-VIRGINIA	☐ WA-WASHINGTON
☐ WV-WEST VIRGINIA	☐ WI-WISCONSIN	☐ WY-WYOMING
		☐ XX-OTHER

(Pg 1)

Next
Previous
Select
Cancel

6. Highlight the desired state and click **Select**. The Minimum Participation Rate screen is displayed.



The "Minimum Participation Rate" dialog box displays the following information:

Segment ID	Z0000
Segment Type	ZD
State	INDIANA
Effective Date	01/01/1980
Minimum Rate	0.90

At the bottom right, there are two buttons: "OK" and "Cancel".

7. The Minimum Participation Rate screen is displayed.

The following functions are available from the ZD Segment.

- | | |
|---------------|--|
| Add | If no rates exist for the state selected, the message <i>F8 To Add New Record</i> is displayed. To add a record, type the date in the Effective Date field and click OK . |
| Update | To update the segment, press F10 , type the rate in the Minimum Rate field, and click OK to save the rate. Click Cancel to exit the screen. |

6.336 ZE—Interim Spread Factor Segment

The ZE—Interim Spread Factor Segment defines the factor that is applied to the interim index rate before the rate is annualized. Refer to Section 12, EI—Generic EIA Segment on page 12-289 for more information regarding the formula.

To access the ZE Segment, highlight the field on the ZE Segment ID line on the EI—Generic EIA Segment and click **Process**.

Enter Interest Crediting Segment Criteria

Segment ID >> Select Period

Segment Type ZE Ultimate ID

Key Modifier

Band Process

Upper Band Limits

Constant/Incremental Rates

Rate File IDS and Rules

OK

Cancel

6.337 ZP—Zip Code Modifier/Rerate

NOTE

Health only

The ZP—Zip Code Modifier/Rerate Segment is used to define state and area modifiers and rerate factors across several products. However, these modifiers and rerates are not limited to the state and area code and do not require KD selections. This segment must be accessed from the Coverage Record.



The image shows a 'Key Definition Setup' dialog box. It contains the following fields and controls:

- Key Definition** (Section Header)
- Segment ID**: DISABILITY
- Type**: ZP
- Rerates -**: Insured Issue Date (with a dropdown arrow)
- Buttons** (bottom right): Modifiers, Re-rates, OK, Cancel

The following table contains definitions for the fields on the ZP Segment.

Field	Description
Rerates	This field defines the date to use to determine if the rerate should be included in the premium calculation. This field can be changed by pressing F10 and updating the field. B—Benefit Issue Date The date the benefit was issued is used to determine if the rerate is included in the premium. I—Insured Issue Date The date the specific insured was added to the policy is used to determine if the rerate is included in the premium. This is the default.

6.338 ZX—New Business Credits Segment

NOTE

The ZX Segment is available for traditional policies (life and health) and universal life policies only. It is not available for annuities, annuity riders, multiple insured products, inflation rider increases, or true group policies.

The settings on the ZX—New Business Credits Segment determine if production credits are calculated upon the validation of a new policy, benefit add, or specified amount increase. These new business credits are calculated by multiplying the annual premium by the percentages defined on this segment. New business credits are calculated using whole numbers with simple rounding.

- For traditional policies, the annual premium may or may not include the policy fee, and is multiplied by the defined rate.
- For universal life policies, two separate rates may be defined. The planned annual premium, up to the target premium for the policy, is multiplied by the first rate. The remainder, or excess, is multiplied by the second rate.
- Rates may also be defined for riders on traditional and universal life policies, by attaching a ZX Segment to that rider.

The ZX Segment is accessed and defined from the Component File, rather than from the Segment list.

New Business Credits

Segment ID Segment Type

For Universal Life Policies

New Business Credit Rate for Planned Annual Premium up to Target Premium

New Business Credit Rate for Excess Planned Annual Premium [Planned - Target]

For Traditional Policies

New Business Credit Rate for Annual

Include Policy Fee ☐

OK Cancel

Complete the following steps to access the ZX Segment.

1. From the Component screen, press **F10**.
2. Position the cursor in the New Business Credit field.
3. Press **F4** to access the ZX Segment.
4. When finished, click **Cancel** to return to the Component screen.
5. Press **Alt+F10** to exit the Component screen without updating.

When a policy is submitted for validation or when premiums are calculated for a policy, benefit add, or specified amount increase, the premium calculation process is run, during which the new business credits are calculated. This includes batch new business processing. If a benefit add or specified amount increase is terminated without being activated, the new business credits are not granted.

The new business credits may be viewed from the New Business Credit Values screen, accessible during validation for a new policy, benefit add, or specified amount increase. Refer to the New Business Book, Section 3, 10.4—New Business Credits for more information.

The New Business Credit Values screen is also accessible after the policy is inforce and allows adjustments to be made to the credits. Refer to the Inforce Book, Section 3, Benefit Miscellaneous Screen for more information.

The following table contains definitions for the fields on the ZX Segment.

Field	Description
For Universal Life Policies	
New Business Credit Rate for Planned Annual Premium up to Target Premium	This field defines the percentage amount to be used as the multiplier for the new business credit computation for a universal life policy, up to the target portion of the premium for the base coverage. The base target portion of the premium includes both the base minimum and the base target or base minimum buckets when calculating the total new business credits.
New Business Credit Rate for Excess Planned Annual Premium [Planned - Target]	This field defines the percentage amount to be used as the multiplier for the new business credit computation for a universal life policy, for the excess portion of the planned premium.
For Traditional Policies	
New Business Credit Rate for Annual	This field defines the percentage amount used as the multiplier for the new business credit computation for a traditional policy.
Include Policy Fee	This field determines if the policy fee is included in the computation of the new business credit for a traditional policy. Blank Yes, include the policy fee. Y—Yes Include the policy fee. N—No Do not include the policy fee. Deduct it from the gross annual premium before multiplying it by the percentage displayed in the New Business Credit Rate for Annual field.

Calculation of New Business Credits for Traditional Policies and Riders

For traditional policies (whole life and term) and traditional riders, the calculation of new business credits is based on the annual premium (not the annualized premium).

$$\text{New Business Credits} = \text{defined percentage} * \text{annual premium}$$

The percentage is defined in the New Business Credit Rate for Annual field. The policy fee is included or excluded in the computation of the new business credits depending on the setting of the Include Policy Fee field. If a traditional benefit is rated, the rated piece uses the same defined percentage.

Calculation of New Business Credits for Universal Life Policies

For universal life policies, the new business credit calculation is based on the planned annual premium. However, unlike traditional policies and riders, the planned annual premium is compared to target before the rate is applied. Both the base target and rider target amounts are considered, with the remainder considered as excess, using four separate buckets.

Bucket and Description	New Business Credit Rate
1. Base Minimum	Target percentage from base ZX Segment
2. Rider Target Amounts	Target percentage from rider's ZX Segment
3. Base Target less Base Minimum	Target percentage from base ZX Segment
4. Excess	Excess percentage from base ZX Segment

The planned annual premium is distributed to each of the buckets in the order described above, using the assembly rules defined in the product's UY Segment, until no additional planned premium remains. Refer to Section 12, UY—Target Premium Assembly Rules Segment on page 12-1058 in this book for more information. Then the premium in each bucket is multiplied by the appropriate new business credit percentage, and then added together, to arrive at the new business credit.

- **Base Minimum** This is the amount of the minimum premium associated with the base benefit. If the base minimum is greater than the base target, the base minimum value is capped by the base target.
- **Rider Target** This is the amount of the target premium associated with each rider that has a ZX—New Business Credit Segment attached to it. This bucket could include amounts from multiple riders. In that case, premium is applied to each rider in benefit sequence order. This method allows for the possibility of defining each rider with a different new business credit percentage rate.
- **Base Target** The value of this bucket is the base target less the base minimum. In the event that the base minimum is greater than the base target, the minimum bucket is capped

and this bucket is zero. If this bucket is zero, it will not affect the new business credits earned.

- **Excess** If the planned annual premium is greater than the sum of the amounts in the first three buckets, the excess rate is applied to the remainder.

— NOTE —

If a rider is attached to the policy but no target percentage is defined for that rider on the rider's ZX Segment, the entire premium for the rider flows to the base target over base minimum and the excess buckets.

Calculation of New Business Credits for Specified Amount Increases

For specified amount increases, the bucket calculation is performed, as described below. Instead of the planned annual premium, the computation uses the increase in the planned annual premium. Thus, if the planned annual premium does not increase, the new business credits do not change. If the target does not increase, the new business credits are not calculated.

Bucket and Description	New Business Credit Rate
1. SP Minimum	Target percentage from base ZX Segment
2. New Rider Target	Target percentage from rider's ZX Segment
3. SP Target less SP Minimum	Target percentage from base ZX Segment
4. Excess	Excess percentage from base ZX Segment

The increase in planned annual premium is distributed to each of the buckets in the order described above, using the assembly rules defined in the product's UY Segment, until no additional planned premium remains. Refer to Section 12, UY—Target Premium Assembly Rules Segment on page 12-1058 in this book for more information. Then the premium in each bucket is multiplied by the appropriate new business credit percentage, and then added together, to arrive at the new business credit for the specified amount increase.

- **SP Minimum** This is the amount of the minimum premium associated solely with the specified amount increase. As with the base, if the SP minimum is greater than the SP target, the SP minimum value is capped by the SP target.
- **New Rider Target** This is the amount of the target premium associated with each new rider that has a ZX—New Business Credit Segment attached to it. In the event of multiple riders, each rider is applied in benefit sequence order.

- **SP Target** The value of this bucket is the SP target less the SP minimum. In the event that the SP minimum is greater than the SP target, the minimum bucket is capped and this bucket is zero. If this bucket is zero, it will not affect the new business credits earned.
- **Excess** If the additional planned premium added for the specified amount increase is greater than the sum of the amounts in the first three buckets, the excess rate is applied to the remainder.

[This page intentionally left blank.]

Chapter 7 Immediate Annuity Segments

SPIA calculations in LifePRO® use standard formulas from Jordan's Life Contingencies to calculate immediate annuity values.

At issue, the formula generated by the quote request uses the pricing mortality and the pricing interest, while a statutory reserve calculation (after issue) uses the statutory mortality and statutory interest. A similar situation exists for tax reserves.

There are six segments used. If the statutory segments are not coded, the system uses the pricing segments, and if the tax segments are not coded, the statutory segments are used, unless they are not coded. In that case, the pricing segments are used.

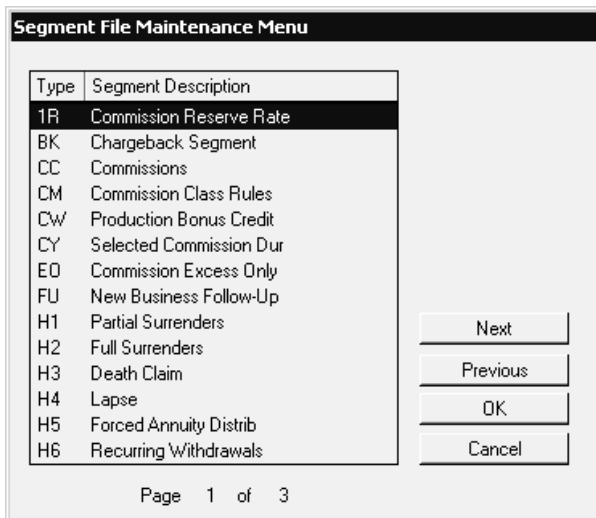
	Mortality	Interest
Pricing	PM—Pricing Mortality	IN—Pricing Interest
Statutory Reserves	SM—Mortality Statutory Valuation	IS—Statutory Reserve Interest Rates
Tax Reserves	TM—Mortality Tax Valuation	IT—Tax Reserve Interest Rates

NOTE

LX rates are hardcoded in the system in a program called PLXRATES for the mortality tables, Table V for single life and Table VI for joint life. The LX rates are used to calculate the exclusion ratio, which determines the portion of each payment that is not taxable.

The SPIA Segments are accessed by completing the following steps.

1. From the Main Menu select **Product System**. The Product Menu is displayed.
2. Select **Segments**. The Segment Menu is displayed.
3. Select **SPIA**. The SPIA Segment List is displayed.



The screenshot shows a window titled "Segment File Maintenance Menu". Inside, there is a table with two columns: "Type" and "Segment Description". The table lists various segment types, with "1R Commission Reserve Rate" highlighted. To the right of the table are four buttons: "Next", "Previous", "OK", and "Cancel". At the bottom of the window, it says "Page 1 of 3".

Type	Segment Description
1R	Commission Reserve Rate
BK	Chargeback Segment
CC	Commissions
CM	Commission Class Rules
CW	Production Bonus Credit
CY	Selected Commission Dur
E0	Commission Excess Only
FU	New Business Follow-Up
H1	Partial Surrenders
H2	Full Surrenders
H3	Death Claim
H4	Lapse
H5	Forced Annuity Distrib
H6	Recurring Withdrawals

Page 1 of 3

The first nine segments on the SPIA Segment List are unique to immediate annuity products. Information on these segments is located in this section.

7.1 SPIA Calculation for Quotes

Generally, classical formulas from Jordan's Life Contingencies are applied to arrive at the solution.

For quotes, LifePRO® accesses the assumed mortality and interest rates used for pricing. The PM—Pricing Mortality Segment describes the rate structure and points to the mortality assumption. The IN—Pricing Interest Segment describes the rate structure and points to the interest rate assumption. Also, if the PP—Premium Load Segment is coded, the premium load data is assigned. If premium taxes are applied in the quote calculation, the system accesses these values. Premium taxes vary by state and tax qualification classification, such as IRA, SEP, and TSA.

7.2 SPIA Calculation Rules for Valuation

AnnuityPro calculates reserves for both statutory and federal income tax valuation. To calculate statutory reserves, the Product System requires the set up of the SM—Mortality Statutory Valuation Segment and the IS—Statutory Reserve Interest Rates Segment. For tax reserves, the system requires the setup of the TM—Mortality Tax Valuation Segment and IT—Tax Reserve Interest Rates Segment. Based on the valuation type, the system loads the appropriate assumptions for the valuation. The reserve is the present value as of the valuation date of the future payments.

In determining the reserve, the system first calculates the present value of payments due between the valuation date and the imputed anniversary date (month and day of imputed issue date). Next, the present value of payments following the next imputed anniversary date is calculated.

7.3 PP—Premium Load Segment

If the SPIA product has a percentage charge (for example, a load) taken from the single premium paid to support the payment stream, use the PP—Premium Load Segment to construct those loads.

Rate Type Segment	
Segment ID	SPIA >>
Segment Type	PP
Select Period	Duration 99
Ultimate ID	
Constant Rate	2.0000000 (Added to File Rate if Declared)
Rate Type	Constant Rate Only
Type Modifier	☐ Rates Vary by Underwriting Class No
Mult Insured Access	
Rate Basis	Separate And Unique Years of 0
Banding Method	Not Banded
Banding Rule	Traditional
Upper Band Limits	0 0 0 0 0 0 0
Rates Coded As	Percentage (1% Entered As 1.00) Not Applicable
Change Frequency	0

Refer to Chapter 3—Premiums—Upper Portion of Screen Field Definitions on page 12-17 in this book for a description of the fields on the upper portion of the screen.

7.4 IN—Pricing Interest Rates

The IN—Pricing Interest Rates Segment, identical in concept to the A1 and G1 Segments in UL and annuity products, is used to point to the interest rates for computing the single premium required to support a requested immediate annuity payout pattern, or to compute the payout pattern given the single premium.

The interest rate pattern may be a constant, vary by durations from issue, or actually change as of specific dates in the future.

Enter Interest Crediting Segment Criteria

Segment ID: INT85 >> Select Period: Duration 0
Segment Type: IN Ultimate ID:

Key Modifier:
Band Process: Not Banded

Upper Band Limits
99999999 0 0 0 0 0 0

Constant/Incremental Rates
8.50000

Rate File IDs and Rules

OK
Cancel

Note that this segment is used **ONLY** at issue. Other processes, such as a rate change after issue, do **NOT** change the payment pattern.

The following table contains definitions for the fields on the IN Segment.

Field	Description						
Key Modifier							
Band Process	X—Not Banded The rates are not banded. Input all 9's in the first Upper Band Limit field. S—Specified Amount The rates are banded by specified amount. This option is only available for UL products. P—Initial Gross Premium Compute the band by taking the initial gross premium through the band limits. F—Fund Value Per Window If the fund is either Split Fund or New Money/Old Money, then this option tells the system to take the value of each bucket and compute the band number. This is possibly the slowest method, if there are a lot of bands and buckets. I—Incrementally Tiered By Fund The rates are incrementally tiered. The system breaks the fund value into one or more pieces, based on the band limits. Then, a base (band 1) rate is picked up (either as a variable rate in a file, or as a constant coded here on the segment). For example, the band 2 and band 3 rate to use is the band 1 rate plus the band 2 increment, the band 1 rate plus the band 3 increment. Note that the increments must be constants, not in a rate file. Code the constants as percentages. For example, a rate of 1/2% = .5%. T—Total Fund Value (Across All fund Values At Start Of Crediting) Banding is based on the total fund value in the policy. If several funds exist, some Split Fund, some New Money/Old Money, and some Aggregate, the grand total is taken and this total is used to find the band number for any fund so marked. Of course, mixed into all these funds may be funds which are NOT banded this way. These are treated appropriately. A—Initial Planned Annual Premium Banding is based on the initial planned annual premium. D—Incrementally Banded by Policy Duration An additional interest rate can be applied for up to seven different policy duration band limits. For example, assume the Upper Band Limits are coded as band 1—10, band 2—15, and band 3—100. Also assume that the Constant/Incremental rates are .5 and .75. The results are shown below. <table> <tr> <td>Years 1—10</td><td>No Bonus</td></tr> <tr> <td>Years 11—15</td><td>.5% Bonus</td></tr> <tr> <td>Years 16 and after</td><td>.75% Bonus</td></tr> </table>	Years 1—10	No Bonus	Years 11—15	.5% Bonus	Years 16 and after	.75% Bonus
Years 1—10	No Bonus						
Years 11—15	.5% Bonus						
Years 16 and after	.75% Bonus						

Field	Description
Upper Band Limits	If the interest rates are banded by the face amount of the policy for either constant or incremental rates, enter the upper limit face amount for each band. If banding is not used, code all 9s in the first Upper Band Limits field.
Constant/Incremental Rates	If the interest rates are banded by a constant or incremental interest rate, enter the interest rate for each band in the field directly below the band to which the rate applies.
Rate File IDS and Rules	Interest rates can be stored on a rate file. If a rate file is used, enter the rate file ID and rule number in these fields. If the rates are not constants, set up a five character ID for the Declared Rate File, and use one of the three rules. 00—Rates change immediately during the month. 01—Rates change immediately during the month. 02—The rate at the beginning of the month remains in effect for the entire month.

If a rate file is used, position the cursor on the rate file ID and press **F4** to access the Declared Rates File.

Declared Rates File					
Rate ID	SPIA >>		Low	High	
Type	IN	Effective Date	05/11/2000	Date	00/00/0000
Rule	00	Record Sequence	001	Duration	00001
Investment Code		Rate Duration Period Code			
Start Date	End Date	Duration	Declared Rate		
01/01/1990	12/31/1990	000	9.0000000		
01/01/1991	12/31/1995	000	8.5000000		
00/00/0000	00/00/0000	000	0.0000000		
00/00/0000	00/00/0000	000	0.0000000		
00/00/0000	00/00/0000	000	0.0000000		
00/00/0000	00/00/0000	000	0.0000000		
00/00/0000	00/00/0000	000	0.0000000		
00/00/0000	00/00/0000	000	0.0000000		
00/00/0000	00/00/0000	000	0.0000000		
00/00/0000	00/00/0000	000	0.0000000		
00/00/0000	00/00/0000	000	0.0000000		
00/00/0000	00/00/0000	000	0.0000000		
00/00/0000	00/00/0000	000	0.0000000		

7.5 SM—Mortality Statutory Valuation

When valuing a single premium immediate annuity, the system takes the remaining payment pattern (including certain periods and refund options), and computes the present value. It does so using this segment for the mortality and the IS—Statutory Reserve Interest Rates Segment for the interest rates to use.

Rate Type Segment	
Segment ID	A-83 >>
Segment Type	SM
Select Period	Duration 0
Ultimate ID	
Constant Rate	0.0000000 (Added to File Rate if Declared)
Rate Type	Attained Age
Type Modifier	MP Rates Vary by Underwriting Class No
Mult Insured Access	
Rate Basis	Separate And Unique Years of 0
Banding Method	Not Banded
Banding Rule	Traditional
Upper Band Limits	0 0 0 0 0 0 0
Rates Coded As	Actual Amount
	Not Applicable
Change Frequency	0
Mode Rules	
Rates	
Next	
OK	
Cancel	

Refer to Chapter 3—Premiums—Upper Portion of Screen Field Definitions on page 12-17 in this book for a description of the fields in the upper portion of the screen.

7.6 TM—Mortality Tax Valuation

Use the TM—Mortality Tax Valuation Segment to point to the mortality rates to use in valuing an SPIA for tax reserve purposes.

The IT—Tax Reserve Interest Rates Segment points to the interest rates to use for tax reserves.

Rate Type Segment	
Segment ID	711AM >>
Segment Type	TM
Select Period	Duration 0
Ultimate ID	
Constant Rate	0.0000000 (Added to File Rate if Declared)
Rate Type	Attained Age
Type Modifier	MP Rates Vary by Underwriting Class No
Mult Insured Access	
Rate Basis	Separate And Unique Years of 0
Banding Method	Not Banded
Banding Rule	Traditional
Upper Band Limits	0 0 0 0 0 0 0
Rates Coded As	Actual Amount
Change Frequency	Not Applicable 0
Mode Rules Rates Next OK Cancel	

Refer to Chapter 3—Premiums—Upper Portion of Screen Field Definitions on page 12-17 in this book for a description of the fields on the upper portion of the screen.

7.7 PM—Mortality Pricing

Use the PM—Mortality Pricing Segment to point to the mortality rates to use when quoting an SPIA at issue.

The IN—Pricing Interest Segment and the PM Segments are used **only** at issue.

Rate Type Segment	
Segment ID	711AML >>
Segment Type	PM
Select Period	Duration 0
Ultimate ID	NA
Constant Rate	0.0000000 (Added to File Rate if Declared)
Rate Type	Attained Age
Type Modifier	MP Rates Vary by Underwriting Class No
Mult Insured Access	
Rate Basis	Male With Setback Years of 0
Banding Method	Not Banded
Banding Rule	Traditional
Upper Band Limits	0 0 0 0 0 0 0
Rates Coded As	Actual Amount
Change Frequency	Not Applicable 0
Mode Rules Rates Next OK Cancel	

Refer to Chapter 3—Premiums—Upper Portion of Screen Field Definitions on page 12-17 in this book for a description of the fields on the upper portion of the screen.

7.8 NI—New Business Defaults

The NI—New Business Defaults Segment can be used to set default values for an immediate annuity product for Immediate Annuity Add. For example, if an immediate annuity product is exclusively a single life annuity, the Lives field could be set to default to **Yes**.

The Immediate Annuity Add fields are listed in the left hand columns in each of the two sections of the screen. For each field, a default value can be set. The Modify field determines if that field can be updated in Immediate Annuity Add. If the Modify field is set to **Yes**, the field can be updated. If the Modify field is set to **No**, the value for that field cannot be changed in Immediate Annuity Add.

Enter New Business Defaults				
Segment ID		Segment Type		NI
		Default	Modify	
Annuity Type	Certain Only	Yes	Payment Mode	Yes
Calculation Method	Immediate (End of Period)	No	Pay Schedule Type	Yes
Lives		Yes	Number Of Payees	1
Survivor Percent		Yes		
Premium Refund		Yes	Waive Fees	Yes
Period Certain	Years	Yes	Waive Loads	Yes
Temporary Period	Years	Yes		
Increase Amount		Yes	Issue State	Yes
Increase Percent		Yes	Check Stock	Yes
Pct Increase Type		Yes	Calculation Type	Yes
Tax Qualification		Yes	Single Premium	Yes
Withhold Option		Yes	Modal Payment	Yes
				OK
				Cancel

The following table contains definitions for the fields on the NI Segment.

Field	Description
Annuity Type	The default settlement option for the annuity is defined in this field. If annuitants are present, either Life Contingent or Temporary Life Contingent must be selected. If there are no annuitants, Certain Only, Interest Only, or Structured Settlement must be selected. C—Certain Only Periodic payments are made for a fixed number of years. No annuitant is present. The number of years is indicated in the Certain Years field. L—Life Contingent Periodic payments are made for the life of the annuitant or annuitants. A guaranteed payment period can be established by completing the Certain Years field. If the annuitant dies prior to the completion of the certain years selected, payments are made to the beneficiary until the certain years are completed. T—Temporary Life Contingent Periodic payments are made for the life of the annuitant or annuitants, unless the life extends beyond the designated number of temporary years. For example, assume an annuity is set up as a Temporary Life Contingent Annuity with 10 coded in the Temp Years field. If the annuitant dies prior to the ten year period, periodic payments cease. If the annuitant lives past the ten year period, payments stop at ten years. I—Interest Only Interest only is paid to the payee and the principal is maintained. This option is not available in conjunction with an annuitant. S—Structured Settlement The payment schedule is set up manually, via the Modal Payment Schedule options accessible from the Payee Information screen.
Calculation Method	This field determines the calculation method used based on when payments begin. I—Immediate (End of Period) D—Due (Beginning of Period) The first payment should be paid on the issue date of the policy. An annuity due factor is used in the calculation.

Field	Description
Lives	S—Single This option allows for the set up of one annuitant. Payments are made to the payee until the death of the annuitant, any certain years notwithstanding. J—Joint This option allows for the set up of two annuitants and is used for joint and survivor options. Payments are made until the death of the first annuitant. Upon the death of the first annuitant, the second annuitant receives full payment or a percentage of the original payment, as designated in the Survivor Percent field. N—None No annuitants are coded. This option is used when a fixed amount option or fixed period option is selected.
Survivor Percent	For joint annuities, the amount to pay to the survivor if one annuitant dies is input in this field.
Premium Refund	This field is not applicable if the annuity is Certain Only, Temporary Life Contingent, or Life Contingent with a certain period. N—None The premium paid is not refundable upon surrender of contract. C—Cash Refund Upon surrender, the initial premium paid less the payments received is refunded in one lump sum payment. I—Installment Refund Upon surrender, the initial premium paid less the payments received is refunded in installments. Periodic payments continue at the current amount until the total reaches the refund amount.
Period Certain	The number of years for which payments are guaranteed is input in this field.
Temporary Period	If the annuity is a Temporary Life Contingent Annuity, the maximum term of the annuity is designated.
Increase Amount	The annual increase amount for the periodic payment is input in this field.
Increase Percent	The annual percentage for the increase for the periodic payment is input in this field.
Pct Increase Type	If there is an annual percentage based increase in the amount of the payment, the type of interest calculation that is used must be designated. S—Simple C—Compound

Field	Description
Tax Qualification	The default tax qualification code is selected in this field. Codes 0 and 5 are non-qualified and contributions are recorded as basis. All other codes are qualified and have contributions recorded as income. 0—Not Qualified 1—HR10 2—TSA 3—IRA 4—SEP 5—Deferred Compensation 6—401(k) Plan 7—Sec. 457 Plan 8—Defined Benefit 9—Defined Contribution S—Simple IRA C—Health Cafeteria-Section 125 R—Roth IRA Contribution Q—Roth IRA Conversion O—OLAB N—Non-OLAB
Withhold Option	O—Owner The owner is taxed for periodic payments. P—Payee The payee is taxed for periodic payments. N—None
Payment Mode	The frequency of the immediate annuity payments to the payees is selected in this field. A—Annual S—Semi-Annual Q—Quarterly M—Monthly L—Lump Sum

Field	Description
Pay Schedule Type	A—Automatic The payment schedule is calculated based on the criteria selected. M—Manual The modal payment schedule must be set up and the specific payments and dates are indicated manually. The modal payment schedule is accessible from the Payee Information screen.
Number Of Payees	The annuity payment can be allocated between multiple payees, with 95 as the maximum.
Waive Fees	A policy fee can be set up for a coverage. Y—Yes The policy fee is waived. N—No The policy fee is deducted.
Waive Loads	Y—Yes Any premium load designated on the PP—Premium Load Segment is waived. N—No The premium load designated on the PP—Premium Load Segment is deducted.
Issue State	Input the default two digit state in this field.
Check Stock	The check stock (bank account) from which the periodic payments are made is input in this field.
Calculation Type	S—Single Premium The system computes the single payment necessary for the requested modal payment. P—Payment The system computes the modal payment based on the single payment designated. N—Number of Payments The system computes the number of payments based on the single payment designated and the requested payment amount. When Number of Payments is selected, the Annuity Type field is set to Certain Only, the Pay Schedule Type is set to Automatic, and the Certain Years field cannot be updated. In addition, a premium amount and a payment amount must be entered or an error message is displayed. The payees must also be defined before the annuity can be quoted.
Single Premium	The default single premium amount is input in this field.
Modal Payment	The default modal payment amount for each periodic payment is input in this field.

7.9 IS—Statutory Reserve Interest Rates

Use the IS—Statutory Reserve Interest Rates Segment to point at the interest pattern to use for statutory reserve calculations.

If the SM—Mortality Statutory Valuation Segment and IS—Statutory Reserve Interest Rates Segment are NOT coded, the system reverts to the PM—Pricing Mortality Segment and the IN—Pricing Interest Segment.

Enter Interest Crediting Segment Criteria									
Segment ID	INT75 >>		Select Period	Duration 0					
Segment Type	IS		Ultimate ID						
Key Modifier	☐								
Band Process	Not Banded								
Upper Band Limits									
99999999	0	0	0	0	0	0			
Constant/Incremental Rates									
7.50000									
Rate File IDS and Rules									
									OK
									Cancel

The following table contains definitions for the fields on the IS Segment.

Field	Description						
Key Modifier							
Band Process	X—Not Banded The rates are not banded. Input all 9's in the first Upper Band Limit field. S—Specified Amount The rates are banded by specified amount. This option is only available for UL products. P—Initial Gross Premium Compute the band by taking the initial gross premium through the band limits. F—Fund Value Per Window If the fund is either Split Fund or New Money/Old Money, then this option tells the system to take the value of each bucket and compute the band number. This is possibly the slowest method, if there are many bands and buckets. I—Incrementally Tiered By Fund The rates are incrementally tiered. The system breaks the fund value up into one or more pieces, based on the band limits. Then, a base (band 1) rate is picked up (either as a variable rate in a file, or as a constant coded here on the segment). For example, the band 2 and band 3 rate to use is the band 1 rate plus the band 2 increment, the band 1 rate plus the band 3 increment. Note that the increments must be constants, not in a rate file. Code the constants as percentages. For example, a rate of $1/2\% = .5\%$. T—Total Fund Value (Across All fund Values At Start Of Crediting) Banding is based on the total fund value in the policy. If several funds exist, some Split Fund, some New Money/Old Money, and some Aggregate, the grand total is taken and this total is used to find the band number for any fund so marked. Of course, mixed into all these funds may be funds which are NOT banded this way. These are treated appropriately. A—Initial Planned Annual Premium Banding is based on the initial planned annual premium. D—Incrementally Banded by Policy Duration An additional interest rate can be applied for up to seven different policy duration band limits. For example, assume the Upper Band Limits are coded as band 1—10, band 2—15, and band 3—100. Also assume that the Constant/Incremental rates are .5 and .75. The results are shown below. <table> <tr> <td>Years 1—10</td><td>No Bonus</td></tr> <tr> <td>Years 11—15</td><td>.5% Bonus</td></tr> <tr> <td>Years 16 and after</td><td>.75% Bonus</td></tr> </table>	Years 1—10	No Bonus	Years 11—15	.5% Bonus	Years 16 and after	.75% Bonus
Years 1—10	No Bonus						
Years 11—15	.5% Bonus						
Years 16 and after	.75% Bonus						

Field	Description
Upper Band Limits	If the interest rates are banded by the face amount of the policy for either constant or incremental rates, enter the upper limit face amount for each band. If banding is not used, code all 9s in the first Upper Band Limits field.
Constant/Incremental Rates	If the interest rates are banded by a constant or incremental interest rate, enter the interest rate for each band in the field directly below the band to which the rate applies.
Rate File IDs and Rules	Interest rates can be stored on a rate file. If a rate file is used, enter the rate file ID and rule number in these fields. If the rates are not constants, set up a five character ID for the Declared Rate File, and use one of the three rules. 00—Rates change immediately during the month. 01—Rates change immediately during the month. 02—The rate at the beginning of the month remains in effect for the entire month.

If a rate file is used, position the cursor on the rate file ID and press **F4** to access the Declared Rates File.

[illegible]

7.10 IT—Tax Reserve Interest Rates

Use the IT—Tax Reserve Interest Rates Segment to point at the interest pattern to use for tax reserve calculations.

If the TM—Mortality Tax Valuation Segment and IT—Tax Reserve Interest Rates Segment are NOT coded, the system reverts to the SM—Mortality Statutory Valuation Segment and the IS—Statutory Reserve Interest Rates Segment. If these segments are not coded, the system then goes to the pricing segments.

Enter Interest Crediting Segment Criteria									
Segment ID	SPIA >>			Select Period	Duration 0				
Segment Type	IT			Ultimate ID					
Key Modifier	☐								
Band Process	Not Banded								
Upper Band Limits									
99999999	0	0	0	0	0	0	0	0	0
Constant/Incremental Rates									
7.50000									
Rate File IDs and Rules									
OK									
Cancel									

The following table contains definitions for the fields on the IT Segment.

Field	Description						
Key Modifier							
Band Process	X—Not Banded The rates are not banded. Input all 9's in the first Upper Band Limit field. S—Specified Amount The rates are banded by specified amount. This option is only available for UL products. P—Initial Gross Premium Compute the band by taking the initial gross premium through the band limits. F—Fund Value Per Window If the fund is either Split Fund or New Money/Old Money, then this option tells the system to take the value of each bucket and compute the band number. This is possibly the slowest method, if there are a lot of bands and buckets. I—Incrementally Tiered By Fund The rates are incrementally tiered. The system breaks the fund value into one or more pieces, based on the band limits. Then, a base (band 1) rate is picked up (either as a variable rate in a file, or as a constant coded here on the segment). For example, the band 2 and band 3 rate to use is the band 1 rate plus the band 2 increment, the band 1 rate plus the band 3 increment. Note that the increments must be constants, not in a rate file. Code the constants as percentages. For example, a rate of 1/2% = .5%. T—Total Fund Value (Across All fund Values At Start Of Crediting) Banding is based on the total fund value in the policy. If several funds exist, some Split Fund, some New Money/Old Money, and some Aggregate, the grand total is taken and this total is used to find the band number for any fund so marked. Of course, mixed into all these funds may be funds which are NOT banded this way. These are treated appropriately. A—Initial Planned Annual Premium Banding is based on the initial planned annual premium. D—Incrementally Banded by Policy Duration An additional interest rate can be applied for up to seven different policy duration band limits. For example, assume the Upper Band Limits are coded as band 1—10, band 2—15, and band 3—100. Also assume that the Constant/Incremental rates are .5 and .75. The results are as shown below. <table> <tr> <td>Years 1—10</td><td>No Bonus</td></tr> <tr> <td>Years 11—15</td><td>.5% Bonus</td></tr> <tr> <td>Years 16 and after</td><td>.75% Bonus</td></tr> </table>	Years 1—10	No Bonus	Years 11—15	.5% Bonus	Years 16 and after	.75% Bonus
Years 1—10	No Bonus						
Years 11—15	.5% Bonus						
Years 16 and after	.75% Bonus						

Field	Description
Upper Band Limits	If the interest rates are banded by the face amount of the policy for either constant or incremental rates, enter the upper limit face amount for each band. If banding is not used, code all 9s in the first Upper Band Limits field.
Constant/Incremental Rates	If the interest rates are banded by a constant or incremental interest rate, enter the interest rate for each band in the field directly below the band to which the rate applies.
Rate File IDs and Rules	Interest rates can be stored on a rate file. If a rate file is used, enter the rate file ID and rule number in these fields. If the rates are not constants, set up a five character ID for the Declared Rate File, and use one of the three rules. 00—Rates change immediately during the month. 01—Rates change immediately during the month. 02—The rate at the beginning of the month remains in effect for the entire month.

If a rate file is used, position the cursor on the rate file ID and press **F4** to access the Declared Rates File.

Declared Rates File					
Rate ID	SPIA >>	Effective Date	05/11/2000	Date	00/00/0000
Type	IT	Record Sequence	001	Duration	00001
Rule	00				00001
Investment Code		Rate Duration Period Code			
Start Date	End Date	Duration	Declared Rate		
01/01/1999	01/15/1999	000	8.0000000		
00/00/0000	00/00/0000	000	0.0000000		
00/00/0000	00/00/0000	000	0.0000000		
00/00/0000	00/00/0000	000	0.0000000		
00/00/0000	00/00/0000	000	0.0000000		
00/00/0000	00/00/0000	000	0.0000000		
00/00/0000	00/00/0000	000	0.0000000		
00/00/0000	00/00/0000	000	0.0000000		
00/00/0000	00/00/0000	000	0.0000000		
00/00/0000	00/00/0000	000	0.0000000		
00/00/0000	00/00/0000	000	0.0000000		
00/00/0000	00/00/0000	000	0.0000000		
00/00/0000	00/00/0000	000	0.0000000		
00/00/0000	00/00/0000	000	0.0000000		
			Next Previous OK Cancel		

7.11 SP—SPIA Surrender Rules

If the SP—SPIA Surrender Rules Segment is set to **Yes**, the system uses the pricing assumptions to commute the value of the remaining payments. The company can then use this value to surrender the annuity. This is, of course, rare.

Enter SPIA Surrender Rules

Segment ID	SPIA	Segment Type	SP
Are Full Surrenders Allowed?	No		

OK
Cancel

[This page intentionally left blank.]

SECTION 13 PRODUCT SYSTEM HISTORY

Chapter 1	Product System History	13-3
1.1	Product History Notes.....	13-7

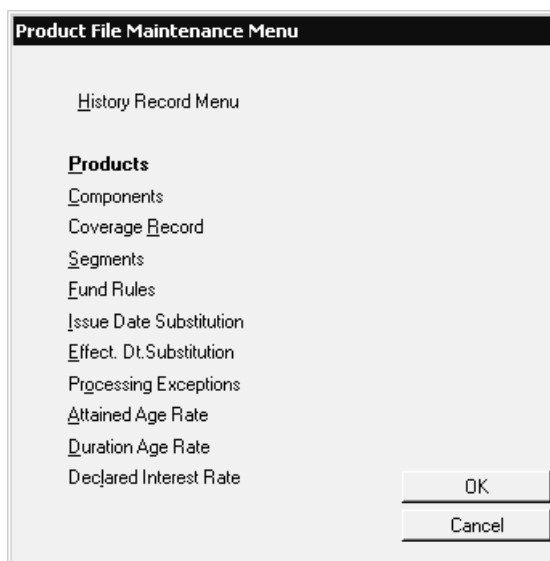
[This page intentionally left blank.]

Chapter 1 Product System History

The Product System History allows the changes that have been processed for any of the files in the Product System to be viewed. The Keep Product History field for the default company (00) on the Management Options screen must be **Yes** in order to generate the history records when changes are made to the files.

Complete the following steps to display the history record or records.

1. From the Product File Maintenance Menu select **History**. The Product History Record Menu is displayed.



- Click on the desired file on which to view the history. A blank screen for the requested file is displayed.

Coverage File - Screen 1 of 4

Page 1 | Page 2 | Page 3 | Page 4

Coverage ID >> Line of Business Allow As Shadow Coverage Status Code

Coverage Description

Company Number Issue Ages
Minimum Maximum

Reporting Number Policy Fee Ext Reins Form Number

Policy/Rider Basis Exhibit ID Combined UWCLS

Gender Basis Age Calc 'First / 'Last to Die

Age Basis

Number Of Underwriting Classes?

Underwriting			Substd	Age/Opt/Pct	Maximum Allowable		
Cls Code	Class Code	Description	Flat	Tbl/None	Rating	Lmt	Flat Extra
☐							
☐							
☐							
☐							

Values Represent

Minimum Issue Amount

Maximum Issue Amount

Through Age

List Options...
Notes
Date Subst
Segments
Issue Limits
Tie to Coverage
Imaging...
Subst Trace
OK
Cancel

- Click >> next to the ID field. The History Cross Reference screen is displayed.

Each type of cross reference (such as Product, Coverage, Segment) has its own set of headers for the values displayed on the screen. However, the values displayed for every

type of cross reference include the coder ID of the person who made the change to the record, the date of the change, and the time of the change.

Coverage Cross Reference					
Coverage	LOB	Description	Coder	Date	Time
10TSWL94	L	SURVIVOR 10 YEAR TERM INSURANCE BENEFIT	PLM1	10311998	8013782
20YREND	L	20 YEAR ENDOWMENT	LWA	2092000	9474540
20YREND	L	20 YEAR ENDOWMENT	LWA	2092000	9482089
20YREND	L	20 YEAR ENDOWMENT	LWA	2092000	9491442
2YR ENDOW	L	2 YEAR ENDOWMENT	LLS1	2122002	14275355
5PAY	L	5 PAY	FAA	8022002	17415505
5PAY	L	5 PAY	FAA	8022002	17422363
5PAY	L	5 PAY	FAA	8022002	17462295
5PAY	L	5 PAY	FAA	8022002	17474693
5PAY	L	5 PAY	FAA	8022002	17481762
5PAY	L	5 PAY	FAA	8022002	18031151
98LT10	L	TERM LIFE INSURANCE TO AGE 95	SLN	5111999	16014293
98LT10	L	TERM LIFE INSURANCE TO AGE 95	SLN	5111999	16025383
98LT100R	L	ADDITIONAL INSURED TERM LIFE INSURANCE	SLN	5111999	16063941
99FT10	L	10 YEAR FAMILY TERM	SLN	5111999	15510221

- Click on the desired record. A screen is displayed of the record before the change was made with the message *History Record Display* displayed at the bottom of the screen.

Note that the display does not indicate in any way which fields were changed, so careful inspection of the screen may be required to detect the values that were changed.

Coverage File - Screen 1 of 4

Page 1 | Page 2 | Page 3 | Page 4

Coverage ID: **AMBULANCE** >> Line of Business: **Health** Allow As Shadow Coverage: **No** Status Code: **A**

Coverage Description: **AMBULANCE EXPENSE BENEFIT**

Company Number: **@@** Issue Ages: Minimum: **1** Maximum: **99** Policy Fee: **0.00** Ext Reins: **No**

Reporting Number: Form Number:

Policy/Rider Basis: **Base Coverage** Exhibit ID: **No Policy Exhibit - Footnotes Only** Combined UWCLS:

Gender Basis: **Both** Age Calc: First / Last to Die:

Age Basis: **Last**

Number Of Underwriting Classes?: **1** Long Term Care: **Type of Business Does not Apply**

Underwriting

Cls Code	Class Code	Description	Substd Flat	Age/Opt/Pct Tbl/None	Rating	Lmt	Maximum Allowable Flat Extra
5	STANDARD		No	None		202.02	82.24
							
							
							

Values Represent: **Units**

Minimum Issue Amount: **1** **0** **0** **0** **0** **0**

Maximum Issue Amount: **1** **0** **0** **0** **0** **0**

Through Age: **89** **0** **0** **0** **0** **0**

List Options...
Notes
Date Subst
Segments
Issue Limits
Tie to Coverage
Imaging...
Subst Trace
OK
Cancel

- Click **Cancel** to return to the Cross Reference screen or press **Page Up** and **Page Down** to move through the history records for the selected record.

For records that are displayed on multiple screens, such as the Coverage Record, pressing **Page Up** and **Page Down** moves through the different screens for a record. Press **Ctrl+Page Up** and **Ctrl+Page Down** to move from one history record to another.

1.1 Product History Notes

- If a segment is displayed in update mode and the segment is exited by clicking **OK**, a Product History record is sometimes created even if the segment has not been changed. It is important to always exit an unchanged segment by pressing **Alt+F10** instead of **OK**, even if the segment has not been changed.
- If the Keep Product History field for the default company (00) on the Management Options screen is **Yes** and Product History records have been generated, the field can be changed to **No**. If this is done, no further Product History records are generated. However, the existing Product History records can still be displayed.
- Product History records cannot be added, deleted, updated, or purged manually.
- When a Coverage History record is displayed, press **F4** to display the Segment List associated with that Coverage History record. The Segment History records themselves, however, cannot be displayed from the Segment List displayed from the Coverage History record.

[This page intentionally left blank.]

SECTION 14 FUND INFORMATION

Chapter 1	Fund Rules	14-5
------------------	-------------------------	-------------

Chapter 2	Fund Subtypes	14-22
2.1	Fund Subtypes—Add.....	14-24
2.2	Fund Subtype—Update.....	14-24
2.3	Fund Subtype—Delete.....	14-24

[This page intentionally left blank.]

Section 14 Fund Information

The Fund Information option on the Product Menu is used to set up fund rules and to define the different accounts when the funds are defined by Fund and Coverage ID. There must be an FR—Fund Rules ID Segment set up prior to adding the fund rules for the segment. Fund rules can be substituted by coverage ID, issue date, effective date, policy, client, list bill group, or state.

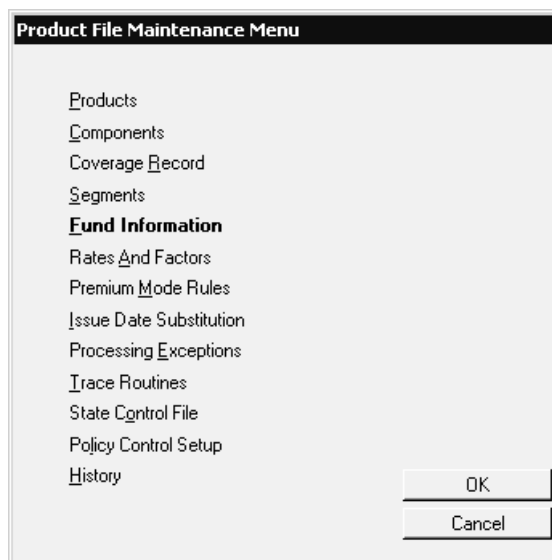
If multiple substitution records exist, the Fund Rules records are searched from the most specific to the most general. The Additional Substitution Criteria is first searched using a coverage ID in the following order.

- Policy
- Client
- List Bill Group
- State
- Issue Date or Effective Date

If a record is not found, the Additional Substitution Criteria is searched again without a coverage ID in the same order as above.

Complete the following steps to access the Fund Information Menu.

1. From the Main Menu select **Product System**. The Product System Menu is displayed.



2. Select **Fund Information**. The Fund Information Menu is displayed.



There are two options on the Fund Information Menu.

- | | |
|----------------------|---|
| Fund Rules | This option is used to define the rules for a particular fund. |
| Fund Sub-Type | This option is used to define the different accounts for funds when they are defined by Fund and Coverage ID. |

Chapter 1 Fund Rules

The Fund Rules screen is used to define the rules for a particular fund.

The following table contains definitions for the first Fund Rules screen.

Field	Description
Fund ID	The name identifier for the fund is input in this field.
Segment Type	This field determines if the fund rules are applicable for a product fund or a loan fund. FR—Fund Rules This is the default. FL—Loan Fund
Coverage ID	If substituting by coverage, input the Coverage ID used for the substitution in this field. This field defaults to blank and indicates that a substitution is not in effect.

Field	Description
Issue Date Substitution	If substituting by issue date, input the date used to compare to the issue date of the policies to determine the correct fund rules to use. This field defaults to blank and indicates that a substitution is not in effect.
Effective Date Substitution	If substituting by effective date, input the date used for the record. This field defaults to blank when no substitution is in effect.
Additional Substitution Criteria	This field indicates if there is a substitution based on any of the options. P—Company Policy L—Client G—List Bill Group S—State
Process Rule	The Process Rule defined on the FR—Fund Rule ID Segment for this fund is displayed in this field. This field cannot be updated.
Fund Type	The Fund Type defined on the FR—Fund Rule ID Segment for this fund is displayed in this field. This field cannot be updated.
Fund Available	Y—Yes The fund is available based on the substitution criteria. N—No The fund is not available based on the substitution criteria. This field is set to Yes when the Segment Type is Loan Fund and cannot be updated. NOTE If the Fund Available field on the Fund State Approval screen is set to No, the fund is not available even if this field is set to Yes.
Edit on Init Prem	This field is only applicable if the amount in the Max % of contract value after transfer or prem field is greater than zero. The initial premium applied to a policy may be tested against the premium allocation limits set in the Max % of contract value after transfer or prem field, if the Edit on Init Prem field is set to Yes. Any amounts which exceed the defined percentage are placed into contract suspense. Y—Yes Apply the premium allocation limits to the initial premium. N—No Do not apply the premium allocation limits to the initial premium. This is the default.

Field	Description
Loan Impairment Allowed	This field determines if the value of this fund can be impaired when processing a loan. Y—Yes The value of the fund is included in the available money for a loan and those dollars are impaired. Additionally, any loan repayment and loan interest is proportionately applied to this fund. Loan processing only includes funds with this field set to Yes. This is the default. N—No The value of the fund is not used for loans. For online Loan Quotes, if the requested loan amount is greater than the available funds, an error message is generated indicating the shortage amount. This edit occurs when processing a loan, not when quoting a loan. For loans processed via Systematic Requests, if the requested loan amount is greater than the available funds, an ENS message is generated when the request is processed indicating the shortage amount.
Max % of contract value after transfer or prem	New contributions or transfers to a particular fund may be prohibited if the contribution or transfer causes the value of the fund to exceed a user-defined percentage of the total contract, using this field. This field is applicable for all fund types. Contributions, premium payments, or transfers that violate these premium allocation limits are rejected and placed into contract suspense. The limits are only checked for an inforce policy, unless the Edit on Init Prem field is also set to Yes. Refer to the Inforce Book, Chapter 16—Fund Allocation for more information on viewing or updating the premium allocation for a policy, after it is active. Refer to the New Business Book, 10.3—Fund Allocation for more information about setting up the initial premium allocation during Validation.

Field	Description
Constant Deposit Allocation	The percentage input in this field is only used when no other allocation methods are used, such as allocations based on the DA—Fund Allocation Segment, allocations based on the DS—Premium Fund Destination Segment, Directed Deposits, or Deposit Allocations at the policy level. If a percentage is coded in this field, the system splits payments and deposits based on the percentage designated to this fund. For example, when a premium payment is made, 50% of the premium is applied to the fund if 50% is input in this field. If the total of all funds does not equal 100%, the policy is suspended and the ENS message <i>Verify Deposit Allocations for Deposit YYYYMMDD</i> is generated during processing and the money is not applied. The default is 100.
If Allocated Funds, Order #	This field defines the fund where premium is deposited first for allocated funds. A setting of 1-9 indicates the order that LifePRO® deposits premium, up to the cap defined in the Allocation Flag—Capped by field on the DA—Fund Allocation Criteria Segment. For example, the premium deposit is first deposited into the fund with the indicator of 1 until the premium reaches the cap. Then, the money is put into the fund with the indicator of 2 until the premium reaches that cap. If the indicator is a 0 (zero), the fund is discretionary. If there is remaining money after the numbered funds have reached their caps, that money is allocated to the other funds as determined by the premium fund allocation defined through the Premium Allocation screen in New Business Validation.
Current Interest Guarantee Period	This is a four digit numeric field used in conjunction with the Years/Months field in order to indicate the number of durations at a time to guarantee the current interest rate on an Aggregate, New Money/Old Money, or Split Fund policy. If this field is entered, the Years/Months field must also be entered. The Rate File IDs and Rules field on the A1—Current Interest Rate Segment must be defined as 00 or 01. This field was designed to be used in combination with the Number of Months Prior to Guar Expiry for Letter field on the FC—Fund Contract Rules Segment and the Current Interest Expiry field on the L0—Letter Type Segment. The keywords CURRLOCK (Locked in Current Rate) and LOCKDUR (Locked in Duration) are available for use in policy pages and correspondence. These keywords assume that the entire policy value is deposited into one fund. If more than one deposit is made into a fund, the system uses a weighted average of the guaranteed current interest rates.

Field	Description
(Years/Months)	This field is used to select years or months when defining the time frame to guarantee current interest rates on an Aggregate, New Money/ OldMoney, or Split Fund policy. This field must be entered if the Current Interest Guarantee Period field has been defined. Y—Years M—Months
Guaranteed Living/Maturity Benefit Applies	This field indicates if the living/maturity benefit applies to the fund. This field is only applicable for unit valued funds. Y—Yes The guaranteed living/maturity benefit applies to the fund. If the guaranteed living/maturity benefit is greater than the fund value for its associated account when the benefit becomes due, the difference is credited to the account value for that fund, thus increasing the account value to the guaranteed amount. N—No The guaranteed living/maturity benefit does not apply to the fund. This is the default.
Ranking for Automatic Loan Payoff	This field determines the fund priority for the withdrawal that occurs as part of the automatic loan payoff when a loan defaults or when requested by the user. The default is 00. If the Use Fund Ranking for Automatic Loan Payoff field on the LN—Loan Interest Segment is set to Yes and this field is set to 00, the fund is not used in the withdrawal for the automatic loan payoff when a loan defaults or when requested by the user.
If Fund Is Not Aggregate	
Apply Interest Select Period to	This field defines the type of date used to determine if the select rates or ultimate rates from the A1—Current Interest Rates Segment are applied. This field does not apply to any segment except the A1—Current Interest Rate Segment. B—Bucket Date P—Policy Date
Retrieve Partial Withdrawal Loads using	This field indicates the date that is used to calculate the duration for retrieving the partial withdrawal loads. B—Bucket Date The bucket/window date is used to determine the duration for retrieving the partial withdrawal loads. This is the default. P—Policy Date The policy issue date is used to determine the duration for retrieving the partial withdrawal loads.

Field	Description
Retrieve Full Surrender Loads using	This field indicates the date that is used to calculate the duration for retrieving the full surrender loads. B—Bucket Date The bucket/window date is used to determine the duration for retrieving the full surrender loads. This is the default. P—Policy Date The policy issue date is used to determine the duration for retrieving the full surrender loads.
Combine Windows with the Same Effective Date	This field is used for new money/old money policies. Traditionally, every deposit opens a new window under new money/old money, even if they are on the same date, which is also the default if the field is not set. Y—Yes The system rolls all deposits made on the same day into a window together. N—No
Apply Premium Payments against Negative Windows	This field determines if new premium is applied to clearing out negative windows in a fund before opening new windows. If the premiums are used to clear the negative windows, the process is done on a fund by fund basis. N—No New premiums are not applied to clear out negative windows. This is the default. Negative windows remain negative. F—FIFO New premiums are applied to negative windows from the first negative window to the most current negative window. L—LIFO New premiums are applied to negative windows from the most recent window to the first negative window.
Record Premium Trans Code On The Bucket	This field indicates if the premium transaction code is stored on the Trigger record and Split Fund record. This allows commission to vary by transaction code when the Commissions Vary By Premium Type field on the CF—Commissions By Fund Segment is set to Yes. Y—Yes The premium transaction code is stored on the Trigger record and the Split Fund record to allow commissions to vary by transaction code. N—No The premium transaction code is not stored on the Trigger record or the Split Fund record. Commissions do not vary by transaction code. This is the default.

Field	Description
Retrieve Current Interest Reduction Rates Using Initial Premium Date	This field determines if the Initial Premium Date input on the New Business Premium Information screen during the New Business process is used to retrieve rates from the A2 Segment. Y—Yes Use the Initial Premium Date to retrieve the rates. N—No Use the Issue Date to retrieve the rates. This is the default.
Date	The date of the last change to this record is displayed in this field.
Time	The time of the last change to this record is displayed in this field.
Coder	The Coder ID of the individual who made the last change to this record is displayed in this field.

Click **Next** to access the second Fund Rules screen.

Fund Rules

Premium Deposits Only On Valid Purchase Days

No

Requested Transfers In Only On Valid Purchase Days

No

Holding Account Fund ID

CARVM

Interest Rate Flag

[If Aggregate, Window Date = Issue Date]

Current for

0

Months from Window Date

Current for

0

Months from Anniversary Date

(equal to or following Window Date)

Segments

Previous

OK

Cancel

The following table contains definitions for the second Fund Rules screen.

Field	Description
Premium Deposits Only On Valid Purchase Days	This field determines if the deposit of premium payments is limited to a certain day or days. Y—Yes The PV—Valid Purchase Day Segment is used to determine if any premium payment is applied with an effective date that matches a valid purchase day. If the premium effective date matches the valid purchase day, the premium is applied directly to the indexed fund. If the premium effective date does not match the valid purchase day, the premium is placed in the holding account until the valid purchase day is reached. When the valid purchase day is reached, the premium is transferred from the holding account into the indexed fund. N—No Premium payments are applied when the premium transaction is processed.
Requested Transfers In Only On Valid Purchased Days	This field determines if the deposit of transfer money is limited to a certain day or days. Y—Yes The PV—Valid Purchase Day Segment is used to determine if transfers are applied with an effective date that matches a valid purchase day. If the transfer effective date matches the valid purchase day, the premium is applied directly to the indexed fund. If the transfer effective date does not match the valid purchase day, the transfer is processed and the amount transferred is placed in the holding account until the valid purchase day is reached. When the valid purchase day is reached, the premium is transferred from the holding account into the indexed fund. N—No Amounts transferred are applied when the transfer is processed.
Holding Account Fund ID	When the PV—Valid Purchase Day Segment is used to determine the particular days on which amounts can be deposited, this field contains the ID of the fund that is used to retain the deposits, transferred amounts, and earnings on those amounts until the valid purchase day is reached. When this date is reached, the funds are transferred from the holding fund into the indexed fund. This fund ID is required when attached to an indexed fund and when either the Premium Deposits Only On Valid Purchase Days field or the Requested Transfers In Only On Valid Purchase Days field is set to Yes.

Field	Description
Holding Account Fund ID (continued)	The holding account must be set up with a Fund Type of Interest Bearing and a Process Rule of New \$ Old \$ Processing to allow each payment or transfer to be tracked individually. Fund or window maturities are not required to pass the valid purchase day edits and do not pass through the holding account. NOTE Manual premium payments and transfers can be placed into the holding account fund. However, only the amounts placed in the holding account, along with earnings credited to those amounts using the valid purchase day logic, are transferred on the valid purchase day.
CARVM	
Interest Rate Flag	This field applies only to line of business A—Annuity and controls reserve logic only. If a value is not selected in this field, the Curr To Change option is used during processing. C—Curr To Change In the projection forward from the valuation date, the current rate on the file applies until the system detects it changing. At that point, the rate drops to the guaranteed rate. This is the default used if a value is not selected in this field. G—Guar Immediately The projection forward uses the guarantee rate immediately. M—Curr Num Of Mns The number of months from the window date to use the current rate can be specified. If the process rule is New \$ Old \$ or Split Fund, the window date equals the bucket's start date. If it is Aggregate, the window date equals the policy issue date. The number of months must be input. A—Annv Num Of Mns The current rate is used for some number of months beyond the next anniversary date equal to or following the window date. The number of months must be input.
Current for ___ Months from Window Date	When Curr Num Of Mns is selected in the Interest Rate Flag field, input the number of months from the window date for which the rate is used.
Current for ___ Months from Anniversary Date	When Annv Num Of Mns is selected in the Interest Rate Flag field, input the number of months from the anniversary date for which the rate is used.

The following buttons and function keys are available from the Fund Rules screen.

Button	Function Key	Description
Segments	F4	Click Segments to access the list of segments that can be set up for the fund rules.
	Alt+F9	An existing Fund Rules record can be copied to create a new Fund Rules record. To copy the Fund Rules record, input the name of the new Fund ID in the Fund ID field and press Alt+F9 . The Fund Rules Cross Reference screen is displayed. Select the appropriate Fund Rules record to be copied and click OK . The Fund Rules screen is displayed with the new Fund ID and the setup and segments from the original Fund Rules record. Make any necessary changes and click OK to save the new record. An FR—Fund Rule ID Segment for the new fund must be set up before the fund rules are copied. In addition, only fund rules with matching segment types, fund types, and process rules can be copied.
	Ctrl+F8	An existing Fund Rules record can be cloned to create a new Fund Rules record. To clone a Fund Rules record, access the Fund Rules record to be cloned. Input the new fund ID in the Fund ID field and make any necessary changes to the substitution information. Press Ctrl+F8 . The Fund Rules screen is displayed with the changed information. Click OK to save the record. An FR—Fund Rule ID Segment for the new fund must be set up before the fund rules are cloned. In addition, only fund rules with matching segment types, fund types, and process rules can be cloned.
Next	Page Down	From the first Fund Rules screen click Next to access the second Fund Rules screen.
Previous	Page Up	From the second Fund Rules screen click Previous to access the first Fund Rules screen.
OK	Enter	Click OK to save any changes made to the fund rules.
Cancel	Esc	Click Cancel to end processing without saving any changes.

The following segments can all be accessed from the Fund Rules screen by clicking **Segments**.

It is important to note that only the MA, SL, and WL Segments at the fund level are actually used during processing. The remaining segments must be set up at the coverage level. In addition, if MVA processing is used, the MA Segment must be set up at the coverage level to invoke the calculations and at the fund level to define the rates and rules used in the calculations.

- A1—Current Interest
- G1—Guaranteed Interest
- EX—Interest Exclusion
- FS—Split/N\$O\$ Fund Rules
- MT—Fund Maturity Rules
- LC—Loan Crediting Rate
- WN—(Fund Split) Accumulation Windows
- DA—Fund Allocation Criteria
- SR—Full Surrenders

The following segments can be accessed from the SR Segment.

- SC—Full Surrender Controls
- SA—Full Surrender Amortization
- SL—Full Surrender Load
- BO—Bailout Provision
- SF—Free Surrender
- MA—Market Value Adjustment
- EW—Early Withdrawals
- A4—Amortization Method

- WD—Partial Surrenders

The following segments can be accessed from the WD Segment.

- WC—Partial Withdrawal Control
- WL—Partial Withdrawal Load
- BO—Bailout Provision
- FW—Free Withdrawal
- EW—Early Withdrawals
- QW—Qualified Withdrawals
- MA—Market Value Adjust

- RL—Fund Rollover
- TL—Transfer In Limits

- OL—Transfer Out Limits
- U2—Premium Load Percentages
- P2—Premium Load Pct By Trans Code
- CC—Commission Class

The CM—Commission Class Rule Segment can be accessed from the CC Segment.

- UT—Premium Collection Expenses—by Percentages for the first policy year
- BU—Indexed Interest Bonus
- WM—Window Maturity Rules
- BN—Fund Bonus
- RW—Alternate Value 1
- RW—Alternate Value 2
- RW—Alternate Value 3
- J1—Certificate Charge
- EI—Generic EIA
- XM—Indexing Methods and Rules
- XC—Coterminous Rules
- XN—Non-coterminous Rules
- CX—Commissions on Maturity Transfers
- A2—Current Interest Rate Reduction
- A3—Portfolio Rate Segment
- A5—Rate Retrieval Rules

To access these segments, position the cursor on the corresponding field in the Segment ID fields. To access the segment, you must have previously selected **Yes** in the Y/N field. The segment ID defaults to the same value as the Fund Rule Segment ID, but can be updated. Press **F4** to access the desired segment.

The following table contains a brief description for the segments that can be accessed from the Fund Rules Segment List.

Field	Description
Current Interest	This segment allows a variety of interest rate rules to be specified for the current accumulation of money in the fund. Refer to Section 12, A1—Current Interest Rate Segment on page 12-39 for additional information.

Field	Description
Guaranteed Interest	This segment allows a variety of interest rate rules to be specified for the guaranteed interest on the fund. The guaranteed interest rate is used to compute the excess interest amount. LifePRO® does not carry out a dual accumulation, one current and one guaranteed.
Interest Exclusion	Certain products have a flat dollar amount to which the current interest rate is not applied. For example, until the fund value reaches 1,000, only the guaranteed interest rate applies. After the fund exceeds that 1000, then the current rate applies to the excess over 1000. Refer to 6.82—EX—Interest Exclusion Segment on page 12-315 in this book for additional information.
Split/N\$O\$ Fund Rule	If the process rule is Split Fund or New Money/Old Money , then a policy may, over time, gather more than one bucket. In that case, the system must know how to deduct items such as COI charges, loads, withdrawals, and so on. This segment allows the company to specify either LIFO, FIFO, or Prorate for each of several defined deductions. Refer to 6.90—FS—Deduction Rules Segment on page 12-367 in this book for additional information.
Fund Maturity Rules	If a product is multi-funded, LifePRO® allows for regularly scheduled transfers of a portion or all of the fund to other funds, or even to itself. The latter type of transfer moves old money to a new bucket or window if the fund is either Split Fund or New Money/Old Money . Refer to 6.162—MT—Fund Maturity Rules Segment on page 12-609 in this book for additional information.
Loan Crediting Rate	The LC—Loan Impairment Interest Crediting Segment controls the interest rate to apply to impaired funds, such as funds with loans. Refer to 6.133—LC—Loan Impairment Interest Crediting Segment on page 12-504 in this book for additional information.
Accumulation Windows	If the process rule is Split Fund , the date a new bucket or window is opened up is controlled on this segment. Refer to 6.310—WN—Fund Split Accum Windows Segment on page 12-1148 in this book for additional information.
Deposit Allocation	If a product has a percent of premium allocation that varies over time, the DA—Fund Allocation Criteria Segment is coded. Otherwise, the system looks to the Constant Allocation field at the bottom of the screen and always uses that figure.

Field	Description
Full Surrenders	If a product is a multi-funded annuity, it is possible to have a different set of full surrender loads and rules for one fund than another. To do this, the SL—Full Surrender Load field on the SR—Full Surrender Segment must be Fund. This tells LifePRO® to come to each segment to get its rates and rules for the surrender loads. It is important to note that the SC—Full Surrender Controls Segment and SF—Free Surrender Segments must be set up from the SR Segment that is accessed from the Segment List on the Coverage Record. These segments cannot be set up by fund. In addition, the MA—Market Value Adjustment Segment must be set up from the Coverage Record to use the MVA functionality. However, the MVA calculations are based on the values selected for the MA Segments that are set up for each fund.
Partial Surrenders	If a product is a multi-funded annuity, it is possible to have a different set of partial surrender loads and rules for one fund than another. To do this, the WL—Partial Surrender Load field on the WD—Partial Surrenders Segment must be Fund. This tells LifePRO® to come to each segment to get its rates and rules for the surrender loads. It is important to note that the WC—Partial Withdrawal Control Segment, FW—Free Withdrawal Segment, and EW—Early Withdrawal Segment must be set up from the WD Segment that is accessed from the Segment List on the Coverage Record. These segments cannot be set up by fund. In addition, the MA—Market Value Adjustment Segment must be set up from the Coverage Record to use the MVA functionality. However, the MVA calculations are based on the values selected for the MA Segments that are set up for each fund.
Fund Rollover	This segment points to very specific fund maturity and transfer logic for multiple funds.
Transfer In Limits	This segment is used to impose limits on the minimum and maximum amounts that can be transferred into a fund. Refer to 6.260—TL—Transfer In Limits on page 12-954 in this book for additional information.
Transfer Out Limits	This segment is used to impose limits on the minimum and maximum amounts that can be transferred out of a fund. Refer to 6.180—OL—Transfer Out Limits on page 12-681 in this book for additional information.
% of Premium Load	This field accesses the U2—Premium Collection Expenses Segment which directs the system to the percentage load on annuity and UL premiums.

Field	Description
% Load by Type	This field accesses the P2—Premium Load Pct By Trans Code Segment which directs the system to use unique percent of premium loads (segment type = U2) by premium transaction code. This is for both internal and external exchanges (type 0124).
Commission Class	This field accesses the CC—Commission Class Segment. This segment can be set up by fund if the Allocated Coverage field on the Coverage Record is set to Fund . If the Allocated Coverage field on the Coverage Record is not set to Fund , the Commission Class Segment must be set up from the CC Segment that is accessed from the Segment List on the Coverage Record.
Per Fund Expense	This field accesses the UT—Per Fund Expense Segment which allows the expense load calculation to be based on the first year premium, based on the target or the actual amount of premium paid. The system takes the first year premium and multiplies it by a user defined rate in order to determine the expense load which is deducted from the policy on either an annual or monthly mode. This segment also allows the expense load calculation to be based on the fund value.
Index Int Bonus	This field accesses the BU—Indexed Interest Bonus Segment which contains the parameters to define one of the two available interest rate type methods. Method 0 is used to apply an additional rate to the interest paid on universal life policies for bonus purposes. Method 1 is used to tie a product to an index, based on a defined number or parameters.
Window Maturity Rules	This field accesses the WM—Window Maturity Rules Segment which designates when a fund matures and the fund ID of the fund to which the matured amount is to be transferred. This segment can only be used if the Process Rule field on the FR—Fund Rule Segment is defined as New \$, Old \$, or Split Fund . In addition, the fund must be a fixed interest fund. The WM Segment cannot be used if the Process Rule field is defined as Aggregate or the fund is a unit based fund.
Fund Bonus	This field accesses the BN—Fund Bonus Segment.

Field	Description
Alternate Value 1	For a market-valued fund (fund type M), there is a base accumulation and up to three alternate accumulations. This field allows access to one of three fund level RW—Minimum Contract Values Calculation Segments used to define the alternate accumulations, including the interest rates on the subsidiary G1—Guaranteed Interest Rate Segment. If more than one alternate accumulation is defined for a market-valued fund, then all of the funds within the same package (as defined on the F0—Fund Package Segment) should be defined with the same number of alternate values in the same order. This enables coverage level flags on the FC—Fund Contract Rules Segment to be properly applied to each alternate value across all of the market-valued funds defined for the product.
Alternate Value 2	For a market-valued fund (fund type M), there is a base accumulation and up to three alternate accumulations. This field allows access to one of three fund level RW—Minimum Contract Values Calculation Segments used to define the alternate accumulations. See the description for the Alternate Value 1 field.
Alternate Value 3	For a market-valued fund (fund type M), there is a base accumulation and up to three alternate accumulations. This field allows access to one of three fund level RW—Minimum Contract Values Calculation Segments used to define the alternate accumulations. See the description for the Alternate Value 1 field.
Certificate Charge	This field is valid only for market-valued funds (fund type M). This field accesses the J1—Certificate Charge Segment. The J1 Segment is used to define certificate charges, which are deducted from the base accumulation of the market-valued fund. Refer to Section 12, Determining Values for a Product with Market-Valued Funds on page 12-337 in this book for more information about determining the value of a market-valued fund.
Generic EIA	This field contains the segment ID of the EI—Generic EIA Segment which defines the rules for calculating the final annualized index rate.
Indexing Methods and Rules	This field contains the segment ID for the XM—Indexing Methods and Rules Segment that defines the calculation method by which the final earnings for a fund are determined. These calculations take into account other events, including surrenders, annuitizations, and the death of the owner, which impact the calculation of the final earnings.
Coterminous Rules	This field contains the segment ID of the XC—Coterminous Rules Segment that defines the timing and transfer rules for indexing and maturing an entire fund.

Field	Description
Non-coterminous Rules	This field contains the segment ID of the XN—Non-coterminous Rules Segment that is used to define the timing and transfer rules for the indexing and maturing of each window.
Commissions on Maturity Transfers	This field contains the segment ID of the CX—Commissions on Maturity Transfers Segment that is used to define the commission rates for the commissions payable on the transfer of funds due to a maturity. This segment is only used when matured funds are transferred from an indexed source fund type (coterminous and non-coterminous).
A2 Curr Int Rate Reduction	This field and ID point directly to the Declared Rates File (instead of going through another segment like the Current and Guaranteed Interest Segments). If this flag is turned on, it reads the Declared Rates File getting the appropriate rate and then reduces the current interest rate by this amount. Rates can be defined by date or by duration.
Portfolio Rates	This field contains the segment ID of the A3—Portfolio Rate Segment that is used to define unique rates that are used to credit interest on windows that are opened due to the transfer of money between funds that are user requested. When the A3 Segment is not used, the rates paid on each window do not vary based on the source of the transfer money.
Rate Retrieval Rules	This field contains the segment ID of the A5—Rate Retrieval Rules Segment that is used to define the rules related to rate retrieval for the interest rates on the A1—Current Interest Rate Segment. In addition, this segment can be accessed from the EI—Generic EIA Segment to define the rules related to rate retrieval for the parameters used to calculate the index rate for Zx segments.

Chapter 2 Fund Subtypes

When separate accounts are defined by Fund and Coverage ID, the accounts can be defined by fund subtypes.

Complete the following steps to access the Fund Subtypes screen.

1. From the Main Menu select **Product System**. The Product System Menu is displayed.
2. Select **Fund Information**. The Fund Information Menu is displayed.
3. Select **Fund Sub-Types**. The Fund Subtypes screen is displayed.

Fund Subtype	Description
SA1	Sub Account A
SA2	Sub Account B
SA3	Sub Account C

The following table contains definitions for the fields on the Fund Subtypes screen.

Field	Description
Fund Subtype	The Fund Subtype code is input in this field. The code can contain up to four alphanumeric characters.
Description	A description of the Fund Subtype code is input in the field. The description can contain up to 40 characters.

The following buttons and function keys are available from the Fund Subtypes screen.

Button	Function Key	Description
	F8	Fund Subtypes are added by pressing F8 . The Subtype and Description screen is displayed. Input the user defined code and description and click OK to save the new fund subtype.
	F10	The description for a fund subtype can be changed by positioning the cursor on the code and pressing F10 . The Subtype and Description screen is displayed. Change the description as desired and click OK to save the change. The Fund Subtype Codes cannot be changed. The existing code must be deleted and a code added.
	Alt+F8	Fund Subtype codes are deleted by positioning the cursor on the code and pressing Alt+F8 . A Confirmation window is displayed. Select Yes to complete the deletion.
	Scan	The scan function is available to display the list according to the characters input. To scan, begin entering the desired starting characters. The list continues to move to the Fund Subtype that is being typed.
Next	Page Down	The next screen of subtypes is displayed.
Previous	Page Up	The previous screen of subtypes is displayed.
OK	Enter	Save the record or changes.
Cancel	Esc	Exit the screen without saving any changes.

The Subtype and Description screen is displayed when a subtype is added or updated. The upper right corner of the screen displays Add or Upd, depending on the process selected.

2.1 Fund Subtypes—Add

Complete the following steps to add a fund subtype.

1. From the Fund Subtypes screen press **F8**. The Subtype and Description window is displayed. (Add is displayed in the upper right corner.)
2. Input the Fund Subtype and the Description.
3. Click **OK** to save the information. Or, to end without saving click **Cancel**.

2.2 Fund Subtype—Update

Complete the following steps to update the description for a fund subtype.

1. From the Fund Subtype screen, position the cursor on a code and press **F10**. The Subtype and Description window is displayed. (Upd is displayed in the upper right corner.)
2. Update the description for the fund subtype. Only the description can be changed.
3. Click **OK** to save the change. Or, to end without saving press **Alt+F10**.

2.3 Fund Subtype—Delete

Complete the following steps to delete a fund subtype.

1. From the Fund Subtype screen, position the cursor on a code and press **Alt+F8**. A Confirmation window is displayed to verify the deletion.
2. Select **Yes** to process the deletion or **No** to end without processing.

INDEX

Symbols

- (M-)—Minimum Segment 12-558
(M+)—Maximum Segment 12-560

Numerics

- 1P—Premium Cap Segment 12-33
1R—Reserve Rate Segment 12-37

A

- A1—Current Interest Rate Segment 12-39
A3—Portfolio Rate Segment 12-41
A4—Amortization Method 12-42
A4—Amortization Method Subsystem Notes 12-43
A5—Rate Retrieval Rules 12-44
AB—Add'l Death Benefits Segment 12-47
ABV RMD Trace 9-68
AC—Add'l Premium Credited Segment 12-50
Accumulation Windows 5-70
Accumulation Windows Functions 5-71
Accumulation Windows—Access 5-71
Accumulation Windows—Add 5-71
Accumulation Windows—Delete 5-71
AD—Add'l Div, Premium Pay Segment 12-51
Adjusted Benefit Value Calculation 12-577
AE—Arrears Policy Fee 12-53
AF—Annual Agent Service Fee 12-58
Age/Duration Math Functions 5-20
Age/Duration Rate File 5-16
Age/Duration Rate File Cross Reference 5-24
Age/Duration Rate File Record—Add 5-17
Age/Duration Rate Functions 5-19
Age/Duration Rate History 5-25
Age/Duration Rates—Copy 5-23
Age/Duration Rates—Mass Copy 5-21
Age/Duration Rates—Range Copy 5-22
Age/Duration Rates—Replicate 5-19
Age/Duration Rates—Shift 5-19
Age/Duration Rates—Update 5-19
Age/Duration Rates—View 5-19
AI—After Issue Policy Pages 12-60
AJ—Adjustments of COI 12-62
Alloc Covr Prem Dist 9-55
AN—Annual Statement Setup 12-63
Anniversary Values 9-20
Annual M&E Charges 5-69, 12-362

- AP—Add'l Premiums, Deposits Segment 12-65
Attained Age Rate File 5-7
Attained Age Rate File Cross Reference 5-13
Attained Age Rate File Record—Add 5-8
Attained Age Rate Functions 5-10
Attained Age Rate History 5-14
Attained Age Rate Math Functions 5-11
Attained Age Rates—Clone 5-12
Attained Age Rates—Replicate 5-10
Attained Age Rates—Shift 5-10
Attained Age Rates—Update 5-10
Attained Age Rates—View 5-10
AX—Bonus, Contest, and Production Segment 12-69

B

- B1—B5 Bonus Rates Segment 12-71
Banded Withholding 10-31
Base Only 3-32
BA—Universal Methodology Segment 12-80
BB—Premium Bonus Calculation Criteria Segment 12-81
BC—Billing Copies Segment 12-83
BD—Band Limits 12-85
BE—Bonus Earnings 12-86
Benefit Codes 12-171
BI—Billable Premium Solve Segment 12-91
BK—Commission Chargebacks Segment 12-94
BL—Billable Policy Fee 12-110
BN—Bonus Rules and Rates Segment 12-112
BO—Bailout Provision Segment 12-120
BP—Billable Premium Segment 12-122
BS—Billing Setup Segment 12-129
BU—Indexed Interest Bonus 12-137

C

- C0—Confirmation Setup Segment 12-151
C1—Interest Bearing Account Segment 12-155
C2—Interest Bearing Account Segment 12-158
C3—Interest Bearing Account Segment 12-160
C4—Interest Bearing Account Segment 12-161
CA—Calendar Based 12-163
Calculation of Low Water Mark Rate 12-300
Calculation of New Business Credits for Specified Amount Increases 12-1208
Calculation of New Business Credits for Traditional Policies and Riders 12-1207

- Calculation of New Business Credits for Universal Life Policies 12-1207
- Calculation of Point to Point Arithmetic Index Rate 12-298
- Calculation of Point to Point Geometric Index Rate 12-299
- Calculation Rule—Clone 12-174
- Calculation Rules Window 12-635, 12-646
- Calendar Dates 9-57
- Cash Values Calculation Window Fields 12-216, 12-851, 12-974
- CC—Commissions Segment 12-165
- CD—Claim System Detail 12-167
- CE—Collection Setup 12-177
- CF—Commissions By Fund 12-180
- Charge Band ID 5-68
- Chargeback Processing Overview 12-95
- CI—Current COI Inflation Rate 12-188
- Claim Information 10-63
- CM—Commission Class Rule Segment 12-190
- CN—Collection Limits 12-203
- CO—COLI Rates Segment 12-206
- Coding Rerate Rates 12-763
- Commission by Fund Processing Notes 12-180
- Component File 3-1
- Component File Cross Reference 3-14
- Component File Features 3-3
- Component File Introduction 3-2
- Component File Maintenance 3-12
- Component File Screen 3-15
- Component File Setup Notes 3-3
- Component File—Add 3-12
- Component File—Clone 3-13
- Component File—Update 3-13
- Component File—View 3-12
- Component History 3-42
- Component Types 3-4
- Concurrent No Lapse Guarantee and Death Benefit Guarantee Processing 12-287
- Consumer Price Index 5-45
- Consumer Price Index—Delete 5-46
- Consumer Price Index—Update 5-46
- Conversion Privilege 10-54
- Cost Indices 9-15
- Coverage Cross Reference 4-5
- Coverage File Screen 1 Field Descriptions 4-13
- Coverage File Screen 2 Field Descriptions 4-27
- Coverage File Screen 3 Field Descriptions 4-38
- Coverage File Screen 4 Field Descriptions 4-52
- Coverage File Screen Field Descriptions 4-10
- Coverage History 4-81
- Coverage Record 4-1, 4-2
- Coverage Record Introduction 4-3
- Coverage Record Maintenance 4-5
- Coverage Record Notification Window 7-10
- Coverage Record—Add 4-5
- Coverage Record—Clone 4-7
- Coverage Record—Delete 4-6
- Coverage Record—Update 4-6
- Coverage Record—View 4-5
- Coverage Screen Notes 4-8
- Coverage Window 4-4
- CP—Target Premium Factors Segment 12-207
- CR—Commission Rates Segment 12-210
- CU—Confirmation/Correspondence Setup Segment 12-213
- Currency Exchange 5-63
- CV—Cash Values Segment 12-215
- CW—Production Bonus Credit Information Segment 12-220
- CX—Commissions on Maturity Transfers Segment 12-222

D

- D3—Dividend Type By Option 12-225
- DA—Fund Allocation Criteria 12-229
- Date Routines 9-34
- Day of Week Calculation 9-64
- DB—Death Benefit Segment Processing Notes 12-236
- DB—Death Benefits Segment 12-233
- DC—Automatic Decrease Rules Segment 12-237
- DD—Dividend Assumption Segment 12-239
- Declared Interest Calc 9-51
- Declared Interest Rate File 5-27, 5-33
- Declared Interest Rate File Field Definitions 5-34
- Declared Interest Rate File—Add New Record 5-38
- Declared Interest Rate History 5-40
- Declared Interest Rate Segment ID Sample 5-28
- Declared Interest Rate Substitution 12-1184, 12-1187
- Declared Interest Rates Cross Reference 5-39
- Declared Rates Retrieval 9-49
- DE—Dividend Option Edits 12-242
- Deductible By Effective Date 10-69
- Defining a New Product 1-4
- Defining Base Rates 12-750
- Defining Guarantee Periods by State 12-747
- Defining Modifiers 12-751
- Deleting Rerate Rates 12-764
- Determining Values for a Product with Market-Valued Funds 12-337

DF—Deficiency Val Prems Segment 12-245
DG—Deduction Allocation Rules 12-249
DH—Deferred Charges Account 12-251
DI—Direct Recognition of Loans 12-253
Disclosure Summary Calculation 9-11
Disclosure Summary—Return Codes 9-14
Disclosure Summary—Trace Values Menu 9-14
DJ—Dividend Expense Adjustment Segment 12-255
DK—Deferred Charges Rate Segment 12-256
DL—Dollar Cost Average Fee 12-257
DN—Dividends, Non Premium Paying Segment 12-258
DO—Dividend Option Setup Segment 12-261
DP—Deposit History Rules Segment 12-266
DR—Deficiency Reserves Segment 12-268
DS—Premium Fund Destination Segment 12-272
DT—Variable Deduct 12-274
DU—Deferred Charges Annual Reduction 12-275
Duration Calculation Trace 9-36
Duration Calculation Trace Results 9-37
DV—Dividends Segment 12-276
DY—Declared Yield Rates 12-279

E

Earnings Calculation 9-50
EC—Excluded Commission—Clone 12-281
EC—Excluded Commissions 12-280
Effective Date Substitution 4-68
Effective Date Substitution Field Definitions 4-69
Effective Date Substitution History 4-79
Effective Date Substitution Notes 4-68
Effective Date Substitution Record Functions 4-74
Effective Date Substitution Record—Access from Component File 4-76
Effective Date Substitution Record—Access from Coverage Record 4-74
Effective Date Substitution—Access from Segment List 4-77
Effective Date Substitution—Add New Record 4-77
Effective Date Substitution—Delete a Record 4-78
EG—Extended No Lapse Guarantee 12-284
EIA Generic Formula 9-59
EI—Generic EIA Segment 12-289
EM Segment Processing Notes 12-302
EM—Guaranteed Mortality 12-302
EN—Non Premium Paying 12-306
EO—Commissions Excess Only Segment 12-307
ET—Extended Term/Reduced Paid Up Segment 12-308
EV—EPR Dividends 12-312

EW—Early Withdrawal 12-313
EX—Interest Exclusion Segment 12-315
Extended Key Definition 12-737
Extended Key Descriptions 12-480

F

F0—Fund Package Segment 12-318
FC—Fund Contract Rules Segment 12-320
Feature Control Values Screen 12-382
Feature Segment Substitution List 12-353
Feature Selections Screen 12-352
Federal Tax Withholding 10-17
FICA Withholding 10-20
Final Annualized Index Rate Formula 12-295
FL—Fund Rule Segment 12-340
FM—Miscellaneous Information Segment 12-345
FN—Commutation Rules 12-348
Form Number for a Coverage 10-9
FQ—Feature Questions Segment 12-351
FR—Fund Rule ID Segment 12-355
FS—Deduction Rules Segment 12-367
Fund Information 14-1
Fund Rules 14-5
Fund Subtype—Delete 14-24
Fund Subtypes 14-22
Fund Subtypes—Add 14-24
Fund Subtype—Update 14-24
Fund Type Comparison of LifePRO® Functionality 12-363
FU—Pre-Defined Follow Ups 12-371
FW—Free Withdrawal Segment 12-373
FX—Feature Control Segment 12-380

G

G1—Guaranteed Interest Rate Segment 12-389
G2—Guaranteed Percentage of Premium Load 12-390
G3—Guaranteed Per 1000 of Face 12-394
GA—Misc Reserve Factors 12-397
GB—GAAP Benefit Reserves 12-398
GD—GAAP DAC Premiums Segment 12-401
GE—GAAP DAC Reserves 12-404
GF—Guaranteed Monthly Policy Fee 12-407
GG—UL Guar Min Premium Segment 12-411
GI—Guaranteed COI 12-414
GM—Guaranteed Index Margin Rate Segment 12-416
GN—GAAP Benefit Premiums Segment 12-418
GP—Guaranteed Premiums Segment 12-421
GS—Guar NSP Purchase Rates 12-425
GT—Guar OYT Purchase Rates 12-426

Guaranteed Minimum Accumulation Benefits (GMAB) 12-1089
 Guaranteed Minimum Death Benefits (GMDB) 12-1079
 Guaranteed Minimum Income Benefits (GMIB) 12-1095
 GW—Guaranteed Withdrawal Benefit 12-427
 GY—Guaranteed Years 12-431

H

H1—Partial Surrenders Chargeback Controls Segment 12-102
 H2—Full Surrenders Chargeback Controls Segment 12-103
 H3—Death Claim Chargeback Controls Segment 12-104
 H4—Lapse Chargeback Controls Segment (Traditional Only) 12-105
 H5—Forced Annuity Distributions Chargeback Controls Segment 12-106
 H6—Recurring Withdrawals Chargeback Controls Segment 12-107
 H7—Partial Annuitizations Chargeback Controls Segment 12-108
 H8—Full Annuitization Chargeback Controls Segment 12-109
 Health Rerate Correspondence 10-27
 HR—Health Claims Reinsurance Segment 12-432
 HW—High-Water Mark for U2 Load Segment 12-434

I

I1—Indexed Interest Rate File 12-437
 IA—SPIA Annuity Transfer 12-439
 IB—Interest Bearing Account Rate Segment 12-440
 ID—Discount Rate Crediting Segment 12-442
 IE—Issue Edits 12-443
 IG—Guaranteed Accumulation Rate Segment 12-445
 IM—Index Margin Rate Segment 12-446
 Immediate Annuity Segments 12-1211
 Indexed Interest Bonus Field Definitions 12-138
 Initial Premium Offer 10-57
 Initial Premium Offer Processing Notes 10-57
 IN—Pricing Interest Rates 12-1216
 Inspection Tables 3-32
 Interest Adjusted Interest Rate 10-45
 Interest Crediting Segment Criteria Screen 5-29
 Interest Crediting Segment Criteria Screen Field Definitions 5-30
 IO—Claims Benefit Inflation Override Information Segment 12-448

IP—NAIC Proposal Assumption 12-450
 IR—Inflation Rider Processing Notes 12-455
 IR—Inflation Rider Segment 12-454
 IS—Statutory Reserve Interest Rates 12-1227
 Issue Benefit Rates 5-47
 Issue Date Substitution 7-1
 Issue Date Substitution History 7-11
 Issue Date Substitution Trace 4-26
 Issue Limits by Age and Minimum and Maximum Amount 3-34, 4-21
 Issue Limits by Age and Tax Qualification Code 3-37, 4-24
 Issue Limits by Age and Tax Qualification Code Notification Window 3-39, 4-25
 Issue Limits by Amount and Underwriting Class 3-35
 Issue Limits by Underwriting Class and Amount 4-22
 Issue Limits by Underwriting Class Notification Window 3-36, 4-23
 IT—Tax Reserve Interest Rates 12-1230

J

J1—Certificate Charge Segment 12-465
 JA—Joint Equal Age Conversion Segment 12-466
 JC—Joint COI Rate Rules Segment 12-467
 JE—Joint Equal Age Adjustment Segment 12-470
 Joint COI Rates/Commutation 9-41
 JT—Joint Equal Age 12-471

K

K1—Keyword Segment 12-475
 KD—Key Definition Segment 12-477
 KD—Key Definition Segment Notes 12-283, 12-732, 12-738
 KD—Key Definition Setup Notes 12-478
 Key Definition Base Rate Modifiers 12-752
 Key Definition Base Rate Setup 12-739
 Key Definition Rerates Screen 12-758
 Key Definition Selections 12-479
 KW—Keyword Segment 12-483

L

L0—Letter Type Segment 12-484
 LA—Calendar Dividend Processing 12-503
 LC—Loan Impairment Interest Crediting Segment 12-504
 LD—Letter Definition Segment 12-507
 LE—NLG and Policy Change Segment 12-511

Life Expectancy Calculation 9-40
Life Insurance Illustration Model Regulation Summary 12-450
LK—Letter Key Definitions Segment 12-513
LL—Level Premium Factors 12-514
LM—Living/Maturity Benefit Segment 12-516
LN—Loan Interest Rates Segment 12-522
LP—Lapse Control 12-536
LS—Lump Sum Factors 12-550
LT—Tiered No Lapse Guarantee 12-552
LV—Calendar Dividend Segment 12-555

M

M1, M2, M3, and M4—Miscellaneous Segments 12-562
M1—Miscellaneous Segments 12-562
M2—Miscellaneous Segments 12-563
M3—Miscellaneous Segments 12-564
M4—Miscellaneous Segments 12-565
MA—Market Value Adjust Segment 12-566
Math Function Display Window 12-766
Maximum Consecutive APLs 10-50
Maximum Table Ratings for Riders 3-40
MB—Minimum Billing Amounts 12-571
MC—Current Monthly Income Factors 12-573
MD—Required Minimum Distribution 12-574
Medicare Basic Benefit Information 10-66
ME—Mortality and Expense Charges Segment 12-582
Method 0—Index Ratio Method 12-145
Method 1—Index Interval 12-146
Method 2—Index Interest Appreciation 12-147
Method 3—Index Fund Appreciation 12-150
MF—Common Modifier/Rerate Segment 12-584
MG—Guaranteed Monthly Income Factors 12-585
Mid-Month Premium Valuations 12-336
MI—Minimum Bonus Rate Segment 12-586
Minimum/Maximum Issue Age Extended Key Selection 12-481
Miscellaneous Factors Cross Reference 5-44
Miscellaneous Factors File 5-42
Miscellaneous Factors Maintenance 5-43
Miscellaneous Factors Record—Update 5-43
Miscellaneous Factors Record—View 5-43
Miscellaneous SPIA Deductions 10-39
ML—Maximum Loan Rules 12-587
MM—Minimum/Maximum Segment 12-590
MN—Minimum Billable Premium Segment 12-594
MO—Annual M&E Charge Segment 12-595
Modal Factors for Premiums Screen 6-5
Modal Premium 9-16

Mode Rules Substitution 12-733
Modifiers—Set Key Definition Rates 12-756
Monthiversary or ULPro Products using the YS Segment Notes 12-1177
Mortality and Expense Factors 5-72
MP—Minimum Premium Factors Segment 12-596
MR—MPR Rules Segment 12-603
MS—Rates Modified By State Segment 12-607
MT—Fund Maturity Rules Segment 12-609
Multiple Currency Table Function Keys 5-64
Multiple Reinsurers 12-968
MV—Alternate Minimum Cash Value 12-611
MW—Maximum Waiver Premiums 12-613
MX—Maximum Bonus Rate Segment 12-619

N

N0—New Business Auto Issue Process 12-620
NAV and Dividends by Fund/Unit ID 5-76
NB—New Business Defaults 12-624
NC—Net Premium Credited Segment 12-634
NC—Net Premium Crediting Segment Processing Notes 12-638
ND—Addl Div, Non Prem Pay Segment 12-640
Net Asset Values and Dividends 5-75
Net Asset Values and Dividends by Effective Date 5-78
NF—Non-Forfeiture Factors 12-642
NI—New Business Defaults 12-1222
NL—Notify Messages Segment 12-643
NN—Non-Deduction Reserve Segment 12-644
Non Collateralized Loan Notes 12-718
Non-collateralized Loan Processing 12-718
Non-collateralized Loan Setup 12-718
NO—Non Forfeiture Rules Segment 12-650
NP—Net Valuation Premiums Segment 12-662
NR—NAR Calculation Method 12-665
NS—NSP Purchase Rates 12-670
NT—Notify Messages Segment 12-672

O

O0—Benefit Add Question Setup 12-676
OC—Free Out Surrender Charge Rules 12-678
OL—Transfer Out Limits 12-681
OP—7702 Override Premium Segment 12-688
OT—Paid Up Term Rates 12-691
Override Grace Period by Mode and Form 12-136

P

P1—Premium Load Fee By Trans Code Segment

12-695
 P2—Premium Load Pct By Trans Code Segment 12-697
 PA—Variable Perchg 12-699
 Payment Deductions 10-29
 PB—Paid Marketing Credits 12-700
 PC—UL Premium Change Segment 12-701
 PD—Policy Delivery Follow Up 12-703
 PEXCCV01 8-5
 PF—Policy Fees Segment 12-704
 PI—Pour In 12-706
 PJ—Prearrangement Options Segment 12-710
 PK—Prearrangement Factors Segment 12-712
 PL—Special Class Loan Rules 12-713
 PM—Mortality Pricing 12-1221
 PN—Non-Ded Valuation Prem Segment 12-719
 Policy Clone File 11-15
 Policy Clone File Maintenance 11-17
 Policy Clone File Maintenance Screen 11-18
 Policy Control File 11-1
 Policy Control File Maintenance Screen 1 11-5
 Policy Control File Maintenance Screen 2 11-11
 Policy Control File Maintenance Screens 11-4
 Policy Level No Lapse Guarantee Period 12-549
 PO—Money Purchase Option Segment 12-722
 Pour-in Riders Processing Notes 12-708
 PP—Premium Load Segment 12-1215
 Preferred Loan Split 9-48
 Premium Mode Rules 6-1
 Premium Mode Rules Record—Update 6-7
 Premium Mode Rules Record—View 6-6
 Premium Tax Rates 10-21
 Premium Tax—Federal Tax Info 10-24
 Premium Tax—State Tax Info 10-22
 Premiums—Upper Portion of Screen Field Definitions 12-17
 Print Values 9-19
 Product and Coverage Cross Reference 10-5
 Product Cross Reference 2-6
 Product File 2-1
 Product File Record Maintenance 2-7
 Product File Record—Add 2-7
 Product File Record—Update 2-7
 Product File Record—View 2-7
 Product File Screen 2-4
 Product History 2-8
 Product History Notes 13-7
 Product Introduction 1-1
 Product Note—Add or Update 4-9
 Product Setup Flow 1-5
 Product Setup Steps 1-7

Product System History 13-3
 Product Usage Cross Reference 12-21
 Product Usage Cross Reference Access 12-21
 Product Usage Cross Reference Example 12-28
 Prohibit Issue In This State 3-29
 Prorated Premium Refund Trace 9-33
 PR—Premium Segment 6-4, 12-725
 PS—Premium Refund 12-768
 PT Keywords 12-776
 PT—Paid-Up Term Control 12-770
 PV—Valid Purchase Days Segment 12-782
 PW—Production Bonus Limit And Payment Percent 12-786
 PX—Paid Contest Credits 12-788
 PY—Commissions Prior Year Segment 12-789
 PZ—Participation Rate Segment 12-790

Q

Q0—Q9—Collection Minimum Limits 12-791
 QC—Set Up by Tax Qualification Code Segment 12-793
 QD—Question Definition 12-795
 QL—Limits by Tax Qualification Code 12-796
 QQ—Collection Minimum Limit Conversion Roth IRA 12-799
 QR—Qualifying Rules Segment 12-800
 QS—Collection Minimum Limit Simple IRA 12-802
 QT—Collection Minimum Limit Contributory Roth IRA 12-803
 Quoting Off Anniversary 12-639
 QW—Qualified Withdrawal 12-804
 QX—Interview Question Pre-Defined Responses Segment 12-806

R

R0—Reinsurance By Treaty 12-807
 RA—Alternate Minimum Premium Required Period 12-809
 Rate Retrieval 9-45
 Rate Retrieval All Years 9-46
 Rate Segment Retrieval 9-44
 Rates and Factors 5-1
 Rates and Factors Introduction 5-5
 RB—Auto Portfolio Rebalancing Fee 12-811
 RC—Re-Rate Correspondence 12-812
 RC—Rerate Correspondence Processing Notes 12-815
 RD—Endowment, Deposit Return Segment 12-816
 Reducer Formulas 10-38
 Replacement Comm Exception 10-61

Rerates 12-757
 RE—Retention Limits File 12-818
 RF—Multiple Insured Rider Factor 12-822
 RG—Guaranteed Table Rating 12-823
 RH—Current Table Rating 12-824
 RI—Reserve Interest Rates Criteria 12-825
 RL—Fund Rollover Segment 12-826
 RM—Replenishment Rates Segment 12-828
 RN—Premium Recalculation Rules 12-831
 RO—Rollover Rates To Bucket 12-834
 RP—Reins Valuation Premiums 12-835
 RQ—RQUE Sequence Segment 12-838
 RR—Reins Reserve Factors Segment 12-840
 RS—CARVM Reserves 12-843
 RT—CRVM Tax Reserve 12-844
 RU—Age Rate-up Table 12-848
 RV—Reserve Factors 12-849
 RW—Calculate Minimum Contract Value Segment 12-855
 RX—UL Reserve Method Segment 12-858

S

S0—Fund Package Segment 12-862
 SA—Full Surrender Amortization Segment 12-863
 SB—Submit Marketing Credits 12-864
 SC—Full Surrender Controls Segment 12-865
 SD—Spec Amt Decrease Deduct 12-873
 Segment Help 12-14
 Segment History 12-30
 Segment History Notes 12-32
 Segment List Access 4-66
 Segment List for Coverage History Record 4-83
 Segment Setup 12-15
 Segment Variance Screen 12-890
 Segments 12-1, 12-33
 Segments Access 12-13
 Segments Accessed from the SR Segment 12-924
 Segments Overview 12-13
 Segments—Higher and Lower Access 12-29
 Segments—Update or Activate 4-67
 SE—Shadow Benefit Use Segment ID Segment 12-876
 SF—Free Surrender Segment 12-878
 SG—Source/Type Rates and Rules Segment 12-884
 SH—Shadow Benefit ID Segment 12-911
 Single Reinsurer 12-967
 SL—Full Surrender Load Segment 12-913
 SM—Mortality Statutory Valuation 12-1219
 Source Era Definition Screen 12-886
 Special Class and Non-Collateralized Loans 12-530
 SPIA Calculation for Quotes 12-1213

SPIA Calculation Rules for Valuation 12-1214
 SPIA Calculator 9-39
 SPIA Federal Withholding 10-30
 SPIA State Withholding 10-33
 Split By Benefit 3-33
 SP—SPIA Surrender Rules 12-1233
 SQ—Systematic Request Rules Segment 12-919
 SR—Full Surrender Segment 12-923
 SS—Surcharge Premium 12-930
 State Approval 12-762
 State Approval Window 12-360
 State Banded Withholding 10-35
 State Control File 10-1
 State Follow Up Overrides 10-47
 State Loan Cap Information 10-10
 State Tax Withholding 10-15
 State Tax—State Tax Methods Info 10-25
 State Tiered Withholding 10-36
 ST—Substandard Table Ratings 12-931
 SU Segment—Clone 12-933
 Substitution Processing Priority 4-68
 Substitution Record Cross Reference List 7-8
 Substitution Record Maintenance 7-5
 Substitution Record—Add 7-5
 Substitution Record—Delete 7-9
 Substitution Record—Update 7-7
 Substitution Type Processing Priority 7-4
 Substitution Types 7-4
 Surrender Calculation 9-52
 SU—Shadow Benefit Use Segment 12-932
 SV—Valid Sources Segment 12-936
 SX—Submit Contest Credits 12-937
 SY—Shadow Benefit Edit Segment 12-938

T

Table Extra Data 12-126, 12-473, 12-599,
 12-615, 12-671, 12-692, 12-733, 12-961,
 12-977, 12-1112, 12-1118, 12-1123
 TA—Traditional TAMRA Rules Segment 12-940
 Taxable Income 9-53
 TB—Tabular Guar, Death Benefits 12-948
 TC—CARVM Tax Reserves Segment 12-949
 TD—Terminal Dividends 12-950
 TF—Fund Transfer Fee 12-952
 TL—Transfer In Limits 12-954
 TM—Mortality Tax Valuation 12-1220
 TN—Trend Factors Segment 12-956
 TP—Tax Valuation Premiums 12-959
 Trace Routines 9-1
 Trace Routines Access 9-4

Trace Routines Introduction 9-3
 Traditional Reserves Calculator 9-30
 TR—Treaty Selection File 12-965
 TS—Source/Type Record Rules Segment 12-969
 TX—Tax Reserve Factors 12-972

U

U1—Premium Collection Expenses/Fees Segment 12-981
 U2—Premium Collection Expenses Segment 12-983
 U3—Per Thousand Expense Load Segment 12-988
 U4—Rate Amortization Segment 12-992
 U5—Guaranteed COI Rates Segment 12-994
 U6—Current COI Rates Segment 12-996
 U7—Full Surrender Load/Fees Segment 12-998
 U8—Full Surrender Load/Percentages Segment 12-1000
 U9—Full Surrender Exclusion/Amounts Segment 12-1002
 UA—Full Surrender Exclusion/Percents Segment 12-1004
 UB—Partial Surrender Load/Fees Segment 12-1006
 UC—Partial Surrender Load/Percentages Segment 12-1008
 UD—Partial Surrender Exclusion/Amounts Segment 12-1010
 UE—Partial Surrender Exclusion/Percents Segment 12-1012
 UF—Per Policy Monthly Expense 12-1014
 UG—Universal Life Minimum Premium Segment 12-1018
 UH—Universal Life Target Premium Rates Segment 12-1021
 UI—Monthiversary Control Segment 12-1023
 UJ—Specified Amt Increase Load—Fee Per \$1000 Segment 12-1029
 UK—Specified Amount Increase Load/Percent Segment 12-1031
 UL New Business Premium Trace 9-38
 UL Reserve Calculator 9-25
 UL/Annuity Death Benefits 9-47
 UL—Universal Life Corridor Segment 12-1033
 UM—Universal Life Waiver of Premium Rates Segment 12-1036
 Unit Price ID 5-65
 Unit Values by Fund and by Coverage Detail Window 5-52
 Unit Values by Fund and by Date Detail Window 5-56
 Unit Values Calc 9-56
 Units by Effective Date 5-57

Units by Effective Date Functions 5-58
 Units by Effective Date—Access 5-58
 Units by Effective Date—Add 5-58
 Units by Fund and Coverage ID Field Definitions 5-50
 Units by Fund and Coverage ID Function Key Options 5-50
 Units by Fund and Coverage ID Functions 5-49
 Units by Fund and Coverage ID—Access 5-49
 Units by Fund and Coverage ID—Add 5-49
 Units by Fund ID and Coverage ID 5-48
 Units by Fund ID and Date 5-53
 Units by Fund ID and Date Function Key Options 5-55
 Units by Fund ID and Date Functions 5-54
 Units by Fund ID and Date—Access 5-54
 Units by Fund ID and Date—Add 5-54
 Units by Unit ID 5-60
 Units by Unit ID Functions 5-61
 Units by Unit ID—Access 5-61
 Units by Unit ID—Add 5-61
 UT—Per Fund Expense Segment 12-1041
 UU—Exception Processing Minimum Premium 12-1046
 UW—Exception Processing Target Premium 12-1048
 UX—Minimum Premium Assembly Rules Segment 12-1050
 UY—Target Premium Assembly Rules Segment 12-1058
 UZ—Guideline Premium Rules Segment 12-1066

V

V0—New Business Question Setup 12-1073
 Valid Calls to the Values Calculator 9-9
 Valid Purchase Day 9-65
 Valid States and Countries for a Company or Product Bonus 10-8
 Valid States for a Company 10-6
 Valid States for a Product 10-7
 Valid States for CR Cards 10-56
 Values Calculator 9-5
 Variable Coverage Free Look 10-40
 Varying Band Limits 9-58
 VA—Vanish Adjustments 12-1075
 VI—Variable Illustration Assumptions 12-1076
 VL—Annuity Minimum Values Segment 12-1078
 VN—Vanish Rules 12-1101
 VP—Variable Policy Fee 12-1104
 VR—CARVM Valuation Segment 12-1105
 VU—Annuity Death Benefit Values Segment 12-1107

W

W1—Special Waiver Premium Segment	12-1110	ZC—Final Spread Factor Segment	12-1197
W2—Special Waiver	12-1116	ZD—State Minimum Participation Segment	12-1198
Waiver Calculation Window	4-63	ZE—Interim Spread Factor Segment	12-1201
WA—Net Single Premium	12-1122	ZP—Zip Code Modifier/Rerate	12-1202
WC—Partial Withdrawal Control Segment	12-1124	ZX—New Business Credits Segment	12-1204
WD—Partial Withdrawal Segment	12-1135		
WE—Flat Extra Factors/NS—NSP Purchase Rates	12-1140		
Withholding Calc	9-54		
Withholding Tax Rates	10-14		
WL—Partial Withdrawal Load Segment	12-1141		
WM—Window Maturity Rules Segment	12-1145		
WN—Fund Split Accum Windows Segment	12-1148		

X

XA—Assumed Accumulation Rates Segment	12-1149
XC—Coterminous Rules Segment	12-1151
XE—Eligible Premium Increase Rate Segment	12-1154
XG—Death Benefit Guarantee Rules Segment	12-1155
XI—Increment Indexation Rules Segment	12-1162
XL—Lifetime Basis Increase Rate Segment	12-1164
XM—Indexing Methods and Rules Segment	12-1165
XN—Non-coterminous Rules Segment	12-1169
XV—External Index Segment	12-1171

Y

Yearly Premiums/Death Benefits	9-17
Yearly Values—NFO	9-18
YP—Death Computations Segment	12-1172
YP—Death Computations Segment Processing Notes	12-1174
YS—California Yield Index	12-1176

Z

Z0—Index Start Value Segment	12-1178
Z1—Index End Value Segment	12-1182
Z2—Interim Participation Rate Segment	12-1183
Z3—Final Participation Rate Segment	12-1186
Z4—Interim Bonus Participation Rate Segment	12-1189
Z5—Final Bonus Participation Rate Segment	12-1190
Z6—Interim Vesting Factor Segment	12-1191
Z7—Final Vesting Factor Segment	12-1192
Z8—Interim Cap Segment	12-1193
Z9—Final Cap Segment	12-1194
ZA—Interim Floor Segment	12-1195
ZB—Final Floor Segment	12-1196

[This page intentionally left blank.]